

Historical Materialism 339

Essays on Marx's Theory of Value

Conceived as a Variorum Edition

Isaak Illich Rubin

Edited and translated by Susumu Takenaga

BRILL

Essays on Marx's Theory of Value

Historical Materialism Book Series

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LEIDEN | BOSTON

The Library of Congress Cataloging-in-Publication Data is available online at <https://catalog.loc.gov>
LC record available at <https://lccn.loc.gov/2025002949>

Typeface for the Latin, Greek, and Cyrillic scripts: "Brill". See and download: brill.com/brill-typeface.

ISSN 1570-1522

ISBN 978-90-04-72133-3 (hardback)

ISBN 978-90-04-72134-0 (e-book)

DOI 10.1163/9789004721340

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PART A



Editorial Foreword by the Translator

This is the first in a series of three volumes which are to include the original works of the Soviet economist I.I. Rubin (1886–1937) and related documents of various kinds, to be published consecutively on the basis of a project jointly conceived by Fred Moseley and Susumu Takenaga. The first volume is centred on Rubin's main work *Essays on Marx's Theory of Value* (the first edition published in 1923, the second in 1924, the third in 1928, and the fourth and last in 1929(30)), which became the epicentre of the subsequent value controversy in the Soviet Union during the late 1920s. The second volume will include *Essays on Marx's Theory of Money*, a presumably unfinished, posthumous work whose manuscript Rubin was furtively drafting in the mid-1920s when publishing the successive editions of his well-known *Essays on Marx's Theory of Value*, as well as various documentary materials relating to this and another *Essays*. These two volumes have been compiled and published under the direction of Takenaga. The third volume, prepared by Moseley, will assemble research papers written especially for our project by numerous contemporary scholars from various countries and different currents of thought, seeking to re-evaluate Rubin's interpretation of the fundamental categories of Marx's economic theory in the light of present-day Marxological studies. We hope to finish the entirety of our project within a year or so, with 2023 marking the centenary of the appearance of the first edition of *Essays*. Unfortunately, the realisation of our project had to be put off until this year, 2025, for various reasons.

The name and works of Rubin, and the value controversy of the late 1920s, having been buried in obscurity since the beginning of the 1930s, underwent a revival following the English translation of his main work in 1973, which had a considerable impact on the contemporary discussions ongoing in Western countries on issues relating to Marx's economic theory (value, transformation, etc.). It is indisputable that this translation played an important role in the 'rediscovery' of Rubin, who came thus to intervene in the value debate around half a century after his death. Indeed, the present translation certainly owes much to this first translation (particularly the three diagrams in Chapter 17). However, based on the third edition of 1928, the latter concentrates on the main body of Rubin's text to omit the rest (the foreword, appendices), with the result that the reader of this English version could hardly see the historical context of this work. Fredy Perlman, one of the translators, says nothing about this point in his long 'Introduction'.

The translation contained in the present volume, prepared on the basis of the translator's reading of Rubin's original text in the fourth edition of 1930, intends to resituate the work in its historical context, reproducing the whole of

what he wrote for this edition as well as providing the reader with the necessary information on every version from the first edition. The main device for this purpose is the translator's notes, serially numbered throughout the book and indicated by square brackets with numbers, while Rubin's own original notes are without brackets. The translator's short notes are inserted directly in the text without numbering, within square brackets.

The present translation is conceived in this way as a kind of 'variorum edition'. In preparing the third edition Rubin made extensive modifications and supplementations to the text of the second edition, particularly to Chapters 12 and 14. In view of the wide-ranging differences in these two chapters between two editions, as well as of the significance of these chapters in the former edition in provoking vehement reactions from Rubin's opponents and sparking the subsequent controversy, we have reproduced the entire text of the two second edition chapters as they were, here placed respectively after the corresponding chapter from the third edition as Supplement 1 and Supplement 2.

The writings included in this volume are all on Marx's economic theory, and naturally contain references to and quotations from Marx's economic works like *Capital* in its various editions, *A Contribution to the Critique of Political Economy*, *Theories of Surplus Value*, etc., either in their original German versions or – in many cases – in their Russian translations (for the most part published toward the turn of the twentieth century, or in some cases translated into Russian by Rubin himself.). However, all of these versions are now outdated and hardly accessible for most present-day readers; as such, we have instead given in every case the same two references in English and German (or French), included respectively in *Karl Marx, Frederick Engels: Collected Works* (MECW) Progress Publishers, Moscow (afterwards Lawrence & Wishart, London), and in *Die Marx-Engels Gesamtausgabe* (MEGA), in 114 Bde., Dietz Verlag, (ex. East-) Berlin (and after 1992 Akademie Verlag, Berlin). As for the writings of Marx and Engels not yet published in *Gesamtausgabe* (mainly their letters after 1865), we had to refer to the corresponding volumes in *Marx-Engels, Werke*, in 41 Bde. Dietz Verlag, (ex. East-) Berlin. On the other hand, there is no need to say that the German version given above is at present the most reliable. In this volume we call the former MECW for short, and equally the latter MEGA (or MEW), and to indicate explicitly the English titles of the frequently quoted writings of Marx and Engels, we use the following abbreviated form:

Critique (for *A Contribution to the Critique of Political Economy* in MECW/29).
Theories, 1, 2, 3, 4 (for *Theories of Surplus Value* in MECW/31, 32, 33, 34).

Capital, I, II, III^{1,2} (for *Capital*, I, 2, 3, published by Progress Publishers, Moscow, 1977). English version (for *Value: Studies by Karl Marx*, translated and edited by Albert Dragstedt, New Park Publications, 1976, containing the English translation of *Capital*, Vol. I, Ch. 1, first edition, 1867).

In this way the references to the above writings take, for example, the following form: [*Capital*, I, p. 336, MEGA, II/6, p. 350], 'II' and '6' in II/6 meaning respectively the part and volume numbers in MEGA.

The repeatedly mentioned and quoted works of other Marxist authors (Hilferding, Bukharin, Luxemburg, etc.) are treated in a similar manner. The references to their original publications as well as to their English versions accessible to today's readers are given as far as we could, equally neglecting the contemporary Russian versions Rubin used in *Essays*.

All the italicised words in the author's text are those emphasised in the original. But as for the italicised words in quotations, a translator's note indicates in each case whether the emphasis comes from the quoted author or Rubin.

Rubin's four journal articles brought together in Part C of the present volume have been selected as the most important among those written by him while rewriting and enlarging the text of *Essays* for subsequent editions in reflecting on the points in contention with opponents. The last two of these four articles, 3. 'Abstract Labour and Value in Marx's System' and 4. 'On the History of the Text of the First Chapter of *Capital* by K. Marx', have already been translated into English: the former in *Capital and Class* (no. 5, Summer 1978), pp. 107–39, by Katheleen Gilbert from the 1975 German translation; the latter in Richard B. Day and Daniel F. Gaido (eds.), *Responses to Marx's Capital – From Rudolf Hilferding to Isaak Illich Rubin* (Brill, 2018), pp. 585–618. Naturally owing somewhat to the existing English versions, our present translation has been carried out on the basis of our own reading of the original Russian text with the same editorial policies outlined above.

The ten documents assembled in Part D, 'Documents Published in the Soviet Union during the Value Controversy in the 1920s', authored by both supporters and opponents of Rubin, are selected for their being publications to which Rubin explicitly reacted (mainly in 'Appendix 2. *Reply to Critics*'), their frequent citation by authors other than Rubin participating in the controversy, and their general importance for the evaluation of the controversy as a whole. Because of the frequent reference to these documents in the present volume, the page numbers of the original publications are provided for '2. Dashkovsky', '3. Shabs's', '4. Cohn' and '8. Landye'. In referring to these original page numbers, the reader can easily cross-refer the contentions made therein along with the criticisms to which they have been subjected. To our knowledge, these doc-

uments are made accessible in English here for the first time. We hope they will contribute, together with the writings of Rubin himself, to a better understanding of the subjects at issue in the controversy, as well as the controversy as a whole.

Last comes Part E, the 'Translator's Introductory Essay'. While being 'introductory', this essay comes at the end of this volume, firstly because of its secondary importance in comparison with the Rubin's writings and the related documents of controversy, and secondly because the Essay contains the translator's personal views on Rubin's work and on the contemporary controversy about it, and is hence to be read and considered with a preliminary knowledge of its objects.

Allow me finally (last but not least!) to express my gratitude to Fred Moseley (emeritus professor of Mount Holyoke College), Sebastian Budgen (editorial board of *Historical Materialism*), Danny Hayward and Owen Dowling. It is Sebastian Budgen who made to me in 2017 a proposal for the publication of Rubin's work. On the basis of this proposal, in 2019 Fred Moseley and I formed a project as explained above. I was able to finish my part of the work at the beginning of 2022 thanks to his encouragement. At the same time Danny Hayward provided advice. I am particularly grateful to Owen Dowling for his enormous work on the language of my English translation, eliminating language errors and infelicities. If the text of this translation is somewhat readable, it is entirely due to his help.

Figures



FIGURE 1
Isaak Ilich Rubin, in Moscow in 1927 (RGASPI, f.374, op.3, d.3)



FIGURE 2
Title page of ‘Critique of political economy’, published in 1929 in Moscow/ Leningrad, translated by Rubin, with the preface of D. Ryazanov



FIGURE 3
Rubin and his wife, Polina Petrovna, in 1910

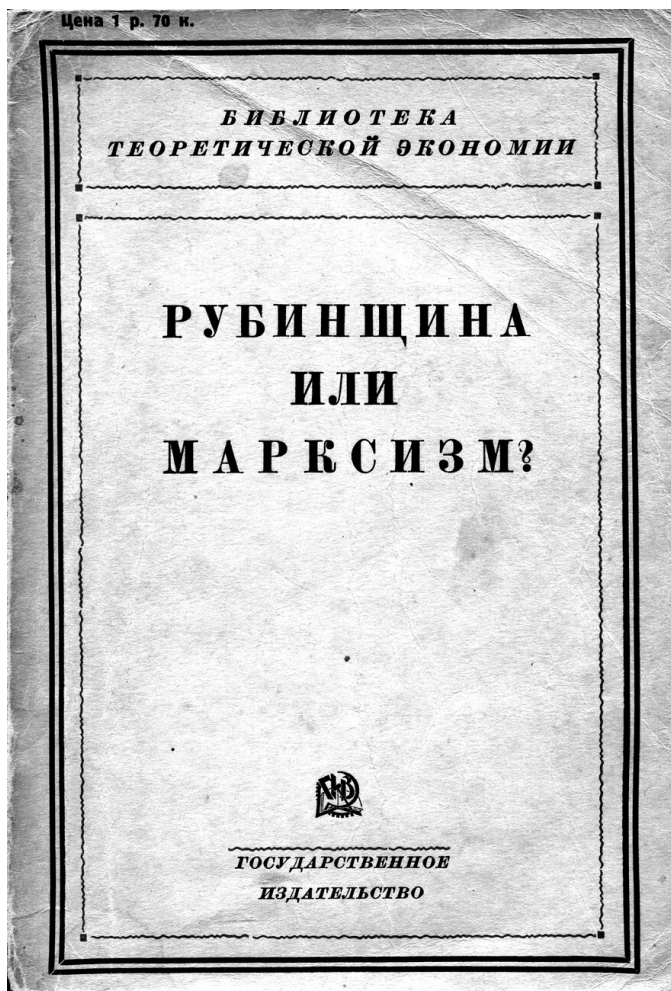


FIGURE 4 Title page of the brochure 'Rubinschina or Marxism?', published in 1930

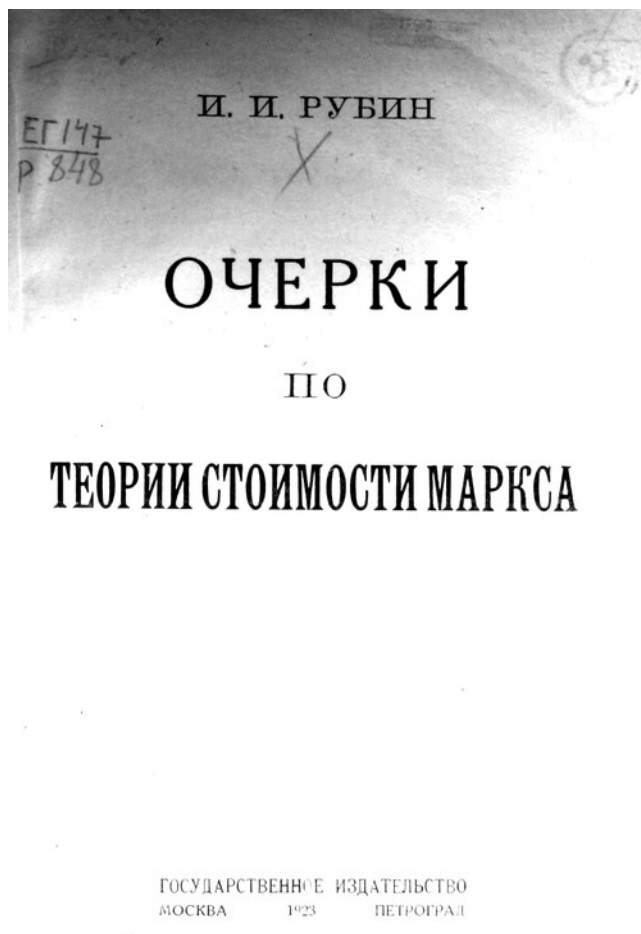


FIGURE 5
Title page of Rubin's
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of value of Marx', first
edition, published in
1923, Moscow/ Petro-
grad

БИБЛИОТЕКА ТЕОРЕТИЧЕСКОЙ ЭКОНОМИИ

И. И. РУБИН

ИСТОРИЯ ЭКОНОМИЧЕСКОЙ МЫСЛИ

ИЗДАНИЕ ЧЕТВЕРТОЕ
СО ВТОРОГО ДОПОЛНЕННОГО

*Научно-политической секцией
Государственного Ученого Совета
допущено в качестве учебного пособия
для вузов*



ГОСУДАРСТВЕННОЕ ИЗДАТЕЛЬСТВО
МОСКВА ☆ 1930 ☆ ЛЕНИНГРАД

FIGURE 6 Title page of Rubin's 'History of economic thought' (4th edition), published in 1930, Moscow/ Leningrad

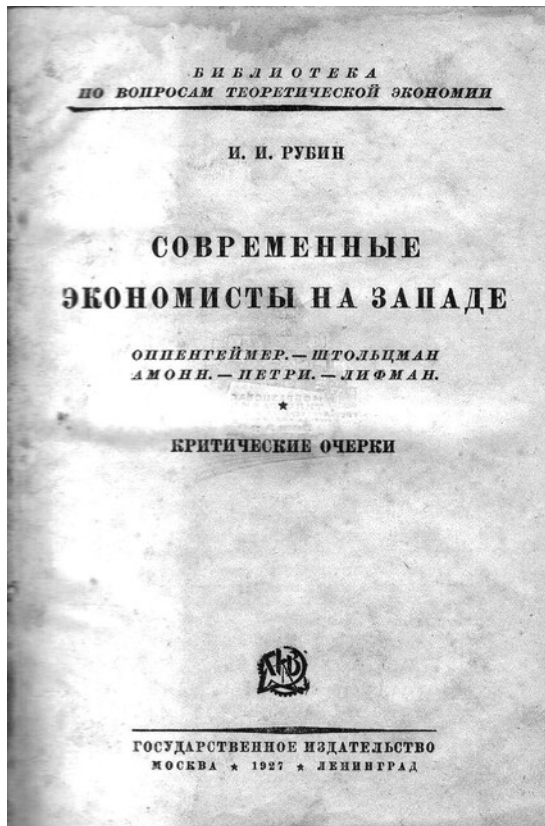


FIGURE 7

Title page of Rubin's 'Economists in contemporary Western countries, Oppenheimer, Stolzmann, Amonn, Petry, Liefmann. A critical study', published in 1927, Moscow/Leningrad

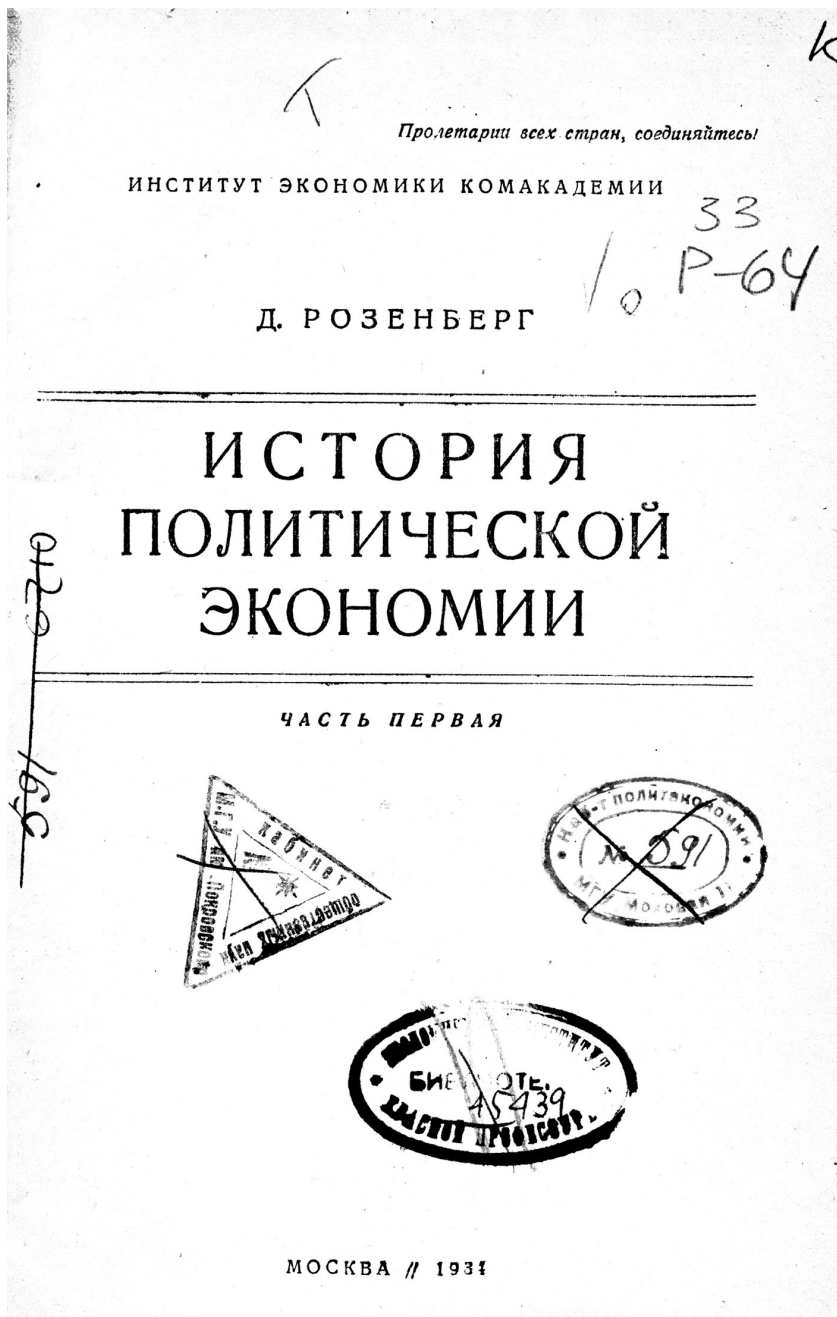


FIGURE 8 Title page of a textbook on the history of economic thought by David I. Rosenberg (1879–1950), first volume, published in 1934, printed in 75,000 copies

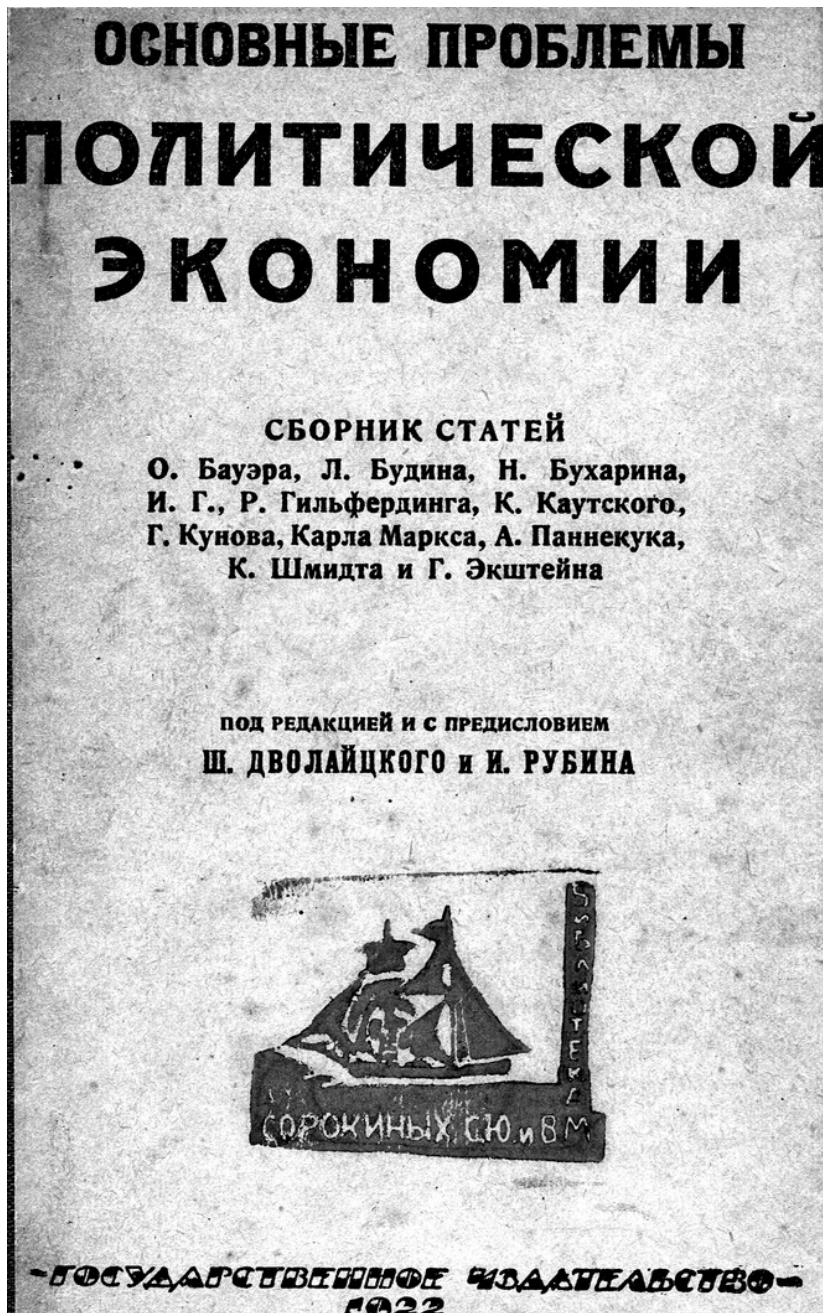


FIGURE 9 Title page of the collection of translated articles 'Fundamental problems of economics', co-edited by Rubin and Sha. Devoraitsky, including works by Otto Bauer, Rudolf Hilferding, Karl Kautsky and Karl Marx, 1922

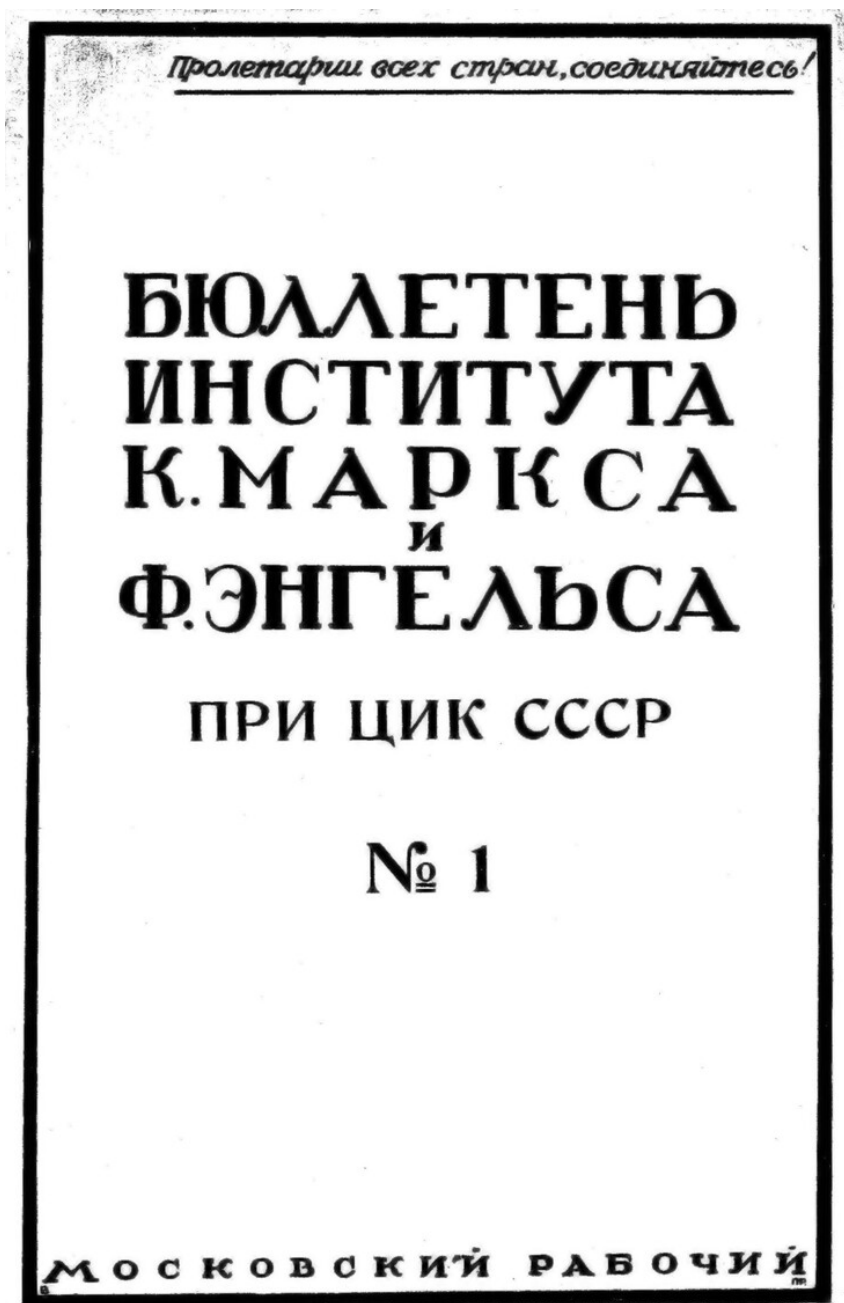


FIGURE 10 First number of the house magazine of Marx Engels Institute, published in 1926 with Ryazanov as editor, publishing research resources and information about each department in the Institute

PART B

‘Essays on Marx’s Theory of Value’



Foreword to the Fourth Edition*

In the present edition, the article 'Reply to Critics' is supplemented with the reply to S. Bessonov. For the rest, the text is left unaltered.

Isaak Rubin

* И.И. Рубин, Очерки по Теории Стоимости Маркса, с новым дополнением к статье «Ответ Критикам,» Издание четвертое, Государственное Издательство, Москва Ленинград 1930.

Foreword to the Third Edition

The present edition is much improved and supplemented in comparison to the second edition. In relation to the lively debate occasioned by some propositions we have advanced, in particular regarding abstract labour, we considered it necessary to supplement the present book with the article 'Reply to Critics'. In the text of the book, the chapter [12] on the content and form of value is fundamentally revised, and significant additions are given to the chapter [14] on abstract labour (in particular about the problems of physiological labour, of abstract labour and exchange, and of the quantitative determination of abstract labour). Corresponding corrections are added to Chapter 11 and Chapter 8, containing a general consideration of Marx's theory of value. At the end of this chapter we have provided a general schema, making clear the inherent connectedness of the subsequent chapters and making it easier for the reader to see the structure of the book. In the part on commodity fetishism, Chapter 3 is supplemented with an analysis of the so-called 'personification of things'. At the end of Chapter 14, we have withdrawn the analysis of the concept of labour power, because this problem, going beyond the scope of the theory of value in its narrow sense, requires a more detailed examination. In the last place, the remarks made on page 208 of the second edition of *Essays* about the possibility of value formation by the labour employed in the sphere of circulation have turned out to be incorrect, hence they have been dropped [cf. translator's note [546] below]. The less important changes made in other chapters mainly concern the correction of formulations, which seemed to us not so clear or exact; in particular, the formulations which may have motivated our critics to ascribe us such thoughts (which we have not in the least embraced) as a prominence of exchange over production, or a transference of abstract labour to the phase of exchange, and so on, have been removed.

In publishing the previous two editions of the present work I have received great assistance from D.B. Ryazanov and S.M. Dvolaitzky, to whom I express my sincere gratitude.

Isaak Rubin

Introduction^[1]

The economic theory of Marx finds itself in a close conceptual relationship with his sociological^[2] theory, i.e., with the theory of historical materialism. Hilferding pointed out years ago that the theory of historical materialism and

[1] In the second edition of 1924, the following 'Foreword to the Second Edition' comes before the 'Introduction', while there is no foreword for the first edition of 1923:

'The present edition, in comparison to the first one, is fundamentally revised, mainly for the purpose of more complete and systematic description of the basic problems of the theory of value.

The part on commodity fetishism is written in greater detail, and supplemented with the two new chapters [3 and 4]: 'The Reification of the Relations of Production of People and Personification of Things' and 'Thing and Social Function (Form)'. In the latter chapter we have paid particular attention to the social form of products of labour, which plays a central role in Marx's theory. There we had to give a brief consideration to the basic concepts of Marx's system, a consideration which, due to its unavoidable conciseness, had to count on readers sufficiently familiar with Marx's economic system in all its aspects.

A detailed investigation of peculiar problems included in Marx's theory of value can never conceal from the reader that common perspective or starting viewpoint, which served for Marx as a guide thread. In order to make it easier for the reader to obtain general familiarity with this complex problem, we considered it necessary to give prior to the part on the theory of value its general outline (we have already made use of this chapter [8] 'Basic Characteristics of Marx's Theory of Value', as well as some sections from the part on commodity fetishism, in our introductory article for the translation of Rosenberg's book *The Theory of Value in Ricardo and Marx* [published in 1924, see Rubin's note 4 in Chapter 5]). Furthermore, this part is supplemented with two new chapters [13 and 15] on labour ('Social Labour' and 'Qualified Labour'), and with a large chapter [17] on 'Value and Social Need'. This last chapter is supplementary to the foregoing one, and examines in detail the problem on various understandings of the socially necessary labour, which have recently provoked lively debate among us.

Lastly, we have introduced a large new chapter [18] on the prices of production, without understanding which the depiction of the theory of value inevitably remains incomplete and one-sided. Needless to say, before reading this chapter the reader should beforehand be familiar with Marx's theory of surplus value.

In total the present edition, in comparison with the first one, contains the following new chapters: 3, 4, 8, 13, 15, 17, 18 [chapter numbers are the same as in the third and fourth editions], and an Appendix [1.] 'On the Terminology of Marx'.

I regard it as my duty to express a sincere gratitude to D.B. Ryazanov and S.M. Dvolait-sky for the assistance they have given me for the present book to see the light of day.

The author'

[2] In this book, Rubin repeatedly uses the term 'sociology' or 'sociological'. To describe Marx's view on history and society in general as 'sociological' may seem somewhat strange today, but in the Russian literature before the Stalin era this was not so unusual. Nikolai Bukharin's work *Historical Materialism*, whose second edition was published in the same year as the first edition of Rubin's *Essays* and which was widely read in Soviet Union during

the theory of labour value have a common starting point, namely the conception of labour as the basic element of human society, an element whose development ultimately determines the entire development of society.¹

[3] The labour activity of people is in a process of constant change, sometimes faster, sometimes slower, with a different character in different historical peri-

the 1920s, was subtitled 'A General Textbook of Marxist Sociology' (the English translation was published as early as in 1925 under the title: *Historical Materialism: A System of Sociology*, from International Publishers, New York). The Japanese translators of this work describe in their 'Introduction' the changes in connotation 'sociology' underwent during the time from pre-revolutionary Russia to the Stalin era, as follows: 'The academic field or the field of thought which had appeared in the late 19th century Russia under the name of 'sociology' dealt with the structure of a society as a whole and its change. ... At the end of the century, challenges to these various Russian sociological theories, in particular to those affiliated with Narodnik currents, appeared from Marxist social theories, which equally aimed to surmount tsarist despotism. ... In this way, while Lenin, in opposition to the Narodnik, advanced a Marxist social theory characterised as 'scientific sociology', Bukharin refined his own Marxism in confrontation with the social-democratic theories in Austria and Germany and the social theories of cathedral socialists he encountered during exile. ... What the young Lenin called 'scientific sociology', and Bukharin 'Marxist sociology', in this book meant a global social theory comprising society as a whole and forecasting its evolution and direction of change. ... However, towards the time when Bukharin published this book, the image evoked by 'sociology' appears to have become different for Lenin from what he had conceived previously. ... For Lenin in the years after the Russian Revolution, 'sociology' seems to have been acquired an image of scholastic theory separated from the cognitive activities connected with concrete praxis. Lenin said occasionally that 'Bukharin does not understand dialectics.' Thus the sociology of Bukharin was subsequently to be repudiated among the philosophers under the Stalin regime who, in taking advantage of Lenin's words, denied its significance' (Katsutaka Sano and Akihiro Ishikawa, 'Introduction' Aoki Publishers, 1974, pp. 425–26). 'Sociology was to become commonly viewed as an ahistorical, abstract, schematic and undialectical general theory of society by the philosophers in the Stalin era' (p. 427). The recurrence of the term 'sociology' in Rubin's book was utilised as one of the materials for attacking him within that historical context.

[3] The following two paragraphs were newly written and inserted in the third edition (and fourth edition), replacing the later part of the first paragraph in the second edition. We reproduce here the eliminated and replaced lines from the second edition: 'We can study the labour activity of people collectively forming a society from the two different aspects: either as a totality of the means of production and of technical procedures, with the help of which man overcomes nature and produces products necessary for him, or as a totality of social relations connecting people in the process of production. Hence we have the distinction between the technical and the economic, between the material-technical process of production and its social form, between productive forces and social-productional relations of people.'

1 Hilferding, *Böhm-Bawerk as Critic of Marx*, 1923, p. 16 [*Böhm-Bawerk's Criticism of Marx*, edited with an introduction by Paul M. Sweezy, New York: A.M. Kelley, 1949, p. 133. 'Böhm-Bawerks Marx-Kritik,' *Marx-Studien*, vol. 1, Vienna, 1904, p. 11].

ods. The process of change and development of the labour activity of people includes within it two kinds of changes: first, changes in the means of production and technical procedures, with the help of which man works upon nature – in other words, there are changes in the state of the *productive forces* of society; secondly, in accordance with this change in the productive forces also changes the whole of the *relations of production* among people, the participants in the social process of production. Different *economic formations* or *types of economy* (for example, the ancient slave economy, feudalism, the capitalist economy) are distinguished by the different character of the social relations of production. The discipline of political economy studies a determinate such economic formation of society, namely the *commodity-capitalist economy*.

The capitalist economy represents a *unity* of the material-technical process and its social form, i.e., the totality of the relations of production of people. The determinate activities of people in the material-technical process of production presuppose determinate relations of production among them, and vice versa. The *ultimate goal* of science consists in understanding the capitalist economy as a unity or a specific system of productive forces and relations of production of people. But to approach this ultimate goal, science must separate in advance, with the aid of abstraction, *two different aspects* in the unique capitalist economy: the technical aspect and the social-economic aspect, the material-technical process of production and its social form, the material productive forces and the social relations of production of people. Each of these two aspects in the unique economic process becomes the object of a separate science. The science of social *technique*, which is still in embryonic state, must make the object of its investigation the productive forces of society in their interaction with the relations of production of people. On the other hand, *theoretical political economy* has as the object of its investigation the relations of production of people specific to the capitalist economy in their interaction with the productive forces of society. Each of these two sciences, since having as their object of investigation one aspect of a unique process of production, presupposes the presence of the other aspect as the prerequisite of its research. In other words, although political economy studies the relations of production of people, it always presupposes an inseparable connection with the material-technical process of production and has as the prerequisite of its research a determinate state and process of development of material productive forces.^[4]

[4] The view expressed by Rubin in this paragraph on the object of political economy became one of the important points at issue in the debate in 1929 beginning from the criticism of S. Bessonov. Rubin's view on this issue is further developed in the first two sections in the fourth article 'Reply to S. Bessonov' included in Appendix 2 'Reply to Critics' (See pp. 434–63 in the present translation).

Both Marx's theory of historical materialism and his economic theory turn around one and the same basic problem: the relation between productive forces and relations of production of people. Their respective objects of investigation are one and the same: *the changes in relations of production of people depending on the development of productive forces*. The adaptation of the relations of production of people to the development of the productive forces, a process occurring in the form of gradually growing contradictions between them and of social cataclysms caused by these contradictions, comprises the basic theme of the theory of historical materialism.² Applying the same general methodological procedure to commodity-capitalist society, we obtain Marx's economic theory. It studies the *relations of production of people in capitalist society*, the process of their change according to the change^[5] of the productive forces and of the growth of contradictions between them, expressed in crises.

Political economy does not study the material-technical aspect of the capitalist process of production, but its social form, i.e., the totality of relations of production of people, comprising the 'economic structure' of capitalism.^[6] Production technique or productive forces enter the field of research of Marx only^[7] as a presupposition, as a starting point, taken into consideration only insofar as it is indispensable for the elucidation of the real object of our investigation, namely of the relations of production of people. The distinction Marx consistently carries out between the material-technical process of production^[8] and its social form provides the key for understanding the whole of his economic system. This distinction immediately determines the method of political economy as a *social and historical* science. In the motley and diversified chaos of economic life which represents a fusion of social relations and technical procedures, this distinction immediately directs our attention specifically to the 'social relations' of people in the process of production, to their

[5] 'change according to the change' is 'adaptation to a given level of development' in the first and second editions.

[6] 'the material-technical aspect of the capitalist process of production, but its social form, i.e., the totality of relations of production of people, comprising the 'economic structure' of capitalism.' reads in the first and second editions: 'the process of labour as such from its material-technical aspect, but the *social form of organisation of labour* in capitalist society.'

[7] In the second edition, a phrase 'and also of his theory of historical materialism,' comes between 'Marx' and 'only', but is deleted in the third edition.

[8] 'material-technical process of production' is 'process of production, as such,' in the first and second editions.

2 Here we leave aside the part in the theory of historical materialism which deals with the laws of development of ideology.

relations of production, for which the production technique serves as precondition or basis. Political economy is a science not of the relations of *things to things*, as vulgar economists thought, not of the relations of *people to things*, as the theory of marginal utility asserted, but of the relations of *people to people* in the process of production.

Political economy, studying the relations of production of people in commodity-capitalist society, presupposes in advance a determinate social form of economy, a determinate economic formation^[9] of society. We will not be able to correctly understand any proposition in Marx's *Capital* if we overlook the fact that the question is about the phenomena taking place in a determinate society.

Just as generally in the case of any historical, social science, so also in examining the development of economic categories it is always necessary to remember that the subject, in this context the modern bourgeois society, is given, both in reality and in the mind, and therefore the categories express forms of being, determinations of existence – and sometimes only individual aspects–of this particular society, of this subject. ... The subject, society, must always be envisaged as the premiss of conception even when the theoretical method is employed.³

Starting from a determinate sociological presupposition, namely from a determinate social structure of economy, political economy must first of all detail the characteristic of this social form of economy and of the relations of production of people specific to it. Marx gives us such a general characteristic in his 'theory of commodity fetishism', which should more rightly be called a general theory of relations of production in the commodity-capitalist economy.

[9] 'economic formation' is 'type' in the first and second editions.

3 Marx, 'Introduction to the Critique of Political Economy', in the collection *Fundamental Problems of Political Economy*, edited by Sh. Dvolaitzky and I. Rubin, 1922, pp. 31, 26 [MECW/28, pp. 43, 38–9. MEGA, II/1.1, pp. 41, 37. Russian translation by Paschukanis, cf. FIGURE 9 on p. 13 above].

SUBPART I

Marx's Theory of Commodity Fetishism



Introduction to Subpart I: Marx's Theory of Commodity Fetishism

Marx's theory of commodity fetishism has not so far occupied the place which should belong to it in accounts of the economic system of Marxism. Certainly, both Marxists and adversaries of Marxism lavish praise upon it, recognising it as one of the most daring and ingenious of Marx's propositions. Many opponents of Marx's theory of value, including Tugan-Baranovsky, Frank, and even Struve (though with reservations), highly estimate the theory of fetishism.¹ Some writers, while not agreeing with the theory of fetishism from the standpoint of political economy, find in it a brilliant generalisation of sociological nature, a theory and praxis^[10] of every contemporary culture based on the reification of human relations (Hammacher). However, both adherents and adversaries of Marxism for the most part consider the theory of fetishism to be an independent and isolated entity, hardly related internally to Marx's economic theory. It is described rather as a supplement to the theory of value, an interesting literary-cultural digression, laterally added to Marx's basic text. Marx himself provided a motivation for such an understanding in his external structuring of the first chapter of *Capital*, where he drove the theory of fetishism to the last section.² This external structuring does not, however, correspond to the internal order and connection of Marx's idea. Indeed, the theory of fetishism constitutes the basis of Marx's entire economic system, and in particular of his theory of value.

Marx's theory of fetishism, according to the generally accepted view, consists in his perception of relations of people under the relations of things, in his divulgence of the illusion in consciousness created by the commodity eco-

[10] 'praxis' is 'critique' in the first and second editions.

- 1 Rykachev is an exception. He writes: 'Marx's theory on the commodity fetishism reduces itself to a number of superficial, empty and essentially fallacious analogies. This notorious disclosure of the secret of commodity fetishism is related not to the strongest but rather to the weakest points in Marx's system. Due to some misunderstandings, it has maintained its aura of a profound theory even in the eyes of such moderate admirers of Marx as Mr. Tugan-Baranovsky and S. Frank' (Rykachev, *Money and Monetary Power*, 1910, p. 156).
- 2 In the first edition of *Capital*, the entire chapter including the theory of commodity fetishism was made up of a sole section, under the common title 'The Commodity' [*Capital*, I, first German edition, 1867, pp. 1–44, English version, pp. 7–40, MEGA, II/5, pp. 17–51].

mony, which ascribes to things properties which in fact flow from the social relations of people in the process of production.

Unable to grasp that within exchange is expressed the human collaboration in labour in their struggle with nature, i.e., that the social relations of people are expressed there, commodity fetishism considers the exchangeability of commodities as the internal, natural property of commodities themselves. In this way, what are in reality relations of people appear to them as relations of things.³

Characteristics which had appeared mysterious because they were not explained on the basis of the relations of producers with each other were assigned to the natural essence of commodities. Just as the fetishist assigns to his fetish characteristics which do not grow out of its nature, so the bourgeois economist grasps the commodity as a sensual thing which possesses hyper-sensual properties.⁴

The theory of fetishism discloses the illusion of the human mind, a grandiose delusion, arising from taking the external appearance of the commodity economy, the movement of things, of commodities, and of their prices on the market, as the essence of economic phenomena. However, this formulation, commonly accepted in Marxist literature, hardly encapsulates the rich content of the theory of fetishism developed by Marx, is far from being exhausted. Marx showed not only that under the relations of things are concealed relations of production of people, but also that in the commodity economy, conversely, social relations of production of people inevitably take on the form of things – and cannot but manifest themselves through things. Indeed, because of the structure of the commodity economy, things play a special, extremely important social role and acquire special^[11] social properties. Marx thus discloses the objective economic foundations of commodity fetishism. From the illusion and delusion of human mind, the reified economic categories are transformed into 'objective forms of thought' for the relations of production of a given, his-

[11] 'special' is added in the third edition.

3 Bogdanov, *A Short Course of Economic Science*, 1920, p. 105.

4 Kautsky, *The Economic Theory of Marx*, Russian edition, 1918, p. 9 [Kautsky, *The Economic Theories of Karl Marx*, Hyperion Pr., 1983, p. 11; *Karl Marx' ökonomische Lehre*, Dietz, Stuttgart, 1919, p. 14].

torically determinate mode of production, specifically commodity production [*Capital*, I, p. 80. MEGA, II/6, p. 106].

The theory of commodity fetishism is thereby transformed into a general theory of relations of production of the commodity economy, into the propaedeutic of political economy.

The Objective Basis of Commodity Fetishism

The distinctive feature of the commodity economy consists in that the managers and organisers of production are the producers independent from each other (whether small proprietors or huge entrepreneurs). Every individual private firm is autonomous, i.e., its owner^[12] is self-sustaining, and concerned solely with its own^[13] interests. He decides what products to produce, and in what quantity. Based upon the right of private property, he possesses the necessary tools of production and raw materials, and as a fully competent owner has at his disposal the products of his own firm. Production is managed directly^[14] by individual commodity producers, and not by society. Society does not directly regulate the labour activity of its members, not prescribe them what product to produce, in what quantity.

However, every commodity producer makes commodities, i.e., products, not for their own desire but for the market, for society. The social division of labour unites all the commodity producers into a single system, called a national economy, into a kind of 'productional organism', parts of which are connected and subject to each other. What creates this connection? It is exchange, the market, in which the commodities of every individual commodity producer appear in an impersonal form, as individual samples of a given kind of commodities, regardless of by whom, where, and in what special conditions they were produced. Commodities, products of the labour of individual commodity producers, circulate and are evaluated on the market. The equalisation and exchange of commodities realise^[15] the real connection and interaction among individual, seemingly independent, and autonomous firms. Society regulates the products of labour – the commodities, the things – on the market, and in this way indirectly regulates the labour activity of people; the movement of commodities' prices on the market, rising and falling, have as their consequence changes in the direction of individual commodity producers' labour activity, their entry or exit from certain branches of production, which means a redistribution of society's productive forces.

[12] 'owner' is 'manager' in the first edition.

[13] 'own' is 'proper' in the first edition.

[14] 'directly' is added in the third edition.

[15] 'equalisation and exchange of commodities realise' is 'evaluation and movement of commodities on the market create' in the first and second editions.

On the market, commodity producers appear not as persons occupying a determinate place in the production process, but as owners and proprietors of things, of commodities.^[16] Every commodity producer exercises influence on the market only to the extent to which he comes bringing or receiving^[17] commodities, and only to this extent does he experience the influence and pressure of the market. The (reciprocal) impact and influence of the labour activity of individual commodity producers takes place exclusively through things, products of their labour, as they appear on the market. An extension of cultivated farmland in distant Argentina or Canada can occasion a corresponding contraction in agricultural production in Europe only in one way: a decrease on the market of the prices of agricultural products. In the same way, an extension of the large-scale machine production ruins the craftsman, makes it impossible for him to continue production as before, and chases him out of the country to the city, to the factory.

^[18]Because of the atomistic structure of commodity society, and the absence of directly^[19] social regulation of the labour activity of the members of society, the connection among individual autonomous private firms is realised^[20] and sustained via the market, through commodities, things, products of labour. 'The labour of the individual asserts itself as a part of the labour of society, only by means of the relations which the act of exchange establishes directly between the products, and indirectly, through them, between the producers' [*Capital*, I, p. 78. MEGA, II/6, p. 104].

Due to the fact that individual commodity producers, while carrying out a part of the total social labour, do so self-sustainingly and independently from each other, ^[21] 'the interconnection of social labour expresses itself in

[16] Just after this sentence and before the sentence beginning with 'Every commodity', in the first and second editions there is a following sentence: 'Two commodity producers are chained together and connected on the market, only in so far as between them takes place an act of purchase and sale, act of transfer of commodity from the one economic unit to the other.' This sentence is deleted in the third edition.

[17] 'or receiving' is added in the second edition.

[18] 'Because' is 'Thus, because' in the first edition.

[19] 'directly' is 'direct' in the first and second editions.

[20] 'realised' is 'created' in the first and second editions.

[21] Roughly two pages following this place underwent considerable modifications from the second to the third edition, in relation with corresponding advancement and deepening of Rubin's investigation of Marx's economic theory, reflecting the debate around his reading of it in the former Soviet Union. In the first and second editions, instead of the quotation from Marx's letter to Kugelmann, a main clause followed this subordinate clause: 'the production connections are established among them only in so far as is established a connection among products of their labour on the market' (p. 6 in the first edition, p. 12 in the

the *private exchange* of the individual products of labour' [Marx's letter to Kugelmann of 11 July 1868, MECW/43, p. 68, MEW/32, p. 553. Emphasis in original]. This does not mean that commodity producer A is connected by the relations of production only to certain commodity producers B, C, D, who entered with him into a contract of purchase and sale, and not connected to any other members of society. Entering *direct* relations of production with his buyers B, C, and D, our commodity producer A is actually connected by a dense network of *indirect* relations of production with innumerable other persons (for example, all other persons buying the same product; all other persons producing the same product; all other persons from whom the producers of the same product by means of production, etc.), and in the last analysis with all members of society. This dense network of relations of production is not interrupted at the moment when the commodity producer A accomplishes the act of exchange with his buyers and returns to his workshop, to the process of direct production. Our commodity producer produces products for sale, for the market, and thus already in the process of direct production he must take into account the assumed conditions of the market, i.e., he is forced to pay attention to the labour activity of the other members of society, insofar as it influences the movement of commodity prices on the market.

In this way, in the structure of the market economy we find the following fundamental features: 1) individual cells of a national economy, i.e., individual private enterprises, *formally independent* from each other; 2) these are *materially connected* to each other as a result of the social division of labour; 3) the direct connection among individual commodity producers is established in *exchange*, but indirectly influences also their *production* activity. In his enterprise, every commodity producer is formally free to produce at will

second edition), concluding the paragraph. In the first edition, this paragraph was directly followed by a paragraph beginning with 'the labour activity of one member of society' coming in the second line of the second following paragraph in the present edition. But in the second edition Rubin inserted, after this originally short paragraph ending with the above one sentence, replaced with the quotation from Marx's letter to Kugelmann, a new paragraph beginning with 'In this way, in the structure of the market economy ...', and extended this paragraph to the part ending with 'comprise the object of our investigation' (in the fifth line from the end of this paragraph). Also, the first line of the following paragraph ending with 'the process of reproduction means that' was a new addition in the second edition. The last three lines in the paragraph beginning with 'Exchange interests us' are new addition in the third edition. Moreover, in the third edition Rubin added about 20 lines to the short paragraph in the first two editions beginning with 'Due to the fact that', at the same time replacing the main clause of the first sentence with the quotation from Marx's letter to Kugelmann.

any product as he wishes and with the aid of any means of production that he likes. But when he brings the finished product of his labour to the market, for exchange, he is not free to determine the proportions of exchange, but is obliged to submit to the conditions (conjunctures) of the market, common to all the producers of the given product. Therefore, already in the process of direct production, he is obliged to adapt in advance his own labour activity to the assumed conditions of the market. The dependence of the producer on the market means that his production activity depends upon the production activity of all other members of society. If clothiers launched too much cloth onto the market, the clothier Ivanov, who has not increased his production, would in spite of this also suffer from a fall in the price of cloth, and be forced to decrease production. If other clothiers introduced improved means of production (machines, for example), lowering the value of cloth, then our clothier would also be obliged to improve his production techniques. With regard to the orientation of his own production, to its extent, and to its methods, this individual commodity producer, though formally independent from the others, is in fact closely connected to them through market, through exchange. The exchange of things impacts on the labour activity of people; production and exchange represent inseparably linked, though distinguished, aspects of reproduction. 'The capitalist process of production taken as a whole represents a synthesis of the processes of production and circulation' [*Capital*, 111¹, p. 25. MEGA, 11/15, p. 29]. Exchange becomes part of the very process of reproduction or of labour activity of people, and solely down to this aspect, exchange, and the proportions of exchange – the value of commodities – comprise the object of our investigation. Exchange interests us not primarily as an individual *phase* of the process of reproduction, alternating with the phase of direct production, but as a *social form* of the process of reproduction, impressing a determinate stamp also on the phase of direct production (see below, Chapter 14).

This role of exchange as indispensable aspect of the process of reproduction means that the labour activity of one member of society can influence the labour activity of another only through things. In market society, 'the seeming mutual independence of the individuals is supplemented by a system of general and mutual dependence through or by means of the products' [*Capital*, 1, p. 110. MEGA, 11/6, p. 133]. Social relations of production of people inevitably take on a reified form and, in so far as the question is about the relations among individual commodity producers and not about the relations within an individual private firm, only in such a form can they exist and be realised.

Within market society, a thing is not only 'a social hieroglyphic' [*Capital*, 1, p. 79. MEGA, 11/6, p. 105], not only a 'rind', under which is hidden the social rela-

tion of production of people.^[22] A thing is an intermediary of social relations, and the movement of things is inseparably connected to the establishment and realisation of the relations of production of people.^[23] The movement of the prices of things on the market is not merely a reflection of the relations of production of people,^[24] but the sole possible form of their manifestation in market society. The thing acquires in market society specific social properties (for example, value, money, capital, and so on), due to which it^[25] does not only conceal the relations of production of people, but also organises them, serving as an intermediary link between people. More accurately, it conceals the relations of production of people precisely because these relations are realised^[26] only in the form of things.

When we bring the products of our labour into relation with each other as values, it is not because we see in these articles the material receptacles of homogeneous human labour. Quite the contrary: whenever, by an exchange, we equate as values our different products, by that very act, we also equate, as human labour, the different kinds of labour expended upon them. We are not aware of this, nevertheless we do it.¹

Exchange and the equalisation of things on the market realise the social connection of commodity producers and the unity of labour activity of society.

It is necessary to recall that by 'things' we mean here only the products of labour, as Marx did. This qualification of the concept 'thing' is not only admissible but indispensable, because we study the movement of things on the market in its relation with the process of the labour activity of people. We are interested in those things whose regulation on the market indirectly regulates, in a particular way, the labour activity of people.^{[27],[28]} We are interested in those things whose regulation on the market indirectly regulates in a particular way the labour activity of commodity producers. And the products of labour are such things (on the price of land, see below, Chapter 5 [Relations of Production and Material Categories]).

[22] 'of people' is added in the third edition.

[23] 'of people' is added in the second edition.

[24] 'of people' is added in the third edition.

[25] The phrase running from 'acquires' to 'it' is added in the third edition.

[26] 'realised' is 'created' in the first and second editions.

[27] 'people' is 'commodity producers' in the first and second editions.

[28] This penultimate sentence of the paragraph is added in the third edition.

1 [*Capital*, I, pp. 78–9. MEGA, II/6, pp. 104–5].

The movement of things, insofar as they acquire specific social properties as value, money etc., ^[29] does not only express the relations of production of people, but also creates them.² 'By the currency of the circulating medium, the connection between buyers and sellers is not merely expressed. This connection is originated by, and exists in, the circulation alone' [*Capital*, I, p. 137. MEGA, II/6, p. 158]. As a matter of fact, the role of money as means of circulation is contrasted by Marx with its function as means of payment, which 'expresses a social relation that was in existence long before' (ibid.). However, it is obvious that, though the payment of money takes place in this case^[30] after the act of purchase and sale, i.e., after the establishment of 'social connection' between the seller and the buyer, the equalisation of commodity and money occurred precisely at the moment of this act and created the 'social connection' in question. '[Money] serves as an ideal means of purchase. Although existing only in the promise of the buyer to pay, it causes the commodity to change hands' [*Capital*, I, p. 136. MEGA, II/6, p. 157].

Money is, consequently, not only a 'symbol' or 'sign' of the social relations of production concealed behind it. Having uncovered the naiveté of the monetary system, which ascribed the particularities of money to its natural properties as a thing, Marx refutes at the same time also the opposite view of money as a 'symbol' of social relations, existing independently [*Capital*, I, pp. 93–4. MEGA, II/6, pp. 118–19].^[31] Marx considers as equally wrong both the view

[29] This line as well as the note 2 at the end of the sentence were added in the third edition.

[30] 'in this case' is added in the second edition.

[31] In the first and second editions, the paragraph ended here and the following part made a new paragraph. But in the third edition these two short paragraphs were integrated. Only in the first edition, at the end of the former paragraph Rubin quoted the following text of *Capital*, of which only the page numbers are indicated in parentheses in the subsequent editions: 'The fact that money can, in certain functions, be replaced by mere symbols of itself, gave rise to that other mistaken notion, that it is itself a mere symbol. Nevertheless, under this error lurked a presentiment that the money-form of an object is not an inseparable part of that object, but is simply the form under which certain social relations manifest themselves. In this sense every commodity is a symbol, since, in so far as it is value, it is only the material envelope of the human labour spent upon it. But if it be declared that the social characters assumed by objects, or the material forms assumed by the social qualities of labour under the regime of a definite mode of production, are mere symbols, it is in the same breath also declared that these characteristics are arbitrary fictions sanctioned by the so-called universal consent of mankind. This suited the mode of explanation in favour during the 18th century. Unable to account for the origin

2 How these social properties of things, while being expression of relations of production of people, at the same time bring about the establishment of relations of production among particular persons, will be explained in Chapter 3.

which ascribes social properties to a thing as such and the view which finds in the things only a 'symbol' or 'sign' of social relations of production. A thing acquires the property of value, money, capital and so on, not because of its natural qualities but due to those social relations of production, with which it is connected in the commodity economy. But in such an economy the social relations of production are not only 'symbolised' by things, but are also realised through them.

As we have seen, money is not only a 'symbol'. But in some cases, namely in the commodity metamorphosis C–M–C, money represents only a 'transient and objective reflux of the prices of commodities' [*Capital*, I, p. 129. MEGA, II/6, p. 151]. The transfer of money from hand to hand is only a means for the transfer of commodities. In this case, 'its functional existence absorbs, so to say, its material existence' (ibid.), and it can be replaced by mere sign, paper money.^[32] But, even though 'apparently' separated from metallic substance, paper money still represents a 'reification' of the relations of production among people.³

of the puzzling forms assumed by social relations between man and man, people sought to denude them of their strange appearance by ascribing to them a conventional origin' [*Capital*, I, pp. 93–4. MEGA, II/6, pp. 119–20].

- [32] In the first edition there was one more sentence before the end of this paragraph: 'Marx emphasises, that only within the frontier of a given country money 'can obtain in the form of paper money its purely functional form of existence separated from its material substance' (*Capital*, I, p. 101 [locus citatus unidentifiable]).' This last sentence was eliminated in the second edition. In the first and second editions, the sentence beginning with 'But, even though' with note 3 at the end formed an independent paragraph. But in the third edition, this was integrated into the former paragraph.

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- 3 We cannot agree with the opinion of Hilferding that paper money abolishes the 'reification' of the relations of production. 'Within the limits set by the minimum required for circulation, a consciously regulated social relationship can take the place of a relationship which is expressed through an object. All this is possible because metallic money, although concealed in a material garb, is itself a social relation' (*Finance Capital*, translated by I. Stepanov, 1918, p. 36 [*Das Finanzkapital: eine Studie über die jüngste Entwicklung des Kapitalismus*, Berlin, 1909, p. 19. *Finance Capital: a Study of the Latest Phase of Capitalist Development*, Routledge, London, 2006, p. 38]). The commodity exchange by means of paper money takes place in such an unregulated, spontaneous, and 'reified' form, just as it occurs by means of metallic money. Paper money is not a 'thing' from the viewpoint of the intrinsic value of the material from which it is made. But it is a 'thing' in the sense that through it is expressed in a 'reified' form the social relation of production between the buyer and the seller.

But if Hilferding is wrong, still more ill-founded is the opposite opinion of A. Bogdanov, who finds in paper money a higher degree of fetishisation of social relations than in metallic money (*Course in Political Economy*, vol. 11, part 4, p. 16).

In the commodity economy, things, products of labour, have a double existence: material (natural-technical) and functional (social). How can we explain the close connection between these two sides, a connection expressed in the fact that 'social determinations of labour' take on 'material traits', and things take on 'social traits'?^[33]

[33] This short last paragraph of Chapter 1 was newly added in the second edition.

The Process of Production and Its Social Form

The close connection between the social-economic and the material-physical aspects is explained by the specific connection which exists in the commodity economy between the material-technical^[34] process of production and its social form. The capitalist process of production

is as much a production process of material conditions of human life as a process taking place under specific historical and economic relations of production, producing and reproducing these relations of production themselves, and thereby also the bearers of this process, their material conditions of existence and their mutual relations, i.e., their particular socio-economic form.¹

Between the process of *production of material goods* and the *social form*^[35] in which it is carried out, i.e., the totality of relations of production of people, ^[36] there exists a close connection and correspondence. A given totality of relations of production of people^[37] adapts itself to a given state of the productive forces, i.e., of the material process of production; this totality makes possible, within certain limits, the process of production of material products^[38] necessary for society. The correspondence between the material process of production, on the one hand, and the relations of production of the persons taking part in this process, on the other, is achieved in different ways in different social formations. In a society with a regulated economy, for example in a socialist economy, the relations of production among individual members of society are established consciously, with the aim of guaranteeing an optimal course of production. The place of every member of society within the production process, and relation to other participants within it, is defined. The coordination and subordination of labour activities of individual persons take place,

[34] 'material-technical' is added in the third edition.

[35] These two emphases are absent in the first edition.

[36] 'of people' is added in the third edition.

[37] 'of people' is added in the third edition.

[38] 'products' is 'goods' in the first and second editions.

1 [*Capital*, III, p. 818. MEGA, II/15, p. 793].

starting from the needs of the material-technical process of production, calculated in advance. A given system of relations of production represents, in a certain sense, a closed entity directed by a single will, and as such it is adapted to the material process of production. Of course, changes in this process may also make necessary modifications in the system of relations of production; but these modifications take place within the system, with its own forces, with measures taken by its directive organs, which, in their turn, are impacted by modifications in the technical process of production. The unity of the starting point guarantees an accordance between the material-technical process of production^[39] and the relations of production which shape it. Beginning in this way, each of these aspects is developed on the basis of a predetermined plan; each of them has its own internal logic, but due to the unity of the starting point does not fall into contradiction with the other.

[40]We have an example of such organised relations production of also in a commodity-capitalist society, namely in the organisation of labour *within* an enterprise (technical division of labour), as distinct from the division of labour *among* individual private enterprises (social division of labour). Let us suppose that an entrepreneur possesses a large textile factory, comprised of spinning, weaving, and dyeing sections. Engineers, workers, and employees are distributed among these sections according to a certain plan. They are connected beforehand by determinate, permanent relations of production, in accordance with the needs of technical process of production. Precisely because of this, things move forward in the process of production from some persons to others in accordance with the position of these persons in production, with the relations of production among them. Having received the yarn and processed it into cloth, the manager of the weaving section does not send this cloth back to the manager of spinning section, as the equivalent of the yarn furnished him before. Rather, he sends it on to the dyeing section, since the permanent relations of production, unifying the workers of a given weaving section with the workers of a given dyeing section, predetermine the forward movement of things, of products of labour, from the persons employed in the foregoing phase of production (weaving) to those employed in the subsequent phase (dyeing). The relations of production among people are organised in advance *for the purpose of* the material production of things, but not *by means of* things. On the other hand, things move forward in the process of production from people to people on the *basis* of the relations of production existing among them, but

[39] 'an accordance between the material-technical process of production' is 'a correspondence of process of production as such' in the first and second editions.

[40] The following two paragraphs are inserted in the second edition.

the things *do not create* by their transfer those relations of production among them. Relations of production among *people* are of exclusively *social* character, and the transfer of *things* has an exclusively *technical* character. Both of these sides are beforehand consciously adjusted to one other, but each has a different character.

The situation changes entirely when the spinning, weaving, and dyeing operations belong to three different entrepreneurs: A, B, and C. Now, A does no more than hand over the yarn prepared by him to B only in order that B may process the yarn into cloth, i.e., that he can give yarn the form useful for society. He doesn't care about what B will do with his yarn; now he no longer wants to simply deliver his yarn, but to sell it, i.e., hand it over to such a person as gives him in exchange a corresponding amount of money or in general an object of equal value, an equivalent. He is indifferent to who this individual is. Not connected by the permanent relations of production to any *particular* persons, [41] A enters a relation of production of purchase and sale with anyone who has and agrees to give him against the yarn a certain object, an equivalent amount of money. This relation of production is limited to a transfer of a thing, namely yarn, from A to a purchaser, and of money from the purchaser to A. [42] Although our commodity producer A can never cut himself off from the dense network of *indirect* relations of production connecting him to all the members of society, he is not connected priorly by *direct* relations of production to *particular* persons. These [43] relations of production do not exist in advance, but are established through the transfer of things from one person to another; such relations have therefore not only a *social* but also a *reified* character. On the other hand, transfers of thing from a certain individual to another, [44] not on the basis of relations of production existing beforehand between them, but under the effect of purchase and sale, limited to the transfer of this thing. Transfer of a thing establishes a direct relation of production among certain individuals. [45] It has not only *technical*, but *also social* significance.

In this sense, in a commodity society, developing spontaneously, the situation proceeds in the following way. [46] From the point of view of the material,

[41] 'any *particular* persons' is 'anyone' in the second edition.

[42] This sentence and the first word of the next sentence 'These' are inserted in the third edition.

[43] 'These' is 'Thus,' in the second edition.

[44] 'a certain individual to another' is in plural, 'persons to persons,' in the second edition.

[45] 'certain individuals' is 'persons' in the second edition.

[46] in the first edition, the sentence runs as follows: 'The situation proceeds differently in a commodity society, developing spontaneously.'

technical process of production, ^[47] every product of labour must pass from one phase of production to another, ^[48] from one economic unit to another, as long as it does not receive the final form, and does not transfer from the economic unit of the last producer or of the intermediary merchant into the economic unit of the consumer. But when the individual economic units are autonomous and independent, the transfer of product from one private economic unit to another is possible only through purchase and sale, through agreement between two economic units, which has the meaning of establishment of a particular relation of production of purchase and sale between them. Indeed, the basic relation of commodity society, the relation of commodity possessors, is reducible to 'a capacity in which they appropriate the produce of the labour of others, by alienating that of their own labour' [*Capital*, I, p. 110. MEGA, II/6, p. 133]. The totality of the relations of production among people^[49] does not represent a unitary connected system, in which a given individual is connected in advance by permanent relations to *determinate persons*. Rather, in a commodity economy, the commodity producer is connected only to an *indeterminate market*, in which he is involved through^[50] an intermittent series of once and for all contractual transactions, momentarily connecting him to particular individual commodity producers.^[51] Each stage of this series is closely interlaced with the stage within the material process of production, the product moves at the same time through a series of private economic units, according to the contracts among them and the rules of exchange. And, on the contrary, ^[52] the relation of production connects two private eco-

[47] 'material, technical process of production' is 'material production' in the first edition.

[48] 'from one phase of production to another' is added in the second edition.

[49] 'among people' is added in the second edition.

[50] The part from 'in which a given' to 'involved through' is inserted in the third edition, replacing 'but' in the first and second editions.

[51] 'him to particular individual commodity producers' is in the first edition 'individual economic units,' in the second edition 'individual commodity producers.'

[52] The last sentence of the paragraph following 'the relation of production' runs in the second edition: 'the relation of production connects two private economic units on occasion of transfer of material objects from one economic unit to another; a relation of production of people is limited to a transfer of objects and after this transfer it is interrupted again;'; while it runs in the first edition: 'the establishment of relations of production among individual economic units brings about a transfer of material goods from one economic unit to another and is connected to this transfer.' But in the first edition this paragraph continues further. The first two sentences of this part run as follows: 'The exchange between two economic units represents a transfer of 'thing' from the one to the other. The relation of production between two independent commodity producers is transformed

nomic units on the occasion of the transfer of material objects from one unit to another; a relation of production among certain individuals is established on occasion of transfer of objects, and afterwards is interrupted again.

[53]As we can see, the basic relation of production^[54] where certain commodity producers are directly connected, realising for each of them a permanently existing connection between his labour activity and the labour activity of all members of society – namely, the relation of purchase and sale – is distinguished from the organised type of relations of production by the following specificities: 1) it is voluntarily established among given individuals, ^[55] according to its advantageousness for the participants; *social* connection takes on the form of *private* transaction; 2) it connects the participants momentarily, creating no permanent relations among them; but these *momentary* and *interruptible* transactions of purchase and sale, taken as a whole, must guarantee a *constancy* and *uninterruptedness* of the social process of production; and 3) it unites certain individuals on the occasion of the transfer of objects among them, and is limited to this transfer of objects; relations of *people* take on the form of the equalisation of *things*. ^[56]The direct relations of production among certain persons are established at the same time as the translocation of things among them in correspondence with the needs of the process of material production. 'The exchange of commodities is the process in which the social metabolism, in other words the exchange of particular products of private individuals, simultaneously gives rise to (Erzeugung)² definite social

into 'value', as a property of thing, it is 'reified' (pp. 11–12). These sentences may be considered as the archetype of the concluding part of Chapter 2. The remaining part of this paragraph (of little more than 10 lines on page 12) is integrated into the latter part of the second following paragraph beginning with 'The *material process of production*' till its end, in the second and third editions. The subsequent four paragraphs till the end of Chapter 2 in the first edition (pp. 12–16) are rewritten and comprise a part of new Chapter 3 in the second and third editions ('The Reification of the Relations of Production of People and Personification of Things').

[53] The last five paragraphs of this chapter beginning from here are newly added in the second edition partly incorporating some lines in the first edition.

[54] The two lines from here ending with 'all members of society', in the second edition run: 'of people in commodity society.'

[55] 'among given individuals' is added in the third edition.

[56] This sentence runs in the second edition as follows: 'The relation of production among people does not precede the transfer of things but coincides with it. The establishment of relations of production among commodity producers coincides with the movement of things in the process of material production.'

2 In the Russian translation by P. Rumyantsev, this word is wrongly translated as 'result' (*Critique of Political Economy*, Pb, 1922, p. 53). Marx speaks of *Erzeugung* (production, estab-

relations of production, into which individuals enter in the course of this metabolism' [*Critique*, p. 292. MEGA, II/2, p. 130]. Or, as Marx put it, the process of circulation includes in itself Stoff- und Formwechsel [changes of substance and form] [*Capital*, III², p. 827. MEGA, II/15, p. 802], the exchange of material and transformation of forms, i.e., the transfer of things in the material process of production and change of their social-economic form (for example, the transformation of commodity into money, of money into capital, of money capital into productive capital, and so on), corresponding to various relations of production among people.

Exchange^[57] uninterruptedly unites within itself both *social-economic* and *material-physical* aspects (relations among people and the forward movement of things in the process of production). In commodity-capitalist society, neither of these aspects are organised in advance, nor adjusted to one another. Precisely for this reason, every individual act of exchange can be realised only as a result of the combination and cooperative action of these two aspects, each of which boosts the other so to speak. Without having at their disposal certain objects, the given individuals cannot enter the relation of production of exchange with each other. But, conversely, the transfer of things is impossible without establishing a particular relation of production of exchange^[58] among them. The *material process of production*, on the one hand, and the *system of relations of production* among individual private economic units, on the other, not in mutual agreement at their starting point, necessarily require agreements at each of their stages, in each of the *unitary acts* into which economic life is externally broken up;^[59] in the contrary case^[60] there would unavoidably be divergences among them and splits in the social process of production. In the commodity economy, such a divergence is always possible. Either relations of production are established which don't really stand for a movement of product in the process of production (i.e., speculation), or they are absent while still indispensable for an ongoing, normal process of production (i.e., a depression in outlet). Such divergences, which do not surpass certain limits in normal times, assume a catastrophic character in times of crisis.

[57] In the second edition 'exchange' is followed by, 'purchase and sale,'

[58] 'exchange' is 'purchase and sale' in the second edition.

[59] 'into which economic life is externally broken up' is italicised in the second edition.

[60] 'in the contrary case' is 'otherwise' in the second edition.

ishment) but not of Erzeugniss (product, result). Below we will quote *Critique of Political Economy* from the same [Russian] edition (Pb., 1922).

In essence, the connection between the social relations of production and the material process of production has the same character in *capitalist* society, divided into classes. We here leave aside as before the relations of production within the individual enterprise and focus only on the relations among individual private enterprises, which connect them in a unitary national economy. In a capitalist economy, various factors of production (means of production, labour power, ^[61] land) belong respectively to the three different social classes (capitalists, wage labourers, and landowners), and because of this they acquire a special social form they do not possess in other social formations. The means of production appear as capital, labour as wage labour, land as an object of purchase and sale. The conditions of labour, i.e., means of production and land are ‘formally independent’ [*Capital*, III², p. 825. MEGA, II/15, p. 800] from labour itself, in the sense that they acquire, as explained above, a particular social ‘form’ when being owned by various social classes. When the individual technical factors of production become *independent* and belong to individual economic subjects (capitalist, labourer, landowner), the process of production cannot begin, unless among particular^[62] individuals belonging to these social classes^[63] there develops a direct^[64] *production connection*, achieving a concentration of all the *technical factors* of production within one economic unit, belonging to a capitalist. Such a fusion of all the factors of production, of people and things, is indispensable in any social form of production, but ‘the specific manner in which this union is accomplished distinguishes the different economic epochs of the structure of society from one another’ [*Capital*, II, pp. 36–7. MEGA, II/13, p. 38].

Let us imagine a feudal society, where land belongs to the landowner, and labour and means of production, usually very primitive, belong to the serf. Here, between landlord and peasant exists in advance a social relation of subordination and domination, which makes possible the fusion of all the factors of production. On the basis of common law, the peasant makes use of a plot of land belonging to the landlord, for which he is obliged to pay rent and serve a *corvée*, i.e., to work a certain number of days on the manor, usually with his own means of production. The permanent relations of production existing between landlord and serf make possible the fusion of all the necessary factors of production in two places: on the peasant’s plot, and on the manor.

[61] ‘labour power’ is ‘labour’ in the second edition.

[62] ‘particular’ is ‘the above’ in the second edition.

[63] ‘belonging to the above three social classes’ is added in the third edition.

[64] ‘direct’ is added in the third edition.

In capitalist society, as we have seen, there exist no such permanent direct^[65] connection between particular persons, ^[66] owners of various factors of production. Capitalist, wage labourer, landowner, all of these are *commodity owners*, formally independent from each other. Direct^[67] relations of production among them are still to be established, and must take the form usual for commodity owners, of *purchase and sale*. The capitalist must buy from the labourer the right to use his labour power, and from landowner the right to use his land. For this, he must possess sufficient capital. Only as the owner of a certain amount of value, capital, which enables him to buy means of production and to make it possible for the labourer to purchase necessary means of subsistence, does he become a capitalist, an organiser and manager of production. Capitalists use the authority of directors of production 'only as the personification of the conditions of labour in contrast to labour, and not as political or theocratic rulers as under earlier modes of production' [*Capital*, III², p. 881. MEGA, II/15, p. 853]. The capitalist 'is a capitalist and can undertake the process of exploiting labour only because, being the owner of the conditions of labour, he confronts the labourer as the owner of only labour power' [*Capital*, III¹, p. 41. MEGA, II/15, p. 44]. His status in production is determined by his ownership of capital, means of production, things, and the same is true of the wage labourer as an owner of labour power, and of the landowner as an owner of land. The *agents of production* are combined through *factors of production*, the production connection among *people* is established through transfer of *things*. It is because of the separation of factors of production on the basis of private property that their material (technical) fusion, indispensable for the production process, is possible only by means of establishing a relation of exchange^[68] among their owners. Moreover, conversely: direct^[69] relations of production, established^[70] among representatives of different social classes (capitalist, labourer, landowner), result in^[71] a certain combination of technical factors of production and are connected^[72] to the transfer of things from one economic unit to another. This close connection of relations of production of people to the movement of things in the process of material production leads to the '*reification*' of relations of production of people.

[65] 'direct' is added in the third edition.

[66] 'particular persons', is added in the third edition.

[67] 'direct' is added in the third edition.

[68] 'exchange' is 'purchase and sale' in the second edition.

[69] 'direct' is added in the third edition.

[70] 'established' is added in the third edition.

[71] 'result in' is 'are established for the purpose of' in the second edition.

[72] 'connected' is 'limited' in the second edition.

The Reification of the Relations of Production of People and Personification of Things^[73]

[74]As we have seen, in a commodity-capitalist economy, individual persons^[75] are directly connected to each other^[76] by particular relations of production, not as members of society, not as persons occupying a particular place in the social process of production, but as owners of particular things, as ‘social representatives’ of different factors of production. The capitalist ‘is merely capital personified’ [*Capital*, III², pp. 819, 824. MEGA, II/15, pp. 793, 799]. ‘The landlord appears as the personification of one of the most essential conditions of production’, land [*Capital*, III², pp. 821, 824. MEGA, II/15, pp. 795, 799]. This ‘personification’, in which the critics of Marx saw something incomprehensible and even mysterious,¹ indicates a very real phenomenon: the dependence of relations of production among people upon a social form of^[77] things, factors of production, belonging to them and ‘personified’ in them.

If a given person enters direct^[78] relations of production with other specific people only as the owner of a certain thing, then, this given thing, to whomever it may belong, enables its owner to occupy a certain place in the system of relations of production. Since the possession of a thing is the *condition* of the establishment of direct relations of production among people, then it appears that the thing itself possesses the ability, the *property*, to establish relations of production. If a given thing gives to its owner the ability to enter a relation of exchange with any other commodity owners, the thing acquires a particular property of exchangeability, it has ‘value’. If a given thing connects two com-

[73] This chapter is inserted in the second edition with the title ‘The Reification of the Relations of Production,’ modified into the present title in the third edition, and with a large extension of its content.

[74] The first three paragraphs of this chapter were drafted in rewriting a long paragraph from the middle of the second chapter (pp. 12–13) in the first edition, when preparing the second edition. There remain certain similar expressions and the same quotations from Marx.

[75] ‘individual persons’ is ‘people’ in the second edition.

[76] ‘directly’ and ‘to each other’ are added in the third edition.

[77] ‘a social form of’ is added in the third edition.

[78] ‘direct’ is ‘determinate’ in the second edition.

1 See Passow, *Capitalism*, 1918, p. 84.

commodity owners, of whom one is a capitalist and the other a wage labourer, then it appears not only as 'value', but also as 'capital'. If a capitalist enters a relation of production with a landowner, then the value, money, which he hands over to the landowner and in doing so begins with the latter a connection of production, represents 'rent'. The money, paid by an industrial capitalist to a money capitalist for the use of capital loaned to him, is called 'interest'. *Each type of relations of production among people gives things, through which particular persons*^[79] *enter a direct*^[80] *production connection, a special 'social property', 'social form'.* A given thing, in addition to serving as an object of use or as means of production as far as being a use value, material object with particular properties, i.e., in addition to carrying out a *technical function* in the process of material production, carries out also the *social function* of connecting people.

In this way, in commodity-capitalist society *people* enter direct^[81] relations of production exclusively as commodity owners, owners of *things*, and, on the other hand, these *things* acquire, due to these special *social* properties, a special social form. 'The social qualities of labour' acquire 'material characteristics', and objects, 'social characteristics' [*Capital*, I, p. 94. MEGA, II/6, p. 119]). Instead of 'direct social relations between individuals at work', which are established in societies with organised or planned economies, here we observe 'material relations between persons and social relations between things' [Ibid., p. 78. MEGA, II/6, p. 104].^[82] Here we see two particularities of the commodity economy: 'personification of things and reification of the relations of production' of people [*Capital*, III², p. 830. MEGA, II/15, p. 805]; or, '[t]he reification of the social relations of production and the personification of the material foundations of production' [Ibid., p. 880. MEGA, II/15, p. 852].

By the '*reification of the relations of production of people*' Marx understands that process through which determinate relations of production among people (for example, among capitalists and labourers) give things, through which people are connected among themselves, a determinate social form or social property (for example, of capital). By the humanisation or '*personification of things*', further, Marx refers to the process through which the presence of things with a determinate social form, for example, of capital, allows their owner to constitute a capitalist, and so to enter a determinate relation of production with other persons.

[79] '*particular persons*' is '*people*' in the second edition.

[80] '*direct*' is added in the third edition.

[81] '*direct*' is '*social*' in the second edition.

[82] From here until the fourth paragraph from the end of the chapter the text largely differs between the second and third editions (p. 52).

At first sight, both of these processes may seem to be mutually exclusive. On the one hand, the social form of things is considered as a result of relations of production of people. On the other, the same relations of production are established among people only in the presence of things with a determinate social form. This contradiction can be resolved only in the dialectical process of social production, considered by Marx to be an uninterrupted and constantly repeated process of reproduction, in which every link appears as the consequence of the foregoing link as well as the cause of the following one. The social form of things is a result of the foregoing process of production and at the same time a precondition of the subsequent one.²

Every social form inherent in the products of labour in capitalist society (money, capital, interest, rent, and so on) arose as a result of a lengthy historical and social process, through an infinite repetition and sedimentation of stereotypic relations of production among people. As long as a given type of relation of production still assumes a rare, exceptional character in a given society, it cannot press its constant, solid social stamp on the products of labour which appear in it. 'The momentary social contact' of people transmits to the products of their labour only a momentary social form, arising with the beginning social contact and expiring soon after its ending [*Capital*, I, p. 92. MEGA, II/6, p. 117]. In an undeveloped exchange, the product of labour obtains value only at the moment of exchange, not being value either before or after this moment. When the participants in the act of exchange compare their products of labour with a third product, this third product performs embryonically the function of money at this moment, not being money either before or after this act of exchange.

In accordance with the development of the productive forces, giving rise to particular types of relations of production among people, these relations become frequent, are repeated many times, and become ordinary and widely spread in a given social milieu. Such a 'densification' of relations of production of people leads also to the 'densification' of corresponding social form of things. A given social form is 'consolidated', fixed behind the thing, and maintains itself also at moments of interruption of the concrete social relations of production. Only from this moment can be dated the appearance of a given reified category as detached from the relation of production of people at its origin, and in turn as an influence on this relation. 'Value' becomes, so to say, a property of the thing itself, with which it enters the process of exchange and

2 In the following we give a brief description of the conclusions, developed in greater detail in our article 'Relations of Production and Material Categories' (*Under the Banner of Marxism*, 1924, no. 10–11 [cf. pp. 505–22 in the present translation]).

which it maintains after leaving this process. The same is true of money, capital, and other social forms of things. From the result of the production process, they become at the same time its preconditions. From now on, a given social form of the product of labour serves already not only as an 'expression' of a particular type of relations of production of people, but also as its 'bearer'. The presence of a thing with a particular social form in the hands of a given person induces him to enter a determinate relation of production, conveying to this person a special social character. The 'reification of the relations of production' of people is now supplemented with the 'personification of things'. *The social form of a product of labour, being the result of innumerable actions of commodity producers, becomes a mighty means of pressure on the motivation of individual commodity producers and of adaptation of their behaviour to the types of relations of production of people predominant in a given society.* The influence of society is transferred onto individuals through the social form of things. Due to this, the objectification or 'reification' of relations of production of people in a social form of things conveys to the economic structure a great solidity, stability, and regularity. A 'crystallisation' of social relations of production of people results from this.

Only at a definite stage of its development, after frequent repetition, do the relations of production of people leave a kind of sediment in the form of certain social properties fixed behind the products of labour. In so far as a given type of relations of production was not sufficiently widely diffused in a society, it could not yet convey to things the corresponding social form. When the predominant type of production was still handicraft, the task of which was the 'nourishment' of craftsmen, even in the case where they enlarged their enterprise and became already essentially capitalists living on the wage labour of their own labourers, they all still continued to consider themselves as 'masters', and their income as their source of 'nourishment'. In this income they did not yet find 'profits' on capital, just as they did not find 'capital' in their means of production. In the same way, under the influence of the landownership predominating over pre-capitalist social relations, for a long time interest was not recognised as a new form of income but rather was viewed as a variant form of rent. Thus the famous economist Petty still tried to deduce interest from rent.³ Thus can be seen 'a subsumption of all the economic forms under the predominant form' [*Capital*, III², p. 876. MEGA, II/15, p. 848. Here Rubin changes Marx's phrasing a little.], forms inherent in a given mode of production. This explains

3 See I. Rubin, *A History of Economic Thought*, second edition, 1928, Chapter VII [English translation: *A History of Economic Thought*, Ink Links, London, 1979].

the fact that a more or less lengthy period of development is required before a new type of relations of production is 'reified' or 'crystalised' in a corresponding social form of the products of labour.

Thus, the connection between the relations of production of people and their reified categories must be presented in the following way. Every type of relation of production among people characterising the commodity-capitalist economy gives a special social form to things, through which or for the sake of which people enter a given relation. This brings about the 'reification' or 'crystallisation' of the relations of production of people. The thing, appearing in a determinate relation of production among people and possessing a corresponding social form, *maintains this form also after the conclusion of a given concrete individual relation of production of people*. Solely under this condition, it is possible to consider the relation of production of people as really 'reified', 'crystalised' in the form of a property of a thing, as so to say inherent in this relation of production and detached from itself. Once things appear in a particular social form fixed behind them, they begin in their turn to exercise influence on people, determining their motivation and inducing them to establish among themselves concrete relations of production. Possessing the social form of 'capital', things make their owner a 'capitalist' and decide in advance those concrete relations of production, which are to be established between him and other members of society. The social character of a thing determines in a sense the social character of its owner, and thus takes place the 'personification of things'. A capitalist in this way glows in the light of his capital, but this is possible only because his capital reflects in turn the light inherent in a given type of relation of production of people. In all, we see here a *subsumption of particular individuals under the predominant types of relations of production*. If the social form of things conditions the *individual* production connections of particular persons, it is only because this social form itself appears as the expression of *social* production connections. If the social form of things appears as an already given, ready-made, firmly fixed *precondition* of the process of production, it is only because this social form itself appears as a consolidated, crystallised *result* of a dynamic, eternally flowing and changing social process of production. Thus in an uninterrupted dialectical process of reproduction we see resolved the seeming contradiction between the 'reification of people' and 'personification of things', i.e., between the conditioning of the social form of things by the social relations of production and the conditioning of the individual relations of production of people by the social form of things.

Of the two aspects of the process of reproduction we have mentioned, only the latter, i.e., "personification of people [presumably error for "things"]", lies on the surface of economic life and is directly observable. Things appear in a

social form already made, influencing the motivation and behaviour of individual producers. This aspect of the process is reflected directly in the psyche of individual persons and can be directly observed. It is far more difficult to trace the formation of the social forms of things themselves from the relations of production of people. This aspect of the process, i.e., the 'reification' of the relations of production of people, is the heterogenous result of numerous hierarchised actions of people, of a social process going on behind their 'backs', i.e., a result which is not set in advance as a goal. Only through a profound historical and socio-economic analysis did Marx succeed in elucidating this aspect of the process.

From this point of view, the distinction Marx often draws between the 'outward look', 'external connection', 'surface of phenomena', 'form of appearance', on the one hand, and the 'internal connection', 'hidden connection', 'immanent connection', 'essence of things' on the other, becomes understandable⁴. Marx reproaches vulgar economists for limiting themselves to the investigation of exterior aspect of phenomena, for example critiquing Adam Smith for wavering between the 'esoteric' (interior-looking) and 'exoteric' (outward-looking) viewpoints. The meaning of these statements appears very murky. Critics of Marx, even among those who are relatively benevolent, accused him of economic metaphysics for his desire to explain the hidden connections of phenomena. Marxists sometimes explained these expressions of Marx's with reference to his desire to draw a distinction between roughly empirical and abstractly isolating methods of research.⁵ We think that this reference to the abstract method is naturally necessary, but is far too insufficient to characterise the method of Marx, who did not hold this in view when opposing the internal connection to the external phenomenon. Marx's use of the abstract method is in continuity with many of his predecessors, including Ricardo. But what comprises Marx's exclusive exploit is his introduction into political economy of the sociological method, discerning in the reified categories the expression of relations of production of people. In this social nature of the reified categories Marx sees also their 'internal connection'. Vulgar economists study only the form of appearance, 'alienated' from economic relations themselves [*Capital*, III², p. 817. MEGA, II/15, p. 792], i.e., already reified, ready-made form of things, without understanding its social character. They see the process taking place on the surface of economic life, the 'personification of things', but do not concep-

4 See *Capital*, III², p. 346, etc.; *Theories of Surplus Value*, vol. II, Part 1, Pb., 1923, pp. 10, 57 etc.; *Theories*, III, p. 576, and many other places [*Capital*, III², p. 817. MEGA, II/15, p. 792. *Theories*, 2, p. 514, etc. MEGA, II/3.4, pp. 1511–12, etc.].

5 Kunov, 'Towards An Understanding of Marx's Method of Research', from the collection *Fundamental Problems of Political Economy*, 1922, pp. 57–8.

tualise the process of the 'reification of the relations of production' of people. They consider the reified categories as given, ready-made 'preconditions' of the process of production, influencing the motivations of producers and reflected in their consciousness, not approaching the character of these reified categories as the result of a social process. Unaware of this internal social process, they restrict themselves to the '*connection as it appears in competition*, and in competition everything always appears in inverted form, always standing on its head' [*Theories*, 1, p. 440. MEGA, II/3.3, p. 862], namely the relations of production appear to be dependent on the social form of things, but not the other way around.

Vulgar economists, who do not understand that the process of 'personification of things' can be understood only as the result of the process of 'reification of the relations of production of people', consider the social properties of things (value, money, capital and so on) as natural properties, inherent in the things themselves. They consider value, money, etc. not as expressions of relations of people, 'fixed' to things, but as direct properties of the thing itself, 'directly intertwined' with natural-technical properties of the same thing. This is the origin of the *commodity fetishism*, characteristic of vulgar economic theory, and of the everyday thinking of the participants in production themselves, limited to the field of view of the capitalist economy: ^[83] 'the conversion of social relations into things, the direct coalescence of the material relations of production with their historical and social determination' [*Capital*, III², p. 830. MEGA, II/15, pp. 804–5]. 'An element of production is amalgamated with and represented by a definite social form' [*Ibid.*, p. 816. MEGA, II/15, p. 791].

The formal independence of these conditions of labour in relation to labour, the unique form of this independence with respect to wage labour, is then a property inseparable from them as things, as material conditions of production, an inherent, immanent, intrinsic character of them as elements of production. Their definite social character in the process of capitalist production bearing the stamp of a definite historical epoch is a natural, and intrinsic substantive character belonging to them, as it were, from time immemorial, as elements of the production process.^{6,[84]}

[83] For the last part of the chapter beginning from here, the text basically coincides between the second and third editions. The two paragraphs from here basically coincide with some parts of the text in pages 13–15 in the first edition.

[84] In the second edition here comes the following one deleted sentence and the note 6 is

6 [*Ibid.*, p. 825. MEGA, II/15, p. 800]. Only from the viewpoint of this 'coalescence' of the social relations and material conditions of production can we understand Marx's renowned the-

The transformation of social *relations*^[85] of production of people into social, 'objective' *properties of things*^[86] is a real fact of the commodity-capitalist economy, a consequence of the distinctive connection between the process of material production and the movement of relations of production. The error of vulgar economic theory lies not in the fact that it pays attention to these reified forms of the capitalist economy, but in the fact that it does not see their connections with the social form of production, in deriving them not from the latter but from the natural properties of things.

The effects of a certain social form of labour are ascribed to objects, to the products of this labour; the relationship itself is imagined to exist in *material* form. We have already seen that this is a characteristic of labour based on commodity production. ... Hodgskin regards this as a pure subjective illusion which conceals the deceit and the interests of the exploiting classes. He does not see that the way of looking at things arises out of the actual relationship itself; the latter is not an expression of the former, but vice versa.^[87]

Vulgar economists commit two kinds of errors: either 1) they attribute the 'economic determination of form' to the 'material property' of things [*Capital*, II, p. 164. MEGA, II/13, p. 149], i.e., derive the *social* phenomena directly^[88] from *technical* phenomena; for example, the ability of capital to yield profits, which presupposes the existence of particular social classes and relations of production among them, is explained by them on the basis of technical functions

added at the end of this last sentence: 'Determinate material conditions of production are "at the same time bearers of determinate social relations, which the individuals enter in the process of reproduction of their life (p. 348)"'.

[85] Not emphasised in the first edition.

[86] Not emphasised in the first edition.

[87] *Theories*, 2, pp. 428–29. MEGA, II/3.4, p. 1432, emphasis in original. In the first edition more than ten lines of text, mainly of quotations, follow here (pp. 14–15).

[88] 'directly' is added in the third edition.

ory of the twofold nature of the commodity and his contention that in commodity society use values appear as 'material depositories of exchange value' [*Capital*, I, p. 44. MEGA, II/6, p. 70]. Use value and value, these are not two distinct properties of a thing, as is held by Böhm-Bawerk. The contrast between them arises from the contrast between the method of natural science studying a commodity as a thing and the sociological method studying the social relations of production 'intertwined with a thing.' 'Use value expresses a natural relationship between things and men, in fact the existence of things for men. ... [E]xchange value is the *social* existence of things' [*Theories*, 2, p. 429. MEGA, II/3.4, p. 1432].

of capital in the role of means of production; or 2) they assign 'certain properties materially inherent in instruments of labour' to the social form of the instruments of labour (*ibid.*), i.e., they derive *technical* phenomena directly^[89] from *social* phenomena; for example, the ability to enhance the productivity of labour, inherent in the means of production and representing their technical function, is attributed to capital, i.e., to a certain social form of the means of production (the theory of productivity of capital). These two errors, which seem at first glance to be of opposite character, are reducible to one and the same basic methodological defect: the identification of the material process of production with its social form, of the *technical* functions with the *social* functions of a thing. Instead of considering the technical and the social phenomena as aspects of labour activity of people which are distinctive though closely connected, vulgar economists set them out on the same level, on one scientific plane, so to say. They consider the economic phenomena directly in that close intertwinement and 'coalescence' of technical and social elements, which is inherent in the commodity economy. The result of this is a 'wholly incommensurable relation between a use value, a thing, on one side, and a definite social relation of production, surplus-value, on the other' [*Capital*, II², p. 818. MEGA, II/15, p. 792]; 'a social relation conceived as a thing is made proportional to Nature, i.e., two incommensurable magnitudes are supposed to stand in a given ratio to one another' [*Ibid.*, p. 817. MEGA, II/15, p. 792]. This identification of the process of production with its social form, of technical properties of things with social relations of people, 'reified' in the social form of things, severely revenges itself. Economists are often struck with naïve astonishment 'when the phenomenon that they have just ponderously described as a thing reappears as a social relation and, a moment later, having been defined as a social relation, teases them once more as a thing' [*Critique*, p. 276, MEGA, II/2, p. 114].

At first glance it may seem that 'direct coalescence of material relations of production with their historical-social form', as Marx points out, is inherent not only in the commodity-capitalist economy, but also in the other social formations. Indeed, in the other types of economy too, we observe a causal dependence of the social relations of production of people on the material conditions of production, and on the distribution of technical means of production among different social groups. From the point of view of the theory of historical materialism, this is a general sociological law, valid for^[90] all histor-

[89] 'directly' is added in the third edition.

[90] 'for' is 'in' in the second edition.

ical social formations. No one can doubt that in feudal society the totality of relations of production between landlord and serf was causally subject to the technique of production and the distribution of technical factors of production (land, livestock, tools of labour) between landlord and serfs. But it must be kept in mind that in feudal society the relations of production among people are established *on the basis of* the distribution of things among them and *for* things, but [‘not’, presumably omitted by mistake in the third edition] *through* things. Here people are directly connected with each other, ‘the social relations between individuals in the performance of their labour, appear at all events as their own mutual personal relations, and are not disguised under the shape of social relations between the products of labour’ [*Capital*, I, p. 82. MEGA, II/6, p. 108]. The specific nature of the commodity-capitalist economy consists in that the relations of production of people are established not only *for* things but also *through* things. It is precisely this factor that conveys to the relations of production of people a ‘reified’, ‘material’ form and gives birth to commodity fetishism, the confusion of material-technical and social-economic aspects of labour process, a confusion which was repudiated only by the new sociological^[91] method of Marx.^{7,[92]}

[91] See translator’s note [2] above.

[92] The critical comments on Bukharin’s book in this note 7 is a summary of more detailed examinations in a long paragraph at the end of Chapter 2 in the first edition (pp. 15–16), deleted in the second edition and after. There Rubin refers to the same passages in Bukharin’s book.

7 In general, the connection between things and social relations of people is in highest degree complex and multifaceted. Thus, for example, concerning solely the phenomena in close relation with our theme, we can point out: 1) in *the economic* sphere of *various* social formations, the causal dependence of the relations of production of people on the distribution of things among them (the dependence of relations of production on the state and distribution of productive forces); 2) in *the economic* sphere of the *commodity-capitalist* economy, the realisation [‘establishment’ in the second edition] of relations of production of people through things, their ‘coalescence’ (commodity fetishism in the exact meaning of the word); 3) in *various* spheres of *various* social formations, the symbolisation, or fetishisation of people in things (the general social symbolisation or fetishisation of social relations of people). We study here only the second phenomenon, commodity fetishism in the exact meaning of the word, and consider it necessary to distinguish this second phenomenon rigorously from the first one (their confusion is noticeable in Bukharin’s book, *Historical Materialism*, 1922, pp. 161–62), as well as from the third one (Bogdanov’s theory of fetishism suffers from this confusion).

Thing and Social Function (Form)^[93]

The new sociological method Marx introduced into political economy is characterised by the consistently carried out distinction between the productive forces and the relations of production, between the material process of production and its social form, between the labour process and the process of value formation.^[94] Political economy studies the labour activity of people not from the aspect of its technical procedures and instruments of labour, but from the aspect of its social form. It studies the *relations of production*, established among people in the process of production. But, since in commodity-capitalist society people are connected by the relations of production through the transfer of things, the relations of production of people acquire a *material* character. This 'reification' consists in that the thing, through which people enter a particular relation among them, carries out a special *social function* of connecting people, function of 'intermediary' or 'bearer' of a given relation of production. In addition to its material or technical existence as a concrete object of use or means of production, the thing acquires so to say a *social* or *functional* existence, i.e., a special social property, expressing a given relation of production of people and conveying to the thing a special *social form*.^[95] In this way, the basic concepts or *categories* of political economy express basic *socio-economic forms*, which characterise the various types of relations of production of people, and which are transferred to the things through which^[96] these relations among people are established.

In his approach to the investigation of the 'economic structure of society', or of the 'totality of the relations of production' of people [*Critique*, p. 263, MEGA, II/2, p. 100], Marx distinguished individual sorts or *types* of relations of production of people in capitalist society.¹ The order of their investigation Marx

[93] This chapter is added in the second edition, reappearing in the third edition with minor modifications.

[94] 'and the process of value formation' is 'as such, and the social form of organisation of labour' in the second edition.

[95] In the second edition 'determination of form' (Formbestimmtheit) follows 'social form'.

[96] In the second edition, 'or for which' follows 'through which'.

1 We have in mind the various forms or types of relations of production of people in *capitalist* society, and not the various types of relations of production characterising *various* social formations.

establishes is the following. Some of the relations among people presuppose the existence of other types of relations of production among the members of a given society; but the latter relations do not necessarily presuppose the existence of the former, constituting thus the presupposition of the former. For example, the relation between the financial capitalist C and the industrial capitalist B, expressed in the reception of money loan by the latter from the former, already presupposes the existence of relations of production among the industrial capitalist B and the labourer A (more precisely, many labourers). On the other hand, the^[97] relation between industrial capitalist and labourer^[98] does not necessarily presuppose that the former borrows money from a financial capitalist. We can see from here that the economic categories 'capital' and 'surplus value' precede the categories 'loan capital' and 'interest'. Furthermore, the relation between the industrial capitalist and the worker takes the form of purchase and sale of labour power, and in addition presupposes that the former produces commodity for sale, i.e., is connected to other members of society by the relations of production of commodity owners with each other. On the other hand, the relation among commodity owners does not necessarily presuppose a production connection between industrial capitalist and labourer. We can see from here that the categories 'commodity' and 'value' precede the category 'capital'. The logical order of the economic categories follows from the character of relations of production they express. Marx's economic system studies a series of increasingly complex types of *relations of production* of people, expressed in a series of increasingly complex *social forms* acquired by *things*. We can pursue in all the economic categories this connection between a given type of relations of production of people and the social function or form of things corresponding to this type.

The basic social relation of production of people as commodity producers^[99] exchanging the products of their labour, gives the latter a special property of exchangeability, as if inherent in them from nature, a special 'form of value'. The regular exchange relations among people – as a result of which the social action of commodity owners single out a commodity (for example gold) to serve as the general equivalent, which can be exchanged directly against any other – give this selected commodity the special function of money or the 'money form'. This money form assumes in turn some different functions or forms, depending on the character of relations of production between buyers and sellers.

[97] 'On the other hand, the' is 'The' in the second edition.

[98] ', i.e., purchase and sale,' follows 'capitalist and labourer' in the second edition.

[99] 'commodity producers' is 'commodity owners' in the second edition.

If the transfer of a commodity from the seller to the buyer and the inverse transfer of money are carried out simultaneously, money assumes the function or has the form of 'means of circulation'. If the transfer of a commodity precedes that of money, and the relation between the seller and the buyer is transformed into the relation between the creditor and the debtor, then money has to assume the function^[100] of 'means of payment'. If the seller keeps in his hands the money obtained from this sale, postponing the moment of his entry into the new relation of production or purchase, money acquires the function or form of a 'hoard'. Every social function or form of money expresses a different character or type of relations of production among persons in exchange.

With the appearance of a new type of relations of production, namely capitalist relations connecting the commodity owners as capitalists to the commodity owners as labourers, money, the transfer of which between them establishing a relation of production, acquires a new social function or form of 'capital'.^[101] More precisely, money, directly connecting capitalist to labourers, carries out the function, or has the form, of 'variable capital'. But in order to establish the relations of production with labourers, it is indispensable for the capitalist to have also means of production or money to hire them. These means of production or money, which also serve indirectly for the establishment of relations of production between capitalist and labourers, have the function or form of 'constant capital'. Insofar as we consider the relations of production between the class of capitalists and that of labourers in the process of production, we have here 'productive capital' or 'capital in the phase of production'. But prior to the beginning of the process of production, the capitalist appeared on the market as a purchaser of means of production and labour power. The function or form of 'money capital' corresponds to these relations of production between capitalist as purchaser and the rest of commodity owners. After the ending of the process of production, the capitalist appears as a seller of his commodity, which is expressed in the function or form of 'commodity capital'. In this way, the metamorphosis or 'transformation' of capital reflects different forms of relations of production among people.

But this does not still exhaust the relations of production connecting the industrial capitalist to other members of society. First, through the competition of capitals and their transfer from one branch to the other, the industrial capitalists of a given branch are connected to the industrial capitalists of all

[100] 'has to assume the function' is 'obtains the function and form' in the second edition.

[101] 'capital' is not in parentheses in the second edition.

other branches, ^[102] a connection expressed in the formation of a 'general average rate of profits', and in the sale of commodities at 'prices of production'. In addition, the class of capitalists itself is divided into some social groups or subclasses: industrial, commercial, and money (financial) capitalists. Alongside these groups, comprising the class of capitalists as a whole, there is still a class of landowners. The relations of production among these different social groups create new socio-economic 'forms': commercial capital and commercial profits, interest-bearing capital and interest, and ground^[103] rent. 'Stepping beyond its inner organic life, so to say, it (capital) enters into relations with outer life, into relations in which it is not *capital and labour* which confront one another, but *capital and capital* in one case, and individuals, again simply as *buyers and sellers*, in the other' [*Capital*, III¹, p. 44. MEGA, II/15, pp. 46–7].² Here the question is about the various types of relations of production, namely the relations of production: 1) between *capitalists* and *labourers*; 2) between capitalists and members of society appearing as *purchasers* and *sellers*; and 3) between individual *groups* of industrial capitalists, and also between the industrial capitalists as a whole, and other groups of capitalists (commercial capitalists and money capitalists). The first type of relations of production, constituting the basis of capitalist society, is studied by Marx in Volume I of *Capital*, the second type in Volume II, the third type in Volume III. When it comes to the basic relation of production of commodity society, the relations among people as commodity producers, its analysis is given by Marx in *A Contribution to the Critique of Political Economy* and repeated in the first Part of Volume I of *Capital*, entitled 'Commodities and Money' and representing something like an introduction to Marx's system (in the first rough draft Marx planned to call this part: 'Introduction, Commodity, Money'. Cf. *Theories of Surplus Value*, III, p. VIII [edited and published by Karl Kautsky, 1919, Dietz, Stuttgart]). Marx's system studies a series of increasingly complex types of relations of production of people, to which correspond a series of increasingly complex economic forms of things.

The basic *categories* of political economy express, consequently, various *types of relations of production*, taking on a material form. 'The exchange value of *things* is a mere expression, a specific social form, of the productive activity of people' [*Theories*, 2, p. 365, MEGA, II/3.4, p. 1361. Emphasis in original].

[102] 'the industrial capitalists of all other branches' is 'all other industrial capitalists' in the second edition.

[103] 'ground' is inserted in the third edition.

2 Emphasis added.

'When, therefore, Galiani says: Value is a relation between persons ('La Ricchezza e una ragione tra due persone'), he ought to have added: a relation between persons expressed as a relation between things' [*Capital*, I, p. 79. MEGA, II/6, p. 105; *Critique*, p. 275. MEGA, II/2, p. 114]. 'To it (the monetary system) gold and silver, when serving as money, did not represent a social relation between producers' [*Capital*, p. 86. MEGA, II/6, p. 112; *Critique*, p. 276. MEGA, II/2, p. 114]. '*Capital*, also, is a social relation of production. It is a *bourgeois relation of production*' [*Wage Labour and Capital*, MECW/9, p. 212. MEW/6, p. 408]. Capital is 'a social relationship which is represented (darstellt) in things and through things' [*Theories*, 2, p. 406, MEGA, II/3.4, p. 1405]. 'Capital ... is not a thing, but rather a definite social relation of production, belonging to a definite historical formation of society, which is manifested (darstellt) in a thing and lends this thing a specific social character' [*Capital*, III², p. 814. MEGA, II/15, p. 789].³

Marx explained his view on the economic categories as expressions of social relations of production of people in greatest detail with reference to the categories of value, money, and capital. But he repeatedly pointed out that also the other concepts of political economy express relations of production of people. Surplus value represents 'a definite historical form of social process of production' [*Capital*, III, p. 816. MEGA, II/15, p. 791]. Rent is 'a social relation conceived as thing' [*Ibid.*, p. 817. MEGA, II/15, p. 792]. 'Supply and demand are neither more nor less relations of a given production than are individual exchanges' [*The Poverty of Philosophy*, MECW/6, p. 119. MEW/4, p. 76. Karl Marx *Œuvres Economie I*, préface par François Perroux, édition établie et annotée par Maximilien Rubel, *Bibliothèque de la Pléiade*, Gallimard, Paris, 1972, p. 19].^[104] Or, as Marx states in a general form, 'economic categories are only the theoretical expressions, the abstractions of the social relations of production' [*Ibid.*, p. 165. MEW/4, p. 78 and p. 130].

[104] In the second edition, 'Or' is preceded by the following sentence: 'Division of labour, credit are 'relations of bourgeois production' (*Ibid.*, p. 93).' This sentence is deleted in the third edition.

3 Marx often says above all that the relation of production 'is represented' [sich darstellt] in thing, that thing 'presents' (darstellt) a relation of production. Since the Russian verb 'представляет' [represents] is often used in the sense of 'есть [is],' which does not at all correspond to the sense of darstellen, then this German verb should be translated with several words: представляется [is presented], выражается [is expressed], проявляется [is manifested], and so on. (Cf. appendix 'On the Terminology of Marx' ['Appendix 1' in the present translation]).

In this way, the basic concepts of political economy express various relations of production of people in capitalist society. But since these relations of production connect people solely through things, the things thus perform a special social *function* or acquire a special social *form*, corresponding to a given type of relations of production of people.^[105] If we have said earlier that economic categories express social relations of production taking on 'material' character, then with the same right we can say that they express social functions or social forms acquired by things as intermediaries of relations of production of people. Let us begin with the social *function* of things.

Marx often speaks of the *functions* of things corresponding to various relations of production of people. In the expression of value, one commodity 'officially as an equivalent' [*Capital*, I, pp. 55, 75. MEGA, II/6, pp. 81, 101]. The 'function of money' represents a series of different functions: 'Function as a measure of value' [ibid., p. 97. MEGA, II/6, p. 121], 'function as a means of circulation' or 'function as coin' [ibid., pp. 119, 126. MEGA, II/6, pp. 141, 148], 'function of money as a means of payment' [ibid., p. 127. MEGA, II/6, p. 149], 'function of hoards' [ibid., p. 143, MEGA, II/6, p. 163] and 'function of money of the world' [ibid., p. 143, MEGA, II/6, p. 163]. The various functions of money correspond to the various relations of production between sellers and purchasers. Capital is also a particular social function. 'The property of being capital is not inherent in things as such and in any case, but is a function with which they may be or not be invested, according to circumstances' [*Capital*, II, p. 207. MEGA, II/13, p. 187]. In money capital, Marx scrupulously distinguishes the 'function of money' from the 'function of capital' [ibid., pp. 36, 79, MEGA, II/13, pp. 37–8, 72–3]. Here the question is obviously about the social function capital carries out in connecting different social classes and their representatives, capitalist and wage labourer, but not at all about the technical function the means of production perform in the material process of production. If capital is a social function, then, as Marx says, the same 'is also true of its subdivisions' [ibid., p. 207, II/13, p. 187]. Variable and constant capitals are distinguished by their different 'functions' they carry out in the 'process of increase' of capital [*Capital*, I, p. 202, MEGA, II/6, p. 219]; variable capital directly connects capitalist to labourer and leaves at the disposal of the former the labour power of the latter, while constant capital serves for the same purpose indirectly. Between them there exists a 'functional difference' [ibid., p. 203, II/6, p. 221]. The same is true of the division of fixed and circulating capitals. 'It is not a question here of definitions (of fixed and circulating capitals – *I.R.*) which things must be made

[105] 'of people' is added in the third edition.

to fit. We are dealing here with definite *functions* which must be expressed in definite *categories*' [*Capital*, II, p. 230, MEGA, II/13, p. 209. Emphasis added]. This distinction of the functions of fixed and circulating capitals consists in the different ways of transfer of the value of capital to the product, i.e., in the full or partial replacement of the value of capital in the course of one period of rotation [*ibid.*, pp. 167–68, II/13, pp. 151–52]. This distinction of the social functions in the process of value transfer (i.e., the process of circulation) is often confounded by economists with the distinction of technical functions in the process of material production, namely with the distinction between the slow wear and tear of the instruments of labour and the full exhaustion of raw materials and auxiliary stuff. In the second Part of Volume II of *Capital*, Marx made a considerable effort to show that the categories of fixed and circulating capitals express precisely the above-mentioned social functions of transferring value, which are certainly connected to definite technical functions of the means of production, but are not identical with them. Not only the different parts of productive capital (constant and variable, fixed and circulating) are distinguished from each other according to their functions, but also the division of capital into productive, money and commodity capitals is based on this distinction of functions. The 'functions of commodity and commercial capitals' are distinguished from the 'functions of productive capital' [*ibid.*, pp. 79, 127, II/13, pp. 72–3, 115; *Capital*, III¹, p. 269, MEGA, II/15, p. 265 and elsewhere].

Thus, different categories of political economy express different social functions of things, corresponding to different relations of production of people. But the social *function* carried out by a thing gives it a special social character, a particular social *form*, a '*determination of form*' (Formbestimmtheit),⁴ as Marx frequently expresses it. To every type of relations of production of people corresponds a special social function or '*economic form*'. Marx repeatedly points out the close connection of function to form. 'The coat officiates as equivalent,

4 The concept of Formbestimmtheit or Formbestimmung plays an important role in Marx's system, of which the attention was directed above all to the investigation of social forms of economy, relations of production of people. Instead of Formbestimmtheit Marx often says Bestimmtheit. V. Bazarov and I. Stepanov are completely right when they sometimes translate this term with the word 'form' (cf. *Capital*, III, part 2, pp. 365–66 and the Russian translation, p. 299). It is unconditionally wrong to translate Bestimmtheit with the word 'nomination,' as sometimes does P. Rumyantsev (*Critique*, p. 10 and the Russian translation, p. 40). The translation 'formal determination' (*The Accumulation of Capital and Crises*, translated by S. Bessonov) also does not properly convey Marx's thoughts. We prefer the precise translation: 'determination of form' and 'definition of form.'

or appears in equivalent form' [*Capital*, I, p. 55, MEGA, II/6, p. 81]^[106]. 'The specific function which it fulfils within the process of circulation gives money as the medium of circulation a new and distinct aspect' [*Critique*, p. 337, MEGA, II/2, p. 169].

[107] If the social function of a thing gives it a special socio-economic form, then it is obvious that the basic categories of political economy we have considered above as expressions of different relations of production and social functions of things, serve at the same time as the expressions of socio-economic forms corresponding to these categories, which are given to things by their functions of 'bearers' of relations of production of people. Above all Marx often calls the economic phenomena he is studying 'economic forms', or 'determinations of form'. *Marx's system studies a series of increasingly complex 'economic forms' of things or 'determinations of form' (Formbestimmtheiten), corresponding to a series of increasingly complex relations of production of people.* In the Preface to the first edition of Volume I of *Capital*, Marx points out the difficulties of the 'analysis of economic forms', in particular of the 'form of value' and the 'money form'. The form of value in turn includes in itself various forms: on the one hand, every expression of value contains a 'relative form' and an 'equivalent form', on the other, the historical development of value is expressed in the increasing complexity of its forms: from the 'elementary form' through the 'expanded form', value passes to the 'general' and 'money' forms. The formation of money represents a 'new determinate form' [*Critique*, p. 289, MEGA, II/2, p. 128]. The different functions of money are at the same time different 'specific form' [*Ibid.*, p. 303, II/2, p. 139]. Thus, for example, money as a measure of value and as a standard of prices are 'different determinations of form', the confusion of which leads to erroneous theories [*Ibid.*, p. 309, II/2, p. 145].

The particular *functions* of money which it performs, either as the mere equivalent of commodities, or as means of circulation, or means of payment, as hoard, or as money of the world, point, according to the extent and relative preponderance of the one *function* or the other, to very different stages in the process of *social production*.⁵

[106] In the second edition, here comes one more quotation from *Capital*, vol. I: 'The functions of hoards, therefore, arise in part out of the function of money, as the medium of the home circulation and home payments' [*Ibid.*, p. 143, MEGA, II/6, p. 163].

[107] In the second edition, the following paragraph is a continuance of the preceding one.

5 [*Capital*, I, p. 167. MEGA, II/6, p. 185. Emphasis added].

Here Marx emphasises the close connection between the forms and functions of money and the development of relations of production of people.

The transition from money to capital signifies the appearance of a new economic *form*. 'Capital is the social form which the means of reproduction assume on the basis of wage labour' [*Theories*, 3, p. 257, MEGA, II/3.5, p. 1778]), a special 'social form' [ibid.]. Wage labour is also 'a social determination of labour' [*Theories*, 2, p. 474, MEGA, II/3.4, p. 1474]), i.e., a definite social form of labour. The subdivisions of productive capital (constant and variable, fixed and circulating capitals), considered above from the aspect of the difference in their functions, are also different forms of capital [*Capital*, II, pp. 167–8 etc., MEGA, II/13, pp. 151–2]. Fixed capital represents a 'determination of form' [ibid., p. 170, MEGA, II/13, p. 154]. In exactly the same way, the money, productive, and commodity capitals represent different forms of capital [ibid., p. 50, II/13, p. 50]. Each of these forms corresponds to a special function. Money capital and commodity capital are 'special, differentiated forms, modes of existence corresponding to special functions of industrial capital' [ibid., pp. 82–3, II/13, p. 76]. Capital passes 'from one functional form to another, so that the industrial capital ... exists simultaneously in its various phases and functions' [ibid., p. 106, II/13, pp. 95–6]. If these functions become independent from each other and are carried out by separate capitals, then these capitals take on independent forms of commodity-commercial capital and money-commercial capital 'through the fact that the definite forms and functions which capital assumes for the moment appear as independent forms and functions of a separate portion of the capital and are exclusively bound up with it' [*Capital*, III¹, p. 323, MEGA, II/15, p. 316].

In this way, economic categories express different *relations of production* of people and the *social functions* or socio-economic *forms* of things corresponding to these relations. These functions or forms have a social character, because they are inherent not in things as such but in the things which appear in a definite social milieu, things through which^[108] people enter definite social relations of production among them. These forms contain not a property of things but properties of social milieus. Sometimes Marx simply speaks of 'form' or 'determination of form', but he keeps in view precisely 'economic form', 'social form', 'historical-social form', 'social determination of form', 'economic determination of form', 'historical-social determination' (cf. for example [*Capital*, I, pp. 44, 145, 148, MEGA, II/6, pp. 70, 165, 168; *Capital*, III², pp. 816, 824–5, 830–1, MEGA, II/15, pp. 791, 799–800, 805–6; *Theories*, 3, p. 341, MEGA, II/3.5,

[108] 'through which' is 'through which or for which' in the second edition.

p. 1856; *Theories*, 2, p. 493, etc., MEGA, II/3.4, p. 1493, etc.; *Critique*, p. 283, etc., MEGA, II/2, p. 120, etc.]). Sometimes Marx says in the same sense that a thing acquires a 'social existence', 'formal existence (Formdasein)', 'functional existence', 'ideal existence' (cf. *Capital*, I, and *Theories of Surplus Value* [*Capital*, I, pp. 44, 145, 147–8, MEGA, II/6, pp. 70, 165, 167–8; *Theories*, 2, pp. 397, 424, MEGA, II/3.4, pp. 1395–6, 1426; *Critique*, pp. 283, 338–9, 343–4, MEGA, II/2, pp. 120, 171, 175–6]). This social or functional existence of things is opposed to their 'material existence', 'actual existence', 'direct existence', 'objective existence' [*Capital*, I, p. 129, MEGA, II/6, p. 151; *Critique*, p. 343, MEGA, II/2, p. 175; *Capital*, III², pp. 824–5, MEGA, II/15, pp. 799–800; *Theories*, 2, pp. 346, 382, 398, 424, MEGA, II/3.4, pp. 1344, 1379, 1396, 1462]. In the same way, the social form or function is opposed to the 'material content', 'material substance', 'content', 'substance', 'elements of production', material and objective elements and conditions of production [*Capital*, I, pp. 44, 126, 152–3, MEGA, II/6, pp. 70, 148, 172; *Capital*, III², p. 825, MEGA, II/15, p. 800; *Critique*, pp. 346–7, 361–2, MEGA, II/2, pp. 177–8, 191; *Theories*, 2, pp. 397–8, 401–2, 407, 409, MEGA, II/3.4, pp. 1395–6, 1398, 1401–2, 1405, 1409; *Theories*, 3, pp. 285, 293–4, etc., MEGA, II/3.5, pp. 1803, 1811–2, etc.].^{6,[109]} All these expressions, which distinguish between the technical and social functions of things, the *technical role* of the means and conditions of labour and their *social form*, are reduced in essence to the basic distinction we have established above. The question is about the basic distinction between the process of material production and its social form, about the two different aspects, technical and social, in the unitary process of labour activity of people. Political economy studies the relations of production of people, i.e., social forms of the process of production, distinguished from its material-technical aspect.^[110]

Does this not mean that Marx's economic theory cuts the relations of production of people off ^[111]from the development of productive forces in studying

[109] The last sentence of note 6 beginning with 'On the other hand' is 'Cf. appendix 'On the Terminology of Marx,' in the second edition.

[110] 'material-technical aspect' is 'material 'content' or 'substance' in the second edition.

[111] In the second edition, 'completely' comes between 'off' and 'from.'

6 It must be pointed out that Marx sometimes uses also in the material-technical sense the terms 'function' and 'form'; the former is often used, the latter very rarely. This occasions a terminological inconvenience, but does not essentially prevent Marx from making a rigorous distinction between both meanings of these terms, except for some passages which are unclear and contradictory (for example, in Part 2 of Volume II of *Capital*). On the other hand, the terms 'substance' and 'content' are used by Marx not only in regard to material process of production, but also to its social form.

the social form of production separated from its material-technical content? Not at all. Each of the socio-economic forms studied by Marx presupposes as given definite phenomena in the material-technical process of^[112] production. The development of the form of value and of money presupposes, as we have seen, a permanent 'material exchange (Stoffwechsel)', a transfer of material things. Value presupposes a use value, the process of formation of value presupposes a process of production of use values.^[113] Abstract labour presupposes a totality of different sorts of concrete labour, applied in different branches of production, and socially necessary labour, i.e., a distinction in the productivity of labour in different enterprises of one and the same branch. Surplus value presupposes a certain level in the development of productive forces. Capital and wage labour represent a social form of technical factors of production: material and human. After the purchase of labour power by the capitalist, this same distinction of the material and human factors of production takes on the form of constant and variable capitals. The correlation of them, i.e., the organic composition of capital, is based on a certain technical composition of capital.^[114] The other division of capital, into fixed and circulating, too presupposes a technical difference between slow wear and tear of the instruments of labour and the complete consumption of the object of labour and of labour power. The metamorphosis or transformation of capital is based on the fact that productive capital directly organises the material process of production, while money and commercial capitals are in more indirect relation to this process, representing directly the phase of circulation. From here comes on the one hand the distinction between enterprise profit, commercial profit, and interest, and on the other the distinction between productive labour and unproductive labour (employed in the phase of circulation). The reproduction of capital also presupposes a reproduction of its material component parts. The formation of a common average rate of profit presupposes different technical and organic composition of capitals in individual branches of industry, and the absolute rent presupposes the same difference between the manufacturing industry, on the one hand, and the agricultural economy, on the other. In the form of differential rent is expressed the different productivity of labour in individual enterprises of agriculture and of extractive industry, brought about by the difference in fertility and location of individual plots of land.

[112] 'process of' is added in the third edition.

[113] 'the process of formation of value presupposes a process of production of use value' is 'i.e., production of useful goods' in the second edition.

[114] Here begins a new paragraph in the second edition.

As we can see, the relations of production among people grow *on the basis* of a certain state of the productive forces, economic categories presuppose determinate technical conditions. But in political economy, the latter appear not as conditions of the production process considered from its technical aspect, but solely as preconditions of the definite socio-economic form assumed by the process of production. This process appears in a certain socio-economic form, namely in the form of commodity-capitalist economy. Political economy studies precisely this form of economy and the totality of the relations of production among people particular to this form of economy. Marx's well-known theory, according to which use value is a precondition but not the source of exchangeable value, should be expressed in a generalised way: the object of investigation of political economy is the 'economic forms', types of relations of production of people in capitalist society, which presuppose a certain state of^[115] material process of production and of technical factors constituting its parts.^[116] However, Marx always protested decisively against transforming the latter from the presupposition of political economy into the object of its investigation, refuting the theories which derive value from use value, money from the technical properties of gold, capital from the technical productivity of the means of production. The economic categories (or social forms of things) are of course very closely dependent on the material process of production, but they cannot be directly derived from it; this can only be done through an intermediary link: the relations of production of people.^[117] Even in those categories, where technical and economic elements are very closely connected and almost overlapping one another, Marx very skilfully distinguishes one from the other, considering the former as the precondition of the latter. For example, the technical development of human and material factors of production is a precondition or basis on which the 'functional, formal', or social-economic difference between variable and constant capitals grows. But Marx decidedly refuses to see the distinction between them in that they 'serve as payment for a materially different element of production' [*Capital*, III¹, p. 32, MEGA, II/15, p. 36]. For him this difference is, rather, to be found in their functionally different role in the process of 'expansion of capital' (ibid.). The difference between the fixed and circulating capitals is in the different ways in which their *value* is transferred to the product, not in the different speed of their technical wear and tear. The latter difference constitutes the material basis, the pre-

[115] 'a certain state of' is added in the third edition.

[116] 'of technical factors constituting its parts' is 'technical factors inherent in this process' in the second edition.

[117] This long sentence is inserted in the third edition.

condition, the 'point of departure' of the former, but not the 'difference itself', which has an economic but not technical character [*Capital*, II, p. 201, MEGA, II/13, p. 182; *Theories*, 2, pp. 486–7, MEGA, II/3.4, p. 1487]. To take this technical precondition for the object of investigation would be to risk becoming similar to the vulgar economists Marx accuses of 'roughness' in their method of investigation, because of their interest in the 'difference of forms' and consideration of them 'only from their substantive side' [*Capital*, III¹, p. 323, MEGA, II/15, p. 316]. They 'are exclusively interested in the material aspect of the question and neglect every difference of form' [*Capital*, I, p. 508, MEGA, II/6, p. 505]. Marx's economic theory studies precisely the 'difference of forms' (of social-economic forms, of relations of production), which certainly grow on the basis of certain material-technical conditions, but should not be confounded with them. A completely *new methodological formulation* of economic problems by Marx is included precisely in this point, which is his great accomplishment, distinguishing his theory from that of his predecessors, the classical economists. [118] They directed their attention to discovering the material-technical basis of social forms, which they took for granted and did not subject to further analysis. By contrast, Marx aimed at disclosing the laws of the genesis and development of the social forms that the material-technical process of production acquires on a given stage of development of the productive forces.

This extremely profound difference in research methodology between the classical economists and Marx reflects the different necessary stages of development of economic thought. Scientific analysis 'begins, post festum, with the results of the process of development ready to hand before him' [*Capital*, I, p. 80, MEGA, II/6, p. 106], with the numerous socio-economic forms of things which the analyst finds already established and fixed in his surrounding reality (value, money, capital, wages, etc.). These forms 'have already acquired the stability of natural, self-understood forms of social life, before man seeks to decipher, not their *historical* character, for in his eyes they are immutable, but their *meaning*' (ibid., emphasis added). [119] In order to discover the content of these social forms, the classical economists reduce complex forms to simple abstract forms in analysing them, and in this way finally arrive at the material-technical basis of the process of production. By means of such an analysis they discover labour in value, means of production in capital, workers' means of

[118] In the second edition, the paragraph changes here.

[119] In the second edition, the following three lines from 'In order to' to 'they discover labour in value' run as follows: 'The classical economist, not analysing the socio-economic forms themselves, which are given to them as ready-made, only attempt to disclose their content, their material-technical basis. They discover labour in value.'

subsistence in wages, and surplus product brought about by the increase of labour productivity in profits. Starting with the ready-made social forms and taking them as eternal and natural forms of the process of production, they do not ask themselves how these forms arose. Classical political economy 'is not interested in elaborating how the various forms come into being, because it starts from them as given premises' [*Theories*, 2, p. 500, MEGA, II/3.4, p. 1499]. Afterwards, when the given socio-economic forms are finally^[120] reduced to their material-technical content, the classical economists consider their task as accomplished. But precisely where they halt their research,^[121] Marx continues it further. Not limited to the field of view of the capitalist economy and seeing in it only one of many possible social forms of economy existing historically, Marx asks the question: why does the material-technical content of labour process take on precisely the given *social form* at a certain stage of development of the productive forces? Marx's methodological formulation of the problem runs approximately as follows: why does labour assume the form of value, means of production the form of capital, workers' means of subsistence the form of wages, growth of the productivity of labour the form of an increase of surplus value. His attention is directed to the analysis of social forms of economy and to the laws of their genesis and development, to 'the process of development of forms (Gestaltungsprozess) in their various phases' (ibid.). This *genetic* (or dialectical)^[122] method, including within it both analysis and synthesis^[123], is opposed by Marx to the one-sidedly^[124] *analytical* method of the classical economists. As we can see, the specificity of Marx's genetic method consists not only in its historical but also in its sociological character, in the immutable attention paid to social forms of economy. The classical economists, starting from these social forms as given, attempt to reduce by means of analysis complex forms to simpler ones, for the purpose of discovering finally^[125] their *material-technical basis* or content. However, Marx, starting from a given state of the material process of production, from a given level of productive forces, tries to elucidate the genesis and character of the *social forms* assumed by the material process of production, beginning from simpler forms and passing from them by means of his genetic (or dialectical)

[120] 'finally' is added in the third edition.

[121] 'research' is 'analysis' in the second edition.

[122] '(or dialectical)' is added in the third edition.

[123] "including within it both analysis and synthesis," is added in the third edition.

[124] 'one-sidedly' is added in the third edition.

[125] 'reduce by means of analysis complex forms of simpler ones, for the purpose of discovering finally' is 'discover, mainly,' in the second edition.

method to increasingly complex forms.^[126] From here comes, as we have said above, the overwhelming interest of Marx in ‘economic forms’, in ‘determinations of form (Formbestimmtheiten)’.

[126] The part from “, beginning from” to “complex forms” is added in the third edition.

Relations of Production and Material Categories^[127]

At first glance, all the basic concepts of political economy (value, money, capital, profits, rent, wages, and so on) assume a material character. Marx showed that under each of them is hidden a certain social relation of production, which is realised in the commodity economy only through things, thus conveying to it a definite objective-social character, a ‘determination of form’ (more exactly: a social form), as Marx sometimes expresses it. In studying any economic category, we must first of all show the social relation of production expressed by it. Moreover, only in so far as a material category appears as the precise expression of a given, determinate relation of production, does it enter the framework of research. If that material economic category is not connected with a given relation of production of people, ^[128] we separate it from the framework of our research and leave it aside. We classify economic phenomena into groups and formulate economic concepts according to the identical characteristic of the relations of production of people expressed by them, ^[129] but not to the coincident characteristic of their material expression. For example, the theory of value studies exchange between autonomous commodity producers, their interaction in the labour process through the products of their labour. The fluctuation of value of these products on the market does not interest economist in itself, but it interests him in its connection to the distribution of labour in society, to the relations of production among independent commodity producers. For example, insofar as land, while not being a product of labour, appears in exchange, the relation of production hence does not connect here commodity producer to commodity producer but to farmer, and insofar as the price fluctuations of plots of land exercise a different influence on the course and distribution of the process of production than do price fluctuations of products of labour, in the same material form of exchange and value we are faced with a different social connection, a different relation of production, to be stud-

[127] Chapter 3 in the first edition.

[128] ‘a given relation of production of people’ is ‘a given social form i.e., a given relation of production’ in the second edition, ‘a given social form, i.e., a given social relation’ in the first edition.

[129] ‘the relations of production of people expressed by them’ is ‘their social form’ in the first and second editions.

ied separately in the theory of rent. Therefore land, while having a price i.e., a monetary expression of value (as a material category), does not have 'value' in the sense mentioned above, i.e., the price of land does not express^[130] in the act of exchange the functional social connection which connects the value of products of labour to the labour activity of independent commodity producers. Hence Marx makes the following formulation, which is so often misinterpreted:

Objects that in themselves are not commodities, such as conscience, honour, &c., are capable of being offered for sale by their holders, and of thus acquiring, through their price, the form of commodities. Hence an object may have a price without having value. The price in that case is imaginary, like certain quantities in mathematics. On the other hand, the imaginary price-form may sometimes conceal either a direct or an indirect real value relation; for instance, the price of uncultivated land, which is without value, because no human labour has been incorporated in it.¹

This formulation of Marx, which has not rarely caused embarrassment or even scorn of the critics,² expresses a profound thought about the possible discrepancy between the social form of labour relations and the material form corresponding to it. The material form has its own logic and can include within itself phenomena other than those relations of production which are expressed by it in a given economic formation. For example, a material form includes in itself, ^[131] in addition to the exchange of products of labour of independent commodity producers (the basic fact of commodity society), also the exchange of plots of land, the exchange of unreplicable goods or exchange in a socialist society, and so on. From the point of view of the material form of economic phenomena, the sale of cotton and the sale of Raphael's painting or of a plot of land are not at all distinguished from each other. But from the standpoint of

[130] 'the price of land does not express' is 'does not represent' in the first edition.

[131] 'in itself' is added in the third edition.

1 [*Capital*, I, p. 105, MEGA, II/6, p. 128].

2 'Real phenomena like value of land are presented as 'fictitious,' 'irrational,' but fictitious concepts like mysterious exchange value, not appearing in exchange, are recognised as the sole reality' (Tugan-Baranovsky, *Theoretical Foundations of Marxism*, fourth edition, 1918, p. 118). The above quoted passage from Marx means that, although purchase and sale of land does not directly express any relations among commodity producers through products of their labour, but it is connected to these relations and can be explained on their basis. In other words, the theory of rent is derived from the theory of value. Riekes misinterprets this phrase in the sense that the protection of property in land needs cost, i.e., labour, which is also expressed as the price of land (Riekes, *Value and Exchange Value*, p. 27 [Riekes, H., *Wert und Tauschwert: Zur Kritik der Marxschen Wertlehre*, Berlin, Simion, 1899.]).

their social nature, of their connections to relations of production and of their influences on the labour activity of society, these are phenomena of different order, which have to be studied separately.

Marx repeatedly emphasises that one and the same phenomenon appears in a different light depending on its social form.^[132] One and the same thing, for example a means of production, is not capital in the workshop of craftsman working with it, but it represents capital if the relation of production between wage labourers and their employer-capitalist is expressed by it and realised by means of it. Even in the hands of the capitalist it represents capital only in the framework of such a relation of production between him and wage labourers. In the hands of money capitalist, it plays a different social role.

The conditions of labour are of course capital only insofar as they confront the labourer as his non-property and consequently function as someone else's property. But they can function in this way only in contradiction to labour. *The antagonistic existence of these conditions in relation to labour makes their owners capitalists*, and turns these conditions owned by them into capital. But capital in the hands of moneyed capitalist A does not have this contradictory character which turns it into capital and which therefore makes ownership of money appear as ownership of capital. *The real determination of form (Formbestimmtheit) by means of which money or a commodity is converted into capital is obliterated*. Moneyed [capitalist] A does not confront the worker at all, but only another capitalist – capitalist B.³

The determination of social form, dependent on^[133] the character of relations of production, is the basis of the development and classification of economic concepts.^[134]

Political economy^[135] studies certain material categories insofar as they are connected to social relations of production. Inversely, the social relations of

[132] In the first and second editions here comes one following sentence, deleted in the third edition: 'The well-known distinction made by Marx between labour as the creator of value and labour power as a commodity is not based on their distinction as objects, but on the different social characteristics of labour relations (cf. below, in the chapter [14] on 'abstract labour')'.

[133] 'depending on' is 'i.e.,' in the first and second editions.

[134] In the first edition here is a note, deleted in the second edition, but its content is reproduced as the third and fourth sentences in note 4 in the newly added Chapter 4.

[135] 'Political economy' is 'In this way, political economy' in the first edition.

3 [Theories, 2, p. 456, MEGA, II/3.4, pp. 1458–9. Emphasis in original].

production of the commodity economy are realised and expressed only in material form, and economic theory studies them precisely in this form. The specificity of economic theory as a science, studying commodity-capitalist economy, consists precisely in that it studies the relations of production assuming material form. Of course, the cause of this reification of relations of production is in the spontaneity^[136] of the commodity economy. But precisely because the commodity economy, the *object* of economic theory, stands out by its spontaneous character, political economy as a *science* of the commodity economy is inseparable from material categories.^[137] The logical specificity of theoretical-economic knowledge must be derived precisely from this material character of economic categories, but not directly^[138] from the spontaneity of the national economy.^[139] The great transformation in political economy carried out by Marx consists in the fact that under the material categories he discerned the social relations of production, the genuine object of political economy as a social science. Thanks to this new 'sociological' point of view, economic phenomena appeared in a new light, in a different perspective. The laws which were established by the classical economists obtain in Marx's system a completely different character and meaning.⁴,^[140]

[136] In the first and second editions, here comes " , the absence of regulation", deleted in the third edition.

[137] This sentence is inserted in the third edition.

[138] 'directly' is added in the third edition.

[139] In the first edition here comes a following sentence in parentheses: '(as the following authors think: Tugan-Baranovsky, *Foundations of Political Economy*, 1917, pp. 11–13; Bukharin, *The Political Economy of Rentiers*, pp. 48–9, and Hilferding in his article 'On the Formulation of the Problem of Theoretical Economy in Karl Marx', *Neue Zeit*, 1904–5, vol. 1 [English translation in Richard B. Day and Daniel F. Gaido (eds.), *Responses to Marx's Capital – from Rudolf Hilferding to Isaak Illich Rubin*, Haymarket Books, Chicago, pp. 362–77], Russian translation in the collection *Fundamental Problems of Political Economy*, edited by Sh. Dvolaitzky and I. Rubin, Moscow, 1922, p. 122).' In the second edition, this passage becomes a footnote for the same place of the main text, which is deleted in the third edition.

[140] In the first edition, this paragraph is followed by another paragraph of a dozen of lines, which is diverted substantially in the same form to a paragraph in Chapter 4 in the second edition beginning with 'Marx explained his view.' Cf. p. 60 in this translation.

4 The ignorance of this essential distinction of Marx's theory of value from the theory of classical economists is the weak side of Rosenberg's book, *Ricardo and Marx as Value Theorists* [1903, original in German]. Cf. our introductory article to the Russian translation of this book [this last sentence is added in the second edition, Here Rubin speaks of his article: 'Basic features of Marx's theory of value and how it differs from Ricardo's theory', 1924. The English translation of this introductory article of Rubin is published in Day and Gaido (eds.), *Responses to Marx's Capital*, pp. 540–82].

Struve on the Theory of Commodity Fetishism^[141]

Marx's perception, explored above, of economic categories as expressions of social relations of production provoked critical commentary from Peter Struve in his book *Economy and Price*. Struve recognises the merit of Marx's theory of fetishism in that it disclosed behind capital the social relation of production between the capitalist class and the labouring class. However, he does not consider justifiable the extension of the theory of fetishism to the concept of value, as well as to other economic categories. Struve, like many other critics of Marx, thus transforms the theory of fetishism from a general fundamental basis of Marx's system into a separate, though brilliant, digression.

Struve's critique is closely related to his division of all economic categories into three kinds: 1) 'Economic' categories which express 'economic relations of every economic subject to the outside world',¹ for example subjective value; 2) 'Inter-economic' categories which express 'phenomena, arising from interaction of autonomous economic units' (p. 17), for example, objective (exchange) value; 3) 'Social' categories which express 'phenomena, arising from interaction of economic agents, occupying different social positions' (p. 27), for example, capital.

Struve includes only the third group ('social' categories) in his concept of social relations of production. In other words, in the place of the latter he takes a narrower concept, namely the relations of production among social classes. Starting from this point, he recognises that relations of production (i.e., social or class relations) are concealed behind the category of capital, but never behind the category of value (Struve makes use of the term 'tsennost'^[142]),

[141] Chapter 4 in the first edition.

[142] The Russian words meaning 'value' are 'stoimost' (стоимость) and 'tsennost' (ценность). In the literature published in the Soviet Union during the value debate of the 1920s, including Rubin's own writings, the commonly used word for 'value' is the former, though the latter was used in rare cases. The word 'tsennost' seems to belong to a rather older vocabulary. For example, the Russian economist of the nineteenth century, N.I. Ziber (Н.И. Зибер) uses always 'tsennost' for 'value' in his main work published in 1871 and praised by Marx in the 'Afterword' to the second edition of Volume 1 of *Capital* (1873): 'David Ricardo and Karl Marx in their socio-economic researches (Давид Рикардо и Карл Маркс в их общественно-экономических исследованиях).'

1 *Economy and Price*, vol. 1, p. 17.

which expresses relations among equal, independent, autonomous commodity producers and hence is related to the second group of 'inter-economic' categories. Marx was right in discovering the fetishism of capital, but made a mistake in the theory of the fetishism of the commodity and of commodity value.

The fallacy of Struve's reasoning arises from the groundlessness of his division of economic categories into three groups. The 'economic' categories, in so far as they express phenomena of 'pure economic activity' – abstracted from all social forms of production – lie altogether outside the framework of political economy as a social science. Such 'inter-economic' categories can never be distinctly separated from the social categories, as Struve does, since the 'interaction of autonomous economic units' is not simply a formal sign, evident across different economic formations and endemic to all the historical epochs. It is a definite social fact, a particular 'relation of production' among individual economic units, based on private ownership and connected by the division of labour, i.e., it is a relation which presupposes a definite social structure of society and fully develops only in a commodity-capitalist economy.

Finally moving to the 'social' categories, we must point out that Struve limited these, without sufficient justification, to the 'interaction of economic agents, occupying different social positions'. Indeed, as has been shown, the 'equality' among commodity producers is itself a social fact, a definite relation of production. Struve himself understands the close connection between the 'inter-economic' categories (expressing the equality of commodity producers) and 'social' categories (expressing an inequality of classes). He says that the social categories 'would take on the form of inter-economic categories in every society built according to the type of economic intercourse ... The fact that the social categories in the inter-economic intercourse are vested with the costume of inter-economic categories gives rise to an appearance of identity between them' (p. 27). This is of course not, actually, a matter of a change of clothes with the other's costume. Rather, here we are faced here with one of the basic, most characteristic traits of commodity-capitalist society: the fact that, in the economic field, social relations do not assume a character of direct social dominance of some social groups over others, but instead are realised by means of 'economic compulsion', i.e., through the interaction of individual, autonomously active economic subjects on the basis of mutual agreements. Capitalists deploy power 'not as political or theocratic rulers', but as 'the personification of the conditions of labour in contrast to labour' [*Capital*, III², p. 881, MEGA, II/15, p. 853]. As the relations among classes have as their starting point the relations between capitalist and labourer as autonomous economic subjects, they cannot be studied and understood without the category of 'value'.

Struve himself cannot consistently hold to his point of view. Capital is, in his opinion, a social category. But he defines it as a 'system of interclass and intraclass social relations' (pp. 31–2), i.e., as relations between classes of capitalists and of labourers, on the one hand, and as relations among individual capitalists in the process of distribution of the total profits among them, on the other. But indeed, the relations among individual capitalists do not arise 'from interaction of economic agents, occupying *different* social positions'. Why are they then subsumed under the 'social' category like capital? This means that the 'social' categories comprise not only the interclass but also intraclass relations, i.e., relations among persons in the same class position. What, then, prevents us from seeing a 'social' category in value, and a social relation of production or, in Struve's terminology, a social relation in the relations among autonomous commodity producers?

As we see, ^[143] Struve himself does not maintain a distinct binary division of social relations of production into 'inter-economic' and 'social'. Hence he is incorrect in seeing a 'scientific inconsistency of the construction' of Marx in that the 'social category i.e., capital', as a social 'relation', is derived from economic category i.e., 'value' (p. 29). First of all, it must be pointed out that on page 30, Struve at first glance contradicts himself in calling value 'inter-economic' but not an economic category. Struve likely relates subjective value to 'economic' categories, and objective, exchange value to 'inter-economic' categories (this becomes clear by comparing this statement with his reasoning on page 25). However Struve is very aware of the fact that Marx derived capital from objective and not subjective value, i.e., in Struve's terminology, from an inter-economic and not an economic category. Struve accuses Marx of this procedure. In point of fact, both 'social' categories like capital and 'inter-economic' categories like value belong in Marx's system to one and the same group of categories. These are social relations of production, or as Marx sometimes expresses it, socio-economic relations, which express therefore both the economic element and its social form, in opposition to their artificial separation by Struve.

When narrowing the concept of relations of production to the concept of 'social', or more exactly class relations, Struve is aware that in Marx this concept has a wider character. He writes:

In *The Poverty of Philosophy*, demand and supply, division of labour, credit, money appear as relations of production. Finally, on page 130 we read:

[143] 'As we see' is 'In this way' in the first edition.

‘The modern workshop, which is based on the application of machinery, is a social relation of production, an economic category’ [MECW/6, p. 183, MEW/4, p. 149, Karl Marx *Œuvres Economie 1*, préface par François Perroux, édition établie et annotée par Maximilien Rubel, *Bibliothèque de la Pléiade*, Gallimard, Paris, 1972, p. 99]. It is evident that all the generally used economic concepts of our time are considered here as social relations of production, and no doubt this is right in so far as the content of these concepts are in any way social relations of people in the process of economic life.²

But, while not denying, so to speak, the rightfulness of Marx’s concept of relations of production, Struve nevertheless finds it ‘extremely indeterminate’ (p. 30), considering it more accurate, as we have seen, to limit it to the domain of ‘social’ categories. This is highly characteristic of some critics of Marx. It is impossible following Marx to ignore the significance of the social aspect of production, i.e., of its social form. For those who do not agree with Marx’s conclusions, there is nothing to do other than to separate distinctly the social aspect from the economic aspect and to remedy the former by chasing it away to a special field. This is done by Struve, and also by Böhm-Bawerk, who – having founded his theory on the motives of ‘pure economic activity’, i.e., on the motives of an economic agent, isolated from a certain social and historical milieu – promises to examine on some future occasion the role and meaning of the ‘social’ categories.

Restricting^[144] the theory of fetishism to the field of ‘social’ categories, for example capital, Struve considers as wrong to extend it to ‘inter-economic’ categories, for example to the concept of value. This is why he takes a dual position. Struve estimates highly Marx’s theory of capital as social relation, but, with regard to the other economic categories, he himself holds to the fetishistic perspective. ‘Thus all the inter-economic categories always express objective phenomena and relations, but at the same time human relations among people. Thus, subjective value, transformed into objective (exchange) value, from a state of consciousness, from a feeling, stirred toward an object (thing), becomes their property’ (p. 25). We cannot but notice a contradiction here. On the one hand, we study the ‘objective relations but at the same time also human relations’, i.e., social relations of production, realised through things and expressed

[144] ‘Restricting’ is ‘In this way, restricting’ in the first edition.

² Ibid., p. 30.

in things. On the other hand, we are faced with a 'property' of the things themselves. Thus Struve concludes:

it is then clear that the 'reification', 'objectification' of human relations, i.e., the phenomenon, which Marx called the fetishism of the commodity world, appears in the economic intercourse as psychological necessity, and as far as the scientific analysis limits itself (consciously or unconsciously) to the economic intercourse, it is solely the fetishistic point of view that appears methodologically justifiable.³

If Struve wanted to demonstrate that economic theory cannot reject material categories, and must necessarily study the relations of production of the commodity economy in their material form, then he would of course be right.^[145] The only question is whether we study these material categories, following Marx's example, as the forms of manifestation of given relations of production, or, following Struve, as the properties of things.

Struve tries, with yet another argument, to stand on the fetishistic, material point of view on 'inter-economic' categories. 'In considering inter-economic categories, Marx forgot that they are inseparably connected to the relations of man with the material world, nature, things in their concrete and real manifestations' (p. 26). In other words, Struve stresses the role of the material production process. Marx took sufficiently into consideration this role in his theory about the dependence of relations of production on the difference in productive forces. But we cannot draw any conclusions about the significance of material categories from the significance of things in the material process of production when studying the social form of production, i.e., of relations of production. Marx shed light also on the latter problem, drawing a particular connection between the material process of production and its social form in commodity-capitalist society. It was precisely on this basis that Marx built his theory of commodity fetishism.

For some critics of Marxism, the attempt to restrict the theory of fetishism runs contrary to that of Struve. Struve recognises the fetishism of capital, but not the fetishism of value. To a certain extent we find the opposite in Ham-

[145] In the first edition a sentence, deleted in the second edition, follows here: 'Marx himself emphasised that the theory of commodity fetishism 'by no means dissipates the mist through which the social character of labour appears to us to be an objective character of the products themselves' [*Capital*, I, p. 79, MEGA, II/6, p. 105].'

3 Ibid., p. 25.

macher. In his reading, in the first volume of Marx's magnum opus 'capital is defined as a totality of commodities representing accumulated labour', i.e., is given a material definition, with 'the fetishism of capital' only appearing in volume III. According to Hammacher, Marx transferred to capital the characteristic of commodity simply for analogy,^[146] commodity as fetish, considering that 'commodity and capital differ only quantitatively'.^{4,[147]}

^[148]The contention that in Volume I of *Capital* capital is defined as a thing but not as a social relation is even not in need of refutation: it contradicts essentially the entire content of Marx's book. Equally wrong is the opinion that Marx saw only 'quantitative' difference between commodity and capital. Marx emphasised that capital 'announces from its first appearance a new epoch in the process of social production' [*Capital*, I, p. 167, MEGA, II/6, p. 186]. But both capital and commodity conceal in themselves definite social relations of production behind their material form. The fetishism of the commodity and the fetishism of capital arising from it are equally inherent in^[149] capitalist society. It is equally wrong to restrict Marx's theory of fetishism only to the field of capital, as done by Struve, or only to the field of simple commodity circulation. The reification of social relations of production lies in the very essence of the unorganised commodity economy, and presses its stamp on all the basic categories of everyday economic thinking, as well as of political economy as the science of the commodity-capitalist economy.

[146] 'transferred to capital the characteristic of commodity simply for analogy' is 'simply transferred to capital the analogy with commodity' in the first and second editions.

[147] In the first edition, the content of note 4 below is included in the main text in parentheses.

[148] The following paragraph is not independent but a continuance of the preceding one in the first edition.

[149] 'inherent in' is 'proper to' in the first and second editions.

4 Hammacher, *The Philosophical-Economic System of Marxism*, 1909, p. 546 [original in German].

The Development of the Theory of Fetishism in Marx^[150]

The question of the provenance and development of Marx's theory of fetishism has until now remained entirely unexamined. In contrast to the meticulous examinations Marx offered on the embryonic forms of the theory of labour value in all his predecessors, and to the long list of their theories given in the three volumes of *Theories of Surplus Value*, he was very stingy in his remarks on the theory of fetishism. (In Volume III of *Theories of Surplus Value*, pp. 354–55, 1910 [*Theories*, 2, pp. 428–9, MEGA, II/3.4, p. 1432. The volume number of *Theories* given by Rubin is in Kautsky's edition and in Russian translations from this edition], Marx points out the embryonic form of the theory of fetishism in Hodgskin. But in our opinion these remarks are extremely indistinct, and made incidentally.) If the question of the relation of Marx's theory of value to the theory of classical economists is debated in economic literature with great eagerness, though not with particular success, the development of Marx's concept of commodity fetishism has not attracted any particular attention.

We can find a few observations on the provenance of Marx's theory of commodity fetishism in Hammacher's book, mentioned above. In his opinion, the provenance of this theory is purely 'metaphysical'; Marx simply transferred to the economic field the ideas of Feuerbach on religion. According to the theory of Feuerbach, the development of religion is a process of 'self-alienation' of man: man transfers his own essence to the external world, transforms it into god, alienates it from himself. Marx transfers this theory of 'alienation' at first to ideological phenomena: 'the entire content of consciousness represents an alienation of economic conditions, from which therefore the ideology should be explained' (Hammacher, *ibid.*, p. 233). Marx extends further this theory also to the domain of economic relations, and in them discovers an 'alienated', material form. He affirms that 'for almost all the former historical epochs the mode of production itself represented a universal self-alienation; what is only a relation, social relation became object. Feuerbach's theory of alienation assumes thus a different character' (*ibid.*, p. 233). 'Just as the desires of the human species are

[150] Chapter 5 in the first edition.

reified and appear as an alienated essence in religion according to Feuerbach, so do the economic relations in social life according to Marx' (p. 234). In this way, Marx's theory of fetishism is a 'specific synthesis of Hegel, Feuerbach, and Ricardo' (p. 236), with, as we have seen, a predominant influence of Feuerbach. It transfers the religious-philosophical theory of Feuerbach's 'alienation' into the field of the economy. From here we can see that, in Hammacher's opinion, this theory offers us nothing for understanding economic phenomena in general and the commodity form in particular. 'In the metaphysical provenance of the theory of fetishism lies the key for understanding the theory of Marx, but not for discovering the commodity form' (p. 544). The theory of fetishism contains an extremely valuable 'criticism of contemporary culture', the reified culture oppressing living man; but 'as an economic theory of value the commodity fetishism is erroneous' (p. 546) 'The economically unsustainable theory of fetishism is transformed into an extremely valuable sociological theory' (p. 661).

Hammacher's conclusion about the fruitlessness of Marx's theory of fetishism for understanding his entire economic system, and in particular his theory of value, arises from his incorrect hypothesis about the 'metaphysical' provenance of this theory. Hammacher draws on *The Holy Family*, a work written by Marx and Engels at the end of 1844, when Marx was still under the strong influence of the ideas of utopian socialism, particularly those of Proudhon. Indeed, in this work we find an embryo of the theory of fetishism in the form of an opposition between the 'social' or 'human' relations and their 'alienated', material form. But this opposition has as its source the widely-shared view of utopian socialists on the capitalist system, characterised by the fact that labourer is forced to 'self-alienate' his own personality and 'alienate' from himself his product of labour, and that in this state of things is expressed the domination of 'things', capital over man, over the labourer.^[151]

Let me quote certain passages from *The Holy Family*. Capitalist society represents 'the practically alienated relation of man to his *objective essence* and the *economic* expression of human self-alienation' [MECW/46, p. 42, MEW/2, p. 44]. 'The definition of buying already implies that he regards his product as an object that is no longer his, an alienated object' [ibid., p. 52, MEW/2, p. 54].

[151] In the first and second editions, this paragraph ends with the following sentence, deleted in the third edition: 'The theory of alienation, as is developed in *The Holy Family*, grew, contrary to the opinion of Hammacher, not so much on the 'metaphysical' soil of Feuerbach's philosophy as on the basis of the economic ideas of utopian socialism.'

The propertied class and the class of the proletariat present the same human alienation. But the former class feels at ease and strengthened in this self-alienation, it recognises alienation as *its own power* and has in it the *semblance* of a human existence. The latter feels annihilated in alienation; it sees in it its own powerlessness and the reality of an inhuman existence.¹

It is against this 'most inhuman form' of capitalist exploitation, against this 'abstraction of all humanity, even of the *semblance* of humanity' [ibid., p. 36, MEW/2, p. 38], that utopian socialism raises its voice in the name of eternal equity and in the interests of oppressed labouring masses. It opposes to 'inhuman' reality a utopia, the ideal of the 'human'. This is precisely why Marx praises particularly Proudhon, opposing him to bourgeois economists. 'The economists themselves occasionally feel these contradictions, the development of which is the main content of the conflict between them. When, however, the economists become conscious of these contradictions, *they themselves* attack *private property* in one or other *particular* form' [ibid., p. 33, MEW/2, p. 34]. 'All treatises on political economy take *private property* for granted. This basic premise is for them an incontestable fact to which they devote no further investigation. ... But Proudhon makes a critical investigation of the basis of political economy, *private property*' [ibid., pp. 31–2, MEW/2, pp. 32–3]. 'By making labour time, the immediate existence of human activity as activity, the measure of wages and the determinant of the value of the product, Proudhon makes the human side the decisive factor. In old political economy, on the other hand, the decisive factor was the material power of capital and of landed property' [ibid., p. 49, MEW/2, p. 51].

In this way, in capitalist society the 'material' element, the power of capital, dominates. This is not an illusory, erroneous refraction in the human thinking of the social relations among people, of the relations of domination and subordination; this is a real social fact. 'Property, money, capital, wage-labour, and the like are not ideal figments of the brain but very practical, very objective products of their self-alienation' [ibid., pp. 53, MEW/2, pp. 55–6]. To this 'material' element, actually dominating in economic life, is opposed the 'human' element, as an ideal, as a norm, as what should be. Human relations and their 'alienated' form belong to two worlds, a world of what should be and a world of what is; this is a condemnation of the capitalist reality in the name of the

1 [ibid., p. 36, MEW/2, p. 37].

socialist ideal. This opposition reminds^[152] us of Marx's theory of commodity fetishism, but essentially it revolves around a different world of ideas. In order to transform this theory of 'alienation' of human relations into a theory of the 'reification' of social relations (i.e., into the theory of commodity fetishism), Marx had to overcome the distance from utopian to scientific socialism, from praising Proudhon to the severe criticism of his ideas, from the negation of reality in the name of an ideal to a search of the forces for further development and movement in the reality itself. From *The Holy Family* Marx had to go to *The Poverty of Philosophy*. If in the former work Proudhon was praised for starting his reasoning from the negation of private property, in the latter Marx builds his economic system precisely on his analysis of the commodity economy, based on private property. If in *The Holy Family* Marx finds Proudhon's merit in his constitution of the value of products on the basis of labour time (as 'the direct essence of human activity'), in *The Poverty of Philosophy* he is subjected to criticism for the same reason. The formula on 'the determination of value by labour time' is transformed for Marx from the norm of what should be into a 'scientific interpretation of the actual economic life' [MECW/6, p. 124, MEW/4, p. 81]. Marx converted from Proudhon partway towards Ricardo, passing from utopianism to the research of the actual reality of the capitalist economy.

Marx's transition from utopian to scientific socialism introduced an essential change into the theory of 'alienation' described above. If the opposition between human relations and their 'material' form meant an opposition of what should be and what is, now both of these opposed factors are transferred to the world as it is, to social being. The economic life itself of contemporary society was now understood by Marx as on the one hand the totality of social relations of production, and on the other hand a series of 'material' categories, in which these relations are manifested. Relations of production among people viz., their 'material' form. Such is the new opposition, which arose from the former opposition of the 'human' element in economy to its 'alienated' form. The formula of commodity fetishism was discovered in this way. But a series of further steps were still required in order that this theory would acquire in Marx its ultimate formulation.

As can be seen from the above quotations from *The Poverty of Philosophy*, Marx says in this work repeatedly that money, capital, and other economic categories are not things, but relations of production. Marx gives a general for-

[152] In the first and second editions, 'This opposition reminds us' is 'This opposition, inspired to Marx not so much by Feuerbach as by the utopian socialism, reminds us at times'.

mulation to this concept in the following words: 'Economic categories are only the theoretical expressions, the abstractions of the social relations of production' [ibid., p. 165, MEW/4, p. 130]. Behind the material economic categories Marx already discerned social relations of production. But he did not yet ask the question of why relations of production of people^[153] in a commodity society necessarily take on this material form. This step was taken by Marx in *A Contribution to the Critique of Political Economy*. There, Marx says that 'it is a characteristic feature of labour which posits exchange value that it causes the social relations of individuals to appear in the perverted form of a social relation between things' [*Critique*, p. 275, MEGA, II/2, p. 113]. Here is provided a correct formulation of commodity fetishism, which points out the material character inherent in the relations of production in a commodity economy, but does not yet show the cause of this 'reification' and its inevitability in an unregulated national economy.

In this 'reification' Marx apparently sees above all a 'mystification', which is comparatively transparent in the commodity form and more complicated in money and capital. He explains the possibility of this mystification with the 'habit of everyday life'. 'Only the conventions of our everyday life make it appear commonplace and ordinary that social relations of production should assume the shape of things, so that the relations into which people enter in the course of their work appear as the relations of things to one another and of things to people' [ibid., p. 276, MEGA, II/2, p. 114]. Hammacher is quite correct when he finds this explanation of commodity fetishism in terms of habits very weak, but he is profoundly wrong when he affirms that this is the only explanation given by Marx. 'Startlingly enough', he says, 'Marx made light of the justification of this essential point; in *Capital* it is not at all mentioned' (Hammacher, ibid., p. 235). If in *Capital* no mention is made of 'habit', it is because the whole section in the first chapter on commodity fetishism contains a complete and profound explanation of this phenomenon: that the absence of direct regulation of the social process of production necessarily leads to an indirect regulation of it through the market, through the products of labour, through things. Therefore the 'reification' of relations of production is not solely 'mystification' or illusion, but is one of the specific characteristics of the structure of contemporary society.

The behaviour of men in the social process of production is purely atomic.
Hence their relations to each other in production assume a material char-

[153] 'of people' is added in the third edition.

acter independent of their control and conscious individual action. These facts manifest themselves at first by products as a general rule taking the form of commodities.²

The reification of relations of production arises not from 'habit' but from the internal structure of the commodity economy. Fetishism is a phenomenon not only of social consciousness but also of social being. To affirm, as does Hamacher, that Marx saw the explanation of fetishism only in 'habit' amounts to neglecting altogether the ultimate formulation of the theory of commodity fetishism found in Volume I of *Capital* and in the chapter on 'The Trinity Formula' in Volume III.

In this way, in *The Holy Family* the 'human' element of the economy is contrasted to the 'material', 'alienated', as something ideal is contrasted to reality. In *The Poverty of Philosophy* Marx discloses social relations of production behind things. In *A Contribution to the Critique of Political Economy*, he points out the specificity of the commodity economy, included in that the social relations of production are 'reified'. A detailed description of this phenomenon and the explanation of its objective necessity in the commodity economy is found^[154] in Volume I of *Capital*, mainly in relation with the concepts of value (commodity), money, and capital. In Volume III of *Capital*, in the chapter on 'The Trinity Formula', Marx gives a further, though fragmentary, development of the same thinking in relation to fundamental concepts of the capitalist economy, and, in particular points out a specific 'coalescence' of social relations of production with the process of material production.

[154] 'is found' is 'is found only' in the first edition.

2 [*Capital*, I, p. 96, MEGA, II/6, p. 121].

SUBPART II

Marx's Theory of Labour Value



Introduction to Subpart II: Marx's Theory of Labour Value

It is not unusual for Marx's critics to accuse that he did not at all demonstrate his theory of labour value, but only decreed it as something self-evident. Other critics are ready to see something similar to such a demonstration in the first pages of *Capital*, and direct their heavy fire against the arguments with which Marx opens his work. Böhm-Bawerk proceeds thus in his critique (*Karl Marx and the Close of his System* [1896]; *The Positive Theory of Capital* [1889]); the arguments of Böhm-Bawerk appear at first sight so convincing that one could dare say that, so far, no criticism of Marx's theory of value has ever done without repeating them. However, Böhm-Bawerk's entire criticism stands or falls together with the assumption on which it is built: namely, that the first five pages of *Capital* contain the sole foundation Marx gave to his theory of value. No view could be more erroneous.^{[155],[156]} In the first pages of *Capital*, by means of the *analytical* method, Marx passes from exchange value to value, from value to labour. But the complete dialectical foundation of Marx's theory of value can be given only on the basis of his theory of commodity fetishism, studying the general structure of the commodity economy. It is there that we must disclose the foundation of Marx's theory of value, and only after that we

[155] Here Rubin points out the mistake contained in the critique of Marx's theory of value Böhm-Bawerk carried out on the assumption that the procedure of 'extraction of the substance of value' through the so called 'method of evaporation' at the beginning of the Volume I of *Capital* is decisive for Marx's theory of value to stand or fall. Rubin takes up and further examines this question also at the beginning of Chapter 12 of the present book. Incidentally, the 'procedure of proof' of the substance of value by the 'method of evaporation', often made an example of the criticism of Marx's theory of value since Böhm-Bawerk, was introduced into the opening pages of Marx's theory of value only in a later part of *Theories of Surplus Value*, where Marx had to examine the two opponent theories of value of Ricardo and Samuel Bailey with double-edged criticisms (Cf. MECW, vol. 32, k 'Disintegration of the Ricardian School'). The introduction by Marx of the apparent procedure of 'demonstration' can be understood only when taking into consideration such a particular conjuncture in the history of economic thought. But it seems to have had rather negative consequences for Marx's theory of value.

[156] In the first and second editions, the following two sentences ending with 'of the commodity economy' read as: 'This view confounds Marx's method of presentation with the method of its demonstration. But as precisely Marx pointed out in the afterword to the second edition of *Capital*, 'the method of presentation must differ in form from that of inquiry' [*Capital*, I, p. 28, MEGA, II/6, p. 709]. Böhm-Bawerk limits himself to the former, losing sight of the fact that it can be explained and even correctly understood only from the latter.'

will become able to understand the description of Marx in the famous first chapter of *Capital*. Only then will Marx's theory of value itself as well as the numerous critical objections against it appear in a proper light. Only after Hilferding's works ('Böhm-Bawerk as Critic of Marx [*Marx-Studien*, Vienna, 1904]', and the article mentioned above 'On the Problems of Economic Theory in Marx ['Zur Problemstellung der theoretischen Ökonomie bei Karl Marx', *Die Neue Zeit*, Stuttgart, 1905, ss.101–12]'), was a proper understanding of the sociological character of Marx's theory of value made possible. This theory has as its starting point a definite social milieu, a society with a definite structure of production. This proposition has been often repeated by Marxists; but before Hilferding nobody made of it the cornerstone of the entire edifice of Marx's theory of value. Great merit pertains to Hilferding in this respect, but unfortunately he did not go further than putting forward generally the problem of the theory of value, and did not give^[157] it a systematic foundation.

As was shown above in the part^[158] on commodity fetishism [from Chapter 1 to 7 in the present book], the centre of gravity of the theory of fetishism is not in the fact that it discloses the relations of production of people behind the material categories of political economy, but in that these social relations of production of people inevitably take on a material form and that only in this form are they realised. Marx's theory of value should be understood in a manner analogous to this. The usual cursory formulation of this theory runs as follows: that commodity values depend on the quantity of labour socially necessary for their production; or in a generalised formulation, that behind value is hidden or contained labour, that value is 'reified' labour. It is more accurate to express the theory of value in an opposite way: that in the commodity-capitalist economy, production-labour relations among people unavoidably take on the form of value of things, and also can solely be manifested in this material form; the social^[159] labour can find its expression only in value. Here, at the starting point is placed not value but labour, not acts of market exchange as such but a structure of production in the commodity society, the totality of relations of production of people. The acts of market exchange appear as a necessary consequence of the internal structure of society, as one of the elements of social relations of production. The theory of labour value is founded not on the analysis of the act of exchange as such, in its material form, but on the inquiry into those social relations of production, of which the act of exchange appears as the expression.

[157] 'and did not give' is 'not having given' in the first and second editions.

[158] 'above in the part' is 'in the chapter' in the first and second editions.

[159] 'social' is added in the third edition.

Basic Characteristics of Marx's Theory of Value^[160]

Before setting out to the detailed description of Marx's theory of value, it is necessary to outline its general characteristics. Otherwise, ^[161]the description of individual aspects and partial problems of the theory of value, interesting and very complex, could^[162] detract from the attention of reader those basic ideas, on which the whole theory is built and which pervade every part of it. Of course, the general characteristics of Marx's theory we will present in this chapter can be fully developed and established only in the following chapters. On the other hand, it will be inevitable that the reader will come across from time to time in subsequent chapters repetitions of the ideas sketched here, though presented in greater detail.

All basic concepts of political economy express, as we have seen, *reified relations of production of people*. If we approach the theory of value from this point of view, we are faced with the task of showing that value is: 1) a social relation of *people*; 2) which has assumed a *material* form; and 3) which is connected to the process of *production*.

At first glance, value, as well as the other concepts of political economy, appears to us as a property of a thing. In observing the phenomena of exchange, we see that everything on the market is exchanged against a certain quantity of any other thing or, in the conditions of developed exchange, against a certain sum of money (gold), for which it is possible to buy any other thing on the market (naturally within the limits of this sum). This sum of money or price of thing changes almost every day, depending on market fluctuations. Today on the market there was a shortage of woollen cloth and its price rose up to 3 roubles 20 kopecks per metre.^[163] In a week the quantity of woollen cloth supplied to the market exceeds the ordinary amount of supply, and the price falls to 2 roubles 75 kopecks per metre. If you take a somewhat longer period of time, these everyday fluctuations and deviations of price tend to orbit around some average level, around an average price, which is, for example, equal to 3 roubles per metre. In capitalist society this average price is pro-

[160] This chapter is inserted in the second edition.

[161] 'the description of' is 'we will run the risk that the description of' in the second edition.

[162] 'could' is added in the third edition.

[163] 'metre' is 'arshine' (about 71 cm) in the second edition. The same applies to the following two similar cases in this paragraph.

portional not to the labour value of a product, i.e., to the quantity of labour necessary for its production, but to the so-called 'price of production', which is equal to the costs of production for the given product plus the average profit on the invested capital. However, for the sake of simplification of analysis we will abstract the fact that the woollen cloth is manufactured by capitalist with the help of wage labourers. Indeed, Marx's method, as we have seen above, consists of separating and studying individual types of the relations of production, which only in their entirety give a picture of the capitalist economy. For the moment we study only one basic type of the social relations of production among people in commodity society, namely the relations among people as *individual commodity producers, formally independent from each other*. We know only that woollen cloth is manufactured by the commodity producers and brought to the market for exchange or sale to other commodity producers. We are faced with a society of commodity producers, a so-called 'simple commodity economy', as opposed to a more complex capitalist economy. In the conditions of a simple commodity economy, the average prices of products of labour are in proportion to their labour value, or their value represents that average level around which market prices fluctuate and with which they would coincide if *social labour*^[164] were to be proportionally distributed among various branches of production, and thus a state of equilibrium established among them.

Every society, based on a wide^[165] division of labour, necessarily presupposes a certain distribution of social labour among the various branches of production. *Every system of divided labour is at the same time a system of distributed labour*. In a primitive communist community, in the patriarchal peasant family, or in a socialist society, the labour of all members of a given economic unit is distributed in advance among individual tasks, depending on the needs of the members of a group and on the level of labour productivity. In a commodity economy, however, no one regulates the distribution of labour among the individual branches of production or the individual enterprises. No woollen clothier knows how much cloth is needed by society at a given moment, or how much cloth is manufactured at a given moment across all cloth-making enterprises. The production of woollen cloth therefore either outruns the demand (overproduction) or lags behind it (underproduction). In other words, the quantity of social labour expended on the cloth production turns out to be either too large or insufficient. Equilibrium between the cloth-

[164] These two words are italicised in the third edition.

[165] 'wide' is added in the third edition.

making industry and the other branches of production is constantly disturbed. The commodity economy is therefore a system of constantly disturbed equilibrium.

But if that is the case, how can the commodity economy continue existing as a totality of diverse branches of production, complementary to each other? The commodity economy can subsist only due to the fact that every disturbance of equilibrium also brings forth a tendency to its restoration. This tendency to the restoration of equilibrium is realised through the mechanism^[166] of the market and of market prices. In a commodity economy, no commodity producer can prescribe another to expand or contract their production, but with their own actions relating to things some people can influence the labour activities of others, and, while not knowing it themselves, induce them to expand or contract production. An overproduction of woollen cloth and the fall of prices below its value occasioned by it induces the woollen clothiers to contract production; the latter change leads to a case of underproduction, and creates the tendency to the restoration of equilibrium between the given branch of production and the other branches of the national economy.

The exchange of two different commodities according to their value corresponds to the state of equilibrium between the given two branches of production, in which every outflow of labour from one branch to the other comes to an end. But if this is the case, then, obviously, the exchange of two commodities according to their value equalises for the commodity producers the profitability of production in both branches, and removes the motives to transfer from one branch to the other. In a simple commodity economy, such an equalisation in the conditions of production in different branches means that a certain quantity of labour, expended by commodity producers in various spheres of the national economy, provides them with products of uniform value. Commodity values^[167] are immediately proportional to the quantity of labour necessary for their production. If, within a given technical state of production, an average of three hours of labour (including also the labour expended on materials, instruments of production, etc.) is required for the production of one metre^[168] of woollen cloth, but nine hours are required for the production of a pair of boots, then – assuming an equal qualification of labour of woollen clothiers and boot-makers – the exchange of three metres of woollen cloth for one pair of boots

[166] 'realised through the mechanism' is 'proper to the mechanism itself' in the second edition.

[167] 'commodity values' is 'commodity values on the market' in the second edition.

[168] 'metre' is 'arshine' in the second edition.

represents the state of equilibrium between these two kinds of labour.^{[169],[170]} An hour of the bootmaker's labour and an hour of the woollen clothier's labour are equalised to one another, comprising each uniform share of the *total social labour*, distributed among all branches of production. Labour forming value appears in this way not only as quantitatively distributed, but also as socially equalised (equal) labour; in short as 'social' labour, understood as the total mass of homogeneous, equal labour of the whole society. These social features are proper to labour not only in a commodity economy, but also, for example, in a socialist economy. In the latter the organs of labour-accounting consider in advance the labour of individual persons as parts of the total labour of society, expressed in some presumed social units of labour. But in a commodity society, the process of the socialisation, equalisation, and distribution of labour goes on in a different way. The labour of individual persons does not appear as directly social. It becomes social only due to the fact that it is equalised to any other labour, but this equalisation of labour occurs through exchange, in which is accomplished an abstraction from the concrete use values and concrete type of this labour. Therefore, the labour, which we have considered above as *social*, socially *equalised*, and quantitatively *distributed*, now acquires a specific qualitative and quantitative characteristic, inherent only in the commodity economy: it appears as *abstract* and *socially-necessary* labour. The value of a commodity is determined by the socially-necessary labour, i.e., by the quantity of abstract labour implicit in its production.

But if the value is determined by the quantity of labour socially necessary for the production of a unit of a commodity, this quantity of labour depends in turn on the *productivity of labour*. The development of the productivity of labour decreases socially necessary-labour time, and lowers the value of a unit of a commodity. The introduction of machinery, for example, makes it possible to produce a pair of boots in six hours instead of nine hours as previously necessary, and in this way lowers their value from nine to six roubles (assuming that an hour of the bootmaker's labour, considered here as the average labour, creates a value of one rouble). Cheapened footwear begins to penetrate into villages, driving away straw sandals and homemade footwear. Demand for footwear increases, and footwear production expands. In the national economy some redistribution of the productive forces occurs. In this way, ^[171]a driving

[169] 'these two kinds of labour' is 'woollen cloth production and boots production' in the second edition.

[170] The text from here to the end of the paragraph is added in the third edition.

[171] The part of the text in this paragraph going from 'a driving force' to '*distribution of social labour*;' is rewritten and extended in the third edition. The corresponding part in the

force towards change in the entire system of values begins from the material-technical process of production. The development of labour productivity finds its expression in a decrease of the quantity of concrete labour actually expended at an average on production. But, for the same reason, due to the twofold character of labour as concrete and abstract, the quantity of this same labour, considered as 'social' or 'abstract', i.e., as a share in the total uniform labour of society, also decreases. The development of labour productivity, in modifying the quantity of abstract labour necessary for production, brings about changes in the value of the products of labour, and these changes in turn exercise influence on the distribution of social labour among various branches of production. *Productivity of labour – abstract labour – value – distribution of social labour*; such is the schema of a commodity economy, in which value plays the role of regulator, establishing, in the midst of constant deviations and disturbances, an equilibrium in the distribution of social labour among different branches of the national economy. *The law of value is the law of equilibrium in commodity society.*

The theory of value studies the laws of exchange, of the equalisation of things on the market, only insofar as they are connected to the laws of production, of distribution of labour in the commodity economy. The question here being about the average proportions and not about accidental market prices, every proportion of exchange between two commodities corresponds to a given state of labour productivity ^[172] in the branches of production manufacturing these commodities. Through the equalisation of things, of products of labour, as values ^[173] occurs the equalisation of various concrete types of labour as parts of the total social labour, distributed among various branches. Therefore, the current view on the theory of value as a theory limited to the investigation of *correlation of things* in exchange is erroneous. Its self-imposed aim is to discover behind ^[174] the regularity of the equalisation of things the laws of equilibrium of labour. However, the view that Marx's theory studies the *relation of labour to things* as products of labour is also not correct. The relation of labour to things concerns a given, concrete sort of labour and given, concrete things; this is a technical relation, which does not in itself interest the theory

second edition is as follows: 'the development of labour productivity brings about changes in the value of products of labour, and the changes in the value of the latter exercise influence in their turn on the distribution of social labour among various branches of production. *Productivity of labour – labour value – distribution of social labour*;'.

[172] 'in the branches manufacturing these commodities' is 'and to a given distribution of labour among the branches manufacturing these commodities' in the second edition.

[173] 'as values' is 'on the market' in the second edition.

[174] 'behind' is 'through' in the second edition.

of value. The object of investigation of the latter is the *correlation of various sorts of labour* in the process of its distribution, established through the *correlation of things*, products of labour, in exchange. In this way, Marx's theory of value fully satisfies the aforementioned general methodological requirements of Marx's economic theory, which studies neither the relations among things nor the relations of people to things, but the relations among people, connecting them through things.

Up to now we have studied value mainly from its *quantitative* aspect. We have considered the *magnitude* of value as the regulator of the *quantitative distribution* of social labour among individual branches of production. In this analysis we were led to the concept of abstract labour, considered here again mainly from its quantitative aspect, namely as socially-necessary labour. Now we must briefly consider the *qualitative* aspect of value. In Marx's theory value is considered not only as the regulator of the distribution of social labour, but also as the expression of social *relations* of production *of people*. From the latter point of view, value appears as a *social form* acquired by the products of labour in the presence of certain relations of production among people. From value considered as quantitatively determined magnitude, we must pass to value considered as qualitatively determined social form. In other words, from the theory on the '*magnitude* of value' we must pass to the theory on the '*form* of value' (Wertform).¹[175]

[175] This paragraph, newly written for the third edition, is a total replacement of the following paragraph in the second edition: 'We have described the general path of thinking leading to Marx's theory of value. In the opinion of the critics, Marx, in the first pages of *Capital*, adopts as the starting point of his considerations the fact of equality of two commodities in exchange and affirms, that the equalisation of things on the market is impossible without the equality of labour expenses, necessary for their production. Such a view on Marx's theory is fundamentally erroneous. Marx adopts as the starting point a commodity society with relations of production among individual commodity producers, particular to this society. Because of the anarchy in production, the changes in productivity and distribution of various kinds of labour cannot become obvious otherwise than in the changes in exchange ratios of commodities on the market. Changes in the labour activity of people necessarily take on the form of changes in the value of commodities. This law of 'labour value' comprises a distinct particularity of the commodity economy. Let us imagine a society with regulated equalisation and distribution of labour, in which its individual members have the right of mutually exchanging products and carry on such an exchange for some reasons. This exchange is a social phenomenon of an order totally different from

1 By the term 'form of value' we understand, here and in the following, not those diverse forms which the value takes on in the course of its development (for example, elementary form, expanded form, and so on), but the value itself, considered from the aspect of its social form, i.e., value as form.

In a commodity economy, as we already know^[176], value plays the role of regulating the distribution of labour. Is this role of value the result of the *technical* or *social* specificities of the commodity economy, i.e., of the state of its productive forces, or of the form of the social relations of production of people proper to it? It is enough to raise this question to answer it, in favour of the latter sense. Not every mode of distribution of social labour gives its product^[177] the form of value, but only such a distribution of labour as is not directly managed by the society but regulated indirectly, through the market and exchange of things. In primitive communist community or in the feudal village, a product of labour has 'value (tsennost)' in the sense of utility, use value, but does not have 'value(stoimost)' [cf. translator's note [142] in Chapter 6]. The product of labour acquires value in the latter meaning only in the conditions where it is produced especially for sale, and on the market obtains an objective and exactly determined evaluation which equalises it (through money) to all other commodities, giving it the ability to be exchanged for any other commodity. In other words, a certain form of economy (commodity economy), a certain form of organisation of labour made up of individual privately-owned enterprises, is assumed here. Not labour as such, but only *labour organised in a certain social form* (in the form of the commodity economy), gives the product of labour 'value'. If the producers are related to each other as formally independent organisers of economic activity^[178] and autonomous commodity producers, then the products of their labour confront each other on the market, as 'values'. The equality^[179] of commodity producers, as organisers of private economy^[180] and as contractors of the relation of production of exchange,^[181] finds its expression in the equality of the products of labour as values. The value of things reflects a definite type of relations of production among people.

the exchange taking place in a commodity economy. In the latter case, exchange enters the process of reproduction itself, in the former exchange goes on along with production, but occurs outside it. This exchange does not regulate the distribution of labour and in turn is not regulated by the law of 'labour value.' If in this society some kind of regularity is observed in exchange, this will not in any case be a regularity connected to the regularity of distribution of social labour. As we can see, the law of labour value arises *not from the fact itself of exchange and equalisation of things*, but from a *special social function of this exchange in commodity production*, from a special social form of economy. Then we pass to the form of value.'

[176] 'as we already know,' is inserted in the third edition.

[177] 'its product' is 'the product of labour' in the second edition.

[178] 'organisers of economic activity' is added in the third edition.

[179] 'The equality' is 'The formal equality' in the second edition.

[180] 'organisers of private economy' is 'subjects of economic activity' in the second edition.

[181] 'exchange' is 'purchase and sale' in the second edition.

If the product of labour acquires value only in a definite social form of organisation of labour, then, consequently, value does not represent a 'property' of the product of labour, but a certain '*social form*' or '*social function*', which the product of labour fulfils, as a connecting link among dissocialised commodity producers, as an 'intermediary' or a 'bearer' of relations of production among people. Needless to say, at first glance value seems to be simply one of the properties of things. When we say: 'a round, painted oak table costs or has the value of 25 roubles', it can be shown that this sentence gives information on four properties of the table. After pondering about it, however, we will be convinced that the first three properties of the table are radically distinct from the fourth. They characterise the table as a material thing and give us certain information about the technical aspect of the joiner's labour. A man familiar with these properties of tables can visually imagine the technical aspect of production, and get an idea of the raw materials, the accessories, the technical procedures, and even of technical skill of the joiner. But no matter how much he looks around the table, he cannot know anything about the social relations of production between the producer of the table and other people. He cannot know who is the producer: an independent craftsman, an artisan, a wage labourer, or, perhaps a member of a socialist community, or an amateur joiner who has manufactured a table for his personal use. The property of a product of labour expressed with the words: 'the table has a value of 25 roubles' is distinguished by an entirely different character. These words show that the table is a commodity, that it is produced for the market, that its producer is connected to other members of society by the relations of production of commodity producers, that the economy has a definite social form – namely the form of a commodity economy. We have discovered nothing about the technical aspect of production or about the thing itself, but have learned something about the social form of production and the people taking part in it. This means that 'value' characterises not a thing, but a human society in which that thing is produced. It is not a property of a thing but a 'social form' acquired by the thing as a result of the fact that, through it, people enter into determinate relations of production among themselves. Value is a 'social relation, taken for a thing', a relation of production among people which has taken on the form of a property of things. The labour relations of commodity producers, or social labour, are 'reified' and 'crystallised' in the value of products of labour. This means that *to a definite social form of organisation of labour corresponds a specific social form of the products of labour*.^[182] 'The labour which posits (or more exactly, determines, *setzende*) exchange value is a

[182] This sentence runs in the second edition as follows: 'This means that *a definite social form of organisation of labour gives a specific social form to the products of labour*. Marx's theory

specific *social form* of labour'. It 'produces exchange value, a specific *social form* of wealth'² (emphasis added).^[183] The determination of value as an expression of relations of production of people does not contradict the aforementioned determination of value as an expression of abstract labour. The difference lies only in the fact that earlier we considered value from its quantitative aspect (as magnitude of value), whereas now we consider it from its qualitative aspect (as social form). Accordingly, abstract labour also appeared earlier from its quantitative aspect, but now is considered from qualitative aspect, namely as social labour in its specific form, presupposing the relations of production among people as commodity producers.

Marx's theory on the '*form of value*' (i.e., on the social form the product of labour takes on), appearing as the result of a certain social form of *labour*, is the most specific and original part of Marx's theory of value.^[184] The proposition that labour forms value was known long before Marx, but in his theory it acquired an entirely different meaning. Marx carried through a precise distinction between the material-technical process of production and its social form, between labour as a totality of *technical procedures* (*concrete labour*) and labour considered from its *social form* in a commodity-capitalist society (*abstract or general labour*). The specificity of the commodity economy consists of the fact that the material-technical process of production is not directly regulated^[185] but rather carried out by individual commodity producers, and that concrete labour is directly the private labour of individual persons. *Private* labour of an individual commodity producer is connected to the labour of all other commodity producers and becomes *social* labour only insofar as the product of his labour is equalised as value^[186] to all other commodities.^[187] This equalisation of all the products as values means, as we have seen, at

of value does not study the relation between labour as a technical reality and product as a material thing, but it studies the relation between the social form of labour and the social form of the products of labour.'

[183] The following part of this paragraph is added in the third edition.

[184] 'the most specific and original part of Marx's theory of value' is 'the new and specific that Marx brought into the theory of labour value' in the second edition.

[185] 'directly regulated' is 'organised' in the second edition.

[186] 'as value' is 'on the market' in the second edition.

[187] The following part of this paragraph is rewritten and extended in the third edition. The corresponding part in the second edition is as follows: 'This market equalisation of all commodities, expressed in their evaluation in one and the same commodity, gold (money), means at the same time, as we have seen, the equalisation of all concrete sorts

2 *Critique*, p. 13, Russian translation, Petrograd, 1922, p. 42 [*Critique*, p. 278, MEGA, II/2, pp. 115–6].

the same time an equalisation of all the concrete types of labour expended in various spheres of a national economy. That is, the private labour of individual person acquires the character of social labour not directly in that concrete form in which it is expended in the process of production, but through exchange: representing an abstraction from concrete particular characteristics of things and of individual kinds of labour. Indeed, since commodity production counts in advance upon exchange, already in the process of direct production, before the act of exchange, the commodity producer equalises his product to a certain sum of value (money), and because of this the concrete labour involved in its production to a certain quantity of abstract labour. But, in the first place, this equalisation still assumes a preliminary or 'subjectively represented' character, and must still be actually realised in the eventual act of exchange. Secondly, even in its preliminary form the equalisation of labour, though preceding the act of exchange, takes place through a 'subjectively represented' equalisation of things as values. Since the equalisation of labour through the equalisation of things proceeds from the social form of the commodity economy, in which the direct social organisation and equalisation of labour is absent, consequently, abstract labour is a social and historical concept. *Abstract labour does not express the physiological equality of various sorts of labour; but rather the social equalisation of various sorts of labour, which occurs in the specific form of the equalisation of the products of labour.*

The particular character of Marx's theory of value consists of the fact that it made clear precisely *what* labour creates value. Marx 'analysed labour's value-producing property and was the first to ascertain *what* labour it was that produced value, and why and how it did so. He found that value was nothing but congealed labour of *this* kind'³ (emphasis in original). It is precisely in the

of labour, expended in various spheres of a national economy. That is, the private labour of an individual person acquires the character of social labour, not in the process of production itself but in the act of exchange, representing an abstraction from the concrete particularities of individual things and individual sorts of labour. The equalisation of all sorts of labour through market equalisation of all products of labour, as values, this is precisely what Marx stated with his concept of abstract labour. And since the equalisation of labour through the equalisation of things proceeds from the social form of a commodity economy, in which the direct social organisation and equalisation of labour is absent, consequently, abstract labour is a social and historical concept. *Abstract labour does not express the physiological equality of various sorts of labour; but the social equalisation of various sorts of labour, which occurs in the specific form of the market equalisation of the products of labour as values.'*

3 Engels, Foreword to Volume II of *Capital*, p. xxv [*Capital*, II, p. 16, MEGA, II/13, p. 18.].

explanation of the 'twofold character of labour' that Marx viewed the central part of his theory of value.⁴

In this way, the twofold character of labour reflects the difference between the *material-technical* process of production and its *social form*. This difference, explained by us in the chapter on commodity fetishism, is the basis of Marx's entire economic theory, including the theory of value. From this basic difference arises the difference between *concrete* and *abstract* labour, a difference reflected in turn in the opposition between *use value* and *value*.^[188] In the first chapter of *Capital*, Marx's presentation proceeds in the opposite order. He begins his analysis from the market phenomena, observable for anybody, from the opposition between use and exchange values. From this opposition, noticeable on the surface of phenomena, he goes deeper so to say, toward the twofold character of labour as concrete and abstract, to the disclosure, at the end of the first chapter, in the section on the 'commodity fetishism', of the social forms assumed by the material-technical process of production. From things through labour, Marx arrives at the human society, from the conspicuous phenomena to the phenomena to be still discovered by scientific analysis.^[189] For relieving the difficulty of presentation, Marx has recourse to this *analytical* method in the first five pages of *Capital*. But the *dialectical* method of his thinking must be presented in the reverse order. From the difference between the process of production and its social form, from the social structure of the commodity economy, Marx passes to the twofold character of labour, considered from its technical and social aspects, and to the dual nature of commodity, as use value and exchange value. It may appear, in reading *Capital* superficially, that Marx detects in the opposition between use value and exchange value different properties of things as such (this is how Böhm-Bawerk and other critics understood Marx). In truth, the question is about the difference between the 'material' and the 'functional' existences of things, between the product of labour and its social form, between things and the relations of production of people 'coalesced' within things, i.e., the relations which manifest themselves through things. In this way we have in front of our eyes a profound, inseparable connection of Marx's theory of value to the general methodological foundations

[188] 'value' is 'exchange value' in the second edition.

[189] To the next two sentences corresponds the following sentence in the second edition: 'But Marx's procedure of demonstration is the reverse to that of his explanation in the first chapter of *Capital*.'

4 [*Capital*, I, p. 48, MEGA, II/6, p. 75. Marx's Letter to Engels of 24 August 1867, MECW/42, p. 407, MEW/31, p. 326].

described in his theory of commodity fetishism. Value is a relation of production among autonomous commodity producers, which takes on the form of things and is connected to the distribution of social labour. Or, looking at the same phenomenon from the other side, value is the capability of the products of labour of each commodity producer to be exchanged for products of labour of any other commodity producer in a certain proportion, corresponding to a given level of labour productivity in various branches of production.^[190] We have before us the relation of *people* taking on the form of property of *things* and connected to the process of distribution of labour in *production*, in other words, a *reified relation of production of people*. The reification of labour in value is the most important conclusion derived from the theory of fetishism, which shows the inevitability of the 'reification' of relations of production of people in a commodity economy. The theory of labour value does not affirm the material condensation of labour as a factor of production in things as products of labour, which is a phenomenon taking place in all historical formations and comprising a technical premise of value but not its source. The theory of labour value affirms the fetishistic, reified expression of social labour^[191] in the value of things. Labour is 'crystallised' or given form in value, in the sense that it takes on the social 'form of value', that it is expressed or 'represented' (*sich darstellt*) in value. The latter expression is made use of by Marx most frequently for characterising the relation between abstract labour and value. We cannot but be surprised by the critics of Marx who did not notice this inseparable connection of his theory of labour value to the theory on reification and fetishisation of the relations of production of people, and understood Marx's theory of value in a mechanical-naturalistic and not sociological sense.

In this way, Marx's theory studies the phenomena of value from its qualitative and quantitative aspects. Marx's theory of value^[192] is built on the following two fundamental pillars: 1) on the theory of the *form of value*, as the material expression of abstract labour, which in turn presupposes the presence of^[193] social relations of production among autonomous commodity producers; and 2) on the theory of the *distribution of social labour* and of the dependence of the *magnitude* of value on the quantity of abstract labour, which depends

[190] 'a given level of labour productivity in various branches of production' is 'the level of productivity and the proportional distribution of social labour' in the second edition.

[191] 'social labour' is 'labour relations of people' in the second edition.

[192] 'Marx's theory studies the phenomena of value from qualitative and quantitative aspects. Marx's theory of value' is 'Marx's theory of value' in the second edition.

[193] 'abstract labour, which in turn presupposes the presence of' is inserted in the third edition.

in turn on the development of *labour productivity*.^[194] These are two aspects of one and the same process: the theory of value studies the social form of value, which is the manifestation of^[195] the process of distribution of labour in the commodity-capitalist economy. 'The *form* in which this *proportional distribution of labour* asserts itself in a state of society where the interconnection of social labour expresses itself as the private exchange of the individual products of labour, is precisely the *exchange value* of these products' (emphasis added) [Marx's letter to Kugelmann of 11 July 1868, MECW/43, p. 68, MEW/32, p. 553]. Thus, value appears qualitatively and quantitatively as the expression of abstract labour, and through the latter is connected to the social *form* of the social [*sic*] process of production as well as to its material-technical *content*.^[196] This is obvious if we remember that value, like other economic categories, does not express *relations of people* in general but specifically social relations of *production* of people.^[197] Insofar as Marx studies value as a social

[194] '*magnitude* of value on the quantity of abstract labour, which depends in turn on the development of *labour productivity*' is '*magnitude* of value on the development of *labour productivity*' in the second edition.

[195] 'which is the manifestation of' is 'assumed by' in the second edition.

[196] This sentence runs in the second edition as follows: 'Thus, the value is connected to the social *form* of the social process of production as well as to its material-technical *content*.'

[197] In the second edition, the part of this paragraph corresponding to the next two sentences ending with 'a great significance.' is as follows: 'Labour is 'content' or 'substance' of value, this expression of Marx's means that the process of distribution and development of productivity of labour assumes in the commodity society the social form of value. The mysterious 'substance' of value, for which Marx was so attacked, means nothing other than the material-technical labour process taking place in a given social form. Labour as 'substance,' stripped from its form, represents simply labour expense, indifferent toward the social form of organisation of labour; labour in such a sense represents only a precondition of the theory of value, but the object of investigation of the latter is the labour expense, not directly expressed in the units of social labour, but in the quantity of products offered in exchange for a given commodity, i.e., the labour expense which assumes the form of commodity value. But, on the other hand, the social 'form of value' must be filled with definite material-technical content; political economy studies the form of value, like the other 'economic forms' or 'determinations of form' (Formbestimmtheiten) precisely as an organising social form of the material-technical process of production. Insofar as Marx studies value as a social form of the products of labour, subject to a determinate social form of organisation of labour, the primary importance is attached to the *qualitative, sociological* aspect of value (abstract labour). Since the process of distribution and development of productivity of labour, the movement of 'qualitatively determined masses of the total labour of society' [Marx's above quoted letter to Kugelmann], subject to the 'iron law of proportionality' [*Capital*, I, p. 336, MEGA, II/6, p. 350], proceeds in a given social form, the *quantitative, mathematical* (if we can say so) aspect of the phenomenon of value (socially necessary labour) acquires a great significance.'

form of the products of labour, subject to a determinate social form of labour, he brings forward the *qualitative, sociological* aspect of value. Since the process of distribution and development of the productivity of labour proceeds in a given social form, which is expressed as a movement of the 'quantitatively determined amounts of society's aggregate labour' [ibid., p. 68, MEW/32, p. 552], subject to the law of proportional distribution of labour, the *quantitative, mathematical* (if we can say so) aspect of the phenomenon of value acquires a great significance. The basic error of the majority of Marx's critics consists in that 1) they completely failed to understand the qualitative, sociological aspect of Marx's theory of value; and that 2) they confined the quantitative aspect to the examination of exchange proportions, i.e., of the quantitative interrelations of the value of things, ignoring the quantitative interrelations of the mass of social labour, distributed among individual branches of production and individual enterprises – interrelations lying at the basis of the quantitative relations of the value of things.

[198] We have briefly considered value from the two aspects: qualitative and quantitative (i.e., value as a social form and the magnitude of value). Each of these analytical paths has led us to the concept of *abstract labour* which in turn, like the concept of value, has appeared before us sometimes mainly with its qualitative aspect (social form of labour), sometimes mainly with its quantitative aspect (socially-necessary labour). In this way, we should recognise value, both from its qualitative and quantitative aspects, as the expression of abstract labour. Abstract labour represents that '*content*' or '*substance*' which finds its expression in the value of the products of labour. Therefore, we are also faced with the task of studying value from this aspect, i.e., from the aspect of its connection to the abstract labour, as the '*substance*' of value.

Finally we arrive at the conclusion that the complete understanding of value, representing an extremely complex phenomenon, requires its scrupulous examination from its three aspects: the *magnitude* of value, *form* of value, and *substance* (content) of value. We can say also, that value should be considered: 1) as a regulator of the quantitative distribution of social labour, 2) as an expression of social relations of production of people, and 3) as an expression of abstract labour.

This threefold division will help the reader follow the order of our further argument. First of all, we must consider as a whole the *mechanism of the connection between value and labour*. To this problem will be devoted Chapters 9 to 11. In Chapter 9 value will be considered as a regulator of the distribution

[198] The last three paragraphs of this chapter are added in the third edition.

of labour, in Chapter 10 as an expression of relations of production of people, and in Chapter 11 from the aspect of its connection to the abstract labour. Only such an overall examination of the mechanism connecting labour to value in its entirety can give us the foundation of Marx's theory of value (hence the content of Chapters 9 to 11 can be characterised as the foundation of the theory of labour value) and prepare us for analysing the individual component parts of this mechanism: 1) *value*, created by labour, and 2) *labour* forming value. Chapter 12 is devoted to the analysis of *value*, considered from the aspects of its form, content (substance), and magnitude. Finally, Chapters 13 to 16 feature analysis of the *labour* forming value, equally from the same three aspects. Since value is the expression of social relations of people, we must first of all give a general characteristic of social labour (Chapter 13). In a commodity economy, social labour obtains a more precise characteristic in the form of abstract labour, comprising the 'substance' of value (Chapter 14). The reduction of concrete labour to abstract labour implies the reduction of qualified labour to simple labour (Chapter 15), and in this way the theory of qualified labour is a supplement to the theory of abstract labour. Finally, the quantitative aspect of abstract labour appears in the form of socially necessary labour (Chapter 16).

Value as the Regulator of Production

After the publication of Volume I of *Capital*, Kugelmann told Marx that, in the opinion of many of the readers of his book, he had not proved the concept of value. In the previously quoted letter from 11 July 1868, Marx quite angrily retorted against this objection:

Every child knows that a nation which ceased to work, I will not say for a year, but even for a few weeks, would perish. Every child knows, too, that the masses of products corresponding to the different needs require different and quantitatively determined masses of the total labour of society. That this *necessity* of the *distribution* of social labour in definite proportions cannot possibly be done away with by a *particular form* of social production but can only change the *form in which it appears*, is self-evident. ... What can change ... is only the *form* in which these laws operate. And the form in which this proportional distribution of labour operates, in a state of society where the interconnection of social labour is manifested in the *private exchange* of the individual products of labour, is precisely the *exchange value* of these products.¹

Here Marx sketches one of the basic foundations of his theory of value. In a commodity economy, no one consciously supports or regulates the distribution of social labour among various branches of industry in accordance with the given state of the productive forces. In conditions where individual commodity producers enjoy autonomy in their management of production, the exact repetition and reproduction of an already given process of social production is completely impossible, and its proportional expansion even more so. Since the activities of individual commodity producers are unconnected, constant and everyday deviations of production in the directions of excessive expansion or contraction are unavoidable. If each deviation had a tendency towards further, uninterrupted development, the continuation of production would become impossible; the national economy, built on a division of labour, would collapse. But, in reality, every deviation of production, upward or downward,

¹ [Marx's letter to Kugelmann of 11 July 1868, MECW/43, p. 68, MEW/32, p. 553. Emphasis in original].

brings about forces which restrain the deviation and give rise to a movement in the countervailing direction. An excessive expansion of production leads to a fall in prices on the market, resulting in a contraction of production (in many cases even below the necessary level). The further contraction of production will be checked by a rise in prices. Economic life is like a sea of fluctuating movements. At any one moment we can never observe the state of equilibrium in the distribution of labour among various branches of production. But without such a theoretically conceivable state of equilibrium, it is impossible to elucidate the character and direction of the fluctuating movements.

To the state of equilibrium between two branches of production corresponds the exchange of products according to their value. In other words, ^[199]to this state of equilibrium corresponds the average level of prices, which is also theoretically conceivable. This level does not coincide with the actual movement of concrete market prices, but rather explains them. This theoretical, abstract formula of the movement of prices is indeed the 'law of value'. From this we can see that every objection to the theory of value, based on the fact of the noncoincidence of concrete market prices with those products' theoretical 'value', is nothing more than a misunderstanding. The deviation of prices from value is precisely the mechanism by which the disturbance in the distribution of labour among various branches of production is eliminated, and a movement created in the direction of the theoretically conceivable equilibrium of social production. Total agreement between market^[200] price and value would mean the elimination of this sole regulator, which does not allow the different parts of a national economy to move in opposite directions, which as explained would lead to a breakdown of the economy.

The possibility, therefore, of quantitative incongruity between price and magnitude of value, or the deviation of the former from the latter, is inherent in the price form itself. This is no defect, but, on the contrary, admirably adapts the price-form to a mode of production whose inherent laws impose themselves only as the mean of apparently lawless irregularities that compensate one another.²

[199] In the first and second editions, 'to' is 'To' and directly follows the last sentence in the previous paragraph ending with 'movements.' without the change of paragraph. Moreover, the beginning part of the new paragraph going from '*To the state*' to 'In other words,' is added in the third edition.

[200] 'market' is added in the third edition.

2 [Capital, I, p. 104, MEGA, II/6, p. 128].

A given state of market prices, ^[201] regulated by the law of value, presupposes^[202] a given distribution of social labour among individual branches of production, and in turn modifies this distribution in a certain direction. Marx speaks somewhere of the ‘barometrical fluctuations of the market prices’ [ibid., p. 336, 11/6, p. 350]. This expression must be supplemented. In fact, the fluctuations of market prices are a barometer – an indicator of the processes of distribution of social labour going on in the depths of the national economy. But this is an entirely unusual barometer, which not only indicates the weather, but also corrects it. One state of weather is replaced by another even if a barometer does not indicate this change. *But one phase in the distribution of social labour is replaced by another only through the fluctuations of market prices and under their pressure.*^[203] If the movement of market prices connects two phases in the distribution of labour in the economy of a society, it will be right to assume a close internal relation between the labour activity of economic agents and value. We will look for the explanation of this relation in the process of social production, i.e., in the labour activity of people, and not in phenomena lying outside the sphere of production, or otherwise not related to this sphere by a constant functional connection. For example, we will not look for the explanation of this relation in the subjective evaluations of individual persons, or in the mathematical correlation between prices and quantity of goods insofar as this correlation is taken as given, irrespective of the process of production. The phenomenon of value can be grasped only in close relation with the labour activity of society; the explanation of value must be sought in social ‘labour’. This is our first and most general conclusion.

The role of value^[204] as the regulator of the social distribution of labour is pointed out by Marx not only in his letter to Kugelman, but also variously in *Capital*. These observations are presented in probably their most developed form in Chapter 12, section 4 of Volume 1 of *Capital* [Chapter 14, section 4, in the English version] ‘Division of Labour in Manufacture and Division of Labour in Society’:

While within the workshop, the iron law of proportionality subjects definite numbers of workmen to definite functions, in the society outside the workshop, chance and caprice have full play in distributing the producers

[201] ‘A given state of market prices’ is ‘Every change of prices’ in the first and second editions.

[202] ‘presupposes’ is ‘is the result of’ in the first and second editions.

[203] This sentence is italicised in the third edition.

[204] ‘value [stoimost’] in the third edition is ‘value [tsennost’] in the first and second editions. On this point, cf. translator’s note [142].

and their means of production among the various branches of industry. The different spheres of production, it is true, constantly tend to an equilibrium: for, on the one hand, while each producer of a commodity is bound to produce a use value, to satisfy a particular social want, and while the extent of these wants differs quantitatively, still there exists an inner relation which settles their proportions into a regular system, and that system one of spontaneous growth; and, on the other hand, the law of the value of commodities ultimately determines how much of its disposable working-time society can expend on each particular class of commodities. But this *constant tendency to equilibrium, of the various spheres of production*, is exercised only in the shape of a reaction against the constant upsetting of this equilibrium. The *a priori* system on which the division of labour, within the workshop, is regularly carried out, becomes in the division of labour within the society, an *a posteriori*, nature-imposed necessity, controlling the lawless caprice of the producers, and perceptible in the barometrical fluctuations of the market prices.³

Marx expresses the same idea also in Volume III:

The distribution of this social labour and the mutual supplementing and interchanging of its products, the subordination under, and introduction into, the social mechanism, are left to the accidental and mutually nullifying motives of individual capitalists ... Only as an inner law, vis-a-vis the individual agents, as a blind law of nature, does the law of value exert its influence here and maintain the *social equilibrium of production* amidst its accidental fluctuations.⁴

Thus, without a proportional distribution of labour among the various branches of economy, commodity society cannot exist. However, the realisation of this proportional distribution of labour^[205] is possible only through overcoming the profound inherent contradiction lying at the very foundation of commodity society. On one hand, the commodity society is unified by the division of labour into a unitary national economy, the individual parts of which are closely related with each other and mutually subject to one another. On the other hand, private property and the autonomous economic activity of

[205] 'this proportional distribution of labour' is 'it' in the first and second editions.

3 [ibid., p. 336, II/6, p. 350, emphasis added in the second edition].

4 [*Capital*, III², p. 880, II/15, p. 852, emphasis added in the second edition].

individual commodity producers divides the society into a series of individual, independent economic units. ^[206] This scattered commodity society 'becomes a society through exchange, which is the only social process which it recognises from an economic standpoint' (Hilferding, *Finance Capital*, 1923, p. 6 [*Das Finanzkapital: eine Studie über die jüngste Entwicklung des Kapitalismus*, Berlin, 1909, p. 5. *Finance Capital: A Study of the Latest Phase of Capitalist Development*, Routledge, London, 2006, p. 29]). The commodity producer is formally autonomous, he acts according to his unilateral discretion, guided by his own interest as he views it. But due to the process of exchange he is connected to his counterpart, and through him, in competition tending to bring the conditions of market transaction to the same level, he is indirectly connected to the entire market, i.e., to the whole society of buyers and sellers. It is through exchange, through the value of products of labour, that a production connection is created among different commodity producers of a branch of production, among individual places in the country, and among individual countries. This connection is created not only in the sense that commodity producers enter exchange with each other and interrelation, and are thus mutually connected. As well as being connected in the exchange of products of labour, they are connected also in their *production* ^[207] processes, in their labour activity, because already in the process of direct production are they obliged to take into account the presumed conditions of the market. ^[208] Through exchange and the value of commodities, the labour activity of some commodity producers exercises an influence on the labour activity of others and brings about in the latter certain modifications while undergoing the influence of the former. Individual parts in a national economy mutually accommodate to each other. But this accommodation is possible only insofar as one part influences another through the movement of prices on the market, subject to the 'law of value'. ^[209] In other

[206] The following three sentences beginning with 'This scattered' and ending with 'buyers and sellers' run in the first and second editions as follows: 'The acts of exchange are the sole crossing points where intersect the lines starting from individual private economic units. When a commodity producer is working in his own workshop, he is autonomous, he acts according to his unilateral discretion, guided by his own interest as he views it. But, at the moment when he brings the product of his labour to the market, he is connected to his counterpart, and through him, in the conditions of competition, tending to reduce the market transaction to the same level, to the entire market, i.e., to the totality of buyers and sellers.'

[207] '*production*' is italicised in the third edition.

[208] The subordinate clause beginning with 'because' is added in the third edition.

[209] 'subject to the 'law of value'' is 'and through the 'law of value' lying at the basis of these prices' in the first edition.

words, it is only through 'value' of commodities that the labour activity of individual independent producers can arrive at the productional unity called a national economy, at a mutually connected and subjected state of the labour of individual members of society. Value is the transmission belt that, transferring the movement of labour activities of one part of society to another, realises the labour unity of this society.

Consequently, we are in the presence of the following dilemma: in a commodity society, where the labour activity of individual persons is not regulated and does not undergo direct mutual adaptation, the connection in production and labour among individual commodity producers can either be realised through the process of exchange, where products of labour are equalised as values, ^[210] or not realised at all. However, the interconnection of individual parts of a national economy is an indubitable fact. Therefore, we must seek the clarification of this fact in the movement of the value of commodities. Behind the movement of value, we must uncover the interconnection of labour activities of individual persons. In this way, we confirm the dependence of the phenomena of value on the labour activity of people, and the general connection between 'value' and 'labour'. At this starting point we have not value, then, but labour. It is erroneous to represent the matter as if Marx started with the phenomena of value in their material expression, and in analysing them arrived at the conclusion that only labour can be common to the exchanged and evaluated things. Marx's thinking process is essentially in the opposite direction. In commodity society, the labour^[211] of individual commodity producers, which appears directly as *private* labour, ^[212] can acquire the character of *social*^[213] labour, i.e., can undergo the process of *mutual connection and coordination*, ^[214] solely through the '*value*' of *products of labour*.^[215] Labour can find its expression as a social phenomenon only in 'value'. The specific character of Marx's theory of labour value lies in the fact that he does not base his theory on the properties of 'value', i.e., of the *act of equalisation and evaluation of things*, ^[216] but on the properties of 'labour' in commodity society, i.e., on the analysis of the

[210] 'through the process of exchange, where products of labour are equalised as values' is 'through the act of exchange, through the values of products of labour' in the first and second editions.

[211] 'labour' is '*private* labour' in the first and second editions.

[212] ', which appears directly as *private* labour,' is inserted in the third edition.

[213] '*social*' is italicised in the second edition.

[214] '*mutual connection and coordination*' is italicised in the second edition.

[215] '*value*' of *products of labour*' is italicised in the second edition.

[216] '*act of equalisation and evaluation of things*' is italicised in the second edition.

labour structure and relations of production^[217] of labour. Marx himself noted this specific character of his theory: 'Political Economy has indeed analysed, however incompletely, value and its magnitude, and has discovered what lies beneath these forms. But it has never once asked the question *why labour is represented by the value of its product* and labour time by the magnitude of that value' (emphasis added) [*Capital*, I, pp. 84–5, MEGA, II/6, pp. 110–1]. Starting with the labour activity of people, Marx shows that in commodity society it takes necessarily on the form of the value of products of labour.

The adversaries of Marx's theory of value are particularly opposed to the 'privileged' position which is granted to labour in this theory. They bring up a long list of factors and conditions, the change of which is accompanied with change in the movement of prices of commodities on the market, and they query on what foundation labour is distinguished within this list and placed in a special class. To this we must answer that in the theory of value the question is not about labour as a technical^[218] factor of production, but about the labour activity of people as the basis of the existence of society, and about those social forms in which this labour is organised. Without the analysis of the relations of production and labour of society, political economy cannot exist. This analysis shows that, in a commodity economy, the connection in production and labour among commodity producers cannot be expressed otherwise than^[219] in the material form of value of the products of labour.

An objection might be made to us that our contention on the inherent causal connection between value and labour, a connection necessarily following from the very structure of the commodity economy, is too general, and will certainly be contested by opponents of Marx's theory of value. We will see below that the formulation of the theory of labour value which we have given above, though in its most general form, will later acquire more concrete features. But even in this general formulation, the presentation of the problem of value precludes in advance a whole series of theories, and destines to failure a whole series of attempts. Particularly precluded in advance are those theories which seek the causes determining value and its changes in phenomena not directly connected to the labour activity of people or the process of production (for example, the theory of the Austrian school, starting from the subjective evaluations of individual subjects, placed outside the production process and concrete social forms in which this process takes place). No matter how many individual keen

[217] '*labour structure and relations of production*' is italicised in the second edition.

[218] 'technical' is added in the third edition.

[219] 'otherwise than' is 'in any other respects than in the act of market exchange,' in the first and second editions.

explanations were given by such a theory, how successfully it disclosed individual phenomena of price changes, it suffers from the fundamental drawback, which devaluates beforehand its every partial success: it does not explain the production mechanism itself of contemporary society, the possibility of its normal functioning and development. Cutting off from the production mechanism of the commodity economy its transmission belt, value, this theory deprives itself of any possibility of grasping the structure and motion of this mechanism. We must confirm the connection between value and labour not only in order to understand the phenomena of 'value', but also to understand the phenomena of 'labour' in contemporary society, i.e., the possibility of the unity of production process in a society made up of independent commodity producers.^[220]

[220] 'the possibility of the unity of production process in a society, made up of independent commodity producers' is 'the totality of the relations of production, which determine the very type of a given society' in the first and second editions.

The Equality of Commodity Producers and Equality of Commodities

The commodity-capitalist economy, like every other economy based on a division of labour, ^[221] cannot exist without a *proportional distribution of labour*^[222] among individual branches of production. Such a distribution of labour is realised only if the labour activities of individual persons are *connected and mutually subjected*, ^[223] and this connection in production and labour within an unregulated commodity economy is realised only through the process^[224] of market exchange, through the *value of commodities*.^[225] The investigation of the process^[226] of exchange, its social form, and its connection with the production of commodity society, is in essence the object of Marx's theory of value.¹

In the first chapter of *Capital*, Marx, tacitly assuming the sociological presuppositions of the theory of value explained earlier, begins with the analysis of the act of exchange, in which the *equality of commodities to be exchanged*^[227] finds its expression. For the majority of Marx's critics, these sociological presuppositions remained a 'book with seven seals'. They do not see that Marx's theory of value is a conclusion of his research on the socio-economic relations characterising the commodity economy. For the critics it is nothing more than 'a purely logical demonstration, a dialectical deduction from the essence of exchange'.²

[221] 'based on a division of labour' is inserted in the second edition.

[222] '*proportional division of labour*' is italicised in the second edition.

[223] '*connected and mutually subjected*' is italicised in the second edition.

[224] 'process' is 'act' in the first and second editions.

[225] '*value of commodities*' is italicised in the second edition.

[226] 'process' is 'act' in the first and second editions.

[227] '*equality of commodities to be exchanged*' is italicised in the second edition.

- 1 Simmel understands that the economic research begins not with things to be exchanged but with the social-economic role of exchange: 'Exchange is a sociological phenomenon *sui generis*, an original form and function of social life. It is in no way a logical consequence of those qualitative and quantitative aspects of things that are called utility and scarcity' (G. Simmel, *The Philosophy of Money*, 1907, p. 59 [Georg Simmel, *The Philosophy of Money*, Routledge, London and New York, 1978, p. 98]).
- 2 Böhm-Bawerk, *The theory of Marx and its Critique*, Russian translation, 1897, p. 68 [Eugen von Böhm-Bawerk, *Karl Marx and the Close of his System*, edited with an introduction by Paul M. Sweezy, 1949. p. 68].

[228] We know that Marx does not in fact study the act of exchange as such, as unconnected with a determinate economic structure of society. He studies the relations of production of a particular society, namely commodity-capitalist society, and the role of exchange in this society. If anyone builds a theory of value on the analysis of the act of exchange as such, isolated from a determinate socio-economic context, it is Böhm-Bawerk, and certainly not Marx.

But if Böhm-Bawerk is incorrect when he says that Marx deduces the equality of commodities to be exchanged from a purely logical analysis of the act of exchange, he is right in saying that Marx in fact emphatically brings out the aspect of equality when studying the act of exchange in the commodity economy.

Let us take two commodities, e.g., corn and iron. The proportions in which they are exchangeable, whatever those proportions may be, can always be represented by an equation in which a given quantity of corn is equated to some quantity of iron: e.g., 1 quarter corn = $\times$ cwt. iron. What does this equation tell us? It tells us that in two different things – in 1 quarter of corn and $\times$ cwt. of iron, there exists in equal quantities something common to both. The two things must therefore be equal to a third, which in itself is neither the one nor the other. Each of them, so far as it is exchange value, must therefore be reducible to this third.³

Critics of Marx direct attacks against this passage, where they see the central point and only foundation of his theory of value.

'I should like to remark, in passing,' says Böhm-Bawerk,

that the first assumption, according to which an 'equality' must be manifested in the exchange of two things, appears to me to be very old-fashioned, which would not, however, matter much were it not also very unrealistic. In plain words, it seems to me to be a wrong idea. Where equality and exact equilibrium obtain, no change is likely to occur to disturb the balance. When, therefore, in the case of exchange the matter terminates with a change of ownership of the commodities, it points rather to the existence of some in-equality or preponderance which produces the alteration.⁴

[228] This paragraph is not separated from the foregoing one in the first edition.

3 [Capital, I, p. 45, MEGA, II/6, p. 71].

4 Böhm-Bawerk, *ibid.*, p. 68 [English version, *ibid.*, p. 68].

Needless to say, Böhm-Bawerk's objections are beside the point. Marx never maintained that exchange is carried out in the conditions of 'full equilibrium'; he repeatedly emphasised that 'as use values, commodities are, above all, of different qualities' [*Capital*, I, p. 45, MEGA, II/6, pp. 71–2]. This qualitative 'inequality' of commodities, a necessary^[229] result of the division of labour, represents, at the same time, a necessary stimulus of exchange. Böhm-Bawerk's attention was turned to the exchange of commodities as use values and to the subjective estimations of the utility of commodities, which stimulate exchange on the part of the individuals participating in it. Therefore, he is quite right in stressing the aspect of 'inequality'. But Marx is interested in the act of exchange as objective-social fact, and, while emphasising the aspect of equality, he nuanced essential characteristics of this fact. He never had in view some fantastic state of 'full equilibrium'.⁵

Critics of Marx's theory of value usually see its main point in that it confirms the qualitative equality of labour expenses required for the production of commodities, which are equalised to each other in the act of exchange. But Marx repeatedly emphasised the other side of his theory of value, the *qualitative*^[230] side, so to say, distinct from the aforementioned *quantitative*^[231] side. Marx is not interested in the qualitative particularities of commodities as use values. But his attention is directed to the qualitative characteristic of the act of exchange as a socio-economic phenomenon. Only on the basis of this qualitative, essentially sociological, characteristic is it possible to understand also the quantitative side of the act of exchange. Almost all critics of Marx's theory of value suffer from a complete neglect of this qualitative side of the theory. Their views are as one-sided as the inverse opinion affirming that the concept of value in Marx has no relation to exchange proportions, i.e., to the quantitative side of the phenomena of value.^{6,[232]}

[229] 'necessary' is 'inevitable' in the first and second editions.

[230] '*qualitative*' is italicised in the second edition.

[231] '*quantitative*' is italicised in the second edition.

[232] Franz Petry's book, mentioned in the original note 6 below, attracted attention as a work presenting a unique interpretation of Marx's theory of value on the basis of the neo-Kantian methodology at the beginning of the 20th century, advanced by Rickert etc. Rubin also mentions this book more than once in his *Essays*. It was translated into Japanese as

5 'The act of exchange itself and the price resulting from this act influence ... the behaviour of all later buyers and sellers, and thus exercises influence not in the form of inequality, but in the form of equality, as an expression of equivalence' (Zwiedineck, 'On the Subjectivism in the Theory of Price', *Archiv für Sozialwissenschaft u. Sozialpolitik*, 1914, vol. 38, pp. 22–3).

6 Cf., for example, Petry, *Der soziale Gehalt der Marxschen Werttheorie* [The Social Content of Marx's Theory of Value], 1916, pp. 27–8.

Now, leaving aside the question of the quantitative equality of exchanged values, we must say that in a commodity society the contacts among individual private economic units take place in the form of purchase and sale, in the form of the equalisation of values given and received by private economic units in the act of exchange. The act of exchange is an act of equalisation, and this *equalisation of commodities to be exchanged*^[233] reflects the basic social particularity of the commodity economy: the *equality of commodity producers*.^[234] The question is not about their equality in the sense of their possessing equal material means of production, but about their equality as autonomous, mutually independent commodity producers, none of whom can directly^[235] influence another unilaterally, without a formal agreement with the other, other than on the principles of an agreement with him as an autonomous economic subject. The absence of non-economic coercion, and the organisation of labour activity of individual persons not on the principles of public law but on the basis of the private and so-called free contract, are the most characteristic features of the economic structure of contemporary society. From these comes also the basic form of relations of production among individual private economic units, i.e., the form of exchange, the equalisation of exchanged values. The equality of commodities in exchange is the material expression of the basic relation of production of contemporary society: the connections^[236] among commodity producers as among equal, autonomous, and mutually independent economic subjects.

For understanding the ideas of Marx presented above, we consider the following passage from *Capital* to be extremely important:

There was, however, an important fact which prevented Aristotle from seeing that, to attribute value to commodities, is merely a mode of

early as in 1925. A number of scholars published reviews on this book. For example: Rudolf Hilferding in *Archiv für die Geschichte des Sozialismus und der Arbeiterbewegung*, 1919, Bd. 8, written in June 1816; I.I. Rubin in *Архив Маркса и Энгельса*, no. 1, 1924; A.M. Deborin in *Under the Banner of Marxism*, no. 12, 1928, written on the occasion of the publication of a Russian translation in the same year. All these three reviews generally introduce favourably the detailed analyses by Petry of Marx's theory of value, but unanimously criticise the dualism in the method of *Capital* Petry points out from the neo-Kantian point of view (his methodological position). The main objective of this book is to dissect Marx's theory of value on the basis of this position. Cf. the conclusion of Rubin's review in its penultimate paragraph (pp. 528–9 in the present translation).

[233] '*equalisation of commodities to be exchanged*' is italicised in the second edition.

[234] '*equality of commodity producers*' is italicised in the second edition.

[235] 'directly' is inserted in the third edition.

[236] 'connections' is 'connections in exchange' in the first and second editions.

expressing all labour as equal human labour, and consequently as labour of equal quality. Greek society was founded upon slavery, and had, therefore, for its natural basis, the inequality of men and of their labour powers. The secret of the expression of value, namely, that all kinds of labour are equal and equivalent, because, and so far as they are human labour in general, cannot be deciphered, until the notion of human equality has already acquired the fixity of a popular prejudice. This, however, is possible only in a society in which the great mass of the produce of labour takes the form of commodities, in which, consequently, the dominant relation between man and man, is that of owners of commodities.⁷

At the basis of the equality of the commodities to be exchanged lies an equality of autonomous and mutually independent commodity producers, which is the fundamental feature of the commodity economy, its cellular structure so to speak. The theory of value studies the process of formation of the unity of production called^[237] a national economy from its individual, one might say autonomous, cells. It was not without reason that Marx wrote in the preface to the first edition of Volume I of *Capital*, that 'in bourgeois society the commodity form of the product of labour – or the value-form of the commodity – is the economic cell-form' [ibid., p. 19, II/6, p. 66]. This cellular structure of the commodity society represents the totality of equal, formally independent private economic units.

In the above quoted passage on Aristotle, Marx emphasises that in slave society^[238] the understanding of the phenomena of value could not be drawn out of 'the very form of value', i.e., from the material expression of the equality of commodities to be exchanged. The mystery of value can be understood only from the particularities of commodity society. It is not surprising that critics, from who could not the sociological character of Marx's theory of value, treated arbitrarily the passage quoted above. In the opinion of H. Dietzel, Marx 'was guided by an ethical axiom of *equality*'. This 'ethical foundation manifests itself in the passage, where Marx explains the shortcomings of the theory of value of Aristotle by pointing out that the natural basis of the Greek society was the

[237] 'called' is 'of' in the first and second editions.

[238] 'in slave society' is inserted in the third edition.

7 [*Capital*, I, pp. 65–6, MEGA, II/6, pp. 91–2] Of course, here we are not interested in the question of whether Marx understood Aristotle correctly, or his understanding of Aristotle is an example of 'scientific subjectivism', as affirms V. Zheleznov (*The Economic World View of the Ancient Greeks*, Moscow, 1919, p. 244) without sufficient grounds, in our opinion ['without sufficient grounds, in our opinion' is added in the second edition.].

inequality of people and of their labour power'.⁸ Dietzel fails to understand that Marx is not speaking about an ethical postulate of equality, but about the equality of commodity producers as a basic social fact of the commodity economy, an equality, we repeat, not in the sense of material means, but in the sense of independence and autonomy as subjects of economic activity, as organisers of production.

If Dietzel transforms the society of equal commodity producers from an actual fact into an ethical postulate, Croce sees in this society some theoretically conceived type of society, 'thought up' by Marx from theoretical considerations for the purpose of contrast and comparison with the capitalist society, based on inequality. This comparison aims at making clear the specific properties of the capitalist society. The equality of commodity producers is not an ethical ideal, but a theoretically conceived measure, a standard, against which to measure capitalist society. 'The standard, which, on the other hand, is characteristic of a type of society founded on human equality, a type 'which has attained the solidity of a popular conviction' (Marx)'.⁹ Croce holds that Marx, in order to understand the phenomena of value in capitalist society, took as a type, as a theoretical standard so to say, a different (concrete) value, namely that value 'which the goods, increasable with labour, would have, in a society, where there would be no shortcomings of capitalist society and the labour power would not be a commodity.' From this Croce derives the following conclusion on the logical particularities of Marx's theory of value: 'Marx's labour-value is not only a logical generalisation, it is also a *fact conceived and postulated as typical*, i.e., something more than a mere logical concept'.¹⁰

Dietzel transforms the society of equal commodity producers into an ethical postulate, ^[239] while Croce makes of it a 'thought-up' concrete representation, contrasted to capitalist society in order to explain more clearly the characteristics of the latter. In actual fact, however this representation is nothing other

[239] Here is an original note in the first edition, eliminated in the second edition: The note runs as follows: 'Such is also the opinion of Stolzmann. 'The equality of 'social' labour 'forming value' is an artificial, fantastic product of *idea*, in general so much ridiculed by socialists' (Stolzmann, *The Aim in National Economy*, 1909, pp. 523–24. Emphasis of Stolzmann).'

8 Heinrich Dietzel, *Theoretical Social Economics*, 1895, p. 273 [original in German, *Theoretische sozialökonomik*, Wagner, Leipzig].

9 Benedetto Croce, *Historical Materialism and Marxist Economics*, Russian translation, Petersburg, 1902, p. 62 [Benedetto Croce, *Historical Materialism and the Economics of Karl Marx*, translated into English by C.M. Meredith, The Macmillan Company, New York, 1914, pp. 126–7].

10 *ibid.*, p. 106 [English version, *ibid.*, p. 56. Emphasis in original].

than an abstraction, and a generalisation of the basic property of a commodity economy in general and of the capitalist economy in particular. The theory of value and its premise, i.e., a society of equal commodity producers, give us an analysis of one of the aspects of capitalist society, namely of the *basic relation of production, uniting autonomous commodity producers*.^[240] This relation is basic because only it creates, also, the object of research of political economy, i.e., the national economy as a determinate, though relative, unitary entity. Marx distinctly expressed the logical character of his theory of value in the following words: 'Up to this point we have considered men in only one economic capacity, that of owners of commodities, a capacity in which they appropriate the produce of the labour of others, by alienating that of their own labour' [*Capital*, I, p. 110, MEGA, II/6, p. 133]. The theory of value does not give us a description of the phenomena taking place in some imaginary society, opposed to capitalist one, but a generalisation of one of its aspects.

Naturally, in capitalist society, the relations of production among people^[241] as members of different social groups are not confined to the relation among them as independent commodity producers. However, these relations among the members of various social groups in capitalist society proceed in the form, and on the basis, of the relation among them as equal, autonomous commodity producers. The capitalist and the labourers are connected to each other by the relations of production, the material expression of which is capital. But they are connected and enter into agreement as formally^[242] equal commodity producers; and the category of value serves as an expression of this relation of production, or more exactly, of the aspect of the relation of production connecting them. Industrial capitalists and landowners, and industrialists and financial capitalists, also enter into agreement as equal, autonomous commodity owners;^[243] this aspect of the relations of production among different social groups similarly finds its expression in the theory of value. Precisely from this can be explained one particularity of political economy as a science. The

[240] '*basic relation of production, uniting autonomous commodity producers*' is italicised in the second edition.

[241] The passage of text going from 'as members of' to 'various social groups in' is in the first edition 'more exactly, among different social groups, are not confined to the act of exchange, i.e., to the relation among them as independent commodity producers. However, these relations among different kinds of social groups of'. But it reads in the second edition 'as members of different social groups, are not confined to the act of exchange, i.e., to the relation among them as independent commodity producers. However, these relations among the members of various social groups of'.

[242] 'formally' is added in the third edition.

[243] 'owners' is 'producers' in the first and second editions.

basic concepts of political economy are built on the concept of value, and at first glance they even appear to be logical emanations from the concept of value. A first acquaintance with Marx's theoretical system might lead one to agree with the view of Böhm-Bawerk that it is a logical-deductive deployment of abstract concepts, and their immanent, purely logical development in accordance with Hegel's method. By means of magical, purely logical modifications, value is transformed into money, money into capital, capital into grafted capital (i.e., capital plus surplus value), surplus value into entrepreneur profit, interest and rent, and so on. Böhm-Bawerk, thoroughly criticising Marx's theory of value, maintains that the later parts in Marx's system are an orderly logical whole, consistently derived from an erroneous starting point.

In this middle part of the Marxian system the logical development and connection present a really imposing closeness and intrinsic consistency. ... However wrong the starting point may be, these middle parts of the system, by their extraordinary logical consistency, permanently establish the reputation of the author as an intellectual force of the first rank.¹¹

Coming from Böhm-Bawerk, a thinker attached particularly to the logical deployment of concepts, this is a highest compliment. In truth, however, the power of Marx's system does not only and even not so much rely on its internal logical consistency as on the fact that in all its parts it is filled with various, rich socio-economic contents, derived from reality and elucidated by the power of abstract thinking. In Marx's work, one concept is transformed into another not owing to the immanent logical development, but with the presence of an entire series of supplementary socio-economic conditions. For the transformation of money into capital, an enormous historical revolution was necessary, as is described by Marx in the chapter on primitive accumulation.

But we are not interested in this side of the question here. In Marx, one concept grows out of another only in the presence of certain socio-economic conditions. But every subsequent concept carries upon it the stamp of the foregoing one, and all the basic concepts of Marx's economic system appear as if they were logical variants of the concept of value. Money is a value which serves as a general equivalent. Capital is a value which creates surplus value. The wage is a value of labour power. Profit, interest, and rent are all parts of surplus value. At first glance this logical emanation of the basic economic concepts from the concept of value seems inexplicable. However, it can be explained by the fact

11 Böhm-Bawerk, *ibid.*, pp. 91–2 [Böhm-Bawerk, English version, *Ibid.*, pp. 88–9].

that the *relations of production in capitalist society*,^[244] of which the above concepts (capital, wages, profit, interest, rent, and so on) serve as expressions, arise *in the form of the relation among independent commodity producers*,^[245] this relation being expressed by the concept of value. Capital represents a variant of value, because the relation of production between capitalist and labourer proceeds in the form of a relation between equal commodity producers, between autonomous subjects of economic activity.^[246] The system of economic concepts derives from the system of relations of production. The logical structure of political economy as a science reflects the social structure of capitalist society.¹²

The theory of labour value gives a theoretical formulation of the basic relation of production in the commodity economy, of the relation among equal commodity producers. This explains the vitality of this theory, which, in the raging torrent of rapidly changing economic thinking, in spite of every blow inflicted on it, every time comes renewed to the forefront of economic science with a new formulation. Marx pointed out this particularity of the theory of labour value in his letter to Kugelmann of 11 July 1868: 'The *history of the theory* certainly shows that the concept of the value relation has *always been the*

[244] '*relations of production in capitalist society*' is italicised in the third edition.

[245] '*in the form of relation among independent commodity producers*' is italicised in the third edition.

[246] A new short paragraph begins here in the first and second editions.

12 F. Oppenheimer sees Marx's 'methodological sinking into sin', his basic mistake, in that 'the presupposition of social equality among the participants in the act of exchange' is adopted by him in the theory of value as the starting point of research of the capitalist society with its class inequality. He sympathetically quotes Tugan-Baranovsky, who says that 'in supposing a social equality among the participants in the act of exchange, we abstract from the inherent structure of the society, where this act is carried out' (F. Oppenheimer, *Value and Capital Profit* (original in German, *Wert und Kapitalprofit*), 1916, p. 176). Oppenheimer accuses Marx's theory of value of neglecting the class inequality in capitalist society.

Liefmann throws an opposite accusation at Marx's economic theory, contending that it 'presupposes in advance the existence of certain classes' (Liefmann, *Principles of National Economic Theory* (original in German, *Grundsätze der Volkswirtschaftslehre*), 1920, p. 34). Liefmann is essentially right: Marx's economic theory presupposes in advance a class inequality of capitalist society. But, since the relations among classes in capitalist society assume the form of relations among independent commodity producers, the starting point of Marx's analysis is value, which presupposes social equality among the participants in the act of exchange. However, Marx's theory of value overcomes the one-sidedness of both Oppenheimer and Liefmann. A detailed criticism of the views of Oppenheimer and Liefmann is given in *our work Contemporary Economists in the West* (1927) [this last sentence is added in the third edition].

same – more or less clear, hedged more or less with illusions or scientifically more or less precise’ [Marx’s letter to Kugelmann of 11 July 1868, MECW/43, p. 68, MEW/32, p. 553]. Hilferding also mentioned the same point in one of his articles:

Economic theory – to the extent that Marx considers it in the *Theories of Surplus Value* – is the explanation of capitalist society, whose basic fact is commodity production. This basic organisation of economic life, which remains constant despite all the colossal and tempestuous development, explains why economic theory also reflects this development, why it retains the basic laws already discovered very early on, just developing them further without ever completely giving them up. The actual development of capitalism thus corresponds to the logical development of the theory. From the first formulation of the law of labour value, in Petty and Franklin, to the subtlest remarks of Volumes II and III of *Capital*, a logical development thus arises.¹³

To this continuity of historical development of the theory of value corresponds its central logical place within economic science.^[247] This logical place can be understood only from the special role which the basic relation among individual commodity producers as equal autonomous subjects of economic activity plays in the system of relations of production in capitalist society.

This makes obvious the erroneousness of the attempts to frame the theory of labour value as completely inapplicable to the elucidation of capitalist economy and to restrict it to an imaginary society, or to a simple commodity society predating capitalist society. Croce wonders:

why Marx, in analysing the economic phenomena of the second or third sphere (i.e., the phenomena of profit and rent – *I.R.*), ever *used concepts whose place was only in the first one* (i.e., in the sphere of labour value – *I.R.*) ... If the correspondence between labour and value is only realised

[247] This sentence is ‘Hilferding gives here only an explanation of the historical development of theory of labour value, but not of its logical place in the system of economic concepts.’ in the first edition.

13 Hilferding, ‘The Prehistory of Marxian Economics’, *Neue Zeit*, 1910/11, vol. 11, Russian translation in *Fundamental Problems of Political Economy* [edited by Rubin et al., 1922], p. 244 [Rudolf Hilferding, “Aus der Vorgeschichte der Marxschen Ökonomie”, *Neue Zeit*, B. 2, Nr. 44, 4 August 1911, p. 623. English version in Day and Gaido (eds.), *Responses to Marx’s Capital*, p. 291].

in the simplified society of the first sphere, why insist on translating the phenomena of the second *into terms of the first*?¹⁴

Similar oppositions are based on a one-sided understanding of the theory of value as explaining exclusively the quantitative proportions of exchange in a simple commodity economy, and thus on a total neglect of its qualitative aspect. If in capitalism the law of quantitative proportions of exchange is modified with regard to simple commodity circulation, the qualitative aspect of exchange remains the same, and only the analysis of this aspect makes it possible to understand the quantitative proportions.

The expropriation of one section of society and the monopolisation of the means of production by another modify the exchange process, because only there can the fact of social inequality appear. However, since the exchange relationship is one of equality, social inequality must assume the form of a parity of prices of production rather than an equality of value.¹⁵

Hilferding should have further extended his idea, and translate it into the language of relations of production. The theory of value, starting from the equality of the commodities to be exchanged, is necessary for the explanation of capitalist society and its inequality, since the relations of production between capitalists and labourers assume the form of relations among formally equal, independent commodity producers. All attempts to amputate the theory of value from the theory of capitalist economy are fallacious, whether or not they consist in limiting the sphere of validity of^[248] the theory of value to an imaginary society (Croce) or to the simple commodity economy, in transforming the theory of value into a purely logical category (Tugan-Baranovsky), or in a sharp distinction of inter-economic categories, i.e., value from social categories, i.e., capital (Struve, on him cf. above, in the chapter 'Struve on the theory of commodity fetishism' [Chapter 6]).

[248] 'the sphere of validity of' is inserted in the third edition.

14 Croce, *ibid.*, p. 230 [English translation, *ibid.*, p. 134. Emphasis in original].

15 Hilferding, *Finance Capital*, translation by I. Stepanov, St Petersburg, pp. 23, 1918 [*Das Finanzkapital*, 1909, p. 7. English translation, p. 31].

The Equality of Commodities and Equality of Labour

The equality of commodity producers as autonomous subjects of economic activity is expressed in the form of exchange: this is an exchange of equivalents, an equalisation of commodities to be exchanged. But the role of exchange in a national economy is not confined to its social form. In commodity society, exchange is one of the indispensable components of the process of reproduction, which makes possible an adequate distribution of labour and the continuation of production. In its *form*, exchange reflects the social structure of commodity society. In its *content*, exchange represents one of the phases of the labour process, of the process of reproduction. In its form the act of exchange means an *equalisation of commodities*^[249]. From the point of view of the process of production, it is closely connected to the *equalisation of labour*.^[250]

^[251]In the same way as value expresses the equality of all the products of labour, so labour, appearing as the substance of value, expresses the equality of labour of all kinds and of all individuals. This is 'equal' labour. But what precisely does the equality of this labour consist in? To answer this question, we must distinguish three kinds of equal labour:

[249] '*equalisation of commodities*' is italicised in the second edition.

[250] 'is closely connected' is 'leads to' in the second edition, and in this edition '*equalisation of labour*' is italicised.

[251] The passage of text from here till the end of the paragraph indicated with a reference to the present translator's note [251] on the page 125, as far as three pages from here, is a large extension in the second edition of the following paragraph in the first edition: 'In each social group, based on a division of labour among different individuals (though including cases not based on commodity basis), a process of equalisation of the labour of these individuals is necessary. Without such an equalisation, an appropriate distribution of labour among different works necessary to the society is impossible. Such a distribution of labour is, as Marx points out in the above quoted letter to Kugelmann, necessary in every society regardless of the social form of economy. 'The iron law of proportionality subjects definite numbers of workmen to definite functions' [*Capital*, I, p. 336, MEGA, II/6, p. 350]. In a given factory, or in a socialist society, this iron law is realised in advance and intentionally. Here we see a conscious process of equalisation of labour prior to production. In commodity society, however, this 'iron law', not known to the participants of production, works spontaneously, through constant disturbances and their subsequent corrections. It is realised not as an autonomous process of equalisation of labour, but through the equalisation of things, products of labour, commodities.'

- 1) Physiologically equal labour.
- 2) Socially equalised labour.
- 3) Abstract labour.

Not expanding on the first kind of labour here (cf. Chapter 14), we must make clear the difference between the latter two kinds of labour.

In an organised economy the relations of people are relatively simple and transparent: labour acquires a directly social form, i.e., there exists a certain social organisation and determinate social organs, which distribute labour among individual members of society, then the labour of each person directly enters the social economy as concrete labour with all its concrete material properties. The labour of each person appears as social precisely because it is distinguished from the labour of other members of the society, and appears as a material supplement to their labour. Labour in its concrete kind is directly *social* labour; at the same time, it is also *distributed* labour. In fact, the very social organisation of labour consists in the fact that labour is distributed among different members of the society, and, inversely, that the distribution of labour is the act of some social organ. Labour appears simultaneously as both social and distributed, and, besides, it possesses both of these two features in its material-technical, concrete, or useful form.

Is this labour also *socially equalised*?

As far as we leave aside those social organisations which were based on an extreme inequality of the sexes or of individual groups, and as far as we have in view a large community with a division of labour – for example, something like a large family community in South Slavs – we can think that the process of social equalisation of labour in such a community had to, or at least could, take place. Such a process will be even more necessary in a large socialist community (in the first phase of socialism). Without the equalisation of labour of different kinds and of different individuals, the organs of a socialist community cannot decide whether it will be more advantageous to spend on the production of certain products one day of qualified labour or two days of simple labour, one month of labour of person A or two months of labour of person B, and so on. But the process of this equalisation of labour in an organised community is fundamentally distinguished from the equalisation which occurs in a commodity economy. Indeed, let us imagine some socialist community where labour is distributed among the members of society. A determinate social organ equalises to each other the labour of different individuals and kinds, since without this equalisation a more or less wide-ranging economic plan cannot be realised. But in such a community, the process of equalisation of labour is secondary and supplementary to the process of the socialisation and distribution of labour. Labour appears first of all as socialised and distributed labour;

as a derived and additional feature, we can include here also socially equalised labour. The basic characteristic of labour is its characteristic as both social and distributed labour, while the feature of socially equalised labour is supplementary.

Let us now consider what changes in the organisation of labour will take place in our community if we suppose it to be not an organised whole but instead a combination of individual economic units of private commodity producers, i.e., a commodity economy.

In a commodity economy also do we find the above enumerated social features of labour, which we observed in an organised community; here too we can see *social* labour, *distributed* labour and *socially equalised* labour, but all these processes of socialisation, equalisation, and distribution of labour proceed completely in different form. The combination of the three enumerated features is already entirely different; this is, above all, because in a commodity economy there is no direct social organisation of labour, and labour does not appear as directly social.

In a commodity economy, the labour of a separate individual, of a separate private commodity producer, is not regulated directly by society, and as such, in its concrete kind, it does not yet enter directly the social economy. Labour becomes social in a commodity economy only in such a way that it acquires the feature of equalised labour, or more exactly, the labour of each commodity producer becomes social only due to the fact that his product is equalised with the products of all other commodity producers, and thus the labour of a given individual is equalised with the labour of all other members of society and with all other kinds of labour. There is no other feature for determining the social character of labour in a commodity economy. Here there exists no plan of the socialisation and distribution of labour, outlined in advance, and the exchange of the product of a given labour with all other products is the sole feature indicating that the labour of a given individual is included in a social system of economy.

In this way, in a commodity economy, in comparison to the socialist community, it is as if the feature of social labour and the feature of socially equal or equalised labour changed places with each other. Earlier, the characteristic of labour as equal or equalised was the result of the process of production, of the act of production of a social organ, which socialised and distributed labour. Now, labour becomes social only in becoming equal to all other kinds of labour, by being socially equalised. Social or socially equalised labour, in the specific form, which it obtains in the commodity economy, is called *abstract* labour.

Let us give a few quotations from Marx, which confirm what has been said above.

We find the most brilliant passage in *Critique*, where Marx says that labour ‘becomes social labour by assuming the form of its direct opposite, of abstract universal labour’ [*Critique*, p. 275, MEGA, II/2, p. 113], i.e., the form of equalisation to all other kinds of labour. ‘Abstract and in this form social labour’ – with these words Marx often characterises the social form of labour in a commodity economy. We can also remind ourselves of the well-known sentence from *Capital* that, in a commodity economy ‘the specific social character of private labour carried on independently, consists in the equality of every kind of that labour, by virtue of its being human labour’.¹

Thus, in a commodity economy, the central point of the social characteristic of labour moves from the feature of socialised labour to the feature of equal, or socially equalised labour, equalised through the equalisation of products of labour. The concept of the equality of labour plays such a central role in Marx’s theory of value precisely because in a commodity economy only labour which exists as equal labour can become also social.

In a commodity economy, the feature of social labour derives from the feature of the equality of labour, from which derives in the same way also the feature of distributed labour. The distribution of labour in a commodity economy does not consist in a conscious distribution of it in accordance with certain previously manifested needs, but rather it is regulated by the principle of equal advantage of production. The distribution of labour among different branches of production is carried out in such a way that commodity producers obtain an equal sum of value by expending an equal quantity of labour in all the branches of production.

As we can see, the first particularity of abstract labour (i.e., social or socially equalised labour in a specific form, inherent in it within a commodity economy) consists in the fact that it becomes also social only if it is equal. Its second particularity consists in the fact that the equalisation of labour occurs through the equalisation of things [see translator’s note [251] on the page 125].

In a socialist society both the process of equalisation of labour and the process of equalisation of things, of products of labour, are possible, but they are distinct from each other. When establishing the plan of production and distribution of various kinds of labour among its different branches, the socialist society carries on a certain equalisation of various kinds of labour and at the same time also an equalisation of things, of products of labour, from the viewpoint of their usefulness for the society.

1 [*Capital*, I, p. 79, MEGA, II/6, p. 105].

It is true that even then it will still be necessary for society to know how much labour each article of consumption requires for its production. It will have to arrange its plan of production in accordance with its means of production, which include, in particular, its labour-powers. The useful effects of the various articles of consumption, compared with one another and with the quantities of labour required for their production, will in the end determine the plan.²

At the end of the process of production, when the produced things are distributed among individual members of the society, a certain equalisation of these things for the purpose of distribution, i.e., their conscious evaluation by the society, will probably be indispensable.³ It is self-evident that in the equalisation of things, in the act of their evaluation, the socialist society is not obliged to evaluate them in precise proportion to the labour expended on their production. A society directed by the requirements of social policy may, for example, consciously introduce a lower estimate on the articles satisfying the cultural needs of broad popular masses, and a higher estimate for luxury goods. But even if the socialist society would evaluate things in exact correspondence to the labour expended on them, the act of equalisation of things will remain separated from the act of equalisation of labour.

It is otherwise in a commodity society. Here *there is no independent social act of equalisation*^[252] *of labour*.^[253] The equalisation of various kinds of labour takes place only *through and in the form of the equalisation of things*, of products of labour. The equalisation of things in the form of values on the market influences the distribution of labour in society, and the labour activity of participants in production. The equalisation and distribution of commodities on the market are closely connected to the process^[254] of equalisation and distribution of labour in social production.

This particularity of the commodity economy, which realises the social^[255] equalisation of labour only in material form, through the equalisation of commodities, is one Marx frequently pointed out:

[252] 'equalisation' is 'equalisation and distribution' in the second edition.

[253] '*there is no independent social act of equalisation [and distribution] of labour*' is italicised in the second edition.

[254] 'process' is 'act' in the first and second editions.

[255] 'social' is inserted in the third edition.

2 [Engels, *Anti-Dühring*, MECW/25, pp. 294–5, MEGA, I/27, p. 469].

3 Here we have in view the first period of a socialist economy, when society will still regulate the distribution of products among its individual members [This note is added in the third edition].

When we bring the products of our labour into relation with each other as values, it is not because we see in these articles the material receptacles of homogeneous human labour. Quite the contrary: whenever, by an exchange, we equate as values our different products, by that very act, we also equate, as human labour, the different kinds of labour expended upon them. We are not aware of this, nevertheless we do it.⁴

The act of social^[256] equalisation of labour does not exist in isolation, and occurs only through^[257] the equalisation of things. This means that the social^[258] equality of labour is realised only through the equality of things. 'The exchange of products as commodities is a certain method of exchanging labour, the dependence of the labour of each upon the labour of the others' [*Theories*, 2, p. 317, MEGA, II/3.4, p. 1317]. 'The equality of all sorts of human labour is expressed objectively by their products, as representing one and the same substance⁵ of value' [*Capital*, I, pp. 76–7, MEGA, II/6, p. 103].

The character that his own labour possesses of being socially useful takes the form of the condition, that the product must be not only useful, but useful for others, and the social character that his particular labour has of being equal of all other particular kinds of labour, takes the form that all the physically different articles that are the products of labour, have one common quality, viz., that of having value.⁶

Nothing could be more erroneous than to understand these words to mean that^[259] the equality of things as values represents nothing more than an expression of physiological equality of various kinds of human labour (cf., below,

[256] 'social' is inserted in the third edition.

[257] 'through' is 'in the form of' in the second edition.

[258] 'social' is inserted in the third edition.

[259] 'the equality of things as values represents nothing more than an expression of physiological equality of various kinds of human labour' is 'things are equalised as values because in them is contained the physiologically equal human labour'.

4 [*Capital*, I, pp. 78–9, MEGA, II/6, pp. 104–5].

5 In fact, Marx does not speak of the 'substance of value' (labour appears as such), but of 'value objectivity' (Wertgegenständlichkeit) or, more simply, of value (this term is translated in the same way also in the French edition of *Capital*, revised by Marx). In the Russian translation, this term is translated in many places erroneously as 'substance of value' (i.e., labour) [This note is added in the third edition].

6 [*ibid.*, p. 78, II/6, p. 104].

the chapter on 'Abstract Labour' [Chapter 14]). This mechanical-materialistic understanding is foreign to Marx. He speaks of the social character of the equality of different labours, of the social act of equalisation of labour, indispensable for every economy based on an extensive division of labour.^[260] In commodity society, this act is realised only through the equalisation of the products of labour as values. This 'reification' of the social act of equalisation of labour in the form of the equalisation of things does not mean the material objectification of labour as a factor of production, i.e., its material accumulation in things, in products of labour.

'The labour of every individual as far as it manifests itself in exchange values possesses this social character of equality, and manifests itself in exchange value only in so far as it is equated with the labour of all other individuals' [*Critique*, p. 273, MEGA, II/2, p. 111]. In these words, Marx clearly expresses the interconnection and the mutual conditioning of the acts of equalisation of labour and of the equalisation of commodities as values in the commodity economy.^[261] This explains the specific role which the process^[262] of exchange plays in the mechanism of the commodity economy, i.e., the equalisation of the products of labour as values.^[263] The process of the equalisation and distribution of labour is closely connected with the equalisation of values. The magnitude of value of commodities changes depending on the socially necessary labour expended on their production, not because the equalisation of things is impossible without the equality of labour expended on them (this is how Marx gives foundation to his theory according to Böhm-Bawerk), but because the social^[264] *equalisation of labour*^[265] takes place within a commod-

[260] 'based on an extensive division of labour' is inserted in the third edition.

[261] In the first edition, between 'commodity economy' and 'This explains' are the following sentences including two quotations from Marx: 'The point of departure is not the labour of individuals considered as social labour, but on the contrary the particular kinds of labour of private individuals, i.e., labour which proves that it is universal social labour only by the supersession of its original character in the exchange process. Universal social labour is consequently not a ready-made prerequisite but an emerging result' [*ibid.*, p. 286, II/2, p. 123]. 'Universal social labour is consequently not a ready-made prerequisite.' This means that the equalisation of labour as an independent social act, does not exist. This equalisation of labour is obtained as a result of exchange process, of equalisation of products of labour'

[262] 'process' is 'act' in the first and second editions.

[263] In the first and second editions this sentence runs as follows: 'The act of equalisation and distribution of labour is integrated with the equalisation of commodities.'

[264] 'social' is inserted in the third edition.

[265] '*equalisation of labour*' is italicised in the second edition.

ity economy^[266] only in the form of an *equalisation of commodities*.^[267] We find the key to the theory of value not in the act of exchange as such, in the material equalisation of *commodities*^[268] as values, but in how the *labour*^[269] is equalised and distributed in the commodity economy. We come again to the conclusion, that Marx discovered the properties of 'value' from the analysis of 'labour' in the commodity economy.

We can see from the above that Marx studies the act of exchange only insofar as it plays a specific role in the process of reproduction and is closely connected to it. Marx studies the 'value' of commodities in its connection with 'labour', with the equalisation and distribution of labour in production. Marx's theory of value does not study every exchange of things, but only that exchange which takes place: 1) in the commodity *society*,^[270] 2) among autonomous *commodity producers*,^[271] and 3) connected in a certain way with the *process of reproduction*,^[272] representing one of its necessary components. The interrelation of the processes of exchange and distribution of labour in production leads us to concentrate, for the purpose of theoretical analysis, on the value of *products of labour* (distinguished from free natural goods likely to have prices: cf. above, Chapter 5), and in addition only on the *reproducible* products. If the exchange of free natural goods (for example, land) appears as a normal phenomenon in the commodity economy, connected with the process of production, then we must include it into the field of research of political economy, but it should be studied separately from the phenomena of value of the products of labour, since, no matter how strongly the price of land influenced the process of production, the connection between them will be other than a functional connection between the value of the products of labour and the process of distribution of labour in social production. The price of land and of unreproducible goods in general does not represent an exception to the theory of labour value, but instead the borders of this theory, its limits, which it traces around itself as a sociological theory studying the laws of changes of value and its role in the production process of commodity society.

In this way, Marx does not study every exchange of things, but only the equalisation of commodities, through which is realised the social^[273] equalisation

[266] 'economy' is 'society' in the second edition.

[267] '*equalisation of commodities*' is italicised in the second edition.

[268] '*commodities*' is italicised in the second edition.

[269] '*labour*' is italicised in the second edition.

[270] '*society*' is italicised in the second edition.

[271] '*commodity producers*' is italicised in the second edition.

[272] '*process of reproduction*' is italicised in the second edition.

[273] 'social' is inserted in the third edition.

of labour in a commodity^[274] economy. We study the value of commodities as a manifestation of the 'social equality of labour'. ^[275]We must connect the concept of 'social equality of labour' with the concept of *equilibrium among individual kinds of labour*^[276] or among individual branches of a national economy. The 'equality of labour' corresponds to a certain state of distribution of labour in production, namely to a theoretically conceivable state of equilibrium, where the transfer of labour from one branch of production to another comes to an end. Of course, during constant disturbances of proportionality in the distribution of labour inherent to^[277] a spontaneous economy, such transfers of labour take place and are necessary. But they serve precisely to remove these disturbances and fluctuations from the average technically conceivable state of equilibrium among individual branches of production. This state of equilibrium happens (theoretically) when convincing incentives for the transfer from one branch to another disappear for the commodity producers, when production in the different branches becomes equally advantageous for them. The exchange of products of labour in different branches according to their value, i.e., the social equality of different kinds of labour, corresponds to the state of social equilibrium of production^[278].

The laws of this equilibrium, considered from their quantitative aspect^[279], are different for the simple commodity economy and for the capitalist economy. This difference can be explained by the fact that objective equilibrium in the distribution of social labour is created through competition, through the transfer of labour from one branch to another, connected with the subjective incentives of commodity producers.⁷ The different role of commodity producers in the social process of production creates therefore other laws of

[274] 'commodity' is 'social' in the second edition.

[275] This sentence runs in the first and second editions as follows: 'We can understand this 'social equality of labour', starting from the idea of *equilibrium among individual kinds of labour*, or among individual branches of a national economy.'

[276] '*equilibrium among individual kinds of labour*' is italicised in the second edition.

[277] 'inherent to' is 'in' in the second edition.

[278] In the first and second editions, this paragraph ends with the following sentence, deleted in the third edition: 'Equality of two different kinds of labour means that the exchange of their products in a certain proportion, as equivalents, corresponds to the state of equilibrium between the two given branches of production.'

[279] ', considered from their quantitative aspect,' is inserted in the second edition.

7 Bortkiewicz is right when he points out the following: 'The law of value is left suspended in mid-air if one does not assume that producers who produce for the market try to obtain as great an advantage as they can by expending the least effort, and that they are also in a position to change their employment' ('Value and Price in the Marxian System', *Archiv für Sozialwissenschaft und Sozialpolitik*, 1906, XXIII, no. 1, p. 39). Bortkiewicz thinks only in vain

equilibrium in the distribution of labour. In a simple commodity economy, equal advantageousness of production for commodity producers employed in different branches is realised in exchanging commodities in accordance with the quantity of labour, necessary^[280] for their production. S. Frank is suspicious of this proposition. He writes:

For such a profitability in various branches of production it is only necessary that the price of the product will be proportional to the producer's expenditures, so that a certain sum of income will belong to a certain sum of expenditure of production. However, this proportionality does not require equality between the social labour expended by the producer and the quantity of labour he obtains in exchange for his product.⁸

[281] But Frank does not ask the question of in what consists the expenditure of production for the simple commodity producer, other than in the labour spent by him on production. For the simple commodity producer, the differences^[282] in the conditions of production of two different^[283] branches appear as different conditions for the allotment of labour in them. In a simple commodity economy, the exchange of the product of ten hours of labour in one branch of production, for example shoemaking, for the product of eight hours of labour in another branch, for example clothmaking, inevitably leads – if the

[280] 'labour, necessary' is 'socially necessary labour, spent' in the first and second editions.

[281] There is no change of paragraph here in the first edition.

[282] 'For the simple commodity producer, the differences' is 'The differences' in the first edition.

[283] 'different' is 'given' in the first edition.

that this proposition fundamentally contradicts the interpretation of Marx's theory given by Hilferding, who does not ignore competition nor the interrelation between demand and supply, but this interrelation 'is regulated by the price of production' (Hilferding, *Böhm-Bawerk's Criticism of Marx*, p. 71 [*Böhm-Bawerk's Criticism of Marx* ..., 1949, p. 193]). Hilferding understands that economic activities are carried out through the incentives of economic agents, but he adds: Nothing but the tendency to establish the equality of economic relations can be derived 'from the motives of active economic subjects, which themselves are determined by the nature of economic relationships' (*Finance Capital*, p. 264 [*Das Finanzkapital* ..., 1909, p. 235. *Finance Capital* ..., 2006, p. 408]). This tendency coincides with the presupposition of the explanation on the phenomena of the commodity-capitalist economy, but is not in itself the explanation. 'The motivation of agents of capitalist production must be derived from the social function of economic actions in a given mode of production' (ibid., p. 241 [ibid., p. 214, English translation, p. 406. A free translation by Rubin]).

8 S. Frank, *The theory of Value [tsennost] of Marx and its Significance*, 1900, pp. 137–8.

shoemaker and clothmaker are equally qualified^[284] – to a different advantageousness of production in the two branches, and to the transfer of labour from the shoemaking to the clothmaking branch. Assuming a full mobility of labour in the commodity economy, every more or less significant difference in the advantageousness of production gives rise to a tendency to transfer labour from the less advantageous to the more advantageous branches of production. This tendency will manifest itself long before the moment when the less advantageous branch will be threatened by an imminent danger of economic failure and impossibility of continuing production as a result of unfavourable conditions for the realisation of its products on the market.

Because of this consideration, we cannot agree with the justification of the theory of value given by A. Bogdanov.

In a homogeneous society with a division of labour, it is necessary for sufficiently maintaining the economic life at its former level that every economic unit should receive in exchange for its commodities a quantity of products for its own consumption, *equal in value to the former ...* If individual economic units received less than this, they would begin to weaken and collapse and will not be able to fulfil their former social role.⁹

An exchange of products not proportional to the labour expenditures on them means that certain economic units receive from society less labour energy than they give to it. This leads to their collapse and to the suspension of production. That is, the normal course of production is possible only when the exchange of products is proportional to labour expenditures.¹⁰

However original and seductive such an ‘energeticist’ interpretation of the theory of labour value^[285] may be, we do not find it satisfactory for the following reasons: 1) It presupposes a complete absence of surplus product, but such a

[284] ‘–if the shoemaker and clothmaker are equally qualified –’ is inserted in the third edition.

[285] Cf., for arguments akin to those of Bogdanov, see Bukharin, *Historical Materialism: a System of Sociology*, 1925 (Chapter 5. ‘The Equilibrium Between Society and Nature’), and A. Cohn, *Course in Political Economy*, 1928 (section 3. ‘Theory of Abstract Labour’, in Chapter 3. ‘Controversial Problems of Marx’s Theory of Value’).

9 A. Bogdanov, *Short Course in Economic Science*. 1920, p. 63. The same reasoning can be found in *Course in Political Economy*, vol. II, pp. 22–4.

10 Such an argument can be found in embryonic form already in the work of N. Ziber. ‘Exchange, at the basis of which would not lie equal quantities of labour, would lead to such an absorption of one economic force by another, which would never last for a long time, while only such a time span is suitable for scientific research’ (N. Ziber, *Ricardo’s Theory of Value and Capital*, 1871, p. 88 [cf. translator’s note [142]]).

presupposition is superfluous for the analysis of the commodity economy and does not correspond to reality. 2) If such a presupposition is adopted, the law of the exchange of products in proportion to the labour expenditures will turn out to be valid for all cases of interaction among different economic units, even if not on the basis of a commodity economy. We will then obtain a formula applicable to all historical periods, and abstracted from the particularities of the commodity economy. 3) Bogdanov's arguments presuppose that a given economic unit must receive as a result of exchange a determinate quantity of products in kind, necessary for the continuation of production, i.e., he bears in mind the quantity of products in kind, but not the sum of values.^[286] Bogdanov points to the *absolute limit* beyond which the exchange of things between a given economic unit and others becomes destructive for the former and deprives it of the possibility of continuing production. However, in the analysis of the commodity economy, the decisive role is played by the *relative* advantageousness of production for commodity producers in different branches of production, and the transfer of labour from less advantageous to more advantageous branches. In the conditions of simple commodity production, a uniform advantageousness of production in different branches presupposes an exchange of commodities in proportion to the *quantities of labour*^[287] expended on their production.

In capitalist society, where the commodity producer does not expend his labour but his capital, the same principle of equal advantageousness of production finds its expression in the formula: equal profit on *equal capitals*.^[288] The rate of profit regulates the distribution of capitals among different branches of production, and this distribution in turn directs the distribution of labour among these branches. The movement of prices on the market is connected to the distribution of labour through the distribution of capitals, and is determined by labour value through the prices of production. Many critics of Marxism were inclined to see in this the bankruptcy of Marx's theory of value.¹¹

[286] 'the quantity of products in kind, but not the sum of values' is 'the exchange of products, but not of values' in the first and second editions.

[287] 'quantities of labour' is italicised in the second edition.

[288] 'equal capitals' is italicised in the second edition.

11 Thus, for example, Hainisch writes: 'What becomes of labour value after these explanations? (Volume III of *Capital* – I.R.). This is an arbitrarily constructed concept, but not the exchange value of economic reality, not the real fact from which we started and which we wanted to explain' (Hainisch, *Marx's Theory of Value*, 1915, p. 22 [original in German, Hainisch, G., *Die Marxsche Mehrwerttheorie*, Puttkammer & Mühlbrecht, 1915]). These words of Hainisch are typical of the entire spectrum of criticism of Marxism, occasioned by the appearance of Volume III of *Capital*. The more perspicacious critics do not attach any significance or in any case essential significance to the notorious 'contradiction' between

They overlooked the fact that this theory studies not only the quantitative, but also and first of all the qualitative (sociological) aspect of the phenomena of value. 'Reification'^[289] or *fetishisation* of labour relations; *relations of production* expressed in the *value* of commodities; equality of *commodity producers* as subjects of economic activity; the role of value in the *distribution of labour* among different branches of production – this whole circle of phenomena, unnoticed by Marx's critics and elucidated by his theory of value, is related uniformly to the simple commodity economy and to the capitalist economy. But the quantitative aspect of value also interests Marx, insofar as it is connected to its social function as regulator of the distribution of labour.^[290] The quantitative proportions of the exchange of things are the expression of the law of proportional distribution^[291] of social labour.^[292] Labour value and prices of production are only different manifestations of the same law of distribution of labour in the conditions of the simple commodity economy and of capitalist society.¹² The equilibrium and the distribution of labour are the basis of value and its changes both in the simple commodity economy and in the capitalist economy. In this consists the meaning of Marx's theory of 'labour' value.

[289] 'Reification' is italicised in the second edition. The same applies to all the other italicised parts in this sentence.

[290] 'as regulator of the distribution of labour' is added in the second edition.

[291] 'law of proportional distribution' is 'iron law' of quantitative proportions in the distribution' in the first and second editions.

[292] 'social labour' is 'labour in society' in the first edition.

Volumes I and III of *Capital* (Cf. Schumpeter, *Economic Doctrine and Method: a Historical Sketch*, in 'Grundriss der Sozialökonomik', I, 1914, p. 82 [English translation by A. Aris, Routledge, 2003, p. 123], and F. Oppenheimer, *Value and Capital Profit*, 1916, pp. 172–73 [original in German, F. Oppenheimer, *Wert und Kapitalprofit ...*, Gustav Fischer, 1916]), and they direct sharp criticisms at the basic propositions of Marx's theory of value. On the other hand, the critics who insist on the contradictions between Marx's theory of value and his theory of the prices of production recognise the logical impeccability of the theory of value as such. 'Indeed, it is possible to cast formal accusations against the deduction (Marx's theory of value) and actually they casted such accusations, but no doubt, these accusations did not attain their object' (Heimann, *Methodological Examinations on the Problems of Value* [original in German, *Methodologen zur den Problemen des Wertes*], *Archiv für Sozialwissenschaft und Sozialpolitik*, xxxvii, no. 3, 1913, p. 775). The impossibility of 'refuting Marx, starting from the theory of value' is recognised by Dietzel too, who found out the Achilles heel of Marx's system in the theory of crises (H. Dietzel, *On the Theoretical Value of the Theory of Value*, 1921, p. 31 [this last sentence, mentioning Dietzel, is added in the second edition]).

12 Cf. below, the chapter 'Value and Prices of Production' [Chapter 18] [this note is added in the second edition].

[293] In the last three chapters we examined the mechanism connecting labour and value. In Chapter 9, we considered value above all as the regulator of the distribution of social labour; in Chapter 10, as the expression of social relations of production of people; in Chapter 11, as the expression of abstract labour. Now we can pass to a more detailed examination of the concept of value.

[293] This final paragraph is added in the third edition.

The Content and Form of Value^[294]

In order to understand what the concept of ‘value’ of a product means in Marx, in contrast to his concept of exchange value, we must first of all consider how Marx arrived at the concept of ‘value’. As is widely known, the value of a product, for example, of a quarter of wheat, cannot appear on the market otherwise than as a certain concrete product, obtained in exchange for the first product, for example, 8 kg of shoe polish, 1.5 m of silk, half ounce of gold, etc. Therefore, the ‘value’ of a product can appear only in its ‘exchange value’, more exactly, in its different exchange values. Why then did not Marx limit himself to the investigation of the exchange value of products, in particular of the quantitative proportions of their mutual exchange? Why did he consider it necessary to construct, along with the concept of exchange value, the concept of value as distinct from the former?

In *A Contribution to the Critique of Political Economy*, Marx did not yet draw a sharp distinction between exchange value and value. In *Critique*, Marx begins his investigation with use value, then moves to exchange value, and from there passes quickly to value (which he still calls ‘Tauschwert’). This transition of his is very imperceptible and smooth, as if it were something self-evident.

But Marx makes this transition in a very different way in *Capital*, and it is very interesting to compare the first two pages of the two texts.

The first two pages of these two books completely correspond to each other. The description equally begins with use value and then passes to exchange value. The statement that exchange value appears as a quantitative relation or proportion in which produces exchange with each other is found in both books. But after this begins the divergence in the texts. Where in *Critique* Marx passes imperceptibly from exchange value to value, in *Capital*, on the contrary, he seems to linger at a given point, as if foreseeing objections from his opponents. After the above statement, Marx notes: ‘Exchange value appears to be

[294] Together with Chapter 14, this chapter so widely differs between the second and the third edition, that it is practically impossible to indicate the differences between these two editions one by one with translator’s notes as in the case of the other chapters. To these two chapters we apply an exceptional procedure. The independent translation of these chapters in the second edition will be placed after the translation of these chapters in the third edition, with translator’s notes indicating only the differences between the first and the second editions.

something accidental and purely relative, and consequently an intrinsic value, i.e., an exchange value that is inseparably connected with, inherent in commodities, seems a contradiction in terms. Let us consider the matter a little more closely' [*Capital*, I, p. 44, MEGA, II/6, p. 71].

As we can see, here Marx had in mind some opponent, who wanted to show that nothing exists except relative exchange value, that the concept of value is entirely superfluous in political economy. Who was this opponent alluded to by Marx?

This opponent was Bailey, ^[295] who argued that the concept of value was altogether unnecessary in political economy, that we must limit ourselves to the observation and research of individual proportions in which different commodities are exchanged. Greatly successful in his superficial but witty critique of Ricardo, Bailey tried to undermine the very foundation of the theory of labour value. He contended that we have no right to speak of the value of a table, but can only say that the table is exchanged on one occasion for three chairs, another time for one kg of coffee, and so on; the magnitude of the value of a table is something thoroughly relative, differing in different cases. From this Bailey drew a conclusion which led to the negation of the concept of value, insofar as value is distinguished from the relative value of a given product in a given act of exchange. Let us imagine the following case: the value of a table is equal to three chairs. A year later, this table is exchanged for six chairs. We think

[295] Samuel Bailey (1791–1870). In *A Critical Dissertation on the Nature, Measures, and Causes of Value: Chiefly in Reference to the Writings of Mr. Ricardo and his Followers*, 1825 (anonymous), Bailey sharply identified the problems in Ricardo's theory of labour value from the standpoint of the theory of value based on subjective utility, pioneering the process of disintegration of the English classical political economy between the 1820s and 1930s. Marx made detailed critical examinations on his writings in 'k) Disintegration of the Ricardian School' of '5) Theories of Surplus Value' in the manuscript of 1861–63 (included in *Theories*, 2, MEGA II/3.4), examinations which seem to have become an occasion inducing him to rearrange widely the theoretical construction on the chapter on the 'Commodity' from the *Critique to Capital* (first edition). Rubin's examinations of the impact of Bailey on Marx in Chapter 12 of the present translation were further deepened in his article 'Marx and Bailey', published in *Архив Маркса и Энгельса* [Marx, Engels Archive, edited by D. Ryazanov], no. 4, 1929 (Cf. pp. 583–99 of the present translation). It was shown that the final theoretical construction of the first chapter of *Capital*, composed of four sections, is determined by Marx's strategic objective of advancing his proper concept of value through the double-edged criticism of both Ricardo and Bailey. It may be said to be one of the Rubin's theoretical merits in his research on the history of economic thought that he unearthed as early as in the 1920s the non-negligible (although negative) influence upon Marx of Bailey, one of 'some neglected British economists' (Seligman), in trying to unravel the theoretical construction in the first chapter of *Capital*.

it right to say, that, although the exchange value of the table has changed, its value remained unchanged, and that only the value of chairs has fallen, to half their former value. But Bailey finds this contention absurd. Since the exchange relation of chairs to a table changed, the exchange relation of a table to chairs also changed, and the value of the table consists solely in this.

In order to object this theory of Bailey's, in *Capital* Marx regarded it necessary to develop a proposition that we cannot understand exchange value if it is not reduced to some unity, namely to value. The first section of the first chapter of *Capital* is devoted to giving foundation to this idea, i.e., a transition from exchange value to value and from value to the unity lying at its basis, namely labour. The second section is supplementary to the first section, since it only makes clearer the concept of labour. We can say that Marx passes from the differences appearing in the sphere of exchange value to the unity lying at the basis of all exchange values, namely to value (and in the last analysis, to labour). Here Marx shows the defect of Bailey's opinion on the possibility of restricting our research to the sphere of exchange value. In the third section Marx undertakes the inverse course, detailing how the value of a given product is expressed in its extremely different exchange values. First Marx's analysis moved from differences to unity, now he passes from unity to differences. First he opposed the theory of Bailey, now he supplements the theory of Ricardo, where the transition from value to exchange value was absent. In order to refute Bailey's theory, it was necessary to develop and take further that of Ricardo.

In fact, Bailey's attempt to prove that no value exists other than exchange value was made far easier thanks to the one-sidedness of Ricardo, who could not show how value manifests itself in a determinate form of value. Therefore, Marx had two tasks: 1) to show that we must reveal value behind exchange value, and 2) to show that the investigation of value necessarily leads to different forms of its manifestation, to exchange value.

How did Marx make a transition from exchange value to value?

Critics and commentators usually hold that Marx's central arguments are included in the well-known comparison of wheat with iron on page 3 of Volume I of *Capital* [p. 45, 11/6, p. 71]. If wheat and iron is equated to each other, then, Marx reasons, there must be something common to both of them and equal in magnitude, they must be equal to something third, and this third thing is their value. Typically, critics and commentators maintain that here is Marx's main argument, and it is on this argument that opponents of Marx usually direct all blows of their criticism. There is probably no work directed against Marx in which it is not maintained that Marx intends to demonstrate the necessity of the concept of value by means of purely abstract reasoning.

What remained entirely unnoticed is the following – the paragraph in which Marx argues about the comparison of wheat with iron is no more than a conclusion from the preceding paragraph, which runs:

A given commodity, e.g., a quarter of wheat is exchanged for x blacking, y silk, or z gold, &c. – in short, for other commodities in the most different proportions. Instead of one exchange value, the wheat has, therefore, a great many. But since x blacking, y silk, or z gold, &c., each represent the exchange value of one quarter of wheat, x blacking, y silk, z gold, &c., must, as exchange values, be replaceable by each other, or equal to each other. Therefore, first: the valid exchange values of a given commodity express something equal; secondly, exchange value, generally, is only the mode of expression, the phenomenal form, of something contained in it, yet distinguishable from it.¹

As can be seen from this passage, Marx does not examine an individual case of the equalisation of one commodity to another. The starting point of all of Marx's arguments consists in a confirmation of the commonly known fact, inherent to the commodity economy, i.e., the fact of the overall equalisation of all commodities to each other, and of the possibility of equalisation of a given commodity to an endless multitude of all other commodities. In other words, the starting point of all of Marx's reasoning is the concrete structure of the commodity economy, but never a purely logical attitude of comparison of two commodities with each other.

In this way, Marx starts from the fact of the overall mutual equalisation of all commodities, or from the fact that every commodity can be equalised with a multitude of other commodities. However, this presupposition in itself is still insufficient for all conclusions drawn by Marx. At the basis of these conclusions lies still one tacit presupposition, which Marx often reveals in other contexts.

This second presupposition consists in the following: we assume that the exchange of our quarter of wheat for any other commodity is an exchange subject to a certain regularity, and that the regularity of these acts of exchange consists in their dependence on the process of production. We reject the presupposition that a quarter of wheat can be exchanged for an arbitrary quantity of iron, coffee and so on. We cannot agree with the presupposition that, in every

¹ [ibid.].

act of exchange, these proportions of exchange are established purely accidentally. On the contrary, we affirm that all these possibilities for a given commodity to be exchanged for other commodity is subject to a certain regularity, based on the process of production. In such a case, Marx's full argument takes on the following form.

Marx says: Let us take not an accidental exchange of two commodities, iron and wheat, but instead take this exchange in the form in which it actually takes place in the commodity economy. Then we see that every object can ultimately be equalised with all other objects, or in other words, we observe an infinite multitude of proportions of exchange of a given product with all others. But these proportions of exchange are not accidental; they are regular, and their regularity is determined by causes lying in the process of production. In this way, we arrive at the conclusion that, whether the value of a quarter of wheat is expressed in some kg of coffee or in three chairs or so on, the value of a quarter of wheat remains the same in all these cases. If we assume that in each of these infinite exchange proportions a quarter of wheat had differing value (a conclusion to which Bailey's contentions amount), we would see complete chaos in the phenomena of price formation, in the overall phenomenon of the exchange of products, through which a general connection of all sorts of labour is carried out.

The above reasoning led Marx to the conclusion that, though the value of a product necessarily manifests itself in exchange value, it must be subjected to analysis independently of the latter. 'The progress of our investigation will show that exchange value is the only form in which the value of commodities can manifest itself or be expressed. For the present, however, we have to consider the nature of value independently of this, its form' [*Capital*, I, p. 46, MEGA, II/6, p. 72]. In accordance with this, in the first and second sections of the first chapter of Volume I of *Capital*, Marx analyses the concept of value before passing subsequently to exchange value. This distinction, which Marx draws between value and exchange value, raises the problem: what is *value* as distinct from exchange value?

If we adopt the most popular and widely diffused views, we can probably say that value is usually understood as the labour necessary to expend on the production of a given commodity; exchange value of a given commodity is, however, understood in terms of the other product for which the given commodity is exchanged. If a given table is produced by means of three hours of labour and exchanged for three chairs, it is usually said that the value of the table, equal to three hours of labour, has found its expression in another product, distinct from the table itself, namely in three chairs. The three chairs comprise the exchange value of the table.

In such a popular definition it usually remains not so clear whether the value is *determined* by the labour, or the value *is* the labour itself. Of course, from the point of view of Marx's theory, it would be correct to say that value is determined by labour. But then we will be faced with the question: what is this value, determined by labour? To this question, we don't usually find a satisfactory answer in the popular explanations.

For this reason, the reader very often has in mind the idea that the value of a product is nothing other than the labour necessary to spend on its production. From this arises the false impression on the complete identity between labour and value.

Such an impression is widespread within anti-Marxist literature; one could say that the most part of the misunderstandings and misinterpretations to be found in anti-Marxist literature are based on the false impression that, according to Marx, labour is value.

This false impression often follows from critics' and commentators' incomprehension of the terminology and meaning of Marx's works. For example, Marx's well-known saying that value is 'congealed' or 'crystallised' labour is usually interpreted to mean that labour is value. This erroneous impression is further strengthened also by the ambiguity of the Russian verb 'represent' (представлять). Value 'represents' labour, thus we translate the German verb 'darstellen'. But this Russian sentence can be understood not only in the sense that value is a representation, or expression, of labour, which is the sole understanding that actually corresponds to Marx's idea, but also in the sense as if value were labour. Such a view, extremely widespread in critical literature directed against Marx, is of course entirely false. Labour should not be identified with value. Labour represents only the substance of value, and in order to obtain value in the full meaning of the word, labour as the substance of value must be considered in its inseparable connection with the social 'form of value' (Wertform).

Marx studies value from the aspects of its *form*, *substance*, and *magnitude* (Wertform, Wertsubstanz, Wertgrösse). 'What was decisively important, however, was to discover the inner, necessary connection between value-*form*, value-*substance*, and value-*magnitude*' (*Capital*, I, 1867, p. 34 [first edition. English version, p. 34, MEGA, II/5, p. 43. Emphasis in original]). The connection of all these three aspects was hidden from the eyes of the researchers because Marx analysed them separately from each other. In the first edition of *Capital*, Marx reminds the reader several times that he was analysing various aspects of one and the same object, i.e., value.

Now we know the *substance* of value. It is *labour*. We know its *unit of measurement*. It is *labour-time*. We have yet to analyse its *form*, which precisely stamps the *value* as an *exchange* value (ibid., p. 6. Emphasis in original [ibid., p. 11, 11/5, p. 21. Emphasis in original]).

‘Since up to now it has only been the substance of value and the magnitude of value which have been specified, let us now direct our attention to the analysis of the *form of value*’ (ibid., p. 13 [ibid., p. 16, 11/5, p. 27. Emphasis in original]). In the second edition of Volume I of *Capital*, these sentences were excluded from the text, but instead the first chapter was divided into sections with separate headings: within the heading of the first section is mentioned ‘The substance of value and the magnitude of value’, while the third section is titled: ‘The form of value or exchange value’. The second section, devoted to the twofold character of labour, is only a supplement to the first section, i.e., to the theory of the substance of value.

Leaving aside now the quantitative aspect or the magnitude of value, and limiting ourselves only to the qualitative aspect, we can say that value must be considered from the aspects both of the ‘substance’ (content) and of the ‘form of value’.² The necessity of investigating value from the aspects of these two constituent elements of it means nothing other than the necessity of holding on to the course of research according to the genetic (dialectical) method, including within it analysis as well as synthesis.³ On one hand, Marx takes as the starting point of his investigation value as a ready form of the product of labour, and by means of analysis he discovers the content (substance) contained in the given form, i.e., labour. Here he continues down the road, paved by the classical economists, particularly by Ricardo, which Bailey refused to follow. But, while Ricardo limited himself to reducing form (value) to content (labour) by means of analysis, Marx attempts to show us the reason why this content assumes namely a given social form. Marx proceeds not only from form to content, but also, inversely, from content to form. He regards as the object of his investigation the ‘form of value’, or value as the social form of the product of labour, a form, which the classical economists took for granted, not requiring any elucidation.

2 ‘Form of value’ (Wertform) does not mean, here and also later, those various forms which value takes on in its development (for example, simple, expanded, and general forms of value), but rather means the value itself, considered as the social form of the product of labour. In other words, here we have in view not the various ‘forms of value’, but ‘value as form.’

3 On these methods, cf. above, the end of Chapter 4.

Reproaching Bailey for limiting himself to the investigation of the quantitative aspect, exchange value, and thereby ignoring value, Marx pointed out, on the other hand, that the classical political economists ignored the ‘form of value’ while studying the value itself, so to say the content of value, its dependence on labour.

Political Economy has indeed analysed, however incompletely, value and its magnitude, and has discovered the *content* included in *these forms*. But it has never once asked the question *why this content assumes such a form*, in other words why labour is expressed in value and labour time as its measure in the magnitude of the value of the product of labour.⁴

The classical economists uncovered labour under value. But Marx showed that the labour relations of people and social labour in a commodity economy inevitably take on the material form of the value of products of labour. The classics directed attention to the content of value, i.e., to the labour expended on the production of the product. But Marx studied first of all the ‘form of value’, i.e., value as the material expression of the labour relations of people and of social (abstract) labour.⁵

‘*The form of value*’ plays an essential role in Marx’s theory of value, but it has not received sufficient attention from researchers (except for Hilferding).⁶ Marx himself mentions it incidentally in many places. The third section of the first chapter in Volume I of *Capital* is entitled ‘Form of value or exchange value’. However, in this section Marx does not expand on the explanation of

4 [*Capital*, I, pp. 84–5, MEGA, II/6, pp. 110–1. Emphasis added].

5 We leave aside the controversial question of whether or not Marx correctly interpreted the classics. We think that with regard to Ricardo Marx was right in saying that he studied the magnitude and partially the content of value while ignoring the form of value (cf. *Theories of Surplus Value*, Band II, T. 1, S. 12 and Band III, S. 163–64 [*Theories*, I, pp. 399–400, II/3.3, p. 825, and 2, pp. 324–26, II/3.4, pp. 1323–25]). For more detail on this point, see our article ‘Fundamental Features of Marx’s Theory of Value and How it Differs from Ricardo’s Theory’, annexed to Rosenberg, *The Theory of Value in Ricardo and Marx* [original in German, Rosenberg, S., *Ricardo und Marx als Werttheoretiker*, Uniondruckerei, 1903], 1924, Moscow Labourer Publishers [cf. for this article ‘Foreword to the Second Edition’ translated into English in translator’s note [1]].

6 S. Bulgakov took notice of the great significance of the form of value for understanding Marx’s theory in his old, extremely interesting articles (‘What is Labour Value [tsennost]?’ in *A Collection of Articles on Jurisprudence and the Social Sciences*, 1869, vol. VI, p. 234, and ‘On Some Fundamental Concepts of Political Economy’ in *Science Review*, 1898, no. 2, p. 337).

the form of value, instead quickly moving on to its various modifications, to the individual 'forms of value': simple, accidental, general, and monetary. These different 'forms of value', appearing in every popular description of Marx's theory, together comprised the 'form of value' as such. Marx enters into greater detail about the 'form of value' in this sense in the footnote to the above quoted passage:

It is one of the chief failings of classical economy that it has never succeeded, by means of its analysis of commodities, and in particular, of their value, in deducing the *form of value which precisely gives to it the character of exchange value*. Even Adam Smith and Ricardo, the best representatives of the school, treat the form of value as a thing of no importance, as having no connection with the inherent nature of commodities. The reason for this is not solely because their attention is entirely absorbed in the analysis of the magnitude of value. It lies deeper. *The value-form of the product of labour is not only the most abstract, but is also the most universal form, taken by the product in bourgeois production, and stamps that production as a particular species of social production*, and thereby gives it its special historical character. If then we treat this mode of production as one eternally fixed by Nature for every state of society, we necessarily overlook that which is the *differentia specifica* of the value-form, and consequently of the commodity-form, and of its further developments, money-form, capital-form, &c.⁷

Thus, the '*form of value*' is the *most general form of the commodity economy*; it characterises the social form, which the process of production assumes upon a definite stage of historical development. Since political economy specifically studies a historically transient social form of production, i.e., the commodity-capitalist form, the 'form of value' represents one of the cornerstones of Marx's theory of value. As can be seen from the passage quoted above, the 'form of value' is closely connected to the 'commodity form', i.e., with the basic particularity of the contemporary economy, which consists in the fact that the products of labour are produced by autonomous private producers, the labour connection of whom is realised only through the exchange of commodities. In such a 'commodity' form of economy, the social labour necessary for the production of a given product finds its expression not directly in labour units, but indirectly in the 'form of value', in the form of other products, which are given

7 [ibid., p. 85, II/6, p. III. Emphasis added.].

in exchange for the given product; the product of labour is transformed into a commodity, endowed with both use value and social 'form of value'. With this, social labour is 'reified', it acquires the 'form of value', i.e., the form of a property coagulated to a thing and as if inherent in the thing itself. This 'reified' labour (but not social labour as such) is precisely what represents value. This is what we have in view when we say that value already includes in itself the social 'form of value'.

However, what is that 'form of value', which, unlike exchange value, enters the concept of value itself?

I quote only one, most brilliant, definition of the form of value, from the first edition of *Capital*: '*Social form of the commodity and value-form (Wertform) or form of exchangeability (Form der Austauschbarkeit)* are thus one and the same thing' (*Kapital*, I, 1867, p. 28 [first edition. English version, p. 29, MEGA, II/5, p. 38]. Emphasis in original). As we can see, what is called the form of value is the form of exchangeability or the social form of the product of labour, consisting in its ability to be exchanged with any other commodity, insofar as this ability is determined by the quantity of labour necessary for the production of the given commodity. In this way, when we have passed from exchange value to value, we have not abstracted from the social form of the product of labour. We have, rather, abstracted only from the concrete product in which the value of commodity is expressed, always having in view the social form of the product of labour, its ability to be exchanged with any other product in a certain proportion.

Our conclusion can be formulated in the following way: Marx analyses the 'form of value' (Wertform) separately from exchange value (Tauschwert). In order to include in the concept itself of value the social form of the product of labour, we had to carry out, so to say, a splitting or dichotomisation of the social form of the product into two forms: Wertform and Tauschwert, the first meaning the social form of a product not yet concretised in a certain thing but representing something like an abstract property of a commodity. In order to introduce into the concept itself of value the features of the social form of the product of labour, to show at the same time the inadmissibility of the identification of the concept of value with the concept of labour – an identification which popular presentations of Marx often imply – we had to show that value should be considered not only from the aspect of the substance of value (i.e., labour), but also from the aspect of the 'form of value'. Moreover, in order to introduce into the concept itself of value the form of value, we had to separate it from exchange value, which Marx considers separately from value. In this way, we have split the social form of the product into two parts: the social form which has *not* yet taken on a concrete form (i.e., 'form of value'), and the

same form which has already taken on a concrete and independent form (i.e., exchange value).

After we have considered the 'form of value', we have to pass on to the question of the content or substance of value. All Marxists agree that labour is the content of value, but the sole problem is precisely about what kind of labour they are speaking in this case. Indeed, we know that very different concepts are hidden behind the word 'labour'. Precisely what kind of labour comprises the content of value?

After having drawn a distinction in the previous chapter between socially equalised labour in general, which can exist in various forms of social division of labour, and abstract labour, which exists only in the commodity economy, we can raise the following question: does Marx understand, by the substance or content of value, *socially equalised labour in general* (i.e., social labour in general) or rather *abstractly universal* labour? In other words, when we speak of labour as the content of value, do we include in the concept of labour all its features, which we include in the concept of abstract labour, or do we take labour in the sense of socially equalised labour, not including within it the those features which characterise the social organisation of labour in the commodity economy? Does the concept of labour as the 'content' of value coincide with the concept of abstract labour 'forming' value? At first glance, it seems possible to find in Marx arguments in favour of both of these meanings of the content of value. On the one hand, we find arguments which seem to tell us that we must understand by labour as the content of value something poorer than abstract labour, i.e., labour without those social features which are inherent in it within the commodity economy.

What arguments can we find in favour of such a solution to the problem?

Marx often understands by the content of value something which may assume the social form of value but may also take on other social forms. By content is, indeed, understood something capable of taking on various social forms. Precisely such a capacity is the specific characteristic of socially equalised labour, but not of abstract labour (i.e., of labour having already assumed a determinate social form). Socially equalised labour can take on both the form of labour organised in the commodity economy and the form of labour organised, for example, in a socialist economy. In other words, in this case we take the social equalisation of labour abstractly, paying no attention to those modifications which are occasioned in the content itself (i.e., labour) by one or the other form of the equalisation of labour.

Can one find in Marx the concept of the content of value in such a sense? To this question we can answer in the affirmative. Let us remember, for example, the Marx's statement that 'exchange value is a definite social manner of

expressing the amount of labour bestowed upon an object' [*Capital*, I, p. 86, MEGA, II/6, p. 112]. Obviously, labour is considered here as an abstract content, capable of taking on one or another social form. When Marx says in the well-known letter to Kugelmann that the social distribution of labour is manifested in the commodity economy in the form of value, he again considers socially distributed labour as the content which can assume one or another social form. In the second paragraph of the section on commodity fetishism, Marx directly states that 'the *content* of a certain value' can be found not only in the commodity economy, but also in the patriarchal family or the medieval domain. Here, too, as we can see, labour represents that content which can take on various social forms.

On the other hand, it is also possible to find in Marx arguments in favour of the opposite proposition, according to which we must understand by the content of value abstract labour. First of all we find in Marx some statements directly affirming this, for example the following: 'They (commodities) are related to *abstract* human labour as to their common social *substance*' [*Kapital*, I, 1867, p. 28 [first edition. English version, p. 28, MEGA, II/5, p. 38. Emphasis added]. This statement seems to leave no doubt about the fact that abstract labour is not only the creator of value but is also the substance and content of value. We arrive at this same conclusion on the basis of methodological considerations. Socially equalised labour assumes the form of abstract labour in the commodity economy, and only from this abstract labour does value arise with necessity as the social form of the products of labour. From this it follows that the concept of abstract labour in our schema directly precedes the concept of value, and that this concept of abstract labour must also be taken as the basis, content, and substance of value. We must keep in mind, too, that on the question of the interrelation between content and form Marx adopted the viewpoint of Hegel, and not that of Kant. Kant regards form as something exterior in relation to content, adhered to it from without. But from the point of view of Hegel's philosophy, the content is not something to which form is appended from without, but rather, the content itself, through its development, gives birth to this form, which was already latent in that content. Form arises with necessity from the content itself. This is the basic proposition of Hegel's and Marx's methodology, a proposition opposed to Kant's methodology. From this point of view, moreover, the form of value grows necessarily out of the substance of value. In consequence, we must take as the substance of value the abstract labour, entirely rich in its social determinations, which characterises the commodity economy. As the final argument, we show that, if we take abstract labour as the content of value, we attain a significant simplification of Marx's entire schema, because in this case labour

as the content of value will not be distinguished from the labour which creates value.

We have reached a paradoxical proposition, that Marx recognises as the content of value sometimes social (or socially equalised) labour, and other times abstract labour.

How can we get out of this contradiction? This contradiction disappears if we remember that the dialectical method includes within it both of the methods of research we spoke of above: the path of research from form to content, and the path of research from content to form. If we start from value as a determinate, previously given social form, and if we ask ourselves the question of what is the content of this form, then it turns out that this form only expresses generally the fact that social labour is expended; value turns out to be a form which expresses the fact of the social equalisation of labour, a fact which takes place not only in a commodity economy but can also take place in other economies. In following the path of analysis from a ready form to its content, we find socially equalised labour as the content of value. However, we will arrive at another conclusion if we do not adopt as our starting point of research the ready form, but instead the content itself (i.e., labour), from which the form (i.e., value) must necessarily follow. In order to pass from labour, considered as content, to value as form, we must include in the concept of labour the social form inherent to it in the commodity economy, i.e., we must recognise the abstractly universal labour as the content of value. It is possible that the seeming contradiction in the determination of the content of value we find in Marx can be explained precisely with the difference of these two methods.

Having analysed separately the form and the content of value, we must now consider the relation between them. What relation exists between labour and value? The ordinary answer to this question is: value is the adequate or exact form of expression of the content of value (i.e., of labour). In order to grasp this idea, let us go back to the former example: a table is exchanged for three chairs. We say that this process of exchange is subject to a certain regularity, and dependent upon the development of and changes in the productivity of labour. But exchange value is such a social form of a product that does not only express the changes of labour, but also masks and hides these changes. It hides them for the simple reason that exchange value presupposes a value relation between two commodities, for example between a table and chairs, and therefore the change in the exchange proportion between these two objects tells us nothing about whether the quantity of labour expended on the production of the table or on the production of the chairs has actually changed. If the table was, after a certain lapse of time, exchanged for six chairs, the exchange value of the table would change, while the value of the table itself may possibly not have

changed at all. For the purpose of studying in pure form the process of dependence of the change in the social form of the product on the quantity of labour expended on its production, Marx had to divide the given phenomenon into two parts, cut it off, and say that we must study separately those causes which determine the 'absolute' value of the table, and those causes which determine the 'absolute' value of the chairs; and that one and the same phenomenon of exchange (namely the fact that the table is now exchanged for six chairs instead of three) may be brought about either by causes lying on the side of the table, or by causes rooting in the conditions of production of the chairs. In order to study separately the effect of each of these causal cores, Marx had to cut off the fact of change in the exchange value of the table into two parts and to assume that these changes are brought about exclusively by causes acting upon the side of the table, i.e., by changes in the productivity of labour necessary for the production of the table. In other words, he had to presuppose that the chairs, as well as all other commodities for which our table is exchanged, maintain their former value. Precisely underlying this assumption is value a completely accurate and adequate form of expression of labour from the *qualitative* as well as *quantitative* aspects.

Up to now we have considered the connection between the substance and the form of value from its qualitative aspect. Now we must consider the same connection from the quantitative aspect, and in so doing we will move from the substance and the form to the third element of value, the *magnitude* of value. Marx considers social labour not only from its qualitative aspect (labour as the substance of value), but also from its quantitative aspect (quantity of labour). In exactly the same way, Marx also considers value both from its qualitative aspect (value as form, or form of value) and from its quantitative aspect (magnitude of value). From its *qualitative* aspect, the interrelation between the 'substance' and the 'form of value' means the interrelation between social abstract labour and its 'reified' form, i.e., value. Here Marx's theory of value directly approaches his theory of commodity fetishism. From its *quantitative* aspect, the question is about the interrelation between the quantity of abstract, socially necessary labour and the magnitude of the value of the products, whose changes are the basis for the regular dynamics of market prices. The magnitude of value changes in dependence on the quantity of abstract, socially necessary labour, but because of the twofold character of labour the changes in that quantity of abstract, socially necessary labour are caused in turn by changes in the quantity of concrete labour, i.e., by the development of the material-technical process of production, in particular the productivity of labour. In this way, the entire *system of values*, this grandiose system of spontaneous social reckoning and comparison of the products

of labour, has at its basis a grandiose system of spontaneous social reckoning and comparison of *labour* of different kinds and of different individuals, as parts of the total social labour. This latter system is hidden and imperceptible on the surface of phenomena. This *system of total social abstract labour* is in turn put into motion by the development of the *material productive forces*, by this ultimate factor of the development of society in general. Marx's theory of value is thus connected with his theory of historical materialism.

In Marx's theory we find a magnificent synthesis of the content and form of value on the one hand, and of the qualitative and quantitative aspects of value on the other. In one passage Marx points out that Petty confounded two determinations of value: 'value as the form of social labour' and 'the *magnitude of value*, determined by equal labour time, according to which *labour* is considered as the *source of value*' (*Theorien über den Mehrwert*, B. 1, 1905, S. 11 [*Theories*, 4, p. 248, MEGA, II/3.6, p. 2291]). The greatness of Marx lies precisely in the fact that he gave a synthesis of both of these determinations of value. 'Value as the material expression of relations of production of people' and 'value as magnitude determined by the quantity of labour or labour time' – both of these determinations are inseparably connected in Marx. The quantitative aspect of the phenomena of value, on the investigation of which the classical political economists predominantly concentrated, is studied by Marx on the basis of an analysis of the qualitative aspect of value. The theory on the form of value or on 'value as the form of social labour' precisely comprises the most original part of Marx's theory of value, in distinction from the theories of the classical economists. Among bourgeois scholars one can frequently find the opinion that the distinguishing feature of Marx, in comparison to the classics, is his recognition of labour as the 'source' or 'substance' of value. As can be seen from the passages quoted from Marx, the recognition of labour as 'source' of value can be found also among economists interested predominantly in the quantitative aspect of the phenomena of value. In particular, the recognition of labour as the source of value can be found in Smith and in Ricardo. But to seek a theory on 'value as form of social labour' in them would be in vain.

Before Marx, the attention of the classical economists and their epigones was directed either to the *content* of value, in addition mainly to its quantitative aspect (quantity of labour), or to the *relative exchange* value, i.e., to the quantitative proportions of exchange. The links of chain at the two edges of the theory of value were studied: the fact of the development of the productivity of labour and of technique as the internal cause of changes of value, and the fact of relative changes of value of commodities on the market. But

the intermediary link of chain was missing: the 'form of value', i.e., value as a form characterised by the reification of relations of production and by the transformation of social labour into the property of the product of labour. Thus can be explained the reproaches Marx casts upon his predecessors, which may at first glance seem contradictory. He reproaches Bailey for examining the proportions of exchange, i.e., exchange value, while ignoring value. He finds the shortcoming of the classical political economists in the fact that they, conversely, studied value and the magnitude of value, its content, but not the 'form of value'. The predecessors of Marx, as was pointed out, assigned their attention to the *content* of value, predominantly from its quantitative aspect (labour and the magnitude of labour), and equally to the *quantitative* aspect of exchange value. They thereby left out of view the *qualitative* aspect of labour and value, this characteristic particularity of the commodity economy. An investigation of the 'form of value' also gives its sociological character and specific features to the concept of value. This 'form of value' unifies the links at the opposite two edges of chain: the development of the productivity of labour, and the phenomena of market transaction. Without the form of value, these links fall apart, and each of them is transformed into a one-sided theory. We obtain, on the one hand, labour expenditures from the technical side, irrespective of the social form of this material process of production (labour value as logical category), and on the other, the relative changes of prices on the market, a theory of prices in search of an explanation of their fluctuations outside of the sphere of the labour process and cut off from the basic fact of the national economy, from the development of the productive forces.

Showing that without the form of value there can be no value as a social phenomenon, Marx understood well that this social form itself remains empty without the labour content filling it. Noticing the neglect of the form of value by the classical school, Marx warns against the other danger, i.e., the overestimation of the social form of value at the expense of its labour content. 'This led to the rise of a restored mercantile system (Ganilh, &c.), which sees in value nothing but a social form, or rather its reflection, devoid of every independent substance' [*Capital*, I, p. 85, MEGA, II/6, p. 111].⁸ Elsewhere, Marx speaks

8 In his original text Marx writes simply: *substanzlosen Schein* (S. 47 [*Capital*, I, p. 85, MEGA, II/6, p. 111]). The translators, not paying sufficient attention to the difference between form and content (substance), considered it necessary to insert the word 'independent', absent from Marx's text. Struve translates *substanzlosen* with the words 'devoid of content,' which conveys very well the idea of Marx, who saw in the 'substance' of value this content, distinct from the form.

of the same Ganilh: 'Ganilh is quite right when he says of Ricardo and most of the economists that they consider labour without exchange, although their system, like the whole bourgeois system, rests on exchange value' [*Theories*, 1, p. 99, MEGA, II/3.2, p. 522]. Ganilh is right when he brings forward the significance of exchange, i.e., of the determinate social form of labour activity of people, which finds its expression in the 'form of value'. But he exaggerates the importance of exchange at the cost of the production-labour process: 'Ganilh imagines, with the Mercantilists, that the *magnitude of value is itself the product of exchange*, whereas in fact it is only the form of value or the form of *commodity* which the product receives through exchange' [ibid., p. 99, II/3.2, p. 523]. The form of value is filled with labour content, while the magnitude of value depends on the quantity of abstract labour. In its turn labour, which is closely connected with the system of values by its social or abstract aspect, is closely related with the system of material production by its other, material-technical or concrete, aspect.

From the investigation of value from its content (i.e., labour) and social form, we obtain the following advantages. We immediately break with the widespread identification of value with labour, and thus can determine more accurately the relation of the concept of value with the concept of labour. On the other hand, we can determine the relation of value to exchange value. Earlier, when value was considered simply as labour and was not given a more precise social characteristic, this value, on the one hand, was identified with labour, and separated from exchange value by an abyss on the other. In the concept of value economists not rarely duplicated only the same work and from this concept of value could never move to the concept of exchange value. Now, when we consider value from the aspect of content and form, through content we connect value with the preceding concept, i.e., with abstract labour (and in the last analysis with the material process of production), and on the other hand, through the form of value we connect the concept of value with the subsequent concept, exchange value. Indeed, once we confirm that value does not represent labour in general, but rather represents labour which has taken on the 'form of exchangeability' of a product, then we must infallibly pass from value to exchange value. In this way, the concept of value turns out to be inseparably connected with the concept of labour on the one hand, and with the concept of exchange value on the other.

[296][Supplement 1: Chapter 12 in the Second Edition (Chapter 9 in the First Edition)] Value and Exchange Value (the Content and Form of Value)

As we have seen, value represents, according to Marx, the relation of production among autonomous commodity producers, expressed in the material form of the equalisation of commodities, and in its movement closely related with the equilibrium and distribution of labour in the material process of production. Marx draws attention also to the movement of the material process of production and its social, commodity form. The former clarifies for us the *content* of value, its dependence on the development of productivity of labour, while the latter determines the *form* of value as the material expression of relations of production. Unfortunately, the question about the interrelation between content and form of value in Marx's system is obscured at times by the overlapping question about the interrelation between value and exchange value. Therefore, we also begin with the latter question.

In *Critique* Marx does not yet draw a distinction between value and exchange value. In *Capital*, by contrast, he draws such a distinction, between them, considering exchange value as the form of manifestation of value. He begins his analysis with exchange value, from which he quickly moves to value, hidden behind it, and afterwards returns back to the form of its manifestation, subjecting to detailed examination exchange value, or the forms of value. 'We started from exchange value, or the exchange relation of commodities, in order to get at the value that lies hidden behind it' [*Capital*, I, p. 54, MEGA, II/6, p. 80]. Though value and the form of its manifestation, exchange value, are inseparably connected with each other, Marx chooses to analyse them individually. 'The progress of our investigation will show that exchange value is the only form in which the value of commodities can manifest itself or be expressed. For the present, however, we have to consider the nature of value independently of this, its form' [*ibid.*, p. 46, II/6, p. 72].

After Marx, his commentators draw a distinction between *value* and *exchange value*:^[297] the former is determined by the *quantity of labour*,^[298] socially necessary for the production of a given commodity; the latter is ex-

[296] The numbering of the original footnotes follows that of Chapter 12 in the third edition. But the translator's notes, indicating only the differences between the first and second editions, remain serial as in the other chapters.

[297] '*value* and *exchange value*' is italicised in the second edition.

[298] '*quantity of labour*' is italicised in the second edition.

pressed in the *quantity of other commodities*,^[299] which are given in exchange for the given commodity. 'A commodity has value only insofar as abstract human labour is reified in it'.⁹ But this

value of a commodity does not manifest itself, till I compare it with the value of another commodity, for which I want to exchange the former. The magnitude of the value of commodity is *determined*, certainly, by the quantity of socially necessary time of labour required for its preparation, but it is *expressed* by its relation to the value of one or some other commodities, its *exchange relation*.¹⁰

Such is the definition of value and exchange value most widely adopted in Marxist literature. This determination, at first glance quite correctly formulating the path of thinking in *Capital*, suffers from the following two essential shortcomings:

- 1) Value is placed in dependence exclusively on the quantity of labour expenditures, but no exactly determined social form of labour is shown. It is possible to think that the labour expenditures of people in any social form create value, even in such a society where the products of labour are not exchanged as commodities, hence where they have no exchange value. Value is transformed into a *logical category*,^[300] distinct from exchange value.
- 2) On the other hand, exchange value is considered as exchange relation between commodities to be exchanged, as quantitative proportion of exchange. However, Marx constantly emphasised, that exchange value is not exhausted with the quantitative proportion. Exchange value expresses equally the fact, that in the commodity economy, the quantity of socially necessary labour spent on the production of a product can find its expression only in material form, in exchange, in the form of other commodities which are proffered in exchange for a given product. This particularity of the commodity economy, present in that the labour spent on the production of a product assumes the form of a property, at first glance inherent to the thing itself as if it were 'objective', bears in Marx

[299] '*quantity of other commodities*' is italicised in the second edition.

[300] '*logical category*' is italicised in the second edition.

9 K. Kautsky, *The Economic Theory of Marx*, p. 11 [English version, 1983, p. 13, German original, 1919, p. 16, cf. note 4 on p. 28 of the present translation].

10 *ibid.*, p. 16 [*ibid.*, p. 20, p. 25. Emphasis in original].

the name: 'form of value'. The term 'exchange value' is used by Marx in the two meanings: as a *quantitative*^[301] relation, i.e., exchange proportion, and as the '*form of value*', i.e., a *qualitative*^[302] characteristic of value, as the material expression of socially-necessary labour.

At the beginning of *Capital*, Marx points out that 'exchange value, at first sight, presents itself as a quantitative relation, as the proportion in which values in use of one sort are exchanged for those of another sort' [*Capital*, I, p. 44, MEGA, II/6, p. 70]. But for Marx, exchange value is not exhausted with this quantitative aspect. He considers it necessary to study the value relation between two commodities 'apart from its quantitative aspect. The usual mode of procedure is generally the reverse, and in the value relation nothing is seen but the proportion between definite quantities of two different sorts of commodities that are considered equal to each other' [ibid., I, p. 56, II/6, p. 82]. In this point Marx detects the mistake of many economists; he accuses Bailey of having seen 'in the expression of value, merely a quantitative relation' [ibid., I, p. 62, II/6, p. 88], and drawn attention 'exclusively ... to the quantitative aspect of the question' [ibid., I, p. 56, II/6, p. 82].¹¹

Accusing Bailey of having restricted himself to the investigation of the quantitative aspect of exchange value, Marx points out that, on the other hand, the classical school^[303] equally ignored the 'form of value' while studying value itself so to say, the content of value, its dependence on labour.

Political Economy has indeed analysed, however incompletely, value and its magnitude, and has discovered the *content* which lies beneath *these forms*. But it has never once asked the question *why this content assumes such a form*, in other words, why labour is expressed in value and labour time as its measure in the magnitude of value of product of labour. [*idem.*, I, pp. 84–5, II/6, pp. 110–11. Emphasis added. A somewhat free translation by Rubin].

The classical political economist uncovered labour under value, but Marx showed that the labour relations of people in commodity society inevitably

[301] '*quantitative*' is italicised in the second edition.

[302] '*form of value*,' i.e., *qualitative*' is '*form of value*,' i.e., *qualitative*' in the first edition.

[303] 'that, on the other hand, also the classical school' is 'the shortcoming of the classical school, which' in the first edition.

11 Marx criticises in detail the views of Bailey in a section devoted to him of *Theories of Surplus Value*, vol. III, pp. 146–201 [*Theories*, 2, pp. 312–53, MEGA, II/3.4, pp. 1313–50].

take on the material form of the value of the products^[304] of labour. The classics drew attention to the content of value, to the labour spent on the production of a product, but Marx studies first of all the ‘form of value’, i.e., the social form of (commodity) production, which solely creates value, as the material expression of the labour relations of people.¹²

‘*The form of value*’^[305] plays an essential role in Marx’s theory of value, but it has not drawn sufficient attention from researchers (except for Hilferding).¹³ Marx himself mentions it incidentally in many places. The third section of the first chapter in Volume I of *Capital* is entitled ‘form of value or exchange value’. However, in this section Marx does not expand on the explanation of the form of value, instead moving quickly to its various modifications, to the individual ‘forms of value’: simple, accidental, general, and monetary. These different ‘forms of value’, appearing in every popular description of Marx’s theory, together comprised the ‘form of value’ as such. Marx enters into greater detail about the ‘form of value’ in this sense in the footnote to the above quoted passage:

It is one of the chief failings of classical economy that it has never succeeded, by means of its analysis of commodities, and in particular, of their value, in deducing the *form of value, which precisely gives it*¹⁴ the character

[304] ‘products’ is ‘product’ in the first edition.

[305] ‘*The form of value*’ is italicised in the second edition.

12 We leave aside the controversial question of whether or not Marx correctly interpreted the classics. We think that with regard to Ricardo Marx was right in saying that he studied the magnitude and partially the content of value while ignoring the form of value (cf. *Theories of Surplus Value*, Band II, T. 1, S. 12 and Band III, S. 163–64 [*Theories*, 1, pp. 399–400, II/3.3, p. 825. *Theories*, 2, pp. 324–6, II/3.4, pp. 1323–5]). For more detail on this point, see our article ‘Fundamental Features of Marx’s Theory of Value and How it Differs from Ricardo’s Theory’, annexed to Rosenberg, S., *Ricardo und Marx als Werttheoretiker*, Uniondruckerei, 1903], 1924, Moscow Labourer Publishers [cf. for this article ‘Foreword to the Second Edition’ translated into English in translator’s note [1], as well as Rubin’s original note 3 in Chapter 8. This last sentence is added in the second edition.].

13 S. Bulgakov took notice of the great significance of the form of value for understanding Marx’s theory in his old, extremely interesting articles (‘What is Labour Value [tsennost]?’ in *A Collection of Articles on Jurisprudence and the Social Sciences*, 1869, vol. VI, p. 234 and ‘On Some Fundamental Concepts of Political Economy’ in *Science Review*, 1898, no. 2, p. 337).

14 Marx’s original text runs: ‘gives it (ihn [*sic*. ihm], which can represent only Werth [value] but never Waare [commodity]) the character of exchange value.’ The translators (V. Baz-

of exchange value. Even Adam Smith and Ricardo, the best representatives of the school, treat the form of value as a thing of no importance, as having no connection with the inherent nature of commodities. The reason for this is not solely because their attention is entirely absorbed in the analysis of the magnitude of value. It lies deeper. *The value-form of the product of labour is not only the most abstract, but is also the most universal form, taken by the product in bourgeois production, and stamps that production as a particular species of social production,* and thereby gives it its special historical character. If then we treat this mode of production as one eternally fixed by Nature for every state of society, we necessarily overlook that which is the *differentia specifica* of the value-form, and consequently of the commodity-form, and of its further developments, money-form, capital-form, &c.¹⁵

Thus, the '*form of value*' is the most general form of the commodity economy;^[306] it characterises the social form which the process of production assumes on a definite stage of historical development. Since political economy studies precisely a historically transient social form of production, i.e., the commodity-capitalist form, the '*form of value*' represents one of the cornerstones of Marx's theory of value. As can be seen from the passage quoted above, the '*form of value*' coincides with the '*commodity form*', i.e., with the basic particularity of the contemporary economy, which consists in the fact that the products of labour are produced by autonomous private producers, the labour connection of whom is realised only on the market in the exchange of commodities. In such a '*commodity*' form of economy, the social labour necessary for the production of a given product finds its expression not directly in labour units, but indirectly in the '*form of value*', in the form of other products, which are

[306] This sentence is italicised in the second edition.

arov and I. Stepanov as well as P. Struve) allowed themselves here a discretion and wrote 'commodity' instead of 'it' i.e., 'value.' It appeared to them strange that this form of value gives it the character of exchange value. With sufficient attention to the distinction drawn by Marx between 'form' and 'content' of value (cf. below on this point), his idea becomes understandable: only the '*form of value*' creates from 'value' (understood as the *content* of value) the true exchange value. In the new edition of *Capital* (1923), this incorrectness is amended. Generally speaking, in the translation of works of such a thinker as Marx, incorrectness is always inevitable: we point it out exclusively for making clearer certain nuances in Marx's thinking, and not at all for reducing the merits of the excellent translation by V. Bazarov and I. Stepanov. [The last two sentences beginning with 'In the new edition' are added in the second edition].

15 [ibid., p. 85, 11/6, p. 111. Emphasis added].

proffered in exchange for the given product; the product of labour is transformed into a commodity, endowed with both use value and social 'form of value'. Marx speaks repeatedly of the coincidence of the form of value with the commodity form. 'In bourgeois society, the commodity-form of the product of labour – or value-form of the commodity – is the economic cell-form' [ibid., p. 19, 11/6, p. 66]. 'It follows that the elementary value form is also the primitive form under which a product of labour appears historically as a commodity, and that the gradual transformation of such products into commodities proceeds *pari passu* with the development of the value form' [ibid., p. 67, 11/6, p. 93].

Once social labour takes on the material 'form of value', the value of a commodity finds its expression in a certain quantity of other commodities, which are given in exchange for it. 'The form of value must therefore not only express value generally, but also value in definite quantity' [ibid., p. 59, 11/6, p. 85]. *Exchange value* includes both a *qualitative* element, the '*form of value*', and a *quantitative* element, the *proportion of exchange*.^[307] 'The value of commodity A is qualitatively expressed by the fact that commodity B is directly exchangeable with it. Its value is quantitatively expressed by the fact that a definite quantity of B is exchangeable with a definite quantity of A' [ibid., p. 66, 11/6, p. 92]. The exchange value of a commodity must represent 'its qualitative equality, and quantitative proportionality, to all other commodities' [ibid., p. 67, 11/6, p. 93]. The quantitative aspect of value comprises its essential property, that the labour expenditures on a given product are expressed in a definite quantity of other commodities, given for it in exchange. But this quantitative proportion can be studied only on the basis of the qualitative aspect of exchange value, the material 'form of value' assumed by social labour.

The 'form of value' characterises the social form of the process of production in a commodity economy. The 'content' of this process is made up of labour activity of people, directed at obtainment of necessary goods. This 'content' is the process of production of useful goods as such, outside of the historical-social form which it assumes. Only the 'form of value' gives to this 'content', this labour process, a social determinateness, transforms it into a definite mode of production – the commodity economy. The latter represents a unity of content and form, i.e., of the technical-labour process and the relations of production of people, in which the process goes on.¹⁶ Without this form, the object itself

[307] This sentence is typeset entirely in non-italics in the first edition.

16 'The process of production, considered on the one hand as the unity of the labour-process and the process of creating value, is production of commodities; considered on the other hand as the unity of the labour-process and the process of producing surplus-value, it is

of political economy, namely, a determinate social form of production, does not exist. On the other hand, these social forms, i.e., relations of production of people, without 'content', without the process of production filling them, as the totality of the technical processes, will become empty and contentless. Political economy studies a definite system of social relations of production, connected with a technical-labour process of production, i.e., a social 'form', filled with technical-labour 'content'. For the purpose of analysis, Marx divided the 'content' of value, labour, from the social 'form' of value. But before setting out to analyse labour (or 'value' as such, by which is meant the content of value), he takes it up in a determinate social 'form of value', in the form of exchange value. The latter *is always presupposed, since without it the social determinateness of production disappears*. It is the 'necessary form of manifestation of value', and, solely for the purpose of analysis, Marx studies 'value', or more exactly, its 'content', labour, individually, before moving again to the 'form of value or exchange value'.

In this way, 'value' and 'exchange value' are not two different objects for Marx; they are different aspects of value, its content and its form. Now we leave aside exchange value as a quantitative proportion, and treat it only from its qualitative aspect as 'form of value'. It is erroneous to say that, according to Marx, value is something like a hidden essence, with exchange value the external form of its manifestation. 'Value' means in Marx the 'content' of value, its dependence on the process of *material production*^[308] and on the development of *productivity of labour*^[309]. The 'form of value' (or 'exchange value' from the qualitative aspect) characterises the *social form*^[310] of this process of production, the material expression of labour relations among autonomous commodity producers in the value of their commodities. *Form* of value is *not* opposed to *essence* of value, but to its *content*. Exchange value is 'the form in which this proportional distribution of labour asserts itself' (Marx's letter to Kugelmann [11 July 1868]. Cf. above, the chapter [9] on 'Value as the Regulator of Production' [MECW/43, p. 68, MEW/32, p. 553]). This proportional distribution of labour comprises the content of the social process of production. These content and form constitute only in their entirety the object of political economy and its basic category, 'value' in the full meaning of the word. Without

[308] '*material production*' is italicised in the second edition.

[309] '*productivity of labour*' is italicised in the second edition.

[310] '*social form*' is italicised in the second edition.

the capitalist process of production, or capitalist production of commodities' [ibid., p. 191, 11/6, p. 209].

the 'form of value', 'value' in the genuine meaning of the word cannot exist either, it remains merely 'value' in the conditional meaning of labour expenditure, devoid of any social form and pertaining to all historical epochs.

There is no doubt that Marx himself inspired misunderstanding on his definite distinguishing of his analysis of labour as the content of value from his analysis of its form, in particular calling at times the content of value 'value' in general.¹⁷ This caused the following seeming contradiction in Marx: on the one hand, 'value' exists – logically – as if separated from the 'form of value' and prior to it, but on the other hand, the 'form of value' is declared to be the basic, so to say, constituent feature of the commodity economy. Without the 'form of value', 'value' itself is simply transformed into labour expenditure, into a logical category. However, Marx constantly reminds the reader that value is a historical category, and that labour expenditure is outside of a determinate social 'commodity form', or that, as we have seen, the 'form of value' does not create any value. All these contradictions will disappear if we recognise that, according to Marx, value is created only by the unity of its content and form, i.e., by the unity of labour expenditures and the commodity form of economy, and that, when analysing labour, Marx constantly assumes a definite social form of labour.

With all of these terminological ambiguities in this question, Marx himself pointed out that 'content' of value, labour, does not create value as a social phenomenon, without the 'form' of value. He draws a distinction between content

17 In the first edition of *Capital*, Marx uses for the first time the term 'value' without the adjunct 'exchange' in the following sentence: 'Commodities are first of all simply to be considered as *values*, independent of their exchange-relationship or from the *form*, in which they appear as *exchange values*' (*Kapital*, I, 1867, p. 4. Emphasis in original [English version, p. 9, MEGA, II/5, p. 19]). To this sentence Marx adds a note, at first sight contradictory to its text: 'When we use in the following the word *'value'* without further determination, we always have in view *exchange value*' (emphasis in original [ibid.]). Evidently, by the term value Marx means here the content of value, distinguished from its form, but at the same time, as can be seen from the note, the form of value is in advance assumed to be given.

That Marx uses the word 'value' in the meaning of the 'content of value' can be seen also from the following example. In the first edition of *Capital* he wrote: 'It [the mystical character of the commodity] arises just as little out of the *value*-determinations [Werthbestimmungen], considered in themselves' (*Kapital*, I, 1867, p. 36 [ibid., p. 44]). In the second edition, Marx made this idea clearer in replacing Werthbestimmungen with the words: Inhalt der Werthbestimmungen (content of the determinations of value). While putting in this place the word Inhalt [content], Marx, in another place of the same text describing the economy of Robinson Crusoe, left unchanged the former term Werthbestimmungen ('And yet those relations contain all that is essential to the determinations of value' [*Capital*, I, p. 81, II/6, p. 107]). It is evident that value means here content of value distinguished from its form (cf. the following note).

and form in the above quoted characterisation of classical political economy, which 'has indeed analysed, however incompletely, value and its magnitude, and has discovered the content lying beneath these forms', but 'has never once asked the question why this content assumes such a form', i.e., the form of value. At the beginning of the section on the fetishism of commodities, Marx says that the origin of fetishism cannot be explained by the *content*¹⁸ of value, namely: the physiological unity of various kinds of labour and duration or quantity of labour. These elements of the *content* of value, both labour expenditures and their duration, existed, as Marx emphasises, already in earlier modes of production. The content of value does not characterise the historical particularities of the commodity-capitalist economy. 'Whence, then, arises the enigmatical character of the product of labour, so soon as it assumes the form of commodities? Clearly from this form itself' [ibid., p. 76, 11/6, p. 103]. Fetishism, this characteristic particularity of contemporary society, follows from the 'commodity form', or, what is the same, from the 'form of value'. It is solely the form of value that gives its content, labour expenditure, its 'social determinateness', and creates value as the basic category of the commodity-capitalist economy.

In order to understand the sociological character of Marx's theory of value, the most important step is to clarify the significance of this 'form of value'. It is precisely Marx's theory on the 'form of value' that comprises the specific feature of his theory of value. Before Marx, the attention of the classical political economists and their epigones was directed either to the *content* of value,

18 Marx says: 'Just as little does it [the mystical character of the commodity] proceed from the *content of the determinations* of value' (Inhalt der Werthbestimmungen. *Kapital*, I, 1921, p. 38 [ibid., p. 76, 11/6, p. 102. Emphasis added]). V. Bazarov and I. Stepanov translate this passage into 'content of *determinate* value' (p. 39). Struve relies on a descriptive expression: 'content of the elements determining value' (p. 28). In the former translation the difference between content and form of value disappears completely; in the latter it is expressed but in a weaker way than in Marx.

Many other inexact points in translation can be explained by the ignorance of this difference. Thus, Marx writes: 'Exchange value, generally, is only the mode of expression, the 'phenomenal form,' of something contained in it, yet distinguishable from it' [ibid., p. 45, 11/8, p. 69], i.e., from exchange value, as form. The translation by Bazarov and Stepanov runs: 'some content, distinguished from *these objects*' (1920, p. 3). Struve translates as follows: 'form of manifestation of some other thing, distinguished from it according to its *content*' (p. 2). In *Critique* Marx writes: 'Whatever its social *form* may be, wealth always consists of use values, which in the first instance are not affected by the form' (p. 2 [a somewhat free translation by Rubin. *Critique*, p. 270, 11/2, p. 108]). P. Romyantsev translates this passage as follows: '... have always their own essence, entirely independent of this form' (1922, p. 35) [The last two sentences beginning with 'In *Critique*' are added in the second edition].

in addition mainly to its quantitative aspect (quantity of labour), or to *relative exchange* value, i.e., to the quantitative proportions of exchange. The links of chain at the two edges of the theory of value were studied: the fact of the development of productivity of labour and of technique as the internal cause of changes of value, and the fact of relative changes in the value of commodities on the market. But the intermediary link of chain was missing: the 'form of value' as the social form of labour, characterised by the reification of relations of production and by the transformation of socially-necessary labour into the property of a commodity, value. Thus can be explained the reproaches Marx casts upon his predecessors, which may at first glance seem contradictory. He reproaches Bailey for examining the proportions of exchange, i.e., exchange value, while ignoring value. He finds the shortcoming of the classics in the fact that they studied value and the magnitude of value, its content, but not the 'form of value'. This seeming contradiction will disappear, only if we make distinction between the qualitative and the quantitative aspects in exchange value. The predecessors of Marx, as was pointed out, assigned their attention to the *content*^[311] of value, from its qualitative and quantitative aspects (labour and the magnitude of labour), and equally to the *quantitative*^[312] aspect of exchange value. They thereby left out of view the *qualitative*^[313] aspect of the latter, 'form of value', this characteristic particularity of the commodity economy. An investigation of the 'form of value' also gives its sociological character and specific features to Marx's theory. This 'form of value' unifies the links at the opposite two edges of chain: the development of the productivity of labour, and phenomena of market transaction. Without the form of value, these links fall apart, and each of them is transformed into a one-sided theory. We obtain, on the one hand, labour expenditures from the technical side, irrespective of the social form of this material process of production (labour value as logical category), and on the other, the relative changes of prices on the market, a theory of prices in search of an explanation of their fluctuations outside of the sphere of the labour process and cut off from the basic fact of the national economy, from the development of the productive forces.

Showing that without the form of value there can be no value as a social phenomenon, Marx understood well that this social form itself remains empty without the concrete material process of production. Noticing the neglect

[311] '*content*' is italicised in the second edition.

[312] '*quantitative*' is italicised in the second edition.

[313] '*qualitative*' is italicised in the second edition.

of the form of value by the classical school, Marx warns against the other danger – the overestimation of the social form of value at the expense of its technical-labour content. ‘This led to the rise of a restored mercantile system (Ganilh, &c.), which sees in value nothing but a social form, or rather its reflection, devoid of every independent substance’ [*Capital*, I, p. 85, MEGA, II/6, p. 111].¹⁹ Elsewhere, Marx speaks of the same Ganilh: ‘Ganilh is quite right when he says of Ricardo and most economists that they consider labour without exchange, although their system, like the whole bourgeois system, rests on exchange value’ [*Theories*, I, p. 99, MEGA, II/3.2, p. 522]. Ganilh is right, when he brings forward the significance of exchange, i.e., of the determinate social form of labour activity of people, the ‘form of value’. But he exaggerates the importance of exchange at the cost of the production-labour process: ‘Ganilh imagines, with the Mercantilists, that the *magnitude of value is itself the product of exchange*, whereas in fact it is only the form of value or the form of *commodity* which the product receives through exchange’ [original in Russian from Plekhanov’s translation in 1906. *ibid.*, p. 99, II/3.2, p. 523. emphasis in Marx’s original but absent from Rubin’s quotation. In the first edition Rubin uses the Russian translation by V. Zheleznov that appeared in 1906]. The magnitude of value is determined by labour, by the process of production, by the development of the productivity of labour. However, the social ‘form of value’ does not suffice for the understanding of the phenomena of value. It must be filled with technical-material, labour content.

As we have seen, Marx considers exchange value from both the qualitative side (‘form of value’) and the quantitative side (exchange proportion or relative value). He draws the same distinction between quality and quantity when studying the content of value, i.e., the labour necessary for the production of a product. Marx distinguishes the substance of value from the magnitude of value, labour from quantity of labour. In the first section of the first chapter of *Capital*, Marx considers the ‘content’, the ‘substance’ of value, the technical-production labour process, separately from its social form (the commodity form or form of value). The opposition of the ‘*substance*’ of value (i.e., labour) to its ‘*form*’ means an opposition of the *technical-production* process to its *social*

19 In his original text Marx writes simply: substanzlosen Schein (S. 47 [*Capital*, I, p. 85, II/6, p. 111]). The translators, not paying sufficient attention to the difference between form and content (substance), considered it necessary to insert the word ‘independent’, absent from Marx’s text. Struve translates substanzlosen with the words ‘devoid of content’, which conveys very well the idea of Marx, who saw in the ‘substance’ of value this content, distinct from the form (cf. below).

form,²⁰ or more exactly, a logical abstraction from one another.^[314] Changes in the technical-production process, in the productive force of labour, find their expression in changes of the exchange value of commodities. The development and distribution of social labour as a social phenomenon takes on the material form of value. In this sense value is 'reified', 'materialised', 'coagulated' labour. These expressions mean only that, in a commodity society, the processes of labour find their fetishised, reified expression in the form of the value of the products of labour. The live labour process, full of dynamism, is 'crystallised' in material form, in the social property of a product to appear in the form of a commodity or in the 'form of value'. The latter represents a specific social (commodity) form of technical-production labour process. The movement of the latter, the change of productive forces and of the labour socially necessary for the production of a product, comprises the 'content' of value, its 'substance', not in the sense of a hidden essence, but in the sense of content logically abstracted from form but inseparably coalesced with it. Marx's expression that labour comprises the 'substance' of value should be understood only in such a meaning. His contention that labour manifests itself in the 'form of value' as its 'substance' means that the process of material production proceeds in a definite material form, namely the commodity form, and that the process of distribution of labour is regulated indirectly, through changes in the value of commodities. Labour as the substance of value is considered by Marx not in terms of a determinate quantity of labour, taken in itself as something *independent* and *absolute*,^[315] accumulated and materially reified in a product. This labour is rather considered from the point of view of the process of the *division*

[314] This sentence is typeset in non-italics in the first edition.

[315] '*independent* and *absolute*' is 'independent and absolute' in the first edition.

20 Exactly in this sense, Marx repeatedly opposes substance to form. 'Labour as such, in its simple capacity as purposive productive activity, relates to the means of production, not in their social determinate *form*, but rather in their concrete substance, as material and means of labour' [*Capital*, III², p. 825, MEGA, II/15, p. 800. Emphasis added]. In fact, Marx opposes gesellschaftliche Formbestimmtheit [social determinateness of form] and stoffliche Substanz [material substance] (*Kapital*, III², 1894, p. 360 [ibid., p. 824, MEGA, II/15, pp. 798–9]). In other places Marx opposes in the same meaning 'material content', stofflicher Inhalt, 'social form', gesellschaftliche Form (*Kapital*, I, p. 2, Cf. *Kritik*, p. 2 [*Capital*, I, p. 45, MEGA, II/6, pp. 71–2. *Critique*, p. 270, MEGA, II/2, p. 108]), or 'material relations of production', stoffliche Produktionsverhältnisse, their 'historical-social determination', geschichtlich-soziale Bestimmtheit (*Kapital*, III², 1894, p. 366 [ibid., p. 830, MEGA, II/15, p. 805]). This terminology shows already that Marx often means by 'substance' the material 'content' of the process of production, abstracted from its social form. Cf. above [Chapter 4.] 'Thing and Social Function (Form)' and also the Appendix [1.] 'On the Terminology of Marx' [the last part beginning with 'Cf. above' is added in the second edition].

of *social labour*^[316] among different branches of production. It is taken as a part of the *total*^[317] social labour, in its relation to the latter as a whole. This explains also the fact that Marx involuntarily uses the term ‘absolute value’, and that he constantly emphasises the relative character of this absolute value, i.e., the relation of the labour spent on the production of a given product, to the total social labour in the process of distribution of the latter.^[318] From the point of view of the *distribution* of social labour, different quantities of *labour* appear as different quantities of *labour time*. Hence Marx often replaces labour with labour time, which is also regarded as substance reified in a product [*Critique*, pp. 271–2, MEGA, II/2, pp. 109–10]. This proves that Marx was ultimately not interested in the absolute quantity of labour expended on the production of product, but in the ‘true relativity’ of different quantities of social labour (distributed among different spheres), hidden behind the ‘seeming relativity’ of exchange values [*Capital*, I, p. 87, MEGA, II/6, p. 113].

In a series of places Marx decidedly keeps his distance from those views which attribute an ‘absolute’ character to value and labour. Having noticed embryos of the theory of absolute value in Ricardo, Marx quotes objections raised by Bailey against the Ricardian school: ‘Instead of regarding value as a *relation between two objects*, says Bayley, they (Ricardo and his followers) seem to consider it as a positive result produced by a definite quantity of labour [They see in value something real and absolute.]’ [[S. Bailey], *A Critical Dissertation on the Nature, Measures, and Causes of Value; Chiefly in Reference to the Writings of Mr. Ricardo and his Followers by the Author of Essays on the Formation and Publication of Opinions &c. &c.*, London, R. Hunter, 1825 (anonymous), p. 30. Quoted by Marx in *Theories*, 2, p. 333, MEGA. II/3.4, p. 1331. Emphasis and the phrase between parentheses by Marx. The last sentence between square brackets beginning from ‘They see’ is added by Rubin]. Marx adds to this quotation from Bailey the following comments:

The latter reproach arises from Ricardo’s inadequate presentation, because he does not even examine the form of value – the particular form which labour assumes as the substance of value. He only examines the magnitudes of value, the quantities of this abstract, general and, in this form social, labour which engender differences in the *magnitudes of*

[316] ‘*division of social labour*’ is italicised in the second edition.

[317] ‘*total*’ is italicised in the second edition.

[318] The sentences from here to the end of the first sentence in the following paragraph ending with ‘value and labour.’ are inserted in the second edition. The paragraph is not divided into two in the first edition.

value of commodities. Otherwise Bailey would have recognised that the relativity of the concept of value is by no means negated by the fact that all commodities, in so far as they are exchange-values, are only *relative* expressions of social labour time and their relativity consists by no means solely of the ratio in which they exchange for one another, but of the ratio of all of them to this social labour which is their substance.²¹

It is quite wrong to say that the value of a commodity is thereby transformed from something *relative* into something *absolute*. On the contrary, as a use value, the commodity appears as something independent. On the other hand, as value it appears as something merely *contingent* (*Gesetztes*), something merely determined by its relation to socially necessary, equal, simple labour-time. It is to such an extent relative that when the labour time required for its reproduction changes, its value changes, although the labour time really contained in the commodity has remained unaltered.²²

The fetishist 'transforms value into something absolute, 'a property of things', instead of seeing in it only something relative, the relation of things to social labour' (ibid., p. 153 [ibid., p. 317, II/3.4, p. 1317.]). From here it is evident that we cannot understand Marx's theory of the 'substance' of value to mean that labour as something absolute is really reified and included in its products. In spite of the widespread opinion, it is not the theory on the 'substance' but the theory on the 'form of value' that is the innovation which Marx brought to the theory of value in relation to the classical political economists. ^[319]If, as we have seen when examining the commodity fetishism, the specific character of Marx's contribution is in the understanding of material economic categories as the social forms of things, also in value Marx discovered the *social form of the product of labour*, resulting from the special *social form of organisation of labour*.

In this way, the interrelation between value and exchange value in Marx's system is more complicated than how it is usually represented by commentators. Above all, it boils down to the difference between the technical-labour *content* and the social *form* of value. Marx sees in the content of value a qualitative

[319] The passage from here to the end of paragraph is inserted in the second edition.

21 *Theories of Surplus Value*, vol. II, part 1, p. 12. Cf. *Capital*, I, p. 51 [*Theories*, I, p. 399, MEGA, II/3.3, pp. 822–25. Cf. *Capital*, I, p. 87, MEGA, II/6, p. 113].

22 ibid., vol. III, pp. 151–52 [*Theories*, 2, p. 316, MEGA, II/3.4, p. 1316. Emphasis in original, not reproduced by Rubin].

side (labour as the *substance*^[320] of value) and a quantitative side (the *quantity* of labour^[321]). In the form of value, Marx also notices both a qualitative characteristic (exchange value as the '*form of value*'^[322]) and a quantitative expression (*exchange proportions*^[323] or relative exchange value). Opinions may vary about whether Marx was right in drawing a sharp distinction between the content and the form of value, between the 'substance' of value and exchange value. It may be possible to show that, in drawing this distinction, he provided the grounds for various misunderstandings, and moreover strengthened them in applying to the content of value the term 'value', as otherwise related to the whole, i.e., to the unity of content and form, of the technical-production process and its social commodity or 'value' form. But, if we can leave aside the question about the expediency of this or that way of description or the consistency of terminology, Marx's basic path of thinking may be presented as follows. From the *qualitative* side, the interrelation between labour as the 'substance' of value and as the 'form of value' means an interrelation between the *process of distribution of labour* and its specific *social*, namely commodity *form*.^[324] Here Marx's theory of value directly coincides with his theory of commodity fetishism. From the *quantitative* side, the interrelation between the quantity of labour and the exchange proportion comes down to a causal interrelation between the development of *labour productivity* and the regular *dynamics of market prices*.^[325] As will be further detailed in Chapter 14, nowhere we can find any traces of any 'metaphysical', 'substantialistic', 'materialistic' theories, according to which labour as such 'creates' value, coagulates in it, and thus transforms value into something material, and so on.

The qualitative side of the phenomena of value, conceptualised by Marx in the theory of the 'form of value' and based on his theory of commodity fetishism, remained neglected not only before Marx but also after him.

Commentators and critics of Marx, though at times sufficiently consistently drawing a distinction between value and exchange value or between absolute and relative value, did not exhaust the contents of Marx's theory, ignoring the qualitative side of the phenomena of value, 'form of value'. Both value (absolute) and exchange value are considered by these interlocutors only from the

[320] '*substance*' is italicised in the second edition.

[321] '*quantity* of labour' is 'quantity of labour, theory of socially necessary labour' in the first edition.

[322] "*form of value*" is italicised in the second edition.

[323] '*exchange proportions*' is italicised in the second edition.

[324] This sentence is typeset entirely in non-italics in the first edition.

[325] The same as the note [324].

quantitative side. For example, Kühne, one of the newest critics of Marx's economic theory, defines absolute value as 'the quantity of labour spent on the production of a given commodity', and exchange value^[326] as 'the index of the exchange relation'.²³ For Frank, exchange value also completely coincides with relative value. Even in Marx's theory on the forms of value, Frank sees only 'a description of various exchange relations, in which the absolute value of a commodity manifests itself or can manifest itself'.²⁴ The opposition between (absolute) value and (relative) exchange value does not at all disclose to us the rich content of Marx's theory. This opposition occupies its suitable place in the background of a larger opposition, between the content and the form of value.^[327] The distinguishing particularity of Marx's theory of value is in its theory of the 'form of value' as a *social form of the products of labour*, expressing the *social form of organisation of labour*. We must now pass from the form of value to the social form of labour, expressed in the value of its product.

[326] A phrase ' , following Bortkiewicz,' comes between 'the exchange value' and 'as' in the first edition, but it is deleted in the second edition.

[327] The following two sentences are added in the second edition.

23 Kühne, *Investigations on Value and Price Calculation in Marx's System* [original in German, Kühne, O., *Untersuchungen über die Wert und Preisrechnung des Marxschen Systems*, L. Bamberg], 1922, pp. 23, 22.

24 S. Frank, *The Theory of Value of Marx and its significance*, 1900, p. 184.

Social Labour

We have arrived at the conclusion that in a commodity economy the equalisation of labour takes place through the equalisation of the products of labour.^[329] An independent social act of equalisation of labour does not exist there. Therefore, it would be erroneous to think as if someone equalised various kinds of labour in the act of comparing them by means of a certain unit of measure, after which the products of labour were exchanged in proportion to the already measured and compared quantity of labour contained in them. Starting from such a view, which ignores the anarchic, spontaneous character of the commodity-capitalist economy, economists frequently saw the task of economic theory in finding out such a *measure* of value, which would make it *practically possible* to compare and make commensurable qualitatively different products in the act of market exchange. It seemed to them that the theory of labour value presents labour as precisely such a practicable measure of value. Therefore, their critique was directed toward demonstrating that labour cannot be recognised as a convenient measure of value on account of the absence of a firmly established unit of labour, by means of which it would be possible to measure various kinds of labour distinct from each other in their intensity, qualification, ^[330] danger to health, and so on.

The economists mentioned above could not free themselves from the erroneous idea, enrooted in political economy since long ago, which ascribed to the theory of value the task, completely alien to it, of finding out a practical measure of value. In truth, the theory of value has an entirely different task, which is theoretical and not practical. It is useless for us to look for a practical measure of value which would make it *possible* to compare products of labour on the market. Such a comparison is *actually* taking place every day in the process of market exchange, in which is spontaneously worked out the measure of value necessary to this comparison, namely money, and which is in need of no such measure as was theoretically thought out by economists. The task of the theory

[328] This chapter is inserted in the second edition.

[329] 'the products of labour' is 'the products of labour, as values on the market' in the second edition.

[330] 'intensity, qualification,' is 'quality, intensity, complexity,' in the second edition.

of value is completely different, namely to understand and explain *theoretically* the process of equalisation of commodities actually taking place on the market in its close relation with the equalisation and distribution^[331] of social labour in the process of production,^[332] i.e., to discover the *causal* relation between both of these processes and the laws of their alterations. *The causal investigation of the actually proceeding processes of equalisation of various commodities and of various kinds of labour*, but not the search for a practical measure for the purpose of their comparison, is the task of the theory of value.

The confusion between the measure of value and the laws of change of value to be found frequently in Smith brought^[333] to political economy a great negative consequence, which leaves traces even today.^[334] The great achievement of Ricardo consists in his having rejected the problem of search for a practical measure of value, and having founded the theory of value on the rigorously scientific ground of the causal investigation of changes of market prices depending on the changes in labour productivity.¹ His successor in this respect is Marx, who severely criticised views on labour as on the 'invariable measure of value'. 'The problem of an 'invariable measure of value' was simply a spurious name for the quest for the concept, the nature, of *value* itself' (*Theories*, III, p. 159 [*Theories*, 2, p. 322, MEGA, II/3.4, p. 1321. Emphasis in original, not reproduced by Rubin]). 'Bailey's book has rendered a good service insofar as the objections he raises help to clear up the confusion between 'measure of value' expressed in money as a commodity along with other commodities, and the immanent measure and substance of value' (ibid., p. 159 [*Theories*, 2, p. 324, II/3.4, p. 1324]). The theory of value does not seek an 'external measure' of value, but its 'cause', 'genesis and immanent nature of value itself' (ibid., pp. 186, 195 [*Theories*, 2, pp. 341, 348, II/3.4, pp. 1338, 1346]). The causal investigation of the changes of value of commodities, taking place depending on the changes in labour productivity, i.e., the investigation of these actual phenomena from *qualitative and quantitative* sides, is what Marx calls the theory

[331] 'equalisation and distribution' is 'process of equalisation and distribution' in the second edition.

[332] 'in the process of production,' is inserted in the third edition.

[333] 'Smith brought' is 'Smith, apparent in his constant fluctuation between subjective and objective concepts of value, brought' in the second edition.

[334] Here the paragraph changes in the second edition.

1 Cf. I. Rubin, *A History of Economic Thought*, second edition, 1928, Chapter XXII [part three: Adam Smith, The Theory of Value] and XXVIII [part four: David Ricardo, The Theory of Value] [this note is added in the third edition].

of the 'substance' and the 'immanent measure' of value. The 'immanent measure' does not here mean the quantity, taken as the unit of measurement, but the 'quantity, with which is connected some existence or some quality'.² Marx's contention that labour is an immanent measure of value must be understood in the sense that quantitative changes of labour, necessary for the production of a product, bring about quantitative changes in the value of the product. Of course, this term 'immanent measure', transferred by Marx, like many other terms, from philosophy to political economy, cannot be considered as completely successful, because in a superficial reading this term forces the reader to think of a measure of comparison rather than of a causal investigation of the quantitative changes of a phenomenon. This unsuccessful terminology, in connection with the incorrect interpretation of Marx's reasoning in the first pages of *Capital*, led in some cases even Marxists to introduce into the theory of value the problem, foreign to it, of finding out a practical measure of value.

In this way, in a commodity economy the equalisation of labour is not consciously established in advance by means of a certain unit of measurement, but rather takes place through the equalisation of commodities in exchange. Due to the process of^[335] exchange, the product^[336] as well as the labour of the commodity producer undergoes essential change. Naturally, we are speaking here not of a natural, material change; the sale of a frock cannot bring about any changes in the natural appearance of frock itself, nor in the labour of the tailor as the sum of already finished, concrete labour processes. But the sale of a product^[337] does change its form of value, its social function or form, and affects indirectly the labour activity of the commodity producer, placing his labour in a determinate relation to the labour of other commodity producers of the same and other professions, i.e., it changes the social function of labour. The changes the product of labour undergoes through the process of^[338] exchange, can be characterised as follows: 1) the product acquires the capacity to be dir-

[335] 'Due to the process of' is 'In the act of market' in the second edition.

[336] 'product' is 'commodity' in the second edition.

[337] 'product' is 'commodity' in the second edition.

[338] 'product of labour undergoes through the process of' is 'commodity or product of labour undergoes in the act of market' in the second edition.

2 O. Bauer, *The History of Capital*, in *Fundamental Problems of Political Economy*, 1922 [edited by Rubin et al.], p. 47. This is the well-known definition of measure belonging to Hegel. Cf. Kuno Fischer, *History of New Philosophy*, vol. VIII, part 1, 1902, p. 490, and Hegel, *Complete Works*, vol. III, part 1, 1923, p. 340 ff. [The mention of Hegel is added in the third edition].

ectly exchanged for any other product of social labour, i.e., manifests its character of being^[339] *social* product; 2) the product acquired this social character in such a form that it is equalised to a definite product (gold), which is endowed with the capacity of direct exchangeability for all *other* products. The equalisation of all products to each other, occurring through equating them to gold (money), includes within it also: 3) the equalisation of products of various kinds of labour, distinguished by different *qualification*, i.e., different lengths of time of necessary training; and 4) the equalisation of products of a given sort and quality, produced in different technical conditions, i.e., with an expenditure of different *individual* quantities of labour.

In accordance with the above listed changes the product undergoes due to the process of^[340] exchange, exchange brings about analogous changes also in the labour of commodity producers: 1) the labour of the separate *private* commodity producer manifests its character as *social* labour;^[341] 2) the given *concrete* kind of labour is equalised with *all* other concrete kinds of labour. This all-round equalisation of labour includes within it also: 3) the equalisation of various kinds of labour, distinguished by different *qualification*; and 4) the equalisation of different *individual* labour expenses spent on the production of an exemplar of a product of a given sort and quality. In this way, through the process of^[342] exchange, *private* labour receives a supplementary characteristic as *social* labour, *concrete* labour as *abstract* labour, ^[343] *complex* labour comes down to *simple* labour, and *individual* labour to socially *necessary* labour. In other words, the labour of a commodity producer, which appears in the process of production directly^[344] as private, concrete, qualified^[345] (i.e., distinguished by a certain degree of qualification, ^[346] which may in some cases be considered as equal to zero), and individual labour, acquires due to the process of^[347] exchange the social properties characterising it as social,

[339] 'manifests its character of being' is 'becomes product of a unitary' in the second edition.

[340] 'product undergoes due to the process of' is 'commodity undergoes in the act of market' in the second edition.

[341] 'manifests its character as *social* labour' is 'included in a unitary system of *social* production' in the second edition.

[342] 'through the process of' is 'due to the act of market' in the second edition.

[343] 'receives a supplementary characteristic as *social* labour, *concrete* labour as *abstract* labour' is 'is transformed into *social* labour, *concrete* labour into *abstract* labour' in the second edition.

[344] 'process of production directly' is 'direct process of production' in the second edition.

[345] 'qualified' is 'complex' in the second edition.

[346] 'qualification' is 'complexity' in the second edition.

[347] 'process of' is 'act of market' in the second edition.

abstract, simple, and socially necessary labour.³ Here we are faced not with four separate processes of transformation of labour, as some researchers imagine, but with different aspects of a unitary process of equalisation of labour, proceeding through the equalisation of products of labour as values. A unitary act of equalisation^[348] of commodities as values^[349] removes and cancels the particularities of labour as private, concrete, qualified, ^[350] and individual. All these elements are so closely connected with each other that in *Critique* Marx does not yet draw a sufficiently clear distinction among them, and wipes away the boundaries between abstract, simple, and socially necessary labour (pp. 36–8 [*Critique*, pp. 272–3, MEGA, II/2, pp. 110–1]). In *Capital*, conversely, Marx develops these determinations so clearly and rigorously that the close relation among them as the expressions of various aspects of equalisation of labour in the process of its distribution can slip away from the attention of the reader. This process presupposes: 1) the mutual relation of all labour processes (social labour); 2) the equalisation of individual spheres of production or kinds of labour (abstract labour); 3) the equalisation of kinds of labour of different qualification (simple labour); and 4) the equalisation of labour, applied in individual enterprises of a given sphere of production (socially-necessary labour).

^[351]Of the four determinations of value-creating labour listed above, the concept of abstract labour is central. This is explained by the fact that in a

[348] 'equalisation' is 'market equalisation' in the second edition.

[349] 'as values' is added in the third edition.

[350] 'qualified' is 'complex' in the second edition.

[351] This paragraph is largely revised and curtailed in the third edition. The original text of this paragraph in the second edition is as follows: 'Of the four determinations of value-creating labour listed above, the first two must be recognised as fundamental, because without them the very concept of a commodity economy will be impossible. Let us imagine a commodity economy, in which all kinds of labour are characterised by the same degree of qualification; in such a case the opposition between complex and simple labour and the reduction of the former to the latter will disappear. Let us imagine a commodity economy in which individual enterprises in each sphere of production operate in the same technical conditions; in such a case the opposition between individual and socially-necessary labour and the transformation of the former to the latter will disappear. In this way, the concept of simple labour arises from the difference in qualifications of different kinds of labour, and the concept of socially-necessary labour from the difference in technical conditions in individual enterprises of a given sphere of production. But we cannot even suppose such a commodity economy in which there would not be transformation of

3 In commodity production, i.e., a production which counts on *exchange* in advance, labour acquires already in the process of direct production these social properties, though only as 'latent' and 'potential' properties, still to be realised in the process of exchange. Labour, in consequence, possesses a twofold character, appearing directly as private, concrete, qualified, and individual, and at the same time as potentially-social, abstract, simple, and socially necessary (cf. the following chapter) [This note is added in the third edition].

commodity economy, as we will see below, labour becomes social only in the form of abstract labour. In addition, the transformation of qualified labour into simple labour comprises only a part of the more extensive transformation of concrete into abstract labour. Finally, the transformation of individual labour into socially-necessary labour represents only the quantitative aspect of that same process of transformation of concrete into abstract labour. It is precisely for this reason that the concept of abstract labour occupies such a central position in Marx's theory of value.

As we have already pointed out several times, the commodity economy is characterised by the formal independence of individual commodity producers, on the one hand, and by the material connection of their labour activities on the other. However, how is the private labour of an individual commodity producer included in the social labour mechanism and subjected to its proceeding? How does *private* labour become *social* labour, and how is the totality of individual, dispersed, private economic units transformed into a relatively unitary national economy, with its regularly repeated mass phenomena studied by political economy? This is the fundamental problem of political economy, the problem of the very possibility and conditions of existence of the commodity-capitalist economy.

In societies with an organised economy, the labour of an individual person is directly organised in its concrete form^[352] and directed by a social organ. It appears as a part of the total social labour, as social labour. In a commodity economy, the labour of an autonomous commodity producer, based on the right of private property, appears at first as private labour.

The point of departure is not the labour of individuals considered as social labour, but on the contrary the particular kinds of labour of private individuals, i.e., labour which proves that it is universal social labour only by the supersession of its original character in the exchange process. Universal social labour is consequently not a ready-made prerequisite but an emerging result.⁴

private into social labour and of concrete into abstract. These determinations of labour necessarily follow from the very nature of the commodity economy as a totality of separate economic units, privately owned and independent of each other according to their form, but mutually complementary and completing one another according to the content of their labour activity. By this is explained why, in the theory of the commodity economy given by Marx, the analysis of labour as social and abstract occupies such a central place.'

[352] 'directly organised in its concrete form' is 'organised from the outset' in the second edition.

4 [Critique, p. 286, MEGA, II/2, p. 123].

[353] The labour of commodity producers manifests its social character not as concrete labour, expended directly in the process of production itself, but only as labour which must be equalised with all other kinds of labour through the process of exchange.

However, how can the social character of labour manifest itself in exchange?[354] If a frock is the product of the private labour of a tailor, it may seem that the sale of the frock or its exchange for gold equalises the private labour of the tailor with another kind of private labour, namely the labour of a goldminer. How can the equalisation of one *private* labour with another *private* labour convey a *social* character to the former? This is possible only in the case where the private labour of the goldminer is in turn already equalised with all other concrete kinds of labour, i.e., where its product, gold, can be directly exchanged for every other product, and, therefore, plays the role of a universal equivalent, or money. The labour of the tailor, when equalised with that of the goldminer, is at the same time equalised and connected with *all* concrete kinds of labour. *Equalised* with them, as a kind of labour equivalent to them, the labour of the tailor changes from concrete to general or *abstract labour*; *connected* with them in a unitary system of total social^[355] labour, the tailor's labour changes from private to *social* labour. The comprehensive equalisation (through money) of all concrete kinds of labour and their transformation into abstract labour simultaneously create among them a social connection, transforming private into social labour. 'In exchange value the labour time of a particular individual is directly represented as *labour time in general*, and this *general character* of individual labour appears as the *social character* of this labour' [*Critique*, pp. 273–4, 11/2, p. 111. Emphasis in original].⁵ Only as a '*universal* magnitude' can labour become a '*social magnitude*' (ibid. [Emphasis in original]). 'General labour and in this form social labour', Marx often repeats [cf. ibid., pp. 286, 291, 11/2, pp. 123, 129]. In the first chapter of *Capital*, Marx enumerates three peculiarities of the equivalent form of value: 1) use value becomes the form of manifestation of value; 2) concrete labour becomes the form of manifestation of abstract labour;

[353] The last part of the paragraph from here runs in the second edition as follows: 'The labour of commodity producers acquires the social character not from the outset, in the process of production itself, but only 'post festum,' after its accomplishment, in the act of market exchange. The specific social character of each producer's labour does not show itself except in the act of exchange' [*Capital*, I, pp. 77–8, MEGA, 11/6, p. 104].'

[354] 'social character of labour manifest itself in exchange' is 'exchange convey to labour the social character' in the second edition.

[355] 'total social' is 'divided and distributed' in the second edition.

5 In *Critique*, Marx calls abstract labour 'general' labour.

and 3) private labour assumes the form of directly social labour (*Kapital*, I, pp. 18–22 [*Capital*, I, pp. 62–4, MEGA, II/6, pp. 88–91]). Marx begins his analysis with the phenomena, taking place on the surface of market, in material form: the opposition between use value and value. He seeks its explanation in the opposition between concrete labour and abstract labour, and, in further continuing his analysis of the social form, of the organisation of labour, he comes to the fundamental problem of his economic theory, the opposition between private and social labour. In the commodity economy, the transformation of *private* into *social* labour coincides with the transformation of *concrete* into *abstract* labour. The social connection among the labour activities of private commodity producers is realised only through the equalisation of all concrete kinds of labour, taking place in the form of the equalisation of all the products of labour^[356] as values. Inversely, the equalisation of various kinds of labour and the abstraction from their concrete particularities represent the sole social connection which transforms the totality of private economic units into a unitary national economy. With this is explained the special attention which Marx allotted in his theory to the concept of abstract labour.

[356] 'of all the products of labour' is 'on the market of all the products of labour' in the second edition.

Abstract Labour^[357]

The theory of abstract labour is one of the central points of Marx's theory of value. It is abstract labour, according to Marx, which 'creates' value. He attached decisive importance to the distinction between concrete and abstract labour. 'I was the first to point out and to examine critically this twofold nature of the labour contained in commodities. As this point is the pivot on which a clear comprehension of political economy turns, we must go more into detail' [*Capital*, I, p. 49, MEGA, II/6, p. 75]. After Volume I of *Capital* saw the light of day, Marx wrote to Engels: 'The best points in my book are: 1) the *twofold character of labour*, according to whether it is expressed in use value or exchange value. (*All understanding of the facts depends upon this.*) It is emphasised immediately, in the *first* chapter; 2) the treatment of *surplus value independently of its particular* forms as profit, interest, ground rent, etc.'¹

In view of the decisive importance Marx attaches to his theory of abstract labour, it is surprising that so little attention has been paid to it in Marxist literature. Some writers pass over this question in complete silence. For example, A. Bogdanov transforms abstract labour into 'abstractly-simple labour' and, leaving aside the problem of concrete and abstract labour, restricts himself to the problem of simple and qualified labour.² Many critics of Marxism also prefer to replace abstract labour with simple labour; K. Diehl, for example, does this.³ In popular presentations of Marx's theory of value, authors paraphrase with their own words the explanations given by Marx in section two of the

[357] Together with Chapter 12, this chapter so widely differs between the second and the third edition that it is practically impossible to indicate the differences between these two editions one by one with translator's notes as in the case of the other chapters. To this chapter, as to Chapter 12, we apply an exceptional procedure. The independent translation of this chapter in the second edition will be placed after the translation of this chapter in the third edition, with translator's notes indicating only the differences between the first and the second edition.

1 [Marx's letter to Engels, 24 August 1867, MECW/42, p. 407, MEW/31, p. 326. Emphasis in original. But it was at the beginning of September that Volume I actually appeared.].

2 Bogdanov, *Course of Political Economy*, vol. II, part 4, p. 18.

3 Diehl, *Social-Scientific Explanations on Ricardo* [original in German, Sozialwissenschaftliche Erläuterungen zu David Ricardos Grundgesetzen der Volkswirtschaft und Besteuerung, F. Meiner, 1921], vol. 1, 1921, pp. 102–4.

first chapter of *Capital* on 'twofold character of the labour embodied in commodities'. Kautsky writes:

On the one hand, labour appears to us as the productive expenditure of human labour power in general, on the other hand, as specific human activity for the attainment of a given object. The first aspect of labour forms the common element in all the productive activities carried on by men; the second varies with the nature of the activity.⁴

This commonly accepted determination comes down to the following, very simple proposition: concrete labour is the expenditure of human energy in a determinate form (sewing, weaving, and so on), while abstract labour is the expenditure of human energy as such, independent of its given form. Determined in this way, the concept of abstract labour is a *physiological* concept, devoid of all social and historical elements. It is inherent in all historical epochs, independently of this or that social mode of production.

If even among Marxist writers we find abstract labour usually defined in the sense of the expenditure of physiological energy even in Marxist writers, it is not surprising that the same understanding is commonly shared in anti-Marxist literature. For example, Struve writes:

From the Physiocrats and their English successors Marx adopted the mechanical-naturalistic point of view, which appears so clearly in his theory of labour as the substance of value. This theory is the culmination of all the *objective* theories of value: it immediately materialises value, in transforming it into economic substance of economic goods, similar to the physical matter, the substance of physical things. This economic substance is something material, because Marx understands the value-creating labour in a purely physical sense as an abstract expenditure of nerval and muscular energy, independently of the concrete purposeful content of this expenditure, distinguished by infinite diversity. Marx's abstract labour is physiological concept, liable to be reduced, at least ideally, to mechanical labour.⁵

In the opinion of Struve, abstract labour is for Marx a physiological concept; therefore, the value, created by abstract labour, is something 'material'. The

4 Kautsky, *The Economic Doctrines of Karl Marx*, Leningrad, 1918, p. 12 [English version, 1983, p. 14; German original, 1919, p. 17. cf. note 4 on page 28 of the present translation].

5 Struve, Foreword to the Russian translation of Volume I of *Capital*, 1906, p. 28.

same opinion is held also by other critics of Marx. After having pointed out that, according to Marx, 'the value, something common to all commodities, is the condition of their exchangeability, represents a *reification of abstract-human labour*',⁶ Gerlach directs his critical observations precisely against this point of Marx's theory of value:

*It is completely impossible to reduce human labour physiologically to simple labour ... since, because human labour is always accompanied with consciousness and subject to it, we must refuse its reduction to the movement of muscles and nerves due to some remnants always subsisting then, not subject to similar analysis.*⁷

'Earlier attempts to show empirically *abstract-human labour*, what is general in human labour which serves as its specific distinction, did not succeed; the reduction of labour to nerval and muscular energy is impossible' (ibid., p. 50). Gerlach's point that labour cannot be reduced to the sole expenditure of physiological energy, since within it there exists always a psychic element, has of course nothing to do with the concept of 'abstract labour' constructed by Marx on the basis of his analysis of the particularities of the commodity economy. Nevertheless, these arguments of Gerlach's seem so convincing that they are habitually repeated by critics of Marx's theory of value.⁸ We find an even more striking form of the naturalistic understanding of abstract labour in L. Buch: labour, as abstract labour, is considered 'as the process of transformation of potential energy into mechanical labour'.⁹ Here, attention is directed not so much to the quantity of expended physiological energy as to the quantity of mechanical labour obtained. But the basic position in raising the problem is the same; it is a purely naturalistic one, completely neglecting the social aspect of the labour process, i.e., precisely that aspect which is the direct object of political economy.

We can find only in a few researchers the understanding of the fact that the characteristic of labour as abstract labour does not in any way coincide with a physiological equality of various labour expenditures. 'The generality of labour is not a generic concept of natural science, including only a general physiolo-

6 Gerlach, *On the Conditions of Economic Activity* [original in German, Gerlach, O., *Über die Bedingungen wirtschaftlicher Thätigkeit*, G. Fischer, 1890], 1890, p. 18.

7 ibid., pp. 49–50.

8 For example, Diehl, *Social-Scientific Explanations on Ricardo*, vol. 1, 1921, p. 104.

9 Buch, *Intensity of Labour, Value, and Price of Commodities*, 1896, p. [1]49.

gical concept, but private labour is abstract-general and thus also social, as the outflow of the activity of a legal entity.¹⁰ But the general conception of Petry, for which Marx's theory of value is not Wertgesetz (law of value) but Wertbetrachtung (observation of value), not an explanation of 'real ongoing in the object' but 'subjective condition of knowing' (ibid., p. 50), deprives him of every possibility of correctly posing the problem of abstract labour.¹¹

Another attempt to introduce a social element into the concept of abstract labour is found in A. Nezhdanov (Cherevanin). In his opinion, the concept of abstract labour does not express a physiological equality of labour expenditures, but rather a social process of equalisation of different kinds of labour in production. This is 'an extremely important and necessary social process, carried on by every conscious social-economic organisation.' 'The social process, which is characterised by the reduction of different kinds of labour to abstract labour, is carried on unconsciously by the commodity society.'¹² Regarding abstract labour as an expression of the process of equalisation of labour taking place in every society, Nezhdanov overlooks the particular form the equalisation of labour assumes in the commodity society, where it takes place not directly in the process of production but instead through exchange. The concept of abstract labour expresses this specific *historical* form of the equalisation of labour. It is not only a social but also a historical concept.

As we can see, many authors understood abstract labour in an extremely simplified way, in the sense of physiological labour. The reason for this is to be found in the fact that these authors did not bother to follow Marx's theory of abstract labour in its entirety. For this, they should have turned to detailed examinations of Marx's text in the section on commodity fetishism and particularly in *Critique*, where this theory is developed by Marx most completely. Instead, these authors preferred to confine themselves to repeating literally some phrases Marx devoted to abstract labour in section two of the first chapter of Volume I of *Capital*.

In fact, in this section of *Capital*, Marx seems at first view to provide motivation for understanding abstract labour precisely in a physiological meaning.

10 Petry, *The Social Content of Marx's Theory of Value*, 1916, pp. 23–4. Russian translation published in 1928 [cf. translator's note [232]].

11 The reader can find an excellent examination and criticism of Petry's short book in the article on it by R. Hilferding, published in *Grünberg's Archiv für Geschichte des Sozialismus und der Arbeiterbewegung* [*Grünberg's Archive for the History of Socialism and the Labour Movement*], 1919, pp. 439–48. Cf. also our work *Contemporary Economists in the West* (1927).

12 'The Theory of Value [tsennost] and Profit of Marx before the Judgement of the Fetishist,' *Научное Обозрение* [*Scientific Review*], 1898, no. 8, p. 1393.

Productive activity, if we leave out of sight its special form, viz., the useful character of the labour, is nothing but the expenditure of human labour power. Tailoring and weaving, though qualitatively different productive activities, are each a productive expenditure of human brains, nerves, and muscles, and in this sense are human labour.¹³

And, in concluding, Marx emphasises still more sharply the same idea:

On the one hand all labour is, speaking physiologically, an expenditure of human labour power, and in its character of identical abstract human labour, it creates and forms the value of commodities. On the other hand, all labour is the expenditure of human labour power in a special form and with a definite aim, and in this, its character of concrete useful labour, it produces use values.¹⁴

Supporters as well as opponents of Marx, in relying on his above quoted words, understand abstract labour in a physiological meaning. The former repeat this determination without analysing it critically; the latter raise against it a series of objections, and sometimes make of it the starting point for the refutation of the theory of labour value. Neither the former nor the latter notice that the above presented simplified understanding of abstract labour, at first glance relying on the literal meaning of Marx's words, cannot in the least be in accordance with Marx's theory of value in its entirety, and with a series of individual passages in *Capital*.

Marx never tired of repeating that value is a social phenomenon, that the objectivity of value (*Wertgegenständlichkeit*) is 'purely social' and does not include within it a single atom of matter [*ibid.*, p. 54, 11/6, p. 80]. From this it follows that abstract labour forming value, must also be understood as a social category, in which we cannot find a single atom of matter. It must be one or the other: if abstract labour represents an expenditure of human energy in a physiological sense, then value also has a reified-material character. Or else value is a social phenomenon, in which case abstract labour must also be understood as a social phenomenon, connected with a definite social form of production. It is impossible too to reconcile the physiological understanding of abstract labour with the historical character of the value created by it. The physiological expenditure of energy as such remains the same in all historical

13 [*Capital*, I, p. 51, MEGA, 11/6, p. 77].

14 [*Ibid.*, p. 53, 11/6, pp. 79–80].

epochs and, one might say, it created value in all epochs. We would arrive at a crudest understanding of the theory of value, in sharp contradiction to Marx's theory.

There can be only one way out of these difficulties: since the concept of value in Marx bears a social and historical character, and his originality and merit are found precisely in this point, we must build on the same basis also the concept of abstract labour, as the 'creator' of value. If we do not stop at the preliminary determinations given by Marx in the first pages of his work but instead make the effort to follow the further development of his thinking, we will find in Marx himself sufficient elements for a sociological theory of abstract labour.

In order to understand accurately Marx's theory of abstract labour, we must never lose sight of the fact that Marx places the concept of abstract labour in *inseparable connection* with the concept of value. Abstract labour 'creates' value, in the sense that it comprises the 'content' or 'substance' of value. Marx's task consists, as we have already pointed out many times, not only in reducing value analytically to abstract labour, but also in deriving value dialectically from abstract labour. However, this is not possible if abstract labour is understood as nothing other than labour in a physiological sense. Therefore, it can never be accidental that the authors, who consistently hold on to the physiological understanding of abstract labour, are obliged to arrive at a conclusion in sharp contradiction to Marx's theory, namely that abstract labour in itself does not create value.¹⁵ Whoever wants to maintain Marx's well-known proposition that abstract labour creates value and finds its expression in value must reject its physiological understanding. This does not, of course, mean that we deny the incontestable fact that in every social form of economy the labour activity of people is accompanied by the expenditure of physiological energy. Physiological labour constitutes the precondition of abstract labour in the sense that there can be no question of any abstract labour if people carry out no expenditure of physiological energy. But this expenditure of physiological energy remains precisely a precondition, and not the actual object of our investigation.

In every social form of economy, human labour is at the same time material-technical and physiological labour. Labour has the former feature insofar as it is subject to a certain technical plan and directed to the production of goods, necessary for the satisfaction of human needs, while labour has the latter feature insofar as it represents the expenditure of physiological energy, accumulated in the human organism and requiring regular restoration. If labour did

15 Cf. Appendix [2.]: 'Reply to Critics'.

not create useful products, or if it was not accompanied with the expenditure of the energy of the human organism, the entire picture of the economic life of humanity would be completely different from what it actually is. Therefore, labour, considered without its dependence on this or that social organisation of economic life, is a material-technical as well as biological precondition of every economic activity. But this precondition of economic investigation must never be transformed into its object. The expenditure of physiological energy as such does not comprise abstract labour, and does not create value.

Until now we have considered the physiological conception of abstract labour in its crudest form. The supporters of this crudest version maintain that the value of products is created by abstract labour as an expenditure of a certain sum of physiological energy. But there exists also a more refined formulation of the physiological conception, which runs approximately as follows: the equality of products as values is created by the equality of all kinds of human labour as expenditures of physiological energy. Here labour is no longer considered simply as the expenditure of a certain sum of physiological energy, but from the aspect of its physiological homogeneity with all other kinds of labour. Here the human organism is no longer considered solely as the source of physiological energy in general, but also as the source capable of furnishing labour in its every concrete form. The concept of physiological labour in general has been transformed into a concept of *physiologically equal* or *homogeneous* labour.

However, also this physiologically homogeneous labour is also not the object but the precondition of economic investigation. Indeed, if labour as the expenditure of physiological energy constitutes a biological precondition of every human economy, then the physiological homogeneity of labour too constitutes a biological precondition of every social division of labour. The physiological homogeneity of human labour is a necessary precondition for the possibility of the transfer of people from one kind of labour to another and, consequently, for the possibility of the social process of redistribution of social labour. If people were born as bees or ants, with determinate labour instincts which would limit in advance their working capacity to one kind of labour, the division of labour would be a fact of biological and not social order. In order that social labour could be directed now to one sphere of production and then to another, it is necessary that each individual would be able to move from one kind of labour to another.

In consequence, the physiological equality of labour is a necessary condition for the general possibility of the social equalisation and distribution of labour. Only on the basis of the physiological equality or homogeneity of human labour, i.e., of the variety and flexibility of labour activity of people, would be possible both the transfer from one kind of labour to another, and

the appearance of a social system of division of labour, in particular of the system of a commodity economy, characterised by abstract labour. Therefore, when we speak of abstract labour, we presuppose socially equalised labour, and the social equalisation of labour presupposes the physiological homogeneity of labour, without which any distribution of labour as a social process in general could not take place.

The physiological homogeneity of human labour is a biological precondition (which is in turn a result of the lengthy process of human development, in particular of the development of tools of labour and of some body organs, the hands, and the brain), but not a cause of the development of the social division of labour. The stage of development and the forms of social division of labour are determined by purely social causes, and determine in turn how far the versatility of labour operations (of which the human organism is potentially capable) can be actually manifested in the form of the versatility of labour operations carried out by men as members of society. In a rigorously enforced caste system, the physiological homogeneity of human labour cannot manifest itself to a significant degree. Even in a small commune, based on a division of labour, the physiological homogeneity of labour becomes manifest only in a narrow circle of people, and the general human character of labour cannot find its expression. It is only on the basis of a commodity economy, characterised by a wide development of exchange, a mass transfer of individuals from one labour to another, and their indifference toward the concrete form of labour, that the homogeneous character of all labour operations as kinds of common human labour in general can develop and become manifest. The physiological homogeneity of human labour was a necessary precondition of the social division of labour, but only at a definite stage of social development and in a definite social form of economy is the labour of individuals characterised as the form of manifestation of general human labour. Perhaps it would not be an exaggeration to say that the concept of man in general and of human labour in general emerged only on the ground of the commodity economy. This is precisely what Marx wanted to point out when he showed that the general human character of labour finds its expression in abstract labour.

We have arrived at the conclusion that neither physiological labour in general nor physiologically equal labour constitute abstract labour, although they are its preconditions. The equal labour which finds its expression in the equality of values must be considered as socially equalised labour. Since the value of products is their social and not their natural function, the labour creating this value is also not a physiological but a 'social substance'. Marx expressed this idea clearly and briefly in his work *Wages [Value], Price and Profit*:

As the *exchangeable values* of commodities are only *social functions* of those things, and have nothing at all to do with the *natural* qualities, we must first ask: What is the common *social substance* of all commodities? It is *Labour*. To produce a commodity a certain amount of labour must be bestowed upon it, or worked up in it. And I say not only *Labour*, but *social Labour*.¹⁶

And as far as this labour is equal, we are talking about socially equal, or socially equalised labour.

Thus, not limiting ourselves to the characteristic of labour as equal, we must distinguish three types of equal labour, as already mentioned in Chapter 11:

- 1) *Physiologically equal* labour,
- 2) *Socially equalised* labour,
- 3) *Abstract* or *abstract-general* labour, i.e., socially equalised labour in the specific form it acquires in the commodity economy.

While abstract labour is a specific property of the commodity economy, socially equalised labour can be found, for example, in a socialist commune. Just as abstract labour does not coincide with physiologically equal labour, so too must it not be identified with socially equalised labour in general (cf. above, Chapter 11 [p. 126 in the present translation]). All abstract labour is social and socially equalised labour, but not all socially equalised labour can be considered abstract labour. For socially equalised labour to take on the specific form of abstract labour, characteristic of the commodity economy, two conditions are necessary, which are accurately shown by Marx: 1) that the *equality* of labour of various kinds and individuals would express 'the specific social character of private labour carried on independently' [*Capital*, I, p. 79, MEGA, II/6, p. 105], i.e., that labour would become social only as equal labour; and 2) that this equalisation of labour would occur in a *material* form, i.e., 'assume in the product the form of value' [ibid.].¹⁷ In the absence of these conditions, labour appears as physiologically equal, and it can also be socially equalised labour, but it is not abstract-general labour.

16 [MECW/20, p. 121, MEGA, II/4.1, pp. 405–6. Emphasis in original]. Quotation from the German original: Marx, *Wages, Price and Profit* (published by Diehl and Mombert, *Selected Readings*, v, part II, p. 94. Emphasis added). In Russian translations, the juxtaposition of social functions with social substance, characteristic of Marx, is not always transmitted clearly enough.

17 'In the particular form of production with which we are dealing, viz., the production of commodities, the specific social character of private labour carried on independently, consists in the equality of every kind of that labour, by virtue of its being human labour, which character, therefore, assumes in the product the form of value' [ibid.].

If we find in some authors an erroneous confusion between abstract labour and physiologically equal labour, in other authors we can find an error not so crude but nevertheless unacceptable: they confound abstract labour with socially equalised labour. Their reasoning can be reduced to the following: the organ of a socialist commune, as we have seen, equalises the labour of various kinds and individuals for the purpose of the accounting and distribution of labour, i.e., it reduces them to a common unit, which is necessarily abstract; in consequence, labour obtains the character of abstract labour.¹⁸ As far as these authors insist on their right to attribute to socially equalised labour the label of 'abstract labour', we can recognise such a right for them: every author is entitled to call a given phenomenon with any term, although such a terminological discretion can be very dangerous and brings about serious confusion in science. However, our debate is not over the term to be chosen for designating socially equalised labour, but over a totally different issue. The question we are faced with is: what should we understand by the 'abstract labour', which, in Marx's theory, creates value and finds its expression in value? We must remember anew that Marx did not only attempt to reduce analytically value to labour, but also to derive value dialectically *from* labour. From this point of view, it is evident that not only physiologically equal labour but also socially equalised labour as such does not yet create value. The abstract labour about which Marx speaks appears not only as socially equalised labour but also as labour socially equalised in a specific form characteristic of the commodity economy. In Marx's system, the concept of abstract labour is in an inseparable connection with the fundamental particularities of the commodity economy. To prove this, we must present somewhat in greater detail Marx's views on the character of abstract labour.

Marx begins his investigation with the commodity, in which he distinguishes two sides: the material-technical and the social (i.e., use value and value). He differentiates these two sides in terms of the labour contained within a commodity. Concrete and abstract labour represent two sides (material-technical and social) of one and the same labour, contained within a commodity. The social side of this labour, forming value and finding its expression in value, is abstract labour.

Let us begin with the determination which Marx gives to concrete labour: 'So far therefore as labour is a creator of use value, is useful labour, it is a necessary

18 Approximately similar arguments can be found in I. Dashkovsky's article 'Abstract Labour and the Economic Categories of Marx' (*Under the Banner of Marxism*, 1926, no. 6) [Cf. pp. 632–61 in the present translation]. In addition, Dashkovsky also confounds abstract labour with physiological labour. Cf. below, Appendix [2.] 'Reply to Critics'.

condition, *independent of all forms of society*, for the existence of the human race; it is an eternal nature-imposed necessity, without which there can be no material exchanges between man and Nature, and therefore no life' [ibid., I, p. 50, 11/6, p. 76. Emphasis added]. Of course, to this concrete labour is contraposed abstract labour, as connected with a determinate 'social form' expressing determinate human relations in the process of production. Concrete labour is a determination of labour from the point of view of its *material-technical properties*, whereas abstract labour includes within it a determination of the *social form* of organisation of human labour. These do not represent a specific and generic concept of labour, but rather an investigation of labour from two points of view: the material-technical and the social. The concept of abstract labour expresses the particularities of the social organisation of labour in commodity-capitalist society.¹⁹

For the correct understanding of the contraposition between concrete and abstract labour, we must start from the aforementioned opposition Marx draws between private and social labour.

Labour appears as *social* insofar as it is considered as a share in the total mass of homogeneous social labour, or, as Marx often expresses it, considered in its 'relation to the total labour of society'. In a large socialist community, the labour of a member of society is included directly in the unitary labour mechanism of society in its concrete aspect (for example, as the labour of a shoemaker) and equalised to a definite number of units of social labour, as long as the question is about the early phase of socialist economy, when the labour of individuals will be still 'evaluated' by society (Cf. the end of this chapter for a more detailed discussion on this point). Labour in its concrete kind appears directly as social labour. Things go on differently in a commodity economy, where the concrete labour of a producer is not directly social labour, but is instead *private*, i.e., the labour of a private commodity producer, of a private owner of means of production and an autonomous organiser of economic unit. This private labour can become social only through its equalisation with all other kinds of labour, through the equalisation of their products (cf. above, Chapter 11). In other words, it becomes social not insofar as it appears as concrete labour, which produces concrete use values, for example shoes,

19 'We now see, that the difference between labour, considered on the one hand as producing utilities, and on the other hand, as creating value, a difference which we discovered by our analysis of a commodity, resolves itself into a distinction between two aspects of the process of production' [ibid., I, p. 191, 11/6, p. 209], i.e., between the process of production from its technical side and its social form. Cf. Petry, *The Social Content of Marx's Theory of Value*, 1916, p. 22.

but only insofar as shoes are equalised as value with a certain sum of money (and through it, with all other products as values), and at the same time also the labour embodied in them is equalised with all other sorts of labour, and in consequence rids itself of its determinate concrete form to become impersonal labour, part of the total mass of homogeneous social labour. Exactly in the same way as the concrete product of labour (for example, shoes) manifests its character as value only insofar as it rids itself of its concrete form to become equalised with a certain sum of abstract monetary units, private and concrete labour, contained in it, manifests its character as social labour only in so far as it rids itself of its concrete form to be equalised in a certain proportion with all other forms of labour, i.e., equalised with a certain quantity of impersonal, homogeneous, abstract labour, 'labour in general'. The transformation of private into social labour cannot take place otherwise than through the transformation of *concrete* into *abstract* labour. On the other hand, the transformation of concrete into abstract labour already implies its inclusion in the mass of homogeneous social labour, i.e., its transformation into social labour. Abstract labour is a variant of social labour or socially equalised labour in general. This is social or socially equalised labour in the specific form which it obtains in the commodity economy. Abstract labour is not merely socially equalised labour, i.e., impersonal and homogeneous labour, abstracted from concrete particularities. This is the labour, which becomes social labour only as impersonal and homogeneous labour. The concept of abstract labour presupposes that the *process of impersonalisation or equalisation is the unified process, owing to which labour is 'socialised'*, i.e., is included in the total mass of social labour. This equalisation can take place (but only ideally and in anticipation) already in the process of direct production, *prior to* the act of exchange, but only *through* the process of exchange, i.e., it cannot take place otherwise than through the equalisation (even though ideal and anticipated) of the product of a given labour with a certain sum of money. Insofar as this transformation only anticipates exchange, it is still subject to implementation or realisation only in the actual process of exchange.

The role of abstract labour described above, inherent in it precisely within the commodity economy, manifests itself especially strikingly when comparing the latter with other historical forms of economy.

Let us take the services and dues in kind of the Middle Ages. *It was the determinate labour of individuals in its natural form, the private²⁰ char-*

20 Marx himself says 'special' (Besonderheit), i.e., concrete character of labour (*Critique*, p. 9).

acter of labour but never its general (universal)²¹ character, that then constituted the social connection. Or finally, let us take communal labour in its spontaneously evolved form as we find it among all civilised nations at the dawn of their history. In this case the social character of labour, which is completely evident, does not appear from the fact that the labour of an individual assumes the abstract form of general labour or his product assumes the form of a general equivalent. The communal system on which this mode of production is based prevents the labour of an individual from becoming private labour and his product a private product; on the contrary, it causes individual labour to appear rather as the direct function of a member of the social organisation. Labour which manifests itself in exchange value appears to be the labour of an isolated individual. It becomes social only because it assumes the form of its direct opposite, the form of abstract generality.²²

Marx repeats the same idea in *Capital*. On medieval society, he says: 'Here the particular and natural form of labour, and not, as in a society based on production of commodities, its general abstract form, is the immediate social form of labour' [*Capital*, I, p. 82, MEGA, II/6, p. 108]. Also, in the patriarchal production of the peasant family in a village, 'the different kinds of labour, such as tillage, cattle tending, spinning, weaving and making clothes, which result in the various products, are in themselves, and such as they are, direct social functions' [ibid].

In this way, unlike a patriarchal family or a feudal estate where labour in its concrete form had a directly social character, in commodity society the sole social relation among independent private economic units is realised through the overall exchange and equalisation of products of the most varied concrete kinds of labour, i.e., through abstraction from their concrete particularities, through the transformation of concrete into abstract labour. The expenditure of human energy as such, in a physiological sense, does still not constitute abstract labour forming value, even though that is its premise. *Abstraction from concrete kinds of labour as the basic social relation among individual commodity producers*, this is what characterises abstract labour. The concept of abstract labour presupposes a definite social form of organisation of labour in the com-

The translators frequently bring about confusions, in translating both the term 'private' and the term 'besondere' with the word 'private.'

21 As we have already pointed out, Marx calls abstract labour 'general (universal)' in *Critique*.

22 *Critique*, p. 40. Emphasis added [*Critique*, p. 275, MEGA, II/2, p. 113. The English text of this quotation follows the Russian translation used and criticised by Rubin here].

modity economy: the individual commodity producers are not directly connected in the process of production itself, insofar as this process represents a totality of concrete labour activities, but rather their connection is realised through the process of exchange, i.e., of abstraction from these concrete particularities. Abstract labour is not a physiological, but a *social and historical* category. Abstract labour is distinguished from concrete labour not only with a negative feature (the abstraction of concrete forms of labour), but also with a positive feature (the transformation of all kinds of labour in the overall exchange of the products of labour).

The labour realised in the values of commodities is presented not only under its negative aspect, under which abstraction is made from every concrete form and useful property of actual work, but its own positive nature is made to reveal itself expressly. The general value-form is the reduction of all kinds of actual labour to their common character of being human labour generally, of being the expenditure of human labour power.²³

In other places Marx emphasises that this reduction of concrete kinds of labour to abstract labour is realised finally in the process of exchange, though within the process of direct production this reduction still bears an anticipated or ideal character, insofar as production counts in advance upon exchange (cf. below). In Marx's theory of value, the transformation of concrete into abstract labour is not a mental act of abstracting for the purpose of finding a general unity of measurement; this transformation is a real social phenomenon. The category of abstract labour serves as the theoretical expression of this social phenomenon, namely of the *social equalisation* of various kinds of labour, but not of their *physiological equality*. It is only the neglect of this positive, social nature of abstract labour that has led to its understanding as a labour expenditure in a physiological sense, endowed with purely negative features of abstraction from the concrete specific properties of labour.

Abstract labour appears and develops accordingly as exchange becomes the social form of the process of production itself, which is thereby transformed into commodity production. In the absence of exchange as a social form of production, there can be no question of abstract labour. Therefore, according to the extension of the market and sphere of exchange, to the involvement within it of individual economic units, and to their transformation into a uni-

23 [ibid., p. 72, II/6, p. 98].

fied national economy (and also, later, into a world economy), are consolidated those characteristic particularities of labour which we call abstract labour. Thus Marx writes:

it is only foreign trade, the development of the market into a world market, which causes money to develop into world money and abstract labour into social labour. Abstract wealth, value, money, hence abstract labour, develop in the measure that concrete labour becomes a totality of different modes of labour embracing the world market.²⁴

As long as exchange is restricted within national frameworks, there is not yet abstract labour in its most developed form. The abstract character of labour attains its culmination when international trade connects and unifies all countries and the product of national labour loses its specific concrete traits, due to the fact that it is launched into a world market and equalised there with the products of labour of the most varied national industries. We can see the distance separating this concept of abstract labour from labour expenditure in the physiological sense, which is indifferent not only toward the qualitative particularities of labour activity but also toward the social forms of its organisation.

In production based upon exchange, the producer is not interested in the use value of the products he prepares, but exclusively in their exchange value. They do not interest him as results of concrete labour but as results of abstract labour, i.e., to the extent that they can rid themselves of their innate useful form and be transformed into money, and through it into an endless series of different use values. If, from the point of view of exchange value, one given occupation turns out to be less advantageous for the producer than another, he will, supposing a full mobility of labour in the commodity economy, move from one concrete labour activity to another. Exchange creates an indifference of the producer toward any given concrete labour – of course, as a tendency which can be interrupted and weakened by counteracting reasons.

The fact that the particular kind of labour employed is irrelevant corresponds to a form of society in which individuals easily pass from one type of labour to another, the particular kind of labour to another, the particular kind of labour being accidental to them and therefore irrelevant. Labour, not only as a category but in reality, has become here a

24 *Theories of Surplus Value*, III, p. 301. Emphasis in original [*Theories*, 2, p. 388, MEGA, II/3.4, p. 1385].

means to create wealth in general, and has ceased as a determination to be tied with individuals in any particularity. This state of affairs is most pronounced in the most modern form of bourgeois society, the United States. It is only there that the abstract category 'labour', 'labour as such', labour *sans phrase*, the point of departure of modern [political] economy, is seen to be true in practice. The simplest abstraction which plays the key role in modern [political] economy, and which expresses an ancient relation existing in all forms of society, appears to be true in practice in this abstract form only as a category of the most modern society ... The example of labour strikingly demonstrates how even the most abstract categories, despite their being valid – precisely because they are abstractions – for all epochs, are, in the determinateness of their abstraction, just as much a product of historical conditions and retain their full validity only for and within these conditions.²⁵

We have cited this long excerpt from Marx because it definitively demonstrates the impossibility of the physiological understanding of 'abstract labour' or 'labour in general', which seems at first sight to be inherent in all forms of society but is in fact the product of the historical conditions of commodity society and 'retain[s] their [its] full validity' only in this society. Abstract labour comes into existence insofar as the social relation among the members of society is realised through exchange and through the equalisation of the products of the most varied kinds of labour. 'In the world of commodities the character possessed by all labour of being *human* labour constitutes its specific social character' [*Capital*, I, p. 72, MEGA, II/6, p. 98. Emphasis in original], and only this social role of labour, abstracted from any concrete qualities, gives it the character of value-creating abstract labour. In value 'the *general* character of individual labour' appears 'as its *social* character' – Marx repeats this idea persistently and frequently in *Critique*.

Thus, since value must be dialectically derived from labour, we should understand by labour the labour organised in a determinate social form inherent in the commodity economy. As long as we speak of physiologically equal or even socially equalised labour in general, this labour does not create value. One can arrive at another, poorer concept of labour only when restricting one's task to a purely analytical reduction of value to labour. If we start from

25 Marx, 'Introduction to the critique of political economy', Russian translation in the above quoted collection 'Fundamental problems of political economy' [edited by Rubin et al., 1922], p. 29 [MECW/28, pp. 41–2, MEGA, II/1.1, pp. 39–40]. Cf. below, Appendix [2.] 'Reply to Critics' (in particular 1. 2 of our reply to I. Dashkovsky).

value as a ready-made, given social form of the products of labour, not requiring a special explanation, and ask ourselves the question of to what labour this value can be reduced, we will answer, briefly: to equal labour. In other words, if value can be dialectically derived only from abstract labour, distinguished by a definite social form, the analytical reduction of value to labour can be restricted to the confirmation of the character of labour as socially equalised labour in general,²⁶ or even, probably, as physiologically equal labour. It is precisely this that can explain the fact that in the second section of Chapter One of Volume I of *Capital*, where Marx reduces value to labour by means of the analytical method, he emphasises the character of labour as physiologically equal, no longer expanding on the social form of organisation of labour in the commodity economy.²⁷ On the contrary, whenever Marx wants to derive value dialectically from abstract labour, he characterises the latter with an emphasis on the social form of labour in the commodity economy.

Since we have made clear the social nature of abstract labour and its connection with the process of exchange, we must answer certain critical obser-

26 Cf. above, in Chapter 12, the quotations in which Marx recognises socially equalised labour as the substance of value.

27 In the first edition of *Capital*, Marx summarises the difference between concrete and abstract labour as follows: 'From what has been said it follows that a commodity does not possess two different forms of labour but *one and the same labour* is defined in different and even opposed ways depending on whether it is related to the *use value* of commodities as to its *product*, or to *commodity value* as to its *material expression*' (*Capital*, I, 1867, p. 13. Emphasis in original [*Capital*, I, first German edition of 1867, p. 13, English version, p. 16, MEGA, II/5, pp. 26–7]). Value is not the product of labour, but a material, fetishised expression of the labour activity of people. Unfortunately, in the second edition Marx replaced this summary emphasising the social character of abstract labour with the well-known concluding sentence of section two of the first chapter, which induced many commentators to understand abstract labour in a physiological meaning: 'all labour is, speaking physiologically, an expenditure of human labour power' [*Capital*, I, p. 53, MEGA, II/6, p. 79]. Perhaps, Marx himself was aware of the insufficiency of this preliminary characterisation of abstract labour, given by him in the second section of *Capital*. As a clear indication of this serves the fact that in the French edition of *Capital* (1875), Marx thought it necessary to complement this characterisation: here on page 18 Marx gives simultaneously both determinations of abstract labour: first he repeats the above quoted determination in the first edition of *Capital*, after that comes the determination in the second edition. It must not be forgotten that, as a general rule, in the French edition of *Capital* Marx made significant simplifications and abridged explanations in some places. But on the point in question he regarded it necessary to complement and complicate the characterisation of abstract labour, probably recognising its determination in the second edition as not satisfactory enough.

vations, raised against our understanding of abstract labour. Some critics²⁸ say that from our proposition it is possible to draw the conclusion that abstract labour arises only in the act of exchange. From this it follows that value also arises only in exchange, while, from Marx's the point of view, value, and thus also abstract labour, must already exist in the process of production. This brings us to a very serious and profound problem regarding the relation between production and exchange. How are we to solve this difficulty? On the one hand, value and abstract labour must exist already in the process of production, but on the other, as Marx says in a number of places, abstract labour has as its precondition the process of exchange.

Let us bring up several examples. According to Marx, Franklin understood labour as abstract labour, but did not understand that this is abstract-general, social labour, arising from the all-round cession of individual labour (*Critique*, pp. 38–9 [*Critique*, p. 288, MEGA, II/2, p. 127]). Hence Franklin committed an error mainly because he did not take account of the fact that abstract labour arises from the cession of individual labour.

In this case the question is not about an isolated phrase in Marx's text. In later editions of *Capital*, Marx more and more emphatically underlined the idea that, in the commodity economy, it is solely exchange that reduces concrete labour to abstract labour.

Let us read again the already quoted well-known passage:

When we bring the products of our labour into relation with each other as values, it is not because we see in these articles the material receptacles of homogeneous human labour. Quite the contrary: whenever, by an exchange, we equate as values our different products, by that very act, we also equate, as human labour, the different kinds of labour expended upon them.²⁹

In the first edition of *Capital*, this passage had a completely opposite meaning. Marx wrote there as follows: 'If men relate their products to one another as values insofar as these objects count as merely *objectified husks* of homogeneous human labour' (*Capital*, I, 1867, p. 38 [*Capital*, I, first edition, English version, p. 36, MEGA, II/5, p. 46. Emphasis in original]). Concerned about being understood as if he asserted that people consciously equalised their labour to each other in advance as abstract, Marx entirely changed the meaning of this

28 Cf. below, Appendix [2.] 'Reply to Critics.'

29 [*Capital*, I, p. 78, MEGA, II/6, pp. 104–5].

sentence in the second edition, and underlined the idea that the equalisation of labour as abstract labour takes place only through the exchange of the products of labour. This is a characteristic change from the first to the second edition.

But, as we have already mentioned, Marx did not restrict himself to the second edition of Volume I of *Capital*. He still corrected afterward the text for the French edition of 1875, in which he wrote that he had introduced there such corrections that he had not succeeded in including in the second German edition. On this basis Marx assigned to the French edition of *Capital* an independent scientific value along with the German original.

In the second edition of *Capital* we find the well-known sentence: 'The equalisation of the most different kinds of labour can be the result only of an abstraction from their inequalities, or of reducing them to their common denominator, viz., expenditure of human labour power or human labour in the abstract' [*Capital*, I, p. 78, MEGA, II/6, p. 104]. In the French edition Marx replaces the period with a comma at the end of this sentence, and adds: 'and it is only exchange that operates this reduction, opposing to each other the products of most different kinds of labour on an equal footing' (p. 29 of the French edition of 1875 [MEGA, II/7, p. 55]). This insertion is extremely characteristic and clearly indicates how far Marx's position was from the physiological understanding of abstract labour. How should we reconcile these statements of Marx's, which may count a full dozen, with the fundamental proposition that value is created in production?

It is not in fact difficult to reconcile these two views.

The essential point is in that the two concepts of exchange are not adequately distinguished in considering the question of the relation between exchange and production. We must distinguish exchange as a social form of the process of reproduction from exchange as a particular phase of this process of reproduction, alternating with the phase of direct production.

At first sight exchange appears to us as a separate phase in the process of reproduction. We see that at first the process of direct production goes on, with the phase of exchange coming subsequently. Here exchange is separate from production and stands opposite to it. However, exchange is not only a separate phase in the process of reproduction, but also puts its specific imprint on the whole process of reproduction, and represents thus a social form of the social process of reproduction. Production based on private exchange – Marx frequently characterises the commodity economy with this phrasing. From this point of view, the 'exchange of products as commodities is a certain method of exchanging labour ... or social production' (*Theories*, III, 1921, p. 153 [*Theories*, 2, p. 317, MEGA, II/3.4, p. 1317]). If we pay attention to the fact that exchange is a social form of the process of production itself, a form which leaves its imprints

on the course of the process of production itself, a number of Marx's expressions will become completely comprehensible for us. When Marx constantly repeats that abstract labour is only the result of exchange, this means that it is the result of a given social form of the process of production. Only to the extent that the process of production takes the social form of commodity production, i.e., production based on exchange, does labour take the form of abstract labour, and the products of labour the form of value.

In this way, exchange is above all a form of the process of production, or a form of social labour. As soon as exchange actually became a dominant form of the process of production, it leaves its imprint even on the phase of direct production. In other words, since people do not produce today for the first time, since a producer produces after he has entered the act of exchange and before he enters the following act of exchange, the process of direct production too acquires determinate social features corresponding to the organisation of the commodity economy based on exchange. A commodity producer, while still remaining in his workshop and at that given moment not entering into exchange with other members of society, already feels on him the pressure from the side of all those persons who appear on the market as his buyers, competitors, people who buy from his competitors, and so on – in the final analysis, the pressure from the side of all the members of society. This economic connection and these relations of production, directly realised in exchange, extend their action even after the completion of given concrete acts of exchange. They put a distinct social imprint both on an individual and on his labour. Already in the process of direct production itself, the producer appears as a *commodity producer*, his labour acquires the character of *abstract* labour, and his product has the character of *value*.

Here, however, it is necessary to warn against the following error. There are many who think that, since the process of direct production already has a determinate social characteristic, both the products of labour and labour in the phase of direct production are characterised exactly in every respect by the same social features which characterise them in the phase of exchange. Such an assumption is profoundly erroneous, because, even though both phases (the phase of production and the phase of exchange) are closely connected to one another, the phase of production has not become the phase of exchange. Between these two phases a certain similarity exists, but a certain difference still persists. In other words, on the one hand we recognise that, from the moment when exchange becomes a predominant form of social labour and people produce especially for exchange, already in the phase of direct production the character of products of labour as values is taken into consideration. But this character of the products of labour as values is still not yet the charac-

ter which they will acquire when they are actually exchanged for money, when their 'ideal' (in Marx's expression) value will be transformed into 'real' value, and the social form of the commodity will be substituted with the social form of money.

The same applies also to labour. We admit that commodity producers, in their acts of labour, pay attention to the state of the market and consumer demand already in the direct process of production, and they produce in advance exclusively in order to transform their product into money, and thus their private and concrete labour into social and abstract labour. But this inclusion of the labour of the individual into the labour mechanism of the entire society is only preliminary and uncertain: it is still subject to a severe ordeal in the process of exchange, an ordeal which can yield a positive or negative result for the given commodity producer. In this way, the labour activity of commodity producers in the phase of production appears directly as private and concrete labour, and only indirectly or latently as social labour, according to Marx's expression.

Therefore, when we read Marx, in particular his descriptions on how exchange influences value and abstract labour, we must always ask ourselves what Marx has in view in a given case: either exchange as a form of the process of production itself, or exchange as a separate phase opposed to the phase of production. As far as the question is about exchange as a form of the process of production, Marx decidedly states that without exchange there can exist neither abstract labour nor value, and that only with the development of exchange does labour acquire the character of abstract labour. Where the question is about exchange as a separate phase opposed to production, Marx says that labour and the product of labour has a certain social character already before the process of exchange, but that this character must still be realised in the process of exchange. In the process of direct production labour is not yet abstract labour in the full meaning of the word, it is still to become (werden) abstract labour. Similar expressions can be found abundantly in Marx. I give here only two quotations from *Critique*:

The different kinds of individual labour represented in these particular use values, in fact, become (werden) labour in general, and in this way social labour, only by actually being exchanged for one another in quantities which are proportional to the labour time contained in them. Social labour time exists in these commodities in a latent state, so to speak, and becomes evident (offenbart sich) only in the course of their exchange.³⁰

³⁰ *Critique*, p. 24 [*Critique*, p. 286, MEGA, II/2, p. 123].

In another place Marx writes:

Commodities now confront one another in a dual form, really as use values and ideally as exchange values. They represent now for one another the dual form of the labour contained in them, since the particular concrete labour actually exists as their use value, while universal abstract labour time assumes an imaginary existence (*vorgestelltes Dasein*) in their price.³¹

Marx maintains that the commodity and money do not lose their differences just because every commodity must be invariably transformed into money; each of them is really what the other is ideally, and is ideally what the other is really. All these expressions of Marx's indicate that, on this point, we must not think too linearly. We must not think that, even if commodity producers are indirectly connected with each other by their relations of production already in the process of direct production, their products and their labour already bear a directly social character. The matter does not stand like this. The labour of commodity producers appears directly as private and concrete, but receives at the same time an additional, 'ideal' or 'latent' social characteristic as abstract-general and social labour. Marx always ridiculed the utopians, who dreamed of the abolition of money and believed in the dogma that 'the particular labour of a private individual contained within it [a commodity] is immediately social labour' (*ibid.*, p. 73 [*Critique*, p. 322, 11/2, p. 157]).

Now we must answer the following question: can abstract labour, which we consider as purely 'social substance', have a *quantitative* determination, i.e., a determinate *magnitude*? It is obvious that, from the point of view of Marx's theory, abstract labour has a determinate magnitude, and precisely because of this the product of labour does not only acquire the social form of value but it has also a value of a determinate magnitude. In order to understand the possibility of the quantitative characteristic of abstract labour, we must again rely on its comparison with that socially equalised labour which is found in a socialist community. We suppose that the organs of the socialist community equalise to each other labour of different kinds and of different individuals in a certain way; for example, one day of simple labour is taken as 1 unit, and one day of qualified labour as 3 units; a day of the labour of skilled labourer A is taken as equal to 2 days' labour of unskilled labourer B, and so on. On the basis of these general principles, the organs of social accounting recognise that labourer A

³¹ *ibid.*, p. 32 [*Critique*, p. 307, 11/2, p. 143].

expended in the social process of production 20 units of labour, and labourer B expended 10 units of labour. Does this mean that A actually worked for twice as long a time as B? Not at all. This accounting means still less that A spent double the quantity of physiological energy than B did. It is possible that, from the point of view of the factual duration of their labour, A and B worked through an equal number of hours. It is further possible that, from the point of view of the quantity of physiological energy expended in the process of their labour, A spent less energy than B. Nevertheless, the quantity of 'social labour' coming in for A's share is larger than the quantity for the share of B. This labour represents a purely 'social substance', i.e., the units of this labour represent the units of a homogeneous mass of social labour, counted and equalised by social organs. At the same time, this social labour has a thoroughly determinate magnitude, but (this must not be forgotten) this is a magnitude of purely social character. Those 20 units of labour which come in for the share of labourer A neither represent the number of hours he worked through nor a sum of factually expended physiological energy, but a number of units of social labour, i.e., a *social magnitude*. Abstract labour too represents precisely a social magnitude of this kind, playing that role in the spontaneous commodity economy which is carried out by the above described socially equalised labour in a consciously organised socialist economy. Therefore, Marx constantly reminds us that abstract labour is a 'social substance', and its magnitude is a 'social magnitude'.

Only due to the sociological understanding of abstract labour described above does Marx's central proposition that abstract labour 'creates' value or finds its expression in the form of value become understandable. The physiological understanding of abstract labour would easily lead to a naturalistic understanding of value, an understanding sharply contradictory to the theory of Marx. According to him, both abstract labour and value are distinguished by a purely social nature and represent purely social magnitudes. Abstract labour means a 'social determination of labour', and value a social property of the product of labour. Not labour in its material-technical or physiological quality, but only abstract labour presupposing determinate relations of production of people, creates value.³² The relation between abstract labour and value must

32 Hence Stolzmann is wrong when he writes: 'If the significance and character of all other economic phenomena follow from their 'social functions,' why is this not true of labour as well, why does not labour equally find its character in its social function, i.e., the function belonging to it within the present economic structure to be explained?' (Stolzmann, *The Aim in the National Economy* [original in German, *Der Zweck in der Volkswirtschaft*], 1909, p. 503). In fact, the labour forming value is considered by Marx not as a technical factor of

not be thought about as a relation between a physical cause and a physical consequence. Value is a material expression of social labour in the specific form which it obtains in the commodity economy, i.e., of abstract labour. This means also that value is 'congealed' labour, 'a mere congelation of homogeneous human labour', 'crystals of the social substance' – of labour [*Capital*, 1, p. 46, MEGA, II/6, p. 72]. These expressions, for which Marx underwent so many attacks and accusations of a 'naturalistic' construction of the theory of value, can be properly understood only by comparing them with his theory of commodity fetishism and the 'reification' of social relations. Social relations of production among people are expressed in a material form – this is Marx's first proposition. From this it follows that social (namely abstract) labour is expressed in the form of value. Hence, value is 'reified', 'materialised' labour, and at the same time as this an expression of *relations of production of people*. These two determinations of value contradict each other insofar as the question is about physiological labour, but they brilliantly complement each other insofar as the question is about *social* labour. Both abstract labour and value have a social but not any material-technical or physiological nature. Value is a social property (or a social form) of the product of labour, just as abstract labour is a 'social substance', lying at the basis of this value. Nevertheless, abstract labour, like the value created by it, does not have only a qualitative but also a quantitative aspect, a determinate magnitude, just as does that social labour which is counted by the organs of a socialist community.

In order to settle the question of the quantitative determination of abstract labour, we must explicate a possible misunderstanding that is likely to arise. At first glance it may seem that, if abstract labour is the result of the social equalisation of labour through the equalisation of the products of labour, the fact of the equalisation (or inequality) of two labour expenditures in the process of

production, but from the point of view of the social form of its organisation. But, according to Marx, this social form of labour is not suspended in a vacuum space: it is closely connected with the material process of production. Only those who are totally ignorant of the social form of labour in Marx's system can claim that 'labour is for Marx a simply technical factor of production' (S. Prokopovich, *Toward a Critique of Marx*, 1901, p. 16), or detect Marx's fundamental error in that, when explaining the value of labour, he ignores 'different evaluation of different kinds of labour' as factor of production (G. Cassel, 'Outline of an Elementary Price Theory' [original in German, 'Grundriss einer elementaren Preislehre'], *Zeitschrift für die gesamte Staatswissenschaft*, vol. 3, 1899, p. 447). Marshall also detects Marx's error in his ignorance of the 'quality of labour' (Marshall, *Principles of Economics*, 1910 [6th edition], p. 503). The question is whether we are interested in the social or technical qualities of labour. Marx is interested in the social form or social quality of labour in the commodity economy, expressed in the act of abstraction from the technical qualities of various kinds of labour.

exchange serves as the sole criterion of their equality or inequality. From this point of view, we cannot speak of the equality (or inequality) of two labour expenditures until the moment of their social equalisation through the process of exchange. On the other hand, if these labour expenditures are socially equalised in the process of exchange, we are obliged to consider them equal even if they were not equal in the direct process of production, for example with regard to the number of labour hours.

Such an assumption leads to false conclusions. It deprives us of the right to say that in the process of exchange are socially equalised sometimes various, sometimes very unequal quantities of labour (for example, in the exchange of products of qualified labour for products of simple labour, or in the exchange of commodities in capitalist society at their prices of production, and so on). We would be obliged to recognise that the social equalisation of labour in the process of exchange proceeds totally independently of the quantitative elements characterising labour in the process of direct production (for example, of its duration, intensity, length of training for a given type of qualified labour, and so on), and, consequently, that this equalisation is devoid of every regularity, being determined exclusively by market spontaneity.

It is easy to 'show' that the earlier developed theory of abstract labour has nothing in common with this false assumption. Let us get back to the example from a socialist community. The organs of the socialist community recognised for labourer A the right to 20 hours of social labour, and for labourer B the right to 10 hours of the same labour. These accountings were made by these socialist organs on the basis of the features characterising labour in the material-technical process of production (for example, its duration, intensity, quantity of primary products, and so on). If these organs, when deciding the quantity coming in for the share of each labourer in the social labour, adopted as the sole and deciding criterion the quantity of the physiological energy expended by the labourer (we assume that it would be possible to determine this quantity by means of psycho-physiological investigations), we would say that the features characterising labour from its physiological and not material-technical aspect serve as the basis for the social equalisation of labour. But this would not change the matter. In both cases we would be able to say that the act of social equalisation of two labour expenditures is carried out on the basis of features lying outside of this act itself. But from this it does not follow in any way that the social equality of two labour expenditures, carried out *on the basis of* their physiological equality, is *identical* with the latter. Even if we assume that a given numerical expression of two quantities of social labour (20 hours and 10 hours of social labour) exactly coincides with the numerical expression of two quantities of physiological energy (20 units and 10 units of physiolo-

gical energy), the fundamental difference remains between the nature of social labour and the expenditure of physiological energy, between the social equalisation of labour and its physiological equality. This is even more veritable in those cases where the social equalisation of labour is regulated not by one but by a whole series of features characterising labour from its material-technical or physiological aspect. In this case, not only is socially equal labour qualitatively distinguished from physiologically equal labour, but also the quantitative determination of the former can be understood only as the result of the process of social equalisation of labour. We cannot understand the qualitative as well as the quantitative characteristic of social labour without studying the social form of the process of production in which the social equalisation of labour takes place.

It is precisely such a state of affairs that we find in the commodity economy. The equality of two quantities of abstract labour means their equality as shares in the total social labour, an equality which is established only in the process of social equalisation of labour through the equalisation of the products of labour. Hence, we assert that in the commodity economy the *social* equality of two labour expenditures, or their equality as *abstract* labour, is not established otherwise than through the process of exchange. But this does not prevent us from confirming, prior to and independently of the process of exchange, a series of quantitative features which distinguish labour from its material-technical and physiological aspect and which exercise causal influence on the quantitative determination of abstract labour. The most important of these features are: 1) the *duration* of labour expenditure, or the quantity of *labour time*; 2) the *intensity of labour*; 3) the *qualified* character of labour; and 4) the *quantity of products* produced per unit of time. Let us briefly examine each of these features.

Marx considers the *quantity of labour time* expended by the labourer as the basic feature characterising the quantitative determination of labour. This manner of quantitative determination of labour in terms of the duration of labour time is highly characteristic of Marx's sociological method. If we were considering the quantitative determination of labour in a psychological [error for 'physiological?'] laboratory, we would have to take as the unit of labour a certain amount of expended physiological energy. But when the question is about the distribution of total social labour among individual persons and branches of production, a distribution, carried out consciously in a socialist community and spontaneously in a commodity economy, different quantities of *labour* appear as different quantities of *labour time*. Therefore, Marx frequently replaces labour with labour time, and considers the latter as the substance materialised in the product (*Critique*, pp. 5, 8 [*Critique*, pp. 271, 274, MEGA, II/2, pp. 109, 112]).

Thus, Marx takes the labour time or 'the extensive magnitude of labour' as the basic measure of labour [*Capital*, I, p. 486, MEGA, II/6, p. 485]. Together with this feature, Marx puts the *intensity* of labour or the 'intensive magnitude of labour', i.e., 'the quantity of labour expended in a given time', as a supplementary and secondary feature [*ibid.*]. One hour of labour of greater intensity is recognised as equal, for example, to 1.5 hours of labour of normal intensity. In other words, more intensive labour is recognised as equal to longer labour. Intensity is translated into units of labour time, or intensive magnitude is counted as extensive magnitude. This reduction of the intensity of labour to labour time already clearly testifies to the extent to which Marx subordinates the features characterising labour from its physiological aspect to the features of its social character which play the decisive role in the social process of distribution of labour.

The subordinate role of the intensity of labour becomes manifest even more clearly with respect to labour time in the following examination of Marx. In his opinion, attention is paid to the feature of intensity of labour to determine the quantity of abstract labour only when the given labour expenditure differs more or less in its intensity from the average level. But 'if the intensity of labour were to increase simultaneously and equally in every branch of industry, then the new and higher degree of intensity would become the normal degree for the society, and would therefore cease to be taken account of' [*ibid.*, I, p. 492, II/6, p. 490].³³ In other words, if at present just as fifty years ago, in a given country one million working days (eight hours each) are expended on production every day, the sum of values created every day remains unchanged, even though the average intensity of labour has risen, for example by one-and-a-half times, during the last half century, hence the quantity of expended physiological energy has increased. Marx's reasoning here shows not only that it is inadmissible to confound physiological with abstract labour, but also that the quantity of physiological energy must not be taken as that basic

33 Marx expresses still more sharply the same idea in *Theories*, III, pp. 365–6: 'If the intensification of labour were to become general, then the value of commodities would fall in proportion to the reduced labour time which they cost' [*Theories* 2, p. 440, MEGA, II/3.4, p. 1444]. If 12 hours of labour are expended on a given product instead of earlier 15 hours with the generalisation of a higher intensity of labour, the value of the product will, in the opinion of Marx, fall, because it is determined by the labour time or the number of expended hours. As for the amount of expended physiological energy, it remained unchanged (i.e., now in 12 hours is expended as much energy as was expended earlier in 15 hours), and in consequence, from the point of view of the supporters of the physiological understanding of labour value, the value of the product would have to remain unchanged.

quantitative feature which determines the quantity of abstract labour and the magnitude of created value. Marx regards labour time as the measure of labour, but to the intensity of labour he assigns only a supplementary and subordinate role.

To the problem of *qualified* labour we will devote the next chapter. Here we only note that Marx, faithful to his general position on labour time as the measure of value, reduces a day of qualified labour to a certain number of days of simple labour, i.e., again to labour time.

Up to now we had in view the equalisation of the quantities of labour expended in various branches of production. But insofar as the question is about different labour expenditures in one and the same branch of production (more exactly, expenditures on the production of products of the same kind and quality), their equalisation is subject to the following principle: two labour expenditures are recognised as equal insofar as they create *equal quantities of a given product*, even if these labour expenditures are actually largely different from each other in the duration of labour time, intensity, and so on. The working day of a labourer who is more skilful or operates with better means of production is socially equalised with two working days of a labourer who is less skilful or operates with poorer means of production, even though the quantity of expended physiological energy in the former case were much smaller than in the latter. Here again, the sum of expended physiological energy is never the decisive feature determining the quantitative characteristic of labour as abstract and socially necessary. Indeed, here too Marx reduces the labour of a worker distinguished by a special skilfulness or by better means of production to *socially necessary* labour time, i.e., he equalises it with a certain quantity of *labour time*.

As we see, the quantitative characteristic of abstract labour is *causally subject* to a series of features distinguishing labour from its material-technical and physiological aspects in the process of direct production, prior to and independently of the process of exchange. But, although two given labour expenditures are distinguished, independently of the process of exchange, by a certain duration, intensity, level of qualification, and technical productivity, the *social equalisation* of these labour expenditures goes on in the commodity economy only through the process of exchange; and at the same time *socially equalised* or *abstract* labour is distinguished qualitatively and quantitatively from labour considered from its material-technical or physiological aspects.

[358][Supplement 2: Chapter 14 in the Second Edition (Chapter 10 in the First Edition)] Abstract Labour

The theory of abstract labour is one of the central points of Marx's theory of value. It is abstract labour, according to Marx, which 'creates' value. He attached decisive importance to the distinction between concrete and abstract labour. 'I was the first to point out and to examine critically this twofold nature of the labour contained in commodities. As this point is the pivot on which a clear comprehension of political economy turns, we must go more into detail' [*Capital*, I, p. 49, MEGA, II/6, p. 75]. After Volume I of *Capital* saw the light of day, Marx wrote to Engels:

The best points in my book are: 1) the *twofold character of labour*, according to whether it is expressed in use value or exchange value. (*All understanding of the facts depends upon this.*) It is emphasised immediately, in the *first* chapter; 2) the treatment of *surplus value independently of its particular forms* as profit, interest, ground rent, etc.³⁴

In view of the decisive importance Marx attaches to his theory of abstract labour, it is surprising that so little attention has been paid to it in Marxist literature. Some writers pass over this question in complete silence. For example, A. Bogdanov transforms abstract labour into 'abstractly-simple labour', and, leaving aside the problem of concrete and abstract labour, restricts himself to the problem of simple and qualified labour.³⁵ Many critics of Marxism also prefer to replace abstract labour with simple labour; K. Diehl, for example, does this.³⁶ In popular presentations of Marx's theory of value, authors paraphrase with their own words the explanations given by Marx in section two of the first chapter of *Capital* on 'twofold character of the labour embodied in commodities'. Kautsky writes:

[358] The numbering of the original footnotes follows that of Chapter 14 in the third edition. But the translator's notes indicating only the differences between the first and second editions remain serial as in the other chapters.

34 [Marx's letter to Engels of 24 August 1867, MECW/42, p. 407, MEW/31, p. 326. Emphasis in original. But it was at the beginning of September that Volume I actually appeared.].

35 A. Bogdanov, *Course of Political Economy*, vol. II, part 4, p. 18.

36 K. Diehl, *Social-Scientific Explanations on Ricardo*, vol. 1, 1921, pp. 102–4.

On the one hand, labour appears to us as the productive expenditure of human labour power in general, on the other hand, as specific human activity for the attainment of a given object. The first aspect of labour forms the common element in all the productive activities carried on by men; the second varies with the nature of the activity.³⁷

This commonly accepted determination comes down to the following very simple proposition: concrete labour is the expenditure of human energy in a determinate form (sewing, weaving, and so on), abstract labour is the expenditure of human energy as such, independent of its given form. Determined in this way, the concept of abstract labour is a *physiological*^[359] concept, devoid of all social and historical elements. It is inherent in all historical epochs, independently of this or that social form of production.

In fact, in the section of *Capital* mentioned above, Marx provides motivation for understanding abstract labour precisely in a physiological sense.

Productive activity, if we leave out of sight its special form, viz., the useful character of the labour, is nothing but the expenditure of human labour power. Tailoring and weaving, though qualitatively different productive activities, are each a productive expenditure of human brains, nerves, and muscles, and in this sense are human labour [*Capital*, I, p. 51, MEGA, II/6, p. 77].

And, in concluding, Marx emphasises still more sharply the same idea:

On the one hand all labour is, speaking physiologically, an expenditure of human labour power, and in its character of identical abstract human labour, it creates and forms the value of commodities. On the other hand, all labour is the expenditure of human labour power in a special form and with a definite aim, and in this, its character of concrete useful labour, it produces use values. [*Ibid.*, p. 53, II/6, pp. 79–80]

Supporters as well as opponents of Marx, in relying on his above quoted words, understand abstract labour in a physiological meaning. The former repeat this determination without analysing it critically; the latter raise against it a series

[359] '*physiological*' is italicised in the second edition.

37 Kautsky, *The Economic Doctrines of Karl Marx*, Russian translation, St Peterburg, 1918, p. 12 [as for the German original, cf. note 4 on page 181 in the present translation].

of objections and sometimes make of it the starting point for the refutation of the theory of labour value. Neither the former nor the latter notice that the above presented understanding of abstract labour, at first glance relying on the literal meaning of Marx's words, is in an undeniable contradiction to Marx's theory of value in its entirety and to a series of individual passages in *Capital*.

Marx never tired of repeating that value is a social phenomenon, that the objectivity of value (*Wertgegenständlichkeit*) has a 'purely social reality' and does not include within it a single atom of material [*ibid.*, p. 54, 11/6, p. 80]. From this it follows that abstract labour forming value must also be understood as a social category, in which we cannot find a single atom of matter. It must be one or the other: if abstract labour represents an expenditure of human energy in the physiological sense, then value also has a reified-material character. Or else value is a social phenomenon, in which case abstract labour must also be understood as a social phenomenon, connected with a definite social form of production. It is impossible to reconcile the physiological understanding of abstract labour with the historical character of the value created by it. The physiological expenditure of energy remains the same in all historical epochs and, one might say, it created value in all epochs. We would arrive at a crudest understanding of the theory of value, transforming it into a labour theory of wealth, from which Marx strove to keep a distance.

There can be only one way out of these difficulties: since the concept of value in Marx bears a social^[360] and historical character, and his originality and merit are found precisely in this point, we must build on the same basis also the concept of abstract labour, as the 'creator' of value. If we do not stay with the preliminary determinations given by Marx in the first pages of his work but instead make the effort to follow the further development of his thinking, we will find in Marx himself sufficient elements for a sociological theory of abstract labour.

Let us begin with the definition which Marx gives to concrete labour: 'So far therefore as labour is a creator of use value, is useful labour, it is a necessary condition, *independent of all forms of society*, for the existence of the human race; it is an eternal nature-imposed necessity, without which there can be no material exchanges between man and Nature, and therefore no life' [*ibid.*, 1, p. 50, 11/6, p. 76. *Emphasis added*]. Of course, to this concrete labour is contraposed abstract labour, as connected with a determinate 'social form', expressing determinate human relations in the process of production. Con-

[360] 'social' is 'sociological' in the first edition.

crete labour is a determination of labour from the point of view of its *natural-technical properties*,^[361] whereas abstract labour constitutes a determination of the *social form*^[362] of organisation of human labour. These do not represent a specific and generic concept of labour, but rather an investigation of labour from two points of view: the natural-technical and the social. The concept of abstract labour expresses the particularities of the social organisation of labour in commodity-capitalist society.³⁸

For the correct understanding of the contraposition between concrete and abstract labour, we must start from the aforementioned^[363] opposition Marx draws between private and social labour. As private appears the labour of individual member of a society insofar as it is not connected with labour activity of other members of the society. The mutual connection and mutual dependence of the labour activities of individual members of society transform their private labour into social labour. The particularity of commodity-capitalist society consists in the fact that this mutual connection manifests itself only in the act of market exchange, this point of encounter of the individual independent commodity producers. Each of them acts in his enterprise autonomously and independently. Only at the moment when his product of labour is brought to market and contraposed to an endless series of other products appearing on the market to be equalised with each of them in a certain proportion does the commodity producer experience the action of the whole market upon him, i.e., the action of the labour activity of the other members of society, and in turn he exercises a counter-action on them through the product of his labour. The labour of the individual commodity producer is included in the general labour mechanism of society due to the fact that his product as a definite use value is equalised on the market with all other use values, and through them manifests its exchange value; at this moment the market actually reduces a given concrete labour (that of a clothier, of a weaver and so on) to abstract labour, irrespective of its determinate form. In other words, as long as a commodity producer is occupied with

[361] '*natural-technical properties*' is italicised in the second edition.

[362] '*social form*' is italicised in the second edition.

[363] 'aforementioned' is added in the second edition.

38 'We now see, that the difference between labour, considered on the one hand as producing utilities, and on the other hand, as creating value, a difference which we discovered by our analysis of a commodity, resolves itself into a distinction between two aspects of the process of production' [ibid., I, p. 191, 11/6, p. 209.], i.e., between the process of production from its technical side and its social form. Cf. Petry, *The Social Content of Marx's Theory of Value*, 1916, p. 22. [This final sentence is added in the second edition].

his *concrete*,^[364] special labour, it is *private*^[365] labour; it becomes *social*^[366] only through the act of market exchange, i.e., in the form of the equalisation of the products of extremely different kinds of labour, in the form of *abstract*^[367] labour. *The social character of labour manifests itself in the act of abstraction on the market from its concrete technical*^[368] *determinateness.*^[369]

This role of abstract labour, inherent in it precisely within the commodity economy, manifests itself especially clearly when comparing the latter with other historical forms of economy.

Let us take the services and dues in kind of the Middle Ages. *It was the determinate labour of individuals in its natural form, the private character of labour but never its general (universal)*³⁹ *character; that then constituted the social connection.* Or finally, let us take communal labour in its spontaneously evolved form as we find it among all civilised nations at the dawn of their history. In this case the social character of labour, which is completely evident, does not appear from the fact that the labour of an individual assumes the abstract form of general labour or his product assumes the form of a general equivalent. The communal system on which this mode of production is based prevents the labour of an individual from becoming private labour and his product a private product; on the contrary, it causes individual labour to appear rather as the direct function of a member of the social organisation. Labour which manifests itself in exchange value appears to be the labour of an isolated individual. *It becomes social only because it assumes the form of its direct opposite, the form of abstract generality* (*Critique*, p. 40. Emphasis added [*Critique*, p. 275, MEGA, II/2, p. 113. The English text of this quotation follows the Russian translation used by Rubin here]).

Marx repeats the same idea in *Capital*. On medieval society, he says: 'Here the particular and natural form of labour, and not, as in a society based on production of commodities, its general abstract form, is the immediate social form of

[364] '*concrete*' is italicised in the second edition.

[365] '*private*' is italicised in the second edition.

[366] '*social*' is italicised in the second edition.

[367] '*abstract*' is italicised in the second edition.

[368] '*technical*' is added in the second edition.

[369] This sentence is italicised in the second edition.

39 As we have already pointed out, [this is added in the second edition] Marx calls abstract labour 'general (universal)' labour in *Critique*.

labour' [*Capital*, I, p. 82, MEGA, II/6, p. 108]. Also in the patriarchal production of the peasant family in a village, 'the different kinds of labour, such as tillage, cattle tending, spinning, weaving and making clothes, which result in the various products, are in themselves, and such as they are, direct social functions' [ibid.].

In this way, unlike a patriarchal family or a feudal estate, where labour in its concrete form had a directly social character, in commodity society the sole social relation among independent private economic units is realised through the overall exchange and equalisation of products of the most varied concrete kinds of labour, i.e., through abstraction from their concrete particularities, through the transformation of concrete into abstract labour. The expenditure of human energy as such, in a physiological sense, does still not constitute abstract labour, creating value, even though that is its premise. *Abstraction from concrete kinds of labour as the basic social relation among individual commodity producers*, this is what constitutes abstract labour. The concept of abstract labour includes within it the characteristic of social form of organisation of labour in the commodity economy: the individual commodity producers are not directly connected in the process of production itself, insofar as this process represents a totality of concrete labour activities, but rather their connection is realised in the act of exchange, i.e., of abstraction from these concrete particularities. Abstract labour is not a physiological, but a *social*^[370] and, as such, *historical*^[371] category. Abstract labour is distinguished from concrete labour not only with a negative feature (the abstraction of concrete forms of labour), but also with a positive feature (the transformation of all kinds of labour in the overall exchange of commodities on the market).

The labour realised in the values of commodities is presented not only under its negative aspect, under which abstraction is made from every concrete form and useful property of actual work, but its own positive nature is made to reveal itself expressly. The general value-form is the reduction of all kinds of actual labour to their common character of being human labour generally, of being the expenditure of human labour power [ibid., p. 72, II/6, p. 98].

In other places (cf. below) Marx emphasises that this reduction of concrete kinds of labour to abstract labour is completed in the act of market exchange,

[370] '*social*' is italicised in the second edition.

[371] '*historical*' is italicised in the second edition.

connecting individual commodity producers. In Marx's theory of value, the transformation of concrete into abstract labour is not a mental act of abstracting for the purpose of finding a general unity of measurement; this transformation is a social phenomenon really taking place on the market. The category of abstract labour serves as the theoretical expression of this social phenomenon, [372] namely of the *social equalisation* of various kinds of labour, but not of their *physiological equality*. It is only the neglect of this positive, social nature of abstract labour that has led to its understanding as a labour expenditure in a physiological sense, endowed with a purely negative feature of abstraction from the concrete specific properties of labour.

Abstract^[373] labour emerges only in the *actual act of market exchange*.^[374] The physiological equality of various kinds of human labour has always existed, and itself represents a fact, indifferent toward the social form of production. But the equality of various kinds of labour, created in the commodity economy by the process of exchange, the equilibrium between labour expended in various branches of production, the outflow of labour from one branch to another, so to say, the tendency of all the labour reservoirs of society toward an equal level – these are social phenomena inherent in the commodity economy and expressed in the concept of abstract labour.

The latter arises only in exchange. 'The labour of different persons is equated and treated as universal labour only by bringing one use value into relation with another one in the guise of exchange value' [*Critique*, p. 275, MEGA, II/2, p. 113]. 'Whenever, by an exchange, we equate as values our different products, by that very act, we also equate, as human labour, the different kinds of labour expended upon them' [*Capital*, I, p. 78, MEGA, II/6, p. 105]. Abstract labour does not exist without the act of exchange and without the all-round equalisation of the products of extremely various kinds of labour.

Abstract labour is created by exchange. Therefore, according to the extension of the market and sphere of exchange, to the involvement within it of individual economic units, and to their transformation into a unified national economy (and also, later, into a world economy), are consolidated those characteristic particularities of labour which we call abstract labour. Thus Marx writes:

it is only foreign trade, the development of the market to a world market, which causes money to develop into world money and abstract labour

[372] The last part of this sentence from ' , namely' to 'equality' is added in the second edition.

[373] 'Abstract' is 'Thus, abstract' in the first edition.

[374] '*actual act of market exchange*' is italicised in the second edition.

into social labour. Abstract wealth, value, money, hence abstract labour, develop in the measure that concrete labour becomes a totality of different modes of labour embracing the world market (*Theories of Surplus Value*, III, p. 301. Emphasis in original [*Theories*, 2, p. 388, MEGA, II/3.4, p. 1385]).

As long as exchange is restricted within national frameworks, there is not yet abstract labour in its most developed form. The abstract character of labour attains its culmination when international trade connects and unifies all countries and the product of national labour loses its specific concrete traits, due to the fact that it is launched into a world market and equalised there with the products of labour of the most varied national industries. We can see the distance separating this concept of abstract labour from labour expenditure in the physiological sense, which is indifferent not only toward the qualitative particularities of labour activity but also toward the social forms of its organisation.

In production based upon exchange, the producer is not interested in the use value of the commodities he prepares, but exclusively in their exchange value. They do not interest him as results of concrete labour but as results of abstract labour, i.e., to the extent that they can rid themselves of their innate useful form and be transformed into money, and through it into an endless series of different use values. If, from the point of view of exchange value, one given occupation turns out to be less advantageous for the producer than another, he will, supposing a full mobility of labour in the commodity economy, move from one concrete labour activity to another. Exchange creates an indifference of the producer toward any given concrete labour – of course, as a tendency which can be interrupted and weakened by counteracting reasons.

The fact that the particular kind of labour employed is irrelevant corresponds to a form of society in which individuals easily pass from one type of labour to another, the particular kind of labour being accidental to them and therefore irrelevant. Labour, not only as a category but in reality, has become here a means to create wealth in general, and has ceased as a determination to be tied with individuals in any particularity. This state of affairs is most pronounced in the most modern form of bourgeois society, the United States. It is only there that the abstract category 'labour', 'labour as such', labour *sans phrase*, the point of departure of modern [political] economy, is seen to be true in practice. The simplest abstraction which plays the key role in modern [political] economy, and which expresses an ancient relation existing in all forms of society, appears to be true in practice in this abstract form only as a category of the most mod-

ern society ... The example of labour strikingly demonstrates how even the most abstract categories, despite their being valid – precisely because they are abstractions – for all epochs, are, in the determinateness of their abstraction, just as much a product of historical conditions and retain their full validity only for and within these conditions.⁴⁰

We have cited this long excerpt from Marx because it definitively demonstrates the impossibility of the physiological understanding of ‘abstract labour’ or ‘labour in general’, which seems at first sight to be inherent in all forms of society but is in fact the product of the historical conditions of commodity society and ‘retain[s] their [its] full validity’ only in this society. Abstract labour comes into existence insofar as the social relation among the members of society is created through exchange and through the equalisation of the products of the most varied kinds of labour. The fact of the physiological equality of various kinds of labour is not sufficient for the appearance of abstract labour in Marx’s sense. It is indispensable: 1) that their equality should constitute ‘the specific *social*^[375] character of private labour carried on independently’ [*Capital*, I, p. 79, MEGA, II/6, p. 105. Emphasis added], i.e., that the equalisation of different kinds of labour should constitute the basic social connection among commodity producers, transforming their private labour into social; and 2) that this equalisation would take place in a *material*^[376] form, i.e., in ‘the form of value’ [*ibid.*] of the products of labour. Without these conditions, representing the historical particularity of the commodity economy, there cannot be ‘abstract’ labour, although labour in a general physiological meaning is thinkable as the expenditure of muscles, nerves, and so on, abstracted from its concrete form. ‘In the world of commodities the character possessed by all labour of being *human* labour constitutes its specific social character’ [*Capital*, I, p. 72, MEGA, II/6, p. 98. Emphasis in original], and only this social role of labour, abstracted from any concrete qualities, gives it the character of abstract labour. In exchange value ‘the *general* character of individual labour’ appears ‘as its *social* character’ – Marx repeats this idea persistently and frequently in *Critique*.^[377]

[375] ‘*social*’ is italicised in the second edition.

[376] ‘*material*’ is italicised in the second edition.

[377] The first edition features an independent paragraph here, totally absent in the second edition, which runs as follows: ‘In this way, in the commodity economy the transformation of concrete into abstract labour coincides with the transformation of private into social

40 Marx, ‘Introduction to the Critique of Political Economy’, Russian translation in the above quoted collection *Fundamental problems of political economy* [edited by Rubin et al., 1922], p. 29 [MECW/28, pp. 41–2, MEGA, II/1.1, pp. 39–40].

It remains for us to explain why, in spite of the clearly expressed social character of the concept 'abstract labour', at the beginning of *Capital*, in the section on the twofold character of labour, Marx gives its physiological definition, abstracting from the specific social form of labour organisation in the commodity economy. This enigma may be explained to some extent if we remember that in that section Marx treats 'value' as distinct from exchange value, i.e., as we have explained in Chapter 12,^[378] treats the 'substance' or content of value, labour expenditures, as distinct from the form of value as the social form of organisation of labour. Marx presupposes the latter as given at the beginning of his investigation, but, in the analysis of the content of value, he does not expand on the social form of labour. From the point of view of the content of value, abstracted from the social form, the physiological equality of different labour expenditures come to the forefront in the concept of abstract labour.⁴¹

labour. The first opposition is explained by the second. In a passage in the first chapter of *Capital* on 'the equivalent form', Marx enumerates the three peculiarities of this form: 1) use value becomes the form of manifestation of exchange value [Marx says simply 'value'], 2) concrete labour becomes the form of manifestation of abstract labour, 3) private labour takes the form of directly social labour (pp. 23–7 [*Capital*, I, pp. 62–4, MEGA, II/6, pp. 88–91]). Marx begins his analysis from the phenomena going on on the surface of market and assuming material form, i.e., from the opposition between use value and exchange value. He seeks its explanation in the opposition of concrete and abstract labour, and, pursuing further his analysis of the social form of organisation of labour, runs into the fundamental problem of his economic theory: the opposition between private and social labour, i.e., into the problem of how the totality of autonomous private economic units are transformed into a relatively unitary national economy, with regularly recurring mass phenomena, the object of investigation of political economy.'

[378] 'Chapter 12' is 'the previous chapter' in the first edition.

- 41 In the first edition of *Capital*, Marx sharply emphasised that in the first pages he gives only an analysis of the 'substance' of value (i.e., as we have explained in Chapter 12 ['the previous chapter' in the first edition], the labour expenditures as such), to move subsequently to its social form: 'Now we know the *substance* of value. It is *labour*. We know its *unit of measurement*. It is *labour time*. We have yet to analyse its *form*, which precisely stamps the *value* as an *exchange value*' (*Capital*, I, 1867, p. 6. Emphasis in original [*Capital*, I, first German edition, 1867, p. 6, English version, p. 21, MEGA, II/5, p. 21]). 'Since up to now it has only been the substance of value and the magnitude of value which have been specified, let us now direct our attention to the analysis of the *form of value*' (ibid., p. 13 [ibid., p. 13, English version, p. 16, II/5, p. 27. Emphasis in original]). In the second edition, these passages are deleted from the text, but instead the first chapter is divided into sections with proper titles: in the title of the first section are shown 'the substance and magnitude of value', while the third section is entitled 'The Form of Value or Exchange Value.' The second section, on the twofold character of labour, containing the analysis of abstract labour, serves as a supplement to the first section, to the theory of 'substance' of value, i.e., of the labour, abstracted from its social form.

As shown above, even in Marxists we find for the most part the determination of abstract labour as labour expenditure in physiological meaning. Then we must not be surprised in finding similar understanding in critics of Marx. After having pointed out that, according to Marx, 'the value, something common to all commodities, is the condition of their exchangeability, represents a *reification of abstract-human labour*',⁴² Gerlach directs his critical observations precisely against this point of Marx's theory of value:

It is completely impossible to reduce human labour physiologically to simple labour ... since, because human labour is always accompanied with consciousness and subject to it, we must refuse its reduction to the movement of muscles and nerves due to some remnants always subsisting then, not subject to similar analysis ... Earlier attempts to show empirically abstract-human labour, what is general in human labour which serves as its specific distinction, did not succeed; the reduction of labour to neural and muscular energy is impossible (ibid., pp. 49–50).

Gerlach's point that labour cannot be reduced to the sole expenditure of physiological energy, since within it there exists always a psychic element, has of course nothing to do with the concept of 'abstract labour' constructed by Marx on the basis of his analysis of the particularities of the commodity economy. Nevertheless, these arguments seem so convincing that they are habitually repeated by critics of Marx's theory of value.⁴³ We find an even more striking form of the naturalistic understanding of abstract labour in L. Buch: labour, as abstract labour, is considered 'as the process of transformation of potential energy into mechanical labour'.⁴⁴ Here the attention is directed not so much to the quantity of expended physiological energy as to the quantity of mechanical labour obtained. But the basic position in raising the problem is the same, purely naturalistic one, completely neglecting the social aspect of the labour process, i.e., precisely that aspect which is the direct object of political economy.^[379]

[379] The first edition here features a footnote of Rubin, deleted in the second edition, which runs as follows: 'It is interesting to point out that Buch's book was sympathetically received not only by Ed. Bernstein but also by Wilhelm Liebknecht, who also held on to the physiological understanding of abstract labour.' 'The common element in them (various

42 Gerlach, *On the Conditions of Economic Activity*, 1890, p. 18.

43 For example, Diehl, *Social-Scientific Explanations on Ricardo*, p. 104.

44 Buch, *Intensity of Labour, Value, and the Price of Commodities*, 1896, p. 149.

It is self-evident that the authors who see in abstract labour labour, reduced to its physiological basis confound abstract labour with simple labour, but these are concepts which are not at all confluent in Marx. We can find such a confusion in Diehl,⁴⁵ Ed. Bernstein,⁴⁶ the same Gerlach, and also, as shown above, in Bogdanov.

We can find only in a few researchers^[380] the understanding of the fact that the characteristic of labour as abstract labour does not in any way coincide with a physiological equality of various labour expenditures. 'The generality of labour is not a generic concept of natural science, including only a general physiological concept, but private labour is abstract-general and thus also social, as the outflow of the activity of a legal entity.'⁴⁷ But the general conception of Petry, for which Marx's theory of value is not Wertgesetz (law of value) but Wertbetrachtung (observation of value), not an explanation of 'real ongoing in the object' but 'subjective condition of knowing' (ibid., p. 50), deprives him of every possibility of correctly posing the problem of abstract labour.⁴⁸

Another attempt to introduce a social element into the concept of abstract labour is found in A. Nezhdanov (Cherevanin). In his opinion, the concept of abstract labour does not express a physiological equality of labour expenditures, but rather a social process of equalisation of different kinds of labour in production. This is 'an extremely important and necessary social process, carried on by every conscious social-economic organisation'. 'The social process, which is characterised by the reduction of different kinds of labour to abstract labour, is carried on unconsciously by the commodity society'.⁴⁹ Regarding

kinds of concrete labour – i.e.) is that they are human labour in general, abstract-human labour, labour in the physiological sense.' 'It is indispensable to maintain the concept of labour in the physiological sense, from which Marx starts in his theory' (W. Liebknecht, *On the History of the Theory of Value in England* [original in German, *Zur Geschichte der Werttheorie in England*, G. Fischer], 1902, pp. 94, 101).

[380] 'only in a few researchers' is 'in Petry' in the first edition.

45 ibid., pp. 102–4.

46 Bernstein, *Social Problems*, Russian translation by Kogan, 1901, pp. 67–8.

47 Petry, *The Social Content of Marx's Theory of Value*, 1916, pp. 23–4 [cf. translator's note [232]].

48 The reader can find an excellent examination and criticism of Petry's short book in the article on it by Hilferding, published in *Grünberg's Archiv für Geschichte des Sozialismus und der Arbeiterbewegung* [*Grünberg's Archive for the History of Socialism and the Labour Movement*], 1919, pp. 439–48. Cf. also our evaluation on Petry's book in *Аpxив Маркса и Энгельса* [*Marx and Engels Archive*], 1924, no. 1, pp. 485–90. [The last sentence is added in the second edition].

49 'Marx's Theory of Value [tsennost] and Profit before the Judgement of the Fetishist', *Научное Обозрение* [*Scientific Review*], 1898, no. 8, p. 1393.

abstract labour as an expression of the process of equalisation of labour taking place in every society, Nezhdanov overlooks the particular form, the equalisation of labour assumes in the commodity society, where it takes place not directly but through the equalisation of things, not in the process of production but through exchange (cf. above, the chapter [11] on 'The Equality of Commodities and Equality of Labour'). The concept of abstract labour expresses this specific *historical*^[381] form of equalisation of labour. It is not only a social but also a historical concept.

We confirmed that in Marx's theory of value the concept of abstract labour does not express a physiological equality of different concrete kinds of labour, but instead their equalisation in exchange as the fundamental social connection among the independent commodity producers. This is not a physiological but a social concept. It does not characterise the particularities of human labour as such, but the social form of organisation of the labour activity of people in the commodity economy. Only in firmly confirming this concept of abstract labour can we understand correctly the fundamental proposition of Marx's theory of value: the claim that labour 'creates' value. At first sight this proposition occasions an entire series of questions and suspicions. Labour, labour activity, is something physical, belonging to the world of phenomena of nature. If this labour creates value, then obviously the latter represents some property of a thing itself, as such, as an object of nature. Marx's statement that value is created not by concrete but by abstract labour will not be at all helpful for us if we understand the latter in a physiological sense, as do the majority of researchers. Indeed, abstract labour understood in such terms belongs entirely to the world of nature, distinguishing itself from concrete labour by a minimum number of features. For such an understanding, abstract labour is in relation to concrete labour as is a generic to a specific concept. For the generally accepted understanding of abstract labour as labour expenditure in a physiological meaning of the word, a naturalistic treatment of Marx's theory of value is inevitable.

P. Struve accuses the theory of labour value of 'naturalism'.

From the Physiocrats and their English successors Marx adopted the mechanical-naturalistic point of view, which appears so clearly in his theory of labour as the substance of value. This theory is the culmination of all the *objective* theories of value: it immediately materialises value, in transforming it into economic substance of economic goods, similar

[381] '*historical*' is italicised in the second edition.

to the physical matter, the substance of physical things. This economic substance is something material, because Marx understands the value-creating labour in a purely physical sense as an abstract expenditure of nerval and muscular energy, independently of the concrete purposeful content of this expenditure, distinguished by infinite diversity. Marx's abstract labour is physiological concept, liable to be reduced, at least ideally, to mechanical labour (Struve, Foreword to the Russian translation of Volume I of *Capital*, 1906, p. 28).

In the opinion of Struve, abstract labour is for Marx a physiological concept; therefore, the value, created by abstract labour, is something material.

As already shown, such a conclusion is in conspicuous contradiction to a number of statements by Marx that value does not contain within it anything 'material'. 'It is a tautology to say that material in its natural state does not have exchange value since it contains no labour, and that exchange value as such includes no material in a natural state' [*Critique*, p. 277, MEGA, II/2, p. 114]. 'The value of commodities is the very opposite of the coarse materiality of their substance, not an atom of matter enters into its composition' [*Capital*, I, p. 54, MEGA, II/6, p. 80]. 'The value of commodities has a purely social reality' [*ibid.*]. 'It is only a representation in objects, an objective expression, of a relation among people, a social relation, the relationship of men to their reciprocal productive activity' (*Theories of Surplus Value*, vol. III, p. 218 [*Theories*, 2, p. 344, MEGA, II/3.4, p. 1332]). These insistent indications of Marx's, repeated by every Marxist, do not leave any doubt about the fact that 'value' of a thing has nothing in common with the properties of that thing as such. Marx did not so much strive to keep a distance from a labour theory of wealth so that that we, following Struve, would attribute to him precisely this naïve naturalistic theory. The 'value' of a thing does not characterise that thing, but rather the relations of production of the society in which it is produced. Value is the social function or form^[382] of a thing, i.e., the particularity of the *relations of production among people*,^[383] having assumed a *material*^[384] form, that are expressed in the form of 'value' of a thing.⁵⁰

[382] 'social function or form' is 'social' property' in the first edition.

[383] '*relations of production among people*' is italicised in the second edition.

[384] '*material*' is italicised in the second edition.

50 But, of course, it would be a crude error to draw from Marx's indication on the 'immateriality of the phenomenon of value itself' such a conclusion: 'If 'value' does not exist in the form of a fact of the external world, it must obviously be considered as a product

But, if this is the case, we should ask ourselves what is the meaning of Marx's following proposition of the theory of value: value is created by labour. If value is a social property, can it be created by labour, even if abstract? As long as we see in abstract labour a physiological concept, it of course cannot be a creator of value as a social property. But this would not be justifiable if abstract labour is in fact a social concept expressing a social form of organisation of labour in the commodity economy, namely the organisation of labour in the form of a totality of independent autonomous commodity producers, who are connected by the division of labour and realise this connection in exchange. *This abstract labour, in other words, the commodity form of economy, creates the value of the products of labour, i.e., the property of them which appears to be the outcome of a given social (commodity) form of production but which is attributed to things. A thing takes on the form of value because the society is organised in the form of a totality of autonomous economic units of private commodity producers. Not labour in its material-technical or physiological quality, but only abstract labour presupposing determinate relations of production of people, creates value.*⁵¹ Thus, and only thus, should be understood the proposition that abstract labour creates value, a proposition which, in its cursory formulation and for the dominant incorrect view on abstract labour, can no doubt induce a mechanical-naturalistic understanding of Marx's theory.

of our consciousness, as a phenomenon of psychological character' (V. Bogrov, *A Critical-Historical Essay on the Theory of Value* [tsennost], 1911, pp. 83–4).

- 51 Hence Stolzmann is wrong when he writes: 'If the significance and character of all other economic phenomena follow from their 'social functions,' why is this not true of labour as well, why does not labour equally find its character in its social function, i.e., in the function belonging to it within the present economic structure to be explained?' (Stolzmann, *The Aim in the National Economy*, 1909, p. 503). In fact, the labour forming value is considered by Marx not as a technical factor of production, but from the point of view of the social form of its organisation. But, according to Marx, this social form of labour is not suspended in a vacuum space: it is closely connected with the material process of production. Only those who are totally ignorant of the social form ['sociological character' in the first edition] of labour in Marx's system can claim that 'labour is for Marx a simply technical factor of production' (S. Prokopovich, *Toward a Critique of Marx*, 1901, p. 16), or detect Marx's fundamental error in that, when explaining the value by labour, he ignores 'different evaluation of different kinds of labour' as factor of production (G. Cassel, 'Outline of an Elementary Price Theory', *Zeitschrift für die gesamte Staatswissenschaft*, 1899, vol. 3, p. 447). Marshall also detects Marx's error in his ignorance of the 'quality of labour' (Marshall, *Principles of Economics*, 1910 [6th edition], p. 503). [The following two sentences are additions in the second edition.] The question is whether we are interested in the social or technical qualities of labour. Marx is interested in the social form or social quality of labour in the commodity economy, expressed in the act of abstraction on the market from the technical qualities of various kinds of labour.

In this way, it is not labour as such, but only labour organised in a given social form, which creates value. A definite relation of production among people as commodity producers finds its material expression in the value of the products of labour. The relation between labour and value must not be conceived as a relation between a physical cause and a physical consequence. Labour is abstract labour, a relation of production among private commodity producers connected through exchange. Value is a material expression of this relation of production.^[385] *Labour* and *value* are mutually connected by the same connection as the *social relation of production* and its *material form* are connected.⁵² As already shown, Marx's statement that value is 'social', 'materialised', 'congealed' labour is precisely of such a meaning. Value is a material expression of specific social properties of labour, namely of its organisation on the basis of the independent management of economic units by private commodity producers and of their relationship in exchange. This means also that value is 'congealed' labour, 'a mere congelation of homogeneous human labour' [*Capital*, I, p. 46, MEGA, II/6, p. 72], 'crystals of this social substance' – of labour [*ibid.*]. These expressions, for which Marx underwent so many attacks and accusations of a 'naturalistic' construction of the theory of value, can be properly understood only by comparing them with his theory of commodity fetishism and 'reification' of social relations. Despite the opinion of Struve, value is not something 'material', but it is 'a material form of the relations of production' (*Capital*, vol. I, in Struve's translation, p. 44), 'a material form assumed by the social conditions of labour' (p. 43). The social conditions of labour assume the material form of value; this is the 'materialisation', the 'crystallisation' of labour in value.

How the materialistic understanding of this 'materialisation' of labour in value is foreign to Marx can be seen from the following sentence of his: 'in this sense every commodity is a symbol, since, in so far as it is value, it is only the

[385] This sentence is entirely non-italic in the first edition.

52 In the first edition of *Capital*, Marx summarises the difference between concrete and abstract labour as follows: 'From what has been said it follows that a commodity does not possess two different forms of labour but *one and the same labour* is defined in different and even opposed ways depending on whether it is related to the *use value* of commodities as to its *product*, or to *commodity value* as to its *material expression*' (*Capital*, I, 1867, p. 13. Emphasis in original [*Capital*, I, first German edition of 1867, p. 13, English version, p. 16, MEGA, II/5, pp. 26–7]). Value is not the product of labour, but a material, fetishised expression of the labour activity of people. Unfortunately, in the second edition Marx replaced this summary emphasising the social character of abstract labour with the well-known concluding sentence of section two of the first chapter, which induces to understand abstract labour in a physiological meaning: 'all labour is, speaking physiologically, an expenditure of human labour power' [*Capital*, I, p. 53, MEGA, II/6, p. 79].

material envelope of the human labour spent upon it' [ibid., I, p. 94, MEGA, II/6, p. 119]. Thus, the 'materialisation' of labour in value can induce one to regard this value only as a 'symbol' of a social relation. It is clear that this 'materialisation' is understood in a sociological sense (as a fetishisation of social relations), but not in a naturalistic sense (as an accumulation of a certain quantity of human labour energy in a commodity).

From the above we cannot of course find in Marx's system the fundamental contradiction Struve detects in it.

As we have pointed out, in Marx's economic system two basic motives are stitched and weaved together: 1) a mechanical-naturalistic motive, under the influence of which Marx created his 'objective' theory of labour expenditure, as substance and measure of value [tsennost]; and 2) a sociological motive, seeing behind the material envelope of economic phenomena (as their basic content) historically transient relations among people in the process of production. Struve, Foreword to *Capital*, p. xxx.

Struve sees a contradiction between Marx's 'naturalistic' theory of value and his 'sociological' theory of commodity fetishism. In actual fact, however, the first theory is based on the second. Labour creates value; this is one of the individual cases of the general proposition, which runs: the relations of production among people comprise the 'basic content' (according to Struve's expression) or the 'essence' (according to Marx's) of economic phenomena, appearing at first glance in a material form.

In this way, by labour as the creator of value we must understand a determinate social (commodity) form of labour. Only from this point of view can we see clearly why Marx draws a sharp distinction between labour as the creator of value and labour power. It would have been completely useless to construct these two concepts as two distinct objects if they had been distinguished only by their natural properties. Such is how Buch proceeds:

Labour is a process of transformation of the potential energy of our body into mechanical work. A *commodity* is a use value in which is materialised our labour and, consequently, it is nothing other than the product of human energy, *transformed* into mechanical work. Labour power is a storage of the potential energy of our organism, not yet transformed into mechanical work (Buch, ibid. [?], p. 76).

Such a mechanical construction is completely foreign to Marx. 'Labour' and 'labour power', these are not various objects of the external world, but different

social characteristics of labour, different 'Formbestimmtheiten' (determinateness of social form). Abstract labour forming value is an expression of commodity society as a totality of autonomous private economic units, connected by the relations of production of exchange. Wage labour or labour power is an expression of labour, separated from the means of production, contraposed to them, and unified with them in the form of the employment contract between capitalist and labourer.⁵³ [386] *Abstract labour* expresses the basic relation of production in the *commodity* economy, wage labour the basic relation of production in the *capitalist* economy. Value exists not only in the capitalist economy, but also in the simple commodity economy. It is a material expression of the relation of production among commodity producers. That is, as the 'creator' of value appears abstract labour but not wage labour (labour power), which characterises the capitalist economy only.^[387] Of course, in the capitalist economy value is created by the labour of labourers, but not because it is *wage* labour, i.e., labour contraposed to capital, rather because it is applied within the economic unit of a private commodity producer, contraposed to other private economic units. The character of labour as wage labour does not explain the value of the product of labour but the value of the labourer himself, i.e., the value of labour power. 'When we establish labour as value-creating, we do not consider it in its concrete form as a condition of production, but in its *social determination* which differs from that of wage labour' (*Capital*. III, pp. 352–3 [*Capital*, III², p. 823, MEGA, II/15, p. 798. Emphasis added]). The 'social determination' of labour forming value is the social organisation of labour in the form of the commodity economy.

From here we can understand why labour power has value but 'labour' does not. Labour power expresses the relation of production between labourer and capitalist, connecting them through the exchange of 'things' (the exchange of money for labour power). Labour power appears as a commodity, a 'thing', the disposability of which transfers from one owner, the labourer, to another, the capitalist, and with this transfer a relation of production is created between them. Labour power is a 'material' or 'reified' (not in the physical but in a soci-

[386] This sentence is entirely non-italic in the first edition.

[387] The following two sentences prior to the quotation from *Capital* vol. III² are inserted in the second edition.

53 'Instead of *labour*, Ricardo should have discussed *labour power*. But had he done so, *capital* would also have been revealed as the material conditions of labour, confronting the labourer as power that had acquired an independent existence' (*Theories of Surplus Value*, Book 2, part 1, 1921 edition, p. 1921, [*Theories*, 2, pp. 36–7, MEGA, II/3.3, p. 1025. Emphasis in original]).

ological, i.e., fetishised sense) expression of the relation of production between capitalist and labourer, two autonomous commodity producers; hence, it possesses a 'value', since the latter is also nothing other than a material, 'objective' expression of the relation among commodity producers. What we call 'labour' or more exactly abstract labour is the relation of production itself among commodity producers. This labour connection among them is a social fact, which finds its expression in a material form, 'reified' in the value of a commodity, but which itself appears in a social and not 'reified' form, that is, it does not have value as social 'objective', 'reified' property. 'Labour' and 'value': these are social-productional and material expression of one and the same phenomenon, the labour activity of the society of commodity producers. Labour as a social-productional connection finds its expression in the material form of value, but itself is not the 'thing', 'value'.^[388] From here we can understand that 'labour' (more exactly, the social organisation of labour in commodity form) *creates* value, but itself *does not have* value. Wage labour, or labour power (more exactly, labour in its opposition to capital as a class) appears in the form of a commodity, *has* value, but *does not create* it.⁵⁴

[388] The following two sentences are entirely non-italic in the first edition.

54 For the illustration of the confusion dominating in the problem of distinction between labour and labour power, we give the examples of L. Boudin (Marxist) and F. Oppenheimer (a critic of Marxism). For Boudin, 'abstract human labour' is a commodity, 'sold and purchased on the market independently and irrespectively of whatever individual or personal relations' (L. Boudin, *The Theoretical System of Karl Marx*, Russian edition, 1908 [original English edition in 1907], p. 70). This abstract labour turns out to have also value (p. 80). It is no use adding that abstract labour is confounded here with labour power.

F. Oppenheimer writes: 'Marx's theory of value may be presented in the form of the following equation: value of product is equal to the labour time materialised in it. But this formula can be also inversely read. With a simple replacement we obtain the following formula: *value of labour time* is equal to its product ... We obtain a formula of the whole product of labour' (Oppenheimer, *Value and Capital Profit*, 1922 [2nd edition], pp. 178–79. Emphasis added). From here Oppenheimer derives an imagined contradiction between Marx's theory of value and his theory of labour wage. Oppenheimer's error, as can be seen from the words stressed by us, is in the lack of understanding of the fact that the labour time or labour, materialised in a commodity, cannot have value. The labour time, materialised in a commodity, is confounded with labour power as a commodity.

We point out incidentally the elementary error Oppenheimer commits in his 'replacement of the equation.' A replacement of equality means a full displacement of the left side of the equation to the right, and vice versa. A correct replacement would give the following formula ['also entirely correct from the point of view of Marx's theory' – a phrase added at the end of the sentence in the first edition but deleted in the second edition]: the labour time materialised in the product is equal to the value of product. Quantitat-

The objection may be raised to the understanding of abstract labour described above, as connected with a definite social (namely commodity) form of labour, clarifies to us only the social, qualitative aspect of value, but not its quantitative changes. This objection is right. The concept of abstract labour is related to the qualitative aspect of value.^[389] The magnitude of value finds its expression, then, in the concept of socially-necessary labour.^[390] However, before moving on to the analysis of the latter, we must still consider the concept of qualified labour, which Marx, like the concepts of social and abstract labour, relates to the qualitative aspect of labour (*Theories*, Book III, p. 160 [*Theories of Surplus Value*, II, p. 350, MEGA, II/3.4, p. 1347.])

[389] In the first edition, this sentence runs as follows: 'We think that the concept of abstract labour must be developed precisely in relation with the qualitative aspect of value.'

[390] The last sentence of paragraph is added in the second edition.

ively, this formula does not at all contradict Marx's theory. [This sentence is added in the second edition]. But Oppenheimer obtains his formula of the whole product of labour by means of an obviously inadequate replacement: the word 'value' is left by him in the left side of the equation, but 'product' is replaced to the right. This is just as if a mathematician displaced the expression $\lg 100 = 2$ in the following way: $\lg 2 = 100$.

In such a confused situation, governing the discussion on the problem of distinction between labour and labour power, it is not at all surprising if some authors see in this distinction, to which Marx attached such a great significance [this phrase is 'insistently drawn by Marx', in the first edition], not more than a 'terminological novelty' (Bortkiewicz, 'Value Calculation and Price Calculation in the Marxian System', *Archiv für Sozialwissenschaft u. Sozialpolitik*, 1907, vol. 25, pp. 482–83).

After the first edition of the present book saw the light of day, I made acquaintance with the content of Budge's book, which also points out the formal incorrectness of the replacement made by Oppenheimer. Cf. Budge, *Capital Profit* [original in German, Budge, S., *Der Kapitalprofit ...*, G. Fischer, 1920], 1920, pp. 86–7. [This short paragraph is added in the second edition].

Qualified Labour

The products of different concrete kinds of labour are equalised in the process of exchange, and thus also the latter are equalised.^[392] If other conditions remain the same, the difference of concrete kinds of labour play no role in the commodity economy,^[393] and the product of one hour of a shoemaker's labour is exchanged for the product of one hour of a woollen craftsman's labour. But different kinds of labour are in unequal conditions; they are distinguished from each other in their intensity, danger for health,^[394] length of training, and so on. The process^[395] of exchange, erasing the difference between kinds of labour, at the same time erases and makes up for the difference between conditions in various kinds of labour. This difference of conditions leads for example to the exchange of the product of one day of a shoemaker's labour for the product of two days of a construction worker's labour, or for the product of half a day of a jeweller's labour. On the market, the products manufactured in unequal amounts of time are equalised as values. At first sight this state of things contradicts the basic proposition of Marx's theory, according to which the value of products of labour is proportional to the labour time expended on their production. Let us consider how this contradiction will be solved.

Of the various conditions of labour mentioned above, the most important are the intensity of a given kind of labour and the length of training and preparation required for a given kind of labour or a given profession. The question of the intensity of labour does not represent special theoretical difficulties, and we will consider it incidentally. Our main attention in this chapter will instead be devoted to the question of qualified labour.

First, let us give the definition of *qualified* and *simple* labour. Simple labour is 'the expenditure of simple labour power, i.e., of the labour power which, on an average, apart from any *special development*, exists in the organism of every

[391] This chapter is inserted in the second edition.

[392] In the second edition, this sentence runs as follows: 'The act of exchange, equalising the products of different concrete kinds of labour, equalises at the same time the latter'.

[393] 'in the commodity economy' is inserted in the third edition.

[394] 'danger for health,' is 'danger for health, risk, disagreeable character,' in the second edition.

[395] 'process' is 'act' in the second edition.

ordinary individual' [*Capital*, I, p. 51, MEGA, II/6, p. 77. Emphasis added]. Distinguished from simple labour, qualified labour is labour which requires special preparation, i.e., 'a longer professional preparation or higher general education, than required for the average labourers'.¹ We must not think that simple, average labour is a magnitude equal among different nations and unchanging in the course of historical development. Simple, average labour has a different character in different countries and in different cultural epochs, but for each determinate society at a given moment of its development it represents a given magnitude [ibid.]. The labour which every average labourer can perform in England may require in Russia some prior preparation from the labourer. The labour which an average Russian labourer can perform today may have been regarded in Russia one hundred years ago as a labour higher than the average in terms of complexity.

The difference of qualified labour from simple labour becomes manifest: 1) in the increased *value of the products* produced with the qualified labour; and 2) in the increased *value of qualified labour power*, i.e., in the increased wage of the qualified wage labourer. On the one hand, the product of a day of a jeweller's labour has a value twice higher than the product of a day of a shoemaker's labour. On the other hand, the jeweller as labourer gets from the jeweller as employer a higher wage than the shoemaker as labourer gets from his employer. The former phenomenon is inherent to the commodity economy as such, and characterises the relation among people as commodity producers; the latter phenomenon is inherent only to the capitalist economy, and characterises the relation among people as capitalists and labourers. Since in the theory of value studying the particularities of the commodity economy as such, we have to do only with the value of commodities, but not with the value of labour power, in the present chapter too we will consider only the value of products, manufactured with qualified labour, leaving aside the question of the value of qualified labour power.

The concept of qualified labour must be precisely distinguished from the other two concepts which are frequently confounded with it: the *skill* (or *dexterity*),^[396] and the *intensity* of labour. Speaking of qualified labour, we have in mind the level of *average* qualification (training) required for employment in a given *kind* of labour, a given profession or specialty. This qualification must be distinguished from the *individual* qualification of individual producers in

[396] '*skill* (or *dexterity*)' is '*quality*' in the second edition.

1 O. Bauer, 'Qualified Labour and Capitalism', in *Fundamental Problems of Political Economy*, 1922, p. 127 [edited and published in Russian by Rubin et al.].

the framework of *one and the same* profession or specialty. The labour of a jeweller requires on average a higher qualification, but different jewellers display in their work a different level of technique, training, and ability, they are distinguished from each other in terms of the dexterity or skill of their labour [ibid., I, pp. 191–2, II/6, pp. 209–10]. If shoemakers fabricate on average one pair of shoes per day, and a given shoemaker, more skilful and better trained, produces two pairs, then naturally, the product of one day of the latter's labour (two pairs of shoes) will have a value twice higher than the product of one day of the shoemaker of average skill's labour (one pair of shoes). This is entirely understandable since value is determined, as will be explained in more detail in the next chapter, not by the individual labour but by the labour socially necessary for the production of a given commodity. The difference in the skill and dexterity^[397] of labour between two given shoemakers can be precisely measured by the different quantities of products they manufacture during the same time (given the same tools of labour and other equal conditions). In this way, the concept of the skill and dexterity^[398] of labour enters into the theory of socially-necessary labour and does not present special theoretical difficulties. The question about qualified labour presents far more serious difficulties. It is about the different value of products, manufactured during the same time by two producers in *different* professions, the products of which are not comparable with each other. Hence, the researchers who reduce qualified labour to a more skilful labour simply bypass the difficulties of the problem. Thus, L. Boudin maintains that the higher value of the products of qualified labour can be explained by the fact that the qualified labourer produces a larger quantity of products.² F. Oppenheimer says that Marx, in concentrating his attention on the 'acquired' qualification following from 'a more lengthy and expensive education and training', lost sight of the 'innate' qualification. But, to our surprise, it turns out that Oppenheimer includes in the latter also the individual skill of each producer, which relates to the problem of socially-necessary but not qualified labour. Oppenheimer thrust the qualified labour into this category.³

Other researchers attempt to reduce qualified labour to more *intensive* labour. The intensity or intensiveness of labour is determined by the quantity of labour expended in a unit of time. We can observe the different average

[397] 'dexterity' is 'quality' in the second edition.

[398] 'dexterity' is 'quality' in the second edition.

2 L. Boudin, *The Theoretical System of Marx*, Russian version, 1908.

3 F. Oppenheimer, *Value and Capital Profit*, second edition, 1922, pp. 63–5, 66. A detailed criticism of Oppenheimer's views is given in our book *Contemporary Economists in the West* (1927) [this last sentence is added in the third edition].

intensity of labour in two different professions, as well as the individual differences in intensity of labour of two producers in one and the same profession [ibid., I, pp. 385, 491, 526, II/6, pp. 39, 489, 520]. The products, [399] manufactured by labour of the same duration but of different intensity, are of different value^[400] since the quantity of abstract labour depends not only on the duration of expended labour time but also on the intensity of labour (cf. the end of the previous chapter).

As already mentioned above, some researchers, trying to solve the problem of qualified labour, discern in it labour of higher intensity or intensiveness. 'Complex labour can produce greater value than simple labour, only on the condition that it is more intensive than the latter',⁴ says Liebknecht. This greater intensity of qualified labour is expressed foremostly in a greater expenditure of mental energy, in an increased 'attention, intellectual effort, cerebral expenditure'. Let us assume that the shoemaker spends $\frac{1}{4}$ of a unit of mental energy per unit of muscular labour, and the jeweller expends $1\frac{1}{2}$ units. In this case, one hour's labour by the shoemaker represents the expenditure of $1\frac{1}{4}$ units of energy (muscular and mental together), and one hour's labour by the jeweller represents $2\frac{1}{2}$ units of energy, i.e., the labour of the latter creates a twice higher value. Liebknecht himself is aware that such an assumption has only a 'hypothetical character'.⁵ We think that it is in fact not only proofless, but also actually disproved by the facts. There exist kinds of qualified labour which create commodities of higher value owing to the length of training necessary for them but do not surpass the less qualified kinds of labour in their intensity. We have to explain why the qualified labour, *independently of* the level of its intensity, creates a product of higher value.⁶

[399] 'The products,' is 'In both cases the products,' in the second edition.

[400] In the second edition the sentence ends here, and instead of the following subordinate clause comes an independent sentence concluding the paragraph, which is: 'From the point of view of the theory of labour value, this is quite understandable since one hour's labour of higher intensity means an expenditure of a greater quantity of labour than one hour's labour of lower intensity.'

4 Liebknecht, *On the History of the Theory of Value in England*, 1902, p. 102 (Russian translation, p. 153). The author of this book is the son of Wilhelm Liebknecht, and brother of Karl Liebknecht. We have given a detailed criticism of the views of Liebknecht in the introductory essay to the Russian translation: Liebknecht, *The History of the Theory of Value in England and the Theory of Marx*, Moscow, 1924.

5 Liebknecht, p. 103 (Russian translation, p. 154).

6 In the translation of *Critique* made by P. Rumyantsev, complex labour is called 'labour of higher *tension*' (1922 edition, p. 38). The reader should not be surprised by this term, not belonging to Marx. In fact he says: 'simple labour put together [einfache Arbeit auf höherer Potenz]' (p. 6 [*Critique*, p. 273, MEGA, II/2, p. 111]).

We are faced with the following problem: why does the expenditure of equal labour time in two professions with different average levels of qualification (length of training) create commodities of different value? In Marxist literature it is possible to note two different approaches to the solution of this problem. One approach can be found in Bogdanov, who points out that qualified labour power:

can normally function only on condition that more significant and more varied needs of the labourer himself are satisfied, i.e., on the condition of his consumption of a larger quantity of various products. Consequently, complex labour power has *greater labour value*, costs the society a greater amount of its labour. *In exchange*, the complex labour power gives society a more complex, i.e., 'multiplied', 'living labour'.⁷

If the qualified labourer absorbs the consumption goods and, consequently, the social energy five times larger than simple labourer, one hour of the former's labour will produce a value five times higher than one hour of the latter's.

We consider Bogdanov's argument unacceptable above all from the methodological viewpoint. Bogdanov derives the increased value of the products of qualified labour from the increased value of the qualified labour power. He explains the value of a *commodity* with the value of *labour power*, while Marx's investigation follows an opposite path. In the theory of value, when explaining the value of commodities produced by qualified labour, Marx studies the relation among people as commodity producers, or the simple commodity economy; at this stage of investigation, the value of labour power in general and of qualified labour power in particular does not yet exist for him [*Capital*, I, p. 53, MEGA, II/6, p. 80, in footnote].⁸ According to Marx, the value of a commodity is determined by abstract labour, which represents in itself a social magnitude which does not have value. But in Bogdanov we find that the labour or labour power determining value also has value in turn, that the value of a commodity is determined by the labour time embodied in it, and that the value of this labour time is determined by the value of the consumption goods necessary for the subsistence of the labourer.⁹ Here appears a vicious circle,

7 A. Bogdanov and I. Stepanov, *Course of Political Economy*, vol. II, no. 4, p. 19. Emphasis in original.

8 Only in one place Marx draws back from his habitual method and, apparently, shows an inclination to make the value of the product of qualified labour dependent on the value of qualified labour power. Cf. *Theories of Surplus Value*, III, pp. 197–8 [*Theories*, 2, p. 350, MEGA, II/3.4, p. 1347].

9 Cf. Engels, *Anti-Dühring* [MECW/25, pp. 189–90, MEGA. I/27, pp. 391–2].

from which Bogdanov tries to escape with argumentations which are in our opinion unconvincing.¹⁰

Apart from these methodological defects, we must point out that Bogdanov indicates us only the minimal absolute limit below which the value of the product of qualified labour cannot fall. This value must, under all circumstances, be sufficient for maintaining the qualified labour power in its previous form, so that it will not be forced to become disqualified (fall to a lower level of qualification). But, as we have already noted, except for this minimal *absolute* limit, the *relative* advantage of different kinds of labour plays a deciding role in the commodity economy.¹¹ Let us assume that the value of the products of a given kind of qualified labour is completely sufficient for maintaining the qualified labour power of the producers, but insufficient for making the labour in the given profession, requiring very extensive training, relatively as advantageous as labour in other professions, which require less extensive training. In such conditions an outflow of labour will start from the given profession, which will continue till the value of the products of the given profession is raised to such a level as to establish a relative equality in the conditions of production and a state of equilibrium among different kinds of labour. In studying the problem of qualified labour, we must take as the starting point of investigation not the equilibrium between the consumption and the productivity of the given kind of labour, but the *equilibrium among different kinds of labour*. In so doing, we approach the basic starting point of Marx's theory of value, the distribution of social labour among different branches of a national economy.

In the foregoing chapters we developed the idea that the exchange of products of two different kinds of labour in accordance with their value corresponds to the state of equilibrium between the two given branches of production. This general proposition is fully applicable to those cases where are exchanged the products of two kinds of labour distinguished with a different qualification. The value of the product of qualified labour must exceed the value of the product of simple (or generally less qualified) labour to such a degree as to compensate for the difference in the conditions of production and to establish equilibrium among these kinds of labour. The product of one hour of the jeweller's labour is equalised on the market precisely with the product of two hours of the shoemaker's labour, because precisely in the given proportion of exchange is equilibrium established in the distribution of labour between these two branches of production, and the flow of labour from one branch

10 Bogdanov, *Ibid.*, p. 20.

11 Cf. our analogous opposition to Bogdanov above, in the chapter [11] on 'The Equality of Commodities and Equality of Labour.'

to the other ceases. The problem of qualified labour is reduced to the investigation of the *conditions of equilibrium among heterogeneous kinds of labour, distinguished with different levels of qualification*. With this our problem is not yet solved, but is already accurately raised. We have not yet obtained answer to our question, but we have already sketched the method, the path, which is to lead us to our destination.

A series of Marxist researchers have proceeded along this path.¹² These have directed their attention mainly to the fact that the product of qualified labour is a result not only of the labour which is directly spent on its preparation, but also of the labour which is necessary for the *training* of the labourer for the given profession. The latter labour also enters into the value of product, and makes it correspondingly more expensive. 'In what it has to give for the product of skilled labour, society consequently pays an equivalent for the value which the skilled labour would have created had it been directly consumed by society',¹³ and not spent on the training of qualified labour power. These labour processes are comprised of the labour of master craftsmen and teachers, expended on the training of a labourer for a given profession, and of the labour of the trainee himself during the training period. Examining the question whether the labour of the trainee himself enters into the value of the products of qualified labour, O. Bauer is perfectly correct in taking as his starting point the conditions of equilibrium among different branches of production. He reaches the following conclusion:

Together with the value created by the labour expended directly in the process of production, and with the value transferred from teachers to the qualified labour power, the value created by the trainee himself in the process of training also constitutes one of the determining elements of the value of the product, manufactured by the qualified labourer at the stage of simple commodity production.¹⁴

Thus, the labour expended on the training of a producer for a given profession enters into the value of the product of qualified labour. But in the professions distinguished with higher qualification and greater complexity of labour, the

12 Hilferding, *Böhm-Bawerk as Critic of Marx*, Moscow, 1923 [English edition, 1949]; H. Deutsch, *Qualified Labour and Capitalism* [original in German, *Qualifizierte Arbeit und Kapitalismus*, C.W. Stein, 1904], 1924; O. Bauer, 'Qualified Labour and Capitalism'. Collection *Fundamental Problems of Political Economy*, Moscow, 1922; V.N. Poznyakov, *Qualified Labour and Marx's Theory of Value*, second edition. [The last text is added in the third edition].

13 Hilferding, *Böhm-Bawerk as Critic of Marx*, 1923, p. 27 [English edition, 1949, p. 145].

14 Bauer, *ibid.*, pp. 131–32.

training of labourers is carried out usually by means of selection of the most competent trainees from among a large number of them. Of the three persons learning engineering, probably only one will finish the training and achieve the purpose. In this way, for the training of one engineer is required the expenditure of labour of three students, and the correspondingly increased expenditure of the labour of instructors. Therefore, the inflow of trainees into the given profession, of whom only one third has the chance of completing their training, will take place on a sufficient extent only if the increased value of the products of the given profession can compensate for this unavoidable (in some sense useless) expenditure of labour. Other conditions remaining equal, the *average* value of the product of one hour's labour in the professions, the training for which requires expenditures of labour from numerous candidates, will be higher than the average value of the product of one hour's labour in professions with no such requirements.¹⁵ This circumstance raises the value of the products of highly qualified labour.¹⁶

15 This proposition, already advanced by Adam Smith [this phrase is added in the third edition], is developed in particular detail by L. Lyubimov (*Course of Political Economy*, 1923, pp. 72–8 and 87–93). Unfortunately, Lyubimov mixed together the question of what determines the *average* value of the products of qualified profession, for example, the profession of engineer, artist, and so on, with the question of what determines the *individual* price of a given *unreproducible* object (a painting by Raphael). Where the question is about the reproducible mass-produced goods (for example, we can consider the labour of engineers as producing, except for a small number of cases, homogeneous and reproducible products), we can obtain the value of a single product in dividing the value of the total products of the given profession by the number of the homogeneous products manufactured by it. But this is impossible with regard to individualised, unreproducible objects. From the fact that the *average* value of the product of the private labour of an artist is equal to the value of the product of five hours' simple labour (to one hour's labour is added one hour's labour expended by the artist for his training, and three hours' labour expended for the training by three unsuccessful artists), does not at all follow the fact that in the price of a painting by Raphael is compensated the useless expenditure of the labour of a thousand artists who failed, but in the price of a painting by Salvador Rosa is compensated only the expenditure of the labour of a hundred unsuccessful artists. If Lyubimov was completely right when subjecting to the law of value the average value of the products of qualified labour, he would never deny the element of monopoly in relation to the individual price of unreproducible objects. P. Maslov commits an inverse error when he ascribes a monopolistic character also to the average value of the products of highly qualified labour (cf. *Capitalism*, 1914, pp. 191–92).

Marx does not attempt to subject the prices of *unreproducible* objects to the law of labour value for the simple reason that the latter must explain precisely the laws of the *production* activity of people. Marx does not consider in his theory of value the price of the objects which 'cannot be reproduced by labour, such as antiques and works of art by certain masters, etc.' [*Capital*, III², p. 633, MEGA, II/15, p. 621].

16 In capitalist society, where the interests on training costs are still sometimes added, they

As we can see, the reduction of qualified to simple labour is one of the results of the objective social process of equalisation of various kinds of labour, which takes place in capitalist society through the equalisation of commodities on the market. We should not repeat the mistake of Adam Smith, who 'mistakes the objective equalisation of unequal quantities of labour forcibly brought about by the social process for the subjective equality of the labours of individuals' (*Critique*, p. 42; Russian translation on p. 59 is not correct [*Critique*, p. 299, MEGA, II/2, pp. 136–7]). It is not because the jeweller evaluates subjectively his labour to be twice as valuable as the labour of the shoemaker that the product of one hour of his labour is exchanged for the product of two hours of the latter's. On the contrary, the subjective conscious evaluations of the producers are determined by the objective process of equalisation of various commodities and, through them, of various kinds of labour on the market. Naturally, in his mind the jeweller counts in advance on the twice-greater evaluation of the products of jewellery-processing labour in comparison to the products of shoemaking labour, but he can anticipate the experience only because his consciousness fixes and generalises preceding experience. Here takes place the phenomenon described by Marx for the analogous case in explaining the higher rate of profit obtained by those branches of capitalist economy which are connected with special risk, difficulties, and so on. 'After average prices, and their corresponding market-prices, become stable for a time it reaches the *consciousness* of the individual capitalists that this equalisation balances *definite differences*, so that they include these in their mutual calculations' [*Capital*, III¹, p. 209, MEGA, II/15, p. 207. Emphasis in original]. In just the same way, in the act of exchange the jeweller takes his high qualification in advance 'into account once and for all as valid ground for compensation' [*ibid.*], but this accounting is only the consequence of the social process of exchange as the result of the conflicting actions of a large number of commodity producers. If we take the labour of a construction worker the simple labour and one hour of his labour as a unit, one hour of the jeweller's is equal, say, to four labour units, not because the jeweller evaluates it or assigns it the value of four units, but because it is equalised on the market with four units of simple labour. The reduction of complex to simple labour is a real process, taking place through the process

are considered in some cases [these three words are inserted in the third edition] as expended capital. Cf. Maslov, *ibid.*, p. 191 and Bauer, *ibid.*, p. 142. But what takes place here is not a production of new value but only a redistribution of the already produced value. [This last sentence is added in the third edition].

of exchange^[401] and reduced in the last analysis to the *equalisation of various kinds of labour* in the process of distribution of social labour, but not to a different evaluation of various kinds of labour or to the determination of^[402] the different *values [tsennost] of labour*.¹⁷ Since the equalisation of various kinds of labour in the commodity economy does not take place otherwise than through the equalisation of their products as values, then the reduction of qualified to simple labour is, also, impossible otherwise than through the equalisation of their products. 'A commodity may be the product of the most skilled labour, but its *value*, by equating it to the product of simple unskilled labour, represents a definite quantity of the latter labour alone' [*Capital*, I, p. 51, MEGA, II/6, p. 78. Emphasis in original].

Everywhere the values of the most varied commodities are expressed in money without distinction, i.e., in a determinate quantity of gold or silver. And precisely because of this, the different kinds of labour represented by these values are reduced, in different proportions, to determinate quantities of one and the same kind of simple labour, namely that labour which produces gold and silver.¹⁸

To assume that the reduction of qualified to simple labour must be carried out by someone in advance and precede exchange, in order to make possible the act of equalisation of their products, implies a misunderstanding of the very foundations of Marx's theory of value.

As we can see, for the explication of the high value of the products of qualified labour we do not have to abandon the theory of labour value; it is only necessary to clearly understand the fundamental principle of this theory as an investigation of the law of equilibrium and distribution^[403] of social labour in the commodity-capitalist economy. From this point of view, we can evaluate the arguments of those critics of Marx who make of the problem of qualified labour the main target of their attacks, and see in this problem the most vulnerable part in Marx's theory.¹⁹ The objections of these critics can be reduced to the following two points: 1) no matter how Marxists might explain the *causes* of

[401] 'through the process of exchange' is 'on the market' in the second edition.

[402] 'the determination of' is inserted in the third edition.

[403] 'equilibrium and distribution' is 'distribution and equilibrium' in the second edition.

17 As Oppenheimer and others affirm. Cf. Oppenheimer, *Value and Capital Profit*, second edition, 1922, pp. 69–70.

18 [Quotation from the French edition. II/7, p. 163. Emphasis added].

19 Cf. Böhm-Bawerk, *The Theory of Marx and its Critique*, Russian translation, 1897.

the high value of the products of qualified labour, the *fact* itself of the exchange of products of unequal quantities of labour as equivalents remains, which contradicts the theory of labour value; and 2) Marxists cannot show us the criterion or *standard* by means of which we could equalise *in advance* a unit of qualified labour, for example one hour of a jeweller's labour, with a definite number of units of simple labour.

The first objection is based on an erroneous presupposition as if the theory of labour value would make the equality of commodities dependent exclusively on^[404] the physiological equality of the labour expenditures necessary for their production. With such an understanding of the theory of labour value, it is actually impossible to deny the fact that one hour of the jeweller's labour and four hours of a construction worker's labour represent, from the physiological point of view, unequal quantities of labour. Every attempt to represent one hour of qualified labour as physiologically-condensed labour, equal, in terms of energy, to several hours of simple labour, seems to us hopeless and methodologically incorrect. Qualified labour is, in fact, condensed, multiplied, potential labour, but not physiologically condensed. It is rather socially condensed labour. The theory of labour value does not affirm the *physiological equality* but^[405] the *social equalisation* of labour, which, in turn, of course, takes place on the basis of the features characterising labour from its material-technical and physiological aspects (cf. the end of the previous chapter).^[406] On the market, products not of equal but of unequal quantities of labour are exchanged. Our task is to study the laws of the social equalisation of various kinds of labour in the process of distribution of social labour. If these laws explain to us the causes of the equalisation of one hour of the jeweller's labour with four hours of a construction workers' labour, our task is accomplished, entirely irrespective of the physiological equality or inequality of these socially equalised quantities of labour.

The second objection of Marx's critics attributes to economic theory a task totally foreign to it: to work out a measure of value making it practically possible to compare different kinds of labour with each other. The theory of value is, however, not concerned with the search for a *practical measure* of comparison, but it seeks a *causal* explanation of the *objective* process of equalisation of

[404] 'make the equality of commodities dependent exclusively on' is 'explain the equality of commodities in exchange with' in the second edition.

[405] '*equality* but' is '*equality* (this problem does not enter into the range of its competence) but' in the second edition.

[406] The part after 'of labour, which' is 'through the act of exchange of various quantities of labour, creating equal values' in the second edition.

various kinds of labour which really goes on in commodity-capitalist society.²⁰ In capitalist society, this process takes place in a spontaneous, unorganised way; the equalisation of various kinds of labour does not occur directly, but is established only through the equalisation of the products of labour on the market, as a result of the colliding actions of a large number of commodity producers. In such conditions, 'society is the only accountant competent to calculate the height of prices, and the method which society employs to this end is the method of competition'.²¹ Those critics of Marx who assign to simple labour the role of a practical^[407] measure or unit for the comparison of labour in essence put in the place of capitalist society an organised economy, in which various kinds of labour are directly equalised with each other^[408] without market exchange and competition, without the equalisation of things as values on the market.

Rejecting such a confusion of theoretical and practical points of view, and consistently holding to the former, we find that the theory of value entirely satisfactorily explains the *cause* of the high value of the products of qualified labour, as well as the *changes* of their value. When the duration of training becomes short or in general the expenses of labour necessary for training for a given profession diminish, the value of its products will fall. This explains a whole series of phenomena in economic life. Thus, for example, beginning from the second half of the 19th century, the value of the products of the labour of store clerks, as well as the value of their labour power, significantly fell. This can be explained by the fact that 'the necessary training, knowledge of commercial practices, languages, etc., is more and more rapidly, easily, universally, and cheaply reproduced with the progress of science and public education' [*Capital*, III¹, p. 300, MEGA, II/15, p. 295].

In this chapter, as in the previous chapters, we took as our starting point a state of equilibrium between different branches of social production and various kinds of labour. But, as we know, the commodity-capitalist society is a system of constantly disturbed equilibrium. Equilibrium appears only in the form of a tendency, disturbed and delayed by different counteracting causes. In the field of qualified labour, the tendency to restore the equilibrium among various kinds of labour is slower, as qualification of labour, long duration, or

[407] 'practical' is added in the third edition.

[408] 'with each other' is added in the third edition.

20 Cf. above, the chapter [13] on 'Social Labour'.

21 Hilferding, *Böhm-Bawerk as Critic of Marx*, Moscow, 1923, p. 28 [English edition, pp. 146–47, cf. note 1 on p. 20].

high costs for training for a given profession place not a few obstacles to the inflow of labour into that profession from other, simpler ones. In applying a theoretical schema to living reality, we must take into account the delaying effect of these obstacles. The difficulty of access to higher-qualified professions gives them some element of monopoly. On the other hand, 'a few [professions] of inferior kind, that are over-supplied with underpaid workmen' [*Capital*, I, p. 415, MEGA, II/6, p. 423] come out separately. The difficulty of access to higher professions and the selection accompanying it throw many unsuccessful candidates into lower professions, thus further promoting their large overflow.²² In addition, the increasing technical and organisational complexity of the capitalist process of production creates an intensified demand for new kinds of qualified labour power, exorbitantly raising the cost of this labour power as well as of its products. This is, so to say, a temporary (sometimes short-term, sometimes rather long-term) 'premium for qualification', arising in a dynamic process of change in the qualification of labour. But, just as the deviations of market prices from value do not prevent but only make possible the realisation of the law of value, this 'premium for qualification', signifying the absence of equilibrium among various kinds of labour, facilitates in turn the increase in the qualification of labour and the redistribution of productive forces in the direction of the equilibrium of the social economy.

22 Maslov, *Capitalism*, p. 192.

Socially Necessary Labour

In the foregoing chapters our attention has been directed mainly to the investigation of the *qualitative* aspect of labour forming value. We may now move to a more detailed analysis of labour's *quantitative* aspect.^[409]

As is well known, when he affirms that the magnitude of the value of a commodity changes depending on changes in the quantity of labour^[410] expended on its production, Marx does not have in mind the individual labour which was factually expended by a given producer on the production of a given exemplar of a commodity, but rather the *average*^[411] quantity of labour necessary for the production of a given product^[412] within a *given state of the productive forces*.^[413]

The labour time socially necessary is that required to produce an article under the normal conditions of production, and with the average degree of skill and intensity prevalent at the time. The introduction of power-looms into England probably reduced by one-half the labour required to weave a given quantity of yarn into cloth. The hand-loom weavers, as a matter of fact, continued to require the same time as before; but for all that, the product of one hour of their labour represented after the change only half an hour's social labour, and consequently fell to one-half its former value.¹

The magnitude of^[414] socially-necessary labour time is determined by the level of development in^[415] the productive forces, understood in a broad sense as the

[409] In the second edition this paragraph runs as follows: 'Having finished the investigation of the *qualitative* aspect of labour, we may now move to the analysis of its *quantitative* aspect.' This first paragraph of Chapter 16, absent in the first edition, is inserted in the second edition.

[410] 'changes in the quantity of labour' is 'the labour' in the first and second editions.

[411] '*average*' is italicised in the second edition.

[412] 'given product' is 'commodity' in the first and second editions.

[413] '*given state of the productive forces*' is italicised in the second edition.

[414] 'magnitude of' is inserted in the third edition.

[415] 'of development in' is 'of' in the first and second editions.

1 [*Capital*, I, p. 47, MEGA, II/6, p. 73].

totality of material and personal factors of production. The socially-necessary labour time varies depending not only on changes in the 'conditions of production', i.e., its material-technical and organisational factors, but also on changes in labour power, in the 'skill and intensity of labour'.

[416] In the first stage of analysis, Marx assumes that all the exemplars of a given sort of product are manufactured in homogeneous, normal, average conditions. The individual labour expended on each exemplar quantitatively coincides with the socially-necessary labour, and the individual value with the social or market value. Here is not yet generally drawn the distinction between individual and socially-necessary labour, between individual and social (market) value. Therefore, in these cases, Marx speaks simply of 'value', but not of 'market value' (a concept which does not appear in Volume I of *Capital*).

In later stage of his analysis, Marx assumes that different exemplars of a given sort of commodity were produced in different technical conditions. Here the opposition between *individual* and *social (market)* value appears already. In other words, the concept itself of value is here further developed, and determined more accurately as social or market value. In the same way, *socially-necessary*^[417] labour time is opposed to *individual* labour time, which differs across different enterprises within one and the same branch of production.^[418] With this we^[419] express the particularity of the commodity economy, that *one and the same price*^[420] for all the exemplars of commodities of a given type and quality^[421] is established on the market, irrespective of the individual technical conditions in which these commodities are produced and of the quantity of individual labour expended on their production in different enterprises. A society based on the commodity economy does not regulate directly the labour activity of people, but rather regulates the value of the products of labour, the commodities. The market does not take into account the individual particularities and deviations in the labour activity of individual commodity producers or individual economic units. 'Each individual commodity, in this connection, is to be considered as an average sample of its class' [*ibid.*, p. 47, 11/6, p. 73]. Each individual commodity is not sold according to its individual value but rather to the average social value, which Marx calls *market value* in Volume III of *Capital*.

[416] This paragraph is inserted in the third edition.

[417] In the first and second editions, this paragraph begins with 'Socially necessary'; the foregoing part beginning with 'In later stage' is inserted in the third edition.

[418] This sentence is entirely non-italic in the first edition.

[419] 'With this we express' is 'it [socially necessary labour time] expresses' in the first and second editions.

[420] '*one and the same price*' is italicised in the second edition.

[421] 'and quality' is added in the second edition.

We can arrange all enterprises of one and the same branch of production in a falling order according to the level of their technical development, beginning from the most productive and ending with the most retarded. In spite of the difference in the individual value of products in each of these enterprises or in each group of them (for the sake of simplicity, we divide them into the average and the lowest), their products are sold on the market at one and the same price, determined in the last analysis (through deviation and disturbance) by their average or market value. 'Commodities whose individual value is below the market-value realise an extra surplus-value, or surplus-profit, while those whose individual value exceeds the market-value are unable to realise a portion of the surplus-value contained in them' [*Capital*, III¹, p. 178, MEGA, II/15, p. 178]. This difference between market-value and individual value, giving rise to various advantages of production for enterprises with different level of productivity of labour, is the basic promoter of *technical progress*^[422] in capitalist economy. Every capitalist enterprise strives to introduce the latest technical improvements, lowering the individual value of production in comparison to the average market value and giving it the possibility to extract excess-profit. Enterprises with retarded technique make the effort to lower the individual value of their products as much as possible to the market level; otherwise, they will be threatened by the competition of more productive enterprises, and by failure. The victory of large over small-scale production, the advancing technical progress, and the concentration of production on more enormous and technically improved enterprises, such are the consequences of the sale of commodities on the market according to the average market value, independent of individual value.

In a given state of the productive forces in a given branch of production (taking it as the totality of enterprises with very different degrees of productivity), the market value is a determinate magnitude. But it would be erroneous to think that it is a magnitude given and established in advance, so to say calculated on the basis of a given state of technique. Indeed, as shown above, the technique in different enterprises is different. Market value is a magnitude, established as a result of conflict on the market of a large number of sellers, commodity producers, operating in different technical conditions and delivering to the market commodities with different individual values.^[423] As already shown in Chapter 13 ['Social Labour'], the transformation of individual into socially-necessary labour takes place through the same pro-

[422] 'technical progress' is italicised in the second edition.

[423] This sentence is inserted in the second edition.

cess of^[424] exchange which transforms private and concrete into social and abstract labour. ^[425] ‘The different individual values must be equalised at *one* social value, the above-mentioned market-value, and this implies competition among producers of the same kind of commodities and, likewise, the existence of a common market in which they offer their articles for sale’ [ibid., p. 180, 11/15, p. 180. Emphasis in original]. The market value is a result of the conflict on the market among different producers within a given branch of production (here we assume a normal market state, supposing a correspondence of demand to supply and, consequently, an equilibrium between the given branch of production and all others; on this, see below). Similarly, socially-necessary labour, the determinant of market value, is a *result of the different productivity of labour*^[426] across individual enterprises. Socially-necessary labour determines the value of commodities only to the extent that the market unifies all producers of a given branch and subject them to one and the same condition of market transaction. As the market enlarges and the different commodity producers are subjected to it, a market value, homogeneous for all commodities of a given type and quality, is accordingly formed, and socially-necessary labour acquires importance. The market value is established through competition among commodity producers in one and the same branch. But, in a developed capitalist society, there is also a competition of capitals invested in different branches of production. The transfer of capitals from one branch to another, i.e., the ‘competition of capitals in different spheres ... brings out the price of production equalising the rates of profit in the different spheres’ [ibid.]. Market value takes the form of the price of production.

If market value is established only as^[427] a result of the social process of competition among enterprises of different productivity, the question arises about what group of enterprises determines this market value. In other words, what magnitude represents the average socially-necessary labour, which determines market value? ^[428] ‘On the one hand, market-value is to be viewed as the *average value* of commodities produced in a single sphere, and, on the other, as the *individual* value of the commodities produced under average conditions of their respective sphere and forming the *bulk* of the products of that

[424] ‘process of’ is ‘act of market’ in the second edition.

[425] Here the paragraph changes in the first edition.

[426] ‘*result of different productivity of labour*’ is italicised in the second edition.

[427] ‘established only as’ is inserted in the third edition.

[428] About a half of this paragraph from here to ‘of the given sort.’ is inserted in the third edition.

sphere' [ibid., p. 178, 11/15, p. 178. Emphasis added]. If we make the simplifying assumption that for the whole *totality* of commodities of a *given branch of production*, the market value coincides with the individual value (though it diverges from the individual value of individual exemplars), the market value of the commodity will be equal to the sum of all individual values of the commodities of the given branch, divided by the number of these commodities. But, in a later stage of analysis, we must assume that, for the entire branch of production, the sum of market values can deviate from the sum of individual values (which, for example, can take place in agriculture); the coincidence of these two sums is preserved only for the totality of *all* branches of production, or for the *whole* national economy. In this case, the market value will no longer coincide exactly with the quotient obtained from the division of the sum of all individual values by the number of commodities of the given sort. In this case, the quantitative determination of market value will be subject to the following law. In Marx's view, in normal conditions market value approaches the individual value of the *overwhelming mass* of products of a given branch of production.^[429] If a large proportion of the commodities are produced in enterprises with the average productivity of labour and only an insignificant part is produced in the best and worst conditions, the market value will be regulated by enterprises with average productivity, i.e., will approach more or less the individual value of the products manufactured in them. This is the most frequent case. If 'the part of the mass produced under less favourable conditions forms a relatively weighty quantity as compared with the average mass and with the other extreme', i.e., the proportion produced under the best conditions, 'the mass produced under less favourable conditions regulates the market, or social, value' [ibid., p. 183, 11/15, p. 183.], i.e., approaches the individual value of these commodities (entirely coinciding with it only in some conditions, for example, in agriculture). Finally, if the commodities produced in the best conditions are dominating on the market, they will exercise the determining influence on the market value. In other words, the *socially-necessary* labour may approach the labour of *average* productivity (this takes place in the majority of cases), as well as the labour of *higher* or of *lower* productivity.^[430] It is only necessary that labour of higher (or lower) productivity deliver to the market the greatest quantity of commodities for it to represent the average (not in the sense of aver-

[429] '*overwhelming mass* of products of a given branch of production' is 'greatest quantity of commodities in the number of all the commodities appearing on the market' in the first edition. '*greatest quantity of commodities*' is italicised in the second edition.

[430] This sentence is entirely non-italic in the first edition.

age productivity, but in the sense of being the most widespread) labour of a given branch of production.²

In his reasoning presented above, Marx presupposes a normal course of production, with correspondence between the supply of commodities and the effective demand, i.e., those cases in which the purchasers buy the entire amount of commodities of a given kind launched on the market according to their normal market value. The latter is, as we have seen, determined by labour of higher, average, or lower productivity; all these kinds of labour can represent *socially-necessary*^[431] labour depending on the *technical structure of a given branch of production*,^[432] on the interrelation within it among enterprises with different productivity. But all these different cases of determination of market value under the conditions of normal demand and supply should be strictly distinguished from cases under conditions of divergence between demand and supply, when market price separates from market value upward in case of excess demand, downward in case of excess supply. 'We ignore here the overstocked market, in which the part produced under most favourable

[431] '*socially-necessary*' is italicised in the second edition.

[432] '*technical structure of a given branch of production*' is italicised in the second edition.

- 2 K. Diehl is wrong when he asserts that Marx regards as socially-necessary only the labour expended in enterprises of average productivity. If then in a given branch of production the mass of commodities produced in the worst conditions is predominant, and hence the market value is determined by the labour of lower productivity, 'here in consequence of the determinate conditions of supply, decisive is not the socially necessary labour time but a magnitude exceeding it' (K. Diehl, *On the Relation Between Value and Price in Karl Marx's Economic System* [original in German, *Ueber das Verhältnis von Wert und Preis im ökonomischen System von Karl Marx*, G. Fischer, 1898], 1898, pp. 23–4). Such an assertion might apply only to the cases of discrepancy between demand and supply, bringing about divergences of price from market value: in such cases what is decisive is not the socially-necessary labour time, but a magnitude exceeding or not attaining it. But Diehl well understands that Marx's reasoning does not relate to such cases of the deviation of price from market value (on this point, cf. below), but concerns precisely 'the correspondence of the general mass of products with social needs' (ibid., p. 24), i.e., the equilibrium between a given branch of production and the others. But once this equilibrium occurs when the market value is determined by labour of lower productivity, precisely this labour also will be considered as socially-necessary.

If Diehl considers only labour of average productivity as socially-necessary, other authors are inclined to recognise as such only labour of higher productivity, expended in the best technical conditions. 'The actual exchange value of all products depends on the labour time, necessary with the most developed technical methods of production, on the 'socially-necessary' labour time' (W. Liebknecht, *On the History of the Theory of Value in England* [cf. note [379] above], 1902, p. 94, or Russian translation, p. 144. [The Russian translation is not mentioned in the first edition]). As can be seen from the text, this opinion also disagrees with the theory of Marx.

conditions always regulates the market-price. We are not dealing here with the market-price, in so far as it differs from the market-value, but with the various determinations of the market-value itself'' [ibid., p. 183, 11/15, p. 183]. How can be explained the changes of market value itself which depend on the prevalence in number of one or another group of enterprises (of higher, average, or lower productivity)?

The answer to this question can be found in the mechanism of distribution of labour and equilibrium among different branches of social production. Market value corresponds to the theoretically conceived state of equilibrium among the different branches of production. If commodities are sold according to market value, this state of equilibrium is maintained, i.e., the production of a given branch does not expand or contract at the expense of other branches. Equilibrium among different branches of production, correspondence of social production with social needs, and coincidence of market price with market value – all these phenomena are closely connected with each other and accompany each other.

For the market-price of identical commodities, each, however, produced under different individual circumstances, to correspond to the market-value and not to deviate from it either by rising above or falling below it, it is necessary that the pressure exerted by different sellers upon one another be sufficient to bring enough commodities to market to fill the social requirements, i.e., a quantity for which society is capable of paying the market value.³

The coincidence of price with market value corresponds with the state of equilibrium among different branches of production. Differences in the determination of market value by labour of higher, average, or lower productivity become understandable if we pay attention to the role of market value in the mechanism of the distribution and equilibrium of labour. If enterprises of higher productivity, or more accurately masses of commodities produced in the best conditions, are numerically prevalent, the market value cannot be regulated by the value of production [error for 'commodities produced?'] in average or poor conditions, since this would bring about increased surplus profits in enterprises of higher productivity and lead to a significant expansion of production in them. This expansion of production, if taking place in the same condition of numerical prevalence of the given group of enterprises, would lead on the mar-

3 [ibid., pp. 180–1, 11/15, pp. 180–1].

ket to a preponderance of supply, and to the approach^[433] of prices to the level of value in enterprises of higher productivity. Similar reasoning can be applied to cases of numerical prevalence of other groups of enterprises, namely those with average or lower productivity.^[434] Different cases of *regulation of market value* (or, what is the same, of determination of *socially-necessary labour*) can be explained by the different *conditions of equilibrium of a given branch of production with the others*, depending on the prevalence of enterprises of different levels of productivity in it, i.e., depending in the last analysis on the state of the *productive forces*.

Thus, the socially necessary labour, determining the market value of commodities in a given branch of production, can be labour of higher, average, or lower productivity. Which labour then appears as socially-necessary depends on the *state of the productive forces in a given branch of production*,^[435] and above all on the numerical preponderance of enterprises with different levels of productivity (as already shown above, the question is not about the number of enterprises, but about the mass of commodities produced in them).⁴ But this is not all.

Let us suppose two branches of production with completely homogeneous quantitative distributions of enterprises operating with different levels of productivity. Say, enterprises of average productivity occupy 40 percent of their total number, and enterprises of higher and lower productivity 30 percent respectively. But, between these two branches of production there exists the following essential difference. In the first branch, production in better equipped enterprises is capable of speedy and significant expansion (for example, as a result of a particular advantage of the concentration of production, of the possibility to receive from abroad or rapidly prepare domestically necessary machines, of abundant raw materials, of the availability of labour power prepared for factory production, and so on). In the second branch,^[436] large-scale production can be expanded only more slowly, and on not

[433] 'approach' is 'fall' in the first and second editions.

[434] This sentence is entirely non-italic in the first edition.

[435] '*state of the productive forces in a given branch of production*' is italicised in the second edition.

[436] 'branch' is 'branch of production' in the first and second editions.

4 'Which of the categories (of enterprises with different productivity – *I.R.*) has a decisive effect on the average value, will in particular depend on the numerical ratio or the proportional size of the categories' (*Theories of Surplus Value*, vol. II, part 1, p. 56 [*Theories*, 1, p. 429, MEGA, II/3, p. 852]).

so large a scale. We can say in advance that in the first branch the market value will tend to be established (of course, if other conditions remain the same) at a lower level than in the second branch, i.e., in the first branch the market value will be nearer to the labour expenditures^[437] in enterprises with higher productivity. But in the second branch it may rise. ^[438]If the market value in the first branch rose as high as in the second branch, this would bring about a rapid and large expansion of production in the enterprises with higher productivity, an oversaturation of the market, a disturbance of equilibrium between demand and supply, and the fall of prices. For the first branch of production, the maintenance of equilibrium between it and the rest of the branches in the national economy presupposes that market value approaches the expenditures^[439] in enterprises with higher productivity. In the second branch of production, the equilibrium of the social economy is possible also with a higher level of market value, i.e., even when it approaches labour expenditures^[440] in enterprises with average or lower productivity.

Finally, such cases are also possible where the equilibrium of the social economy is obtained in the condition that market value is not determined by individual labour expenditures^[441] in a given group of enterprises (for example, with higher productivity), but by the average difference between the labour expenditures^[442] of the given group and those of another group nearest to the former. This can take place particularly frequently, if, in a given branch of production, enterprises are divided according to their productivity not into three groups, as we have assumed, but into two groups with higher and lower productivity. It is self-evident that the 'average amount' is taken here not in the sense of an arithmetical average: it can be nearer to the expenditures^[443] of the group with higher or lower productivity, depending on the conditions of equilibrium between the given branch of production and the others. Therefore, L. Boudin simplifies excessively the problem when he affirms that in the case of introducing technical improvements and new methods of production the value 'of the produced commodities will be measured not by the average

[437] 'labour expenditures' is 'costs of production' in the first and second editions.

[438] Here paragraph changes in the first and second editions.

[439] 'expenditures' is 'prices of production' in the first and second editions.

[440] 'labour expenditures' is 'prices of production' in the first and second editions.

[441] 'labour expenditures' is 'costs of production' in the first and second editions.

[442] 'labour expenditures' is 'costs of production' in the first and second editions.

[443] 'expenditures' is 'costs' in the first and second editions.

expenditure of labour, but by the expenditure of labour in either the old or in the new method of production'.⁵

Thus, the different cases of determination of market value or of socially-necessary labour are explained by the different conditions of equilibrium between the given branch and other branches of the national economy, dependent on the state of the productive forces. [444]The growth of the *productive force* of labour in the given branch of production, modifying the *conditions of its equilibrium* with other branches, changes the magnitude of *socially-necessary* labour and the *market value*. Labour time 'changes with every variation in the productiveness of labour' [*Capital*, I, p. 47, MEGA, II/6, p. 74].

In general, the greater the productiveness of labour, the less is the labour time required for the production of an article, the less is the amount of labour crystallised in that article, and the less is its value; and *vice versa*, the less the productiveness of labour, the greater is the labour time required for the production of an article, and the greater is its value.⁶

[445]In Marx's theory, the concept of *socially-necessary* labour is closely connected with the concept of the *productive force of labour*. In the commodity economy, the development of the productive forces finds its economic expression in the change of socially-necessary labour and of the market value of individual commodities^[446] determined by the former. The movement of value on the market is a reflection of the process of development in the productivity of labour. Sombart gave a brilliant formulation of this idea in his well-known article on Volume III of *Capital*. 'Value is a specific historical form, in which is expressed the productive force of social labour, controlling in the last analysis all economic phenomena'.⁷ However, Sombart made a mistake of seeing the entire content of Marx's theory of value in the theory of socially-necessary labour. In truth, the theory of socially-necessary labour comprises only the quantitative, and not the qualitative aspect of value. 'That the quantity of

[444] This sentence is entirely non-italic in the first edition.

[445] This sentence is entirely non-italic in the first edition.

[446] 'of individual commodities' is added in the third edition.

5 L. Boudin, *The Theoretical System of Marx*, Russian edition, 1908, p. 78.

6 [ibid., p. 48, II/6, p. 74].

7 Sombart, 'A Contribution to the Critique of Karl Marx's Economic System', in *Braun's Archiv für soziale Gesetzgebung u. Statistik* [*Braun's archive for social legislation and statistic*], 1894, vol. VII, p. 577. Russian translation in *Scientific Review*, 1898, no. 4.

labour embodied in a commodity is the quantity *socially necessary* for its production – the labour time being thus *necessary labour time* – is a definition which concerns only the *magnitude of value*’ (*Theories of Surplus Value*, III, pp. 160–61 [*Theories*, 2, p. 322, MEGA, II/3.4, p. 1322. Emphasis in original]). Sombart restricted himself to the aspect of Marx’s theory which studies the dependence of changes in the magnitude of value^[447] on the movement of the material process of production, and did not notice the most original part of Marx’s theory, namely the theory of the form of value.⁸

It was already shown above that the various cases of determination of market value we examined should be strictly distinguished from the cases of deviation of prices from market value resulting from an excess of demand over supply or vice versa. If market value in normal conditions is determined by average expenditures, ^[448] when demand is in excess, the market price will deviate upward of market value and approach the expenditures^[449] in enterprises with lower productivity. The converse will take place when supply is in excess. If the quantity of commodities on the market ‘be smaller or greater, however, than the demand for them, there will be deviations of the market-price from the market-value’ [*Capital*, III¹, p. 185, MEGA, II/15, p. 185]. Marx strictly distinguishes those cases when market value itself is determined, say, by the expenditures^[450] in enterprises with higher productivity as a consequence of the production of the greatest quantity of commodities in them, from the cases when market value is determined in normal cases by average expenditures, ^[451] but in consequence of the oversaturation of the market, market price deviates from market value and is determined by expenditures^[452] in enterprises with higher productivity [ibid. ff, II/15, ibid. ff.]. In the first case the sale of commodities according to labour expenditures^[453] in enterprises with higher

[447] ‘studies the dependence of changes in the magnitude of value’ is ‘occupies itself with the ‘substance and magnitude of value,’ i.e., with its dependence’ in the first and second editions.

[448] ‘expenditures’ is ‘costs’ in the first and second editions.

[449] ‘approach the expenditures’ is ‘be determined by the costs’ in the first and second editions.

[450] ‘expenditures’ is ‘costs’ in the first and second editions.

[451] ‘expenditures’ is ‘costs’ in the first and second editions.

[452] ‘expenditures’ is ‘costs’ in the first and second editions.

[453] ‘labour expenditures’ is ‘prices of production’ in the first and second editions.

8 This basic shortcoming of Sombart’s interpretation was already pointed out by S. Bulgakov in his article ‘What is Labour Value?’ (*Collection on Jurisprudence and the Social Knowledge*s, 1898, vol. VI, p. 238).

productivity means a *normal*^[454] market state and an *equilibrium*^[455] between the given branch of production and the others. In the second case, the sale of commodities according to the same expenditures^[456] is brought about by an *abnormal*^[457] oversaturation of the market and unavoidably brings about a contraction of production in the given branch, i.e., this sale signifies an *absence of equilibrium*^[458] among the individual branches of production. In the first case the commodity is sold according to its *market value*,^[459] in the second case *its price deviates*^[460] from the market value determined by the labour socially-necessary for its production.

From this we can see the mistake made by those researchers of Marx who say that, even in the cases of an oversaturation of the market (or a shortage of commodities) the commodity is sold in accordance with the socially necessary labour expended on its production. By socially-necessary labour they understand not only the labour which is necessary for the production of one exemplar of a given commodity in a given state of the productive forces, but the entire sum of labour which the society as a whole can spend on the production of a given kind of commodity. If a society in a given state of the productive forces can spend one million working days on manufacturing shoes, yielding one million pairs of boots, and if the society spent 1,250,000 days, the manufactured 1,250,000 pairs of boots would represent only one million days of socially-necessary labour, and one pair of boots would represent 0.8 working days. One pair of boots would not be sold for ten roubles (on the assumption that labour of one day creates a value of ten roubles), but for eight roubles. Should we say that as a result of excessive production the quantity of socially-necessary labour itself contained in one pair of boots changed, even though the technique of production of boots did not at all change? Or should we say: even though the quantity of socially necessary labour necessary for the production of one pair of boots did not change, due to the oversaturation of the market the boots are sold at a market price, which is lower than the market value determined by the socially-necessary labour. The interpreters of Marx mentioned above answer the question in the first sense, confirming the so-called 'economic' concept of necessary labour, i.e., recognising that socially-

[454] '*normal*' is italicised in the second edition.

[455] '*equilibrium*' is italicised in the second edition.

[456] 'expenditures' is 'prices of production' in the first and second editions.

[457] '*abnormal*' is italicised in the second edition.

[458] '*absence of equilibrium*' is italicised in the second edition.

[459] '*market value*' is italicised in the second edition.

[460] '*its price deviates*' is italicised in the second edition.

necessary labour changes depending not only on changes in the productive force of labour but also on changes in the correspondence between social demand and supply. Claiming the dependence of socially necessary labour on the productive force of labour, we answer in the second sense. It is one thing that, owing to the improvement of technique, the time necessary for the production of one pair of boots decreases from ten to eight hours. This means a decrease of socially-necessary labour, a fall of value, a general fall of the price of boots, as a constant normal phenomenon. It is quite another thing that, due to the oversaturation of the market, one pair of boots is sold for eight roubles, even though for its production ten hours are necessary as before. This is an abnormal market state, which leads to the contraction of boot production; it is a temporary fall of prices, tending to return to the earlier level. In the first case we have a 'sinking of the relative value of the commodity as a result of altered conditions of production' (*Theories of Surplus Value*, vol. 1, Russian translation by V. Zheleznov, p. 151, or by Plekhanov, pp. 184–85 [*Theories*, 1, p. 132, MEGA, II/3, 2, p. 555. Plekhanov's translation is not mentioned in the first edition]). In the latter case, 'although each part of the product has cost only the socially necessary labour time (here it is assumed that the conditions of production remain unchanged), a superfluous – more than necessary – total quantity of social labour has been employed in this one branch' [*ibid.*].

The supporters of the extension of the concept of socially necessary labour commit the following fundamental methodological errors:[461]

- 1) They confound the normal with the abnormal state of the market, the laws of *equilibrium* among different branches of production with cases of the *disturbance* of equilibrium, which cannot but be temporary.
- 2) By so doing, they destroy the concept of *socially-necessary* labour as pre-supposing equilibrium between the given branch of production and the others.
- 3) They ignore the mechanism of deviation of market prices from value, inaccurately considering the sale of the commodity at any price in any abnormal conditions as sale according to value. *Price* is confounded with *value*.
- 4) They disrupt the close relation of the concept of socially-necessary labour with the concept of the *productive force of labour*, admitting changes in the former without corresponding changes in the latter.

[461] The following propositions from 1) to 4) are entirely non-italic in the first edition.

[462] We will move to a detailed examination of the 'economic' version of socially-necessary labour in the next chapter.^[463]

[462] Instead of this paragraph, the following two paragraphs with a footnote conclude the chapter in the first and second editions: 'The aforementioned interpreters of Marx draw on those passages in Volume III of *Capital*, where Marx points out that the normal course of production presupposes not only the expenditure of a certain quantity of labour on the production of each exemplar of commodity, but also the expenditure of a certain amount of labour throughout the whole of the given branch of production [*Capital*, III¹, pp. 186, 198–9, MEGA, II/15, pp. 186, 198]. Of course, the proportional distribution of labour among different branches of production is a precondition of the theory of value, but this is not an element determining the magnitude of value. To a given magnitude of value, determined by socially necessary labour, i.e., by the state of the productive forces, corresponds a certain amount of effective demand. Changes in value cause changes in effective demand or 'social need', but the converse does not apply. As for the deviations of social production from the state of equilibrium, we must carry out a detailed investigation also on them, only which can give us the possibility of understanding the phenomena of market transaction and market prices. But the investigation of these price phenomena presupposes a preliminary establishment of the concept of socially-necessary labour as a function of the productive force of labour. The deviations of market prices from value can be understood only in starting from a definite theory of value. [Here the paragraph changes]. To extend the concept of socially-necessary labour as the aforementioned interpreters of Marx do it means to confound hopelessly the theory of prices and that of value, to the detriment of both of them.^{note} [note]: Concerning the history of the problem of the so-called 'technical' and 'economic' understandings of socially-necessary labour, the reader can refer to the following books: T. Grigorovici, *Die Wertlehre bei Marx und Lassalle* [*The Theory of Value of Marx and Lassalle*], 1910; and K. Diehl, *Sozial-wissenschaftliche Erläuterungen zu Ricardo* (Russian translation: Diehl, *Commentary on Ricardo's Principles*, St. Petersburg, 1912). Cf. also the article by Sh.M. Dvolaitzky in the journal *Under the Banner of Marxism* in 1922, nos. 5–6, and the article by Mendelson in nos. 7–8 of the same journal.'

[463] The controversy over the opposition between the 'economic' interpretation (so-called demand theory) and the 'technical' interpretation of socially-necessary labour was fought in the journal *Под знаменем Марксизма* (*Under the Banner of Marxism*) from 1922 to 1923. The following are the articles relating to this controversy: 1) III. Дволайцкий, 'К теории ценности Маркса (о различном толковании понятия «общественно-необходимый труд»', 1922, н. 5–6, стр. 96–107, 2) А. Мендельсон, 'Понятие «общественно-необходимый труд» как элемент теории стоимости Маркса', 1922, н. 7–8, стр. 154–64, 3) В. Мотылев, 'К вопросу об общественно-необходимом рабочем времени', 1923, н. 2–3, стр. 212–17, 4) Э. Гольденберг, 'Еще несколько слов об общественно-необходимом труде', 1923, н. 4–5, стр. 229, 5) А. Мендельсон, 'К вопросу о различных версиях в трактовке понятия «общественно-необходимый труд»', 1923, н. 4–5, стр. 230–44, 6) В. Мотылев, 'Над могилой потребительной версии общественно-необходимого труда', 1923, н. 6–7, стр. 242–8, 7) Н. Ковалевский, 'К проблеме общественно-необходимого рабочего времени', 1923, н. 11–12, стр. 252–76. Of these contributions, only 2) and 5) by Mendelson adopt the position of 'economic' interpretation, 1), 3), 4), and 6) defend the 'technical' interpretation and criticise Mendelson, for respectively different reasons. 6) is

a virtual 'declaration of victory' from the side of the 'technical' interpretation, as suggested in its title. 7), published after the appearance of the first edition of Rubin's *Essays on Marx's Theory of Value*, presents an eclectic interpretation, keeping distance equally from both positions. Rubin's *Essays* seems to have had as one of its main objectives to advance his own views on this controversy. Together with his ally, Dvolaitzky, he was in a position akin to the 'technical' interpretation. Incidentally, A.M. Kogan presents and examines the controversy of this period in his article, А. Коган, Проблемы общественно-необходимого рабочего времени в «Капитале» К. Маркса и их отражение в дискуссии начала 20-г годов, *Экономические науки*, 1980, 1.

Value and Social Need

1 Value and Demand

Adherents of the so-called ‘economic’ understanding of socially-necessary labour say: commodities can be sold at their value only on the condition that the total quantity of produced commodities of a given kind corresponds to the volume of social need for them or, – which is the same thing – that the quantity of labour actually expended in the given branch of industry coincides with the quantity of labour which society can spend on the production of the given kind of commodities in a given state of the productive forces. However, it is obvious that the latter quantity of labour depends on the volume of social need for the given product, or on the volume of demand for it. That is, the value of a commodity does not only depend on the *productivity of labour*, expressed in the quantity of labour which is required for the production of a unit of that commodity under the given average technical conditions, but also on the volume of *social need* or demand. Opponents of this opinion object that changes in demand, not accompanied by changes in productivity of labour, bring about only temporary deviations of market prices from market value, but not lasting, constant change in average prices, i.e., they do not bring about changes in value itself. In order to investigate this problem, it is indispensable to consider how the mechanism of demand and supply (or competition) works.¹

In the case of supply and demand ... the supply is equal to the sum of sellers, or producers, of a certain kind of commodity, and the demand equals the sum of buyers or consumers (both productive and individual) of the same

[464] This chapter is inserted in the second edition. We owe the three diagrams in this chapter to the corresponding graphics files published on the internet page “Isaak Illich Rubin Archive” (<https://www.marxists.org/archive/rubin/index.htm>).

1 The reader will find the history of the problem concerning the so-called ‘technical’ and ‘economic’ versions of socially-necessary labour in the following books: T. Grigorovici, *The Theory of Value of Marx and Lassalle*, 1923; Diehl, *Commentary on Ricardo’s Principles*, Saint Petersburg, 1912 [originals in Russian. The Russian translation of the former was published in the same year as the first edition of Rubin’s present book]. Cf. the debate in the journal *Under the Banner of Marxism* in the years 1922/23 (the articles by Sh.M. Dvolaitzky, A. Mendelson, V. Motylev, and others [cf. note [463] above]).

kind of commodity' [*Capital*, III¹, p. 193, MEGA, II/15, p. 193]. Looking first at demand, we must define it more precisely: demand is equal to the sum of buyers multiplied by the average quantity of commodities bought by each of them, i.e., demand is equal to the sum of commodities which can find buyers on the market. It seems at first sight that the volume of demand is an exactly determined magnitude depending on the volume of social need for a given product. But this is not the case. 'The definite social wants are very elastic and changing. Their fixedness is only apparent. If the means of subsistence were *cheaper*, or money-wages *higher*, the labourers would buy more of them, and a greater 'social need' would arise for them' [*ibid.*, p. 188, II/15, p. 188. Emphasis added]. As we can see, the volume of demand is not only determined by the imminence of the given need but also by the amounts of incomes or the *purchasing power* of the buyers, and by the *prices* of commodities too. The demand of a peasant population for printed cotton may be expanded: 1) as a result of an increase in need of the peasant population for printed cotton instead of homespun linen (here we leave aside the question of what economic or generally social causes can give rise to such a change in needs); 2) as a result of an increase in the incomes and purchasing power of the peasantry; 3) as a result of a fall in the price of printed cotton. Given a certain table of needs and a certain purchasing power (i.e., a certain distribution of incomes in society), the demand for a given commodity changes depending on the change in its price. Demand 'moves in a direction opposite to prices, swelling when prices fall, and vice versa' [*ibid.*, p. 191, II/15, p. 191]. 'The expansion or contraction of the market depends on the price of the individual commodity and is inversely proportional to the rise or fall of this price' [*ibid.*, p. 108, II/15, p. 110]. The influence, exercised by the cheapening of a commodity on the expansion of its consumption, will be stronger in the case where this cheapening bears not a transitory but a long-lasting character, i.e., if it is brought about by a development of labour productivity in the given branch and by a fall in the value of the product [*ibid.*, p. 657, II/15, p. 643].

In this way, the volume of demand for a given commodity changes with changes in its price. *Demand is a determinate magnitude only for a given price of a commodity.* The dependence of the volume of demand on changes in price has an unequal character for different commodities. Demand for objects of primary necessity, for example bread, salt, and so on, is distinguished by low elasticity, i.e., the fluctuations of the volume of their consumption, and consequently, of the demand for them, is not so important as the fluctuations in prices as their causes. If the price of bread falls to half its former amount, the volume of consumption of bread will not double but increase less.

[465]Nevertheless, the cheapening of bread causes an increase in demand for it. Immediate consumption of bread will increase to some extent. Furthermore, ‘a part of the grain may be consumed in the form of brandy or beer; and the increasing consumption of both of these items is by no means confined within narrow limits’ [ibid.]. Finally, when wheat, for example, becomes cheaper, the ‘price reduction in wheat production may result in making wheat, instead of rye or oats, the principal article of consumption for the masses’ [ibid.], which increases the demand for it. In this way, even the objects of primary necessity are subsumed under the general law, according to which the volumes of *consumption*, and hence of *demand* for a given commodity, change in *inverse relation* to change in its *price*. This dependence of demand upon price is perfectly understandable if we remember the restriction of the purchasing powers of the extensive masses of population, and in the first place of wage labourers in capitalist society. Only cheap commodities are available to the working strata of the population. Only as they get cheaper can various commodities enter into the range of consumption of the extensive masses of population, and become objects of mass demand.

In capitalist society, not only the social need in general but also even the effective social need or demand is not, as we have seen, a fixed, precisely determined magnitude. Demand can become a determinate magnitude only at a given price. If we say that the demand for woollen cloth per annum in a given country is equal to 240,000 metres, we certainly have to add: ‘at a given price’, for example, 2 roubles 75 kopeks per metre.^[466] In this way, demand can be represented in the form of a table showing different volumes of demand corresponding to various prices.

Let us assume the following table of demand for woollen cloth:²

TABLE 1

When the price in roubles per metre is:	Demand is equal to (in metres):
7 roubles	30,000
6 roubles	50,000
5 roubles	75,000

[465] Here the paragraph changes in the second edition.

[466] ‘metre’ is ‘arshine’ (about 71 cm) in the second edition, and the same in the following.

2 The absolute figures as well as the rate of increase in demand are entirely arbitrary.

TABLE 1 (cont.)

When the price in roubles per metre is:	Demand is equal to (in metres):
3 roubles 50 kopeks	100,000
3 roubles 25 kopeks	120,000
3 roubles	150,000
2 roubles 75 kopeks	240,000
2 roubles 50 kopeks	300,000
2 roubles	360,000
1 rouble	450,000

This table may be expanded both upward and downward: upward as long as the commodity can find a group of buyers from the wealthy classes of society (however small it may be), downward as long as the need of extensive masses of population for woollen cloth will not be already satisfied to such an extent that a further cheapening of woollen cloth^[467] will no more call forth any expansion of demand. Between these two boundaries, an infinite number of combinations of volume of demand with level of price is possible. Which of these possible combinations is realised in actual reality? From the demand itself we cannot see which of them will be more likely realised than others. Will it be the volume of demand for 30,000 metres at the price of 7 roubles per metre, or 450,000 metres at the price of 1 rouble, or some other combinations lying between these two boundaries? The *real volume of demand* is determined by the development of the *productivity of labour*, which finds its expression in the value of one metre of woollen cloth.

Let us turn to the conditions of production of woollen cloth. Let us assume that all cloth factories operate under homogeneous technical conditions. The productivity of labour in the cloth industry as assumed here is on such a level that for the production of one metre of woollen cloth it is necessary on average to spend 2 3/4 hours of labour (including expenditures on raw materials, machines, and others). Assuming that one hour of labour creates value equal to one rouble, we obtain the market value of 2 roubles 75 kopeks for one metre of woollen cloth. Under the conditions of the capitalist economy, the average price of woollen cloth is not equal to labour value, but

[467] 'of woollen cloth' is added in the third edition.

to the price of production. In such a case we assume that the price of production is equal to 2 roubles 75 kopeks. In the following we will make no distinction between labour value and price of production: both will be generally called market value. The market value of 2 roubles 75 kopeks is the minimum below which the price of woollen cloth cannot fall for long, since such a fall in price would bring about a contraction in production of woollen cloth and an outflow of capitals to other branches. Let us assume further that the value of one metre of woollen cloth is equal to 2 roubles 75 kopeks irrespective of whether a greater or lesser quantity of woollen cloth is manufactured. In other words, the increase in production leaves unchanged the quantity of labour or costs of production spent on manufacturing one metre of woollen cloth. In such a case, the market value of 2 roubles 75 kopeks, 'the minimum with which I producers will be content, is also ... the maximum'³ above which the price cannot rise for long, since such a rise in price would occasion an inflow of capitals from other branches and an expansion of cloth production. In this way, of an infinite quantity of possible combinations of volume of demand with price, only *one* combination has the chance of a *long-lasting* existence, namely the combination into which the *market value* enters as the price, i.e., a combination which occupies in our Table 1 the seventh place from above: 2 roubles 75 kopeks with the demand of 240,000 metres. Of course, this combination is not realised exactly but will represent the state of equilibrium, the average level, around which the actual market prices and the actual volume of demand will fluctuate. The market value of 2 roubles 75 kopeks determines the volume of effective demand, 240,000 metres, and the supply, i.e., the volume of production will also be attracted to the same figure. The increase of production, for example, to 300,000 metres will bring about, as can be seen from Table 1, a fall in price below the market value, approximately^[468] to 2 roubles 50 kopeks, which would be disadvantageous for the fabricants and force them to contract production. The contrary would take place in the case of the contraction of production below 240,000 metres. The normal volume of production or supply will be equal to 240,000 metres. In this way, all combinations in Table 1 except one can be only of temporary existence, reflecting an abnormal market conjuncture and signifying a deviation of market prices from market value. Of all possible combinations,

[468] 'approximately' is added in the third edition.

3 John Stuart Mill, *Principles of Political Economy*, Russian edition, 1865, p. 508, or N. Chernui-shevsky, *Complete Works*, vol. VII, 1905, p. 422 [Sir. W.J. Ashley's edition with an introduction, Longmans, Green and Co. Ltd., 1909, pp. 451–52].

only the one into which the market value enters: 2 roubles 75 kopeks with the demand of 240,000 metres, represents the state of equilibrium. The market value of 2 roubles 75 kopeks can be called an *equilibrium price* or normal price, and the volume of production of 240,000 metres an *amount of equilibrium*,⁴ representing simultaneously normal demand and normal supply.

Among the innumerable multitude of unstable combinations of demand, we have found only one stable combination of equilibrium, comprised of the *price of equilibrium* (*value*) and its corresponding *amount of equilibrium*. The stability of this combination is explained by the stability of the price of equilibrium (*value*) but not of the amount of equilibrium. The mechanism of the capitalist economy does not explain for us the reason why the quantity of supply must be attracted precisely to the magnitude of 240,000 metres despite all the upward and downward fluctuations; but this mechanism perfectly explains the fact that the market prices must be attracted to the value (or price of production) of 2 roubles 75 kopeks despite their fluctuations, in consequence of which also the quantity of supply is attracted to 240,000 metres. The *state of technique* determines the *value* of the product, and that *value* in turn determines the *normal amount of demand* and its correspondent *normal amount of supply*, given a certain state of needs and purchasing power of the population; the deviation of actual from normal supply (i.e., overproduction and underproduction) brings about a deviation of market prices from value, which in turn gives rise to a tendency to change the actual supply in the direction of normal supply. If this whole system of fluctuations or this mechanism of supply and demand revolves around a constant magnitude i.e., the value determined by the technique of production, and the change in this value as a result of the development of the productive forces causes corresponding changes in the entire mechanism of demand and supply, creates within it a new centre of gravitation, changes the magnitude of normal demand and normal supply. If, in consequence of the development of productivity of labour, the quantity of socially-necessary labour required for the production of one metre of woollen cloth decreased from $2 \frac{3}{4}$ hours to $2 \frac{1}{2}$ hours and, consequently, the value of

4 The terms 'equilibrium price' and 'amount of equilibrium' are used by Marshall in *Principles of Economics*, 1910 [6th edition], p. 345 [8th edition, Macmillan and Co., Ltd., London, 1920, p. 345]. We use the qualifier 'normal' not in the sense of obligatory but in the sense of the average level, corresponding to the state of equilibrium and expressing the regularity of the movement of prices.

one metre of woollen cloth fell from 2 roubles 75 kopeks to 2 roubles 50 kopeks, then, with this change, the volume of normal demand and normal supply would be established at the level of 300,000 metres, given the previous needs and purchasing power of population. *Change in value brings about change in demand and supply*. 'Hence, if supply and demand regulate the market price, or rather, the deviations of the market price from the market value, then, in turn, the market value regulates the ratio of supply to demand, or the centre round which fluctuations of supply and demand cause market prices to oscillate' [*Capital*, III¹, p. 181, MEGA, II/15, p. 181]. In other words, value (or normal price) determines the normal demand and normal supply; deviations of actual demand or supply from their normal level determine 'the market price, or rather, the deviations of the market price from the market value', deviations, which in turn occasion a tendency to a movement toward equilibrium. Value regulates prices through normal demand and normal supply. We call the state of equilibrium between demand and supply such a state where commodities are sold at their value. Since the sale of commodities at their value corresponds to a state of equilibrium among different branches of production, we obtain the following conclusion: *equilibrium between demand and supply* appears with the presence of *equilibrium among various branches of production*. We would admit a methodological error if we should take the equilibrium between demand and supply as the starting point of economic investigation. The equilibrium in the distribution of social labour among different spheres of production remains the starting point as before.

Although Marx's views on demand and supply, described in Chapter 10 of Volume III of *Capital* and incidentally in other places, are of fragmentary character, we find in him indications testifying to the fact that he understood the mechanism of demand and supply in the sense described above. As Marx says, market price will correspond to market value on the condition that sellers 'bring enough commodities to the market to fill the social requirements, i.e., a quantity for which society is capable of paying the market value' [*ibid.*, p. 181, II/15, pp. 180–81]. In Marx's words, to the 'social requirements' corresponds such a quantity of commodities as can find buyers at a price equal to value, i.e., a quantity, which we have called above 'normal demand' or 'normal supply'. Elsewhere Marx speaks about 'the difference between the quantity of the produced commodities and that quantity of them at which they are sold at market value' [*ibid.*, p. 186, II/15, p. 185], i.e., about difference between actual supply and 'normal supply'. We can thus clearly see the meaning of many places in Marx's writing where he speaks about the "usual" social need, 'usual' volumes of demand and supply. There he has in view 'normal demand' and 'normal sup-

ply', corresponding to a given value and changing with its change. About an English economist, Marx writes:

The good man does not grasp the fact that it is precisely the *change in the cost of production*, and thus in the *value*, which caused a change in the *demand*, in the present case, and thus in the proportion between demand and supply, and that this change in the demand may bring about a change in the *supply*. This would prove just the reverse of what our good thinker wants to prove. It would prove that the change in the cost of production is by no means due to the proportion of demand and supply, but rather regulates this proportion.⁵

We have seen that change in value, given the former needs and purchasing power of population, brings about a change in the normal volume of demand. Now let us consider whether there exists also an inverse relation of dependence here: does not a long-lasting change in demand bring about a change in the value of the product while the technique of production remains unchanged? We are speaking about a long-lasting, constant change in demand, not about a transitional one, exercising influence only on market price. Such a long-lasting change, for example an increase in demand for a given product independent of any change in its value, may come either from an increase in the purchasing power of the population, or from a strengthening of intensity in the need for the given product. Intensity of need can rise in consequence of causes of social or natural character (for example, as a result of a lengthy change in climatic conditions the need for warm clothes became more compelling). We will consider this question later, but for the moment let us take it for given that the table of demand for woollen cloth changed, for example, because of increased need for warm clothes. Change in this table is expressed in the fact that now a larger number of buyers accept paying for woollen cloth a higher price, or – which is the same thing – that a larger number of buyers or a larger demand will correspond to each price of woollen cloth. The table of demand on the next page takes on the following form:

In the table of demand on the next page, the value was equal to 2 roubles 75 kopeks and the normal volume of demand and supply was 240,000 metres. The change in demand shown in Table 2 immediately brings about an increase in the market price of woollen cloth to approximately 3 roubles per metre, since on the market there are only 240,000 metres of woollen cloth, and in our table

5 [ibid., p. 191, 11/15, p. 191. Emphasis added].

TABLE 2

When the price in roubles per metre is:	Demand is equal to (in metres):
7 roubles	50,000
6 roubles	75,000
5 roubles	100,000
3 roubles 50 kopeks	150,000
3 roubles 25 kopeks	200,000
3 roubles	240,000
2 roubles 75 kopeks	280,000
2 roubles 50 kopeks	320,000
2 roubles	400,000
1 rouble	500,000

precisely such a quantity is required by buyers at the price of 3 roubles. All producers will now sell their commodity not for 2 roubles 75 kopeks as before, but for 3 roubles. Since the technique of production has not changed in our assumption, the producers acquire an excess-profit of 25 kopeks per metre, which will occasion an expansion of production and, possibly, even an inflow of capitals from other spheres (through an expansion of credit, granted by banks to the cloth industry). Expansion of production continues as far as an equilibrium between the cloth industry and other branches of production is not established anew. This will take place when the cloth industry expands its production from 240,000 to 280,000 metres, which will be sold at the previous price of 2 roubles 75 kopeks, corresponding to the state of technique and to the market price. Increase or decrease in *demand* in unchanged technical conditions of production cannot raise or lower the *value* of the product, but may give rise to an *expansion or contraction of production* in a given branch. The value of the product is determined exclusively by the state of the productive forces and technique of the given production. Hence demand does not influence the magnitude of value; but value, combined with demand, which is partly determined by it, determines the volume of production in the given branch, i.e., the distribution of productive forces. 'The imminence of need influences the distribution of productive forces in economy, but the relative value [tsennost] of different products is determined by the expenditures of labour on their production.'⁶

6 P. Maslov, *Theory of the Development of the National Economy*, 1910, p. 238.

But if we recognise the influence of changes in *demand* on the *volumes* of production, on its expansion or contraction, does not this contradict the fundamental proposition of Marx's economic theory that the development of the economy is determined by the conditions of production, the state and development of the productive forces? Not at all. If changes in demand for a given commodity influence the volume of its production, then these changes in demand are in turn brought about by the following causes: 1) change in the *value* of a given commodity, for example its cheapening, consequently, development of productive forces in the given branch of production; 2) change in the *purchasing power* or incomes of various groups of population; this means that demand is determined by the incomes of different classes of society [*Capital*, III¹, pp. 194–5, MEGA, II/15, pp. 194–5], 'is essentially subject to the mutual relationship of the different classes and their respective economic position' [ibid., p. 181, II/15, p. 181], which in turn changes with change in productive forces; 3) finally, the change in the intensity or imminence of *need* for a given commodity. At first sight it seems that in the last case we make production dependent on consumption. But we must ask: what causes changes in the imminence of need for the given commodity? Let us assume that, though the price of iron ploughs and the purchasing power of the population remain the same, the need for them increases due to the substitution of iron ploughs for wooden spades in agriculture. Increased need calls forth a temporary rise in the market price of ploughs above their value and, as a result, an increased production of ploughs. Increased need or demand has caused an expansion of production. But this increase in demand was brought about by the development of the productive forces, though not in the given branch of production (in the branch of production of ploughs), but in other branches (in agriculture). Let us take another example, relating to means of consumption. Successes in anti-alcoholic propaganda contracted the consumption of spirituous liquors, their price temporarily fell below value, and as a result the level of production in the brewing industry diminished. We have deliberately chosen such an example where the contraction of demand is brought about by social causes of ideological and not economic character. However, it is obvious that the successes of the anti-alcoholic propaganda themselves are subject to the economic, customary, cultural, and moral level of various groups of the population, a level which in turn changes under the influence of a complex series of environmental social conditions, to be explained in the last analysis by the development of the productional activity of society. Finally, let us pass from economic and social causes altering demand to natural phenomena, which in some cases can also influence the volume of demand.^[469] Sharp and lasting change in climatic

[469] 'volume of demand' is 'need and demand' in the second edition.

conditions could strengthen or weaken the need for warm clothes and as a result occasion the expansion or contraction of cloth production. But, apart from the fact that the cases of change in needs under the influence of causes of purely natural character and independent of social causes are scarce, such cases do not contradict the proposition about the primacy of production over consumption. This proposition should not be understood in the sense that production can be accomplished 'automatically' in some vacuum milieu, outside of the society of living people with their various needs, at the basis of which lie a series of needs of biological character (food, protection from cold, and so on). But the *objects* by means of which man satisfies his needs, as well as the *manner* of their satisfaction, are subject to the *development of production*, and they modify in turn the character itself of the given *need* – and even create *new* needs. 'Hunger is hunger; but the hunger that is satisfied with cooked meat eaten with fork and knife differs from hunger that devours raw meat with the help of hands, nails and teeth.'⁷ Hunger in this particular form is the result of a long historical, social development. Exactly in the same way, change in climatic conditions brought about need for a given object, woollen cloth, and in addition for woollen cloth of a determinate quality, of a definite finishing, i.e., a need, the character of which is subject to the foregoing development of society, and in the last analysis to the productive forces. The quantitative increase of this need for woollen cloth is different for different social classes, and dependent on their incomes. If for a given period of production a certain state of need for clothes, a need grown on a biological basis, appears as a fact given in advance or a precondition of production, this state of need for clothes is in turn the product of preceding social development. 'Through the process of production itself they [the prerequisites of production] are transformed from naturally evolved factors into historical ones, and although they appear as natural preconditions of production for one period, they were its historical result for another' (*ibid.*, p. 20 or third edition, p. 19 [*ibid.*, p. 34, II/1.1, p. 33]). The need for a given product, though having at its basis a biological need, is determined in its character and changes by the development of the productive forces, which takes place either in the given sphere of production or in other spheres, either in the present or in a foregoing historical period. Marx does not deny the influence of consumption on production nor the interaction between them (*ibid.*, p. 23 or the third edition, p. 22 [*ibid.*, p. 36, II/1.1, p. 35]). But he attempted

7 Marx, 'Introduction to the Critique of Political Economy' in *Fundamental Problems of Political Economy* [edited by Rubin et al., 1922], p. 15 [MECW/28, p. 29, MEGA, II/1.1, p. 29] (or the third edition, p. 14. [The third edition, published in 1928, i.e., in the same year as the third edition of *Essays*, is naturally not mentioned in the second edition]).

to find out in the movement of needs a social regularity, explained in the last analysis by the regularity of the development of the productive forces.

2 Value and Proportional Distribution of Labour

We have arrived at the conclusion that, given the needs and purchasing power of the population, the volume of demand for a given product is determined by its value and changes with change of this value. The development of the productive forces in a given branch changes the value of the product, and at the same time the volume of social demand for it. As can be seen from Table 1, to a given value of the product corresponds a definite quantity of demand, i.e., the number of units of the commodity demanded at the given price. *The product of the value of a unit of product, determined by the technical conditions of production, by the number of units finding outlet at the given value, expresses the effective social need for the given product.*⁸ This is also what Marx calls the 'quantitatively definite social needs' [*Capital*, III², p. 635, MEGA, II/15, p. 623] for a given product, the 'amount of social want' [III¹, p. 185, II/15, p. 185], the 'given quantity of social want' [ibid., p. 188, II/15, p. 188]. To this social need corresponds the 'definite quantity of social output in the various lines of production' [ibid.], the 'annual extension of reproduction' [ibid.]. And this usual, normal volume of production determines 'the amount of total social labour time which is expended in various specific spheres of production,' i.e., the proportional distribution of labour among various spheres of production [III², p. 636, II/15, p. 624].

In this way, the given magnitude of value of a unit of the commodity determines the units of commodity capable of finding outlet, and the product of these two numbers expresses the volume of social need, by which Marx always means effective social need [III¹, pp. 180–1, 188, 192, II/15, pp. 180–1, 188, 191–2]. If the value of one metre is 2 roubles 75 kopeks, the number of metres of woollen cloth demanded on the market is equal to 240,000. The volume of social need is expressed by the figure: 2 roubles 75 kopeks $\times$ 240,000 = 660,000

8 By social need Marx often means the quantity of products demanded on the market. But these terminological distinctions have no importance for us here. Our aim is not to establish certain terms but draw a distinction between various concepts, as: 1) value of a unit of the commodity; 2) quantity of units of the commodity demanded on the market at a given value; and 3) product of the value of a unit of the commodity by the number of its units demanded on the market at a given value. It is important for us to emphasise, that the volume of social need for products of a given kind is not established irrespective of the value of a unit of the product but already presupposes it.

roubles. If one rouble represents a value created by one hour's labour, then, in the state of a proportional distribution of labour among particular spheres of production, 660,000 hours of average social labour are spent on the production of woollen cloth. In capitalist society no one establishes this figure in advance, no one verifies it nor cares about its maintenance. It is established only as a result of market competition, a process, constantly disrupted by deviations and disturbances, in which 'chance and caprice have full play' [*Capital*, I, p. 336, MEGA, II/6, p. 350], which Marx tirelessly repeated with very strong expressions [*Capital*, III¹, p. 187, MEGA, II/15, p. 187]. This figure expresses only an average level or a stable centre, around which actual volumes of demand and supply fluctuate. The stability of this figure of social need (660,000) is explained exclusively by the fact that it represents the combination or the product of two figures, of which the one, 2 roubles 75 kopeks, is the value of a unit of the commodity, determined by the technique of production and appearing as the stable centre of fluctuations of market prices, but the other, 240,000 metres, is subject to the former. The volume of social need and social production in a given branch fluctuates around the figure of 660,000, precisely because market prices fluctuate around the value of 2 roubles 75 kopeks. The stability of a given volume of social need is the derivative of the stability of a given magnitude of value as the centre of the fluctuations of market prices.⁹

Adherents of the 'economic' understanding of socially-necessary labour invert the whole process, mistaking its final result i.e., the figure of 660,000 roubles, the value of the entire mass of the given branch of production, for the starting point of investigation. They say: in a given state of the productive forces society may spend on the production of woollen cloth 660,000 hours of labour, which create a value equal to 660,000 roubles. The value of the commodities of the given branch must therefore be precisely equal to 660,000, it can neither be larger nor smaller. This exactly fixed figure determines the value of each particular unit of the commodity: the latter is the *quotient* resulting from the division of the figure 660,000 by the number of produced units. If 240,000 metres of woollen cloth are produced, the value of one metre is equal to 2 roubles 75 kopeks; if the production increases to 264,000 metres, the value will fall to 2 roubles 50 kopeks; but if the production falls to 220,000 metres, the value will rise to 3 roubles. Each of these combinations (2 roubles 75 kopeks $\times$ 240,000, 2 roubles 50 kopeks $\times$ 264,000, 3 roubles $\times$ 220,000) is equal to 660,000. The value

9 Here the question is about the stability under *given* conditions, not excluding the changeableness when these conditions change.

of a unit of product can change (2 roubles 75 kopeks, 2 roubles 50 kopek, or 3 roubles), even if the technique of production does not change. Only the total value of all products of the given branch (660,000 roubles) or the total quantity of labour allocated to the given sphere of production has a constant, stable character, when labour is proportionally distributed (660,000 hours of labour). Under given conditions, this is a constant mathematical magnitude, susceptible to being combined in extremely different ways from the two factors: the value of a unit of product and number of manufactured products ($2 \text{ roubles } 75 \text{ kopeks} \times 240,000 = 2 \text{ roubles } 50 \text{ kopeks} \times 264,000 = 3 \text{ roubles} \times 220,000 = 660,000$). In this way, the value of the product is not determined by the quantity of labour necessary for the *production of a unit of the product*, but by the *total quantity of labour* allocated to the given *sphere of production*,¹⁰ divided by the number of *manufactured products*.

The arguments of adherents of the so-called 'economic' version of socially-necessary labour, as above described, appear to us inadequate for the following reasons:

- 1) Mistaking the quantity of labour allocated to a given sphere of production – the result of the complex process of market competition – for the *starting point* of investigation, the economic version represents capitalist society on the model of an organised, socialist society, with the proportional distribution of labour *calculated in advance*.
- 2) It leaves outside the scope of investigation the question of what determines the quantity of labour allocated to a given sphere, a quantity which is neither established nor consciously maintained by anyone in capitalist society. Such an investigation would show that this quantity of labour is the derivative or product of the value of a unit of product by the number of products demanded on the market at a given value. The *value* is *not* determined by the quantity of labour allocated to a given sphere, but this quantity already *presupposes* the value as a magnitude depending on the technique of production.
- 3) Instead of deriving the *stable*, constant (under given conditions) volume of labour to be allocated to a given sphere (660,000 hours of labour) from the *stable* value of a unit of product (2 roubles 75 kopeks or 2 3/4 hours of labour), the economic version draws from the *stable* character of the former figure the conclusion about the possibility of its combina-

10 By this expression, we mean here and in the following the quantity of labour, allocated to a given sphere of production in the state of a proportional distribution of labour, i.e., in the state of equilibrium.

tion from two extremely different and changing factors; i.e., a conclusion about an *unstable*, changing magnitude of the value of a unit of product (2 roubles 75 kopeks, 2 roubles 50 kopeks, 3 roubles). Thus, it entirely denies the significance of the value of a unit of product as the centre of fluctuations of market prices and fundamental regulator of the capitalist economy.

- 4) The economic version loses sight of the fact that, in a given state of technique (namely the expenditure of $2\frac{3}{4}$ hours of socially-necessary labour on the production of one metre of woollen cloth), of all possible combinations making up 660,000 only one combination, namely 2 roubles 75 kopeks $\times$ 240,000 = 660,000, is the stable, constant combination of equilibrium. In contrast, the remaining combinations can be only temporary, transitory combinations of disequilibrium. The economic version confounds the state of *equilibrium* with the state of *disturbed equilibrium*, *value* with *price*.

Two aspects are to be distinguished in the economic version: it tries, first, to confirm certain *facts* and, second, to give them a theoretical *explanation*. It affirms that every change in the volumes of production (with an unchanged technique) brings about an *inversely-proportional* change in the market price of the product; because of this inverse proportionality of changes in these two magnitudes, their product represents an unchanging, constant magnitude. Thus, with the contraction of production of woollen cloth from 240,000 to 220,000 metres, i.e., to $11/12$, the price of one metre of woollen cloth will rise from 2 roubles 75 kopeks to 3 roubles, i.e., to $12/11$. The product of the number of products by the price of a unit of the commodity in both cases is equal to 660,000. Moving to the explanation of these facts, the economic version affirms that the quantity of labour allocated to the given sphere of production (660,000 hours of labour) is a constant magnitude, determining the sum of values and market prices of all products of the given sphere. Once this magnitude bears a constant character, change in the number of products manufactured in a given sphere occasions an inversely-proportional change in the value as well as in the market price of a unit of product. The quantity of labour allocated to the given sphere of production regulates both value and market price of a unit of product.

Even if the economic version adequately confirmed the fact of inversely-proportional changes in the quantity of products and the price of a unit of product, its theoretical explanation would not cease to be false. The rise in price of one metre of woollen cloth from 2 roubles 75 kopeks to 3 roubles in the case of the contraction of production from 240,000 to 220,000 metres would lead to a change in the market price of woollen cloth and to its deviation from

value, which would remain equal, as before, to 2 roubles 75 kopeks in accordance with unchanged technical conditions. In this way, the quantity of labour allocated to the given sphere of production would not be regulator of the *value* of a unit of product, but would regulate only its market *price*. The market price of a product at any moment would be equal to the above indicated quantity of labour, divided by the number of manufactured products. Certain^[470] proponents of the 'technical' version represent the matter in this way, they recognise the fact of inverse proportionality between changes in the quantity of products and their market prices, but reject the explanation given to this fact by the economic version.¹¹ There is no doubt that such a view, according to which the sum of the market prices of the products of a given sphere represents, despite all fluctuations of these prices, a constant magnitude, determined by the quantity of labour allocated to the given sphere, can find support in some of Marx's observations.¹² Nevertheless, we think that this proposition on the *inverse proportionality* between changes in the number of manufactured products and their market prices also runs into a whole series of very serious objections.

- 1) This proposition contradicts *empirical* facts, showing that, for example, with the doubling of the number of products their market price does not fall exactly to half the former price, but instead to a smaller or larger extent, in different degrees for different products. A particularly sharp difference in this regard can be observed between objects of primary necessity and objects of luxury. According to some calculations, the doubling of the quantity of bread lowers its price four or five times.
- 2) *Theoretically*, the proposition on the inverse proportionality between changes in the quantities of products and their prices is not proved. Why should the price rise from the normal price or value of 2 roubles 75 kopeks exactly to 3 roubles, i.e., to 12/11 of its original level with the contraction of production from 240,000 to 220,000, i.e., to 11/12 of the previous volume? Should not we think it possible that in a given branch of production, for example the production of cloth, the price of 3 roubles does not correspond to the volume of production of 220,000 metres, as the thesis of inverse proportionality assumes, but to that of 150,000 metres, as is shown in our Table 1? Where, in the capitalist economy, is the mech-

[470] 'certain' is 'many' in the second edition.

11 L. Lyubimov, *Course of Political Economy*, 1923, pp. 244–45.

12 *Theories of Surplus Value*, vol. 1, translation by G. Plekhanov, 1906, pp. 184–85, or translation by V. Zheleznev, pp. 150–51 [*Theories*, 1, p. 133, MEGA, II/3.2, p. 554].

anism which makes the sum of market prices of woollen cloth invariably equal to 660,000 roubles?

- 3) The last question discloses the *methodological* weakness of the thesis we are examining. In capitalist society, the laws of economic phenomena operate like 'the law of gravity' which 'asserts itself when a house falls about our ears' [*Capital*, I, p. 80, MEGA, II/6, p. 106], i.e., as a tendency, as a centre of fluctuations and constant deviations. The thesis we are now examining transforms the tendency or the law of phenomena into an empirical fact: the sum of market prices, not only in the condition of equilibrium, i.e., as the sum of market values, but also in any market conjuncture, at any moment, necessarily exactly coincides with the quantity of labour allocated to the given sphere. The presupposition of such a 'preestablished harmony' is not only not proved, but it also does not correspond to the general methodological foundations of Marx's theory of the capitalist economy.

The considerations developed above force us to refute the thesis on the inverse proportionality between changes in the quantity of products and their market price, or (which is the same thing) on the empirical constancy of the sum of market prices of the products of a given branch. The corresponding statements of Marx's must be understood, in our opinion, not in the sense of an exact *inverse proportionality*, but only in the sense of *inverse direction* between changes in the quantity of products and their market price. Every increase of production beyond its normal volume brings about a fall in price below value, a contraction of production brings about a rise in price. Both of these factors (the quantity of products and their market price) change in inverse direction, but not inversely proportionally. Because of this, the quantity of labour allocated to a given sphere does not only play the role of a centre of equilibrium, an average level of fluctuations toward which the sum of market prices tends, but also represents to a certain extent a mathematical average of this daily changing sum of market prices. But this character of a mathematical average in no way means an exact coincidence of both of these magnitudes, and in addition does not have a particular theoretical significance. In most cases we find in Marx precisely such a more careful formulation of the inverse change in the quantity of products and their market prices [*Capital*, III¹, pp. 178–9, MEGA, II/15, pp. 178–9, *Theories*, 2, p. 417, MEGA, II/3.4, p. 1420]. We are all the more justified in understanding Marx precisely in such a sense because we find in him sometimes a direct disapproval of the notion of this inverse proportionality. Marx points out that, in the case of a bad harvest, 'the aggregate price of the small supply of grain is larger than was the aggregate price of the bigger supply of grain' (*Critique*, p. 95, Russian translation, p. 90 [*Critique*, p. 339, MEGA,

11/2, p. 172]). This passage states the well-known law mentioned above, that the decrease in production of grain^[471] raises the price of a centner^[472] of grain to more than twice its former price, so that the total sum of prices of grain rises. In another passage, Marx rejects Ramsay's opinion, according to which the fall in the value of a product to half of its former value, due to technical improvement in its production, will be accompanied by the doubling of production: 'The value [of commodities] falls, but not *in proportion to* an increase in their quantity. For example, the quantity may double, but the value of individual commodities may fall from 2 to 1¼, and not to 1' (*Theories*, III, p. 407 [*Theories*, 3, p. 273, MEGA, II/3.5, p. 1792. Emphasis in original but omitted in Rubin's quotation]), as would follow according to the opinion of Ramsay and of adherents of the view we are examining. If the cheapening of a product, in consequence of an improvement of technique, from 2 to 1¼ roubles may be accompanied by a doubling of its production, then, on the contrary, an abnormal doubling of production may be accompanied by a fall in price from 2 to 1¼ roubles, but not to 1 rouble as the thesis of inverse proportionality requires.

Therefore, we consider inaccurate the contention that the *quantity of labour* allocated to a given *sphere of production* and divided by the number of *products manufactured in it* determines the *value* of a unit of product (as adherents of the economic version think), or exactly coincides with the *market price* of a unit of product (as adherents of the economic version and some proponents of the technical version think). The *value* of a unit of product is determined by the quantity of labour socially-necessary for its *production*, and, in a given state of technique, is a constant magnitude not changing with the quantity of manufactured products. As for the *market price*, it depends on the quantity of *manufactured products* and changes in the *inverse direction* (but *not inverse proportionality*) with changes in this quantity; but it does not coincide exactly with the quotient resulting from the division of the quantity of labour allocated to the given sphere by the number of manufactured products. Does this not mean that we completely ignore the quantity of labour allocated to a given sphere of production in the state of a proportional distribution of labour? Not at all. The tendency to a proportional (more accurately it should be said: a determinate, stable)¹³ distribution of labour among different spheres of pro-

[471] 'of grain' is 'of grain to half of its former quantity' in the second edition.

[472] 'centner' is 'pud' (about 16 kg) in the second edition, the same in the following.

13 The expression 'proportional' must not be understood in the sense of reasonable, expedient distribution of labour, such a thing is absent in capitalist society. We are speaking about a regularity, a certain constancy and stability, despite all everyday fluctuations and

duction, depending on the general state of the productive forces, is a fundamental phenomenon of economic life, subject to our investigation. But, as we have repeatedly emphasised, in capitalist society, with its anarchy of production, this tendency does not appear as the starting point of economic process but its final result, which does not manifest itself with precision in economic facts, but serves only as the centre of their fluctuations and deviations. We recognise that the quantity of labour allocated to a given sphere of production in the state of a proportional distribution of labour plays in the capitalist economy a certain role as regulator, but: 1) this is a regulator in the sense of a *tendency*, a level of equilibrium, a centre of fluctuations, never in the sense of an exact expression of empirical phenomena, namely market prices, and 2) which is even more important, this regulator is not fundamental and autonomous but belongs to an entire system of regulators and appears as a *derivative* from the basic regulator of this system, i.e., *value*, as the centre of the fluctuations of market prices.

Let us take an example with most simple figures. Let us assume that: a) the *quantity of labour* socially-necessary for the production of one metre of woollen cloth with a given average technique is equal to 2 hours, or the *value* of one metre is equal to 2 roubles; b) given this value, the *quantity of woollen cloth* capable of finding outlet on the market, hence the normal *volume of production*, amounts to 100 metres of woollen cloth; from here it follows that: c) the quantity of labour, allocated to the *given sphere of production*, amounts to 2 hours $\times$ 100 = 200 hours, or the total value of the products of the given sphere is equal to 2 roubles $\times$ 100 = 200 roubles. We have now three regulators or three regulating magnitudes, each of which is a centre of fluctuations of determinate empirical, actual magnitudes. Let us enter into the first magnitude: a₁) insofar as expressing the *quantity of labour* necessary for the production of one metre of woollen cloth (2 hours of labour), it cannot but exercise influence on^[473] the actual expenditures of labour in different enterprises of the cloth industry; if a given group of enterprises of the lowest productivity spend on the production of one metre not 2 but 3 hours of labour, they will be gradually chased out by the more productive enterprises if they do not learn their higher technique; if a given group of enterprises spends not 2 but 1½ hours, they will gradually force out the more backward enterprises, and with a lapse of time decrease the socially-necessary labour to 1½ hours; in a word, even though the individual

[473] 'cannot but exercise influence on' is 'is the centre of fluctuation of' in the second edition.

deviations, in the distribution of labour among particular branches depending on the general state of the productive forces.

and socially-necessary labour do not coincide, they manifest a tendency toward equalisation; a_2) as far as the same magnitude indicates the *value* of a unit of product (2 roubles), it is the centre of the fluctuations^[474] of market prices; with a fall in the market prices below 2 roubles a contraction of production in and even an outflow of capitals from the given sphere takes place, with a rise in the price above the value an inverse phenomenon; ^[475]value and market price do not coincide, but the former serves as the regulator, the centre of fluctuations of the latter.

Let us now move to the second regulating magnitude, designated by the latter b): the *normal volume of production*, 100 metres, is the centre of fluctuations of the actual volume of production in the given sphere; if the volume of production is larger than 100 metres, the price falls below the value of 2 roubles and a contraction of production begins; the contrary will take place in the case of underproduction. As we can see, the second regulator b) depends on the first a_2) not only in the sense that the magnitude of value determines, in a given state of the needs and purchasing power of the population, the volume of production, but also in the sense that the disturbance in the volumes of production (overproduction and underproduction) is corrected through the deviation of market prices from value. The normal volume of production, 100 metres b), is the centre of fluctuations of the actual volumes of production, precisely because the value of 2 roubles a_2) is the centre of fluctuations of market prices.

Let us pass finally to the third regulating magnitude c), representing the product of the first two or the derivative from them: namely $200 = 2 \times 100$, or $c = ab$. However, as we have seen, a) can have two meanings: a_1) indicates the quantity of labour, expended on the production of one metre of woollen cloth (2 hours), a_2) indicates the value of one metre (2 roubles). If we take $a_1b = 2$ hours of labour $\times 100 = 200$ hours of labour, we obtain the quantity of labour allocated to the *given sphere* of production in a state of proportional distribution of labour, or the centre of fluctuations of the actual expenditures of labour on the given sphere. If we take $a_2b = 2$ roubles $\times 100 = 200$ roubles, we obtain the sum of values of the products of the given sphere, or the centre of fluctuations of the sum of market prices of the products of the given sphere. In this way, we do not at all deny that the third magnitude c) = 200 too plays the role of a regulating magnitude, a centre of fluctuation, but we deduce this role from its regulating role of its components, a) and b). As we can see, $c = ab$, and the regulating role of c) is the derivative resulting from the regulating role of a) and

[474] 'fluctuations' is 'fluctuation' in the second edition.

[475] In the second edition here is 'once again', deleted in the third edition.

b). 200 hours of labour is the centre of fluctuations of the quantity of labour expended on the given sphere precisely because 2 hours of labour indicates the average expenditure^[476] of labour on a unit of product, and 100 metres is the centre of fluctuations of the volumes of production. Exactly in the same way, 200 roubles are the centre of fluctuations of the sum of market prices of the products of the given branch, precisely because 2 roubles or the value is the centre of fluctuations of the market price of a unit of product, and 100 metres is the centre of fluctuations of the volumes of production. All three regulating magnitudes a), b), and c), represent a unitary regulating system, in which c) is the derivative from a) and b), and b) in turn changes with changes in a). This latter magnitude, i.e., the *quantity of labour, socially-necessary* for the production of a unit of product (2 hours of labour), or the *value* of a unit of product (2 roubles), appears as the *fundamental regulating magnitude* of the entire system of equilibrium of the capitalist economy.

We have seen that $c = ab$, i.e., c) may change either with change in a) or with change in b). This means that the quantity of labour, allocated to the given sphere, deviates from the state of equilibrium (or from the proportional distribution of labour), either because, when the normal quantity of products is manufactured, a quantity of labour larger or smaller than the socially-necessary quantity is spent on the production of a unit of product; or because, when the normal quantity of labour is spent on a unit of production, an excessively large or small number of these units are produced in comparison to the normal volume of production. In the first case, 100 metres are produced, but under technical conditions, for example, lower than the average level, with the expenditure of 3 hours of labour per metre. In the second case, the expenditure of labour per metre is equal to the normal magnitude, 2 hours of labour, but 150 metres are produced. In both cases, the total expenditure of labour in the given sphere amounts to 300 hours of labour instead of normal 200 hours, and on this basis adherents of the economic version consider both cases to be equivalent. They assert that an excessive volume of production is the same as an excessive expenditure of labour on each unit of product. This contention of theirs is explained by the fact that all of their attention is directed exclusively to the derived regulating magnitude c); from this point of view, in both cases there is equally excessive expenditure of labour in the given sphere, 300 instead of 200 hours of labour. But if we do not stick to the derived magnitude but instead move on to its components, these basic regulating magnitudes, the picture will

[476] 'indicates the average expenditure' is 'is the centre of fluctuations of expenditures' in the second edition.

change. In the first case, the cause of the deviation lies in the field of a) (the expenditure of labour on a unit of product), in the second case, it lies in the field of b) (the quantity of manufactured products). In the first case, the equilibrium among enterprises of different productivity within a *given sphere* is disturbed, in the second case, the equilibrium between the volumes of production in the given sphere and in others, i.e., the equilibrium among *different spheres of production*, is disturbed. Therefore, in the first case, equilibrium will be restored by redistributing productive forces from technically backward enterprises to more productive ones within the given sphere; in the second by redistributing productive forces among various spheres of production. The confusion of these two cases would mean to sacrifice the interests of scientific investigation of economic phenomena for superficial analogies and 'forced abstractions', an expression Marx often uses, i.e., the desire to force phenomena of different economic nature into the same concept of socially-necessary labour.

In this way, the basic error of the 'economic' version does not consist in the fact that it generally recognises the regulating role of the quantity of labour allocated to a given sphere of production in a state of proportional distribution of labour, but in the fact that: 1) it understands inaccurately the role of a regulator in the capitalist economy in transforming it from the *level of equilibrium*, from the centre of fluctuations, into the expression of *empirical facts*, and 2) it attributes to this regulator an *independent and fundamental* character, whereas it belongs to an entire system of regulators and bears a *derived* character. Value cannot be deduced from the quantity of labour, allocated to a given sphere, since this quantity^[477] itself changes with changes in value, expressing the development of labour productivity. The 'economic version', in spite of the claims of its adherents, does not complement the 'technical version', but discards it: affirming that value changes, given constant technique, with the number of manufactured products, the 'economic version' rejects the concept of value as a magnitude depending on the productivity of labour. On the other hand, the 'technical version' is completely capable of explaining the phenomena of proportional distribution of labour in society and the regulating role of the quantity of labour allocated to a given sphere of production, i.e., those phenomena, the explanation of which is among the missions of the economic version, in the opinion of its adherents.

[477] 'this quantity' is 'the latter' in the second edition.

3 Value and Volumes^[478] of Production

Above, in our tables of demand and supply, we have assumed that, when the volumes of production increase, the expenditures of labour necessary for the production of a unit of product remain as former. Let us now introduce a new complicating assumption, namely that a new, additional quantity of products is produced under *less advantageous conditions* than before. We can remember Ricardo’s well-known theory of differential rent, according to which the increase in demand for grain as a result of population growth makes it necessary to cultivate less fertile land or plots of land more distant from the market. Because of this, the quantity of labour necessary for the production of a centner of grain in the least favourable conditions (or for its transportation) increases. Since namely this quantity of labour determines the value of the entire mass of grain produced, the value of grain rises. The same can be observed in the mining industry when moving from rich to poor mines. An increase in production is accompanied by a rise in the value of a unit of product, whereas above we have assumed the value of a unit of product to be independent of the volume of production. An analogous state of affairs can be found in the branches of manufacturing industry where production is carried on in enterprises with different levels of productivity, and it is further assumed that the enterprises with the highest level of productivity, which would be able to produce commodities at the lowest price, are not capable of producing such a great quantity of products for which would appear the demand on the market at such a low price. Due to this, the production would have to be extended also to enterprises with average or lower productivity levels, and the market value of the commodity would be determined by the value of products manufactured under the average or worse conditions (cf. the chapter [16] on socially-necessary labour). Here the *increase in production* means a *rise in value*, consequently, in the price of a unit of product. We obtain the following table of *supply*:

TABLE 3

When the volume of production (in metres) is:	Price of production (or value) is equal to:
100,000	2 roubles 75 kopeks
150,000	3 roubles
200,000	3 roubles 25 kopeks

[478] ‘volumes’ is ‘volume’ in the second edition.

We assume that, if the price level is below 2 roubles 75 kopeks, producers will not produce at all and put an end to the production (with the exception, probably, of an insignificant group of producers, which is not taken into account). In accordance with the rise in price to the level of 3 roubles 25 kopeks, enterprises with average and lower productivity will be involved in the production. However, a price above 3 roubles 25 kopeks would give enterprises so high a profit that at such a price we may consider unlimited the volume of production, at least practically, taking into consideration the limitedness of demand. Thus, the prices may fluctuate from 2 roubles 75 kopeks to 3 roubles 25 kopeks, and the volume of production from 100,000 to 200,000 metres. At which level will the price and volume of production be established?

Turning back to the first demand Table 1 and contrast it with the supply table given above, we can see that the price is established at the level of 3 roubles with the volume of production of 150,000 metres. Precisely in this case, equilibrium will be established between demand and supply, and price will coincide with labour value (or the price of production), determined by expenditures of labour in enterprises with an average productivity. Now let us assume, as we have done above, that for some reason or other reasons (in consequence of an increase in the purchasing power of the population, or of a strengthening imminence of^[479] need), the demand for woollen cloth has risen and is expressed by Table 2. The price of 3 roubles cannot be maintained, since at such a price the supply will be 150,000 metres, but the demand 240,000 metres. With such an excess of demand the price will rise as long as it will not attain the level of 3 roubles 25 kopeks. At that price both the demand and supply will be equal to 200,000 metres, and be in the state of equilibrium. At the same time, the new price of 3 roubles 25 kopeks will coincide with the new, increased value (or price of production), which will now be regulated by the expenditures of labour in the enterprises with a lower productivity as a result of the expansion of production from 150,000 to 200,000 metres.

If we have said above that the increase in demand influences the volume of production without influencing the magnitude of value (previously, with the increase of production from 240,000 to 280,000 metres value remained at the former level of 2 roubles 75 kopeks), in the present case the increase in demand brings about the expansion of production from 150,000 to 200,000 metres and

[479] 'imminence' is 'constraint' in the second edition.

the concomitant rise in value from 3 roubles to 3 roubles 25 kopeks. It is as if demand were determined by value.

Such is the conclusion to which representatives of the Anglo-American and mathematical schools^[480] of political economy, including Marshall,¹⁴ assign a decisive significance. Some of them affirm that, with his theory of differential rent, Ricardo essentially subverted his own theory of labour value and opened the door for a theory of demand and supply he had himself rejected, and in the last analysis for theories which determine the magnitude of value by the intensity of needs. The arguments of these economists^[481] are as follows. Value is determined by the expenditures of labour on the worst lands or generally under the least favourable conditions. That is, the value rises accordingly as the production extends to worse lands or generally to less productive enterprises, i.e., according to the increase in production. But, since the increase in production is occasioned by the strengthening of demand, it follows that value does not regulate demand and supply, as Ricardo and Marx thought, but value itself is determined by the demand and supply.

Proponents of the arguments described above keep quiet about a very essential circumstance. In the example we have examined, *change in the volume of production* means at the same time change in *technical conditions of production* in the given branch. Let us take three examples.

In the first case, production is carried on only in better enterprises, launching onto the market 100,000 metres at the price of 2 roubles 75 kopeks; in the second case (from which we have started in our example), production is carried on in better and average enterprises, manufacturing together 150,000 metres at the price of 3 roubles; in the third case, production is carried on in better, average, and worse enterprises, and accomplishes 200,000 metres at the price of 3 roubles 25 kopeks. In these three cases, corresponding to

[480] 'Anglo-American and mathematical schools' is 'the mathematical school' in the second edition.

[481] 'economists' is 'adherents of the mathematical school' in the second edition.

14 In Russian language, information about these schools ['the mathematical school' in the second edition] can be found in the following books: I. Blyumin, *The Subjective School in Political Economy*, 1928 [Blyumin's book is not mentioned in the second edition]; N. Shaposhnikov, *The Theory of Value and Distribution*, Moscow, 1912; L. Yurovsky, *Essays on the Theory of Price*, Sakharov, 1919; A. Billimovic, *On the Problem of the Evaluation of Economic Goods*, Kiev, 1914. [on these authors and their works, cf. François Allisson, *Value and Prices in Russian Economic Thought – A journey inside the Russian synthesis, 1890–1920* –, Routledge, 2015].

Table 3, what is different is not only the volumes of production but also the technical conditions of production in the given branch. Value changed precisely because the conditions of production in the given branch changed. From the case in question, we should never draw the conclusion that the changes in value are not determined by the technical conditions of production but by the changes in demand. On the contrary, the only possible conclusion is that the changes in demand cannot influence the magnitude of value otherwise than through the changed technical conditions of production in the given branch. Consequently, the fundamental proposition of Marx's theory that changes in value are determined exclusively by the technical conditions of production remains fully valid. Demand cannot influence value directly, but only indirectly, by modifying the volume of production and thus its technical conditions. Does such an indirect influence of demand on value contradict Marx's theory? Not at all. Marx's theory affirms the causal dependence of the changes in value on the development of the productive forces, but the latter are in turn subject to the influence of a whole series of social, political, and even cultural conditions (for example, the influence of literary and technical education on labour productivity). Has Marxism ever denied that tariff policy or enclosures can influence the development of the productive forces of a country? But, influencing the development of productive forces, they can indirectly lead to a change in the value of products. The prohibition of the import of cheap foreign raw materials, and consequent necessity of procuring them domestically with large expenditures of labour, raises the value of goods manufactured from these raw materials. Enclosures, resulting in expelling the agricultural population to worse lands more distant from the market, raise the value of grain. Does this mean that the change in value is brought about by enclosures or tariff policy, but not by changes in the technical conditions of production? On the contrary, we draw from this the conclusion that economic and social conditions of every kind, including changes in demand, can influence value along with the technical conditions of production, but only through change in the technique of production itself, which remains in this way the sole determining factor of value as before.

Marx considered entirely possible such an indirect kind of influence on value of demand, enacted through change in the technical conditions of production. In one place he mentions the same case of a move to worse conditions of production, which we have examined. 'In some lines of production it (the increase in demand – *I.R.*) may also bring about a rise in the market value itself after the lapse of a shorter or longer time, with a portion of the desired products having to be produced under worse conditions during this period' [*Capital*, III¹,

pp. 190–1, MEGA, II/15, p. 190].¹⁵ [482] On the other hand, a fall in demand can also exercise indirect influence on the magnitude of the value of the product. ‘For instance, if the demand, and consequently the market-price, fall, capital may be withdrawn, thus causing supply to shrink. It may also be that the market value itself shrinks and balances with the market price as a result of inventions which reduce the necessary labour time’ [ibid., p. 190, II/15, p. 190]. ‘In this case, the *price* of the commodity would have changed the value of the commodity by affecting supply, and the production costs’ (*Theories of Surplus Value*, vol. II, Petrograd, 1923, p. 132 [*Theories*, I, p. 261, MEGA, II/3.3, p. 683. Emphasis in original, but not reproduced in Rubin’s quotation]). As is well known, the introduction of new technical methods of production, reducing the value of products, takes place on large scales under the influence of crises and contraction of outlet. No one will claim that in these cases the fall in value be the result of a decrease in demand, but not of an improvement in the technical conditions of production. We have equally little foundation for affirming that, in the case given above, [483] the rise in value is the result of an increase in demand, but not of a worsening of average technical conditions of production in the given branch.

Let us approach the same question from another side. Adherents of the theory of demand and supply affirm that only competition, or the point of intersection of demand and supply curves, determines the level of prices. Proponents of the theory of labour value affirm that this point of intersection and equilibrium of demand and supply does not change at random, but fluctuates around a certain level, determined regularly by the technical conditions of production. Let us examine what would become of the case we have given above.

The demand table always shows us a multitude of possible combinations of volumes of demand and price, but not gives any indication which of these combinations will have the chance of actual realisation. No one combination has greater chances than the others. But, as soon as we turn to the supply table, we will immediately be able to say with confidence: the technical structure of

[482] This sentence runs as follows in the second edition: ‘Also a fall in demand can exercise analogous influence.’

[483] ‘case given above’ is ‘first case’ in the second edition.

15 Marx says in his original text: ‘a rise in the market value itself for a more or less lasting time’ (*Capital* III, I, p. 170). The case given by Marx, in which an increase in demand raises the value of a unit of product through the move to worse conditions of production, was well-known also to Ricardo (*Principles of Political Economy*, translated by D. Ryazanov, 1908, p. 71). Many analogous examples can be found in chapters of *Capital* and *Theories*, devoted to the differential rent.

the given branch of production and the level of development of labour productivity within it limit in advance the ranges of fluctuations of value between 2 roubles 75 kopeks and 3 roubles 25 kopeks. Whatever may be the volumes of demand, a fall of price below 2 roubles 75 kopeks under given technical conditions will make further production disadvantageous and impossible, while a rise of the price above 3 roubles 25 kopeks will bring about enormous increase in supply and inverse movement of prices; that is, only three determinate combinations of supply, subject to the technical conditions in the given branch, will be contraposed in advance to innumerable multitude of combinations of demand. The *maximum* and *minimum* of possible changes are established in advance, and our main task in studying demand and supply consists in finding 'the regulating limits or limiting magnitudes' [*Capital*, III¹, p. 363, MEGA, II/15, p. 353].

So far we know only the ranges of changes in value, but we do not yet know whether this value will be equal to 2 roubles 75 kopeks or 3 roubles 25 kopeks. What can be explained by the technical conditions of production is the fact that the change in the volumes of production (100,000, 150,000, or 200,000 metres) and its diffusion to worse enterprises change the average magnitude of expenditures of socially-necessary labour on a unit of product, i.e., change the value (or price of production).

Of the three possible equations of value, that which will be actually realised is the one in which the volume of supply coincides with the volume of demand (in the first demand table value is equal to 3 roubles; in the second demand table, 3 roubles 25 kopeks). But in both cases the value completely corresponds to the *technical conditions of production*; in the first case the production of 150,000 metres is carried on in better and average enterprises, in the second case for the production of 200,000 metres worse enterprises operate too, which raises the average expenditure of socially-necessary labour, and hence the value. Consequently, we arrive at the former conclusion: that demand can directly influence only the volume of production. But, since a change in volumes of production is, given the technical characteristics in the given branch, equivalent to a change in average technical conditions of production, it calls forth also a rise in value. In each of the given cases, the ranges of possible changes in value as well as the magnitude of value, which is actually established (of course, as the centre of fluctuations of market prices), are entirely subject to the technical conditions of production. Despite a series of complicating conditions and detours, ^[484] our analysis, insofar as it has as its objective to deduce

[484] This phrase is put in the end of the previous sentence in the second edition.

a regularity in the seeming chaos of the movement of prices and competition, in the interrelations of demand and supply, appearing accidental at first sight, invariably leads us to the development of productive forces, which is expressed, in commodity-capitalist society, in the specific social form of value and in the changes in the magnitude of value.¹⁶

4 The Equalisation of Demand and Supply

After the preceding analysis it will not be difficult for us to define our position vis-à-vis the well-known 'equalisation of demand and supply,' in which the mathematical school formulates its theory of price. This theory revives the old theory of demand and supply, eliminating its internal logical contradictions, on a new methodological basis. If the former theory asserted that price is determined by the interrelation of the volumes of demand and supply, the contemporary mathematical school firmly remembers that the volumes of demand and supply themselves depend on price. In this way, the contention of a causal dependence of price on demand and supply is transformed in a vicious circle. The theory of labour value gets out of this vicious circle: it recognises that, although price is determined by demand and supply, these two variables are in turn regulated by the law of value, change independently of^[485] the development of productive forces and of^[486] the change in the quantity of socially-necessary labour. The mathematical school chose another exit from the vicious circle: it refused to ask the question itself about the causal dependence of the phenomena of price, restricting itself to the mathematical formulation of functional dependences between the price on the one hand and the volumes of demand and supply on the other. It does not ask *why* price changes, but only shows *how* parallel changes proceed in price on the one hand and in demand and supply

[485] "independently of" is 'depending on' in the second edition.

[486] 'of' is 'on' in the second edition.

16 The fact of *increase* in the costs of production (counted per unit of product) in accordance with increase in the volumes of production is placed at the basis of Ricardo's theory of rent and emphasised by representatives of the Anglo-American and mathematical schools. We have considered it necessary to pay special attention to this fact in view of the theoretical interest, which this question represents for the theory of value. In practice this question has a great significance in the field of agriculture and extractive industry. But in the manufacturing industry we find more frequently cases of *contraction* of the costs of production (counted per unit of product) in accordance with increase in the volumes of production.

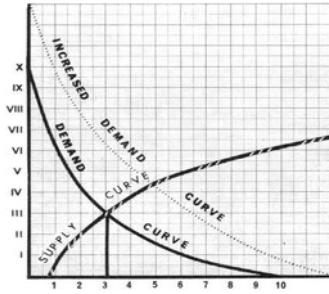


DIAGRAM 1 Demand curve and supply curve

on the other. It illustrates this functional dependence of phenomena in the above diagram.¹⁷

The segments along the horizontal axis, 1, 2, 3, etc. (so-called *horizontal coordinates*) show the price of a unit of a commodity: 1 rouble, 2 roubles, 3 roubles, and so on. The segments along the vertical axis I, II, III, etc. (so-called *vertical coordinates*) show the quantity of demand and supply, for example, I means 100,000 units of the commodity, II meaning 200,000 units and so on. The demand curve slopes downward, it starts high at low prices and falls according to the rise in price; at a price near to zero, demand is above X, i.e., 1,000,000, at the price of 10 roubles, demand falls to zero. For every price there is a corresponding volume of demand. To know the volume of demand, for example, at the price of 2 roubles, we must extend a vertical line from the figure 2 to its intersection with the demand curve. This vertical coordinate will be equal approximately to IV, i.e., the demand at the price of 2 roubles will be equal to 400,000. The supply curve moves in a direction contrary to the demand curve, rising with the rise in price. The point of intersection of the demand and supply curves determines the price of the commodity. Lowering the vertical coordinate from this point of intersection, we see that it comes nearer to the figure 3, i.e., the price will be equal to 3 roubles. The vertical coordinate itself will be equal approximately to III, i.e., at the price of 3 roubles, demand and supply will be 300,000, i.e., demand and supply balance each other, they are in equilibrium. This is the equalisation of demand and supply, taking place in this case at the price of 3 roubles. At every other price the equalisation is impossible,

17 The diagram can be found in the Russian language in the following books: Ch. Gide, *Basic Elements of Political Economy* [original in French, *Principes d'économie politique*, Sirey], 1916, p. 233; Ch. Gide, *A History of Economic Theories* [original in French, *Histoire des doctrines économiques: depuis les physiocrates jusqu'à nos jours*, Sirey], 1918, p. 413; N. Shaposhnikov, *Theory of Value and Distribution*, 1910, Chapter 1.

since at a price below 3 roubles demand will exceed supply, at a price above 3 roubles supply will exceed demand.

It follows from the diagram that price is determined exclusively by the point of intersection between the demand and supply curves. Since this point of intersection moves with every shift of one of the curves, for example, the demand curve, it appears at first glance that the change in demand changes price, even there is no changes whatsoever in the conditions of production. For example, in the case of a rise in demand (on the diagram, the dotted curve of 'increased demand'), the demand curve intersects with the same supply curve at a different point, which is on the figure 5. This means that in the case of such an increase in demand, the equalisation between demand and supply will come out at a price equal to 5 roubles. It is as if price were not determined by the conditions of production, but exclusively by the demand and supply curves. The change in demand would in itself change the price, considered identical with value.

Such a conclusion is the result of an erroneous construction of the supply curve. It is constructed on the model of the demand curve, but in the inverse direction, starting from the lowest price. Certainly, the mathematical economists understand that at a price near to zero, there will be no supply of commodities, therefore they start the supply curve not from zero but from a price near to 1, on our diagram it starts approximately from $2/3$, i.e., from 66 $2/3$ kopeks. At the price of 66 $2/3$ kopeks, supply approaches approximately the half of 1, i.e., it is equal to 50,000; at the price of 3 roubles, it will be equal to 111, i.e., 300,000; and at the price of 10 roubles, it will rise approximately to the level of VI–VII, i.e., it will be toward 650,000 units of the commodity. Such a supply curve is possible, if the question is about the market conjuncture of a given day, about the supply at a *given moment*. It is possible that, assuming a normal price of 3 roubles and a normal volume of supply of 300,000, due to a catastrophic fall of price to 66 $2/3$ kopeks, a minority of producers will still be obliged to sell the commodity even at such a low price, namely 50,000 units at this price. On the other hand, an unusual increase in price to 10 roubles forces producers to throw onto the market all the stock and to extend production immediately, insofar as is possible. It can happen, though not very probably, that in this way they succeed in selling out on the market 650,000 units of commodity. But let us pass from an accidental price of one day to a constant, stable, *average price*, determining a constant, *average, normal volume of demand and supply*. If we want to find out on the diagram a functional connection between an average level of price and average volumes of demand and supply, we will soon notice the incorrect construction of supply curve. If for the average price of 3 roubles there is a corresponding average volume of sup-

ply of 300,000, the fall of the average price to $66 \frac{2}{3}$ kopeks, given the former technique of production, will not result in a fall of the average supply to 50,000, but in a complete cessation of supply and an outflow of capitals from the given branch to others. On the other hand, if the average price, with the conditions of production remaining the same, rose from 3 to 10 roubles, it would occasion an uninterrupted inflow of capitals from other branches, and the increase in the average volume of supply would not remain at 650,000 but would go on even further. Theoretically, supply would rise until the given branch of industry completely swallowed up all the rest. Practically, the volumes of supply would exceed any magnitude of demand and might be taken as an unlimited magnitude. As we can see, some instances of equilibrium between demand and supply, presented on the diagram, inevitably lead to the disturbance of equilibrium among different branches of industry, i.e., to the transfer of productive forces from one branch to another. Since such a transfer changes the volumes of supply, this disturbs also the equilibrium between demand and supply. The diagram gives us, consequently, only a *momentary snapshot of the state of the market*, but does not show us a *long-term, stable equilibrium between demand and supply*, which can be theoretically understood only as the result of *equilibrium among various branches of production*. From the point of view of the equilibrium in the distribution of social labour among different branches of production, the supply curve must have a form completely different from that in Diagram 1.

Let us assume first, as at the beginning of this chapter, that, with given technical conditions, the price of production (or value) of a unit of product amounts to a definite magnitude (for example, 3 roubles), irrespective of the volume of production. This means that at the price of 3 roubles the equilibrium is established between the given branch of production and the others and the transfer of capitals from one branch to others ceases. From this it follows that a fall in price below 3 roubles brings about an outflow of capitals from the given sphere and a tendency to the complete cessation of supply of the given commodity; but a rise in price above 3 roubles brings about an inflow of capitals from other spheres and a tendency to an unlimited increase in production (let us remember that here and later the question is not about a temporary rise or fall in prices, but about their constant, long-term level, as well as about average, long-term volumes of supply and demand). Thus, at a price below 3 roubles, supply will be totally absent; at a price above 3 roubles, it can be taken, in comparison to demand, as an unlimited magnitude. We will not have any supply curve, and the equilibrium between demand and supply can be established only at a level of price coinciding with value (3 roubles). The *magnitude of value* (3 roubles) *determines the volume of effective demand for the given commodity*

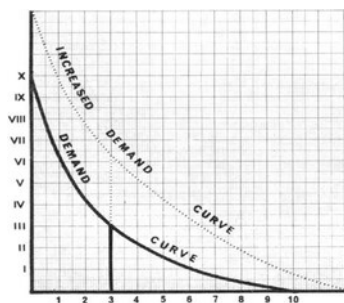


DIAGRAM 2 Technique of production and demand

and the corresponding volume of supply (300,000 units of the commodity). The diagram has the above form.

As we can see from this diagram, the technical conditions of production (or socially-necessary labour in the so-called technical meaning) determine the value or the centre around which average prices fluctuate (in capitalist society, such a centre will not be the labour value but the price of production). The vertical coordinate can be recovered only from the figure 3, meaning the value of 3 roubles. But the demand curve determines only the point to which this vertical coordinate goes on, i.e., the volume of production, which arrives approximately at III on the diagram, i.e., 300,000. Change in the demand curve, for example, an increase in demand for one or another reason, can only raise the volume of supply (in this case to VI, i.e., 600,000), as can be seen from the dotted curve on the diagram, but it cannot raise the average price, which remains 3 roubles as before.

Let us now introduce, as we have done above, a complicating condition. Let us assume that in a given sphere enterprises of higher productivity can bring to the market only a limited quantity of products, and that the remaining products must be manufactured in average or worse enterprises. At the price of 2 roubles 50 kopeks, equal to the price of production (or value) in the better enterprises, the volume of supply is equal to 200,000 units; at the price of 3 roubles, it is equal to 300,000 units; and at the price of 3 roubles 50 kopeks, it is equal to 400,000 units. At an average price below 2 roubles 50 kopeks, a tendency to complete cessation of production becomes evident; at an average price above 3 roubles 50 kopeks there will be a tendency to its unlimited increase. In view of this, the fluctuations of average prices are restricted in advance between the minimum of 2 roubles 50 kopeks and the maximum of 3 roubles 50 kopeks. Within these limits, three levels of average prices or value are possible: 2 roubles 50 kopeks, 3 roubles, and 3 roubles 50 kopeks, each of which corresponds to a determinate volume of production (200,000, 300,000,

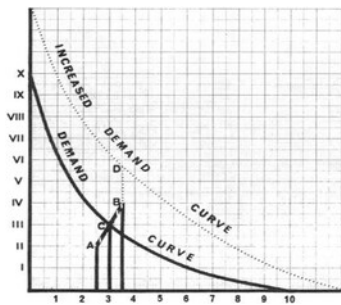


DIAGRAM 3 Demand, supply and technique of production

and 400,000), and consequently, a determinate level of technique of production. The diagram takes on the above form.

In Diagram 2 the supply of commodities from producers took place only at the price of 3 roubles, here the supply begins to work as soon as the price attains 2 roubles 50 kopeks, the supply is in this case equal to II, i.e., 200,000 (the vertical coordinate, going from the horizontal line to the letter A). At the price of 3 roubles, the supply arrives at the letter C, equal to III, i.e., 300,000; at the price of 3 roubles 50 kopeks, it arrives at the letter B, equal to IV, i.e., 400,000. The line ACB is also a supply curve. The point of intersection of this supply curve with the demand curve (point C) determines the actual volume of supply and the corresponding value or centre of fluctuations of price. In this case, the price is established at 3 roubles, and the volume of production is III, i.e., 300,000. Production will be carried on in better and average enterprises, and for these technical conditions of production the corresponding value and average price is 3 roubles. If the average demand curve shifted slightly downward in consequence of a long-term decrease of demand, the curve would intersect with the supply curve at the point A; in such a case, the average volume of supply would be equal to 200,000, production would be carried on only in better enterprises, and value would fall to 2 roubles 50 kopeks. If the demand curve rose slightly in consequence of an increase of demand, it would intersect with the supply curve at the point B; the average volume of supply would be equal to IV, i.e., 400,000, and value, 3 roubles 50 kopeks. In this way, the interrelation between the demand and supply curves, which was formulated and represented in Diagram 1 by the mathematical school, actually exists (as far as the question is about the average price and average volumes of demand and supply) only within narrow boundaries of fluctuation of value between 2 roubles 50 kopeks and 3 roubles 50 kopeks. These are boundaries entirely established

by the *technique of production* in the enterprises with different productivity, and by the *quantitative relation* among these enterprises, i.e., the *average technical structure of this branch*. Only within these narrow boundaries does supply have the form of a rising curve, every point of which indicates the volume of production and its corresponding value. Only within these narrow boundaries does change in the demand curve, in shifting the point of its intersection with the supply curve (points A, C, or B), change at the same time the volume of production, and, in influencing in this way the average technical conditions in which the total mass of commodities are produced, change the magnitude of value (2 roubles 50 kopeks, 3 roubles, 3 roubles 50 kopeks). But such an influence of demand on value takes place only through change in the technical conditions of production, and is limited by narrow boundaries, depending on the technical structure of the given branch. As soon as demand goes beyond these boundaries, its indirect influence on value, via the technique of production, comes to an end. Let us assume, for example, that demand increases, as is shown by the dotted curve on the diagram. In Diagram 1, constituted by proponents of the mathematical school, such an increase in demand leads to the intersection of the demand curve with the supply curve at a point corresponding to the price of 5 roubles. Increase in demand would immediately raise the value of the commodity. On Diagram 3, the average price cannot rise above 3 roubles 50 kopeks, since such an increase in price would bring about a tendency to an unlimited growth of supply, apt to outstrip demand. The supply curve does not extend beyond B. Therefore, the increased demand curve does not intersect with the supply curve, but with the projection of the vertical coordinate going through the point B and corresponding to the maximal average price of 3 roubles 50 kopeks. That is, with a rise in demand the volume of production increases to VII, i.e., 700,000, but value and average price remain 3 roubles 50 kopeks as before (more precisely, the price will slightly *exceed* 3 roubles 50 kopeks, and tend toward this price *from above*, since exactly at the price of 3 roubles 50 kopeks, the volume of production will be established, according to our assumption, only at 400,000). In this way, the difference between Diagram 1 and Diagram 3 is in the following:

In Diagram 1, we have two curves (of demand and supply), not regulated by the conditions of production. Their intersection can occur at *any* point, depending solely on the direction of both of the curves; consequently, the intersection may be established by competition at *any level*. Every change in demand immediately changes price, considered as identical with value.

In Diagram 3, supply does not in advance have the form of a curve admitting an infinite multitude of points of intersection, but of a short line segment ACB, determined by the *technical conditions of production*. Competition is regu-

lated in advance by the conditions of production. These conditions establish the *boundaries* of variations of value and average prices. On the other hand, value, established in each case within these limits, corresponds exactly to the *conditions of production* accompanying the given volume of production. Demand cannot influence value *directly* and *without limit*, but only *indirectly*, via change in the *technical conditions* of production, and within *narrow boundaries* subject to the same conditions. In this way, the following fundamental proposition of Marx's theory remains valid: value and its changes are determined exclusively by the state and development of the *productivity of labour*, or by the quantity of social labour necessary for the production of a unit of a given commodity under the average technical conditions.

Value and Prices of Production

Finishing the investigation of the relations of production among commodity producers (the theory of value) and between capitalists and labourers (the theory of capital), in Volume III of *Capital* Marx moves on to the investigation of relations of production among industrial capitalists of various spheres of production (the theory of the prices of production). The competition of capitals among different spheres of production leads to the formation of a general average rate of profit and to the sale of commodities at prices of production, equal to costs of production plus average profit, and quantitatively not coinciding with the labour value of commodities. But the magnitude of the costs of production and the average profit as well as their changes are explained by changes in the productivity of labour and in the labour value of commodities; this means that the laws of changes in the prices of production can be understood only in starting from the law of labour value. On the other hand, the average rate of profit and the price of production, as regulators of the distribution of capitals among various branches of production, indirectly (through the distribution of capitals) regulate also the distribution of social labour among different spheres of production. The capitalist economy is a system of distributed *capitals*^[488] in dynamic equilibrium, but at the same time it does not cease to be a system of distributed *labour*^[489] in dynamic equilibrium, as every economy built on a division of labour. It is only necessary to detect behind the visible process of the distribution of capitals the invisible process of the distribution of social labour. Marx succeeded in showing clearly the connection between these two processes because he explained the concept serving as the connecting link between them, namely the concept of the *organic composition*^[490] of capital. As we know the division of a given capital into constant and variable capital and the rate of surplus value, we can easily determine the quantity of labour set in motion by this capital, i.e., we can move from the distribution of capital to the distribution of labour.

In this way, if in Volume III of *Capital* Marx gives the theory of the *prices of production* as the regulator of the *distribution of capitals*, this theory is connec-

[487] This chapter is inserted in the second edition.

[488] '*capitals*' is italicised in the third edition.

[489] '*labour*' is italicised in the third edition.

[490] '*organic composition*' is italicised in the third edition.

ted to the theory of value with two links: on the one hand, the prices of production are derived from labour value, and on the other hand, the distribution of capitals leads to the distribution of social labour. Instead of the schema of simple commodity economy: *productivity of labour – abstract labour – value*^[491] – *distribution of social labour*, for the capitalist economy we obtain a more complex schema: *productivity of labour – abstract labour – value*^[492] – *prices of production – distribution of capitals – distribution of social labour*. Marx's theory of the prices of production does not contradict the theory of labour value, rather the former is built on the basis of the latter and includes it as one of its components. This is understandable if we remember that the theory of labour value studies only one type of relations of production among people (that among commodity producers), but the theory of the prices of production presupposes the existence of all three basic types of relations of production among people in capitalist society (relations among commodity producers,^[493] relations between capitalists and labourers, relations among individual groups of industrial capitalists). If we take only these three types of relations of production, the capitalist economy may be comparable to a three-dimensional space, in which the positioning is possible only by means of three dimensions or three planes. Just as a three-dimensional space cannot be reduced to one plane, the theory of the capitalist economy cannot be reduced to one theory, the theory of labour value. But just as it is necessary for positioning in space to determine the distance of a given point from each of three standard planes, the theory of the capitalist economy presupposes the theory of relations of production among commodity producers,^[494] i.e., the theory of labour value. Opponents of Marx who finds a contradiction between the theory of labour value and the theory of the prices of production do not understand Marx's method, consisting in the consistent investigation of various types of relations of production of people or, so to speak, of various social dimensions.

1 Distribution and Equilibrium of Capitals

As we have seen, Marx studies changes in the value of commodities in their close connection to the labour activity of commodity producers. The exchange of two products of labour at their labour value means that equilibrium exists

[491] '*– abstract labour – value*' is '*–labour value*' in the second edition.

[492] The same as in ^[491].

[493] 'producers' is 'possessors' in the second edition.

[494] The same as in ^[493].

between two given branches of production. Changes in the labour value of the products disturb this equilibrium of labour, bring about a transfer of labour from one branch of production to another, a redistribution of productive forces in the national economy. Changes in the productive power of labour cause^[495] an increase or decrease in the quantity of labour necessary for the production of a given commodity, and consequently, ^[496] a corresponding increase or decrease of its labour value; changes in the latter in turn bring about a different distribution of labour between the given branch of production and others. The productivity of labour influences, through labour value, the distribution of social labour.

Such a more or less direct^[497] causal relation between the labour value of products and the distribution of social labour presupposes that changes in the labour value of products directly affect producers as organisers of production, occasioning their transfer from one sphere of production to another, and consequently, a redistribution of labour. In other words, it is assumed that the organiser of production is a direct producer, a labourer who is at the same time the possessor of means of production, for example an artisan or peasant. This petty producer tries to direct his labour to those spheres of production where a given quantity of labour yields him a product most highly valued on the market. The distribution of labour among different spheres of production is established with the result that a determinate quantity of labour of homogeneous intensity, qualification, and so on yields approximately an equal market value to producers in all these spheres of production. In directing their living labour to shoe-making or tailoring businesses, at the same time the artisan directs there the past, accumulated labour necessary for the production, i.e., instruments and materials of labour or means of production in a wide sense of the term. These means of production are for the most part not very complicated, their value is relatively insignificant, therefore, is naturally not greatly different in individual spheres of handicraft production. The division of labour (living labour) among individual spheres of production is accompanied by the distribution of means of production (past labour) among themselves. The *division of labour*, regulated by the law of labour value, bears a primary, *basic* character; the *distribution of means of production* assumes a secondary, *derived* character.

The distribution of labour in capitalist society takes place completely otherwise. Since the organisers of production are here industrial capitalists, the extension or contraction of production, i.e., the distribution of productive

[495] 'cause' is 'i.e.' in the second edition.

[496] 'and consequently,' is 'are expressed in' in the second edition.

[497] 'more or less direct' is 'direct linear,' in the second edition.

forces, depends precisely upon them. The capitalist directs his capital toward one or another sphere of production in accordance with its profitability. If capital flows into a given sphere of production and brings about a stronger demand for labour power there and thus an increase in wages, this attracts hands, living labour.¹ The distribution of productive forces among individual spheres of the national economy takes place in the form of a distribution of capitals among them, which, in turn, brings about a corresponding distribution of living labour or labour power. Observing in a given country an increase of capitals invested in coal mining, and an increase in the number of labourers employed in it, we ask ourselves which of these phenomena served as the cause of the other. Of course, no one will cast doubt on the answer: the inflow of capitals caused the inflow of labour power, and not the other way around. In capitalist society, the *distribution of labour is regulated by the distribution of capital*. Therefore, if we aim as before at studying the laws of distribution of social labour in the national economy, we must have recourse to a detour and proceed beforehand to an investigation of the *laws of distribution of capitals*.

A simple commodity producer expends on production his labour and tries to get for his product a market value, proportional to his labour expenditure and sufficient for the subsistence of himself and his family and for the continuation of production in the former or slowly expanding volume. By contrast, a capitalist expends on production his capital and tries to get the capital back in an increased, extended volume. Marx expressed this difference in his famous formulas of the simple commodity economy C–M–C (commodity–money–commodity) and of the capitalist economy M–C–(M+m) (money–commodity–incremented money). If we split this short formula, we will make obvious the technical difference (small and large-scale production) as well as the social difference (which social class organises production) between the simple commodity economy and the capitalist economy, and, as a consequence of the different character of production and of the different social situation of producers, the difference in the motivations of producers (the attempt of the artisan at securing his subsistence, and the attempt of the capitalist at increasing value). ‘The expansion of value, which is the objective basis or mainspring of the circulation M–C–M, becomes his subjective aim’ [*Capital*, I, p. 151, MEGA, II/6, p. 171]. The capitalist directs his capital to one or another sphere of production, in accordance with the rate of increase of capital invested in the

1 ‘Wage labour subordinated by capital ... must submit to being transformed in accordance with the requirements of capital and to being transferred from one sphere of production to another’ [*Capital*, III¹, p. 195, MEGA, II/15, p. 195].

given sphere. The distribution of capitals among different spheres of production depends on the rate of increase of capital in them.

The rate of increase of capital is determined by the relation between m , increment of capital, and M , invested capital. In the simple commodity economy, the value of commodities is expressed by the formula $C = c + (v + m)$.² The artisan subtracts the value of the means of production expended by him, namely c , from the value of finished product, and the rest $(v + m)$, added by his labour, is partly expended on the necessary means of subsistence of the artisan and his family (v), but partly represents the fund for the expansion of consumption and production (m). For the capitalist, the same value of the product has the form $C = (c + v) + m$. From the value of the commodity, the capitalist subtracts $(c + v) = k$, advanced capital or costs of production, spent without distinction on the purchase of means of production (c) or of labour power (v). He considers the rest (m) as his profit.³ In this way, $c + v = k$, and $m = p$. The formula $C = (c + v) + m$ is transformed into the formula $C = k + p$, i.e., 'the *value of a commodity = cost-price + profit*' [*Capital*, III¹, p. 36, MEGA, II/15, p. 40. Emphasis in original but omitted by Rubin]. However, the capitalist is interested not in the absolute volume of profit, but in its relation to the advanced capital, in the rate of profit $p' = p/k$. The rate of profit expresses 'the ratio in which total capital has been expanded, i.e., the degree of its self-expansion' [ibid., p. 47, II/15, p. 50]. In this way, the dependence of the distribution of capital on the rate of its increase in different spheres of production, which we have confirmed above, means that *the rate of profit becomes the regulator of the distribution of capital*.

The transfer of capitals from sphere of production with lower rates of profit to spheres of production with higher rates creates a tendency toward equalising the rate of profit in all spheres of production, a tendency toward establishing a general average rate of profit. Of course, this tendency is never completely realised in the unorganised capitalist economy, in the same way as a full equilibrium among different spheres of production is not realised in it. But this absence of equilibrium, accompanied by differences in the rate of profit, leads to the transfer of capital, with a tendency toward equalising the rate of profit and establishing an equilibrium among individual spheres of production. This 'incessant equilibration of constant divergences' [Ibid., p. 196, II/15, p. 196] is

2 C means value of commodity, c – constant capital, v – variable capital, k – total capital, m – surplus value, m' – rate of surplus value, p – profit, p' – rate of profit. [The following two sentences are added in the third edition]. The categories c , v , m are fully valid only in application to the capitalist economy. In application to the simple commodity economy, we make use of these categories only in a conditional sense.

3 We identify here the total surplus value m with profit.

brought about by the attempt of capitals to the highest possible rate of profit. In capitalist production,

It is rather a matter of realising as much surplus-value, or profit, on capital advanced for production, as any other capital of the same magnitude, or *pro rata* to its magnitude in whichever line it is applied ... In this form capital becomes conscious of itself as a *social power* in which every capitalist participates proportionally to his share in the total social capital.⁴

In order that such a general average rate of profit would be established, a competition among capitals employed in different spheres of production, a possibility for them to move from one sphere to another, had to exist, since otherwise different rates of profit could have been established in different spheres of production. When such a competition of capitals is possible, equilibrium among the different spheres of production can be established theoretically only in the case when the rates of profit obtained in these spheres are approximately the same, when in each of these spheres the capitalists, working in average, socially necessary conditions, gain a general average rate of profit.

Thus, *capitals of equal amount*, employed in *different* spheres of production, yield a *uniform* profit. Capitals different in magnitude yield *profits*, proportional to their *volumes*. If capitals K and K_1 yield profits p and p_1 , $p/K = p_1/K_1 = p'$, where p' is the general average rate of profit, from where does the capitalist obtain his profit p ? From the selling price of his commodity. The profit of the capitalist, p , is the increment of the selling price of commodity on its costs of production. Therefore, the selling prices of various commodities must be fixed at such a level at which capitalists, the producers of these commodities, will acquire the rest of the selling price or profit, proportional to the magnitude of the advanced capital, after recovering, or – which is the same thing – compensating, his costs of production. The selling price of a commodity, which recovers the *costs of production* and yields an *average profit* for the whole of the advanced capital, is called the *price of production*. In other words, what is called the price of production is such a price at which capitalist can obtain an average profit^[498] on the advanced capital. Since equilibrium in the different spheres of production presupposes, as we have seen, that capitalists in all these spheres receive an average profit, equilibrium among the different spheres of production presupposes that they sell their products at their prices of production. The price of

[498] 'profit' is 'rate of profit' in the second edition.

4 [ibid., p. 195, 11/15, p. 195. Emphasis in original].

production corresponds to the equilibrium of the capitalist economy; this is a theoretically conceivable average level of prices, at which the transfers of capital from one branch to another come to an end. If the *labour value* corresponded to the *equilibrium of labour* in various spheres of production, the *price of production* corresponds to the *equilibrium of capitals* employed in different spheres. '... The price of production ... is a prerequisite of supply, of the reproduction of commodities in every individual sphere' [ibid., p. 198, 11/15, p. 198], i.e., the prerequisite of equilibrium among the different spheres of the capitalist economy.

The price of production should not be confounded with the market prices, which constantly fluctuates upward and downward, sometimes exceeding the price of production, sometimes not attaining it. The price of production is a theoretically conceivable centre of equilibrium, a regulator of the constant fluctuations of market prices. In conditions of the capitalist economy, the price of production fulfils the same social function which the market value, determined by labour expenditures, performs in conditions of simple commodity production. The former as well as the latter are 'equilibrium prices,' but labour value corresponds to a state of equilibrium in the distribution of labour among the various spheres of simple commodity production, and the price of production corresponds to a state of equilibrium in the distribution of capitals among the different spheres of the capitalist economy. This distribution of capitals in turn points to a certain distribution of labour. We can see that in different social forms of economy competition leads to the establishment of a different level of prices of commodities. As Hilferding correctly pointed out, competition can explain us only the 'tendency toward the establishment of equality in economic relations' for individual commodity producers. But what the equality in economic relations will consist in depends on the objective social structure of a national economy. In one case this will be an *equality of labour*, in another case an *equality of capitals*.

The price of production is, as we have seen, equal to the costs of production plus the average profit on advanced capital. If the average rate of profit is given, it is not difficult to calculate the price of production. Let us assume that the advanced capital is 100, the average rate of profit 22 percent. If the whole of the advanced capital is amortised in the course of a year, the costs of production will be equal to the entire capital. The price of production will be equal to $100 + 22 = 122$. The calculation will be more complex if only a certain part of the fixed component in advanced capital is used up in the course of a year. If a capital of 100 is made up of 20 v and 80 c, of which only 50 c are used up during a year, the costs of production will be equal to $50 \text{ c} + 20 \text{ v} = 70$. To this sum is added 22 percent, which is added not only to the sum of costs of production, 70,

but to the entire sum of advanced capital, 100. The price of production will thus be $70 + 22 = 92$ [ibid., p. 157, 11/15, p. 158]. If from the same constant capital of 80 c, only 30 c were used up in the course of a year, the costs of production would be $30 c + 20 v = 50$, and to this sum would be added as before the sum of profit, 22. The *price of production* of a commodity is equal to its *costs* of production plus the *average* profit on the *whole advanced capital*.

2 Distribution of Capitals and Distribution of Labour

To simplify our calculations, let us assume that the entire advanced capital is amortised in the course of a year, i.e., that the costs of production are equal to the advanced capital. If two commodities are produced by means of capitals K and K_1 , the price of production of the former commodity will be $K + p'K$, that of the latter $K_1 + p'K_1$.⁵ The prices of production of the two commodities will be related to each other as follows:

$$(K + p'K)/(K_1 + p'K_1) = (K(1 + p'))/(K_1(1 + p')) = K/K_1$$

The *prices of production* of commodities are *proportional to the capitals* by means of which these commodities are produced. The commodities, produced by means of equal capitals, have the same price of production. The equalisation on the market of two commodities, produced in different branches, means the *equality of two capitals*.

5 Marx usually makes use of the formula $K + Kp'$, indicating by K the costs of production but not capital [ibid., pp. 165, 173, 11/15, pp. 167, 173]. But in another place he points out that equal capitals produce commodities with the same price of production, 'if one disregards the fact that a portion of the fixed capital enters into the labour process without entering into the valorisation process' (*Theories*, III, p. 76 [*Theories*, 2, p. 262, MEGA, II/3.4, p. 1264]). The formula of the proportionality of the prices of production to capitals, which we have derived in the text, can be maintained even in the case of a partial consumption of fixed capital, if 'the value of that part of constant capital which is not consumed is added to the product' (ibid., p. 74 [ibid., p. 261, 11/3.4, p. 1260]). Let us assume that the first capital, 100, is made up of 80 c + 20 v, the amortisation of fixed capital being 50 c, that the second capital, 100, is made up of 70 c + 30 v, the amortisation of fixed capital being 20 c, and that the average rate of profit is 20 percent. Then, the price of production of the first product will be 90, that of the second 70, i.e., the prices of production will not be equal, though capitals are equal. If, however, we add to the figure 90 the unused part of the fixed capital, namely 30 and add 50 exactly equally to 70, we will obtain 120 in both cases. The prices of production, including the unused part of the fixed capital, are proportional to the capital. Cf. the detailed calculation in the notes of Kautsky in *Theories*, III, p. 74 [cf. the passage above indicated], and also *Capital* vol. I, p. 183 and the footnote on this page [*Capital*, I, p. 205, MEGA, II/6, p. 222].

The equalisation on the market of commodities on the production of which *equal* capitals are expended means an equalisation of commodities on the production of which *unequal* quantities of labour are expended. This is because *equal* capitals with *difference in their organic composition* set in motion *unequal* masses of labour. Let us assume that one capital of 100 is comprised of 70 c and 30 v. Another capital of 100 is made up of 90 c and 10 v. If the rate of surplus value is 100 percent, the living labour of a labourer is twice as large as the paid labour expressed by the variable capital (i.e., his wage). In this way, on the production of the first commodity, 70 units of past labour and 60 of living labour, in total 130 units, will be expended; on the production of the second commodity, 90 units of past labour and 20 of living labour, in total 110 units, will be expended. But since both commodities are produced by equal capitals, on the market they are equalised to each other, despite the fact that they are produced by unequal quantities of labour. The *equality* of capital means the *inequality* of labour.

The same divergence between the volumes of capitals and those of labour results from the *difference in the periods of turnover of the variable part* of capital. Let us assume that the organic composition of both capitals to be equal, namely 80 c + 20 v. But in the first capital the variable part turns over once a year, and in the second capital three times, i.e., every third of a year the capitalist pays his labourers 20 v, and the sum of wages paid to the labourers during the year amounts to 60. It is evident that the labour expenditures on the first commodity are equal to $80 + 40 = 120$, and on the second commodity $80 + 120 = 200$. But, since the advanced capital, despite the difference in the periods of turnover, is equal to 100 in both cases, the commodities are equalised with each other though produced by unequal amounts of labour. It is necessary to point out that 'the difference in the period of turnover is in itself of no importance, except so far as it affects the mass of surplus-labour appropriated and realised by the same capital in a given time' [*Capital*, III¹, p. 152, MEGA, II/15, p. 154], i.e., insofar as the question is about the difference in the period of turnover of *variable* capital. Both of these phenomena, namely the difference in the organic composition of capitals and the difference in the period of turnover, can be reduced in the last analysis to the fact that the volume of capital cannot in itself serve as an indicator of the quantity of living labour set in motion by it, since the latter quantity depends on: 1) the volume of variable capital, and 2) the number of its turnovers.

Therefore, we arrive at conclusions which, at first sight, turn down the theory of labour value. Starting from the fundamental law of equilibrium of the capitalist economy, namely from an equal rate of profit in all spheres of production, from the sale of commodities at the prices of production containing an

equal rate of profit, we obtain the following results. Equal capitals set in motion unequal quantities of labour. Equal prices of production correspond to unequal labour values. In the theory of labour value, what served as the basic links of our reasoning was the *labour value* of a commodity as a function of labour productivity and the *distribution of labour* among different spheres of production in a state of equilibrium. In the theory of the capitalist economy, what served as the basic links of our reasoning were the *price of production* of a commodity and the *distribution of capitals* among different spheres of production in a state of equilibrium. But the price of production does not coincide with the labour value, nor the distribution of capitals with the distribution of labour. Does not this mean that the fundamental elements of the theory of labour value are entirely superfluous for the investigation of the capitalist economy, that we must abandon this unnecessary theoretical ballast and concentrate our attention exclusively on the prices of production and the distribution of capitals? We will try to show that the investigation of the prices of production and of the distribution of capitals presupposes in turn labour value, that these central links of the theory of the capitalist economy do not exclude the links of the theory of labour value indicated above, on the contrary, in our further analysis, unavoidably lead to them and are included along with them into the general theory of equilibrium of the capitalist economy. We must build a bridge from the distribution of capitals to the distribution of labour, from the price of production to labour value. Let us first occupy ourselves with the first half of this task.

We have seen that the distribution of capitals does not coincide with the distribution of labour, that the equality of capitals means an inequality of labour. If a capital of 100, expended in a given sphere of production, is equalised, through the exchange of commodities on the market, with a capital of 100, expended in any other sphere of production, this means, if the organic composition of these capitals is different, that a certain quantity of labour, expended in the first sphere, is equalised with another, *unequal* quantity of labour, expended in another sphere. Now it still remains for us to determine *precisely what* quantities of labour spent in different spheres of production are equalised with each other. Although the amounts of capitals do not coincide exactly in their quantitative expression with the quantities of labour set in motion by them, a close connection exists between both of them. Acquainted with the *organic composition of capitals*, we can make explicit this connection. If the first capital is composed of 80 c + 20 v and the second of 70 c + 30 v, and if the rate of surplus value is 100 percent, the first capital sets in motion 40 units of living labour and the second capital 60. Given a rate of surplus value, 'a certain quantity of variable capital represents a definite quantity of labour power set in motion, and

therefore a definite quantity of materialised labour' [ibid., p. 144, 11/15, p. 146]. 'The variable capital thus serves here (as is always the case when the wage is given) as an index of the amount of labour set in motion by a definite total capital' [ibid.]. In this way, we know that in the first sphere of production the total quantity of labour expenditures amounts to 120 (80 past and 40 living labour), and in the second sphere 130 (70 past and 60 living labour). Starting from the distribution of capitals between the given spheres of production (100 in each), we arrive, via the organic composition of capitals, at the distribution of social labour between these same spheres (120 in the first and 130 in the second). We know that the mass of labour of 120, expended in the first sphere, is equalised with a mass of labour of 130, expended in the second sphere. The capitalist economy establishes equilibrium among unequal quantities of labour, insofar as they are set in motion by equal capitals. Through the law of the *equilibrium of capitals*, we have come to the *equilibrium in the distribution of labour*. It is true that, under the conditions of the simple commodity economy, equilibrium is established among equal quantities of labour, and under the conditions of the capitalist economy, among unequal. But the task of scientific investigation only consists in formulating exactly the laws of equilibrium and distribution of labour, whatever form this formula may take on. If we consider^[499] the simple schema of the influence^[500] of labour productivity on the distribution of labour through labour value, we will obtain a formula of equilibrium of equal quantities of labour. If we assume that the distribution of labour is directed by the distribution of capitals, which receives the significance of an intermediary link in the chain of causal connections, the formula of the equilibrium of labour will become dependent on the formula of the equilibrium of capitals: *unequal masses of labour, set in motion by equal capitals, are equalised*. The object of our investigation remains as before the equilibrium and distribution^[501] of social labour. But, in the capitalist economy, this distribution of labour is established in fact through the distribution of capitals. Therefore, the formula of the equilibrium of labour also turns out to be more complex than in the simple commodity economy, namely a derivative resulting from the formula of the equilibrium of capitals.

As we can see, in capitalist society too, the equalisation of things on the market turns out to be closely connected to the equalisation of labour. If the products of two spheres, produced by equal capitals but with expenditures of

[499] 'consider' is 'assume' in the second edition.

[500] 'influence' is 'direct influence' in the second edition.

[501] 'equilibrium and distribution' is 'distribution and equilibrium' in the second edition.

Distribution of capitals		Organic composition of capitals	Distribution of labour
I.	100	80 c + 20 v	120
II.	100	70 c + 30 v	130
III.	100	60 c + 40 v	140
IV.	100	85 c + 15 v	115
V.	100	95 c + 5 v	105

unequal masses of labour, are equalised on the market, this means that unequal masses of labour set in motion by equal capitals are equalised in the process of the distribution of social labour among various spheres. Marx does not limit himself to confirming the inequality of the labour values of two commodities with the same prices of production: he gives us a theoretical formula of the deviation of the prices of production from labour value. In the same way he does not limit himself to the confirmation of the fact that in the capitalist economy unequal masses of labour expended in different spheres are equalised: he gives us a theoretical formula of the deviation of the distribution of labour from the distribution of capitals, i.e., he establishes a connection between both of these processes through the concept of the organic composition of capital.

To illustrate what we have outlined, let us cite the first half of Marx's table in Volume III of *Capital*, with a change of the titles of the individual columns. 'Let us take five different spheres of production, and let the capital in each have a different organic composition' [ibid., p. 155, 11/15, p. 156]. The total sum of social capital is equal to 500, the rate of surplus value is 100 percent.

The third column, called in this table 'Distribution of labour', showing the quantity of labour expended in each sphere, bears in Marx the title 'Value of product', since the labour value of the total product in each sphere of production is determined by the quantity of labour expended in it. Critics of Marx affirm that the column 'Value of product' is fictitious, artificially thought out, and theoretically superfluous. They lose sight of the fact that this column shows not only the labour value of products in various spheres of production, but also *the distribution of social labour among the different spheres of production*, i.e., a phenomenon objectively existing and having a central significance for economic theory. To reject this column would be equivalent to the rejection of economic theory studying the labour activity of society. The table distinctly shows how Marx bridged the *distribution of capitals*, through their *organic com-*

position, with the *distribution of social labour*.⁶ In this way, the chain of causal connections becomes longer and acquires a following form: *prices of production – distribution of capitals – distribution of social labour*. Now we must turn to the analysis of the first link of this chain, the prices of production, and consider whether this link does not presuppose other, more primary links.

3 Prices of Production

We have arrived at the following schema of causal relation of the phenomena: prices of production – distribution of capitals – distribution of labour. The starting point in this schema is price of production. Can we enter into the price of production in our analysis or should we advance it further? What is the price of production? The costs of production plus average profit. But what are the costs of production made up of? Of the value of the constant and variable capitals expended on production. Let us make a step further and ask ourselves what the value of constant and variable capitals is equal to. Obviously, to the values of those commodities (machines, raw material, means of subsistence, etc.) which enter these capitals.^[502]

In this way, all our arguments turn in a vicious circle: the value of commodities is explained by the prices of production, i.e., by the costs of production or the value of capital, and this latter is in turn reduced to the value of commodities. 'If the value of commodities, then, depends upon the value of capital, it depends upon the value of commodities' (*Theories*, III, p. 82 [*Theories*, 2, p. 266, MEGA, II/3.4, p. 1269]).

In order that the theory of the prices of production not be transformed into a vicious circle, we must find those conditions, depending on which the *costs of production* as well as the *average rate of profit* change. Let us begin with the *costs of production*.

[502] The paragraph does not change here in the second edition.

6 Unfortunately, Marx was not successful in developing in greater detail the problem of the connection between the distribution of capitals and the distribution of labour, but he seems to have counted on an occasion of getting back to this issue. Discussing the question of 'whether the *labour is distributed* among the different spheres of production proportionately to, in accordance with this social, quantitatively determinate need' [*Capital*, III², p. 635, II/15, p. 623. Emphasis added], Marx adds to these words a note in parentheses: 'To enter into this point in connection with the *distribution of capital* among the various spheres of production' [*ibid.*, pp. 635–6, II/15, p. 623. Emphasis added. Taking account of the context, the English text of these quotations is made from Rubin's Russian translation, slightly differing from Marx's original].

If the average rate of profit remains unchanged, the price of production of a commodity changes with changes in the costs of production. The costs of production of a given commodity change in the following cases: 1) when, given the means of production and the labour power remain unchanged in their prices, their relative quantities necessary for production changed, i.e., the productivity of labour changed in the given sphere of production; 2) when, given these relative quantities remaining unchanged, prices, for example of the means of production, changed, which presupposes a change in labour productivity in the branches producing these means of production. In both cases, the *costs of production* change depending on the changes in the *productivity of labour*, and consequently in the *labour value* of the given commodity. Thus,

the general rate of profit remains unchanged. In this case, the price of production of a commodity can change only if its own value has changed. This may be due to more or less labour being required to reproduce the commodity in question, either because of a change in the productivity of labour which produces this commodity in its final form, or of the labour which produces those commodities that go into its production. The price of production of cotton yarn may fall, either because raw cotton is produced cheaper than before, or because the labour of spinning has become more productive due to improved machinery.⁷

It is necessary to point out that the costs of production in their quantitative expression do not exactly coincide with the labour value of the commodities which enter into their components. 'Since the price of production may differ from the value of a commodity, it follows that the cost price of a commodity containing this price of production of another commodity may also stand above or below that portion of its total value derived from the value of the means of production consumed by it' [ibid., pp. 164–5, 11/15, p. 166]. As we can see, this circumstance, to which M. Tugan-Baranovsky attached such a great importance in his critique of Marx's theory, was very well known to Marx himself, who even warned in advance, that 'there is always the possibility of an error if the cost price of a commodity in any particular sphere is identified with the value of the means of production consumed by it' (*Capital*, 111¹, p. 118 [ibid., p. 165, 11/15, p. 166] On this point see also pp. 115 and 152 [ibid., pp. 160–1, 206, 11/15, pp. 161–2, 204]). But this deviation does not in the slightest degree keep away the fact that changes in labour value, brought about by the development

7 [*Capital*, 111¹, p. 206, MEGA, 11/15, p. 204. Cf. also ibid., p. 166, 11/15, p. 167].

in the productivity of labour, cause changes in the costs of production, and consequently also in the prices of production, which would also have to be proved. The incongruence of quantitative expressions of different series of phenomena does not chase away the presence of a causal relation among them and the dependence of changes of one series of phenomena on changes of the other. Only if we can establish the laws of these dependences, our task will be fulfilled.

The second part of price of production, besides costs of production, is average profit, i.e., the *average rate of profit* multiplied by capital. We must now consider in greater detail the formation of average rate of profit and its volume, as well as its changes.

The theory of profit studies the interrelation and laws of change of the incomes of individual industrial capitalists, and of their entire^[503] groups. But the relations of production between individual capitalists and their groups cannot be understood without a preliminary investigation of the fundamental relation of production between the class of capitalists and the class of wage labourers. Thus, it is understandable that the theory of profit, studying the interrelation of incomes of the individual capitalists and their groups, was built by Marx on the basis of the theory of surplus value, studying the interrelation of incomes of the class of capitalists and the class of wage labourers.

From the theory of surplus value, we know that in the capitalist economy the value of a product is decomposed into the following three components. One part (c) compensates the value of constant capital used up in production; this is a reproduced, and not a produced value. Subtracting this value from the value of the whole product ($T - c$), we get the value produced by the living labour, 'created' by it, which is the result of the given process of production. This value is in turn divided into two parts: one (v) reimburses the value of the means of subsistence of the labourers, their wages or, which is the same thing, the variable capital. The remainder, $m = T - c - v = T - (c + v) = T - k$, is the surplus value, acquired by the class of capitalists and spent by them for the purpose of personal consumption and for the expansion of production (i.e., accumulation). In this way, the whole of the received value is divided into a fund for the reproduction of constant capital (c), a subsistence fund of the labourers or of the reproduction of labour power (v), and a subsistence fund of the capitalists and of expanded reproduction (m).

The last fund is obtained owing to the fact that the labour expended by the labourers in the process of production is larger than the labour necessary for the production of their subsistence fund. That is, *surplus value* becomes lar-

[503] 'entire' is 'individual' in the second edition.

ger as the first labour gets larger and the latter smaller. It is determined by the excess of the former over the latter, i.e., by the magnitude of unpaid or *surplus labour*. Surplus value is 'created' by surplus labour. However, as we have already clarified above, it is erroneous to represent the matter as if the surplus labour, as a material activity, 'creates' surplus value, as a property of a thing. Surplus labour 'is expressed', 'is manifested', 'is represented' (sich darstellt) in surplus value. The magnitude of the latter changes with change in the quantity of the former.

The magnitude of surplus labour depends: 1) on its relation to the necessary, paid labour, i.e., on the *rate of surplus labour* or surplus value m/v , and 2) taking this rate for given, on the *number of labourers*,⁸ i.e., on the quantity of living labour set in motion by capital. Given a rate of surplus value, the total sum of the latter^[504] depends on the total quantity of living labour, and hence, of surplus labour. Let us take now two different capitals of 100 each, which yield an equal profit under the effect of the tendency of the rate of profit toward equalisation. If these capitals are spent exclusively on the payment of labour power (v), they set in motion equal masses of living labour, hence surplus labour. In this way equal profits, corresponding to equal capitals, simultaneously correspond to equal quantities of surplus labour; profit coincides with surplus value. The same result can be obtained if both capitals are divided in an equal proportion into the constant and variable capitals. The equality of variable capitals means equality of living labour set in motion by them. But, if the capital of 100 in one sphere of production is equal to $70 c + 30 v$, and the other capital of 100 in the other sphere is $90 c + 10 v$, the masses of living, hence surplus labour set in motion by them will not be equal. In spite of this, these capitals, being equal, yield equal profit, for example 20, under the effect of the competition of capitals among different spheres of production. Obviously, *the profits, yielded by these capitals, do not correspond to the masses of living, hence surplus labour set in motion by them, and are not proportional to these masses*. In other words, *capitalists acquire other sums of profit than they would acquire in the condition that the profits would be proportional to the surplus labour or surplus value*. Only in such a sense we must understand Marx's words that capitalists 'do not secure the surplus value, and consequently the profit, created in their own sphere by the production of these commodities' [ibid., p. 158, 11/15, p. 159]. Some critics of Marx understood him in the meaning as if the first of the capitals mentioned above 'ceded' to the second capital 10 units of labour, mobilised by the first;

[504] 'total sum of the latter' is 'magnitude of the surplus value' in the second edition.

8 The length of the working day and the intensity of labour are taken for given.

part of the surplus labour and surplus value, like material liquid, 'interflowed' from some spheres of production to others, namely from the spheres with low organic composition of capital into the spheres distinguished by high organic composition of capital.

Surplus value, squeezed from labourers in individual spheres of production, must flow from one sphere to another until the rates of profit equalise, and all capitalists acquire an average rate of profit ... However, such a presupposition is impossible, since surplus value represents at first not a monetary price but only a crystallised labour time, and, as such, it cannot flow from one sphere to another. And, what is still more important in reality, it is not the surplus value but capitals themselves that flow from one sphere of production to another in so far as the rates of profit are not equalised.⁹

It is self-evident and does not need to be proved here that also, according to Marx, the process of equalisation of the rate of profit proceeds by means of the flow of capitals but not of surplus value from one sphere of production to another [*Capital*, III¹, pp. 58–9, 80–1, 195–6, 237–8, etc., II/15, pp. 59–60, 80–1, 195–6, 234–5, etc.]. But this transfer of capitals, owing to which the prices of production, containing an equal rate of profit, are established in various spheres of production, leads to the result that the profits, obtained by capitals, are not proportional to the living, hence surplus labour set in motion by them. But, if the interrelation of profits of two capitals, employed in different spheres of production, does not correspond to the interrelation of the quantity of living labour employed by them, it does not follow from this that a part of surplus labour or surplus value 'interflows' from one sphere of production to another. Such a representation, which is based on a literal interpretation of some expressions of Marx's and sometimes steals into the work of some Marxists, arises from a view on value as on some material object with a characteristic of liquidity. However, if value is not an object, which can transfer from one man to another, but a social relation among people, fixed, 'expressed', 'represented' in a thing, the representation mentioned above on the 'interflowing' of value from one sphere of production in another does not only not arise from Marx's

9 Budge, *Capital Profit*, 1920 [original in German, cf. note 54 in Chapter 14], p. 48. Heimann builds his criticism on this point, 'Methodological Examinations on the Problems of Value', *Archive for Social Science and Social Politics*, 1913 [original in German, cf. note 11 in Chapter 11], vol. 37, no. 3, p. 777.

Capitals	Labour value of products	Surplus value	Average rate of profit	Price of production of products	Deviation of price of pro- duction from value (and of profit from surplus value)
I. 80 c + 20 v	120	20	22 %	122	+ 2
II. 70 c + 30 v	130	30	22 %	122	– 8
III. 60 c + 40 v	140	40	22 %	122	– 18
IV. 85 c + 15 v	115	15	22 %	122	+ 7
V. 95 c + 5 v	105	5	22 %	122	+ 17
390 c + 110 v	610	110	110	610	0
78 c + 22 v	–	22	–	–	–

theory of value, but in fact radically contradicts Marx's theory on value as a social phenomenon.

If, in capitalist society, there exists no direct dependence of the profit of the capitalist on the quantity of living, hence surplus labour set in motion by his capital, does not this mean that we should refrain from finding out in any sense the laws of formation of an average rate of profit and the causes influencing its level? Why does the average level of profit in a given country amount to 10 percent and not 5 nor 25 percent? We do not require from political economy an exact formula for explaining in each case the average rate of profit. But we have every right to require from the science not to assume a given rate of profit at the starting point of investigation not requiring in turn any explanations, but to strive to detect those fundamental causes, those series of phenomena, the change in which brings about an increase or decrease in the average rate of profit, i.e., establishes its level. It is this task that Marx has in mind in his well-known tables in Chapter 9 of Volume III of *Capital*. Since Marx's second and third tables take into account also the partial amortisation of fixed capital, in order not to complicate the accounting, we will take as the basis his first table in supplementing it in an appropriate way. Marx assumes five different spheres of production, with different organic composition of the capitals invested in them. The rate of surplus value is everywhere one and the same, 100 percent.

The total capital of society amounts to 500, of which 390 c and 110 v; it is distributed among five spheres, with 100 in each. The organic composition of capitals indicates how much living and hence surplus labour is applied in each sphere. The total labour value of the products is equal to 610, and the total surplus value is 110. If the commodities of each sphere were sold at their labour value or – which is the same thing – if the profits in each sphere correspon-

ded to quantities of living and hence surplus labour applied in a given sphere, the profits of individual spheres of production would be equal to: 20, 30, 40, 15, 5 percent. The highest profit would be acquired in the sphere with the lowest organic composition of capital, and the lowest profit in the sphere with the highest organic composition of capital. But, as we know, such a difference in the rates of profit is impossible in the capitalist economy, since it would occasion a transfer of capitals from spheres with a low rate of profit to spheres with a high rate, till one and the same average rate of profit will be established across all spheres, in this case 22 percent. Commodities, produced with equal capitals of 100, will be sold at the equal prices of production of 122, though they are produced with unequal quantities of labour. Each capital of 100 receives a profit of 22 percent, though equal capitals in different spheres of production set in motion unequal quantities of labour.

Every 100 of an invested capital, whatever its composition, draws as much profit in a year, or any other period of time, as falls to the share of every 100, the n th part of the total capital, during the same period. So far as profits are concerned, the various capitalists are just so many stockholders in a stock company in which the shares of profit are uniformly divided per 100, so that profits differ in the case of the individual capitalists only in accordance with the amount of capital invested by each in the aggregate enterprise, i.e., according to his investment in social production as a whole, according to the number of his shares.¹⁰

However, at what level is the average rate of profit established? Why is it equal namely to 22 percent in this case? Let us imagine that all the spheres are arranged in a decreasing sequence, depending on the quantity of living labour set in motion by each 100 units of capital. The variable parts of capitals (expressed in percentage) would decrease from above (or, which is the same thing, the organic composition of capitals would increase from above). Parallely and in the same relation would decrease from above the rates of profit, which would be allocated to the share of each capital, if its profit was determined by the quantity of living labour set in motion by it or by the volumes of its variable capital. But, as we know, such a difference in the rate of profit is impossible. The competition of capitals will establish an average rate of profit common to all the spheres of production, a rate which is to be found somewhere toward the middle in the falling sequence of different rates of profit.

10 [Capital, III¹, p. 158, MEGA, II/15, p. 160].

This average rate of profit corresponds to capital with average volumes of living labour set in motion or with average volumes of variable part. In other words, the 'average rate of profit ... is the percentage of profit in that sphere of average composition in which profit, therefore, coincides with surplus-value' [ibid., p. 173, 11/15, p. 173]. In this case, the entire social capital of 500 is composed of 390 c + 110 v, the average composition of each 100 is 78 c + 22 v; if the rate of surplus value is 100, 22 percent of surplus value will be allocated to each 100 of such capital of the average composition. The amount of this surplus value will determine also the level of the average rate of profit. The latter will be determined in this way by the relation of the *total mass of surplus value* (m), produced in the society, to the *total social capital* (K), or $p' = m/K$.

Marx arrives at the same conclusion in a different way. He makes use of a method of comparison, on which he often relies when clarifying the characteristic properties of the capitalist economy. In this case, in examining the problem of average rate of profit, he compares the developed capitalist economy with 1) the *simple* commodity economy, and 2) an *embryonic or hypothetical* capitalist economy, distinguished from the developed capitalism by the *absence of competition* among capitals of *various* spheres of production, i.e., by the fixedness of each capital to a definite sphere of production.

Thus, let us imagine first a society of simple commodity producers, in possession of means of production of the value of 390 in terms of labour units and of living labour of its members amounting to the value of 220. These are the productive forces of the society, making up 610 units of living and past labour, divided among five spheres of production, and the combination of living and past labour is different in different spheres, depending on their technical particularities. Let us assume this combination to be as follows (the first figure means past labour, the second living): I 80 + 40, II 70 + 60, III 60 + 80, IV 85 + 30, V 95 + 10. Let us assume, further, that the productivity of labour has already attained such a stage of development at which a petty producer can reproduce with half of his labour the value of the means of subsistence necessary for him. In such a case, the total value of products of 610 will be decomposed into a fund for the reproduction of the means of production, 390, a fund for the subsistence of producers, 110, and surplus value, 110, which remains in the hands of the same petty commodity producers, and which they can spend in order to expand consumption or production (or partly for one and partly the other purpose). This surplus value of 110 will be distributed among individual spheres of production and individual commodity producers in proportion to the expended labour; its distribution among individual spheres will be: 20, 30, 40, 15, 5. It is true that these masses of surplus value are proportional only to the masses of living but not past labour, applied in each sphere. In calculating

the total quantity of (*living and past*) labour in each sphere, these masses of surplus value would result in unequal rates of profit.¹¹ But, in the simple commodity society, the producers do not know the category of profit. In the means of production, they do not see capital, which must yield a certain rate of profit, but the condition for applying labour, giving every commodity producer the possibility to place his labour in the same conditions with other producers, i.e., in such conditions under which equal quantities of labour yield equal values.

Let us imagine now that the dominant place in the economy is not occupied by simple commodity producers but by capitalists. All the other conditions are assumed to remain the same. Therefore, it is obvious that the value of total product as well as the value of individual funds, into which it breaks down, remained unchanged. The difference is in the fact that the funds for expanding consumption and for expanding production (or surplus value) of 110 do not remain in the hands of the direct producers, but in the hands of capitalists. The same total social value is distributed in a different way among the social classes. Since the value of products of individual spheres of production^[505] has not changed, the surplus value is distributed among individual spheres and individual capitalists in such a proportion as it was formerly. Capitalists of each of five spheres receive: 20, 30, 40, 15, 5. But they calculate these masses of surplus value on the entire advanced capital, which amounts to 100 in each sphere. From this follow various rates of profit, which can remain various only if there is no competition among the individual spheres of production.

Finally, let us move on from a hypothetical capitalism to actual capitalism, where the competition of capitals exists among the different spheres of production. In such a case, difference in the rates of profit is impossible, since it would bring about a movement of capitals between spheres as long as an equal rate of profit was not established in all spheres. In other words, the former mass of surplus value will henceforth be distributed otherwise among different spheres and among individual capitalists, namely in proportion to capitals advanced by them. But this modification in the distribution of surplus value takes place under the condition of an unchanged total value of the fund of expanded consumption and expanded production. The former mass of surplus value is distributed among the individual capitalists according to the magnitude of their

[505] 'of individual spheres of production' is added in the third edition.

11 Of course, the categories of surplus value and profit are unknown to simple commodity economy. Here the question is about that part of commodity value, produced by the simple commodity producers, which would take on the form of surplus value and profit in the capitalist economy.

capitals. The result of this process is *the average rate of profit, determined by the relation of the total surplus value to the total social capital.*

The comparison between a simple commodity economy, a hypothetical capitalist economy, and a developed capitalist economy is not described by Marx in such a condensed and consequent form as we have done above. Marx speaks of simple commodity economy in Chapter 10 [*Capital*, III¹, pp. 174–8, MEGA, II/15, pp. 175–8], and takes a hypothetical capitalist economy at the basis of his analysis in Chapter 8 and in the tables of Chapter 9, where he presupposes the absence of competition among individual spheres and different rates of profit. The comparison of three different types of economy we have made gives rise to the following doubts. As for a simple commodity economy, it usually presupposes a predominance of living labour over past labour and an approximately homogeneous interrelation between them in the different spheres of production; but in our schemas this interrelation is assumed to be different in different spheres. This objection, however, does not have a great significance, since the different interrelation between living and past labour, though historically it was not characteristic of the simple commodity economy, does not logically contradict this type of economy, and can be adopted as an assumption in a theoretical schema. What raises more serious doubts is the schema of an embryonic or hypothetical capitalist economy. If the absence of competition among capitalists of various spheres in the latter explains the reason why commodities are not sold at the price of production, it makes it impossible to explain the fact of the sale of commodities in accordance with their labour values. This is because, in a simple commodity economy too, the sale of commodities at labour value can be assumed only under the condition of possibility of transfer of labour from spheres to spheres, i.e., only if competition among them exists. In one place Marx notes that the sale of commodities at labour value presupposes, as a necessary condition, that no natural or artificial monopoly allowed people in commercial transaction to sell above value or forced them to cede below it [*ibid.*, p. 178, II/15, p. 178]. But, if there is no competition among capitalists, who are fixed in their sphere, a state of monopoly will appear as a result. Sale at prices above labour value will not cause inflow of capitals from other spheres, sale at prices below labour value will not cause outflow of capitals from the given sphere into others. The regularity in establishing the exchange proportions of commodities in accordance with their labour value will be extinguished. On what foundation does the schema of an embryonic capitalist economy presuppose the sale of commodities at labour value, in the absence of competition among capitalists of various spheres?

To answer to this question is possible, in our opinion, only in so describing the schema as we have done above. The second schema does not represent

the description of a historically existed embryonic capitalism, but a hypothetical theoretical schema, obtained from the first schema (the simple commodity economy) by means of a methodological procedure consisting in the change of only one of the conditions of the schema, maintaining all the other conditions of it. In the second schema comparison to the first schema, only one condition is changed: it is assumed that the dominant place in economy is not occupied by petty commodity producers but by *capitalists*. The remaining conditions are maintained as *former*: masses of living and past labour in each sphere, value of total product and mass of surplus value, i.e., of price of products; in this way the sale of commodities at labour value is maintained as before. The latter is the theoretical condition transferred to the second schema from the first. This condition is possible only with the other, supplementary theoretical condition, namely the absence of competition among the capitalists of various spheres. Therefore, as soon as moving on from the second to the third schema (developed capitalism), we change only this one condition, i.e., we introduce the assumption of the *competition of capitalists*. Then, at the same time, the sale of commodities at *labour value* gives place to the sale at *prices of production*, realising for the capitalists an *average rate of profit*. But, after accomplishing the move from the second to the third schema by means of the same methodological procedure of changing one of the conditions of schema, we leave *unchanged* the other conditions of it, in particular the former mass of surplus value. In this way we obtain the conclusion that the formation of a general average rate of profit represents a *redistribution* among capitalists of the former total mass of surplus value, the relation of which to the total social capital determines the level of the average rate of profit. Let us repeat, this 'redistribution' of surplus value must be understood, in our opinion, not in the sense of a historical process which took place at some time preceded by an embryonic capitalist economy with different rates of profit in different spheres.¹² This is a theoretical schema of the distribution of profit in the capitalist economy, a schema, obtained from the first schema (the simple commodity economy) through twofold change in the conditions of the schema. In passing

12 Of course, we do not deny that in the real capitalist economy we always observe difference in the rate of profit in various spheres, which brings about a tendency toward transfer of capitals, which in turn gets rid of inequality in the rate of profit. In the same way we neither deny that in the period of undeveloped capitalism the inequalities in the rate of profit were very significant. But we object to the theory which affirms that these inequalities in the rate of profit were caused precisely by the fact that, on the one hand, commodities were sold at their labour values, and on the other, there was no competition among the various spheres. If we assume that there was no competition among the various spheres, it will become incomprehensible why commodities were sold at their labour values.

from the first schema to the second schema, we assumed a change in the *social class* which receives the surplus value. In passing from the second schema to the third schema, we assumed that within the same class of capitalists a *redistribution* of profits among various spheres took place. Both these transitions essentially comprise two logical links of one reasoning, separated for the sake of clarity, though they do not exist separately. In our opinion, it is wrong to transform the intermediate logical link, the second schema, into a historically existed type of economy, in transition from a simple commodity economy to a developed capitalist economy.^[506]

Thus, the average rate of profit is quantitatively determined by the relation between the total mass of surplus value and the total social capital. We assume that in Marx's system the average rate of profit is determined as a magnitude *derived from the mass of total surplus value, but not from different rates of profit*, as it may seem when reading Marx for the first time. Deriving the average rate of profit from different rates of profit calls forth objections based on the fact that the existence of different rates of profit in different spheres is not logically and historically proven, since it is due to the sale of the products of various spheres at their labour values. But, as we have described above, the difference in the rates of profit in various spheres plays in Marx only the role of a theoretical schema, explaining the formation and magnitude of the average rate of profit by means of comparison. Marx himself emphasises, that

the general rate of profit is determined by two factors: 1) the organic composition of the capitals in the different spheres of production, and thus, the different rates of profit in the individual spheres. 2) The distribution of the total social capital in these different spheres, and thus, the relative magnitude of the capital invested in each particular sphere at the specific rate of profit prevailing in it; i.e., the relative share of the total social capital absorbed by each individual sphere of production.¹³

It is obvious that different rates of profit in individual spheres serve for Marx only as numerical expressions, *indicators of the organic composition of capital*, i.e., of the mass of living, hence surplus labour set in motion by each hundred

[506] In the second edition, this paragraph ends with the following sentence deleted in the third edition: 'Although some of Marx's statements can suggest, that he did not totally reject the view on the formation of average rate of profit from various rates of it as a historical process which took place at some time, Marx himself decidedly objected the historical interpretation of his theory of value, as we will see in the following.'

13 [Capital, III¹, p. 163, MEGA, II/15, p. 164].

units of capital in a given sphere. This fact is combined with the second fact, i.e., the quantity of surplus value allocated in each sphere to one hundred units of capital, is multiplied by the magnitude (i.e., the number of hundreds) of the capital invested in the given sphere. As a result, we obtain the mass of surplus labour and surplus value, first in individual spheres, and then throughout the social economy. In this way, the average rate of profit is determined in the last analysis not by the different rates of profit in the different spheres, but by the total mass of surplus value and its relation to the total social capital,¹⁴ i.e., by the magnitudes, theoretically raising no doubts (of course, from the point of view of the theory of labour value), and at the same time expressing entirely real phenomena of the national economy, namely the masses of living social labour and social capital. The specific character of Marx's theory of the process of production consists precisely in transferring the entire question about the interrelation between surplus value and profit from an individual capital to the total social capital. This is why, in our presentation of Marx's theory, different rates of profit in different spheres do not serve as a necessary intermediary link of the theory on the average rate of profit, which can be briefly summarised in the following way. In the capitalist economy, the *distribution of capitals* is not proportional to the *distribution of living labour*. A *different* quantity of living, hence *surplus labour* is allocated to one hundred units of capital (different rates of profit is not more than a numerical expression of this interrelation between surplus labour and capital in each sphere). This *organic composition* of capital in the different spheres and the *magnitude of capital* in each of them determine the *total mass of surplus labour and surplus value* in the individual spheres as well as in the entire society. Since various capitals in different spheres acquire an *equal profit* due to the competition of capitals, the profit acquired by the individual capitals is *not proportional to the surplus value* but determined by the average profit, i.e., by the relation of the *total surplus value to the total social capital*.

If, in reading Chapter 8 of Volume III of *Capital*, someone has the impression as if the difference in the rates of profit brought about by the sale of commod-

14 If the total capital of society amounts to 1,000, and the mass of total surplus value to 100, the general average rate of profit will be 10 percent, no matter how the total living labour of society may be distributed among the individual spheres, therefore, whatever may be the rates of profit in the individual spheres. On the contrary, if the mass of total surplus value on the same total capital of 1,000 increases to 150, although the rates of profit in the individual branches of production remained unchanged (which is possible if capitals are distributed otherwise among them) [the clause in parentheses is added in the third edition], the general average rate of profit rises from 10 to 15 percent.

ities at their labour value^[507] plays in Marx a role of necessary link^[508] in his theoretical constructions, this can be explained by the following particularity of Marx's presentation. When Marx approaches the crucial places in his system, when he must move from a general to a more particular determination, from a general concept to its modification, from one 'determination of form' to another, he has recourse to the following manner of exposition. With an enormous power of thinking, he draws all the logical conclusions from the first determination developed by him, boldly leads to the logical end all the consequences from it, discloses before the readers all the contradictions of these consequences, logical or actual, i.e., their discrepancy from reality. When the reader's attention is already strained to its last degree, when it begins to seem to him that the former determination, as something contradictory, must be totally abandoned, Marx comes to his aid and suggests the exit, consisting in that the former determination should not be thrown out but only 'modified', developed, ^[509] and complemented, so that the emerging^[510] contradictions can be gotten rid of. This is the procedure adopted by Marx in Chapter 4 of Volume I of *Capital*, in the transition from the value of commodities to the value of labour power. From the exchange of commodities at their labour value he draws the impossibility of the formation of surplus value, i.e., he approaches a conclusion openly contradictory to reality. In the further analysis, this conclusion is gotten rid of by the theory of the value of labour power. Chapter 8 of Volume III of *Capital* is constructed in exactly the same way. From the sale of commodities at their labour value Marx draws the difference in the rates of profit in different spheres and, pushing this conclusion to the end, he confirms at the very concluding parts of Chapter 8 the contradiction of this conclusion to the reality and the necessity of solving this contradiction. In Volume I of *Capital* Marx never affirms the impossibility of surplus value, in the same way here he does not affirm the possibility of different rates of profit. For Marx, neither the impossibility of surplus value in Chapter 4 of Volume I nor the possibility of different rates of profit in Chapter 8 of Volume III serves as logically necessary links of his theoretical construction, but as a *reductio ad absurdum*, insinuating that the analysis is not yet completed but must be further continued. Marx affirms not the existence of different rates of profit, but, on the contrary, the insufficiency of any theory based on such a premise.

[507] 'brought about by the sale of commodities at their labour value' is 'in different spheres' in the second edition.

[508] 'necessary link' is 'necessary intermediary link' in the second edition.

[509] "'modified', developed' is "'modified', varied, developed' in the second edition.

[510] 'emerging' is 'emerged' in the second edition.

We have arrived at the conclusion that the average rate of profit is determined by the relation of total surplus value to the total social capital. From here it follows that changes in the *average rate of profit* may be brought about by changes in the rate of *surplus value* as well as by changes in the relation of total surplus value to total *social capital*. In the first case, the change in the rate of surplus value 'can only occur either through a rise, or fall, in the value of labour power, the one being just as impossible as the other unless there is a change in the productivity of the labour producing means of subsistence, i.e., in the value of commodities consumed by the labourer' [*Capital*, III¹, p. 205, MEGA, II/15, p. 204]. Now let us take the second case, when the changes begin from capital, namely from an increase or decrease of its constant part. But change in the relation of constant capital to labour proves a change in the productivity of labour, 'thus, there has been a change in the productivity of labour, and there must have occurred a change in the value of certain commodities' [*ibid.*, p. 205, II/15, p. 204]. Changes in the *average rate* of profit, whether beginning from the rate of surplus value or from capital, are caused in both cases in the last analysis by changes in the *productivity of labour*, and consequently, by changes in the *value* of some commodities.

It follows from the above that changes in the costs of production as well as changes in the average rate of profit are brought about by changes in the productivity of labour. Since the price of production is made up of costs of production plus average profit, *changes in the prices of production are caused in the last analysis by changes in the productivity of labour and in the labour value of some or other commodities*. If the change in the prices of production is caused by a change in the costs of production, this means that the productivity of labour in the given sphere of production and the labour value of the given commodity have changed. 'If the price of production of a commodity changes in consequence of a change in the general rate of profit, its own value may have remained unchanged. However, a change must have occurred in the value of other commodities' [*ibid.*, pp. 205–6, II/15, p. 204], i.e., a change in the productivity of labour in other spheres. In any case, the price of production changes depending on the changes in the productivity of labour and the corresponding changes in labour value. Productivity of labour – abstract labour – value^[511] – costs of production plus average profit – price of production; such is the schema of causal connections between price of production, on the one hand, and the productivity of labour and labour value, on the other.

[511] '–abstract labour – value' is '–labour value' in the second edition, cf. translator's note [489] above.

4 Labour Value and Prices of Production

Now, finally, we can consider that the chain of logical links constituting Marx's theory of the prices of production has completed. This chain is made up of the following basic links: *productivity of labour – abstract labour – value*^[512] – *price of production – distribution of capital – distribution of labour*. If we compare this six-limb schema with the four-limb^[513] schema of the simple commodity economy: *productivity of labour – abstract labour – value*^[514] – *distribution of labour*, we can see that the links of the schema of the simple commodity economy have entered into the schema of the capitalist economy. Therefore, the theory of labour value is a necessary foundation for the theory of the prices of production, and the latter is a necessary development of the former.

The publication of Volume III of *Capital* gave birth to an enormous literature on the so-called 'contradiction' between Volume I and Volume III of *Capital*. Critics claimed that in Volume III Marx essentially repudiated his theory of labour value, and some of them even assumed that, when drafting Volume I of *Capital*, Marx did not yet imagine those difficulties and 'contradictions' to which the theory of labour value would lead^[515] when he had to explain the average rate of profit. K. Kautsky's foreword to Volume III of *Theories of Surplus Value* [the volume number of *Theories* is in Kautsky's edition and in Russian translations from this edition, ditto, *infra*.] documentarily proves that at the moment of the publication of Volume I of *Capital* the theory of the prices of production presented in Volume III of *Capital* had already been worked out by Marx in all its details. Already in Volume I Marx repeatedly points out that, in capitalist society, average market prices deviate from labour value. The content of Volume III of *Theories* convinces us also of another essential circumstance. The entirety of post-Ricardian political economy turned around the problem of the relation between labour value and the price of production. To solve this problem was a historical task for economic thought, and Marx saw in its solution the particular merit of his theory of value.

Critics who saw a contradiction between these two volumes of *Capital* started from a narrow view on the theory of value, considering it exclusively as a formula of quantitative proportions in the exchange of commodities. From

[512] Cf. the previous translator's note.

[513] 'six-limb schema with the four-limb' is 'five-limb schema with the three-limb' in the second edition.

[514] Cf. the translator's note [511] above.

[515] 'to which the theory of labour value would lead' is 'into which the theory of labour value would fall' in the second edition.

this point of view, the theory of labour value and the theory of price of production were not two logical steps or stages of abstraction of one and the same economic phenomena, but two different theories, the contentions of which bear a contradictory character. The first theory claims that commodities are exchanged proportionally to the expenditures of labour necessary for their production, the second theory affirms that they are not exchanged proportionally to these expenditures. What a strange method of abstraction, said critics of Marx, to affirm one thing first and then another, contradictory to the former! But these critics lost sight of the fact that the quantitative formula of the exchange of commodities is only the last conclusion drawn from a very complicated theory, which studies both the social *form* of phenomena of value, expressing a definite type of social relations of production among people, and the *content* of these phenomena, their role as a regulator of the distribution of social labour.

Anarchy in social production; the absence of direct social relations among producers; interaction of their labour activities through things, products of labour; connection between the movement of the relations of production among people and the movement of things in the process of material production; 'reification' of the former, transformation of their properties into the properties of 'things', – *all of these phenomena of commodity fetishism are uniformly inherent in every commodity economy, simple as well as capitalist*, uniformly characterising both labour value and the price of production. But every commodity economy is based on a division of labour, i.e., represents a system of distributed labour. How does this distribution of social labour among various spheres of production take place? It is given orientations by the mechanism of market prices, occasioning in- and outflows of labour. Fluctuations of market prices manifest a certain regularity, oscillating around some average level, a 'stabiliser' of prices, as Oppenheimer appropriately named it.¹⁵ This 'stabiliser' of price, changing above all^[516] depending on the development in labour productivity, serves also as a regulator of the distribution of labour. *The development of the productivity of labour influences the distribution of social labour through the mechanism of market prices, the movement of which is subject to the law of value.* Such is the simplest, abstract mechanism of distribution of labour in the commodity economy. This mechanism is equally inherent in every commodity economy, including the capitalist economy. Any other mechanism of distribution of labour than through the fluctuation of market prices does not

[516] 'above all' is 'in turn' in the second edition.

15 Oppenheimer, *Value and Capital Profit* [original in German, cf. note 54 in Chapter 14], 1922, p. 23.

exist in capitalist society. But since capitalist society is a more complicated system of social relations of production, in which people relate to each other not only as commodity possessors but also as capitalists and wage labourers, the mechanism of distribution of labour in question operates here in a more complex manner. Since simple commodity producers spend their own labour in production, the development of labour productivity, expressed in the labour value of the product, causes^[517] in- and outflows of labour, i.e., influences the distribution of social labour. In other words, the simple commodity economy is characterised by a direct causal connection between the productivity of labour, expressed in the labour value of products, and the distribution of labour.¹⁶ In capitalist society, this causal connection cannot be direct, since the distribution of labour is carried out through the distribution of capital. The development of the productivity of labour, finding its expression in the labour value of products, cannot influence the distribution of labour otherwise than through its influence on the distribution of capitals. But such an influence on the distribution of capitals is in turn possible only if changes in labour productivity and labour value bring about changes in costs of production or in the average rate of profit, i.e., influence the price of production.

Thus, the schema: productivity of labour – abstract labour – value^[518] – distribution of labour, represents, so to say, *a theoretical model of the direct causal connection between the development in labour productivity, expressed in labour value, and the distribution of social labour*. The schema: productivity of labour – abstract labour – value^[519] – price of production – distribution of capitals – distribution of labour represents *a theoretical model of the same causal connection*, in which the productivity of labour influences the distribution of labour not directly but through ‘intermediary links’ (an expression Marx often uses in this context): through the price of production and distribution of capitals. In both schemas the first and last phenomena are the same, and the mechanism of causal connection itself between them is one and the same. But in the first schema, we assume that the causal connection takes on a more direct, immediate character. In the second schema, we introduce complicating elements, intermediary links. This is a usual way of abstract investigation, to which Marx

[517] ‘causes’ is ‘immediately causes’ in the second edition.

[518] Cf. the translator’s note [511] above.

[519] Cf. the previous translator’s note.

16 More rigorously, this causal connection equally does not appear directly, insofar as the productivity of labour influences the distribution of labour only through change in labour value. Therefore, we also speak of ‘the productivity of labour, expressed in the labour value of products.’

has recourse in all his theoretical constructions. The first schema is a more abstract, simplified model of phenomenon, but necessary for understanding a more complex form of phenomenon, such as takes place in capitalist society. If we limited ourselves to those intermediary links which catch the eye on the surface of phenomena in capitalist economy, namely the price of production and distribution of capitals, our investigation would remain inconclusive, besides in two respects, in both starting and concluding points. As the starting point we would take price of production, i.e., costs of production plus average profit. But, insofar as we explain the price of production by the costs of production, we are simply referred back from the value of product to the value of its component parts, i.e., we cannot get out of a vicious circle. As for the average profit, its volume as well as its changes remain incomprehensible. The price of production can be explained, in this way, only by the changes in labour productivity and in labour value of products. On the other hand, we have no right to stay at the distribution of capitals as the final point of our investigation, but must go over to the distribution of social labour. In this way, the theory of the prices of production must soon find its basis in the theory of labour value. But, on the other hand, the latter must find its further development and accomplishment in the former. Marx rejected every attempt to construct the theory of the capitalist economy directly from the theory of labour value, avoiding the intermediary links: the average profit and the price of production. He characterised them as an 'attempt to make concrete relations directly fit the simple relation of value' (*Theories*, III, p. 145 [*Theories*, 2, p. 311, MEGA, II/3.4, p. 1312]), an 'attempt to present that which does not exist' (*ibid.*, p. 97 [*ibid.*, p. 277, II/3.4, p. 1279]).

Thus, the theory of labour value and the theory of the prices of production are not theories of two different types of economy, but a theory of one and the same capitalist economy, taken on two different stages of scientific abstraction. The theory of labour value is a theory of the simple commodity economy, not in the sense that it depicts the type of economy preceding the capitalist economy, but in the sense that it describes only one aspect of the capitalist economy, namely the relations of production among commodity producers, characterising every commodity economy.

5 The Historical Foundation of the Theory of Labour Value

After the publication of Volume III of *Capital*, opponents of Marx's theory of value and also a number of its adherents, had an impression as if the conclusions of Volume III demonstrate the inapplicability of the law of labour value

to the capitalist economy. Because of this, some Marxists had an inclination toward a so-called 'historical' foundation of Marx's theory of value. They said that, though the law of labour value in such a form as was developed by Marx in Volume I of *Capital* is not applicable to the capitalist economy, it is instead completely valid for the historical period preceding the emergence of capitalism, characterised by petty crafts and the peasant economy. Certain passages which might be interpreted in this way can be found in Volume III of *Capital*, where Marx says that 'it is quite appropriate to regard the values of commodities as not only theoretically but also historically prius to the prices of production' [*Capital*, III¹, p. 177, MEGA, II/15, p. 177]. These cursory statements of Marx's were developed in detail by Engels in an article published in 1895 in *Neue Zeit*.¹⁷ Here Engels based himself on the idea that Marx's law of labour value was valid in the course of a historical period which lasted from five to seven thousand years, namely during a period beginning with the appearance of exchange and ending in the fifteenth century, i.e., the period of the emergence of capitalism. Engels's article found ardent adherents as well as no less ardent opponents, partly from the Marxist camp. The latter pointed out that, prior to the emergence of capitalism, exchange had not encompassed the whole of a national economy, but diffused primarily to the surpluses remaining after the satisfaction of needs of self-sufficient natural economic unit, that there existed no mechanism of general equalisation on the market of different individual labour expenditures in separate economic units, that consequently it is not appropriate to speak of abstract and socially-necessary labour comprising the basis of the theory of value. Here we will not be concerned with the historical debate over whether or not commodities were exchanged proportionally to the labour expended on their production before the appearance of capitalism. From methodological considerations we are opposed to treating this question together with the question of the theoretical significance of the law of labour value for the explanation of the capitalist economy.

Let us first get back to Marx. If some statements in Volume III of *Capital* could be made use of by proponents of a historical foundation of the theory of value, now that other works of Marx's have become equally accessible to us, we know with certainty that Marx was strongly opposed to the view as if the law of

17 The Russian translation of Engels's article, with the title 'Law of Value and Rate of Profit', can be found in *Новое слово* [*New Word*], September 1897, or in the text of Volume III of *Capital*, edited by E. Bernstein, Kiev, 1905 [this article of Engels was written in 1895 and published as follows: Fr. Engels' letzte Arbeit: Ergänzung und Nachtrag zum dritten Buch des "Kapital", *Die Neue Zeit*, XIV. Jahrgang, 1895–96, mit Vorrede von E. Bernstein (ss.4–6), ss.6–11 von Nr. 1, ss.37–44 von Nr. 2. An English version is in MECW/37, pp. 876–94].

labour value was valid in the period preceding the development of capitalism. To the English economist Torrens, an adherent to this view, remounting even to Adam Smith, Marx objected in pointing out that the full development of the commodity economy, and consequently of the laws inherent in it, is possible only in capitalism but not before its emergence.

Thus the law of the commodity economy is supposed to be valid for a type of production which produces no commodities (or only to a limited extent), and not to be valid for type of production which is based on the product as a commodity. The law itself, as well as the commodity as the general form of the product, is abstracted from capitalist production and yet it is precisely in respect of capitalist production that the law is held to be invalid.¹⁸

‘That is, that the law of value, which is abstracted from capitalist production, contradicts capitalist phenomena’ (ibid., p. 78 [ibid., p. 263, II/3.4, p. 1265]). These ironical comments of Marx’s sufficiently show his position with respect to the view on the theory of value as a law working in pre-capitalist economies, i.e., elsewhere than in the capitalist economy.^[520] But how can we reconcile them with some of the observations in Volume III of *Capital*? The seeming divergence between them disappears if we turn to the ‘Introduction to the Critique of Political Economy’,¹⁹ which gives us valuable elucidations concerning Marx’s abstract method of investigation. Marx emphasised that the method of upward advancing from abstract to concrete concepts is only a means by aid of which human thinking approximates the concrete, but not the way of emergence of this concrete itself (p. 25 of the first edition, or pp. 23–4 of the third edition [MECW/28, p. 37, MEGA, II/1.1, p. 36]). That is, the transition from labour value or the simple commodity economy to the prices of production or the capitalist economy is a means for understanding the concrete, i.e., the capitalist economy. This is a theoretical abstraction, not a depiction of the real historical transition from the simple commodity economy to the capitalist economy. This supports the view we have advanced above, that the tables in Chapter 9 of

[520] ‘law working in pre-capitalist economies, i.e., elsewhere than in the capitalist economy’ is ‘historical law’ in the second edition.

18 *Theories*, III, p. 80 [*Theories*, 2, p. 265, MEGA, II/3.4, p. 1266].

19 The Russian translation [by Paschukanis] in the collection *Fundamental Problems of Political Economy*, from which we will quote. We will indicate the page numbers in the first edition of 1922 and in the third edition of 1925 [this last sentence is added in the third edition].

Volume III of *Capital*, illustrating the formation of the general average rate of profit from various rates of profit [cf. the table on p. 309 in the present translation], depict the theoretical schema of phenomenon but not its historical development. 'The simplest economic category, e.g., exchange value ... cannot exist except as an abstract, one-sided relation of an already existing concrete living whole' (ibid. [ibid., p. 38, II/1.1, pp. 36–7]), i.e., of the capitalist economy.

After having elucidated the theoretical character of the abstract categories, Marx asks himself: 'have not these simple categories also an independent historical or natural existence preceding that of the more concrete ones?' (ibid., p. 26 of the first edition or p. 24 of the third edition [ibid., p. 39, II/1.1, p. 37]). To this question he answers that such cases are possible. A simple category (for example, value) can historically exist prior to the more concrete category (for example, prices of production), but then the former bears still a rudimentary, embryonic character, expresses relations of 'undeveloped concreteness.' 'So although the simpler may have existed historically before the more concrete category, its complete intensive and extensive development can nevertheless occur precisely in a complex form of society' (ibid., p. 27 of the first edition, or p. 26 of the third edition [ibid., p. 40, II/1.1, p. 38]). Applying this conclusion to the question we are now examining, we can say: labour value (or the commodity) is a historical 'priors' in relation to the price of production (or capital), it existed in a rudimentary form before capitalism, but only a certain development of *the commodity economy prepared the basis for the emergence of capitalist economy*. But labour value in its developed form exists only in capitalism, and the theory of labour value, which logically develops the completed system of categories^[521] of value, abstract labour, socially-necessary labour, and so on, expresses 'an abstract, one-sided relation of an already existing concrete living whole', i.e., the abstraction of the capitalist economy.

The historical problem of whether commodities before the emergence of capitalism were exchanged in proportion to labour expenditures should be separated from the problem of the theoretical significance of the theory of labour value. If the first problem were solved in the affirmative, but if at the same time the explanation of the capitalist economy were not in need of a theory of labour value, we could consider this theory^[522] as a historical introduction to political economy, in any case already not as a fundamental theoretical basis on which Marx's political economy is built. Inversely, if the historical problem were solved in the negative sense, but if at the same time the theory of

[521] 'system of categories' is 'category' in the second edition.

[522] 'this theory' is 'the latter' in the second edition.

labour value were proved to be indispensable to the theoretical understanding and synthesis of the complex phenomena of the capitalist economy, it would keep the worthy place it actually occupies in theoretical economy. In a word, however may be solved the historical problem of the working of the law of labour value in the periods prior to capitalism, this solution does not in the least make Marxists free from the obligation to fight back against the opponents on the problem of the theoretical significance of the law of labour value for the understanding of the capitalist economy.^[523] To confound in the theory of value the theoretical formulation of the problem and the historical one is not only beside the point, as we have shown, but also harmful. Such a formulation of the problem puts forward the proportions of exchange, ignoring the social form and social function of value as the regulator of the distribution of labour, a function which value performs to a great extent^[524] only in a developed commodity economy, i.e., in the capitalist economy. If the researcher finds that primitive tribes, living in the conditions of a natural economy and relying from time to time on exchange, are guided by labour expenditures in establishing exchange proportions, he will be inclined to see here the category of value. Value will be transformed into a transhistorical category, into labour expenditure independent of the social form of organisation of labour.²⁰ The 'historical' formulation of the problem leads, in this way, to ignoring the historical character of the category of value. Other researchers, thinking that 'the provenance of exchange value should be sought in a natural economy, from which monetary economy was developed,' determine value after all not by the labour which is spent on the production *of the product in the economic unit of a producer, but by the labour which would be spent by the consumer* if exchange were absent and the product were to be prepared with his own labour. (P. Maslov, *Theory of development of national economy*, 1910, pp. 180, 182–3.)

The theory of labour value and the theory of the prices of production are distinguished from one another, not as different theories valid in different historical periods, not as an abstract theory and a concrete fact, but as two stages of abstraction of one and the same theory of the capitalist economy. The first theory presupposes only the relations of production among commodity producers, the second theory presupposes also the relations of production between capitalists and labourers, on the one hand, and among various groups of industrial capitalists, on the other.

[523] This one sentence is inserted in the third edition.

[524] 'to a great extent' is inserted in the third edition.

20 Cf. A. Bogdanov and I. Stepanov, *Course of Political Economy*, vol. 11, Book 4, pp. 21–2.

Productive Labour^[525]

For a correct formulation of the problem of the productivity of labour, it is necessary above all to carry out a preliminary task: to confirm the exact meaning of Marx's theory on productive labour. Probably in no part of the broad critical literature on Marx does such a confusion of concepts, such a discrepancy in opinions prevail among Marxists, as well as among their opponents, as on this question. One of the causes of this confusion consists in an unclear idea of Marx's original views on productive labour.

In presenting Marx's views it is indispensable to take up as the starting point the last chapter of the first volume of *Theories of Surplus Value*, entitled 'Theories of Productive and Unproductive Labour' [this is not Marx's original title for this part of his 1861–3 manuscripts]. Marx gives a brief formulation of the ideas developed in this chapter already in Chapter 14 of Volume 1 of *Capital*:

Capitalist production is not merely the production of commodities, it is essentially the production of surplus-value. The labourer produces, not for himself, but for capital. It no longer suffices, therefore, that he should simply produce. He must produce surplus-value. That labourer alone is productive, who produces surplus-value for the capitalist, and thus works for the self-expansion of capital. If we may take an example from outside the sphere of production of material objects, a schoolmaster is a productive labourer, when, in addition to belabouring the heads of his scholars, he works like a horse to enrich the school proprietor. That the latter has laid out his capital in a teaching factory, instead of in a sausage factory, does not alter the relation. Hence the notion of a productive labourer implies not merely a relation between work and useful effect, between labourer and product of labour, but also a specific, social relation of production, a relation that has sprung up historically and stamps the labourer as the direct means of creating surplus-value.¹

Following these words, Marx promises to examine this question in detail in the 'fourth volume' of *Capital*, i.e., in *Theories*. In fact, at the end of Volume 1 of

[525] 'Chapter 12' in the first edition.

1 [*Capital*, I, Chapter 16, p. 477, MEGA, II/6, p. 478].

Theories, we find an extensive digression, which is essentially a detailed development of the idea already formulated in Volume I of *Capital*.

Marx points out first of all that ‘only bourgeois narrow-mindedness, which considers the capitalist forms of production as its absolute forms (and therefore as eternal forms of production) is able to confuse the question of what *productive labour* is from the standpoint of capital with the question of what labour is productive in general, or what productive labour is in general.’² Marx rejects as futile the question of what kind of labour is generally productive in all historical epochs, irrespective of the given social relations.^[526] Every system of relations of production, every economic structure has its own concept of productive labour. Marx confines his investigation to the question of what kind of labour is productive from the standpoint of capital, or in the capitalist mode of production. To this question he gives the following answer: ‘*Productive labour*, therefore, is labour which – in the system of capitalist production – produces *surplus-value* for its employer or which converts the conditions of labour into capital, and their owners into capitalists, hence labour which produces its own product as capital’ (*Theories*, p. 269 or p. 323 [ibid., p. 131, 11/3.6, p. 2169. Emphasis in original but not reproduced in Rubin’s quotation]).³ ‘Only labour *which is converted directly into capital is productive*; hence only labour which posits variable capital as variable’ (p. 267 or p. 320 [ibid., p. 128, 11/3.6, p. 2166. Emphasis in original]). In other words, as productive appears labour which ‘*is directly exchanged with capital*’ (p. 166 or p. 204 [*Theories*, 1, p. 12, 11/3.2, p. 443. Emphasis in original but not reproduced in Rubin’s quotation]), i.e., which is bought by capitalist with his variable capital in order to use this labour for the purpose of creating exchange values and drawing surplus value. ‘Labour which is not exchanged with capital, but *directly* with revenue, that is, with wages or profit (including of course the various categories of those who share as co-partners in the capitalist’s profit, such as interest and rent)’ (p. 166 or p. 204 [*Theories*, 1, p. 12, 11/3.2, p. 443. Emphasis in original]) is unproductive labour.

[526] In the first edition the sentence ends with ‘of production’, which is deleted in the second edition.

2 *Theories*, Russian translation by V. Zheleznov, 1906, p. 276, or in the edition of G. Plekhanov, p. 320 [*Theories*, 4, p. 128, MEGA, 11/3.6, p. 2166. The phrase beginning with “or” is added in the second edition].

3 In the following, the references to Volume I of *Theories* will be noted simply with indications of page numbers, of which the first means those in the translation by V. Zheleznov published in 1906, and the second in the translation by G. Plekhanov published in 1906. [The clause beginning with “of which” is added in the second edition].

From Marx's determination presented above two conclusions necessarily follow: 1) all labour bought by a capitalist with his variable capital in order to draw surplus value from it is productive labour, irrespective of whether or not this labour is realised in material things, whether or not it is objectively necessary or useful for the process of social production (for example, the labour of a clown employed for a circus manager); 2) all labour which is not bought by a capitalist with his variable capital is not productive labour from the viewpoint of the capitalist economy, even if this labour were objectively useful and realised in material consumption goods satisfying imminent human needs. These two conclusions, appearing at first sight so paradoxical and contradictory to the commonly shared view on productive labour, logically follow from Marx's determination. In fact, Marx boldly adopts them.

An actor, for example, or even a clown, according to this definition, is a productive labourer if he works in the service of a capitalist (an entrepreneur) to whom he returns more labour than he receives from him in the form of wages; while a jobbing tailor who comes to the capitalist's house and patches his trousers for him, producing a mere use value for him, is an unproductive labourer. The former's labour is exchanged with capital, the latter's with revenue. The former's labour produces a surplus-value; in the latter's, revenue is consumed.⁴

At first glance, this example of Marx's is surprisingly paradoxical. The useless labour of the clown is regarded as productive, while the highly useful labour of the tailor unproductive. Where is the meaning of the definition given by Marx?

The majority of textbooks on political economy treat productive labour from the standpoint of its objective necessity for social production in general or for the production of material goods. As decisive in this case appears the *content* of labour, the result, above all the material one, to which the labour is directed and which it performs. Marx's problem has nothing in common with this question except the naming. For Marx, productive labour means: *labour which enters into a given social system of production*.^[527] Marx is interested in the question of what social production is, how to distinguish the labour activities of people, entering into the system of social production from those not entering into it (for example, activities directed to satisfying personal needs, to the service of

[527] The passage from 'labour' to 'production' is italicised in the second edition.

4 *ibid.*, p. 167 or p. 205 [*ibid.*, p. 13, 11/3.2, p. 444].

a household). Where is the token which includes a labour activity of a person in the system of social production, which renders his labour 'productive' labour?

To this question Marx gives the following answer. Every system of production is distinguished by a given totality of relations of production, determined by a social form of organisation of labour. In capitalist society, labour is organised in the form of wage labour, i.e., the economy is organised in the form of capitalist enterprises, where wage labourers work under the command of a capitalist in creating commodities^[528] and yielding him surplus value. *Only that labour which is organised in the form of capitalist enterprises*, which has the form of wage labour, employed by capital for the extraction of surplus value, which enters into the *system of capitalist production*, is 'productive' labour.^[529] All labour entering into a given system of social production is regarded as productive, and as such appears all labour organised in that definite social form which is proper to the given system of production. In other words, labour is recognised as productive or unproductive not from the point of view of its *content*, of its character as concrete labour activity, but from the point of view of the *social form of its organisation*, of its correspondence with the relations of production characterising a given economic structure of society.^[530] Marx repeatedly points out this particularity, sharply distinguishing his theory of productive labour from the commonly accepted theory, which assigns a decisive role to the content of labour activity. 'These definitions (of productive labour – *i.R.*) are therefore not derived from the material characteristics of labour (neither from the nature of its product nor from the particular character of the labour as concrete labour), but from the definite social form, the social relations of production, within which the labour is realised' (pp. 166–7 or p. 205 [*ibid.*, p. 13, 11/3.2, pp. 443–4]). 'It is a determination of labour which is derived not from its content or its result, but from its particular social form' (p. 167 or p. 206 [*ibid.*, p. 14, 11/3.2, p. 445]). 'The material determination of the labour, and therefore, of its product, in itself has nothing to do with this distinction between productive and unproductive labour' (p. 168 or p. 206 [*ibid.*, p. 15, 11/3.2, p. 445]). '[T]he ... content of the labour, its specific utility or its particular use value' is indifferent to the solution of the problem on its productivity (p. 275 or p. 330 [*Theories*, 4, p. 136, MEGA, 11/3.6, p. 2173]). 'This distinction between productive and unproductive labour has nothing to do either with the particular specialty

[528] In the first and second editions 'commodities' is followed by '(in the sense of exchange values but not of material products)', which is deleted in the third edition.

[529] This sentence is entirely non-italic in the first edition.

[530] This sentence is entirely non-italic in the first edition.

of the labour or with the particular use value in which this special labour is incorporated' (p. 169 or p. 208 [*Theories*, 1, p. 16, MEGA, II/3.2, p. 447]).

It follows from the above that one and the same labour from the material point of view is productive or unproductive (i.e., enters into the system of capitalist production or not) depending on whether or not it is organised in the form of a capitalist enterprise.

[T]he workman employed by a piano maker is a productive labourer. His labour not only replaces the wages that he consumes, but in the product, the piano, the commodity which the piano maker sells, there is a surplus-value over and above the value of the wages. But assume on the contrary that I buy all the materials required for a piano (or for all it matters the labourer himself may possess them), and that instead of buying the piano in a shop I have it made for me in my house. The workman who makes the piano is now an unproductive labourer, because his labour is exchanged directly against my revenue.⁵

In the first case the labourer who produces a piano is included in a capitalist enterprise, accordingly in the system of capitalist production, but he is not in the second case.

Milton, who wrote *Paradise Lost* for £5, was an *unproductive labourer*. ... But the Leipzig literary proletarian who assembles books (such as compendia of political economy) under the direction of his publisher is a *productive labourer*; for his product is from the outset subsumed under capital, and only takes place so that capital may valorise itself. A singer who sells her songs on her own account is an *unproductive labourer*. But the same singer engaged by an impresario, who has her sing in order to make money, is a *productive labourer*, for she produces capital.⁶

The capitalist form of organisation of labour includes labour in the system of capitalist production, makes it 'productive' labour. All labour activities of people not going on in the form of enterprises organised on capitalist principles do not enter into the system of capitalist production, hence they are not related to 'productive' labour. All labour activities which are directed to the satisfaction of personal needs (remnants of natural household economy) are

5 *ibid.*, pp. 169–70 or p. 208 [*ibid.*, p. 16, II/3.2, p. 447]).

6 *ibid.*, pp. 272–3 or p. 327 [*Theories*, 4, p. 136, MEGA, II/3.6, p. 2173. Emphasis in original but not reproduced in Rubin's quotation]).

considered as such. Even wage labour, as far as it is not used for extracting surplus value (for example, the labour of a household servant), is not productive in the above indicated sense. But the labour of household servant is not unproductive because it is 'useless' or does not produce material goods. As Marx showed, the labour of a cook produces 'material use values' (p. 169 or p. 207 [*Theories*, 1, p. 15, MEGA, II/3.2, p. 446]), nevertheless it is not productive, insofar as the cook is employed for personal services. On the other hand, the labour of a lackey, even though it does not produce material goods and is recognised by many as 'useless', can be 'productive labour' if it is organised in the form of capitalist enterprise.

The cooks and waiters in a public hotel are productive labourers insofar as their labour is transformed into capital for the proprietor of the hotel. The same persons are unproductive labourers as menial servants inasmuch as I do not make capital out of their services but spend revenue on them. In fact, however, these same persons are also for me, the consumer, unproductive labourers in the hotel.⁷

Productive labourers may themselves be *unproductive labourers* as far as I am concerned. If e.g. I have my house decorated, and these decorators are wage labourers of a master, who sells me this function, it is the same for me as if I had bought a ready-decorated house, expended money for a commodity I intend to consume, but, For the master who sets these labourers to decorating, they are productive labourers, for they produce surplus value for him.⁸

Is it necessary to understand Marx in the sense that he recognises only a subjective-relative but not a social-objective criterion of the productiveness of labour? We do not think so. Marx only affirms that the labour of an interior decorator, which is part of the household of the orderer as a consumer, is not yet included in the system of capitalist production. It becomes productive only when included in the capitalist economy of an entrepreneur.

Consequently,^[531] *only that labour which is organised on capitalist principles, and is hence included in the system of capitalist production, is productive.*^[532] By the latter we must not understand a given concrete system of national eco-

[531] 'Consequently' is 'Thus' in the first edition.

[532] This sentence is entirely non-italic in the first edition.

7 *ibid.*, p. 168 or p. 206 [*ibid.*, p. 15, II/3.2, pp. 445–46].

8 *ibid.*, pp. 275–6 or p. 331 [*Theories*, 4, pp. 140–1, MEGA, II/3.6, p. 2179. Emphasis in original].

nomy, in which are included not only the enterprises of capitalist character but also remnants of pre-capitalist forms of production (for example, peasant and craft economy). The system of the capitalist economy encompasses only the economic units built on capitalist principles; it is a scientific abstraction derived from concrete economic reality and constituting in this abstract form the object of political economy as a science of the capitalist economy. In the capitalist economy as a theoretical abstraction, there exists no labour of peasants and craftsmen, and the question about its productiveness is not raised.

[T]hey (peasants and craftsmen – *I.R.*) meet me as sellers of *commodities*, *not as sellers of labour*, and *this relation therefore* has nothing to do with the exchange between capital and labour, hence it also has nothing to do with the distinction between *productive and unproductive labour*, which depends merely on whether the labour is exchanged for money as money or for money as capital. They therefore belong neither to the category of *productive labourers* nor to that of *unproductive labourers*, although they are producers of commodities. Their production is not subsumed under the capitalist mode of production.⁹

From the point of view of the determination of productive labour given by Marx, the labour of civil servants, civil police, soldiers, and clergymen cannot be related to productive labour. But this is not because their labour is 'useless' or not materialised in 'things', but exclusively because it is organised on public-legal principles, and not in the form of private capitalist enterprises. A post-office worker is not a productive labourer. But if the post were organised in the form of private capitalist enterprises, which charge payment for the transfer of letters and parcels, then the employees hired in these enterprises would be productive labourers. If the job of protecting freights and passengers on roads were performed not by state civil police but by private transportation offices, assuring armed protection by hired personnel, the members of this personnel would belong to the range of productive labourers. Their labour would be included in the system of capitalist production, and these private offices would be subsumed into the laws of capitalist production (for example, the law of equal rate of profit for all branches of production). This cannot be said of the post and civil police, which are organised on public-legal principles. The

9 Marx, *Theories* Vol. I, p. 276 or p. 331 [*Ibid.*, p. 141, II/3.6, pp. 2179–80. Emphasis in original but not reproduced in Rubin's quotation].

labour of the employees of the post and civil police, not entering into the system of capitalist production, is not productive labour.

As we can see, ^[533] in the determination of productive labour Marx completely abstracts from its *content*, ^[534] the concrete, useful character of labour and its result. He considers labour only from the aspect of its *social form*.^[535] Labour organised in the form of a capitalist enterprise is productive labour. The concept 'productive', as well as all other concepts of Marx's political economy, assumes a *historical* and *social* character. Therefore, it would be extremely incorrect to ascribe a 'materialistic' character to Marx's theory of productive labour. From Marx's point of view, it can never be allowed to consider as productive only the labour serving for the satisfaction of *material* and not so-called *spiritual needs*.^[536] On the very first page of *Capital*, Marx writes: 'The nature of such wants, whether, for instance, they spring from the stomach or from fancy, makes no difference' [*Capital*, I, p. 43, MEGA, II/6, p. 70]. The difference in the nature of wants plays no role. In the same way, Marx does not attach any decisive significance to the difference between *physical and intellectual*^[537] labour. Marx speaks of this in the well-known passage in Chapter 14 of Volume I of *Capital* and in many other places. With reference to the labour of 'over-looker, engineer, manager, clerk, etc. – in a word, the labour of the whole personnel required in a particular sphere of material production,' he writes: 'in fact they add their aggregate labour to the constant capital, and increase the value of the product by this amount (how far is this true of bankers, etc.?)'¹⁰ (*Theories*, p. 173 or p. 212 [*Theories*, I, p. 20, MEGA, II/3.2, pp. 450–1]). Intellectual labourers are not only 'necessary' for the process of production, they not only 'deserve' to be remunerated from the products created by physical labourers. According to Marx, they create new value and receive from it their remuneration in leaving a part of this value in the hands of capitalists as unpaid, surplus value.

Intellectual labour, necessary for the process of material production, is in no way distinguished from physical labour. It is 'productive' if organised on capitalist principles. In this case it is completely indifferent whether intellectual labour is organised in one enterprise with physical labour (engineering bureau, chemical laboratory, or accounting office in a factory) or separated in an

[533] "As we can see" is "Thus" in the first edition.

[534] "*content*" is italicised in the second edition.

[535] '*social form*' is italicised in the second edition.

[536] This sentence is entirely non-italic in the first edition.

[537] '*physical and intellectual*' is italicised in the second edition.

10 The proviso about the bankers will become clearer below.

autonomous enterprise (an autonomous chemical laboratory for conducting experiments aiming at improving production, and so on).

A great significance for the question of productive labour should be attached to the distinction between the labour which '*embodies itself in material use values*' and the labour or service '*which assume no objective form* – which do not receive an existence as things separate from those performing the services' (p. 175 or p. 214 [ibid., p. 22, II/3.2, p. 453. Emphasis added, absent from the first edition]), namely, where 'product is separable from the act of producing, as with all executant artists, orators, actors, teachers, doctors, clerics, etc.' (p. 278 or p. 334 [*Theories*, 4, p. 144, II/3.6, p. 2182]).¹¹ Assuming that 'the whole world of commodities, all spheres of material production (the production of material wealth) have been subjected (either formally or really) to the capitalist mode of production' (p. 277 or p. 333 [ibid., p. 143, II/3.6, p. 2181]), the sphere of material production as a whole enters into the sphere of productive, i.e., capitalistically-organised labour. On the other hand, the phenomena relating to non-material production 'are so insignificant in comparison with production as a whole that they can be disregarded entirely' (p. 278 or p. 334 [ibid., p. 144, II/3.6, p. 2182]). In this way, under the two presuppositions, namely: 1) that material production is organised entirely on capitalist principles, and 2) that non-material production is excluded from our investigation, i.e., productive labour can be determined as labour, which produces material wealth. 'Thus *productive labour* would have obtained a second, subsidiary determination distinct from its decisive characteristic, for which the *content of labour* is a matter of complete indifference and which is independent of that content' (p. 277 or p. 333 [ibid., p. 143, II/3.6, p. 2182. Emphasis in original, not reproduced in Rubin's quotation]). But we must understand that this is only a 'subsidiary' determination, maintaining its validity only under the above two presuppositions, i.e., when already tacitly assuming capitalistically-organised labour. In fact, as Marx himself repeatedly indicates, productive labour in the above developed meaning and labour which produces material goods do not coincide, and moreover in two respects. Productive labour encompasses also the labour not embodied in material things, if organised on capitalist principles. On the other hand, the labour which pro-

11 Economists do not always draw sufficiently clear distinction between labour of material character, labour directed to the satisfaction of material needs, and labour embodied in material things. For example, S. Bulgakov, in speaking about productive labour in the space of two pages, keeps in view sometimes the 'labour which is directed to the fabrication of objects useful to people', sometimes the 'labour which is directed to the satisfaction of material needs' ('On Some Fundamental Concepts of Political Economy,' *Научное Обозрение* [*Scientific review*], 1898, no. 2, pp. 335–36).

duces material wealth but is not organised in the form of capitalist production is not, from the viewpoint of the latter, productive (cf. *Theories*, p. 175 or 214 [*Theories*, 1, p. 21, 11/3.2, pp. 451–2]).¹² If we do not take the ‘subsidiary determination’ but the ‘determining characteristic’ of productive labour, which is determined by Marx as labour creating surplus value, we can see that in Marx’s determination presented above^[538] all traces of a ‘materialistic’ understanding of labour are eliminated. This determination starts from the social (namely capitalistic) form of organisation of labour, it bears a sociological^[539] character.

At first glance, this understanding of productive labour, developed by Marx in *Theories*, diverges from Marx’s views on the labour of labourers and clerks employed in commercial and credit business (*Capital*, Volume II, Chapter 6, and Volume III, Chapters 16–19). Marx does not consider this labour to be productive. In the opinion of many scholars including Marxists, Marx refuses to recognise this labour as productive for the reason that it does not produce any modifications in material things. In their opinion, this is a trace of the ‘materialistic’ theories of productive labour. Pointing out the proposition of ‘the classical school, that productive labour or labour forming value (from the bourgeois point of view this is a simple tautology) must be necessarily embodied in *material objects*,’ V. Bazarov asks with astonishment: ‘How could Marx fall into such an error, after he had discovered with such a brilliant perspicacity the fetishistic psychology of the commodity producer?’¹³ A. Bogdanov, criticising the theories which separate ‘intellectual’ and ‘material’ elements of labour, adds: ‘These conceptions of old political economy did not undergo the criticism of Karl Marx which they deserve: in general, Marx himself supported them.’¹⁴

Are Volumes II and III of *Capital* actually penetrated with a ‘materialistic’ understanding of productive labour, which Marx submitted to such a detailed and destructive criticism in *Theories*? In fact, there is no such unpardonable contradiction in Marx’s views. He does not reject the understanding of productive labour as labour organised on capitalist principles, independent of its concrete useful character and its results. But if this is the case, why then does Marx not consider as productive the labour of salesclerks organised in the form of a capitalist commercial enterprise? In order to answer this question, it is

[538] ‘presented above’ is added in the third edition.

[539] Cf. translator’s note [2] above.

12 Cf. B.I. Gorev, *On the Ideological Front*, 1923, pp. 24–6 [this note is added in the second edition].

13 Bazarov, *Productive Labour and Value-Forming Labour*, St Petersburg, 1899.

14 Bogdanov and Stepanov, *Course of Political Economy*, vol. II, no. 4, p. 12.

necessary to remember that every time Marx speaks in *Theories* of productive labour as labour exchanged with capital, he keeps in view only *productive capital*. The addendum to Volume I of *Theories*, entitled 'Productivity of Capital, Productive and Unproductive Labour' [this title, absent in this place in Marx's manuscript, is taken by Kautsky in the Volume I of *Theories* he edited, a title he found in Marx's draft plan for the Book I of *Capital* presumably written in January 1863, cf. *Theories*, 3, p. 347, MEGA, II/3.5, p. 1862], begins with the question of productive capital (p. 267 or p. 320 [*Theories*, 4, p. 121, II/3.6, p. 2160]); from this question Marx passes to productive labour. This addendum ends with the following words:

Here we are still only concerned with *productive capital*, i.e., capital employed in the *direct process of production*. We shall come later to capital in the *process of circulation*, and in view of the particular shape capital assumes as *merchant's capital* it will be only later that we can answer the question as to how far the labourers employed by it are productive or unproductive.¹⁵

In this way, ^[540] the question of *productive labour* draws on the question of *productive capital*, i.e., on the well-known theory of Volume II of *Capital* on 'the metamorphoses of capital.'^[541] According to this theory, capital in the process of its reproduction goes through three phases: money capital, productive capital, and commodity capital. The first and the third phases comprise the 'process of circulation of capital', the second phase the 'process of production of capital.' 'Productive capital' is counterposed in this schema not to unproductive capital, but to capital which is in the 'process of circulation.' The former directly organises the process of creation of consumption goods in a broad sense, which includes all labour necessary for the adaptation of goods to the purposes of consumption, for example, preservation, transport, packing, and so on. The latter organises 'genuine circulation', purchase and sale, the transfer of property right, abstracted from the real transfer of a product; it surmounts, so to say, the friction in the commodity-capitalist system, arising from its dispersiveness into private economic units. It prepares and accomplishes the process of the creation of consumption goods, while being, however, connected to this process more indirectly. The 'production of capital' and the 'circulation of cap-

[540] 'In this way' is 'Thus' in the first edition.

[541] This sentence is entirely non-italic in the first edition.

15 Marx, *Theories* Vol. IV, p. 279 or p. 335 [Ibid., p. 146, II/3.6, p. 2184. Emphasis in original but not reproduced in Rubin's quotation].

ital' in Marx's system are particularised and studied in separation, though, at the same time, Marx does not lose sight of the unity of the total process of reproduction of capital.^[542] From here follows the distinction between labour employed in production and labour employed in circulation. However, this distinction has nothing in common with the distinction of labour producing modifications in material things and labour not provided with such a property. Marx distinguishes labour employed by 'productive' capital, or more exactly, by capital in the *phase of production*, and labour employed by commodity or money capital, capital in its *phases of circulation*.^[543] Only the former is 'productive', not because it produces material goods, but because it is employed by 'productive' capital, i.e., by capital in the phase of production. The participation of labour in the creation of consumption (but not necessarily material) goods constitutes, according to Marx, an additional condition of the productive character of labour, but not its criterion, which remains the capitalist form of organisation of labour. The productive character of labour is a reflection of the productive character of capital. The movement of the phases of capital determines the characteristic of the labour hired by capital. Here Marx remains faithful to his view, that in capitalist society the driving power of development emanates from capital: its movement determines the movement of labour as subject to the former.

In this way, according to Marx, as *productive* appears all labour organised in the *forms of the capitalist process of production* or, more exactly, hired by 'productive' capital, i.e., by *capital in the phase of production*.^[544] The labour of salesclerks is not productive, not because it does not produce modifications in material goods, but exclusively for the reason that it is hired by a capital which is in the phase of circulation. The labour of a clown in the service of circus manager is productive, though it does not create modifications in material things, and, from the viewpoint of the needs of the national economy, it is less useful than the labour of salesclerks; it is productive because it has been hired by a capital which is in the phase of production. (Here the result of production is an immaterial good, the jests of a clown, but this does not change the matter. The jests of a clown have use value and exchange value. Their exchange value surpasses the value of the reproduction of the labour power of the clown, i.e., his wage, and the expenses on constant capital. The manager therefore derives surplus value.) On the contrary, the labour of a cashier in the circus who sells tickets for the clown's performance is unproductive, because it is hired by a

[542] The clause beginning with 'though,' is inserted in the second edition.

[543] This sentence is entirely non-italic in the first edition.

[544] This sentence is entirely non-italic in the first edition.

capital which is in the phase of circulation: it only facilitates the transfer from one person (the manager) to other persons (the public) the 'right to watch the show', the right to enjoy the jests of the clown.¹⁶

For the correct understanding of Marx's thought it is necessary to grasp firmly that the phase of circulation of capital does not mean the 'actual', 'real' circulation and distribution of products, i.e., the process of their actual transfer from the hands of the producer to the hands of the consumer via the processes of transport, conservation, packing, and so on, necessary for such a process. The function of the circulation of capital is only a transfer of the property right over a product from one person to another, a transformation of value from the commodity form to the monetary form, or inversely, a realisation of produced value. It is an ideal or formal and not real transfer. These are 'costs of circulation which originate in a mere change of form of value, in circulation, ideally considered' [*Capital*, II, p. 139. MEGA, II/13, p. 126]. 'We are concerned here only with the general character of the costs of circulation, which arise out of the metamorphosis of forms alone' [ibid., p. 138. II/13, p. 125]. Marx establishes the following proposition: 'The general law is that *all costs of circulation which arise only from changes in the forms of commodities do not add to their value*' [ibid., p. 152. II/13, p. 137. Emphasis in original].

From this 'formal metamorphosis' comprising the essence of the phase of circulation as such, Marx sharply distinguishes the 'real function' of commodity capital [*Capital*, III¹, pp. 267–8, MEGA, II/15, pp. 263–4. Emphases added in the second edition]. To this real function Marx relates: the transportation industry, conservation and distribution of commodities of divisible character [ibid., p. 267, II/15, p. 263], storage of commodities, and their sending, transfer, division, and sorting [ibid., pp. 288–9, II/15, pp. 283–4]. Of course, the formal realisation of value, i.e., the transfer of property right over a product, 'acts as middleman in their realisation and thereby simultaneously in the actual exchange of commodities, i.e., in their transfer from hand to hand, in the social metabolism' [ibid., p. 282, II/15, p. 277]. But theoretically, the formal realisation of value, this genuine function of capital in circulation, is entirely distinct from the above given 'real' functions, which are essentially extraneous to this capital and bear a 'heterogeneous' character [ibid.]. In ordinary commercial enterprises these formal and real functions are usually confounded and inter-

16 What we have just said does not mean that Marx did not see generally any difference between material and immaterial production. While recognising as productive all labour hired by productive capital, Marx apparently regarded it necessary to distinguish *within* this productive labour a 'productive labour in narrower sense,' namely the labour hired in material production or embodied in material things (*Theories*, Vol. III, p. 496 [*Theories*, 3, p. 354, MEGA, II/3.5, p. 1869]) [This note is added in the second edition].

twined. The labour of a salesclerk in a shop serves both the real function of storage, sorting, packing, transfer, and so on, and the formal function of purchase and sale. But these two functions can be divided among different places and persons. 'Purchasable and saleable commodities may be stored in docks or in other public premises' [ibid., p. 289, 11/15, p. 283], for example, in product and transportation warehouses. But the formal element of realisation, purchase and sale, may take place in another place, in a special 'sales office.' The formal and real elements of circulation are thereby separated from each other.^[545]

Marx views all these real functions as processes of production extending into the 'process of circulation' [ibid., pp. 267–8, 11/15, p. 263], 'processes of production which may continue in the process of circulation' [ibid., p. 288, 11/15, p. 283]. They are 'processes of production which are only continued in circulation, the productive character of which is hence merely concealed by the circulation form' [*Capital*, II, p. 139, MEGA, 11/13, p. 126]. Therefore, the labour applied to these 'processes of production' is productive labour. It creates value and surplus value. Insofar as the labour of salesclerks serves to real functions of conservation, transfer, packaging, and so on of commodities, this is productive labour, not because it is embodied in material things (conservation does not produce such modifications), but because it is employed in the 'process of production', and hence hired by productive capital. The labour of the same salesclerk is unproductive only insofar as it serves exclusively for the 'formal metamorphosis' of value, its realisation, the ideal transfer of property right over a product from one person to another. This 'formal metamorphosis', taking place in a 'sales office' and separated from all other real functions, equally requires certain costs of circulation and expenditure of labour, namely for accounting, bookkeeping, expenses for correspondence, and so on [*Capital*, III¹, p. 289, MEGA, 11/15, p. 284]. This labour is not productive, but, once again, not because it does not create material goods, but because it serves for the 'formal metamorphosis' of value, the phase of 'circulation' of capital in pure form.

V. Bazarov, while recognising as correct Marx's distinction between 'formal' and 'material' functions (we prefer the term 'real', which can be found in Marx; the term 'material' can be susceptible of misunderstanding), denies that the former can require 'the application of living human labour however little it may be.'¹⁷ 'In reality, only the 'material' aspects in the functions of commercial capital inhale in itself living human labour, but the formal metamorphosis does

[545] "from each other" is added in the second edition.

17 Bazarov, *Productive Labour and Value-Forming Labour*, p. 35.

completely not require any 'costs' from the side of the purchaser' (ibid.). We cannot agree with this proposition of Bazarov's. Even if we admit that all real, 'material' functions are separated and commodities are conserved in special warehouses, docks, etc., that only the formal act of purchase and sale, the transfer of property right over commodities, takes place in the 'sales office', there must still be expenses on equipment for this office, the subsistence of special agents, employees for sale, management of bookkeeping. Insofar as its necessity arises from this transfer of property right from one person to another, all of these are 'genuine costs of circulation', connected only with the formal metamorphosis of value. As we can see, the formal metamorphosis of value also requires 'costs' from the side of the purchaser and the application of human labour, which is in this case, according to Marx, unproductive.

We turn the attention of reader to the question of management of bookkeeping, because, as some authors imagine, Marx appears as if he denied the productive character of bookkeeping labour in all cases.¹⁸ We consider such an opinion to be inaccurate. Indeed, Marx's arguments on 'bookkeeping' (*Capital*, II, Chapter 6) are distinguished by extreme obscurity and may be interpreted in the above sense. But, from the point of view of Marx's understanding of productive labour, the question of the labour of bookkeepers does not raise any particular doubts. Insofar as bookkeeping is necessary for carrying on the real functions of production, even if these functions extend into the series of act of circulation (the labour of a bookkeeper being connected to the production, conservation, and transfer of products), bookkeeping is related to the process of production. The labour of a bookkeeper is unproductive only insofar as it serves for the formal metamorphosis of value, i.e., the transfer of property right over a product, the act of purchase and sale in its ideal form. Let us repeat once again that in this case it is unproductive not because it does not produce modifications in material goods (in this regard it is not distinguished from the labour of a bookkeeper in a factory), but because it is hired by capital which is in the phase of circulation (separated from all real functions).

Marx draws the distinction mentioned above between the formal and real functions of commercial capital, or between circulation in its pure form and 'processes of production, extending into the process of circulation', in Volumes II and III of *Capital*. We can never agree with the view as if Marx

18 Such a view can be found in V. Bazarov (ibid., p. 49), in I. Davidov ('On the Problem of Productive and Unproductive Labour', *Научное Обозрение* [Scientific Review], 1900, no. 1, p. 154), in S. Prokopovich ('Toward a Critique of Marx', 1901, p. 35, and in Borchardt (*The Fundamental Concept of National Economy in the Theory of Marx* [original in German, *Die volkswirtschaftlichen Grundbegriffe nach der Lehre von Marx*], 1920, p. 72).

drew this distinction only in Volume III, while in Volume II he recognises as unproductive all costs of circulation as a lump, including those expended on the real functions of circulation. Such an opinion about a radical contradiction between Volumes II and III of *Capital* was stated by V. Bazarov¹⁹ and A. Bogdanov.²⁰ In fact, in Volume II of *Capital*, also, Marx relates only 'genuine costs of circulation', and not all costs of circulation, to unconditionally unproductive costs [*Capital*, II, p. 132. MEGA, II/13, p. 119]; and in Volume II he speaks of the 'processes of production' extending into circulation and having productive character [*ibid.*, p. 139. II/13, p. 126]. Not taking into consideration secondary differences in the nuances of thought and in their formulation, we do not find any fundamental contradiction between Volumes II and III of *Capital*. All the same, we do not deny the fact that both in Chapter 17 of Volume III and particularly in Chapter 6 of Volume II we find discordant parts, terminological unclearness, and individual contradictions. But the basic idea of productive labour as that hired by productive capital, even if in supplementary processes of production extending into circulation, and of unproductive labour as that serving capital in the phase of pure circulation or in the 'formal metamorphosis' of value, appears as clearly as any.

Bogdanov objects to Marx's division of the functions of commercial capital into real (extension of productive process) and formal (genuine circulation) functions, on the ground that within capitalism the latter are equally '*objectively necessary*', and serve to the satisfaction of actual need of a given productive system.²¹ But Marx did not intend to deny the necessity of the phase of circulation in the process of reproduction of capital. 'He (the agent of transaction – *I.R.*) performs a necessary function, because the process of reproduction itself includes unproductive functions' [*ibid.*, p. 134. II/13, p. 121], i.e., the functions of pure circulation. 'The labour time required in these operations (of pure circulation – *I.R.*) is devoted to certain necessary operations of the reproduction process of capital, but yields no additional value' [*Capital*, III¹, p. 290, MEGA, II/15, p. 284]. In the opinion of Marx, in the process of reproduction of capital both the phase of production and the phase of circulation are equally necessary. But this does not invalidate the distinctive particularities of these two phases in the movement of capital. The labour hired by capital in the phase of production as well as the labour hired by capital in the phase of circulation are necessary. But Marx regards only the first of them as productive. Adopting as

19 Bazarov, *Productive Labour and Value-Forming labour*, pp. 39–40.

20 *Course of Political Economy*, vol. II, no. 4, pp. 12–13.

21 *ibid.*, p. 13.

the criterion of productiveness the objective necessity of labour for a given economic system, Bogdanov does not only erase the difference between the labour employed in production and labour employed in circulation, but conditionally includes in the remit of productive labour the 'functions, lying in the field of military affairs,' though these labour functions are organised on public-legal principles, not on principles of the private capitalist economy. Unlike Marx, Bogdanov takes as the criterion of the productiveness of labour not the social form of its organisation, but the 'necessity' of labour in its concrete useful form for a given economic system.

Thus, the opinion of the writers who reduce Marx's theory of productive labour to the distinction between the labour embodied in material things and the labour without these properties must be recognised as unconditionally erroneous. Hilferding goes nearer to the formulation of the problem in Marx, considering as productive 'any labour that is necessary for *society*, for the purpose of social production, ... even apart from the specific historical form that production assumes in a determinate social form.' 'Conversely, labour spent only for the purpose of capitalist circulation, which arises *only* from a definite historical organisation of the process of production, is not value-creating.'²² If in this determination of unproductive labour Hilferding may refer to analogous expressions which can be found in Marx [*Capital*, II, p. 137. MEGA, II/13, p. 124], in any case, his determination of productive labour as independent 'from the specific historical form' diverges from Marx's determination. Hilferding's contention that 'the distinctive mark of productiveness ... is the same in all social formations,' (ibid. [Hilferding, ibid., original version, p. 102, English translation, p. 365]), sharply contradicts Marx's entire system. His distinction between labour hired by capital in the phase of production and labour hired by capital in the phase of circulation found its faithful and partly modified expression in Hilferding's determination.

In order to avoid misunderstandings, we think it necessary to add the proviso that our essay on productive labour in Marx has as its sole task to restore

22 Hilferding, 'On the Formulation of the Problem of Theoretical Political Economy in Karl Marx', *Fundamental Problems of Political Economy* (edited by Sh. Dvolaitzky and I. Rubin), 1922, pp. 107–8 (or the third edition 1925, p. 65) [the phrase between parentheses is added in the third edition]. [The Russian translation of Hilferding's original German article in *Neue Zeit*, p. 102. Cf. translator's note [139] above. English translation indicated therein, pp. 365–66. Emphasis in original but not reproduced in Rubin's quotations]. [in the first edition, here follows one further sentence: 'The determination of productive labour, as not dependent on a given historical character of capitalist production, can be found already in Sombart's above quoted article [cf. Rubin's original note 7 in Chapter 16], in S. Prokopovich ('Toward a Critique of Marx' p. 34)'].

the exact meaning of Marx's theory. We do not raise question about which is more adequate, Marx's determination of productive labour built on his analysis of peculiar form, or the determinations commonly adopted in the treatises on political economy starting from 'necessity', 'usefulness', the 'material' character of labour, or from its role in personal or productive consumption. We do not say that Marx's division, separated from the content of labour expenditures, is more accurate than the commonly shared one, we only affirm that the former is different from the latter and is not covered by them. Marx's attention was directed to other aspects of the phenomenon, and it may even be regrettable that Marx chose for the investigation of the differences of labour hired by capital in the phase of production and in the phase of circulation the term 'productive', which has a different meaning in economic science (maybe, the term 'production' would be more suitable).^[546]

[546] In the first and second editions, here follow still some concluding sentences, deleted in the third edition (cf. 'Foreword to the Third Edition'): 'In particular, we do not agree with Marx's proposition that the labour hired by capital in the phase of circulation does not create value and surplus value. But this question exceeds the scope of our essay. Evaluation and critique of Marx's theory of productive labour are possible only after the exact meaning of this theory is determined, which has been understood and presented, in our opinion, incorrectly.'

Appendices^[547]

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[547] Added in the second edition in the singular, changed to the plural in the third edition.

On the Terminology of Marx

In the ‘Preface’ to Volume III of *Capital*, Engels pointed out that it would be in vain to seek in Marx’s works

fixed, cut-to-measure, once and for all applicable definitions. It is self-evident that where things and their interrelations are conceived, not as fixed, but as changing, their mental images, the ideas, are likewise subject to change and transformation; and they are not encapsulated in rigid definitions, but are developed in their historical or logical process of formation.¹

Marx’s dialectical method precludes for him the possibility of giving once for all fixed and unchanging concepts and terms corresponding to them. In view of this, terminological investigations on the text of Marx, taken for themselves, can hardly turn out to be fruitful and often lead to erroneous conclusions. In an attempt to penetrate Marx’s path of thinking and reproduce it, we cannot limit ourselves to sorting and comparing the terms, but we must inevitably take each term in Marx’s text every time in relation to the given context, finding out the different nuances Marx attributes to it. However, careful investigation of Marx’s terminology, as supplementary to the logical and historical research, can prove to be useful and bring us to some corners in Marx’s intellectual laboratory. This important work is still waiting for researchers.

The present appendix does not aim at giving an exhaustive classification of such and such terms of Marx’s, but imposes on itself a more modest task: to show, on some examples, that a careful investigation of Marx’s terminology can confirm the conclusions we have obtained in a different way and presented in the text of our book.

[548] Added in the third edition.

¹ *Capital*, III¹, p. XVII [*Capital*, III¹, pp. 13–4, MEGA, II/15, p. 16].

1 Labour and Value

In popular presentations of Marx's theory, it is usually said that labour 'creates' value. We also have had to make use of this equivocal expression sometimes in the text. Then we have emphasised that the question is about a social, and not a material-technical process.^[549] The 'materialisation' of labour in value does not mean a material accumulation of labour in its products, but a fetishised, 'material' expression of relations of production of people (as commodity producers) in the social form of the product of labour (i.e., in value). Our conclusion is fully confirmed by the terminology of Marx.

In *Critique*, Marx, in speaking of the relation between labour and value, uses the following expressions most often:^[550] 1) labour 'represents itself' (sich darstellen) in value; 2) labour 'materialises itself' (sich vergegenständlichen) in value; 3) labour, 'determining' exchange value (tauschwertsetzende Arbeit). The first term is used in *Critique* on pages 4, 5, 7, 8, 10, 16, and others [II/2, pp. 108–14, 117–8, 121–30]; the second on pages 7, 8, 17–9, 21–8, and others [ibid., pp. 108–12, 116–7, 120–7]; the third on pages 4, 7, 10, 12–3, and others [ibid., pp. 109, 111, 113, 115–6, 128–9]. The first term (at times used in the form: value 'represents' or 'expresses' labour) already indicates in itself that the question is about value as a material expression of relations of production of people. Marx not rarely uses this expression in application namely to the *relations of production of people*, 'represented' or 'expressed' in things (ibid., pp. 2, 11, 29 [ibid., pp. 111–2, 118]; *Capital*, III², p. 349 [II/15, pp. 804–5], *Theories*, III, p. 325, and others [II/3.4, p. 1405]). The translation of this term is connected with great difficulties, since in Russian the word 'represent' [представляет] often means 'is' [есть], so that the proposition: 'value представляет (darstellt) labour' does not convey Marx's idea. Therefore, translators often render this term into 'expresses itself' [выражается], 'manifests itself' [проявляется], or sometimes erroneously into 'embodies itself' [воплощается].'

[549] 'social and not material-technical process' is 'social form of labour which 'creates' value as social form of the product of labour' in the second edition.

[550] In this 'Appendix 1', Rubin gives as a rule the page numbers of Marx's original German texts for explaining the characteristics of his terminology. Here we also give only the page numbers of Marx's original German text in MEGA volumes like II/x, p. xxx. The German spelling in the quotations from MEGA is modernised. Toward the time when Rubin was preparing the second edition including this newly drafted Appendix, he began to work on the translation of *Critique* (to be published in 1929). Most frequent references to this work of Marx's in this Appendix devoted to the examination of his terminology may be in relation with this coincidence in his preoccupations.

The second term (*sich vergegenständlichen*), just like the first, is in close connection with Marx's theory of the 'materialisation' of relations of production of people, i.e., with the theory of commodity fetishism. In the same meaning as fetishised, 'material' expression Marx uses sometimes the following terms: materialises itself, materialised, materialisation (*Critique*, pp. 22, 24, 29 [II/2, pp. 117, 118, 121, 123–4]; *Theories*, III, p. 329 [II/3.4, p. 1409]).

Finally, the third term (*tauschwertsetzende Arbeit*) is for the most part translated as 'value creating labour', however, it would be more accurate to say 'labour, determining, conditioning, or regulating value.' Marx uses the terms 'create' (*hervorbringen*) (*Critique*, pp. 4, 12, 13 [II/2, pp. 109, 115]); 'schaffen' (*ibid.*, p. 19 [*ibid.*, p. 119]), and 'produce' (*produzieren*, p. 13 [*ibid.*, p. 115]), most often for characterising the relations between concrete labour and the product of labour as use value.

Where Marx must speak in the same sentence of the relation between concrete labour and use value on the one hand, and of abstract labour and exchange value on the other, he selects terms of neutral character, which are equally suitable both for the technical process of 'production' of a product and for the social process of 'materialisation' of human relations in the value of a product; for example, *resultieren* (*Critique*, p. 5 [*ibid.*, pp. 110, 112]), *sich verwirklichen* (*ibid.*, p. 12 [*ibid.*, pp. 115, 121]), and *Quelle* (p. 12 [*ibid.*, pp. 114–5]). Particularly interesting are those cases in which Marx contraposes abstract and concrete labours in the same sentence: 'Die spezifisch gesellschaftliche Arbeit, die sich im Tauschwert *darstellt*, und die reale Arbeit, die Gebrauchswert *erzielt* [specifically social labour which *manifests* itself in exchange value and concrete labour which *yields* use values]' (*Critique*, pp. 40–1 [*ibid.*, p. 135. Emphasis added]), 'die Tauschwert *setzende*, also Waren *produzierende* Arbeit [labour which *creates* exchange value, and therefore *produces* commodities]' (p. 5 [*ibid.*, p. 110. Emphasis added]). 'Die konkrete, in den Produkten *realisierte* Arbeit [concrete labour *embodied* in the product]' is contraposed to 'die gesellschaftliche Arbeit, *materialisierte* Arbeitszeit [social labour, *materialised* labour time]' (*Theories*, III, pp. 328–9 [II/3.4, p. 1409. Emphasis added]).

2 'Crystallisation'

Marx's expressions on value as a 'crystal' of social labour have frequently given an inducement to attribute a naturalistic character to Marx's theory of value. Critics, neglecting the theory of commodity fetishism, did not understand that the 'crystallisation' of labour in value means the same as the 'materialisation' or 'formation' of relations of production of people in a material form. In such a

sense, Marx often uses the term 'crystallise itself.' 'Ihr eigener Formwechsel sich aber zugleich in bestimmten Formen des Geldes kristallisiert (The transformation of the commodity itself is, at the same time, crystallised in certain forms of money)' (*Critique*, p. 74 [II/2, p. 157]). 'Die Formbestimmtheit, worin sich das Gold sich als Geld kristallisiert (The determination of form in which gold crystallises into money)' (ibid., p. 52 [ibid., p. 143]). 'Es [Geld] ist eine Kristallisation des Tauscherts (Money is a crystallisation of the exchange value)' (ibid., p. 28 [ibid., p. 128]). The comparison of commodity prices is 'crystallised' into money of account (ibid., p. 54 [ibid., p. 145]). 'The categories arising out of the circulation process crystallise as attributes of particular sorts of capital, fixed, circulating and so on, and thus appear as definite material attributes of certain commodities' (*Theories*, III, p. 558 [II/3.4, p. 1487]). 'Surplus value, whatever particular form (profit, interest, or rent), it may subsequently crystallise into, is in substance the materialisation of unpaid labour' (*Capital*, I, Russian translation, p. 416 [II/6, p. 497]).

3 Thing and Social Function

The distinction between the *material-technical* and the *social* aspect of the labour process and of the product of labour runs throughout all of Marx's economic system as a red thread, and is expressed by him by means of a whole series of different terms. Let us give some of them. Marx often counterposes 'content' to 'form': stofflicher Inhalt and gesellschaftliche Form (*Capital*, I, pp. 104, 107; Russian translation, pp. 116–7, 119 [II/6, p. 127]), stoffliches Dasein and gesellschaftliche Form (*Capital*, III², pp. 359, 360 [II/15, pp. 798–9]), stoffliche Elemente and gesellschaftliche Form (*Capital*, III², p. 351 [ibid., pp. 790–1]), dingliche Existenz and gesellschaftliches Verhältnis (*Capital*, III¹, p. 19 [ibid., p. 47]), Inhalt and Form (*Critique*, pp. 2, 121 [II/2, pp. 108, 202]). The following couples of terms are counterposed in the same meaning: 'substance' to 'function' (*Critique*, p. 104 [ibid., p. 177]), wirkliches Dasein and Funktion (p. 102 [ibid., p. 104 [ibid., p. 176]]), materielles Dasein and funktionelles Dasein (*Capital*, I, p. 87 [II/6, p. 151]), wirkliches Dasein and ideelles Dasein (*Critique*, p. 100 [II/2, p. 175]), stoffliche Substanz and gesellschaftliche Formbestimmtheit (*Capital*, III², p. 360 [II/15, p. 800]). Of the examples of other meanings, we note the following: 1) On the *material-technical* aspect of production: stoffliches Dasein (*Theories*, III, p. 434 [II/3.5, p. 1812]), materielles Dasein (p. 292), unmittelbares Dasein (pp. 193, 320 [II/3.4, pp. 1344, 1401]), stoffliche or gegenständliche Elemente (pp. 318, 4 [sic, 3?]²⁴, 326, 329 [ibid., pp. 1398, 1403, 1405, 1409]; *Capital*, III¹, pp. 20, 34, 36, 92 [II/15, pp. 48, 62, 64, 121]); objektive or

gegenständliche Momente (*Theories*, III, pp. 329, 354, 424 [II/3.4, pp. 1409, 1432, II/3.5, p. 1803]), gegenständliche, materielle, sachliche, or stoffliche Bedingungen (*Theories*, III, pp. 315, 316, 318 [II/3.4, pp. 1396, 1397, 1398]; *Capital*, III¹, p. 20 [II/15, p. 48]), stoffliche Bestandteile (*Theories*, III, p. 382 [II/3.5, p. 1777]; *Capital*, III¹, pp. 35, 382 [II/15, p. 62]), and others. 2) On the *social* aspect of production: gesellschaftliches Dasein (*Theories*, III, p. 314 [II/3.4, p. 1396]), Formdasein (p. 439), funktionelles or funktionierendes Dasein (*Critique*, pp. 101, 94 [II/2, pp. 171, 175–76, 190]).

To avoid misunderstandings, we think it necessary to emphasise once again that Marx's use of a determinate term in such and such a case does not yet serve in itself to prove that he assigns to this term also in the given case precisely the meaning in which he usually makes use of it. We cannot affirm that, whenever Marx uses the terms 'function' or 'form' he keeps in mind the social form of the process of production. At times Marx utilises these same terms in application to the material-technical aspect of production (*Capital*, I, Russian translation, pp. 124, 149, 327, 328, 464 [II/6, pp. 196–97, 222, 408]). We cannot draw a conclusion on the meaning of a given text of Marx's on the basis of a singular usage of a term. However, in spite of a large elasticity of the terminology adopted by Marx, we take notice of a certain regularity in his selection of terms. A careful investigation of Marx's terminology may, in our opinion, disclose a number of not easily discernible nuances in his thinking.

Reply to Critics

1 Reply to I. Dashkovsky^[552]

1.1 *What Is Abstract Labour?*

Is abstract labour in Marx's system a *historical* or *transhistorical* category? Should we consider it a *sociological* or *physiological* concept? These are the two central questions I. Dashkovsky intends to answer in his article 'Abstract Labour and the Economic Categories of Marx [Абстрактный труд и экономические категории Маркса]' (*Под знаменем марксизма* [*Under the Banner of Marxism*], 1926, no. 6 [pp. 196–219. Cf. pp. 632–61 in the present translation, where the original page numbers of Dashkovsky's articles are given.]).

To both of these questions the author gives an eclectic answer. In his opinion, abstract labour is a category that is simultaneously historical and transhistorical, sociological and physiological. As we can see, I. Dashkovsky gives us nothing other than eclecticism and confusion.

Let us begin with the first question. To avoid a straightforward and clear answer to this question, I. Dashkovsky replaces the dichotomy of categories between historical and transhistorical, commonly accepted in Marxist literature, with a trichotomy. The first group is comprised of 'transhistorical' categories, which give us 'the knowledge of the foundations of every economic entity, common to all epochs in human history' (p. 198), for example, the understanding of production in general, the labour-tool, the labour-object, and so on. These categories and the 'transhistorical' laws corresponding with them 'are the obligatory introduction to the investigation of historical economic forms'; these are 'universal sociological determinations, forming the fundament of economic investigation and not belonging to the system of political economy in the narrow sense of the word' (p. 198). The second group is comprised of 'historical categories in the proper sense of the word' (p. 200). But I. Dashkovsky considers it necessary to subdivide this group into two groups. Some categories are related only to the commodity economy and hence they form the 'internal structure of bourgeois society', for example, the categories of 'value', 'commodity', and so on. But other categories are only:

[551] Added in the third edition, with the following two other 'Replies'.

[552] Published for the first time as the first item of *Appendix 2* of the third edition in 1928.

a further development of the elements originating from a preceding period. It can then happen that the historical meaning of a given category will consist only in that the corresponding economic content, having a general character for various or even for all epochs, would *manifest itself* to its full extent only in a given circumstance. ... Marx relates the category of abstract labour precisely to this group. Abstract labour is not a category forming the internal structure of bourgeois society. It is related to all epochs as far as the question is about it *as a concept*, but it becomes 'practically true' only in a definite stage of historical development. Such categories could be called *conditionally* historical [*'historical'* is italicised in Dashkovsky's original].¹

Owing to the division of 'historical' categories into the two groups, Dashkovsky obtains the following tripartite division of categories:

- I. Transhistorical categories.
- II. Historical categories in the proper sense of the word:
 - a) Historical categories in the narrow sense of the word;
 - b) Conditionally historical categories.

In Dashkovsky's opinion, 'abstract labour, labour in general, labour as the physiological expenditure of muscles, nerves, and so on, is a concept far transgressing the boundaries of the internal organisation of the commodity economy, is a general concept' (p. 203). Precisely for this reason, abstract labour is not a historical category in the narrow sense of the word. But neither, on the other hand, can it be classed among the 'transhistorical' categories, since absolute labour acquires a 'full development' and manifests itself in a 'developed form [*developed form* in Dashkovsky's original]' (pp. 201, 203) only in the commodity economy, where exists an indifferent relation of individuals to concrete kinds of labour, and where individuals easily move from one kind of labour to another. Let us keep in mind that, for this reason, Dashkovsky relates abstract labour not to the first group of 'transhistorical' categories, but to the conditionally historical categories, which in turn enter into the group of '*historical categories in the proper sense of the word*'.

Furthermore, the reader has the right to think that Dashkovsky, if he wanted to be consequent, would have to recognise abstract labour as a 'historical' category 'in the narrow sense of the word'. Indeed, we have read above that abstract labour is related to all historical epochs only insofar as 'the question is about it as a *concept*, and that it becomes 'practically true' only at a determ-

1 *ibid.*, p. 201. Emphasis in original.

inate stage of historical development' (p. 201). In another place Dashkovsky expresses his idea still more sharply: 'Abstract labour, while existing so to say *ideally* in the epochs prior to the commodity economy, finds only in the commodity world the basis for its *practical manifestation*' (p. 204. Emphasis added). But if such is the case, if abstract labour 'finds only in the commodity world the basis for its practical manifestation' i.e., for its real (not only ideal) existence, aren't we obliged to recognise the category of abstract labour as 'historical in the narrow sense of the word'? Do not the economic categories serve precisely for recognising and explaining those historical epochs in which the objects corresponding to given categories find the basis for their practical manifestation, i.e., begin really to exist? And isn't it a perfect nonsense to relate an economic category to such historical epochs when the object corresponding to it does not yet find any basis for its practical manifestation, or more straightforwardly, does not exist at all?

However, Dashkovsky would not have been as eclectic in the given question, if he had drawn consequent conclusions from his own propositions we have quoted above. These conclusions would have necessarily brought him to the rejection of the shrewdly invented group of 'conditionally historical' categories, and to the recognition of abstract labour as a historical category in the narrow sense of the word, i.e., as organically connected to the commodity economy. But I. Dashkovsky attempts to fight with every arm precisely against this conclusion. Therefore, nothing remains for him in the subsequent development of his arguments other than to refute his own propositions we have quoted above. Dashkovsky is not entirely sure if the reader would agree with him in relating the category of abstract labour to those historical epochs which lacked the basis for the 'practical manifestation' or real existence of abstract labour. Therefore, he is obliged to refute his own propositions, and to look for evidence of the real existence of abstract labour in other historical forms of economy, distinct from the commodity economy. In this search he turns his gazes on the future, socialist economy as well as on the forms of economy of preceding historical epochs.

For I. Dashkovsky the proof of the real existence of abstract labour in the socialist economy turns out not to be easy to find. What are the conditions on which abstract labour can practically manifest itself? They are: the indifferent relation of individuals to concrete kinds of labour, and their facility to move from one kind of labour to another (p. 203). But in socialism these conditions will be realised more fully than in the commodity economy. 'In socialist society they are further developed. The absence of any specific predominant kinds of labour, easy transfer from one kind of labour to another, and absence of connection of any labour process with determinate individuals, all these ele-

ments attain their highest development under socialism' (p. 204). From here Dashkovsky draws the conclusion that abstract labour too attains to its highest development under socialism.

With this argumentation I. Dashkovsky essentially overturns his proposition regarding the 'conditionally historical' character of abstract labour. He formerly recognised that abstract labour is connected to the commodity economy though with weak 'conditionally historical' bonds. Now we are allowed to conclude that, having recognised the category of absolute labour as 'conditionally historical', we should relate it rather to the socialist than to the commodity economy. But in this case, we can never understand why Marx attached to this category such a central significance for the understanding precisely of the commodity economy. Nor can we understand why Dashkovsky himself counted abstract labour among the 'conditionally historical' categories of the commodity economy. The term 'historical' is used by him in probably an altogether different meaning than that by which it is usually understood: he recognises the category of abstract labour as conditionally historical not because it 'practically manifests itself' only in a definite historical epoch, but because it 'practically manifests itself' only *with the beginning* of a definite historical epoch (the epoch of the commodity economy).

Even if we recognise I. Dashkovsky's right to use the term 'historical' in such an unusual sense, we cannot rescue him from further, striking contradictions. Dashkovsky did not succeed in recognising abstract labour as a 'conditionally historical' category of the commodity economy, so neither did he succeed in elucidating that the category of abstract labour attains to its 'highest development' in the socialist economy, and now he announces us something completely novel: abstract labour exists in 'any society' (p. 208), or rather in any economy based on a social division of labour. In order to prove this new contention of his, Dashkovsky forgets the conditions of 'practical manifestation' of abstract labour he has just enumerated (i.e., the indifferent relation of individuals to concrete kinds of labour and their facility to move from one kind of labour to another), and takes another feature as elemental, namely the necessity of social accounting and of the equalisation of labour in any economy based on a social division of labour. Dashkovsky erroneously takes all 'socially equalised' labour for 'abstract' labour.

So that the reader would not suspect us of ascribing to I. Dashkovsky an idea that he does not positively state, we give some quotations from him:

Even in those historical ['economic' in Dashkovsky's original] formations where concrete labour appears directly as social, where it has no need of a curved mirror of material relations and abstract categories, the function

of abstract labour is absolutely indispensable insofar as needs exist for an accounting of social labour energy. An account can be carried out only in terms of abstract units of calculation.²

An abstraction in relation to labour is necessary not only for transforming the private kinds of labour into a qualitatively distinct category of social labour. This abstraction is necessary also for the adding up and accounting of the labour process in *any society*, which, as Marx emphasises, is always interested in the quantity of expended labour time.³

If the regulation of labour is an economic necessity under socialism (*and under any other form of economy*, insofar as people were always interested in the quantity of labour expended on the production of means of subsistence), a constant abstraction from concrete labour is necessary to the same extent. Abstraction is in these conditions not a superfluous, vain play of fantasy, but a necessity for life. In commodity society it is carried on spontaneously and through things, in organised society consciously. But this does not alter its qualitative nature.⁴

The fact that the process of social equalisation of labour actually occurs in an economy based on a social division of labour (though not on the basis of a commodity economy), was pointed out by us already in the first edition of *Essays on Marx's Theory of Value* (p. 52; p. 73 in the second edition [which corresponds to the first paragraph of Chapter 11, p. 125 in the present translation]). But this socially-equalised labour should not be confounded with abstract labour, which represents a specific form of socially-equalised labour. We find in I. Dashkovsky a desperate confusion of these two concepts. But for now this aspect does not interest us. Now our aim is not in discovering the incorrectness of Dashkovsky's conception but rather its internal contradictoriness. This contradictoriness cannot pass unnoticed to any somewhat-attentive reader. If the 'practical manifestation' of abstract labour is possible only under certain conditions, realised in the commodity and socialist economies (p. 203), is it possible to affirm that abstract labour exists 'in any society' (p. 208)? If under 'every form of economy ... constant abstraction from concrete labour is necessary' (p. 210), is it possible to affirm that abstract labour 'finds only in the commodity world the basis for its practical manifestation' (p. 204)? If under any form of economy the abstraction from concrete labour is 'not a superflu-

2 *ibid.*, p. 205.

3 *ibid.*, p. 208. Emphasis added.

4 *ibid.*, p. 210. Emphasis added.

ous, vain play of fantasy, but a necessity for life' (p. 210), and hence a real fact, on what basis does Dashkovsky affirm that in the 'epochs preceding the commodity economy', abstract labour existed only 'ideally' (p. 204)? Dashkovsky got lost in contradictions without exit precisely because he refused to recognise clearly and unambiguously the historical character of abstract labour, as distinct from the wider sociological category of socially-equalised labour in general. The confusion of these two categories led I. Dashkovsky also to the following contradictory judgements: he sometimes is ready to recognise that abstract labour finds only in the commodity economy the basis for its practical manifestation (and this is true insofar as the question is about abstract labour, figuring in the theory of Marx); at other times he affirms its real existence in every economy based on a social division of labour (but this is true insofar as the question is about socially-equalised labour in general).

Up to now we have followed the magical transformations of the category of abstract labour under the pen of I. Dashkovsky. At first this category was considered conditionally historical; then we knew that it is valid for commodity and socialist economies, attaining however to its 'highest development' precisely in the latter; lastly we were told that this category is related not only 'ideally' but also 'practically' to any form of economy based on a social division of labour. From here he is already only one step short of declaring this category to be 'transhistorical'. It may seem that Dashkovsky should have evaded this last and decisive step. Indeed, at the beginning of his article, he himself, dividing the economic categories into transhistorical and historical ones, counted the category of abstract labour among the latter, although in a 'conditional' sense. But our author, as we have already been convinced, makes nothing of contradictions. It is therefore not surprising that he ends up in an anti-climax. At the outset of the article he related abstract labour to historical categories, but by the end of the article he decidedly declares this category to be transhistorical. Criticising my proposition that abstract labour, which, according to Marx's theory, forms value and constitutes its content, must have a historical character, Dashkovsky writes: the argument

that a historical category (i.e., value – *I.R.*) must emerge only out of another historical category (i.e., abstract labour – *I.R.*) is totally devoid of any grounds. After all, every historically conditioned form of production has finally as its fundament an eternal relation between man and nature, between productive forces given by nature and labour, 'which itself is only the manifestation of a force of nature, human labour power' [*Critique of the Gotha Programme*, MECW/24, p. 81, MEW/19, p. 15]. This labour and this labour power are sources of all development, and, hence, of all historical categories. Those who affirm that the historical categories can arise

only by other equally historical categories overlook the fact that each category is in general only the *form of manifestation* of a transhistorical law, as Marx reminded us in the above quoted letter to Kugelman.⁵

From this general proposition Dashkovsky draws the following conclusion with respect to abstract labour: 'Abstract labour creates value in the sense that it assumes the form of the value of the product of labour ... It is clear that the form of expression can and must bear a historical character, while what serves as the object of expression does not depend on the evolution of social forms' (p. 213). In other words, the historical category of value serves as a form of manifestation of the transhistorical category of abstract labour.

In the following we will subject this proposition to essential critical examination, and try to show all of its difficulties. For the moment we limit ourselves to the confirmation of the fact that I. Dashkovsky eagerly goes to the end of the whole thinking circle of contradictory judgements about abstract labour. At the beginning of the article he divided the economic categories into transhistorical and 'historical in the proper sense of the word' (p. 200), including in the latter also the 'conditionally historical' categories. At the beginning of the article abstract labour was recognised as a conditionally historical category, but by the end of the article it is considered as a transhistorical category. All in all, we have had four concepts of abstract labour:

- 1) Abstract labour as a conditionally historical category, which finds the basis for its practical manifestation only in the commodity economy.
- 2) Abstract labour as a category actually existing in the commodity and the socialist economy, where individuals easily move from one concrete kind of labour to another.
- 3) Abstract labour as socially equalised labour in general, i.e., as a category, actually existing in every form of economy based on a social division of labour.
- 4) Abstract labour as a transhistorical category, i.e., considered as a material-technical and biological precondition of the social process of production.

As we see, Dashkovsky jumbles together such heterogeneous categories as physiological labour, socially-equalised labour in general, and abstract labour characteristic of the commodity economy. Unifying all these heterogeneous concepts with the term 'abstract labour', he introduces full-blown confusion into his exposition. Only in analysing in detail, the reader will find, to his surprise, that on one page our author argues about physiological labour under the

⁵ *ibid.*, pp. 212–13.

name of abstract labour, on another page he argues about socially-equalised labour in general, instead of designating with this term precisely that labour which Marx had in view in his theory of value, namely the labour forming value and characteristic of the commodity economy. Such a confusion deprives Dashkovsky of the possibility to give not only a correct but also even an at all clear answer to the question whether the category of abstract labour has a historical or transhistorical character. For this reason, we do not find in him a clear answer to the question whether abstract labour is of physiological or social character.

On the one hand, Dashkovsky in many places identifies abstract labour with physiological labour. 'Abstract labour, labour in general, labour as the physiological expenditure of muscles, nerves, and so on, is a concept far transgressing the boundaries of the internal organisation of the commodity economy' (p. 203). On page 204, 'labour as expenditure of physiological energy in indiscriminate form' is recognised as abstract. On page 218, the author warns us against the erroneous conclusions we may arrive at in recognising that 'abstract labour is not labour in the physiological sense'.

On the basis of these expressions many readers have counted I. Dashkovsky as among the proponents of the physiological understanding of abstract labour. But, on the other hand, we find in him also traces of the sociological understanding of abstract labour:

at the same time also the problem about the social character of abstract labour is solved. Abstract labour is social labour, taken not in the diversity of its functions, manifestations, and results, but in the uniformity of its physiological process ... The reduction of abstract labour to a simple, indiscriminate expenditure of physiological energy, though also realised by different individuals, is the highest expression of the social character of labour, in spite of the fact that it is in its appearance a *naturalistic category*. 'Physiology' is in this case a *pseudonym* of the depersonalisation, of the absolute equality of all kinds of human labour, the equality of all producers, taken as such, i.e., in the simple quality of conductors of social energy. What social content can we still require of an economic category?⁶

Now we have known nothing entirely new. It turns out that the category of abstract labour represents only 'in appearance' a naturalistic, and consequently physiological category. But if so, why does he repeat at every step that abstract

⁶ *ibid.*, pp. 211–12, emphasis added [except for '*naturalistic category*', emphasised in original].

labour is 'labour in the physiological sense'. Dashkovsky himself recognises that in this case 'physiology' serves only as a 'pseudonym' of the social process of depersonalisation and equalisation of labour. But since when does science think and express itself by means of 'pseudonyms'? Is not the primary duty of science precisely to disclose decidedly every kind of pseudonym which lures the reader only into misunderstanding? And from this point of view, is not the criticism of the physiological understanding of abstract labour, criticism of this scientific 'pseudonym', a useful task according to the valuable recognition of I. Dashkovsky himself?

1.2 *The Methodological Views of I. Dashkovsky*

We cannot but wonder how our author in the space of a short article, devoted moreover to a social problem and aimed at giving a critical examination of the views of other authors, thought about expressing so many contradictory judgements on abstract labour. The source of these abundant contradictions in I. Dashkovsky is the unclearness in the *methodological* formulation of the problem. On the one hand, Dashkovsky is correct in thinking that 'political economy is a science of specific social forms, in which is realised the material exchange between man and nature' (p. 198); 'Marxist theory has placed the science in a correct framework, in making of the *form of economic relations* the centre of research' (p. 199. Emphasis in original). On the other hand, we find in him a series of formulas of an entirely different character:

[T]he task of economic science should consist in reducing the specific capitalistic forms of manifestation ['forms of manifestation' is emphasised in Dashkovsky's original] of the laws of the social 'production of life' to these laws themselves, in 'manifesting' by means of abstract analysis the *internal construction of economic tissue* made undiscernible, masked by the contradictory *forms of the capitalist economy*.⁷

'The reduction of particular forms to their *common foundations* in theoretical form is also a task of every science' (p. 197. Emphasis added).

I. Dashkovsky is not aware that these two formulas are in no way reconcilable. Restricting the task of theoretical political economy to analytically reducing the historically-conditioned social forms of the capitalist economy to transhistorical, material-technical foundations of the process of production is one thing. Studying the provenance and functioning of these specific

⁷ *ibid.*, p. 218. Emphasis added.

historically-conditioned social forms of economy, appearing as a result of the definite development of material-technical process of production, is totally another. In the first case, the researcher considers the social form of economy (i.e., relations of production of people) as an external and accidental shell, to be necessarily taken away by means of scientific analysis in order to discover under it the 'internal construction of economic tissue' (i.e., the material-technical process of production). In the second case, what is recognised as the object of our research is precisely the determinate relations of production of people as a necessary, historically-conditioned, and regularly developing form of the process of production. There is no need to add that precisely the first method characterised bourgeois political economy, and the second method the theory of Marx. A choice should be made between these two methods, and Dashkovsky's attempt to take a seat between two chairs has led him to methodological contradictions.

I. Dashkovsky stresses that the laws of the commodity-capitalist economy are only 'forms of manifestation of the laws of the social production of life' (p. 218), or 'of the foundations of every economic entity, common to all epochs of human history' (p. 198). Precisely for this reason the 'reduction of special forms to their common foundations' comprises, in the opinion of the author, the task of political economy. By means of the term 'forms of manifestation' our author seems to expect to make his terminology closer to the terminology of Marx, who accused the vulgar economists of restricting themselves to the investigation of the 'forms of manifestation' of economic relations. But, by the same term 'forms of manifestation', Dashkovsky understands something quite different from Marx. In Chapter 48 of Volume III of *Capital*, Marx contraposes 'the estranged [entfremdeten] outward appearances of economic relations' to these relations themselves [*Capital*, III², p. 817, MEGA, II/15, p. 792]. He calls on the economists to reveal under the material economic categories of value, capital, and so on, the 'economic relations' of people or 'the internal connection of bourgeois relations of production' [*Capital*, I, p. 85. Slightly different from the Russian version Rubin uses, MEGA, II/6, p. 111]. But Dashkovsky, who regards the bourgeois relations of production only as forms of manifestation of 'the foundations of every economic entity, common to all epochs in human history', calls on us to turn our attention to 'the internal construction of economic tissue', by which he understands the laws of the material-technical process of production. We have only to juxtapose 'the internal connection of bourgeois relations of production' in Marx with 'the internal construction of economic tissue' in Dashkovsky in order to understand the profound distinction of the methodological problem-setting in one and the other.

I. Dashkovsky admits in writing that he is in debt to the method of Marx, who made 'of the *form of economic relations* the centre of research' (p. 199). But, as we have seen, he contradicts himself precisely on this point in limiting the task of political economy to an analytical 'reduction of special forms to their common foundations'. Already this formula makes apparent his incomprehension of the most characteristic and central aspects of Marx's method of research. But it becomes still clearer than in writing that Dashkovsky in fact manifests his inability to operate by means of this method. Our author was faced with the following worthwhile task: 'to show the specificity of Marx's method of research with the concrete example of the theory of abstract labour'. If this specificity of Marx's method consists in the fact that, in the words of Dashkovsky himself, he made 'of the *form of economic relations* the centre of research' [p. 199. Emphasis in original but not reproduced in Rubin's quotation], it would appear that this specificity of research method cannot help reflecting itself also in the theory of abstract labour, that central part of Marx's theory of value. But Dashkovsky adopts a different view: in his opinion, abstract labour appears as a category, which – most 'ideally' – relates itself to all historical epochs, irrespective of their characteristic 'form of economic relations'. Indeed, our author understands very well that the abstraction from the concrete characteristics of labour occurs in the commodity economy in a particular, specific form inherent to it, namely through the exchange of the products of labour as values. But it is precisely this specific form, characterising the social equalisation of labour in commodity society, that the author neglects in his determination of abstract labour: 'In commodity society it (abstraction – *I.R.*) is carried on spontaneously and through things, in organised society consciously. But this *does not change its qualitative nature*' (p. 210. Emphasis added). The words emphasised by us clearly show the erroneousness of Dashkovsky's method. While in Marx the 'qualitative nature' of economic categories is determined by the social form of the economy or by the character of the relations of production of people, in Dashkovsky economic categories are possessed of an immutable (at least, over the period of several historical epochs) 'qualitative nature', which is indeed invested with different external forms in different historical epochs, but in its essence does not change with these forms. In the conditions of the commodity economy, the transhistorical category of abstract labour is invested with the form of value, but this form of value remains something external and alien to the nature of abstract labour itself. The sharp rupture between the content and form of economic categories, between abstract labour and value: such is the logical conclusion to which the theoretical construction of Dashkovsky leads.

In whatever sense we understand the abstract labour of I. Dashkovsky, whether he is speaking of physiological labour, or of socially equalised labour

in general, or, finally, of some 'abstract' labour characterising both commodity and socialist economies, in all these cases abstract labour is not labour forming value. This is because abstract labour exists, in Dashkovsky's opinion, also outside the commodity economy, whereas value makes its appearance only in commodity society. *The rupture between abstract labour and value* constitutes the fundamental drawback of Dashkovsky's whole theoretical construction and the *cardinal point* of his divergence with Marx. To somewhat alleviate this divergence, Dashkovsky explains in a preaching tone that, according to Marx's theory, abstract labour does not create value 'in a literal physical sense', but only 'takes on the form of the value of the product of labour' (p. 213). Dashkovsky's preaching tone is all the more out of place because on this point he only repeats the proposition which I established in detail in the two first editions of my work *Essays on Marx's Theory of Value*. No doubt, in the opinion of Marx, labour creates or forms (*bildet*) value, in the sense that it assumes the form of value of the products of labour. Abstract labour represents the *content* of value, or to put it otherwise, value is the *form* in which is expressed abstract labour. But is it possible to draw from here that conclusion which I. Dashkovsky draws, namely that 'the form of expression can and must bear a historical character, whereas what serves as the object of expression does not depend on the evolution of social forms' (p. 213)?

I. Dashkovsky assumes that value as a historical category is a form of expression of the transhistorical category of abstract labour. This proposition is fundamentally erroneous from the methodological aspect as well as in essence. From the methodological point of view, it exposes an impeccable incomprehension of the relation between the content and form of economic categories. In Dashkovsky's writing the form (i.e., value) appears as something external to content (i.e., labour), incorporated into it from without at a certain stage of historical development (i.e., in the commodity economy). Abstract labour, remaining unchanged in its 'qualitative nature' across some or even all historical epochs, bears in the commodity economy the form of value, which does not modify the nature of abstract labour itself and, in consequence, represents something external to it. Abstract labour appears here in the role of an immovable mannequin, which one clothes sometimes in one costume, sometimes in another. Form is not organically connected with content.

It is useless to point out that such a view on the correlation between content and form was shared by Kant, but not by Hegel and Marx. Marx, like Hegel, considered form as inseparably connected with content: content itself, in its development, creates a given form. Only the development of social labour itself creates value as a specific form, in which labour expresses itself. A contrary assertion would not only contradict Marx's theory of the correlation between

content and form, but would also make incomprehensible the appearance of value. How does value arise as a particular social form of the products of labour? Labour assumes the form of value, answers I. Dashkovsky. But, since labour did not change its qualitative nature on this occasion, in Dashkovsky's opinion, it remained just as it had been prior to that moment when it received its expression in value. But in such a case why does it take on the form of value? Evidently, only because the qualitative nature of labour itself did change. Social labour assumes a definite social form at a given stage of historical development, and only the appearance of this new 'form of *labour*' explains for us the appearance of the corresponding form of the *products* of labour, i.e., of value. If abstract labour takes on the form of value (Dashkovsky himself recognises this), we will be necessarily led to the conclusion that in the concept of abstract labour is already included a certain social organisation of labour in the commodity economy, and, in consequence, the category of abstract labour must be recognised as historical in the strict sense of the word.

I. Dashkovsky criticises us as follows: 'If we hold to Rubin's determinations (and here we pass to the positive part of his theory) [the phrase in parentheses is omitted in Rubin's quotation], we will unavoidably have to arrive at the conclusion that abstract labour does not create value, and that, conversely, the category of value creates the category of abstract labour' (p. 213). For the reader, having read what we have said above, it must be clear that it is not I but rather Dashkovsky who displaces the focus of research from the category of abstract labour to the category of value. Indeed, I contend that the appearance of value as a particular social form of the products of labour is only a consequence of historical process of changes taking place in social labour itself: as social labour takes on the social form of abstract labour, its products also take on the social form of value. In Dashkovsky's opinion, however, the qualitative nature of abstract labour does not change in the least degree with the transition to the commodity economy; it is distinguished from other forms of economy only by the fact that within it abstract labour is expressed in the material form of value. 'We must seek the particularities of the commodity economy, not in abstract labour, which comprises the 'content of a certain value', ... but exclusively in the fact that all these determinations (of labour – *I.R.*) receive a material expression' (p. 206) in the value of the products of labour. Does this not mean a transformation of value, which, according to Marx's theory, represents only an expression of social labour, into an autonomous category, determining the particularities of the commodity economy? This over-evaluation of the role of value necessarily arises from the entire conception of I. Dashkovsky. In fact, if, on the one hand, abstract labour is not recognised as a characteristic particularity of the commodity economy, and, on the other hand, value is incorporated

with abstract labour from without, not given rise to by the development of social labour itself, we can arrive at only one conclusion: the characteristic particularities of the commodity economy have their roots not in the particular social form of organisation of labour, but in the social form of value, considered as something autonomous with regard to social labour.

As we see, I. Dashkovsky cuts the category of value off from the category of abstract labour. In his opinion, the category of value is inherent only in the commodity economy, while the category of abstract labour is inherent equally to other forms of economy. Abstract labour can assume the form of value (which appears in the commodity economy), but can also not assume this form (which takes place for example in the socialist economy). Abstract labour and value are not internally connected by an organic connection; the connection between them is purely external: at a certain stage of historical development value is incorporated into abstract labour, the former being an autonomous form, external with regard to abstract labour itself.

This conception of I. Dashkovsky's diverges from Marx's theory so distinctly that the reader cannot help asking himself: what has motivated our author to assert that the category of abstract labour is, unlike the category of value, distinguished with 'transhistorical' (or 'conditionally historical') character. In proof of this assertion I. Dashkovsky can give nothing other than a misunderstood quotation from Marx. He brings up Marx's well-known examinations of abstract labour in the 'Introduction to a Contribution to the Critique of Political Economy'. Marx describes the evolution of the concept of 'labour' in political economy. The mercantilists and physiocrats saw the source of wealth in a determinate concrete labour (commerce and agriculture); only Smith saw the source of wealth in labour in general, in 'the notion of labour in this universal form, as labour in general'.⁸ Following this, Marx raises a question: is this abstract concept of labour in general applicable to all historical epochs, or is it an expression of contemporary bourgeois economy? At first glance it may seem indisputable that we must answer it in the first sense. It may appear that it be possible to speak of 'labour in general' with respect to a primitive hunter as well as to a peasant in the Middle Ages. 'It might seem that in this way merely an abstract expression was found for the simplest and most ancient relation in which human beings act as producers – irrespective of the type of society they live in. This is true in one respect, but not in another.'⁹

8 Marx, 'Introduction to a Contribution to the Critique of Political Economy'. Cf. *Fundamental Problems of Political Economy*, 2nd edition, p. 26 [MECW/28, p. 40, MEGA, II/1.1, p. 38].

9 *ibid.*, p. 27 [*ibid.*, p. 41, II/1.1, p. 39].

Subsequently, Marx gives us a more detailed explanation of why this is 'not true in another respect'. He points out that:

the fact that the particular kind of labour employed is immaterial is appropriate to a form of society in which individuals easily pass from one type of labour to another, the particular type of labour being accidental to them and therefore irrelevant. Labour, not only *as a category* but *in reality*, has become a means to create wealth in general, and has ceased to be tied as an attribute to a particular individual. This state of affairs is most pronounced in the United States, *the most modern form of bourgeois society*. The abstract category 'labour', 'labour as such', labour *sans phrase*, the point of departure of modern economics, thus becomes a practical fact only there. The simplest abstraction, which plays a decisive role in modern political economy, an abstraction which expresses an ancient relation existing in all social formations, nevertheless appears to be *actually true in this abstract form* only as a category of the most modern society ... The example of labour strikingly demonstrates how even the most abstract categories, despite their validity in all epochs – precisely because they are abstractions – are equally a product of *historical conditions* even in the specific form of abstractions, and they retain their *full validity* only for and within the framework of these conditions.¹⁰

We have been obliged to reproduce this long quote since only a misunderstanding of the above quoted words of Marx's could motivate Dashkovsky to speak about the 'conditionally historical' or 'transhistorical' character of abstract labour. Every unprejudiced reader, if he read through these passages from Marx, would be convinced that Marx attempts here to prove *exactly the opposite* of what Dashkovsky affirms. Marx shows us the complete superficiality of the current view that the concept of 'labour in general' is an 'expression for the simplest and most ancient relation in which human beings act as producers – irrespective of the type of society they live in' [ibid., p. 41, II/1.1, p. 39]. Marx emphasises that the category of abstract labour becomes a 'practical fact' and has a 'full validity' only in the conditions of the bourgeois economy. Indeed, I. Dashkovsky, relying on these words of Marx's, tries to prove that abstract labour, 'as far as the question is about it, *as a concept*' (p. 201), is related to all historical epochs. But we must here repeat the question we asked at the

10 Marx, 'Introduction to a Contribution to the Critique of Political Economy', pp. 27–8. Emphases added [Ibid., pp. 41–2, II/1.1, pp. 39–40].

beginning of the present article: should not we relate economic categories precisely to those historical epochs in which actual phenomena corresponding to them exist 'in reality', i.e., in which the given categories become 'practical facts' and have 'full validity'? To approach otherwise would mean scarifying a concrete knowledge to the fruitless play with abstract concepts which, according to Marx's expression, 'are valid in all epochs – precisely because they are abstractions' [ibid., p. 42, 11/1.1, p. 40]. This would amount to forgetting that these abstract concepts 'precisely because they are abstractions – for all epochs, are, in the determinateness of their abstraction, just as much a product of historical conditions and retain their full validity only for and within these conditions' [ibid., p. 42, 11/1.1, p. 40].

As we see, the passage quoted from Marx proves precisely the opposite of what I. Dashkovsky asserts.

We will be still more convinced of this if, not restricting ourselves to the quoted passages, we consider them in that context in which they appear in Marx's texts. These passages are drawn from the section entitled 'The Method of Political Economy'. At the beginning of this section we know that the economists of the XVII century were led by means of analysis 'to the discovery of a few determining abstract, general relations, such as division of labour, money, value, etc.'¹¹ To unveil the logical structure and methodological meaning of these abstract categories, such is the task Marx imposes for himself in this passage. The general condition he anticipates can be summed up in the statement that an abstract category 'cannot exist except as an abstract, one-sided relation of an already existing concrete living whole.'¹² Towards the proving of this conclusion Marx devotes the following pages of this passage (pp. 24–8 [ibid., pp. 38–41, 11/1.1, pp. 37–40]).

The list of these abstract categories given by Marx (namely, division of labour, money, value), already shows that in this passage Marx's attention is directed above all to the categories characterising a *simple commodity economy*. The subsequent examinations of Marx conclusively convince us of this. On pages 24–8 [ibid., pp. 38–41, 11/1.1, pp. 37–40] Marx gives foundation to his general conclusion shown above through the example of an analysis of individual abstract categories. Which categories does Marx select for this purpose? In reading carefully pages 24–8 [ibid., pp. 38–41, 11/1.1, pp. 37–40], the reader will be convinced that Marx chooses for this purpose successively three 'simplest economic categories': *value* (which he still calls here 'Tauschwert' as in *Con-*

¹¹ ibid., p. 23 [ibid., p. 37, 11/1.1, p. 36].

¹² ibid., p. 24 [ibid., p. 38, 11/1.1, p. 37].

tribution to the Critique of Political Economy, i.e., exchange value), *money*, and *abstract labour*.¹³ Therefore, Marx speaks about categories of the simple commodity economy. In what kind of relation are the abstract categories of the *simple commodity economy* (value, money, abstract labour) to the true object of political economy, namely to the capitalist economy? Such is the question occupying Marx's thinking in this passage. This relation is twofold, answers Marx. On the one hand, the enumerated categories are applicable also to historical epochs prior to the capitalist economy; on the other hand, only in the latter do they manifest themselves exhaustively.

In his examinations on pages 24–8 [*ibid.*, pp. 38–41, II/1.1, pp. 37–40], Marx places on the same footing the categories of value, money, and abstract labour. All these categories are, in his opinion, in a twofold relation to the capitalist economy. For example, 'exchange value as a category leads an antediluvian existence',¹⁴ i.e., it exists prior to the appearance of the capitalist economy. But, on the other hand, it 'cannot exist except as an abstract, one-sided relation of an already existing concrete living whole.'¹⁵

The same can be applied to money. On the one hand, 'money can exist and has existed in history before capital, banks, wage labour, etc., came into being' [*ibid.*, p. 39, II/1.1, pp. 37–8]. On the other hand, 'this quite simple category (i.e., money – *I.R.*) does not emerge historically in its intensive form until the most highly developed phases of society.'¹⁶ Finally, as we have seen above, the category of abstract labour reveals the same twofold relation to the capitalist economy.

The above gives us in any case the right to draw the following incontestable conclusion: Marx places the category of abstract labour on the same footing with the other categories of the simple commodity economy, namely value and money, which shows the complete erroneousness of Dashkovsky's attempt to draw a distinct boundary between the 'transhistorical' (or 'conditionally

13 The analysis of value is given on pages 24–5 [*ibid.*, p. 38, II/1.1, p. 37], money on pages 25–6 [*ibid.*, pp. 39–40, II/1.1, p. 38], and abstract value on pages 26–8 [*ibid.*, pp. 40–2, II/1.1, pp. 38–40].

14 *ibid.*, p. 24 [*ibid.*, p. 38, II/1.1, p. 37].

15 *ibid.*

16 *ibid.*, pp. 25–6 [*ibid.*, p. 40, II/1.1, p. 38]. Cf. *Capital*, Vol. I, 1923 edition, pp. 111–2 [*Capital*, I, pp. 166–7, MEGA, II/6, p. 185], where Marx repeats the same idea of twofold relation of the categories of the simple commodity economy (value and money) to the capitalist economy. On the one hand, the transformation of the product into a commodity is 'common to many forms of society, which in other respects present the most varying historical features.' On the other hand, the transformation of the majority of products into commodities 'can only happen with production of a very specific kind, capitalist production.'

historical') category of abstract labour and the 'historical' category of value. I. Dashkovsky must make the following choice. If he holds his proposition of the 'transhistorical' (or 'conditionally historical') character of abstract labour, he must necessarily recognise such a character also for the category of value. But if he recognises, in agreement with Marx himself and the overwhelming majority of Marxist economists, the historical character of the category of value, he must recognise such a character also for abstract labour. In this as well as in the other case, the ingeniously conceived structure of Dashkovsky collapses like a house of cards.^[553]

I. Dashkovsky's whole structure is based on the following error: our author has purely and simply forgotten the distinction between the categories of the *simple* commodity economy and the categories of the *capitalist* economy. Based on the fact that the concept of abstract labour does not express the 'internal structure' of the *capitalist* economy, he draws the conclusion of the 'transhistorical' character of this category. He forgets that between the categories of the capitalist economy and the 'transhistorical' categories there still exist categories of the simple commodity economy, among which are counted also the categories of abstract labour, value, and money. How far I. Dashkovsky is to be accused of a crude confusion of the categories of the simple commodity economy and the capitalist economy can be seen from the following two examples. On page 202 Dashkovsky says that 'abstract labour is, in Rubin's opinion, a category of the commodity economy in *the same sense* [emphasis in original but not reproduced by Rubin] as are money, value, *capital*, and so on.' It is as if our author were not aware that the category of capital cannot be placed on an equal footing with value and money. That Dashkovsky does not commit here an accidental slip of the pen is evident from his analogous expressions on page 218: here also he accuses me of hoping in vain to place abstract labour 'on an equal footing with remaining categories of the bourgeois economy, like *profit, interest, capital, classes, and so on*' [in Dashkovsky's original, emphasis is put on 'on an equal footing with', but not on '*profit, interest, capital, classes, and so on*']. The unfoundedness of these accusations is as clear as day. I have never proposed to place the category of abstract labour on an equal footing with the categories of the capitalist economy: capital, profit, etc. But I have proposed to place the category of abstract labour on an equal footing with other categories of the simple commodity economy, i.e., value and money.

[553] A similar phrase can be found at the very end of Eugen von Böhm-Bawerk, *Karl Marx and the Close of his System*, edited with an introduction by Paul M. Sweezy, Augustus M. Kelley, New York, 1949, p. 118.

The number of errors and contradictory formulas to be found in Dashkovsky's article could be increased at will, but we may limit ourselves to the examination hitherto made on its basic propositions, leaving aside the secondary errors and contradictions. Let me point out only some of them. On page 214, I. Dashkovsky accuses me of having not recognised the existence of abstract labour in the process of production prior to the completion of the act of market exchange (a detailed examination of this criticism will be given below, in the examination of Shabs's booklet). To our astonishment, on page 207 of his article Dashkovsky says as follows:

in the commodity economy, the private labour of independent commodity producers is transformed into social labour on the market, first, because its products take on the form of commodities, and, second, because owing to this mutual *equalisation of commodities* and only through this transformation occurs the abstraction from the concrete particularities of labour, *the transformation of concrete into abstract labour* (emphasis added).

Does not Dashkovsky repeat here, as in many other places of his article, the formulations given in my *Essays*?

Let me give another example. On pages 205 and 207 Dashkovsky agrees entirely with the view I defend, that in the commodity economy labour in its concrete form is not yet directly social labour. Unexpectedly, on page 210, all of these lengthy argumentations by the author are nullified with his declaration that: 'from the *objective* point of view concrete labour appears to be also social labour even in the conditions of the commodity economy' (emphasis added). From this it follows that every distinction between the character of social labour in organised and unorganised society, a distinction, recognised by I. Dashkovsky himself on pages 205 to 206, is valid only from a subjective point of view. Indeed, on page 211, our author declares: 'But also in the commodity economy concrete labour is only apparently, only subjectively for the producer a natural-technical category, private labour' (emphasis added [?]). We will not expand on the error of Dashkovsky, who regards 'private' labour as a 'natural-technical' category: we will find hereafter the same error in examining the views of our other critic, Shabs. Let me point out only that the characterisation of labour as 'private' – the basic social characterisation of it in the commodity economy – is considered by Dashkovsky as something purely subjective. Presumably, I. Dashkovsky does not know that Marx had already long ago opposed the similar view of Adam Smith, who imagined that

the difference between the above social division of labour, and the division in manufacture, is merely subjective, exists merely for the observer, who, in a manufacture, can see with one glance all the numerous operations being performed on one spot, while in the instance given above, the spreading out of the work over great areas, and the great number of people employed in each branch of labour, obscure the connection.¹⁷

We point out incidentally some striking contradictions of I. Dashkovsky. We regard it superfluous to expand here on the problems he mentions regarding the character of social labour in the commodity economy and of the relation between exchange and abstract labour, since we will have to treat in more detail these same problems when examining in the following the booklet of our other critic, Shabs. There we will submit these problems to more detailed consideration.

In conclusion, it is necessary to note that, although the positive solution of the problems in debate proposed by I. Dashkovsky appears to us altogether erroneous, we must recognise that his article is a conscientious and serious attempt to raise these disputable problems.

2 Reply to S. Shabs^[554]

At the beginning of 1928, S. Shabs's booklet, *The Problem of Social Labour in Marx's Economic System*,^[555] devoted to the critique of my work *Essays on Marx's Theory of Value*, was published. Shabs tried to compensate as far as possible for the low theoretical level of his work with an overbearing tone. We must say that every possibility was fully mobilised by him in this respect. Shabs comments disdainfully towards supporters as well as opponents of the 'formerly predominant interpretation' of abstract labour, the views of whom are devoid of any 'scientific foundation'; he declares that the debates among them originated in an 'almost incredible misunderstanding', to the elimination of which

[554] 'Reply to S. Shabs' is a reproduction of Rubin's article 'К вопросу об общественном и абстрактном труде (ответ на критику С. Шабса) [On the Problem of Social and Abstract Labour (A Reply to S. Shabs's Critique)]', published in *Под знаменем марксизма*, no. 3, 1928, pp. 99–126.

[555] Шабс, С.С., *Проблема общественного труда в экономической системе Маркса, Критика «Очерков по теории стоимости Маркса» И. Рубина*, Государственное Издательство, Москва и Ленинград, 1928. Shabs's booklet is given partly in English version with its original page numbers in pp. 662–703 of the present translation.

17 *Capital*, Vol. I, 1923 edition, p. 267 [*Capital*, I, p. 335, MEGA, II/6, p. 349].

he, Shabs, is called; he cannot help expressing his astonishment about 'the paraphernalia with which Rubin decided to discover new horizons in Marxist political economy', and so on.

The appearance of a booklet especially devoted to the problem of social labour in Marx's system, cannot but draw readers' attention and awaken in them a natural desire to research into the problems under debate. In view of the fact that these problems have the foremost significance for a correct understanding of Marx's economic system, we are obliged to assign to Shabs's booklet a larger attention, than it deserves in proportion to its theoretical content.

2.1 *Social Labour and Exchange*

The main accusation Shabs directs against me consists in the following. In the opinion of Shabs, I deny the social character of production in the commodity economy, and consider production exclusively as 'a sphere of predominance of the private relation of the producer to the milieu of material production, without any relation to the social conditions of the process' (p. 25 [p. 673 in the present translation]). On the other hand, I consider exchange as that sphere within which economic phenomena acquire a social form. Consequently,

we have here in our presence the negation of the private moment in exchange, as well as the social moment in production, in short, the negation of the twofold, contradictory character of the whole process. From here arises in turn the fundamental shortcoming in the interpretation of the determinations of labour; the twofold character of labour acquires such a one-sided expression: in one form, private (concrete) in production, in another form, social (abstract) in exchange (p. 24 [pp. 672–3 in the present translation]).

With this sharp disruption between private and social labour I make mistakes, in the opinion of Shabs, against the dialectic. 'According to Rubin, private labour excludes social labour and vice versa: in his view these are two polarities of labour, divided in accordance with the two poles of the social process, with different moments of production. Hence the polarity is transformed into the one-sidedness.'¹⁸

From the negation of the social character of production Shabs attributes to me arises the following false propositions. Once production is considered exclusively as a material-technical process, without any relation to its social form, it will accordingly fall out of the scope of research of political economy

¹⁸ *ibid.*, p. 62.

(p. 25 [p. 673 in the present translation]); only the sphere of exchange remains the sole object of this latter. Furthermore, we arrive at the false conclusion that labour acquires the character of social and abstract labour in the sphere of exchange, but in the sphere of production it is exclusively material-technical (concrete) labour. 'Rubin radically raises the problem, repudiating the possibility itself of the emergence of abstract labour in production' (p. 27 [p. 675 in the present translation]). Finally, we arrive at an absurd representation of the relation between labour and value: the former arises in the process of exchange, but value has its origin in the sphere of production (pp. 76–7).

The above conclusions Shabs ascribes to me are really absurd: abstract labour and value should never be related to two different phases of the social process of reproduction, just as it is absurd to deny the social character of production. But all these absurd conclusions are exclusively the fruit of the fantasy of my critic, and can never be attributed to me.

Indeed, let us begin from the first, central point of accusation. Is it true that I consider the process of production without any relation to its social form? It is enough to raise this question in order to answer it in the negative. In my book I reiterate on every page that all phenomena of production are studied by Marx in that specific social form which they assume in the commodity economy. However, not limiting myself to this general proposition, I give analysis of the specific social form distinguishing the commodity economy from the other forms of economy. This analysis elucidates that the commodity economy does not appear as *directly* social in the sense that it is not regulated directly by a social organ. 'The interconnection of social labour is manifested in the *private exchange* of the individual products of labour'.¹⁹ From this point of view exchange appears as a definite social form of the process of production itself (taken in a wide sense of the word), a form included in the process of production and communicating to it the character of *commodity* production. Without exchange, understood in *this sense*, i.e., in the sense of a definite social form of production, there cannot exist any category of Marx's political economy, including the categories of abstract labour and value.

Such a characterisation of exchange is commonly accepted in Marxist literature. Not only in Marx himself, we find the same characterisation of exchange in the majority of authoritative representatives of Marxism. Plekhanov, for example, expresses his view on this issue as follows:

19 [Marx's letter to Kugelmann of 11 July 1868, MECW/43, p. 68, MEW/32, p. 553. Emphasis in original].

Under the bourgeois order of things the producers are entirely independent of each other. Means of production constitute a private property of the producers, just like the products manufactured with them. In such a state of things exchange appears as the *sole social connection* among producers.²⁰

Rosa Luxemburg and Hilferding characterise the role of exchange in the same way.²¹

However, why should we refer to the above given authorities of Marxism, whereas we can rely upon a person by all odds far more authoritative for Shabs. It is Shabs himself who is repeatedly obliged to recognise that 'the *social relation* of production in commodity society is realised through *exchange* by means of commodities' (p. 82. Emphasis added). If the social relation of production is realised through exchange, production acquires a *social* character precisely through exchange.

If production becomes social in the commodity economy by means of exchange, as Shabs himself is obliged to recognise, it is evident that labour also becomes social and abstract by means of exchange. Since we consider now exchange only as a social form of social reproduction itself, but not as an individual phase, alternating with the phase of direct production, the proposition we have advanced above means only that, in the absence of exchange as a particular social form of economy, we can never speak about the presence of that social and abstract labour, which, in the opinion of Marx, form value. It is precisely this proposition on which I have laid particular emphasis in my *Essays*, in opposition to the economists who characterised abstract labour exclusively from its physiological aspect in ignoring its social and historical character.

Until now we have said that labour cannot acquire the character of abstract labour without exchange, but we have not yet answered the following question: does labour acquire, supposing the presence of exchange, i.e., of the commodity economy, the character of social and abstract labour already in the

20 Plekhanov, *Collected Works*, vol. 6, p. 80 (emphasis added).

21 R. Luxemburg, *Introduction to Political Economy*, State Publishing House, 1926, p. 251 [*Einführung in die politische Ökonomie*, Berlin, 1925, p. 202]. Hilferding says that commodity society 'becomes a society through exchange, which is the only social process, which it recognises from the *economic* standpoint.' *Finance Capital*, 1923, p. 6 [*Das Finanzkapital: eine Studie über die jüngste Entwicklung des Kapitalismus*, Dietz Verlag, Berlin, 1955, p. 13. *Finance Capital: a Study of the Latest Phase of Capitalist Development*, Routledge, London, 2006, p. 29].

phase of direct production, or does it do so only in the phase of exchange subsequent to production? Once we consider exchange as a social form of the process of reproduction itself, we have already gotten rid of the insurmountable abyss lying between the phase of direct production and the phase of exchange. On the one hand, the phenomena of exchange are given direction and regulated by the preceding process of production; on the other hand, already in the phase of direct production is taken into account the character of the products of labour as values, subject to realisation in the phase of exchange, so that labour acquires the traits of social and abstract labour. However, the interconnectedness and interinfluence of the phase of direct production and the phase of exchange, while creating certain reciprocal resemblances between them, at the same time do not cancel out their differences. In the phase of direct production, the characteristic of labour as social and abstract is only a preparatory, 'ideal', 'implicit', potential characteristic, which is still to be 'actualised' or 'realised' in the phase of exchange. If labour definitively acquired the character of social labour already in the phase of direct production, that would mean that it is *directly* social labour, i.e., ceases to be the labour of private commodity producers. In fact, however, the labour of commodity producers in the phase of direct production is above all or directly private labour, receiving at the same time an 'ideal' social characteristic, which will finally be consolidated for it only in the phase of exchange. In the phase of direct production labour is distinctly of private as well as social character, but it is directly private labour, whereas the character of social labour is retained by it only indirectly, as far as its product is destined in advance for exchange and ideally equalised with a certain sum of money. Only the process of progressive movement from the phase of direct production to the phase of exchange transforms the commodity into money and 'ideal' social labour into real social labour. Only in the process of movement are resolved the dialectic contradictions of labour, characterised simultaneously as private and social labour.

Shabs, who likes so much to show off the dialectic and accuses others of a lack of understanding it, has committed a rude and decisive blunder precisely in this respect. The contradiction between social and private labour is solved by him in an extremely simple manner. In his opinion, labour has equally, whether in the process of production or in that of exchange, one and the same character of both private and social labour. 'The same twofold character of labour is founded as a phenomenon emerging in the dual process of production and manifesting itself in equally dual expression in the contradictory dual process of exchange' (p. 42 [p. 688 in the present translation]). Simple-minded Shabs thinks that the highest dialectical thoughtfulness consists in an endless repe-

tition of the word 'twofold'. Labour acquires the 'twofold' character of private and social labour in the sphere of production as well as in that of exchange; Shabs does not go farther than this proposition. His alleged dialectic is limited to attributing to an object both of these mutually contradictory traits, instead of depicting for us the *movement of a process*, altering the character of each of these traits and at the same time also the character of an object as a whole. For Marx the contradiction between private and social labour, like other dialectical contradictions, is solved solely in the process of movement. Shabs, however, solves them verbally, unifying both of the mutually contradictory traits and ignoring their changing character and altering mutual relation.

As we see, the dialectic has played a trick on Shabs. In his unskilful hands it has ceased to be a tool for recognising the entire contradictions in the movement of the process of commodity production. Restricting himself only to an endless repetition of the assertion that the process of production and labour assume a simultaneously private and social character, Shabs refused to analyse more exactly the social form of production in the commodity economy. He learned by heart, without discerning its meaning, Marx's proposition that value appears in the process of production, not in that of exchange. Based on this, he regards himself as having the right to ignore the twofold role of exchange in the process of formation of abstract labour and value, namely: 1) the role of exchange as the *social form* of the process of production, in the absence of which there would be neither abstract labour nor value; and 2) the role of exchange as a *phase* in the process of reproduction, in which the social and abstract character of labour is finally realised. Ignoring this twofold and important significance of exchange in the commodity economy, Shabs is entirely incapable of grasping the nature of the latter. In his description, commodity production appears as directly social production, and the labour of the commodity producer as directly social labour. Having lost all ability of critical analysis, for Shabs it is enough to read any book indicating the role of exchange in order to accuse its author of neomercantilism, ignorance of the role of production, exaggeration of the role of exchange, and other irredeemable crimes. But if a similar argument is found in Marx himself, Shabs does not hesitate over any misinterpretations and distortions to weaken the meaning of Marx's words. Let us give some examples.

Shabs quotes many times the following sentence of mine: 'Abstract labour is created by exchange' (cf. my *Essays*, second edition, p. 103 [in Chapter 14 in the second edition, 'Abstract Labour', p. 214 in the present translation]). Based on this phrase, he accuses me of considering labour in the process of production exclusively as concrete, i.e., material-technical labour. But if Shabs quoted the sentence which follows the above quotation and is inseparably connected to

it, all his accusations would be blown away like a house of cards. The following phrase runs as follows:

Therefore, according to the extension of the market and sphere of exchange, to the involvement within it of individual economic units, and to their transformation into a unified national economy (and also, later, into a world economy), are consolidated those characteristic particularities of labour which we call abstract labour.²²

We advise the reader to read through further following sentences on the same page 103 of the second edition of our *Essays*, to be convinced that in the given case we are speaking of exchange exclusively as a social form of the process of production. We assert that abstract labour can exist only with the presence of exchange, in other words, of an exchange economy, or of *production, counting on exchange*. Shabs has managed to make a starting point of accusations against me even of this proposition, indisputable for every Marxist, but ignored by the consistent proponents of the physiological understanding of abstract labour.

In my *Essays* (pp. 96–7 of the second edition), I quoted Marx's well-known sentence: 'Since the producers do not come into social contact with each other until they exchange their products, the specific social character of each producer's labour does not show itself except in the act of exchange' [*Capital*, I, pp. 77–8, MEGA, II/6, p. 104. Cf. p. 178 in the present translation [translator's note 353]. The subordinate clause of this sentence does not appear in the quotation in the second edition]. What could possibly refute this indisputable assertion of Marx's? It would seem that also Shabs himself agrees with this proposition in his sentence quoted above: 'The social relation of production in commodity society is realised through exchange by means of commodities' [Shabs, *ibid.*, p. 82, quoted above]. But since that quotation of Marx's confirms the idea I expressed about the role of exchange, Shabs considers it necessary to oppose himself to Marx's proposition. Pretending in the role of the most orthodox Marxist, he does this, naturally, not directly but through relying on the following cunning means. He declares that I wrongly understood the quoted sentence of Marx, which may embarrass 'only the thinking of a frank metaphysician or of an extremely stolid Marxist writer' (p. 58). For the purpose of rescuing us from the embarrassing seduction, Shabs gener-

22 [ibid.]

ously promises to undertake himself the elucidation of this instructive passage from *Capital* (p. 58).

Since Shabs included himself among the number of 'penetrating' Marxist writers with such an incomparable impudence, never deserting him throughout the entirety of his book from the first to the last line, we wait with impatience for the 'elucidation' he promised. What does it consist of? It turns out to be nothing more nor less than that, in the sentence quoted above, Marx held in view not a developed commodity economy, but a primitive form of undeveloped commodity economy, when people produced as a general rule for their personal needs and exchanged only the superfluities of their products (pp. 59–60). In the opinion of Shabs, Marx had in view only this primitive economy when he said that the social character of private labour manifests itself only in the course of exchange. 'It is different in a developed commodity-capitalist economy' (Shabs's words on page 60), where, in the opinion of Shabs, labour appears as social independently of exchange.

We insistently beg the reader to read the corresponding pages of Marx (pp. 32–3 of the 1928 version of *Capital* [*Capital*, 1, pp. 76–8, MEGA, 11/6, pp. 103–4]), in order to confirm for himself what an incredible distortion of Marx's thought Shabs was obliged to rely upon for the purpose of defending his plainly erroneous position. The passage from Marx quoted above was taken from the section on commodity fetishism, in which Marx gives a profound analysis of the commodity economy, but Shabs wants to persuade us that Marx's conclusions are not related to the commodity economy, but instead to a primitive period of undeveloped exchange. Shabs seems to be completely careless of the fact that in this passage Marx speaks about material relations of people and social relations of things, i.e., about the fetishisation of the social relations of producers, which takes place only in a developed commodity economy.

We think that the one example above is sufficient to characterise the whole work of Shabs. However, our author decided to go farther. Let us assume that in his interpretation of the above quoted sentence Shabs turned out to be right 'in spite of reason, contrary to spontaneity'. Let us assume that in that passage Marx actually has in view a primitive period of undeveloped exchange and moves to a developed commodity economy only in the following passage, as Shabs asserts. But if we do not limit ourselves to this second passage and pass further to the third passage, we will find at its outset the sentence of Marx I quoted in *Essays*.

When we bring the products of our labour into relation with each other as values, it is not because we see in these articles the material receptacles of homogeneous human labour. Quite the contrary: whenever, by

an exchange, we equate as values our different products, by that very act, we also equate, as human labour, the different kinds of labour expended upon them. We are not aware of this, nevertheless we do it.²³

As we see, Marx reiterates here again the same idea which he expressed earlier, namely that labour becomes 'equal' and at the same time also social labour only through the equalisation of the products of labour as values. Marx refutes Shabs here again. But this does not discourage our critic. He has already found the means for disposing of Marx's assertions which are unpleasant for him: he states them to be related to a primitive period of undeveloped exchange. Shabs does not hesitate to apply this means also to the above given quotation from Marx. 'The riddle solves itself simply in supposing that Marx had in view also here a primitive period of undeveloped exchange' (pp. 154–55).

Shabs brought his means of interpretation of Marx to absurdity, placing himself in a truly ridiculous position. We must believe literally his statement that in the first passage Marx has in view a primitive period of undeveloped exchange, in the second passage he passes to a developed commodity exchange, but in the third passage he somehow goes back again to the primitive period. And Marx performs all these fluctuations only to make it possible for Shabs to somehow get out of those contradictions in which he has helplessly gotten stuck.

The absurdity of the above interpretation of Shabs hits us in the eye. Unable to bring out any evidence in support of his assertion, he applies coercive measures to Marx's idea and mercilessly chops his living text up into individual phrases, into which he pushes an arbitrary meaning contrary to their original intention. And after that he still dares to throw on his opponents the accusation that they cut out from the text of Marx individual phrases on which to build complete theories.

The above interpretation of Shabs cannot find any support for itself in Marx's text. But, furthermore, we can bring forward direct evidence of its falseness. The phrase last quoted had a completely contrary meaning in the first edition of *Capital*, and ran as follows: 'If men relate their products to one another as *values* insofar as these objects count as *merely objectified shells* of homogeneous human labour' (*Capital*, Vol. I, 1867, p. 38 [English version, p. 36, MEGA, II/5, p. 46. Emphasis in original]). In the second edition of *Capital* Marx entirely changed the meaning of this phrase, intending evidently to emphasise that the equalisation of labour takes place in the commodity economy only through the equalisation of things. Now, how does Shabs disentangle himself from his

23 [ibid., pp. 78–9, II/6, pp. 104–5].

predicament? Has he really decided to affirm that in the first edition Marx held in view in the quoted phrase a developed commodity economy, but that in the second edition he instead speaks of a primitive period of undeveloped exchange in the same phrase?

We have already confirmed the frivolity of Shabs's assertion that 'we cannot find anywhere in Marx the idea that abstract labour arises from the mystery of the act of equalisation of things' (p. 85).²⁴ Shabs's attempt to relate Marx's words quoted above to a primitive period of undeveloped exchange was not successful. Any reader familiar with Marx's works, however little that familiarity might be, knows that these quoted phrases of Marx's are in the highest degree characteristic of his entire conception, and can be supplemented with a great number of other quotations. Fortunately for Marx, Shabs does not think of this: otherwise, he would probably have declared that the entirety of Marx's theory of value is connected only to a primitive period of undeveloped exchange. But, fortunately for Shabs, the matter stands precisely as I have shown in my *Essays*: Marx indefatigably repeats that only exchange transforms 'concealed' social labour into actual social labour. It is only surprising that a Marxist writer as perspicuous as Shabs should not have noticed this. In the phase of direct production labour still does not appear as directly social. It appears above all or directly as private labour, and must still go through the lengthy and laborious 'indirect fashion' (auf Umweg, as Marx expresses it in 'Critique of the Gotha Programme' ['Critique of the Gotha Programme', MECW/24, p. 85, MEW/19, p. 20]) in order to transform itself into actual social labour.

24 Naturally, labour acquires (provisionally and ideally) the character of abstract labour prior to the act of exchange, but only *through* exchange, i.e., since exchange is anticipated and product is transformed into a certain amount of money already in the phase of production. Despite his will, Shabs is obliged to recognise that the equalisation of labour occurs through the equalisation of products of labour as values. 'Through products of labour also labour itself is here compared' (p. 94). 'In the *price* of a commodity is given the *equalisation of labour*, expended on the production of the commodity, to the labour materialised in gold. The equalisation of different *labour* coincides with the equalisation of *values*, insofar as the appearance of abstract labour already precedes exchange, since the *price of a commodity* ... appears prior to the entrance of the commodity into the sphere of circulation' (p. 152. Emphasis added). Our perspicuous critic does not become aware that he is fiercely combating with himself. The equalisation of labour occurs, in his own words, through the equalisation of products as values, i.e., it presupposes exchange as a social form of the process of production. In accordance with this we can judge of the perspicacity of our critic, who says in the same vein that 'in the *price* of commodity is given the equalisation of labour'; and in the same place he declares that this 'abstraction of labour' takes place 'without the acts of market exchange' (p. 152, note).

This proposition we insisted on in *Essays* has brought about the severest attacks from Shabs. But, as we have seen, this proposition necessarily arises from Marx's whole theory on the unorganised character of the commodity economy, and can be supported by a number of quotations from Marx. Moreover, this proposition has already become a sort of truism in Marxist literature, and only a complete ignorance of the latter could explain the strange fact that Shabs considered it necessary to choose precisely this proposition as the main target for his attacks. In support of this let us give some quotations from works of well-known Marxists. Luxemburg writes:

Previously, each individual pair of boots that our shoemaker produced was immediately and in advance social labour, even when still on the last. Now his boots are initially private labour, and no one else's concern. Only subsequently are they viewed on the market, and only to the extent that they are taken in exchange is the labour spent by the shoemaker acknowledged as social labour.²⁵

He (a shoemaker) becomes a member of the society only insofar as he produces exchangeable products, commodities, and only so long as he has these and can dispose of them. Each exchangeable pair of boots makes him a member of society, and each unsalable pair excludes him once again from society. ... This is therefore not a permanent membership, but one that keeps on being dissolved and renewed.²⁶

R. Hilferding points out exactly the same, that the commodity economy 'is dissolved into a large number of mutually independent individuals for whom production is a private matter rather than a social concern'.²⁷ In the commodity economy, 'the work of an individual is, first and foremost, his own individual endeavour, motivated by his own self-interest. It is his personal labour, not the labour of society'.²⁸ If Shabs attacks so fiercely my contention that in the commodity economy, unlike in an organised economy, labour does not appear as directly social labour, he should direct his arrows first of all against Marx, Hilferding, Rosa Luxemburg, and other Marxists standing on the same viewpoint. If I affirm that in the phase of direct production labour is directly private

25 R. Luxemburg, *Introduction to Political Economy*, 1926, p. 256 [*Einführung in die politische Ökonomie*, Berlin, 1925 p. 206].

26 *ibid.*, pp. 259–60 [*ibid.*, p. 210].

27 Hilferding, *Finance Capital*, 1923, p. 4 [p. 10 in the German version of 1955. p. 27 in the English version of 2006].

28 *ibid.*, pp. 8–9.

and only 'potentially' social, from here it in no way follows that I consider the process of production exclusively from its material-technical side, separate from its social form. This absurd accusation of Shabs's is explained by the fact that he completely did not understand what the word 'private' means in Marx. Shabs thereby leaves himself to commit the rude error of identifying private labour with material-technical, concrete labour. On page 63 he writes: 'to assert that 'as far as the commodity producer is occupied with his concrete labour, this latter represents private labour', means nothing other than that solely the *relation of man to thing* appears in the labour process, in production' (emphasis added, unless otherwise mentioned). This identification of private with material-technical labour runs as a red thread throughout Shabs's argument. On page 25 [p. 673 in the present translation. Emphasis added] he ascribes to me 'the transformation of production into a sphere of predominance of the *private* relation of the producer to the *milieu of material production*, without any relation to the social conditions of the process'. On page 75 he speaks of production, understood 'one-sidedly, as a sphere of domination of the *private* relation of man to his *productive* function' (emphasis added).

If private labour is identified with material-technical labour, the assertion that labour in the phase of direct production is directly private labour can be interpreted in the meaning that labour is considered exclusively from its material-technical side, without relation to its social form. But to a reader anyhow familiar with the matter it is well known that in Marx the term 'private' labour has nothing in common with material-technical labour, and already includes within it the indication of a social form of labour, organised in the mode obtaining in the commodity economy. If I say that labour is 'private', I already affirm that it is organised in a determinate *social form*. But this social form of labour in the commodity economy, to be distinguished from its social form in a socialist economy, precisely consists in that the labour in its concrete form is not yet included in advance in the ensemble of social labour, and in this sense does not yet appear as 'social' labour. Labour has a determinate social form, but does not yet appear as directly social labour.²⁹

29 In like manner as Shabs identified private with material-technical labour, he identified social labour with the social form of labour. In other places (cf. pp. 54–5) he identifies 'social' labour with 'socially determined' labour. Here he understands by social every labour of an individual, determined by the conditions of life in any society. From this point of view, not only the labour of a commodity producer but also the labour of a peasant producing for his own need will be social. It is obvious that in Marx social labour, counterposed to private, means something other than a social form of labour, or socially determined labour. It is labour considered as a share in the total homogeneous labour of an entire society.

Only thanks to a rude confusion of concepts and terms can Shabs arrive at the assertion that I consider the process of production out of its social form. In connection with this he advances against me a series of accusations, which can only be quoted: there is no need to refute them. On page 77 he writes: 'Rubin showed a most intimate acquaintance with the concepts of Marx's propositions in saying that, in his opinion, the labour process was considered by Marx only and solely as a technical process.' On pages 127–28 [127] we read:

In short, we can confirm the distortion of Marx's theory of value in two essential points. 1) A fallacious interpretation of Marx's understanding of value in admitting the existence of value as a logical category, along with its historical prototype. ... 2) The social content of value is at all times identified with the real, material bearer of this content, i.e., value is identified with use value.³⁰

As we see, he accuses me of precisely those errors against which I decisively combated in my *Essays*. I proved that Marx studies the relations of production of people and not the material-technical process of production. Precisely on this basis some critics unfairly accuse me of the negligence of the latter: now Shabs throws on me an accusation of contrary character. In my book I drew sharp distinction between value and use value, completely following Marx's text; I stressed the historical character of the category of value and rejected as unnecessary the so-called logical understanding of value. But now Shabs passionately shouts: 'What is true in the assertions of Rubin that value exists in two variants, i.e., physiological value, for example, and sociological value, i.e., as logical and historical categories?' (pp. 121–2) We can in advance assume that

For the purpose of easily attributing to me the view on production as on a process exclusively of technical character, Shabs does not refrain from a minor 'correction' of my text. On page 101 of *Essays* I wrote: 'as long as a commodity producer is occupied with his *concrete*, special labour, it is *private* labour' [cf. p. 211–2 in the present translation 'Supplement 2: Chapter 14. Abstract Labour']. Shabs conveys my idea as follows: 'According to Rubin, in production the commodity producer is 'occupied with his special concrete labour,' i.e., with the production of use values, and that's all' (p. 64). 'And as naïve, vulgar, and stupid from the viewpoint of political economy appears the assertion that in production the producer is 'occupied with his special concrete labour,' without any relation of his activity to the labour of society, to its utility' (p. 75). How to name such a method of polemic with correction of the text of the opponent? If it can't be called naïve, in any case the other epithets given by Shabs are fully applicable to him.

30 [p. 704 in the present translation].

his other accusations are also, when expressed in the refined style of Shabs, 'naïve, vulgar, and stupid'.

Indeed, on what basis is the accusation of recognising the logical category of value made? The author quotes my phrase that without 'the form of value, value is transformed into a logical category' (p. 121 of Shabs's booklet). It is enough to read the whole of the corresponding section of my *Essays* to become convinced of how far our critic distorts the idea of his opponent. On page 86 of *Essays* (second edition) we read:

Without the 'form of value', 'value' itself is simply transformed into labour expenditure, into a logical category. However, Marx constantly reminds the reader that value is a historical category, and that labour expenditure is outside of a determinate social 'commodity form' or that, as we have seen, the 'form of value' does not create any value. All these contradictions will disappear if we recognise that, according to Marx, value is created only by the unity of its content and form, i.e., by the unity of labour expenditures and the commodity form of economy, and that, when analysing labour, Marx constantly assumes a definite social form of labour.³¹

On the previous page 85 I wrote: 'Without the 'form of value', 'value' in the genuine meaning of the word cannot exist either, it remains merely 'value' in the conditional meaning of labour expenditure, devoid of any social form and pertaining to all historical epochs' [*ibid.*, pp. 162–3].

It is enough to read these quotations to become convinced that I was not a proponent but in fact an opponent of the so-called 'logical' understanding of value. I point out that the identification of value with labour expenditure, considered outside of its social form, transforms value from a historical into a logical category, and exactly for this reason must be recognised as incorrect.

The complete groundlessness of the accusations raised by Shabs manifests one characteristic peculiarity of our critic. Instead of thinking soberly about the meaning of the propositions he criticises and of examining them in their totality and in their internal connection, he prefers to break off from the text of the criticised author not even individual phrases but pieces of phrases and single words. To these words and phrases cut off from the text our author attributes a completely arbitrary meaning, often completely contradictory to that meaning

31 [Rubin, *Essays on Marx's Theory of Value*, p. 163 in the present translation, Chapter 12 in the second edition: 'Value and Exchange Value (Content and Form of Value)'].

in which they are used by the criticised author, by means of this arbitrary interpretation he builds an absurd proposition, from which he draws a whole series of absurd conclusions with a consistency which would be worth a better application. Instead of finding the bankruptcy of his 'critical' method in the sum of these absurdities, he attributes them instead to the author he criticises. To find his opponent pointing out the role of exchange gives Shabs enough reason for accusing him of negligence of the social form of the process of production. To find in the writing of his opponent some lines pointing out the dependence of the process of movement of values on the material-technical process of production gives him enough reason for hurling an accusation of a confusion of value with use value. Shabs appears to think that the material-technical and social processes of production represent no more than a set of two simultaneous and parallel phenomena, between which there is no causal relation. He seems to attribute such a kind of parallelism to Marx when he adds:

Rubin affirms on the contrary 'a close relation' between 'the process of production of material goods *as such*' and 'the social form', determines the material-technical content as such, as a social content of the commodity form, identifies use value with value, confounds technical with social, physical with historical.³²

To affirm that I identify the material process of production with its social form is just as erroneous as it is true that I recognise between them 'a close relation'. Shabs is inclined to deny the presence of this 'close relation', and relies on Marx for support of this view: 'Here Marx does not at all deviate from his view, that, whatever may be the social form of wealth, the use values always possess their proper essence, *entirely independent of this form*' (p. 66. Shabs's emphasis). Shabs counterposes this passage of Marx, taken from the Russian translation of *Critique of Political Economy*, to my assertion on the existence of a 'close relation' between the material process of production and its social form.

From this passage Shabs seems to be willing to draw the conclusion that the material process of production and its social form are 'completely independent' of each other. But it may appear that this proposition directly contradicts Marx's basic proposition about the closest relation between the development of the productive forces and the change in the relations of production of people. It may appear that, before advancing a proposition wholly contradict-

32 Shabs, *ibid.*, p. 66.

ory to the rudiments of Marxism, Shabs should have confirmed if the quoted passage of Marx's was indeed correctly translated into Russian. In so doing, Shabs would have been convinced that he had quite simply fallen victim to an inexact translation. In Marx this passage has in fact the following form: 'Whatever its social form may be, wealth always consists of use values, which *in the first instance* (zunächst) are not affected by this form' (*Kritik der politischen Oekonomie*, 1907, S.2 [*Critique*, p. 270. MEGA, 11/2, p. 108. Emphasis added]). This sentence of Marx's means that 'in the first instance', on the first step of analysis, we consider the social form of wealth separately from its material content. The material-technical process of production does not constitute a true object of economic research, but appears always as the precondition of the latter. The ultimate objective of our science consists precisely in discovering the close 'causal relation' between the material process of production and its social form.

As we see, Shabs is inclined to negate the close relation between the material process of production and its social form. Perhaps only this can explain one point of his critique which can give nothing other than surprise. Shabs criticises my assertion about the dependence of magnitude of value on the level of development of the productivity of labour. Quoting my assertion that the 'magnitude of value is determined by labour, the process of production, the development of the productivity of labour'. (*Essays*, second edition, p. 88 [p. 166 in the present translation, Chapter 12 in the second edition: Value and Exchange Value (Content and Form of Value)]), Shabs arrives at the conclusion that I identify the productive force of labour with labour itself, which forms value. But since Marx relates the productive force to concrete labour, it is obvious that I confound concrete with abstract labour and so on (pp. 69–74). Instead of piling one absurdity upon another as usual, Shabs should have turned back to Chapter 16 of my *Essays*, where I elucidate the dependence of changes in the magnitude of value on the rise in the productive force of labour. On pages 130–31 of *Essays* [in the second edition] he could have read:

The growth of the *productive force* of labour in the given branch of production, modifying the *conditions of its equilibrium* with other branches, changes the magnitude of *socially-necessary* labour and the *market value*. Labour time 'changes with every variation in the productiveness of labour' [*Capital*, 1, p. 47, MEGA, 11/6, p. 74]. 'In general, the greater the productiveness of labour, the less is the labour time required for the production of an article, the less is the amount of labour crystallised in that article, and the less is its value; and *vice versa*, the less the productiveness of labour, the greater is the labour time required for the production of an article, and the greater is its value' [*ibid.*, p. 48, 11/6, p. 74]. In Marx's the-

ory, the concept of *socially-necessary* labour is closely connected with the concept of the *productive force of labour*. In the commodity economy, the development of the productive forces finds its economic expression in the change of socially-necessary labour and of the market value of individual commodities determined by the former.³³

What could one say against this assertion, exactly repeating Marx's thinking and shared by all Marxists without exception? But our critic manages to argue against even this proposition.

The counterarguments of Shabs can be boiled down to the following. According to Marx's theory, a *given quantity* of labour (for example, eight hours' labour) produces always one and the same amount of value, independently of the degree of development in the productivity of this labour. The rise in the productivity of labour is not accompanied with a rise in the amount of value produced by a *given quantity of labour*. 'In the non-correspondence of the movement of these two factors, in the *lag of rise* in the magnitude of value from the development in productive forces is to be found the most general expression of the fundamental contradiction inherent in commodity-capitalist system' (p. 72. Emphasis added). But since I recognise that the magnitude of value does not change in correspondence with changes in the productive force of labour, it is evident that I am guilty of the capital crime of neglecting the contradictions of the commodity-capitalist economy. 'Rubin accomplishes his final falling into sin in his identification of productive force with labour in their relation to the formation of value' (p. 175).

We can apply here no other word than confusion, moreover a confusion so elementary and profound as we could not expect even from our critic. If I asserted that with the productive force of labour *increasing* twice the *total amount of values* produced by a given quantity of labour (for example eight hours' labour) would also *increase* twice, I would violate Marx's theory of value. But, in fact, I assert something *quite different*, entirely in accordance with Marx as well as all Marxists without exception: I say that with a *doubling* in the productive force of labour the value of *each unit* of the product, produced by a given quantity of labour, *falls* by half. This last assertion directly contradicts the first, since our conclusion of a *fall* in value of *each unit* of product evidently presupposes that the *total amount of values* produced by a given quantity of labour remained *unchanged*. Marx's proposition that a given quantity of labour produces always one and the same amount of values, and his proposition that the value of each unit of product changes in inverse proportion to the change in productive force

33 *Essays*, pp. 130–31 [p. 250 in the present translation].

of labour, do not only not contradict each other, as Shabs thinks, but also are inseparably connected with each other. The second proposition is a conclusion from the first. It would indeed be necessary to be wholly innocent of the rudiments of Marxism to discover a 'final falling into sin' in the recognition of the dependence of changes in the magnitude of value on changes in the productivity of labour.

2.2 *The Juristic and Economic Conceptions of Society*

Shabs likes to view things radically. He does not restrict himself to disclosing my 'methodological error', consisting of a fancied neglect of the social form of the process of production and of the social character of labour in the sphere of production. He intends to find out the root of this error. 'We think that the root of this error lies in the fact that it is not an economic but a juristic conception of society that serves to the author (Rubin) as the starting point for the interpretation of the problem' (p. 45 [p. 691 in the present translation]).

Shabs formulates the distinction between these two conceptions as follows: 'the legal science builds, as is well known, the concept of society as a mechanical whole of personally and materially independent subjects, and advances the will of the individual as the sole and universal basis of the relations in bourgeois society' (p. 46 [p. 691 in the present translation]). In contrast to this, from the economic point of view '[c]ommodity-capitalist society is considered as a complex organic unity, in which particular individuals are 'organs of labour' of an interconnected organism of production' (p. 47 [p. 692 in the present translation]). Shabs accuses me of having begun precisely with a juristic and not an economic conception of society. Before moving to this question in essence, we must expand on the above quoted characterisation of both conceptions of society.

Our author willingly accuses his opponents of incomprehension of the dialectic. But on the decisive points he goes against the elementary rules of the dialectical method. Why did Shabs rupture the connection between the juristic and economic conceptions of society and assign them so much contrary traits? Are not juristic relations the expression of the economic (productional) relations of people? In particular, is not the character of bourgeois law, which begins with 'the personally and materially independent subjects', determined by the character of bourgeois production itself, dispersed among individual commodity producers? Denying this would amount to denying the elementary propositions of historical materialism. On the other hand, we know well that in those social formations where the economy represented an entirely 'organised unity' (for example, in a patriarchal commune), the juristic norms also did not recognise 'the personally and materially independent subjects'. Instead of

drawing on the abstract contraposition of law and economy, Shabs should have entered into an examination about precisely what law, what economy the question pertains to in this case. He would have then discovered that the character of bourgeois law is determined by the character of bourgeois production, that the contraposition between the 'organic unity' and the 'independent subjects' is itself founded on the basis of the commodity economy. He would have discovered the twofold nature of the commodity economy itself. Shabs, however, did not go this way. He preferred to send the 'independent subject' out to the domain of law; due to this, the sphere of the economy appears in him in a one-sided form, in the form of an 'organic unity'. Shabs correctly emphasises the material connectedness of the members of the commodity economy, but he underestimates the significance of the fact that the economy is dispersed among private commodity producers, among whom a connection is established only indirectly, through the exchange of the products of their labour. Therefore, Shabs sometimes characterises the commodity economy by means of terms which Marxists do not make use of. He says that in the commodity economy, the '[t]aking into account of the needs of society lies at the basis itself of production' (p. 49. [p. 694 in the present translation] Emphasis added), whereas Marxists assert exactly the contrary. We know furthermore from Shabs that 'each commodity producer submits in advance his production activity to the *social need*' (p. 49 [p. 694 in the present translation]), that 'his labour is a priori related to the labour of society' (p. 99 [p. 701 in the present translation]), that he 'determines his function in society a priori, orienting himself to the *need of society*, consequently, as a social function' (pp. 61, the same on pp. 48–9).³⁴ However, Marx was inclined to repeat that labour appears directly as a 'social function' only in societies with an organised economy.

Exaggerating the importance of the 'organic unity' of the commodity economy and underestimating the importance of all the elements of unorganised and dispersed nature in this economy, Shabs is willing to denounce the 'juristic' formulation of the problem of those economists who stress the latter elements. He finds the proof of my starting from a juristic rather than economic conception of society in my following words, found on page 12 of the second edition of *Essays*:

34 We have already noticed above that our critic lacks the sense of joke. Otherwise, he would not have decided to say that a commodity producer should be considered as 'an individual, performing his economic activity conformably to the perceived social necessity' (p. 53; cf. p. 51 on 'perceived social necessity'). Prior to this discovery of Shabs's, Marxists were convinced, together with Marx, that in the commodity economy the law of social necessity operates as a 'blind force of nature,' and Engels saw within it the 'a law of Nature, founded on the want of knowledge of those whose action is the subject of it' [*Capital*, I, p. 80, MEGA, II/6, p. 106].

In his enterprise, every commodity producer is formally free to produce at will any product as he wishes and with the aid of any means of production that he likes. But when he brings the finished product of his labour to the market, for exchange, he is not free to determine the proportions of exchange, but is obliged to submit to the conditions (conjunctures) of the market, common to all the producers of the given product.³⁵

After quoting these words, Shabs cries triumphantly: ‘this formulation, borrowed from the science of law ...’ (p. 42 [p. 695 in the present translation]). Repeating endlessly my statement that every producer is ‘free to produce at will any product as he wishes’, Shabs, on the basis of these words, attributes to me the idea that ‘in production a wide and unlimited space is allotted to the capitalist faithful to his caprice; competition lies outside his field of view, does not exist for him’.

To submit production itself to the laws of competition, relentlessly dictating the conditions of production, is tantamount to submitting first of all to the social conditions in the choice of the means of production, of the definite kind of commodity as well, in accordance with the social need, but this does not at all fit in with the superficial representations developed in *Essays*.³⁶

We have already seen above how Shabs was helplessly confused in most elementary problems of political economy. Hence it is not surprising that he is ready to suspect his opponent of a negligence of the rudimentary truths. In the present case he accuses me of the fact that I do not understand the significance of competition, that, in my opinion, the capitalist can produce any products at will irrespective of market demands, and so on. All these childish naïve accusations do not need in themselves any refutation, but we will expand on them in greater detail in order to characterise once again the theoretical level of the work of Shabs, combining rudimentary truths with elementary mistakes. It is indeed well known to every Marxist that, when we speak about an ‘independent’ commodity producer, who organises the production according to his ‘caprice’ or ‘discretion’, we have in view the independence of that commodity producer from a *social organ*, orienting the production according to a certain plan. But nobody would claim to see in our words an assertion of the independence of the commodity producer from the conditions of *market competition*.

35 p. 695 in the present translation [p. 13 in the fourth edition].

36 p. 43 [not p. 43 but pp. 51–2. p. 696 in the present translation].

On the contrary. Marx showed on several occasions that it is precisely the 'independence' of commodity producers from a consciously acting social organ that creates their 'dependence' on the spontaneous laws of the market.

The owners of commodities therefore find out, that the same division of labour that turns them into independent private producers, also frees the social process of production and the relations of the individual producers to each other within that process, from all dependence on the will of those producers, and that the seeming mutual independence of the individuals is supplemented by a system of general and mutual dependence through or by means of the products.³⁷

To draw from our statement on the 'caprice' of the commodity producer the conclusion that we negate the dependence of the commodity producer on market conditions amounts to exposing a complete ignorance of the terminology generally accepted in Marxist literature.

We beg the reader's pardon for locking him all the time in a circle of elementary problems. We would have welcomed a critique of our views which would have motivated a more profound re-examination of the points at issue. But, unfortunately, the critique of Shabs in the major part of his article turns around elementary problems, accidentally leaked words, and arbitrarily interpreted phrases. Although the question of the 'caprice' of the commodity producer is already sufficiently elucidated by our foregoing remarks, we must expand on it further in order to disclose definitively the 'critical' tricks of Shabs. We have already shown that there exists no literate Marxist who will interpret our words on the 'caprice' of the commodity producer in the same way as Shabs. But now we go farther and will show that Shabs not only had to know precisely what Marxists understand when speaking about the 'caprice' of the commodity producer, but he could also read about this on the same page from which he quoted our words. If Shabs did not tear off phrases in quoting them but instead continued quoting them further, then he would have read immediately after those words he quoted the following words:

The dependence of the producer on the market means that his production activity depends upon the production activity of all other members of society. If clothiers launched too much cloth onto the market, the clothier Ivanov, who has not increased his production, would in spite of

37 [Capital, I, pp. 109–10, MEGA, II/6, p. 133].

this also suffer from a fall in the price of cloth and be forced to decrease production. If other clothiers introduced improved means of production (machines, for example), lowering the value of cloth, then our clothier would also be obliged to improve his production techniques *With regard to the orientation of his own production, to its extent and to its methods*, this individual commodity producer, though formally independent from the others, is in fact closely connected to them through market, through exchange.³⁸

If this was the case, and if he had a conscientious attitude toward his duties as a critic, however little it might have been, was it possible for him to accuse me of a neglect of the role of competition and of a recognition of the independence of commodity producer from the conditions of market?

But, if Shabs fell in this case into a profound error, did I not give him a motivation for it with the uncareful use of the word 'caprice'? If Shabs was familiar with Marxist literature, he should have known that within it are very commonly used the expressions 'caprice' and 'discretion' of the commodity producer in the above explained meaning. For example, Plekhanov writes: 'In bourgeois society the producers labour independently of each other, each of them works *as he wants*, as he may and as he can, at his own risk and at his *own discretion*'.³⁹ Luxemburg expresses her idea in the same words: 'Everyone works at his risk, everyone produces on his account at his own discretion'.⁴⁰ Finally, we find in Marx recurrent indications of the 'full play of chance and caprice' and of the 'lawless caprice of the producers' (*Capital*, Vol. I, p. 268 [*Capital*, I, p. 336, 11/6, p. 350]). Indeed, Marx points out that the spontaneous law undergoes this 'lawless caprice of the producers'; it was precisely about this that I spoke in my book.

We can now sum up. The accusations of Shabs that I started from a juristic conception of society are without foundation. The question is not about the contraposition of law and economy, but about the twofold nature of the commodity economy itself. In my *Essays* I constantly tried to emphasise this twofold aspect of the commodity economy, distinguished simultaneously by unity and dispersion. But Shabs, exaggerating the importance of the first element and underestimating the importance of the second, considers the commodity economy from a unilateral and hence incorrect point of view. This explains

38 *Essays*, second edition, p. 12 [emphasis added in this quotation. p. 33 in the present translation].

39 Plekhanov, *ibid.*, p. 83 (emphasis added).

40 Luxemburg, *ibid.*, p. 251 [German version, *ibid.*, p. 202].

the characteristic peculiarity in the description of Shabs, acutely distinguishing him from the majority of Marxists. Usually Marxists, after the example of Marx himself, contrapose the commodity economy to an organised economy and by means of such a contraposition they bring into relief the characteristic specificities of the commodity economy. For Shabs such a way is closed, since he considers also the commodity economy above all from the aspect of its 'organic unity', underestimating its spontaneous, unorganised character. Shabs is therefore obliged to have recourse to another attitude, namely to the contraposition of the commodity economy to a *compulsory economy*, based on slavery or on the feudal dependence of the producer (pp. 30, 35, 94, 98, 134–35, and so on). In a compulsory economy 'the social relation of production assumes a *unilateral* character' (p. 94), since the producer (for example, a slave) is reduced to the role of a tool. But in the commodity economy the social relation of production is realised 'in the *bilateral* acts of exchange among *personally independent* producers. Here the *social individual* appears not as the *res vocale*⁴¹ of the slaveholding society, not as a tool for obtaining products, but in the full significance of a social subject, formally, i.e., *abstractly unlimited in his autonomy*' (p. 30 [emphasis in original]).

Beginning with the contraposition of the commodity economy to slavery, Shabs arrives at the conclusion that the fundamental particularity of the commodity economy consists in the juristic freedom of the individual, in 'the formal-juristic concept of the autonomous individual' (p. 98 [p. 700]). However, such a purely juristic criterium is suitable only for contraposing the commodity economy to slavery, and does not clarify for us the fundamental *economic* particularities of the commodity economy, differing for example from the socialist economy. In political economy, the *juridical* independence of an individual must be considered only as an expression of the *economic* independence of the commodity producer as the proprietor of means of production and the autonomous organiser of the process of production. But, as we have seen, Shabs, exaggerating the elements of 'organic unity' in the commodity economy, is inclined to negate the economic 'independence' of the commodity producer on the ground that this latter is subject to the conditions of the market. This position leads him to the erroneous conclusion that the characteristic particularity of the producer in the commodity economy is his juristic freedom. As we see, Shabs has not at all attained the aim he wanted. He attributes to me the juristic conception of society, whereas he himself finds the fundamental

41 In the text of Shabs, who embraces 'a longing, a kind of disease' for Latin terms and phrases, 'slave' figures as '*res vocale*,' on pp. 30 and 35. Seemingly, our critic, as much erudite as perspicuous, may have wished to say '*res vocalis*.'

particularity of the commodity economy in pure juristic features. He underestimates the atomic character of the commodity economy and, precisely due to this, is obliged to recognise as the distinguishing trait of the latter a purely juristic atomism. Such dialectical transformations are found in a considerable number of places in the work of Shabs. In the majority of cases Shabs has to play not the role of a subject consciously applying the rule of dialectical thinking, but the role of an object involuntarily undergoing a series of strange and very disagreeable dialectical transformations.

I would not wish the reader to think that the accusation of a formal-juristic approach against Shabs for the purpose of debate has been raised by us in an attempt to find in the work of Shabs the same shortcoming as he attributes to us without any foundations. In our profound conviction, Shabs is unavoidably pushed to this side entirely by his position of neglect of the moments of dispersity of the commodity economy. Considering commodity economy as an 'organic unity', as an ensemble of 'individuals, acting according to a social necessity known to them' and 'subjecting in advance their production action to the social need', Shabs cannot give a correct characterisation of the *economic* particularities of the commodity economy. Nothing remains to him other than to seek the distinguishing features of the commodity economy in the juristic personal independence of producers, and in the bilateral, i.e., contractual character of the relations connecting these personally independent producers (pp. 30, 35, 42, 94, 98, 134–35, and so on). And, oh, what an irony of fate!, exchange, against which Shabs earlier inflicted persecution, is now recognised its complete victory. Is it because this is the meaning of the personal independence of the producer? Indeed, in its characterisation Shabs does not spare attractive colourings: 'Here (in the commodity economy) the *social individual* appears not as the *res vocale* of the slave-holding society, not as a tool for obtaining products, but in the full significance of a social subject, formally, i.e., *abstractly unlimited in his autonomy*' (p. 30. Emphasis added [not added, but in original]). But in essence under the attractive figure of 'a social subject in full significance' is concealed the prosaic figure of the formally-independent commodity producer, which is well known to everyone. At the same time also the bilateral relations among people represent nothing other than the '*bilateral acts of exchange* among personally independent producers' (p. 30. Emphasis added [and at the same time erased for some other words]), 'relations of exchange in their two-sided character' (p. 42 [pp. 687–8 in the present translation]). In truth, exchange, once kicked out from the door, comes in again through the window! Indeed, knowing the strictly 'productional' point of view of Shabs, exchange considered it necessary to slightly mask its traits and appear in a poeticised form. Owing to this slight masking, it won a complete

victory, and appears now as the sole feature of the commodity economy. While in my *Essays* exchange appears as an element of the process of reproduction itself, inseparably connected with the material-technical process of production and the division of social labour, in Shabs it appears now in a unilateral, formal-juristic aspect, as the act of contract between formally-independent subjects. Of course, I am the last to be disposed to deny that the formal independence of commodity producers also is an essential feature of the commodity economy and impresses its seal on the act of equalisation of the products of labour (cf. Chapter 10 of my *Essays* [‘The Equality of Commodity Producers and Equality of Commodities’]). But the formal-juristic characteristic of the commodity producers is only derived from their economic characteristic, and the formal particularities of exchange should be studied only on the groundwork of material connection with the process of production, and in particular with the process of equation and division of labour. Under the pretext of defending the erroneously understood ‘productional’ point of view Shabs refused to take the path of research of the material role of exchange in the commodity economy, for which he was severely punished at the mercy of a conception of exchange in its most vulgar, formal-juristic form.

Furthermore, Shabs was not only trapped by the juristic fetishism but also was not freed from the far-outdated and obsolete representations of a ‘natural state’ of people. He does not only naively believe that bourgeois society is characterised by the recognition of ‘social subject in its full significance’, but is also imbued with the still more naïve belief that this formal-juristic recognition corresponds with the ‘specific nature (of man – *I.R.*) in his *natural* constitution’ (p. 98). Let us read carefully the following fragment:

The concept of the ‘autonomous individual’ comprehends two meanings of man: on the one hand, *formal-juristic*, *social* and, as such, *historical*; and on the other hand, a *natural state adequate* to the first determination, but a state in its practical significance inherent only to a particular historical form and conditioned by it. Here we bump anew into ‘difference, inseparable from identity’. On the one hand, the subject of society, man as such, is a natural-scientific and, consequently, logical, transhistorical concept. On the other hand, man acquires his social significance in accordance with his specific nature in his *natural constitution* only under certain historical conditions, approving him in an *adequate juristic* form. Only the *formal-juristic* concept of the autonomous individual actually determines the significance of *man as such* as subject of society, and hence shows this nature of man in historical light. Conversely, the social form of a slave, as is already well known to us, determines his significance

in society as a thing, and this significance of him remains that which is practically significant, although the slave is a man in his innate nature.⁴²

This quotation unveils brilliantly all the basis of Shabs's construction. The social and historical is identified with the formal-juridical. As the characteristic feature of the commodity economy is recognised the 'formal-juridical concept of autonomous individual', and this concept is considered as adequate to the 'specific nature (of man) in his natural state'. The meaning of this philosophy is clear. The 'specific nature (of man) in his natural state' has existed since long ago. In societies founded on a juridical inequality of persons (for example, in slave or feudal societies), this 'natural state' of man is not 'practically significant'. It acquires a practical significance only in the commodity economy, in the 'equivalent' juristic form of the autonomous individual. Here man appears already 'not as a tool for obtaining products, but in the full significance of a social subject, formally, i.e., *abstractly unlimited in his autonomy*, freed from 'natural connections', and therefore contraposed from this point of view to the remaining nature' (p. 30 [emphasis is in original but not reproduced in Rubin's quotation]). While Marx considers the concept of autonomous individual as an 'anticipation' and expression of bourgeois society, Shabs considers bourgeois society as the actualisation and practical realisation of the innate nature of the individual.

If we have expanded in such detail on the views of Shabs, it was not only for showing what kind of jumble of ideas our author presents in pretending to the knowledge of the most orthodox Marxist. For us the description of the views of Shabs represents a particular importance as the social-philosophical basis of his theory of abstract labour. Shabs is consequent enough to draw a complete analogy between the character of the individual and the character of his labour (pp. 98–9). In like manner as an 'innate nature' of man exists, there exists an innate nature or 'physiological essence of abstract labour as such' (p. 95). Human labour as such or abstract labour as such corresponds to 'man as such'. But in societies founded on an inequality of persons, the innate nature of labour as well as the innate nature of the individual does not yet receive a 'practical' or 'social significance'. It acquires this only in the commodity economy: here the innate nature of the individual receives an adequate form of realisation in the formally-independent commodity producer; at the same time 'purely human' or abstract labour as such acquires a social significance and becomes social (or economic) labour.

42 Shabs, *ibid.*, p. 98 [p. 700 in the present translation]. Emphasis added.

The representation of a 'natural individual' is that fundament on which is built the theory of Shabs on abstract labour. A naïve social philosophy of the 'natural individual' lies on the basis not only of the construction of Shabs, but also of the representations of Dashkovsky and many other 'moderate' physiologists. But in Shabs this connection appears in a more unveiled and clear form. For us it would be enough to confirm this connection in order to refute in advance the entire theory of Shabs on abstract labour as methodologically false. But in order not to leave the reader in any doubts about the falseness of those *conclusions* at which Shabs is obliged to arrive in his theory of abstract labour, we are to subject this last point to a particular examination.

2.3 *Abstract Labour and Economic Labour*

In the debate between the proponents of the physiological and the sociological understanding of abstract labour, Shabs occupied a peculiar position. On the one hand, he calls 'absurd' Dashkovsky's assertion that the historical categories are manifestations of transhistorical laws (p. 68, note). From here it follows that the historical category of value cannot serve as an expression of the transhistorical category of labour, understood in the physiological sense. But, on the other hand, Shabs neither agrees with my conception of abstract labour, since, in his opinion, 'non-dialectically' rupture the social form of labour from its physiological essence. Shabs therefore proposes his own solution to the problem. He distinguishes two categories: '*abstract*' labour and '*economic*' labour. Of the neglect of this distinction Shabs accuses not only me and other Marxist economists, but also partially Marx himself.

To describe in a more or less understandable way the ideas of Shabs on abstract and economic labour is sufficiently laborious. If in other parts in his work Shabs creates most serious confusion in describing the ideas of his opponents, in the given question he creates no less confusion in describing his own ideas. In view of this, we give word for word some quotations in which Shabs tries to elucidate the meaning of these two terms.

In like manner as in a social individual in his specific meaning, when he appears in a social relation to another individual (for example, in the relation of labourer to capitalist), his innate nature is erased but not generally removed as the natural bearer of social form, also economic labour, i.e., social labour in commodity society, erases in this functional form of it the physiological essence of abstract labour as such, but in no way removes its immanent substantial essence equally as the natural bearer of social modality; without the realisation of human labour as such there exists neither its concrete-technical manifestation in a material process nor its

economic manifestation in a social process. Abstract labour as such, as a physiological phenomenon, is connected with economic labour by the dialectical connection, as 'difference' not separable from 'identity'. Such an understanding of the problem leaves room for doubts and dissidences ... only to metaphysicians.⁴³

In another place we are told that abstract labour

is determined as a physiological phenomenon in its direct objective character; here in this expression it acquires social significance only under a definite social form of organisation of social labour, which is socially connected on the basis of the abstract determination of labour and thereby determines it as a historical social form of labour, as an economic category. Within the bounds of the latter functional expression, the substantial essence of abstract labour is exhausted, putting forward in this economic aspect the social essence of its entity, indifferent to its innate nature.⁴⁴

We cannot say that the above formulations distinguished themselves for sufficient clarity and gave a sharp representation about precisely what Shabs understands by 'abstract' labour and 'economic' labour. Let us try, however, in juxtaposing the above formulations with the whole series of other places from his work, to obtain an idea about his way of thinking as far as possible, in spite of the confusedness of description.

Shabs seems to view the matter as follows: 'Abstract' labour 'is determined as a physiological phenomenon in its direct objective character' (p. 116). In this is included its 'immanent substantial essence', or 'innate nature' (pp. 95, 116). This 'abstract labour in its direct physiological character' represents a transhistorical category, independent from the social form of economy (p. 128). But does this mean that abstract labour is a 'phenomenon, *socially significant* under any social form of economy' (p. 35)? No, answers Shabs. Although human labour as such always existed, it was not always endowed with social significance.⁴⁵

43 *ibid.*, p. 95.

44 *ibid.*, p. 116 [p. 703 in the present translation].

45 What role did this labour play before the appearance of the commodity economy? To this question it is not easy to obtain an answer from Shabs. On page 132 we read: 'To all the other preceding forms this determination (of 'labour' as such) is generally 'applicable,' but at the same time it is socially insignificant, 'unactual.' If the reader, relying on the shadow

And why it is so is completely understandable. The circumstance that a slave, for example, regards his labour as human labour does not make this labour socially significant, exactly in the same way as the bases of slavery are not affected by the fact that slave considers himself as a human being but not as a *res vocale* [cf. p. 682 in the present translation [original note 41]]. As long as the slave is not freed from the conditions of slavery, he does not become a *human being in social importance* (although he represents himself as such in his physical nature), and his labour in the society of slave owners will be considered as a material-technical factor and that's all, as the energy of a machine, only one possessing the gift of speech.⁴⁶

From the above quotation we can already understand exactly what is required for abstract labour, i.e., human labour as such, to acquire a 'social importance'. For this it is required that producer be liberated from the personal dependence and considered as 'man in the social meaning'. This takes place in the commodity economy: 'the relation of man to man is built here on the basis of a *bilateral manifestation of intention*, as between two parties of equal right' (p. 94. Emphasis added); here human labour as such becomes the basis of the social connection among people. Abstract labour acquires in a society of commodity producers of equal right a particular 'socially significant functional form' (p. 128 [p. 704 in the present translation]) and is transformed due to this into 'economic' labour (which Shabs also calls 'social'). If abstract labour is a *transhistorical* category, economic labour is a *historical* category, specifically inherent in the commodity economy (pp. 99, 128). The *value* of the products of labour is an expression precisely of *economic* labour, but not of abstract labour as such (p. 98 et al.).

Now we can take notice of the basic traits of resemblance and difference in the constructions of Shabs and Dashkovsky.⁴⁷ Both of them, while Dashkovsky

of Dashkovsky for help, thinks that the question is about the existence of abstract labour 'in concept,' on the following page another riddle is waiting for him. It will turn out that in the foregoing historical epochs 'neither in reality nor in *concept* there is anything in common among existing forms of labour, although an objectively physiological commonality of labour expenditures is naturally 'applicable' to such an epoch also' p. 133 [p. 706 in the present translation. Emphasis added. Random quotation from Shabs's text with several words and phrases added by Rubin].

46 *ibid.*, p. 35. Emphasis added [p. 682 in the present translation].

47 Cf. Dashkovsky's article in *Under the Banner of Marxism*, 1927 [sic], no. 6. ['Abstract Labour and the Economic Categories of Marx', *Under the Banner of Marxism*, 1926, no. 6, pp. 196–219. Cf. pp. 632–61 in the present translation].

being not so consistent as Shabs, recognise abstract labour as such as a *physiological* and *transhistorical* category. Both of them recognise (here again Dashkovsky is less consequent) that only in the commodity economy does this abstract labour acquire factually a 'social significance'. But, while Dashkovsky thinks that this conversion did not in the least change the 'qualitative nature' of abstract labour itself, Shabs considers that, due to its new social function, abstract labour acquired also a new qualitative nature in transforming into 'economic' (or 'social') labour. If in Dashkovsky abstract labour remains 'identical' to itself for all the duration of historical development, in Shabs abstract labour and economic labour are tied with a dialectical connection of 'identity' and 'difference'. Economic labour is, on the one hand, the same abstract labour in a definite social form; on the other hand, it is distinguished from abstract labour in the physiological sense. While in Dashkovsky there exists one category of abstract labour, Shabs builds two categories: abstract labour and economic labour. Therefore, value is considered by Dashkovsky as an expression of abstract labour, but by Shabs it is regarded as an expression of economic but not abstract labour.

Before proceeding to consider how far the complex construction of Shabs corresponds with Marx's theory, it is necessary to point out that in Shabs himself the central point of his construction (the problem of the relation between abstract labour and economic labour) is described in a highest degree of confusion. Economic labour 'erases', but does not 'remove' the physiological essence of abstract labour. What does this mean? Does not Shabs want to say that physiological labour is only a precondition of economic labour, representing a purely social magnitude, in which the physiological character of labour 'is erased'? On the other hand, such an understanding would contradict the construction of Shabs, who severely criticises my *Essays on Marx's Theory of Value* precisely for the fact that I allot to physiological labour only a role of precondition in relation to abstract labour (which corresponds in my understanding approximately to what Shabs calls 'economic' labour). But, on the other hand, we find in Shabs not a few expressions seemingly supporting this understanding. For example, in the above quotation Shabs says that the 'social essence' of the entity of abstract labour (i.e., its entity as economic labour) 'is *indifferent* to its innate nature' (p. 116 [emphasis added]), i.e., to its physiological nature. On page 99 we find the same: 'the physiological character of labour is not removed in this case, but it becomes in this immanent *natural* existence *indifferent* to a given social existence' (emphasis added). Let us point out incidentally that the assertion of the 'indifference' of the physiological character of labour 'to the given social existence' of it would ill conform to the fundamental proposition of Shabs that the physiological character of labour acquires a 'social reality' or

'social significance' only in the form of 'the given social existence' of it (as economic labour).

Let us, however, leave aside these unclarities and contradictions in the constructions of Shabs. It may be that with extreme endeavours he will somehow succeed in removing them and elucidate for us in an understandable language precisely how he thinks about the connection between abstract and economic labour. But what he can never succeed in is bringing his constructions into accordance with Marx's *theory*. Shabs far diverges from Marx on two points: 1) in place of the category of abstract labour he poses two categories: *abstract* and *economic* labour; 2) he asserts, that *value* is an expression of economic labour, but not of *abstract labour*.

Shabs asserts, without any foundations for this, that I bring into the theory of value 'supplements' not corresponding to Marx's theory. But, I assert, each of the 'supplements' I proposed is not only in full correspondence with Marx's theory, but is also consolidated by me with a great number of direct statements of Marx's. I consciously avoid making use of such a kind of quotations from Marx as do not find for themselves support and sustenance in many other statements of his expressing the same idea. But our rigorous critic creates with ease 'supplements' without the least support in Marx's text and acutely contradicting his theory of value. Let us examine in order both of Shabs's 'supplements'.

Is it true that Marx sees in value an expression of economic labour but not of abstract labour? Is it true that Marx builds, along with the category of abstract labour, still another category of economic labour? Shabs cannot bring out any proof in favour of these assertions of his. For the purpose of creating an appearance of justification for the use of the new term 'economic' labour, Shabs quotes the following words from the 'Introduction to a Contribution to the Critique of Political Economy': 'Labour seems to be a very simple category. The notion of labour in this universal form, as labour in general, is also extremely old. Nevertheless, economic labour in this simplicity is considered just as modern a category as the relations which give rise to this simple abstraction' (pp. 14, 100 [MECW/28, p. 40, MEGA, II/1.1, p. 38. Slightly modified according to Shabs's quotation]). Relying on this quotation, Shabs makes a declaration, on the first pages in his book, about the discovery he made, i.e., the distinction of 'abstract' from 'economic' labour. To this discovery our author assigns an extremely important significance: it must once and for all put an end to the debate between proponents of sociological and physiological version of abstract labour. This debate has as its source nothing more nor less than an 'almost incredible misunderstanding' (p. 14), which our perspicuous author is called to scatter: the proponents of both of these versions did quite simply not notice that along

with the concept of abstract labour there is in Marx still the concept of economic labour.

[H]owever this might appear paradoxical at first sight, the fundamental source of the dispute, remaining unresolved up to the present, is the almost incredible misunderstanding uniting both of these approaches to one and the same initial error. Both proponents and opponents of the previously prevailing interpretation directly identify, in equally relying on the works of Marx, without any scientific grounds the concepts of 'abstract' and 'economic' labour, which are congeneric but nonetheless not identical, far from overlapping one other.⁴⁸

The initial error, pointed out above, i.e., the direct identification of economic with abstract labour, leads in different ways proponents of various points of view to the fallacious interpretation of the problem, and Marx's theory of labour is not correctly reflected in any of them.⁴⁹

Shabs, as he appears with a discovery which any one Marxist has not known till now, should have brought forward weighty evidence in its favour. Indeed, it is not without reason that our author comments so disdainfully on every Marxist, i.e., 'the proponents as well as opponents of the interpretation which was earlier predominant', who stated their opinions 'without any scientific grounds'. What 'scientific grounds' does our perspicuous author advance in favour of his discovery? Marx speaks many times of abstract labour and in spite of this he never mentions something like 'economic' labour, allegedly distinguished from abstract labour. If Shabs did not manifest the 'almost incredible' thoughtlessness in respect of 'scientific grounds', which should have consolidated his assertions, he should not have decided to build his discovery on the above quotation from Marx. In any case, he should have regarded it necessary to return to the original, and, so doing, he should have been convinced that this time as well as previously this discovery has as its source an 'almost incredible misunderstanding': this time too Shabs fell victim to an inexact translation of Marx. About whatever 'economic' work of Marx's the question might be, everyone who gives a glance into *Kritik der politischen Oekonomie* (1907, p. 39), can be convinced of this. Here he writes: 'Nevertheless, labour in this simplicity is economically considered just as modern a category as the relations which give rise to this simple abstraction'.⁵⁰

48 Shabs, *ibid.*, p. 14 [p. 664 in the present translation].

49 Shabs, *ibid.*, p. 15 [p. 665 in the present translation].

50 The original text runs as follows: 'Dennoch, oekonomisch in dieser Einfachheit gefasst, ist

Marx's idea is completely clear: insofar as the concept of 'labour in general', 'labour in its simplest form' is considered from the economic point of view (and not from the physiological, psychological point of view and so on), it represents a 'modern category', characterising the commodity-capitalist economy, namely the category of abstract labour forming value. That abstract labour, on which Marx builds his theory of value, is also labour, considered from an economic point of view. The category of *abstract* labour is also a fundamental *economic* category of Marx's theory of value. Marx never speaks about 'economic labour', of whatever kind it may be.⁵¹

Although Shabs does not suspect that here once again he fell victim to an inexact translation of Marx, he cannot but direct attention to that strange circumstance that Marx nowhere draws distinction between abstract labour and economic labour. Shabs also raises this question: 'why does Marx *repeatedly* admit in *Capital* inaccuracies in *word usage* when determining value here as the expression of abstract labour, there of social labour, whereas value as a social category can be only the expression of the latter but not of the former' (p. 98. *Emphasis added*). Shabs gives two reasons for explaining why Marx admits 'an inexact word usage'.

If in spite of this Marx did not give to this interrelation (between abstract and economic labour – *I.R.*) a sufficiently *articulate and exhaustive clarification* in *Capital*, this fact may be partly explained by Marx's attention having been too much absorbed for demarcating the opposite concepts of concrete and abstract labour; but they are separated in their essence by such a profound and impassable abyss ... that the theoretical distance between abstract and economic labour became in his eyes, so to say, quite insignificant. ... This can be partly explained also by the fact that Marx

Arbeit eine ebenso moderne Kategorie', and so on. Shabs should have read in the second edition of *Fundamental Problems of Political Economy* [cf. *sopra*] (1924, p. 26), where the translation of 'Introduction to a Contribution to the Critique of Political Economy' is given in a revised form, and not in the form: 'Nevertheless, economic labour in this simplicity is considered just as modern a category', and so on.

51 For the purpose of alleviating his divergence from the terminology of Marx, Shabs uses from time to time the term 'social' labour in place of 'economic' labour. But this cannot rescue Shabs. The difference between abstract and social labour has an entirely different meaning for Marx and for Shabs. For Marx abstract labour is a variant of social labour, namely social labour in that specific form which it has in the commodity economy. But for Shabs the matter stands the other way around: social (i.e., economic) labour is a variant of abstract labour, namely abstract labour in that specific form which it has in the commodity economy. On the given problem as also on many others, Shabs makes a caricature of Marx and declares that this is the authentic Marx.

does not consider *abstract* labour as the function of *men in general* in their direct connection with each other (as this takes place in physiology), but as the function of social man, the *commodity producer*, ... so that the convergence of these concepts practically attains to that limit at which remains only one conditional theoretical demarcation of them ...⁵²

In this way, Shabs's first explanation boils down to the fact that the problem of contraposing abstract and concrete labour '*obscured* from Marx's view the necessity of demarcating these two debatable but not identical concepts: abstract and economic labour' (p. 100. *Emphasis added*). It is horrifying to hear such an explanation from Shabs, who pretends to the role of a most devout commentator of Marx. Shabs accuses the others that they introduce 'supplements' into the theory of Marx, while in fact he brings in a distinction between abstract and economic labour entirely unknown to Marx. Shabs accuses me as if I 'criticised' Marx and accused him of 'contradictions', whereas he asserts that Marx was not aware of the 'necessity of distinguishing' those concepts, to which he, Shabs, attaches a decisive significance for understanding Marx's theory. Shabs throws with ease on the 'proponents and opponents of the interpretation which was earlier predominant' the accusation of their having stated an opinion 'without any foundations', while he himself considers as sufficiently 'scientific foundation' the appeal to an alleged absentmindedness of Marx.

If Shabs in his first explanation accuses Marx quite simply that he 'left at large' the difference between abstract and economic labour, he is obliged in the second explanation to recognise that Marx had very serious foundations for considering abstract labour as economic labour, i.e., as a social and historical category. As Shabs himself recognised, 'Marx does not consider abstract labour as the function of men in general ... but as the function of social man, commodity producer' (p. 100). Let us remember that, according the terminology of Shabs, abstract labour, considered as a function of the commodity producer, does not mean abstract labour 'as such', but 'abstract labour in its economic meaning', in other words, 'economic labour'. Consequently, from the words of Shabs himself we can draw the following conclusion: Marx considers labour not as abstract labour as such, but as economic labour. In other words, Marx understands by labour not physiological labour as such, but labour organised in a determinate social form. But indeed, the *core of the debate* between proponents of the sociological and the physiological versions of labour is *contained* precisely in this. Precisely on *this* decisive point Shabs is obliged to recognise

52 Shabs, *ibid.*, p. 100 [pp. 99–100. *Emphasis added*, p. 702 in the present translation].

the bankruptcy of that naïve representation according to which Marx understands by labour a 'function of man in general' or the expenditure of human energy in physiological meaning.

Thus, Shabs himself is obliged to recognise that Marx takes up as the object of his research labour as a function of the commodity producer but not as a function of man in general. But at the same time, we know that Marx constantly calls this labour abstract. Then isn't it evident that for Marx *abstract* labour means labour as a function of the *commodity producer*, but not labour as a function of 'man in general'? Isn't it evident that Shabs only introduces an extreme confusion in applying the term 'abstract', in contrast to Marx, precisely to the latter labour but not to the first (for which he invented the term 'economic')? What Shabs calls *economic* labour bears for Marx the name of *abstract* labour⁵³ and comprises the direct object of his research, and what Shabs calls *abstract* labour is nothing other than *physiological* labour, constituting a precondition but not the object of Marx's research. Every Marxist knows that in Marx's theory of value labour is called abstract labour, and is nowhere called economic labour. However, Shabs, owing to the terminological confusion he creates, must arrive at the conclusion that economic labour and not abstract labour as such is for Marx an object of research. Why does he ever confuse with novel terms a problem which is already complex and confusing even without them? Would not it be better to follow the example of Marx and apply the term 'abstract' to the labour of the commodity producer, but not of 'man in general'?

Behind the terminological confusion created by Shabs, we have found in him a valuable recognition that 'abstract labour as such', i.e., physiological labour as such, is not an object of research for Marx. Furthermore, Shabs is obliged to recognise that this labour in general is not an object of research in political economy. 'Abstract labour is not considered in political economy as the function of man as such (in his natural significance), but as the function of social man, i.e., the commodity producer' (p. 99, and also p. 135). From this second valuable recognition of Shabs's we can draw conclusion: the labour which is an object of research in *political economy*, particularly in Marx's theory of value, does not represent a physiological and transhistorical category, but a *social and historical* category.

Finally, Shabs makes a third and still more important recognition when he asserts that 'abstract labour as such' does not form value and *does not find its expression in value*. In the opinion of Shabs, 'Marx repeatedly admits in *Capital*

53 Therefore, we accept very willingly the accusation of Shabs, who says that 'Rubin uses 'abstract labour' everywhere entirely in the meaning of economic labour' (p. 19, note 9 [p. 669, note 9 in the present translation]). Precisely in this meaning the term 'abstract labour' is used by Marx.

inaccuracies in word usage when determining value here as the expression of abstract labour, there of social (i.e., 'economic' – *I.R.*) labour, whereas value as a social category can be only the expression of the latter but not of the former' (p. 98. Emphasis added [?]). Here Shabs turns out to be more consistent and courageous than I. Dashkovsky. The latter asserts that the 'transhistorical' category of abstract labour finds its expression in the 'historical' category of value. But Shabs calls absurd the assertion of Dashkovsky that 'historical categories are manifestations of transhistorical laws' (p. 68, note). But while value is a historical category, abstract labour as such is recognised by Shabs as a transhistorical category. In this way, there remains for Shabs no other escape route than to recognise that *value is not an expression of abstract labour*.

This conclusion of Shabs represents for us a twofold importance. First, it clearly shows that that abstract labour which, according to the theory of Marx, forms *value* and finds its expression in *value*, represents a social and historical category. Secondly, with his conclusion Shabs reduces to an absurdity not only his own construction but also the physiological version of abstract labour in general. All of Shabs's confused reasoning and terminological innovations lead him to the conclusion that abstract labour: 1) *does not constitute an object of research in political economy* and in particular in Marx's theory of value; and 2) *does not find its expression in value*. But indeed, both of these propositions acutely contradict Marx's theory. Marx makes precisely of abstract labour the object of his research. It is precisely abstract labour which forms value according to Marx's theory, and which finds its expression in value. The concept of abstract labour is introduced by Marx in science precisely in order to elucidate value. But Shabs asserts that value is not an expression of abstract labour. With this conclusion Shabs safely reduced his construction to an absurdity.

We can be grateful to Shabs. Not only did he perform himself the work of *reductio ad absurdum* of his own construction for us. His example also illuminates brightly that path which all 'physiologists' will probably be obliged to take. In view of the critique of the physiological understanding of abstract labour which I gave in *Essays on Marx's Theory of Value*, Shabs cannot but recognise that physiological labour as such does not form value. But since Shabs is not disposed to reject the physiological understanding of abstract labour, no other escape route remains for him than to recognise that abstract labour does not form value and does not find its expression in value. To deny to abstract labour the capacity of forming value, or the *rupture between abstract labour and value*: such is the conclusion to which necessarily leads the physiological understanding of abstract labour. Signs of such a rupture are found also in I. Dashkovsky. But Dashkovsky still kept a weak tie connecting value with abstract labour in admitting that the transhistorical category of abstract labour

finds its expression in the historical category of value. Shabs, through whose attention the methodological falseness of such an admission did not slip, was obliged to cut this tie off and declare that abstract labour does not find its expression in value; this is an assertion acutely contradicting Marx's theory of value. A. Cohn approached the same assertion in the discussions on my lecture 'Abstract Labour and Value in Marx's System'.⁵⁴ The more closely the proponents of the physiological version of abstract labour follow in this problem the example of Shabs, the more clearly the reader will grasp how much this version contradicts Marx's fundamental theory of value.

3 Reply to A. Cohn^{55[556]}

In his *Course of Political Economy*, which appeared at the beginning of 1928, A. Cohn criticises my *Essays* with regard to the problems of abstract labour and socially necessary labour (pp. 47–56). In the same way, in his article published in *Bulletin of the Communist Academy* [in the following, В.С.А. for short] [*Вестник Коммунистической академии*] (1928, No. 25, 'Некоторые замечания моих критиков в свете Марксовой теории [some observations on my critics in the light of Marx's theory]', стр. 256–79, pp. 707–37 in the present translation with the original page numbers put between slashes), he allots considerable attention to the 'Rubin school' (to which, incidentally, he enumerates also G. Abezgauz, G. Dukor, and A. Notkin, who diverge from me in a series of essential respects and for whose views I cannot in the least take responsibility) [cf. pp. 723–4 in the present translation. The circumstance that Cohn's book is intended to serve as a teaching material for universities induces me to examine the views of Cohn on the problems at issue, and also to consider those critical arguments advanced by him against my interpretations of these problems.

[556] Published for the first time as an appendix to the third edition of *Essays* in 1928.

54 I. Rubin, *Abstract Labour and Value in Marx's System*, RANION edition [РАНИОН, акроним for Российская Ассоциация Научно-исследовательских Институтов Общественных Наук (Russian Association of the Institutes of Scientific Research of Social Sciences)], 1928 [first published in *Under the Banner of Marxism*, 1927, no. 6, pp. 88–119, under the title of Абстрактный труд и стоимость в системе Маркса. Cf. pp. 530–66 in the present translation].

55 This article was written after the appearance of the first edition of Cohn's *Course*. In the second edition Cohn modified some formulations.

3.1 *Abstract Labour*

A. Cohn declares, in complete accordance with his fellow Marxists, that abstract labour is the substance of value. 'Abstract and socially-necessary labour is the basis of value, its substance' (*Course*, p. 55). But this proposition still assumes too general a character to be contented with it. This proposition must still be deciphered, but for this it is necessary to answer the following three questions:

- 1) what is value?
- 2) what is substance?
- 3) what is abstract labour?

A false understanding of even one of these three categories will already represent a serious danger for a correct understanding of Marx's theory of value. But Cohn, as we will see, has managed to introduce considerable confusion into the understanding of all three categories given above.

Let us begin with the first question: what is value, according to Cohn? Let us remember, that, in Cohn's opinion, labour is the substance of value. When we ask, what does he call value, we get the answer: 'That labour which is spent on the production of a commodity, is called the *value of the commodity*' (*Course*, p. 37); 'precisely these labour expenditures represent the value of commodities' (p. 38). The reader can see what a strange proposition Cohn derives: 'labour is the substance of value'. But what is value? 'It is labour'. In this way, the whole proposition of Cohn boils down to the following conclusion: 'labour is the substance of value', or 'value is the substance of value'. In both cases we obtain a tautology, and this tautology results from the fact that Cohn did not attempt seriously to expand on the question of what is value, preferring on some points to identify value with labour. The same identification can be found in Cohn's earlier work, *Theory of Industrial Capitalism* (1923, p. 11), in which he wrote: 'The *quantity of labour*, spent by society on the production of a given commodity, serves as the basis of its exchange value and is *called value*' (emphasis added).

Indeed, for the purpose of justifying himself Cohn relies on the close connection between labour and value, which, in his words, makes 'impermissible every attempt to sort them out rigorously one from the other' (Cohn's article in *B.C.A.*, 1928, no. 25, p. 264). Cohn attributes to me an attempt to 'dismantle Marx's terms into pieces to be placed in different drawers or on different shelves in dividing rigorously the concepts hidden behind them one from the other' (*ibid.*, p. 266). This accusation has no grounds. In *Essays* (second edition, p. 209), I wrote that 'Marx's dialectic method excludes for him the possibility of giving once for all fixed and unchanging concepts and terms corresponding to them' [in Appendix 1. 'On the Terminology of Marx', cf. pp. 347–51 in the present translation]. But from here we must in no way draw the conclusion that 'the

attention of the founders of Marxism was never directed on a rigorous accuracy of these concepts' (Cohn in *B.C. A.*, p. 264). In particular, for Marx labour and value must be divided one from the other. In his last article (*B.C. A.*, p. 266), Cohn himself was obliged to recognise that in Marx labour and value are 'far more rigorously' distinguished from one another, but it was a pity that Cohn had not introduced this distinction in his *Course*. Now he became partly aware of this mistake, and in his article (p. 264) draws a distinction between labour and value. We will therefore expect that he will further correct his mistakes, so let us leave aside the question of value for the moment.

Let us move to the following question: what is substance according to Cohn? Above all the reader's attention cannot but be attracted by the fact that A. Cohn proposes to replace the term 'substance', often used by Marx, with the term 'basis'. There would have been no problem in this if Cohn had used the latter term in a strictly determinate sense. But, unfortunately, A. Cohn creates terrible confusion in applying arbitrarily the term 'basis' to very different phenomena, and depriving the concept of substance of all determinateness. Let me give at random some examples. On page 55 of the *Course* we have already read that labour is 'the basis of *value*, its substance'. On page 37 we see, to our surprise, that labour 'is the basis of *exchange value* and forms its substance'. If from here we take it into our minds to draw the conclusion that value and exchange value are one and the same, on page 38 a disappointment awaits us: it turns out that *value* is 'the basis (substance) of *exchange value*'. Adding to this that the 'labour expenditures of producers are the basis of *exchange proportions*' (p. 21), we can expect that the reader will agree with us in that the concept of 'substance (basis)' has an extremely indefinite meaning for Cohn.

After these short remarks on the use of the terms 'value' and 'substance' in Cohn, we move now to the central question of what abstract labour is. To this question we find in Cohn the following definition: 'All labour appears as an expedient expenditure of physiological energy, and that's all' (*Course*, p. 23). 'Abstract labour represents an expedient expenditure of the physiological energy of man' (*ibid.*, p. 52). Naturally, Cohn knows well that from this concept of physiological labour we cannot at all pass to value. In order for physiological labour to find its expression in value, as a social form of a product, it must still itself become social labour. Therefore, Cohn makes the following declaration: 'Values are created by *abstract* labour (of course, in the physiological meaning of this word). However, for labour to create value, it must be *not only abstract, but also social labour*' (*Course*, p. 54). In deciphering this phrase, we obtain the following way of thinking. We call abstract labour the labour in the physiological sense of the word, but this abstract labour does not in itself create value. Only when this abstract labour assumes a definite social form and

becomes social labour (namely labour directed on the production of commodities), does it form value. On this question Cohn arrives at the same conclusion as does Shabs. In Cohn's opinion, we must reject the understanding of abstract labour as labour forming value. These are two different concepts. Labour, forming value, has various features: it is, on the one hand, abstract and physiological labour, but on the other hand, it is social labour, organised in a determinate social form. Only when abstract labour becomes social is it transformed into labour forming value. Insofar as it is only abstract and physiological labour, it is not labour forming value. Shabs went still farther this way and declared frankly that value is not an expression of abstract labour, and that abstract labour as such does not form value.

It is necessary to point out that this new proposition of Cohn's and Shabs's can be considered as a concealed refusal of the ordinary point of view of the 'physiologists'. In what, in fact, did the central object of the debate consist? The object of the debate was over those features which should characterise labour forming value. It was precisely about this point that we debated. I objected precisely against the fact that labour forming value is usually defined cursorily and superficially as an 'expenditure of physiological energy, and that's all'. I showed that physiological labour is not that labour which forms value; and since in Marx abstract labour is considered as that aspect of labour which forms value, we must say to the 'physiologists': do not confound your concept of physiological labour with the concept of abstract labour.

We can now note the following progress: even the 'physiologists' recognise that the labour forming value cannot be characterised as an 'expenditure of physiological energy, and that's all'. This characterisation of labour is, in the opinion of the 'physiologists', insufficient for obtaining the concept of labour forming value. Labour forming value must be a social labour, possessing the social form inherent in the commodity economy.

Let us now examine in essence the attempt to separate the concept of abstract labour from the concept of labour forming value. How can we reconcile the assertions of Cohn and Shabs that abstract labour as such does not form value with Marx's constant indications that labour forms value precisely as abstract labour? How can we reconcile these views with Marx's numerous indications that labour forming value is characterised above all as abstract labour, that abstract labour is a specific, social form of labour, that value is formed only by abstract-general labour, arising from the alienation of individual labour?

Cohn arrived at the conclusion that the concept of abstract labour, which is physiological labour and still not labour forming value, is in itself a '*logical*' category and neither an '*economic*' nor '*historic*' category (*B.C. A.*, p. 270). That

is, the category of abstract labour is neither an economic nor historical category, while Marx builds precisely upon this category his understanding of value and constantly points out that value must be deduced from the social form of labour.

Now let us raise the following question to our critics: when Marx claimed the credit for the discovery of the twofold nature of labour as concrete and abstract, what exactly did he claim for himself? Was it that he correctly understood the physiological nature of labour, or else that he understood that value can be deduced only from social labour? In order not to leave any suspicion on this question, we advise the readers to read the short section 'Historical notes on the analysis of commodities' at the end of Chapter 1 of *A Contribution to the Critique of Political Economy*. In this section Marx aims at showing the provenance of the theory of the twofold nature of labour. Here we can well expect from Marx clear indications about precisely what the progress of economic thought consists in, as far as the question is about the problem of abstract labour: whether in the understanding of the peculiarity of the physiological nature of labour, or in that of the form of its social organisation. Marx's answer does not leave any doubt in this respect.

In this section Marx unveils the errors of his predecessors, who understood that labour forms value, but did not know precisely what labour does so. Marx criticises the views of Petty, Boisguilbert, Smith, Steuart, and others. Does Marx here truly accuse his predecessors of not having considered labour as the expenditure of physiological energy? No, he does not at all speak about this. He accuses his predecessors because they did not understand that, when we speak of the labour forming value we speak of a social form of labour, of the bourgeois form of labour. On Petty, Marx says that he did not understand 'the specific social form in which labour constitutes the source of exchange value'. On Boisguilbert, Marx says that he confounded labour forming value with 'the direct physical activity of individuals'. Franklin, in Marx's words, erroneously considered abstract labour in the physiological sense but not as 'social labour, which is brought about by the universal alienation of individual labour'. Marx praises James Steuart for distinguishing not only the 'social form of labour' from 'real' or material labour, but also the 'bourgeois' form of labour from the other social forms of labour. Marx accuses Smith because of his failure to move from real labour to 'the basic form of bourgeois labour' [*Critique*, pp. 292–8. MEGA, 11/2, pp. 131–6]. The contraposition of 'real' labour to the social, namely 'bourgeois form of labour': here lies what Marx regards as the centre, the core of his whole theory of the twofold nature of labour.

Now we ask the following question to Cohn: if abstract labour does not in itself form value, what does the assertion that it is the substance of value mean?

What is this strange substance which does not constitute the form in which it is expressed? Indeed, Marx understood substance in the sense in which this concept is used in Hegel but not in Kant. Marx did not think that substance and form are extraneous phenomena to one another, which form a whole by means of their mechanical unification. From the point of view of Marx, only that phenomenon which creates value with its development can be called the substance of value.

Analysis of labour forming value was the fundamental objective of Marx. Starting from this analysis, he showed us the distinction of determinations and elements of this labour, as social, abstract, simple, and socially-necessary, and at the same time that all these elements are inseparably connected and appear as determinations of one and the same labour forming value. Cohn behaves otherwise. First, he takes up the concept of physiological labour; this concept is, in his own words, not 'historical' and even not 'economic'. Then he adds to it features of social, simple, and socially-necessary labour. As a result of such a mechanical addition of individual features, Cohn receives the concept of labour forming value, whereas Marx starts from this labour as a single unity, and finds individual determinations as elements of this single labour. Whereas for Marx the question is about the twofold nature of labour, Cohn would have had to speak about the trifold nature of labour as concrete, abstract, and social. In fact, for Cohn labour exists above all as concrete, then labour exists as abstract and physiological, and, finally, as social.

Cohn says that we are prohibited from disconnecting the social aspect of labour or social labour from material production. Therefore, labour forming value must have, in his opinion, two features: it must be social labour, but it must be also physiological labour, and precisely the latter comprises the 'material basis of value' (*Course*, p. 55). But, in so doing, Cohn does not become aware that he commits the following error. Whereas Marx speaks about the twofold nature of the labour which creates *commodities* (namely: as labour forming *use value*, and as labour forming *value*), A. Cohn transfers the twofold nature to the concept itself of labour forming *value*. Cohn loses sight of the fact that, when connecting value with social labour, we never cut it off from the material basis of production, since the social aspect of labour is only one aspect of a single labour, which appears simultaneously as material and social labour, concrete and abstract labour, source of use value and source of value. A. Cohn ignores the entirety of Marx's theory on the twofold nature of labour, a theory which closely connects the movement of abstract, social labour with the movement of the material-technical process of production. Not understanding that for Marx there exists the closest connection between abstract labour and the material basis of production, Cohn regards it necessary to introduce this material basis

into the concept itself of labour forming value. Cohn transfers the twofold character of labour from the labour creating *commodities* (as a unity of use value and value) to the labour forming *value*. But if Cohn assigns the twofold nature to the labour forming value, what should be said of the labour creating commodities? Seemingly, it will be necessary to recognise that it is distinguished by a trifold nature, and that this conclusion follows from the conception of Cohn.

Cohn's conception also distorts the relation between social and abstract labour. On this point as well as on many others, he comes near to the interpretation of Shabs. We see in the latter such a kind of construction: abstract labour does not in itself form value, but this abstract labour is transformed in the commodity economy into social labour and then it becomes labour forming value. In other words, according to Shabs, social labour is abstract labour in that specific form which it acquires in the commodity economy, but in Marx the matter stands the other way around: abstract labour is social labour in that specific form which it acquires in the commodity economy. The mistake of Shabs is repeated in the conception of Cohn.

Cohn makes still another concession in the last article. If he had declared earlier that abstract labour does not in itself form value, but is the substance of value, in his last article (*B.C.A.*, p. 264) he regarded it necessary to emphasise decisively that 'social (and socially-necessary) abstract simple labour in its specifically exchangeable form' is the substance of value. Now we ask Cohn: what is the substance of value? Is it 'abstract' labour (*Course*, p. 51), or 'abstract and socially-necessary labour' (*ibid.*, p. 55), or finally 'social (and socially-necessary) abstract simple labour in its specifically exchangeable form' (*B.C.A.*, p. 274)?

To admit the latter formulation, which Cohn gives in his article, it will be necessary to recognise not only that abstract labour does not form value, but also that it is not the substance of value. Cohn himself clearly wrote this when he declared that social labour in its 'specifically exchangeable form' is the substance of value. In this way, Cohn, having begun with a physiological determination of abstract labour, is obliged, for the purpose of arriving at labour forming value, to complicate gradually his understanding of labour, and at last reduces to nothing his initial understanding of abstract labour. At first he said that abstract labour does not form value, but constitutes the substance of value; he further says to us that this abstract labour is not the substance of value, but later we are told that abstract labour exists nowhere except in the commodity economy. Thus, for example, Cohn writes: 'Only in the conditions of exchange society does the equalisation of some kinds of concrete labour to others acquire an economic significance, accomplished not only in the mind of researchers but also in the real process of exchange' (*Course*, p. 53). In Cohn's new article (*B. C. A.*, p. 268), we find a similar formulation: 'in the conditions of exchange

society that reduction of concrete to abstract labour, which was at first effected by Marx only in thinking, occurs also in *objective reality*' (emphasis added). The reduction of concrete to abstract labour takes place in fact or in objective reality only in the commodity economy; outside the commodity economy it can take place only in the mind of researchers, and does not take place in objective reality. And after that he declares to us that the category of abstract labour has no historical character and is not connected with commodity economy, that 'a definite organisation of production' should not 'be introduced as a determining element into the concept of abstract labour'.⁵⁶

How can all these contradictions of A. Cohn be explained?

We will try to discover the source of these contradictions. On the one hand, A. Cohn wants to maintain the concept of abstract labour as physiological; it seems to him that without this we will rupture the connection of the phenomena of value with the material process of production, although, as we have already seen, this connection is maintained due to Marx's theory on the twofold nature of labour. At the same time, Cohn knows very well that Marx considered value as an expression of the relations of production of people, that value exists only in a determinate form of organisation of the economy, in definite relations of production of people. Here A. Cohn is faced with the following difficulty: value, on the one hand, is an expression of the relations of production of people, that is, it has a social character; on the other hand, value is the resultant or expression of abstract labour, which Cohn understands in the physiological sense.

How to get out of this difficulty? How to reconcile the determination of value as the expression of 'abstract labour' with the determination of value as the expression of 'the relations of production of people'?

From our point of view, this difficulty can be resolved very simply. Value is above all and directly an expression of social or abstract labour, and every change in the quantity of this labour is reflected in the magnitude of value (the quantity of social or abstract labour finds its exact expression in the magnitude of value, but the quantity of material labour finds in the magnitude of value only indirect expression, namely through the quantity of social labour, which is not always equal to the quantity of factually expended material labour). Precisely for this reason, Marx regards social or abstract labour as the substance of value. But social or abstract labour, which is the social aspect of the material labour process, presupposes the presence of determinate relations of production among people. Therefore we can say with equal right that value is an

⁵⁶ Cohn, *Course*, 1928, p. 53.

expression of abstract labour, or that it is an expression of relations of production of people.

A. Cohn gets out of the above difficulty by means of a particular procedure, which consists in the following. Cohn was obliged to arrive at the strange conclusion that value has a particular social 'content' and along with this a particular material 'substance'. The terms 'content' of value and 'substance' of value have in Marx an entirely equivalent meaning. But in Cohn these concepts diverge from one another. From his point of view it is inevitable to arrive at the conclusion that value has a social 'content' and a material 'substance'. Let me refer to the words of Cohn in his *Lectures on the Methodology of Political Economy*^[557] (pp. 85–6):

Social properties of things become the sole form of manifestation of exchange relations, but the relations of production in exchange society become the sole content of the social properties of things. For example, the exchange value of commodities is the sole form of manifestation of *exchange relations*, and the relations of exchange themselves are the *sole content* of exchange value.

In other places in his *Course* A. Cohn sometimes says that value has a social 'content', namely it 'represents no more than a materialisation in a commodity of the relations of production of exchange' (ibid., p. 37). 'The law of value has a profoundly social *content*, and the process of spontaneous regulation of social production is this content. However, along with this *content* the law of value has a material basis, *substance* of value' (p. 55. Emphasis added), namely abstract and socially-necessary labour.

Such seems to be the way of thinking of A. Cohn. Value is a social property of a product (Cohn cannot deny this) and therefore has as its '*sole content*' the social relations of people, or, in Cohn's words, the 'exchange relations' of people. Abstract labour, 'of course, in the physiological sense of this word', is the material '*substance*' of value. In this way, that rupture of social and material elements of value of which A. Cohn accuses me is present in him most vividly. Value is torn up by him into its two sources. It has as its 'sole content' the exchange relations of people, and as its 'substance' physiological labour. While Marx does not anywhere distinguish the substance of value from its content,

[557] Александр Кон, *Лекции по методологии политической экономики*, Гос. изд-во, 1927, originally the note for lectures Cohn delivered at Sverdlov University (Коммунистический университет имени Я.М. Свердлова) in Moscow.

Cohn reduces value to two sources and considers them each time from a unilateral perspective: on the one hand, the 'exchange relations' of people are stated as the sole content of value, i.e., the social elements of value are considered from its formal aspect and outside its dependence on the material process of production; but on the other hand, abstract labour, this substance of value, is understood as physiological labour, deprived of any definite social form. The material and social elements of value are torn apart from one another by Cohn. Each of these aspects is deprived of its supplementary features, connecting it with the other aspect. This rupture found its expression also in the rupture we have pointed out above between the characteristic of labour as *social* and its characteristic as *abstract*.

A. Cohn understands of course that that abstract labour which does not form value is not the substance of value, and is not suitable for the explanation of value. He understands that we cannot but raise the question of why this concept of abstract labour was introduced by Marx in the theory of value. In his last article in *Bulletin of the Communist Academy*, Cohn expands on this point. He says: the concept of abstract labour was necessary for Marx when he proceeded in his research analytically from value as a ready social form of a product to its source, to the substance lying at its basis. Marx considers value as an expression of social labour, but it was necessary for him to simplify this concept of social labour; it was necessary for him to take up such a simple concept of labour as does not include value in it, and therefore Marx 'reduces in the thinking' social labour to abstract and physiological labour. But when Marx attempts to set out 'on the opposite way', the way of the dialectical deduction of value from labour, he had to 'complicate' this concept of abstract labour (*B.C.A.*, p. 268), by including within it a definite social form, which transforms it into social labour forming value. Thus, it turns out that Marx needed the category of abstract labour not for the explanation of value, but only for disclosing the basis of value, which is inherent to 'all social forms' (*B.C.A.*, p. 270) and therefore has a transhistorical character.

It is self-evident that we must reduce value to simpler phenomena lying at its basis, in the last analysis to the proportional division of labour in the process of material production. But for this some steps of analysis are required. On the first step of analysis value is reduced first of all to abstract labour, i.e., to social labour in that specific form in which it exists in the commodity economy. But since abstract labour is a specific form of social or socially equalised labour, on the second step of analysis value is reduced to social labour. Moreover, social labour is in turn only one aspect of labour as a single unity, which appears, on the one hand, as social labour, and on the other hand, as material or concrete labour, that 'eternal natural necessity' in 'the material

exchange between man and nature'. In this way, in our analysis we must arrive finally at the simplest concept of labour, which is material-technical labour and at the same time represents an expenditure of physiological energy. But this concept of labour, 'inherent to all social forms', is only a precondition in Marx's theory of value; this is that basis on which the whole structure towers, which is presupposed all the time but must be in no way confounded with that abstract labour which constitutes directly the substance of value and is connected with a given social form of labour, as Marx often repeats. A. Cohn recognised, essentially against his will, what we had already to say sometimes. We can arrive at the simple concept of labour, deprived of any determinate social form, only in that case where our task is limited to the analytical reduction of value to labour. But when our aim is to show, taking the path of dialectical research, how the simplest phenomena are transformed into more complex ones, we must arrive at the concept of labour as a complex social phenomenon, inherent in the commodity economy, we must arrive at the concept of social labour in that form which it takes in the commodity economy, i.e., at the concept of the abstract labour which forms value.

Every attempt to exclude from the concept of abstract labour its social aspect and to represent it as the labour 'inherent to all social forms', not as a historical, even not as an economic category – every such attempt is reducible to an inadmissible simplification of Marx's theory and to a refusal of those rich and complex concepts which Marx transmitted to us.

After this examination of the views of A. Cohn on abstract labour, I must still expand on those accusations advanced by Cohn against my own understanding of abstract labour.

A. Cohn accuses me of neither more nor less than that I 'embarked consciously or unconsciously on fulfilling the lessons of late P. Struve' (p. 52). This is indeed an extremely heavy accusation for a Marxist! Fortunately, it can be counted among those accusations whose deceptive heaviness corresponds to a full extent to its real lightness.

On page 52 of Cohn's *Course* we read the following lengthy quotation from Struve's introduction to Marx's *Capital*:

In Marx's economic system, wrote Struve, as we have already indicated, two fundamental motives are interweaved and knitted together: 1) a mechanistic-naturalistic motive, under the influence of which Marx created his 'objective' theory of labour expenditure, as the substance and measure of value; and 2) a sociological motive, detecting behind the material shell of phenomena historically-changing relations among people in the process of production as the fundamental content of these

phenomena. It is the task of criticism to separate and to weigh critically one by one each of these motives, and after that to examine the extent to which they are compatible with one another.

After this lengthy quotation from Struve, A. Cohn did even not bother to make clear to the reader what Struve is speaking about. Struve finds a serious contradiction between Marx's *sociological* method and his theory of *labour value*. At that time Struve recognised the great achievement of Marx, who saw in the economic categories an expression of social relations of production of people. But, in Struve's opinion, this sociological theory of Marx's is in sharp contradiction to Marx's 'theory of labour as the substance of value', a theory starting from 'the mechanistic-naturalistic point of view'.

It is possible that A. Cohn was not aware that on this point Struve only expresses an opinion, widely spread till that time among critics of Marx, on there being methodological heterogeneity between Marx's theory of value, on the one hand, and the rest of Marx's economic system, on the other. Stolzmann, for example, sees a profound contradiction between Marx's 'social' theory of distribution and his 'naturalistic' theory of value.⁵⁷ The contraposition of the Marx's 'naturalistic' theory of value to his 'sociological' theory of capital can be found almost always in the writings critical of Marx.⁵⁸ Struve kept in mind precisely such a kind of contraposition when he wrote about the two 'fundamental motives' in the thinking of Marx.

Thus, the 'lessons' of the late Struve in this problem are reduced to the confirmation of an irreconcilable contradiction between Marx's doctrine that economic categories are the expression of social relations of production of people, and his 'naturalistic' theory of labour value. In my *Essays* I stood precisely on the *contrary* idea. It may be said that *Essays* was written especially for the purpose of finally *disclosing the myth of the 'naturalistic' character of Marx's theory of value*, a myth 'consciously' supported by Struve and other critics of Marxism, and 'unconsciously' shared by such followers of Marx as A. Cohn. On every page of *Essays* I try to indicate that Marx's theory of value not only does not contradict his sociological method, but also is one of the sublime accomplishments at which Marx could arrive only with the help of this method. I try to indicate that the proposition on the naturalistic character of Marx's theory of value is devoid of the slightest grounds, that the basic categories on which this theory

57 Cf. I. Rubin, *Contemporary Economists in the West* [Современные Экономисты на Западе; Отпенгеймер, Штольцман, Амон, Петри, Лифман. Критические очерки. Г.И.З., 1927], p. 150.

58 *ibid.*, p. 147.

is built (for example, value, abstract labour, and so on) have a profound social character and are expressions of the social relations of production of people.

If A. Cohn had not limited himself to becoming satisfied with the juxtaposition of my name with that of Struve, but disclosed the essence of the views of the latter, the reader of his *Course of Political Economy* (and probably also the author himself) would have easily been convinced that my *Essays* does in no way fulfil 'consciously or unconsciously' the lessons of the late Struve, but aims at refuting – in addition, very 'consciously' – the views of the critics of Marx. It is even possible that in the mind of a more or less insightful reader the following kind of idea might have appeared: Rubin refutes Struve; Cohn refutes Rubin; does not Cohn return to the views of Struve on this point? And the insightful reader would not have been entirely wrong. In fact, A. Cohn does not essentially object to Struve's opinion on the naturalistic character of Marx's theory of value and of its basic categories (value, abstract labour, and so on). Essentially, he fully shares this opinion of Struve's. The difference between them consists only in that, while Struve sees in this point the main shortcoming of Marx's theory, Cohn is inclined to see a merit. Where Struve puts a minus sign, Cohn puts a plus. Limiting himself to this change of sign, A. Cohn leaves essentially intact that crude, simplified understanding of the basic categories of Marx's theory which is shared by the critics of Marx.

So as not to be gratuitous, let me expand on the example of abstract labour. Let us read the following words:

Abstract labour is distinguished from concrete labour *only* because concrete labour is labour in a definite branch of production, directed on the production of an entirely determinate use value, but abstract labour is labour taken from the point of view of its general properties and purified from the particularities inherent to individual concrete kinds of labour.

If the reader agrees with these words, he will of course not object to the assertion that Marx considers abstract labour as 'abstract expenditure of nerval and muscular energy, independent of concrete expedient content of this expenditure, distinguished by an infinite diversity'. The reader may think that the last phrase is nothing other than a clearer and shorter resume of the ideas described in the first phrase. He may think that both sentences are written by the same author. But one of them belongs to A. Cohn, the other to P. Struve. Since the reader may be now, no doubt, embarrassed with the question of which phrase belongs to which author, we come to his aid and say that the first phrase is taken from Cohn's *Course of Political Economy* (pp. 51–2), and the second phrase from Struve's introduction to Marx's *Capital* (1906 edition, p. XXVIII). 'The abstract

labour of Marx is a physiological concept, at least ideally subject to a reduction to mechanical labour', wrote the critic of Marxism, Struve (*ibid.*, 1899 [?]). Cohn, a Marxist, repeats after him in 1928 like an echo: 'abstract labour represents an expedient expenditure of the physiological energy of man'. Is it then possible to deny the correctness of Cohn's assertion that there are Marxists who embarked 'consciously or unconsciously' on fulfilling the lessons of late Struve?

Now let us pass to the main point of accusation advanced against me by A. Cohn. Cohn says that my understanding of abstract labour cuts off the social aspect of production from its material aspect, transforms labour into some function, into an 'immaterial', and consequently 'objectively' not-existing phenomenon, according to his words (*Course*, p. 52).

Cohn seeks in my text a rupture from the material so zealously that he accuses me of no more nor less than falsification. He writes in his *Course* (p. 52) that I 'replaced' the word 'natural matter' with the word 'material'. Marx wrote that 'the value of commodities is the very opposite of the coarse materiality of their substance, not an atom of matter enters into its composition' (*Capital*, Vol. 1, 1928, p. 11 [*Capital*, 1, p. 54, MEGA, 11/6, p. 80]). I wrote that a 'single atom of material' does not enter into 'the objectivity of value [Wertgegenständlichkeit]' (*Essays on Marx's Theory of Value*, second edition, p. 99 [cf. p. 208 in the present translation 'Supplement 2: Chapter 14. Abstract Labour']). If A. Cohn had been acquainted with Marx's original text, he would not have thrown this accusation upon me. I point out first of all that in my *Essays* I never quoted my own translations from Marx, to avoid accusations of inexact translation. I took quotations entirely from the existing translation by V. Bazarov and I. Stepanov, and in those places where this translation seemed to me incorrect, I quoted from Struve's. Cohn should have checked precisely from which translation I took the above quotation. I could not quote the above passage from V. Bazarov and I. Stepanov's translation, because they translated this phrase inaccurately. In their translation the phrase runs: 'not an atom of natural matter enters into the substance of their value'; but here Marx speaks not of substance of value but of 'Wertgegenständlichkeit', which means in fact value and not substance of value (i.e., labour). Struve translates this term as 'entity of value', which is nearer to Marx's idea. Therefore, I adopted in this case the translation of Struve, in which he writes that 'not an atom of matter' enters into the entity of value. It must be noted that in the French translation of *Capital*, edited by Marx, in this place he simply writes 'material [matière, MEGA, 11/7, p. 30]', and here there exists no difference between 'material' and natural matter.

The mistake of those who accuse me of rupturing value from material content consists quite simply in their false understanding of the process itself of the materialisation of labour in value. It seems to them that, if social labour is

materialised in value, this process is not yet 'objectively existing'; in their opinion, this still requires a materialisation of material labour itself in this value. We can respond to this with the words of Marx on Smith:

The materialisation, etc., of labour is however not to be taken in such a Scottish sense as Adam Smith conceives it. When we speak of the commodity as a materialisation of labour – in the sense of its exchange value – this itself is only an imaginary, that is to say, a purely social mode of existence of the commodity which has nothing to do with its corporeal reality; it is conceived as a definite quantity of social labour or of money.⁵⁹

For the information of reader, we must explain what the words 'take something in a Scottish sense' mean for Marx. This means that the English regarded the Scottish as intellectually dull and silly, so that when one person said to another: 'you understand like a Scot', this was not taken as a compliment. You had probably better advise all the 'physiologists' to follow here the example of Marx and not of Smith so as not to understand the materialisation of labour in a Scottish sense.

Does the above mean that we rupture the process of formation of value from the material process of production? Not at all. Value is an exact expression of social or abstract labour, in which there is not an atom of 'matter'. But abstract labour is only one aspect of labour as a single unity; this is the social aspect of the same labour which appears to us, on the one hand, as social or abstract labour, and on the other hand, as material-technical, concrete labour. Between these two aspects there exists the closest connection: the quantity of abstract labour is determined by the quantity of concrete labour actually expended in material process of production. Though social labour and material-technical labour are different in their substance and not equal in their quantity (for an individual commodity or for products of one branch of production), the ultimate cause of all changes in value is to be found in changes in the material-technical process of production or in concrete labour. We have discussed this point sufficiently in our *Essays*, when we wrote that value changes depending on changes in labour productivity.

In order to rebut every accusation of rupturing value from material production, we repeat once again that the basis of every change in value lies in the material process of production, in the development of material labour and of the productive forces of this labour. If, as a result of a technical change in the

59 [Theories, 1, MECW/31, pp. 26–7, MEGA, II/3.2, p. 457].

material process of production, less concrete labour is spent on the production of a table, the quantity of social or abstract labour spent by the society on the production of a table also changes, i.e., the social characteristic (of course, quantitative) of the same labour, spent on the preparation of a table in the material process of production, changes. Once the quantity of abstract labour changed, the value of a table would also change. The driving forces leading to a movement of the whole system of values start in the last analysis from the material process of production, from the productiveness of concrete labour, but this same labour has also a social characteristic (as abstract labour), and this social characteristic of labour finds its exact reflection in value, as a social characteristic of the product of labour.

3.2 *Socially Necessary Labour*

A. Cohn objects to my understanding of socially-necessary labour. He starts from the simplified representation that the magnitude of socially-necessary labour represents in *all* cases nothing other than the *quotient* from the division of the sum of all individual labour expenditures (in a given branch of production) by the number of produced products. Starting from this simplified, mechanical-arithmetical representation, Cohn object to my opinion that the labour which is most widespread in a given branch of production should be recognised as socially-necessary.

Cohn finds a similarity between my understanding and that of Schramm.

In the opinion of Schramm, socially-necessary labour time is determined in this way *not by all social* technique, but by the *individual* technique of the most advanced enterprises. A theory which is very similar to that of Schramm has recently acquired the civil rights in our country. According to the teaching of this theory, the socially-necessary time is determined not by the average social technique, but by the technique of *predominant* enterprises.⁶⁰

First of all, in reading these words, we cannot but express an astonishment: even in Cohn's description my understanding has nothing in common with the understanding of Schramm. Schramm says that socially-necessary labour is always the labour of the *highest* productivity, applied in the most advanced enterprises. But I have objected decisively to this view, at that time widespread in Marxist literature (cf. my *Essays*, second edition, pp. 127–8, for example

⁶⁰ Cohn, *ibid.*, p. 47.

[cf. pp. 245–6 in the present translation, in Chapter 16. Socially Necessary Labour).⁶¹

Why does Cohn assert that my views are ‘very similar’ to those of Schramm? We advise the reader not to bother with this problem, the solution to which can be found quite easily. A. Cohn uses here a method ‘very similar’ to that which he used above when comparing my views with those of Struve. Since Schramm revised Marx concerning other problems (it is well known that he is one of the first authors of the so-called ‘economic’ version of socially necessary labour), A. Cohn could not refrain from the satisfaction of juxtaposing his views with mine, in order to find in them a false resemblance. Let us leave him with the innocent satisfaction and set about considering the problem in essence.

A. Cohn finds the similarity between my views and those of Schramm in the following point: ‘This theory is similar to that of Schramm in the sense that in both cases socially-necessary labour time is determined *not by all social technique*, but by the technique of a certain group of enterprises’ (p. 48). To this erroneous view A. Cohn contraposes the following arguments:

The state of social technique and the general level of development of the productive forces of a given society are characterised not by the highest

61 A. Cohn is probably not aware that this view is shared also by Marx in his earlier years, who wrote in *The Poverty of Philosophy* (Russian translation, 1928, p. 64): ‘what determines value is not the time taken to produce a thing, but the *minimum* time it could possibly be produced in’ [MECW/6, p. 119. MEW/4, p. 95. *Karl Marx Œuvres Économie 1*, préface par François Perroux, édition établie et annotée par Maximilien Rubel, Bibliothèque de la Pléiade, Gallimard, Paris, 1972, pp. 39–40. Emphasis in original]. This view of Marx’s and of many Marxists is a sane reaction to the theory of Ricardo (resumed in the present by almost all bourgeois economic schools, for example, the Anglo-American, Austrian, and others), according to which the value of products is determined by the *maximum* of labour expended on their production, i.e., by the labour of the lowest productivity. In addition, the above view, expressed by Marx in *The Poverty of Philosophy*, with all its theoretical incorrectness, had real foundations in capitalist reality. In the period when the technique of factory production penetrated for the first time more or less extensively into a certain branch of industry, in a very short time it gave rise to a steep fall of the average prices of the products of this branch. The average prices rapidly lowered to the level, corresponding to the technique of the most advanced, i.e., factory enterprises, which incomparably excelled in respect of productivity the backward handicraft enterprises, overwhelming in number until that time. Precisely for this reason, at the beginning of *Capital*, Marx speaks about the decline of English handloom weavers after the introduction of the power loom, which pulled down at once the quantity of socially-necessary labour contained in a given textile. From the point of view of A. Cohn, even in this case the socially-necessary labour time should have had to be determined by the arithmetical addition of the time, expended in huge factories, with the times expended by handloom weavers.

technical accomplishments of this society, but by the structure of its productive apparatus, by the correlation of various types of technique in this productive apparatus. Only in taking account of all kinds and types of technique applied throughout the national production of a given country, can we judge of the stage of development in its productive forces.⁶²

It is easy to see that the accusation of A. Cohn can be directed only against Schramm, and not against me. In fact, Schramm says that the socially-necessary labour time is determined 'by the technique of a certain group of enterprises', namely of the most productive enterprises. But I object to such a view. I prove that there exists no such group of enterprises (of higher, average, or lower productivity) as would regulate the socially-necessary labour time independently of a general 'structure of productive apparatus' in a given branch. I assert that each of these groups of enterprises can be a regulator of socially-necessary labour time if it is 'overwhelming'. But isn't it evident for everyone that the recognition of a given group of enterprises as the 'regulator' is possible only on the basis of an analysis of the numerical correlation of this group of enterprises with other groups, i.e., on the basis of an analysis of the entire 'structure of productive apparatus' of a given branch of production? Has A. Cohn, then, the right to accuse me of neglecting the 'correlation of various type of technique in this productive apparatus'? Has he the right to preach to me about the necessity of taking account of 'all kinds and types of technique' existing in a given branch of production? Indeed, in my *Essays* (second edition, p. 129) I wrote distinctly: 'Which labour then appears as socially-necessary depends on the *state of the productive forces in a given branch of production* and above all on the numerical preponderance of enterprises with different levels of productivity' [cf. p. 248 in the present translation, in Chapter 16. 'Socially Necessary Labour'. Emphasis added]. Precisely that formulation of the problem which I gave in *Essays* in opposition to the views not rarely found in Marxist literature started from the idea, that socially-necessary labour time is determined 'by all social technique' of a given branch of industry. But the difference between A. Cohn and myself consists in the following. Cohn presupposes that the state of this social technique is determined by the mechanical-arithmetical addition of all the individual labour expenditures in a given branch and by the division of the obtained sum by the number of produced products. But I assert that the state of social technique is determined in a more complicated way, not by arithmetical operations like multiplication, addition, and division.

62 Cohn, *Course*, 1928, p. 69.

Against my point of view A. Cohn brings forward two arguments, 'convincing' in his opinion. The first argument, he illustrates with a table on page 50, boils down to the following. Let us suppose that a given group of enterprises (for example, of lower productivity) produce 70 percent of all produce of a given branch, i.e., is preponderant in it. With time its share in the general production falls, first to 67 percent, then to 65, 63 percent, and so on, finally to 51 percent. But since this group of enterprises still procures 51 percent of all the produce, it still remains, from the point of view of Rubin, 'preponderant' and, therefore, regulating the socially-necessary labour time. In this way, such a process of gradual reduction in the share of a given group of enterprises and increase in the share of the other groups of enterprises (of higher productivity) does not exercise, in the opinion of Rubin, any influence on the magnitude of socially-necessary labour and of the value of products.

The 'persuasiveness' of the above argument of A. Cohn's is based on the two very shaky foundations. Cohn ascribes to me two absurd presuppositions, namely: 1) that the question of the 'preponderance' of one or another group of enterprises is decided by me in a simplified, arithmetical way; 2) that the quantity of socially-necessary labour coincides with arithmetical exactitude with the quantity of labour expended on the production of a product in the 'preponderant' group of enterprises. A. Cohn wants to shift responsibility in attributing to me a purely arithmetical approach to the complex social phenomenon.

In fact, A. Cohn attributes to me the idea that the group of enterprises providing 49 percent of all the produce of a given branch is not 'preponderant' and does not exercise even the smallest influence on the formation of market value; but the group of enterprises providing 51 percent of produce would be recognised by me as 'preponderant' and autocratically regulating the market value. It is possible that such a set of presuppositions correspond entirely to the purely arithmetical method with which A. Cohn himself operates. But where did he find in my text such a set of absurd presuppositions? Where did he find in my text the assertion that the influence of a given group of enterprises on the formation of market value will be completely similar in the case where this group provides 70 percent of the produce, and in the case where its share of participation falls to 51 percent? It is evident that in this case 'the state of the productive forces in a given branch of production', in particular 'the numerical preponderance of enterprises with different productivity', changes – a dynamic to which I attached, following Marx, a decisive importance (cf. p. 129 of *Essays*, second edition). This means that, from my point of view, the magnitude of socially-necessary labour time and the magnitude of market value necessarily changes. But whereas A. Cohn regards it possible to determine the size of changes which occurred in the relative share of different groups of enter-

prises by means of purely arithmetical operations of addition and division, I don't regard it possible to make use of this rude mechanical procedure.

Thus in no respect do I understand the feature of the 'preponderance' of one or another group of enterprises in the arithmetical sense. The character itself of the 'preponderance' of a given group of enterprises will differ depending on whether it provides 99, 70, or 51 percent. In the first case the socially-necessary labour will exert the tendency to a full coincidence with the quantity of labour expended on the production of products in a given group of enterprises; in the other cases the former magnitude will only approach the latter, and also the difference between them will be the greater, the greater the share of produce of a given branch will be provided by the other groups of enterprises, and the stronger will be the influence they exercise on the formation of market value. It is only a critic stupidly attracted by the arithmetical manipulations who can attribute to me the absurd idea that in all cases of purely arithmetical preponderance of a given group of enterprises, independently of whether it provides 99, 70, or 51 percent of the whole produce, the socially-necessary labour coincides with arithmetical exactitude with the quantity of labour, expended on the production of product in this group of enterprises. In fact, what is important for me is not the tendency to a full *coincidence* of these two magnitudes (which would be possible only in the absence of enterprises distinguished in their technique from this group of enterprises), but only the tendency appearing as a greater or lesser degree of *approach* of the former magnitude to the latter. I wrote precisely in this sense, repeating exactly the terminology of Marx, that the preponderant group of enterprises 'regulates' or 'determines' the market value, determines not in the sense of an exact arithmetical coincidence, but in the sense that this group exercises a determining influence on the formation of market value. In some cases, I indicated directly that the question is not about the complete coincidence of both magnitudes. On page 130 (*Essays*, second edition) I wrote that the market value 'approaches' the expenditures in one or another group of enterprises [cf. pp. 248–9 in the present translation, in Chapter 16. 'Socially Necessary Labour']. On the same page I directly anticipated the cases where the 'market value is not determined by individual cost of production in a given group of enterprises (for example, with higher productivity), but by the average amount between the cost of production of this group and those of another group nearest to the former'. Concerning these cases I did not regard it as possible to speak about any degree of approach of the magnitude of socially-necessary labour to the quantity of labour expended in a certain group of enterprises.

Let us now pass to the second argument, which A. Cohn finds 'no less convincing' (p. 50) and which boils down to the following. Let us suppose that

in branch of production A enterprises with average technique preponderate, but in branch B it is enterprises with higher technique that are preponderant. In such conditions the market value will be regulated in branch A by the average enterprises, and in branch B it will be regulated by the advanced enterprises. Consequently, in branch A the enterprises with average technique will obtain an average rate of profit, while the enterprises with higher technique will obtain a profit higher than the average. But in branch B only the enterprises with higher technique will obtain an average rate of profit, while the enterprises with average technique will obtain a profit lower than the average. But this means, in A. Cohn's words, that 'the production in different branches would be unequally profitable. It is not difficult to see that the operation of the law of value would be impossible under such conditions' (p. 51).

First of all, A. Cohn managed not to realise that the argument advanced by him, if it were actually 'convincing', is directed to full extent against his own understanding of socially-necessary labour. In fact, if the socially-necessary labour time is equal to the quotient from the division of the sum of all labour expenditures in a given branch by the number of products produced in it; if in one branch of production enterprises with average technique preponderate, and in the other do enterprises with higher technique, in applying Cohn's arithmetical method the socially-necessary labour time will approach in the former branch the labour expenditure in average enterprises, while in the latter branch it will approach the labour expenditure in better enterprises. The result A. Cohn will obtain will be precisely the same as will I also. Objecting to me, A. Cohn has struck himself.

This time we must protect Cohn from his own critical zeal. Cohn's argument that, in the conditions supposed by us (and also by him), production in diverse branches becomes unequally profitable, is based on the following misunderstanding. The 'average' enterprises in branch A and the 'average' enterprises in branch B are not at all equal in the absolute size of their capital and in their economic capacity. It is obvious to everyone that the 'average' enterprise in the metallurgical industry far outweighs in respect of the sizes of capital invested in it and of its economic capacity the 'average' enterprise in the branch of industry producing foodstuffs. But if the situation is like this, it will not be at all surprising that the 'average' enterprises in diverse branches obtain unequal rates of profit. This difference in the rate of profit does not in the least make 'impossible' the operation of the law of value, as A. Cohn thinks. On the contrary, the operation of the law of value would become impossible if the 'average' enterprises in every branch would be guaranteed, with all the enormous differences in the sizes of their capital and the economic capacity, an equal rate of profit only

for the reason that they occupy an 'average' place between better and worse enterprises of a given branch of production.

We have sufficiently, probably even excessively in detail, dwelt upon the 'convincing' critical arguments of A. Cohn against our *Essays*. Now we must briefly explain why we regard as false the solution of the problem of socially-necessary labour proposed by Cohn.

Cohn's discourse is distinguished by its saliently expressed atomistic and mechanistic character. Its atomistic character is expressed in the fact that every branch of industry is considered by Cohn as a mechanical sum of individual enterprises with different levels of technique, as atoms. Cohn loses sight of the fact that every branch of industry, although the enterprises as its component parts are differentiated by unequal technique, possesses an entirely definite technical physiognomy, which depends on the numerical correlation of different groups of enterprises and on the level of technique in each of them. Precisely because Marx considers each branch of industry as an organic unity of different groups of enterprises with different levels of technique, he attached such a great importance to the problem of preponderance of one or another group, exercising greater or lesser (depending on its relative gravity) influence on the technical physiognomy of the whole given branch of industry. And precisely because Cohn considers each branch of industry as a mechanical sum of enterprises as atoms, he ignores Marx's whole way of thinking and criticises my *Essays* for the fact that I pay, following Marx, much attention to the problem of the technical level of different groups of enterprises and of the preponderant influence of one or another group upon the technical physiognomy of the entire branch. If a branch of industry, this organic whole of diverse groups of enterprises, is transformed by A. Cohn into a mechanical sum of individual enterprises as atoms, the market value, that result of a complex social process, is also transformed by him into the result of an arithmetical addition of individual labour expenditures in individual enterprises. The organic connection of phenomena is replaced with their arithmetical summation. Cohn applies to the research of complex social phenomena a simplified mechanical-arithmetical procedure, and the fundamental drawback of his method consists in this. The difference, as clear as day, between Cohn's way of thinking on this problem and that of Marx in Chapter 10 of Volume III of *Capital* cannot escape the attention even of a superficial reader.

Let us pass from Cohn's method to the result he obtains by means of this method. This result can be reduced, as we already know, to the following arithmetic formula: the magnitude of socially-necessary labour is equal to the quotient from the division of the sum of all the individual labour expenditures in a given branch by the number of products produced in it. This formula can be

expressed also with the following words: the magnitude of the market value of a product is equal to the quotient from the division of the sum of all the individual values of products of a given branch by the number of these products.

At first sight the formula of A. Cohn is distinguished by two advantages: mathematical precision and 'general comprehensive' character. It gives a mathematically precise answer to the question of magnitude of socially-necessary labour (or market value). On the other hand, it is distinguished by a general comprehensive character, equally applicable to most different cases, for example to the cases where all exemplars of a given product are produced by means of equal expenditures of labour, as well as to the cases where different exemplars are produced by means of unequal expenditures of labour.

But if Cohn's formula is distinguished by these advantages, the reader cannot but have a following doubt: Why did Marx not regard it possible to solve all at once the difficult problem of the magnitude of socially-necessary labour (and of market value) by means of a simple arithmetical formula?

From Cohn's perspective, the strange fact that in Chapter 10 of Volume III of *Capital* Marx paid so much attention to the formation of market value, studying this process from many different aspects and considering in detail its individual cases (for example, cases of preponderance of average enterprises or of better ones, and so on), would seem entirely inexplicable. But from Cohn's point of view these different cases are not at all distinguished from each other, and are equally subject to the above arithmetical formula. Moreover, they are not distinguished even from the simplest case, where all the exemplars of a given product are produced in completely equal technical conditions, i.e., with the expenditure of an equal quantity of labour. Why did Marx, to whom the arithmetical formula of addition and division was well known, not regard it possible to solve by means of this formula all the problem of socially-necessary labour? Why did he so 'complicate' the problem which seemed so simple to Cohn that he could solve it by means of one arithmetical formula?

The answer to this question is in the difference of the methods of Marx and Cohn. The reproduction of reality in thought is performed in Cohn's case by means of a forced simplification of the reality itself, but in the case of Marx it is performed by means of successive complication of thinking. Cohn so much simplifies a complex social phenomenon that it can be expressed in a fixed, once-and-for-all ready mechanical-arithmetical formula, suitable for all cases of economic life, neither requiring nor admitting any further development. But Marx, aiming at 'reproducing the concrete', complex social phenomenon, approaches this aim by a successive complication of his thinking, going through the entire series of steps of analysis. At every step of analysis Marx gives a formula, appearing as a complication of the foregoing and neces-

sarily requiring in turn a further development. Only through this way of thinking does he succeed in making his own the various aspects of reality, not forcibly resolving their differences in a 'general comprehensive' and empty formula.

On the problem of socially-necessary labour Marx's thinking proceeds according to three steps of analysis. At the first step of analysis Marx presupposes that all the exemplars of a given commodity are produced in equal technical conditions, i.e., with the expenditure of an equal quantity of labour. In such a case the quantity of socially-necessary labour coincides with the quantity of individual labour and the magnitude of market value coincides with the magnitude of individual value. It would be better to say that in this case still we must never speak about a difference between the socially-necessary and individual labour, between market and individual value. In the above conditions the producer of any exemplar of product realises (i.e., receives from society in exchange for his product) precisely the same quantity of labour as is factually expended by himself.

At the second step of analysis Marx presupposes that various exemplars of a given commodity are produced in different technical conditions, i.e., with the expenditure of unequal quantities of labour. In such conditions the difference between socially-necessary and individual labour, between market and individual value necessarily appears. The coincidence between socially-necessary and individual labour does already not take place in respect of an individual producer (except for those who are working in the average technical conditions), but we can presuppose that this coincidence is still maintained for the ensemble of producers of a given branch. In other words, we presuppose that this branch as a whole realises the same quantity of labour as is factually expended in it (though individual producers, depending on the technical productivity of their enterprises, realise a greater or lesser quantity of labour than is factually expended by them, i.e., make their own a part of the labour expended by other producers of the same branch). In such conditions the general sum of market values of the commodities of a given branch is equal to the sum of their individual values; but the market value of a unit of commodity is equal to the quotient from the division of the sum of all the individual values by the number of the units of commodity.

In the cases considered by Marx at the first two steps of analysis, the above mathematical formula is valid. But whereas the operation of this formula presupposes for Marx precisely the enumerated simplifying conditions, Cohn ignores these conditions. Whereas Marx considers the entire problem against the backdrop of the fundamental problem of the conditions of the division and 'exchange' of labour between individual enterprises and whole branches

of production, for Cohn the arithmetical formula is hanging in the air without any solid foundation. Finally, Marx maintains a sharp distinction between the first and second step of analysis (i.e., between the cases where the coincidence of market and individual value takes place for every exemplar of a commodity, and the cases where it takes place only for the whole of a branch of production), whereas for Cohn their differences are completely worn into the general comprehensive arithmetical formula. Therefore, Cohn obtains a fixed formula, neither admitting nor requiring any further development, whereas for Marx such a formula plays only a role of intermediary link in the research, which must necessarily be further continued.

In fact, from the point of view of Marx's theory, the formula, according to which the market value is equal to the quotient from the division of the sum of all individual values in a given branch by the number of products produced in it, is valid only upon a definite presupposition, namely that this branch realises in selling its products precisely the same quantity of labour which was factually expended in it. In other words, we presuppose that the diversion between the quantity of factually expended labour and that of realised labour can take place only with regard to the individual producer, but not to a branch of production as a whole (more exactly, to the ensemble of producers of a given commodity). We presuppose that in a branch as a whole all the additional quantities, obtained by the better enterprises and equalised to the difference between the market value of a product and the individual labour expenditures of its producers, are exactly cancelled out by the minus quantities, charged on the share of more backward producers, and equalised to the difference between their individual labour expenditures and the market value of the product.

The presupposition we made above was an entirely just means for simplifying the reality in order to study it in a better way. But can we stay on this presupposition, not advancing our research further than that 'second step' of analysis at which we have lingered up to now? We have no right to proceed thus, since the process of formation of market value includes within it also such cases where the divergence between factually expended and realised labour (or what is the same, between the sum of individual values and the sum of market values) necessarily takes place in respect of a *branch of production as a whole*. Such a branch of production is, for example, *agriculture*, and there the fact of formation of *differential rent* can be explained only with the divergence between the sum of individual values and the sum of market values.

As is well known, the value of agricultural products is determined by the average socially-necessary expenditures of labour on the worst of the cultivated plots of land. Let us presuppose that for satisfying the effective demand every year 300 centners of corn are required in a given country, of which 100

are produced on the better land with the expenditure of one hour of labour per centner, 100 on the average land with the expenditure of two hours of labour, and 100 on the worse land with the expenditure of three hours of labour. The market value of a centner of corn is equal to three roubles (assuming that one hour of labour forms the value of one rouble). The sum of market values of corn is equal to 900 roubles, while the sum of individual values reaches only 600 roubles. The market value is not equal to the quotient from the division of the sum of individual values by the number of products. The arithmetical formula of A. Cohn *goes bankrupt* in respect of the process of formation of the market value of agricultural products. It would be more exact to say that this formula manifests its insufficiency and the necessity of the transfer of research to the third, higher step of analysis. At this step of analysis, we must already reject the presupposition on a coincidence of the sum of individual values and of the sum of market values for every branch of production (this presupposition remaining valid only with respect to a national economy as a whole, i.e., to the ensemble of the branches of production). From here arises the necessity to give for the market value a more flexible formula, admitting the possibility of divergences from a rigorous arithmetical formula. Precisely by this circumstance is explained the fact we have above pointed out that Marx, unlike Cohn, did not want to be content with the simplified arithmetical formula. He gave a more flexible determination of market value and foresaw even the possibility of its approach to the magnitude of labour expenditures in worse or better enterprises of a given branch of production.

If A. Cohn had attempted to draw full conclusions from his arithmetical formula, he would have necessarily arrived at the consequence that the law of labour value is not valid in respect of agricultural products. A. Cohn is faced with the following dilemma. If he holds on to his view that the market value is *always* equal to the quotient from the division of the sum of all individual values by the number of products, evidently he will be obliged to recognise that the agricultural products are sold, as a general rule, at a price higher than their market value. If he ever recognises that the agricultural products also are sold at their market value, evidently the latter is not always equal to the quotient from the division of the sum of individual values by the number of products.

A. Cohn cannot get out of this dilemma with the pretext that his arithmetical formula has in view only the products of industry but not of agriculture. This would indeed amount to recognising one of the two: either that the formula of labour value does not cover agricultural products, or that the arithmetical formula, suitable only for industry, is not a definitive formula of market value.

For every Marxist it is evident that the first assumption does not withstand criticism. Marx's great accomplishment in the theory of differential rent con-

sists precisely in the fact that, in further continuing the work begun by Ricardo, he constructed the theory of differential rent on the solid foundation of the law of labour value. From the point of view of Cohn, the appearance of differential rent, presupposing the divergence between the sum of market values and the sum of individual values, would have had to be considered as a disturbance of the law of formation of market value formulated by him. But from Marx's point of view, the possibility of appearance of the differential rent arises precisely from the law of formation of market value (cf. *Capital*, Vol. III, part 2, 1908, p. 162 [*Capital*, III², p. 661. MEGA, II/15, p. 646]). This sole difference already incontestably proves what false conclusions Cohn's arithmetical formula led him to.

If A. Cohn does not decide to draw these conclusions, and recognises that the law of formation of market value cannot but extend itself also to agricultural products, he will be obliged to reject his unrivalled arithmetical formula. He can keep it only in a modest role of a provisional formula, valid at the 'second step' of analysis admitting a series of simplifying presuppositions. But he will have to recognise that in his *Course*, destined to serve as a teaching material not for a school of the 'second step' but for university, he should never limit himself to this simplified formula for explaining so complex a social process as the process of formation of market value.

4 Reply to S. Bessonov^[558]

In nos. 1 and 2, 1929 of the journal *Проблемы экономики* [*Problems of Economy*, pp. 123–44, 78–117] appeared an article by S. Bessonov entitled 'Against the Evisceration of Marxism' [С.А. Бессонов, Против выхолащивание марксизма (К 3-ему изданию «Очерков» И. Рубина)], devoted to a criticism of the third edition of my work *Essays on Marx's Theory of Value*. As a prelude to his article, Bessonov, apparently in order to give the reader a full idea of the style and attitudes of his polemic in the first pages, regarded it necessary to convey the following information: 'Appearing in meetings, he (Rubin), under the pressure of critique, simultaneously confessed and did not confess his mistakes, rejects today what he asserted yesterday, to get back anew to the initial position tomorrow' (*Problems of Economy*, no. 1, p. 127. In the following we indicate only the page numbers).

[558] Reproduction in the fourth edition of *Essays* of Rubin's article 'Против вульгаризаций марксизма (ответ на статью С. Бессонова)' [Against the Vulgarisation of Marxism (A Response to the Article of S. Bessonov)], *Проблемы экономики*, 1929, nos. 3–4, pp. 83–109, no. 5, pp. 127–56.

How far this information corresponds (or does not correspond) to the reality, the reader can judge just on the basis of the fact that I have invariably expressed the readiness to wholly publish the materials of oral discussions which I have taken part in. The materials of the discussion in RANION [cf. the original note 54 above] (June 1927) were published in their entirety.⁶³ The major part of my lecture on the dispute at the Institute of National Economy (April 1928) was included in the third edition of my *Essays*, in the form of the 'Reply to A. Cohn'. The materials of the dispute at the Leningrad Scientific Research Institute of Marxism (December 1928) are wholly included in no. 2 of the collection of articles from the Institute, *Problems of Marxism*. Finally, the materials of my dispute with Bessonov, which took place at the Institute of Red Professorship more than a year ago (February 1928), would have been published in journal, as was originally supposed, if any such a hope had been expressed on the part of Bessonov. All this is well known to Bessonov. It is no less well known to him that there would be not a word in my statements which I would not endorse at present. Let us hope that, when these materials will be published, the reader will see with their own eyes who 'rejects today what he asserted yesterday'.

4.1 *The Object of Political Economy*

In view of the fact that at present the problem of the object of political economy is one of the central points of our debate with Bessonov, I regard it useful to reprint here the first point of the theses I advanced in the discussion with him in February 1928. This point of the theses runs as follows:

The commodity-capitalist economy is the unity of a determinate state of the productive forces and of a determinate ensemble of relations of production of people. Science cannot research this unity otherwise than by separating its different and contraposed aspects. Each aspect of this unity is studied as a part of single unity, i.e., has another aspect of this unity as its presupposition. The science of social technique has as its object of investigation the productive forces in their interaction with the relations of production of people. But political economy studies the relations of production in capitalist society in their interaction with the process of the development of the productive forces.

63 Cf. I. Rubin, *Abstract Labour and Value in Marx's System*, 1927 [Cf. pp. 530–66 in the present translation].

The definition of political economy as a science of the relations of production of people constitutes the cornerstone of Marx's whole system. Its correctness is supported by the content of Marx's economic system, in which each economic category is considered as an expression of the relations of production of people. This definition served for Marx as a tool for overcoming the fetishism of the commodity economy. It is commonly accepted in Marxist literature and shared by all the authoritative representatives of Marxism (Plekhanov, Lenin, Kautsky, Hilferding, and others). Everyone who objects to the definition of political economy as a science of the relations of production of people 1) breaks with the commonly accepted proposition of Marxism, 2) rejects the most characteristic particularity of Marx's economic theory, distinguishing it from that of the bourgeois economists, 3) introduces anew the obscurity and confusion into the problem, elucidated thanks to the efforts of Marx, and 4) opens the door to the resurrection of all kinds of vulgar-fetishistic theories.

We require from S. Bessonov a direct and unequivocal answer to the question: does he recognise the definition of theoretical political economy as a science of the relations of production of people, or does he oppose to it?

The formulation described in the first point of the theses has been added in full to the third edition of my *Essays*. Nevertheless, Bessonov, who said in the dispute of February 1928 that 'in the theses I correctly determined the object of political economy as the relations of production of people in their interaction with the productive forces, and that, if I determined it earlier in this way, we would not have disputed' (I quote according to the stenography of my supplementary lecture on the above-mentioned dispute), now argues against this definition.

After having quoted my statement that the object of research of political economy is the 'change in the relations of production of people depending on the development of productive forces', Bessonov is obliged to recognise that 'with clarity and precision admitting no doubt Rubin adopts here the indisputable Marxist proposition' (p. 128). It is as if everything went excellently for me. Nevertheless, Bessonov is unsatisfied. He finds that, 'adopting completely this indisputable proposition, Rubin, in a manner peculiar to him, begins immediately a prudent and unambiguous elucidation of it' (p. 128).

In what does my 'elucidation' consist? It consists in my recognition of the existence of *two* sciences: 1) the science of social technique, which must study the productive forces of society in their interaction with the relations of pro-

duction of people, and 2) that of political economy, which has as the object of its investigation the relations of production of people specific to the capitalist economy in their interaction with the productive forces of society.

What is incorrect in my assertion that political economy studies the relations of production of people? Indeed, prior to the appearance of Bessonov's article, this assertion was considered as commonly accepted among Marxists. Moreover, what is incorrect in my assertion that alongside political economy a science of social technique must also exist? Indeed, this assertion, which boils down in essence to the fact that political economy does not aim at substituting for the science of social technique, counts also among the elementary, rudimentary truths for every Marxist.

However, Bessonov, who must discover 'mistakes' in any place of my text, manages to argue also against the propositions I have advanced above. In his opinion, my mistake consists in recognising the existence of two sciences of economy instead of one.

Instead of one science, studying the connection and contradiction between the productive forces and the relations of production ... there must be *two* sciences, distinguished from each other, as this is not strange, solely by the replacement of the words 'productive forces' and 'relations of production', solely by the verbal formulation and, apparently not at all by the essence of the matter.⁶⁴

But, 'as this is not strange', Bessonov did not understand the following simple thing. The capitalist economy is the unity of the productive forces and the relations of production of people. We aim at studying, in Bessonov's terms, 'the connection and contradiction between the productive forces and the relations of production'. But we study this connection from two sides: from the side of the relations of production and from the side of the productive forces. In political economy our direct object of investigation is the relations of production of capitalist society, and we must discover all regularities of phenomena in this domain. But the relations of production are conditioned in their movement by changes in the productive forces, while on the other hand they themselves exercise, within certain limits, an influence of their own on the movement of those productive forces. In view of this we must study, as pointed out in my *Essays* (p. 10), 'the relations of production of people in their interaction with the productive forces of society' [cf. p. 21 in the present translation]. In other

64 Bessonov, *ibid.*, p. 129.

words, we have to seek in the changes of the productive forces the ultimate cause of changes in the relations of production constituting the object of our investigation.

But does this mean that, in so doing, we make of the productive forces the primary object of our investigation in political economy? Not at all. No one familiar with the elementary principles of classification of sciences would have difficulty in understanding this. Different sciences study different aspects of the same reality. Different social sciences study different aspects of the same social life. As there are inseparable connections and interactions between different aspects of social life, the different social sciences must, for elucidating the phenomena they study, have recourse to other phenomena which are in close relation with the former phenomena as their causes and consequences. But this does not at all negate the possibility of existence of individual, more or less autonomous sciences, studying various aspects of social life (the economy, law, the state, ideology, and so on). In the same way, the circumstance that in political economy we have recourse to change in the productive forces for explaining change in the relations of production does not in the least mean that we make of the latter the direct object of our investigation in this science. We do not at all aim at discovering *all* the regularities inherent in the sphere of the productive forces, but consider the latter only insofar as this is necessary for explaining the direct object of our investigation, i.e., the relations of production of people. And even in this case we do not discover *all* the regularities inherent in the sphere of productive forces, as we use as far as possible the ready given results which must be obtained and analysed in a separate, special science of social technique, having as the object of its investigation the productive forces of society.

Thus, Bessonov thinks completely in vain that, if we studied in political economy the relations of production of people in their interaction with the productive forces of society, there would be no place remaining for another science with the productive forces as its own special object of investigation. Such a science of social technique (and in particular the science studying the productive forces of capitalist society with all the peculiarities of the regularities inherent in it) must be created and in fact has been created, since, firstly, in political economy we fix our attention only on those changes in the productive forces which interest us most, and secondly, even for explaining these phenomena we must obtain as large as possible a number of established facts and theoretical propositions obtained by the science of social technique. Therefore, economists are interested in the fact, that, alongside political economy, a science of social technique was elaborated. The latter science has as its direct object of investigation the productive forces of society and must discover all the regularities of

phenomena in this domain. The relations of production of people are not especially studied by this science, and attract its interest only insofar as is necessary for explaining the movement of the productive forces.

Let me offer an example to better illustrate the ideas described above. As is well known, there exists an inseparable connection between the rise in the technical composition of capital and the rise in the organic composition of capital. But this connection does not in the least negate the fact that the former phenomenon is related to the sphere of the productive forces, and the latter to the sphere of the relations of production in capitalist society. Therefore, Marx makes the direct object of his research in *Capital* the rise in the organic composition of capital, with all the consequences arising from it in the form of creation of a reserve army of labour, concentration of capital, and so on. Concerning the rise in the technical composition of capital, Marx introduces it in his research only insofar as this is necessary for explaining the law of growth of the organic composition of capital. Can we say that Marx made the object of his research the rise in the technical composition of capital? Of course not. For this Marx would have had to collect and analyse an enormous quantity of facts relating to extremely different branches of production and illustrating the rise in the application of machines and other 'dead' means of production as compared with the living labour of labourers. Marx would have had to discover all the regularities of this process of increase in the relative technical weight of means of production as compared with living labour, he would have had to discover the particularities characterising this process in different branches of production, and its interaction with the relations of production of people. This huge material could not be incidentally studied in political economy, it must rather constitute the object of a special science of social technique, and the sooner this will be done the better it will be for political economy itself.

What grounds does Bessonov bring forward against the existence of two sciences devoted to the investigation of different respective aspects of economic life? Frankly, not any. Probably he is worrying about the possible 'rupture' the existence of these two sciences may cause between the productive forces and the relations of production. But such a view is explained by a complete miscomprehension of the law of the division of labour between individual sciences. It is naïve to think that for maintaining a close connection between two phenomena we must study them without interruption within the framework of one singular science. And it is just as naïve to think that, if we study two phenomena closely connected with each other in two neighbouring sciences, we enact a 'rupture' between them. We don't cause any rupture between physical and chemical phenomena in studying the former in physics and the latter in chemistry. If we tried to unify them within one singular science in the present state of

our understanding, we would acquire nothing other than confusion. In order to prevent the rupture between political economy and the science of social technique, we must define the object of each of these two sciences in such a way as they would be inseparably connected with the object of the other science. But we neither can nor need dispose of these two sciences.

As we know, political economy studies the relations of production of people in their interaction with the productive forces of society. But the science of social technique studies the productive forces of society in their interaction with the relations of production of people. Bessonov thinks that these two sciences are distinguished from each other 'solely by the replacement of the words 'productive forces' and 'relations of production'' (p. 129). Of course, if the question were about empty words, behind which definite concepts are not concealed – and in fact we often find such empty words in oral as well as written polemics – the replacement of certain words would not change the content of the phrase. But if the question is about words which do express definite concepts, then the replacement of words would change the whole meaning of the phrase. It is one thing to say that we study the relations of production in their interaction with the productive forces, and something else to say that we study the productive forces in their interrelation with the relations of production of people.

Bessonov asserts that I 'think out new sciences' (p. 129), but it is exactly the other way around. Bessonov wishes to 'think out' one science, studying simultaneously the productive forces and the relations of production. But I only note a well-known fact, that the productive forces and the relations of production became, because of the profound difference of their nature, the respective objects of investigation of two separate sciences (which does not exclude, for the theory of historical materialism, the necessity of studying all the aspects of social life in their interaction). It is true that the science of social technique developed with great delay, but in spite of this it still exists as a science, aiming at discovering regularity in the movement of productive forces. But with regards to political economy, no one with even a slight knowledge of it can doubt the fact that it developed precisely as a science of the relations of production in capitalist society. The debates of mercantilists of the XII century on wages, profits, rent, and so on already show that political economy was born in response to the interests of various social classes, which fought for augmenting their share in the whole of the value produced by the labour of society. Political economy, particularly in the works of the classical authors, finally assumed the form of a science of value and distribution (of wages, profits, and rent), i.e., of a science of the relations of production of people. If this character of political economy had still not been entirely clear for the classical

authors themselves (due to the fact that they confounded the social functions of things with their technical functions), political economy attained its full self-consciousness in the person of Marx. Marx raised the problem of change in the system of relations of production as a whole, of the replacement of capitalism with socialism. Precisely for this reason, he tirelessly repeated that all the categories of political economy are the expressions of relations of production of people.

From the point of view of Bessonov, we would have had to reject completely the definition of political economy, which has become traditional in Marxist literature, as a science of the relations of production in capitalist society. But, in fact, this definition is a most keen tool, by means of which Marx gave a fatal blow to bourgeois political economy. The revolutionary transformation in political economy accomplished by Marx consisted precisely in the fact that he considered all economic phenomena, in which bourgeois economists saw the unchanging properties of things, as results of historically contingent relations of production of people. Anyone who rejects the definition of political economy as a science of the relations of production of people – and Bessonov does so, though he lacks the courage to confess this openly – refuses the keenest weapon which Marx placed in our hands for criticising bourgeois political economy. He refuses with ease the many years' tradition of Marxist literature, brilliantly expressed in the works of Marx, Engels, Plekhanov, Lenin, Hilferding, Rosa Luxemburg, and many others.

Lenin wrote on the object of political economy: 'its subject is not by any means 'the production of material values', as is often claimed (that is the subject of technology), but *the social relations between men in production*' (Lenin, *A Characterisation of Economic Romanticism*, Chapter XI, emphasis added [V.I. Lenin, *A Characterisation of Economic Romanticism: Sismondi and our Native Sismondists*, Foreign Language Publishing House, Moscow, 1951, p. 121, В.И. Ленин, 'К характеристике экономического романтизма Сисмонди и наши отечественные Сисмондисты', in *Полное собрание сочинений*, 5е изд., Государственное Издательство Политической Литературы, Москва, 1963, том 2, стр. 195]). Lenin repeated this definition many times almost literally: in the brochure on Sismondi, in the book *Development of Capitalism in Russia*, in the review of Bogdanov's book. Lenin often repeats that political economy studies the 'social relations of production' (*Works*, vol. II, 1927, p. 371). We ask from Bessonov a direct and unambiguous answer: does he agree with this definition of political economy or not? If he does not agree, he must declare his refusal of the view shared by all authoritative Marxists without exception. But if he agrees with this definition, why does he rail against my definition, which is distinguished only by the fact, that I emphasise more

insistently the closest connection and interaction between the relations of production of people we study and the material productive forces of society?

As we see, the first argument of Bessonov, which objects to the existence of two sciences, studying different aspects of the process of production, has not the slightest grounds. His second argument boils down to the assertion that: 'Rubin replaces with an extraordinary proficiency the word 'interaction' with the word 'precondition'' (p. 129). Rubin said earlier that political economy studies the relations of production of people in their *interaction* with the productive forces; now he says, that political economy has as *precondition* of its investigation a definite state and process of development in material productive forces.

This refutation is based on a complete miscomprehension of the meaning of the word 'precondition'. We hear once in a while the opinion that, if we consider the productive forces as a precondition of our research, we consequently assign them a secondary significance in the process of social development. This opinion is based on a misunderstanding; there are various kinds of preconditions. We recognise development in the productive forces as the 'activation factor' of every social development, including development in the relations of production of people. We do not at all contrapose the 'precondition' to the 'object' of a given science. Political economy has as its direct 'object' of investigation the relations of production of people. But since the movement of the latter is in a closest connection with the movement of the productive forces, studied by another science, we make use of conclusions of the latter science and bring them into our research insofar as this is necessary for us to understand our 'object'. This means, also, that for political economy the productive forces are not the direct 'object' but the 'precondition' of research, in the same way as for the science of social technique, the 'object' of research is the productive forces, with the relations of production playing the role of 'precondition'.

To evidence his opinion that the productive forces are the direct object of research in political economy, Bessonov draws the following conclusions:

1. 'Technology discloses the process of production of social relations of human life' (p. 139), and therefore its investigation is necessary for understanding the latter.
2. Marx included in *Capital* an entire series of researches related, in Bessonov's opinion, to 'the secrets of technological processes' (p. 140).

Let me stay on the first argument. Of course, we cannot understand the provenance and development of a given system of relations of production of people, if we do not study the state and development of the productive forces in a given historical epoch. But from here follows only the necessity of elaborating a special science, which Marx calls 'a critical history of technology' [*Capital*, I, p. 352, MEGA, II/6, p. 364, note 89], and of utilising in political economy the data and

conclusions of this science. But Bessonov objects precisely to the elaboration of this special science. He denies the necessity of the existence of two sciences for studying capitalist economy from its two aspects (material-technical production and its social form). He stands on the fact that Marx 'did not relate the results of his research (on the 'secrets of technological processes' – *I.R.*) to any special science'. It is incomprehensible why Bessonov writes that 'Marx did of course not confound technology with political economy' (p. 140). Of course, Bessonov is obliged to draw this conclusion, because he finds repeatedly in Marx's text the indication that 'political economy is not technology' (cf. 'Introduction to Political Economy' [MECW/28, p. 24, MEGA, II/1.1, p. 23]). But precisely this proviso upturns Bessonov's entire construction. If Bessonov's assertion that 'Marx did not confound technology with political economy' is true – and this time it is actually true – from here necessarily follows a conclusion for anyone who thinks consistently: research on the 'secrets of technological processes' enters into the sphere of a 'special science', namely of technology, which is not to be confounded with political economy.

We hear once in a while the opinion that technology studies the productive forces only from the natural-technological point of view, but political economy must include in its sphere a study of the productive forces from the social-historical point of view. In response to this reasoning it must be pointed out that Marx kept in mind precisely the necessity of elaborating a 'critical history of technology' as a historical and social science. This science must study, in Marx's words, 'the history of formation of the productive organs of *social* man, a history of this material basis of *every particular social* organisation' (*Capital*, vol. I, p. 281) [*Capital*, I, p. 352, MEGA, II/6, p. 364, note 89. Emphasis added. Russian translation slightly deviating from the original text]. Precisely for this reason, in *Essays* I called this science the 'science of social technique', and in so doing I kept in mind first of all a science of the specific laws of development of the productive forces in the capitalist economy. In spite of Marx's direct statement, Bessonov denies the necessity of such a 'special science'. Declaring himself to be a chevalier of the productive forces, he would in truth be able only to impede the successful development of the science of social technique, without wishing it himself. He would restrict all research of the productive forces to a small number of those chapters which could be incidentally appended by him in political economy.

Let me repeat once again that we do not in the least share the opinion Bessonov attributes to us, that 'the technique *has no relation* to the social aspect of economic phenomena' (p. 139. Emphasis added). Every Marxist rejects such a proposition as sharply deviating from the theory of Marx. Marxist economist should seek the cause of changes in the relations of production of people in

the development of the productive forces. But does this mean that he should include the latter in the direct object of research of political economy? Of course not, since in the contrary case we would eliminate all the borders among individual sciences. Let us remember Marx's proposition on the investigation of the history of religion. The history of religion can never be understood without the history of the social-historical interrelations of various classes of society, but for understanding the latter it is necessary to study the development of the relations of production and of the productive forces of this society. Therefore, Marx wrote that 'every history of religion, even, that fails to take account of this material basis, is uncritical' (ibid.). Bessonov quotes these words of Marx's on pages 139–40 of his article without suspecting that they directly upturn his point of view instead of consolidating it. Indeed, from Bessonov's point of view, if he pursues it he must arrive at the conclusion, that into the object of research of the history of religion enter on the 'equal' footings: 1) religion, 2) relations of production, 3) productive forces. On the same grounds Bessonov will need to include the 'material basis', i.e., the productive forces, in the object of research of the science of state, science of law, science of literature, and so on. In a word, the productive forces will be studied by all the sciences in the world, except for ... that science which must actually study them, i.e., 'the critical history of technology', or, using a broader term, the science of social technology.

It still remains for us to consider Bessonov's final conclusion, maintaining that Marx included in *Capital* an entire series of chapters belonging to the domain of technology:

It can be asked where disappeared in Rubin's political economy, chasing the 'technical procedures' out of political economy, the chapters of Vol. I of *Capital* on cooperation, manufacture, division of labour, machine, factory, concentration of capital, growth of its organic composition, i.e., on the 'technical procedures' themselves, which specifically characterise the capitalist mode of production unlike the preceding social structures?⁶⁵

Let me note, first of all, that it is extremely strange to count among the 'technical procedures' the concentration of *capital* (didn't Bessonov, so much averse to drawing 'exact' and 'rigorous' distinctions, confound the concentration of capital with the concentration of production?) and the growth of the *organic* composition of capital. But let us refer to the chapters of *Capital* in which

65 Bessonov, *ibid.*, p. 143.

we actually find prodigious remarks from Marx on the particularities of technique inherent in the capitalist economy. A careful reading of these chapters convinces us that Marx includes technological materials in his research only insofar as is necessary for understanding the laws of functioning and development of the relations of production, forming a given social formation.

Of Chapter 13 of the first volume of *Capital* on 'Machinery and great industry', occupying 112 pages, only the first section in 12 pages is devoted to 'development of the machinery', i.e., this most important technical transformation, which created the basis for the overall development of the capitalist economy. Already at the beginning of this section Marx orderly formulates the perspective starting from which he includes machinery in the range of his research. '[M]achinery is intended to cheapen commodities, and, by shortening that portion of the working-day in which the labourer works for himself, to lengthen the other portion that he gives, without an equivalent, to the capitalist. In short, it is a means for *producing surplus-value*' [*Capital*, I, p. 351, MEGA, II/6, pp. 362–63. Emphasis added], and precisely from this perspective it is studied by Marx. In fact, the first section, devoted to the development of machinery, is followed by 8 sections in which Marx thoroughly considers the effects brought about by the introduction of machines on the system of class relations (i.e., production) between capitalists and labourers. Here Marx studies the following problems: the transfer of value on the product, female and child labour, the prolongation of the working day and intensification of labour, the expulsion of labourers by the machine and strife between labourer and machine, compensation theory, the influence of machinery on handcraft and domestic industries, and the factory laws.

Such a kind of correlation between technological and social-economic material can be found also in other chapters which Bessonov points out. In the chapter on cooperation Marx aims mainly at considering the significance of cooperation, as a means of production of relative surplus value.

If then, on the one hand, the capitalist mode of production presents itself to us historically, as a necessary condition to the transformation of the labour-process into a social process, so, on the other hand, this social form of the labour-process presents itself, as a method employed by capital for the more profitable exploitation of labour, by increasing that labour's productivity.⁶⁶

66 [Ibid., p. 317, II/6, p. 331].

These words show convincingly enough that the inclusion of technological material had for Marx a secondary importance.

Bessonov (p. 140) relies also on chapters in Vol. II of *Capital* on the time of production and period of labour. These chapters give us a particularly enlightening representation on the place Marx assigned to the technological material in his researches. At the beginning of the 12th chapter of the second volume of *Capital* Marx allots less than one page to the elucidation of technical causes of the different durations of the *labour period* in diverse branches of production, to move on to the difference arising from there in the velocity of the *turnover of capital* on the same page: 'The difference in the duration of the productive act must evidently give rise to a difference in the velocity of the turnover, if invested capitals are equal' (*Capital*, Vol. II, 1928, p. 155 [*Capital*, II, p. 233, MEGA, II/13, p. 212]). In the same way, in Chapter 13 of the same volume II Marx allots full pages to technical causes giving rise to the prolongation in the time of production, to move soon to the investigation of changes arising from this in the period of the *turnover of capital*.

As we see, the reliance of Bessonov on *Capital* does not in the least support his thesis, according to which the relations of production and the productive forces 'enter into the object of political economy on the same footing' (Bessonov's theses in the dispute at the Institute of Red Professorship on 30 March 1929, p. 5). On the contrary, a careful reading of the chapters indicated by Bessonov convinces the reader that the direct object of Marx's research in *Capital* is the relations of production in capitalist society; the productive forces are introduced by Marx into the sphere of research in political economy only insofar as they are necessary for understanding the laws of the functioning and development of the relations of production of people.

Bessonov does not decide to carry to their logical conclusion his ideas on the necessity of fusion of political economy with technology. On the one hand, he is obliged to recognise that 'Marx, of course, did not confound technology with political economy' (p. 140). On the other hand, he decisively opposes the existence of two sciences studying the different aspects of the process of capitalist production. But this amounts in fact to including technology in political economy.

Bessonov at first emphasises that he recommends the inclusion in political economy of the investigation of 'secrets of the technological processes', but not of the investigation of things or use values themselves. But at the end of the article he does not maintain his role and becomes instead an eloquent advocate of the inclusion in political economy of the investigation of 'manifold, colourful and real world of material things' (p. 141). 'As is well known, Marx adopted a different attitude toward things. Above all he does not consider them in the

lump, as Rubin does this. He separated in them an entire series of divisions and after that treated them according to diverse features' (p. 141), for example, he distinguished products of labour, objects of labour, instruments of labour; moreover, mechanical tools, stores, and so on (p. 141).

All these examples are taken by Bessonov from the first section in Chapter 5 of the first volume of *Capital*, entitled 'The Labour-Process and The Process of Production of Surplus-Value'. Marx himself emphasises that in this section 'the labour-process' is considered 'in its simple elementary factors', 'independently of every particular social form' [*Capital*, I, pp. 173, 179, MEGA, II/6, pp. 192, 198]. In other words, Marx gives here provisional information about the technical process of labour with a secondary importance for furthering the study of the capitalist economy. But Bessonov transforms this short, provisional information into one of the main constituent parts of political economy. From Bessonov's point of view, bourgeois scholars, who devote much space to arguments about 'production in general' and give a detailed classification of the products of labour, instruments of labour, and so on, deserve a nice eulogy. But it is precisely these arguments of the bourgeois scholars that Marx maliciously ridicules. In 'Introduction to the Critique of Political Economy' Marx straightforwardly wrote that the provisional information on the production in general 'actually boils down, as we shall see, to a few very simple definitions, which are further expanded into trivial tautologies' [MECW/28, p. 24, MEGA, II/1.1, p. 24].⁶⁷ Hasn't Bessonov an extreme inclination to these 'trivial tautologies'? Indeed, Bessonov objects to us that he recommends not only to study these 'few very simple definitions', but also to research especially the technique of the capitalist economy. The latter is actually an urgent task, but, as we have already explained above, it can be satisfactorily fulfilled only in a special science of social technique.

Bessonov does not say straightforwardly that the investigation of 'manifold, colourful and real world of material things' he recommends is equally important to the investigation of the world of use values. He expressed more openly his views on this point in his earlier work *Development of Machine* (p. 41), in which he complained of 'the inattention to the problems of use value, so characteristic of the post-Marx literature' (by this Bessonov had in mind the Marxist and not the bourgeois literature). If we pay attention to the fact that for Bessonov 'material things' mean use values, the following words of his invoke a special curiosity: 'Rubin fears to death material things. Marx calmly continues his investigation about them' (p. 141). Still, it is good that Bessonov did not write

67 Cf. *Fundamental Problems of Political Economy*, third edition [, 1928], p. 8.

that Marx was occupied with their investigation ‘with love’. In such a case we would absolutely have to remind ourselves of Marx’s words on the second page of the *Critique* that ‘German compilers write *with love* [*con amore*] about use values’ [*Critique*, p. 270, MEGA, II/2, p. 108. Emphasis in original]. These words refute more than anything Bessonov’s arguments on the inclusion within political economy of an investigation of the ‘manifold, colourful and real world of material things’.

Let us summarise. In his arguments on the object of political economy Bessonov falls back from the views commonly accepted in Marxist literature. His opposition to the existence of two sciences, studying different aspects of the process of production, can be directed to all Marxists without exception, who, unlike bourgeois economists, always began their research with separating two aspects of the economy, namely the relations of people to nature and the relations among people in the process of production. Bessonov, though not stating this straightforwardly, rejects the definition of political economy as a science on the relations of production of people.

4.2 *The Material-Technical Process of Production and Its Social Form*

Before passing to the essential points of debate, it is necessary to correct some ‘inexact points’ with which our critic can in no way dispense.

The first inexact point. I write everywhere about the distinction drawn by Marx between the material-*technical* process of production and its social *form*. But Bessonov attributes to me an ‘idea of the contraposition of *social* to material’ (p. 135). This is far from being the same thing, since we recognise also the material-technical process of production as a social and historical phenomenon. On the first page of *Essays* I wrote:

The process of change and development of the labour activity of people includes within it two kinds of changes: first, changes in the means of production and technical procedures, with the help of which man works upon nature – in other words, there are changes in the state of the *productive forces* of society; secondly, in accordance with this change in the productive forces also changes the whole of the *relations of production* among people ...⁶⁸

68 [p. 20–1 in the present translation. Quoted from the ‘Introduction’ to the third edition. Emphasis in original.]

Bessonov's assertion that I consider the material-technical process of production (and the productive forces) as a 'naturalistic' and 'transhistorical' phenomenon has no grounds. On the contrary, it was precisely to such an understanding of the productive forces, to be found in bourgeois economists of the social tendency, ^[559] that I decisively objected in my work *Contemporary Economists in the West* [Cf. note 12 in Chapter 10] (p. 112), where I wrote: 'the productive forces do not belong to the sphere of nature, contraposed to society, they are 'social', historically changeable productive forces'.

In order that the readers would have not the least suspicion about this, I allow myself to quote an excerpt from the stenography of the lecture I delivered at the Leningrad scientific research Institute of Marxism in December 1928:

When we say that the relations of production are social, it is as if we implied that the productive forces were not social. But, in fact, we do not speak about the productive forces of Robinson, but about those productive forces which belong to society, which change in the course of historical development and have a different character on every stage of development. Therefore, the productive forces are the same *social concept* as are the *relations of production*. It is absurd to say that the productive forces less acquire a social character than the relations of production. Why do we call precisely the latter the social form of economy? Because by this is understood the social *relations of people to each other* in the process of production. Therefore, it is better not to speak about the material aspect and the social aspect of the economy, but about the material-technical aspect and the social relations of people to each other. By the former we understand the labour activity of people, directed on accommodating objects and forces of nature to their needs. Needless to say, this activity takes place only in the conditions of relations of a man to other people. Marx says that a man appropriates objects of nature within a definite social form of economy and through it. Nobody stands face to face with nature, we cannot possess even an object as a pure object of nature, ripped out of society. The relations of production are relations of people to people on the basis of the labour process of people upon nature. This is an old definition, often repeated in Marxist literature: relations of people among themselves and their relations to nature.

[559] 'bourgeois economists of social tendency' is a term used a number of times in the following in 'Reply to Bessonov,' to indicate those economists whom Rubin submits to critical examinations in his work *Contemporary Economists in the West*, namely Oppenheimer, Stolzmann, Amonn, Petry and Liefmann.

The second inexact point. Bessonov brings in an entire series of quotations from *Essays* (p. 133), in which I speak about the 'distinction' drawn by Marx between the material-technical process of production and its social form. Even Bessonov does not seem to decide to argue straightforwardly against this proposition, since this would amount to asserting that Marx *confounded* the material-technical process of production with its social form. Therefore, nothing is left to Bessonov other than to transform the 'distinction' indicated by me on the following page (134) into 'contraposition', which he understands in the sense of a rupture between both sides of the process of production. If we understand contraposition in the sense of rupture, of course we have nowhere said that Marx ruptures both aspects of the process of production from one another. But if by contraposition we understand an indication of the distinction of these two aspects, of the opposition and contradiction existing between them (not excluding their interconnectedness as two aspects of a single process of production), to deny this opposition would mean denying Marx's theory of the contradiction between the productive forces and the relations of production in capitalist society.

Bessonov decisively object to my assertion that 'the distinction consistently drawn by Marx between the material-technical process of production and its social form places in our hands the key to understanding the whole of his economic system'. Deriving some quotations from my *Essays*, he declares:

In defence of his thesis Rubin cannot give, and this is not strange, essentially *any one* quotation from Marx ... But it is strange that Marx has never pointed out and never indicated this 'great accomplishment' of his in the face of political economy, never noticed that 'completely new methodological setting of economic problem', which, in Rubin's wording, consists in the fact that he, Marx, unlike his predecessors, did not confound the 'social forms' with the 'material-technical' process of production, but distinguished them 'rigorously', 'consequently', and 'exactly'. Marx's silence can be explained very simply. Rubin quite simply attributed to Marx his own and moreover wholly false fabrication ... Nowhere and in no circumstances whatsoever did or could Marx have contraposed the material-technical process of production to its social form⁶⁹

In view of Bessonov's so categorical declarations we must consider this problem in greater detail.

69 Bessonov, 1929, pp. 133–34.

Marx begins his research from the analysis of the twofold nature of the commodity, in which he discovers the opposition between use value and value. For the explanation of the nature of the commodity Marx analyses the twofold nature of labour, in which he discovers the opposition between concrete labour and abstract labour. Finally, this twofold nature of labour is a reflection of the twofold nature of the labour process itself in the capitalist economy, which represents a unity of two opposing aspects: the material-technical process of production and its specific social form. In this way we find in Marx three pairs of oppositions: 1) use value and value; 2) labour creating use value, and labour forming value (i.e., concrete labour and abstract labour); 3) the labour process and the process of value formation (i.e., the material-technical process of production and its specific social form).

What is Bessonov's stance towards the path of thinking described above, which runs through the entirety of Marx's theory of value? 'As this is strange', he recognises the presence of the first two oppositions but denies the presence of the third opposition. Bessonov recognises that 'we find not rarely in Marx's text the contraposition of the *material* entity of a thing to its *social* entity' (p. 133. Emphasis added). He recognises, likewise, that in the theory of the twofold character of labour Marx 'takes notice of that *novelty* which he has introduced in science' (p. 137. Emphasis added). But if that 'novelty', which Marx has introduced in science is included in the theory of the *twofold* character of labour, from which arises the *twofold* character of the commodity, isn't it obvious that the twofold character of labour must be in turn elucidated by the *twofold* character of labour process, i.e., of the process of production?

To evade this necessary conclusion, Bessonov would have had to interpret the opposition between concrete and abstract labour in such a way as if it has nothing in common with the opposition between the material-technical process of production and its social form. But for anyone wanting to penetrate more deeply Marx's theory of the twofold character of labour, it is evident that this theory can in no way be separated from the context of Marx's idea, including within it the investigation of all three pairs of the above oppositions. The theory of the twofold character of labour is, in fact, constructed by Marx precisely for the purpose of explaining the twofold character of the commodity. But Bessonov himself recognises that the twofold character of the commodity means a 'contraposition of the *material* entity of a thing to its *social* entity'. Isn't it evident, then, that the theory of the twofold character of labour also must include within it the contraposition of the material-technical character of labour to its social character? If we deny this, we destroy all the parallelism between the theory of the twofold character of the commodity and the theory

of the twofold character of labour, a parallelism which comes clearly into view upon reading the second section of the first chapter of *Capital*.

In *Critique of Political Economy*, in the supplement to the first chapter entitled 'Historical notes on the analysis of commodities', Marx understands the twofold character of labour precisely in the sense of an opposition between the two aspects of labour: the material-technical and the social. In this supplement Marx wants to elucidate precisely that in which consists the novelty which he brought into the theory of labour. He takes notice of this novelty precisely in the distinction between 'concrete labour' and 'bourgeois form of labour'. On William Petty, Marx writes: 'His case is a striking proof that recognition of labour as the source of *material* wealth by no means precludes misapprehension of the *specific social form* in which labour constitutes the source of exchange value' [*Critique*, p. 294, MEGA, II/2, p. 131]. Marx praises James Steuart in the following statements: 'His *clear differentiation* between specifically *social* labour which manifests itself in exchange value and *concrete* labour which yields use values distinguishes Steuart from his predecessors and his successors' [*ibid.*, p. 298, II/2, p. 135. Emphasis added]. Steuart distinguishes the former type of labour 'not only from *concrete labour* but also from *other social forms* of labour. He sees in it the *bourgeois form of labour* as distinct from its antique and mediaeval forms' [*ibid.*, p. 298, II/2, p. 136. Emphasis added].

Marx's words quoted here leave no doubt about the fact that he saw the central core of his whole theory of the twofold nature of labour precisely in the distinction between 'concrete labour' and the 'bourgeois form of labour'. But if this is the case, it is evident that the opposition of these two aspects of labour is inseparably connected with the opposition of the two aspects of the process of production as a unity of material-technical production and its specific social form. To recognise that the theory of the twofold character of labour is that 'novelty' which Marx brought into science, and to assert at the same time also that 'nowhere and in no circumstances whatsoever did or could Marx have contraposed the material-technical process of production to its social form', as Bessonov does, amounts quite simply to being inconsistent. Bessonov ironically puts in parentheses my words in the following sentence: Marx 'rigorously', 'consequently' and 'exactly' distinguished both aspects of the process of production. He does not know that the same expressions are constantly used by Marx. We have already seen that Marx praises Steuart for his '*rigorous*' distinction between both aspects of labour. In another place Marx writes that 'neither Ricardo nor any other economist, before or since him, has *accurately distinguished* the two aspects of labour' (*Capital*, vol. I, 1928, p. 141 [*Capital*, I, p. 198, MEGA, II/6, p. 216. Emphasis added]).

Bessonov may protest that Marx contraposes both aspects of labour to one other but does not contrapose the material-technical process of production to its social form. We have already seen that to assert this is equivalent to impairing the whole construction of Marx's thought, distinguished by the greatest consistency and unicity. We have already seen that the theory of the twofold character of labour necessarily leads us to the twofold character of the process of production itself. Whoever recognises the presence of the first two pairs of oppositions in Marx's system must recognise also the presence of the third opposition, hidden in the process of production itself. But let us leave aside for the moment the internal connection of all the oppositions we have indicated, and expand on the last one individually.

Bessonov attempts to prove his idea with the following argument: '*nowhere and in no circumstances whatsoever* did or could Marx have contraposed the material-technical process of production to its social form, for the *simple reason*, that, following the meaning of the whole theory of Marx, *without* social form there is not and cannot be any material production' (p. 134. Emphasis added). Indeed, here the critique of Bessonov's logic must take the place of the critique of the economy. The words of Bessonov manifest the rudest incomprehension of elementary foundations of dialectical logic. From the fact that material-technical production does not exist *without* social form, our critic draws the conclusion that we have no right to *contrapose* them to each other. In other words, where a *unity* exists, there cannot exist, in the opinion of Bessonov, any *opposition*. But this proposition violently upturns the elementary foundations of dialectical thinking, on which is constructed Marx's whole system. Bessonov quite simply rejects the law of the unity of opposites, forbidding us once for all to oppose to each other the different aspects of a single process. But in such a case we will have to discard all social sciences studying individual aspects of social life (the economy, law, ideology). Certainly, the economy does not exist *without* law, nor law *without* the economy. That is, in Bessonov's opinion, we do not have the right to oppose them to one another. But let us go back to the sphere of the economy. The productive forces do not exist *without* the relations of production, and vice versa, that is, in the opinion of Bessonov, we have not the right to *oppose* them to one another. But in such a case, the entire theory of the contradiction between the productive forces and relations of production disappears, a theory to whose veracity Bessonov shows respect on every page.

As we see, Bessonov's central argument on the impossibility of the contraposition of the material-technical process of production to its social form is based on the rudest mistake: the incomprehension of the laws of dialectical logic, which does not regard unity and opposition as absolutely exclusive from one another but prescribes us to find an opposition in the unity.

Let us however put aside this logical drawback and move to the problem of essential importance. Is it true that 'nowhere and in no circumstances whatsoever did or could Marx have contraposed the material-technical process of production to its social form'? Let us assume that in this respect Bessonov is right. But this would indeed mean that 'nowhere and in no circumstances whatsoever did or could Marx have contraposed' the productive forces to the relations of production of people. But in spite of this, Bessonov asserts on page 132 that 'the contradiction between the productive forces and the relations of production was in Marx's conception the driving principle of social development'.

Here Bessonov defeats himself. If it is true that the central idea of Marx's whole theory boils down to the *contradiction* between the productive forces and the relations of production, it is self-evident that Marx had to *contrapose* the productive forces to the relations of production. But this means in fact that Marx contraposed the material-technical process of production to its social form. Bessonov must reject one of his two assertions. He must either deny the presence in Marx of the theory of the contradiction between the productive forces and the relations of production, or he must reject his careless assertion that 'nowhere and in no circumstances whatsoever did or could Marx have contraposed the material-technical process of production to its social form'.

As we see, our assertion that Marx drew an acute distinction between the material-technical process of production and its social form arises from Marx's theory of the contradiction between the productive forces and the relations of production. This theory constitutes the central core of the whole theory of historical materialism. Let us expect that Bessonov will not dispute this. Neither can he dispute the fact that Marx's economic theory is constructed on the basis of the theory of historical materialism. But in such a case, for everyone thinking consistently the following conclusion is unavoidable: *the fundamental particularity of Marx's economic theory, contrary to bourgeois political economy, 'is characterised by the consistently carried out distinction between the productive forces and the relations of production, between the material process of production and its social form, between the labour process and the process of value formation'* (*Essays*, p. 41 [cf. p. 56 in the present translation]). It is precisely these assertions of mine that give rise to an unmerciful critique from Bessonov.

However, the theory of the distinction between the material-technical process of production and its social form does not only arise from the theory of historical materialism, it does not only serve as the general methodological principle from which Marx approaches the study of every particular problem.

We can only express our extreme astonishment at the fact that Bessonov did not notice it in *Capital*. We point out to Bessonov that Marx draws this distinction in the first part, in which he proceeds to study the capitalist economy. We are speaking of Part III of the first volume of *Capital*, the first chapter of which is entitled: 'The Labour Process and the Process of Production of Surplus-Value'. This title could have already indicated to Bessonov that, no sooner than had he proceeded to study the capitalist economy, Marx had regarded it necessary to point out its *twofold* character and to *contrapose* its two aspects to one another.

If the title of the above indicated chapter is not yet convincing enough for Bessonov, he would be able to convince himself of the falseness of his assertions from the content of this chapter. The chapter is divided into two sections: the first considers 'the labour process or the production of use value', and the second 'the production of surplus value'. In the first section Marx emphasises that 'we shall, in the first place, have to consider the labour-process independently of the particular form it assumes under given social conditions' [*Capital*, I, p. 173, MEGA, II/6, p. 192]. This labour-process is considered by Marx as 'the necessary condition for effecting exchange of matter between man and Nature', independent of its social form [*ibid.*, p. 179, II/6, p. 198]). But Marx knows that, when we studied the labour-process, '*up to this point*, we have considered *only one aspect* of the process' of commodity production (*Ibid.*, p. 127. Emphasis added [*ibid.*, p. 181, II/6, p. 200]). Now it is necessary for us to consider its *other* aspect, the process of augmentation of value, connected with its social form. 'We have now to consider this labour under a very different aspect from that which it had during the labour-process' [*ibid.*, p. 183, II/6, p. 202]. Here Marx already shows the inseparable connection of the theory of the twofold nature of labour with the theory of the twofold nature of the process of production. Marx summarily stresses still more clearly this idea on page 135. 'We now see that the *difference* we have obtained from the analysis of a commodity between labour, insofar as it produces utilities, and the same labour, in so far as it creates value, is now shown as a *distinction between two aspects of the process of production*' (emphasis added [*ibid.*, p. 191, II/6, p. 209]). In reading these words, is it possible to assert that Marx contraposes two aspects of labour to one another, but he never contraposes the different aspects of the process of production to one another?

It is truly astonishing that Bessonov thinks it possible to find support for his point of view in the following words of Marx: 'Just as a commodity itself is the unity of use value and value, the process of production of a commodity must be the unity of the labour process and the process of value formation' (p. 138 of Bessonov's article [a free quotation from Chapter 5 of *Capital*, vol. 1]). Here Bessonov is under the influence of a false impression as if the *unity* of the

process of commodity production excludes the *opposition* of its two aspects. In fact, precisely because the process of commodity production is a *unity* of the labour process and the process of value formation, we must *distinguish and contrapose* both of its aspects to one another. On page 141 of *Capital* Marx speaks of 'the *difference* between the two processes [Rubin modifies this phrase into 'labour process and process of value formation']', and only by means of this difference succeeds in elucidating the entire series of complex economic phenomena, for example, the fact, strange at first sight, that a machine 'continually enters as a whole into that process, while it enters into the process of formation of value by fractions only' [*Capital*, I, p. 198, MEGA, II/6, p. 215].

We have already seen all the unfoundedness of Bessonov's assertion that Marx does not draw a 'rigorous' distinction between the material-technical process of production and its social form. If Marx writes that the process of capitalist production 'is as much a production process of material conditions of human life as a process taking place under specific historical and economic relations of production, producing and reproducing these relations of production themselves' [*Capital*, III², p. 818, MEGA, II/15, p. 793], this shows that Marx sees the distinction between both aspects of the process of production, pointing out at the same time also their unity. We have already seen how rigorous a distinction Marx drew between the 'labour process' and the 'process of augmentation of value'. Marx emphatically advanced this distinction against the vulgar economists, who attributed to the labour process the entire series of properties in fact characterising the process of augmentation of value, i.e., a given social form of the labour process. Marx mercilessly attacked the vulgar economists for their 'apologetic endeavours to deduce commodity-capital and money-capital ... as forms arising necessarily from the *process of production as such*, whereas they are due to the *specific form* of the capitalist mode of production' (emphasis added [*Capital*, III¹, p. 324, MEGA, II/15, p. 316]). He wrote, that 'these definitions (of productive labour – *I.R.*) are therefore not derived from the material characteristics of *labour* (neither from the nature of its product nor from the particular character of the labour as concrete labour), but from the definite *social form*, the social relations of production within which the labour is realised' (emphasis added [*Theories*, I, p. 13, MEGA, II/3.2, pp. 443–4]). We could give a dozen of similar kind of quotations. But all the same Bessonov writes (p. 133) that 'in defence of this thesis Rubin cannot give, as this is not strange, essentially any one quotation from Marx'. After this he objects to my assertion that Marx drew 'an exact distinction between the material-technical process of production and its social form'.

Thus, Marx in fact draws a rigorous distinction between the material-technical process of production and its social form, between the productive

forces and the relations of production of people. In theoretical political economy, Marx takes as the direct object of his research the system of relations of production of people in capitalist society, a system whose functioning and development is determined by the development of the material productive forces. Anyone who debates against this proposition refuses the definition of political economy commonly accepted among Marxists. Seemingly aware of the weakness of his position on this problem, Bessonov brings into his reasoning a new argument: 'At first the productive forces appeared to be outside of political economy. Now we set about realising the other concealed plot of Rubin's, to replace the relations of production themselves wholly with the 'economic forms of things'' (p. 131). Thus, Bessonov accused me earlier of studying the relations of production of people but not the productive forces. Now he writes as if I did not study the relations of production of people but replaced them 'wholly' with the economic forms of things.

Only because of a complete incomprehension of all the content of my *Essays* could he throw on me such an accusation. On every page of the *Essays*, I emphasise that the economic forms of things (value, money, capital, and so on) are nothing other than expression of the relations of production of people. 'Marx's economic system studies a series of increasingly complex types of *relations of production* of people, expressed in a series of increasingly complex *social forms* acquired by *things*' (*Essays*, p. 42 [p. 57 in the present translation. Emphasis in original]). Only because the categories of political economy express the relations of production of people do they express social functions or forms of things (*ibid.*, p. 46 [p. 61 in the present translation]). Therefore, behind every social form of a thing we must discover that social relation of production of which it is the expression (*ibid.*, p. 56 [p. 71 in the present translation]). Such is the central idea of my *Essays*. And there are critics who accuse me of 'wholly' replacing the relations of production of people with the economic forms of things.

We consider those economic forms as the expression of the relations of production of people. But precisely because the relations of production of people are 'materialised [reified]' in commodity-capitalist society, the investigation of the economic forms of things (value, money, capital, wage, profit, rent, and so on) acquires a great significance in political economy. However, Bessonov, instead of discovering the internal connection between the relations of production of people and the economic forms of things, prefers to simply chase away the investigation of the latter. 'When Marx wrote in the foreword to Volume I of *Capital* that the aim of his work 'is to disclose the *law of economic development* of the contemporary society', he thought least of all about the 'economic forms of things', representing to Rubin the most confidential in the secrets of Marx's

theory'. Bessonov declares this relentlessly (p. 132). Let us check the correctness of this declaration.

In the foreword to Volume I of *Capital* we find the following words of Marx: 'In the analysis of *economic forms*, moreover, neither microscopes nor chemical reagents are of use. The force of abstraction must replace both' [*Capital*, I, p. 19, MEGA, II/6, p. 66. Emphasis added]. Thus, Marx says straightforwardly that he will be occupied with the analysis of economic forms; but Bessonov decisively declares that Marx thought least of all of the economic forms of things. That Marx speaks precisely of the latter can be seen from the words which follow the above quoted passage: Marx speaks of 'the form of value', of which 'the human mind has for more than 2,000 years sought in vain to get to the bottom of' [*ibid.*, p. 19, II/6, pp. 65–6]. Marx says that the human mind has sought in vain to get to the secret of the form of value; Bessonov writes that Marx 'tried to get to the secrets of technological processes' (p. 140). Why does Bessonov so rudely attribute to Marx his own antipathy to the investigation of the 'economic forms of things'?

Let me give some quotations which will show us clearly whether Marx actually thought least of all of the economic forms of things in his researches. Marx saw the main shortcoming of classical political economy in the fact that it did not understand 'the differentia specifica of the value *form*, and consequently of the commodity *form*, and of its further developments, money form, capital form, &c.' (emphasis added [*ibid.*, p. 85, II/6, p. 111, note 32]). As we see, Marx notes here the programme of investigation of the entire series of 'economic forms'. Indeed, Marx emphasised many times the necessity of their detailed investigation.

Setting about the investigation of the metamorphosis of commodities, Marx wrote:

We have, therefore, now to consider exchange *from a formal point of view*; to investigate the change of form or metamorphosis of commodities which effectuates the social circulation of matter. The comprehension of this change of form is, as a rule, very imperfect. The cause of this imperfection is, apart from indistinct notions of value itself, that every change of form in a commodity results from the exchange of two commodities, an ordinary one and the money-commodity. If we keep in view the material fact alone that a commodity has been exchanged for gold, we overlook the very thing that we ought to observe – namely, what has happened to the *form* of the commodity.⁷⁰

⁷⁰ Marx, *ibid.*, emphasis added [*Ibid.*, p. 106, II/6, p. 130]).

Exactly in the same way at the very beginning of Volume II of *Capital*, Marx wrote: 'In order to conceive these forms (of capital) in their pure state, one must first of all discard all factors which have nothing to do with the *changing or building of forms* (Formwechsel und Formbildung) as such' [*Capital*, II, pp. 25–6, MEGA, II/13, p. 28]. Is it correct then, to say that Marx thought 'least of all' of the economic forms of things?

Marx did not only not chase away so easily the economic forms of things as Bessonov does. On the contrary, he recurrently and ardently accused the vulgar economists precisely of their disdain for these forms. Let me give some interesting quotations in regard of this point. Marx severely criticises 'the crudity with which the economist generally considers *distinctions of form*, which really concern him only from their substantive side' [*Capital*, III¹, p. 323, MEGA, II/15, p. 316. Emphasis added]. In another place Marx criticises equally severely 'the ordinary economic treatises which, exclusively interested in the material side of the question, neglect every difference of form' (*Capital*, vol. I, p. 423 [*Capital*, I, p. 508, MEGA, II/6, p. 505]). We find an analogous phrase also in the first edition of *Capital*, where Marx says that 'economists have overlooked the form-content of the relative value-expression, entirely under the influence of material interests' [English version, p. 22, MEGA, II/5, p. 32, note 20]. This interest of Marx's in the 'difference of forms', 'building of forms', 'change of forms', arises from his understanding of the economic forms of things as the expression of the relations of production of people.

If Bessonov consistently went through with his negative relation to the investigation of 'economic forms of things', he would be directly tied up with some proponents of the social tendency, in particular with Tugan-Baranovsky with his 'social theory of distribution'. N.I. Bukharin vehemently criticised Tugan-Baranovsky precisely because he studies the class relations in capitalist society independently of the problem of value, i.e., the problem of the 'economic forms of things'. 'The *contemporary* struggle for participation in the social product', wrote Bukharin, 'has a specific property: this is a struggle for economic *values*. The abstraction from value would therefore be an abstraction from the truly typical feature of the contemporary form of society'.⁷¹

In order to explain the capitalist relations of distribution, it is not sufficient, as Tugan-Baranovsky does this, to refer to the class struggle, it is necessary to show how this struggle of the classes, dividing among them

71 N. Bukharin, 'Political economy without value' (*Fundamental Problems of Political Economy*, third edition [1928], p. 479).

the social product, finds its expression in the general category of the commodity economy, in value, i.e., how this class struggle appears in the form of a struggle between buyer and seller of a commodity, named labour power.⁷²

This means that the investigation of the capitalist relations of production, and in particular of class relations, is impossible without studying the 'economic forms of things' (value, money, wage, profit, capital, and so on).

What evidence does Bessonov bring forward in favour of his assertion that I would wish to 'replace' the relations of production 'wholly with the economic forms of things'?

As the proof of his assertion Bessonov brings out only one 'astonishing' place – so described – from my *Essays*, namely the footnote on page 40 [cf. the original note 7 on p. 55 in the present translation]. In this footnote I pointed out that the problem of commodity fetishism does not coincide with the problem of the dependence of the relations of production of people on the state and distribution of the productive forces. The first problem exists only for the commodity economy, the second problem must be raised in the investigation of any social formation, for example a feudal economy. Bessonov writes:

Thus, of the infinite sphere of the relations between 'things' and social relations, in this chapter (as in all others) Rubin is interested only in the *form* of their mutual 'fusion', i.e., 'commodity fetishism in the proper sense of the word'. He 'promptly' escapes in crossing himself from such a cardinal problem as 'the problem of the dependence of the relations of production of people on the state and distribution of productive forces'.⁷³

We beg the reader to read not only the footnote on page 40 of *Essays* [see above], but also the text on the same page, to which this footnote relates, in order to be convinced how far our critic has managed to distort my *Essays*. On page 40 of *Essays*, I wrote:

In feudal society the relations of production among people are established *on the basis of* the distribution of things among them and *for* things, but not *through* things ... The specific nature of the commodity-

72 *ibid.*, p. 480.

73 Bessonov, *ibid.*, p. 131.

capitalist economy consists in that the social relations of production are established *not only* for things *but also* through things.⁷⁴

From these words of mine, it may appear, arises an indisputable conclusion: in studying the feudal economy we have to do *only* with the problem of 'the dependence of the relations of production on the state and distribution of productive forces'; but in the capitalist economy we have to do *not only* with this problem, *but also* with the problem of commodity fetishism, i.e., of the 'fusion' of relations of production and things. But the critic distorts my idea and attributes to me an intention to completely exclude the first problem when studying the commodity-capitalist economy. In the place where I wrote the words '*not only, but also*', the critic puts the word '*only*' and expects to astonish his opponent by means of this really 'astonishing' handiwork.

How the critic misunderstood my idea can be seen from the fact that he attributes to me the intention to connect the entire problem of 'the dependence of the relations of production on the state and distribution of productive forces' to the sphere of the science of social technique (p. 131). Such an intention would have never come to my mind, since the setting of this problem was necessary for us precisely to understand the particularity of the structure of the *relations of production* but not of the productive forces. Therefore, on page 39 [p. 54 in the present translation] of *Essays* – and Bessonov managed, in his enthusiasm for criticism, to fail to notice this – I straightforwardly point out that the law of the dependence of the relations of production of people on the distribution of the means of production among different classes is 'a general sociological law', the investigation of which relates to the theory of historical materialism, but not at all to the science of social technique. Insofar as this law is formulated in a general form, applicable to all social formations, it relates to the theory of historical materialism. Insofar as the question is about a formulation of this law for commodity-capitalist society, we have to do with a bordering problem, which enters into the theory of historical materialism as well as into political economy. We can say that the theory of historical materialism ends with this problem, and political economy begins with it. This is completely understandable precisely from the point of view I defend. I emphasise that political economy carries out all of its research on the basis of a determinate *structure of relations of production* of people. But since the commodity-capitalist structure of the relations of production arises and develops on the

74 *ibid.*, emphasis in original [p. 55 in the present translation], in the original text: 'not only for things but also *through* things,' instead of '*not only* for things *but also* through things'.

basis of a certain distribution of the means of production among various social groups, political economy must also begin from the analysis of the latter. Precisely for this reason I began the first chapter of *Essays* in pointing out the specificity of the commodity economy, which consists in the fact that 'the managers and organisers of production are self-sustaining commodity producers independent from each other', possessing, 'based on the right of private property', 'the necessary tools of production and raw materials' (*Essays*, p. 15 [p. 31 in the present translation]).

Thus, the accusation of the neglect of the problem of the dependence of the relations of production on the distribution of the means of production among various classes could only be thrown out by Bessonov because he quoted my footnote on page 40 of *Essays* but not the main text to which this footnote relates. But it is well known to everyone that to understand the meaning of a footnote it is useful to read the corresponding text.

For the purpose of introducing some diversity in his polemical attitudes, Bessonov in other instances behaves otherwise: he reads a passage of text, ignoring the adjoining footnote. He writes that

the categories of capitalist society (capital, surplus value, wage, profit, rent, interest, and so on) are estimated by him (Rubin) as a simple *complication* of the categories of the commodity economy ... It is superfluous to demonstrate how much dissimilar such a perspective on Marx's conception is. Capitalist society is, according to Marx, not a simple 'complication' of the commodity economy, it is in its principle a *different* type of society, though equally on the same commodity basis, which appears as a result of a cataclysm, of a leap, but in no way as a result of a simple 'complication'. There is no place for this leap, this cataclysm in the 'theory' of Rubin, for whom all societies in which the relations of people are covered by the shell of things are essentially not distinguished from each other by *anything* other than greater or lesser complicity.⁷⁵

Anyone who is familiar with my *Essays* can easily see the complete unfoundedness of this accusation. In *Essays* I insistently advance the idea of the qualitative particularity of each economic structure of society. I insistently emphasise the idea that the different economic structures of society are qualitatively, but not only quantitatively distinguished from each other. Therefore, in saying on page 42 of *Essays* that 'Marx's economic system studies a series of increas-

75 Review by S. Bessonov in 'Report of the Central Executive Committee' (30 November 1928).

ingly complex types of *relations of production* of people', on the same page I regarded it necessary to make the following footnote: 'We have in mind the various forms or types of relations of production of people in *capitalist* society, and not the various types of relations of production characterising *various* social formations' [p. 56 note 1 in the present translation. Emphasis in original]. Perhaps, it must be clear to every unprejudiced reader, it is that I consider the process of complication of the relations of production and of the economic categories corresponding to them against the backdrop of a definite economic structure of society, namely that of the capitalist economy. Recognising the qualitative particularity of every economic structure, I directly pointed out that the historical transition from the simple commodity economy (which existed prior to the appearance of capitalism, though not in a fully developed form) to the capitalist economy had the character of the apparition of a qualitatively new economic structure, the character of an economic revolution. On page 102 of *Essays* I wrote: 'For the transformation of money into capital, an enormous historical revolution was necessary, as described by Marx in the chapter on primitive accumulation' [p. 121 in the present translation. Emphasis in original].

Let me point out incidentally that S. Bessonov does not waver about advancing against me an accusation of *completely contrary character*, pursuing exclusively one objective: to cast doubt on his opponent. As mentioned above, Bessonov attributed to me the opinion that capitalist society arose as a result of a simple 'complication' of the commodity economy. Evidently, this accusation presupposes the existence of a simple commodity economy prior to the appearance of the capitalist economy. However, in the theses of Bessonov, presented in the dispute at the Institute of Red Professorship on 30 March 1929, we read: 'For him (Rubin) value is not a historical 'prius [antecedent]' of the price of production, the commodity is not a historical precedent of capital, and the simple commodity economy is *only a logical abstraction of the capitalist economy*[']. Bessonov is not aware (or expects that the others will not become aware) of the contradiction in his argumentation. Only one of the two is possible: if, from my point of view, 'the simple commodity economy is only a logical abstraction of capitalist society', it is absurd to accuse me of the negation of a 'leap' in the transition from the former to the latter; or if I actually am guilty of negating this 'leap', evidently, I recognise the existence of the simple commodity economy prior to the appearance of capitalism. Both of Bessonov's accusations cannot be simultaneously correct. But this does of course not mean that both of them cannot be false. One accusation is as little founded as the other.

The unfoundedness of the accusation of the negation of a 'leap' has already been demonstrated above. As for the accusation of the negation of the his-

torical 'prius' of value, it is enough for us to quote the following passage from *Essays* (p. 278): 'Labour value (or the commodity) is a historical 'prius' in relation to the price of production (or capital), it existed in a rudimentary form before capitalism, but only a certain development of the *commodity economy prepared the basis for the emergence of capitalist economy*' [p. 325 in the present translation. Emphasis in original]. We regard it as superfluous to add anything to this quote.

We have already indicated above one of the procedures of Bessonov's polemic. If I write that for the investigation of capitalist society we have *not only* the problem of the dependence of the relations of production on the distribution of the means of production, *but also* the problem of the fusion of the relations of production with things, Bessonov asserts that I recognise the existence of *only* the latter problem. In the place of the words '*not only, but also*', Bessonov puts the word 'only'. His second procedure consists in putting the word 'only' in the place where this word does not at all appear in my text. Bessonov writes on page 139 of his article: '... as Rubin asserts this when he says that it is only exchange which inseparably unifies in itself the social-economic and material elements'. I leave it the reader to turn to page 26 [p. 42 in the present translation.] of *Essays*, to which Bessonov refers, in so doing he will be convinced that I do not say there anything about 'only' exchange unifying within itself both of these elements. As the reader will be convinced from the same page 26, our phrase about exchange is nothing other than a repetition of the indication, to be found many times in Marx's text, that the process of circulation includes within it the 'exchange of material' and the 'transformation of forms'. But we have indicated at the same time that the process of production also unifies within itself the material and social-economic elements (*Essays*, pp. 16–17, 22, 24, 25 [pp. 32, 38–40 in the present translation.]). We have only regarded it necessary to emphasise that in the process of direct production the simple producer is connected by relations not directly with *certain* persons but only with an uncertain market (pp. 24–5 of *Essays*). But to deny this would amount to denying the spontaneous character of the commodity economy.

The third procedure of Bessonov's polemic consists in the following: he puts in parentheses and attributes to me words which I have never pronounced. On the same page 139 where Bessonov gave a little alteration to my phrase on exchange, he writes: 'Rubin explains to us by all possible means that technology has no relation with the social forms of social phenomena, that this is something that relates to the 'natural relations of objects', in every way expelled from political economy into the sphere of crude naturalistic categories'. Readers not familiar with Bessonov's polemical procedures may think that the words

put in parentheses 'natural relations of objects' belong to me and are stated by me, if not 'by all possible means', as Bessonov asserts, but at least *once*. However, these words do not belong to me at all. On the foregoing page of his article (p. 138), Bessonov gives a quotation from Amonn, in which are found these words. On the following page, however, these words are attributed to me.

The above given examples, the number of which could be still increased, are sufficient for characterising the procedures of Bessonov's polemic.

4.3 *The Classical Economists and Marx*

In the first part of the article, we responded to the objections furnished by S. Bessonov in his article in issue no. 1 of the journal *Problems of Economy*; now we pass to the examination of the second half of his article, published in issue no. 2 of the same journal.

Bessonov devotes the first part of the article to the problem of the classical economists and Marx. Bessonov acutely criticises the description of the theory of commodity fetishism given by me in *Essays*; he asserts that I have inaccurately attributed to Marx the accomplishment of the discovery of the secret of fetishism. In his opinion, this secret had already been discovered by the classical authors.

In the opinion of Marx, the classical economists had already seen within things the relations of production of people concealed behind them. Certainly, they had not seen this so clearly as Marx saw, and they often became confused over this problem due to the fact that they regarded the commodity i.e., bourgeois production as eternal and not historically-transient. But, of course, it is not possible that Marx ever thought of attacking the classical authors precisely *for this reason*. On the contrary, the theory of commodity fetishism divides Marx not from the classical economists, but from the vulgar economists (*Problems of Economy*, no. 2, p. 83. In the following we quote this journal article without indicating the source).

Bessonov's conclusion, emphasised in italics, is, that '*Rubin imposes on the reader the distinction of Marx from the classical economists, invented by him*' (p. 82).

This time, too, Bessonov wants to find out a similarity between my descriptions and the ideas of Struve or of other bourgeois economists of the social tendency. He announces that I present to the reader a 'representation on the classical economists à la Struve-Stolzmann' (p. 80). Bessonov himself is con-

vinced that the classical authors had already been able to discover the relations of production of people behind the material categories, and that it is not necessary to seek here their primary distinction from Marx; in his opinion, the main shortcoming of the classical authors does not at all consist in their having been 'unsocial', but in their having been 'ahistorical' (p. 82). This feature of 'non-historicity' seems to Bessonov to be sufficient for drawing a dividing line between the classical economists and Marx. He criticises me precisely because I regard this feature as insufficient. 'The whole point is that the feature of historicity or non-historicity seems to Rubin as insufficient' (p. 82).

Let me turn to the examination of this view of Bessonov's on the theory of the classical economists. For what reason does Bessonov attribute to me the idea that the classical economists are in no way distinguished from the vulgar economists? As evidence he brings out the following phrase from my book *A History of Economic Thought* [История экономической мысли, Г.И.З., 1926, cf. FIGURE 6 on p. 10 above] (p. 237): 'Ricardo takes for the property of things themselves the social forms which things assume in the presence of certain relations of production among people'. This quotation induces Bessonov to lift up the following shout: 'You must adopt a most pejorative attitude toward the direct statements of Marx in order to decide to cast such an accusation on Ricardo in a work pretending to be of Marxist character and officially authorised by the State Academic Council [Государственный Учёный Совет]' (p. 78). Here Bessonov refers to Marx's well-known phrase saying that Ricardo considered value as 'a simple expression, a specifically social form of the relations of production of people'. From here he draws the conclusion that I borrowed the evaluation of classical authors not from Marx but from Struve.

This accusation of Bessonov's, like most of his other accusations, arises solely from the impeccable ignorance of the author on Marxist literature devoted to this problem. Had I actually to rely on Struve in order to find out indications on the inclination of the classical economists toward confounding the social functions of things with their natural functions? Couldn't I find a similar kind of indication in Marx himself, as well as in the most authoritative representatives of Marxism who wrote during the last half-century? If Bessonov had not been entirely reckless of the history of Marxist thought, he would have been easily convinced that the statement on Ricardo, of which he finds me guilty, is nothing other than a repetition of the idea to be found in the majority of authoritative representatives of Marxism. On this problem, as also on others, Bessonov conspicuously ruptures with the views commonly admitted among Marxists, while being unaware of this himself.

Let us begin in the chronological order with the old article of Kautsky's entitled '*The Poverty of Philosophy*' and '*Capital*', which he wrote in the 1880s

when he was still in constant correspondence with Engels. In this article he writes:

The economists, even Ricardo in many cases, confounded in most cases the *natural* forms, which lie at the basis of economic categories, with the *social* relations expressing them in reality. They had to do so since they considered the economic categories, insofar as this was possible in general, as separated from each other in an immutable state. In such a manner of research their social character was almost entirely lost from their view, while their natural forms became more evident (Kautsky, *Works*, vol. I, 1928, p. 219).

He discusses the same issue in another place:

Marx starts in this way from the analysis of the commodity, while Ricardo (and also Rodbertus) takes the commodity and the product for something different in meaning, confounds the natural form lying at the foundation of the commodity with the social relation transforming a product into a commodity.⁷⁶

In a still more sharp expression, if that is possible, we find the same characterisation of the classical economists in Rosa Luxemburg:

[T]here is a fundamental distinction, however, between Marx's theory of value and Ricardo's, a distinction which has been misunderstood not only by bourgeois economists but also in most cases by the popularisers of Marx's theory: Ricardo, conceiving as he did of bourgeois economy in terms of natural law, believed also that the creation of value, too, is a natural property of human labour, of the specific and concrete labour of the individual human being.⁷⁷

This trait appears still more conspicuously in Smith. He believes

that the creation of value is a direct physiological property of labour, a manifestation of the animal organism in man. Just like a spider produces

⁷⁶ Kautsky, *ibid.* p. 224.

⁷⁷ Luxemburg, *The Accumulation of Capital*, 1923, p. 48 [Rosa Luxemburg, *Die Akkumulation des Kapitals*, Verlag Neue Kritik, Frankfurt, 1923, p. 33. *The Accumulation of Capital*, translated by Agnes Schwarzschild with an introduction by Joan Robinson, Routledge and K. Paul, London, 1951, p. 68].

spider's thread from its body, a working man creates value, – every man who creates useful things, because he appears from the beginning as a commodity producer, the human society being from its nature a society based on exchange, then the commodity economy is the normal form of human economy. (ibid., 49 [ibid])

At the end of the passage quoted above, Luxemburg correctly points out the cause which induced the classical economists to see in value a property inherent in every product of labour. This cause is included in the fact that they took capitalist production for production in general, i.e., did not distinguish the material-technical process of production in general from that specific social form which it assumes in the capitalist economy. The infelicity of the classical authors was not only in their 'non-historicity', as Bessonov thinks. If Marx's accomplishment had been only in understanding the historically-transient character of capitalism, it would have been difficult to distinguish Marx from the bourgeois economists of the historical tendency, and in particular from someone like Sombart. Marx did not only show us the historically-transient character of the capitalist economy, but also elucidated that the emergence, development, and collapse of every economic formation of society is explained by the contradiction between the productive forces and the relations of production, i.e., between the material process of production and the specific social form it assumes in a given historical period. It is this theory of the contradiction between the productive forces and the relations of production which makes Marx's method not only historical but also dialectic. And it was precisely this dialectical understanding that was entirely alien to the classical economists. Marx writes on Ricardo: 'Ricardo regards bourgeois, or more precisely, capitalist production as the *absolute form* of production, whose specific forms of relations of production can therefore never enter into contradiction with, or enfeet, the aim of production – abundance' [*Theories*, 2, p. 247, MEGA, II/3.4, pp. 1247–48. Emphasis in original but not reproduced in Rubin's quotation]. As we see, the main shortcoming of Ricardo is, in Marx's opinion, in his not having considered economic phenomena as connected precisely to the given, specific form taken on by the process of production in the capitalist economy. This means also that the classical authors were not only 'ahistorical', but also confounded the social functions of things with the technical ones. To see the sole difference of Marx from them in his 'historicity' amounts to scratching out his entire dialectic method. Rosa Luxemburg goes still farther and even accuses Smith and his followers of having 'caused confusion because, in their investigation of capitalist exchange, they mixed up the use-form of the commodities with their relations of value' (ibid., p. 56 [German original, ibid., p. 39. English translation, ibid., p. 75]).

Finally, Hilferding too gives approximately the same characterisation of the classical economists. The categories of Ricardo

remain natural categories; for him, value is still a property of the goods, namely, that of being a product of labour, just as with another category of goods their property is that of being scarce. Thus, capital is nothing but 'accumulated labour', a mere 'economic name', as Marx once said, for the means of production.⁷⁸

As we see, the 'strange accusation' which I cast, in the opinion of Bessonov, on the classical economists, is nothing other than a literal repetition of the idea which can be found in every authoritative representative of Marxism. But Bessonov decisively rejects this idea, and considers that the theory of commodity fetishism distinguishes Marx only from the vulgar economists, and not from the classical economists. Which of us, I or Bessonov, follows on this problem the tradition of Marx's thinking, and which of us introduces, in Bessonov's words, an 'incontestable novelty' into Marxist literature? According to Bessonov's self-justification, he quite simply does not know how the best Marxists viewed the theory of the classical authors, and therefore he rejects the views commonly accepted in Marxist literature, while being unaware of this himself. If Bessonov is not satisfied with the quotations given by us above from works of authoritative Marxists, we can willingly ask for help from Marx himself. Is Bessonov possibly ignorant of the fact that the revolutionary change, brought about by Marx in the theory of capital, consists precisely in that he saw in capital the social relation of production of people? Is he possibly ignorant of the fact that the characteristic of Marx's theory of capital acutely distinguishing it from the classical theory consists precisely in this point? Such a view on Marx's theory of capital is not only commonly accepted among Marxists, but also Marx himself repeatedly pointed out this circumstance. Marx wrote: 'Ricardo thus only distinguishes capital as 'accumulated labour' from 'immediate labour'. And it is something purely physical, only an element in the *labour-process*, from which the relation between labour and capital, wages, and profits, could never be developed' [*Theories*, 2, p. 37, MEGA, II/3.3, p. 1025. Emphasis in original but not reproduced by Rubin]. Marx says this still more clearly on Smith. 'He enumer-

⁷⁸ Hilferding, 'On the Formulation of the Problem of Theoretical Economy in Karl Marx,' *Fundamental Problems of Political Economy*, third edition, pp. 75–6 [originally in *Die Neue Zeit*, 1904–5, vol. 1, no. 4, p. 110. English translation in Richard B. Day and Daniel F. Gaido (eds.), *Responses to Marx's Capital – from Rudolf Hilferding to Isaak Illich Rubin*, Brill, Leiden–Boston, 2018, p. 375].

ates the things, the material elements, which form fixed, and those which form circulating capital, as if this definiteness were inherent in these things materially, by nature, and did not rather spring from their definite function within the capitalist process of production' [*Capital*, II, p. 207, MEGA, II/13, p. 187].

It would be possible to increase the number of these quotations, but we think that the above already suffices for fully refuting Bessonov's views. But, the reader may ask, how can we explain in such a case the quotation from Marx reproduced by Bessonov, in which he says that Ricardo considered value as an expression of the production activity of people? This apparent contradiction can be explained very simply by the fact that the system of the classical economists is contradictory in itself. On the one hand, they reduce, although not sufficiently consistently, the different forms of income to value, and value to labour. With their theory of labour value, they prepared the way for discovering the social character of all economic categories. However, they only prepared the way for solving this problem, and did not themselves solve it, mainly due to their incomprehension of the twofold character both of labour and of the process of production itself. Since they confounded concrete with abstract labour, and material-technical with social labour, it is completely understandable that they had to consider value as a result of labour in general and, consequently, as something inherent in every product of labour. On the one hand, they reduced value to labour, but on the other hand, precisely because they did not understand the social form of this labour, they regarded as a natural property of a thing this value as well as the social forms brought about by it (for example, capital). Precisely for this reason, within the theory of the classical economists were constantly confounded and interweaved the two perspectives: the social-labour and the vulgar-material. Therefore, as Marx repeatedly indicates, the theory of Smith was the source of two different streams of economic thought: the theory of labour value, and vulgar political economy. Precisely for this reason, even in the theory of Ricardo there exists, in Marx's words, a 'vulgar element' [*Theories*, 2, p. 500, MEGA, II/3.4, p. 1499], which manifests itself very visibly, for example in his theory of capital and profit.

If Bessonov did not limit himself to only one quotation from my book *A History of Economic Thought*, he would be convinced that I meticulously emphasise both of these aspects of the theory of the classical economists. On page 280 of this book, I gave a general characterisation of their theory in the following words:

The classical school studied the social forms of things (value, wage, profit, and rent), not clearly taking account of the fact that they are nothing other than expression of social relations of production of people. From

here follows the duality in the theories of the classical school. Insofar as it studied the *social forms* of things in their distinction from the things themselves (for example, the value of a product as distinguished from the product itself as a use value), it considered them as results of *human labour* (though not being clearly aware of the social form of organisation of labour), and at the same time also of human *society*. From this 'labour' point of view, the classical economists reduced wage, profit, and rent to value, and value to labour. They found in labour the deeply concealed basis of all economic phenomena, and with their theory of labour value laid the foundation of political economy as a social science. On the other hand, insofar as the classical authors studied the social forms of *things*, they were inclined to seek their provenance in the natural or material-technical properties of these things themselves. It seemed to them to be self-evident that the means of production (machines and others) possess the social form of capital. It seemed to them no less obvious that capital must bring with it profit. From here it was easy to arrive at the conclusion that, in its material-technical form (machines and so on), capital creates profit to be received by its possessor. Such a view is in complete accordance with the commonly accepted, 'vulgar' views dominant in the circles of entrepreneurs and generally in a wide public, restricting themselves to a superficial observation of economic phenomena.

This quotation undoubtedly shows that I sufficiently emphasised *both* aspects of the theory of the classical economists and pointed out the peculiar entanglement in their works of two points of view, i.e., the labour and vulgar perspectives. Precisely for this reason it can never be said that the classical authors could themselves dissolve the secret of commodity fetishism and consider the economic categories as an expression of the relations of production of people. Taking notice of the vulgar or naturalistic aspect in the theory of the classical economists, we do not only not run counter to the truth, but also we make it possible to understand correctly the distinction of Marx from the classical economists, a distinction which, according to Luxemburg, 'the bourgeois economists could not evaluate'. Now we can only add that this distinction was not understood not only by bourgeois economists, but also not understood up to the present by some economists willingly counting themselves among the orthodox Marxists. Apparently, they see their orthodoxy in depriving Marx of the honour of disclosing the commodity fetishism, to attribute it instead to the classical economists.

4.4 *The Theory of Commodity Fetishism*

In reading the above description, the reader may easily represent to himself Bessonov's views on the theory of commodity fetishism. In his words, 'Rubin declares, *unexpectedly for Marxists*, that the theory of commodity fetishism is the greatest of all of the discoveries of Marx' (p. 84. Emphasis added). Bessonov asserts that 'such an emphasis on the theory of commodity fetishism presents itself as an incontestable novelty in Marxist literature' (p. 83). As usual, here too he cannot do without attributing, by means of a slight 'correction' of quotations from the author he criticises, to him ideas belonging in fact to the critic himself. Bessonov attributes to me the idea that Marx's exploit consists *only* in his theory of commodity fetishism. Bessonov queries: 'Is it true that Marx's exploit in respect of political economy consists *only* ('exclusively!') in the fact that Marx discerned behind things the relations of production?' (p. 83) In support of this, Bessonov brings up on the same page the following quotation of mine: 'What makes up his *exclusive* exploit is that he introduced into the political economy the sociological method, discerning in the reified categories the expression of relations of production of people'. Bessonov found this quotation on page 36 [pp. 51-2 in the present translation] of *Essays*. However, the deplorable experience of becoming acquainted with the procedures of Bessonov's polemic has already accustomed us not to putting confidence in his parentheses and citation of pages in my *Essays*. Let us too turn this time to page 36 of *Essays* from which he quotes; to our astonishment, instead of the quotation brought up by Bessonov we find the following words: 'The abstract method is common to Marx with many of his predecessors, including Ricardo. But *his exclusive* exploit is the introduction in political economy of sociological method, discerning in the material categories an expression of the relations of production of people'. As is clear to every literate reader (and Bessonov, as we will see below, regards himself a specialist in literacy), in this passage I never assert that his theory of commodity fetishism is Marx's only exploit; rather I assert that the development of the theory of commodity fetishism is 'exclusively his (i.e., Marx's) exploit', and not the exploit of the classical economists, as Bessonov thinks. Let me prove now also with regard to this problem which of us, I or Bessonov, shares the views commonly admitted in Marxist literature, and which of us deviates from them.

Let us begin with Engels, who writes:

[E]conomics is not concerned with things but with relations between persons, and in the final analysis between classes; these relations, however, are always *bound to things* and *appear as things*. Some economists had an

inkling of this connection in isolated instances, but *Marx was the first to reveal its significance for the whole of economics*, thus making the most difficult problems so simple and clear that even bourgeois economists will now be able to grasp them.⁷⁹

As we see, Engels regards that 'Marx was the first to reveal' the theory of commodity fetishism, that in his predecessors a faint consciousness on the connection between things and social relations of people appeared and disappeared only in individual cases. Bessonov himself knows that the words of Engels quoted above straightforwardly upturn all of his views on Marx's theory of commodity fetishism. Therefore, he thinks that this opinion of Engels's on the theory of commodity fetishism is 'somewhat different' from the opinion of Marx himself (p. 94). It is not worthwhile to demonstrate in detail that this opinion of Engels's exactly characterises the very essence of Marx's theory, and was shared to the full extent by all the authoritative Marxists.

Plekhanov wrote:

The economic categories express in themselves nothing other than the reciprocal relations of people, or of the whole classes of society in the social process of production. Economic science stood on the correct point of view *only when* understanding this, and when employed in studying those interrelations which are concealed behind the apparent qualities of things and behind the secret properties of economic categories.⁸⁰

Plekhanov says that political economy stood on the correct point of view only when the secret of commodity fetishism was discovered, and Plekhanov attributes the honour of this revolutionary change in science precisely to Marx.

Kautsky writes in his famous work of popularisation *The Economic Doctrines of Karl Marx*: 'Marx *first* discovered the fetish character of the commodity; it was he who *first* recognised capital not as a thing but as a relation realised through things, as a historical category' (Kautsky, *Works*, vol. 1, p. 201). In other places Kautsky emphasises the revolutionary significance of this disclosure of the fetishism inherent in bourgeois political economy, including that of the classical economists (*ibid.*, p. 224 and elsewhere).

79 *Under the Banner of Marxism*, 1923, no. 2/3, p. 56. Emphasis added [Engels, 'Karl Marx, A Contribution to the Critique of Political Economy,' MECW/16, p. 476, Engels, 'Rezension zu Karl Marx: Zur Kritik der politischen Ökonomie. Erstes Heft,' in *Das Volk*. Nr. 16, 20 August 1859, MEGA, 11/2, pp. 253–44. The last emphasis is added by Rubin].

80 Plekhanov, *Works*, vol. VI, 1925, p. 170. Emphasis added.

Luxemburg writes: 'it was left to Marx to recognise that a given value covers a definite social relationship which develops under definite historical conditions. Thus he came to discriminate between the two aspects of commodity-producing labour: concrete individual labour and socially necessary labour' (*The Accumulation of Capital*, p. 49 [German original, *ibid.*, pp. 33–4. English translation, *ibid.*, pp. 68–9]).

Hilferding too emphasises that, solely owing to his theory of commodity fetishism, Marx succeeded in resolving the enigma of society:

By identifying the 'social substance' of the commodity, by demonstrating that the question under consideration, behind the seemingly material relations of the commodities, is actually human relationships, and moreover, human relationships within very specific relations of production in commodity-producing society – i.e., through the discovery of the *fetish character* of the commodity – the 'mystery' of society was then resolved. It is, however, a *different* way of positing the problem, which must not be overlooked if we want to analyse the relationship of *Marx to Ricardo*, because it is only from here that one can clearly distinguish the very different meaning of both systems.⁸¹

These quotations sufficiently clarify to what extent Bessonov is right when he says that 'such an emphasis on the theory of commodity fetishism presents itself as an incontestable novelty in Marxist literature'. This emphasis may appear as an 'incontestable novelty' only for a critic who did not bother to become acquainted with what has been written on this problem in Marxist literature during the last half-century. The central importance of the theory of commodity fetishism was always known to Marxists, and in this respect once again I only defended and developed the idea to be found in the best representatives of Marxist economic literature. If I wrote that the theory of commodity fetishism is a 'propaedeutic of political economy', N.I. Bukharin too expressed the same idea in other words in his book *The Politics and Economics of the Transition Period* (p. 7). 'In his theory of commodity fetishism, Marx gave a brilliant sociological introduction to theoretical economy and established the latter as a historically bounded discipline.'

Bessonov tries to rely upon the pretension as if Marx himself did not attach such central importance to his doctrine of commodity fetishism: 'Neither Marx

81 Hilferding, 'On the Formulation of the Problem of Theoretical Economy in Karl Marx', p. 75. Emphasis added [*ibid.*, in *Die Neue Zeit*, p. 109. *ibid.*, English translation, p. 374, cf. note 78 above]).

nor anyone of his followers up to Rubin ever discovered that the theory of commodity fetishism contains the key to the entire theory of Marx' (p. 24). Concerning the 'followers' of Marx, we have already seen clearly enough that all of them unanimously emphasise the enormous significance of the theory of commodity fetishism as a 'key' to Marx's whole theory. But let me turn to Marx himself. Bessonov repeatedly refers to the well-known letters of Marx, in which he enumerates the most important doctrines he presents in *Capital*. He enumerates 'the three fundamentally new elements of the book': the first is the doctrine of twofold nature of the labour producing commodities; the second is the doctrine that all revenues except the wage are only fragments of surplus value; the third is the doctrine that the wage is an irrational form of manifestation of the relation hidden behind it [Marx's letter to Engels of 8 January 1868, MECW/42, pp. 514–5, MEW/32, pp. 11–12. Not a literal quotation but a free summary by Rubin]. Bessonov asserts that 'there are no words on the commodity fetishism' in this letter of Marx's (p. 94). He does not understand that the importance here is not the words but the essence of the matter. Some authors very often use certain words without taking into account their significance. For example, Bessonov very often uses words on class struggle and the contradictions of capitalism, although, as we will see below, from all of his description necessarily arises a negation of the growing contradictions of capitalism and of the necessity of social revolution. Marx does not use in this letter the words 'commodity fetishism', but he speaks in essence precisely of those parts of *Capital* which he could develop only with the help of the doctrine of commodity fetishism. Indeed, only on the basis of the doctrine that material categories are an expression of social relations of production of people could Marx develop his ideas: 1) on the twofold nature of labour, as concrete and abstract; 2) that all revenues except the wage are fragments of surplus value, which is in turn an expression of the relations of production between the classes of capitalists and labourers; 3) that behind the irrational form of the wage are hidden the social relations of production consisting in the selling of labour power. Bessonov often recognises that the theory of the twofold nature of labour constitutes a characteristic particularity of the theory of Marx, sharply distinguishing it from the theory of the classical economists. But this doctrine on twofold nature of labour is inseparably connected with Marx's theory of commodity fetishism, as this has been repeatedly emphasised by many Marxists.

What accusations does Bessonov advance against my understanding of the theory of commodity fetishism? In *Essays* I emphasise many times that the social forms of things (value, money, capital, and so on) are an expression of the relations of production of people. Bessonov discovers here the following

purported errors: 1) that I entirely ignored 'the development of material production' (p. 87); 2) that I asserted that 'the task of political economy is not in studying these relations of production, but in studying their *material expression, as such*' (pp. 85, 86); that I therefore 'put aside in a fit of anger' the relations of production, 'since they prevent the commentator from soaking himself up deeply in the quietly dead world of things and self-developing categories' (p. 88).

We will not expand long on the first accusation: already in the first part of our article we have pointed out that the development of the material productive forces of society is the driving force behind the development of the relations of production. The economist must always remember that the relations of production of people he studies constitute only one aspect of the process of production, that they are the form in which the movement and development of the productive forces take place. But this circumstance does not in the least prevent the economist from making the 'indirect' object of his investigation precisely the relations of production of people. Every attempt to include the productive forces in the direct object of investigation of theoretical-political economy amounts to rejecting the propositions adopted by Marx. Bessonov himself, who, in the dispute at the Institute of Red Professorship (April – May 1929), advanced the idea of including in the object of political economy 'on the same footing' both the relations of production and the productive forces, was obliged in the same dispute to refute this idea of his.

The second accusation, attributing to me the desire to study not the relations of production of people but their 'material expression as such', is wholly without foundation. The central idea of my *Essays* consists precisely in indicating the inseparable connection of all social forms with the relations of production of people lying at their basis. In particular, in the entirety of my book value is studied not 'as such', but as an expression of the relations of production of people and regulator of the distribution of social labour among different branches of production. Every page of my book is directed precisely toward elucidating the role of value in the process of social production. Therefore, every accusation that I cut value off from the material-technical process of production turns out to be completely unfounded. Still more unfounded, only if this were possible, are the assertions that I study value 'as such' and put aside the social relations of production of people lying at its basis. Certainly, I study these relations of production in their 'reified' form, i.e., in that form in which they manifest themselves through things. But this is explained only by the fact that these relations of production of people are, according to Engels's expression, 'always *bound to things* and *appear as things*'. Anyone who wishes to study these relations of production of people, having thrown aside the mater-

ial form of their manifestation, must unavoidably arrive at a 'political economy without value', as the defender of which appeared Tugan-Baranovsky. To study the relations of production of the capitalist economy outside of the material forms of their manifestation amounts to comparing the spontaneous, unorganised capitalist economy to the planned, organised socialist economy. The bourgeois economists of the social tendency are guilty of precisely this, first of all Stolzmann, who represents the relations of production of the capitalist economy as a type of relations organised according to a plan and therefore does not at all understand the significance of the material forms of their manifestation. Generally speaking, a complete incomprehension of the necessity of the reification of the relations of production of people characterises all representatives of the social tendency. Even those of them who were under a strong influence from Marx and highly appreciate his theory of commodity fetishism (Stolzmann and Petry) understand the latter unilaterally. They acknowledge that Marx disclosed under the relations of production of things the relations of people, but they do not understand that the task of Marx's theory of commodity fetishism is not exhausted with this; Marx showed also that the relations of production of people in the commodity economy take on with necessity the form of the properties of things. It was precisely to this second aspect of the theory of commodity fetishism that I paid main attention in *Essays*, and it is precisely this aspect of Marx's theory that remained completely unnoticed by all bourgeois economists of the social tendency. Therefore, although Stolzmann and Petry highly appreciate Marx's theory of commodity fetishism, it does not essentially play a central role in their reasoning; they discard the relations of things in order to discover behind them the relations of people, but they do not understand that these relations of people must be studied in their reified form.

Bessonov too represents the theory of commodity fetishism in just as simplified a way:

Let us return to the theory of commodity fetishism and agree for a moment with Rubin in saying that the gist of Marx's theory is included precisely in seeing behind things the relations of production. It may seem that the natural conclusion to be drawn from here is to reject things and then to set about studying at once and seriously the relations of production hidden behind them.⁸²

82 Bessonov, *ibid.*, p. 85.

Bessonov understands the theory of commodity fetishism just as unilaterally as do the economists of the social tendency [cf. the editor's note [559] above]. He thinks that, once we discover behind the properties of things the relations of production of people, we can study the latter in their directly social but not material expression; he forgets that these relations of production must necessarily assume a material form, and that we cannot study them outside of the latter. We must add that Bessonov repeats here the ideas once described by Bogdanov. It is precisely Bogdanov who thought that the task of the theory of commodity fetishism is limited to tearing away the material veil from economic phenomena, 'de-fetishising' the latter to study them outside the material form of their manifestation.

Attributing to me a fabricated exaggeration of the role of the social forms of things, Bessonov completely abandons the latter. We can see to what confusion such an understanding leads him in taking as an example his reasoning on capital. Above all, Bessonov asserts that 'capital was never a 'form of things' for Marx, as Rubin depicts' (p. 88). At first sight this phrase can embarrass any Marxist. Indeed, Marx's whole theory on the turnover of capital, described in Volume II of *Capital*, is based precisely on the fact that different things (money, commodity, or elements of production) alternately take on the form of capital. How is it possible to assert that capital is not a social form, assumed by things? The special function carried out by things gives them the form of capital, which they maintain even in the case where they do not function in a given moment as bearers of the relations of production between capitalist and labourer.

Then what is capital, in Bessonov's opinion? Unexpectedly, Bessonov becomes an ardent defender of the investigation of the relations of production of people, and declares:

Marx always considered capital as a social relation between the class of capitalists and the class of labourers, a relation, inevitably arising in a certain stage of development of material productive forces. Precisely this class character, but not at all the 'economic form of a thing, capital' was principal for Marx in *Capital*.⁸³

Of course, capital is for Marx not a relation of production but a relation of classes, but at the same time, as Marx says, capital is 'a social relationship which is represented in things and through things' [*Theories*, 2, p. 406, MEGA, II/3.4, p. 1405]. To contrapose the relation of production to the economic form

83 *ibid.*, p. 88.

of things has not the least foundation, since the relations of production also assume the form of the economic properties of things; hence, Bessonov himself also says in another place, that 'Marx defined capital as value producing surplus value' (p. 81). Apparently he does not even understand that he already recognised here that the social relations between the classes of capitalists and labourers take on the form of a special property of the products of labour, that of being value producing surplus value. According to this definition, the social relations of people already assumed the form of the properties of things; Bessonov himself was obliged to recognise this, against his will. But, since he does not clearly understand this process of reification of the relations of production of people, he falls into a desperate confusion in further examining the categories of capital. He heaps terribly long abuses upon my statement that in capitalist society the means of production assume the form of capital and the means of subsistence of labourers the form of wage (p. 81). He asserts that only Bogdanov defined capital as means of production which became means of exploitation (p. 81). Of course, the definition of Bessonov is erroneous, not because he spoke of *means of production*, but because he did not speak of *exploitation*, not further defining the specific forms inherent in it within capitalist society. From Bessonov's point of view, the means of production (livestock, farming implements, seeds, and others) with the help of which feudal aristocrats subordinated the peasants to themselves were also capital, since these means served as means of exploitation. Bessonov forgot to show that only the means of production which are means of exploitation of the *wage labourer* are capital. But in Marxist literature it was always a commonly admitted opinion, that precisely the concentration of the means of production in the hands of capitalists constitutes the basis of capitalist society. Marx usually considered capital precisely as the means of production, alienated from the labourer and contraposed to him. 'Transforming labour into wage labour and the means of production into capital' [*Capital*, III², p. 885, MEGA, II/15, p. 856].

Bessonov attributes to me without any foundation the idea that 'the means of subsistence of labourers cannot take on the form of capital, and that the latter organically merges with the form of the means of production' (pp. 81–2). Having attributed to me this opinion, the critic finds that it is 'not sufficiently correct literately' (p. 82). Let us examine the level of literacy our critic shows off.

First of all, every literate reader must understand that, if the means of subsistence of labourers assume, in our words, the form of the wage, we do not only not exclude the fact that they assume at the same time also the form of capital, but, on the contrary, we directly express this fact with these words. Indeed, every literate reader knows well that the sum of money, representing the wage

for the labourer, is variable capital for the capitalist. If we say that the means of subsistence take on the form of the wage, we assert at the same time that they indirectly take on also the form of variable capital (though labour power appears directly as variable capital in the process of production).

However, Bessonov manages to argue against the fact that the means of subsistence of labourers assume the form of the wage: 'The means of subsistence of labourers do first of all not assume the form of labour. It is the value of labour power as a commodity but not at all the value of the means of subsistence of the labourer that takes on the form of the wage, i.e., the form of the price of labour power' (p. 82). In order to refute this statement of Bessonov's, it is enough for us to give only one quotation from Marx:

Variable capital is therefore only a particular historical form of appearance of the *fund for providing the necessities of life*, or the labour-fund which the labourer requires for the maintenance of himself and family, and which, whatever be the system of social production, he must himself produce and reproduce ... [T]he labour-fund constantly flows to him in the form of money that pays for his labour,⁸⁴

i.e., in the form of wage. Thus, according to a direct indication of Marx's, the fund of the means of subsistence of the labourer takes on the form of variable capital or the wage.

Seemingly, it must be clear to Bessonov himself that we do not limit the form of capital only to the domain of means of production. In one place Bessonov attributes to me the idea that the form of capital 'organically merges with the form of the means of production' (p. 82). But in another place he manages to assert, that 'money is for Rubin (incidentally also for vulgar economists) precisely that thing which has a 'social form of capital'' (p. 89). Bessonov is not aware that he contradicts himself: he attributes to me sometimes the idea that only the means of production are capital, sometimes the idea that 'money has in itself the form of capital' (p. 92), and on the basis of these arguments he arrives at the conclusion that 'for Rubin a definite social form is inseparably connected with definite things' (p. 90). Precisely with what 'definite' things? I let our critic answer. Do we connect the form of capital with means of production or with money? If the critic had paid more attention to the text of *Essays*, he would not have attributed to me this absurd idea; he would have drawn from his own words the conclusion that we recognise the possibility of assuming the

84 *Capital*, Vol. I, p. 445. Emphasis added [*Capital*, I, p. 523, MEGA, II/6, pp. 524–5].

form of capital equally to money, means of production, and means of subsistence of labourers. But at the same time he would have understood that capital must be represented in some thing or other, and it must be fastened either to money (money capital), or to a commodity to be sold (commodity capital), or to elements of the process of production (productive capital).

The opinion attributed to us by the critic that money constitutes capital in itself, is completely absurd; in this respect he heaps extended abuses upon the theme of the necessity to paying attention to the fact that capital presupposes the purchase of labour power. He does not see that, when I speak of money connecting 'the capitalist as possessor of a commodity with the labourer *as possessor of a commodity*', I already presuppose the selling of labour power, since the latter is the sole commodity which the labourer as possessor of a commodity has. Only the transformation of labour power into a commodity creates the capitalist relations of production. But to what extent Bessonov managed to get confused even on this simple question is visible from the following example:

Only the presence of *this* commodity (i.e., labour power) in a given transaction transforms it from a simple act of exchange into a capitalist relation. Consequently, if we already speak of some particular specific form of commodity with which capitalist relation is inseparably connected, we must speak precisely of the commodity labour power, but not of money, as Rubin asserts entirely in contradiction to Marx.⁸⁵

We can be only surprised about the confusion introduced by the critic in this simple question. He did not understand that, it is precisely due to the fact that labour power is transformed into a commodity that the *means of production* or *money* opposed to the labourer are transformed into capital. Judging from Bessonov's confused phrase, he seemingly thinks that we must recognise *as capital* first of all not means of production and money, but precisely *labour power*. But this would amount to arriving at the absurd conclusion that the labourer is a capitalist, since he has capital (i.e., labour power). Marx emphasised many times that labour power, so long as it is a *commodity*, is not *capital*.

To the extent that labour power circulates in the market, it is not capital, no form of commodity-capital. It is not capital at all; the labourer is not a capitalist, although he brings a commodity to market, namely his own skin. Not until labour-power has been sold, been incorporated in the

85 Bessonov, *ibid.*, p. 91.

process of production, hence not until it has ceased to circulate as a commodity, does it become a constituent of productive capital.⁸⁶

We see in this way the complete absurdity of the demand of Bessonov to regard as capital *above all* labour power as commodity, but not money or means of production. Precisely because labour power is a *commodity* (and not capital as long as it remains a commodity), money and means of production are *capital*.

We see to what a hopeless confusion Bessonov was led by the incomprehension of the connection between the relations of production and the things to which they are fastened. Bessonov, who was an ardent defender of the investigation of things as use values in political economy, wants to chase away from our science the things considered as the bearers of social relations of production of people. Precisely Bessonov, who stood so enthusiastically on the necessity of investigation of the manifold world of material things, proclaims a maximal carefreeness in the place where he should carefully observe the connection of the relations of production of people with different groups of things (means of production, means of subsistence, money, labour power).

4.5 *Reified and Non-reified Relations of Production*

We have examined the critical objections advanced by Bessonov against our description of the theory of commodity fetishism. These objections are closely connected with his own erroneous understanding of this theory. If Bessonov asserts that 'such an emphasis on the theory of commodity fetishism presents itself as an incontestable novelty in Marxist literature' (p. 83), such a proclamation (strange from the mouth of a Marxist) can be explained only by the fact that Bessonov himself does not understand and underestimates the importance of the theory of commodity fetishism for understanding Marx's whole economic system. The theory of commodity fetishism places in our hands the key to understanding the fetishised, reified relations of production of people. Since the system of the commodity-capitalist economy is a system of spontaneous, reified relations of production of people, from here becomes understandable the enormous significance of the theory of commodity fetishism. Bessonov does not agree with this proposition.

He asserts, as we will see below, that with the development of the capitalist economy the reified relations of production lose more and more of their extent and significance; from here he draws the conclusion that the theory of commodity fetishism too is not of a central importance for understanding the

86 *Capital*, Vol. II, p. 138 [*Capital*, II, p. 211, MEGA, II/13, p. 191].

capitalist economy. Bessonov concedes that this theory is necessary for understanding the simple commodity economy precedent to the capitalist economy.

In the simple commodity economy, the social character of the labour of a producer cannot be actually expressed otherwise than in the exchange of commodities, in the equalisation of things, and so on. Consequently, here the social aspect of material production emerges on the surface only in the form of exchange. Up to this point Rubin is right in his *Essays* with all the incompleteness of his formulations.⁸⁷

But with the appearance and development of the capitalist economy, the role of exchange and of social relations of production changes fundamentally. We can express this mutation in the form of a series of propositions, which we will borrow from Bessonov's work and arrange below in a more or less systematic order.

Bessonov's first proposition: *with the development of capitalism the social division of labour is more and more pushed away by the technical division of labour*. This proposition of Bessonov's appears at first sight so strange that we must reinforce it with a series of quotations from his work.

The peasant establishes his production connection with society exclusively through the sale of products produced by him, or, if we express the same thing with Rubin's fetishistic language, through the transfer of things. He is a *link in the social division of labour*. However, following the transformation of the product of the peasant's labour into a commodity sooner or later takes place a transformation into a commodity also of the labour power of the peasant. The former autonomous producer is for the most part transformed into a wage labourer. From a link in the *social* division of labour he is transformed into a *link* in the *technical* division of labour within the range of an ensemble of production called a factory. His relation to other labourers loses, in spite of Rubin, the material character for the simple reason that neither he nor the other labourers are possessors of things, while being always owners of a commodity, labour power. From indirectly social labour his labour becomes a link of *social* labour.⁸⁸

87 Bessonov's theses in the dispute at the Institute of Red Professorship, p. 2.

88 Bessonov, *Problems of Economy*, no. 2, pp. 96–7. Emphasis added.

Bessonov said the same thing in his lecture at the Institute of Red Professorship on 6 April 1929:

The more the capitalist economy develops, the greater is the number of people who are transformed from *links* of the social division of labour, when the social character of their labour can be expressed only in the equalisation of things, into *links* of the technical division of labour within the range of the socialised cooperation of enterprises.

Thus, instead of saying that with the development of capitalism the technical division of labour too develops *along with* the social division of labour, Bessonov advances a strange proposition, that the social division of labour is *pushed aside* by the technical division of labour. He speaks of the same thing also in many other places. In his book *Development of Machine* (p. 48), he asserts that 'the period of wartime and postwar concentration of capital significantly *narrowed* the domain of the social division of labour within capitalism *on account of* the widening of the sphere of the technical division of labour' (emphasis added). In the same book (p. 417), he points out that in the epoch of imperialism 'the sphere of the technical division of labour grows to an enormous extent ... The sphere of the social division of labour narrows *accordingly*' (emphasis added). In all of these quotations, which could be increased in number, one and the same idea is expressed: that the social division of labour becomes narrower and is pushed aside by the technical division of labour; and that at the same time labour changes from indirectly social labour to a direct link of social labour.

It is easy to prove that this proposition of Bessonov's manifests a complete incomprehension of the whole economic development of capitalism; Marx never and nowhere asserted that the widening of the sphere of the technical division of labour means a narrowing of the sphere of the social division of labour. On the contrary, he showed that the capitalist economy is characterised by the simultaneous gigantic growth of *both* technical and social divisions of labour, which reciprocally condition one another. Marx wrote: 'division of labour in manufacture demands that division of labour in society at large should previously have attained a certain degree of development. Inversely, the former division reacts upon and develops and multiplies the latter' [*Capital*, I, p. 333, MEGA, II/6, p. 348]. The growth of the planned organisation of labour within the factory occurs, in the opinion of Marx, concurrently with the growth of the spontaneous anarchic character of production within the range of the whole society. 'In a society with capitalist production, anarchy in the social division of labour and despotism in that of the workshop are mutual conditions the

one of the other' [ibid., p. 337, 11/6, p. 351]. In the same place Marx repeats the following proposition which he had stated in *The Poverty of Philosophy*: 'It can even be laid down as a general rule that the less authority presides over the division of labour within society, the more the division of labour develops within the workshop' [MECW/6, p. 185. MEW/4, p. 151. *Karl Marx Œuvres Economie 1*, préface par François Perroux, édition établie et annotée par Maximilien Rubel, *Bibliothèque de la Pléiade*, Gallimard, Paris, 1972, p. 101].

Thus, in Bessonov's opinion, the social division of labour *is pushed aside* by the technical division of labour. In the opinion of Marx, the growth of the technical division of labour *reinforces* also the social division of labour. In Bessonov's opinion, one form of the division of labour developed *at the expense of* the other; in Marx's the opinion, a *parallel* development and gigantic growth of both forms of division of labour takes place, and it is precisely in this that the fundamental contradictions of the capitalist economy are enrooted.

In Bessonov's opinion, since the social division of labour is more and more pushed aside, the domain of spontaneous social relations of production of people more and more narrows on account of the widening of non-reified relations of production, organised according to a plan which connect labourers within a given enterprise. From here follows Bessonov's second proposition: *the development of capitalism is accompanied with a narrowing of the sphere of operation of the social relations of production of people*. Bessonov writes: 'The transformation of labour power into a commodity means in fact a shrinking of the sphere of operation of materially expressed relations of production and, conversely, a widening of those relations of production which have no material expression and are not 'brought about' by the transfer of things' (p. 97).

It is easy to prove that this proposition of Bessonov's too, a conclusion from his first false proposition, itself turns out to be completely false and upturns Marx's whole construction. From the point of view of Marx, the transition from the simple commodity economy to the capitalist economy and the further development of the latter are accompanied with an enormous widening of the sphere of the social relations of production of people, with a reinforcement of the spontaneous and anarchic character of the entire national economy. In Bessonov's opinion, the transition from the simple commodity economy to the capitalist economy and the further development of the latter are accompanied with a further shrinking of the sphere of reified, i.e., spontaneous and anarchic relations of production of people. Bessonov depicts the following picture. Let us assume that there are 100 handicraftsmen working in the conditions of the simple commodity economy; at the end of the process of production, these handicraftsmen bring the products of their labour to the market; they are connected with each other through the exchange of things, and, consequently,

the relations among them take on a reified character. But let us assume that the simple commodity economy yielded place to the capitalist economy; these handicraftsmen would be transformed from autonomous producers into wage labourers, working in a factory. The relations of these people to each other already lose their material character and take on a direct social character. Consequently, the form of the social relations would shrink precisely due to the fact that their labour power was transformed into a commodity, i.e., due to the fact that autonomous small commodity producer was transformed into a wage labourer.

These reasonings of Bessonov's completely distort the whole trajectory of development from the simple commodity economy to the capitalist economy. Let us assume that 100 handicraftsmen were actually transformed into wage labourers. What does this mean? This means first of all that 100 men, who were earlier autonomous handicraftsmen, would now begin to *sell their labour power* to a capitalist; a new type of social relations of production between capitalists and wage labourers appears; labour power as a new commodity emerges on the market. In other words, in spite of Bessonov, what has occurred is not a narrowing but a widening of the sphere of reified relations of production of people.

However, the process does not stay on this point. Within a factory our 100 labourers are connected by direct relations of the technical division of labour. Only this aspect of the phenomenon attracts the attention of Bessonov. But it is well known to everyone that in a factory a commodity is produced for sale; consequently, every product, produced by 100 labourers, will be brought to market at the end of the process of production. In this way, the transfer of product from producer to user takes place also in the capitalist economy, like in the simple commodity economy, only through exchange, i.e., through reified relations of production of people. In addition, this path, taken by the product from producer to user, becomes more and more long and complex, including within it more and more enormous quantity of reified relations of production of people. The product passes from the hands of the producer to the hands of the wholesaler, and then to the hands of retailer. The commodity goes through the hands of a number of merchants, and consequently, the sphere of reified relations of production more and more widens and complicates in comparison with simple commodity production.

Further development and complication of the sphere of reified relations of production of people takes place with the emergence and separation of money capital and with the development of a system of credit. A producer will be connected by an entire series of relations with his creditors and debtors, giving rise to a close connection of industry with banks; joint-stock companies, securities, stock exchanges, financial capital will appear. All this huge superstruc-

ture, characteristic of the epoch of financial capital, means a further widening and complication of the sphere of reified relations of production of people, means a gigantic growth of the fetishisation of these relations. All such processes remained hidden from the eyes of Bessonov, who sees only the planned organisation of labour within the factory. Only an economist concentrating sole attention on the technical division of labour within the factory and not seeing the process of reified production on the whole can assert that the sphere of the social division of labour narrows with the development of capitalism. Only with a complete incomprehension of Marx's theory on the anarchy of capitalist production can one say that the emergence of the factory means the transformation of labour from indirectly social into directly social labour. This would be true only in the case in which a factory represented society; labour may be organised according to a plan within a factory, but the factory itself represents only a tiny part of the huge system of spontaneous, anarchic, unorganised division of labour within society.

Starting from his false understanding of the development of capitalism, Bessonov arrives at conclusions which are stunning with their absurdity. We have already seen that, in Bessonov's opinion, the transformation of labour power into a commodity means a narrowing of the sphere of operation of materially expressed relations of production of people. From here follows the paradoxical conclusion that the transformation of labour power into a commodity means a narrowing of the sphere of commodity production in general, and Bessonov, manifesting in this case a great consistency, does not shrink from drawing this conclusion: 'It would be asked where has gone the most fruitful of the revolutionary ideas of Marx that the transformation of labour power into commodity means the *beginning of end* of the commodity mode of production in general, where has gone this mode of production in the dead schema of Rubin?' (p. 97).

It is very easy for us to answer this question: the honour of discovery of this most fruitful idea wholly belongs to Bessonov himself, who completely wrongly attributed it to Marx. Marx did not at all think about asserting that the transformation of labour power into a commodity means the beginning of end of commodity production in general. He always stressed that a rapid development of commodity production in general begins only from the moment of the transformation of labour power into a commodity. In order to show visibly the extent to which Bessonov's proposition contradicts Marx's theory, we give only the following quotation:

This result becomes inevitable from the moment there is a free sale, by the labourer himself, of labour power as a commodity. But it is also *only from*

then onwards that commodity production is *generalised* and becomes the *typical* form of production; it is only from then onwards that, from the first, every product is produced *for sale* and all wealth produced goes through the sphere of *circulation*. Only when and where wage labour is its basis does commodity production impose itself upon *society as a whole*.⁸⁹

The reader can easily be convinced that Bessonov upturns Marx's whole theory. In his words, only from the time of the transformation of labour power into a commodity does commodity production become the *typical* form of production. In Bessonov's words, the transformation of labour power into a commodity means the *beginning of end* of the commodity mode of production. In the opinion of Marx it is only from this time that all the products begin to be produced for sale and go through the sphere of *circulation*. In Bessonov's opinion, the transformation of labour power into a commodity means a *narrowing* of the sphere of operations of materially expressed relations of production.

If the sphere of reified relations of production more and more narrows, we will have to arrive at the conclusion that the relations of production of people are 'de-fetishised' more and more with the development of capitalism. Marx asserted something precisely contrary; he said that the fetishisation of the relations of production, though taking place in a weakly developed form already in the simple commodity economy, attains its highest point of development precisely under capitalism. Marx wrote: 'All forms of society, insofar as they reach the stage of commodity-production and money circulation, take part in this perversion. But under the capitalist mode of production and in the case of capital, ... this enchanted and perverted world develops still more' (*Capital*, vol. III, part 2, 1928, p. 297 [*Capital*, III², pp. 826–7, MEGA, II/15, p. 801]). But, as we have already obtained convincing evidence above, Marx's propositions seemingly serve for Bessonov only for presenting to the readers a contention of contrary character. This time, too, Bessonov does not betray this method. He writes:

At the point where the turnover of the commodity ceases, where the fetishistic value shell of social labour falls, the previous categories of political economy stop operating, and the stripped material framework of social production requires another approach, namely of natural-technical than of abstract-economic order.⁹⁰

89 *Capital*, vol. I, p. 462. Emphasis added [*Capital*, I, pp. 550–1, MEGA, II/7, p. 509. Quoted from the French edition].

90 Bessonov, *Development of Machine*, p. 42.

The reader may think that Bessonov has in mind here the transition period from the capitalist to the socialist economy, in which the fetishistic value shell of social labour actually falls and the material framework of social production becomes apparent. But, in fact, Bessonov does not at all bear in mind a transition period from capitalism to socialism in the phrase quoted above; he rather thinks about the epoch of capitalism in the wartime and postwar period. Furthermore, as is already apparent from all of what we have seen above, Bessonov must apply the proposition of 'de-fetishisation' of the relations of production of people to all the period of the development of capitalist economy, beginning from the transformation of labour power into a commodity.

On pages 416 and 418 of his book *Development of Machine*, Bessonov gives a schema of the economic development of mankind from the point of view of a gradual growth of the technical division of labour. He enumerates the following six phases of economic development: 1) natural economy; 2) 'the stage of simple commodity economy and commercial capital'; 3) the stage of 'free capitalism, approximately until the 70s of the previous century'; 4) the stage of imperialism; 5) the economy of Soviet Russia; 6) the system of a communist society. The first two phases concern the pre-capitalist economy, the third and fourth phases the capitalist economy.

We are surprised to learn that the *narrowing* of the sphere of the social division of labour begins already from the third phase, i.e., from the time of the emergence of industrial capitalism. Certainly, Bessonov concedes that the anarchy of the social division of labour still continues in the third phase.

However, in this stage the social division of labour already undergoes some modifications; its domain *narrows*, since the former autonomous producers appear here already as wage labourers, now entering into the system of the technical division of labour, while they were *formerly* links of the *social* division of labour.⁹¹

Thus, already in the epoch of free capitalism, developed prior to the 70s of the previous century, we have a narrowing of the sphere of the social division of labour and 'therefore' a shrinking of the materially expressed, i.e., spontaneous and anarchic relations of production of people. This process strengthens more and more in the time of fourth phase, arriving after the 70s of the nineteenth century. With respect to this phase Bessonov says: 'The sphere of the technical division of labour grows to immense sizes, involving in some trusts almost

91 *ibid.*, p. 417. Emphasis added.

the entirety of the working people somehow employed in a given specialty. The sphere of the social division of labour *narrows correspondingly*' (p. 471. Emphasis added).

From these propositions we can draw only one conclusion: all the development of capitalism after the epoch of commercial capital was accompanied with a narrowing of the domain of spontaneous, anarchical social division of labour and of the reified relations of production of people corresponding to it; *the development of capitalism meant the development of a production organised according to a plan*. Bessonov does not shrink from drawing this conclusion, amounting to a complete rejection of the rudiments of Marxism. He summarises his arguments on the six phases of the economy in the following words: 'In this way, the social development considered from this point of view represent the *gradual extinction* of the absurd play of social forces represented by the *market*, and, on the contrary, the *gradual growth* of the planned technical division of labour within society, considered as a single social organism' (p. 418. Emphasis added). This peculiar 'philosophy of history', representing an entirely consequent conclusion from Bessonov's overall conception, upturns Marx's whole system. According to Marx's theory, the development of the capitalist economy was accompanied with a destruction of those more or less organised forms of the process of production which took place earlier (the feudal territory, the handicraft guild), and with a gigantic strengthening of the spontaneous anarchic character of the process of production. But in Bessonov's opinion, the development of capitalism, beginning from the first steps of the 'transformation of labour power into a commodity', was accompanied with the gradual extinction of the absurd play of social forces, represented by the market, and, consequently, with the growth of the planned organisation of production. In the opinion of Marx, the gigantic growth of the productivity of labour, brought about by production within the factory organised according to a plan, proceeded simultaneously with the gigantic growth and strengthening of the spontaneous and unorganised, i.e., materially expressed relations of production of people. Precisely this contradiction between the organisation of labour within an enterprise and its unorganised character in the whole society conceals within it the necessity of the downfall of capitalism. But from Bessonov's point of view, the growth of planned organisation of labour within enterprise is accompanied not with a parallel strengthening of the spontaneous character of all social production as a whole, but, on the contrary, proceeds *on account of* the shrinking of the sphere of materially expressed, i.e., spontaneous relations of production of people. But, in such a case, where can we ever find the contradiction between the productive forces and the relations of production of people? Since, from Bessonov's point of view, the spontaneous anarchic rela-

tions of production 'are gradually extinguished', and consequently, more and more is diminished that basis on which develops the contradiction between the productive forces and the relations of production.

Bessonov thinks, that the reified relations of production are more and more pushed away by the non-reified relations of the producers within an enterprise. But Bessonov himself understands that, when we speak of the contradiction between the productive forces and the relations of production, we understand by the latter precisely the relations of production of a reified character. In his lecture at the Institute of Red Professorship Bessonov straightforwardly recognised that the relations of production without material character (i.e., the technical relations of production, connecting labourers within an enterprise) 'change in parallel with the development of the productive forces, directly depends on the development of the productive forces', and consequently, cannot enter into contradiction with the latter. 'The relations of production with material character and in the capitalist mode of production (relations among autonomous entrepreneurs) do not change in parallel with the development of the productive forces, lag behind this development, and the contradictions are included in this point'. In this way, Bessonov himself is obliged to recognise that the productive forces enter into contradiction precisely with the relations of production of reified character. But he has asserted above that with the development of capitalism the relations of production of this type more and more narrow *on account of* the expansion of the relations of production without material character. But this means also that the sphere of the relations of production which enter into contradiction with the productive forces more and more narrows. Consequently, the contradictions between the productive forces and the relations of production weaken more and more. One aspect of these contradictions (i.e., the relations of production of reified character) shrinks more and more; another aspect (i.e., the productive forces) brings about in the process of its gradual growth relations of production corresponding to it (i.e., a technical division of labour of non-reified character). Marx's whole theory on the rise of contradictions between the productive forces and the relations of production and on the necessity of social revolution is entirely destroyed in Bessonov's description. If he had attempted to be consistent also on this point, Bessonov would have necessarily arrived at the conclusion of a gradual extinction of the contradictions between the productive forces and the relations of production, on a gradual strengthening within capitalism of organised elements of a plan in the economy, on a gradual, painless, and peaceful growth of capitalism into socialism.

Bessonov's mistake has so elementary a character that the reader can notice it at first sight as a school syllogism. The major premise of Bessonov is that

the reified relations of production enter into contradiction with the productive forces, and that the non-reified relations of production do not. The minor premise of Bessonov is that the sphere of reified relations of production more and more narrows on account of a widening of the sphere of non-reified relations of production. From here the conclusion necessarily follows: the sphere of the relations of production entering into contradiction with the productive forces more and more narrows on account of the widening of the sphere of relations of production not being in contradiction with the development of productive forces.

On this point we see an interesting example of the fact that reasonings covered with revolutionary words not rarely conceal in them an essence far from being revolutionary. Bessonov accuses me of the exaggeration of the role of the reified relations of production and of the neglect of the growing importance of non-reified relations of production:

Rubin's expulsion from political economy of the relations of production not assuming a material character actually means an evisceration of the revolutionary content of our science ... Marx's exploit consists, among others, in his first pointing out and elucidating the world-historical significance of the fact that in capitalist society, precisely the relations of production *without material character and not expressed in the transfer of things* begin to play a larger role. The larger becomes the importance these relations acquire and the larger number of people begin to be connected among them not through things but *directly*, the more extensive will become the preconditions of a new social formation, sprouting in the internal organs of capitalism, the nearer will come the breakdown of the latter.⁹²

These arguments of Bessonov's would have had meaning had he understood that the growth of the reified, i.e., spontaneous relations of production proceeds in parallel with the growth of non-reified relations of production. But Bessonov's entire conception is directed precisely on the proof of the fact that the development of the technical division of labour with the non-reified relations of people inherent within it is accomplished *on account of* the exclusion of the social division of labour with the relations of production of reified character. Owing to this the emphasis on the growing role of the non-reified relations of production of people must lead Bessonov, if he was consistent,

92 Bessonov, ['Against the evisceration of Marxism', *Problems of Economy*, 1929, no. 2], p. 96.

to the negation of the rising contradictions of the capitalist economy and of the necessity of social revolution. Under the cover of exaggerated phrases and accusations against me of an 'evisceration' of the revolutionary content of our science, Bessonov in fact presents to the reader a rejection of the central part of Marx's whole system, of the soul itself of Marxism, the rejection of the doctrine on the growth of the contradictions of capitalism and of the necessity of social revolution. If Bessonov himself does not understand this, it shows only that he is in a state of confusing not only his readers but also himself.

4.6 *The Dialectical Method*

The reasonings of Bessonov we have described above, manifesting an impeccable incomprehension of the character of the development of the capitalist economy, are at the same time a brilliant testimony to the falseness of those methodological foundations on which they are constructed. Bessonov has not the least understanding of how the contradictory development of capitalism is dialectically accomplished. We have already seen a brilliant example of the incomprehension of the dialectical method in his arguments on the social and technical divisions of labour. Instead of seeing a simultaneous and parallel growth of both of these forms of the division of labour, with the gradual strengthening of both of these poles and of the contradiction between them, Bessonov distorts the entire process in the form of a mechanistic *exclusion* of the social by the technical division of labour, of the reified by the non-reified relations of production. He sees only a mechanistic 'pushing-away of the spontaneous forms of regulation of production through the market by the conscious forms of regulation within enterprises according to a plan' (*Development of Machine*, p. 420). We have already seen how absurd it is to presuppose that the conscious regulation of production 'within enterprises' can lead to a 'pushing-away' of the spontaneous forms of regulation of social production as a whole. Seemingly on the contrary, the planned organisation of production within the factory leads to a powerful growth of labour productivity, to a sharpening of the concentration and a strengthening of the spontaneous character of the entire social process of production. If within the range of individual enterprises, trusts, groups of companies, competition is kept away, this is only to reinforce and deepen the battle between the whole branches of production and the whole states.^[560] As we have already spoken of this, now we aim only

[560] In Bukharin's *Imperialism and World Economy* [*Мировое хозяйство и империализм: (экономический очерк)*, второе издание, Г.И.З., 1923] too, with the rise of productivity, the subjects of competition gradually move to larger economic units (ultimately to states), and in accordance with this process, the competition among the smaller eco-

at stressing the *methodological* mistake of Bessonov, who sees a mechanistic exclusion of the social by the technical division of labour in the case where actually a dialectically contradictory process of the strengthening of both is taking place.

This incomprehension of the dialectical connection between the social and technical divisions of labour arises in Bessonov from a still more serious mistake, namely from the incomprehension of the dialectical connection between the simple commodity economy and the capitalist economy. We have already seen that Bessonov considers as the most characteristic trait of Marx's system the 'historicism' inherent in it; he does not understand that that characteristic of Marx's is not only the recognition of the fact of the historical alternation of various economic formations, but also the special way of understanding this alternation. According to Marx's theory, one social formation alternates with another due to the rise of contradictions inherent in the former between the productive forces and the relations of production. A new economic formation, representing the negation of the foregoing formation, contains within it many of the traits of the latter 'in a lifted [aufgehoben] form'. Not the historicist but the dialectical method constitutes the characteristic trait of Marx's research.

Bessonov limits himself to a superficial representation of 'historicism' when he speaks of the transition from the simple commodity economy to the capitalist economy. We have already seen that he considers this transition in the form of a gradual mechanical exclusion of one form of relations of production by another. In Bessonov's opinion, in the simple commodity economy the social division of labour predominates, in the capitalist economy the technical division of labour predominates. In the former labour is indirectly social, in the latter it 'directly becomes from indirectly-social a link of social labour' (p. 97). 'In the simple commodity economy the social determinations of labour manifest, realise themselves only in the act of exchange. In the capitalist economy, *conversely*, these social determinations of labour appear directly in the process of cooperative socialised production' (*Theses of Bessonov*, p. 4). The capitalist economy is considered by Bessonov as the negation of the simple commodity economy, but Bessonov does not understand that it is only in the capitalist economy that commodity production attains to its full development and that the categories inherent within it – value, abstract labour, socially-necessary labour, and so on – receive their most developed forms. He does not understand that the spontaneous, unorganised social division of labour existed in the epoch

conomic subjects (individual enterprises, for example) disappears one after another. Thus, for Bukharin imperialism is the struggle among states as the ultimate form of capitalist competition.

of simple commodity production still only in a weak, undeveloped form, and therefore, in spite of the opinion of Bessonov, it is not extinguished but more and more strengthened, coming to concern the entirety of the national economy as a whole, with the development of capitalism. He does not understand that in the capitalist economy the categories of the simple commodity economy are not only negated but also maintained, comprising the basis of the entire process of production. He does therefore not understand that the capitalist economy is a complex system of interacting relations of production of people organically connected with each other, and of social forms of things characteristic of all commodity production in general (value, money) as well as inherent only in the capitalist economy (capital, wage, profit). The capitalist economy is a system of gradually complicating relations of production of people and of social forms of things, connected to each other in their historical provenances as well as in their simultaneous functioning and interaction. Precisely with this incomprehension of the organic unity of the whole system of social forms inherent in the capitalist economy are explained the accusations advanced by Bessonov against me of deducing one kind of social forms from another (p. 110). In the opinion of Bessonov, every social form, for example, capital, should be deduced directly from a content distinct from it, i.e., should be considered as the direct and passive reflex of a certain state and development of the material productive forces. But from our point of view, capital emerged from the commodity and money, i.e., a more complex social phase emerged from a simpler phase, of course under the influence of the development of the material productive forces (cf. in more detail on this point our article 'The Dialectical Development of Categories in Marx's Economic System [Диалектическое развитие категорий в экономической системе Маркса]' in the journal *Under the Banner of Marxism*, 1929, no. 4 [pp. 81–108, no. 5, pp. 51–82, English translation in Richard B. Day and Daniel F. Gaido (eds.), *ibid.*, 2018, pp. 731–817]). Tearing up the connection between various types of relations of production of people and various social forms of things, Bessonov destroys the dialectical unity of all the categories developed by Marx throughout the three volumes of *Capital*.

We can see on the example of the problem of abstract labour and value what confusion Bessonov managed to introduce into the problem of the correlation between content and form. I consider abstract labour as inherent only in the commodity economy; in other words, I assert that in the doctrine of abstract labour Marx considers labour 'in all its social determinations, characteristic of the commodity economy'. Bessonov objects that, if we include in the concept of labour 'the social form, inherent in it within the commodity economy', then we will include in the concept of labour ... 'the form of value' (p. 106), and con-

sequently fall into a vicious circle. Bessonov draws this strange conclusion on the basis of the following reasoning: that value is the social form inherent in labour in commodity society. But this reasoning does endure the slightest critique. Indeed, we often say that labour in commodity society assumes the form of value, but it is completely evident that it is not value but a certain character of organisation of labour itself that appears as the 'social form' of labour in commodity society. But from the point of view of Bessonov, we cannot at all understand Marx's statement that 'the labour which posits exchange value is a specific social form of labour' [*Critique*, p. 278, MEGA, II/2, p. 115]. Bessonov asserts that value is the social form of labour in commodity society; therefore Marx's statement means, in the opinion of Bessonov, the following: 'Labour, forming exchange value, is value'. We thus arrive at a completely absurd proposition, which can be explained simply by the fact that it is convenient for Bessonov to identify value with a social form of labour.

When we say that the concept of labour includes within it the social form inherent in it within the commodity economy, this in no way means that we include value within the concept of labour. We include within the concept of labour only the feature of its organisation on the principles of the commodity or exchange economy. And we have much evidence of the fact that Marx included this feature in the concept of abstract labour. It is enough to remember the accusations of Marx addressed to Franklin and Smith, who ignored the fact that labour forming value is inherent only in production based on exchange, i.e., in commodity production. Only the economists like A. Cohn who regard abstract labour as an 'ahistorical' category ignore its internal inseparable connection with commodity economy. But even Cohn, when passing from the concept of abstract labour to the concept of labour, forming value, was obliged to include in this concept of labour the 'social form' of labour. Thus, in his article published in *B.C.A.* (1928, no. 25, p. 264 [p. 717 in the present translation]), Cohn was obliged to recognise that it is not abstract labour as such but 'social (and socially necessary) abstract simple labour in its specifically *exchange form* that appears as the substance of value'. Even Cohn was obliged to introduce the feature of exchange or commodity production into the concept of labour forming value, and this also means that he was obliged to introduce into this concept the feature of the 'social form' of labour in the commodity economy.

After having identified the social form of labour with value, Bessonov objects to the introduction of value into the concept itself of abstract labour, i.e., to the introduction of form into content. At the same time he objects also to the presupposition that form can be contained within content in undeveloped form:

If we say that form is contained within content in *undeveloped form* (however, of course, in such a way that it does not cease to be a form, otherwise the entire thesis would become meaningless), the dialectic will appear for us as a process of purely quantitative development of form already *existing* in the content itself in its fundamental traits. But where is in such case the fundamental feature of dialectical development, the feature of jumping development, of the transformation of quantity into quality, of content into form and of one form into another?⁹³

Here Bessonov turns back to the idea we incidentally mentioned above: he discovers that the recognition of the ‘complication’ of social forms means the negation of their jumping development; it must be *either* complication *or* jump, Bessonov thinks so metaphysically, idealistically. He does not understand that the entire process of social development is a process of ‘complication’, accompanied with the appearance of qualitatively new forms, i.e., not excluding jumps. If Bessonov were correct, how should we understand Lenin’s well-known phrase: ‘As a simple form of value the individual act of exchange of one commodity for another already includes within it in undeveloped form all the main contradictions of capitalism’ (Lenin, *Collected Works*, vol. XI, 1929, p. 197 [V.I. Lenin, ‘Philosophical Notebooks’, in *Collected Works*, vol. 38, Foreign Language Publishing House, Moscow, 1961, pp. 178–9, В.И. Ленин, ‘Философские тетради’, in *Полное собрание сочинений*, 5е изд., Государственное Издательство Политической Литературы, Москва, 1963, том 29, стр.160]). Does this phrase, saying that the simple form of value contains all contradictions of capitalism in undeveloped form, mean a negation of the jumping development taking place in the transition from the simple commodity economy to the capitalist economy? N.I. Bukharin also wrote exactly the same thing: ‘The developed economic theory must be, starting from the basic concept of value, in a state of understanding all phenomena of economic life’ (Bukharin, ‘Political Economy Without Value’, *Fundamental Problems of Political Economy*, third edition, [1928,] p. 480).

The quoted passages of Lenin and Bukharin can be explained very simply: the capitalist economy is in one sense the negation of the simple commodity economy, but in another sense the former is also the further development of the latter. We must not close our eyes to the fact that in the transition to the capitalist economy the relations of commodity producers take on a qualitatively new form, that on the basis of the exchange of products grows a new form of

93 Bessonov, [*Problems of Economy*, 1929, no. 2], p. 108.

relations of production of people, resulting in the appropriation by the capitalist of the unpaid labour of labourers. But this difference between the simple commodity economy and the capitalist economy does not remove their unity. We must consider the capitalist economy not only as the negation but also as the development of the commodity economy in general, therefore we can consider the transition from the category of the simple commodity economy to the capitalist economy as a process of 'complication' of social forms, not excluding, of course, their jumping development.

The process of gradual complication and of the 'genesis of forms', to which are devoted all three volumes of Marx's *Capital*, remained completely hidden from the eyes of Bessonov. He points out that the dialectical method does not limit itself to the transition of a researcher from abstract to concrete forms, i.e., does not limit itself to the research of the 'genesis of forms' (p. 106). But if the research of the 'genesis of forms' does not exhaust all the rich contents of Marx's dialectical method, it occupies in any case a very respectable place in this method; it has a particularly great importance for economists. It is not in vain that Marx paid attention mainly to the method of transition from abstract to concrete concepts in the section on the method in his 'Introduction to the Critique of Political Economy'. But irrespective of this, in general we must not contrapose the research of the 'genesis of forms' to the other principles constituting the content of the dialectical method. An economist who pursues the process of the 'genesis of forms', including within it simultaneously the negation and the conservation of simpler forms within more complex forms, must carry out his research at every step by means of the well-known dialectical laws of the unity of oppositions, negation, and the transition from quantity to quality (cf. on this point our article mentioned above).

If Bessonov does not understand the overall significance of the study of the 'genesis of forms', this is explained simply by the fact that he is inclined to carry out his research not by means of the dialectical method, but by means of the unilaterally analytical method. In his first article in *Problems of Economy*, no. 1 (p. 136), Bessonov wrote: 'Rubin fears to death to restrict the task of theoretical economy to *analytically* reducing the historically conditioned social forms of the capitalist economy to the transhistorical, material-technical foundations of the process of production'. We willingly recognise, that the restriction of research of such a kind to an analytical reduction is indeed for us completely insufficient, and on this problem we only follow the example of Marx, who repeatedly emphasised the insufficiency of the analytical method. It is curious that some pages after this (pp. 139, 140) Bessonov himself quotes the following words of Marx: 'It is, in reality, much easier to discover by analysis the earthly core of the misty creations of religion, than, conversely, it is, to develop from the

actual relations of life the corresponding celestialised forms of those relations. The latter method is the only materialistic, and therefore the only scientific one' [*Capital*, I, p. 352, MEGA, II/6, p. 364, note 89]. Apparently, Bessonov also does not understand that in these words Marx emphasises the insufficiency of the analytical method of research. Only one of the following two is possible: either Bessonov does simply not understand that Marx contraposes here the dialectical method of research to the unilaterally analytical method; or he does understand this but in spite of this restricts completely consciously the task of scientific research to analytical reduction.

Bessonov manifests the inclination to a purely analytical reduction in other places also. It is enough to remember that, in his words, 'the development of economic epochs *is reduced* to the degrees of development of the material instruments of labour' (ibid., p. 142. Emphasis added). Instead of saying that the development of economic formations takes place on the basis of differences in the development of the instruments of labour, Bessonov analytically reduces the former difference to the latter, reduces a more complex phenomenon to a simpler one.

We have already pointed out that all the arguments of Bessonov on the transition from the simple commodity economy to the capitalist economy and on the development of the latter clearly testify to the complete neglect of our critic of the dialectical method of research. The same anti-dialectical character distinguishes his arguments about exchange. We have already seen the complete neglect by Bessonov of the law of the unity of oppositions in the problem of the connection between the simple commodity economy and the capitalist economy. Above, in 4. 2, we have seen equally that Bessonov does not apply the law of the unity of oppositions in his arguments on the connection between the productive forces and the relations of production. We can easily show the same drawback in the reasonings of Bessonov on exchange. He does not understand that we must understand the connection between the process of direct production and the process of exchange as the unity of oppositions. He does not understand that exchange, while being an individual phase of the overall process of reproduction, is at the same time also a social form of the latter. In his opinion, the distinction I draw between exchange as a *form* and exchange as a *phase* of production is a novel 'evasion' of Rubin (p. 100). Let me incidentally point out that our other critic, Shabs, characterises this distinction as 'timely, well-known to everyone' in his book *Problem of Social Labour* [cf. editor's note [555] above] (p. 9). But let us turn back to Bessonov. Why does he refuse to draw this distinction? He writes that Marx could not draw such a distinction (Bessonov adds here also his favourite small phrase: 'nowhere and never!' – I.R.) because, according to his doctrine, exchange is a

phase *only because* it is a form, and it is a form because it is a phase (p. 100). We have already seen above the examples of that thoughtlessness with which Bessonov asserts that Marx 'nowhere and never' draws distinction between the material-technical process of production and its social form. He shows the same thoughtlessness in his arguments on exchange. These arguments do not sustain the critic already from the methodological point of view. Indeed, exchange is a phase of production only because it is a social form of production, but does this deprive us of the right to draw a distinction between them? And here Bessonov stumbled over the same mistake which he repeats many times: he does not see that unity does not exclude opposition, that we can note distinction and opposition where unity exists.

Bessonov asks: 'Please tell me where and when Marx drew such a distinction between exchange as a form and exchange as a phase of production?' (p. 100). In order to show to Bessonov that this distinction lies at the basis of Marx's arguments, we give only one quotation from his works: 'Only by its alienation does individual labour manifest itself as its opposite. The commodity, however, must have this general expression before it is alienated' [*Theories*, 2, p. 323, MEGA, 11/3.4, p. 1322]. Thus, in the opinion of Marx, the commodity must be value prior to alienation at the same time as through alienation, and this is possible only when we will distinguish 'the alienation' (i.e., exchange) as a phase following the process of direct production from exchange as a social form of the process of reproduction itself. The commodity possesses value only 'through' alienation, i.e., owing to the fact that production is carried on for exchange but still 'prior to' alienation, i.e., before its appearance in the phase of exchange. This means also an interpenetration of the process of direct production and the process of exchange, which Marx repeatedly noted. 'The actual process of production and the process of circulation intertwine and intermingle continually' [*Capital*, III¹, p. 44, MEGA, 11/15, p. 46]. 'The production process rests wholly upon circulation, and circulation is a mere transitional phase of production' [*ibid.*, p. 328, 11/15, p. 321].

If we remind ourselves of this mutual penetration of the process of direct production and the process of exchange, we will see the complete absurdity of the simplified representation of our critics on the primacy of production over exchange. The question is not about the primacy of production in general, devoid of all social form, but about the primacy of *commodity* production over the phase of exchange. But this means also that exchange is already included in the production itself as its social form. The commodity possesses value already prior to the process of exchange, but only in production based on exchange; it acquires its social form already before exchange, but only *through* exchange. In conditions of equilibrium, exchange is obliged to realise those

labour expenditures which are carried on in the process of direct production. If on average ten hours labour is expended on the product, exchange is obliged to realise its value, equal to ten roubles. Already in the process of direct production itself, the product is not only a product of a certain quantity of labour (ten hours on average), but also has already the form of value (namely that equal to ten roubles). However, this social character of the product and labour is not yet recognised by the society; the final recognition of this social character of labour and the product of labour by society takes place in the phase of exchange, by way of the action of all the commodity producers in relation to the product of labour of a given producer. Precisely by this is explained the huge role assigned by Marx to exchange, in which is finally 'realised' and 'actualised' the social character of labour and the product of labour. Marx wrote, for example: 'the different kinds of individual labour represented in these particular use values, in fact, become labour in general, and in this way social labour, only by actually being exchanged for one another in quantities which are proportional to the labour time contained in them' [*Critique*, p. 286, MEGA, II/2, p. 123]. If this phrase had been written by me, Bessonov would have immediately denounced me for the view on exchange expressed here, but these words were those of Marx and not accidentally said. A dozen quotations of a similar tenor could be given from various works of Marx's. We can find a number of quotations of similar kind from all the authoritative representatives of Marxism, for example Plekhanov, Hilferding, Luxemburg, etc. (cf. our *Essays*, third edition, pp. 322 and 328 [pp. 373, 381 in the present translation, in 'Reply to Shabs']). This role of exchange was always persistently emphasised by the Marxists precisely for stressing the unorganised, spontaneous character of labour in the commodity economy. Precisely for the purpose of emphasising that labour in the commodity economy is not directly social, Marxists showed that the social character of labour can be realised only 'indirectly by' exchange. If we allot exchange only the role of a passive regulator of executed labour expenditures, we will unavoidably arrive at the conclusion that labour in capitalist society is directly social. As we have already seen, Bessonov asserts this with regard to the capitalist economy. Generally, a critic who accuses me of the aforementioned view on exchange and is determined to assert that labour is directly social also in the capitalist economy, must necessarily represent the commodity economy after the example of a socialist economy organised according to a plan. The underestimation of the role of exchange in the commodity economy amounts to leaving vague the fundamental distinction between the anarchic, spontaneous commodity economy and the organised socialist economy. Now we can sum up. In the present discussion Bessonov has appeared on the literary scene with a big noise and still bigger pretensions. He pretended neither more nor

less than to the role of a judge called to deciding which theoretical propositions are orthodox-Marxist and which are a 'new species of revisionism'. The serious pretensions of this kind must be suitably well-founded. However, the short lapse of time since the appearance of Bessonov's article has already visibly manifested that the role of a judge is not at all suitable for Bessonov. Into all problems which Bessonov succeeded in mentioning in his article he managed to introduce a considerable amount of confusion, and made a series of serious retreats from the theory of Marx. Let us recall the problems in order.

First problem: the *object of political economy*. Bessonov stood on the idea that the productive forces as well as the relations of production enter into the object of research of political economy with 'equal right', 'equally legitimately'. This assertion was, in any case, an 'incontestable novelty' for Marxists and a direct refusal of the definition of political economy commonly admitted in Marxist literature as a science of the relations of production of people. Since the proposition of Bessonov did not find sympathy even among his nearest comrades, he was obliged to abandon his proposition on this 'equal right' in his concluding remarks on the dispute at the Institute of Red Professorship (11 May 1929).

Second problem: the *material-technical process of production and its social form*, or, as Bessonov says, 'material and social'. Bessonov advanced the thesis that 'nowhere and in no circumstances whatsoever did or could Marx have contraposed the material-technical process of production to its social form'. We have shown that this thesis must lead us, if we draw all conclusions from it, to the negation of the opposition and contradiction between the productive forces and the relations of production.

Third problem: the *classical economists and Marx*. Bessonov accused me of the distortion of the doctrine of classical economists on the ground that I found in them a confusion of the social functions of things with their technical functions. With a series of quotations from the works of Kautsky, Luxemburg, and Hilferding, we hope to have shown convincingly enough that in this problem also the point of view of Bessonov is in a terrible contradiction with the views of almost all the authoritative representatives of Marxism.

Fourth problem: the *theory of commodity fetishism*. Bessonov asserted that the secret of commodity fetishism was already discovered by the classical economists, that the special emphasis on the theory of commodity fetishism is an 'incontestable novelty' in Marxist literature. With a series of quotations from Engels, Plekhanov, Luxemburg, Bukharin, and Hilferding, we have shown that it is only to the critic who learned insufficiently the works of these Marxists that the emphasis on the theory of commodity fetishism could appear to be an 'incontestable novelty'.

Fifth problem: the *reified and non-reified relations of people*. In order to make smaller the role of the theory of commodity fetishism in Marx's economic system, Bessonov asserted that the transition from the simple commodity economy to the capitalist economy has the meaning of a shrinking of the sphere of the social relations of people. We have shown that this assertion fundamentally deviates from Marx's theory and can serve as a basis for denying Marx's theory on the strengthening of the contradictions enrooted in the capitalist economy and the necessity of social revolution.

Sixth problem: the *dialectical method*. The methodological basis of the crude errors of Bessonov is in his incomprehension of the particularities of the dialectical method of Marx. We have pointed out that Bessonov vulgarised Marx's dialectical method on a whole series of important points: an identification of the dialectic with historicism, an inclination to a unilaterally analytical reduction of complex social forms to simple ones, an underestimation of the importance of the study of the genesis of forms, a superficial historicism in the understanding of correlation between the simple commodity economy and the capitalist economy.

The first steps taken by Bessonov in the present discussion manifested in his arguments a series of serious drawbacks and retreats from the theory of Marx. It was in vain that Bessonov took on the role of an infallible judge on the problems of theoretical economy. He directed in vain his stock of knowledge and critical enthusiasm to the correction of the errors in his own works as well as in the writings of his comrades. Indeed, once for a while Bessonov reluctantly adopted a critical relation to the latter. In recognising that in the writings of his comrades 'also errors and deviations are possible', he recommends 'a liberation of the anti-Rubin front from the shell of these errors' (p. 117). But visibly he does not in the least suspect that the fulfilment of this honourable task must begin first of all with a liberation of the anti-Rubin front from ... the conception of Bessonov.

PART C

*Rubin's Journal Articles in
Relation to his Main Work*



‘Relations of Production and Material Categories’*,¹

Under the Banner of Marxism, no. 10–11, 1924, pp. 115–32

The problem of the connection between the relations of production of people and the material categories of political economy (value, money, capital, wage, profit, and so on) is one of the most interesting and difficult problems of Marx’s economic theory. Marx showed that all of these material categories express nothing other than social forms of the products of labour, assumed by the latter depending on the different character of the relations of production connecting people. Every type of relations of production gives things, through which or with regard to which people enter into a given relation, a particular social form. Here arises the ‘reification’ of the relations of production of people.

On the other hand, in capitalist society people enter into certain relations of production with each other only with things in their hands invested with a certain social form. The position of individual persons in the system of the relations of production is determined by the social form of the things they possess. In this way, on the one hand, the social form of the relations of people determines the social form of things, but on the other hand, the latter determines the character of the relations among people.

Marx saw clearly this apparent contradiction characterising the mutual connection between the relations of production of people and the social forms of things. In one place he discloses an enigmatic phrase. Enumerating the contradictions of commodity exchange which lead to the formation of money (the contradiction between use value and exchange value, between concrete and abstract labour, between private and social labour), Marx adds to these, obviously as the most profound and fundamental, the contradiction between the ‘personification of things and reification of persons’ [*Capital*, I, p. 115, MEGA, 11/6, p. 138]. Here Marx has in mind precisely the contradiction he indicated above. ‘Reification of persons’ means that the relations of production of people give a certain social form to things. ‘Personification of things’ means that the social form of things conditions a certain social character of their possessor

* И. Рубин. «Производственные отношения и вещные категории» *Под знаменем Марксизма*, 1924, 10–11, стр. 115–32. Cf. the original note 2 in Chapter 3 of *Essays*.

1 Although diverging from the author in political views, the editorial board publishes the present article, considering its theoretical importance.

and of the relations of production in which he participates.² In other places, Marx notes the same twofold aspects of the phenomenon of commodity fetishism, not emphasising the seeming contradiction between them. He speaks of 'material relations between persons and social relations between things', of 'the social characters assumed by objects, or the material forms assumed by the social qualities of labour' [*Capital*, I, pp. 78, 94, MEGA, II/6, pp. 104, 119]. He characterises the same two aspects of the process as 'the materialisation of the social features of production and the personification of the material foundations of production', or, in short, as 'this personification of things and conversion of relations of production into entities' [*Capital*, III², pp. 830, 880 MEGA, II/15, pp. 805, 852].

In this way, does not Marx's theory fall into a vicious circle? On the one hand, things acquire certain social properties because people are in certain relations of production among one another. But, on the other hand, people enter into these relations of production only because they are possessors of things with certain social properties. Let us take, for example, capital. 'Capital is not a thing, but a social relation between persons, established by the instrumentality of things' [*Capital*, I, p. 717, MEGA, II/6, p. 685]. A thing becomes capital only in figuring in the relation of production between capitalist and labourer. But, on the other hand, these persons enter into this relation of production between them only provided that one of them possesses capital. 'It is not because he is a leader of industry that a man is a capitalist; on the contrary, he is a leader of industry because he is a capitalist' [*ibid.*, p. 314, II/6, p. 329], i.e., he possesses capital.

This contradiction can be resolved only in the dialectic process of social production, considered by Marx as an uninterrupted, constantly repeated process of reproduction, in which every link appears as a consequence of the foregoing and as a cause of the following process. *The social form of a thing is a result of the foregoing process of production and a precondition of the further one.*

Let us see first how Marx considers this problem on a concrete example of the same capital.

Money ... in the process appropriates surplus value ... only because it is presupposed as *capital before* the production process. It maintains, produces, and reproduces itself as capital ... Once the capitalist mode of production is given ... then even *before* the process begins money as such

2 On the 'personification' of things in this sense, cf. *Capital*, vol. III, pp. 348, 350, 354 [*Capital*, III², pp. 821, 830, MEGA, II/15, pp. 796, 805].

is *capital* by its nature, which, however, is only realised in the process ... If it did not enter into the process as capital it would not emerge from it as capital. ... Capital is not only the result of, but the precondition for, capitalist production.³

This process of production is organised in a certain way, i.e., people enter into certain relations of production among each other only because things have already the social form of capital. But how this form is created? 'What is capital regarded not as the result of, but as the prerequisite for, the process? What makes it capital before it enters the process so that the latter merely develops its immanent character? The social determination in which it exists' [ibid.]. This 'social determination of form'⁴ or the social form of capital consists in that the material conditions of labour are in the hands of the class of capitalists and opposed to labour, as 'another person's property, commanding him'. Capital as a precondition of production, capital not in its form as it goes out of the process of production, but in its form which it has already before entering into it, represents that opposition in which labour is to it as another's labour, or in which it is itself to labour as another's property. In it is expressed a social determination built on contradiction (ibid.). The division of society into classes of capitalists and labourers, each occupying a determinate place in the process of production, assigns to the means of production the character of 'capital'. Capital is here an expression or a result of given relations of production of people. But this social form of capital, fixed behind a thing and coalesced with it, comes to appear as if it were already the property of that thing. When a thing already went out of a given process of production and ceased to appear as the connecting element between a given capitalist and a labourer employed by him, this thing nevertheless still maintains its property of being 'capital' and thus induces its possessor to begin anew the process of production, i.e., to enter again into the relation of production with wage labourers – since otherwise capital would remain 'inactive', would not fulfil its mission consisting in providing its possessor with a certain income, profit. When investing anew his money in an enterprise, the capitalist regards it in advance as 'capital' which should bring him a certain 'profit'. The expectations of obtaining a larger or smaller profit also determine his behaviour, his inclination toward extending or diminishing production. A given social form (capital, profit, and so on) serves, consequently, while being the result of a type of relations of production of people

3 [Theories, 2, p. 473, MEGA, II/3.4, p. 1473] emphasis in original.

4 In Marx "Bestimmtheit" means here the same thing as "Formbestimmtheit".

preponderant in society, as a precondition of concrete, individual relations of production established by people. In other words, the result of the mass behaviour of commodity producers is the precondition of the individual behaviour of particular commodity producers. 'The individual man is subject to an unconscious natural process which is the product of the individual wills'.⁵

With such a twofold character of the result and presupposition of the process of production are distinguished all the fundamental social forms assumed by the products of labour in capitalist society and expressed as categories of political economy. Let us take as the second example the different forms of revenue. In capitalist society the unification of all factors necessary to the process of production requires a preliminary establishment of the relations of production between entrepreneurs as organisers, on the one hand, and labourers, money capitalists, and landowners, on the other. These different types of relations of production, connecting the representatives of various social classes, assign particular social forms to those shares of newly created value which are afforded to those persons. There arise the following different social forms of revenue: wage, business profit, interest, and ground rent. But every individual participant already considers, before entering into those relations of production, that as a possessor of things, distinguished with a certain social form (labour power, given in employment; land, let to a tenant; money capital, lent for interest), he must acquire a share of value in a certain social form (wage, rent, interest) to such and such extent. While being a result of the relations of production among the main social classes of contemporary society, these social forms of revenue appear as a precondition for the individual representatives of these classes entering into the relations of production among them. For an entrepreneur as organiser of production, 'wages do not appear as a portion which detaches itself in independent form from the total value of the commodity, but rather, conversely, as a given magnitude, which predetermines this value' [*Capital*, III², p. 871, MEGA, II/15, p. 843]. Exactly in the same way also the interest becomes, in the eyes of the functioning capitalist, an independent 'element in the production of commodities and of their value ... The same role is played by ground-rent in the form of lease money fixed by contract for the agricultural capitalist' [*ibid.*, p. 871, II/15, pp. 843–4]. Even the average profit remaining in the hands of capitalist, beforehand anticipated by him, 'figures practically, in the mind and calculation of the capitalist himself, as a regulating element' [*ibid.*, p. 871, II/15, p. 843]. In this way, 'in the actual movement of

5 N.I. Bukharin, *Historical Materialism*, 1923, p. 37 [The authorised English translation from the third Russian edition: Bukharin, *Historical Materialism: a System of Sociology*, International Publishers, New York, 1925, p. 39].

individual capitals, and the commodities produced by them, not the value of commodities would appear to be a precondition of its splitting but, conversely, the components into which it is split function as a precondition of the value of the commodities' [ibid., p. 870, 11/15, p. 842], which gives rise to the illusion as if these elements of the costs of production create value in themselves. Hence the well-known double-sidedness in the doctrine of Adam Smith: sometimes, in his text, the value of a commodity is *split* into wages, profit, and rent, sometimes it is *composed* of them, in order to overcome this double-sidedness. It was necessary to understand that the social forms of revenues, as well as the social forms of the products of labour in general, are the result of the collective social actions of commodity producers and at the same time the precondition of the individual actions of particular persons. From this point of view Marx's critique of the above double-sidedness in the theory of Smith, and particularly against the theory of value of the vulgar economists, acquires, as we will see below, a wider, sociological elucidation [on the term 'sociology' or 'sociological' as used in Rubin's writings, see translator's note [2] in pp. 19–20 of the present translation]. It is from this point of view that we can see why Marx discerned not only 'forms of distribution', but also 'forms of production',⁶ in the forms of revenue, which are not only the result but also the precondition of a definite connection of people in the process of production.

Now, after the examination of individual concrete examples (capital and forms of revenue), we can give a general formulation of the problem in which we are interested. 'The capitalist mode of production, like any other, does not merely constantly reproduce the material product, but also the social and economic relations, the characteristic economic forms of its creation. Its result, therefore, appears just as constantly presupposed by it, as its presuppositions appear as its results' [*Capital*, III², p. 872, MEGA, 11/15, p. 844]. In pre-capitalist social formations, a constant, almost unchanging repetition of the same process of production brought about a 'regulation and order' in the material-technical process of production as well as in the system of relations of production of people inherent to it, having acquired 'its social stability and therefore its relative freedom from mere arbitrariness and mere chance' [ibid., p. 793, 11/15, pp. 768–9]. But, in capitalist society, as we know, there exist no constant relations of production, determining in advance the place of each individual in the social process of production. 'Only buyer and seller, mutually independent,

6 *Theories of Surplus Value*, vol. III, p. 553 [*Theories*, 2, p. 478, MEGA, 11/3.4, p. 1477]. There is more detail on this point in Chapter 51 of *Capital* vol. III, and in 'Introduction of the Critique of Political Economy,' section 2 [The General Relation of Production to Distribution, Exchange and Consumption]. Cf. *Fundamental Problems of Political Economy*, pp. 17–22.

face each other in commodity production. The relations between them cease on the day when the term stipulated in the contract they concluded expires' [*Capital*, I, p. 550, MEGA, II/7, p. 508. This text appears for the first time in the French edition, published in 1872–75 in Paris, in Chapter XXIV 'Transformation de la plus-value en capital']. How is this system of relations of production, constituting the whole of short-term, interrupting private contracts among individual commodity producers, reproduced?

In capitalist society, with the ending of a given process of production, the relations connecting its participants are interrupted. But this process of production leaves as its result a given ensemble of means of production (material and human) and of products of labour, distributed among different social groups and given different 'social forms' (capital, labour power as wage labour, land as object of property, wage, profit, interest, ground rent, and so on). These social forms of things are expressions or result of certain relations of production of people, but a result, continuing their existence also after the close of a given concrete relations of production, during the period of interruption between the close of the former and the resumption of the following concrete relations among participants of the production process. After the ending of a given process of production (even in the case of the dismissal of labourers by the entrepreneur), the means of production and money belonging to the entrepreneur do not lose their property as capital; they represent 'capital in itself, potential capital' [*Capital*, III², p. 809, MEGA, II/15, p. 784], since with the type of relations of production among people predominant in this society they can or even must be transformed into actual capital. This means that a definite form of the relations of production of people was 'reified', 'fixed', 'crystallised' in a definite social form of things, comprising so to say the objective property of these things and remaining inherent in them irrespective of interruptions in the concrete relations of production of people. 'The result of production *crystallises* into a *permanent and therefore prerequisite condition of production*, that is, it becomes a *permanent attribute of material conditions of production*' (emphasis in original [*Theories*, 2, p. 518, MEGA, II/3.4, p. 1514]).

Once such a 'reification' of the relations of production of people occurs, the product of labour acquires a particular social form, maintained by it, as we have seen, even after the ending of that single, individual relation of production in which it temporarily appeared. The social form of things begins to exist, so to say, independent of the concrete relations of production of people. 'Relations of production are converted into entities and rendered independent in relation to the agents of production' [*Capital*, III², p. 831, MEGA, II/15, p. 805].⁷ Individual

7 In Marx's original: "Versachlichung" and "Verselbständigung".

commodity producers find ready-made social forms of the products of labour, endowed with, as it seems to them, 'the stability of natural, self-understood forms of social life' [*Capital*, I, p. 80, MEGA, II/6, p. 106]. These forms already work upon them in advance, giving rise to determinate motivations in them and conditioning their behaviour. Commodity producers are thoroughly surrounded by things, endowed with particular social forms and inducing them to enter into certain relations of production with other people corresponding to their forms. Having received an estate by inheritance, the heir, without ever having concluded lease contracts, now enters into a relation of production with tenants, since such a behaviour is dictated to him by the contemporary social form of the land he received, as something naturally yielding rent. This social form of things, while being a result of social relations of production of people, appears here as a precondition of the concrete relations of production to be established by individual people.

These ready-made relations and forms, which appear as preconditions in real production because the capitalist mode of production moves within the forms it has created itself and which are its results, confront it equally as ready-made preconditions in the process of reproduction. As such, they in fact determine the actions of individual capitalists etc., and provide the motives.⁸

The vulgar economists saw only the second half of this process, appearing on the surface of economic life. They saw the ready-made forms of things, determining the motivations and behaviour of the individual capitalist and reflecting themselves in his consciousness. But they did not see behind this 'exterior appearance' the 'interior connections' of phenomena, namely they did not see the process itself of the formation of these social forms of things from the mass relations of production of people. Since these social forms of things are contraposed to the individual commodity producer already as ready-made preconditions, the economists found in them a natural form of things, not in need of explanation. But Marx aimed mainly at showing the 'generative' development of these social forms of relations of production of people.

Every social form inherent in the products of labour in capitalist society (money, capital, profit, interest, and so on), appeared as a result of a long historical and social process, by manifold repetitions and stratifications of individual relations of production among people. As long as a given type of rela-

⁸ [*Theories*, 2, p. 486, MEGA, II/3.4, p. 1484].

tions of production of people still bears rare, exceptional character in a given society, it cannot imprint on the product of labour appearing within it a constant, solid social stamp. 'The momentary social acts' of people convey to the products of their labour only a momentary social form, which 'comes and goes with the momentary social acts that called it into life' [*Capital*, I, p. 92, MEGA, II/6, p. 117]. In the conditions of undeveloped exchange, the product of labour obtains exchange value only in the moment of exchange itself, and neither before nor after this moment is it value. When the exchangers compare their products of labour with a third product, in this moment the latter carries on a germinal function of money, while being money neither before nor after this act of exchange.

In accordance with the development of the productive forces, giving rise to certain types of relations of production among people, these relations become more and more frequent, are repeated many times, become ordinary and widely diffused in a given social milieu. Such a 'densification' of the relations of production of people leads also to a 'densification' of the corresponding social forms of things. This social form 'consolidates itself', fixes itself behind the thing, maintaining itself behind it also in the moments of interruption of concrete relations of production of people. Solely from this moment can date the appearance of a given material category, as separated from the relation of production of people which gave birth to it and, in turn, reacting upon this relation. 'Value' becomes so to say a property of the thing itself, with which it enters the process of exchange and which it maintains after exiting from it. The same applies to money, capital, and the other social forms of things. From the result of the process of production they become at the same time also its preconditions. From now on, a given social form of the product of labour already serves not only as an 'expression' of a definite type of relations of production of people, but also as its 'bearer'. The presence of a thing with a definite social form in the possession of a person induces him to enter into a determinate relation of production, invests this person with a particular social character. The 'reification of relations of production' is now supplemented with the 'personification of things'. *The social form of products, while being a result of the mass actions of commodity producers, turns out to be a mighty means of pressure on the motivation of individual commodity producers, and of the accommodation of their behaviour to the types of relations of production predominating in a given society.* It is through the social form of things that the reaction is transferred to the individual. Owing to this, the objectification or 'reification' of the relation of production of people in the social forms of things conveys to the economic formation a great solidity, stability, and regularity. A 'crystallisation' of the relations of production of people takes place.

Critics of Marx have completely overlooked the fact that the process of 'crystallisation' is related equally to all fundamental types of relations of production of people in the commodity economy. They paid attention only to Marx's phrases on the 'crystallisation' of labour in value, on value as a 'crystal' of social labour, and on this basis accused Marx of a mechanistic-naturalistic understanding of value. Struve even discovers a contradiction between Marx's theory of value and his own sociological theory of commodity fetishism.⁹ These accusations are based on a complete misunderstanding. Marx's theory of the 'crystallisation' of labour in value is no more than an appendix to his theory of commodity fetishism, or of the 'crystallisation' of relations of production of people in social forms assumed by things. In one place Marx says straightforwardly that value is '*realised, fixed, or, if you like, crystallised social labour*'.¹⁰ Marx notices such a process of crystallisation not only in the theory of value, but also with regard to other fundamental material categories of political economy, each of them being the result of the objectification or 'consolidation' of the relations of production of people. Let me give only some examples. The relations of people in exchange are 'crystallised in money form', a 'money crystal' appears, 'gold crystalises itself as money'; the 'transformation of commodities themselves crystalises itself in certain forms of money'; the comparison of commodity prices 'crystalises itself' in money of account, and so on.¹¹ 'The determinations arising out of the circulation process crystallise as attributes of particular sorts of capital, fixed, circulating, and so on, and thus appear as definite material attributes of certain commodities' [*Theories*, 2, p. 486, MEGA, II/3.4, p. 1487]. 'All surplus-value, whatever particular form (profit, interest, or rent), it may subsequently crystallise into ...' [*Capital*, I, p. 500, MEGA, II/6, p. 497].¹² The last phrase is highly characteristic, since the process of crystallisation means within it the appearance of those 'solid', 'stable', 'separated', 'autonomous', 'ossified' forms of revenue (interest, business profit, rent), on the analysis of which Marx deepened his theory of fetishism in Chapter 48 of vol. III of *Capital*.

9 P. Struve, Foreword to the translation of *Capital* vol. I, 1906, p. 30.

10 *Wages [Value], Price and Profit* [MECW/20, p. 122, MEGA, II/4.1, p. 406. Emphasis in original].

11 *Capital*, I, pp. 54, 56, etc. *Critique of Political Economy*, 1907, pp. 52, 54, 74, 172, etc. (Russian translation by I.B. [?], 1922, pp. 65, 68, 78, 134).

12 Cf. the following letter from Marx to Engels: 'in contrast to all previous political economy, which from the outset treated the particular fragments of surplus value with their *fixed* forms of rent, profit, and interest as *already given*, I begin by dealing with the general form of surplus value, in which all these elements are still undifferentiated, in *solution* as it were' [Marx's letter to Engels of 8 January 1868, MECW/42, p. 514, MEW/32, p. 11. In Marx's original emphasis is placed in different words as in Rubin's quotation].

Marx's attachment to the term 'crystallisation' can be easily explained. The gradual saturation of a certain solution leads at a certain moment to the transition of quantity to quality and to the separation of solid crystal, in like manner a lengthy repetition of a certain type of relations of production of people leads at a certain stage of development to the fixation and consolidation behind the products of labour of a particular 'social form', like so to say a stable property constantly inherent in them. 'Current', dynamic interpersonal relations of production so to say coagulate from their lengthy repetition, leaving a deposit in solid, 'crystalline', 'congealed' forms of things. To reduce these congealed, at first sight static forms of things to the living dynamics of social processes, such is the fundamental task of Marx's economic theory. In all material economic categories Marx discovers the 'social connection in its dense form', as he once expressed with respect to commodity and money.¹³

Only at a certain stage of its development, after manifold repetition, do the relations of production of people leave, so to say, a deposit in the form of certain social properties fixed behind the products of labour. As long as this type of relations of production does not attain in society a sufficiently wide propagation, it cannot yet convey to things the corresponding social form. When handicraft was still the dominant type of production and assumed the task of 'nourishing' the handicraftsman, he continued to consider himself as a 'master' and his revenue as the source of 'nourishing', even when he had widened his enterprise and already become essentially capitalist, living on the wage labour of his workers. In this attitude he did not yet see 'profits' on capital, as he did not yet see 'capital' in his means of production. Exactly in the same way, under the influence of landownership predominating over the pre-capitalistic social relations, for a long time interest was not yet considered as a new form of revenue but rather as a variant form of rent. Thus, the famous economist Petty still tried to deduce interest from rent. There takes place 'a submission of all economic forms to the dominant one' [*Capital*, III², p. 876, MEGA, II/15, pp. 848–9. Rubin's free summary of Marx's corresponding text]), inherent in this mode of production. This explains that a more or less lengthy period of development must elapse before a new type of relations of production is 'reified' and 'crystallised' in a corresponding social form of the products of labour.

Instead, on the other hand, from the moment when the new type of relations of production consolidates itself and attain a dominant position, it begins in its turn to dye in its tinge the relations of production distinct from it, survivals of

13 Marx says: 'in seiner kompakten Form [in its compact form]' [*Critique*, p. 364, MEGA, II/2, p. 194].

previous or germs of new forms of production. For elucidating this point, the process of crystallisation of the relations of production in material categories we have described above is very helpful. From the moment when a given type of relations of production of people assigns to things specific social forms, they are attributed to things even in that case where a concrete corresponding relation of production among people is lacking. Let me give some examples. In capitalist society, on the basis of the separation of different groups within the class of capitalists, namely of money capitalists and industrial capitalists, the separation of various forms of capitalist revenue is carried out in the form of interest and business profit. But these forms of revenue, while being a result of the process of production, appear in turn as already given, ready-made, solid preconditions. Owing to this, even that capitalist who works exclusively on his own capital and has no obligation to pay to anyone a part of his profit as interest sees in his revenue two different parts: interest on his capital, corresponding to the average rate of interest in a given country, and the remainder, which he regards as his business profit. Here the question is not only about the way of thinking leading to submit various shares of revenue to various items or social forms. This way of thinking determines every individual action of a given capitalist, determining or 'limiting' (restraining) it in a certain direction and submitting to the ordinary, typical behaviour of the representatives of a given social group. Here again the reification of the relations of production appears in the role we have indicated above: as a means of pressure of society upon the individual and of subordinating the individual to the mass social behaviour. The behaviour of the individual capitalist is influenced by those 'objective' forms of revenue (business profit and interest), which, while being the result of the reification or crystallisation of the relations of production among the representatives of different social groups (industrial and money capitalists), serve as preconditions for the activity of individual capitalists. 'Part of the profit is classified as interest, even if the industrial capitalist employs only his own capital, because this form has a separate mode of existence' [*Theories*, 3, p. 340, MEGA, II/3.5, p. 1855]. The 'separate mode of existence' means here, as in other places, nothing other than reification, crystallised or fixed in the form of a property of the product of labour. The infinite number of indications we can find in Marx on the 'separation' of diverse parts of surplus value or of diverse parts of revenue become fully understandable only against the backdrop of his theory of the fixation or crystallisation of the relations of production of people in things, i.e., against the backdrop of his theory of commodity fetishism.

Let me take up another example, still more illuminating, to which Marx returns again and again: the example of an autonomous small producer, for example, a handicraftsman or small peasant working on his own land, without

the aid of the wage labour of others.¹⁴ In the countries of highly developed capitalism this small peasant, though not sharing his revenue with anyone, finds within it different component parts: he regards one part as rent for his land, another as a wage for his labour, the third as profit. Accordingly, he begins gradually to regard also his means of production as capital. In the conditions of developed capitalism, such a manner of calculation has a certain meaning for the peasant and can turn out to be necessary for a correct orientation of his behaviour in the economic conditions environing him.

This example has a particular interest for us, because with it we can compare quite clearly the method of Marx with that of the classical economists. Adam Smith too expands on the same example of a small autonomous producer:

An independent manufacturer, who has stock enough both to purchase materials, and to maintain himself till he can carry his work to market, should gain both the wages of a journeyman who works under a master, and the profit which that master makes by the sale of the journeyman's work ... A gardener who cultivates his own garden with his own hands, unites in his own person the three different characters, of landlord, farmer,¹⁵ and labourer. His produce, therefore, should pay him the rent of the first, the profit of the second, and the wages of the third. The whole, however, is commonly considered as the earnings of his labour. Both rent and profit are, in this case, confounded with wages.¹⁶

As we see, Adam Smith does not for a moment cast doubt on the fact that a small producer has 'capital' and actually acquires three sorts of revenue. Smith even expresses dissatisfaction with their insufficiently rigorous distinction from each other. Smith's view is completely consistent and even irrefutable so long as we observe wages, profit, and rent only from their 'material' aspect, i.e., so long as we see in them the three parts into which the product of labour is divided when it is distributed among three persons participating in the production (landowner, capitalist, and labourer). If production is carried on by the peasant on his own land, and the product of labour or its value remains wholly

14 Cf. for example *Capital* vol. III², pp. 405–6; *Theories of Surplus Value*, vol. I. Translation with the redaction of G.V. Plekhanov, 1906 [cf. note 12 in Chapter 17 of *Essays* above], pp. 332–23; *Theories*, vol. III, pp. 483–84.

15 Here 'landlord' means the proprietor of land, and 'farmer' the entrepreneur-capitalist.

16 A. Smith, *An Inquiry into the Wealth of Nations*, translation by M. Shchepkin and A. Kaufman, second edition, p. 63 (Book I, Chapter VI) [Adam Smith, *An Inquiry into the Nature and Causes of the Wealth of Nations*, Clarendon Press, Oxford, 1976, pp. 70–1].

in his hands, it will be entirely indisputable that the peasant received all three parts of which the product of labour is comprised, i.e., the three sorts of revenues.

But we will naturally arrive at a different conclusion if we remember that the various revenues are not parts of a product of labour, but social forms assumed by a product of labour and expressing the relations of production of people. The three forms of revenue presuppose the existence of three separated social classes, among which is divided the value of the product of social labour. If a peasant ever works by himself on his own land, the process of production is not built on the basis of the unification of representatives of these three social classes, and, consequently, there lack also the forms of revenue expressing in material forms these relations of production of people. Wages and profit are not various parts of *one* thing, as it seems at first sight, but material expressions of *one* relation of production among *various* persons. If one person takes part in production, in the hands of whom remains the value of all the product of labour, this means a complete absence of those forms of revenue (wage, profit, and rent) which presuppose a contraposition of various people in production. The peasant receives in his job the non-capitalist, non-differentiated revenue of the small proprietor. It is not true that this revenue unifies within it the wage, profit, and rent. On the contrary, it represents none of these forms of revenue, as its receiver appears neither as wage labourer, nor as capitalist, nor as landowner (in the capitalist meaning of the word, i.e., in the meaning of a landowner not participating in production).

Marx sees this phenomenon precisely in this way. Unlike Smith, who considered it necessary to explain why the peasant does not draw a rigorous distinction among the various parts of his revenue, Marx is interested in a question of a contrary character: why does the peasant find different component parts in his single and undivided revenue? The answer to this question is included in the doctrine on the reification or crystallisation of the relations of production of people. The separation of various forms of revenue represents a 'reified' result of the relations of production of capitalist society, contraposed to each particular individual as a given precondition, and applicable 'even where the preconditions for these forms of revenue are missing' [*Capital*, III², p. 875, MEGA, II/15, p. 847]. The existence of three social classes with different functions in production conveys to the means of production the social form of 'capital'. But once this social form of the products of labour has become dominant, every means of production begins to be regarded as 'capital', in the hands of whomever it might be and insofar as the proprietor of these means of production begins to be regarded as quasi-capitalist, even if he did not hire labourers. A thing, having acquired its social form as a result of the mass actions of commodity produ-

cers, throws its reflected light on its possessor, impressing on him a determinate social stamp. This is also what Marx calls the 'personification of things', which is a result of the foregoing process of 'reification of the relations of production of people' (or, as Marx sometimes expresses it in short, the 'reification of people'). 'It emerges in very striking fashion here that the capitalist as such is only a function of capital, and the worker a function of labour capacity' [*Theories*, 4, p. 143, MEGA, II/3.6, p. 2181]. The means of production and the living labour unified in the economic activity of the peasant appear in advance in the social form inherent in them in capitalist society: the means of production are considered as 'capital', and the living labour as 'labour power' or wage labour. Hence also the owner of this economic unit so to say mixes up in him two social characters. 'He himself is then divided up into different economic characters. As his own workman, he gets his wages, and as capitalist, he gets his profits' [*Theories*, 3, p. 340, MEGA, II/3.5, p. 1855]. This 'decomposition' in thought of a small producer into capitalist and labourer anticipates and shortens the actual process of such a decomposition, i.e., the transformation of this producer either into a small capitalist or into a wage labourer. We see also here that the fixation behind things of a determinate social form shortens the process going from the submission of individual producers to the dominant type of relations of production, expressed in a given social form of things.

Therefore, we should represent in the following way the connection between the relations of production of people and the material categories. Each type of the relations of production among people characterising the commodity-capitalist economy assigns to things, through which or with regard to which people enter into a given relation, a *particular social form*. The 'reification' or 'crystallisation' of the relations of production of people takes place. A thing, having appeared in a definite relation of production among people and possessing a corresponding social form, *maintains this form also after the close of a given concrete single relation of production of people*.¹⁷ Only in this con-

17 We must not think as if the maintenance of a given social form of things necessarily presupposes an unchangeability of the natural form of thing: when the natural form of a thing changes or it is replaced with other form, it is possible to maintain the same social form represented by these things. For example, a change in the kind of raw material in the process of production in a factory does not in the least alter the social form of 'productive capital,' fixed in raw material at different stages of processing.

The problem of the maintenance of a natural form of thing in itself (i.e., independent of change in its social form) has no bearing here.

Moreover, as far as the question is about the maintenance of the social form of a thing, it would be wrong to think that such a form is maintained forever, passing in an unchanged form from one process of production to another. Such a constant existence of the same

dition can we regard the relation of production of people as actually 'reified', 'crystallised' in the form of a property of a thing, inherent so to say in itself and separated from this relation of production. Once things appear in a certain social form fixed behind them, they begin in turn to react upon people, determining their motivation and inducing them to establish among them concrete relations of production. Provided with the social form of 'capital', things make of their proprietor a 'capitalist' and determine in advance those concrete relations of production which are to be established between him and other members of society. The social character of a thing determines so to say the social character of its possessor, the 'personification of things' takes place. In this way the capitalist shines in the reflected light of his capital, but this is possible only due to the fact that the latter in turn reflects the light inherent in a given type of relations of production of people. In short, we see here *a submission of each particular individual to the dominant types of relations of production*. The social form of things conditions the *individual* connection in production of particular people only because this form itself is the expression of *social* connections in production. The social form of things appears as a beforehand given, ready-made, solidly fixed *precondition* of the process of production only because this form itself is the congealed, crystallised *result* of a dynamic, eternally ongoing and changing social process of production. Thus, in the uninterrupted dialectical process of reproduction is resolved the apparent contradiction between the 'reification of people' and the 'personification of things', i.e., between the determinedness of the social form of things by the social relations of production and the determinedness of the individual relations of production of people by the social form of things.

Of the two aspects of the process of reproduction we have indicated, only the latter aspect, the 'personification of things', lies on the surface of economic life and is accessible to immediate observation. Things appear in a ready-made

social form is sometimes presupposed only in relation to 'assets': land-capital (one and the same capital, although through a series of metamorphoses passing from the foregoing to the subsequent process of production). But the 'revenues' (here we leave aside the accumulation) are used, exhausted, and in the following process of production not the same but an analogous revenue is reproduced. But such an exhaustion of revenues does not refute our proposition of the maintenance of a social form of things after the close of a given concrete relation of production of people. A labourer, having received at the end of week his wage (and even being dismissed at this moment from the factory), does not cease to see this sum of value as his revenue in a determinate social form (i.e., as a wage). This consciousness induces him to renew the relation of production with the capitalist. The revenue of the labourer does not lose its social features immediately after the ending of a given concrete relation of production and exercises pressure on individual in favour of a renewal of this relation.

social form, reacting upon the motivation and behaviour of individual producers. This aspect of the process is reflected directly in the psyche of individual persons, and is accessible to direct observation. Far more arduous is to follow up the formation of social forms of things themselves from the relations of production of people. This aspect of the process, i.e., the 'reification' of the relations of production of people, is a heterogenous result of the mass actions of people, stratified on each other, of a social process going on behind their 'back', i.e., a result which is not set as a target in advance. Solely by means of a profound historical and social-economic analysis Marx succeeded in clarifying this aspect of the process.

From this point of view becomes understandable the distinction which Marx often draws between the 'external appearance', 'exterior connection', 'surface of phenomena', 'form of manifestation', on the one hand, and the 'internal connection', 'hidden connection', 'immanent connection', 'essence of things', on the other. He accuses the vulgar economists of their restricting themselves to the investigation of exterior aspect of phenomena, and Adam Smith of fluctuating between 'esoteric' (interior) and 'exoteric' (exterior) points of view. The meaning of these statements of Marx's appears extremely unclear. Critics of Marx, even some of the more conscientious ones, accused him of an economic metaphysics for attempting to explain the hidden connection of phenomena. Marxists have sometimes explained this contraposition of Marx's as a distinction between crude-empirical and abstract-isolating methods of research.¹⁸ We think that the indication to the abstract method is, of course, necessary, but much insufficient for characterising the method of Marx, who had not in mind this point when contraposing interior connections to exterior phenomena. The abstract method is common to Marx and many of his predecessors, including Ricardo. But what is exclusively his exploit is the introduction into political economy of the sociological method, detecting in material categories an expression of the relations of production of people. In this social nature of material categories Marx saw also their 'interior connection'. The vulgar economists study only the form of manifestation, 'alienated' from the economic relations themselves [*Capital*, III², pp. 817–8, MEGA, II/15, p. 792], i.e., the already reified, ready-made form of things, not understanding its social character. They see the process of the 'personification of things', occurring on the surface of economic life, but have no idea of the process of 'reification' of the relations of production of people. They observe the material categories as given, ready-made 'precon-

18 Cf. Kunov, 'For Understanding the Method of Research of Marx', *Fundamental Problems of Political Economy*, 1922 [, first edition], pp. 57–8.

ditions' of the process of production, reacting upon the motivations of the producers and reflecting themselves in their consciousness, not studying the character of these material categories as a result of social processes. Ignorant of this interior social process, they limit themselves to 'the mere appearance of the things, the *connection as it appears in competition*, and in competition everything always appears in inverted form, always standing on its head' [*Theories*, 1, p. 440, MEGA, II/3.3, p. 862. Emphasis in original but not reproduced in Rubin's quotation], namely the relations of production of people appear dependent on the social form of things and not the other way around.¹⁹

The conclusions at which we have arrived in the present article serve as additional supports of that wholly exclusive monism which connects into unity the parts of Marx's economic theory and even his individual remarks, dispersed in various places and at first sight independent of one another. *The theory of commodity fetishism*: two aspects of the process of fetishisation of social relations, namely: the 'reification of people' and the 'personification of things'; the 'crystallisation' of relations of production of people in properties of things; the transformation of the *results* of the process of production into its ready-made *preconditions*; the contraposition of the 'exterior appearance' and 'interior connection' of phenomena, all of these aspects of Marx's theory, usually not attracting sufficient attention and at best considered in isolation, turn out to be in a closest inseparable connection among each other. Most distant and abandoned corners of Marx's system are illuminated and generalised by the light shed from his theory of commodity fetishism. Also the entire series of particular problems, which we could mention only incidentally: the decomposition of surplus value into various forms of revenue; the role of the latter as 'productive' and not only 'distributive' forms;²⁰ the critique of Smith's theory on the forms

19 Of many places, relating to this point, we give the following one: 'the rate of profit, as of wages, is *presupposed*. They are indeed given for *formation* of the cost price. They are *antecedent* to the cost price. To the individual capitalist therefore they also appear as given. The hows, whys and wherefores do not concern him. Adam Smith here adopts the standpoint of the individual capitalist, the agent of capitalist production, who fixes the cost price of the commodity. So much for wages, etc., so much for the general rate of profit' (*Theories of Surplus Value*, vol. III, p. 59 [*Theories*, 1, p. 441, MEGA, II/3.3, p. 864]). As can be seen from the entire context, Marx sees precisely in such a restriction of research to these *preconditions* of the process of production the ignorance of the '*interior connection*' of the latter.

20 From this point of view, it becomes understandable, why Marx in his letter to Engels of 24 August 1867 considered as the best points in the first volume of *Capital* the study of: 1) the twofold nature of labour, and 2) '*surplus value regardless of its particular forms of profit, interest, ground rent*' [Marx's letter to Engels of 24 August 1867, MECW/42, p. 407, MEW/31, p. 326. Emphasis in original but not reproduced in Rubin's quotation]. In another

of revenue as components of value, are also in close connection with the enumerated complex of fundamental problems.

The closest connection unifies not only the individual parts of Marx's economic theory, but also the latter as a whole with his sociological theory. In the present article we had to point out again and again the role of material categories, as means of pressure upon the behaviour of the individual producer and of his submission to the socially dominant type of relations of production. In so doing we immediately arrive at one of the fundamental ideas of the theory of historical materialism, to the idea of the primacy of society over personality. How is this primacy of society over personality realised in commodity-capitalist society, built on an evident completest autonomy of individual producers? In resolving this problem, Marx's theory of the reification or crystallisation of the relations of production of people in social forms of things can be of considerable help. This close connection of economic and sociological elements is not an accidental particularity of the problem we have examined. It permeates the entirety of Marx's system. In every part of his economic works we can find extremely rich sociological material, the incorporation of which into the research of the theory of historical materialism would, probably, fill in no few lacunae in the latter and promote the resolution of many controversial and obscure problems in this field. An elaboration of Marx's economic theory under the perspective of its connection with the theory of historical materialism must become one of the imminent tasks of Marxist theoretical thinking.

letter, Marx adds to these two points a third one: the elucidation of the 'irrational' form of wages [Marx's letter to Engels of 8 January 1868, MECW/42, p. 515, MEW/32, p. 11]. What is common to these three points? The common point in them is the theory of the reification or crystallisation of the fundamental relations of production of commodity-capitalist society and of the social forms of things. The relation of production between capitalists and labourers is reified in diverse forms of revenue flowing out of surplus value, on the one hand, and in wages, on the other.

‘Review on Franz Petry’*

K. Marx and F. Engels Archive, edited by D. Ryazanov, no. 1, 1924, pp. 485–90

The present work is a doctoral dissertation by the young promising scholar Petry [1889–1915], who passed away prematurely. Mobilised to the front at the beginning of the world war, he ended life in a hospital in Vilnius in September 1915, at the age of 26. This work, posthumously printed, is provided with a foreword by K[arl] Diehl, containing some biographical information about the author.

Petry was interested not only in political economy, but also in philosophy. His teachers in this field were [Alois] Riehl and [Heinrich] Rickert. He was a faithful pupil of German idealist philosophy in general and of the Rickert school in particular. Of the literature devoted to Marx’s economic theory, he was seemingly given the deepest impression by the works of Hilferding, shedding light on the sociological aspect of Marx’s theory, and also by the well-known article by Sombart devoted to Volume III of *Capital*. A peculiar combination of such heterogeneous scientific influences reflected on Petry’s book, representing an attempt of clarification of the methodological aspect of Marx’s theory of value from the point of view of Rickert’s philosophy.

In the opinion of Petry, Marx’s whole system is penetrated by methodological dualism and is based on an ‘unnatural combination’ of the idealist philosophy of Hegel with ‘materialist and natural scientific intentions of thinking’ (p. 2). In the theory of value this dualism consists in the contradiction between the ‘causal, natural scientific explanation of the phenomena of value and prices’ and the ‘cultural scientific tendency, which attempts to analyse the phenomena of value and prices from the side of their social content, to introduce a ‘social’ point of view’ (p. 2). In other places, Petry contraposes the ‘*explanatory*-causal way of consideration’ to the way of consideration ‘directed

* И. Рубин. «[рецензия на] Franz Petry, Der soziale Gehalt der Marxschen Werttheorie. Jena, [Verlag von Gustav Fischer,] 1916. S. 70.» *Архив К. Маркса и Ф. Энгельса*, под редакцией Д. Рязанова. Книга первая, Институт К. Маркса и Ф. Энгельса, Москва, 1924, стр. 485–90. This review article is the prototype of ‘Chapter 4. Franz Petry and his Attempt of a Social Interpretation of Marx’s Theory of Value [Франц Петри и его попытка социального истолкования Марксовской теории стоимости],’ in Rubin’s *Contemporary Economists in the West [Современные экономисты на западе]*, 1927, pp. 213–31.

toward meaning and *understanding* of social relations' (p. 31), and the 'purely theoretical grasp of the phenomena of prices' to their 'social understanding' (pp. 31–2). The meaning of these not entirely clear expressions is elucidated when Petry contraposes the Austrian school, restraining 'its task only to the *clarification* of phenomena of exchange, which it does not submit to evaluation and considers in their natural connection', to Marx, who attempts to 'grasp the same phenomena of exchange in their *cultural* meaning, considering them from the point of view of peculiar social values, isolates the socially significant in them and renders its meaning understandable' (p. 59). Thus, we have here a certain division *à la* Rickert between 'sciences of nature' and 'sciences of culture', a contraposition of the natural-scientific method, arranging the phenomena in their causal connection, to the cultural-historical method, arranging the phenomena in accordance with a definite evaluative principle, certainly not an ethical but a gnoseological principle (p. 32). Marx's theory of value is 'twofaced Janus' (p. 28); it is penetrated by the dualism of genetic and critical methods (in the sense of critical philosophy) (p. 21). Leaving aside the genetic, causal aspect of Marx's method, Petry attempts to disclose the critical, cultural-historical, or social aspect of his methods, an aspect which did not attract attention on itself. He understands that such a presentation can be one-sided and even 'appear arbitrary' (p. 3). But he notes in advance that he does not attempt to present Marx's whole theory of value, but only the particularity of his method, as critical or social (p. 6).

Marx's social method consists in that he studies not relations among things, but social relations of production of people (p. 5), 'not real-causal relations among things or people as objects of the external world', but the 'ideal relation among people, as subjects' (pp. 7–8), the 'social relations among people, as subjects of right' (p. 17). The relation of exchange also has, from the point of view of Marx, the same social but not material character. 'But how can the relation of exchange which appears to be a quantitative relation of things with each other represent a *social* relation of production among *people*?' (pp. 17–18). Evidently, we must study not the use value of a thing, as an object of nature, but the exchange value of a thing, as the product of labour, since only through labour can a thing be connected with the social relations of people. 'A part of human personality is embodied in use value, as a product of labour' (p. 18), and a person who possesses this thing has 'indirectly also the man himself' (p. 18). The destiny of a thing reflects the destiny of a personality behind it, a part of which is swallowed by this thing in the process of production (pp. 19–20). To look at commodities exclusively as products of human labour transfers us from the process of circulation to the process of production, and only the unity of these two processes transforms the exchange of commodities from the 'mater-

ial relation of products, not concerning the social structure of society, into the social relation of the personalities of producers' (p. 20). Labour is a 'means of analysis' of the social relations of production (p. 21), the 'measure of social relations of dependence', the 'indicator of the social content of the phenomena of prices' (p. 29). Only considered as products of labour, goods appear 'as goods, i.e., as culturally significant objects' (p. 60). Only the aprioristic methodological point of view on labour as a measure of value makes it possible to discover the relations of people behind the material relations (p. 19), liberating them from their reificatory, material forms.

To this, so to say, 'apriorism of labour', permeating Marx's theory, Petry endeavours to ascribe an idealist character. In his opinion, the exclusive meaning Marx attributes to labour, the accentuation of labour, reflects that 'exclusive value accent, which German philosophical idealism assigns to man, as willing subject, in 'opposition to material nature'' (p. 18). Marx's theory has as its precondition 'Kant's theory of the primacy of practical reason, which separates men and human relations from the entirety of nature with an incomparable, particular, evaluative accent' (pp. 20–1).

Since labour must send us back from thing to personality as an auto-sufficient subject, contraposed to nature, it is understandable that labour also is considered from a particular aspect. This is not a 'concrete, useful labour, as technical force of nature' (p. 21). This is abstract-general labour, which is equal, simple, socially-necessary. These determinations are not related to a natural, but to a social aspect of labour. 'Generality of labour, this is not a natural-scientific concept, including within it only general physiological content, but private labours are abstract-general and at the same time social, as the manifestation of the activity of the subjects of right' (pp. 23–4). Equality of labour, this is not a natural but an 'ideal, legal equality', to which 'corresponds the equivalence of labour in exchange' (p. 24).

Thus, the social aspect of Marx's theory of value aims not at explaining the actual empirical phenomena of the labour activity of people, but at understanding its 'social meaning', its 'cultural significance'. 'The investigation of economic phenomena from the point of view of labour is an aprioristic methodological attitude, a subjective condition of knowing', but not a reflection of the 'real process in object' (p. 50). The idea of labour value, which Ricardo used for the causal, natural-scientific explanation of the actual phenomena of exchange, is transformed by Marx, although confounded with the causal point of view inherited by him from Ricardo, into the 'subjective condition of knowing, which solely constitutes a social point of view' (p. 50). 'The social consists in a peculiarly directed target of knowing, not in the particularities of the object, but in the formal, methodological starting perspective, character-

ised by the subjective way of investigation' (p. 59). The social should be sought not in the 'particularities of causal connection' of phenomena (p. 59), but in a particular gnoseological point of view. Therefore, if Ricardo had in mind a 'law of value' (Wertgesetz), giving a causal explanation of the phenomena of value, we should see in Marx's theory rather a 'consideration of value' (Wertbetrachtung), having as its objective to disclose the 'social meaning' of these phenomena, completely independent of their causal explanation (pp. 45, 48). Labour is not the 'cause of the height of prices' or the 'indicator of exchange relations' (pp. 42, 29, 36–7). 'The labour point of view has nothing to do with the 'causal mechanism of competition'' (p. 30), or with the proportions of exchange relations (p. 27). Not recognising any connection between labour expenditures and the proportions of exchange, Petry equally gives a formulation of 'quantitative problem of value', distinct from the usual one, to which he devotes the second half of his book (the first being devoted to the 'qualitative problem of value', by which is understood the aprioristic methodological principle – 'apriorism of labour', presented above).

By the quantitative problem of value, we usually understand a causal explanation of exchange proportions and the phenomena of prices, subject to a 'law of value'. But, in the opinion of Petry, Marx's social method, being carried out consistently and freed from the elements of causal explanation of phenomena, does not aim at finding out the causes of changes in prices occasioned by competition. If in Volume I of *Capital*, in the condition of the coincidence of prices with labour values, the aprioristic, social, labour 'consideration of value' (Wertbetrachtung) can be erroneously interpreted in the spirit of Ricardo in the meaning of a 'law of value', in Volume III the deviation between them will be obvious. Here the prices do not coincide with labour value and the latter is not in any sense the cause explaining the formation of prices and distribution of revenues. Only competition appears as such a cause. 'The distribution of surplus value and formation of an average rate of profit can be explained exclusively by the motives of individual capitalists' (p. 45). 'The distribution of total surplus value is deduced by Marx not from the law of value, but from certain relations of competition' (p. 49). Volume III of *Capital* represents a renouncement of the 'law of value', but in it is maintained the 'social point of view of value' (p. 48). Faithful to his starting methodological 'labour' perspective, Marx considers different revenues as determinate 'forms of disposal of human labour and, consequently, as social relations' (pp. 30, 29). He does not explain the causes of distribution of these revenues, taking place through the mechanism of competition, but attempts to unveil the social meaning of the results of competition (p. 30), 'to analyse the ready-made results of capitalist competition from the side of their social content' (p. 31). Marx's 'social theory of

distribution' is included in this: not in the causal explanation of the phenomena of distribution (which flow from the social competition and motivation of capitalists, and not from the law of value), but in the evaluation of the results of distribution, their 'social meaning' from the point of view of aprioristic labour principle. The collapse of the 'law of value' in Volume III of *Capital* does not put an obstacle in the way of a thorough realisation of the 'consideration of value' (Wertbetrachtung) and clarifies even with great clarity the characteristic traits of this 'social' or 'critical' method of Marx's in its radical distinction from the method of causal explanation of phenomena (p. 45). In Marx these two methods are confounded, and the social 'consideration of value' takes on the form of a 'law of value' alien to it, is transformed into something like an 'autonomous causal series, independent of the exterior movement of competition' (p. 42), into a super-social, metaphysical necessity, on which the competition is in dependence (p. 43). This 'economic metaphysics' must be abolished (p. 42). Competition discloses the causal connection of phenomena, and the 'consideration of value' discloses their social meaning.

Such are the fundamental propositions of Petry's book. In the appendix he gives a succinct overview of Marx's theory of money, in which can be found reasonable and pertinent remarks. Petry's attempt to shed light on the sociological aspect of Marx's theory of value was beforehand destined for failure because he approached it from a prejudiced, idealistic point of view. He introduced into Marx's theory the view of Rickert on social science, not only alien but also hostile to it, as operating with the method of evaluative ordering of phenomena and not with the method of their causal explanation. Marx's system is entirely constructed on a rigorously consistent method of causal explanation of the actual phenomena, and it would therefore be highly erroneous to contrapose his method as 'critical' (in the sense of the critical philosophy of Kant) to the 'genetical' or causal method of Ricardo. Marx himself contraposed his method as 'genetical' to the analytical method of the classical economists [*Theories*, 2, p. 500, MEGA, II/3.4, p. 1499].

Marx endeavours, like Ricardo, to critically elucidate the phenomena, but, unlike Ricardo, who limited his research to the causal elucidation of the movement of things on the market, Marx attempts to find out the causal elucidation of the relations of production of people in their close connection with the process of material production. Petry evaluates highly the exploit of Marx, who replaced the relations of things with the relations of people, discovered behind the commodities the social relations of production. But Petry does not see in the latter the actual social phenomena subject to causal elucidation, seeing rather the 'ideal relation' through which the subject of knowing connects phenomena, guided not by their actual particularities but by his 'ideal',

gnoseological, essentially evaluative, criteria. Hence the characteristic of the social relation, as a 'labour' characteristic (aprioristic methodological labour principle), is not deduced by the researcher from the actual phenomena themselves, but adduced to them from without, 'thought out' by the knowing subject. After all, we see from Petry's book, that only the phenomena of competition or the movement of things on the market are 'subject' to causal analysis. But, since the 'sociological' or 'critical' aprioristic point of view requires an 'evaluative accentuation of personality' and its contraposition to the entire nature, labour is the means of transition from things (i.e., nature) to personality. It can be said that in Petry the thing is the object of investigation, insofar as this investigation bears a causal character, personality is the target of investigation, and labour is the 'means of analysis', i.e., the means of investigation. But in Marx the labour activity of social man (but not of 'personality', as such) is the object of investigation. But since in the commodity-capitalist economy the labour connection of people is realised by the transfer of things, the analysis of the movement of things (prices, value) serves as the means of knowing of the relations of production of people. The connection between value and labour flows from the social form of the commodity economy, but is not aprioristically 'thought out' by the subject of knowing for the purpose of building a bridge from thing to 'personality'. Relations of people and movements of things are closely intertwined and interact in the real world, and the theoretical connection between value and labour in Marx's system is the reflection of this actual connection and not the result of aprioristicgnoseological requirements.

If, in this way, the general philosophical conception of Petry deprived him of the possibility of understanding correctly the sociological method of Marx, it must be pointed out all the same that Petry has a hunch of the most characteristic and strongest aspect of Marx precisely in this method, though incorrectly clarified by him. Petry emphasises more than once the significance of the relations of production of people, of the social form of economy, in distinction from the material surface of market phenomena, the distinction of the sociological point of view of Marx from the material-technical point of view. Petry clearly understands that the entire series of concepts bear in Marx not a natural but a social character (for example, abstract labour), but Petry cannot show precisely what the latter consists in. Hence the two-sidedness in Petry's book: on the one hand, the complete falseness of the general point of view, but on the other, a series of interesting remarks, which raise, while in no way resolving, problems within Marx's theory, some of which not having been clarified even by Marxists. Petry's book gives the reader at times such an impression, that the young scholar, alien to Marxism according to his formation, separated from it by the wall of philosophical idealism, is strenuously attempting to surmount

these obstacles for a correct understanding of Marx's ideas, but the obstacles are stronger than he. But against the backdrop of the extensive critical literature on Marx, so full of examples of simple incomprehension of Marx and of unwillingness to understand him, this conscientious attempt of Petry's to penetrate Marx's way of thinking is worthwhile to be especially noticed.

In Marxist literature Petry's book has been already estimated in detail in an excellent article by R. Hilferding (Grünberg's *Archiv für die Geschichte des Sozialismus und der Arbeiterbewegung*, 1919, pp. 439–48).

I. Rubin

‘Abstract Labour and Value in Marx’s System’*,^{1,2}

Under the Banner of Marxism, no. 6, 1927, pp. 88–119

I.

Comrades, I have chosen as the theme for today’s lecture the problem of abstract labour and value for two reasons. First, as far as I know, in your seminars the problems of abstract labour as well as the form and content of value have been most ardently examined, therefore I also have decided to organise my lecture so as to treat in detail the problem of abstract labour, but at the same time to cover also the problem of value, its form and content.

The second reason which induced me to choose this theme is that this problem is central to the entirety of Marx’s theory of value. Indeed, we don’t call this theory the theory of labour value for nothing. This name alone already shows that the central problem of this theory is the problem of the correlation between labour and value. What is labour forming or determining value, and what is value formed or determined by labour, such is the central problem of Marx’s theory, which I regard it necessary to clarify in the present lecture.

Before moving to the essential problem, I would like to make some short methodological remarks.

By means of what method do we intend to approach the solution to this problem? In the ‘Introduction to the Critique of Political Economy’, Marx noted that economic research can be carried out by two methods: the method moving from the concrete to the abstract, and the method moving conversely from the abstract to the concrete [MECW/28, pp. 37–8, MEGA, II/1.1, p. 36].

The first method, called the analytical method, consists in that we adopt as the starting point of our investigation a complex, concrete phenomenon, and, leaving aside the multiplicity of its features, choose only one or some of its fundamental features, and, in this way, move from a more concrete concept to

* И. Рубин. «Абстрактный труд и стоимость в системе Маркса» *Под знаменем Марксизма*, 1927, 6, стр. 88–119.

1 Published as a discussion paper. *Editorial Board*

2 Corrected stenography of the lecture, delivered at the meeting of the General-Economic Section of the Institute of Economics, on 31 May and 7 June 1927.

a more abstract, scantier concept, as Marx says. By means of further analysis, we move forward from this concept to a still scantier concept, until we arrive at the most abstract concepts in the sphere of that science or of that complex of questions which interest us.

To give an example illustrating this from the domain of those problems which we are examining, I would like to remind you of the correlation of the following concepts. Marx's theory of value is built on the following concepts: abstract labour, value, exchange value, money. If we take the most complex and concrete of these concepts, i.e., money, and then move, by studying the concept of money, to exchange value, as that more general concept which lies at the basis of money; if after that we move from exchange value to value, and from value to abstract labour, we will move forward from more concrete to more abstract concepts, i.e., operate with the analytical method.

But, Marx says, the analytical method cannot, in spite of the necessity of its use at the first step of scientific investigation, satisfy us in itself, and must be supplemented by another method. After we have reduced, by means of analysis, the complex phenomenon to its basic component parts, now we must go through the inverse route and show, starting from the most abstract concepts, how these abstract concepts lead us, in their development, to more concrete forms, more concrete concepts. This route of advancing movement from poorer concepts to richer and more complex concepts would be in our case a route of movement from abstract labour to value, from value to exchange value and from exchange value to money.

Marx in one passage calls this method the genetic method, because by means of this method we pursue the genesis and development of more complex forms. In other places he calls it the dialectical method. We agree to call the first method analytical, and the second (including within it the analytical as well as synthetical methods) dialectical.

Marx indicates that he considers the dialectical method as the sole method capable of solving most satisfactorily the problems of science. In accordance with this indication, we must submit the problem we are interested in, i.e., the question of the relation of labour to value, to an investigation not only by means of the analytical method but also by means of the dialectical method.

Of the many examples Marx gives of how the analytic method is insufficient, I will present three examples.

On the theory of value, Marx says: 'Political economy has indeed analysed, however incompletely, value and its magnitude, and has discovered what lies beneath these forms. But it has never once asked the question why labour is represented by the value of its product and labour time by the magnitude of that value' [*Capital*, I, pp. 84–5, MEGA, II/6, pp. 110–1].

In another place, devoted to the theory of money, Marx says: 'In the last decades of the seventeenth century it had already been shown that money is a commodity, but this step marks only the infancy of the analysis. The difficulty lies, not in comprehending that money is a commodity, but in discovering how, why, and by what means a commodity becomes money' [ibid., I, p. 95, II/6, p. 120]. As you can see, here again the dialectical method is distinguished from the analytical.

And, finally, in yet another place Marx repeats, speaking of religion, the idea he expressed frequently, that 'it is, in reality, much easier to discover by analysis the earthly core of the misty creations of religion, than, conversely, it is, to develop from the actual relations of life the corresponding celestialized forms of those relations. The latter method is the only materialistic, and therefore the only scientific one' [ibid., I, p. 352, II/6, p. 364].

According to these indications of Marx's, we must solve our problem in the following way.

Our task does not only consist in showing that the value of a product is reducible to labour. We must also indicate the contrary. We must reveal how the labour relations of people find their expression in value.

This is the basic statement of the problem, methodologically most correct from the point of view of Marx.

If we raise the problem in this way, we take as the starting point of investigation the concept of labour, not the concept of value, but we define the concept of labour in such a way that the concept of value also follows from it.

This methodological requirement already gives us indications concerning the correct definition of the concept of labour.

We must define the concept of labour in such a way that the features of the social organisation of labour are already included in it, features from which arises the form of value inherent in the products of labour. Any concept of labour from which the concept of value does not arise, particularly the concept of labour in a physiological sense, i.e., the concept of labour devoid of the features characteristic of its social organisation in the commodity economy, cannot lead us to that aim which we set up in front of us from the point of view of the dialectical method.

In the following I will attempt to show that the disagreement between the sociological and the physiological understandings of abstract labour is partly reducible precisely to the difference between these two methods, dialectical and analytical. If it is still possible from the point of view of the analytical method to more or less successfully stand on the physiological understanding of abstract labour, from the point of view of the dialectical method this concept of labour is destined for failure, since from the concept of labour in the

physiological sense you cannot deduce any idea of value as a necessary social form of the products of labour.

Thus, we have to define labour in such a way that from it, from labour and its social organisation, we would understand the necessity of value as the basic social form assumed by the products of labour in the commodity economy, and the laws of movement of value.

Now moving to the analysis of labour, we begin first of all with its simplest concept, the concept of concrete or useful labour.

Marx considers concrete labour as labour in its useful activity, labour creating products necessary for satisfying human needs. Labour, considered from this material-technical aspect, constitutes concrete labour.

It is self-evident that, as far as the question is about a particular individual, a Robinson, who is confronted with nature, his concrete labour does not in the least interest us, since the object of our science is not the economic activity of a particular individual but that of an entire group of persons, conducted on the basis of a certain social division of labour. The system of the social division of labour is also an ensemble of various concrete sorts of labour, unified in one definite system and materially complementing each other.

Thus, from concrete labour in general we have now moved to a system of social division of labour, as an ensemble of various concrete sorts of labour.

We have to in somewhat greater detail expand on the concept of the social division of labour, since it plays a key role for understanding the whole of Marx's theory of value.

Marx says that the system of the social division of labour is of a twofold nature, in his words: as both a system mediated by exchange, and as a system not in need of such a mediation by exchange, for example, a natural economy of a large family commune, a socialist community, and so on.

We will first examine the system of an organised social division of labour, built up without recourse to exchange.

Insofar as we are speaking of an organised system of social division of labour, we have not only concrete, material-technical labour, but we have already social labour as well. Marx places the concept of the social division of labour at the boundary between the concept of concrete useful labour and the concept of social labour, of social economy. On the one hand, at the very beginning of the section on the twofold character of labour (*Capital*, vol. 1, Chapter 1, section 2), Marx considers the social division of labour as an ensemble of concrete sorts of labour. But in other places within this work, in particular in the chapter on manufacture (Chapter 12 [Chapter 14 in *Capital*, vol. 1], section 4), he considers the system of the social division of labour from the point of view of the relations of production of people characterising it. In an organised economy,

these relations of people are relatively simple and transparent, labour receives directly a social form, i.e., a certain social organisation and determinate social organs exist, which distribute labour among individual members of society, due to which the labour of each person directly enters into the social economy as concrete labour with all its concrete material particularities. The labour of each person appears as social precisely because it is distinguished from the labour of the other members of society and is a material complement of them. Labour in its concrete form appears directly as social labour. At the same time, it is distributed labour as well. Indeed, the social organisation of labour itself consists in that labour is distributed among various members of society, and conversely, the distribution of labour is the act of some social organ. Labour appears simultaneously as social and distributed, moreover it has both of these features in its material-technical concrete or useful form.

Now let us ask the following question: is labour in an organised commune also socially equalised: do we find in such a commune the social process which may be called the process of social equalisation of labour?

Different opinions may exist on this question. Some economists assert that in any communal economy based on a division of labour there always existed a social equalisation of labour, and that it existed precisely in such a form which is essentially distinguished from the equalisation of labour in the commodity economy.

Some other economists state an opposite view. They say that the process of social equalisation of labour is a process inherent only in the commodity economy, and not taking place in any other form of economy. In particular these economists deny the possibility and necessity of the social equalisation of labour in a socialist economy.

I have expressed an intermediate opinion in my book: I pointed out that every economy based on a social division of labour must have recourse, to such and such extent and in such and such a form, to the social equalisation of labour of various sorts and of various individuals; but at the same time I pointed out that in the commodity economy this equalisation acquires an entirely special social form, and therefore gives rise to the appearance of a completely new category of abstract labour. I think that it was precisely in this way that Marx viewed this question, although his direct statements in this respect are not available to me. I know the most immediate statement of Marx, from the first edition of *Capital*. Marx says that: 'In each social form of labour, the labours of different individuals are related to one another as human labours too, but in this case (i.e., in the commodity economy [added by Rubin in parentheses]) this *relating itself* counts as [diese *Beziehung selbst* als] the *specifically social form* of the labours' (*Capital*, vol. I, 1867, p. 32 [English version, p. 32, MEGA, II/5, p. 41. Emphasis in the second clause is slightly different from the original]).

We will examine the ending of this phrase below, but for the moment I would like only to point out that, apparently, in the opinion of Marx, in every social form of labour the labour of different individuals is related to each other as human labour. Indeed, the extreme proponents of the physiological version might assert that Marx keeps in mind here only the physiological equality of diverse labours, but such an interpretation seems to me to be a sheer perversion. The straight meaning of this phrase, speaking of the 'social form of labour' as well as its comparison with many other places in *Capital*, shows that Marx keeps in mind here the process of social equalisation of labour.

I would consider it necessary to lay down some restrictions to the above formula, according to which a social equalisation of labour takes place in any social form of economy.

I think, that, for example in the primitive family, where labour was divided between men and women and fixed for the representatives of each gender, and the transition from the occupation of men to that of women did not exist and was even forbidden, the process of social equalisation of labour cannot take place even in a germinal form. Furthermore, in such social organisations, built on an extreme inequality of different social groups (for example, in slavery), a social equalisation of labour could have taken place only for the members of a given social group (for example, for slaves or for a given category of slaves). In such a society, even the concept of labour as such, as a social function, could not be elaborated.

Thus, insofar as we leave aside those social organisations which were based on an extreme inequality of gender or of individual groups, and have in view a large community with a division of labour, for example in a tribe or a large Yugoslavian family collective, I think that the process of social equalisation of labour was inevitable. Such a process will be all the more necessary in a large socialist community. But the process of this equalisation of labour in an organised community is radically distinguished from that equalisation which takes place in the commodity economy. In fact, let us imagine some socialist community, where labour is distributed among the members of society. A definite social organ equalises labour of various sorts and individuals to each other, since without this any economic plan cannot be realised. But in such a community the process of equalisation of labour appears as a secondary and supplementary to the process of socialisation and distribution of labour. Labour is above all social and distributed labour: the feature of socially equalised labour also can be admitted here as a derived and additional feature. The fundamental characteristic of labour is its characteristic as social and distributed labour, and the feature of socially equalised labour is a supplementary feature.

Here I take this opportunity to say that I would find it useful for a clearer examination of the problems which interest us to rigorously distinguish from each other the following three concepts of equal labour:

- 1) Physiologically-equal labour.
- 2) Socially-equalised labour and
- 3) That abstract labour, which appears in the text of Marx, or, preferably, abstract-universal labour (a term Marx uses in *Critique*).

The physiological homogeneity of various sorts of labour has existed in all historical epochs and, making it possible for individuals to move from some occupations to others, this homogeneity is the precondition of every social division of labour. The socially-equalised labour is characteristic of all systems of social division of labour where a process of social equalisation of labour goes on, i.e., not only of the commodity economy, but, for example, also of a socialist community. Finally, the third concept of labour, as abstract-universal, is characteristic only of the commodity economy. To this concept we will return once again below; until now we have had in view the second concept of labour, as socially-equalised and distributed.

Now let us examine the kind of changes in the organisation of labour which arise in our community, if we take it up not as an organised whole but as a combination of individual economic units of private commodity producers, i.e., as a commodity economy.

In the commodity economy we also find the social features of labour enumerated above, which we had observed earlier in an organised community; and here we see social labour, distributed labour, and socially-equalised labour, but all these processes of the socialisation, equalisation, and distribution of labour take place in a completely different form. The mutual combination of these three features is already completely different, first of all because the commodity economy lacks a direct social organisation of labour, and labour does not appear as directly social.

In the commodity economy the labour of a particular individual, of a particular private commodity producer, is not directly regulated by society and as such, in its concrete form, it does not yet enter into the social economy. Labour becomes social in the commodity economy only in such a way that it acquires the feature of socially-equalised labour, namely the labour of each commodity producer becomes social only owing to the fact that its product is equalised to the products of all other commodity producers, and at the same time the labour of this individual is equalised to the labour of all other members of society and to all other sorts of labour. There exists no other feature for the definition of the social character of labour in the commodity economy. Here is no plan of the socialisation and distribution of labour designed in advance, and the exchange

of the product of a given labour for all other products is the sole sign of the fact that the labour of a given individual is included in the social system of economy.

Thus, in the commodity economy, in comparison with a socialist community, the feature of social labour and the feature of socially-equal or -equalised labour interchanged their places. Earlier the characteristic of labour as equal or equalised was a result of the inducing process, the inducing act of the social organ which socialised and distributed labour. Now labour becomes social only in becoming equal to all other sorts of labour, becoming at the same time socially-equalised.

I give you only some quotations from Marx, giving support to what I have said.

The most illuminating passage can be found in *Critique*, where Marx says that labour 'becomes social labour [only – added by Rubin] by assuming the form ... of abstract universality' [*Critique*, p. 275, MEGA, II/2, p. 113]). 'Abstract and in this form social labour,' with these words Marx often characterises the social form of labour in the commodity economy. I remind you also of the well-known phrase from *Capital* to the effect that in the commodity economy 'the specific social character of private labour carried on independently, consists in the equality of every kind of that labour, by virtue of its being human labour' [*Capital*, I, p. 79, MEGA, II/6, p. 105].

Thus, in a commodity economy the centre of gravity of the characterisation of labour is transferred from the feature of socialised labour to the feature of equal or socially-equalised labour, equalised through the equalisation of the product of labour. The concept of the equality of labour plays such a central role in Marx's theory of value precisely because in the commodity economy only labour that is equal becomes social.

Just as the feature of social labour follows from the feature of the equality of labour in the commodity economy, the feature of distributed labour also follows from it. The distribution of labour in the commodity economy does not consist in its conscious distribution according to definite needs beforehand declared, but it is regulated by the principle of the equal profitability of production. The distribution of labour among individual branches of production takes place in such a way that in all the branches of production commodity producers would acquire an equal amount of value by means of the expenditure of an equal quantity of labour.

We have enumerated three features of labour: social, socially-equalised, and -distributed, which were inherent in labour also in an organised socialist community, but completely changed their character and mutual composition in the commodity economy. Here the three enumerated features of labour appear as the basis on which grow the three aspects of value. Marx considers

value as the unity of the form, substance, and magnitude of value (Wertform, Wertsubstanz, Wertgrösse). ‘What was decisively important, however, was to discover the inner, necessary connection between value-*form*, value-*substance*, and value-*magnitude*’ (*Capital*, vol. I, 1867, p. 34 [English version, p. 34, MEGA, II/5, p. 43. Emphasis in original but not reproduced in Rubin’s quotation]). The unity of the form, substance, and magnitude of value is the reflection of the unity of labour as social, socially-equalised, and quantitatively distributed. In the commodity economy the relations of people in production and labour are ‘reified’, and the social features of labour take on the form of the ‘material’ properties of the products of labour. The ‘form of value’ is a social form of the products of labour, reflecting the peculiar social character of labour in the commodity economy. Socially-equal labour comprises the ‘substance of value’. Finally, the ‘magnitude of value’ is an expression of the social distribution of labour, or more exactly, of the quantitative aspect of this process of distribution of labour.

The threefold character of labour we have proposed helps us to clarify the connection existing between the form, substance, and magnitude of value in Marx’s system. In particular this trichotomy elucidates many things in the construction of the section on the ‘fetishism of commodities’.

Allow me to read through the second paragraph of this section:

For, in the first place, however varied the useful kinds of labour, or productive activities, may be, it is a physiological fact that they are functions of the human organism, and that each such function, whatever may be its nature or form, is essentially the expenditure of human brains, nerves, muscles, &c. Secondly, with regard to that which forms the ground-work for the quantitative determination of value, namely, the duration of that expenditure, or the quantity of labour, it is quite clear that there is a palpable difference between its quantity and quality. In all states of society, the labour time that it costs to produce the means of subsistence must necessarily be an object of interest to mankind, though not of equal interest in different stages of development. And lastly, from the moment that men in any way work for one another, their labour assumes a social form.³

On the three points quoted, Marx shows that we can observe the three features of labour, as social, equal, and quantitatively distributed, not only in the commodity economy but also in other forms of economy.

3 [*Capital*, I, p. 76, MEGA, II/6, pp. 102–3].

But, says Marx, from whence comes the enigmatic character of the products of labour as commodities? He answers: precisely from this commodity form itself, in which all the three enumerated features of labour are already transformed and 'reified' in the value of the products of labour.

The equality of all sorts of human labour is expressed objectively by their products all being equally values; the measure of the expenditure of labour power by the duration of that expenditure takes the form of the quantity of the value of the products of labour; and finally the mutual relations of the producers, within which the social character of their labour affirms itself, take the form of a social relation between the products.⁴

On these three points, Marx already speaks of the substance, magnitude, and form of value. We can follow very clearly Marx's way of thinking in the first edition of *Capital*, where a whole page is devoted to the substance, magnitude, and form of value immediately after the three sentences quoted above. In the second edition it is as if Marx has removed these arguments about the substance, magnitude, and form of value, but in fact they were only put off. Here, the three long paragraphs which Marx puts before the analysis of different types of economy (the economy of Robinson, the medieval economy, and so on) are devoted to the substance, magnitude, and form of value.⁵

I arrive at the following conclusion. Equal labour can mean first of all physiologically-equal labour on which we have not long dwelt; further, it can mean socially-equalised labour, which can be found not only in the commodity economy but also, we would say, in a socialist community or in another large community built on a social division of labour; and finally, we have abstract-universal labour, i.e., socially-equalised labour in a specific form, inherent in the commodity economy, labour which becomes social and distributed labour only owing to the process of social equalisation. Only this socially-equalised labour can we name as abstract or abstract-universal labour. It must be said that in Marx's *Critique of Political Economy* some allusions to the three kinds of equalisation of labour can be noticed: physiological equalisation, social equalisation in general, and social equalisation in the commodity economy.

4 [ibid., pp. 76–7, 11/6, p. 103].

5 To the substance of value is devoted the paragraph, beginning with the following words: 'Hence, when we bring the products of our labour into relation with each other as values, it is not because we see in these articles the material receptacles' and so on [ibid., p. 78, 11/6, p. 104].

It is true that Marx does not draw an entirely clear distinction, but it must be noted that he distinguishes the three terms: human labour, equal labour, and abstract-universal labour. I don't claim that these three terms completely coincide with what I have characterised above as physiologically-equal labour, socially-equalised labour and abstract labour, but there certainly exist some points of contact.

In this way, in examining the problem of abstract labour, we should not only not stop at the preliminary characterisation of labour as physiologically-equal, but also not even stop at the characterisation of labour as socially-equalised. We must move from these two characterisations to the third characterisation, considering that specific form of equalised labour which is inherent only in the commodity economy, i.e., in the system of social division of labour based on exchange.

Consequently, not only the proponents of the physiological understanding of abstract labour commit error, but so, in my opinion, do those comrades who understand by abstract labour socially equalised-labour in general, independent of the specific social form in which this equalisation takes place.

We must add that these two concepts of labour, physiologically-equal and socially-equalised labour, are very often confounded and not sufficiently distinguished from one another. The concept of abstract labour presupposes, naturally, the physiological equality and also the social equalisation of labour, but, in addition to these two features, it presupposes also the equalisation in that specific form of labour which it has in the commodity economy.

The fact that the proponents of the physiological understanding of abstract labour commit a crude error against Marx can be shown with a number of quotations from Marx; I would like to read through to you only one quotation, which is highly characteristic. In briefly characterising the views of Franklin, Marx says that Franklin himself unconsciously reduced all sorts of labour to one, regardless of whether this labour is of a shoemaker or a tailor and so on. Franklin thinks, that value 'is determined by abstract labour which has no particular quality and can thus be measured only in terms of quantity' [*Critique*, p. 296, MEGA, II/2, p. 134]. Franklin was aware of abstract labour, but, adds Marx, 'since he does not explain that the labour contained in exchange value is abstract universal social labour, which is brought about by the universal alienation of individual labour, he necessarily fails to recognise in money the direct embodiment of this alienated labour' [*ibid.*, pp. 296–7, II/2, p. 134].

You can see that Marx contraposes here acutely abstract labour to abstract-universal labour. Abstract-universal labour, contained in value, is the labour specifically inherent in the commodity economy.

I summarise in the following way:

If we examine the problem of the correlation between labour and value not only from the point of view of the analytical method, but also from the point of view of the dialectical method, we must adopt as our starting point the concept of labour and develop from it the concept of value.

If we take the route of the analytical method, if we start from value and ask ourselves what is hidden behind this concept, we may probably say that behind the value of products is hidden physiologically-equal labour or socially-equalised labour, but both these answers will be unsatisfactory, since we cannot in any way move from physiologically-equal or even socially-equalised labour to value.

In order to dialectically move from the concept of labour to the concept of value, in the concept of labour must be included the features characterising the social organisation of labour in the commodity economy and rendering necessary the appearance of value as a particular social form of the products of labour. Therefore, this concept of abstract-universal labour must be immeasurably richer not only than the concept of physiological equality of labour but also than the concept of social equalisation of labour in general.

II.

We have moved from physiologically-equal to socially-equalised labour, and from socially-equalised to abstract-universal labour.

We have enriched our definition of labour with new features at the three steps of our investigation, and only when we have already arrived at the third step and defined labour as abstract-universal have we obtained such a complete definition of labour from which the category of value follows with necessity, only at that moment have we acquired the possibility of moving from labour to value.

We would be able to define abstract labour approximately in the following way: what we call abstract labour is a part of the ensemble of social labour, equalised in the process of social distribution of labour with all other parts of the same ensemble of social labour through the market equalisation of the products of labour.

I have given approximately such a definition also in my book *Essays on Marx's Theory of Value*. I consider it necessary to add that the social nature of abstract labour is not limited to the fact that the concept of value follows with necessity from this concept; as I have incidentally showed in my book, the concept of abstract labour necessarily leads to the concept of money as well, and from Marx's point of view this is entirely consistent. In fact, we have

defined abstract labour as labour which is equalised through the all-round equalisation of all the products of labour, but an equalisation of the products of labour is impossible otherwise than through the equalisation of each of them with a universal equivalent. Consequently, the product of abstract labour has the ability to be equalised with all other products only in such a form that it appears as a universal equivalent, or can be exchanged for a universal equivalent.

Particularly in following the text of *Critique of Political Economy*, you can see clearly that the concept of abstract labour is inseparably connected for Marx with the concept of the universal equivalent. Here Marx sets out to study abstract labour in the following way. As in *Capital*, he first starts from the commodity or value and discovers by means of analysis the abstract-universal labour hidden behind the value of the commodity [*Critique*, pp. 270–1, MEGA, 11/2, pp. 108–9]. After Marx arrived, by means of analysis, from the equality of values at the equality of labour, he moves to a detailed sociological characterisation of this equal labour, of the ‘social determinations’ of this labour, of that ‘specific type of sociality’ which is inherent in the commodity economy [*ibid.*, pp. 273–4, 11/2, p. 111. Rubin’s free paraphrasing of Marx’s original text]. In the commodity economy the social character of labour manifests itself in such a way that ‘the labour of the individual assumes the abstract form of universal labour or his product assum[es] the form of a universal equivalent’ [*ibid.*, p. 275, 11/2, p. 113]. ‘This universal labour time finds its expression in a universal product, a *universal equivalent*’ [*ibid.*, p. 274, 11/2, p. 112. Emphasis in original but not reproduced in Rubin’s quotation]. ‘The labour of an individual, in order to result in exchange value, must result in a universal equivalent’ [*ibid.*, p. 274, 11/2, p. 112].

As we can see, Marx puts the category of abstract labour in an absolutely inseparable connection with the concept of the universal equivalent or money. Therefore, we must advance further and more profoundly the social characteristic of abstract labour, not confining ourselves to indicating that this labour is equalised through the equalisation of its products. We must still add that labour becomes abstract through the equalisation of its product with one universal equivalent, which is hence considered by Marx as a reification or materialisation of abstract labour.

Only from this point of view we can discover an interesting parallelism between Marx and Hegel in this problem. As you know, the term ‘abstract-universal’ itself reminds us of Hegel. For him the abstract-universal is distinguished from the concrete-universal. The distinction between them consists in that the concrete-universal is a universal not excluding distinctions in the objects included by it, whereas the abstract-universal excludes such distinctions.

In order to understand why Marx calls the equalised labour of commodity producers precisely abstract-universal, let us compare the process of equalisation of labour in a socialist community with the process of equalisation of labour in the commodity economy. We find the following conspicuous distinction. Let us assume that some organ of a socialist community equalises different sorts of labour with each other. What does it do for this purpose? It takes up all these sorts of labour in their concrete useful form, since it connects them precisely in this form, but in so doing it abstracts from them one aspect and says that in this respect they are equal to each other. In this case the equality appears as the feature of these concrete sorts of labour, as a feature abstracted from them, but this general category of equality does not abolish their concrete distinction as useful sorts of labour.

In the commodity economy such an equalisation is impossible, since there is no organ consciously equalising these sorts of labour. The labour of a spinner and the labour of a weaver cannot be equalised with each other, as far as they remain concrete useful sorts of labour. Their mutual equalisation can take place only in an indirect way, through the equalisation of each of them to a third, separated sort of labour, 'abstract-universal' labour [Cf. *ibid.*, p. 275, 11/2, pp. 112–3]. This separated sort of labour is 'abstract-universal' (and not concrete-universal) precisely because it does not include within it the distinctions of various concrete sorts of labour, but rather excludes these distinctions. It contraposes itself to all concrete sorts of labour, appearing as their substitute or representative.

We can see very clearly that Marx here had in view the distinction between the abstract-universal and the concrete-universal, conceived by Hegel, in following the text of the first edition of *Capital*, where the traces of Hegelian schemas and terminology generally appear much more brightly than in the second edition. There is one paragraph in Marx's text which runs:

Within the value relation and the value expression included in it, the abstract universal counts not as a property of the concrete, sensibly real; but on the contrary the sensibly-concrete counts as the mere form of appearance or definite form of realization of the abstract-universal This *inversion* by which the sensibly-concrete counts only as the form of appearance of the abstract-universal and not, on the contrary, the abstract-universal as property of the concrete, characterises the expression of value. At the same time, it makes understanding it difficult.⁶

⁶ *Capital*, vol. 1, 1867, p. 771 [English version in *Capital and Class*, no. 4, 1978, pp. 139–40, MEGA, 11/5, p. 634. Emphasis in original but not reproduced in Rubin's quotation].

In another place Marx says: 'It is as if alongside and external to lions, tigers, rabbits, and all other actual animals, which form when grouped together the various kinds, species, subspecies, families etc. of the animal kingdom, there existed also in addition *the animal*, the individual incarnation of the entire animal kingdom' [ibid., English version, p. 27, 11/5, p. 37. Emphasis in original but not reproduced in Rubin's quotation].

If we decipher this statement of Marx's, we can say, that, actually, in the commodity economy, the abstract-universal does not appear as a feature or as a particularity of the concrete, sensibly actual (i.e., the concrete sorts of labour), since, in order to abstract certain common traits from these concrete sorts of labour a unitary social organ would be needed, which does not exist in the commodity economy. Therefore, the concrete sorts of labour are here equalised to each other not through the abstraction from them of some common features, but through the contraposition and equalisation of each of them to a particular separated concrete sort of labour, which serves as the 'form of manifestation' of the universal labour. For a concrete labour to become universal, the universal labour must appear in the form of a concrete labour. 'The individual's labour time represents universal labour time or universal labour time represents individual labour time' [*Critique*, p. 274, MEGA, 11/2, p. 112].

Only in the light of Marx's arguments, which bear evident traces of the influence of Hegel, do the places from *Capital* I have mentioned above, where Marx says that in the commodity economy labour becomes social only in assuming the 'form of abstract universality', become understandable.

This idea of Marx's has a great similarity with his views on bourgeois society generally. Already in the earlier works of Marx, for example, in *The German Ideology*, you can find expressions of the idea that in bourgeois society, where there is no central social organisation of the economy, the representation of social interest is always transferred to some individual organisation, to a group of persons, to an individual class. An individual social class declares its private interests as the interests of the whole society, to give a 'form of universality' (Form der Allgemeinheit) to its ideas. 'To represent a particular interest as general (allgemein) or the 'general interest' as ruling' (*Marx-Engels Archive*, vol. 1[, 1924], pp. 266–67 [*The German Ideology*, MECW/5, p. 61, MEGA, 1/5, p. 64]). If we compare with these expressions Marx's words in *Critique* that social labour takes on the 'abstract form of universality (abstrakte Form der Allgemeinheit)', and that the value of commodities takes on the form of a particular, separated commodity, money – a profound ideal similarity of these conceptions is as clear as day.

Now, in order to conclude the problem of abstract labour, it remains for me only to mention two accusations made against me in the article by Dashkovsky

(*Under the Banner of Marxism*, 1926, no. 6 [pp. 632–61 in the present translation]), as well as by various comrades.

The first of them consists in that I have allegedly replaced abstract labour with the process of abstraction from the concrete particularities of labour, i.e., presented in place of abstract labour a social form of organisation of labour.

It must be admitted that such a substitution, if it took place, would deviate from Marx's theory. Indeed, we assert that the character itself of the relations of production of people in the commodity economy necessarily leads to that labour which, from its qualitative as well as its quantitative aspect, finds its expression in the value and magnitude of value of commodities. If we took up in place of abstract labour only the social form of organisation of labour, by means of this form we would explain only the 'form of value', i.e., the social form taken on by the products of labour. We would be able to explain why the product of labour assumes the form of a commodity, possessing value. But we would not know why this product possesses precisely this, quantitatively determined value. In order to explain value, as a unity of the form, substance, and magnitude of value, we must start from abstract labour, which is not only social and socially-equalised, but also quantitatively distributed labour.

In Marx you can find such formulations that, if you wish, may give you occasion to say that Marx substitutes the social form of labour for labour. Since it would take too long to quote various places from the works of Marx, I give you only one sentence, which would appear to you to be heretical if it were from any other author than Marx. The sentence in question runs: 'the labour which posits exchange value is a specific social form of labour' [*Critique*, p. 278, MEGA, 11/2, p. 115]. In the same paragraph Marx says in the footnote that 'labour as a producer of exchange value [is] a specific social form of wealth' [*ibid.*, p. 278, 11/2, p. 116]. If you put together these two sentences, instead of the proposition that labour forms value, you will receive the proposition that the social form of labour creates the social form of wealth. Some critic may probably say that Marx wholly replaces labour with the social form of labour, but this is naturally not an idea Marx came up with.

Now let me move to the second accusation.

They say that my explanation gives the impression as if abstract labour is created only in the act of exchange. From here it would be possible to draw the conclusion that value too arises only in exchange, whereas, from Marx's point of view, value, and consequently also abstract labour, must exist already in the process of production. They mention here a very serious, profound problem of the relation between production and exchange. How should we solve this difficulty? On the one hand, value and abstract labour must exist already in the

process of production, but on the other hand, Marx says in dozens of places that abstract labour has as its precondition the process of exchange.

Allow me to quote some examples. Getting back to Franklin, Marx says: 'Franklin ... considers that the value ... is determined by abstract labour ... But [he did not understand this] labour [as] abstract universal social labour, which is brought about by the universal alienation of individual labour' [ibid., pp. 296–7, II/2, p. 134. A very roundabout and free quotation]. The main mistake of Franklin consisted therefore in his not paying attention to the fact that abstract labour arises from the alienation of individual labour.

In this case Marx is not speaking of a particular phrase. I will show you that in the following editions Marx became more and more insistent on the idea that in the commodity economy only exchange reduces concrete labour to abstract labour.

I return to the well-known passage I have already mentioned:

When we bring the products of our labour into relation with each other as values, it is not because we see in these articles the material receptacles of homogeneous human labour. Quite the contrary: whenever, by an exchange, we equate as values our different products, by that very act, we also equate, as human labour, the different kinds of labour expended upon them.⁷

In the first edition of *Capital* this passage had a completely opposite meaning. Marx wrote it as follows: 'If men relate their products to one another *as values* insofar as these objects count as *merely objectified shells* of homogeneous human labour', and so on (*Capital*, vol. I, 1867, p. 38 [English version, p. 36, MEGA, II/5, p. 46. Emphasis in original but not reproduced in Rubin's quotation]).

For fear of being understood as if he meant that people would in advance consciously equalise to each other their labour as abstract labour, in the second edition Marx completely changed the meaning of the passage and emphasised the idea, that the equalisation of labour as abstract labour goes on only through the exchange of products of labour. This is a characteristic change from the first to the second edition.

As you know, Marx did not confine himself to the second edition of the first volume of *Capital*. He still continued to correct for the French edition of 1875, about which he wrote that he introduced there such corrections that he could

⁷ [*Capital*, I, p. 78, MEGA, II/6, pp. 104–5].

not afford to introduce in the second German edition. Based on this, Marx assigned to the French edition of *Capital* an independent scientific value alongside the German original.

In the second edition of *Capital* we find the well-known passage: 'The equalisation of the most different kinds of labour can be the result only of an abstraction from their inequalities, or of reducing them to their common denominator, viz., expenditure of human labour power or human labour in the abstract' [*Capital*, I, p. 78, MEGA, II/6, p. 104].

In the French edition Marx replaced the period at the end of this passage with a comma, and added the following line: 'and it is solely exchange which carries out this reduction in contraposing very different products of labour to each other on an equal footing' (French edition, 1875, p. 29 [MEGA, II/7, p. 55]). This insertion is highly characteristic and clearly shows how far Marx was from the physiological understanding of abstract labour. How can we reconcile these statements of Marx's, which can be counted in dozens, with the fundamental proposition that value is created in production?

To reconcile them is not difficult.

The essential point is that the comrades who have examined the problem of the relation between exchange and production insufficiently distinguish, in my opinion, the two concepts of exchange. We should distinguish exchange as a social form of the process of reproduction from exchange as a particular phase of this process of reproduction, alternating with the phase of direct production.

At first view, exchange appears to us as an individual phase in the process of reproduction. We see that at first occurs the process of direct production, after which begins the phase of exchange. Here exchange is divided from production and contraposed to it. But exchange is not only an individual phase in the process of reproduction, rather it impresses its specific stamp on the whole of the process of reproduction, it represents a particular social form of the social process of reproduction. Production based on private exchange – with these words Marx often characterises the commodity economy.

In order that my formulation would not appear to you to be contestable, I quote from vol. III of *Theories of Surplus Value* [Rubin speaks of the volume number in Kautsky's edition] the following words of Marx, that the 'exchange of products as commodities is ... a certain mode of social labour or social production' [*Theories*, 2, p. 317, MEGA, II/3.4, p. 1317]. In the same volume of *Theories* we find the proposition of Marx which explains why he considered exchange as a social form of labour: 'the whole economic structure of society revolves around the *form of labour*, in other words, the form in which the worker appropriates his means of subsistence' [*Theories*, 3, p. 333, II/3.5, p. 1848. Emphasis in original but not reproduced in Rubin's quotation]. Now let us ask precisely in

what form does the labourer obtain the means of subsistence in the commodity economy? You find in Marx sometimes the following answer to this question: in the commodity economy the only form of obtaining products is the form of their alienation. But since the form of obtaining products is a form of social labour, alienation, exchange appears as a specific form of social labour, characterising the commodity economy.

If you pay attention to the fact that exchange is a social form of the process of production itself, a form which impresses its stamp on the manner of the process of production itself, many of Marx's statements will become completely understandable for you. When Marx all the time repeats that abstract labour is only a result of exchange, this means that it is the result of a given social form of the process of production. Only to the extent that the process of production assumes the social form of commodity production, i.e., a production based on exchange, does labour assume the form of abstract labour, and the product of labour the form of value.

Thus, exchange is the form of the whole process of production or the form of social labour. As soon as exchange became the actually dominant form of the process of production, it impresses its stamp also on the phase of direct production. In other words, since people produce today not on the first day, since the producer produces after having proceeded to the act of exchange, and before proceeding to the subsequent act of exchange, the process of direct production too acquires certain social features, corresponding to the organisation of the commodity economy on the basis of the principles of exchange. The commodity producer, even if he still stayed home in his workplace and for a moment did not enter into exchange with other members of society, already feels on him pressure from the side of all these persons, who are to appear on the market as his purchasers, competitors, persons who are to buy from his competitors, and so on, in the last analysis a pressure from the side of all the members of society. This economic connection and these relations of production, which are to be directly realised in exchange, extend their action until after the conclusion of given concrete acts of exchange. They impress a conspicuous social stamp on the individual, on his labour, and also on the product of his labour. Already in the process of direct production itself the producer appears as a commodity producer, his labour acquires the character of abstract labour, and the product the character of value.

Here, however, I must warn in advance of the mistake committed by a great number of comrades. Many of them think that, since the process of direct production has already a definite social characteristic, the products of labour and labour in the phase of direct production are distinguished with exactly the same social features with which they are distinguished in the phase of

exchange. Such a presupposition is deeply erroneous, since, although both phases (the phase of production and the phase of exchange) are closely connected with one another, in spite of this the phase of production did not become the phase of exchange. Between both phases there is not only a certain similarity, but also there remains a certain difference. In other words, on the one hand, we recognise that from the moment when exchange becomes the dominant form of social labour, and people produce especially for exchange, the character of the products of labour as values is taken into consideration already in the phase of direct production. But this character of the products of labour as values is not yet that character which they acquire when they are actually exchanged for money, when their 'ideal', according to Marx's expression, value will be transformed into the 'real' form, and the social form of the commodity will be replaced with the social form of money.

The same applies to labour as well. We recognise that commodity producers in their labour expenditures already in the process of direct production take account of the state of the market and demand and in advance produce exclusively for the purpose of transforming their product into money and so their private and concrete labour into social and abstract labour. But this inclusion of the labour of a particular individual into the labour mechanism of the whole society appears only as provisional and suppositional; it is still subject to a severe ordeal in the process of exchange, an ordeal which can give a positive or negative result to the commodity producer. In this way, the labour activity of commodity producers in the phase of production is directly private and concrete labour and is only mediately, indirectly, or potentially (latently), as Marx expresses it, social labour.

Therefore, when we read Marx, and in particular his statements about how exchange influences value and abstract labour, we must always ask ourselves what Marx has in view in this case: exchange as a form of the process of production itself, or exchange as the individual phase opposed to the phase of production.

Insofar as he is speaking of exchange as the form of process of production, Marx decisively declares that without exchange there exists neither abstract labour nor value, that only according to the development of exchange labour acquires the character of abstract labour. I have developed in my book precisely these incontestable propositions of Marx.

When speaking of exchange as the individual phase opposed to production, Marx says that labour and the product of labour have already a certain social character prior to the process of exchange, but this character must still be realised in the process of exchange. In the process of direct production, labour is not yet abstract labour in the full sense of the word, it has still to become

(werden) abstract labour. You will find such expressions in many passages of Marx's works; I give only two quotations from *Critique*. 'The different kinds of individual labour represented in these particular use values, in fact, become universal and in this form social labour, only by actually being exchanged for one another in quantities which are proportional to the labour time contained in them. Social labour time exists in these commodities in a latent state, so to speak, and becomes evident only in the course of their exchange' [*Critique*, p. 286, MEGA, II/2, p. 123]. In another place Marx writes: 'Commodities now confront one another in a dual form, really as use values and ideally as exchange values. They represent now for one another the dual form of labour contained in them, since the particular concrete labour actually exists as their use value, while universal abstract labour time assumes an imaginary existence (vorgestelltes Dasein) in their price' [ibid., p. 307, II/2, p. 143].

Marx maintains that the commodity and money do not lose their differences due to the fact that every commodity must be constantly transformed into money; each of them is actually what the other ideally is, and ideally what the other actually is. All these expressions of Marx's show that we should not think too straightforwardly in this regard. We should not think that, since the commodity producers are connected to each other by definite social relations already in the process of direct production, their products as well as their labour already assume a directly social character. No, the labour of the commodity producers is directly private and concrete, but it receives at the same time a complementary, 'ideal', or 'hidden' social characteristic as abstract and social labour. Marx always ridiculed the utopians who dreamed of an abolition of money and believed in the dogma that 'the particular labour of a private individual contained within it is immediately social labour' [ibid., p. 322, II/2, p. 157].

In this way, our conclusions are the following: abstract labour and value are created or generated (werden—Marx applies this term again and again to this process) in the process of direct production, and are thoroughly realised only in the process of exchange.

III.

Up to the present I have spoken of abstract labour. Now I should move on to value. On the problem of value my task is entirely of the same nature as that which I have assumed with respect to abstract labour. I have made effort to prove that we should include into the concept of abstract labour the features of the social organisation of labour in the commodity economy. Exactly

in the same way I have attempted to show that we should necessarily include the social form of value in the concept of value, a social form taken on by the products of labour in the commodity economy.

To introduce the social form both into the concept of abstract labour and into the concept of value, such is the task I am confronted with.

How is value usually defined in distinction from exchange value?

If you take up the most popular and widely diffused views, you can probably say that by value is usually understood the labour which it is necessary to spend on the production of a given commodity. But what is understood by the exchange value of a given commodity is that other product or that amount of money for which this commodity is exchanged. If a given table is produced by means of three hours' labour and exchanged for three chairs, it will be usually said that the value of a table, equal to three hours' labour, has found its expression in another product, distinct from the table itself, namely in three chairs. The three chairs constitute the exchange value of a table.

In such a popular definition, it usually remains not entirely clear whether value *is determined* by labour, or whether value *is* labour itself. Of course, from the view of point of Marx's theory it will be correct to say that value is determined by labour. But then a question will be asked of us: what is this value, determined by labour? And to this question we usually do not find any satisfactory answer in the popular explanations.

Therefore, the reader will have very often the impression that the value of a product is nothing other than the labour which it is necessary to expend on its production. Then arises a false impression of the complete identity of labour with value.

Such an impression is very widespread in anti-Marxist literature. It can be said that the majority of these misunderstandings and misinterpretations you may find in anti-Marxist literature are built on a false assumption as if labour were also value for Marx.

Such a false assumption often arises from an incomprehension of the terminology and meaning of the works of Marx. For example, Marx's well-known statements that value is 'coagulated' or 'crystallised' labour are usually interpreted in the meaning that labour is also value.

This misconception is strengthened by the ambiguity of the Russian verb 'represent' (представлять). Value 'represents' (представляет) labour – we translate thus the German verb 'darstellen'. But this Russian sentence can be understood not only in the meaning that value is the representation or expression of labour, but also in the meaning as if value were labour. Such an impression, very widely diffused in the critical literature directed against Marx, is of course completely wrong.

Those critics who interpreted Marx's phrasing that labour constitutes the substance of value in the meaning of a full identification of both these concepts, did not pay attention to the fact that in this case Marx borrowed the terminology from Hegel. Those who are familiar with Hegel's *Logic*, and specifically with his theory of essence, may remember that Hegel, intending to clarify the relation between the two objects (the determining and the determined), has recourse to various terms. At first he says that one object appears as the 'essence' (Wesen) of another, then he determines it as the 'foundation' (Grund) of the latter object, calls it content (Inhalt) in distinction from form, and after that considers the same object as substance, as cause, and, finally, Hegel moves to the consideration of the interaction between these two objects. We can now notice a curious fact that you find in Marx with regard to labour the whole series of expressions we have found in Hegel's work. Labour is called the essence of value, and its foundation, content, substance, and cause as well. We must think about all these expressions in connection with those methodological principles on which is constructed the theory of Hegel, and then it will become clear for us that Marx's proposition that labour is the substance of value should in no way be interpreted in the sense of their complete identification.

I have advanced precisely this proposition in my book, in the chapter [12] on the content and form of value. There I mainly aimed at showing that labour is only the substance of value, but does not yet constitute value itself. In other words, if critics of Marx say that: labour is the substance of value for Marx, and consequently, labour is value, I emphasise that labour is only the substance of value, but in order to receive value in the full sense of this word, we must add to labour as the substance of value still something else, namely the social form of value. Only then can we receive the concept of value in the meaning in which we find it in Marx.

What does value represent as the unity of content or substance (i.e., labour) with the form of value? What is this value for Marx, in distinction from exchange value? To answer this question, it will be best to ask ourselves the following question: how does Marx move from exchange value to value? Why does Marx consider it necessary to construct, along with exchange value, which manifests itself actually in the real acts of exchange, still the new, more abstract concept of value?

We know that in *Critique of Political Economy* Marx does not yet draw a rigorous distinction between exchange value and value. In *Critique* Marx begins his explanation with exchange value, and from the latter immediately moves to value (which he still calls Tauschwert). This move is in this case very inconspicuous, fluent, as if it is something self-evident.

In *Capital* Marx carries out this move completely differently, and it is very interesting to compare the first two pages of *Critique* with *Capital*.

The first two pages in both these books completely correspond to each other, the explanation begins equally with use value and then moves to exchange value. The sentence stating that exchange value is represented in the form of quantitative correlation or proportion is found in both these books, but after that begins the divergence in the text. If in *Critique* Marx stealthily moves from exchange value to value, in *Capital*, conversely, he stays on this point as if foreseeing refutations from his opponents. Following the sentence mentioned above, Marx points out: 'Exchange value appears to be something accidental and purely relative, and consequently an intrinsic value [Valeur intrinsèque], i.e., an exchange value that is inseparably connected with, inherent in commodities, seems a contradiction in terms [contradictio in adjecto]. Let us consider the matter a little more closely' [*Capital*, I, p. 44, MEGA, II/6, p. 71].

As you can see, here Marx had in view some opponent who would have attempted to prove that nothing other than relative exchange value can exist, that the concept of value is completely superfluous in political economy. Who was this economist, at whom Marx hinted?

I will not now explain you in detail and justify my contention, but I suppose that this opponent was Bailey, who claimed that the concept of value in general is not necessary in political economy, that we must confine ourselves to the observation and investigation of the individual proportions in which various commodities are exchanged. Bailey met with great success with his superficial but witty critique of Ricardo, which attempted to undermine the very foundations of the theory of labour value. He asserted that we cannot speak of the value of a table but can only say that a table is exchanged at one time for three chairs, at another for two pounds of coffee, and so on; the magnitude of value of a table is something completely relative and in different cases it is different. From here Bailey drew the conclusion which resulted in a negation of the concept of value, as far as value is distinguished from the relative value of a given product in a given act of exchange. Let us assume the following case: the value of a table is equal to three chairs. After a year this table is exchanged for six chairs. We consider ourselves entitled to say that, though the exchange value of a table has changed, its value remained unchanged and only the value of the chairs has fallen by half. But Bailey finds this assertion stupid. Once the exchange relation of chairs to a table has changed, the exchange relation of a table to chairs has also changed, and the value of a table consists only in this.

In order to refute this theory of Bailey's, Marx regarded it necessary in *Capital* to develop the proposition that we cannot understand exchange value if it is not reduced to some unit value. The first section of the first chapter of *Capital*

is devoted to justifying this idea, to moving from exchange value to value, and from value to the unit lying at its basis, to labour. The second section is a supplement to the first, since it further details only the concept of labour. We can say that Marx moves from the differences manifest in the sphere of exchange value to the unit lying at the basis of all exchange values, namely to value (and in the last analysis to labour). Here Marx shows the erroneousess of Bailey's opinion on the possibility of confining our investigation to the sphere of exchange value. In the third section Marx attempts to proceed in inverse order, and makes clear how the unitary value of a given product is expressed in its very different exchange values.

Earlier Marx moved from differences to unit, now he moves from unit to differences. Earlier he refuted the theory of Bailey, now he complements the theory of Ricardo, which was devoid of the transition from value to exchange value. In order to refute Bailey's theory, that of Ricardo had to be further developed.

In truth, the task of Bailey to prove that no value exists but exchange value was considerably facilitated thanks to the one-sidedness of Ricardo, who could not show how value manifests itself in a definite form of value. Therefore, Marx was confronted with two tasks: 1) to show that we must disclose value behind exchange value, and 2) to show that value necessarily leads to its different forms of manifestation, to exchange value. In the present lecture, I will expand only on the first of these tasks, since my theme consists precisely in elucidating the concept of value, and a full elucidation of the concepts of exchange value and money does not belong to my theme.

How does Marx move from exchange value to value?

Critics and commentators on Marx usually consider that his central argumentation is included in the comparison of wheat and iron on the third page of the first volume of *Capital*. If wheat and iron are equalised to each other, argues Marx, there must be in them something common of equal magnitude, they must be equal to some third thing, and this third thing is their value. It is usually considered that Marx's main argumentation concludes here, and it is against this argumentation that all critical attacks of Marx's opponents are usually directed. Probably there is no work directed against Marx in which it would not be pointed out that Marx attempts to prove the necessity of the concept of value by means of purely abstract reasoning.

What has remained entirely unnoticed is the following circumstance: the paragraph in which Marx discusses the comparison of wheat with iron is no more than a conclusion from the previous paragraph, which is usually wholly left out of sight not only by critics but also, in my view, by commentators on Marx.

The foregoing paragraph runs:

A given commodity, for example, one quarter of wheat is exchanged in very different proportions for other commodities, for example, for pounds of blacking, or for one-and-a-half metre of silk, or $\frac{1}{2}$ oz gold, and so on: however, the exchange value of one quarter of wheat remains unchanged, whether expressed in blacking, silk, or gold. Consequently, the exchange value must have some content, distinct from these ways of expression.⁸

This paragraph of Marx was meticulously elaborated and resulted in different variants in various editions. We have given a quotation according to the Russian translation, made from the German version, edited by K. Kautsky. We can pursue still more clearly Marx's thinking in the second edition of *Capital*, where the end of the paragraph runs: 'But since x blacking, y silk, or z gold &c., each represents the exchange value of one quarter of wheat, x blacking, y silk, z gold, &c., must, as exchange values, be replaceable by each other, or represent equal exchange values. Therefore, first: *the valid exchange values of the same commodity express something equal*' (emphasis added) [*Capital*, I, p. 44, MEGA, II/8, p. 69. Text from the third German edition of 1883].

In other words, the two commodities, equal to a given third one, for example wheat, are equal to each other. If you bear in mind this conclusion, which Marx emphasises in the variant quoted above, you will see that the subsequent paragraph is the logical consequence from this paragraph. In fact, from the fact that one and the same commodity can be expressed in very different use values, Marx draws the conclusion in this paragraph that the two commodities, exchanged for one and the same commodity or equal to a third commodity, are equal to each other. From here follows with logical necessity the inverse conclusion, which Marx draws in the subsequent paragraph: if the two commodities are equal to one another, they are equal to some third thing. Marx expresses precisely this idea in the paragraph where wheat is compared with iron. Thus, Marx's proposition that the two commodities equal to one another must be equal to some third thing is only a conclusion from his previous proposition, according to which the two commodities equal to a third one are equal to each other. Only the coupling of both of these paragraphs can shed light on the true meaning of Marx's argumentation. The starting point of Marx's whole argumentation is included in the confirmation of the fact, well known to all, inherent to the commodity economy, i.e., of the fact of the all-round equalisation of all commodities to each other and of the possibility of equalisation of a given commodity to an infinite multitude of all other commodities. In other

⁸ [*Capital*, I, pp. 44–5, MEGA, II/6, p. 71].

words, the starting point of Marx's whole reasoning is the concrete structure of the commodity economy, but never a purely logical procedure of comparison of two commodities with one another.

Thus, Marx starts from the fact of all-round equalisation of all commodities to each other, or from the fact that every commodity can be equalised to the multitude of all other commodities. However, this presupposition is not in itself sufficient for all of the conclusions which Marx was to draw. At the basis of these conclusions lies still one other implicit presupposition, which Marx often states in other places.

This second presupposition is included in the following: we assume that the exchange of our quarter of wheat for any other commodity is an exchange which is subject to a certain regularity, and the regularity of these acts of exchange consists in their dependence on the process of production. We reject the assumption that a quarter of wheat can be exchanged for an arbitrary quantity of iron, coffee, and so on. We cannot agree with the assumption that these proportions of exchange which bear a completely accidental character are established each time in the act itself of exchange. On the contrary, we contend that all these possibilities for a given commodity to be exchanged for another commodity are subject to a certain regularity, a regularity which is based on the process of production. In such a case Marx's whole argumentation takes on the following form.

Marx says: Let us not take up the accidental exchange of two commodities, iron and wheat, but let us take up this exchange in such a form that actually goes on in the commodity economy, and then we will see, that every object can be generally equalised to all other objects, in other words, we will observe an endless multitude of proportions of exchange of a given product with all other products. But these proportions of exchange are not accidental, they are regular, and their regularity is determined by causes lying in the process of production.

In this way, we arrive at the conclusion that, independent of the fact that the value of one quarter of wheat is expressed sometimes in two pounds of coffee, sometimes in three chairs, and so on, this value of a quarter of wheat remains the same in all these cases. If we supposed that in each of the infinite exchange proportions a quarter of wheat has different value, [a supposition] to which contentions of Bailey can be reduced, we would admit a complete chaos in the phenomena of price formation, in that huge phenomenon of exchange of products, through which takes place an all-round connection of all sorts of labour.

From this way of reasoning of Marx's, which led him from exchange value to value, we can draw the following conclusions. I have already made one con-

clusion above, when I indicated that Marx adopts as the starting point of his whole investigation the commodity economy in which is inherent an all-round equalisation of all the products, an equalisation closely connected with the proceeding of the process of production. Marx starts neither from a fabricated example of accidental comparison of two commodities nor from a purely logical analysis of those features which might be common to them, but from the actual forms of the exchange of products characteristic of the commodity economy. Our second conclusion can be reduced to the following: when Marx compares wheat with iron and finds in them something common, he recognises the 'value' of products as this common factor. In popular literature we don't find any clear answer to the question of what it is that is common in the exchanged products of which Marx speaks. Sometimes this common factor is correctly considered as value, but sometimes it is identified with labour. If we return to Marx, we find on the fifth page the clear answer to this question: 'The common that manifests itself in the relation of exchange or in the exchange value of commodities is therefore their value' [*Capital*, I, p. 46, MEGA, II/8, p. 70. Text of the third German edition of 1883. The English text in *Capital*, I is slightly different]. Therefore, Marx does not move from exchange value immediately to labour. He moves from exchange value to the concept of value. Only by means of further analysis does he move from the concept of value to labour. Marx's process of thinking goes, strictly speaking, through three steps: from exchange value to value, and from value to labour.

The conclusion I draw boils down to what I spoke of earlier, that we must rigorously distinguish the concept of value from the concept of labour, although we are often inclined to identify them, particularly in popular explanation.

But what is that value which we have obtained by means of abstraction from those concrete exchange proportions, in which our quarter of wheat is equalised to other products? Although we now abstract from those concrete products for which our quarter of wheat is exchanged, still we do not abstract from the social form of value which this quarter of wheat has, i.e., we assert that our quarter of wheat is capable of being exchanged in a certain proportion for any other product existing in a given society. In addition, we consider this commodity's capability of exchange as its feature, subject to a certain law, and, in particular, closely connected with the conditions of production of this commodity. In other words, into our concept of the value of wheat enters something more than only a concept of the social labour necessary for its production. Into it enters the concept of social labour which has assumed 'material' form, a form of the particular property of the product. Into our concept enters also the content of value and the 'form of value'. In order to show that Marx distinguishes value from labour as the content of value, I give only one quotation: 'Every

product of labour is, in all states of society, a use value; but it is only at a definite historical epoch in a society's development that such a product becomes a commodity, viz., at the epoch when the labour spent on the production of a useful article becomes expressed as one of the 'objective' qualities of that article, i.e., as its value' [*Capital*, I, p. 67, MEGA, II/6, p. 93]. In this way, into the concept of value enters also the content of value (i.e., labour), and the social form of value (Wertform) as well. But what is this 'form of value', which enters into the concept of value itself in distinction from exchange value?

I quote only one very clear definition of the form of value in the first edition of *Capital*: 'Social form of the commodity and value-form or form of exchangeability are thus one and the same thing' (*Capital*, vol. I, 1867, p. 28. Emphasis in original [English version, p. 29, MEGA, II/5, p. 38]). As you can see, what is called the form of value is the form of exchangeability or the social form of the product of labour, consisting in its capability of being exchanged for any other commodity, as far as this capability is determined by the quantity of labour necessary for the production of this commodity. In this way, when we moved from exchange value to value, we did not abstract from the social form of the product of labour. We abstracted only from that concrete product in which the value of the commodity is expressed, but we always keep in view the social form of the product of labour.

Our conclusion can be formulated also in the following way: Marx analyses the 'form of value' (Wertform) apart from exchange value (Tauschwert). In order to introduce the social form of the product of labour into the concept of value itself, we were obliged to conduct the split or bisection of the social form of the product into two forms: Wertform and Tauschwert, the former meaning the social form of the product, not yet given a concrete form as a definite thing but representing so to say an abstract property of the commodity. In my book I have elucidated precisely this distinction of 'form of value' from 'exchange value'. Indeed, there I have considered them as the qualitative and quantitative aspects of exchange value; I have done so mainly because in some places of Marx's text the terms Wertform and Tauschwert are almost not distinguished from each other. However, a complete identification of Wertform with the qualitative and Tauschwert with the quantitative aspect cannot be recognised as correct, since both of these concepts should be considered from both the qualitative and the quantitative aspect. This problem is not in direct relation with our theme and hence I will no longer expand on it. I only notice that precisely the bisection of the social form of the product into form of value and exchange value is given detailed justifications in my book, in accordance with the task I imposed on myself. I was obliged to introduce into the concept of value itself the features of the social form of the product of labour, and at the same time

to show the inadmissibility of the identification of the concept of value with the concept of labour, an identification to which popular explanations of Marx often got closer. In other words, I had to prove that value consists not only of the substance of value (i.e., labour), but also of the 'form of value', and in order to introduce the form of value into the concept of value itself, I had to distinguish it from exchange value, which is considered by Marx in distinction from value. I had to dissect the social form of the product into two parts: a social form, which has not yet assumed a concrete form, and the same form, which has already assumed a concrete and autonomous form.

Now that the distinction of the form of value from exchange value has been clarified, allow me to expand on the concept of value and pursue the relation between its various aspects: the content or substance of value (*Wertsubstanz*) and the form of value.

What relation exists between labour and that social form of value on which I have dwelt? The general answer to this question runs: the form of value is an adequate and exact form of expression of the content of value (i.e., labour). In order to make clear this idea, let me return to the earlier example: a table is exchanged for three chairs. We say that this process of exchange is subject to a certain regularity and depends on development and changes in the productivity of labour. But exchange value is such a social form of a product that does not only express changes of labour, but also disguises and conceals these changes. It conceals them for the simple reason that exchange value is the relation between two commodities, for example between table and chairs, and therefore the change in the proportion between these two objects tells us nothing about whether the labour expended on the production of a table and of chairs has actually changed. If a table is now exchanged for six chairs after a lapse of some time, the exchange value of a table has changed, while the value of a table itself may have not in the least changed. In order to investigate in a pure form the process of dependence of the social form of a product on the quantity of labour expended on its production, Marx had to divide this phenomenon into two parts, split it, and say that we must investigate individually those causes which determine the value of a table and those causes which determine the value of chairs; and that one and the same phenomenon of exchange (namely the fact that now a table is exchanged for six instead of three chairs) can be occasioned either by the causes lying on the side of the table, or by the causes rooted in the conditions of the production of chairs. In order to investigate individually the effect of each of these causal relations, Marx had to split the fact of the change in exchange value of a table into parts and assume that these changes are brought about exclusively by the causes operating on the side of the table, i.e., by the change in the productivity of labour necessary for the

production of a table. In other words, he had to presuppose that all other commodities for which our table can be exchanged maintain their former value. Precisely on this presupposition the change of the value of a table obediently follows the changes in the quantity of labour necessary for its production, and the social form of value turns out to be the entirely exact and adequate expression of the content or substance of value (i.e., the quantity of labour expended in the process of production).

Owing to the definition of value as the unit of the content (i.e., labour) and social form of labour, we receive the following advantages. At once we break with the widespread identification of value with labour, and can at the same time define more correctly the relation of the concept of value to the concept of labour. On the other hand, we can define more correctly the relation of value to exchange value. Earlier, when value was considered simply as labour and did not receive a more conspicuous social characteristic, on the one hand, this value was identified with labour, and on the other, was separated from exchange value by an abyss. It was not rare that economists only duplicated the same labour in the concept of value and could in no way move from this concept of value to the concept of exchange value. Now that we consider value as the unity of content and form, through content we can connect value with the foregoing concept, with labour, and on the other hand, through form of value we can now connect the concept of value with the subsequent concept, with exchange value. In fact, once we assert that value does not represent labour in general but labour which has assumed the 'form of exchangeability' of a product, unavoidably we will have to move from value to exchange value. In this way, the concept of value turns out to be inseparably connected, on the one hand, with the concept of labour, and on the other, with the concept of exchange value. But the inseparable connection of all these concepts must not lead to their identification. We consider value as social labour assuming the form of a 'material' property of the product of labour, or as the property of the product of being exchangeable for any other product, as long as this property of product depends on the quantity of social labour necessary for its production.

In conclusion I would like to point out that the method of bisection of the social form of the product into two parts (Wertform and Tauschwert, of which the former enters itself into the concept of value, whereas exchange value is only a form of manifestation of value) may probably remind us of the analogous attitude in Hegel. Although in this case Marx nowhere alludes to the connection of his theoretical construction with the philosophy of Hegel, you can find a considerable similarity between the bisection of the social form of a product in Marx and the theory of Hegel on the 'doubling of form'. I quote some lines from Hegel's *Logic*:

The content is not formless but instead has the *form in its own self* just as much *as* it is *something external* to it. A doubling of the form presents itself; at one time, insofar as it is reflected in itself, it is the content and, at another time, as not reflected into itself, it is the external concrete existence, indifferent to the content.⁹

I think that the distinction drawn by Marx between the 'form of value', which is included in value itself, and 'exchange value', which is something 'external' and 'indifferent' to the relation with value, makes clear the aspects of similarity with that doubling of form which is found in Hegel.

Now it remains for me to move to the last part of the lecture, to the problem of content or substance of value. All Marxists agree in saying that labour forms the content of value, but the very problem lies in what labour they are speaking of here. From the previous part of the lecture you may be already convinced of what different concepts can be hidden behind the word 'labour'. Precisely what kind of labour forms the content of value? Most of the readers have understood me in the meaning that by the content of value I understand labour in its material-technical form. I wholly admit that the readers may understand me precisely in this way, since in my book *Essays on Marx's Theory of Value* such formulations were given in several places. Nevertheless, I must note that in the same chapter [12] on content and form of value of my book I gave not only once but three times formulations which might have shown in any case that, in speaking of the content of value, I did not mean labour considered exclusively from its material-technical aspect. I wrote on pages 89–90 [in the same chapter as above]:

Labour as the substance of value is considered by Marx not in terms of a determinate quantity of labour, taken in itself, as something *independent* and *absolute*, accumulated and materially reified in a product. This labour is rather considered from the point of view of the process of the *division of social labour* among different branches of production. It is taken as a part of the *total* social labour, in its relation to the latter as a whole.¹⁰

9 Hegel, *Works*, vol. 6, 1843, p. 264, §133 [Georg Wilhelm Friedrich Hegel, *Encyclopaedia of the Philosophical Sciences in Basic Outline*, Part 1: The Science of Logic, Cambridge University Press, 2015, p. 200. Hegel, *Enzyklopädie der philosophischen Wissenschaften im Grundrisse* (1830), Hamburg, F. Meiner, 1992, p. 158. Emphasis in original].

10 [p. 167 in the present translation. Emphasis in original].

In another place (p. 85 [pp. 103, 106, 162, 634 in the present translation]) I quote anew Marx's text on value as 'the form in which this proportional distribution of labour asserts itself' [from Marx's letter to Kugelman of 11 July 1868]. Finally, the concluding summary at which I arrive in this chapter runs: 'From the *qualitative* side, the interrelation between labour as the 'substance' of value and as the 'form of value' means an interrelation between the *process of distribution of labour* and its specific *social*, namely commodity *form*' (p. 91 [p. 170 in the present translation. Emphasis in original]). These quotations give me the right to claim that, in speaking of the content of value, I did not in fact have in view labour considered exclusively from its material-technical aspect, and that my idea got nearer to that concept of socially-equalised and distributed labour of which I have spoken above. By the content of labour I understood labour taken as part of the total social labour, equalised and distributed. But this concept, which appears in many places in my book, has not been sufficiently elaborated and needed serious corrections. Only in today's lecture have I drawn a sharp demarcation between socially-equalised labour in general (which exists not only in the commodity economy but can also exist, for example, under socialism) and abstract-universal labour, as labour equalised in a specific form, inherent in the commodity economy. Now I raise the problem: does Marx understand by the content of value *socially equalised-labour in general* or *abstract-universal* labour? In other words, when we speak of labour as the content of value, should we include in the concept of labour all those features which I have included above in the concept of abstract labour, or should we take labour in the sense of socially-equalised labour, not including within it those features which characterise the social organisation of labour in the commodity economy? The concept of labour as the 'content' of value, does it coincide with the concept of abstract labour 'forming' value, or has the first concept a wider character? At first glance you will find in Marx arguments in favour of both these meanings of the 'content' of value. On the one hand, you will find arguments, which may appear to affirm that we must understand by labour as the content of value something poorer than abstract labour, i.e., labour without those social features which are inherent in it within the commodity economy.

What arguments can we find in favour of such a solution to the problem?

You will often find that by the content of value Marx understands something which can take on the social form, value, but can also take on other social forms. By content is understood something which is capable of assuming various social forms. Precisely such a capability distinguishes socially-equalised labour, but not abstract labour, i.e., labour having already taken on a definite social form. Socially-equalised labour can assume the form of labour organised in the

commodity economy, as well as the form of labour organised, for example, in a socialist economy. In other words, in this case we take up social equalisation of labour in its abstract form, not paying attention to those modifications which are occasioned in the content itself (i.e., labour) by one or another of its forms.

Is the concept of the content of value in such a meaning found in Marx? To this question we can answer in the affirmative. Let us think about, for example, Marx's statement that 'exchange value is a definite social manner of expressing the amount of labour bestowed upon an object' [*Capital*, I, p. 86, MEGA, II/6, p. 112]. Obviously, labour is considered here as abstract content, capable of assuming one or another social form. When Marx says in the well-known letter to Kugelmann of 11 July 1868 that the social distribution of labour manifests itself in the commodity economy in the form of value, he considers once again socially-distributed labour as content, which can assume one or another social form.

In the second paragraph of the section on commodity fetishism, Marx straightforwardly declares that we find the 'content of the determination of value' ['quantitative determination of value' in Marx's text, *Capital*, I, p. 76, MEGA, II/6, p. 102] not only in the commodity economy, but also, for example, in the patriarchal family or medieval dominion. But here, as we can see, labour is a content, which can take on different social forms.

Now allow me to quote arguments in favour of the contrary proposition, according to which we should understand by the content of value abstract labour. First of all we can find in Marx some statements directly asserting this, for example the following: 'They (commodities) relate themselves at the same time to *abstract* human labour as their common social *substance*' (*Capital*, vol. I, 1867, p. 28, emphasis added [English version, p. 28, MEGA, II/5, p. 38. In the original text the last three words are italicised]). This statement seems to leave no doubt about the fact that abstract labour is not only the creator of value but also the substance or content of value. We arrive at the same conclusion on the basis of methodological considerations. I have shown above that socially-equalised labour assumes in the commodity economy the form of abstract labour, and that value as a social form of the products of labour necessarily flows only from this abstract labour. From here follows that the concept of abstract labour in our schema directly preceded the concept of value, and it seems that we should take precisely this concept of abstract labour for the basis, content, or substance of value. Also it must not be forgotten that in respect of the problem of the correlation between content and form Marx adopted the perspective of Hegel and not that of Kant. Kant considers the form as something external to content and to be incorporated into it from without. But from the perspective of Hegelian philosophy, content does not represent

something to which form is to be added from without, but content itself, in its development, gives rise to that form, which was included in the same content in a hidden shape. Form arises with necessity from content itself.

Such is the fundamental proposition of the Hegelian and Marxian methodologies, a proposition contraposed to the Kantian methodology. From this point of view, the form of value must arise with necessity from the substance of value, consequently, we must take for the substance of value abstract labour, with all its richness in social determinations characteristic of the commodity economy. Finally, we would like to point out, as the last argument, that, if we take abstract labour for the content of value, we will attain to a significant simplification of the entire Marxian schema, since in this case labour as content of value will not be distinguished from labour forming value.

We have arrived at the paradoxical proposition that Marx recognises as the content of value sometimes socially-equalised labour, sometimes abstract labour.

How can we get out of this contradiction? It seems to me that this contradiction will disappear if we remind ourselves of the contraposition of the two methods: analytical and dialectical, which I discussed at the beginning of the lecture. If we start from value as a determinate social form, and ask ourselves the question of what is the content of this form, it will prove that this form only expresses generally the fact that social labour is expended; value turns out to be a form expressing the fact of the social equalisation of labour, a fact occurring not only in the commodity economy but capable of taking place also in other economies. Moving from a ready-made form to its content by means of analysis, we find socially-equalised labour as the content of value. But we will arrive at another conclusion if we take for the starting point of investigation not a ready-made form but the content itself (i.e., labour), from which the form (value) must flow with necessity. In order to move from labour, considered as content, to value as form, we must include in the concept of labour the social form of its organisation in the commodity economy, i.e., we must recognise abstract-universal labour as the content of value. It is possible that precisely with the distinction of these two methods we clarify the apparent contradiction in the definition of the content of value which we find in Marx.

Summarising what we have said in this lecture, we can say that the basic concepts on which is constructed Marx's theory of value and money are the following five: 1) relations of production among commodity producers, 2) abstract labour, 3) value, 4) exchange value, and 5) money.

In his article on Marx's *Critique of Political Economy* [Engels, 'Karl Marx, *A Contribution to the Critique of Political Economy*,' Engels, 'Rezension zu Karl Marx: Zur Kritik der politischen Ökonomie. Erstes Heft,' in *Das Volk*. Nr. 16,

20 August 1859], Engels pointed out that Marx's exploit consists in the fact that he showed us the whole system of the bourgeois economy in its internal connection [cf. MECW/16, p. 476, MEGA, II/2, pp. 253–4]. With regard to the five categories enumerated above, Marx's exploit consists in the fact that he showed us the internal inseparable connection of all these categories. Unfortunately, this connection has not rarely slipped from the attention of readers, with each of these categories being considered only individually. Let us remember how the correlation among these five categories was usually treated.

Let us begin with the relations of production among commodity producers. This was a concept well-known to every Marxist. Everyone knew that the investigation of the relations of production of people constitutes the basis of Marxian economic theory. But they did not try to show clearly how from the relations of production of people arise those categories of which I spoke above. Therefore, when we moved to abstract labour, a complete disruption appeared between the first and second concepts. Abstract labour was defined as physiologically equal labour, i.e., the form of the relations of production of people as commodity producers was completely set aside. We forgot this form, and suddenly found ourselves in the sphere of physiologically-equal labour, homogeneous across all historical epochs.

Moving from the concept of abstract labour to the concept of value, I had to point out that these two concepts were always closely connected with each other in Marxist literature. It would have been indeed highly strange if proponents of the theory of labour value had not connected the concept of labour with the concept of value. But this connection cost dear, precisely because value was almost identified with labour, and it was not clear how value is anyway distinguished from labour. At the time of moving further from value to exchange value, there appeared once again a disruption. Value was identified with labour, and therefore it was uncertain how exchange value flows from value. Finally, between the concept of exchange value and the concept of money the connection was always very solid in Marxist literature, since Marx emphasised this connection and elucidated it with particular emphasis. In this way, the five categories enumerated above were split into three groups. The first group consisted of relations of production among commodity producers; the second of abstract labour and value, and the third of exchange value and money. The system of these five categories was torn in two places, namely in the place where we had to move from the relations of production to abstract labour, and in the place where we had to move from value to exchange value.

These disruptions will disappear if we will consider abstract labour as labour possessing a definite social form, and if we will understand by value the unity of the content and form of value.

Owing to these two reformations, we will obtain an uninterrupted logical connection of all these categories. The concept of abstract labour will follow from a definite form of relations of production of people as commodity producers. The concept of value will follow with necessity from abstract labour, considered not as physiological labour but as labour socially-equalised in a specific form, inherent in the commodity economy. The concept of value, considered as the unity of content and form, will turn out to be connected through its content with the foregoing concept of abstract labour, and through its form with the subsequent concept of exchange value. Finally, the development of exchange value will necessarily lead to money.

I would not intend that the close connection of all these categories I have just sketched should appear to you as a kind of logical self-movement of categories, arising one from the other. This close connection of concepts, logically following one from the other, is explained by the fact that all of them are built on the concept of the relations of production of people as commodity producers. This concept includes within it a plentiful diversity of actual social relations of people, constantly conflicting and developing without interruption. Economic 'categories express forms of existence and conditions of existence – and sometimes merely separate aspects – of this particular society' [MECW/28, p. 43, MEGA, II/1.1, p. 41]). The logical unity of economic categories is explained by the actual unity of this society, the true object of our investigation.

‘On the History of the Text of the First Chapter of *Capital* by K. Marx’*

K. Marx and F. Engels Archive, edited by D. Ryazanov, no. 4, 1929, pp. 63–91

Both proponents and opponents admit that the first chapter of the first volume of *Capital* is the cornerstone of the whole grandiose edifice of Marx’s economic theory. No less commonly shared is the opinion that the first chapter of *Capital* presents an enormous difficulty for understanding due to the complexity of its content, as well as to that complex form with which Marx invested his ideas here. We are not speaking of the difficulty this chapter presents for beginners who have only recently begun studying *Capital*. Even people who have devoted not a few years to the investigation of Marx’s *Capital* discover, whenever reading anew the first chapter of this work, new nuances of the ideas in it, which had escaped their attention up until that time. In order to penetrate more deeply the incomparable richness of the ideas, the coagulation Marx gave to them in the first chapter of his work, it is necessary to submit this chapter to a detailed theoretical and historical analysis. In particular it is necessary to pursue how Marx developed his theory of value and gave his ideas a new, more complex formulation over the years and even decades. How and why Marx arrived at those complex categories and peculiar terms he made use of in the first chapter of *Capital* – such is one of the urgent tasks that researchers of Marx’s theory of value are confronted with. The completion of this task will be of great interest not only because it will help us discover the historical development in Marx’s views, but also because it will help us attain a better elucidation of those complex categories and terms which abound in Marx’s theory of value.

As is well known, the first chapter of the first volume of *Capital* was left to us by Marx in three versions: the first edition of 1867, the second edition of 1872, and, finally, the French edition, published in the form of separate fascicles from 1873 to 1875 [all these three versions are now available as three MEGA volumes, II/5, 6, 7].

* И. Рубин. «К истории текста первой главы «Капитала» К. Маркса» *Архив К. Маркса и Ф. Энгельса*, под редакцией Д. Рязанова, книга четвертая, Москва – Ленинград, 1929, стр. 63–91.

Let us remember, further, that Marx's work *A Contribution to the Critique of Political Economy*, published in 1859, was nothing other than the first printed edition of those same ideas which later made up the content of the first three chapters of the first volume of *Capital*. In this way, we have in total four versions of the first chapter of *Capital*, drafted across no less than 16 years. Of all the chapters of the first volume of *Capital*, it was precisely the first chapter that underwent the most extensive rewritings and revisions. The time interval between each two successive versions became shorter in later times: in parallel with this also diminished the extent and importance of the novelties and changes Marx considered it necessary to introduce in each new version. Marx introduced in the French edition of 1873 only a few stylistic and editorial corrections. The changes Marx introduced in the second edition of 1872 with regard to the first edition of 1867 were far more extensive and essential. However, these changes were overwhelmingly in relation to argumentation, form, and the arrangement of materials (in particular, in the first edition the influence of Hegelian terminology and schemas was far more noticeable); but Marx kept as before the same basic concepts and terms.

As it could be expected in advance, we will find the sharpest difference in comparing the first chapter of *Capital* with the first chapter of *A Contribution to the Critique of Political Economy*. Here the question is not only of a different character of argumentation or a different form of explanation. In the first chapter of *Capital* we find a whole series of the most important concepts and terms which were yet absent in *Critique*, or found in it only in a germinal form. Therefore, leaving aside for the moment the different variants to be found in different editions of *Capital*, in the present article we will confine ourselves to comparing the explanation of the theory of value in *Critique* and in *Capital*. In the first chapter of the present article we will confirm that in *Critique* Marx did not yet draw a sharp distinction between value and exchange value, and did not yet give a detailed elaborated theory of exchange value. In particular, the theory of the development of the poles of value (i.e., the relative form and the equivalent form of value) and the theory of the development of the forms of value (i.e., the simple, expanded, general, and money forms of value) are yet absent in *Critique*. In the second chapter we will attempt to pursue the causes which persuaded Marx to draw in *Capital*, unlike in *Critique*, a sharp distinction between value and exchange value. In so doing we will see that Marx became aware of the necessity of rigorously drawing this distinction of concepts probably in the course of his polemic against Bailey, the critic of Ricardo and decided opponent of the theory of labour value.

I Value and Exchange Value in *Critique* and *Capital*

Marx's work, *A Contribution to the Critique of Political Economy* is comprised of only two chapters: the first is devoted to the 'commodity', the second to 'money'. Each of these chapters, in addition to the theoretical explanation of the problem, contains also particular historical digressions, in which Marx critically examines the theories of economists of the seventeenth and eighteenth centuries on the theory treated in each chapter. 'Historical Notes on the Analysis of Commodities' is annexed to the first chapter, while to the second chapter there are two historical digressions of a similar character: 'Theories of the Standard of Money', and 'Theories of the Medium of Circulation and of Money'. At first, as is well known, Marx planned to provide each section of *Capital*, devoted to the explanation of a definite problem, with particular historical digression to sketch the development of economic ideas in the field of this problem. But afterward Marx refrained from such a bulky, combined theoretical-historical manner of explanation as he had adopted in *Critique*. Marx separated the historical digressions for the most part from the text of *Capital*. Marx's manuscripts concerning these subjects were afterward edited by K. Kautsky and published under the title of *Theories of Surplus Value* [in 1905–10].

By this change of plan in the explanation of *Capital* we can see why in the first volume of *Capital* there are no such historical digressions as are added to *Critique*. Besides, the material comprising the content of *Critique* was reused by Marx as the basis of the first part of the first volume of *Capital*.¹ The first chapter of *Critique*, relating to the theory of value, corresponds to the first two chapters of *Capital*; the second chapter of *Critique*, devoted to the theory of money, corresponds to the third chapter *Capital*. The part relating to the theory of money thereby underwent changes to a lesser extent, mostly for abbreviation. Conversely, the part relating to the theory of value was considerably extended (by more than two-and-a-half times, except for the historical digression) and fundamentally rewritten by Marx. It was precisely in the theory of value that Marx continued looking for new, more exact formulations for his ideas.

As we have already noted, the first chapter of *Critique*, not so extensive, contains that material which afterward was to enter into the first and second

1 In the foreword to the first edition of the first volume of *Capital*, Marx writes: 'The substance of that earlier work (i.e., *Critique* – I.R.) is summarised in the first chapter of this volume' [*Capital*, I, p. 18, MEGA, II/6, p. 65]. It is necessary to add that in the first edition (1867) the first chapter of *Capital* included the theory of the commodity and of money, i.e., it corresponded to the first three chapters of the subsequent editions of *Capital*.

chapters of *Capital* in a rewritten and extended form. Let us now try to carry out a more exact comparison between these chapters of *Critique* and *Capital*. In the second edition of *Capital* the first chapter is divided into four sections, but from the point of view of the internal content it can be divided into three parts: the first and the second sections contain the theory of value (and on labour forming value), the third section contains the theory of the form of value or exchange value, the fourth section contains the theory of commodity fetishism. The second chapter, under the title of 'Exchange', shows the emergence of money from the process of exchange and in particular from the development of the contradiction hidden within the commodity between value and use value. In this way, the whole content of the first two chapters of *Capital* can be divided into four parts, in which the following points are respectively considered:

1. Value (first and second sections of the first chapter),
2. Form of value or exchange value (third section of the first chapter),
3. Commodity fetishism (fourth section of the first chapter),
4. Emergence of money (second chapter).

It is more difficult to show the content of the first chapter of *Critique*. The method of explanation Marx relies upon in *Critique* makes laborious the analytical division of individual parts and their rigorous segregation from each other. Nevertheless, armed with the conclusions to which the rigorous analysis given by Marx in *Capital* leads us, we can easily discover three different parts also in the first chapter of *Critique*. The first part (German edition, pp. 1–15, except for the last paragraph of page 15 [*Critique*, pp. 269–80, MEGA, 11/2, 107–17]) includes the theory of value and, with all the differences in the way of explanation, is in parallel with the first two sections of the first chapter of *Capital*. In the second part, occupying a short space of only four pages (from the last paragraph of page 15 to the last paragraph of page 19 [*ibid.*, pp. 280–3, 11/2, 117–20]), we can detect, as will be seen below, a faint germ of those ideas of exchange value which were afterward to be given a completely new development by Marx in the third section of the first chapter of *Capital*. Finally, the last part of the first chapter of *Critique* (from the last paragraph of page 19 to page 32 [*ibid.*, pp. 283–92, 11/2, 120–30]) considers the emergence of money from the development of the contradiction between value and use value and corresponds to the second chapter of *Capital* in its general features. As for the theory of commodity fetishism (explained in detail in the fourth section of the first chapter of *Capital*), in the first chapter of *Critique* only a couple of pages (pages 9 to 11 [*ibid.*, pp. 274–6, 11/2, 112–4]) in the first part are allotted to it, devoted to the analysis of value and labour forming value.

As we can see, of the four points indicated above by us and developed in detail by Marx in *Capital*, only the first and the last points (i.e., the doctrine

on value and the doctrine on the emergence of money) are more or less fully explained in *Critique* as well. The theory of commodity fetishism is only cursorily and very briefly touched upon in *Critique*, although its basic ideas are quite clearly and correctly described. Finally, as we will see below, the most important difference between *Critique* and *Capital* is to be found in the theory of the form of value and exchange value. It may be said that the fundamental difference in the treatment of the theory of value in *Critique* and *Capital* can be reduced precisely to the absence in *Critique* of a clearly drawn distinction between value and exchange value or, which is the same, the absence of a clearly developed theory of exchange value. We must stay longer on this essential difference of the first chapter of *Critique* from the first chapter of *Capital*.

In *Capital* Marx rigorously distinguishes the *value* of a commodity, presenting a certain quantity of 'social' labour or labour time, from its *exchange value*, i.e., value expressed in the use value of another commodity. The former concept is denoted with the term Wert (value), the latter concept with the term Tauschwert (exchange value).

In *Critique of Political Economy* Marx was still making use of both terms without distinction: Tauschwert and Wert, in order to denote the concept of value. The term Tauschwert is more often used, particularly in the first chapter, especially devoted to the theory of value. The term Wert is found usually where the question is about the *magnitude* of value. It is not rare that both terms are used one after the other, arbitrarily replacing one with the other.²

Thus, in *Critique* the terms Wert and Tauschwert denote one and the same concept. Precisely which concept is meant by these terms, value or exchange value? There is no doubt about the fact that in *Critique* both of these terms denote value, i.e., a concept for which Marx was thereafter to use the term Wert in *Capital*. This is proved not only by the fact that in *Capital* Marx uses the term Wert in many places where he had made use of the term Tauschwert in the corresponding places in *Critique*. On every page of *Critique*, we find the term Tauschwert in the meaning of the value of the commodity, expressed in a certain quantity of labour. To quote only the most illuminating examples, we point out that on page 52 [*ibid.*, p. 307, 11/2, p. 143] the Tauschwert of a quarter of wheat is expressed in 30 days' labour, whereas its price (Preis) is expressed in one oz of gold. On page 14 [*ibid.*, p. 279, 11/2, p. 116] we read: 'The amount of labour time contained in a commodity, and therefore its Tauschwert', and so on.

2 Cf. *Zur Kritik der politischen Oekonomie*, pp. 17–18 [*ibid.*, p. 281, 11/2, p. 118], where Wert des Kaffees appears, but in the following sentence Tauschwert einer Ware is used in the same meaning. On page 50 [*ibid.*, p. 306, 11/2, p. 142], Tauschwert des Goldes is used, but in the following sentence appears Wert einer Unze Gold, and so on.

If the term *Tauschwert*, like *Wert*, is used in *Critique* for the concept of value (i.e., corresponds to the term *Wert* as used in *Capital*), we can legitimately assume that the concept of exchange value developed by Marx in the name of *Tauschwert* in *Capital* had not yet been clearly developed in *Critique*. In fact, the comparison of these two works of Marx's leads us to the following conclusion, at first sight paradoxical: although we find *Tauschwert* and not *Wert* at the forefront terminologically in *Critique*, here Marx concentrated his attention essentially on the analysis of value and did not give us a clearly developed concept of exchange value. On the other hand, although the terminological novelty of *Capital* consists in the frequent use of the term *Wert* instead of *Tauschwert*, what is essentially new in this work consists in the clearly developed theory of exchange value, as distinct from value.

What we have said above should not be taken to mean as if Marx ignored in *Capital* the fact that in the commodity economy the labour expenditures determining the magnitude of a commodity's value are not directly expressed but only indirectly, in the form of the equalisation of a given commodity to another. In *Critique* Marx understands by value not labour expenditure as such, but labour expenditure expressed in a certain social form of equalisation of commodities to each other. Furthermore, in *Critique*, unlike in *Capital*, he bears in mind from the outset a definite form of value, namely the most developed or monetary form of value.³ But precisely because in *Critique* value appears from the outset in this developed form, conformable to the content of value, Marx did not find it necessary to specially analyse the form of value, as distinct from its content. Only in *Capital*, where Marx aimed at pursuing the development of the form of value from the simplest to the money form, a development driven forward by the contradiction between value and use value, he found it necessary to give an independent analysis of value and of the form of value. On this point, as well as on many other points, the characteristic difference of Marx's explanation in *Capital* from that in *Critique* becomes apparent. In *Critique*, individual elements of a problem appear in an inseparably connected, or rather united, form. In *Capital*, by contrast, they are separated from each other and submitted to individual analysis. Due to this the analysis gains in force, and the characteristic traits of each element appear more clearly in themselves. But, on the other hand, for the immature reader this can occasion a danger of a disruption of individual elements of the problem one from the other, and of

3 Cf. Marx's letter to Engels of 22 June 1867: 'In my first presentation (Duncker), I avoided the difficulty of the development by not actually analysing the way value is expressed until it appears as its developed form, as expressed in money' [MECW/42, pp. 384–5, MEW/31, p. 306. Emphasis in original but not reproduced in Rubin's quotation].

oversight of that inseparable connection which unites them. In particular the reader must never forget that in the first and the second sections of the first chapter of *Capital* Marx, while analysing the content of value independent of its form, constantly presupposes the presence of the latter.

We have arrived at the conclusion that in *Critique* Marx understood by Tauschwert essentially value. But does this mean that in *Critique* we do not find any indications to the concept of exchange value, which Marx was thereafter to develop in greater detail in *Capital*? Such an assumption is all the more unlikely since in *Critique*, as we have already pointed out, Marx considers value from the outset in its determinate form, namely in the money form. It would be extremely strange if we did not find in *Critique* any indications to exchange value, even only in its most superficial and noticeable form, namely in the form of the quantitative correlation of exchangeable commodities.

In fact, exchange value, considered from this most superficial, purely quantitative aspect, can be found in the first pages of *Critique*. It comprises even the starting point of Marx's arguments here. 'Exchange value seems at first to be a *quantitative correlation*, the proportion in which use values are exchanged for one another'.⁴ This well-known sentence is maintained by Marx also in *Capital*.⁵ But in *Capital* Marx immediately notes in the same place that, insofar as we restrict our investigation to the purely quantitative aspect of exchange value, we can easily fall into the misconception as if exchange value were 'something accidental or purely relative'. Precisely in order to show the falseness of this view, the defender of which was Bailey,⁶ in *Capital* Marx regarded it necessary, after the phrase quoted above, to abruptly turn the course of investigation from exchange value to value hidden behind it, to give a special analysis of the latter. In *Critique* we cannot find this sudden change in the course of investigation, intensely emphasised by Marx. It is as if Marx did not yet see or did not regard it necessary to emphasise all the dangers concealed in a purely quantitative investigation of exchange value. In *Capital* Marx emphasises the incongruity between exchange value and that content which is expressed in it; in *Critique* he more often points out the correspondence between them. Therefore, in *Capital* Marx, after the phrase we have mentioned on exchange value as 'quantitative correlation', foresees the possibility of the emergence in the thinking of the reader of the idea that exchange value is something 'accidental and relative'. But in *Critique*, after the same phrase he immediately arrives at the conclusion that the exchangeable commodities 'take one another's place

4 [*Critique*, p. 270, MEGA, II/2, p. 108. Emphasis in original].

5 [*Capital*, I, p. 44, MEGA, II/6, p. 70. English version of the first edition, p. 8, MEGA, II/5, p. 18].

6 Cf. below, 'II Marx and Bailey.'

in the exchange process, are regarded as equivalents, and despite their motley appearance represent one and the same unity'.⁷ In *Critique* the unity of the substance of value, contained in all commodities, is pushed to the forefront and obstructs the difference in the forms of value as well as the different role of both commodities, constituting both poles of expression of value. Due to this, the explanation in *Critique* leads us smoothly and as if imperceptibly, without acute dialectical transitions, from exchange value in the system of quantitative correlation of exchangeable commodities to their value. This transition is still mitigated due to the fact that, as we have already clarified above, the latter concept, i.e., the concept of value, is designated in *Critique* also with the term Tauschwert.

Since we find in *Critique* the concept of exchange value in the meaning of the quantitative correlation of exchangeable commodities, it becomes more difficult to answer the question of whether can we find there also the concept of exchange value, considered from its qualitative aspect. In order to answer this question more exactly, we will have to elucidate precisely what exchange value means in *Capital*, in distinction, on the one hand, from value, and on the other, from the quantitative correlation of exchangeable commodities.

Insofar as we consider commodities as values, we confirm the unity or identity of their social nature. As *values*, all the commodities are completely *equal* to each other. This equality is expressed externally in the 'equation of value' (Wertgleichung), for example: 20 arshins [about 14 metres] of linen = 1 coat. From this equation we know the 'quantitative correlation' or *value relation* (Wertverhältnis) of both commodities. We know now that the value of 1 arshin of linen is 20 times *less* valuable than 1 coat, but we do not know precisely to what the value of linen (or coat) is equal.

Now let us suppose that we have assumed the task of determining the value of linen on the basis of this equation. For this we must have recourse to the following procedure: we must take the value of one commodity (for example, coat) for a given magnitude and determine the value of the second commodity (linen) in a certain number of units of the first commodity. Then we will say that the value of 20 arshins of linen = one coat, and obtain a particu-

7 [*Critique*, p. 270, MEGA, II/2, p. 108]. Here, as in many other places, Einehit denotes in Marx 'единство (unity)' and not 'единица (unit).' Unfortunately, translators often erroneously translate this term with the word 'единица.' For example, on page 14 of the German edition of vol. I of *Capital* it is said that commodities as values are 'expressions of one identical social unity [Einheit], viz., human labour' [*Capital*, I, p. 54, MEGA, II/6, p. 80]. But in the Russian translation (1928 edition, p. 11), this phrase runs: 'expressions of one identical social unit of human labour.'

lar 'expression of value' (Wertausdruck) for linen. At first sight it may seem that this 'expression of value' is in no way distinguished from that 'value relation' of which we have spoken above. But in fact there is an essential difference between them. We have confirmed earlier that the *value* of 20 arshins of linen is equal to the *value* of one coat, i.e., in both sides of the equation appeared the *values* of commodities. Now we affirm that the *value* of 20 arshins of linen is equal to one *coat*, i.e., to a given concrete object or use value of another commodity. We have received a particular 'expression of value' of a commodity (linen) in the *use* value of another commodity (coat). If in the 'value relation' both commodities played a completely equal role (and in this equality their equality as values was reflected), in the 'expression of value' both commodities play a qualitatively different role.⁸ In making use of the terminology used by Marx in *Capital*, we should say that linen is here in the 'relative' form of value, and the coat in the 'equivalent' form of value.

At first glance it may appear that the difference of the role performed by both commodities in the 'expression of value' removes their equality as values. In fact, however, this is not the case. In the commodity economy the equality of the products of labour is not established in advance by some social organ, but manifests itself through a complex process of movement, into which product *A* enters as still subject to equalisation with product *B*, and consequently, as in fact still not equalised with the latter. In the theory of value, we abstract from this intermediary process and consider commodities from the aspect of their equality as values. But in the theory of exchange value, we study precisely this intermediary process of equalisation, in which commodities necessarily fulfil a different role.

Now let us get back to *Critique* and raise the problem of whether we can find within it a theory of the 'expression of value', of 'exchange value', or of the 'form of value'. As for the latter term, we do not find it at all in *Critique*. The term 'exchange value' (Tauschwert) is very often used in *Critique*, but, as we have already seen, precisely to mean value, not exchange value. In this way, it remains for us to look for indications to the form of 'expression of value'. Indeed,

8 This explains why Marx draws distinction between Wertverhältnis and Wertausdruck. In the Russian translation these concepts are at times wrongly identified. For example, on page 12 of the Russian translation of the first volume of *Capital* (1928 edition) we find the following phrase: 'to pursue the development of that expression of value which is the value relation of commodities.' Marx's original runs: 'the development of that expression of value which is contained in the value relation of commodities.' Marx often says that in the 'value relation' (Wertverhältnis) is contained or included the 'expression of value' (Wertausdruck).

in the second part of the first chapter of *Critique* mentioned above, comprised of only four pages (pp. 15–9), we can find germs of the theory of the ‘expression of value’ or of exchange value.

After having considered commodities from the aspect of their equality as values in the first part of the first chapter of *Critique*, Marx begins the second part with the following words:

The exchange value (Tauschwert, by which is in fact understood value – *l.r.*) of a commodity is not expressed in its own use value ... The exchange value of one commodity thus manifests itself in the use values of other commodities. In fact, the exchange value of one commodity expressed in the use value of another commodity is equivalent.⁹ If one says, for instance, that one yard of linen is worth two pounds of coffee, then the exchange value of linen is expressed in the use value of coffee, and it is moreover expressed in a definite quantity of this use value. Once the proportion is given, the value of any quantity of linen can be expressed in terms of coffee.¹⁰

In this passage we find a direct indication that the value of a commodity is expressed in use value of another commodity, i.e., takes on the form of exchange value.

Marx knew well in *Critique* also the fact that change in the exchange value of commodity does not quantitatively coincide with change in its value.

We have seen that the *exchange value* of a commodity varies with the quantity of labour time directly contained in it. Its *realised* exchange value, that is its exchange value *expressed in the use values* of other commodities, must also depend on the degree to which the labour time expended on the production of all other commodities varies.¹¹

The ‘exchange value’ of commodity *A* depends only on the quantity of labour expended on its production. But its ‘realised exchange value’ can change also depending on change in the quantity of labour which is expended on the production of commodity *B*, exchanged for commodity *A*. The ‘exchange value’ of commodity *A* can remain unchanged in spite of change in its ‘realised exchange

9 We will return below to this definition of equivalent.

10 [*Critique*, pp. 279–80, MEGA, II/2, p. 117].

11 [*ibid.*, p. 281, II/2, pp. 118–9. Emphases added].

value'. It is evident that by the first term Marx understands here, as well as in other places, essentially the *value* of a commodity, while the latter term denotes its *exchange value*.

In the above quoted passage we can see the germ of the idea that the value of a commodity must be 'realised (realisiert)' or 'expressed (ausgedrückt)' in the use values of other commodities. In *Critique* we often find these expressions used in the same meaning.¹² In other places of *Critique* Marx expresses the same idea by means of other terms. The exchange value of a commodity finds its 'real expression' (realer Ausdruck) or 'representation' (Darstellung) in the use values of other commodities, it 'manifests itself' (manifestiert sich) in them.

In these phrases we can see the germ of the theory distinguishing exchange value from value. But in *Critique* this theory is still in a germinal state. Value as well as exchange value are denoted here still with one and the same term Tauschwert. The whole qualitative uniqueness connected with the fact of the expression of value of one commodity in use value of another commodity does not yet attract Marx's attention here. The qualitative difference of the role fulfilled by both commodities in the expression of value is not yet clarified. The 'expression of value' is not yet distinguished here clearly enough from the quantitative 'value relation', expressing the fact of the equality of commodities as values. The qualitative particularities of the category of exchange value, in distinction from value on the one hand, and from the 'value relation' on the other, were not yet clearly developed. Marx directed attention first of all to the quantitative particularities of the 'expression of value'. 'Once the proportion is given, the value of any quantity of linen can be expressed in terms of coffee' [ibid., p. 280, 11/2, p. 117], such is the purely quantitative conclusion which interests Marx above all. Marx himself was to point out in the first edition of the first volume of *Capital*¹³ the fact that an overwhelming interest in the quantitative aspect of the problem cannot lead to a correct understanding of exchange value and of the necessity of the polar distribution of the different functions between both commodities, a distribution containing in germinal form the necessity of the emergence of money.

12 Cf. for example: 'exchange value can be realised' in a series of equations' [ibid., p. 281, 11/2, p. 118]. 'The exchange value of linen is expressed in the use value of coffee' [ibid., p. 280, 11/2, p. 117]. 'The exchange value of a bushel of wheat, expressed in its equivalents' [ibid., p. 281, 11/2, p. 119]. 'The exchange value of any commodity ... is measured successively in terms of definite quantities of the use values of all other commodities' [ibid., p. 281, 11/2, p. 118].

13 *Capital*, vol. I, 1867, pp. 20–1 [English version, p. 22, MEGA, 11/5, p. 32].

We have arrived at the conclusion that in *Critique* the concept of exchange value had not yet been clearly developed. This is completely natural, because in *Critique* we cannot yet find the theory of various forms of value, a theory to which Marx devoted so much attention in *Capital*. As is well known, in *Capital* Marx on the one hand studies various forms of value (simple, expanded, general, and money form); on the other, Marx distinguishes in turn two poles in every expression of value: relative value and equivalent value. In *Critique* we can find neither the doctrine of forms of value, nor the theory of the poles of a form. We can only notice faint germs of the ideas, from which Marx constructed thereafter his theory of the forms of value. But, as for the doctrine on the development of opposition between the poles of value, we cannot find in *Critique* even its germs.

Since value appears in *Critique* from the outset in its most developed, general, or money form, naturally it would be useless for us to look for a theory of the various forms of value here. It is certain that Marx preferably takes up also in *Critique* examples of the exchange of one commodity for another commodity by way of illustration, but he considers this exchange from the outset as one of the elements of the all-round exchange of a given commodity for all other commodities. To be convinced of this, let us pursue Marx's course of thinking in the second of the three parts we indicated above.

Arriving at the investigation of exchange value in the second part, Marx takes up as an example the case of the exchange of one commodity for another commodity. 'If one says, for instance, one yard of linen is worth two pounds of coffee, then the exchange value (by which, as we know, is understood value – *I.R.*) of linen is expressed in the use value of coffee, and it is moreover expressed in a definite quantity of this use value'.¹⁴ In *Capital*, as is well-known, Marx takes up this case of the exchange of one commodity for another commodity independently under the title of the simple form of value for a detailed analysis. In *Critique*, not submitting this equation to any particular analysis, he includes it immediately in the whole system of equations, expressing the value of the same one yard of linen in an infinite series of other objects.

It is evident that the exchange value of a commodity, e.g., linen, is not exhaustively expressed by the proportion in which a particular commodity, e.g., coffee, forms its equivalent ... The exchange value of this particular commodity (of linen – *I.R.*) can therefore be exhaustively expressed only by the infinite number of equations,¹⁵

14 [Critique, p. 280, MEGA, II/2, p. 117].

15 [ibid.].

namely in the series of equations:

- 1 yard of linen = $\frac{1}{2}$ lb. of tea
- 1 yard of linen = 2 lbs. of coffee
- 1 yard of linen = 8 lbs. of bread
- 1 yard of linen = 6 yards of calico, and so on.

In the terms of *Capital*, we might say that Marx moved from the simple form of value to the expanded. But while in *Capital* the question is actually about the dialectical (logical and historical) transition of one form of value to another, in *Critique* Marx confines himself to the confirmation of the fact that the equation of two commodities (linen and coffee) represents nothing more than one member of the whole system of equations, expressing the value of linen. While in *Capital* the equation of two commodities represents a particular form of value, although with an extremely relative autonomy, in *Critique* it appears from the outset in the modest role of a subordinate member of the whole system of equations.

But Marx does equally not expand for long on this system of equations.

If the exchange value of one yard of linen is expressed in $\frac{1}{2}$ lb. of tea, or 2 lbs. of coffee, or 6 yards of calico, or 8 lbs. of bread, etc., it follows that coffee, tea, calico, bread, etc., must be equal to one another in the proportion in which they are equal to linen, a third magnitude, linen thus serves as a common measure of their exchange value.¹⁶

Once again in the terms of *Capital*, here Marx moved from the expanded to the general form of value. But in this case too we should not speak of a dialectical transition from one form of value to another. If in *Capital* the expanded form of value *becomes* (logically and historically) general, in *Critique* Marx confines himself only to the confirmation of the fact that the above system of equations *is* nothing other than a system of the same equations, but overturned (i.e., in which the left sides are placed on the right side, and vice versa). Here Marx does not indicate to us a dialectical development of the different forms of value, but only gives a logical analysis of exchange value, appearing from the outset in its most developed, general form. In *Capital*, the transition from the expanded to the general form of value is accompanied with sharp changes in the social character of the separated commodity (linen), which stays in the right

16 [ibid., pp. 280–1, MEGA, II/2, p. 118].

side of the equation as a general equivalent. In *Critique*, every commodity is considered simultaneously both as 'the exclusive commodity which serves as the common measure of the exchange values of all other commodities', and as 'one of the many commodities in the series in which the exchange value of any other commodity is directly expressed'.¹⁷

Thus, in *Critique* we have found only faint germs of the theory of the forms of value. Here Marx stresses extremely emphatically the unity of the substance of value and obstructs the difference in the forms of value. Precisely with this circumstance we can explain the fact that the theory of the development of the forms of value and of the poles of value is absent in *Critique*.

In *Capital*, Marx draws, as is well known, a sharp distinction between both poles of value. Commodity *A*, the value of which is expressed in commodity *B*, is in the relative form of value. Commodity *B*, in which the value of commodity *A* is expressed, is in the equivalent form of value or functions as equivalent.¹⁸ The substance of value (labour) in both commodities equalised to one another, *A* and *B*, is qualitatively homogeneous and quantitatively of equal amount. But both commodities play a different role in the expression of value and possess different forms of value.

In *Critique*, this difference of forms does not yet attract the attention of Marx. Indeed, just as Marx considers value in *Critique* in its most developed, general, or money form, likewise he knows well the difference of both poles of value in their most developed form, namely in the form of the polar opposition of the commodity to money. But, insofar as Marx remains within the boundaries of the theory of value (as distinct from the theory of money), he cannot yet make clear the difference of the role fulfilled by both commodities equalised to one another. Here he still emphasises the unity inherent in both equalised commodities in the 'expression of equivalence'.¹⁹ Both commodities *A* and *B*, appearing in this expression, 'are regarded as equivalents'.²⁰ Here the equivalence is understood in the majority of cases in the sense of 'equal worthiness', a property inherent in both equalised commodities to an equal extent. This explains the unusual definition of equivalent which we find in *Critique*. 'In fact the exchange value of one commodity expressed in the use value of another commodity is equivalent'.²¹ Let us remember, that Marx characterises in *Capital* precisely the relative and not the equivalent form of value with approx-

17 [ibid.].

18 [*Capital*, I, p. 55, MEGA, II/6, p. 81].

19 [ibid., p. 280, II/2, p. 118].

20 [ibid., p. 270, II/2, p. 108].

21 [ibid., pp. 279–80, II/2, p. 117].

imately the same words. 'The value of *A*, thus expressed in the use value of *B*, has taken the form of relative value'.²² At first sight the reader may think that what is called equivalent in *Critique* is the same form of value which is called relative in *Capital*. But such a view would be mistaken. In *Critique* Marx quite simply does not yet distinguish both poles of value from one another, and calls equivalent without distinction the commodity on the left side of the equation of exchange and the commodity on the right side also. On page 15 [*ibid.*, p. 280, 11/2, p. 117] Marx gives a series of equations, in which one and the same commodity, namely one yard of linen, is equalised to an entire series of other commodities. In this respect Marx informs us that the use values of all other commodities constitute the equivalent of linen. Here the term 'equivalent' is used in the same meaning as in *Capital*. But already in the next phrase he let us know that in this same series of equations linen 'is exhaustively expressed as the general equivalent', i.e., as a commodity which is equalised to all other commodities.²³ Consequently, linen as well as the commodities in which its value is expressed are equally called 'equivalent'.²⁴

The evolution of the term 'equivalent' in Marx's works is highly characteristic. When Marx still paid attention mainly to the quality of all commodities as values, the term 'equivalent' (or 'equivalence' in the meaning of 'equal worthiness') was used to emphasise the equality of exchangeable commodities. When Marx's attention was attracted to the different role fulfilled by both commodities in the expression of value, the term 'equivalent' came to characterise the role of one commodity in distinction from the other commodity, placed in the relat-

22 [*ibid.*, p. 59, 11/6, p. 85].

23 The general equivalent is understood in the same sense on page 25, etc.

24 The incomprehension of this peculiar terminology of Marx's in *Critique* leads at times to an erroneous interpretation of his text. For example, on page 26 of the German edition of *Critique* we can find the following passage: 'The equation two lbs. of coffee = one yard of linen is now a comprehensive expression for the exchange value of coffee, for in this expression it (i.e., coffee – *I.R.*) appears as the direct equivalent to a definite quantity of any other commodity' [*Critique*, p. 287, MEGA, 11/2, p. 124]. In *Capital*, Marx would say that coffee is in the relative form of value, and linen assumes the role of general equivalent. But in *Critique* Marx calls also coffee 'equivalent' on the grounds that it is equalised to any other commodity through linen (as general equivalent). This naming of coffee as equivalent probably appeared incomprehensible to the Russian translator, and he regarded it necessary to restructure the sentence: 'The equation two lbs. of coffee = one yard of linen now exhausts the expression of the exchange value of coffee, for in this expression *one yard of linen* appears directly as the equivalent to a definite quantity of any other commodity' (Russian translation, Leningrad Communist University edition, 1922, p. 50 [free paraphrasing of the text in *Critique*, p. 280, 11/2, 117]). In Marx the word 'er [in German]' can be related only to coffee but not to linen (since *Leinwand* [linen] is a feminine noun).

ive form of value. In the first edition of *Capital* (1867) Marx was still considering it necessary to call to mind this twofold significance of the term 'equivalent'. Marx wrote: 'we can also express the formula '20 yards of linen = one coat' or '20 yards of linen are worth one coat' in the following way:

20 yards of linen and one coat are equivalents, or both are values of equal magnitude. Here we do not express the value of either of the two commodities in the use value of the other. Neither of the two commodities is hence set up in equivalent form. Equivalent means here only something equal in magnitude, both things having been silently reduced in our heads to the abstraction value.²⁵

The term 'equivalent' is applied by Marx in *Critique* uniformly to both poles of expression of value, i.e., to that pole which is called equivalent in *Capital*, and also to that pole which is called relative value in *Capital*. From here it is self-evident that in *Critique* we cannot yet find the term 'relative value' in the sense in which it is used in *Capital*. In fact, while in *Capital* the relative value of commodity A is the name for its value expressed in the use value of another commodity (for example commodity B), in *Critique* the question is about the 'relative value' (relativer Wert) of two or several commodities (for example commodities A and B), i.e., about the comparative magnitude of their values. While in *Capital* the term 'relative value' is applied only to one pole of 'expression of value' (Wertausdruck), in *Critique* it is used for characterising the 'value relation' (Wertverhältnis) of both commodities. In order to clarify this distinction, let us remind ourselves of the distinction we have mentioned above between the 'expression of value' and the 'value relation'. Let us assume that the relative values (i.e., the value relation) of tea and coffee are equal to 4:1, i.e., one pound of tea has value four times larger than one pound of coffee. Here is understood by the 'relative values' of tea and coffee the comparative magnitude of their value; but in this case neither the value of tea nor the value of coffee obtains particular expression. But we have a completely different story when we say that the value of one pound of tea is equal to four pounds of coffee; here tea is in 'relative form of value' in the sense that its value acquires an expression in the use value of coffee (this commodity therefore fulfils the role of equivalent). In this case both commodities fulfil different roles, whereas in the first case their role was completely identical.

25 *Capital*, vol. 1, 1867, p. 769 ['Appendix to Chapter 1.' English version in *Capital and Class*, no. 4, 1978, p. 138, MEGA, II/5, p. 632. Emphasis in original but not all reproduced in Rubin's quotation].

The concept of relative value, as contraposed to the equivalent form of value, can be found only in *Capital*. But in *Critique* the question is only about relative values in the first meaning, i.e., in the same meaning in which the concept of relative value is ordinarily used in Ricardo. In *Critique*, then, Marx speaks of the 'relative value' of an infinite multitude of use values, of the 'relative value' of both metals (gold and silver).²⁶

As we can see, the evolution of the term 'relative value' is completely in parallel to the evolution of the term 'equivalent'. At first both these terms were used for emphasising the *equality* of both commodities, exchanged for each other. Afterward they served for characterising the *different* and *contrary* roles which these commodities play in the act of exchange. Indeed, once in a while also in *Capital* Marx uses these terms in the former sense, but their new significance as terms serving to indicate the different and contraposed poles of the expression of value, is pushed more and more in the foreground.

II Marx and Bailey

As we have explained above, in *Critique of Political Economy* Marx does not yet draw a rigorous distinction between value and exchange value. Marx drew this distinction in a clear and rigorous form in the first chapter of the first volume of *Capital*. What induced Marx to occupy himself more seriously with this problem? He was induced to do so apparently by the necessity to defend the theory of labour value from the ruthless attacks which it had undergone from Bailey.

Bailey appeared as a decisive and ardent opponent of the theory of Ricardo, which he submitted to a sharp critique in his work *A Critical Dissertation on the Nature, Measure, and Causes of Value* (1825 [anonymous]). This work brought about much turmoil and heated polemic between its author and the followers of Ricardo. Although he criticised Ricardo's theory from the point of view of superficial vulgar political economy, Bailey succeeded, as Marx notes,²⁷ in discovering within it genuinely weak points.

Ricardo affirmed that the value of a commodity is determined by labour. But he was not at all interested in the form of value, considering it as something secondary and indifferent. He did not distinguish value from exchange value, and the transformation of commodities into money appeared to him as a purely

²⁶ [*Critique*, pp. 327, 353, MEGA, II/2, pp. 161, 184].

²⁷ [*Capital*, I, first edition, English version, p. 39, MEGA, II/5, p. 50].

formal and external act.²⁸ But in the real actuality the value of a commodity manifests itself in the form of exchange value: it assumes the form of an amount of money or of a certain quantity of other commodities, acquired in exchange for the given commodity. In Ricardo's theory there was an impassable abyss between value of commodity, expressed in a certain quantity of labour, and its exchange value, expressed in a certain quantity of things; no bridge could lead from the former to the latter. Bailey struck his blows at this weak point.

If Ricardo, while concentrating his attention on value, ignored the form of value, Bailey chose the opposite course. He considers phenomena in the form they take in the acts of market exchange. But the value of a commodity is not expressed in exchange as it is, as distinct from other commodities. It manifests itself only in material form, in a certain quantity of other commodities (or of a certain amount of money). Consequently, Bailey argues, we can only speak of the relative value of a given commodity *A* in different commodities *B*, *C*, *D*, *E*, etc. But it is absurd to speak of the value of commodity *A* in general, without indicating exactly that concrete commodity for which commodity *A* is exchanged and with which it is compared. We cannot speak of the *absolute* value of commodity *A*, but only of its *relative* value in comparison with commodity *B* (or *C*, *D*, *E*, etc.). 'There are a thousand different kinds of value, as many kinds of value as there are commodities in existence.'²⁹

But the relative value always presupposes the relation of two commodities, and consequently necessarily takes on a bilateral character. The relative value of commodity *A* in commodity *B*, for example 4:1 (i.e., a formula showing that a unit of commodity *A* has a value four times larger than a unit of commodity *B*), expresses at the same time the relative value of commodity *B* in commodity *A*, namely 1:4. Therefore, every modification of this formula of exchange, for example its transformation into the formula 3:1, means not only a modification of the relative value *A*, but at the same time a modification (in the inverse direction) of the relative value *B*. On this basis Bailey denies the proposition of the proponents of Ricardo on the possibility of the modification of the relative value of commodity *A* in commodity *B* in the case of absence of any modifications in the value of commodity *B* itself. Since Bailey rejects the concept of the absolute value of a given commodity, maintaining that the question can be only about the relative value of commodity, we can completely understand Bailey's reasoning that every change in the value of commodity *A* (expressed

28 [Theories, 2, pp. 312–3, 324, MEGA, II/3.4, pp. 1313, 1324].

29 S. Bailey, *A Critical Dissertation on the Nature, Measure, and Causes of Value*, 1826[5], p. 39.

in *B*) means a simultaneous change in the value of commodity *B* (expressed in *A*). 'The value of *A* cannot increase in relation to *B*, without the value of *B* decreasing in relation to *A*.'³⁰

The rejection of the concept of absolute value leads Bailey to a whole series of conclusions, of which we present the most important. First, we cannot say that the value of a given commodity has changed while the value of the commodities for which it is exchanged has remained unchanged. Secondly, we must refuse the economists' operation of the addition of values of various commodities to obtain a sum of these values. Thirdly, we must not compare the value of a given commodity across different periods of time.

In order to defend the theory of labour value from the attack of Bailey, it was necessary to draw a clear distinction between value and exchange value. Precisely because of his disregard for this distinction Ricardo gave opportunity to Bailey's attack. Therefore, we can completely understand that Marx's polemic against Bailey in the third volume of *Theories of Surplus Value* aims mainly at showing the distinction of the value of a commodity from its form of manifestation as exchange value.

Marx points out first of all that the consistent execution of the perspective of Bailey will necessarily lead to a complete negation of the regularity of exchange. If we cannot speak of the value of commodity *A* in itself, we will not be able to say whether or not the exchange of *A* for *B* takes place in accordance with their values. We can confirm that in this case a certain quantity of linen has been factually exchanged for a certain quantity of coffee. But we cannot say whether or not this exchange relation is regular and normal. 'One could not speak of a relation in which it (a commodity) *exchanges* but only of a relation in which it is or *has been exchanged*.'³¹

If we do not want to refuse to admit the regularity lying at the basis of the phenomena of exchange, we must recognise that 'the objects shall not be exchanged in any proportion whatever, but are to be exchanged as commodities, that is, they are to stand to one another as exchangeable commodities, that is, as objects each of which has a value, and which are to be exchanged with one another in *proportion to their equivalence*'.³² In other words, if we aim at disclosing the regularity in the phenomena of exchange, we cannot consider the value of a commodity as something accidental and arbitrary, to be newly established each time in the act of exchange of a given commodity for another concrete commodity.

³⁰ *ibid.*, p. 12.

³¹ [*Theories*, 2, p. 329, MEGA, II/3.4, p. 1328. In the original only 'has been' is in italics].

³² [*ibid.*, p. 327, II/3.4, p. 1326. Emphasis in original].

Starting from this perspective, Marx arrives at the conclusion that it is necessary to distinguish the value of a commodity from its exchange value. Such is the way of argument of Marx. A given commodity, for example linen, is exchanged for a multitude of other commodities, for example bread, coffee, coats, and so on. To assume that in each of these acts of exchange our linen acquires a different value would amount to a negation of every regularity in the phenomena of exchange. It is obvious that linen has a quite definite value, which find its expression in its exchange for bread in one case, in its exchange for coffee in other case, and so on. Consequently, we must distinguish the value of linen, which remains the same in all these acts of exchange, from the different forms of its manifestation in bread, coffee, and so on, i.e., from its exchange value.

This way of argument is sketched by Marx in the first pages of *Theories* he devoted to Bailey [Cf. *Theories*, 2, pp. 312–53, MEGA, II/3.4, pp. 1313–50].

The *value* of the same commodity can, without changing, be expressed in infinitely *different* quantities of use values, always according to whether I express it in the use value of this or of that commodity. This does not alter the value, although it does alter the way it is expressed. In the same way, all the various quantities of different use values in which the value of commodity *A* can be expressed are equivalents and are related to one another not only as values, but as equal values, so that when these very unequal quantities of use value replace one another, the value remains completely unchanged, as if it had not found expression in quite different use values.³³

In another place Marx briefly summarises the same ideas in the following words:

Although the commodity has a thousand different kinds (Arten [German word used by Kautsky in his German edition of *Theories*]) of value, or a thousand different prices,³⁴ as many kinds of value as there are commodities in existence, all these thousand expressions always express the *same value*. This proves that all these different expressions are *equivalents*

33 [ibid., pp. 314–5, II/3.4, p. 1315. Emphasis in original].

34 In *Capital* Marx understands by price (Preis) only value, expressed in money. In *Theories of Surplus Value* Marx called price the exchange value of a commodity, expressed indistinctively in another commodity or in money. Marx called 'money price' (Geldpreis) the latter price in distinction from price in general [Cf. ibid., p. 333, II/3.4, p. 1331].

which not only can replace one another in this expression, but do replace one another in exchange itself.³⁵

In these quotations from Marx we find a more sharply drawn distinction between value and the form of its expression: *one and the same value has a multitude of different modes of expression*, or is expressed in the most different use values. From here we can draw a contrary conclusion: if a certain quantity of one use value is equalised in exchange to a certain quantity of another use value, both of them must be equal to some third thing, namely that value, which is inherent in each of them. The equality of two use values in exchange presupposes the equality of both of them to some third thing, or the presence in both of them of something common, namely of value of a certain magnitude. This contrary conclusion is already sketched by Marx in our two quotations above, and very clearly expressed by him in another place:

He (Bailey) even forgets the simple consideration that if y yards of linen is equal to x lbs. of straw, this parity between two unequal things – linen and straw – transforms them into equal magnitudes. This existence of theirs as things that are equal must surely be different from their existence as straw and linen. It is not as straw and linen that they are equated, but as equivalents. The one side of the equation must, therefore, express the same value as the other. The value of straw and linen must, therefore, be neither straw nor linen, but something common to both and different from both commodities considered as straw and linen.³⁶

In other words, the equalisation of commodity *A* to commodity *B* is possible only if 'there exists a common unity for *A* and *B*, or if *A* and *B* are different representations of the same unity'.³⁷

Marx illustrates these arguments with a geometrical example. In order to compare different geometrical figures with each other, for example triangular

35 [ibid., pp. 333–4, II/3.4, p. 1331. Emphasis in original but '*equivalents*' is not italicised in Rubin's quotation]. By 'kinds (Arten) of value' Marx understands here what Bailey called 'kinds of value' (cf. Bailey, *ibid.*, 1825, p. 39).

36 [ibid., p. 326, II/3.4, pp. 1325–6].

37 [ibid., p. 345, II/3.4, p. 1344]. It is interesting to point out some particularities in Marx's terminology in *Theories*. Here, like in *Critique*, he does not yet use the term form of value (from time to time he accuses the classical economists only of the fact that they did not investigate value 'from the aspect of form'); the terms Tauschwert and Wert are used equally for denoting value (the latter term appearing more frequently than in *Critique*). In *Theories* Marx usually contraposes 'exchange value' (i.e., value) to its various 'expressions.'

and quadrangular ones, we must reduce them to something common, namely to the product of base by altitude.³⁸

The reader familiar with Marx's *Capital* may have already noticed that the above quoted excerpts from the third volume of *Theories of Surplus Value* coincide exactly with Marx's well-known arguments on the first pages of the first volume of *Capital*. In order that the reader does not have any doubt in this respect, we regard it necessary to quote the whole of the corresponding three paragraphs from the first volume of *Capital*. We give their text according to the first edition of *Capital* (1867), where is more conspicuous the similarity of these arguments of Marx's to his argumentation against Bailey in the third volume of *Theories of Surplus Value*:

A single commodity (e.g., a quarter of wheat) is exchanged with other articles in the *most varied proportions*. Nevertheless, its exchange value remains *unchanged* regardless of whether it is expressed in x bootblackening, y soap, z gold, etc. It must therefore be distinguishable from these, its various *modes of expression*.³⁹

Now let us consider two commodities: e.g., wheat and iron. Whatever their exchange relationship may be, it is always representable in an equation in which a given quantum of wheat is equated with some particular quantum of iron; e.g., one quarter of wheat = a cwt of iron. What does this equation say? That *the same value exists in two different things*, in one quarter of wheat and likewise in a cwt of iron. Both are equal, therefore, to a *third entity*, which in and for itself is neither the one nor the other. Each of the two, insofar as it is an exchange value, must therefore be reducible to this third entity, independent of the other.

38 To this geometrical example (to be found also in Hegel) Marx returns twice [cf. *ibid.*, pp. 346, 330, II/3.4, pp. 1344, 1446].

39 [English version, p. 8, MEGA, II/5, pp. 18–9. Emphasis in original]. It is interesting to point out that in the first edition of *Capital*, as also in *Critique*, Marx still contraposes 'exchange value' to its various 'modes of expression.' In the second edition of *Capital*, Marx completely changed this paragraph: 'A given commodity, e.g., a quarter of wheat is exchanged ... for other commodities in the most different proportions. Instead of one exchange value, the wheat has, therefore, a *great many* ... Therefore, ... exchange value, generally, is only the *mode of expression*, the phenomenal form, of something contained in it, yet distinguishable from it' [*Capital*, I, pp. 44–5, MEGA, II/6, p. 71. Emphasis added]. Here exchange value is no more contraposed to its mode of expression, but itself is only a 'mode of expression' of value. In the French edition of *Capital* (and also the German edition of K. Kautsky and the Russian edition of V. Bazarov and I. Stepanov) the above quoted paragraph is given in the version of the first edition.

Consider a simple geometrical example. In order to determine and compare the areas of all rectilinear figures, one reduces them to triangles. One reduces the triangle itself to an expression which is entirely different from its visible figure – half the product of its base by its altitude. Likewise, the exchange values of commodities can be reduced to *a common entity*, of which they represent a greater or lesser amount.⁴⁰

The similarity of these three paragraphs from the first volume of *Capital* to the excerpts quoted above from *Theories of Surplus Value* catches the eye. The first paragraph repeats the proposition developed in detail by Marx in his polemic against Bailey: the value of a given commodity can be expressed in the most diverse use values. From this fundamental proposition Marx draws in the second paragraph an opposite conclusion, which was already sketched in *Theories of Surplus Value*: two use values, equalised to one another, are equal also to some third thing.⁴¹ Finally, in the third paragraph Marx makes use of the geometrical example already well-known to us.

The comparison we have made of both of these texts of Marx's sheds illuminating light on the provenance and meaning of the argumentation developed by Marx in these three paragraphs of the first volume of *Capital*, an argumentation which has undergone all kinds of misinterpretations and brought about severe refutations from Marx's critics. This argumentation primarily aimed at defending the theory of labour value from the attack of Bailey, and for this purpose it was necessary to draw a rigorous distinction between the value of a commodity and its exchange value, expressed in other commodities. Even without comparing this text with the section in the third volume of *Theories of Surplus Value*, devoted to Bailey, it was possible to assume that Marx pursued precisely this aim in the first pages of *Capital*. To be convinced of this, it is enough to read through the paragraph in *Capital*, foregoing the above quoted three paragraphs:

Exchange value appears first of all as a quantitative relationship, the proportion in which use values of one kind are exchanged for use values of another kind, a relationship which constantly changes in accordance with time and place. That is the reason why exchange value appears to be something accidental and purely relative, and therefore the reason why

40 *Capital*, vol. I, 1867, p. 3 [English version, p. 8, MEGA, II/5, p. 19. Emphasis in original but not reproduced in Rubin's quotation].

41 Commentators as well as critics of Marx concentrate their whole attention usually on the second of these paragraphs of the first volume of *Capital*, not noticing that it is nothing other than the opposite conclusion, drawn from the first paragraph.

the formula of an exchange value internal and immanent to the commodity (valeur intrinsèque) appears to be a contradictio in adjecto (contradiction in terms). Let us examine the matter more closely.⁴²

In Marx's text this passage is followed by the above quoted three paragraphs. It is evident that Marx aimed at disclosing the erroneous nature of viewing exchange value as something 'accidental and purely relative', and Bailey was precisely the most distinct representative of such a sort of views. Now, after having compared both of Marx's texts, we can say already with strong conviction and certainty that not only was the formulation of the problem of value in the first pages of *Capital* governed by the necessity of repelling the attack of Bailey, but also that Marx's corresponding argumentation had been formulated first in the section of *Theories of Surplus Value* devoted to Bailey. If we compare the text of *Critique of Political Economy* with the text of the first volume of *Capital*, we will see that on the first two pages of both works Marx's explanation coincides approximately. But, beginning from the above quoted paragraphs, the text of *Capital* gives us something fundamentally new in comparison with the text of *Critique of Political Economy*, namely a more acute separation of value from exchange value.⁴³

In order to make clearer the distinction of the 'value itself' of a commodity from 'expression' of this value in the use values of other commodities, in the same section of *Theories*, devoted to Bailey, Marx shows that change in the 'expression' of value often does not correspond to change in the value itself. For example: let us assume that the quantity of a commodity to be obtained in exchange for commodity *A*, has diminished, i.e., the exchange value of commodity *A* has diminished, 'insofar as it is realised in other commodities', or its 'exchange value expressed in the *use values* of all other commodities'.⁴⁴ But this diminution of the 'realised exchange value' of commodity *A* could be brought about by two causes of opposite character: either diminution of the quantity of labour time necessary for the production of *A*, or augmentation of the quantity of labour time necessary for the production of other commodities. 'The same phenomenon occurs in both cases although from directly opposite causes.'⁴⁵ Consequently, the modified 'expression' of value of commodity *A* does not yet prove, that its value 'itself' has changed.

42 [*Capital*, I, p. 44, MEGA, II/6, pp. 70–1].

43 Cf. above, the first part [of the present article].

44 [*Theories*, 2, p. 313, MEGA, II/3.4, p. 1314. Emphasis in original but not reproduced in Rubin's quotation].

45 *ibid.*

This argument of Marx's essentially only repeats the ideas he had expressed already in *Critique of Political Economy*.⁴⁶ But in the polemic against Bailey Marx sharpened these ideas in a definite direction. In *Critique of Political Economy*, he only attempted to show that the changes in 'realised exchange value, that is its exchange value expressed in the use values of other commodities,'⁴⁷ can be brought about not only by the changes in the labour time necessary for the production of a given commodity, but also by the changes in the labour time necessary for the production of other commodities. Although Marx did essentially not confound also in *Critique* this 'realised exchange value' of commodity *A* with its 'exchange value' (by which he understood its value), he did not consider it necessary to emphasise their difference, all the less to contrapose one to the other. But in the polemic against Bailey, Marx sharpened the same ideas precisely in this direction and summarises them with the following words: 'From this it obviously follows: that the rate at which commodities exchange for one another as use values, although it is an *expression* of their value, their *realised* value, is not their value itself, since the same proportion of value can be represented by quite different quantities of use values.'⁴⁸

It is interesting to point out that the sharpening of the idea in this direction is wholly maintained and even strengthened by Marx in *Capital*. The above argument, to be found both in *Critique* and in *Theories of Surplus Value*, was transferred by Marx in the first volume of *Capital*, where it was developed in more detail in the third section of the first chapter, in the paragraph on 'quantitative determination of relative form of value'. Marx summarised this point in the following words:

[R]eal changes in the magnitude of value are neither unequivocally nor exhaustively reflected in their relative expression, that is, in the equation expressing the magnitude of relative value. The relative value of a commodity may vary, although its value remains constant. Its relative value may remain constant, although its value varies; and finally, simultaneous variations in the magnitude of value and in that of its relative expression by no means necessarily correspond in amount.⁴⁹

46 [*Critique*, pp. 281–3, MEGA, II/2, 119–20]. Cf. above, pp. 71–2 [pp. 575–7 in the present translation].

47 [*ibid.*, p. 281, II/2, 118]. Cf. above, the first part [of the present article].

48 [*Theories*, 2, p. 314, MEGA, II/3.4, p. 1315. Emphasis in original].

49 [*Capital*, I, p. 61, MEGA, II/6, p. 87].

The content of this résumé gives us a full right to assume that it was sharply directed precisely against Bailey, who constantly confounded value with exchange value. In the footnote to this résumé⁵⁰ Marx polemises against the economist Broadhurst, whose arguments coincides with those of Bailey.

Finally, at the end of the first chapter of *Capital* also we can find traces of the argumentation developed by Marx against Bailey in the third volume of *Theories*.

Bailey accuses Ricardo of transforming value from the relation between things into something absolute. Bailey wrote:

As we cannot speak of the distance of any object without implying some other object, between which and the former object this relation exists, so we cannot speak of the value of a commodity but in reference to another commodity compared with it. A thing cannot be valuable in itself without reference to another thing, any more than a thing can be distant in itself without reference to another thing.⁵¹

To these words of Bailey's Marx makes the following well-targeted comment: 'Is social labour, to which the value of a commodity is related, not another thing?'⁵² Marx wants to say that, admitting value as an expression of social labour, we do not in the least transform it, as Bailey thinks, from something relative into something absolute. We only put it in relation to social labour, and not to other commodities.

To Bailey's objection to the concept of 'absolute' labour value Marx returns again and again not only in other places within the same third volume of *Theories of Surplus Value*, but also in the second volume of this work, on the occasion of the examination of Ricardo's theory, where Marx needed once more to settle with Bailey's critique.⁵³

As a result of his examinations Marx arrives at the conclusion that the accusation of Bailey against the alleged absolute character of the concept of labour value is wholly without foundation.

It is quite wrong to say that the value of a commodity is thereby transformed from something *relative* into something *absolute*. On the contrary, as a use value, the commodity appears as something independent. On the

50 [ibid.].

51 Bailey, *ibid.*, p. 5.

52 [*Theories*, 2, p. 329, MEGA, II/3.4, p. 1328].

53 [*ibid.*, pp. 314–21, MEGA, II/3.4, pp. 1315–21]; [*Theories*, 1, pp. 397–9, MEGA, II/3.3, pp. 820–5].

other hand, as value it appears as something merely *posited* (*Gesetztes*), something merely determined by its relation to socially necessary, equal, simple labour time.⁵⁴

It is precisely Bailey who, owing to his negation of value as expression of social labour, fall into the fetishistic representation which considers value as a property of things themselves, indeed, of things considered not in isolation from one another but in their relation to one another.⁵⁵ In proof of this Marx quotes on page 176 the following words of Bailey's: 'Riches are the attribute of men, value is the attribute of commodities. A man or a community is rich; a pearl or a diamond is valuable'.⁵⁶

This polemic of Marx's against Bailey on the problem of the 'absolute' character of value was reflected in *Capital*. If the above quoted three paragraphs, placed on the first pages of *Capital*, contain in them the hidden polemic against Bailey, in the middle and at the end of the first chapter of *Capital* Marx appears openly against him.⁵⁷ He mercilessly discloses the fetishistic character of Bailey's ideas, manifest most clearly in the passage of his we have quoted just above,⁵⁸ and in respect to this place he briefly summarises Bailey's arguments on the absolute character of value:

The author of 'Observations' and S. Bailey accuse Ricardo of converting exchange value from something relative into something absolute. The opposite is the case. He has explained the apparent relation between objects, such as diamonds and pearls, in which relation they appear as exchange values, and disclosed the true relation hidden behind their appearances, namely, their relation to each other as mere expressions of human labour. If the followers of Ricardo answer Bailey somewhat rudely, and by no means convincingly, the reason is to be sought in this, that they were unable to find in Ricardo's own works any key to the hidden relations existing between value and its form, exchange value.⁵⁹

54 [Theories, 2, p. 316, MEGA, II/3.4, p. 1316] emphasis in original.

55 [ibid, p. 347, II/3.4, p. 1345].

56 Bailey, *ibid.*, p. 165.

57 Cf. the footnotes 17, 23, 35, 36 in the first chapter of *Capital* [cf. *Capital*, I, pp. 56, 68, 87, MEGA, II/6, pp. 82, 94, 113].

58 Marx quotes this passage of Bailey's also at the end of the first chapter of *Capital*, in footnote 35.

59 *Capital*, vol. I, footnote 36 [*Capital*, I, p. 87 [footnote 37 in this version], MEGA, II/6, p. 113]. It is curious to compare this footnote with the passages we have quoted from volumes II and III of *Theories of Surplus Value*. In the places where Marx critically examines his prede-

We have pursued in the first chapter of *Capital* the directly visible or hidden echoes of Marx's polemic against Bailey. We can say with greater or lesser conviction that it was precisely the critical argumentation of Bailey, directed against Ricardo, which induced Marx to become occupied more closely with the problem of the difference between value and exchange value. It is entirely plausible that precisely in his oppositions against Bailey, included in the third volume of *Theories of Surplus Value*, Marx sketched for the first time that way of thinking which acquired afterward the well-known formulation in the above quoted three paragraphs in the first pages of *Capital*. Seemingly, Marx's conclusions were sharpened against Bailey at the end of the subsection 'Quantitative Determination of the Relative Form of Value'. Finally, Marx's polemic against Bailey, who asserted that the proponents of the theory of labour value transform the concept of value into something 'absolute', found its reflection in the first chapter of *Capital* as well.

Bailey's critical argumentation, with all the superficialities of the starting perspective of its author, at times detected genuinely weak points in Ricardo's theory. Therefore, an overcoming of the critical oppositions of Bailey against Ricardo was impossible without overcoming the theory of Ricardo himself, i.e., without a new and more profound grounding of the theory of labour value. Indeed, both antipodes, Ricardo and Bailey, suffered from one flaw: a confusion of value with exchange value. Marx showed that Ricardo confounded value with the 'exchange value of the commodity, as it *manifests itself, appears* in the process of commodity exchange'.⁶⁰ On the other hand he asserted that Bailey 'confuses the form of value with value itself'.⁶¹ The difference between Ricardo and Bailey was included in the fact that the former ignored the form of value, whereas the latter considered it possible to do without the concept of value. By means of a clearly drawn distinction between value and exchange value Marx simultaneously got rid of the mistakes – opposite at first sight, but having a common root – of both of these economists.

Although, as we have noticed, Marx surmounted simultaneously the one-sidedness of both Ricardo and Bailey with his theoretical construction, nevertheless, in order to disclose more clearly the errors of both these authors, it was necessary for him to dispose his theoretical description according to two opposite currents. As far as Marx took into account Bailey's attack on Ricardo,

cessors in the text or footnotes of *Capital*, he usually summarises in one or two sentences the results of his lengthy or very meticulous investigations, with which he was occupied in *Theories of Surplus Value*.

60 [Theories, 2, p. 312, MEGA, II/3.4, p. 1313].

61 [Capital, I, p. 56, MEGA, II/6, p. 82].

he had to show that we must move to 'value itself' for the explanation of various 'expressions of value', i.e., of exchange value.⁶² On the other hand, as far as he aimed at deepening and improving Ricardo's theory, he had to clarify the 'various aspects in elaborating the concept of value',⁶³ 'these different instances of definitions of value, which are not explained by Ricardo but only occur de facto and are confused with one another.'⁶⁴ According to these two currents, Marx disposed his theoretical description also in the first chapter of *Capital*. In the first section of this chapter (to which also the second section connects directly, as its complement) he points out that the analysis of exchange value necessarily leads us to the elaboration of the concept of value; in so doing Marx destroys the grounds of Bailey's theory. In the third section he shows that value assumes necessarily a definite form of value, and gives detailed analysis of these forms, making up in this way for the lacunae in Ricardo's theory. Marx emphasises that both of the steps of the theoretical description we have mentioned above are inseparably connected with one another. In the first section he indicates to the reader that 'the progress of our investigation will show that exchange value is the only form in which the value of commodities can manifest itself or be expressed.'⁶⁵ On the other hand, at the beginning of the third section Marx, in starting the second half of his investigation, again reminds the reader of its inseparable connection with the first half of the investigation: 'In fact, we started from exchange value, or the exchange relation of commodities, in order to get at the value that lies hidden behind it. We must now return to this form under which value first appeared to us.'⁶⁶

It is self-evident that we find precisely in the first part of Marx's investigation more explicit traces of the argumentation which he developed against Bailey in the third volume of *Theories*. Indeed, precisely in the first part Marx showed the necessity of elaboration of the concept of value, to which Bailey directed all his blows. But in the second part we find the theory of Marx on the forms of value, a theory which constitutes the most original part in Marx's overall theory of value and is entirely absent in Ricardo and in Bailey, but which cannot be considered as a direct refutation of Bailey's ideas. This explains the curious

62 [Theories, 2, p. 314, MEGA, II/3.4, p. 1315].

63 [ibid., p. 312, II/3.4, p. 1313. Rubin's free quotation].

64 [Theories, 1, p. 398, MEGA, II/3.3, p. 822].

65 [Capital, I, p. 46, MEGA, II/6, p. 72. This sentence does not appear in the first edition of 1867].

66 [Capital, I, p. 54, MEGA, II/6, p. 80. The corresponding passage in the first edition runs: 'First let us turn back to the first *form of appearance* of the *value* of commodity,' English version, p. 16, MEGA, II/5, p. 27. Emphasis in original].

fact that we find in Marx's remarks against Bailey in the third volume of *Theories of Surplus Value* the argumentation he was to develop afterward in the first section of the first chapter of *Capital*, but we do not yet find those ideas which lay at the basis of the third section, namely the theory of the various forms of value and the theory of the poles of value.⁶⁷ In the section of *Theories* devoted to Bailey, Marx still has in mind only the most developed, general, or money form of value, and does not yet elucidate the development of both poles of value.

But if the polemic against Bailey did not yet lead Marx directly to the analysis of the various forms of value and poles of value, in any case it laid the route for this. The fundamental shortcoming of Bailey's conception consisted in the fact, that he, first, confounded value with exchange value and, secondly, directed attention exclusively to the quantitative determination of the exchange relation.⁶⁸ Bailey's first drawback was disclosed by Marx already in *Theories*, where he drew a sharp distinction between 'value' and various 'expressions of value'. This clearly drawn distinction was to lead Marx to the necessity of giving individually the analysis of value on the one hand, and that of exchange value on the other. Indeed, in *Theories* Marx still allotted his attention mainly to the first task, which he was going to develop further in the first and second sections of the first chapter of *Capital*. Marx does not yet give specially an analysis of various 'expressions of value' or of forms of value in *Theories*. But the necessity of this analysis followed directly from that general setting of problem which Marx gave in the polemic against Bailey. A special analysis of value had to find its complement in a special analysis of exchange value, which was also given afterward by Marx in the third section of the first chapter of *Capital*. We can assume that, when starting the special analysis of exchange value, Marx assigned his attention mainly to surmounting the second of the known flaws of Bailey, who confined himself to the investigation of the quantitative aspect of exchange value. In opposition to Bailey, Marx pushed into the foreground the qualitative aspect of exchange value and due to this arrived at his theory of the poles of value and of the various forms of value.

On one essential point we can find in Marx's critical comments against Bailey a clearer germ of the ideas, developed afterward by him in his theory of the forms of value.

The analysis of various forms of value, given by Marx in the third section of the first chapter of *Capital*, mainly aimed at showing that 'the simple com-

67 Cf. above, the first part [of the present article].

68 [*Capital*, I, p. 56, MEGA, II/6, p. 82].

modity form is the germ of the money form'.⁶⁹ In the letter to Engels of 22 June 1867 Marx adds, emphasising the great importance of the section on the form of value: 'The economists have hitherto overlooked the very simple fact that the equation *20 yards of linen = one coat* is but the primitive form of *20 yards of linen = £2*'.⁷⁰ He also points out that the analysis of the simple form of value, absent in *Critique of Political Economy*, was given by him for the first time in *Capital*.⁷¹

If we admit that in the third section of the first chapter of *Capital* Marx aimed at reducing the money form of value, in which the commodity is equalised to the general equivalent, to the simple form of value, in which one commodity is equalised to another commodity, we can find a faint germ of this idea in Marx's critical comments against Bailey. He claimed that only the everyday habit of expressing the value of all commodities in money could bring about the presentation as if commodities possessed absolute value. If we compared linen not with a certain amount of money but with other concrete commodities, for example coats, bread, coffee, and so on, we would be easily convinced, in Bailey's opinion, of the purely relative character of value. These arguments of Bailey's give rise to the following retort from Marx:

Mr. Bailey is of the opinion that if one were to consider *only two commodities* – in exchange with one another – one would automatically discover the mere relativity of *value*, in his sense. The fool. As if it were not just as necessary to say, in the case of [two] commodities which exchange with one another – two products which are related to one another as *commodities* – *in what* they are identical, as it would be in the case of a thousand.⁷²

As we can see, the polemic with Bailey pushed Marx to the side of the *formulation* of the problem of the exchange of *two* commodities for each other, i.e., to the side of the analysis of 'simple form of value'. But Marx's thinking was directed involuntarily toward this side. Marx did not yet regard it necessary to separate for a special analysis the case of the exchange of two commodities for one another (or the simple form of value). Seemingly, such a special analysis still appeared to him as superfluous from both a historical and a logical perspective. From the historical point of view Marx well understood that the accidental exchange of two commodities for each other preceded the develop-

69 [Capital, I, p. 75, MEGA, II/6, p. 102. Cf. Capital, I, p. 65, MEGA, II/6, p. 91].

70 [Marx's letter to Engels of 22 June 1867, MECW/42, p. 384, MEW/31, p. 306].

71 Cf. above, the first part [of the present article].

72 [Theories, 2, p. 331, MEGA, II/3.4, p. 1329] emphasis in original.

ment of the commodity economy and exchange value. Immediately following the words quoted above, Marx adds: 'If only two products existed, the products would never become commodities, and consequently the exchange value of commodities would never evolve either.'⁷³ As far as Marx aimed at grasping the laws of the developed commodity economy and of developed exchange value, it is obvious that he still considered it necessary to begin his investigation from the all-round exchange of products as commodities, not simply from the exchange of two products for each other.

Thus, from the historical point of view a special analysis of the exchange of two products for one another still seemed to Marx to be superfluous in the period of his polemic with Bailey. As for the logical value of such an analysis, in this period probably Marx still assumed that such an analysis could not give us almost anything new in comparison to the analysis of the exchange of a commodity for 'a thousand' other commodities (or for a certain amount of money). In both cases we must equally answer the question of 'why they (commodities) are identical', i.e., discover the identity of their social nature, their unity as *values*. The unity of the social content of all enumerated acts of exchange still obscured from Marx's view the difference of their forms. Entirely absorbed in the quest for a unitary substance of commodities, i.e., of value, Marx did not reserve sufficient attention for the difference in the forms of value. 'How can I express x cotton in y money? This question resolves itself into this – how is it at all possible to express one commodity in another, or to present commodities as equivalents? Only the elaboration of value, *independent of the representation* of one commodity in another, provides the answer.'⁷⁴ Here Marx drew very near to the formulation of the problem of the connection between the money form of value and the simple form of value. It is also true that here he is still inclined to push to the forefront the unity of their content in comparison with the difference of their forms, but in spite of this the problem of the difference of these forms was already raised, and for its solution a special analysis of the 'form of value, or exchange value' was necessary, and elaborated by Marx afterward in *Capital*.

Now we can sum up. The peculiarity of the structure of the first chapter of *Capital* consists in the fact that Marx gave individually the analysis of value and the analysis of exchange value. Marx seems to have arrived at this rigorous demarcation of concepts in the course of his polemic against Bailey. Marx counts him among the small number of economists who 'have occupied them-

73 [ibid.].

74 [*Theories*, 2, p. 347, MEGA, II/3.4, p. 1345] emphasis added.

selves with the analysis of the form of value'.⁷⁵ While the classical economists concentrated their attention on value, Bailey fell into the opposite mistake. He directed his attention mainly to the *multiplicity* of expressions of value and fancied that 'by thus pointing out the various relative expressions of one and the same commodity value, he had proved the impossibility of any determination of the concept of value'.⁷⁶ To repel the attacks of Bailey, threatening to entirely upturn the theory of labour value, Marx had to draw a sharp distinction between 'value' and 'exchange value', and from here logically flowed the necessity of carrying out individually the analysis of value and the analysis of exchange value. But only by filling up the lacunae in Ricardo's theory was it possible to overcome definitively Bailey's critique. In this way Marx was confronted with a dual task. First, he had to find out behind the *multiplicity* of expressions of value the *unity* lying at their basis, i.e., value (and ultimately labour), and, secondly, he had to show how one and the same *value* can be expressed in the most various *forms of value*. In opposition to Bailey, Marx carries on his research from exchange value to value in the first and second sections of the first chapter of *Capital*. Unlike the classical economists, he complements the theory of value with the theory of the 'form of value, or exchange value', explained in the third section of the same chapter. The peculiar structure of the first chapter of *Capital* is explained by the necessity to dispose his investigation according to the two opposite currents.

I. Rubin

75 [*Capital*, I, p. 56, MEGA, II/6, p. 82].

76 [*ibid*, p. 68, MEGA, II/6, p. 94].

PART D

*Documents published in the Soviet Union
during the Value Controversy in the 1920s*

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A. Voznesensky: 'On the Problem of the Understanding of the Category of Abstract Labour'*

Under the Banner of Marxism, 1925, no. 12, pp. 119–42

Just as generally in the case of any historical, social science, so also in examining the development of economic categories, it is always necessary to remember that the subject, in this context modern bourgeois society, is given, both in reality and in the mind, and that therefore the categories express forms of being, determinations of existence – and sometimes only individual aspects – of this particular society, of this subject (Marx, 'Introduction to a Critique of Political Economy'. Collection *Fundamental Problems of Political Economy*, State Publishing house, 1922, p. 31 [edited by Sh. Dvolaitzky and I. Rubin, Russian translation by Paschukanis. MECW/28, p. 43, MEGA/II.1.1, p. 41])

1 The Meaning of the Category of Value and the Problem of Its Determination

At the basis of the whole system of Marxist political economy lies the theory of value [ценность-стоимость].¹ This is the fundament on which is built the entire construct of political economy as a scientific system: all the basic political-economic categories and laws flow, directly or indirectly, from the theory of value. If we refuse it or incorrectly interpret it, we will be obliged to renounce the whole of Marxist political economy (and Marxism will be meaningless without its economic aspect), or at least to distort it. One is worth the other.

From here it is clear that the problem of the determinant of value, of its fundament itself, is a cardinal problem in political economy, incomparable to any other. On the identity of the determinant of value, its fundament, depends the

* А.А. Вознесенский. «К вопросу о понимании категории абстрактного труда» *Под знаменем Марксизма*, 1925, 12, стр. 119–42.

1 We make use of the expression 'ценность-стоимость' in view of the twofold way of translating the German term 'Werth' established in Russian literature [In the following they are simply rendered into an English word 'value'].

construction of this or that theory of value, and consequently also the whole system of political economy. The enormous significance which Marx himself attached to this problem therefore becomes completely understandable.

2 The Significance Marx Attaches to the Division of Labour into Concrete and Abstract Labour

As is well known, value is, according to Marx, created or rather determined by abstract labour.² But a commodity appears not only as value, it must still be also use value; this is created by concrete labour. Consequently, the labour represented in a commodity turns out to have a twofold character: concrete and abstract labour. Marx characterises the importance of the elucidation of this problem in the following way.

At the beginning of the second section of [the first chapter] of Vol. I of *Capital*, he notes:

'I was the first to point out and to examine critically this twofold nature of the labour contained in commodities. As *this point is the pivot on which a clear comprehension of political economy turns*, we must go more into detail.'³

Although in this passage the last sentence is not entirely verbatim, the meaning of the original is rendered completely correctly: 'Da dieser Punkt der Springpunkt ist um den sich das Verständniss der politischen Oekonomie dreht, soll er hier näher beleuchtet werden.'

In the letter to Engels of 24 August 1867, Marx writes: 'The best points in my book (i.e., *Capital* – A.V.) are: 1. (*this is fundamental to all understanding of the FACTS*) the *twofold character of labour* according to whether it is expressed in use value or exchange value, which is brought out in the very First Chapter.'⁴

Furthermore, in another letter to Engels of 8 January 1868 Marx points out 'the three *fundamentally new elements* of the book' (*Capital*):

2) that the economists, without exception, have missed the simple fact that, if the commodity has the double character of use value and exchange value, then the labour represented in the commodity must also

2 That value is determined precisely by labour, and not by any other element, is here presupposed as given and not especially considered.

3 [*Capital*, I, p. 49, MEGA, II/6, p. 75]. The emphases (italics) belong, unless otherwise mentioned, to the author of the present article.

4 [MECW/42, p. 407, MEW/31, p. 326. Emphasis in original]. The emphasis on 'all' belongs to Marx.

have a double character; thus the bare analysis of labour *sans phrase*, as in Smith, Ricardo, etc., is bound to come up against the inexplicable everywhere. This is, in fact, *the whole secret* of the critical conception.⁵

Finally, still earlier, in *Critique of Political Economy*, Marx says: 'The analysis of the commodity consisting in its reduction to twofold labour ... is the result of more than a century and a half of critical research by classical political economy' [*Critique*, p. 292 (translation slightly different from the Russian version used by Voznesensky), MEGA, II/2, p. 130].

Such is the significance attached by Marx to the category of abstract labour (or the twofold character of labour contained in the commodity, which is essentially the same thing).

3 The Ordinary Interpretation of Abstract Labour in Marxist Literature

How do the researchers of Marx view this question? What is their relation to it? How do they interpret it? We can take up almost any booklet of Marxist political economy to convince ourselves that no particularly serious significance is attached to the category of abstract labour, that it undergoes no serious elaboration.

Moreover, some authors manage to describe Marx's theory of value even without mentioning abstract labour. For example, Bogdanov does so in his famous *Short Course of Economic Science* [Богданов, А., *Краткий курс экономической науки*, Государственное издательство, 1924] as well as in his *Elementary Lecture of Political Economy* [Богданов, А., *Начальный курс политической экономики: введение в политическую экономию: в вопросах и ответах*, Государственное издательство, 1923], and in vol. 4, part II of Bogdanov and Stepanov's *Course of Political Economy* [А. Богданов и И. Степанов, *Курс политической экономики*, Изд. 4-е, Государственное издательство, 1925], written by the former author, abstract labour is identified with simple labour, and in the place of the problem of abstract labour comes simple and complex labour, which is not at all the same thing.

What is the ordinary interpretation of abstract labour? It boils down essentially to the following proposition: labour, considered from its qualitative-useful aspect, creates use value and is called concrete labour; but labour, con-

5 [MECW/42, p. 514, MEW/32, p. 11. Emphasis in original].

sidered from its quantitative aspect, creates value and is called *abstract* labour. This labour is considered as the expenditure of brains, nerves, and muscular energy, in a word, as the expenditure of a certain physical energy of man. The analysis of abstract labour and the explanation of its role concludes with this, and thus the overwhelming majority of authors behave as already pointed out. Let me mention a few of them: Kautsky, *The Economic Doctrines of Karl Marx* [Karl Kautsky, *Karl Marx's Oekonomische Lehren: gemeinverständlich dargestellt und erläutert*, 15. Aufl., Dietz, 1917]; Cohn, *Theory of Industrial Capitalism* [Кон, А., *Теория промышленного капитализма*, 1923]; Fischer, *Theory of Value* [Фишер, П., *Теория ценности*, Киев, 1907]; Lyubimov, *ABC of Political Economy* [Любимов, Л., *Азбука политической экономики: начальный курс*, Государственное издательство, 1923] (this author tries to speak about the *social* character of abstract labour, but in an extremely unreasonable way, additionally making his explanation dependent on the category of socially necessary labour); Dashkovsky, *Concise Course of Political Economy* [Дашковский, И., *Конспектированный курс политической экономики*, Харьков, 1923]; Michalevsky, *Elementary Course of Political Economy* [Михалевский, Ф.И., *Начальный курс политической экономики*, Москва, Московский рабочий, 1924]; Motylev, *Price and Value* [Мотылев, В.Е., *Цена и стоимость в капиталистическом хозяйстве и в хозяйстве СССР*, Краснодар, 1925], and so on and so forth.

In that *ordinary* understanding of abstract labour, of which we have just spoken, abstract labour is a category *exclusively* physiological, transhistorical, and non-social.

But in such a case it remains entirely unclear why Marx himself attached to this problem such a significance *exclusive* to the system of political economy? It seems to be in no way justifiable by any hypertrophied exaggeration.

This is the first embarrassment with such a kind of interpretation of Marx. The second, which arises at once, is the following.

In Marxist literature is considered almost commonplace the proposition that economic value, in the Marxist meaning of the word, is a historical category, i.e., transient, inherent *only* in societies with a *commodity economy*, and social, whereas according to the ordinary view its determinant is a category which is transhistorical and natural-technical. But, by means of a logical, transhistorical, and natural category, how is it possible to define a historical and social category, to consider the former as the basis for the latter? We have here an obvious inconsistency.

In such an interpretation of the category of abstract labour, value must also be regarded as a transhistorical and non-social category, and hence the whole of political economy too is characterised as a transhistorical science, having

for its object of investigation every system of economy, i.e., there cannot be no harm in taking the anti-Marxist position. Therefore, as Rubin correctly formulates the problem, we have only one escape hatch: 'since the concept of value in Marx bears a sociological ['social' in the later editions] and historical character, and his originality and merit are found precisely in this point, we must build on the same basis also the concept of abstract labour, as the 'creator' of value' (I.I. Rubin, *Essays on Marx's Theory of Value*, State Publishing House, 1923, pp. 77–8 [quoted from the first edition in Chapter 10. 'Abstract Labour', p. 185 in the present translation, cf. FIGURE 5 on p. 9 above]).⁶

The necessity of such a point of view, in addition to the considerations already mentioned above, and also of those references to Marx, incontestable as they seem to us, which we will make below, is aroused also from the circumstance that Marx places the emergence and manifestation of the category of value in a definite *causal dependence* precisely on abstract labour.

Here are some examples: 'A use value, or useful article ... has value only *because* human labour in the abstract has been embodied or materialised in it' [*Capital*, I, p. 46, MEGA, II/6, p. 72. Emphasis added].

'When looked at *as* crystals of this social substance, common to them all (= abstract labour, as is clear from the context – A.V.), they (things) are – values' [*ibid.*, p. 46, II/6, p. 72. Emphasis added].

'They [the commodities] acquire this reality only in so far as they are expressions or embodiments of one identical social substance' [*ibid.*, I, p. 54, II/6, p. 80].

'In its character of identical abstract human labour, it *creates* and forms the value of commodities' [*ibid.*, I, 53, II/6, p. 79. Emphasis added].

4 The Content and Role of the Category of Abstract Labour

The labour of each man, as far as he is occupied with productive activities, is spent in every society on the production of some definite useful things, use values. Marx describes such labour as concrete. It takes place in every human society and is in this way a transhistorical or logical category, or as Marx says: 'So

6 The quoted work is one of the best for Marx's theory of value. The author holds on to a consistently sociological interpretation of the basic political-economic concepts, and, in particular, of the concept of abstract labour. Unfortunately, on this point the description of the author is too abstract, not entirely concrete and clear, and at the same time hardly convincing. Moreover, as it seems to us, precisely on this problem of abstract labour Rubin has admitted some inexactness and even errors. In the following we will examine these points in detail.

far therefore as labour is a creator of use value, is useful labour, it is a necessary condition, *independent* of all forms of society, for the existence of the human race; it is an eternal nature-imposed necessity, without which there can be no material exchanges between man and Nature, and therefore no life' [*Capital*, I, p. 50, MEGA, II/6, p. 76. Emphasis added].

But indeed, the labour of an individual person can also be without social significance. How is the problem of the social significance of such a kind of labour, of the labour of an individual person carrying out a definite concrete labour, solved?

Let us take some type of natural, organised economy, for example, for the sake of simplicity, an economy composed of a nuclear family. Every member of it capable of labour may carry on definite, individual, special labour.

By what circumstance and how is the significance of this individual labour for this nuclear family determined?

Once I, as a family member, carry on some definite labour and it is *needed, useful, or necessary for the family* as a unit of the economy, my labour has for this reason a significance for this family. It is needed, useful, important, besides precisely in its definite concrete form, as my labour and also as a labour expended in a *definite* special manner.

If we take the family for a society, then we would say: here the labour of individual participants in the economy becomes social labour *directly* in its *concrete* form. It does not cease to be connected with a definite individuality (personality) and a definite specialty.

Marx expresses this idea with the following words: Different kinds of labour, 'in the patriarchal industries of a peasant family', directed to the production of products such as 'corn, cattle, yarn, linen, and clothing' and so on, 'are in themselves, and such as they are, direct social functions' of the family [*ibid.*, p. 82, II/6, p. 108].

We will have the same also in *every collective* economy, as long as it is a unitary, consciously constructed organism.

Or let us take some type of *exploitative* social economy, but once again of a natural and hence organised constitution, for example, an economic system of serfdom or slavery, as long as they remain in the framework of natural production.

It is completely evident that here also the individual labour of particular producers will manifest its social significance exactly in the same way as this occurs in the above examined case, in the case of a family community. Here also the individual kinds of labour have social significance ('are ... social functions'), directly in their *concrete* form, while not assuming any specific forms.

In examining this case, Marx points out: 'Here the particular and *natural* form of labour ... is the immediate *social* form of labour' [ibid., I, p. 82, II/6, p. 108. Emphasis added].

Exactly the same picture is obtained if we turn to a socialist society, with its planned economy.

Thus, in *neither* of these types of natural, organised economy do we have the category of abstract labour, because labour invariably appears *solely* in its concrete form.⁷

Let us now examine how this same problem is solved with regard to an unorganised, anarchic society, a society with a commodity economy.

Production is here carried on by the mass of disconnected, formally autonomous individual private producers, independent of each other. Each of them works in his own interests, for his benefit, and produces certain products in a certain quantity at his risks. However, all of them work one for the other i.e., for the society. The development of the social division of labour, attaining its highest degree in an anarchic economy, transforms everyone into the producer of one definite kind of product. But a shoemaker does not produce shoes for himself personally, but for others; producers of woollens, buttons, shoe polish, etc. etc. do the same.

In this way, though producers are dissociated, though each of them does not obtain any task from society, all of them work for society, and thereby their labour has a social meaning, or social significance. But how can the social significance of individual private concrete labours manifest itself? In a society of disconnected producers this can take place only through exchange of the products of the labour of one of them for products of the labour of others, i.e., through the market, in other words, via the transformation of the products of labour into commodities.

Therefore, 'articles of utility become commodities, only because they are products of the labour of private individuals or groups of individuals who carry on their work independently of each other' [ibid., I, p. 77, II/6, p. 103].

Precisely only through the market can the social significance of individual private labour manifest itself. But in such a case, in what shape, in what form does their labour, the labour of individual private independent commodity producers, appear?

7 If someone objected to us in pointing out that the category of abstract labour appears also here once we speak of the *quantitative* aspect of labour, we would answer in advancing the fact that concrete labour can be impeccably measured precisely in its concrete form. Cf. on this point Marx's utterly unequivocal statement in *Capital*, vol. I, Chapter 1, section 4, in which he considers the feudal economy and, in particular, the economy of the peasant family.

Exchange is in itself a purely *quantitative* moment. In fact, we exchange *one pair* of boots for *115 kg* of bread, in other words, we *equalise one pair* of boots with *115 kg* of bread, or, what is the same, with *10 roubles*. But, as use values, commodities are distinguished only qualitatively, but their quality cannot be a measure of quantity, therefore the element of *quality* as such entirely falls away in the process of exchange. Hence Marx says: 'as exchange values they are merely different quantities, and consequently do not contain an atom of use value' [ibid., I, p. 45, 11/6, p. 72].

But, since exchange is a purely quantitative phenomenon, the labour *determining* these proportions in which one commodity exchanges for another (exchange values) also appears *exclusively from the same quantitative* aspect, throwing off *all* qualitative elements, *whatsoever they may be*.

We can hence see that hereby occurs first of all the abstraction of the personality of that subject who has expended his labour on the production of a given commodity.

Furthermore, the element of profession, of a definite *specialty*, falls away, that form of useful concrete labour in which it has been expended is abstracted.

In this way concrete labour is transformed into, is replaced by a completely *special form* of labour, i.e., abstract labour.

This is neither the labour of any person, nor the labour of any specialty – in which appears neither *any* personality, *any specialty*, nor any form of expenditure.

This is impersonal, undifferentiated, unspecialised labour (unconnected with any profession or specialty), labour in general. Whose is this labour? Who has expended it? Impersonal human society. Abstract labour is the *labour of society, social labour*, without relation to any personalities whosoever they may be.

We have already seen above that in any type of economy except for a commodity one, the labour of individual producers manifests its social significance directly in its concrete form; it does not cease to be connected with a certain *specialty*. As shown just above, this is totally different in a commodity economy. Individual labour appears here only as a particle of one and the same unitary collective labour of society. Such a particle is included in each commodity. 'The total labour power of society, which is embodied in the sum total of the values of all commodities produced by that society, counts here as one homogeneous mass of human labour power, composed though it be of innumerable individual units' [ibid., I, p. 46, 11/6, p. 73]. Thus, in a society with a commodity economy the labour of individual producers can manifest its social significance only in assuming a particular form not corresponding to its really visible form of manifestation, the form of abstract labour. 'The particular labour of an isol-

ated individual can become socially effective only if it is expressed as its direct opposite, i.e., abstract universal labour' [*Critique*, p. 308, MEGA, II/2, p. 144].

In other words, the labour of people, as long as they live in society, was always and is social labour, i.e., labour with social significance. But in commodity society the labour of producers assumes a particular *specific form*, the form of abstract labour, and in the quality of such labour it determines value.

Already from this brief characterisation of the category of abstract labour, we can and must draw the following additional conclusions:

a) In the first place, the category of abstract labour is, according to Marx, not a category solely in thinking, i.e., existing only in our mind, it is not simply one of our concepts, not a tool only for thinking, no, *it is a real category*, i.e., inherent in the real world and manifesting itself and operating in it. What does its role come down to? Abstract labour is *the basis of exchange proportions, i.e., of purely real, wholly objective phenomena, taking place outside of us*.

The reduction of different kinds of labour 'to uniform, homogeneous, simple labour, in short to labour of uniform quality, whose only difference, therefore, is quantity ... appears to be an abstraction, but it is an abstraction which is made every day in the *social process of production*' [*Critique*, p. 272, MEGA, II/2, p. 110].

Rosa Luxemburg also makes the same point: 'Marx's abstraction (she speaks about abstract labour – A.V.) is not an invention. It is a discovery. It does not exist in Marx's head but in the market economy. It has not an imaginary existence, but a real social existence' (*Reform or Revolution*, p. 64 [*Social Reform or Revolution*, 1900, in Chapter VI 'Economic Development and Socialism']).

Thus, the concept of abstract labour in our mind is only the reflection of a determinate real phenomenon of the actual reality existing around us.

Hereby we can judge in a negative sense the contention of some economists that this category of Marx's, like value, has only methodological importance; no, this is a real phenomenon.

Here incidentally we must elucidate an incorrect view possibly arising in this context.

Abstract labour is a category taking place in the real world. Indeed, it *manifests itself* through the process of exchange. But we must not think that abstract labour is a category of exchange in the sense that it is created and arises only in the *process* of exchange. Rubin thinks among others in this way in the above quoted work. He says for example: 'Abstract labour *appears* only in the actual act of market [commodity, in Rubin's original text] exchange' (*Essays*, p. 81 [in the first edition. The same sentence appears in the second edition, but is eliminated in the third. Cf. p. 214 in the present translation. Emphasis added]. 'The latter (abstract labour) *arises* only in exchange' (ibid. [the same as the previous quotation])). Or: 'Abstract labour is created by exchange' (p. 82 [the same

as the previous quotation]).⁸ But such a view cannot be recognised as correct. So long as production is commodity production, i.e., so long as it is 'taken into account' (Marx) already in advance, in the production itself of products, that they are produced as commodities, they do not appear here in the process of production as use values, and therefore, concrete labour also is modified into abstract labour, and the latter already emerges.

In this way, abstract labour is a category of production, but not of exchange. But, of course, it can *manifest itself*, can *show up* only through exchange, i.e., relatively, by means of the juxtaposition of the value of a given commodity with the value of another. But this is, let us repeat, only the means of its manifestation. However, it is evident that it is given before this means.

'Social labour time exists in these commodities in a latent state, so to speak, and becomes evident only in the course of their exchange' [*Critique*, p. 286, MEGA, II/2, p. 123].

The view on abstract labour as *emerging* in the process or *act of exchange* leads to a further incorrect proposition. Indeed, once it is admitted that abstract labour *emerges* in the process of exchange, then also value (precisely value and not exchange value, the form of value) emerges therefore in the process of exchange, but this view is absurd from the Marxist perspective, since value is determined by the labour expended on the production of a given commodity. 'The common substance that manifests itself in the exchange value of commodities ... is their value' [*Capital*, I, p. 46, MEGA, II/6, p. 72], but the latter is given prior to the exchange relation, although it can manifest itself only through this relation.

Exchange is the only 'form in which the value of commodities can manifest itself or be expressed'⁹ [*ibid.*].

From the same incorrect view of which we have just spoken, a further conclusion is to be drawn, that surplus value too is a category of exchange, i.e., is created in the process of circulation, exchange, and we end up thus in the denial of the whole Marxist economic system.¹⁰

8 Let us emphasise: as is clear from the quoted places, Rubin tells us in this case not that abstract labour is a category of *exchange society*, but that it *appears* or arises in the act of exchange.

9 'The value of it (labour power), as with the value of every other commodity, was determined *before it entered into circulation*, since a certain quantity of social labour was expended in advance for the production of the labour power' (*ibid.*, p. 106 [cf. 'The value of labour power is determined, as in the case of every other commodity, by the labour time necessary for the production, and consequently also the reproduction, of this special article', *Capital*, I, p. 167, MEGA, II/6, p. 186]).

10 We point out once again that one and the same incorrect interpretation of abstract labour leads to an anti-Marxist position in the most essential problems.

With regard to the above treatment of abstract labour as a category of production, there can be the following 'objection': production and exchange are one and the same process, or two aspects of one and the same process; therefore, such a keen formulation of the problem as made above is unfounded. But this is a misunderstanding. Although production and exchange are a unitary process, it is necessary to distinguish the *stages or phases* of this process. Indeed, we can ask ourselves: of which phase is abstract labour the outcome? We assert: of the phase of production. Thus, abstract labour is a real category and moreover of a character of production.

b) Furthermore, who produces this abstraction from the concrete properties of labour? Who is occupied with it? It does not occur in a *conscious rational way*, this abstraction is carried on in society and, so to say, by the impersonal society itself; in other words, the abstraction takes place *purely spontaneously, independent of the will* and consciousness of individual people, and in this sense of the word – unconsciously. In this way, the category of abstract labour is not a rational category, but a *spontaneous*, a *spontaneously* emerging and operating category. But the abstraction in our mind is only a reflection of the 'abstraction' in the real world.

From here the inadmissibility of such a diffused judgement becomes completely understandable: 'Abstract labour is called so because we abstract from the qualitative aspect of labour'. We do not produce the abstraction, rather it is carried out in the real world.

c) But why, due to such a circumstance, does this category of abstract labour (as a real *phenomenon*, to which corresponds a definite *concept* in our mind) ever emerge, appear? As we have already seen, this occurs because the social significance of the labour of individual producers in commodity society, i.e., in a definite type of social relations of production, can manifest itself *only* through such a *specific* form. Therefore, the social relations of production among independent private individualised commodity producers are expressed in the category of abstract labour, and, in this way, abstract labour turns out to be a *social* category. In this respect it is not excluded from a series of the remaining economic categories. But abstract labour is a social category also in another sense of the word. The point is that, as we have already seen, abstract labour is not individual labour, but the labour of society: it is not the labour of some individual, some personality; it represents a spending of social energy, of the energy of society as a whole.

Thus, *the third trait of the category of abstract labour is its social character.*

d) In this way, in what form of society is the labour of people invested with the shell of concrete [abstract?] labour? As we have already seen, this takes place only in a society of individualised, independent, autonomous producers,

i.e., commodity producers. Hence it follows that abstract labour is a *historical* category, i.e., a temporary, transient category, inherent *only* in societies with a commodity economy.

Of course, it is possible to *think of* abstract labour also in every organised (for example, communist) society, as it is also possible to *think of*, say, capital; however, it will then become a category purely in thinking, which will correspond to nothing at all in the real world. But, meanwhile, in the commodity economy abstract labour represents not only a category *in thinking* but also a *real* one, recognisable to every spontaneous commodity producer as the regulator of production through the mechanism of competition. Marx develops this idea, having a huge methodological significance, in the 'Introduction':

Labour seems to be a very simple category. The notion of labour in this universal form, as labour in general, is also as old as the hills. Nevertheless, considered economically in this simplicity, 'labour' is just as modern a category as the relations which give rise to this simple abstraction. ... This state of affairs is most pronounced in the most modern form of bourgeois society, the United States. It is only there that the abstract category 'labour', 'labour as such', labour sans phrase, the point of departure of modern political economy, is first seen to be true in practice. The simplest abstraction which plays the key role in modern political economy, and which expresses an ancient relation existing in all forms of society, appears to be true in practice in this abstract form only as a category of the most modern society¹¹

i.e., becomes economic reality.

As was already pointed out above, the representation of abstract labour as a historical category is in complete contradiction with the view of the majority of economists on this problem. Some of them directly emphasise the transhistorical (logical) character of the category of abstract labour; others, especially those who do not take notice of this moment, factually hold on to the same views, considering abstract labour as simply labour taken from its quantitative aspect.

But, in spite of this, as we have already seen, abstract labour is not simply labour taken from its quantitative aspect. We can consider from the quantitative aspect also every individual labour expended in a certain useful form, i.e., every concrete labour. But this does not yet transform it into abstract labour. It

11 [MECW/28, pp. 40–1, MEGA/II.1.1, pp. 38–40].

represents a *particular* kind, a *particular specific form* of labour in *specific* social relations of production.

Thus, *abstract labour represents a real category, a spontaneously established and manifested, social and historical category.*

5 The Significance of the Discovery of the Content of Abstract Labour for the Characterisation of the Category of Value

According to Marx, abstract labour determines value, with the former 'creating' the latter, appearing as its basis. Hence it follows that: once is given the understanding of abstract labour, discovered its content, hereby is already given the understanding also of the category of value, discovered its content. Evidently, value repeats in itself the fundamental traits of its determination, or of its basis.

In other words, value too represents, first, a real category, i.e., something established and manifested in the *real world*, not existing only in our mind. The law of labour value is known to us in the real world, in the commodity economy, 'like an over-riding law of Nature. The law of gravity thus asserts itself when a house falls about our ears' [*Capital*, I, p. 80, MEGA, II/6, p. 106].

From here it is clear that the view of value as being only a tool of thinking, as a category, having only purely methodological significance (held by Sombart and others), is wholly false.

Such a view, in addition to its being a non-Marxist view, would deprive the anarchic commodity economy of its sole regulator, to which it owes its existence.

Moreover, the law of labour value establishes itself, operates and manifests itself purely spontaneously, like a natural law; it is not the result of our wills, but is given prior and in spite of them. Value is therefore not a *rational category*, it is not calculated in a bookkeeping way; it is given independent of our will. Therefore, if, in studying political economy, we calculate value by means of examples illustrating our propositions, it is naturally a purely conditional procedure.

Furthermore, thirdly, *value is a social category.*

It is not a thing and not simply something material. Rather, it represents the expression of a determinate type of social relations of production.

'The value of commodities is the very opposite of the coarse materiality of their substance, not an atom of matter enters into its composition. ... the value of commodities has a purely social reality, and they acquire this reality only in so far as they are expressions or embodiments of one identical social substance, viz., human labour' [*Capital*, I, p. 54, MEGA, II/6, p. 80].

Value is 'something purely social' [ibid., p. 63, 11/6, p. 89].

Value is 'a definite social relation between men, that assumes, in their eyes, the fantastic form of a relation between things' [ibid., p. 77, 11/6, p. 103].

Thus, value represents, just as does abstract labour, a social category. This is an expression in material form of the social relations of production among different private commodity producers. These relations appear to the latter as relations among things, as properties and results of the things themselves (*commodity fetishism*).

Finally, as far as value is an expression of abstract labour, a purely historical category, and as far as it represents due to this an expression of definite, *historical transient* social relations of production, value itself is a *purely historical category* also, being temporary, transient, and inherent only in the commodity society.

Every product of labour is, in all states of society, a use value; but it is only at a *definite historical epoch* in a society's development that such a product becomes a commodity, viz., at the epoch when the labour spent on the production of a useful article becomes expressed as one of the *objective* qualities of that article, i.e., as its value.¹²

'Within the collective society based on common ownership of the means of production, ... the labour employed on the products does not appear here *as the value* of these products, as a material quality possessed by them' [*Critique of the Gotha Programme*, MECW/24, p. 85, MEGA, I/25, p. 13. Emphasis in original].

Engels points out entirely the same thing. He says that the society in which will be introduced a socialised production based on the common ownership of the means of production 'will not assign values to products. ... People will be able to manage everything very simply, without the intervention of much-vaunted 'value' ... The concept of value is the most general and therefore the most comprehensive expression of the economic conditions of commodity production' [*Anti-Dühring: Herr Eugen Dühring's Revolution in Science*, MECW/25, pp. 294–5, MEGA, I/27, p. 496].¹³

Thus, value is a historical and social category. And since value is at the same time also the basis, the kernel of the whole political economic system, polit-

¹² [ibid., p. 67, 11/6, p. 83. Emphasis added].

¹³ From what Engels says here it is clear that in the conditions of the socialist economy there cannot be any question of value.

ical economy is thereby on a historical and social track: it is a historical (i.e., having its object only in a definite historical type of society) and social science, studying not natural-technical phenomena but social relations. In fact, all its basic categories, like money, capital, wage, rent, and so on, are nothing other than determinate historically transient social relations of productions, concealed under a material shell and assuming the form of relations among things.¹⁴

Thus, from the point of view of the understanding of abstract labour which was above described, it turns out to be the basic, decisive category of political economy. It becomes the fundament of the whole system of our science, and its starting point. Such a place and significance of it entirely coincide with the statements of Marx himself in this respect (cf. above).

At the same time, abstract labour and value are closely, or even more, inseparably connected with one another: *one category does not exist without the other*. What is the interrelation between them? Abstract labour is the 'substance creating value', i.e., it 'creates' value [*Capital*, I, p. 44 ff., MEGA, II/6, p. 70 ff.], or determines it. Value represents a *particular form of expression* of abstract labour. The value of a commodity is the reified social (abstract) labour objectified in it, labour in a congealed state, in material form [Cf. *ibid.*, pp. 47, 53, 56, 60, 108 ff., II/6, pp. 72, 73, 78, 84, 86, 132 ff.]

Marx says the same also in other volumes.

For example: 'value, which is nothing but materialised labour' [*Capital*, II, p. 133, MEGA, II/13, p. 205]. 'The latter [value] is merely considered as a definite quantity of materialised social labour' [*Capital*, III², p. 816, II/15, p. 791]. 'Value, materialised labour' [*ibid.*, p. 850, MEGA, II/15I. 823]. 'Value of commodities ... [is] ... determined by the quantity of labour incorporated in the produced commodities' [*ibid.*, p. 867, II/15, p. 839].

In this way, abstract labour creates, or determines value, and the latter represents an expression of the former, objectified (in things). At the same time, both of these categories express determinate, historically transient social relations.

14 Let us point out incidentally that it is evident from here that the attempts of our latest methodologists to dissolve the political-economic into technical categories and confound the former with the latter are, even if they can be justified in certain conditions from a methodical point of view, completely inadmissible from the methodological aspect, and can be in this relation described deservedly as 'an attempt with unsuitable means.' Nothing other than a reckless vulgarisation and distortion of Marxism can be obtained from such attempts.

6 References to Marx

The above description of the understanding of abstract labour as a historical category is not at all commonly recognised in Marxist literature. Moreover, the absolute majority of authors stand on the determination of the opposite position. But, meanwhile, the representation of abstract labour as only a historical social category corresponds, according to our profound conviction, to the spirit and meaning of Marx's theory. But, in view of the disputability and importance of the question, we will try to corroborate this point of view with the letter of Marx, with the literal expressions of Marx himself.

This is all the less difficult to do since in Marx there are many statements in this respect, not leaving any doubts in view of their clarity. We can only be surprised by the myopia of the majority of economists.

We might draw only from Volume I of *Capital* dozens of places which admit solely one understanding and interpretation, namely that abstract labour is a category of the commodity economy. Let us restrict ourselves to only some quotations, as that will be enough.

The fact, that in the particular form of production with which we are dealing, viz., the *production of commodities*, the specific social character of private labour carried on independently, consists in the equality of every kind of that labour, by virtue of its being *human labour*, which character, therefore, assumes in the product the form of value.¹⁵

Clarifying the historically transient character of commodity fetishism, pursuing its roots, Marx considers different types of social formations, among others the 'European middle ages shrouded in darkness', with its economic system based on serfdom.

For the very reason that personal dependence forms the ground-work of society, there is no necessity for labour and its products to assume a fantastic form different from their reality. They take the shape, in the transactions of society, of services in kind and payments in kind. Here the *particular and natural* form of labour (hence, concrete labour – A.V.), and *not, as in a society based on production of commodities, its general abstract form* is the immediate social form of labour.¹⁶

¹⁵ [*Capital*, I, p. 79, MEGA, II/6, p. 105].

¹⁶ [*ibid.*, pp. 81–2, II/6, pp. 107–8]. 'Human labour in general' is for Marx in Vol. I a synonym of abstract labour [cf. *ibid.*, pp. 52, 65, II/6, pp. 77, 92].

In consequence, in the natural system of economy, in an organised society, labour appears in its private forms, as one or another *definite labour*, i.e., as concrete labour.

It does not appear here in the form of abstract labour ('human labour in general'), which exists only in the *commodity* economy.

But, although compulsory labour (in a natural system of economy) does not appear in the form of abstract labour, but remains simply concrete, *however, 'compulsory labour is just as properly measured by time, as commodity-producing labour'* (ibid. [Emphasis added]).¹⁷

Exactly in the same way also in the communal form of production, of which we find 'one close at hand in the patriarchal industries of a peasant family', labour does not take on the form of abstract labour but appears in its concrete *shell*.

Marx makes this clear in the following way:

The commune-family

produces corn, cattle, yarn, linen, and clothing for home use. These different articles are, as regards the family, so many products of its labour, but as between themselves, they are not commodities. The different kinds of labour, such as tillage, cattle tending, spinning, weaving and making clothes, which result in the various products, are in themselves, and such as they are, direct social functions, because functions of the family, which, just as much as a society based on the production of commodities, possesses a spontaneously developed system of division of labour. The distribution of the work within the family, and the regulation of the labour time of the several members, depend as well upon differences of age and sex as upon natural conditions varying with the seasons. The labour power of each individual, by its very nature, operates in this case merely as a definite portion of the whole labour power of the family, and therefore, *the measure of the expenditure of individual labour power by its duration, appears here by its very nature as a social character of their labour*.¹⁸

It is entirely clear that the labour of individual members of the family appears in its concrete-individual form, but not as abstract labour. Why? Indeed, be-

17 Therefore, concrete labour can be considered also from the quantitative aspect, but this does not yet make it abstract.

18 [ibid., p. 82, 11/6, p. 108. Emphasis added].

cause the social (in this case communal) significance of individual labour power manifests itself here directly: 'different kinds of labour represents in their *natural* form the social functions', since each of the participants in the family economy performs a definite useful labour, while the social significance of private individual labour in the society of autonomous commodity producers can manifest itself, as we have seen above, only through exchange, through the act of exchange, and due to this private concrete labour appears in the shell or in the form of abstract labour.

Moving to the analysis of the character of labour in the society appearing as 'a community of free individuals, carrying on their work with the means of production in common, in which the labour power of all the different individuals is *consciously* applied as the *combined* labour power' [ibid., pp. 82–3, 11/6, p. 109. Emphasis added], i.e., in a socialist society, Marx shows once again that the labour of individual participants in production manifests its social significance in its concrete rather than abstract form, and this is just because the real functions are *consciously* attached to a given person.

Therefore, in every non-commodity society labour remains and appears only as concrete labour. But, as is altogether clear already from the above quotations, concrete labour can, according to Marx, also be measured and is measured from its quantitative aspect, measured by the duration of time in the course of which it is expended. But this still does not make it abstract labour. From here follows the incorrectness of two widespread opinions: 1) concrete labour would have *only* qualitative aspect – no, it has also quantitative (*but not only* quantitative) aspect; 2) abstract labour would be all labour considered from quantitative aspect – no, while any concrete labour can be considered also from its quantitative aspect, this does not yet make it abstract labour.¹⁹

Marx repeatedly clarifies earlier, in *Critique*, the same point, i.e., the historical character of the category of abstract labour.

Thus, for example, he considers the character of labour within agricultural patriarchal production in the economy of the Middle Ages (*corvée* and duties in kind), within communal production, and, finally, within commodity production [Cf. *Critique*, pp. 274–5, MEGA, 11/2, pp. 112–13].

It is now clear that *only* in exchange society does the labour of private individualised person become social in 'assuming the form of its direct opposite, of abstract universal labour' [ibid., p. 275, 11/2, p. 113].

19 On the problem of the historical character of abstract labour, [cf. *Capital*, I, pp. 49–71, MEGA, 11/6, pp. 75–99].

As useful activity directed to the appropriation of natural factors in one form or another, labour is a *natural condition* of human existence, a condition of material interchange between man and nature, *quite independent* of the form of *society*. *On the other hand*, the labour which posits exchange value (in *Critique* Marx did not yet distinguish the content of value, i.e., 'value' from the form of manifestation of value, i.e., 'exchange value' – A.V.) is a *specific social* form of labour. For example, tailoring if one considers its physical aspect as a distinct productive activity, produces a coat, but not the exchange value of the coat. The exchange value is produced by it not as tailoring as such but as *abstract universal labour*, and this *belongs to a social framework* not devised by the tailor.²⁰

In another place he points out:

'Labour which creates exchange value is a specifically bourgeois feature' [ibid., p. 298, MEGA, II/2, p. 136].

Finally, one more passage: in the epoch of feudalism 'national production ... served as the immediate source of subsistence for the producers themselves. Most products did not become commodities; they were accordingly neither converted into money nor entered at all into the general process of the social exchange of matter; hence they *did not appear* as objectifications of *universal abstract labour* and did not indeed constitute bourgeois wealth' [ibid., p. 389, MEGA, II/2, p. 218. Emphasis added]. Owing to its clarity this passage does not leave any need for further comments.

If we still remember the passage from the 'Introduction' quoted earlier, we can say without any doubt that the interpretation of abstract labour as a historical category does not only correspond to the *spirit* of Marxism, which considers all the fundamental political-economic categories precisely as historical and social, but also is fully supported by its *letter*.

7 The Understanding of Abstract Labour in the Physiological Sense

What should our position be with regard to the physiological interpretation of abstract labour, after all our observations above? Is it still necessary and possible to give to abstract labour a physiological interpretation?

In our opinion, it is both necessary and possible.

²⁰ [Critique, p. 278, MEGA, II/2, p. 115. Emphasis added].

Above all it is *necessary* to maintain the physiological understanding of abstract labour for the following fundamental considerations:

First, already from the method itself of revealing the category of abstract labour it is clear that we have not any grounds for discarding the physiological aspect of abstract labour. In fact, how can we arrive at the elucidation of this category? As we have already seen above (cf. § 4), this can take place by means of drawing away from the concrete kinds of labour whatever *qualitative* elements connected with personality, profession, or specialty, and so on. In a word, an abstraction occurs from every kind of form in which labour is expended, but not from labour as impersonal, undifferentiated social substance. The latter remains, i.e., abstraction from the physiological aspect of abstract labour does not take place, and its rejection is completely unjustifiable.

Secondly, it is well-known that we can find in Marx's texts a sharp emphasis on the physiological character of labour forming value, as 'all labour is, speaking physiologically, an expenditure of human labour power' [*Capital*, I, pp. 53, 76, MEGA, II/6, pp. 79, 102].

Consequently, if we rejected such an understanding, we would run a risk of falling into contradiction with the letter of Marxism. But this would still not be the most serious problem. Far more important is the third consideration.

Value, regulating prices, can and must be considered from the side of its substance, essence and from the quantitative side. Abstract labour constitutes the substance of value, and value is measured by the socially-necessary labour time.

But if we understand abstract labour and thereby value exclusively as a social relation of production, not connected in its existence with a material-natural form, i.e., if we refuse the interpretation of abstract labour *also* in the physiological sense, how can we in such a case speak about the *magnitude* of value, about its quantitative aspect? Indeed, the social relation of production is not measured in seconds, minutes, hours, and so on. They cannot be the basis of the quantitative interrelations of the commodities to be exchanged.

In other words, in such a state of things we will have no reasons for speaking about value from quantitative aspect, and therefore also no reasons for expressing in numerical terms the transition of values to prices of production and so on, and, at the same time, the law of labour value cannot be the regulator of the spontaneous anarchical economy. In a word, the whole theory of value fails, coming out to be an empty fabrication, a fiction.

Rubin, rejecting every kind of allusion to the physiological understanding of abstract labour, believes that he avoids this difficulty when he says that 'the concept of abstract labour must be developed precisely in relation with the qualitative aspect of value (in the sense of the sociological aspect of it – A.V.).

Then the *magnitude* of value finds its expression in the concept of *socially-necessary labour*' (*Essays*, p. 95 [quotation from the first edition taken from the last paragraph of Chapter 10. 'Abstract Labour', modified in the second edition and eliminated in the third edition. Cf. p. 227, editor's note [389] in the present translation. Emphasis added. The first sentence in the quotation runs in the second edition as follows: 'The concept of abstract labour is related to the qualitative aspect of value']]).

But this is an impeccable misunderstanding. Socially-necessary labour (or more exactly, socially-necessary labour time) represents only the *measure* of value. But, obviously, the substance of the measured thing, in this case value, is given before and beside the measure (by means of the measure of length we cannot measure that which has no length). What is this substance? We have said that in the form of value labour is deprived of every qualitative particularity, it is detached from its concrete forms and becomes impersonal and undistinguished, unspecified labour. Such is abstract labour.

In other words, socially-necessary labour time, being the *measure* of the magnitude of value, cannot have concrete labour for the object of its measurement, as much because concrete labour does not leave any substance of value as because it is individual, private, and qualitatively different labour.

'A use value, or useful article, therefore, has value only because *abstract* human labour has been embodied or materialised in it. How, then, is the *magnitude* of this value to be measured? Plainly, by the quantity of the value-creating substance, the labour, contained in the article' [*Capital*, I, p. 46, MEGA, II/6, p. 72. Emphasis added].

But this *substance* is, as just said above, *abstract* labour.

'Labour, thus measured by time, does not seem, indeed, to be the labour of different persons, but on the contrary the different working individuals seem to be *mere organs* of this labour. In other words, the labour embodied in exchange values could be called *human labour in general*' [*Critique*, p. 272, MEGA, II/2, p. 110. Emphasis a little different from the original], i.e., abstract labour.

From these words of Marx's we can conclude with absolute certainty that abstract labour, in the form of value, undergoes change (of course, in the spontaneous process of market relations) and, in this way, *must* be considered also from the *quantitative aspect*. Hence it follows in turn that abstract labour *cannot* be considered only from the social aspect, i.e., only as the expression of a definite type of relations of production. Since the latter, taken in themselves, cannot be quantitatively measured, it must be at the same time also the expression of a specific physiological substance. In this way, contrary to Rubin, it becomes clear that the determination of the magnitude of value by means of the sole concept of socially-necessary labour, without connection with abstract

labour, is *absolutely impossible*: the magnitude of value does not find its expression in the concept of socially-necessary labour.

However, what does abstract labour in the physiological sense represent? In this case abstract labour is usually determined as the expenditure of brains, muscles, nerval energy, and so on. But such a definition is inexact, unclear, and in a certain sense false. Indeed, abstract labour is impersonal, not individual but *social labour*. Consequently, it represents the spending of *social* energy, of the energy of society. The society as a whole – subjectless, unitary commodity society – expends its energy on producing a unit of a certain commodity. Therefore, ‘brains, muscles, nerves, and so on’ acquire here a somewhat different character: this is simply a spending of social energy, measured by the duration of time in the course of which this expenditure takes place. In other words, abstract labour is a social substance, *social matter*. Precisely in this way did Marx understand this, and he also constantly expressed his idea thus.

Let us give some examples:

Abstract human labour is accumulated in commodities. ‘When looked at as crystals of this *social substance*, common to them all, they are – values’ [*Capital*, I, p. 46, MEGA, II/6, p. 72. Emphasis added].

‘They [commodities] acquire this reality [value] only in so far as they are expressions or embodiments of one identical *social substance*, viz., human labour’ [ibid., p. 54, II/6, p. 80. Emphasis added]. ‘Value as such has no ‘substance’ other than actual labour’ (Marx’s letter to Engels of 2 April 1858 [MECW/40, p. 298, MEGA, III/9, p. 122]).

‘When they assume this money-shape, commodities strip off every trace of their natural use value, and of the particular kind of labour to which they owe their creation, in order to transform themselves into *the uniform, socially recognised incarnation [social matter] of homogeneous human labour*’ [*Capital*, I, p. 111, II/6, p. 134. Emphasis added. The words between square brackets are Voznesensky’s paraphrase].

Thus, abstract labour is a ‘uniform, social matter of homogeneous human labour’. This is far from being one and the same as the vulgarly understood ‘muscles, brains, nerves’, and so on.

But isn’t it a flagrant contradiction with the understanding of abstract labour *in the physiological sense* to present it as a social category *in the interpretation shown just above*?

Rubin reasons precisely in this way in his *Essays on Marx’s Theory of Value*. He raises the problem in the following way: either abstract labour is a historical and social category, and therefore it cannot represent expenditure of human energy in the physiological sense; or it is a physiological category, but then it cannot be social and historical.

Such an alternative seems to us altogether not obligatory. Moreover, it is absolutely wrong.

All the basic political-economic categories, being in their essence expressions of definite social relations of production, are at the same time in a material or material-natural form or manifest themselves in such a form. In other words, these social relations of production wear a material or material-natural mask, and they cannot manifest themselves otherwise.

For example, money appears above all as a thing. But it turns out that it is a particular, specific *social thing*, in and through which definite social relations are expressed.

Consequently, from the fact that money appears at first sight in the form of a thing, it does not follow that it ceases to be a social and historical category.

The same can be said for capital. It too appears at first sight as things (money, means of production, commodities, and so on).

But in fact, it is a social relation of production between the classes of capitalists and of wage labourers, a relation, which manifests itself in things and gives the latter the character of particular 'social' things. But, due to this fusion of social content with *material* shell, capital does not become a transhistorical category.

We have altogether the same thing in respect to wages, rent, interest, and other economic categories. All of them have the form of entity. This is a general law of political economy.

This is exactly the same for abstract labour, which, appearing as impersonal social matter, is at the same time an expression of social relations of production among independent autonomous commodity producers in this *specific and social form* of it. These are two aspects of one and the same phenomenon, and *both of these aspects are indissociably connected with one another*. Here is no contradiction, as there is no contradiction in that value is a social category and at the same time the determination of the *exchange proportions* of the prices of commodities. Value is the expression of social relations of production among independent commodity producers, taking place in the form of the equalisation of the products of their labour.

Let us notice, among other things, that, even if we considered abstract labour *only from its physiological aspect* (which is already wrong in itself) *in the above meaning*, abstract labour turns out also in this case to be a purely historical category: as we have already seen from the words of Marx himself, in any social formation, except for commodity society, the spontaneous abstraction of its qualitative individual particularities from individual kinds of labour does not occur. In other words, labour appears nowhere except in commodity society in the form of a 'uniform, social matter of homogeneous human labour'.

Thus, we think that it is *both necessary and admissible* to consider abstract labour *also* in the physiological meaning, if not thereby overlooking the specific 'physiological character'.

8 Abstract Labour and Money

From what we have said above we have been convinced that abstract labour, determining the character of value, and thereby of political economy as a whole, appears as the basic and starting category of our science. In this one point its greatest significance is already evident. However, the role of abstract labour does not end with this.

As is well-known, political economy prior to Marx remained in difficulty because of the riddle of money, 'blinding the gaze with metallic shine'. On this problem bourgeois political economy was somewhat hopelessly confused. It is well characterised by the joking remark of Gladstone, quoted by Marx, that 'even love has not turned more men into fools than has meditation upon the nature of money' [*Critique*, p. 303, MEGA, II/2, p. 139].

And only Marx could solve the riddle of the money fetish with his analysis of the forms of value. On this point he said himself in the following way:

a task is set us, the performance of which has never yet even been attempted by bourgeois economy, the task of tracing the genesis of this money form, of developing the expression of value implied in the value relation of commodities, from its simplest, almost imperceptible outline, to the dazzling money-form. By doing this *we shall, at the same time, solve the riddle presented by money.*²¹

The role of money in the commodity economy is so extremely great, that Marx, being the only single discoverer of the essence of money in the history of political economy, appeared as one of the most important creators of our science.

Anyone, who is somewhat familiar with the analysis of the forms of value given by Marx in the first chapter of Volume I of *Capital*, knows that without the category of abstract labour not only could this analysis not have been given, but also even the question about it would never have been correctly raised.

21 [*Capital*, I, p. 54, MEGA, II/6, p. 81. Emphasis added].

The analysis of the forms of value, as was already said, helped Marx to discover the essence of money and thereby to accomplish a genius discovery.

It became clear that *money is a commodity, but a commodity playing the role of universal equivalent, i.e., the role of a visible tool of commensuration of the values of all the commodities.*

But what makes all the commodities commensurable? The labour expended on their reproduction. What kind of labour? It is not concrete labour, since different concrete kinds of labour, as applied in different processes of labour or different branches of production, have *qualitative* differences, and hence cannot serve as equivalents since the equivalence is a purely *quantitative* moment. 'It is impossible to tell from the money itself ... what article has been changed into it' [*ibid.*, p. 111, 11/6, p. 134]. Therefore, it is impossible to tell what labour was embodied in it. 'Under their money-form all commodities look alike' [*ibid.*]. Consequently, also, different kinds of labour are similar to each other, i.e., transform themselves into homogeneous, impersonal, undifferentiated human, i.e., abstract labour.

In this way, what makes all commodities commensurable is abstract labour. In other words, precisely this labour is the real, actual universal equivalent.

Consequently, *money is only a visible, material substitute or expresser of abstract labour, its personification in material form.*

Marx writes that money is 'an adequate form of manifestation of value, a fit embodiment of abstract, undifferentiated, and therefore equal human labour' [*Capital*, I, p. 93, MEGA, 11/6, p. 118]. In another place: The natural form of money 'is also the immediate social incarnation of human labour *in the abstract*' [*ibid.*, p. 141, 11/6, p. 162. Emphasis added]. From here it is entirely understandable that money discards only on the world market every local difference, that 'its real mode of existence in this sphere adequately corresponds to its ideal concept' [*ibid.*]. In other words, money becomes wholly similar to abstract labour, a sign, which appears, like the latter, exclusively from the quantitative aspect, deprived of every qualitative feature, and so it expresses here an indiscriminate social magnitude, abstract labour in its specifically historical form.

Marx expresses with analogous formulations the essence of money also in other places [in *Critique* and Vol. 111 of *Capital*].

Rosa Luxemburg characterised Marx's discovery in the following way:

Marx's abstraction is not an invention. It is a discovery. It does not exist in Marx's head but in the market economy. It has not an imaginary existence, but a real social existence, so real that it can be cut, hammered, weighed, and put in the form of the money. The abstract human labour discovered

by Marx is, in its developed form, none other than money. That is precisely one of the greatest of Marx's discoveries, while to all bourgeois political economists, from the first of the mercantilists to the last of the classicists, the essence of money has remained a mystic enigma.²²

In another passage she observes as follows:

It was left to Marx to recognise that a given value covers a definite social relationship which develops under definite historical conditions. Thus, he came to discriminate between the two aspects of commodity-producing labour: concrete individual labour and socially necessary labour. When this distinction is made, the solution of the money problem becomes clear also, as though a spotlight had been turned on it.²³

In this way, *in the form of money abstract labour appears as the universal and predominant category of commodity society.*

But what is indeed abstract labour? We have already said that this is a social category, in which is expressed a definite form of the relation of production among people, a definite type of social relations of production, namely: among independent autonomous commodity producers. But once money becomes the personification of abstract labour, it represents also a social and at the same time historical category.

'In money, the social relationships among human beings have been reduced to a thing' [Hilferding, *Finance Capital: A Study of the Latest Phase of Capitalist Development*, Routledge, London, 2006, p. 34, *Das Finanzkapital: eine Studie über die jüngste Entwicklung des Kapitalismus*, Dietz Verlag, Berlin, 1955, p. 20].

Money is the material expression of social relations.

'[T]he money-form of an object is not an inseparable part of that object, but is simply the form under which certain social relations manifest themselves' [*Capital*, I, p. 94, MEGA, II/6, p. 119]).

From the understanding of the essence of money, developed above, as the form of manifestation or expression of abstract labour and thereby of def-

22 Rosa Luxemburg, *Reform or Revolution*, Petrograd edition, 1919, p. 64 [Rosa Luxemburg, *Reform or Revolution*, Militant Publications, London, 1986, from Chapter VI 'Economic Development and Socialism'; Luxemburg, *Sozialreform oder Revolution?*, Leipziger Volkszeitung, G. Heinisch, 1899]).

23 Rosa Luxemburg, *The Accumulation of Capital*, State Publishing House, 1923, p. 32 [Rosa Luxemburg, *The Accumulation of Capital*, translated by Agnes Schwarzschild with an introduction by Joan Robinson, Routledge and K. Paul, London, 1951, pp. 68–9; *Die Akkumulation des Kapitals*, Verlag Neue Kritik, Frankfurt, 1923, pp. 33–4].

inite social relations, directly follows the confirmation of the point of view according to which abstract labour must be considered from a specifically physiological aspect, and at the same time this refutes radically the view of Rubin.

Indeed, once it is admitted that it is solely abstract labour that renders commodities commensurable, it will be completely clear that it can fulfil this function only when it has also a *quantitative aspect*. But if we considered abstract labour only as a relation of production, not coming to light through the transformation of labour into an indiscriminate social matter, abstract labour would not be able to play the role of universal equivalent, since the relations of production cannot be measured, in any case cannot serve as an equivalent, and in consequence, the commodities lose their sole measurer, they cease to be commensurable.

In this way, the theory of money confirms once again the idea we have developed earlier, that abstract labour must be and can be commensurable.

It is not money that renders commodities commensurable. Just the contrary. It is because all commodities, as values, are realised *human labour* [*social human labour* – in Voznesensky's quotation] (we already know that this is abstract labour – A.V.), and are *therefore commensurable*, that their values can be measured by one and the same special commodity, and the latter be converted into the common measure of their values, i.e., into money.²⁴

In other words, it is not because money exists that commodities are commensurable, but it is because commodities are already commensurable that money is possible, since in them is included a *general, homogeneous substance, i.e., indiscriminate human labour* (abstract labour).

At the same time fails the attempt of Rubin to rely, when considering the quantitative aspect of value, solely on the category of socially-necessary labour. Money, this universal equivalent, the universal determinant of exchange proportions, is the expression precisely of abstract but not of socially-necessary labour.

Abstract labour is the *substance* of value, socially-necessary labour time is the *measure* of this substance, the measurer of its magnitude.

24 [ibid., p. 97, 11/6, p. 121. Emphasis added].

9 Abstract Labour and Commodity Fetishism

As is well known, in Marx's system the theory of commodity fetishism plays an immense role. This theory of Marx's is a most ingenious discovery, almost unanimously recognised even by his opponents.

The theory of commodity fetishism 'discloses the illusion of the human mind, a grandiose delusion' (Rubin, *Essays*, p. 4 [p. 28 in the present translation]), occasioned by the fact that in commodity society the dominance of things over man and the reification of relations among people are established, i.e., to use Marx's expression, 'the personification of objects and the reification of persons' arise [*Capital*, I, p. 115, MEGA, II/6, p. 138]. And, due to this, the human consciousness falls into the greatest illusion, ascribing to things the properties which are in reality the result of certain social relations of production.

This sociological conception of Marx's has an enormous methodological significance, *dividing the field of investigation of political economy from the other sciences and establishing thereby the object of our science*.

And it turns out here that this theory of commodity fetishism arises from the same theory of the twofold character of labour included in the commodity. The basis of the commensurability of the value of commodities, the abstract labour included in them, is an irrational category, in the sense of 'spontaneity'.

It operates and manifests itself spontaneously. People cannot clearly notice it. To calculate it by means of some accounting procedure is also impossible. In a word, the true background of the interrelation among commodities remains utterly concealed to human eyes, because of which also the illusion is created about which we have just spoken.

Such an understanding of the connection of the theory of commodity fetishism with the problem of abstract labour wholly corresponds with the statement of Marx: 'This fetishism of commodities has its origin, as the foregoing analysis has already shown, in the peculiar social character of the labour that produces them' [*Capital*, I, p. 77, MEGA, II/6, p. 103] – in the equality of private labours in their abstract form.

Thus, the methodology of political economy too turns out to be in close connection with the same problem of abstract labour. This emphasises once again that the category of abstract labour, so groundlessly forgotten by the economists and left entirely neglected, must be finally given sufficient attention. If, according to the expression of Bukharin, 'we highlight the theoretical frame, i.e., a definite sum of theoretical-abstract propositions' ... and 'it serves as our theoretical support' which we have to improve and refine more and more, it is

necessary to understand with regard to political economy that in this frame the category of abstract labour occupies the fundamental starting position.

For a correct solution of the problem of abstract labour, the whole system of political economy must be put on the right track.

I. Dashkovsky: 'Abstract Labour and the Economic Categories of Marx'*,¹

Under the Banner of Marxism, 1926, no. 6, pp. 196–219

/196/The detailed elaboration of Marxist economic theory which has already been carried out in the Soviet Union for some years brought about fruitful results in many respects: a greater lucidity of concepts, more exact formulation of laws, and statement of a series of new problems not mentioned in the pre-revolutionary literature. But there is no good without bad. It sometimes happens that new attempts to 'deepen' the theory lead to a 'division of an empty abstraction into four empty quarters'. In our view, we must count among them the attempt of I. Rubin to 'make sociological' the concept of abstract labour, which A. Voznesensky has recently repeated in slightly diluting Rubin's formulation with an eclectic soup (cf. his article in the journal *Under the Banner of Marxism*, 1925, no. 12 [pp. 119–42, cf. pp. 603–631 in the present translation]). It is all the more necessary to submit to critical examinations the newly appeared theory because I. Rubin's *Essays on Marx's Theory of Value* is enjoying an entirely worthy reputation as one of the best works of Marxism, and this induces many to take at its face value the interpretation of abstract labour advanced there and the conclusions from it, although they deviate definitely from the formulations and views of Marx. In the present note I intend to show, by means of the minimum necessary of references to the literature, the disagreement of Rubin's theory not only with the letter but also with the spirit of Marx's analysis of the bourgeois economy, reserving for myself the right to return, if necessary, to this theme more completely 'armed'.

Marx's fundamental definition concerning the twofold character of labour runs:

* И. Дашковский. «Абстрактный труд и экономические категории Маркса» *Под знаменем Марксизма*, 1926, 6, стр. 196–219. In the following, the numbers between slash marks indicate the beginnings of the corresponding pages in Dashkovsky's original article, often referred to by Rubin in '1. Reply to I. Dashkovsky' in his 'Reply to Critics' (pp. 352–70 in the present translation with the original page numbers between slashes.).

1 Discussion paper, *Editorial Board*.

All labour is, speaking physiologically, an expenditure of human labour power, and in its character of identical abstract human labour, it creates and forms the value of commodities. On the other hand, all labour is the expenditure of human labour power in a special form and with a definite aim, and in this, its character of concrete useful labour, it produces use values.²

New commentators consider it necessary to modify or complement this definition of Marx's on the grounds that it contains in its present form only 'the physiological definition of abstract //197/labour, suitable for every form of economy'.³ They start with the assumption that all categories of Marxist political economy, including also the category of abstract labour, must be, firstly, *social*, and secondly, *historical* concepts. Let us tackle the problem first of all from the 'historical' point of view.

Marx's fundamental economic categories bear a historical character, this is true. But what is not true is the assertion that Marx carries on his investigation *exclusively* with such categories. Moreover, the epithet 'historical' has for Marx different meanings, although this difference is very often ignored even by very careful researchers. To make clear this point we refer to Marx's 'Introduction to the Critique of Political Economy', and draw from there formulations which, at first glance, might even seem to give support to the point of view we are contesting. At the end of the first chapter 'On Production', Marx writes: 'To recapitulate: there are determinations which are common to all stages of production and are fixed by reasoning as general; the so-called general conditions of all production, however, are nothing but these abstract moments, which do not define any of the actual historical stages of production'.⁴ In a passage a little earlier, Marx points out that 'the determinations which apply to production in general must rather be set apart in order not to allow the unity which stems

2 [Capital, I, p. 53, MEGA, II/6, pp. 79–80].

3 Voznesensky asks why, if the definition of abstract labour consists only in this point, did both Marx and Engels assign this category such a great importance? What labour produces is, on the one hand, useful things, and on the other, expenditure of human energy, can we consider such a truism as a scientific discovery? We answer this embarrassing question with another question. All production presupposes, on the one hand, means of production, and on the other, labour power. This is also a truism. From here does it follow that Marx's theory of the organic composition of capital is worthless? The essential thing is what Marx made of these 'truisms,' which were well known already from antediluvian times but in spite of this were left out of sight of the most clear-sighted theorists of the classical school.

4 [MECW/28, p. 26, MEGA, II/1.1, pp. 25–6].

from the very fact that the subject, mankind, and the object, nature, are the same – to obscure the essential difference' [ibid., p. 23, II/1.1, p. 23].

Thus, for the understanding of the forms, the particularities of each economic period, the general definitions do not suit precisely because they relate uniformly to every epoch. But does this mean that they are generally unnecessary for us? What does it mean to understand the particularities of some phenomenon? This means to show in what particular forms, in what concrete combinations are realised the general laws inherent to a given sort of phenomena. For example, if you strip 'both wages and surplus-value, both necessary and surplus labour, of their specifically capitalist character', 'there remain not these forms, but merely their rudiments, which are common to all social modes of production.'⁵ The reduction of particular forms to their common foundations in theoretical form is also a task of every science, for which there would remain no room if 'the form of manifestation of things coincided with their essence'./

/198/ Historical epochs are not isolated from one another with a Great Wall of China completely separating them in principle. There is a common basis across them, i.e., the production and reproduction of material life. Marx sneered at the neglect of this common basis, for example, in one of his letters to Kugelmann.

The chatter about the need to prove the concept of value arises only from complete ignorance both of the subject under discussion and of the method of science. Every child knows that any nation that stopped working, not for a year, but let us say, just for a few weeks, would perish. And every child knows, too, that the amounts of products corresponding to the differing amounts of needs demand differing and quantitatively determined amounts of society's aggregate labour. It is SELF-EVIDENT that this *necessity* of the *distribution* of social labour in specific proportions is certainly not abolished by the *specific form* of social production; it can only change *its form of manifestation*. Natural laws cannot be abolished at all. The only thing that can change, under historically differing conditions, is the form in which those laws assert themselves. And the *form* in which this proportional distribution of labour asserts itself in a state of society in which the interconnection of social labour expresses itself as the *private exchange* of the individual products of labour, is precisely the *exchange value* of these products.⁶

⁵ [Capital, III², p. 876, MEGA, II/15, p. 848].

⁶ [MECW/43, p. 68, MEW/32, pp. 552–3. Emphasis in original but not reproduced in Dashkovsky's quotation].

Political economy is a science of specific social forms in which is realised the 'material exchange between man and nature'. The knowledge of the foundations of every economic entity, common to all epochs in human history is necessary for understanding these forms. The categories and laws, which relate to them will assume a 'transhistorical' character, but, in spite of this, they are a compulsory introduction to the investigation of historical economic forms, for example, of the capitalist economy. These will be, so to say, universal sociological determinations, forming the fundament of economic investigation and not belonging to the system of political economy in the narrow sense of the word. To such general determinations belongs, for example, the theory of the productive forces. That chapter of Marx's 'Introduction', which investigates the general interrelations of production, distribution, exchange, and consumption can serve as an example of such a 'transhistorical' analysis. To the same type belongs the chapter of Volume I of *Capital* describing the labour process. Marx moves very often to this 'material-technical' point of view for the sake of a more visual description of the particularities of the capitalist form of economy. This applies to the pages devoted to the conditions of the reproduction of fixed capital or to the investigation of the causes bringing about different durations of the turnover of capital. Marx points out, for example, that also in the socialist form of economy the difference in duration of turnover, or period of production, will have a great importance for all social systems.

Under social as well as //199/capitalist production, the labourers in branches of business with shorter working periods will as before withdraw products only for a short time without giving any products in return; while branches of business with long working periods continually withdraw products for a longer time before they return anything. The circumstance, then, arises from the material conditions of the particular labour process, not from its social form.⁷

Generally speaking, *Capital* and *Theories of Surplus Value* are sprinkled with many rich ideas relating, so to say, to the domain of the 'transhistorical economy', to that domain which constitutes the preferred object of investigations of bourgeois economists, unable to go farther than empty banalities. Precisely the bourgeois economy, discredited in the eyes of Marxists, is most necessary component of economic theory, concentrating all attention on the investigation of general laws to try to wipe out every delicate difference among vari-

7 [Capital, II, p. 362, MEGA, II/13, p. 332].

ous social forms of economy. In so doing it transferred, consciously or unconsciously, the categories and laws of the bourgeois economy to all the epochs. Marxist theory has placed the science in a correct framework in making of the *form of economic relations* the centre of research. But in the Marxist literature after Marx the situation went almost always to the converse absurdity, to the complete neglect of general laws of economic life, hidden behind these or those 'forms of manifestation'.

It may seem that our reasoning is along the lines of Bogdanov's theory, according to which the task of economic investigation begins only when we succeed, by means of abstract analysis, in surmounting the external shell of phenomena, liberating them from their particularities, and 'manifesting' the general economic basis hidden behind them (cf. Bogdanov's foreword to the second edition of his *General Theory of Capitalist Economy*, the fourth book of Bogdanov and Stepanov's *Course*, and also the discussion on the object of political economy in issues of *Вестник Коммунистической Академии* [*Bulletin of the Communist Academy*]). But this is only an apparent resemblance. We think that economic theory in the proper sense of the word begins precisely when the researcher moves from general laws to the analysis of 'forms', and not the other way around. Bogdanov's point of view is that of the bourgeois economy, making of 'eternal laws' the centre of science. However, we consider it erroneous, on the other hand, to attempt to confine economic science exclusively to the domain of forms and even to one specific form of the commodity-capitalist economy. How can we reduce the 'forms of manifestation' of things to their bases, if these bases are unknown?⁸

/200/Now let us turn to the historical categories in the proper sense of the word. Have we here an actually homogeneous set of concepts? Is it possible to consider, for example, the categories 'profit', 'capital', 'rent', 'wage labour', 'commodity', and so on as similar to the concepts of 'abstract labour' and 'labour power'?

8 We can find interesting arguments on this point in one of Engels's letters. He writes: 'By economic relations, considered by us to be the determinant upon which the history of society is based, we understand the manner in which men of a certain society produce the necessities of life, and exchange those products among themselves (in so far as division of labour exists). Thus they comprise the *entire technology* of production and transport. ... Economic relations further comprise the *geographical basis* on which these are enacted' and so on [Engels's letter to W. Borgius of 25 January 1894, MECW/50, pp. 264–5, MEW/39, p. 205, emphasis in original. This letter was for the first time published in *Der sozialistische Akademiker*, no. 20, 1895 by Starkenburg without giving the name of Borgius as its true addressee. For this reason, it was mistaken for a time for the letter to Starkenburg himself. But later it turned out to be Engels's response to Borgius's letter from 19 January 1894. Cf. MEW/39, editor's note 245].

In this respect also we can find sufficiently clear and exhaustive arguments in 'Introduction'. Each concrete economic epoch includes within it 'a multitude of determinations', playing in relation to it the role of 'simplest abstractions' or 'categories'. These categories must be found by means of abstract analysis, dividing the real entity into its elements. When the categories are found, we begin the inverse course of the restoration in thinking of that concrete real entity from which they have been obtained at first.⁹ Considered in this connection, these abstract determinations have their whole importance only in that concrete circumstance which represents the starting point of analysis, and should be arranged in that order corresponding to their position in the real phenomenon. But there can be such cases in which some of these categories do not develop in that historical order corresponding to their place in the abstract theory. They may precede, for example, that historical epoch in which they attain their fullest development. This is for example the case of money, which acquires its overall significance only in the conditions of capitalism, while arising historically far before the capitalist epoch. On the contrary, there exist other categories which obtain their determination exclusively in the framework of a determinate social formation, as, for example, surplus value, capital, employed labour, wages, and so on.

Bourgeois society is the most developed and many-faceted historical organisation of production. The categories which express its relations, an understanding of its structure, therefore, provide, at the same time, an insight into the structure and the relations of production of all previous forms of society the ruins and components of which were used in the creation of bourgeois society. Some of these remains are still dragged along within bourgeois society unassimilated, while elements which previously were barely indicated have developed and attained their full significance, etc. The anatomy of man is a key to the anatomy of the ape. On the other hand, indications of higher forms in the lower species of animals can only be understood when the higher forms themselves are already known. Bourgeois economy thus provides a key to that of //201/antiquity, etc. But by no means in the manner of those economists who obliterate all his-

9 The classical school of political economy carried out fundamentally the first part of the theoretical operation, extracting simple concepts from the concrete real entity. Marx could hence begin his analysis immediately from that point up to which his predecessors had brought the theory, from the simplest determinations of the 'commodity', 'labour', etc. From this, some of the contemporary Marxists draw the conclusion that in the scientific investigation there exists generally no need to start from the concrete real entity.

torical differences and see in all forms of society the bourgeois forms ... Since bourgeois society is, moreover, only a contradictory form of development, it contains relations of earlier forms of society often only in very stunted shape or as mere travesties, e.g., communal property. Thus, if it is true that the categories of bourgeois economy are valid for all other forms of society, this has to be taken *cum grano salis*, for they may contain them in a developed, stunted, caricatured, etc., form, always with substantial differences.¹⁰

In this way, just in counting the fundamental categories of political economy studying the commodity economy among the class of historical ones, the problem of the character, the features of each of them is not yet settled. A further investigation is required. It is yet to be ascertained whether a given category is a newly formed one, exclusively inherent to a given social system, a deformed remnant of previous epochs, or a further development of the elements originating from a preceding period. It can then happen that the historical meaning of a given category will consist only in that the corresponding economic content, having a general character for various or even for all epochs, would *manifest itself* to its full extent only in a given circumstance. We will see below that the concept of abstract labour, which Marx analyses in detail in this connection, relates precisely to this last group. In describing the object of political economy Marx writes as follows:

The arrangement has evidently to be made as follows: (1) The general abstract determinations, which therefore appertain more or less to all forms of society, but in the sense set forth above. (2) The categories which constitute the internal structure of bourgeois society and on which the principal classes are based.¹¹

And so goes further the enumeration of the elements of bourgeois society in the proper sense of the word.

These general abstract determinations are, on the one hand, *transhistorical*, since they relate to all epochs, but, on the other, *historical*, since only in a determinate historical stage do they acquire their full development, manifest themselves in a *developed form*. Marx relates the category of abstract labour precisely to this group. Abstract labour is not a category forming the internal

10 [Marx, 'Introduction', MECW/28, p. 42, MEGA, II/1.1, p. 40].

11 [*ibid.*, MECW/28, p. 45, MEGA, II/1.1, p. 43].

structure of bourgeois society. It is related to all epochs as far as the question is about it *as a concept*, but it becomes 'practically true' only in a definite stage of historical development. Such categories could be called *conditionally-historical*./

/202/Rubin considers it necessary to give the concept of abstract labour a different meaning.

The expenditure of human energy as such, in a physiological sense, does still not constitute abstract labour as creator of value, even though that is its premise. Abstraction from concrete kinds of labour as basic social relation among individual commodity producers [This clause is emphasised in Rubin's original], this is what constitutes abstract labour.¹²

This abstraction takes place on the market, where products of labour are equalised to each other, which transforms private into social labour and concrete into abstract labour. The latter does not appear in production but in the act of exchange. The transformation of concrete into abstract labour is not a simple logical abstraction, aiming at finding out a common unit of measurement, but a spontaneous social act really occurring on the market. Where there is no market and no exchange, this transformation does not exist. The social character of labour is there expressed directly in the natural or concrete form, insofar as various labours are carried out by the members of a whole social organism according to a conscious distribution of functions. If we consider abstract labour as a simple physiological expenditure of energy and thereby give it a transhistorical character, we will not be able to understand how the non-historical category, abstract labour, can create such a historical category as value.

Above is Rubin's way of thinking in its general outline, from which Voznesensky borrows the fundamental arguments, complementing them with dubious gags. For example, according to Voznesensky, abstract labour, though including within itself historical and social elements, does not cease to be physiological labour, and exists as such already in the process of production.

It must be pointed out that Rubin's point of view can be found in its general form in the former work of T. Grigorovici *The Theory of Value in Marx and Lassalle* [Grigorovici, Tatiana, 'Die Weltlehre in Marx und Lassalle', in *Marx-Studien Blätter zur Theorie und Politik des Wissenschaftlichen Sozialismus*,

12 I. Rubin, *Essays on Marx's Theory of Value*, second edition, p. 102 [in Chapter 14, p. 213 in the present translation].

herausgegeben von Dr. Max Adler und Dr. Rudolf Hilferding, Bd. 3, Wien, 1910, pp. 483–575], where the same idea is given to the concept of abstract labour. ‘Labour, creating exchange value, i.e., abstract-universal labour, is the product of such an economic regime under which they produce not for their own use but for the use of other people, and under which are produced not only useful but also exchangeable goods’ (p. 77 [quoted from the Russian translation]).

Thus, the twofold character of labour and the category of abstract labour are form, inherent exclusively in the commodity economy. To all the other economic systems is known only labour in its natural concrete form. Abstract labour is a historical category.

First of all, this reasoning does not make clear the question of what should be understood in this case by a historical category. But it is visible from the whole course of analysis that the concept ‘historical’ is taken here in the narrowest sense, i.e., abstract labour is, in Rubin’s opinion, a category of the commodity economy in *the same sense* as are money, value, capital, and so on. Here we must confirm a direct deviation from Marx, who analyses in detail this question in his ‘Introduction’. Marx describes how complex an evolution the concept of labour had undergone in the work of the mercantilists, //203/monetarists, physiocrats, and classical economists from the individual kinds of labour such as commerce and agriculture to the abstract universal concept of wealth-creating activity, or labour in general. ‘It might seem that in this way merely an abstract expression was found for the simplest and most ancient relation in which human beings act as producers – whatever the type of society they live in. This is true in one respect, but not in another.’¹³ And he shows further that this is the simplest abstraction, ‘which expresses an ancient relation existing in all forms of society, appears to be true in practice in this abstract form only as a category of the most modern society’ [MECW/28, p. 41, MEGA, II/1.1, p. 40]. In other words, Marx counts abstract labour among the *conditionally historical categories*, according to the above introduced term. Abstract labour, labour in general, labour as the physiological expenditure of muscles, nerves, and so on, is a concept far transgressing the boundaries of the internal organisation of the commodity economy, is a general concept. But it can actually fully manifest itself only under certain conditions. First, the possibility of abstraction from the concrete kinds of labour, the indifferent attitude to them are conceivable only in such a stage of economic development where no one form of labour is predominating. Secondly, this presupposes such an economic regime where individuals move with utmost facility from one kind of labour to another, where

13 [Marx, ‘Introduction’, MECW/28, p. 41, MEGA, II/1.1, p. 39].

a determinate labour is 'accidental to them and therefore indifferent. Labour, not only as a category but in reality, has become here a means to create wealth in general, and has ceased as a determination to be tied with the individuals in any particularity' [MECW/28, p. 41, MEGA, II/1.1, p. 39].

The example of labour strikingly demonstrates that even the most abstract categories, despite their being valid – precisely because they are abstractions – for all epochs, are, in the determinateness of their abstraction, just as much a product of historical conditions and retain their full validity only for and within these conditions.^{14,15/}

/204/The concept of abstract labour fully develops only in the commodity economy, but, taken in itself, it relates to all epochs. What should be its internal content that it could be related to all epochs even if in this restricted sense? It is precisely that content which Marx gives: labour as the expenditure of physiological energy in indiscriminate form. The determination which Rubin gives does not allow us to transfer the category of abstract labour over the boundaries of the commodity economy.

If abstract labour, while existing so to say *ideally* in the epochs prior to the commodity economy, finds only in the commodity world the basis for its practical manifestation, what will be its destiny in the conditions of the transition from the commodity economy to an organised socialist economy? Will

14 [Ibid., MECW/28, p. 42, MEGA, II/1.1, p. 40].

15 Z. Tsaitlin makes an interesting attempt to compare Marx's method to the method of natural science, drawing a parallel between Marx's theory on abstract labour and that of the atom. The concept of the 'atom' relates to all epochs of natural history, just as the concept of 'labour' relates to all periods of social history. The atom, as well as labour, has an 'antediluvian existence.' However, science could develop to the discovery of the atom only in a definite stage of natural history, by means of the analysis 'of complex concrete reality of phenomena, in which the atom appears as a universal and uniformly distributed category. In the primitive foginess, as well as in the primitive society, the atom and labour, while being universal categories, on the other hand conditioned certain individual clusters.' In the further development of solar systems increases the diversity of combinations, of chemical compositions into which the atom enters as a universal category. The atom becomes more and more dis-individualised 'practically.' Human scientific activity promotes on its side the multiplication of the number of syntheses of 'chemical elements.' 'No doubt, human power over the forces of nature attains to such a stage where the atom, just like labour, can be made 'indiscriminate,' i.e., it can be obtained in any synthetic form for human purposes.' The atom is thus a historical category in the sense, that the universal character of this category appears most clearly only in that stage of natural development where matter will be transformed into complex concrete existences. Cf. more detailed arguments in Tsaitlin, *Science and Hypothesis*, pp. 171–3.

this category continue its existence under socialism? The answer to this question is given by the analysis of those conditions under which abstract labour will acquire, according to Marx, the significance of practical truth. We have enumerated them above. There is none among them which would be 'abolished' by socialism. On the contrary, in a socialist society they are further developed.

The absence of any specific predominant kinds of labour, the easy transfer from one kind of labour to another, the absence of connection of the labour process with determinate individuals, all these elements attain the highest development under socialism. A pure nonsense is the 'proposition' of A. Voznecensky that specialisation remains under socialism. 'If we take the family for a society, then we would say: here the labour of individual participants in the economy becomes social labour *directly* in its *concrete* form. It does not cease to be connected with a definite individuality (personality) and a definite specialty' [quoted from p. 123 of Voznesensky's article. P. 608 in the present translation. Emphasis in original but not reproduced in Dashkovsky's quotation]. This is a complete distortion of the perspective of development. We have only to remember how Engels ridiculed Dühring in this respect.

It is true that, to the mode of thought of the educated classes which Herr Dühring has inherited, it must seem monstrous that in time to come there will no longer be any professional porters or architects, and that the man who for half an hour gives instructions as an architect will also act as a porter for a period, until his activity as an architect is once again required. A fine sort of socialism that would be – perpetuating professional porters!¹⁶

Marx and Engels express their idea in the same vein in their work *The German Ideology*, published [in 1924, Moscow] in the first volume of Ryazanov's *Archive*. 'In communist society ... society regulates the general production and thus makes it possible for me to do one thing today and another tomorrow, to hunt in the morning, fish in the afternoon, rear cattle in the evening, criticise after dinner, just as I have a mind, without ever becoming hunter, fisherman, shepherd or critic.'¹⁷

16 [Engels, *Anti-Dühring: Herr Eugen Dühring's Revolution in Science*, 1877, MECW/25, p. 186, MEGA, I/27, p. 388].

17 [*The German Ideology*, MECW, vol. 5, p. 47, MEGA, I/5, pp. 34, 37].

Naturally, if these ideas had been expressed by Marx and Engels in our days, they would have been illustrated with more contemporary examples. But this does not change the essence of the matter./

/205/Capitalist technology has led to the situation not only where the labourer becomes indifferent to the concrete content of his labour, but also where the manifestation itself of labour in its every concrete form (labour in the economic sense, as the 'necessity for life') becomes less different, as far as one after another function of human organs are replaced with labour automata. This process will acquire a still more gigantic development under socialism. Consequently, those economic relations which laid the basis for the separation of concrete from abstract labour under capitalism will be still further dissolved after its collapse. The weakening of the twofold character of labour will then take place not in the sense of a return to patriarchy, to a fixation of people in certain specialties, but in the sense of a further resembling of all kinds of concrete labour, of their transformation into the uniform and monotonous process of expenditure of energy in overseeing labouring machines. Out of this process, labour will be transformed into a simple 'play of living powers', to which any economic categories in the proper meaning do not more relate. 'Labour has become not only a means of life but life's prime want'.¹⁸

For the proof of his theory Rubin makes use of the section on commodity fetishism, where Marx elucidates, in contrasting the commodity economy with other different forms of production, the characteristic particularities of the organisation of labour in the epoch of commodity production. From this section he tries to draw the following conclusion: whereas, in every other economic form (in a patriarchal regime, in feudal society, in the commune of freely associated producers) each definite labour, each concrete kind of labour is at the same time also directly social labour, in the commodity economy labour can manifest its social character only in assuming the form of its opposite, of abstract labour. Abstract labour appears on this ground as a specific category of the commodity economy. Let us examine this point.

In every consciously organised social economy, labour appears as social already in its direct concrete form. This is true. In the commodity economy, it becomes social by means of its change into abstract labour. This is also true. But is it true that for this reason the category of abstract labour becomes superfluous in every form of economy other than the commodity economy? It would be as if the category of abstract labour had only that assignment which is attrib-

18 [Critique of the Gotha Programme, MECW/24, p. 87, MEW/19, p. 21].

uted to it, as if all its role were reduced to allotting to a definite kind of labour the character of social labour in the conditions of the commodity economy. But the essential point is that even in those economic formations where concrete labour appears directly as social, where it has no need of a curved mirror of material relations and abstract categories, the function of abstract labour is absolutely indispensable insofar as needs exist for an accounting of social labour energy. An account can be carried out only in terms of abstract units of calculation. In the same section on commodity fetishism Marx shows with full determinateness //206/that the mystification of the commodity economy does never come from the transformation of concrete to abstract labour, but from the reified expression of this abstraction. What is the question in this section? It is about commodity fetishism. Marx clearly and distinctly points out that there is any mystery, any secret neither in concrete labour nor in abstract labour as such.

So far as it is a value in use, there is nothing mysterious about it, whether we consider it from the point of view that by its properties it is capable of satisfying human wants, or from the point that those properties are the product of human labour. ... The mystical character of commodities does not originate, therefore, in their use value. Just as little does it proceed from the content of a certain value (i.e., abstract labour – *I.D.*). For, in the first place, however varied the useful kinds of labour, or productive activities, may be, it is a physiological fact, that they are functions of the human organism, and that each such function, whatever may be its nature or form, is essentially the expenditure of human brains, nerves, muscles, &c. Secondly, with regard to that which forms the ground-work for the quantitative determination of value, namely, the duration of that expenditure, or the quantity of labour, it is quite clear that there is a palpable difference between its quantity and quality. In all states of society, the labour time that it costs to produce the means of subsistence, must necessarily be an object of interest to mankind, though not of equal interest in different stages of development. And lastly, from the moment that men in any way work for one another, their labour assumes a social form.

Whence, then arises the enigmatical character of the product of labour, so soon as it assumes the form of commodities? Clearly from this form itself. The equality of all sorts of human labour is expressed objectively by their products all being equally values; the measure of the expenditure of labour power by the duration of that expenditure, takes the form of the

quantity of value of the products of labour; and finally the mutual relations of the producers, within which the social character of their labour affirms itself, take the form of a social relation between products.¹⁹

Thus, we must seek the particularities of the commodity economy not in abstract labour, which comprises the 'content of a certain value', not in the equality or equalisation of different human labours, and not in the measurement of these labourers' labours with time, irrespective of the social relations themselves of the producers in which these labours are performed ... but exclusively in the fact that all these determinations receive a material expression. The other social formations have no need of this detour,

there is no necessity for labour and its products to assume a fantastic form different from their reality. They take the shape, in the transactions of society, of services in kind and payments in kind. Here the particular and natural form of labour, and not, as in a society based on production of commodities, its general abstract form //207/ is the immediate social form of labour. Compulsory labour is just as properly measured by time, as commodity-producing labour; but every serf knows that what he expends in the service of his lord, is a definite quantity of his own personal labour power.²⁰

In the commodity economy, the private labour of independent commodity producers is transformed into social labour on the market, first, because its products take on the form of commodities, and, second, because owing to this mutual equalisation of commodities and only through this transformation occurs the abstraction from the concrete particularities of labour, the transformation of concrete into abstract labour. Through the abstraction from concrete forms is realised the social connection by means of the category of abstract labour. In the organised forms of economy, the social connection exists *as a fact given in advance*. Labour appears from the outset as social and not private labour, its product does not have to be transformed into commodity in order to acquire a social hallmark; it is social product from the first instant of its existence. Therefore, labour also appears here social labour already in its certain concrete form, not in need of such transformations and abstractions. From here seems to arise such a chain of reasonings; in the organised society there

19 [Capital, I, pp. 76–7, MEGA, II/6, pp. 102–3].

20 [Ibid., pp. 81–2, MEGA, II/6, pp. 107–8].

are no *commodities*, only *products* exist. No *private* labour, only *social* labour, the work of the organs of the conscious social whole. No *abstract* labour, only *concrete* labour.

However, this orderly schema could be taken as entire only in the case where the concepts 'labour', 'private', 'abstract' would actually be in an equal *symmetrical* position to the other series of determinations, 'product', 'social', 'concrete'. But these antitheses are not equivalent. That the categories of the 'commodity', of 'private labour' disappear as soon as the market economy ceases is self-evident. This follows from their definitions. We call a commodity the product of labour destined for exchange. Once there is no exchange, there is no commodity. We call private labour the labour of independent, autonomous producers. If their autonomy is eliminated, if they are transformed into directly submitted organs of a social whole, the category of private labour will disappear at the same time. One tries now to give to the concept of *abstract* labour also that meaning which would lead to the abolition of this category with the transition to other forms of economy. In so doing one starts from the fact that the *social* character of labour, which is expressed in the market economy by means of abstraction, directly appears.

However, such a mechanistic reasoning in respect to the laws of symmetry is a purely arbitrary theoretical construction of the latest commentators. Nothing like this can be found in Marx. In his polemic with Gray on the question of the direct measurement of commodity values without money, Marx wrote:

Commodities are the direct products of isolated independent individual kinds of labour, and through their alienation in the course of individual exchange they must //208/prove that they are general social labour, in other words, on the basis of commodity production, labour becomes social labour only as a result of the universal alienation of individual kinds of labour. But as Gray presupposes that the labour time contained in commodities is *immediately social* labour time, he presupposes that it is communal labour time or labour time of directly associated individuals. In that case, it would indeed be impossible for a specific commodity, such as gold or silver, to confront other commodities as the incarnation of universal labour and exchange value would not be turned into price; but neither would use value be turned into exchange value and the product into a commodity, and thus the very basis of bourgeois production would be abolished.²¹

21 [Critique, pp. 321–2, MEGA, II/2, p. 156. Emphasis in original but not reproduced in Dashkovsky's quotation].

It is easy to notice that this short but bright contraposition of the commodity and socialist economies lacks precisely that link to which Rubin held: there is no antithesis of concrete and abstract labour, although it is emphasised that in socialist society labour is not in need of intermediary links of exchange and alienation to become social labour.

An abstraction in relation to labour is necessary not only for transforming the private kinds of labour into a qualitatively distinct category of social labour. This abstraction is necessary also for the adding up and accounting of the labour process in any society, which, as Marx emphasises, is always interested in the quantity of expended labour time. In another chapter of his work Rubin himself speaks about the equalisation of different kinds of labour with each other as well as about the equalisation of things, for example, from the viewpoint of their relative utility (in a socialist economy). The difference between a socialist economy and the commodity economy consists only in the fact that in commodity society the equalisation of labour is possible exclusively through the disguised form of the comparison of the products of labour as commodities, whereas in socialist society these two acts are completely independent from one another. This is an aptly captured difference. But in what form should this equalisation of labour take place? The comparison of labours, which is expressed in various concrete forms, is possible solely through their reduction to one measure. A. Voznesensky says that 'concrete labour can be impeccably measured precisely in its concrete form. Cf. on this point Marx's indication in *Capital* Vol. I, Chapter 4 [1], section 4, not leaving any doubt, in which he considers the feudal economy and, in particular, the economy of the peasant family' [quoted from the footnote in p. 124 of Voznesensky's article. p. 609, note 7 in the present translation]. In this observation of Marx's there is no such thing as was found there by A. Voznesensky, who simply does not understand the matter. 'Concrete labour can be measured in concrete form'. But what does such a measurement properly mean? To measure signifies to confirm a *quantity*. The quantity of labour must be expressed in certain *units*. If Voznesensky takes for such a unity any concrete thing, as a product of concrete labour, it will play in account not the role of a thing //209/as such, but of an indicator of definite quantities of labour energy.²² But an attempt to measure the quantity

22 The following quotation shows how Marx characterises the account of labour with the quantity of a produced commodity: 'It is not, therefore, a question of measuring the value of the piece by the working-time incorporated in it, but on the contrary, of measuring the working-time the labourer has expended by the number of pieces he has produced. In time-wages, the labour is measured by its immediate duration; in piece wages, by the

of labour of other branches by means of a given thing would lead comrade A. Voznesensky quite unexpectedly to the fetishism of the money form, which would find itself in socialist society entirely improper to it. The attempt to get out of abstract labour leads ... to commodity fetishism, such is the fate of an excessive 'deepening' of concepts. The measurement of labour in any economic system is operated, according to Marx, in no other way than with *labour time*, by means of which the equalisation of different kinds of labour to each other must take place also according to Rubin. This is precisely what Marx says of the socialist economy.

[A]fter the abolition of the capitalist mode of production, but still retaining social production, the determination of value continues to prevail in the sense that the regulation of labour time and the distribution of social labour among the various production groups, ultimately the book-keeping encompassing all this, become more essential than ever.²³

In characterising the social relations in the first phase of communist society, Marx writes:

[T]he social working day consists of the sum of the individual hours of work; the individual labour time of the individual producer is the part of the social working day contributed by him, his share in it. He receives a certificate from society that he has furnished such-and-such an amount of labour (after deducting his labour for the common funds); and with this certificate, he draws from the social stock of means of consumption as much as the same amount of labour cost. The same amount of labour which he has given to society in one form, he receives back in another. Here, obviously, the same principle prevails as that which regulates the exchange of commodities, as far as this is exchange of equal values ... a given amount of labour in one form is exchanged for an equal amount of labour in another form.²⁴

In the second phase of communism disappears this 'umbilical cord', with which the communist society emerges from the bowels of capitalism, as far as the principles of distribution are concerned. However, there remains the other

quantity of products in which the labour has embodied itself during a given time' [*Capital*, I, pp. 517–8, MEGA, II/6, p. 513].

23 [*Capital*, III², p. 851, MEGA, II/15, p. 825].

24 [*Critique of the Gotha Programme*, MECW/24, p. 86, MEW/19, p. 20].

necessity, that of correct distribution of labour among different branches and of comparison of its expenditures and results within each production. Without a quantitative account of labour, the organisation of labour is unthinkable here. But here, what kind of labour will undergo the accounting? Labour in general, as a definite form of productive energy, independent of the form of its manifestation. If Rubin and Voznesensky refuse to consider this labour as abstract labour, they will have to create a third category especially for it, since it is unthinkable to count concrete //210/labour in abstract units. The concept itself of *counting* means abstraction from any *qualities*. Arithmetic is an abstract science of counting.

But they answer us as follows: the fact that concrete labour can be considered from its quantitative aspect does not yet make of it abstract labour. The process of accounting is an abstract operation. But the abstraction is here carried on exclusively in a mental form. Real life has nothing to do with these abstractions, rather it concerns the concrete kinds of labour and certain consumption goods. On the contrary, in the commodity economy the process of abstraction from the concrete properties of labour and things is a real act, carried on every day and every hour on the market. This abstraction is precisely what lies in the objective nature itself of exchange, giving rise to the category of abstract labour.

But what role does this 'objectified' abstraction fulfil? The role of a regulator of social production. Does this economic necessity fall away under socialism? No, on the contrary, the regulation acquires a generalised character only under socialism. The regulation presupposes the accounting of labour, which presupposes in turn the abstraction from its concrete properties and qualities. If the regulation of labour is an economic necessity under socialism (and under any other form of economy, insofar as people were always interested in the quantity of labour expended on the production of means of subsistence), a constant abstraction from concrete labour is necessary to the same extent. Abstraction is in these conditions not a superfluous, vain play of fantasy, but a necessity for life. In commodity society it is carried on spontaneously and through things, in organised society consciously. But this does not alter its qualitative nature. The difference consists only in the fact that under socialism 'principle and practice are no longer at loggerheads, while the exchange of equivalents in commodity exchange exists only *on the average* and not in the individual case' (*Critique of the Gotha Programme* [ibid., emphasis in original but not reproduced in quotation]).

In this way, not only labour in the epoch of the commodity economy but also all labour of people producing in society, 'every socially conditioned production of individuals', is characterised, according to Marx, by the twofold

character of labour. The difference consists only in the following fact. In the commodity economy this bifurcation of labour acquires a practical visibility in the process of exchange. On the other hand, in the commodity economy concrete useful labour appears directly as private labour. It becomes social labour only through things, through commodity exchange, which at the same time transforms concrete labour into its opposite. On the contrary, in all other economic forms both concrete and abstract labour appear only as two aspects of one and the same social labour. Concrete labour is social labour in the sense that it satisfies as a definite subdivision of social labour a certain social need. Abstract labour is social labour in the sense that within it is expressed the social character of equality of heterogeneous labours. However, from the objective point of view concrete labour appears to be also social labour even in the conditions of the commodity economy. This is expressed in the fact that the product of labour //211/must be useful, must satisfy social needs.

The twofold social character of the labour of the individual appears to him, when reflected in his brain, only under those forms which are impressed upon that labour in every-day practice by the exchange of products. In this way, the character that his own labour possesses of being socially useful takes the form of the condition, that the product must be not only useful, but useful for others, and the social character that his particular labour has of being the equal of all other particular kinds of labour, takes the form that all the physically different articles that are the products of labour, have one common quality, viz., that of having value.²⁵

Here we have the answer also to the second accusation directed to the physiological definition of abstract labour, the accusation that such a definition does not give the social characteristic of labour. In the opinion of Rubin, the contraposition of concrete and abstract labour is not a contraposition of generic and specific concepts, but an investigation 'of labour from two points of view: the natural-technical and the social. The concept of abstract labour expresses the particularities of the social organisation of labour in commodity-capitalist society.'²⁶

Such an approach to the problem is, in our opinion, incorrect. Both definitions of labour, as concrete and abstract, *already presuppose a preceding social*

25 [Capital, I, p. 78, MEGA, II/6, p. 104].

26 I. Rubin, *Essays*, p. 100 [in Chapter 14 of the second edition, p. 190 in the present translation].

character of labour. At the beginning of his 'Introduction' Marx writes: 'To begin with, the subject to be discussed is *material production*. Individuals producing in a society – hence the socially determined production by individuals is of course the point of departure' [MECW/28, p. 17, MEGA, II/1.1, p. 21. Emphasis in original]. Concrete labour is in no way only a natural-technical category. Rubin himself says in another place, relying on Marx, that in every society other than commodity society the social character of labour is expressed in its direct natural form. Therefore, in these conditions, it becomes a category with *social* content. But, also in the commodity economy concrete labour is only apparently, only subjectively for the producer a natural-technical category, private labour. From the point of view of the whole process of reproduction it appears as socially conditioned labour, since the character and direction of private useful labour depends on society. Insofar as concrete labour is divided into species and subspecies together with the process of social division of labour, and as far as the latter is a social fact, concrete labour also acquires thereby a social character. Yes, it cannot be otherwise, since the concepts of 'concrete' and 'abstract' do not relate to different things, but to one and the same thing, to social labour, which is given as the primary matter of economic life.

At the same time also the problem about the social character of abstract labour is solved. Abstract labour is social labour, taken not in the diversity of its functions, manifestations, and results, but in the uniformity of its physiological //212/process. But society is not an organism in a roughly physiological sense of the word. The expenditure of physiological energy cannot be carried out directly by the society, but through individuals, as its members, appearing as organs of a social whole consciously (in organised society) or unconsciously (in commodity society). The reduction of abstract labour to a simple, indiscriminate expenditure of physiological energy, though also realised by different individuals, is the highest expression of the social character of labour, in spite of the fact that it is in its appearance a *naturalistic category*. 'Physiology' is in this case a pseudonym of the depersonalisation, of the absolute equality of all kinds of human labour, the equality of all producers, taken as such, i.e., in the simple quality of being conductors of social energy. What social content can we still require of an economic category?²⁷

27 In A. Voznesensky this idea is expressed in vulgar-materialistic form. He writes: 'abstract labour is not individual labour, but the labour of society: it is not the labour of some individual, some personality; it represents a spending of social energy, of the energy of society as a whole' [quoted from p. 128 of Voznesensky's article. p. 613 in the present translation]. Unfortunately, nobody has yet discovered in society as such a muscular and nerval system by means of which it could spend its energy 'without individuals'.

But is it possible to raise here other requirement of abstract labour? Is it possible to imply here by social content a content corresponding to some specific social relations and changing with them?

This brings us back to the question of the historical character of abstract labour, and it remains here only to repeat our reasoning about historical categories in general.

Now let us enter into the third objection against the physiological understanding of the concept of abstract labour.

It is impossible to reconcile the physiological understanding of abstract labour with the historical character of the value created by it. The physiological expenditure of energy remains the same in all historical epochs and, one might say, it created value in all epochs. We would arrive at a crudest understanding of the theory of value, transforming it into a labour theory of wealth, from which Marx strove to keep a distance.²⁸

In another place also, Rubin writes: 'For the generally accepted understanding of abstract labour as labour expenditure in a physiological meaning of the word, a naturalistic treatment of Marx's theory of value is inevitable.'²⁹

First of all, the conclusion that a historical category must emerge only out of another historical category is totally devoid of any grounds. After all, every historically conditioned form of production has finally as its fundament an eternal relation between man and nature, between productive forces given by nature and labour, 'which itself is only the manifestation of a force of nature, human labour power' [*Critique of the Gotha Programme*, MECW/24, p. 81, MEW/19, p. 15]. This labour and this labour power are the sources of all development, and, hence, of all historical categories. Those who affirm that historical categories can arise only by other equally historical categories overlook the fact that each category is in general only the *form of manifestation* of a //213/transhistorical law, as Marx reminded us in the above quoted letter to Kugelmann. As for the special problem of the correlation between value and abstract labour, here the debate is based on a simple misunderstanding on the word 'creates', to which a crudely materialistic meaning is attributed. Thus, Rubin writes:

Only in firmly confirming this concept of abstract labour can we understand correctly the fundamental proposition of Marx's theory of value:

28 Rubin, *Essays*, p. 100 [in Chapter 14 of the second edition. p. 210, in the present translation].

29 *ibid.*, p. 108 [p. 220 in the present translation].

the claim that labour 'creates' value. At first sight this proposition occasions an entire series of questions and suspicions. Labour, labour activity is something physical, belonging to the world of phenomena of nature. If this labour creates value, then obviously the latter represents some property of a thing itself, as such, as an object of nature.³⁰

All these suspicions do not arise from our taking abstract labour in the physiological sense, but from our taking the word 'creates' in a literal physical sense. Meanwhile, Rubin himself places this word in parentheses, feeling that this term should be understood otherwise. Abstract labour creates value in the sense that it assumes the form of the value of the product of labour. '[E]xchange value is a definite social manner of expressing the amount of labour bestowed upon an object' [*Capital*, I, p. 86, MEGA, II/6, p. 112], here is everything. It is clear that the form of expression can and must bear a historical character, while what serves as the object of expression does not depend on the evolution of social forms. We find here no difficulties, no contradictions, only if we attribute to things their true meaning.

On the other hand, if we hold to Rubin's determinations (and here we pass to the positive part of his theory), we will unavoidably have to arrive at the conclusion that abstract labour does not create value, and that, conversely, the category of value creates the category of abstract labour. We find in Rubin somewhat different and almost always confused definitions of abstract labour. Let us give some of them. '*Abstraction from concrete kinds of labour as the basic social relation among individual commodity producers*, this is what constitutes abstract labour' (p. 102 [in Chapter 14 of the second edition. P. 213 in the present translation. Emphasis in original but not reproduced in Dashkovsky's quotation]). (Abstraction ... is abstract labour, a not entirely intelligible definition).

Abstract labour appears only in the *actual act of market exchange*. The physiological equality of various kinds of human labour has always existed and itself represents a fact, indifferent toward the social form of production. But the equality of various kinds of labour, created in the commodity economy by the process of exchange, the equilibrium between labour expended in various branches of production, the outflow of labour from one branch to another, so to say, the tendency of all the labour reser-

30 Rubin, *Essays*, p. 107 [in Chapter 14 of the second edition. p. 220 in the present translation].

voirs of society toward an equal level – these are social phenomena inherent in the commodity economy and expressed in the concept of abstract labour.³¹

This definition is as clumsy as the previous one ('the tendency of all the labour reservoirs of society toward an equal level'). But it is above all others explicitly erroneous. First of all: to say that 'the equality of various kinds of labour, created in the commodity economy by the process of exchange', is a phenomenon inherent only in the commodity economy //214/ amounts to saying nothing. It goes without saying that where there is no exchange, neither is there a commodity economy. And the other assertion, that the tendency of labour toward an equal level, a tendency to equilibrium and so on, is inherent only to the commodity economy is evidently wrong. On the other hand, Rubin uses here the term 'social' in the meaning equivalent to the term 'market' or 'commodity' economy. Such a use of the term is far from being commonly adopted.

Finally, it must be here pointed out that, according to Rubin, abstract labour appears only 'in the actual act of market exchange', and consequently, does not exist prior to exchange.

Moreover, Rubin emphasises further this proposition, showing that the equalisation of labour in the commodity economy does not take place directly, 'but through the equalisation of things, not in the process of production but through exchange (cf. above, Chapter [11]. 'The Equality of Commodities and Equality of Labour'). The concept of abstract labour expresses this specific *historical* form of equalisation of labour' [p. 107 in the second edition, p. 220 in the present translation. Emphasis in original but not reproduced in Dashkovsky's quotation].

Rubin supposes that 'only in firmly confirming this concept of abstract labour can we understand correctly the fundamental proposition of Marx's theory of value: the claim that labour 'creates' value' [ibid.]. What does this correct understanding consist in? Precisely in the following:

[I]f abstract labour is a social concept expressing a social form of organisation of labour in the commodity economy, ... *this* abstract labour, in other words, the commodity form of economy *creates* the value of the products of labour, i.e., the property of them which appears to be the outcome of a given social (commodity) form of production but which is

31 *ibid.*, p. 103 [*ibid.*, p. 214 in the present translation. Emphasis in original but not reproduced in Dashkovsky's quotation].

attributed to things ... A thing takes on the form of value because the society is organised in the form of a totality of autonomous economic units of private commodity producers. *Not labour in its material-technical or physiological quality [labour as such, in Dashkovsky's quotation], but only abstract labour presupposing determinate social relations of production of people [but only labour organised in a given social (commodity) form, in Dashkovsky's quotation], creates value.* Thus, and only thus, should be understood the proposition that abstract labour creates value.³²

However, if this is the entire result of his lengthy reasoning, our author has made such great efforts in vain. What he 'proves' here was quite needless to be proven. In fact: we have here arrived at the result that the concept of abstract labour has been completely blurred in obscurity, become *identified with the concept of the commodity economy as a whole*, after which we are without any care to indicate that it is precisely the commodity economy which creates value. Who has not known this? The theoretical excursion has turned out to be quite fruitless. Further attempts of the author to get out of difficulties only magnify the confusion. He further develops the interrelation between abstract labour and value in the following way:

The relation between labour and value must not be conceived as a relation between a physical cause and a physical consequence. Labour is abstract labour, a relation of production among private commodity producers connected through exchange. Value is a material expression of this relation of production. *Labour* and *value* are mutually connected by the same connection as the *relation of production of people* and its *material form* are connected. As already shown, Marx's statement that value is 'social', 'materialised', 'congealed' labour is precisely of such a meaning. Value is a material expression of specific social properties of labour, namely of its organisation //215/ on the basis of the independent management of economic units by private commodity producers and of their relationship in exchange.³³

The more he spends words, the less he gives them meaning. To say that 'labour ... this relation of production' amounts to saying 'production ... this relation of production', i.e., to a nonsense. Labour is that ground on which relations

32 [ibid., p. 109 in the second edition, p. 223 in the present translation].

33 ibid., p. 110 [Chapter 14 in the second edition, p. 223 in the present translation. emphases not reproduced in Dashkovsky's quotation].

are built, but labour and labour relations are different things. Value is 'reified' labour, this is true, but this must be understood in the same meaning as the expression 'labour creates value', i.e., not in a physical but in a figurative sense, namely: that labour acquires its external expression in things, representing *labour relations*.

But the worst of all is that all the definitions of abstract labour we have quoted lead to the unavoidable conclusion: it is not labour that creates value, but the other way around. Indeed: abstract labour appears only in exchange. But exchange is first of all the exchange of *things*, their equalisation to each other. The process of this exchange is also a process of the emergence of value as a relation among producers. The category of abstract labour in Rubin's understanding is the *result* of the whole process, and not its starting point. In this way, things acquire in Rubin's schema a quite peculiar consistency, and the whole theory of labour value assumes something like a metaphysical character.

The content of all the attempts to define abstract labour we have seen above (only if they had any content) boils down in Rubin to *an excessive exaggeration of abstract labour*. This is not only an abstraction from the concrete properties of labour, this is rather an *abstraction from labour as indiscriminate physiological activity*, an *abstraction from an abstract concept*. According to Rubin, physiological labour is only a precondition of abstract labour but not abstract labour in itself, in the same way as a concrete kind of labour is a precondition for the deduction of physiological labour. In this way, not only value but also abstract labour include in them not an atom of matter. The concept of labour is finally lost and replaced with completely sterile, nebulous, and confused social-economic excursions, at the end of which we safely arrive at the conclusion that abstract labour is not labour but only a certain form of its organisation. For what purpose is this Haarspalterei [quibbling] required? Above we have already examined Rubin's 'social-historical' motives. But Rubin consolidates the necessity of such a definition with further two arguments. He assumes that solely the definition given by him of abstract labour makes it possible, first, to draw an exact demarcation of the concepts 'labour' and 'labour power', and, second, to understand the meaning of Marx's proposition that labour itself does not have value.

Rubin says:

Only from this point of view can we see clearly why Marx draws a sharp distinction between labour as the creator of value and labour power. It would have been completely useless to construct these two concepts as two distinct objects, if they had been distinguished with their natural properties. Such is how Buch proceeds. 'Labour is a process of transform-

ation of the potential energy of our body into mechanical //216/work. ... *Labour power* is a storage of the potential energy of our organism, not yet transformed into mechanical work [Rubin's quotation from p. 76 of Buch's book]. Such a mechanical construction is completely foreign to Marx. 'Labour' and 'labour power', these are not various objects of the external world, but different social characteristics of labour, different 'Formbestimmtheiten' (determinatenesses of social form). Abstract labour forming value is an expression of commodity society as a totality of autonomous private economic units, connected by the relations of production of exchange. Wage labour or labour power is an expression of labour, separated from the means of production, contraposed to them and unified with them in the form of employment contract between capitalist and labourer.³⁴

We have given this lengthy excerpt for the purpose of showing as clearly as possible the unavoidability of the distortion of Marx's categories in trying to push them forcibly into the 'social-historical schema' of Rubin's fabrication. Here Rubin virtually wipes out every border between the concepts of 'labour' and 'labour power', taken as phenomena of the external world. He declares hopeless in advance the attempt to divide them, while giving no foundations to his categorical proclamation. However, the formulation we find in Marx does not leave any doubt in this respect. 'What economists therefore call value of labour, is in fact the value of labour power, *as it exists in the personality of the labourer, which is as different from its function, labour, as a machine is from the work it performs*' [*Capital*, I, p. 504, MEGA, II/6, p. 501. Chapter. 17. Emphasis added]. Probably there can never be clearer expressions than this. According to Marx, the differences between labour power and labour lie precisely in the ordinary evidence of the real world and are erased in the conditions of the capitalist economy, where all the phenomena take on an inverted form. Rubin has a diametrically opposed view, as if from an external view labour power and labour were one and the same thing. They become different exclusively under the perspective of the commodity-capitalist economy. Here we have an irreconcilable contradiction with Marx.³⁵ But we should not,

34 *ibid.*, p. 111 [*ibid.* in the second edition, p. 225 in the present translation. Emphases added].

35 We give below additional excerpts, testifying to the fact that Marx distinguished labour power and labour as objects of the external world.

'The actual movement of wages presents phenomena which seem to prove that not the value of labour power is paid, but the value of its function, of labour itself. ... 1.) Change of wages with the changing length of the working day. One might as well conclude that

of course, reject Rubin's point of view for this reason. The essential thing is that the theory of Rubin leads straightway to the description of the value of labour power as the wage for labour, i.e., *to the confusion of the essence of the labour wage with its external false appearance*, against which Marx shot the sharpest arrows of his criticism. If the labour wage is the wage for labour, the whole theory of exploitation will be suspended in the mid-air. Rubin's point of view is a retreat to classical economy, which actually //217/ did not distinguish the concepts of 'labour' and 'labour power', and precisely for this reason it could not get out of the range of bourgeois ideology. The 'social-historical foundation' of abstract labour thus brings us farther and farther away from genuine Marxism. Nor will we say that the attempt to give a social characterisation of the concept of labour power belongs to the same category of inventions as those numerous definitions of abstract labour which we have quoted above. Labour power as such is renamed wage labour, and then wage labour without special labour can be defined as a social-historical category, inherent to the capitalist economy. Rubin leaves without any demonstration precisely what should have been shown, i.e., whether 'labour power' and 'wage labour' are synonyms. He can show with such a logic everything which pleases him.

However, labour power is, according to Marx, a power 'existing in a human being' [ibid., p. 164, 11/6, p. 183]. Marx says: 'Labour, which itself is only *the manifestation of a force of nature, human labour power*' [*Critique of the Gotha Programme*, MECW/24, p. 81, MEW/19, p. 15. Emphasis added]. Marx uses the concept of labour power in connection with the characterisation of *corvée* labour: 'Every serf knows that what he expends in the service of his lord, is a definite quantity of his own personal labour power' [*Capital*, I, p. 82, MEGA, 11/6, p. 108].

The definition of labour power given by Rubin relates to labour power *as transformed into a commodity*, i.e., to the specific social form of its existence in the framework of capitalist society. But in such a case this definition is a simple tautology. When labour power is taken as a 'commodity', the capitalist relations of production are already presupposed.

A little more successful is another definition of labour power which Rubin gives some lines later (he is never stingy with definitions). 'Labour power expresses the relation of production between labourer and capitalist, connect-

not the value of a machine is paid, but that of its working, because it costs more to hire a machine for a week than for a day' [ibid., p. 507, 11/6, p. 504. Chapter 17].

'Creation of value is transformation of labour power into labour. Labour power itself is energy transferred to a human organism' [ibid., p. 207, note 1, 11/6, p. 224. Chapter 7, note 27 for the second edition].

ing them through the exchange of 'things' (the exchange of money for labour power)' (p. 112 [Chapter 14 in the second edition, p. 225 in the present translation]). Therefore, it is not labour power in general but in its definite form as a *commodity* that is considered here again.

But, in order to become a *commodity*, labour power must first of all be a '*thing*', i.e., an object of the *external world*. Precisely this fact also allows it to have value, since value is a property of 'things' in exchange society. From this point of view 'labour' itself doesn't have value, because it is not an *object* of exchange, is not a *thing* but only a function of a 'thing', i.e., labour power.

Rubin too says the same thing, although he makes his way to a correct definition through a heap of obstacles and contradictions piled up by himself. 'Labour as a social-production connection finds its expression in the material form of value, but itself is not the 'thing', 'value'. From here we can understand that 'labour' (more exactly, the social organisation of labour in commodity form) *creates* value, but itself *does not have* value' (p. 112 [Chapter 14 in the second edition, p. 226 in the present translation]). Here we see once again a false //218/ formulation: 'labour = a relation of production', labour power = wage labour, which leads to the stupid and stinking proposition – wage labour does not create value (?!). But if we withdraw this rudeness, there remains a correct conclusion: labour is not a 'thing', but labour power is a 'thing'. From here comes their differing relation to value. But it does not follow hence that between labour and labour power there is a *radical difference*, lying in *their objective nature*. Why did he have to complicate matters in wiping out every border only to restore them again afterward? Labour wasted on these researches has not only no value, but does probably not create any.

It is not worth specially expanding on the 'theory' of Voznesensky, which unites Rubin with Marx in squeezing every possible definition into the category of abstract labour. In Rubin the attempt to 'make sociological' the concept of abstract labour has anyhow a character of internal consistency, which leads it also to absurdity. In Voznesensky we find only a banal eclecticism without any theoretical interest.

We have shown that Rubin's theoretical construction does not flow from the character of Marx's categories and in its essential features contradicts in letter and spirit that content which Marx included in his definitions. Now it remains for us in conclusion to solve the last problem: has not the theory of Rubin the right to exist together with the Marxist theory? There may probably be sufficient grounds for rebuilding fundamental definitions of political economy according to the schema proposed by Rubin, whether or not it agrees with Marx. We might give an affirmative answer to this question only on one condition: if the categories of Rubin helped us to clarify the reality better than

the categories of Marx, to understand better the mechanism of the commodity-capitalist economy. But the fact is that they do not satisfy precisely this requirement.

What does Rubin's attempt boil down to? In short, it boils down to an attempt to *expel from the object of political economy every trace of living material*, to deprive the theoretical system of Marxism of its material fundament. If abstract labour is not labour in the physiological sense, if labour power is not an object of the real external world, if all of these are sterile 'sociological' abstractions, intangible 'relations' of 'commodity society' and that's all, then consequently, these categories stand *on an equal footing with* the remaining categories of bourgeois economy, like profit, interest, capital, classes, and so on. But exactly at this moment disappears every objective support for the scientific investigation of bourgeois society. In fact: the task of economic science should consist in reducing the specific capitalistic *forms of manifestation* of the laws of the social 'production of life' to these laws themselves, in 'manifesting' by means of abstract analysis the internal construction of economic tissue, made undiscernible, masked by the contradictory forms of the capitalist economy ... The fundamental categories of this economy such as capital, profit, and so on represent the economic phenomena in a precarious form, in a distorted //219/mirror. In order to disclose this fetishism of superficial phenomena, the researcher himself must always be provided with tools and categories of a non-fetishised order; in his abstract analytical operation he must place himself *outside the categories of the bourgeois economy*. Otherwise, he will himself be captive to them, as was the case with the classical school, in the person of its most penetrating representative – Ricardo. But where is that standpoint which helps us get out of the limits of the bourgeois worldview? This is the *point of view of labour in its universal meaning*. What does the Marxist analysis of bourgeois society come down to? It shows that profit does not arise from capital, or rent from soil, that capital and value are not properties of things as such, that money is not that brilliant appearance for which it is accepted, that all of these are only forms of manifestation of universal abstract labour, the *primary matter* from which are minted social production, classes, and their manifold interrelations. On this ground is built the whole theory of surplus value, of exploitation. Only in reducing all the social-economic relations to labour can we succeed in disclosing the mystification of bourgeois economic forms. Marx attributes this merit above all to the classical school, though it could not accomplish its theoretical task with necessary consistency.

It is the great merit of classical economy to have destroyed this false appearance and illusion, this mutual independence and ossification of

the various social elements of wealth, this personification of things and conversion of relations of production into entities, this religion of everyday life. It did so by reducing interest to a portion of profit, and rent to the surplus above average profit, so that both of them converge in surplus-value; and by representing the process of circulation as a mere metamorphosis of forms, and finally reducing value and surplus-value of commodities to labour in the direct production process.³⁶

If it is to be declared to us that also the 'labour', to which we reduce as the fundamental principle all the phenomena of the commodity-capitalist economy, is equally not labour in the proper sense of the word but the form of the same commodity society, our whole theoretical construction will be floating in the air and the theory will rotate in a closed circle of 'social-historical' categories, like a hamster in a wheel. The whole schema will assume the character of certain explanation: earth on whales, whales on water, water on earth. To this must unavoidably lead the exorbitant zeal for sociological concepts, the 'banishment of material' from economic research. This is a step back from Marx's materialistic method towards that fetishism of economic relations which Rubin very successfully reveals in other parts of his book.

36 [*Capital*, III², p. 830, MEGA, II/15, pp. 804–5].

S. Shabs: From *The Problem of Social Labour in Marx's Economic System – A Critique of 'Essays on Marx's Theory of Value'* by I. Rubin*

State Publishing House, Moscow, Leningrad, 1928

/12/Introduction^[561]

The theory on labour is the most important domain in Marx's economic system, decisive for the theory and at the same time apparently obscured and controversial in individual points. In addition, the author of *Capital* himself gave to the problem of labour the significance of a touchstone of truly scientific economic research. Thus, in *Theories of Surplus Value* the critical elucidation of the history of the economic theories of his 'predecessors' is developed precisely from the perspective of a progressive overcoming of the question of 'labour', 'economic labour', in the successive stages of development of this science. Further, in *Capital*, where the famous theory of the 'twofold nature of the labour included in a commodity', outlined already in *Critique of Political Economy*, is given a definite elaboration, the place and significance pertaining to this question in economic theory are determined by Marx as follows: 'this point is the pivot on which a clear comprehension of political economy turns'.¹

But labour had occupied such a place in economic theory, as Marx himself indicates, already in Ricardo in his *Principles of Political Economy*. Marx says: 'He (Ricardo) begins with the determination of the magnitude of the value of

[561] This book of S. Shabs's is comprised of 175 pages. For want of space, this translation had to be limited to some important parts of it. This 'Introduction' is preceded by a six-page 'Foreword' dated 27 August 1927.

* С. С. Шабс. *Проблема общественного труда в экономической системе Маркса – критика «Очерков по теории стоимости Маркса» И. Рубина*, Государственное издательство, Москва – Ленинград, 1928. In the following, the numbers between slash marks indicate the beginnings of the corresponding pages in Shabs's original book, often referred to by Rubin in '2. Reply to S. Shabs' in his 'Reply to Critics' [pp. 371–406 in the present translation].

1 [*Capital*, I, p. 49, MEGA, II/6, p. 75].

the commodity by labour time and then examines whether the other economic relations *contradict* this determination of value *or to what extent they modify it*.^{2/}

/13/Where, however, is enrooted the fundamental reason for the fact that the current economic literature turning around the controversial theoretical problems subject to critical elaboration has concentrated attention anew on the category of 'labour', par excellence 'abstract labour'? This fact cannot, seemingly, find its exhaustive explanation only in the general importance of the problem of labour for theory. In the same way we have no serious basis for considering it as a simple reaction to the silence of commentators in the period after Marx with regard to this important question. But this phenomenon finds its sufficient explanation already in the fact that, on the basis of Marx's theory of labour, which received the closest concentrated attention of the great researcher and seemed to him to be successfully completed in *Capital*, any unitary understanding of this category has not been established up to the present. Not only in a more or less extensive milieu of the proponents of the theory of labour value, but also in the close circle of the most consistent Marxists, divergences on this question gave rise to interpretations of abstract labour with extremely diverse nuances. Indeed, it is as if the tension rose so high as to lead in recent times the research of economic thought in this domain into a firm formalisation of two sharply opposed autonomous directions, which have discovered, in turn, a new starting point for keen discussion.

The understanding of abstract labour which was generally dominant in the older generation of epigones of Marx was open to doubt already at the beginning of the present century, and is recognised as wholly unsustainable by a significant part of contemporary Marxist researchers. The physiological interpretation of abstract labour, or 'energy interpretation' as its opponents still call it, is considerably pushed back by the interpretation of this concept recently formalised in a definite form, an interpretation which has found its completest foundation³ in the recent, remarkable work of Marxist economist I.I. Rubin.

2 [Theories, I, p. 390, MEGA, II/3.3, p. 816]. We must in addition point out also the insufficiency in Ricardo's investigation in this domain. In Marx's words, Ricardo, while determining exchange value (value) by labour, 'did not however study the character of this labour' (ibid.). In this way, classical political economy did not arrive at the awareness of the whole problem in its developed content also in the person of its most important and most mature representative of its epoch; Marx alone was 'the first to point out and examine critically' the twofold nature of labour.

3 I. Rubin, *Essays on Marx's Theory of Value*, second edition, State Publishing House, Moscow, 1924. This work had appeared in a less voluminous version as the first edition already in 1923.

Nevertheless, the physiological character of abstract labour continues even at present to be defended by all the still prevailing proponents //14/ of the literal determination of Marx, whereas the opponents, advancing allegedly irrefutable arguments against it, mercilessly treat such an understanding as a flagrant error or the most serious delusion.

Nevertheless, however this might appear paradoxical at first sight, the fundamental source of the dispute, remaining unresolved up to the present, is the almost incredible misunderstanding uniting both of these approaches to one and the same initial error.

Both proponents and opponents of the previously prevailing interpretation directly identify, in equally relying on the works of Marx, without any scientific grounds the concepts of 'abstract' and 'economic' labour, which are congeneric but nonetheless not identical, and far from overlapping one another. Both the former and the latter evidently lose sight of the dialectical connection lying at the basis of the mutual relation of these concepts, a connection inherent in the abstraction of the formal determination 'indivisibility of identity and difference'.⁴

Shaking Marx's theory of labour, the first commentators of him still had a certain justification, as far as Marx himself gave a motivation for erroneous interpretation since he was not exhaustively clear on this question in *Capital*. But, if an insufficiently extensive investigation of his works could leave room for such an error before the publication of his 'Introduction to the Critique of Political Economy', which remained inaccessible almost for half a century, after its publication the conscientious Marxist researcher was protected from its repetition.

In this 'Introduction', Marx allots the methodology of this most important aspect of the question a very important place, and explains here thoroughly the interrelation of the categories of abstract labour and economic labour. Marx begins to elucidate the problem as follows:

Labour seems to be a very simple category. The notion of labour in this *universal* form, as *labour in general*, is also *as old as the hills*. Nevertheless, considered economically in this simplicity, 'labour' [in Shabs's quotation this phrase is translated as: *economic 'labour', considered in this simplest*

4 [Cf. Engels's letter to Konrad Schmidt of 1 November 1891, MECW/49, p. 286, MEW/38, p. 204]. In this letter to Schmidt, Engels characterises this most important point in Hegel's philosophy as one of the most difficult to visually assimilate, and illustrates this proposition dialectically by a corresponding example.

form, cf. a passage in Rubin's 'Reply to S. Shabs', p. 401 in the present translation,] is just as modern a category as the relations which give rise to //15/this simple abstraction.⁵

Giving further foundation to this proposition, Marx concludes:

The example of labour strikingly demonstrates that even the most abstract categories, despite their being valid – precisely because they are abstractions – for all epochs, are, in the determinateness of their abstraction, just as much a product of historical conditions and retain their full validity only for and within these conditions.⁶

In these condensed formulations Marx gives the aforementioned question an utterly unambiguous answer, not leaving any doubts about the character we have noticed of the interrelation of both categories. Thereby these deeply dialectical generalisations are, under the condition of our fully assimilating their methodological essence, required to provide us a great scientific service for investigating a given object of science.

However, for a significant part of Marxists, who paid attention to these valuable indications of Marx's, the secret of their content remained undisclosed. Thus, for example, Rubin draws from here only negative conclusions for the physiological interpretation of abstract labour he rejects.

On the other hand, these passages contain, of course, only an indication of the direction in which to seek a solution to the problem, and in no way its solution itself.

But, having this key to the problem of 'labour' in hand, we can establish in Marx's works the foundation for this problem in its fully developed form, corresponding with the spirit of the entirety of his system, in relying thereby neither on a refutation of the methodological bases of his construction, as I. Rubin does in his work mentioned above, nor on an objection to the actual understanding of the author of *Capital* and a search for imaginary contradictions in it, to which Rubin is inclined in his *Essays*.

The initial error, pointed out above, i.e., the direct identification of economic with abstract labour, leads in different ways the proponents of various points of view to fallacious interpretations of the problem, in none of which is Marx's theory of labour correctly reflected./

5 [MECW/28, p. 40, MEGA, II/1.1, p. 38] (emphasis added – S. Sh.).

6 [ibid., p. 42, II/1.1, p. 40] (emphasis added – S. Sh.).

/16/The proponents of the physiological understanding of abstract labour, admitting the determination of Marx as it is formulated in the second section of the first part [chapter] of Volume I of *Capital*, do not bother elucidating the actual relation of this determination to its economic functional modification. Starting from the correct general foundations, entirely consonant with Marx in determining the category of abstract labour in its direct character, they cut off the analysis at its critical point, staying just at the threshold of the performance of their task. The reason why the question is not duly answered by them is hidden in the fact that, in their conception, abstract labour is identical with economic labour in its essence and without intermediate connection.

From here are given also the supporting points for the critique of opponents, who give this task an erroneous direction. For these opponents, the actual content of the error in the 'energy' point of view remained a mystery with seven seals. Thereby was given to them an impulse to commit a still more serious error, beyond any comparison with the first.

The starting point of Rubin's interpretation is exactly the same confusion of concepts: the categories of 'abstract' and 'economic' labour are identified as one and the same concept also in *Essays*. But unlike the preceding interpretation, these categories are here mixed into the concept of economic labour.⁷ Therefore, based on the proposition, correct in itself, that labour in the economic sense must be contraposed to labour as a phenomenon of nature, Rubin finds an irreconcilable contradiction between the physiological nature of abstract labour, as is established by Marx, and the social-historical character of its functional economic form. He thinks that abstract labour itself, in its direct determination, must respond to the character of a social-historical category, which reveals the absence of dialectics in his point of view.

But Rubin himself may not have come to dispute the proposition, commonly shared in economic science, that a human being as such, representing in his direct existence a phenomenon of nature above all in social aspect, is contraposed, in his formal determination as a social subject, to all the rest //17/of nature, although a social individual at the same time maintains in himself with natural necessity his immanent connection with nature, as an irremovable precondition of his existence. The specific form of social determination negates the essence of the individual in his nature; the 'identity' of the concept 'human being' is possible only within the limits of a given formal expression, or, to use once again the terminology of Hegel, in the 'difference' of an abstract concept,

7 For this concept the author maintains thereby the term 'abstract labour.'

but does not exclude this essence in general: on the contrary, it necessarily presupposes it as a comprehensive actual embodiment of omnipotent functional forms.

The fact that we have here something to do with the dialectical contradiction inherent in the very nature of phenomena and concepts in their dynamic manifestations, irreconcilable, however, only from the point of view of the metaphysical method of thinking, becomes wholly evident from the following example. Social categories, such as 'capitalist', 'feudal', or 'slaveowner', are not only opposed, in their specific social significance, to the concept of 'human being' as such, in its direct character, but also exclude each other as historical categories in the determinedness of their form. But, on the other hand, in this determinedness of form too, their 'identity' as people in general, in the natural sense, is not only never removed, but also appears as an indispensable condition of their existence in the 'difference' of one and the same social form: they cannot but be both identical and different at the same time, they both belong to nature and are opposed to it, as they equally contradict each other, despite each being identically the personification of exploitation. In respect to the *subject* of society, i.e., human beings, this proposition does not occasion, in spite of its subtle content, any difficulties or doubts.

We will have a different problem when speaking about the *predicate* of society, labour, as its constituent factor. To understand that the economic form can modify the physiological essence of labour, not entering into irreconcilable contradiction with its immanent character as a natural phenomenon, and negating this substantial nature of labour only in the direct expression of a given specific form, turns out to be beyond the limit of capacity not only of 'critics' ex professo, but also, to our astonishment, of some 'critical' interpreters of Marx. Why not quote here the pertinent, instructive words of Engels from his classical characterisation of the scientific impotence of the metaphysics in *Anti-Dühring*. These well-aimed remarks do not lose their freshness even now, and //18/shed brilliant light on that difficulty from which many commentators on Marx's theory in our country recoil.

To the metaphysician, things and their mental reflexes, ideas, are isolated, are to be considered one after the other and apart from each other, are objects of investigation fixed, rigid, given once for all. He thinks in absolutely irreconcilable antitheses. 'His communication is 'yea, yea; nay, nay'; for whatsoever is more than these cometh of evil'. For him *a thing either exists or does not exist; a thing cannot at the same time be itself and something else*. Positive and negative absolutely exclude one another; cause and effect stand in a rigid antithesis one to the other. At first sight

this mode of thinking seems to us very luminous, because it is that of so-called sound common sense. Only sound common sense, respectable fellow that he is, in the homely realm of his own four walls, has very wonderful adventures directly he ventures out into the wide world of research. And the metaphysical mode of thought, justifiable and even necessary as it is in a number of domains whose extent varies according to the nature of the particular object of investigation, sooner or later reaches a limit, beyond which it becomes one-sided, restricted, abstract, lost in insoluble contradictions. In the contemplation of individual things, it forgets the connection between them; in the contemplation of their existence, it forgets the beginning and end of that existence; of their repose, it forgets their motion. It cannot see the wood for the trees.⁸

Unfortunately, the metaphysical 'restrictedness' is not at all the object of monopoly only of the 'critics', but from time to time penetrates gradually into the 'critical' works of a considerable part of the followers of dialectical Marxism. How often the latter, in their irrepressible zeal for popularisation and still more for 'deepening' or 'correcting' Marx, involuntarily roll down the downward slope into the rotten swamp of the most mediocre vulgarisation! This fate did not exempt also Marxist Rubin in the attempt to found his 'sociological theory of abstract labour'. Only the fruitful elaboration of individual problems in his excellent work could ensure success, along with its undeniable qualities and its novelty in the interpretation //19/of abstract labour, contradictory and fallacious from beginning to the end.

Rubin, the author of the *Essays* we criticise, builds both his criticism and his attempt to transform Marx's theory of labour on the unstable foundation of false assumptions. The imaginary contradictions and dissonances he discovers in Marx are brought into the world of true science, best objectified in *Capital*, from the world of misunderstanding of Marx's dialectical method, quite alien to science. However, Rubin himself remains entirely ignorant of the genuine relative significance of his 'critical transformation' for the whole economic system, as an equally and relatively 'brilliant triumph' of his work within the boundaries of the task he sets. However, his solution of the problem, welcomed by his partisans and defenders as an almost unprecedented discovery, is not only fallacious in its primary grounds, but also includes within it nothing to be called anyway a solution.

8 [Engels, *Anti-Dühring: Herr Eugen Dühring's Revolution in Science*, 1877, MECW/25, pp. 22–3, MEGA, I/27, pp. 232–3. Emphasis added].

Thereby the whole of Marx's theoretical construction is sacrificed for the methodological error of Rubin. Rubin does not only reject Marx's determination of abstract labour, as it is grounded in the section especially allotted to it, where the author of *Capital* emphasises his achievement of having 'critically' elaborated this 'central point' of theory, in his words; Rubin also eradicates the general methodological foundations of this construction, shaking thereby the entire system. Advancing, in the place of production, exchange as the source constituting abstract labour, Rubin does not remove, in spite of his own inconsistency, the doubts arising with regard to the relation of value and with it also of surplus value to one or another given moment of the process of reproduction.⁹

Therefore, the general evaluation of his construction must start precisely from a critical re-evaluation of the methodological grounds on which rests his construction; the latter falls together with the refutation of its fundamental principle.

On the other hand, the well-known merit in this question can be recognised for the author of *Essays*. We are not speaking about the fact that //20/there exist in his work individual truly critical remarks, directed against the 'energy' point of view, or that we owe to him the revival of interest in the problem of labour in its comprehensive significance. In this respect we cannot but recognise the impartiality of the accusation Rubin throws on the popularisers of Marx that, in economic literature, they gave disproportionately little attention and place to this most important problem of political economy. Together with this, all the timid and undeveloped attempts, undertaken at different times by other authors in the same renovative direction, concentrate in his *Essays* all the effort of his argumentation for giving a finally completed foundation to the definite interpretation in this controversial problem. Thus, we find in his construction the basis for a fruitful critical verification of Marx's theory of labour in its whole scope. But at the same time, the critique of *Essays* transforms itself into a refutation of the whole direction which the most famous spokesman of its views and doubts, Rubin, sums up with his critical quests and creative attempts.

In this way our task is in its critical part already outlined./

9 Let us point out that we do not have to draw everywhere the necessary demarcation between abstract and economic labour when mentioning the points of view of other authors. We will be obliged to follow the word usage established in economic literature already in Marx's time, drawing only once again the attention of the reader to the fact that Rubin uses 'abstract labour' everywhere entirely in the meaning of economic labour.

/21/Chapter 1. Two Poles of the Fundamental Methodological Error of Rubin^[562]

The fundamental law of historical materialism, positing the development of the productive forces as the decisive factor of historical development, conditioning with their movement the development and change of social forms, is also one of the basic cornerstones of Marx's economic system. Here the expression of this law is the dominant role of production as the sphere constituting social relations and economic categories. Further, the relation of the latter to the different spheres of the social process (production, distribution, exchange) has in his system so important a methodological significance that a digression from Marx's theory in this decisive point must apparently condemn in advance any attempt of a correct interpretation of the theory of the author of *Capital* in any of its parts.

But such a decisive importance is allotted in his system to production, because this sphere itself is considered by him inseparably from its social form.

Marx writes:

The relations and modes of distribution thus appear as merely the reverse aspect of the agents of production ... The *structure* of distribution is entirely determined by the *structure* of production. *Distribution itself is a product of production, not only with regard to the object, since only the results of production can be distributed, but also with regard to the form, since the particular mode of participation in production determines the specific forms of distribution, the form in which one shares in distribution.*¹⁰

/22/Together with this, Marx repeatedly emphasised also the subordinate importance of exchange in the turnover of the reproduction process. In the same place Marx writes:

[P]rivate exchange presupposes private production; ... Exchange in all its moments appears either to be directly comprised in production, or else determined by it ... A definite (mode of) production thus determines a definite (mode of) consumption, distribution, exchange,

and so on. Finally, that

[562] The following is the translation of the first half of this chapter.

10 [Marx, 'Introduction', MECW/28, pp. 32–3, MEGA, II/1.1, pp. 31–2] (emphasis added – S. Sh.).

*exchange and consumption cannot be the dominant moments is self-evident.*¹¹

According to Marx, from the perspective of the social (commodity) form, 'production is the dominant moment, both with regard to itself in the contradictory determination of production and with regard to the other moments.'¹²

Conversely, noticing the inverse dependence of production in relation to the various moments of the whole process, Marx points out the particular, one-sided character of their effect on it. He says: 'Production *in its one-sided form* (emphasis in original – S. Sh.), however, is in its turn also determined by the other moments. For example, if the market, i.e., the sphere of exchange, expands, then production grows in volume, and becomes more differentiated.'¹³

Thereby is precluded in advance for exchange the significance of an autonomous, delimited sphere of social phenomena, contraposed to production with its immanent social-economic particularities, genetically alien to production itself in its specific commodity form. On the contrary, each of the fundamental economic phenomena of the economic process, manifesting itself in the sphere of exchange, must be methodologically determined in its concept from the analysis of production, taken up, naturally, in its developed form. Marx proved this most persuasively in the entirety of his monumental work.

It is surprising that individual Marxist researchers, in search of a satisfactory solution to the problem of economic labour, chose for starting point of their construction precisely the negation of this fundamental cornerstone of Marx's theory. This aspect of the problem //23/all the more deserves the most concentrated critical attention.¹⁴

¹¹ [ibid., p. 36, II/1.1, p. 35. Emphasis added].

¹² [ibid.].

¹³ [ibid., pp. 36–7, II/1.1, p. 35].

¹⁴ The appearance of this methodological atavism, very widely diffused among the younger Marxist economists, is all the more unjustified because in Marx's works we can find enough places convincingly warning against this point. Thus, in the chapter 'Historical Facts about Merchant's Capital [Chapter 20 in Vol. III of *Capital*],' after a detailed investigation of the problem on the material preconditions of the development of theory, Marx concludes it with the following general assertion: 'The first theoretical treatment of the modern mode of production – the mercantile system – proceeded necessarily from the superficial phenomena of the circulation process as individualised in the movements of merchant's capital, and therefore grasped only the appearance of matters ... The real science of modern economy only begins when the theoretical analysis passes from the process of circulation to the process of production' [*Capital*, III¹, p. 337, MEGA, II/15, p. 329]).

Since the radical divergence of Rubin from Marx lies primarily on this plane, and the difference in their establishment of the concept of abstract labour must be explained from here, the basis of the 'sociological theory of abstract labour' advanced in *Essays* must be first of all disclosed.

In the chapter on 'Abstract Labour', the problem of labour is treated by the author thus:

For the correct understanding of the contraposition between concrete and abstract labour, we must start from the aforementioned opposition Marx draws between private and social labour. As private appears the labour of individual member of a society insofar as it is not connected with labour activity of other members of the society. The mutual connection and mutual dependence of the labour activities of individual members of society transform their private labour into social labour. *The particularity of commodity-capitalist society consists in the fact that this mutual connection manifests itself only in the act of market exchange, this point of encounter of the individual independent commodity producers ... In other words, as long as a commodity producer is occupied with his concrete, special labour, it is private labour; it becomes social only through the act of market exchange, i.e., in the form of the equalisation of the products of extremely different kinds of labour, in the form of abstract labour. The social character of labour manifests itself in the act of abstraction //24/on the market from its concrete technical determinateness.*¹⁵

*'Abstract labour is created by exchange.'*¹⁶

In these excerpts an interpretation of the opposite determinations of labour is developed most fully and clearly, allowing us to reveal the shortcomings of the methodological foundation of the whole problem in Rubin's *Essays*.

First of all, the author starts here altogether unfoundedly from the contraposition of production as the sphere of the private to exchange as the sphere of the social. The result of such an erroneous contraposition is that both production and exchange are represented unilaterally, therefore, as autonomous moments of the process, mutually excluding one another. Apart from the fact that the author overlooked in this case all the elucidation of the problem given by Marx in dozens of pages in Volume 1 of *Capital* alone, we have here in our

15 I. Rubin, *Essays on Marx's Theory of Value*, pp. 100–1 [*Essays*, second edition, pp. 211–2 in the present translation. Emphasis added and original emphasis in the last sentence is not reproduced in Shabs's quotation].

16 *ibid.*, p. 103 (emphasis added – S. Sh.) [*ibid.*, p. 214 in the present translation].

presence the negation of the private moment in exchange, as well as the social moment in production, in short, the negation of the twofold, contradictory character of the whole process.

From here arises in turn the fundamental shortcoming in the interpretation of the determinations of labour; the twofold character of labour acquires such a one-sided expression: in one form, private (concrete) in production, in another form, social (abstract) in exchange. Finally, in continuing to develop consistently the point of view of the author, we will arrive at the supreme point of his construction, consisting in transferring the phenomenon of value (and surplus value) to the sphere of exchange, and use value, i.e., the phenomenon of private order, to production. Thereby, all this meaningless interpretation will be, to use Marx's expression, reduced to its true meaning, i.e., to meaninglessness.

In the 'Introduction' and elsewhere, Marx severely ironises such an understanding of the process as Rubin displays in this case. Marx says that, 'conceived most superficially, distribution appears as the distribution of products, and thus further removed from production and quasi-independent of it.'¹⁷ But in fact 'distribution itself is a product of production, //25/*not only with regard to the object ... but also with regard to the form*'.¹⁸ In another place: 'It is a long-established view that at certain periods people lived exclusively by plunder. But to be able to plunder, there must be something to plunder, and this implies production. Moreover, the manner of plunder is itself determined by the manner of production'.¹⁹ Engels states a similar idea in *Anti-Dühring*: 'Production and exchange are two different functions. Production may occur without exchange, but exchange – being necessarily an exchange of products – cannot occur without production.'²⁰

In the first quotation from 'Introduction', we obtain *mutatis mutandis* the evaluation of the construction of the author of *Essays* by Marx himself.

However, the whole construction of Rubin must be rejected already in general view of its methodological foundation. The insistence on the importance of the process of exchange as a separate social sphere, only within the boundaries of which labour acquires its social character, and the transformation of production into a sphere of predominance of the private relation of the producer to the milieu of material production, without any relation to the social conditions of the process, isolate production from the economic science as the object of this scientific discipline in general. The fact itself that labour as

¹⁷ [Marx, 'Introduction', MECW/28, p. 33, MEGA, II/1.1, p. 32].

¹⁸ [ibid., pp. 32–3, II/1.1, p. 32] (emphasis added – S. Sh.).

¹⁹ [ibid., p. 35, II/1.1, p. 34].

²⁰ [Engels, *Anti-Dühring*, MECW/25, p. 135, MEGA, I/27, p. 340].

the basic factor of the existence of society, and therefore, according to Marx's own expression, as the 'the pivot' of the theory, on which 'turns a clear comprehension of political economy' [*Capital*, I, p. 49, MEGA, II/6, p. 75], of all of its categories, constitutes its social-functional form outside its real entity, outside the social process itself of labour, such a fact would have to serve as the most infallible indicator of the imperfection of the science itself. Indeed, it is utterly evident, that if labour, comprising the kernel of the entire complex of social relations of production, labour, filling with its 'content' all economic forms, constitutes its social determination only in exchange, production, as a private sphere, along with another private sphere, i.e., consumption, //26/ will consequently turn out to be outside the boundaries of economic science, and the latter will be anew reduced finally to the level of its 'primitive', germinal state, when the domain of its research was wholly concentrated on the phenomena of exchange. Such is the irreversible conclusion from the presuppositions on which Rubin's construction relies, and which he ascribes to Marx as its founder.

But in truth Rubin's construction contradicts the fundamental principles of Marx's theory to such a degree as to fit in no way with the rigorous framework of this orderly, monistic theory. Moreover, it is directly discordant with the methodological foundations of Marx's treatment of the problem of labour, with what the author of *Capital* states on this question; Rubin's construction is equally incompatible with both the spirit and the letter of Marxist economy.

In the third part of Volume I of *Capital*, 'unnoticed' by Rubin, entitled 'The Production of Absolute Surplus Value' [*Capital*, I, pp. 173–92, MEGA, II/6, pp. 192–210, including only the first chapter of this part, 'The Labour-Process and the Process of Producing Surplus Value']], Marx analyses in detail the aspect of the question we are interested in here. The labour process in commodity-capitalist society is determined as the process of production of commodities, i.e., of use value and value at the same time. From here labour itself is also considered from a twofold perspective: from the point of view of technical content, common to every social form of economy without distinction, and from the point of view of the social, commodity form. In the first case, the difference is not drawn among individual factors of production in the direct material process, such as man, machine, draft animal, and forces of nature. The degree itself of participation of these interactive factors of production as elements creating useful goods is indistinguishable, although the human factor, regulating the whole of this process, is apparently dominant.

This objective process of labour is considered from the social point of view abstractly, in a double sense: on the one hand, outside the connection of the producer with the material sphere of his action, and at the same time, on the other hand, independent of, abstracting from the particular form of his

production function. Here appears exclusively a social factor of this process, i.e., the expenditure of his labour power, the expenditure of human labour as such. And since in this precisely abstract expression, as this 'becomes explicit in exchange' (Hilferding's expression), labour gives //27/a foundation for social connection among equal, autonomous producers in the society of commodity production, labour in abstract form acquires also a social-functional significance and the form of economic labour – in other words, of directly social labour under the historically determined system (form) of social connections dominant in the commodity economy.

These well-known propositions of Marx's, occupying an outstanding place in his foundation of the theory of labour value and outlining the solution of the problem of economic labour on a rigorously scientific theoretical basis, common with this theory, encounter the extremely various, disparaging attitudes, even implausible for the most part, of contemporary commentators ... Rubin radically raises the problem, repudiating the possibility itself of the emergence of abstract labour within production. 'Abstract labour *does not exist* without the act of exchange and without the all-round equalisation of the products of extremely various kinds of labour.'²¹/

21 I. Rubin, *Essays*, p. 103 [in the second edition, p. 204 in the present translation. Emphasis added]. Of course, Rubin necessarily falls into contradiction with himself when he turns to the phenomena of other forms, for example, of the socialist form, where, according to his own recognition, the abstraction of labour will not be conditioned by the 'acts of exchange.' Indeed, here also the author holds on to the 'act of equalisation' as 'equaliser' of different kinds of labour, as if to cover up with this his retreat. Instead, he does not suspect that, insofar as he puts the magnitude of value in connection with production, already in the boundaries of the phenomena to be observed only in commodity society he retreats from the conception he defends. 'With reference to value labour counts only quantitatively, and must first be reduced to human labour pure and simple' [*Capital*, I, p. 52, MEGA, II/6, pp. 78–9].

The delusion of Rubin, neglecting the abstraction of labour as the precondition of the quantitative determination of it (labour), is very convincingly disclosed by I. Dashkovsky, critic of Rubin, in his article 'Abstract Labour and Economic Categories of Marx' (cf. journal *Under the Banner of Marxism*, no. 6, Moscow, 1926). Dashkovsky writes: 'The measurement of labour in any economic system is operated, according to Marx, in no other way than with *labour time* ... If Rubin and Voznesensky refuse to consider this labour as abstract labour, they will have to create a third category especially for it, since it is unthinkable to count concrete labour in abstract units. The concept itself of *counting* means abstraction from any *qualities*' (pp. 209–10 [p. 649 in the present translation. Emphasis in original but not reproduced in Shabs's quotation]). However, Dashkovsky himself was occupied in creating this 'third category.' He says: 'In the commodity economy, the private labour of independent commodity producers is transformed into social labour on the market, first, because its products take on the form of commodities, and, second, because owing to this mutual equalisation of commodities and only through this transformation

/28/Against this attempt to restore the theoretical delusions of the preclassical economists, who sought to explain economic phenomena and concepts from the domain of the market, it is necessary of course to fight with the weapon of clarity at the theoretical foundation. And this applies to a far higher degree to the 'critical interpreters', Marxists, than to the critics from another camp, generally careless about scientific truth. We will therefore try to complement the propositions mentioned above with convincing arguments from Marx, before trying to object to the interpretations criticising Marx on this point.

The labour activity of man is, as is well known, the basis of socially organised economic formations on every stage of historical development of human society. Therefore, the social relations of production fill with their content the social existence of any economic aggregate of people. However, the specific form of social relations of people in their productive activity under one or another historically given form of economy is not directly determined by the essence itself of the labour process, the content of which is an eternally necessary natural 'process between man and Nature' [*Capital*, I, p. 476, MEGA, II/6, p. 478]. On the contrary, these mutual relations of producers take shape directly through the effect of that particular social manner in which they perform their productive function in society, or, in other words, through the adequate social form of organisation of labour, which develops and changes in turn on the basis of growing qualitative changes in the productive forces of society. Exactly in the same way also the form of labour as the element connecting the economic process into an organised unity, into a social whole, or the social form of labour, does not have for its constituent source directly the relation of man to nature in his struggle for existence, but rather the character of the social connections of producers in their interrelations on the basis of labour activity in a given structure of social economy./

/29/From here it follows that the *form of labour* which functions as a factor in socialising the economic process *must* be methodologically determined in correspondence with the social form and *reflect the social entity of the producer* under a historically given form of social organisation of labour.²² Marx illus-

occurs the abstraction from the concrete particularities of labour, the transformation of concrete into abstract labour' (p. 207 [p. 645 in the present translation]). From here follows the conclusion that also 'the measurement of labour' is to be operated for him [Rubin] in connection with exchange. In this way, Rubin's error is brought to its logical consequence by Dashkovsky. The retreat from the methodological foundations of Marx's theory leads to such a misadventure.

22 Let us notice, that our 'critical interpreters' of Marx start, in analysing the character of the social form of labour, *from its correspondence not to the social entity of the producer himself, but to the social entity of the product of his labour*. From here the modernised 'soci-

trates this by the example of two social formations, different in their structure, the natural and the commodity economy.

In natural societies of *antagonistic type*, in correspondence with the social organisation of production inherent in them and based upon the dominance of *personal dependence* within them, the relations of production assume a *one-sided* and also natural character. Individual atoms of a natural economic unit materially and personally gravitate toward one another as parts of a naturally connected organism of production, secluded in its own boundaries. Therefore, labour, connecting the members of society in this self-sufficient economic organisation, or more exactly, realising the connection of domination and subordination within it, appears exclusively in its direct form, whether it is labour or its product that is directly appropriated. Such is the situation prevailing in slaveholding societies. As the producer himself is depressed to the rank of simple //30/tool for obtaining material goods (*instrumentum vocale*), his labour is represented as one of the elements in the complex of functioning factors in the process of production. This dependent status of the individual in a society with a low level of development of the material productive forces on a given stage of historical development makes human labour, due to its decisive importance in production, the universal technical factor of production, unifying and covering in the concept of direct labour the ensemble of elements of production. This is why labour functions in its shape undifferentiated from the material elements of process, in its concrete form, in a given historical epoch under given historical conditions of existence of the producer in society, as the basis of social connection, and is determined in this character as the social form of labour.

The situation is different in commodity society with its particular structure of economy and the form of social relations of production characteristic of it,

ological' fetishism, if it may be called thus, raises the 'equalisation of things' to the 'creator' of abstract labour. Both Rubin and Dashkovsky proceed thus, relying thereby, of course, on Marx, in interpreting him wrongly, as this is completely sufficient for this purpose. Marx, however, states in this respect completely intelligible judgements. 'Introduction' begins with the following sentence: 'To begin with, the subject to be discussed is material production. *Individuals producing in a society – hence the socially determined production by individuals is of course the point of departure*' (emphasis added – S. Sh. [Marx, 'Introduction', MECW/28, p. 17, MEGA, 11/1.1, p. 21]). In another place: 'Just as generally in the case of any historical, social science, so also in examining the development of economic categories it is always necessary to remember that the subject, in this context modern bourgeois society, is given, both in reality and in the mind, and that therefore *the categories express forms of being, determinations of existence – and sometimes only individual aspects – of this particular society, of this subject*' [*ibid.*, MECW/28, p. 43, MEGA, 11/1.1, p. 41. Emphasis added].

these relations being realised in the *bilateral* acts of exchange among *personally independent* producers. Here the *social individual* appears not as the res vocale [cf. p. 393, note 41 in the present translation] of the slaveholding society, not as a tool for obtaining products, but in the full significance of a social subject, formally, i.e., *abstractly unlimited in his autonomy*, freed from 'natural connections', and therefore contraposed from this point of view to the remaining nature. *In correspondence with this social nature of the producer in commodity producing society, determined by the specific social form of production, labour too, in its significance as social labour, this most important economic phenomenon, appears in its autonomous, purely human, abstract expression, in contraposition to all the remaining factors of the process of production as elements of nature.*

Only in putting at the forefront this corresponding relation between the social producer and social labour, the subject of society and its predicate, can we represent more clearly also the specific social content of the relations of production, which is concealed behind one or another way of expressing the latter. //31/Consequently, the circumstance that in the conditions of the commodity economy the social relation of labour, or the relation of social labour, of social substance par excellence, assumes in the social process a material, fetishised expression, can only appear as a derived, external expression of the 'movement of human society' as such. The material form of the movement of society expresses the nature not of things, as this is already self-evident, but of people as social producers, or rather of their labour; the form of value represents in this way the material form of the expression of social labour, value becomes the universal 'mode of expressing human labour', and money as the universal social means for this expression.

Marx has the same in view when he says that '*the form or expression of the value of a commodity originates in the nature of value, and not that value and its magnitude originate in the mode of their expression as exchange value.*'²³ In other words, the character of labour, expressed in the form of value, is not conditioned by the latter, but, on the contrary, the form of value itself is only the corresponding way of expressing labour in its adequate social form, in its abstract, social character.

However, here begin the distorted reinterpretations of some commentators, warping the problem. In their opinion, only the external form of expression of labour can rescue the proposition of abstract labour as a historical category, since abstract labour in general, in itself, understood as the expenditure

23 [Capital, I, p. 66, MEGA, II/6, p. 92] (emphasis added – S. Sh.).

of labour in the physiological sense, manifests its existence under any other social form; for them the 'nature of value' turns out to be a 'conditional form of value'. They give very long quotations from the section on 'commodity fetishism', where Marx attempts to clarify the 'mysterious', 'enigmatic' character of the commodity form of the product of labour, with the *conditions of difficulty* Marx indicates *for the producers in gaining awareness of its social content*, i.e., abstract labour, expressed in value, transformed, in the eyes of these authors, into the *specific condition, giving rise to* //32/*this social content*, i.e., into the conditions determining the *particular nature* of abstract labour.

Marx raises the problem: 'Whence, then, arises the enigmatical character of the product of labour, so soon as it assumes the form of commodities?'²⁴ And further, in taking off the 'mysterious', 'fetishistic' veil, 'wrapping the product of labour' in commodity society, Marx concludes the analysis with the following idea:

The recent scientific discovery, that the products of labour, so far as they are values, are but material expressions of the human labour spent in their production, marks, indeed, an epoch in the history of the development of the human race, but, by no means, dissipates the mist through which the social character of labour appears to us to be an objective character of the products themselves.²⁵

How is this train of thought of Marx's refracted by partisans of the alleged 'sociological theory' of abstract labour? Inserting within it their own idea, they inquire: whence arises the *particular character of abstract labour* as a phenomenon of the commodity form? And it is self-evident that they arrive at a significant result: in commodity society abstract labour is not identical to human labour in its immanent objective character, as it exists among others, in *natura rerum*, but to the product of some invisible mysterious creator – the 'act of equalisation of things'.

Rubin writes: 'The physiological equality of various kinds of human labour has always existed and itself represents a fact, indifferent toward the social form of production'. Without 'the act of equalisation of the products of labour' abstract labour does not exist for him. 'Abstract labour is created by exchange.'²⁶

24 [ibid., p. 76, II/6, p. 103].

25 [ibid., p. 79, II/6, p. 105].

26 I. Rubin, *Essays*, p. 103 [*Essays*, second edition, p. 241 in the present translation].

We will not dispute whether the law discovered by Rubin, posing that the 'equalisation of things' acquires in commodity society a specific capacity to 'create' abstract labour, is true, since his 'theory of abstract labour' is entitled to be recognised as of trans-sociological and transhistorical character. But, in spite of this, it has nothing in common with Marx's understanding, since for the author of *Capital* things are incomparable in their diversity; and secondly, according to Marx, it is not the 'equalisation of things' that creates abstract labour, but totally on the contrary: this //33/'equalisation of things' is itself conditioned for him by the precondition of the equality of human labour in its objective character, as far as things serve as its expression in commodity society.

Marx says: 'It is true that the tailoring, which makes the coat, is concrete labour of a different sort from the weaving which makes the linen. But *the act of equating* it to the weaving, *reduces* the tailoring to *that which is really equal* in the two kinds of labour, to their common character of human labour.'²⁷ Marx's point of view is even more clearly stated in the following text:

*It is not money that renders commodities commensurable. Just the contrary. It is because all commodities, as values, are realized human labour, and therefore commensurable, that their values can be measured by one and the same special commodity, and the latter be converted into the common measure of their values, i.e., into money.*²⁸

Thus, 'equalisation' reduces different kinds of labour to what is 'actually equal' in them, but does not create this element of equality, i.e., abstract labour. Abstract labour, as the basis of the commensurability of the products to be exchanged, is, according to Marx, the preliminary condition, the precondition, but not the result of the equalisation of things: 'It is not money that renders commodities commensurable', but, conversely, the commensurability of commodities, as far as they express an equal 'substance', abstract labour (consequently, abstract labour is already given as something autonomous conceptually, as the material of this expression, prior to equalisation), is the necessary precondition for the 'transformation' of one determinate commodity into the measurer of all the others, into money. Is it still necessary to prove that the disregard of production as the sphere in which arises abstract labour has no room for the author of *Capital*? This is as much evident as the fact that pre-

²⁷ [*Capital*, I, p. 57, MEGA, II/6, p. 83. Emphasis added].

²⁸ [*ibid.*, p. 97, II/6, p. 121. Emphasis added].

cisely the discrepancy with Marx in this respect obliges Rubin to seek the basis of exchange in the acts of exchange, of the equality of commodities in their equalisation, i.e., to seek something, which, as we will see later, results in a quid pro quo, in a vicious circle, //34/ dooms in advance all his attempts to unavoidable bankruptcy.²⁹

We have still to stay briefly on the argument drawn from Marx, with which Rubin tries to reinforce the methodological error of the 'sociological theory' of abstract labour we have considered just above. Marx says:

Compulsory labour is just as properly measured by time, as commodity-producing labour; but every serf knows that what he expends in the service of his lord, is a definite quantity of his own personal labour power. The tithe to be rendered to the priest is more matter of fact than his blessing. No matter, then, what we may think of the parts played by the different classes of people themselves in this society, the social relations between individuals in the performance of their labour, appear at all events as their own mutual personal relations, and are not disguised under the shape of social relations between the products of labour.³⁰

From here Rubin already arrives at the definitive conclusion that abstract labour, understood as labour expenditure in its natural character, clearly does not correspond to the category of 'abstract labour' which is the determination of labour only inherent to a definite historical form, namely the commodity form; on the contrary, in considering abstract labour as a phenomenon arising in the mysterious fog of the 'acts of equalisation', we protect hereby the 'social-historical abstract labour' from its confusion with another, physiological abstract labour, 'indifferent to the social form of production'.

Leaving aside the mysterious fear of the physiological character of human labour, as well as the doubtless fact that this place is only one of the links in the chain of the disclosure of commodity fetishism, we point out that in this case also, it is only the corresponding incorrect statement of the problem, oriented to the wrong direction, //35/ which leads to the false interpretation of Marx's

29 Submitting to critical overview the positive argumentation of Rubin, developed by him in order to give foundations to his determination of abstract labour, Dashkovsky correctly concludes in his article mentioned above: 'But the worst of all is that all the definitions of abstract labour we have quoted (from *Essays* – S. Sh.) lead to the unavoidable conclusion: *it is not labour that creates value, but the other way around*' (*Under the Banner of Marxism*, no. 6, 1926, p. 215 [p. 656 in the present translation. Emphasis added]).

30 [*Capital*, I, p. 82, MEGA, II/6, p. 108].

propositions. The fact that Marx notices the entity of human labour as such, i.e., of abstract labour, as a phenomenon independent of social form is as much indisputable as banal, since human labour as such is, as are human beings themselves, a phenomenon of nature above all, and consequently represents a 'transhistorical' category. But does this mean that he asserts at the same time abstract labour as a phenomenon *socially significant* under any social form of economy? Such an affirmative conclusion can never be drawn from the above quotation. On the contrary, Marx points out in another place that 'the simplest abstraction which plays the key role in modern economy, and which expresses an ancient relation existing in all forms of society, *appears to be true in practice* in this abstract form *only as a category of the most modern society*.'³¹ And why it is so is completely understandable. The circumstance that a slave, for example, regards his labour as human labour does not make this labour socially significant, in the same way as the foundations of slavery are not affected by the fact that the slave considers himself as a human being and not as a *res vocale* [cf. p. 282 in the present translation [original note 41]]. As long as the slave is not freed from the conditions of slavery, he does not become a human being in social significance (although he represents himself as such in his physical nature), and his labour in the society of slave owners will be considered as a material-technical factor and that's all, as the energy of a machine, only one possessing the gift of speech. And it is well known that in slavery regimes this subjective point of view of the slaveowners, but not of the slaves, is dominant in society, and consequently, objectively social.

Such a dialectical understanding, entirely relying on Marx's interpretation of the question, in no way fits into the representations of the 'critical' interpretations, for which 'things and their mental reflexes, ideas, are isolated, are to be considered one after the other and apart from each other, are objects of investigation fixed, rigid, given once for all.' The metaphysician 'thinks in absolutely irreconcilable antitheses. 'His communication is 'yea, yea; nay, nay'; for whatsoever is more than these cometh of evil.'³²

/36/Thus, as clearly appears from all preceding description, in the non-commodity societies of antagonistic type labour in social significance is identified and coincides with the material productive forces in general. On the contrary, in commodity society the former is straightforwardly opposed to the latter. But, on the other hand, it is evident that production as such remains in all historical epochs one and the same natural-technical process. Marx says: 'Natural

31 [Marx, 'Introduction', MECW/28, p. 41, MEGA, II/1.1, pp. 39–40] (emphasis added – S. Sh.).

32 [Engels, *Anti-Dühring*, MECW/25, p. 22, MEGA, I/27, p. 232].

laws cannot be abolished at all. The only thing that can change, under historically differing conditions, is the form in which those laws assert themselves.³³ Therefore, the social aspect of production, its specific social content, appears in its peculiarity only in social-historical perspective, i.e., in economic analysis in connection with the social form of economic organisation. Thus, for example, the productive forces themselves unify in their concept all factors of production, including also man as a necessary element in the material process. Marx writes: 'This productiveness is determined by various circumstances, amongst others, by the average amount of skill of the workmen, the state of science, and the degree of its practical application, the social organisation of production, the extent and capabilities of the means of production, and by physical conditions.'³⁴ But in political economy as social science, studying only the social aspect of the economic process under the commodity-capitalist form, a sharp line is drawn between its material and social content, between material productive forces in concreto and human labour, as interactive antagonistic factors. The productive forces are included in the circle of the phenomena considered in economic science only insofar as is necessary for reflecting that interaction which they exercise in their development on the phenomenon constituting social relations, i.e., 'labour'. From this aspect, the importance of the category 'productive forces' for the system of economic concepts is enormous.

But in such a case the labour process acquires a twofold character, unifying within it the contradictory elements: on the one hand, material element, i.e., productive force, technical-productive complex and, on the other hand, social //37/factor, human labour, swallowing in its social function also the sphere of dead means of production with the reduction of their material substance to human labour, expended on their production, with the reduction of their use value to the value included in them.³⁵ And from here it follows in turn that

33 [Marx's letter to Kugelmann of 11 July 1868, MECW/43, p. 68, MEW, vol. 32, p. 553].

34 [*Capital*, I, p. 47, MEGA, II/6, p. 74].

35 In order to clarify more thoroughly the essence of the problem and the merit of Marx in its solution, it is necessary to get an idea, even if a most general one, about the historical process of exploratory research preliminary to this solution. The forefathers of economic science tried in a germinal form to find the solution to the problem of the twofold character of labour not in the opposition between concrete and abstract forms of it, but in the opposition of one particular concrete kind of labour, distinguished by its particular social importance, to all the others, thus the way to the correct solution of their task was essentially closed. 'The difference between concrete useful labour and labour which creates exchange value aroused considerable interest in Europe during the eighteenth century in the following form: what particular kind of concrete labour is the source of bourgeois wealth?' [*Critique*, p. 297, II/2, pp. 134–5].

labour in its twofold characteristic is exhausted already in production in that social form of it, in which exchange is a priori presupposed as form of distribution of social wealth. Precisely for this form this twofold nature of labour is socially significant, while in itself this nature of labour is not generally conditioned socially. The economic facts, appearing in production but acting here still potentially, 'become explicit', 'manifest themselves' in the movement in the sphere of their realisation, in exchange. Production in commodity society is a priori a production for exchange. Furthermore: exchange in capitalist society (let us remind ourselves of this, running somewhat ahead) is not only the final but also the starting point of production. $M-C-P-C^1-M^1$ –, this is the formula of the reproduction of capital.

Thus, to pursue and find the twofold character of labour as a phenomenon of production is not only possible (against this perhaps no one will contest), but also, in our opinion, possible only within the boundaries of this sphere; precisely here turns the analysis also when, //38/in disclosing the economic facts as they manifest themselves on the surface of market phenomena, it proceeds to explain them in the content of the relation of production already taken shape in production. But in the following we will still try to prove that the retreat from the methodological foundation of abstract labour, as we have roughly developed it just now, destroys the whole grounds for scientific explan-

This restricted statement of the problem, together with its other insufficiencies, expressed in the fact that the investigation of the question was conducted in the more complex connection with the provenance of surplus value, is explained by the insufficient development of the material preconditions, by the low level of development of commodity-capitalist production, advancing in front of researchers alternately one or another certain branch of social labour, important from the point of view of the national economy, as the decisive source of wealth for the bourgeois country.

But even in the writings of the classical economists, who accomplished this preparatory period of critical researches in advanced capitalist countries, for example in the works of Ricardo, to whom belongs the last word in this domain in the pre-Marxist period, the scientific elaboration of the question of the twofold character of labour does not acquire a clear formulation, it is rather only outlined. For the achievements of Ricardo, the border was drawn by his metaphysical starting point of view on the bourgeois form as the natural, and therefore eternal and intransient organisation of society. Therefore, while placing labour in a suitable connection with the whole system of economic categories, he lost sight of the dynamic aspect of the phenomena, and of the decisive factor of historical development, i.e., the productive forces, which become apparent in their rising movement in capitalist society in contradiction with the movement of value. This phenomenon, reflecting the twofold character of labour, is not consistently mastered in his economic system.

Only in Marx's economic system was the problem of labour in its whole scope, the solution of which was prepared by the efforts of researchers of some former generations, distinctly and scientifically raised and solved at the same time.

ation of the fundamental phenomena of the social process in commodity society. All the references to Marx with which attempts are made to refute these fundamental views of him, are clearly unsustainable, and founded everywhere exclusively on a false interpretation of his texts. On the contrary, Rubin himself, when defining the magnitude of value and the law of value and other individual determinations, retreats from the delusions in this question he himself maintained.

Now let us move to exchange. Let us look at the situation in this sphere where, in the opinion of Rubin, labour manifests itself in its one-sided social (and abstract) form. Here we have to say with conviction at once that, in treating exchange one-sidedly, solely as a sphere of social phenomena, the author reveals only his own one-sidedness./

/39/Hilferding writes: 'The social nexus manifests itself as the outcome of private relationships'.³⁶ And Marx says in the chapter on 'Exchange' as follows:

Every owner of a commodity wishes to part with it in exchange only for those commodities whose use value satisfies some want of his. Looked at in this way, exchange is for him simply a *private* transaction. On the other hand, he desires to realize the value of his commodity, to convert it into any other suitable commodity of equal value, irrespective of whether his own commodity has or has not any use value for the owner of the other. From this point of view, exchange is for him a *social* transaction of a *general* character. But one and the same set of transactions cannot be simultaneously for all owners of commodities both exclusively private and exclusively social and general.³⁷

This dichotomy of the process of exchange appears *prima facie* as insoluble. In fact, the two sides of one and the same process are, at first sight, in a mutually irreconcilable contradiction: '*exclusively private*' already excludes '*simultaneously*' its opposite, i.e., '*social*'; and vice versa '*exclusively social*' is a straightforward negation of '*simultaneously*' '*private*'. However, this contradiction is resolved and reconciled in the twofold character of the essence of the process itself, as the arena of movement of socially connected private relations, building the private, molecular manifestations of the organically connected social ensemble.

36 [Hilferding, *Böhm-Bawerk's Criticism of Marx*, edited with an introduction by Paul M. Sweezy, New York: A.M. Kelley, 1949, p. 132. 'Böhm-Bawerks Marx-Kritik,' *Marx-Studien*, vol. 1, Vienna, 1904, p. 10].

37 [*Capital*, I, pp. 89–90, MEGA, II/6, p. 115. Emphasis added].

‘The twofold social character of the labour of the individual appears to him, when reflected in his brain, only under those forms which are impressed upon that labour in every-day practice by the exchange of products.’³⁸

The commodity producer is considered already in production as a producer of use values for others, for society. Thereby the character of the labour of the private commodity producer, of the private labour of an individual person, also assumes in economic perspective the determination of its opposite – the determination of social labour. These relations become in turn entirely //40/compulsory in direct acts of exchange, in which they are really realised.

Hilferding writes:

The commodity being, as far as society is concerned, the product of labour, this labour thereby secures its specific character as socially necessary labour; the commodity no longer exhibits itself to us as the product of the labour of different subjects, for these must now rather be looked upon as simple ‘*instruments of labour*’. *Economically* regarded, therefore, the private ‘labours’ manifest themselves as their opposites, as *social labours*. *The condition which gives its value-creating quality to labour is, therefore, the social determination of the labour* – it is a quality of social labour.³⁹

For Hilferding the determinations of labour in exchange relations take on the same expression. ‘Inasmuch, however, as the things enter into mutual relations, the private labour which has produced them acquires validity solely insofar as it is an expenditure of its own antithesis, socially necessary labour.’⁴⁰

The dialectics of Marx’s method and at the same time the foundation itself of the opposite determinations of labour find in these few lines a superb expression. As is visible from the text we emphasised, Hilferding remains here completely based on Marx’s theory of labour. The twofold character of labour and twofold nature of the commodity represent for the analysis in theoretical economy mutually concomitant phenomena; they equally emerge conceptually in the sphere of production and manifest and realise themselves in exchange, reflecting here and there the contradictory individualistic form of the social process in the framework of the capitalist system.

A careful investigation of the works of Marx does not leave any doubt concerning the sphere in which is constituted abstract labour; abstract labour in

38 [ibid., p. 78, 11/6, p. 104].

39 [Hilferding, ibid., p. 131 in English version of 1949, p. 9 in German original of 1904. Emphasis added].

40 [ibid., 1949, p. 132, 1904, p. 10].

its functional economic form is to be analysed every time along with value and in the organic connection with the latter.

Marx says: 'Just as commodities are, at the same time, use values and values, so *the process of producing them must be a labour-process, and at the same time, //41/a process of creating value.*'⁴¹ And furthermore, in characterising the determination of labour 'forming' value, Marx writes: 'Where we consider the labour of the spinner only so far as it is value-creating, i.e., a source of value, his labour differs in no respect from the labour of the man who bores cannon.'⁴² In other words, Marx determines the character of labour, expressed in value, in its generally-human, abstract expression, constituted in production.

Marx adheres to this proposition, the importance of which for the problem we are discussing will be completely clarified in the following, throughout the entirety of *Capital*, and it is precisely here that one of the cornerstones of his entire system is laid.

A close and inseparable connection in the genesis of value and labour expressed within it is essential; value and social labour cannot be related in their emergence to the different moments of the process of reproduction: the one to the sphere of production, the other to that of exchange; exactly the contrary is the case: value cannot in any case precede abstract labour in its emergence, as the emergence of form without and previous to entity is generally impossible. Value is only the 'way of expressing labour' in commodity society, and therefore, emerging simultaneously in the sphere of production, they sustain from there the particular essence determining their manifestation within exchange.

'When exchange has acquired such an extension that useful articles are produced *for the purpose of being exchanged, and their character as values has therefore to be taken into account, beforehand, during production. From this moment the labour of the individual producer acquires socially a twofold character.*'⁴³

Of course, this applies to the full extent to the capitalist economy. Abstract labour, value, and surplus value come from one and the same source, i.e., production. In the same way as in non-commodity society the direct concrete form of labour, the product of labour, and surplus product directly reflect the entity of this form of social production with its natural relations, //42/economic categories, such as social labour, value, and surplus value reflect the mode of social production in the system of the commodity economy; in the latter the relations

41 [*Capital*, I, p. 181, MEGA, II/6, p. 200. Emphasis added].

42 [*ibid.*, pp. 183–84, II/6, p. 202].

43 [*ibid.*, p. 78, II/6, p. 104] (emphasis added).

of exchange in their two-sided character (as in the non-commodity form the one-sided character of the relations of production) are presupposed by the social organisation itself of labour, laid down in the 'conditions of labour' themselves. The differences of this and that follow from the particularities of the form of social organisation of production.

Thus, the reader can see already outlined the weak aspects of the interpretation of the problem by Rubin, and those points on which it must be refuted. Nevertheless, it would be premature to anticipate the definitive conclusions. For the present we should start from the fact that, Rubin, relying on Marx in his *Essays*, and we, in our preliminary analysis, have arrived at two interpretations of the concept of abstract labour, deeply diverging on the methodological foundations. At the same time, we have found ourselves immediately in the centre of a vicious circle of contradictions, visible in front of us so far only in their sources. In the one case, the twofold character of labour is related in its one-sided manifestations to two different, equally one-sided, moments of the process of reproduction. In another case, the same twofold character of labour is founded as a phenomenon emerging in the dual process of production and manifesting itself in equally dual expression in the contradictory dual process of exchange. In this way, the result at which we have arrived comes down to the contention as if Marx gave a twofold foundation of the twofold character of labour.

Rubin, while seeing this contradiction equally in his arguments, pays it incomparably little attention, although in many places in his work he himself cannot dispense with retreats from his own interpretation. Let us stay for a moment on a few examples.

In the chapter on 'Socially Necessary Labour' [Chapter 16 in the present translation], Rubin gives the following definition of this concept:

As is well known, when he affirms that the magnitude of the value of a commodity changes depending on the labour expended on its production, Marx does not have in mind the individual labour which was factually expended by a given producer on the production of a given exemplar of commodity, but the *average* quantity of labour necessary for the production of commodity within a *given state of the productive forces*.⁴⁴

44 I. Rubin, *Essays*, p. 124 [quoted from the second edition, slightly different from the third edition, p. 241 in the present translation. Emphasis in original but not reproduced in Shabs's quotation].

'The socially necessary //43/labour time is determined by the level of development in the productive forces, understood in a broad sense as the totality of material and personal factors of production.'⁴⁵ Furthermore, in the same chapter, in the polemic with the proponents of so-called 'economic version', who determine the concept of socially necessary labour from the phenomena of the market, Rubin opposes such an understanding of the problem, reasonably standing on the connection of this category with the sphere of production.

However, all of the argumentation he develops in the whole of this chapter can be straightforwardly turned against his own assertion as if 'as long as a commodity producer is occupied with his *concrete*, special labour, it is *private* labour', and as if 'it (labour) becomes *social* only through the act of market exchange' [p. 101 in the second edition, p. 212 in the present translation. Emphasis in original but not reproduced in Shabs's quotation]. The concept of socially-necessary labour, or of socially-necessary labour time, already includes within it the determination of social, that is, abstract labour. Marx presents it precisely in this way.

Marx says: 'As values, all commodities are only definite masses of congealed labour time.'⁴⁶ 'If ... we bear in mind that the value of commodities has a purely social reality, and that they acquire this reality only in so far as they are expressions or embodiments of one identical social substance, viz., human labour.'⁴⁷

Here we can confirm the dual connection of the phenomena: on the one hand, socially-necessary labour (or labour time), social, and abstract labour turn out to be the determinations of labour organically connected with value; and with this is established, on the other hand, also their kindred mutual relation as categories, each corresponding in its own way to one and the same social phenomenon, i.e., value. But from here it also follows that to relate the economic determinations of labour to exchange is incompatible with the understanding of value as a category of production.

From this aspect Rubin makes anyhow a breach in the whole of his construction. The author himself disturbs the methodological symmetry of the concepts he established elsewhere (in the chapter on 'Social Labour' [Chapter 13 in the present translation]). In this chapter he says as //44/follows: 'Due to the act of market exchange, private labour is transformed into social labour, concrete into abstract labour, complex labour is reduced to simple labour, and individual

45 *ibid.*, p. 125 [quoted from the second edition slightly different from the third edition, p. 242 in the present translation].

46 [*Capital*, I, p. 47, MEGA, II/6, p. 73].

47 [*ibid.*, p. 54, II/6, p. 80].

labour to socially-necessary labour.⁴⁸ The contradiction is obvious. However, Rubin feels that, in staying to the finish on this general methodological foundation of his construction also for founding socially necessary labour, he gives a theoretical foundation precisely of the 'economic version' he contests. Escaping at the same time from sinking into sin, he tries in the chapter on 'Socially Necessary Labour [Chapter 16 in the present translation]' to adopt the point of view of Marx. In the corresponding place we acquaint ourselves with the fluctuations of Rubin on this point. But the inconsistent move to Marx's point of view when founding the concept of socially-necessary labour is a memento mori for the whole of his construction.

Finally, we cannot regard as logically successful the following proposition of *Essays*. Rubin says: 'The theory of abstract labour is one of the central points of Marx's theory of value. It is abstract labour, according to Marx, which 'creates' value.'⁴⁹ 'The magnitude of value is determined by labour, the process of production'.⁵⁰ Recognising in value a category of production and placing it in a direct connection with abstract labour, the author seems to adopt again Marx's point of view. But the fact of the matter is that this also is fraught with heavy ordeals for the interpretation of the whole problem of labour in *Essays*. Indeed, the touchstone of Rubin's cornerstone is, as is well known to us, the assertion that 'abstract labour is created by exchange.' Thereby we are confronted with unresolvable difficulties: to represent to ourselves a 'creation', value, by a predecessor of its 'creator', abstract labour, is impossible even with a superhuman neglect of the laws of logic. By counting value among the phenomena emerging in the sphere of exchange, we cannot escape from the difficulty, since the same laws of logic do not allow us to determine in production the magnitude of the category of 'value', inexistent in this sphere.

However, the further consideration of individual partial manifestations of the methodological error of Rubin cannot any more occupy our attention on this stage of explanation. Here we have //45/ to turn to a more general aspect of the question, to deepen the understanding of the fundamental flaw in the interpretation of Marx's basic point of view in *Essays*, in order to analyse thoroughly the sources of this interpretation and outline the conclusions to which it leads consistently for the theory of value (and through this also for the entire system of economic theory), and to expose the error of Rubin which appears to have

48 I. Rubin, *Essays*, p. 95 [quotation from the second edition, slightly different from Rubin's original text. p. 175 in the present translation].

49 *ibid.*, p. 98 [the beginning sentences of Chapter 14 in the second edition. p. 208 in the present translation].

50 *ibid.*, p. 88 [from Chapter 12 in the second edition. p. 166 in the present translation].

given a complete evidence and persuasiveness to it. It must not be overlooked that the point in Rubin's construction that we are examining in this chapter is of an importance far more comprehensive than the importance to which the author has limited this point due to his inconsistency; as we have already pointed out, on this point a decisive importance remains for the foundation itself of the determination of labour. Besides, we think that a complete refutation of the 'sociological theory' of abstract labour as it was formulated in *Essays* must appear as in itself a firm step forward to the establishment of a unity of views on this important question. Therefore, it requires from us an all-round detailed examination of all the argumentation in *Essays*, allegedly relying on the propositions developed by Marx himself up to its final conclusion, liable to admit doubts about the scientific consistency of Marx's authentic theory of labour as it was described by the founder himself of this theory. The latter has not, as we will see convincingly afterwards, even a common tangent point with its interpretation in *Essays*. Consequently, the adoption of Marx's interpretation in itself already excludes Rubin's interpretation of it.

In the previous explanation, the methodological error of the author of *Essays* has been outlined only in its general traits. We think that the root of this error lies in the fact that it is not an economic but a juristic conception of society that serves to the author as the starting point for the interpretation of the problem. Due to this the basic order of the things and phenomena in commodity-capitalist society appears to him in an external, one-sided, purely formal manifestation, but not in their internal economic conditionality. From here originate also the flaws in his construction of the determinations of labour. On this point the author unconsciously overlooks the radical difference in the method, and therefore in the construction of concepts themselves, of these different scientific disciplines, a difference arising from the particularities of the method and task of each of them. Of course, the essence of matter is in no way changed by the fact that the internal character of the interpretation of the question is wrapped up in the vocabulary taken from the arsenal of Marx's theory./

/46/Let us decide to make a very insignificant retreat to an alien domain and try to outline in a very general form some related points, in which the legal and economic sciences straightforwardly oppose one another. For the purpose of our explanation this is quite enough; the unsustainable foundations of Rubin's interpretation will be presented before us in their true light.

The legal science builds, as is well known, the concept of society as a mechanical whole of personally and materially independent subjects, and advances the will of individual as the sole and universal basis of the relations in bourgeois society; the individual is, therefore, the starting point. The material social process as a whole is represented as a simple sum of disparate phenomena,

where a single subject, reflected in his right of all-round and unlimited domination over his private sphere, i.e., his property, free from whatever external intervention and impact from the side of environmental social milieu, fulfils his function of production in society, understood as one of the forms of materialising the will to possess material goods. Solely the natural property of the objects sets limits to the domination of a person over the thing in time as well as in space.

The order of social phenomena manifests itself in their state of lasting repose, in *static* state; such is, among others, the character of the most important institutions of law: property, possession, and so on. The acts of movement appear in their discontinuous form, without any connection with each other, as moments, disturbing the basic character of steadiness in social existence. A commodity producer is considered first of all as a private proprietor, as a producer of material goods, and that's all. His productive activity has the significance exclusively of a private function, and the commodity does not appear as 'social thing', but one-sidedly, in the shell of private property, as closely connected with a given possessor as property, the cession of which with the act of the will of the proprietor creates from case to case its relation to another member of the society.

The interaction and interdependence among the spheres of private and social moments, between the private productive activity and its social conditionality, manifesting themselves in the particular character of social connections, do not concern this science. Therefore, both spheres are delimited from each other as autonomous domains of relations. Finally, the objective social result in its //47/holistic unity and individual manifestations, the causal explanation of the phenomena of the social process, and the investigation of the regularities lying at the basis of its entity and development – all these lie wholly outside the boundaries of this scientific sphere. But precisely only where the domain of investigation for the scientific understanding of law expires begins the fertile field of economic science.

The task of political economy is wider, deeper, and comprehends the social material process with all the vast variety of its phenomena in their internal interdependence and regular conditionality, that is, the process in its movement and development. The definitions themselves in political economy, such as, for example, 'capital is *autonomous* value', are full of *dynamics*. Commodity-capitalist society is considered as a complex organic unity, in which particular individuals are 'organs of labour' of an interconnected organism of production. Under this (economic) perspective, the social economy is not represented as a mechanical combination of autonomous parts, the conditions of existence of which are resolved inside themselves, as this is depicted, among others, in the

representations not only of law but also of vulgar political economy; *on the contrary, the capitalist economy is considered by Marx as a socialised whole on the basis of antagonism, disjointed into formally private elements, gravitating to each other on all the stages of the process of the reproduction of material life.*

From here is explained also the fact that private disturbances in any part of social production attract to themselves with the necessity of 'natural law' a disorder in the normal course of the whole economic process. These disturbances outwardly generalise themselves in the paroxysms of market circulation.

This all-round dependence of the participants of social production in the commodity economy is very aptly characterised by Marx in 'Introduction' in the following lapidary expressions:

But the epoch which produces this standpoint, that of the isolated individual, is precisely the epoch of the hitherto most highly developed social (according to this standpoint, general) relations. Man is a *zoon politikon* in the most literal sense: he is not only a social animal, //48/ but an animal that can isolate itself only within society.⁵¹

Marx's idea in this quotation may not need any clarifications or illustrations: the latter are given in the reality itself of the contemporary capitalist system, where the division of labour advanced to its last extremities transforms the particularised producer into a purely juristic function.

Rubin, however, founds his interpretation of the determinations of labour precisely on the superficial representations on the capitalist economy, noticed just above. He interprets the structure of society as a mechanically connected sum of particularised private producers, who direct their production activity wholly isolated from the impact of social processes, i.e., not only formally, *but also economically* independent of *the social whole*. 'As long as a commodity producer is occupied with his concrete, special labour, it is private labour' [cf. a former quotation from *Essays* in the present article, p. 672 [note 16]] and that's all. Only in the direct acts of exchange, according to his representation, does the social 'inter-conditionality' of private labour activity acquire the character of economic reality and have economic significance. Prior to the act of exchange and outside of it, the social producer does not have consciousness of himself as a unit depending on society, and social production represents, apparently, *membra disjecta* [scattered limbs. A phrase allusive to Horatius's words 'dis-

⁵¹ [Marx, 'Introduction', MECW/28, p. 18, MEGA, II/1.1, p. 22].

jecta membra poetae', quoted by Marx in *Capital*, I, p. 343, MEGA, II/6, p. 358]. Precisely in such a form appears the character of commodity society in his formulation of the twofold determinations of labour.

But such a (from the formal side) conclusive, purely empirical characterisation of capitalist society, seemingly emphasising the antagonistic moment in it, is not only insufficient but also internally poor, one-sided, and contentless; it depicts the capitalist system in an essentially idyllic perspective, infinitely remote from it.

In truth, the private commodity producer in capitalist society is dependent on the social process as a whole in his 'private' labour activity, this sphere of his sovereignty, to such an extent that only an adaptation of his socially expedient production activity to the whole system of production can ensure him a priori the possibility of a posteriori realising, in exchange, his private labour //49/as socially necessary. Taking into account the needs of society lies at the basis itself of production from the moment 'when exchange has acquired such an extension that useful articles are produced for the purpose of being exchanged'.⁵² The market performs only in the last instance the 'coordination' of the labour activities of individual private producers with the producers of the same branch, and of this latter with the whole of the economic system as well. But each commodity producer submits in advance his production activity to the social need, though his foresight would not always prove to be correct as a rule and would be more or less often overturned by the market.

*Insofar as the question is about the developed commodity-capitalist economy, 'their character [of the products] as values (i.e., as use values for others, for society – S. Sh.) has therefore to be taken into account, beforehand, during production.'*⁵³ Otherwise, the existence of capitalist society would be generally problematic: and in any case, as an object of investigation of the regularities in it, it would be at all excluded.

This proposition will become still more understandable for us when we make clear in the corresponding place what significance the inverse impacts have, exercised by the market on production, and what is the actual correlation of both of these moments to one another, in short, when we elucidate more completely the mechanism of the process of reproduction.

Thus, we intend to seek the key to Rubin's delusion in his understanding of the structure of commodity-producing society. But in such a case this extraction of the concept of society is obviously insufficient, since it is derived indir-

⁵² [*Capital*, I, p. 78, MEGA, II/6, p. 104].

⁵³ [*ibid.*].

ectly from the determinations of labour examined above. A word for direct clarification must apparently be provided from the original source.

Rubin says in *Essays*:

[I]n the structure of the market economy we find the following fundamental features: 1) *individual cells of a national economy, i.e., individual private enterprises*, formally independent from each other; //50/2) these are *materially connected* to each other as a result of the social division of labour; 3) the direct connection among individual commodity producers is established in exchange, but indirectly influences also their *production* activity. *In his enterprise, every commodity producer is formally free to produce at will any product as he wishes and with the aid of any means of production that he likes*. But when he brings the finished product of his labour to the market, for exchange, he is not free to determine the proportions of exchange, but is obliged to submit to the conditions (conjunctures) of the market, common to all the producers of the given product.⁵⁴

This characterisation seems at first sight to be a very perfect expression of the capitalist form, and at the same time makes this basis of Rubin's construction invulnerable to criticism. However, a more careful consideration of it shows a complete confirmation of our previous hypothesis of the concept of society as Rubin himself thinks it.

First of all, the 'will' of a social producer is represented here as truly *juristic*. 'Everyone ... is according to his caprice willing to produce any product which pleases him and with any suitable means of production' – this formulation, borrowed from the science of law, where property is defined as the right 'to enjoy a thing, use it to the end, destroy it, throw it at will and so on'.⁵⁵ But, evidently, such a metaphysical understanding of the will of the social individual is applicable to an equal degree also to the sphere of exchange. This sphere does not in the least admit such an unlimited domination of will: without the participation of the will of the subject, or against this, not even one act of cession can take place.

However, since Rubin admits precisely the *dependence* of commodity producers in exchange, the latter themselves discover it before exchange, already in production. In developed commodity-capitalist society, with its utmost and

54 I. Rubin, *Essays*, p. 12 (emphasis added – S. Sh.) [quoted from the second edition, but this passage appears unchanged in the third edition. p. 32 in the present translation. Some emphasised words in Rubin's original are not reproduced in Shabs's quotation].

55 I. Karner, *Social Functions of Law*, State Publishing House, 1923, p. 23.

'multilateral' division of social labour, everyone produces on a large level some one definite kind of commodity. Bringing to the market almost as a rule all the products he has produced, he must extract through them various kinds of other //51/commodities for his personal as well as for productive consumption (we omit the intermediary link, i.e., money, which is obviously inessential in this case). But, as is well known, will is a manifestation of perceived necessity, and in society it must consequently manifest itself as perceived social necessity. This means that the commodity producer is not 'according to his caprice willing to 'produce' any product which pleases him' without reckoning with the world external to his economic unit, but, conversely, due to the necessity of social conditions he is obliged to submit to them for his existence; since only insofar as socially-necessary labour, in conformity with the full meaning of this concept, is expended by him will the cession of the produced commodity be guaranteed to him. From here it is already evident that also in the choice of means of production the will of the producer is confined within the bounds of the conditions which must be taken into account in advance, submitting his will to the dominating laws of competition – leaving aside exceptional circumstances only distorting the overall pattern of the developed capitalist economy, such as, for example, anarchic artisanal production sporadically maintained even in developed capitalism.

Things proceed thus in reality. The capitalist producer invests his capital precisely in that branch of production for the product of which a growing demand from the market is observed. Exchange is anticipated in production, it is included in the conditions of production themselves, and, as both starting and concluding moment, it is included in the target itself of production. Insofar as the target of production is for the capitalist the acquisition of surplus value, profit, the realisation of which is conditioned by the socially expedient character of his production activity, it is totally impossible for him to produce 'any product which pleases him', still more so with 'any suitable means of production'. According to *Essays*, in production a full and unlimited space is allotted to the capitalist, or more exactly, to his caprice: competition lies outside his scope, does not exist for him. Only 'when he brings the finished product of his labour to the market, for exchange' [quoted from *Essays* in the second edition, but this passage appears unchanged in the third edition. p. 33 in the present translation], the producer becomes aware of his dependence on the spontaneity of the capitalist market; prior to this moment the consciousness of the capitalist apparently remains indifferent to the phenomena of the market.

To submit production itself to the laws of competition, relentlessly dictating the conditions of production, is tantamount to submitting it to the social conditions first of all in the choice of the means of production, //52/of the

definite kind of commodity as well, in accordance with the social need, but this does not at all fit in with the superficial representations developed in *Essays*.⁵⁶

It is necessary to point out that here also we cannot do without contradictions. The author shows here immediately that 'the dependence of the producer on the market means that his production activity depends upon the production activity of all other members of society.'⁵⁷ How to combine this 'dependence in production activity' with the 'caprice' in his enterprise, this remains a secret for the author himself. But the major trouble still consists in the fact that exactly this 'dependence of the producer in production activity' is completely forgotten in the chapter on 'Abstract Labour' [Chapter 14 (in the second edition), pp. 208–227 in the present translation]. Indeed, his fundamental thesis that 'as far as the commodity producer is occupied with his concrete labour, this latter represents private labour' rests precisely on the precondition of the *economic autonomy* of the commodity producer in production. Rubin tells us that '*the mutual connection and mutual dependence of the labour activities of individual members of society transform their private labour into social labour. //53/The particularity of commodity-capitalist society consists in the fact that this mutual connection manifests itself only in the act of market exchange*'.⁵⁸ In this way, the definition of 'will' considered above is not at all

56 Cf. N. Bukharin, *The Political Economy of Rentiers*, State Publishing House, Moscow, third edition, pp. 38–9 [Nikolai Bukharin, *The Economic Theory of the Leisure Class*, Lawrence, London, 1927, p. 42].

'Society ... is not an arithmetical aggregate of isolated individuals; on the contrary, the economic activity of each specific individual presupposes a definite social environment in which the social relation of the individual economies finds its expression. The motives of the individual living in isolation are entirely different from those of the 'social animal' (*zoon politikon*). The former lives in an environment consisting of nature, of things in their pristine simplicity; the latter is surrounded not only by 'matter' but also by a peculiar *social milieu* ... Of course, it is theoretically quite possible to embrace a number of isolated and remote economies in a single conception, to force them into a 'totality', as it were. But this totality or aggregate would not be a society, a system of economies closely connected with each other with constant interaction between them. While the former aggregate would be one we had artificially constructed, the second is one *that is truly present*. Therefore, the individual economic subject may be regarded only as a member of a social economic system, not as an isolated 'atom'. The economic subject, in its actions, *adapts itself to the given condition of the social phenomena*; the latter impose barriers upon his individual motives, or, to use Sombart's words, 'limit them' (emphasis added – S. Sh.).

57 I. Rubin, *Essays*, p. 12 [quoted from the second edition, but this passage reappears unchanged in the third edition. p. 33 in the present translation].

58 *ibid.*, pp. 100–1 [p. 211 in the present translation. Emphasis added].

a lapsus liuguae [slip of the tongue] by the author of *Essays*. This representation of will rests on his actual understanding of the structure of production in the commodity-capitalist economy.

But such a representation of the preconditions of the economic chaos under the domination of capitalism profoundly distorts, apart from everything, the perspective of the antagonisms inherent in capitalism, at its very foundations. The antagonistic character of the capitalist mode of production consists indeed in the fact that each separate private commodity producer submits the direction of his individual production activity to the social necessity he perceives, but in social production he must be confronted with the social result of the labour activity of the collective social producer as that necessity itself. Everyone attempts to foresee the (precisely social) result, preparing for it in advance. But the realisation of it depends on the will of social spontaneity. It must be at least naïve to say that commodity producers direct their activity 'according to caprice', and it would be profoundly erroneous to make of such a representation the starting point for investigating the spontaneous elements of the capitalist system. 'Be willing according to caprice' – this is only a written norm of civil law, not the 'norm' of behaviour of the economic subject, as it is represented in economic analysis.

Political economy comprehends in general the laws of capitalist society, i.e., the social phenomena within it in their necessary economic conditionality, only insofar as an individual, performing his economic activity conformably to the perceived social necessity, is presumed to lie at its basis. Only in this way can we find out the immutability of the powerlessness of the 'reasonable will' of individual producers in the conditions of anarchy of capitalist production, taken as a polysyllabic social system. Will turns out here to be an unreliable compass within the spontaneous economic process, even in that case when //54/producers try to curb the capricious spontaneity of capitalism in creating associations of production, since they will then lose sight of the fact that this spontaneity is an irremovable consequence of those structures which condition their own entity as capitalists.

Needless to say, the individual private enterprise 'as an economic cell' of the commodity form is only a different expression of the same erroneous view on the elementary foundations of commodity society and alien to Marx's system. The refutation of this view (of jurisprudence once again) is given just on the first page of *Capital*. Here Marx speaks about the 'commodity' as the 'elementary form' of capitalist society; in other words, he establishes the diatomic structure of the economic molecule. In the field of view of the researcher immediately appear two dramatis personae that is, two formally (but not economically) autonomous economic units, since the commodity represents a social

relation of production between two commodity producers; each of them can produce a commodity only insofar as another produces an equivalent for him. Moreover, since the developed commodity form presupposes also the money form, through the transformation of his commodity into the universal equivalent, money, the commodity producer is put in relation to the whole society. *The individual commodity producer in his private labour activity is a priori made dependent on another member of society, formally autonomous like himself, in whom is symbolised the whole society, as far as all commodities are symbolised in money.*

The economic dependence on society is characteristic precisely of capitalist society, with its institution of formal independence, personal and material, insofar as both the sources of raw material and the point of consumption are, as a general rule, dissociated from the sphere of production. On the contrary, the unitary non-commodity economy, founded on the relation of dependence, both personal and material, within its own bounds, is economically independent from the external world of economic whole, since all the moments of the process of reproduction are concentrated in the closed milieu of a given economic unit.

Therefore, in capitalist society the private is determined by the social, submitting itself in its goal setting to the social ||55|necessity. This dominating power of the social over the private transforms all relations into the spontaneity of the social process: insofar as reproduction is considered in its cyclical movement as the unity of production and exchange in their mutual conditionality, the labour of private commodity producer, or private labour of every particular individual, is conditioned in its functioning itself by the entire social whole (providing him with means of production and equivalent for his product), and hence its social assignment and social significance are already determined directly in production; private labour acquires at the same time the character of social labour, labour acquires a twofold character. The act of exchange only realises this fact, and does not create it.

...

Chapter 3. Concrete (Technical) Labour, Abstract (Physiological) Labour, and Social (Economic) Labour According to Marx^[563]

... /

/98/Now let us move to another question: why does Marx repeatedly admit in *Capital* inaccuracies in word usage when determining value here as the expression of abstract labour, then of social labour, whereas value as a social category can be only the expression of the latter but not of the former? It seems to us that explanation of this question can be found once again in drawing an analogy between the definitions of man and labour, of the subject and the predicate of society.

The concept of the 'autonomous individual' comprehends two meanings of man: on the one hand, formal-juristic, social and, as such, historical; and on the other hand, a natural state adequate to the first determination, but a state in its practical significance inherent only to a particular historical form and conditioned by it. Here we bump anew into 'difference, inseparable from identity'. On the one hand, the subject of society, man as such, is a natural-scientific and, consequently, logical, transhistorical concept. On the other hand, man acquires his social significance in accordance with his specific nature in his natural constitution only under certain historical conditions, approving him in an adequate juristic form.

Only the formal-juristic concept of the autonomous individual actually determines the significance of man as such as the subject of society, and hence shows this nature of man in historical light. Conversely, the social form of a slave, as is already well known to us, determines his significance in society as a thing, and this significance of him remains that which is practically significant, although the slave is a man in his innate nature.

Therefore, when Marx introduces in political economy the concept of the independent individual, he has in mind, though not elucidating this in detail, the socially significant, formal, i.e., historical expression of him. But Marx understands at the same time that this form is non-existent without its natural bearer, that the latter represents the necessary and unremovable basis of the former. Marx turns only against that rationalistic view (adopted by the majority of economists) of the historical school of philosophy on the social individual, which characterised the social importance of the latter as a product of nature but not of history.

[563] Chapter 3 is comprised of 29 pages. The following is the translations of two fragments from this chapter, of about four pages in total.

They ['the prophets of the eighteenth century', and also Smith and Ricardo] saw this (independent – S. *Sh.*) individual not as a historical result, but as the starting-point of history; not as something evolving in the course of history, but posited by nature, because for them this individual was the natural individual, //99/according to their idea of human nature. This delusion has been characteristic of every new epoch hitherto.⁵⁹

The same is repeated still now with regard to the concept of 'labour'. The circumstance that human labour in its autonomous, abstract-human expression represents the physiological phenomenon inclines some authors to see in this definition of labour, with its functional social significance, 'something not evolving in the course of history, but posited by nature'. However, if labour as the physiological function of man represents a natural, logical phenomenon, the same labour as the function of social man, in acquiring in its character of homogeneity the significance of the precondition for connecting people in the economic process in the society of equal commodity producers, obtains thereby the significance of a specific phenomenon in a definite historical epoch, appears as a historical phenomenon. Abstract labour is not considered in political economy as the function of man as such (in his natural significance), but as the function of social man, i.e., the commodity producer. Of course, the relation itself of the commodity producer to his labour is different from the relation of man in general to his labour, and in particular, for example, of the slave to it (labour). For the social existence of the latter, the consideration of labour expenditure has not any importance. On the contrary, for the commodity producer labour expenditure plays the role of a moment laid at the basis of his relation to any other member of society, to the society of commodity producers. Therefore, his labour is a priori related to the labour of society and is therefore determined as a social phenomenon, inherent only to the commodity form. The physiological character of labour is not removed in this case, but it becomes, in this immanent natural existence of it, indifferent to a given social existence.

The verge of commonality and difference between abstract and economic labour is outlined in this way. If in spite of this Marx did not give to this interrelation a sufficiently articulate and exhaustive clarification in *Capital*, this fact may be partly explained by Marx's attention having been too much absorbed in demarcating the opposite concepts of concrete and abstract labour; but these two are separated in their essence //100/by such a profound and impassable

59 [Marx, 'Introduction', MECW/28, pp. 17–8, MEGA, II/1.1, pp. 21–2].

abyss (now their difference seems to be more than elementary, partly because it is nowadays understood by many in a simplified and superficial way) that the theoretical distance between abstract and economic labour became in his eyes, so to say, quite insignificant. In the following, when a further clarification of the determinations of concrete and abstract labour will reveal to us thoroughly and definitively the antagonism between these concepts (we have partly outlined their general traits in the first chapter), it will become far clearer for us why this question obscured from the view of Marx the necessity of demarcating these two debatable but not identical concepts: abstract and economic labour. This can be partly explained also by the fact that Marx does not consider abstract labour as the function of men in general in their direct connection with each other (as this takes place in physiology), but as the function of social man, the commodity producer, with the latter relating already in the labour process his labour expenditure in advance to social labour, so that the convergence of these concepts practically attains to that limit at which remains only one conditional theoretical demarcation of them (i.e., existing only theoretically for scientific economic analysis). Below we will explain this proposition with the necessary clarity.

What is beyond any doubt is that the dialectical connection lying at the basis of these concepts ('difference' and 'identity') was distinctly understood and outlined by Marx. His 'Introduction' gives us brilliant and irrefutable evidence. He says in one place: 'Labour seems to be a very simple category. The notion of labour in this universal form, as labour in general, is also as old as the hills. Nevertheless, considered economically in this simplicity, 'labour' [once again, as in the former quotation from the same passage of Marx, cf. p. 664 in the present translation, in Shabs's quotation this phrase is translated as: *economic 'labour', considered in this simplest form,*] is just as modern a category as the relations which give rise to this simple abstraction.'⁶⁰

For Rubin the solution to the task is much easier. He does not bother to pursue this important interrelation between abstract and economic labour, since the former in itself has not its real assignment in its construction, insofar as the 'equalisation of things in exchange' creates of itself value in the products of labour. Economic labour ('abstract labour' in Rubin's terminology) //101/also receives from this a ghostly, elusive determination, and turns out to be a bare, empty term, devoid of any atom of objective content.

... /

60 [Marx, 'Introduction', MECW/28, p. 40, MEGA, II/1.1, p. 38].

/116/First, abstract labour has its constituent source in the sphere of production and, secondly, it is determined as a physiological phenomenon in its direct objective character; here in this expression it acquires social significance only under a definite social form of organisation of social labour, which finds the basis of the social connection in the abstract determination of labour, and thereby determines it as a historical social form of labour, as an economic category. Within the bounds of the latter functional expression, the substantial essence of abstract labour is exhausted, putting forward in this economic aspect the social essence of its entity, indifferent to its innate nature.

Such a dialectical understanding of Marx's theory of the problem of labour, and abstract labour in particular, is not adopted by Rubin, and is moreover fundamentally challenged. In his opinion, '*the above presented understanding of abstract labour*, at first glance relying on the literal meaning of Marx's words, is in an undeniable contradiction to Marx's theory of value in its entirety and to a series of individual passages in *Capital*.'⁶¹ The general objections Rubin advances in the chapter on 'Abstract Labour' read as follows:

Marx never tired of repeating that value is a social phenomenon, that the objectivity of value (*Werthgegenständlichkeit*) is 'purely social' and does not include within it a single atom of matter [*Capital*, I, p. 54, MEGA, II/6, p. 80]. From this it follows that abstract labour forming value must also be understood as a social category, in which we cannot find a single atom of matter. It must be one or the other: if abstract labour represents an expenditure of human energy in the physiological sense, then value also has a reified-material character. Or else value is a social phenomenon, in which case abstract labour must also be understood as a social phenomenon, connected with a definite social form of production. It is impossible too to reconcile the physiological understanding of abstract labour with the historical character of the value created by it. The physiological expenditure of energy as such remains the same in all historical epochs and, one might say, it created value in all epochs.⁶²

Such are the motivated sentences of Rubin./

61 I. Rubin, *Essays*, p. 99 [quoted from the second edition, but this sentence appears virtually unchanged in the third edition, p. 210 in the present translation. Emphasis added].

62 *ibid.*, pp. 99–100 [the same as for the previous quotation. p. 210 in the present translation].

Chapter 4. Value and 'Labour' as Economic (Social-Historical) Categories. Imaginary Contradictions Discovered by Rubin in Marx^[564]

...

/127/In short, we can confirm the distortion of Marx's theory of value in two essential points. 1) A fallacious interpretation of Marx's understanding of value in admitting the existence of value as a logical category, along with its historical prototype; according to Marx, the former has never existed, and it is only 'for people, captured by the relations of commodity production (and along //128/with them, for the vulgarizers of political economy), [that] these special particularities of commodity production ... seem to have general significance'. 2) the social content of value is at all the times identified with the real, material bearer of this content, i.e., value is identified with use value. Such an understanding is decisively alien to the theory of Marx, as we have elucidated, and in this respect this theory has nothing in common with its interpretation in Rubin's *Essays*.

However, the root of these perverse representations of the author of *Essays* on the theory of value is in the initial dead end of his construction, in the erroneous understanding of the twofold contradictory character of the whole social process, more exactly in the incomprehension of this character of it, and hence of the theory of labour. Therefore, he implausibly confounds 'labour expenditure' with 'mechanical energy', man and machine, squeezes the physiological into the technical, and identifies the latter with the sociological.

But if Rubin confounds the deeply different phenomena evidently incompatible in their character, this can be explained in the following way. Abstract labour in its direct physiological character represents, according to Marx's expression, the 'most ancient relation ['Introduction', MECW/28, p. 41, MEGA, 11/1.1, p. 39]', independent of social form, whereas economic labour, i.e., the same abstract labour in its socially significant functional form, is a historical category. Thus, just the fact that abstract labour in its objective character falls into contradiction with its historically conditioned functional economic form when superficially understanding the problem leads Rubin to the abovementioned sharp demarcation of physiological labour from its economic modality, and to the confusion of the former with 'technical' labour. While confounding the polar phenomena on the one hand, he himself tears the connection between the related concepts, i.e., abstract and economic labour, dialectically

[564] Chapter 4 is comprised of 20 pages. The following are the translations of two fragments from this chapter, of about three pages in total.

connected with one another, on the other hand. In this way we have come close to the objective source of the first and fundamental 'contradiction' Rubin identifies in Marx.

... /

/132/'It might seem that in this way merely an abstract expression was found for the simplest and most ancient relation in which human beings act as producers – irrespective of the type of society they live in. *This is true in one respect, but not in another.*'⁶³ In other words, between the determinations further developed by Marx, about which we are now speaking, he determines the relation of identity *and* difference. We have exhaustively explained in the preceding chapters this connection between these determinations of labour, of which the former expresses abstract labour as such, the latter, economic labour, i.e., labour functioning as social factor in commodity society.

Since for Rubin the determination of 'sociological abstract labour' excludes in itself the concept of abstract labour as such, this question does not exist at all. Exactly in the same way the further question does not exist for him, a question which must interest us here, namely that of clarifying how Marx understands these determinations according to their relation to the social process in different epochs of the development of human society. Nevertheless, only this can make the question clear, or shed true light on the disputable moment in it at the least.

According to Marx, 'labour as such', 'labour in general', labour 'applicable to all epochs owing to its abstractness' represents a 'most ancient relation valid for all social forms', although it becomes 'practically true', socially significant only in a definite historical epoch, namely the contemporary capitalist epoch; conversely, to all the other preceding social forms this determination is generally 'applicable', but is at the same time socially insignificant, unactual.

Thus, for example, in the primitive hunting period, when hunting was the sole and durable form of production activity of men, and housework, of women, with a complete //133/monotony of labour functions, the 'indifference' to one or another kind of labour and, consequently, to undifferentiated universal labour, the concept of the commonality of labour expenditure has grounds neither for appearance nor for development. The labour of men is represented exclusively in the form of hunting, of women in the form of housework, transitions from one kind of occupation to another do not take place, since there is no simultaneous coexistence of many diverse kinds of labour in the form of specialised activities of production; neither in reality nor in concept is there

63 [Marx, 'Introduction', MECW/28, p. 41, MEGA, II/1.1, p. 39. Emphasis added].

anything in common among existing forms of labour, although an objectively physiological commonality of labour expenditures is naturally 'applicable' to such an epoch also.

On the contrary, the 'most ancient valid relation', human labour understood as the expenditure of labour power in general, becomes 'practically true', having the 'full significance' of a social phenomenon in reality itself, and then also in concept, only in the latest historical epoch, representing that stage of 'rich concrete development' which comes to be attained only in the commodity-capitalist system.

In this way, 'labour as such', *adequate for the social determination* of labour *only* in one definite epoch, is *generally 'applicable to all epochs', not only at 'first glance'* as Rubin thinks. Marx says completely clearly and unequivocally that 'the simplest abstraction (i.e., human labour as such – S. Sh.), which the contemporary economy prioritises, expresses the most ancient relation for all really existing forms of society' [MECW/28, p. 41, MEGA, II/1.1, p. 39. Free translation].

This last idea of Marx's, which we have emphasised above, speaks distinctly and irrefutably to the fact that *he himself thinks that the concept of abstract labour is based on human labour as such, i.e., on its physiological character, which is essentially a product of historical condition, insofar as only in the definite historical period of the commodity society is abstract labour charged with a fundamental social function and consequently with a social reality, transforming its formal expression and asserting it in this new expression as economic labour.* In the simplified interpretation of Rubin, Marx's deeply dialectical //134/determination is transformed into superficial and futile reasoning on the phenomena seeming 'at first glance' discrepant with the clearly positive character of Marx's interpretation.

A. Cohn: 'Some Observations of my Critics in the Light of Marx's Theory'*

Bulletin of the Communist Academy, 1928, 25 (1), pp. 256–79

/256/The article by comrades G. Abezgauz, G. Dukor, and A. Notkin cannot be related to the category of ordinary reviews. It is distinguished from them not only because of its size but also due to the fact that the authors do not pretend to a general estimation of my book, but restrict their task to considering only those parts of it with the content of which they do not agree. Such a character of their article permits me (contrary to traditions) to reply to it.

I will expand only on the most important points of critique.

In the introduction to my *Course*, I gave the following definition of political economy: 'Political economy is a theoretical science, studying the relations of production of capitalist society (and also the relations connecting capitalist society with its non-capitalist environment) in their material form.' My critics are not content with this definition. In their opinion, it does not sufficiently emphasise 'that political economy is called upon to disclose the laws of the emergence, development, and collapse of capitalism, as a historically conditioned economic formation, by means of analysis of the movement of contradictions between the productive forces and the relations of production of the commodity economy.'

The complement brought by the authors of the article into my definition of political economy can be divided, in this way, into two parts. They propose that 1: 1) bring into the definition of object an indication of the dynamicity of the object studied by political economy, and 2) complement it with an indication that the path to the understanding of the object of political economy is the analysis of the movement of contradictions between the productive forces and the relations of production of the commodity economy.

* A. Кон. «Некоторые замечания моих критиков в свете Марксовой теории» *Вестник коммунистической академии*, 25 (1), стр. 256–79. In the following, the numbers between slash marks indicate the beginnings of the corresponding pages in Cohn's original article, often referred to by Rubin in his 'Reply to Critics' as '3. Reply to A. Cohn', pp. 407–32 in the present translation.

Let us consider the first part of their correction. From my point of view, this correction is not on principle. I can admit it. Whether it is necessarily an obligation to admit it is another question. First of all, I will show that in the definition of the subject of his investigation Marx too does not point out the dynamicity of the object of investigation of political economy. He writes in the foreword to the first edition of *Capital*: 'In this work I have to examine the capitalist mode of production, and the conditions of production and exchange corresponding to that mode.'¹ We emphasise that this definition is given by Marx in the foreword to *Capital*, because 'every foreword is, as some sensible people say, //257/an afterword, i.e., some pure summing up of that work to which the foreword is written.'² If the indication to the dynamicity of the object is indispensably to be included in the definition of the object of political economy, why is not there this indication in the definition of Marx? N.I. Bukharin also 'repeats' after Marx my 'error'. His definition of political economy is as follows: 'Theoretical political economy is a science of the social economy based on the production of commodities, i.e., a science of the unorganised social economy.' Here again in the definition of the object of political economy, given by one of the greatest theorists of Marxism, we do not find any reference to the dynamicity of the object of political economy.

Whatever does this mean? Does this mean that we must not include in the definition of political economy any indication to the dynamicity of its object? Of course not. This indication can be included and not be included. This is not an essential problem. The essential thing consists only in that the relations of production should be represented in truth as uninterruptedly changing. It makes no difference whether this idea will be given in the definition of political economy, a text previous to this definition, or in a special methodological section. The important thing is, let us repeat, that in the process of investigation the relations of production should be considered in their dynamics. In support of their contention that an indication to the dynamicity of the relations of production is compulsory for every Marxist definition of the object of political economy, our critics bring out three quotations: from Marx, from Lenin, and from Luxemburg. Here are these quotations:

Marx: '[I]t is the ultimate *aim* of this work, to lay bare the economic law of motion of modern society.'³

¹ [*Capital*, I, p. 6, MEGA, II/5, p. 12].

² N. Bukharin, B.C.A. [*Bulletin of the Communist Academy*], no. 11, p. 294.

³ [*Capital*, I, p. 7, MEGA, II/5, pp. 13–4. The quoted sentence is wholly emphasised in original, unlike in Cohn's quotation] (emphasis added).

Lenin: 'An investigation into the relations of production in a given, historically defined society, in their inception, development, and decline – such is the *content* of Marx's economic doctrine.'⁴

Luxemburg: 'It is the *task* of political economy to explain the laws of the origin, development, and spread of the capitalist mode of production.'⁵

Here something curious happened to our critics. That is, in all the definitions quoted above the authors do not speak about the *object* of political economy but rather about its *content* and *task*. These are of course not the same thing. When we speak about the object of a science, we find out *what* it studies, but when we speak about its content, we specify to what *judgements*, to what *conclusions* this investigation leads. Exactly in the same way, in speaking about the aims or tasks of investigation, we do *not* find out the *object* of investigation in itself, but those *conclusions relating to the object* which we are going to substantiate. If, in speaking about the *object* of political economy, Marx could limit himself to pointing out that it studies the capitalist mode of production and the relations of production and exchange, then, in speaking about the *aims* of his research, //258/he should have been *obliged* to indicate that his aim is to discover the laws of motion of the economic system of capitalism.

In this way, the above quotations have no direct relation to the object of discussion and are not brought forward suitably. They would have been actually necessary for my critics only if I had *denied* the dynamicity of the object of political economy, or *underestimated* this dynamicity. However, there are decidedly no grounds to suspect me of this. Even for such rigorous critics as the authors of the article in discussion. We have already seen that the absence of an indication to that dynamicity in the definition itself of political economy does not give any grounds for such a suspicion. Otherwise, they would have had to suspect not only Bukharin but also even Marx himself of an underestimation of the dynamicity in the relations of production.

For such a suspicion there exist grounds all the less because it was only in the definition that I did not indicate the changeability of the relations of production. In the text previous to the definition, I point out this changeability most unambiguously. 'Social relations of production do not represent relations given once and for all, frozen up. Under the influence of the growing productive forces, of the growth of the power of society in relation to nature, individual

4 [Lenin, 'Karl Marx', *Collected Works*, fourth edition, Progress Publishers, Moscow, 1964, vol. 21, p. 59] (emphasis added).

5 R. Luxemburg, *Introduction*, State Publishing House edition, p. 118 (emphasis added) [Rosa Luxemburg, *Einführung in die Nationalökonomie*, herausgegeben von Paul Levi, E. Laubsche Verlagsbuchhandlung G.m.b.H., Berlin, 1925, p. 72].

relations of production change, as so does the whole system as well, the economic structure of society.⁶ 'Political economy is necessary for the proletariat insofar as it discloses the mechanism of contemporary society, lays bare its fundamental tendencies, and thus facilitates its restructuring.'⁷

In another work (*Lectures on the Methodology of Political Economy*), written almost simultaneously with my *Course* or even somewhat earlier, I have devoted an entire chapter to the elucidation of the changeability in the relations of production and of the necessity of their investigation in motion. As it is neither possible nor desirable to quote all the passages of this book relating to the problem we are discussing here, I restrict myself to some excerpts from it:

The whole system of social relations is, as we see, in constant motion. The change in social relations proceeds particularly rapidly in capitalist society, where the development of the productive forces depends to a far lesser extent on accidental reasons than in all the other foregoing formations, and where it appears as an uninterrupted process. The whole system of capitalist relations and the individual links comprising this system do not represent, in this way, petrified *facts*, but incessant *processes*.⁸

Marx relies also on the investigation of capitalist society in its statics, however, for him the static approach is only a conditional attitude for clarifying the mechanism of *movement* in capitalism. But bourgeois economy attempts to study capitalism as it is, not noticing the fact that it is changing all the time, is all the time in the process of *becoming*.⁹

Etc., etc., etc. The book as a whole and the passages above quoted are, no doubt, well known to the authors of the article. Therefore, they could have discussed the question of the expediency or in expediency of including in the definition of political economy indications to the dynamicity of its object from the *methodological* point of view, but it becomes very funny when //259/they try to draw from this point conclusions about the original sin of mine in the domain of methodology, and to find out the root of my further 'errors' in dismissing the indication to the changeability of the relations of production in the definition I gave to the object of political economy.

6 *Course*, p. 6.

7 *ibid.*, p. 8.

8 *Lectures*, p. 85, emphasis in original.

9 *ibid.*, p. 87, emphasis in original.

In my school years I suspected of being ignorant of mathematics those who, in performing addition, could not understand that he was observing the rule of signs, though the addition itself was performed correctly. Although the observance of the rule of signs is of course necessary, however, I do not think that this suspicion of mine was a consequence of a deep knowledge of mathematics ...

Now let us leave the chat about the original sins in the domain of methodology and move to the question of the expediency of including a complement on the dynamicity of the object in the definition of the object of political economy.

I repeat, from this *methodological* point of view, that the amendment of my critics in its first part can be accepted.

Nevertheless, I cannot help spending some words on the justification of this amendment given by the authors of the article. They write:

... decades ago, bourgeois political economy in all its offshoots stood on the naturalistic point of view. Marx's sociological approach sharply distinguished him from bourgeois political economy. The latest decades have brought about something new in this respect. The bankruptcy of the 'Austrian school' led to the diffusion of the 'social' tendency among bourgeois economists. But comrade Cohn does not take into consideration precisely this circumstance. In fact, what does his definition of political economy give in comparison to the idealistic interpretation of Marx? How far does it highlight the uniqueness of Marx's approach to the investigation of capitalist relations of production? Comrade Cohn sees the uniqueness of Marxist political economy in that it studies the relations of production in capitalism in material form ... One of the most essential points in this debate is included in whether the task of economic theory is in *discovering the laws of motion of the capitalist system of production*, or everything comes down exclusively to discovering social essences, to unravelling the 'hieroglyph'.

I will not expand on the problem of whether my critics are too much in a rush to the funeral of the Austrian and mathematical schools, which, in spite of the emergence and diffusion (prevailing in the countries of Central Europe) of 'social' bourgeois economic theories, continue remaining predominant and remain as before our *main* enemies.¹⁰ For me this is not important. I am

10 This opinion is shared also by N.I. Bukharin: 'The mathematical school in its pure form and the Austrian school are main enemies standing in front of us,' he said not decades but only three years ago. Cf. *B.C.A.*, no. 11, p. 295.

curious about the reason why my respectable opponents think that Marx's political economy is distinguished from the *idealistic* streams *mainly* by the theory of the changeability of the relations of production, and not, for example, by the *materialistic* approach to the investigation of social phenomena. Our method represents an organic unity of materialism and dialectics. And precisely along the lines of dialectical materialism, and not on the lines of dialectics as such, lies //260/ the border dividing Marx's political economy from all the bourgeois schools and theories. This emphasis on the dialectical character of our method and the abandonment to the shadows of its materialistic character are extremely characteristic of that stream in Marxist political economy represented by comrades Abezgauz, Dukor, and Notkin. In fact, in order to dissociate completely our Marxist political economy from the bourgeois schools, it is necessary to give a complete characterisation of dialectical materialism as the method of political economy, and not to restrict ourselves only to pointing out the dialectical character of Marx's political economy.

However, is it appropriate to do this already in a chapter on the object of political economy, if an independent part is allotted in my *Course* to the methodology of political economy? My respectable critics point out, quite reasonably, that 'the object determines the method, with the aid of which the former can be scientifically understood.' This is a rule applicable to every case. It applies above all to the case of finding out the method of political economy on the basis of the knowledge of the object of its investigation, but not the converse. But now the same critics require us to dissociate Marx's political economy from all the bourgeois schools already in the *definition itself of political economy*, a requirement which cannot be fulfilled without acquainting *in advance* the reader with the methodology of political economy. In other words, the critics propose that I determine the object of political economy, beginning from its method.

Maybe so much contradictory advice will not facilitate for me the work on the second edition of the book, but comradely criticism must indeed pursue precisely such an aim.

If I can accept the proposition of including in the definition of political economy an indication to the dynamicity of its object, I will categorically refuse to assume the obligation to dissociate completely Marx's political economy from the other schools and streams already in its definition itself. A special methodological part of my *Course* should be devoted to this dissociation.

Now we can expand on the second part of the amendment proposed by the authors of the article. The readers may remember that it boils down to the proposition of complementing the definition of political economy with the indication that 'the method for understanding the object of political economy is the

analysis of the movement of contradictions between the productive forces and the relations of production of the commodity economy'. Now the reader will understand why we reject this amendment. It is because this amendment cannot be introduced in the definition of the object of political economy without describing in advance the methodology of this science.

The second problem, on which it is necessary to expand, is the problem of how to treat simple commodity production. The authors of the article did not only detect in my book an 'error' in this problem, but they also contrived to connect it with the methodological sin in the definition of political economy considered above. They write:

Only such a definition of political economy (i.e., including the amendment proposed by the critics – A. C.) gives the understanding of capitalism as a particular social-historical formation, going back with its roots into a remote past to the first germs of exchange, and climbing up with its remnants to the future, i.e., to the first stages of the emerging socialist society ... The absence of this arrangement is strongly felt in the treatment of comrade Cohn of the so-called //261/simple commodity economy, which he considers in the introduction as a particular type of economy distinguished from capitalism, not as the first stage and general abstraction (one-sided consideration) of capitalism.

From this excerpt the reader may conclude that in my book I consider the simple commodity economy *only* as an autonomous type of exchange economy, and do not speak at all about the simple commodity economy as an abstract schema of every exchange society. However, I consider the simple commodity economy *both from one and from another perspective*. On page nine I write: 'There exist two basic types of exchange economies, i.e., the simple commodity economy, built on relations of exchange but without relations of exploitation of labour, and the capitalist economy, built as well on relations of exchange as on relations of exploitation of labour' (this is the passage which is used to incriminate me).

And on page 18, in moving to the consideration of the theory of value in a particular section entitled 'Simple Commodity Production', I point out:

We take the simple commodity economy not *in that concrete form in which it existed historically* (the commodity economy of medieval towns), but in its abstract schema. Such a commodity economy presupposes: 1) that the exchange of commodities appears as the dominant form of con-

nection among producers. It comprehends all branches of social production, and comprehends them so completely that every producer manufactures products not for his own consumption, but for sale, and procures the necessities for himself by purchasing them; 2) that among the producers a division of labour exists, so that no producer can exist without a connection with society; 3) that no exploitation of labour exists in the society, and that, consequently, each labourer is an owner of means of production and independent entrepreneur, and each owner of means of production is a labourer. *Such a commodity economy is, strictly speaking, an abstract schema of every kind of exchange economy. If we come to consider capitalist society from the aspect of relations of exchange and to abstract from the relations of exploitation, we will also acquire this abstract system of the simple commodity economy.*

As the reader sees, I mention only in passing simple commodity production as a concrete type of exchange society, but I speak in detail enough about simple commodity production as an abstract schema of every type of exchange society. In this way I must not be accused of ignoring that the simple commodity economy is a prototype of capitalism.¹¹ Nevertheless, my critics consider as a crime even the very fact that, along with the simple commodity economy as an abstract schema of capitalism, I mention the simple commodity economy as a particular type of exchange society. They write: 'There he loses sight of the fact, that //262/exchange society 'in general' never existed independently, that this is not a particular formation, distinct from capitalism, but only a germ, the first stage of capitalism, interspersed in precapitalist formations.' I did not say that the simple commodity economy is a particular economic formation, but the critics in vain ascribed this to me. But, on the question of whether or not simple commodity production is a particular *type* of exchange societies, I am of course right and they are not. If the simple commodity economy exists in the crevices of precapitalist formations (in truth it exists also in the crevices of capitalism), this does not at all allow us to conclude that it interflows with

11 Only in keeping silent on the presence in my book of a paragraph especially devoted to the simple commodity economy as an abstract schema of every type of exchange society, directly foregoing the description of the theory of value, could my critics pretend as if, in considering this theory, I moved from the analysis of capitalism to the analysis of the simple commodity economy as a concrete type of exchange society, but did not simplify the capitalist system in thinking, in submitting it to a one-sided (from the point of view of exchange) consideration. Why did my critics regard such an attitude as admissible? I am embarrassed in judging this.

the non-exchange environment into a unified economic whole. Already I had to write in another place and in a different context,

that when the exchange economy appears as islands in the feudal sea, this exchange economy never merges at once with its environment into a unitary system. The exchange economy is connected with the feudal economy into a unitary system only accordingly as exchange expands; only to the extent that exchange relations comprehend the feudal economy too is the feudal economy transformed into a part of the system of the exchange economy. However, to the extent of this process the law of value extends its influence also on the feudal economy.¹²

We see, in this way, that the simple commodity economy, although existing along with the feudal economy, represents however a particular and unitary system inside it, not connected with its environment by the unity of the laws of regulation. In this way, the assertion of my critics that the 'simple commodity economy never existed autonomously' fails in itself. And as for the essence of the question, also here I cannot in any degree agree with my critics. It is true that the simple commodity economy unites with capitalism by the unity of the laws which govern social production and exchange (precisely due to this circumstance we must consider them as types of *exchange* society and not as autonomous formations). It is true that the simple commodity economy serves as a 'springboard of capitalism' and bears in itself the germs of all the contradictions of capitalism. But it is not true to say as if the simple commodity economy were only quantitatively distinct from capitalism. The circumstance that relations of exploitation exist only *potentially* in the simple commodity economy, whereas they exist *really* in capitalist society, allows us to consider them as types of exchange economy distinct from one another. 'Dialectics never served as a bridge to sophistry' [Lenin]. Only a sophist could wipe out the difference between the simple commodity economy and the capitalist economy on the grounds that the one grows into the other. I remember that Lenin considered the elements of the simple commodity economy ('petit-commodity production') and of 'private-economic capitalism' as 'elements of *different social-economic sectors [uklad]*',¹³ not as elements of one and the same sector. Lenin also showed how it is not only theoretically but also practically, politically important to distinguish these sectors from each other.

¹² 'On Preobrazhensky's *New Economics*', p. 88.

¹³ Lenin, *Collected Works*, vol. XVIII, part I, p. 203, emphasis added.

In direct connection with this question is the question of the definition of political economy as a science of the relations of production in capitalism, and not simply of the *relations of production in exchange society*. //263/My idea is that the science studying the capitalist system must necessarily explain also the relations of every exchange society, since capitalism is the most developed, most intricate system of exchange economy, including within it the totality of the relations of every exchange society; thus the science investigating the general traits of all the exchange societies (if it could ever exist) would not be willing to limit itself to studying the simple commodity economy, and could voluntarily comprehend the intricate system of capitalism. My critics draw from here two conclusions *on my behalf*: 1) it is in my opinion as if exchange in its developed form would not include within it relations of exploitation; 2) it is as if I constructed two sciences: one for studying exchange societies in general and another for studying capitalism. They submit both of these conclusions quite reasonably to fierce criticism. Naturally, if it is possible to draw such conclusions from my formulation, they must clarify it. But essentially similar conclusions do not in any way flow from my ideas. If political economy were to study only the general traits of every exchange economy, it would have to investigate the relations of exchange not including the sale and purchase of labour power. Such an exchange, as is well known to my critics, conceals behind it relations of exploitation in potency. In this way, there is no contraposition of the analysis of *developed* exchange to the analysis of relations of exploitation in my book. The first conclusion of my critics turns out, in this way, to be wholly without foundation, and I cannot but regret that they have spent time in vain on criticising conclusions I did not draw. As for the second conclusion, it is wholly refuted by the following sufficiently clear formulation I gave in my *Course*: 'since capitalist society is the most developed, most complex of exchange societies, and includes in its system all the relations inherent to the other kinds of exchange societies, political economy, studying the economic system of capitalism, plainly elucidates the nature of exchange relations in general.' The reader may clearly see that this passage can be quoted only for proving the fact that a science studying exchange societies in general is not necessary, and never for defending the second political economy. Every part of the criticism quoted above arises from my having written a 'special science, studying the relations of production in capitalism', instead of a 'science, specially studying the relations of production in capitalism'. For having indicated this really impermissible slip of the tongue, I express a heartfelt comradely gratitude to my critics.

As the reader can see, the whole of the first part of the criticism is nothing other than an attempt to highlight individual faults (often, and in the majority of cases, imaginary), to juxtapose them one with another, and to lead them to a 'system'. This part of the criticism presents nothing interesting and may probably not be above the level of the ordinary criticism during the last years, the intention of which can be expressed with the words: 'kick ass at all costs'. Far more interesting is the second part of the criticism. Here, although the authors do not disdain from time to time to hunt in the fields of unsuccessful word arrangement, they somehow attempt to oppose their conception to me. In this part their criticism becomes principled. This makes it possible for me to get out of the domain of elucidation and clarification into the wide field of theoretical discussion of the problem./

/264/The phenomenon of value includes within it three extremely closely connected aspects, representing three aspects of a unity. Marx distinguishes in it:

- 1) *The form of value or exchange value*, which appears at first sight only as a form of *manifestation* of value in proportions among commodities – things.
- 2) *Value*, which Marx defines as the objective form of the social labour expended in its (the commodity's – A. C.) production.¹⁴
- 3) *The substance of value*, social (and socially necessary) abstract simple labour in its form specific to the exchange economy.

Why do these three aspects in the phenomenon of value represent the three aspects of a unitary phenomenon and not three independent phenomena? Because the entity of each of them is conditioned by the existence of each of the rest, it cannot take place without the existence of them. Indeed, exchange value appears as exchange value (and not an accidental proportion between two products) only insofar as it serves as the expression of value. Exchange value cannot exist if it is not the form of *value*. Value arises in its turn from social abstract labour, which builds its substance, and hence is inseparably connected with the presence of the latter. It is however extremely important to emphasise that labour forming value is not simply labour but social labour, and moreover it is not simply social labour but social labour in the conditions of the exchange society. Why is it important to emphasise this? Because labour in exchange society is organised as individual, private labour. In order that the social existence of labour, its social content, manifests itself, it is necessary that the products of different kinds of labour be equalised to each other in the process of exchange. However, this can be attained only through the form of value, without which individual labour cannot surmount its private limitedness and

14 [Capital, I, p. 501, MEGA, II/6, p. 498].

assume the form of social labour. Here, in this way, exchange value, which represents at first sight only a *form of manifestation* of value, turns out to be *not only the form of manifestation*, but also a necessary component part of value relations, without which labour forming value, and consequently value itself, cannot exist.

This close connection of the three aspects of the phenomenon of value makes every attempt to separate them out rigorously from each other not only doomed to failure but also positively impermissible. This is the reason why the attention of the founders of Marxism was never directed to a rigorous accuracy of these concepts. While distinguishing them from each other, terminologically they usually emphasised their unity. It is well known that in *Critique* Marx denotes both value and exchange value with the term Tauschwerth (exchange value), although the differences between these two concepts were clear for him already in this work. It is true that in *Capital* Marx makes use of two terms to denote both of these concepts: Werth (value) and Tauschwerth (exchange value), but here too he does not try, like the school of I.I. Rubin (to which my opponents essentially belong), to chop them off from one another with an axe. On the contrary, he ties them up even terminologically. Thus, he applies the term Werthform in two completely different meanings of this word, as well for denoting the form of value, i.e., exchange value, as for denoting the *value form* of a commodity, i.e., value.^{15/}

15 Cf. the entire third section of Chapter 1 of Vol. 1 of *Capital*: 'Die Werthform oder der Tauschwerth' (form of value or exchange value). See for example: 'Für die bürgerliche Gesellschaft ist aber die Waarenform des Arbeitsprodukts oder die Werthform der Waare die ökonomische Zellenform' ('But in bourgeois society, the commodity-form of the product of labour – or value-form of the commodity – is the economic cell-form'), or: Die Waaren 'erscheinen daher nur als Waaren oder besitzen nur die Form von Waaren, sofern sie Doppelform besitzen: Naturform und Werthform' (commodities 'manifest themselves therefore as commodities, or have the form of commodities, only insofar as they have two forms, a physical or natural form, and a value form' [cf. *Capital*, I, pp. 19, 54, MEGA, II/6, pp. 66, 80]. My critics assume that in all similar cases Marx has in view neither value nor exchange value, but some particular form of value. In support of this, they give the following quotation: 'Es ist einer der Grundmängel der klassischen politischen Ökonomie, dass es ihr nie gelang, aus der Analyse der Waare und specieller des Waarenwerths die Form des Werths, die ihn eben zum Tauschwerth macht, herauszufinden' ['It is one of the chief failings of classical economy that it has never succeeded, by means of its analysis of commodities, and, in particular, of their value, in discovering that form under which value becomes exchange value.' *Capital*, I, p. 85, MEGA, II/6, p. 111]. If my critics had been more curious and looked into the first French edition of *Capital*, *authorised by Marx*, they could have translated this passage as follows. In French text the above proposition is written: 'L'économie politique classique, [, *sic*] n'a jamais réussi à déduir[e] de son analyse de la marchandise; et spécialement de la valeur de cet[te] marchandise, la forme, *sous laquelle*

/265/Marx declares exactly in the same way that commodities represent a unity of use value and exchange value, and only does he explain that

we were, accurately speaking, wrong. A commodity is a use value or object of utility, and a value. It manifests itself as this twofold thing, that it is, as soon as its value assumes an independent form, viz., the form of exchange value. It never assumes this form when isolated, but only when placed in a value or exchange relation with another commodity of a different kind. When once we know this, such a mode of expression does no harm; it simply serves as an abbreviation.¹⁶

Lenin did not consider it necessary to pay attention to dissociating the concepts of value and exchange value, although it is difficult to assume that the difference between these two concepts, accessible to me and my opponents' comprehensive faculty, should have slipped out of his penetrating mind. Briefly describing Marx's economic theory, Lenin writes:

A commodity is, in the first place, a thing that satisfies a human want; in the second place, it is a thing that can be exchanged for another thing. The utility of a thing makes it a use value. *Exchange value (or simply, value)* is first of all the ratio, the proportion, in which a certain number of use values of one kind can be exchanged for a certain number of use values of another kind.¹⁷

(I wonder what my critics would say if this passage were //266/written not by Lenin but by me.)

elle devient valeur d'échange, et c'est là un de ces vices principaux' [this passage is the beginning of the footnote 32 in the first chapter added in the second German edition, but this footnote does not appear in the French edition published a little earlier. Cohn quotes this French text from an unknown source.] ('Classical political economy never succeeded in deducing from the analysis of the commodity and especially from the value of commodity the form *in which* (under which) it (value) is transformed into exchange value, and this is one of its fundamental shortcomings'). Here it is clear the extent to which Marx identifies the form of value with the exchange value.

16 [Capital, I, p. 66, MEGA, II/6, p. 92]. In my *Course* I have rigorously followed the example of Marx. After having stated first (until the establishment of the category of value) the proposition that a commodity 'is a unity of use value and exchange value,' I clarify then that in fact value is hidden behind exchange value. My rigorous critics see in this manner of explanation the proof of my not understanding the category of exchange value. Exceptionally profound and, what is the main, well-directed criticism!

17 [Lenin, 'Karl Marx,' *Collected Works*, fourth edition, Progress Publishers, Moscow, 1964, vol. 21, pp. 59–60] (emphasis added).

Marx distinguishes far more rigorously value, i.e., reified labour, from social labour as a living process. However, there Marx not rarely admits 'careless' phrasings like: 'Der Werth der Waare aber stellt menschliche Arbeit schlechthin dar, Verausgabung menschlicher Arbeit überhaupt [The value of a commodity represents human labour in the abstract, the expenditure of human labour in general]'.¹⁸ Such an assertion can be interpreted with an equal right both in the meaning that 'the value of commodities simply *reflects* human labour, the expenditure of human labour in general', and in the meaning that 'the value of a commodity simply *represents* human labour, the expenditure of human labour in general'. Struve too translated the above sentence precisely in this way.¹⁹ We can find not a few similar places in *Capital*.

From all the discussions and quotations examined above, it is clear how unfounded, unfruitful, and illegitimate are the attempts of some Marxist economists (headed by I. Rubin) to dismantle Marx's terms into pieces to be placed in different drawers or on different shelves in dividing rigorously the concepts hidden behind them one from the other. We must say that in this question the 'deepeners' of Marx go, voluntarily or involuntarily, toward criticisms of Marx. As is well known, critics of Marx (Tugan-Baranovsky, Stammers, and others) not rarely accused Marx and Marxists of 'indifference to the exact definition of terms and concepts'.²⁰ They did not understand that this inexact definition of terms and concepts arises from the essence itself of the dialectical method of thinking. Where the question is about '*movement*', there can be no exact confinement of concepts or their rigorous partition. The 'deepeners' begin, unlike the critics, with assuming that Marx has no rigorous delimitation and confinement of terms and concepts. Thereby they put Marx's dialectical categories on Procrustes's bed of metaphysical definitions, i.e., do what the *opponents* of the dialectical method required of them.

This absence of a dialectical view on the category of value is very remarkable in my critics (as well as in the whole school of I. Rubin) in their descriptions of the theory of value.

My critics devoted some pages to a detailed description of the fourth section of the first chapter of *Capital*, bearing the well-known title 'The Fetishism of the Commodity and its Secret'. But from this description they did not draw proper conclusions. Social labour exists not only in exchange societies, but also in other social formations with a dispersed system of organisation

18 [*Capital*, I. p. 51, MEGA, II/6, p. 77].

19 [*ibid.*].

20 M. Tugan-Baranovsky, *Contemporary Socialism*, p. 5 [Туган-Барановский, *Современный социализм в своем историческом развитии*, Санкт-Петербург, 1906].

of labour. However, social labour in exchange societies is distinguished from social labour in organised societies. In organised societies, the labour of the individual appears *already at the moment of its execution* as a part of the social labour. 'The expenditure of individual labour powers appears here directly as a social factor, determining labour itself, i.e., individual labour powers function here directly as organs of the whole labour power.'²¹ 'Here the ... natural form of labour ... is the immediate social form of labour.'²² Here labour appears as social already when it appears as *living labour, i.e., as process*. But in exchange societies labour is organised on the principles of private property or, in brief, it is unorganised. Although it appears objectively also as social labour already //267/ in the process of production, since individual commodity producers factually work for one another, however, as living process, as living labour, it appears in its form as *private* labour. In order to uncover its social essence, it must surmount its private form, but this can be attained only by equalising the *products of labour* with each other.

Since producers enter into the reciprocal social relations only through the exchange of their products, the specific social character of their private labour manifests itself only within this exchange. In other words, private labours are actually realised as links of social labour only through the relations which exchange establishes among the products of labour, and, through these products, among the producers themselves.²³

'Only in the process of exchange do the products of labour acquire the socially homogeneous objective nature expressed in value.'²⁴ Products of labour acquire this socially homogeneous objective nature *only after* the labour, which has created them, ceases to exist as a living process. In other words, social labour in exchange society is objectified as social, acquires autonomous (along with private labour) existence *not as a living process (as in organised economies), but only as reified labour, as value*. It is this circumstance that my critics did not understand, just in the same way as also the whole school of I.I. Rubin does not understand it. However, it is extremely important for constructing the theory of value.

21 [A free quotation from *Capital*, I. Cf. 'The different kinds of labour ... are in themselves, and such as they are, direct social functions.' *Capital*, I. p. 82, MEGA, II/6, p. 108].

22 [ibid.].

23 [locus citato unidentified].

24 [locus citato unidentified].

We have already seen the mutual conditionality of the three aspects of the phenomenon of value: the substance of value (social abstract labour), value (the objective form of social labour), and the form of value (exchange value). It is altogether evident that the interpretation of social labour developed by my critics (after I.I. Rubin) deprives them of every possibility of understanding this interdependence. It compels their thinking to close in a logical circle. They accuse me of not giving any characterisation of social labour specific to the exchange economy prior to deducing the category of value. Their way of constructing value is like this: social labour, value, exchange value. But we have already seen that the social character of labour in exchange society becomes clear *only* through the form of value. The social character of labour in exchange society can never become clear without clarifying the form of value. But the form of value cannot be understood without understanding value. A logical circle appears: the nature of labour forming value is explained through form of value, the form of value through value, value through labour forming value, and so on. And my critics impose such 'dialectics' on me as obligatory for a Marxist?! I cannot but get bewildered, not knowing how people who have read *Capital* even once can ever advance such propositions.

Marx *has nothing to do* with the above logical circle. Why? Simply because he speaks about the objectively occurring reduction of private to social labour and of concrete to abstract labour only *after* having given the idea of value (in the analysis of the forms of value and in the theory of commodity fetishism). Does he build his theory of value not directly starting from the objectively occurring reduction of concrete to abstract labour and of private //268/to social labour, the understanding of which is possible only on the basis of the understanding of value and its form, but starting from the reduction *in thinking* of different kinds of labour to homogeneous labour? Here Marx makes use of the method which he himself characterised in his 'Introduction' to *Critique* [to *Grundrisse*]. He reduces in thinking a concrete commodity, representing the unity of use value and value, to an abstract commodity, which is nothing other than 'congelation of labour'. He reduces *in thinking* the labour reified in this congelation to abstract simple labour, which appears, in this way, as a product of an abstraction *in thinking*. Precisely this abstraction serves him as the starting point for the ascent from the abstract to the concrete. This abstraction is fruitful precisely because it takes only one general aspect of all commodities, but does not contain within it all the determinations of the phenomenon subject to explanation. If we gave to this abstraction all the properties of social labour, as I.I. Rubin and my critics propose to do, we would make of this abstraction a no less intricate idea than the category of value. Furthermore, this idea *would include within it the category of value* as one of the determinations and hence could not serve

for explaining value. From here we can see why both I.I. Rubin and our critics, among others, fall into the logical circle. This takes place due to their factual refusal of the abstract-dialectical ('Hegelian', 'synthetical') method of Marx. From here we can also see why it is wrong to include within the concept of abstract labour the social character of labour in exchange society.

Arriving at the category of abstract labour by means of an abstraction *in thinking* from the concrete qualities of the commodity and the labour creating it, and having established in this way that general property which all commodities have, Marx sets out 'on the inverse way', on the way of the reproduction in thinking of the concrete. He complicates the concept of abstract labour in including within it the concept of socially-necessary labour and immediately moves to value, which appears for the moment only as a congelation, a crystal of the socially-necessary quantity of abstract simple labour. Thereby, still in transition to the way of the 'ascent from the abstract to the concrete' Marx emphasises: 'The progress of our investigation will show that exchange value is the only form in which the value of commodities can manifest itself or be expressed. For the present, however, we have to consider the nature of value independently of this, its form.'²⁵ Only after having established the concept of value ('independent of form') does Marx move to the characteristic of the form of value (to exchange value), and only on the basis of the analysis of the form of value does Marx give the theory of social labour in exchange society. Only here does he show that in the conditions of exchange society that reduction of concrete to abstract labour, which was at first effected by Marx only in thinking, occurs also in objective reality. 'All that our analysis of the value of commodities has already told us, is told us by the linen itself, so soon as it comes into communication with another commodity, the coat.'²⁶

My critics assume that Marx's presentation of the theory of social labour only *after* the description of the whole theory of value is accidental, that in my *Course* I changed the presentation in describing Marx's theory. Thereby they reveal their insufficient understanding as well of Marx's theory of //269/value as of his method itself. To place the theory of social labour prior to the theory of value, from which the former arises, is impossible whether in popular or in the most scientific descriptions of Marx's theory. I.I. Rubin, who did this, accomplished an enormous error. It should be pointed out for the information of my critics that the fundamental error of I.I. Rubin is not in depicting abstract labour as immaterial labour, but in applying a wrong method of investigation,

²⁵ [*Capital*, I, p. 46, MEGA, II/6, p. 72].

²⁶ Marx, *Capital* vol. I, translation by Struve, 1899, p. 17 [*ibid.*, p. 58, MEGA, II/6, p. 85].

ensnaring him in a logical circle. The first error only arises from the second. We will consider our critics as followers of Marx's theory of value only when they dissociate themselves not only from the idealistic interpretation of Marx's theory of value of I.I. Rubin, but also from the idealistic method of this interpreter of Marx.²⁷ It was not at all by chance that Marx, when rewriting *Critique in Capital*, deleted all the places which would allow one to think that he built his theory of value on abstract labour in Rubin's sense, and concentrated all his theory of social labour at the end of the first chapter as the accomplishment of the theory of value.

My critics put an equality sign between abstract labour and labour forming value.²⁸ This identification represents an enormous error, which is a reflection or repetition of the errors already pointed out in the domain of the understanding of Marx's method and his theory of value. It is true that 'labour forming value is abstract labour', but the inverse proposition is not true: 'abstract labour is labour forming value'. The abstract character of labour is one of the determinations of labour forming value, but is never its exhaustive characteristic. Marx could understand labour forming value only because he dissociated in thinking this complex of determinations into a series of determinations. Labour forming value appeared as abstract, simple, specifically social, and socially-necessary labour. The Rubin school, putting the equality sign between abstract labour and labour forming value, blurs this partition of labour forming value into a series of determinations, refuses to understand individually each of these determinations and thus deprives itself of the possibility of coming to labour forming value 'not [as] a chaotic conception of a whole, but [as] a rich totality of many determinations and relations.'²⁹ We have already seen that precisely this circumstance renders the category of abstract labour unsuitable as the starting point of the analysis of value.

My critics attribute my tone to the 'mode' of scolding Rubin. I must say that already in 1923, immediately after the publication of the first edition of Rubin's *Essays*, I criticised his theory of abstract labour (cf. the review in the journal *Press and Revolution* [Печать и Революция], 1923, no. 6). Although this criticism was not exhaustive, I wrote already then: 'Describing 'abstract labour' as a

27 I mention here incidentally the tone of my criticism of I.I. Rubin. In relation with I.I. Rubin I have not allowed myself to use any harsh expressions, apart from the fact that I openly called him a revisionist. I must say that I used this word in the midst of polemical fervour, not for the purpose of offending I.I. Rubin but simply because I sincerely consider all of his writings to be revisionist. I consider it completely impermissible for a Bolshevik to hush up such things.

28 They say that 'abstract labour, i.e., labour forming value.'

29 [Marx, 'Introduction', МЕСW/28, p. 37, МЕГА, II/1.1, p. 36].

somewhat //270/immaterial substance, Prof. Rubin uproots from the theory of value its basis, transforms the revolutionary and revolutionising theory of Marx into a harmless idealistic concoction.'

Abstract labour in exchange society has a twofold existence. As a living process it exists only in concrete kinds of labour, *only in them*, but *never on the same footing as they*. As reified labour, it acquires (in value) an autonomous existence, objectifying itself.

The concept of abstract living labour can be obtained only as a result of an abstraction in thinking from the concrete properties of labour, and can represent only a logical and not an economic category. This category is *not* historical. But why does abstract labour, not forming value in the other social formations, form it in exchange society? This is because labour in exchange society is not only simple abstract labour, but also specifically social and socially-necessary labour. Marx writes: 'The arrangement has evidently to be made as follows: (1) The general abstract determinations, which therefore appertain more or less to all forms of society, but in the sense set forth above. (2) The categories which constitute the internal structure of bourgeois society ...'³⁰ At first the determination of abstract labour, inherent to all social forms, then, complementary determinations of this labour, arising from the structure of bourgeois society (specifically social, socially-necessary), transforming simple abstract labour into labour forming value.

If the reduction of concrete labour to abstract labour as process can be attained only as a reduction *in thinking*, the reduction of concrete labour to abstract *social* labour is carried out not only in the mind of the researcher but also *objectively*, in the process of the equalisation of the products of different concrete kinds of labour to each other. This objective reduction of concrete to abstract labour is carried out only in exchange society. *Such* 'abstract labour' is in fact a category specific to exchange society. However, for everyone who distinguishes the substance of value (labour) from value (reified labour), and also for my critics, who are, as we have seen, specialists in this field, it is clear that *this category is nothing other than value*. Now, dear comrades, can you confound labour with value?

The error of Bogdanov (and also of some of his predecessors) is in the fact that he did not understand the historicity of the category of reified abstract labour, i.e., of value, did not take into account that value is not simply created by abstract labour, but by abstract labour in a specific social form. The error of I.I. Rubin and his followers (and therefore, also of my critics) is in that

30 [ibid., p. 45, II/1.1, p. 43].

they did not make out labour itself, labour as such, labour in general, behind the social form of labour specific to exchange society. They see social abstract labour (value) but do not see living labour, which is concrete and abstract at the same time.

The reduction of concrete labour to abstract labour in its reified form goes on objectively through the equalisation of the products of different kinds of concrete labour to each other. This reduction is at the same time the reduction of 'private' to social (and therefore, also to socially-necessary) labour, and of complex //271/ to simple labour. These three theoretically different processes are carried out practically in a unique act of equalisation of commodities with each other. However, the practical coincidence of these three processes, their confluence in a practically unique act, does not at all exclude the necessity for theoretical analysis to dissociate, to distinguish them from each other in thinking. Otherwise, we would inevitably mix up the concepts of abstract, simple, social, and socially-necessary labour into a unique chaotic representation, succumbing to no further dissociation. But we have already seen that such a chaotic representation cannot serve as the starting point for a fruitful genetic (synthetic) understanding of the category of value.

Precisely because my critics do not want to operate such a dissociation, they have to incur such an error that they see in the determinations 'abstract' and 'social' one and the same complex determination, but generally ignore the determination 'simple'. They neither understand nor practically see the problem of the reduction of complex to simple labour. Two kinds of concrete labour are always qualitatively different from each other, and hence incommensurable and incomparable. In order to render each pair of two kinds of labour commensurable, it is necessary to abstract from their concreteness, to reduce them to abstract labour. My opponents assume that only *quantitative* difference exist between complex and simple labour, and that, in reducing concrete to abstract labour, we have thereby already solved the problem of reduction. It may not be possible to bring more serious confusion into an essentially clear problem. If the differences between complex and simple labour lie on the plane of quality and appear as the differences of two concrete kinds of labour, how is it ever possible to speak about the *complexity* of labour? Complex labour, as can be seen from the name itself, is potentialised, multiplied labour.³¹ The differences between simple and complex labour are *quantitative* differences, but quantitat-

31 [Cf. *Capital*, I, p. 51, MEGA, II/6, p. 78]: 'Skilled labour counts only as simple labour *intensified*, or rather, as *multiplied* simple labour, a given quantity of skilled being considered equal to a greater quantity of simple labour.' Emphasis in original. We draw attention to the word: 'only'.

ative differences become apparent only in the framework of a unitary quality. In reducing concrete to abstract labour, we bring different (in quality) kinds of labour to a unitary quality, and only after that can we find out that labour expended in different branches of production is labour of not homogeneous condensation, of not equal density. We run into the problem of complex labour when considering labour not from the point of view of use value, which it creates, but from the point of view of *value*; in other words, we come across the concept of complex labour when considering labour as abstract labour, within which there can be no *qualitative* differences, but only quantitative differences. Complex labour is distinguished from simple labour in that it creates in a unit of time greater value than simple labour. Since concrete labour *generally does not create value*, it is clear that all differences between complex and simple labour lie in the boundaries of homogeneous labour. Comrade V.N. Poznyakov paid attention many years ago to the necessity of distinguishing complex labour from qualified labour.³² Qualification is a property of concrete labour and its character flows from use value, to the creation of which a given labour is directed. The complexity //272/of labour is a feature of labour taken from the abstract point of view and connected with the process of the creation of values, but not of use values. Of course, for the followers of Rubin, who do not want to dissociate the practically unitary act of the equalisation of products of different kinds of labour into its constituent elements, this idea is inaccessible. This only proves the degree of the depth of their theoretical penetration! On this example we convince ourselves once again of the imperfection of the method of rotational movement in a logical circle, the axis of which is the undissociated chaotic representation of a phenomenon subject to explanation, and of how far this method is from the dialectical method of Marx. The dialectical terminology of my critics remains only *terminology*.

From what I have said about the category of value, the reader may be convinced of how I am opposed to the interpretation of Marx's theory of value as only a theory of *relative* value. The reader would be no less convinced of this when reading through the corresponding places of my *Course* and in particular the chapter on the forms of value. As is well known to everyone who has read *Capital*, in particular the section devoted to the form of value, Marx especially emphasised the differences of his theory from the relative theories of value. Therefore, having suspected me of not sufficiently understanding the abstract (in the conditional sense) character of Marx's theory of value, the critics had first of all to tackle this chapter of my *Course*. Why did not they

32 Cf. his book *Qualified Labour and Marx's Theory of Value*.

do this? The answer is self-evident. But let us leave this question aside. What inspired my critics to accuse me of the interpretation of Marx's theory of value as a theory of relative value? It is my assertion that the law of value is reified in exchange value. The critics know that labour is reified in the phenomenon of value (and therefore also in exchange value), hence they consider as erroneous the assertion that the law of value too, i.e., the law of the spontaneous regulation of social production, is also reified and finds for itself a reified manifestation.³³ For the problem is raised like this: which is reified, labour *or* the social relation? Therefore, they take the assertion that the social relation is reified for the *negation* or incomprehension of labour being reified. Precisely for this reason they add question and exclamation marks to every assertion of mine that value is a relation of production beginning from the reification of labour.

Here we come across the same attempt to dissociate the material elements of Marx's conception from its social elements which I had to confirm already in I.I. Rubin's work.

However, it is not worth a great effort to prove that value is the reification of both labour *and* social relations. The essential point is in that labour reified in a commodity is social labour in its essence. Labour is reified not only in the sense that the subject of this labour is in fact the whole social collective, but also in the sense that this labour flows in the form of specifically social labour in the exchange economy. Precisely in this sense Marx also says that 'the value of a commodity is the objective form of social labour expended on its production'. The reification of *such* labour cannot but include within it also the reification of social relations. Consequently, value is reified labour, a crystal of labour, and at the same time the reified //273/ relation of production.³⁴ To take my assertion of reified social relations for negating the reification of labour, to draw thence the conclusion of my negating the absolute (or objective) value, and to move from here to their accusing me of an imaginary subjectivism, does not all of this amount to betraying their own incorrect representation about the interrelation of the material and the social in the theoretical conception of Marx? Does this

33 Cf. Lenin, 'Value is the Law of Prices', *Collected Works*, vol. XII, part II, p. 389 [locus citato unidentified].

34 Cf. K. Marx: 'The existence of the things as commodities, and the value relation between the products of labour which stamps them as commodities ... There it is a definite social relation between men' ... 'The categories of bourgeois economy consist of such like forms. They are forms of thought expressing with social validity the conditions and relations of a definite, historically determined mode of production, viz., the production of commodities' ... 'gold and silver, when serving as money, represent a social relation of production', and so on, and so on, and so on [*Capital*, I, pp. 77, 80, 86, MEGA, II/6, pp. 103, 106-7, 112].

not amount to a revelation again and again of their inclination toward the side of I.I. Rubin, and through him, to the side of all the idealistic interpretations of Marx?

In considering the article of my opponents, and in particular that part of it which relates to the theory of value, we have already disclosed the methodological helplessness of my critics, preventing them from understanding the method applied by Marx in *Capital* as well as from being consistent in the theory of value itself. My critics manifest the same methodological helplessness in the theory of money.

As is well known, Marx specified that

the amount of the means of circulation required, is determined beforehand by the sum of the prices of all these commodities ... the values of commodities remaining constant, ... if, in consequence of such a rise or fall in the value of gold, the sum of the prices of commodities fall or rise, the quantity of money in currency must fall or rise to the same extent.³⁵

Thereby Marx emphasised that full-valued means of circulation never overflow the canals of their circulation.³⁶ My critics repeat these two correct propositions. However, they do this purely mechanically. They do even not raise to themselves the problem of why the amount of the (full-valued) means of circulation always turns out to be such that it 'is suitable' for it, and *how*, in case of fluctuations in the sphere of commodity circulation, an 'adaptation' of the amount of the means of circulation to the changing sum of commodity prices takes place.

My critics, we have seen, always like to recall the contradictions between the social character of production in exchange society and the individual form of its organisation. Why did they forget these contradictions when speaking about the sphere of monetary circulation? Whereas, the root of the problem is precisely here. If the sphere of monetary circulation were regulated by conscious discretion of a unique subject, the problem of why the amount of the means of circulation is always sufficient could not exist, and my critics would be right to have had recourse to the 'preterition' as regards this problem, but indeed an essentially unitary exchange society is in fact not a unitary *subject*. It consists of thousands and millions of autonomous subjects. If the scattered actions of these millions of subjects lead to a definite and always similar result, this res-

35 [*Capital*, I, pp. 118–9, MEGA, II/6, p. 141].

36 [*ibid.*, p. 135, II/6, p. 155].

ult is subject to a theoretical explanation. Here we are not allowed to restrict ourselves to a simple ascertainment of fact./

/274/In a free minting regime, every possessor of gold can mint discretionarily at any time the metal he possesses into money and throw it in circulation or, inversely, can withhold money drawn from circulation and melt it down to ingots. Here the sphere of monetary circulation is regulated by the spontaneous in- and outflow of metal. Therefore, the question of *why*, as a result of these spontaneous overflows of metal, an accordance of the quantity of the means of circulation with the norm is attained, arises fully fledged. Everyone who considers seriously this question, not just mechanically repeating quotations snatched from *Capital*, should ponder over the *law* which regulates the sphere of monetary circulation.

Let us admit that at a given time we have the accordance of the general amount of the means of circulation to the norm. But after that the sum of commodity prices rises for one or another reason. What will happen? To this question Marx himself answers:

If the mass of commodities remains constant, the quantity of circulating money varies with the fluctuations in the prices of those commodities. It increases and diminishes because the sum of the prices increases or diminishes in consequence of the change of price. To produce this effect, it is by no means requisite that the prices of all commodities should rise or fall simultaneously. A rise or a fall in the prices of a number of leading articles is sufficient in the one case to increase, in the other to diminish, the sum of the prices of all commodities, and, therefore, to put more or less money in circulation. Whether the change in the price corresponds to an actual change of value in the commodities, or whether it be the result of mere fluctuations in market prices, the effect on the quantity of the medium of circulation remains the same.³⁷

Thus, the rise of the sum of the prices of commodities gives rise to a deficiency of the means of circulation, which will be filled with the inflow of new money in the sphere of circulation. Conversely, the fall of the sum of prices of commodities generates an excess of the means of circulation and the outflow of money from the sphere of circulation.

I am utterly unfamiliar with the idea of describing this process like this: at first we have a deficiency of the means of circulation, and *then* this deficiency

37 [*Capital*, I, p. 120, MEGA, II/6, p. 142].

is covered by a new inflow of money; *at first* there is an excess of the means of circulation, and *then* an outflow of money from the sphere of circulation. No, these stages can coincide in time and coincide in fact. *Accordingly as* a deficiency of means of circulation begins to be felt, this deficiency will be cancelled out by the new inflows of money. *Accordingly as* an excess of means of circulation is formed, this excess will be dissolved. The process of formation of the deficiency of monetary circulation coincides with the process of its saturation, and the process of formation of an excess coincides with the process of its resorption. Precisely for this reason, Marx had the right also to assert that the amount of money in circulation always coincides with the norm of necessity.

Exactly in the same way, the change in the velocity of the turnover of money, with all other terms in the formula of the amount of the means of circulation being equal, brings about consequences:

If the one (money – A. C.) increases its velocity, the other either retards its own, or altogether falls out of circulation; for the circulation can absorb only such a quantity of gold as when multiplied by the mean number of moves made by one single coin or element, is equal to the sum of the prices to be realised. Hence if the number of moves made by the separate pieces increase, the total number of those pieces in circulation diminishes. If the number of the moves diminish, the total number of pieces increases.³⁸

We run again into the same phenomenon. //275/ The velocity of circulation of money, with all other factors unchanged, makes a part of the money unnecessary, or, in other words, generates an excess of monetary circulation. This excess dissolves by outflow into the sphere of accumulation. Slow-down of the velocity of circulation of money gives rise to deficiency of money, and to the inflow of new masses of the means of circulation from the hoard. As in the first case, the process of formation of an excess of the means of circulation can coincide with the process of dissolution of this excess, the process of formation of a deficiency of the means of circulation, with the process of its elimination. This coincidence of the processes of excess or deficiency of the means of circulation with the processes of their elimination gave, of course, Marx the right to assert, that the amount of the means of circulation always coincides with the direct need of circulation. However, it does not give my critics the least right to negate the concept itself of the deficiency or overabundance of the means of circula-

³⁸ [ibid., p. 121, 11/6, pp. 143–4].

tion, starting from the automatically constant coincidence of the amount of the means of circulation with the necessary amount. Their reasonings as if from my point of view followed a constant deviation of the factual amount of the means of circulation to one or another side, and their conclusions about my 'simplicity' only reveal anew the undialectical method of reasoning hidden behind their quasi-dialectical terminology. The amount of the means of circulation can also coincide with the norm in any given moment precisely because in any given moment the two directly opposite and contradictory tendencies manifest themselves: to the formation of an excess (or deficiency) of the means of circulation, and to its elimination.³⁹

Let us now tackle the question of *why* every tendency to the formation of an excess or deficiency of the means of circulation generates the inverse tendency, paralysing the former. It would be in vain to expect an answer to this question from my critics, since they do not see the question itself. But I answer to this question as follows: every tendency to the formation of an excess of monetary circulation is a tendency to the deviation of the purchasing power of money below its value. Precisely for this reason it stimulates a contraction (or suspension) of the inflow of gold in the sphere of monetary circulation, and a strengthening of the outflow of gold from the sphere of circulation. As a result, the tendency of the purchasing power of money to fall is replaced with the inverse tendency, the rise of the purchasing power of money, and the tendency to the outflow of money from the sphere of circulation is replaced with the tendency to its inflow.

Does this all mean that the purchasing power of money fluctuates around its value in the same way as the prices of commodities fluctuate around the commodity value, and that, in this way, it coincides only *on average* with the value of money, deviating from it in one or another side in every given moment? Certainly not, and my critics remind me of Mill in vain. The price of a commodity, when rising //276/above the value, can return to it only after new production fills up the deficiency of commodities on the market. Exactly in the same way, when deviating below the value, the price of a commodity can return to the

39 We can see from the following quotation that Marx was in no way inclined to negate, like my critics, the impact of these two opposite tendencies on the sphere of monetary circulation: 'Empirical data show that, despite temporary fluctuations, and sometimes very intense fluctuations, over longer periods the level of metallic currency or the volume of gold and silver in circulation in a particular country may remain on the whole stable, deviations from the average level amounting merely to small oscillations. This phenomenon is simply due to the contradictory nature of the factors determining the volume of money in circulation. Changes occurring simultaneously in these factors neutralise their effects and everything remains as it was' [*Critique*, p. 341, MEGA, II/2, p. 173].

value basis not before the overabundance of the commodity on the market will be eliminated. Therefore, the deviations of the price of a commodity from its value appear as lengthy and clearly tangible deviations. With money this is altogether different. Here the least tendency to the deviation of the purchasing power of money from its value induces an immediate outflow of gold from the sphere of monetary circulation into the sphere of accumulation, or in the inverse direction, and, in this way, extinguishes itself at its very inception. Precisely due to this particularity, the purchasing power of full-valued money coincides practically always with its value. Precisely because the purchasing power of full-valued money always coincides with its value, it always tends to deviate from it. Of course, it is impossible to understand such a thing in applying only the dialectical terminology while fleeing from the dialectical method of thinking.

If the purchasing power of money coincides practically always with its value, we have to ask ourselves, why is it ever necessary to introduce this concept? It is because the practical coincidence and the mutual cancellation of the two opposite tendencies does not negate the fact of the existence of these tendencies, or the necessity of their understanding. Only in setting out from the understanding of these tendencies can we explain the mechanism of spontaneous regulation in the sphere of monetary circulation. This is the first point. And, secondly, only in setting out from the understanding of these tendencies can we understand the phenomenon of not-full-valued money in general, and the meaning of the system of closed minting in particular.

How do our critics explain the fact that worn (not-full-valued) money circulates along with full-valued money and purchases commodities of as much value as full-valued money does? How do they explain Marx's statement that the monetary circuit separates the functional existence of money from its metallic existence,⁴⁰ or that the separation of the function of the means of circulation manifests itself in the circulation of non-full-valued money?⁴¹ How do they generally explain the concept of the 'symbol of value'?⁴²

40 'The currency of coins itself effects a separation between their nominal and their real weight, creating a distinction between them as mere pieces of metal on the one hand, and as coins with a definite function on the other' [*Capital*, I, p. 126, MEGA, II/6, p. 148].

41 'The isolated function of serving as the mere circulating medium is not necessarily the only one attached to gold coin, although this is the case with those abraded coins that continue to circulate' [ibid., I, p. 129, MEGA, II/6, p. 151].

42 It is a good timing to propose here to our critics, who deny the possibility of deviation of the purchasing power from the value of money, to explain the following sentence of Marx: 'All sovereigns, even those retaining the standard weight, would be worth less as coin than in the shape of bars' [*Critique*, p. 345, MEGA, II/2, p. 177].

To all these questions our critics do not give (and cannot give) circumstantial answers, since, instead of explaining the law regulating the sphere of monetary circulation, they are occupied in negating it.

Our critics avail themselves of an argument against the concept itself of purchasing power. In their opinion, the concept of purchasing power can be deduced only on the assumption that 'commodities without price and gold and silver without value enter into the process of circulation, and that then, in this process, some part of the commodity heap is exchanged for some part of the metallic //277/mass'.⁴³ This superficially convincing reasoning of my critics is built on an obvious incomprehension of the problem. Change in the value of commodities takes place *outside the process of circulation* and prior to it. Money (while being able to express its value in relative form) represents, as the universal equivalent, the absolute entity of value, and there is no necessity to measure it. In this way, commodities enter into the process of circulation with a *ready* price, and money does so with a *given* value. In the process of circulation only the *realisation* of values is effectuated. Thereby, whether the transformation of a commodity into money can take place and whether its ideal price will be fully realised depends on the quantitative correlation of commodities and money on the market. Marx says:

The division of labour converts the product of labour into a commodity, and thereby makes necessary its further conversion into money. At the same time, it also makes the accomplishment of this transubstantiation quite accidental. Here, however, we are only concerned with the phenomenon in its integrity, and we therefore assume its progress to be normal. Moreover, if the conversion take place at all, that is, if the commodity be not absolutely unsaleable, *its metamorphosis does take place although the price realised may be abnormally above or below the value*.⁴⁴

Here we come across such cases in which is realised not the whole value of a commodity and not the whole of its ideal price, but only a part of this price. If the process of *measurement* of the value of a commodity takes place before the process of circulation begins, the *realisation* of the value of the commodity is accomplished in the process of circulation. If the measurement of value shows into what quantity of (ideal) gold a given commodity will be transformed, the process of realisation shows for what quantity of (real) gold the commodity is

43 [A very free quotation from the *Critique*, pp. 395–96, MEGA, II/2, p. 223].

44 [*Capital* I, p. 110, MEGA, II/6, p. 133] emphasis added.

factually exchanged. Of course, we can assert that the realisation of price coincides with the ideal price of it, but we can do this only in starting from the coincidence of the factual quantity of means of circulation with their normal quantity. Exactly in the same way also, the purchasing power of money does not appear as a result of the *measurement* of the value of money, but as a result of the realisation of it in commodities. It does not represent an ideal expression of the value of money, but the factual result of the exchange of money for gold. Here the purchasing power of money is expressed, naturally, not directly in the value of commodities, but in their price. As the reader sees, our critics make haste in vain to count me too among the followers of quantity theory.

As if not counting on the persuasiveness of their fundamental argument, the critics have in 'any case' prepared a couple of arguments from praxis. I borrow the consideration of these arguments in order to show their complete untenability as well as to illustrate the idea I have expressed just now.

The first argument: In the opinion of Cohn, it is as if every increase in the price of commodities were at the same time a decrease in the purchasing power of money. Therefore, the increase of the prices of all (or the most important) commodities, with their quantity unchanged, must, according to Cohn, be accompanied by an *outflow* of money from circulation, while in reality and also according to Marx an *inflow* of money in the sphere of circulation takes place in these cases./

/278/Let us consider different cases of the increase of prices which can be assumed by my critics, and the influence of each of these cases on the purchasing power of money, and through it on the quantity of the means of circulation.

Let us admit, *first*, that an increase of the prices of all (or the most important) commodities takes place consequent upon the rise of their value. In this case, the increased mass of commodity values will find its expression in a larger mass of ideal gold, if measured in it. Therefore, if the quantity of the means in circulation remained unchanged, every real rouble would factually purchase no less than earlier, but a larger quantity of values. The purchasing power of money would not fall, but rise, and according to Cohn, as well as to Marx, money would not flow from the sphere of circulation to the sphere of accumulation, as my critics think, but just in the opposite direction: from the sphere of accumulation to the sphere of circulation. Let us admit, *secondly*, that a rise of the prices of all (or the most important) commodities takes place, not consequent upon the rise of their value, but upon the deviation of their prices from value. In this case, as in the first case, the value of the whole commodity heap, when its change occurs prior to circulation, will be expressed not in a smaller but in a larger quantity of ideal gold. Therefore, if the quantity of the means of circulation remained as before, every real rouble would be exchanged not for

a smaller but for a larger quantity of ideal roubles. The purchasing power of money would turn out again to be not lower but higher than before, and once more, according to Cohn, as well as to Marx, money would not get away from the sphere of monetary circulation to the sphere of accumulation, but just the opposite. 'Whether the change in the price correspond to an actual change of value in the commodities, or whether it be the result of mere fluctuations in market-prices, the effect on the quantity of the medium of circulation remains the same.'⁴⁵

It would be possible to assume a third case, where the prices of commodities rise consequent upon the overflow of the sphere of monetary circulation with the instruments of circulation and the fall in their purchasing power. Precisely in this third case my critics imagine to 'capture' me. However, such a case is impossible, since the prices are the result of ideal measurement of values, the equalisation of commodities with ideal but not real gold. The commodity prices in gold cannot rise consequent upon the overflow of the sphere of circulation with money. And the purchasing power of money itself would actually fall in the case of such an overflow, since now every real rouble would be exchanged for a value which has found its ideal expression not in one rouble but in a smaller amount of money.

Let us move to the second argument from praxis of my critics. In a period of crisis, the prices of all commodities fall. Since this would have to mean a rise in the purchasing power of money 'according to Cohn', in periods of crises an inflow of money into circulation must be observed, whereas in fact an outflow is observed.

In view of all what has been said above, it is not worth a great effort to reply to this objection. If in the periods of crises prices fall, this means in itself, that the value of commodity heap is expressed now not in a larger but in a smaller quantity of ideal gold. In this way (even if the fall of the prices were not accompanied by a contraction of the quantity of commodities), in this case the purchasing power of money would not have to rise but to fall, since every real rouble would be now exchanged for a value, which has found its expression in a quantity of ideal gold corresponding //279/to less than one rouble. As a result, it is not an inflow of money in the sphere of circulation but its outflow from the sphere of circulation that would occur, as this is what actually takes place.

In this way, as the reader sees, I have not made Marx stand on his head, but my critics have made me stand on mine; and only in so doing can they successfully ascribe to me a 'quantitative inclination' in the theory of money.

45 [Capital, I, p. 120, MEGA, II/6, p. 142].

It is well known that fledgling doctors find in each of their patients all the diseases known to them. Do not all the illnesses my opponents detect in myself come from the same source?

V. Dunaevsky: 'The Law of Labour Value in Capitalism in I. Rubin's *Essays*'^{*,1,2}

Under the Banner of Marxism, 1929, no. 2–3, pp. 67–91

The great scientific value of *Essays on the Theory of Labour Value* by I. Rubin is well known [the exact title of Rubin's work is *Essays on Marx's Theory of Value*]. Rubin has there stood out for the importance of the sociological method in the system of investigation of Marx. In his *Essays* the problems of the theory of commodity fetishism are brilliantly elaborated as 'propaedeutics of political economy'. *Essays* has profoundly, competently developed the historical and social determinedness of the economic categories in Marx's system. But *Essays* is not devoid of a whole series of errors, the correction of which is necessary for a successful combat with vulgar naturalism. So far have been discussed the problems of abstract labour, of the form and content of value. Yet to be elucidated are such problems as the form of manifestation of the law of value in capitalism, in the description of which the author of *Essays* appears to have committed errors. The importance of this problem does not need to be discussed here again! This part of Marx's research has undergone and continues to undergo the attacks of bourgeois and revisionist critique.

1 The Problem of the Historical Foundation of the Simple Commodity Economy in I. Rubin's *Essays*

The law of labour value is pursued by Marx on different stages of abstract analysis. On the first stage the investigation has to do with the simple commodity form of economy. Marx writes: 'the law of value is abstracted from capitalist production'.³ Marx answered again and again that the abstract schema of simple exchange connections reflects relations existing historically. He wrote:

* В. Дунаевский. «Закон стоимости при капитализме в «очерках» И. Рубина» *Под знаменем Марксизма*, 1929, 2–3, стр. 67–91.

1 Published as a discussion paper *Editor*

2 The present article is a somewhat extended lecture, delivered in the economic section of the Leninist Scientific Research University of Marxism in February 1928.

3 [*Theories*, 2, p. 263, MEGA, II/3.4, p. 1265].

'it is quite appropriate to regard the values of commodities as not only theoretically but also historically *prius* to the prices of production.'⁴ The abstract course of analysis, writes Engels, 'will be simply the reflection, in abstract and theoretically consistent form, of the course of history, a corrected reflection, but corrected in accordance with laws provided by the actual course of history'.⁵ The capitalist economy and the simple commodity economy are not divided from one another by an abyss or rift, as historically different types of economy. The latter serves as 'a springboard of capitalism', as A. Cohn expressed it suitably; 'it bears in itself germs of all the contradictions of capitalism.' The distinct particularity of a society of equal commodity producers is the absence of capitalistic exploitation. But it cannot be denied that the relation of capitalistic exploitation accomplishes in a completely new manner that process of social differentiation which took place in the situation of the simple commodity economy.

According to I. Rubin, 'the transition from labour value or the simple commodity economy to prices of production or the capitalist economy [is a means for understanding the concrete, i.e., the capitalist economy. This] is a theoretical abstraction but not a depiction of the historical transition from the simple commodity economy to the capitalist economy.'⁶ On this problem Rubin wrongly comments on Marx: 'Now that other works of Marx have become equally accessible to us', writes I. Rubin, 'we know with certainty that Marx was strongly opposed to the view as if the law of labour value was valid in the period preceding the development of capitalism.'⁷

I. Rubin relies on an observation of Marx's on [Robert] Torrens in *Theories*. Why does Marx criticise Torrens here? It is solely for the reason that 'he [Torrens] reverts to Adam Smith [*Theories*, 2, p. 264, MEGA, II/3.4, p. 1266]', who restricted the operation of the law of labour value to the 'early stages' of social development. Here Marx does not at all refute the actual validity of the law of labour value in the society of equal commodity producers.

4 [*Capital*, III¹, p. 177, MEGA, II/15, p. 177. Emphasis in original but not reproduced in Dunaevsky's quotation].

5 Engels writes further: 'this [the logical method of approach], however, is indeed nothing but the historical method, only stripped of the historical form and of interfering contingencies' (Engels, 'On Marx's *Critique of Political Economy*', *Under the Banner of Marxism*, no. 2-3, 1923 ['Karl Marx, *A Contribution to the Critique of Political Economy*', MECW/16, p. 475, MEGA, II/2, p. 253]).

6 I. Rubin, *Essays*, third edition, State Publishing House, 1928 [*Essays*, p. 219 in the fourth edition. p. 324 in the present translation. The part between square brackets is omitted in Dunaevsky's quotation].

7 *ibid.*, p. 276 [*ibid.*, p. 218 in the fourth edition, p. 323 in the present translation].

What was the course of argument of Marx? In capitalism, the commodity form is the universal form of the relations of production. According to A. Smith and Torrens, the law of value is 'operative on earlier stages of exchange'. Marx discloses their inconsistency: if the law was effective in germinating commodity relations, why can it be ineffective in capitalism, where the commodity form became a predominant form of the relations of production?⁸

The second most important argument of Rubin's is that 'the 'historical' formulation of the problem leads, in this way, to ignoring the historical character of the category of value'.⁹ Advancing such an argument, Rubin is captured by the methodology of the metaphysical historicism of K. Bücher. The reaction against the 'natural' laws of the classical school and 'ancient-historical school' acquired in the works of Bücher a metaphysical colouring. Bücher does not understand that 'epochs in the history of society are no more separated from each other by hard and fast lines of demarcation, than are geological epochs'.¹⁰ To the metaphysical schema of Bücher is opposed the dialectical schema of the history of social forms of the author of *Capital*, the triumph of the classical application of dialectics in historical analysis. The latter schema is not yet appreciated, thought out, commented upon enough! It is included in the

8 [Theories, 2, pp. 264–7, MEGA, II/3.4, pp. 1268–70].

9 I. Rubin, *Essays*, p. 279 [*Essays*, p. 220 in the fourth edition, p. 326 in the present translation. 'Historical' in the original text is not within quotation marks as in Dunaevsky's quotation]. Let me emphasise that the historical views of I. Rubin have nothing in common with the methodological ideas of Karl Bücher.

The ideas of Bücher have undergone vast, relentless criticism. Let us mention the well-known works of E. Meier ('Economic Development of the Ancient World'), and of Salvioli. For the latter, 'already primitive unions of families, of which was composed the Roman state, maintaining full autonomy inside the city walls, connected with each other by the relations of exchange.' Salvioli writes: 'Beginning from the Babylonian monuments, from the Code of Hammurabi, until the monuments of the East and all the Hellenic epoch, we find extremely clear evidence of the fact that the domestic economy produced, processed everything which did not need special skill and tools, and that a class of artisans existed, getting together in cities and working on demand or for the market' (Salvioli, *Capitalism in the Ancient World*, translated by R. Galperin, Charkow, All-Ukrainian State Publishing House, 1922, pp. 85, 182, 25).

10 [*Capital*, I, p. 351. MEGA, II/6, p. 363]. Following Rodbertus, K. Bücher determines the first stages of the history of social forms 'as production for one's own consumption in its pure form.' The entire cycle from production to consumption is achieved here, according to Bücher, in the closed circle of a family, a tribe. Such was, according to Bücher, the economy of the Greeks, the Carthaginians, the Romans; the same traits are observed also in the economy of the Latin, and the Germanic peoples in early Middle Ages. 'Exchange is an element completely alien to the closed domestic economy' (K. Bücher, *The Emergence of the National Economy*, pp. 50–62, Academy Publishers, 1923).

twelve pages on the history of the development of the forms of value of the first volume of *Capital*. 'What seems to be an abstract and at times purely deductive mode of exposition deals in reality with a gigantic collection of factual material on the history of the development of exchange and commodity production', writes Lenin.¹¹ Each type of form of value reflects a definite type of economic structure, a definite 'way of traffic' among producers within the social labour.¹² Each form of value is historically peculiar and distinct. This does not prevent Marx from considering each form as a result of a series of formations which took place historically. Here 'each following form arises from the preceding one not simply in destroying the former, but in such a way that the former 'is maintained and abolished' (wird aufgehoben) in the latter, since the former is considered to be simultaneously outstripped by and conserved in the latter'.

In his article published in 1925 [1895] in *Neue Zeit*, Engels wrote: 'the law of value has prevailed during a period of from five to seven thousand years'¹³ [Engels, *ibid.*, 640]. Marx's schema of the history of the development of the forms of value elucidates how dialectically the thinking of Engels here should be understood. The 'law of labour expenditures' existed all throughout this period in qualitatively different manifestations of value forms: various forms of value (accidental, expanded, general) expressed qualitatively different economic formations, various 'stages' of social-labour connection, various degrees of 'reification' of the relations of production, and hence specific distinct regularities.

If in K. Bücher exchange arises only in 'towns' and the 'national' economy, in Marx it exists already in primary social form. But this does not transform the commodity into an unhistorical, 'natural' category. Exchange exists already in the primitive tribal commune as accidental form of value, qualitatively distinct from the general, money form, and at the same time united with the latter form in the historical process of the mutation of labour expenditure into labour value, as the overall regulator of all social production. Only for metaphysical historicism would it appear that, if the law of labour value were valid in pre-capitalist social structures, it would lose its historically limited character.

11 [Lenin, 'Karl Marx,' *Collected Works*, Moscow, 1964, vol. 21, p. 61].

12 Engels, 'The Law of Value and Rate of Profit [his supplement to *Capital*, vol. III], in the journal *New Word*, 1897 [*Capital*, III, pp. 634–44, MEGA, II/14, pp. 323–40].

13 Of course, within a human herd of 40 to 50 members, or in a kinship commune, naturally there was no exchange. But, according to the greatest discoveries of Morgan and Maurer, 'the evolution of products into commodities arises through exchange between different communities, not between the members of the same community' [*Capital*, III¹, p. 177, MEGA, II/15, p. 177].

But for dialectics, the law of labour value, actually existing historically in the 'society of simple commodity producers', acquires in capitalism a new social determinedness.

However, does not the historical foundation of the simple commodity economy lead us to the idea of a historical-comparative method of investigation of all the problems of political economy? Not in the least! It requires only that an abstract schema be studied entirely concretely! Engels stresses: the logical (abstract – *V.D.*) way of investigation gives the possibility that 'each moment can be examined at the stage of development where it reaches its full maturity, its classical form' ['[Engels's review on] Karl Marx, *A Contribution to the Critique of Political Economy*', MECW/16, p. 475, MEGA, II/2, p. 253].

Hereby Engels made a sharp distinction from the fundamental proposition, advanced by I. Stepanov: 'for discovering the fetishism, the regularities of the capitalist economy, we must delve into pre-capitalist forms of production'.¹⁴ For A. Bogdanov too, the historical reality of 'simple' economic categories gives a clue to the purely psychological caches of the discoveries of Marx, sheds light on the course itself, the *consistency* of Marx's investigation. This clue is the historical-comparative method of the German historical school.¹⁵

The historical foundation is in no relation with such a psychological formulation of the method of research. The latter does not at all consist in a psycho-

14 *Bulletin of the Communist Academy*, no. 11, 1925, p. 287. A. Bogdanov writes: 'Fundamental abstractions for the investigation of the capitalist economy are acquired by means of a juxtaposition of historically given complexes. They are thus acquired in *Capital*. The disappearance of fetishism and its discovery were attained by means of the transition to other forms of production' (*B.C.A.*, p. 304).

15 Historical digression allows us to pursue the social content of an individual simple economic category. But it must never be forgotten that 'it [this category] is always contained in other social forms in a distorted, essentially altered shape' (Marx).

In the system of capitalism all these 'simple' categories take on a new concrete determinedness. Consequently, simple categories do not give understanding of the contemporary regime in its 'concatenation' (Marx's letter to Annenkov [of 28 Dec. 1846, MECW/38, pp. 95–105, MEGA, III/2, pp. 70–80]).

The 'forming principle' of the capitalist system creates a qualitatively different combination, a different 'concatenation' of all these simple categories. The corvée of the Middle Ages does not disclose to us the secrets of capitalist exploitation, rents in kind give nothing for understanding the sources of absolute and differential rents, usury is not capable of letting us discover the relations of financial capital.

In *Critique* and in *Capital* Marx gave an exhaustive criticism to the ideas of the pseudo-historical school in political economy, for which 'this historical material serves to obtain inductively new truths' (G. Schmoller, *The Science of the National Economy and Its Methods*, translated by Netchaev, 1902, p. 62. Emphasis added [*Die Volkswirtschaft, die Volkswirtschaftslehre und -Methode*, G. Fischer, 1893]).

logical law of scientific creation; it must give only the 'starting point', the 'basic points of view' in research. The historical foundation in no way proposes that such regularities can be 'discovered' by the historical-comparative descriptive method.

Opponents of the historical foundation of the law of value in the simple commodity economy inevitably fall into the views of B. Croce, H. Dietzel, and A. Bogdanov. They are obliged to give foundation to the law either by a 'purely ethical postulate of equality', by the 'need to create for analysis an ideal schema of exchange relations', or, finally, by the biological principle of maintaining of an equal balance between 'expenditure' and 'obtainment' of physiological energy in every individual economic unit.

Let us expand a little on the arguments of A. Bogdanov, to which all the proponents of the 'physiological version of abstract labour' resort. Does the unhistorical schema of Bogdanov give an answer to the fundamental question which interests us? Does it explain why the 'energy balance of expense and obtainment' of an individual economic unit is realised in *exchange proportions*? Does it give the reason why the *exchange proportions* gravitate to labour values? No, it passes this central question by. This schema does not yet give an explanation of the social particularity of the laws of equilibrium of the *commodity* economy. The law of value is deduced a priori. Only a historical analysis makes clear the fact that the law of value is not an 'axiom', which cannot be proved with actual facts of the historical reality.

Rubin's *Essays* takes these views lightly. But in spite of this, its author does not want to admit that only a historical foundation inflicts a blow on the revisionists who transform the theory of value into an 'axiom'.

Historical understanding was for Engels a great 'antidote' against the transformation of abstract analysis into a hypothesis, into a 'methodological fiction', not reflecting any regularities of the concrete reality. W. Sombart and C. Schmitt understood the law of value à la Kant. Sombart writes: 'in Marx value is an auxiliary means of our thinking, not an empirical fact but a fact in thought'.¹⁶ On what arguments does Engels concentrate his criticism of 'Kantian pupils of Wolf's metaphysics'? Engels explains to them that the abstract method of analysis reflects a concrete-historical generalisation.¹⁷

16 For Sombart 'value does not mean even those approximate borders in the limits of which gravitate the market prices' ('A Critique of the Economic System of Karl Marx,' *Scientific Review*, 1899, no. 3 and 4).

17 Engels, 'The Law of Value and Rate of Profit [his supplement to *Capital*, vol. III], in journal *New Word*, September 1897 [cf. note 12 above]. E. Bernstein seizes perfectly the 'zest' of the ideas of Sombart: 'From the moment when labour value is limited to the meaning

The opponents of the historical foundation of the simple commodity economy do not want to understand that only concrete-historical investigation has the right to find out whether certain aspects, certain traits of various historical structures can accord with each other. When can the point of view of I. Rubin be recognised as correct? In what case would the abstract analysis of the law of value in the simple commodity economy not reflect real concrete relations? Parvus and S. Frank defended the proposition that historically 'in commodity exchange of artisans among themselves the law of labour value did not prevail in the sense proposed by Engels'.¹⁸ Is this proposition fair?

Concerning the problems of the theory of value *Essays* provides a good counterattack to the revisionist raid of S. Frank. But it is not founded on concrete historical evidence, does not make use of the enormous investigations accumulated by the German historical school, which overthrow the ideas of Frank and Parvus. With certain approximation, the system of relations of a medieval regional town in West Europe, particularly in Germany, is a classic example of the real existence of a simple commodity structure.¹⁹

We can give as a better illustration of the historical correctness of Engels's propositions the great number of 'statutes' of magistrates, who regulated the relations of handicraft production in towns, and the economic doctrine of canonists, who generalised the real economic relations of their time. The theory of von Akvinsky on 'Justum praecium' (fair price) was devoted to evidencing the necessity of maintaining relations of equality of commodity producers. In

of a hypothesis or formula in thought, surplus value is transformed into a mere formula, relying on a hypothesis' (E. Bernstein, *Historical Materialism*, translated by Kantsel, 1907, p. 67).

18 Parvus, *World Market and Agricultural Crisis*, Saint Peterburg, O. Popova, 1898.

19 We have in view not the towns connected with exportation, but a type of so-called 'regional' towns, united with the agricultural vicinity in a relatively self-sufficient unit, with a relatively small scope of external commercial connections, which merchants took advantage of.

The scope itself of these connections should not yet be regarded as finally elucidated. Belov, the famous expert of the Middle Ages, criticises convincingly the schema of Schönberg and K. Bücher on the restriction of the interregional exchange to five objects of commerce.

But both Belov and D. Petrushevsky, for whom 'capitalism is an eternal category,' agree with Sombart and Bücher on the 'self-sufficiency and closedness of the medieval town of regional type' (D. Petrushevsky, *Essays on the Economic History of Medieval Europe*, State Publishing House, 1928).

According to Marx, 'the beginning of capitalist era relates only to the 16th century. It opened where the feudal rights had perished a long time ago and the 'town,' this bright flower of the Middle Ages, had already withered considerably' [a free quotation by Dunaevsky, cf. *Capital*, I, p. 145, MEGA, II/6, p. 165].

juristic and ethical form, the doctrine of 'Justum praecium' reflected the obligation of exchange on the basis of the equality of equivalents and the equality of subjects of exchange.

Sombart calls the management style of free artisans an 'economy on the principle of the management of expense: at first expenses are calculated and obtainments are determined accordingly. The scale of consumption is calculated in a strictly objective way'. 'Such a principle of housekeeping found its expression', points out Sombart, 'in the idea of budgets corresponding to a given state of affairs.'²⁰

Historical analysis makes clear the historically real principle of equal profitability, on the basis of which the formally independent commodity producers are connected. Exchange according to equal values *for equal labour time* with compensation for the cost of the means of production must ensure for every subject of exchange a historically established 'conventional level' of life, expressed in a certain amount of exchange values. This is that scope of consumption which is necessary for the compensation for the expenditure of a 'socially average' labour power, in socially typical conditions of production, plus the maintenance of a 'socially average' number of family members. An artisan, calculating the *length of his labour*, and conforming to the habitual budgetary norm according to the existing exchange values, expressed thereby his expenditure in the 'social units' of labour, which was impersonalised, uniform, homogeneous, abstracted from concrete form. The magnitude of value had to be determined *in fact* by the length of the individual labour of the producer, but it was expressed socially in the form of the expense *for a given fragment* of time of one and the same socially average labour power. This historically real principle of equalisation of labour is also connected with the gravitation of market price toward labour value.

Of course, the medieval town is interesting for political economy only insofar as its relations help us understand the laws of the simple commodity economy. The relations of the simple exchange society are here *separated* from all the diversities of the sectors of the medieval economy, by means of abstraction from the relations held between feudal lord and serf, between merchant and

20 'The concept of the budget is the scientific basis for the system of von Akvinsky' (W. Sombart, *Contemporary Capitalism*, vol. 1, 'Way to Knowledge' edition, Leningrad, 1924, pp. 19, 113, 118 [*Der modern Kapitalismus*, Dunker & Humbolt, 1902]).

Justum praecium: 'this is that price which corresponds with the expense of a merchant with the addition of income suitable to his status' (Kurscher, *Lectures on the History of Economic Life*, sixth edition, p. 232). Finally, for the well-known researcher Belov, 'this theory is connected by certain common ideas with the principles which dominated in towns' (Belov, *Town Regime and City Life in Medieval Germany*, 1912, published from Sabashnikovs).

feudal lord, from the influences which commercial capital and feudal manor exercised on the regional medieval town.

Theoretical generalisation does not deprive the investigation of its historical justification if it brings to light only the characteristic fundamental traits of reality, 'selecting' those of them which determine and form the specifically distinct properties of this reality, the typicality of it.²¹

The relations of equivalent exchange according to labour values were manifest in a 'pure form' in the regime of relations of production inside the handicraft town, among its artisans. We have in view above all these relations in studying here the law of value. Parvus does not understand this; for him, 'the law of labour value could not take place' because the relations of the handicraft town with the agricultural vicinity were relations of exploitation: the town artisan, or his guild organisations, dictated prices to the village consumer!

The relations of exploitation of the village by the town, however, did not eliminate the equivalence of exchange among artisans. The entire town as a whole received a part of the surplus product of the agricultural vicinity; in exchange with the latter all of the town commodity producers shared in identical, equal conditions of exploitation.²²

II Initial Error in Investigation

What conclusions should we draw from the concrete investigation of the laws of the simple commodity economy? What are the laws of the social equalisation of labour? Equality of labour in the process of exchange means an equality of factual labour in the sphere of direct production.

21 In the regional town of the Middle Ages and its agricultural vicinity, the specific weight of natural relations was very heavy, which somewhat deviated the exchange proportions from a strict correspondence with labour value. The universalisation of exchange relations in capitalism gives *direction* also to the theoretical investigation of the regime of the regional town. The law of value is here studied starting from the presumption of the universality of the commodity form, of social connection, abstracting from modifications brought about in the manifestation of the law by the natural sector.

22 The peasant was, according to Parvus, not able to calculate the labour value of the products of his economic unit. Parvus does not take account of the fact that the power of tradition had influence on the exchange proportions of agricultural commodities. The quantitative correlations had to ensure the agricultural economy the maintenance of the scales of its productive consumption (sowing, maintenance of livestock) as well as its personal consumption in historically established conditions. These traditions were however formed under the influence of the regulating impact of labour expenses for a long historical period.

In the chapter of *Essays* devoted to abstract labour, the reader discovers, amazingly, that 'the social equality of labour expenditures of *different kinds* (i.e., of different branches – *V.D.*) does not at all represent an equality of factual working hours.'²³ What are the consistently logical conclusions from these propositions? 'We would be obliged to recognise that the social equalisation of labour in the process of exchange proceeds totally independently of the quantitative elements characterising labour in the process of direct production (for example, of its duration, intensity, length of training for a given type of qualified labour).'²⁴ The author of *Essays* explains such a 'false conclusion' as potentially arising from a misunderstanding, an incorrect interpretation of his [Marx's?] thoughts. The acknowledgement of the author can be admitted only in violating the elementary logic of his conclusion! How can the market price gravitate toward the labour value if the 'social magnitude of labour' is completely cut off from the factual expenditure of labour on a given commodity!²⁵

Rubin's *Essays*, usually impressing the reader with the power and consistency of its thought, loses in this passage its usual salient clarity! In the chapters devoted to 'Socially Necessary Labour' [Chapter 16], the reader is made acquainted with *completely different* laws of equalisation of labour. Here, market values are determined by *individual* values, determined by the labour in individual definite enterprises of a given branch. If the social demand and supply are equal, and the other conditions put aside, the market prices coincide with market values and the equality of the values of commodities reflects a *factual* equality of the *individual* labour expenditures made on them.²⁶

23 *Essays*, p. 169. Emphasis added [there is no corresponding sentence in the third edition of *Essays*, though there is the following sentence of a similar but slightly different tenor on p. 134 in the fourth edition (p. 202 in the present translation): 'Those 20 units of labour which come in for the share of labourer A neither represent a number of hours he worked through nor a sum of factually expended physiological energy, but a number of units of social labour, i.e., a *social magnitude*.' (emphasis in original)].

24 *ibid.*, p. 172 [p. 136 in the fourth edition. p. 204 in the present translation].

25 Of course, it does not follow from here that the equality of factual labour must mean an equality of the amount of expended psycho-physiological energy. Any physiologist would assure that an equal length of heterogeneous labour of different qualification of 'socially average' labour power is accompanied by different expense of psycho-physiological energy.

The identification of the equality of heterogeneous labour in the sphere of direct production and exchange does not mean an equality of expended psycho-physiological energy when comparing labour of different branches.

Physiological expenditure as such is not the principle of the comparison of commodity values. Here it appears only in connection with a certain level of productivity of labour, expressing the correlation of a certain quantity of products with a certain length of labour.

26 The author of *Essays* does not explain such a strange contradiction in his description of

For Marx the *individual labour* expenditure, expressed in 'social' units of impersonalised labour, is an 'immanent standard', an 'immanent measure' of the magnitude of value. It is entirely understandable why for I. Rubin

this term ['immanent measure', transferred by Marx, like many other terms, from philosophy to political economy,] cannot be considered as completely successful, because in a superficial reading this term forces the reader to think of a measure of comparison rather than of a causal investigation of quantitative changes of a phenomenon.²⁷

In what sense does I. Rubin agree to regard labour as an 'immanent standard' of value? *Only* in the sense that 'quantitative changes of labour, necessary for the production of a product, bring about quantitative changes in the value of the product.'²⁸ For I. Rubin, 'this term' expresses *only* relations of dependence. But for the relations of dependence, it is in fact not suitable. This term conveys very well the fundamental thinking of the author of *Capital*: the proportions of exchange values *reflect* the correlation of *factual* magnitudes of the length of individual labour expenditures in different branches. For I. Rubin, the magnitude of value changes as a consequence of changes of productivity of labour, but the labour expenditure in *its factual determinedness* is evidently not expressed in the magnitude of value.²⁹ This error appeared also in the description of the category of abstract labour in Marx's system. *Essays* established

the 'qualitative' and 'quantitative' aspects of value! Doesn't the social form of manifestation express a social particularity of the quantitative processes of equalisation of labour? Why, then, in the 'qualitative' characterisation of value, are completely different quantitative regularities of one and the same process given? Indeed, for I. Rubin himself, 'the transformation of individual into socially-necessary labour takes place through the same process of exchange which transforms the private and concrete into *social and abstract labour*' (*Essays*, p. 194 [p. 153 in the fourth edition. p. 243–4 in the present translation. Emphasis added by Dunaevsky]).

27 [*Essays*, p. 110 in the fourth edition, in 'Chapter 13. Social Labour,' p. 174 in the present translation. The part in square brackets is omitted in Dunaevsky's quotation].

28 *Essays*, p. 140 [*ibid.*].

29 Marx emphasises: 'There is, in actual fact, a very significant difference ... between 'measure' in the sense of money (in the sense of practical measure – *V.D.*) and 'cause of value' [*Theories*, 2, p. 348, MEGA, II/3.4, p. 1346]. But, at the same time, for Marx the causal investigation of exchange value is possible only because the immanent measure of value, i.e., the labour time of production, is reflected in value.

Marx writes: Bailey thinks as if there were 'difference between labour as *cause* and *measure*, and in general between *cause* and *measure* of value' [*ibid.*, Marx's quotation from Bailey]. Marx explains to Bailey who denies the absolute value, the equivalent form of value, that 'the 'cause' of value is the substance of value and hence also its immanent measure' [*ibid.*].

brilliantly the historical and social determinedness of the concept of abstract labour, but it erroneously excluded the individual labour expenditure from the content itself of this category.³⁰

The error we have spoken of above appears also in the determination of the object of investigation in *Essays*. It does not retreat from the Marxist tradition when determining the object of investigation of political economy as 'the relations of production of people specific to the capitalist economy in their interaction with the productive forces of society.'³¹ The productive forces as such are completely correctly considered as the object of the technical sciences. But we must never forget that the productive forces have a purely technical existence only *within economic science*. Their unification with the system is unthinkable outside of the social process of distribution of commodity values, of a great number of purely social acts of buying and selling of labour power, of the regrouping of capitals, and so on!

The socially objective regularities express nothing other than that the laws of the process of social connection of economic *individuals* mesh *with each other*. This process constitutes also the material content of the relations of production themselves. The laws of social connections reflect the particularity of this process of combination of the productive forces of individual economic units into a unity based on the social division of labour.³²

30 *Essays* developed brilliantly one of the central ideas of Marx: 'the objectivity of value is 'purely social' and 'does not include within it a single atom of [natural – added by Dunaevsky] matter' [p. 118 in the fourth edition. p. 184 in the present translation]. Of course, the individual labour expenditure *is reflected* in the substance of value not naturalistically, but in a dialectically 'lifted [aufgehoben]' form: not in the form of the 'expenditure of human brains, nerves, and muscles,' but in a certain social refraction, in a definite quantity of factual hours of homogeneous, impersonalised labour, expended on the production of a given commodity. This expenditure manifests itself directly in the 'social relation' of exchange values.

How does *Essays* solve this problem? I. Rubin writes that physiological labour constitutes the presupposition of abstract labour in the sense that one absolutely cannot speak of abstract labour if people do not spend any physiological energy (*Essays*, p. 151 [p. 119 in the fourth edition. p. 185 in the present translation]). *Essays* answers evasively with a truism, instead of giving a clear and certain answer, to the raised question: does the labour expenditure, *in the sense in which we have spoken of it above*, constitute the content of the substance of value?

31 *Essays*, p. 10 [p. 6 in the fourth edition. p. 21 in the present translation].

32 Marx wrote to Engels [not Engels but Annenkov]: 'It is truly absurd to make *machinery* an economic category alongside the division of labour, competition, credit, etc. Machinery is no more an economic category than the ox who draws the plough' [Marx's letter to Annenkov, 28 December 1846, MECW/38, p. 99, MEGA, III/2, p. 74. Emphasis in original but not reproduced in Dunaevsky's quotation].

The error of Rubin's *Essays* consists in its studying the relations of production outside of the process of social arrangement of the productive forces, which manifests itself in these relations of production. With such an understanding of the object of investigation of the particularity of a given social structure, *Essays* does not give any explanation regarding the sphere of direct production.

When will the laws of the equality of commodity producers in the sphere of circulation become scientifically understandable? [They will be,] if the particularities of the process of distribution of labour powers in the simple commodity economy are studied, a process which proceeds on the basis of taking account of the particular social form of the factual length of the labour process.

In the polemic with S. Frank, *Essays* discloses the internal tissue of the law of the equality of commodity producers.³³ But all of this critique will be suspended in the air if 'the equality of socially equalised labour does not reflect the equality of labour in the sphere of direct production'.

The initial error of *Essays* is all the more inadmissible because I. Rubin repeatedly expresses a correct understanding of the correlation between the sphere of circulation and that of direct production, as 'difference inside unity'.³⁴

But did not Marx point out hereby the fact that the unification of the productive forces with the wider system is a social process? Marx emphasised: 'The contemporary application of machines is one of the social relations of our economic system, but the way of making use of machines is another thing entirely than machines themselves' (Marx's letter to Engels, collection compiled by Adoratsky, published from Moscow Worker, 1923, p. 11 [this letter is unidentified]).

33 I. Rubin, *Essays*, p. 114 [p. 90 in the fourth edition, p. 133 in the present translation].

34 Rubin acutely dissociates himself from the propositions ascribed to him by the critique but not shared by him: in the sphere of the market, private, concrete labour is socially determined, but direct production is a sphere wholly dominated by the free individualism, autonomy, independence of the labour of separate commodity producers.

But then, in what sense does the labour of the commodity producer in the process of direct production appear in *Essays* as directly private but only indirectly, 'potentially', ideally social labour? Therefore, for I. Rubin also the labour of the commodity producer is already here socially conditioned. The inherently contradictory spontaneous process of the accommodation of the formally independent producer to the system of the social division of labour is only *reflected* in the sphere of circulation.

The social necessity of the scale of the labour expenditure of a commodity producer manifests itself as a process of endless fluctuations.

III The Formulation of the Problem in *Essays*

For Parvus and Frank, the problem of the historical reality of the law of value in the simple commodity economy has nothing to do with the investigation of it in capitalism. *Essays* by I. Rubin is an obvious illustration of the erroneousness of such views.

In the description of the law of the prices of production I. Rubin 'ignores' the fundamental condition on which the realisation of the law of value is possible in the commodity economy. He passes over in silence the central problem: whether the principle itself of the gravitation of market prices toward labour value is maintained in capitalism, in some form or other. On what condition, then, can the theory of labour value be sustained also for the capitalist social structure? [It will be], if the investigation makes it evident that the price of production, modified labour value, variously fluctuating individual rates of profit represent quantitatively redistributed masses of value. Only in this case does the law of the prices of production appear as that mechanism through which the law of labour value realises its action.

The reality of this law in capitalism is maintained for I. Rubin, evidently by the sole fact of the existing dependence of the change in prices, the prices of production, on the changes in the level of labour productivity.³⁵ But this dependence manifests itself in the sphere of circulation. Its 'empirical reality' is not negated by any one representative of the bourgeois economy, for which, however, a real tendency of the movement of prices to labour value does not exist.

What will the above dependence in itself express if prices do not gravitate toward labour value? An exclusively functional dependence: the level of labour productivity is considered as one of the facts of price formation in the same way as are the correlation of demand and supply, 'marginal utility', and so on. If prices do not gravitate toward labour value, then the 'basis' of the relation of demand and supply will not be disclosed in the sphere of direct production.³⁶

35 Rubin writes: 'Only if we can establish the laws of these dependences *will our task be fulfilled*.' What dependences has the author in view here? The modifications of labour value, brought about by the difference of labour productivity, bring about modifications in the costs of production, 'and consequently also in the prices of production, *which would also have to be proved*' (*Essays*, p. 256. Emphasis added [p. 203 in the fourth edition. p. 306 in the present translation]).

36 Fluctuations of demand deviate price from labour value. In what conditions have the deviations of demand the tendency to mutually cancel themselves out? [They will have it] if there exists a real tendency of gravitation of prices toward labour value. In the equilibrium of demand and supply the 'price of equilibrium' (the market value, the price of produc-

The simple commodity economy and the capitalist economy are studied completely independently, split from one another. Where are the sources of this error? To what conclusion does the point of view developed by Marx lead: to the simple commodity economy as a historically real prius of the capitalist economy? Here the conditions of realisation of the law of value are historically concretely determined. In capitalism the commodity relations are maintained. Hence, if the law of value is valid here, the concrete definite *conditions* of its realisation in simple exchange society must also be maintained in the form of the gravitation of prices toward labour value.

The negation of this historical foundation had an impact also on the other error of *Essays*. It acknowledges only a larger '*complexity*' in the manifestation of the law of value in capitalism. All the sharpness of the dialectics of 'self-negation' of the law of value, realised in simple exchange society, is blurred in the eyes of the reader. Only in a historical understanding is the historical particularity of each stage of analysis never to be ignored. The steps of investigation we have described above do not appear as different stages of '*complication*' and '*simplification*' of the law of value. Quite clearly is exposed the complete inadmissibility of the mechanistic reduction of a *social* economic structure, as capitalism appears, to a '*less complex*', '*simpler*' commodity form of society.

For I. Rubin, the formula of the equilibrium of labour in capitalist conditions turns out to be only a *more complex* one than in the simple commodity economy, namely, one derived from the formula of the equilibrium of capitals.³⁷ Equilibrium within social production in the first case is established with the correspondence of exchange proportions of market labour value of every branch. I. Rubin also points out that the equilibrium in the distribution of capitals is attained with the equalisation of prices with prices of production,

tion) will be determined independent of the correlation of demand and supply, by the conditions of production.

The quantitative determinedness of the correlation of demand and supply will be fixed only at a certain level of prices, and in their equilibrium, by a certain level of the 'price of equilibrium.' But the absolute level itself of the 'price of equilibrium' will be disclosed only in the sphere of direct production.

In this way, the 'basis' of the correlation between demand and supply will become evident. Their equality means nothing other than a proportional distribution of the masses of social labour, a distribution quantitatively determined as derived from the magnitude of labour expenditure on a unit of product in the conditions of technique prevailing for a given branch.

Chapter 10 of the first [second] part of Vol. III of *Capital* contains a classical critique of 'principal big figures' of the mathematical school in their understanding of demand as the autonomous, external source of the 'price of production.'

37 *Essays*, p. 242 [p. 200 in the fourth edition. p. 302 in the present translation].

i.e., with the quantitative inequality of the exchange proportions with market values, as these prices are conditioned by different organic compositions of capitals of an equal-sized unit in different branches. In capitalism, therefore, the law assumes a qualitatively different form of manifestation: prices gravitate toward prices of production, which correspond to unequal labour market values.

The historical foundation does not obscure, but, on the contrary, makes salient the contradiction between the conditions of realisation of the law of value in simple exchange society and its manifestation in capitalism.³⁸ This foundation raises the problem to the investigation of pursuing in what manner the law regulating the relations of proportionality of the 'society of equal commodity producers' is 'maintained' in a historically specific economic structure.

The problem raised in this way gives an orientation to our investigation. *Essays* could not give such a direction to the investigation: in this work, however, we are not concerned with any *other* form of manifestation of the law, but only with its *complication* in capitalism.³⁹

The analysis of *Essays* is not sharp on the fundamental problem: how does the labour value fulfil its function as the social regulator of the division of social labour in capitalism if 'the transformation of values into prices of production serves to obscure the basis for determining value itself, ... profit appears to him as something outside the immanent value of the commodity'?⁴⁰

The solution to this problem would be meaningless without investigating the genesis of the average rate of profit. The error in the formulation of the problem had an influence also on the methods of its resolution. The author of *Essays* is not sharp in his investigation on the character of the process itself of the transformation of the labour market value in different branches into the specifically distinct prices of production.

38 The conditions of realisation of the law of value do not at all consist in the equality of price with labour value. 'The possibility, therefore, of quantitative incongruity between price and magnitude of value ... is inherent in the price-form itself' [*Capital*, I, p. 104, MEGA, II/6, p. 128]. Neither can the conditions of realisation of the law be expressed in the equality of the price of production with market value. In what is this gravitation of prices toward labour value expressed in capitalism? In the tendency toward labour value redistributed in a particular way, i.e., to the price of production, coinciding as a tendency with labour market value in branches of socially average organic composition of capital.

39 The negation of the historical foundation leads *Essays* to a logically contradictory formulation of the problem. How is it possible to discard the fundamental condition of realisation of the law of value in the investigation of capitalism if this law is here only complicated?

40 [*Capital*, III¹, p. 168, MEGA, II/15, p. 169].

What tasks will the analysis acquire if the compulsory quantitative determination of the law of value is disregarded, if this law is directly deduced from the fact per se of the dependence between the change of the level of labour productivity and the evolution of prices? All our investigation comes down to pursuing through what further additional links this dependence is established in capitalism, in comparison with the simple commodity economy, what 'complication' the capitalistic structure brings into the chain of these dependences.

All these problems can be solved by assuming that in the simple commodity economy there is a

four-limb model of causal connection among individual categories', and in the capitalist economy there is a six-limb schema, in which 'the central links of the theory of the capitalist economy (prices of production, distribution of capitals – V.D.) do not exclude the links of the theory of labour value mentioned above, but, on the contrary, with further analysis unavoidably lead to the latter, and are included, together with them, in the general theory of equilibrium of the capitalist economy.'⁴¹

I. Rubin entirely contents himself with the assertion that 'the price of production can be explained, in this way, only by the changes in labour productivity and in labour value of products.'⁴² For Marx the task of investigation is to show that the price of production as such (an und für sich) represents a quantitatively redistributed labour value, that the fundamental provenance of the average rate of profit is to be found in the direct process of production of value.

IV **Average Rate of Profit as Weighted Average of Individual Value Rates**⁴³

How did the defect in the formulation of the problem influence its solution? In *Essays*, the process itself of the formation of the average rate of profit is not depicted. Hence follow also the errors in the commentary on the investigation of Marx.

⁴¹ *Essays*, p. 251 [Dunaevsky's free, patchworked quotation from several places in Chapter 18. Value and Prices of Production].

⁴² *ibid.*, p. 274 [p. 217 in the fourth edition, p. 322 in the present translation].

⁴³ In order to avoid the long formulation, we call the rates of profit, as given by the various organic compositions of capital on a same unit of it, simply 'value' rates of profit.

I. Rubin writes: 'in our presentation of Marx's theory, different rates of profit in different spheres do not serve as a necessary intermediary link of the theory on the average rate of profit'. He continues: 'in Marx's system the average rate of profit is determined as a magnitude *derived from the mass of total surplus value, but not from different rates of profit*, as it may seem when reading Marx for the first time.'⁴⁴

I. Rubin is not in isolation: an analogous interpretation of the law of the prices of production is very widely diffused. 'This passage represents a non-Marxism in Marx himself', wrote Bulgakov when he was young and Marxist.⁴⁵

What does the author of *Capital* say in this regard? *Marx deduced the average rate from the individual value rates*. He wrote: 'Owing to the different organic composition of capital, ... the rate of profit prevailing in the various branches of production are originally very different. These different rates of profit are equalised by competition to a single general rate of profit, which is the *average of all these different rates of profit*.' [*Capital*, III¹, pp. 157–8, MEGA, II/15, p. 159. Emphasis added].

Marx emphasises keenly: 'these particular rates of profit ... must ... be deduced out of the values of the commodities. Without such deduction the general rate of profit (and consequently the price of production of commodities) remains a vague and senseless conception.'⁴⁶ M. Smith is right when he comments as follows: 'Here, of course Marx does not speak about the simple average of groupe averages, but of the fact that what is called in algebra the 'general average' is in statistics transformed into the 'weighted average''⁴⁷ The average rate of profit is for Marx the weighted average of individual rates of

44 *Essays*, p. 267 [pp. 212, 211 in the fourth edition. pp. 316, 315 in the present translation. Emphasis in original but not reproduced in Dunaevsky's quotation].

45 *Bulgakov*, 'On Some Fundamental Concepts of Political Economy', *Scientific Review*, 1898, no. 10, p. 1647.

'The process of equalisation of the originally different rates of profit as a result of different structures of capital, which Marx presupposes, is invented by him ad hoc and in no way corresponds to reality' (Tugan-Baranovsky, *Theoretical Foundations of Marxism*, 1917, p. 163).

Sombart writes on the tables of vol. III [of *Capital*] that 'here it can appear as if in this way actually, owing to the different proportion of C and V in capitals, as a rule there emerged first unequal profits, and after that they were gradually equalised to an average profit, as a result of the rise and fall of prices' (*Scientific Word*, 1898, no. 4, p. 699).

46 [*Capital*, III¹, p. 157, MEGA, II/15, p. 159. No emphasis is added in Dunaevsky's quotation] emphasis added.

47 M. Smith, *Economic Foundations of Calculation*, State Publishing House, 1926, p. 141. Marx emphasised: 'Any average magnitude, however, is merely the average of a number of *separate* magnitudes all of one kind' [*Capital*, I, pp. 305–6, MEGA, II/6, p. 320].

profit, as given with various organic (technical) compositions of capitals. 'The relative share of the total social capital absorbed by each individual sphere of production'⁴⁸ plays the role of weights.

The contraposition carried out by I. Rubin is artificial and contrived! In the process of circulation, the already produced mass of surplus value is only redistributed. The average level of profit, 'weighted' from value rates, 'can be nothing but the total mass of surplus values allotted to the various quantities of capital proportionally to their magnitudes in their different spheres of production.'⁴⁹

What does the principle of weighting consist in? In totalising the magnitudes to be weighted according to their specific weight. With what is the 'weighted' average rate of profit equal? Let us answer straightforwardly, according to Rubin: with the quantity of surplus value apportioned in each sphere to 100 units of capital, multiplied by its magnitude (i.e., the number of 100 units of capital, invested in a given sphere), and then proportionally distributed to each unit of social capital.⁵⁰ The weighting we are describing here as a simple arithmetical calculation represents, in fact, an extremely complicated process, in which the role of 'regulating magnitudes' belongs to the 'weights' only.

v The Mechanical Contraposition of the Sphere of Circulation to the Sphere of Direct Production

I. Rubin writes: 'The specific character of Marx's theory of the process of production consists precisely in transferring the entire question about the interre-

48 [Capital, III¹, p. 163, MEGA, II/15, p. 164].

49 [ibid., p. 174, MEGA, II/15, p. 174]. I. Rubin illustrates his proposition with the following example: 'If the total capital of society amounts to 1,000, and the mass of total surplus value to 100, the general average rate of profit will be 10 percent. ... On the contrary, if the mass of total surplus value on the same total capital of 1,000 increases to 150, *although the rates of profit in the individual branches of production remained unchanged, ... the general average rate of profit rises from 10 to 15 percent*' (emphasis added) [Essays, footnote on p. 212 in the fourth edition. p. 316, note 14 in the present translation].

This example discloses the groundlessness of the contraposition carried out by I. Rubin. The mass of total surplus value cannot increase without an increase in the mass of surplus value in one or another branch, i.e., without corresponding changes in the subsequent value rates of profit!

An increase in M/V for the whole of the social capital is unthinkable without an increase in the rate of M/V in individual spheres.

An increase in the labour productivity, a change of organic composition in the whole of the social capital, is impossible without its corresponding change in individual spheres.

I.e., the change of all the conditions determining the whole mass of surplus value is unthinkable without change in individual value rates of profit.

50 Cf. Essays, p. 268 [p. 212 in the fourth edition. p. 316 in the present translation].

lation between surplus value and profit from an individual capital to the total social capital.⁵¹ The law of the prices of production, and social-objective regularities generally are realised in the sphere of circulation. In the sphere of direct production, in various branches, we have various organic compositions of equal-sized capitals. Only in mechanically disintegrating these domains of the economy is it possible to 'get distracted' from the individual value rates of profit in the investigation of the law of the prices of production. For the dialectics of Marx, the social-objective analysis of the 'universal' must reveal the fundamental, typical regularity of the 'individual'.⁵² The regularities of social capital express, for Marx, the typical regularities in the processes of binding and connecting *individual* capitals between and inside branches.⁵³

I. Rubin inadmissibly contraposes the formation of the average rate of interest, as a magnitude derived from the mass of the total surplus value, to its formation from various rates of profit. The author of *Capital* did not solve the problem as Rubin proposes to solve it. Marx did not ignore but rather studied the problem of the correlation between surplus value and the rate of profit of capitals of various branches of production. For Marx, the law of formation of the average rate of profit expresses the regularities of *these correlations*, the tendency of the *individual* rates of profit toward an average rate.

When Engels was still alive, C. Schmitt and P. Fireman tried to 'solve the contradiction' between market value and the price of production in reliance on the fact that the sums of the prices of commodities are equal to the sum of labour values, and, consequently, the average profit is a magnitude derived from the mass of total surplus value. The stance Engels took toward such a theory is clear enough in the pages of his 'Preface' to the third volume of *Capital*. Engels wrote:

51 *ibid.*, p. 268 [*ibid.*]. Also P. Struve affirmed in his time that 'it was as if Marx solved the contradiction in the third volume of *Capital* in pretending that the law of labour value of individual exchange acts and individual commodities would be carried over to the whole social product' (*Life* journal, February 1899, p. 297).

52 The correlation between the 'universal' and the 'individual' was given a classical formulation by Lenin: 'the opposites (the individual is opposed to the universal) are identical: the individual exists only in the connection that leads to the universal. The universal exists only in the individual and through the individual. Every individual is (in one way or another) a universal' (Lenin, 'On the Question of Dialectics,' *Under the Banner of Marxism* [*Bolshevik*], no. 5–6, 1925 [Lenin, *Collected Works*, fourth edition, vol. 38, p. 361]).

53 Marx writes: 'this movement as the movement of a single individual capital, may present other phenomena than the same movement does when considered from the point of view of a part of the aggregate movement of social capital' (*Capital*, vol. II, p. 73 [*Capital*, II, p. 100. MEGA, II/13, p. 91]).

But the latter form of movement expresses the contradictory social-objective regularities of the former.

Fireman has indeed placed his finger on the salient point. But the undeservedly cool reception of his able article shows *how many interconnecting links would still be needed even after this discovery to enable Fireman to work out a full and comprehensive solution*. Although many were interested in this problem, they were all still fearful of getting their fingers burnt. And this is explained, emphasises Engels, not only by the incomplete form in which Fireman left his discovery, but also by the undeniable faultiness of both *his conception of the Marxian analysis* and of his own general critique of the latter, based as it was on his misconception.⁵⁴

Only the theorists of the 'social school of distribution without value' have something to do in the analysis exclusively with 'social capital', 'only' with social product of labour as a whole, 'only' with the results of processes in the sphere of competition.⁵⁵ But I. Rubin, as is well known, submitted the ideas of *Contemporary Economists in the West* to a severe, correct criticism.

How can his errors in such a formulation of the problem be explained? The errors in the determination of the object of research have appeared clearly in the description of the law of the prices of production. *Essays* passes over the process of unification of the productive forces of individual economic units to a system of social production, a process which manifests itself in the social connections among individual capitalists. Therefore, it does not pursue how the internally contradictory *process* of unification of individual capitalists into a unitary class is reflected in the law itself of the prices of production.⁵⁶

54 [‘Engels’s Preface’, *Capital*, III¹, p. 15, MEGA, II/15, p. 17]. Finn-Enotaevsky points out: ‘in Marx the proposition that the sum of prices is equal to the sum of values is a natural conclusion of his understanding of the essence of value and price and does not at all serve as the ‘proof’ of the correctness of the labour theory of value, as Tugan, Ach. Loria presume. The sum of prices is the money form of the sum of value; if it is larger than the sum of values prior to their entrance into circulation, then the following conclusion is unavoidable: new value is created in exchange, in circulation’ (‘Labour Value and its Russian Critics’, *Scientific Review*, 1903, no. 5).

55 The metaphysical separation of the ‘universal’ and the ‘individual’ in A. Amonn is philosophically founded upon the Kantian ‘principled contraposition of the object of recognition to the object of observation.’ ‘According to Amonn, it is not the real connections of things but the connections of problems in thought that constitutes the science’ (in Russian language, cf. *The Object and Method of Political Economy*, excerpts from works, edited by Solschiev, published from Way to Knowledge, 1924, pp. 211–20).

56 It is necessary to point out that for I. Rubin too the price of production is not a category inherent in a class. He is correct when pointing out that ‘the theory of the prices of production presupposes the existence of all three basic types of relations of production among people in capitalist society (relations among commodity producers, relations

Marx especially insisted on the fact that the organic composition of an equal-sized capital reflects the technical composition ('a definite number of labourers corresponds to a definite quantity of means of production' [*Capital*, III¹, p. 145, MEGA, II/15, p. 147]). The law of the prices of production reflects the law of the movement of individual capitals toward such a combination of the productive forces for an equal-sized unit of capital as creates objectively equal conditions of exploitation (a rate of exploitation homogeneous everywhere). This regularity establishes an objective inherent interdependence among individual capitalists, unifies them into 'a veritable freemason society vis-a-vis the whole working-class' [*ibid.*, p. 198, II/15, p. 198].⁵⁷

VI Price of Production in the Sphere of Circulation and of Direct Production⁵⁸

The prices of production coincide with the individual market values only on the condition of a homogeneous organic composition of equal-sized capital in all branches. The technical process is connected with constant changes in the technical composition of capital of various branches, with the 'lifting' of the organic structure of the remaining branches up to the level of the branches with an advanced structure. Uneven technical development of individual branches in capitalism does not allow the establishment of a same type of organic structure of equal-sized capital. The regularities of changes in the

between capitalists and labourers, relations among individual groups of industrial capitalists') (*Essays*, p. 242 [p. 192 in the fourth edition. p. 293 in the present translation]).

57 The regularities of the processes of the binding of capitalists together express the social particularity of the interrelations among branches of social production. Without studying this process, it is impossible to investigate the curve of capitalist development (cf. our article: 'Problems of the Theory of Reproduction,' *Socialist Economy*, 1928, no. 3).

58 Here the price of production is not investigated in its full diversity, as it appears on the surface of competition. On the present stage of research, we presuppose that the conditions of free competition are fulfilled, and presuppose abstraction from 'third parties,' from fluctuations of commodity prices, resting on the side of money; here we don't study the laws of distribution connected with the division of profit into interest, entrepreneurial profit, and so on.

The correlation of demand and supply is here taken as a certain correlation of production between the first and the second subdivisions of production in the specifically capitalist form. Marx points out: 'While on the other hand it requires an insight into the over-all structure of the capitalist production process for an understanding of the supply and demand created among themselves by producers as such' [*Capital*, III¹, p. 195, MEGA, II/15, p. 194]. The schemas of the second volume of *Capital* give a superb illustration of the particularities of this correlation.

technical, and hence also organic, structure of capitals in various branches can never be understood without studying the processes of relocation of capitals. In what periods does a technical reconstruction, a mass reformation, occur if a long-lasting downward movement of demand for the commodities of a given branch is not eliminated by the contraction of the scale of production by means of an outflow of a part of the capital into other branches?

On the other hand, the directions of the relocation of capitals cannot be understood if the processes of the transfer of commodity values from one branch to another are left aside. Capitals direct themselves only at those branches which realise a high conjunctural rate of profit. The torrential movement of commodity values reflects the process of reallocation of the mass of labour from one branch of production to another. The realised individual rates of profit are directly determined by the market conjuncture, by the correlation of social demand for and supply of the commodities of a given branch. The conjunctural rates of profit do not coincide, of course, with those rates which are given by the organic compositions of capitals in various branches. The branches of high conjuncture do not only realise the produced value rate of profit, but also attract to them the surplus values of other branches. The capitalists of the other branches are obliged to buy at high market conjunctural prices. How is this circumstance reflected on the profits realised by them in these branches? These profits will contract if the scope of demand for the given commodities remains unchanged, or does not proportionally increase.

The changeable correlation of demand and supply creates relatively a more profitable conjuncture now for one, then for another branch! It is not difficult to detect the laws of alternate fluctuations in the in- and outflow of social labour from one branch into another. Here is manifested a solid tendency toward a uniform distribution of the realised surplus value per unit of capital. Marx emphasises: 'The general rate of profit always exists only as a tendency, as a movement toward equalisation of individual rates of profit' [locus citato unidentified]. The price of production in the sphere of circulation appears as a certain tendency in the process of distribution of the mass of social labour, of the redistribution of the social mass of the total surplus value.

The average rate of profit in the sphere of the market cannot be anything other than the weighted average rate of profit, comprised of different value rates. Why? The general rate of profit in the sphere of market is 'the belated effect of a series of fluctuations extending over very long periods' [*Capital*, III¹, p. 166, MEGA, II/15, p. 167]. The effect of demand and supply, deviating the realised profits from their value levels, exercises an impact on the individual links of the process. But the price of production is realised in effect when the social

demand and supply become equal, and in this state of things the influence of competition is extinguished, excluded, and, consequently, cannot determine and explain the absolute level of the average rate of profit in the sphere of circulation.

Insofar as the price of production is established independently of the effect of demand and supply, the source of the average rate of profit must not be sought in the sphere of the market, but in the conditions of the direct production of value. The pressure of competition deviates the realised profits from their value rates. It however also brings the market price nearer to the price of production, the conjunctural profits nearer to an average level, arising from weighting the different value rates.⁵⁹

I. Rubin restricts the process of formation of the average rate of profit only to the relocation of capitals. But the latter process is only a consequence of the processes of redistribution of commodity value. Capitals go to the branch of high conjuncture, after the process of distribution of surplus value ensures there, as a result of long-continuing acts of sale of commodities, a realisation of a large profit per unit of capital.

I. Rubin seeks only one answer, essentially, to the two distinct questions: 1) how the tendency to the equal rate of profit is realised; and 2) in what form the process of redistribution of the mass of surplus value proceeds.

The first process proceeds invariably through the regrouping of capitals. Without this process, the tendency to an equal rate of profit would be replaced by a constant consolidation of differential levels of profit in various branches.

The process of redistribution of the mass of total and surplus value can proceed only in realising commodities on the market, at the same time as the torrential movement of commodity values.⁶⁰ How can this process proceed

59 The processes of relocation of capitals cannot be free from a certain dependence on the material-technical logic, in the preferred expression of N.I. Bukharin, of the distribution of productive forces. Marx points out: 'The movement of capital is the relocation not only of value but also of material. And hence it is equally conditioned both by the correlation of the component parts of value of social product, and by *their value in use, their material form*' [locus citato unidentified].

If the scale of production in a given branch is not proportional to the socially necessary level, an 'overproduction of commodities' will inevitably appear in the sphere of circulation. An inevitable drop of the rate of conjunctural profit will give rise to an outflow of capitals from these branches. The fluctuations of demand and supply, determining the conjunctural rates of profit, have in this way a tendency to mutually overshoot, to cancel out.

60 Bourgeois critique ascribes to Marx its sordid, caricatural depiction of the process: surplus value is distributed by itself, like a liquid, independent of the movements of commodity values.

through the regrouping of capitals? Indeed, the already produced masses of surplus value are redistributed to capitals already redistributed in a certain manner.

In *Essays* these places indeed become a 'riddle of the sphinx'! I. Rubin writes:

But, if the interrelation of profits of two capitals, employed in different spheres of production, does not correspond to the interrelation of the quantity of living labour employed by them, it does not follow from this that a part of surplus labour or surplus value 'interflows' from one sphere of production to another!⁶¹

How does I. Rubin give foundation to his commentary, intended to refute 'a representation, which is based on a literal interpretation of some expressions of Marx'? [ibid.] Let us listen to the words of I. Rubin himself: 'However, if value is not object, which can transfer from one man to another, but a social relation among people, fixed, 'expressed', 'represented' in thing, the representation mentioned above on the 'interflowing' of value from one sphere of production in another does not only not arise from Marx's theory of value, but also even radically contradicts Marx's theory on value as a social phenomenon' [ibid.].⁶²

Rubin quotes Budge, who denies the possibility of the redistribution of the mass of surplus value, 'since surplus value represents at first not a monetary price but only a crystallised labour time' [*Essays*, p. 205 in the fourth edition. p. 308 in the present translation].

Bourgeois critique does not want to understand the elementary fact: the hidden, internal processes of competition are pursued on a given stage of analysis: here the movement of commodity values directly reflects the redistribution of social labour.

61 *Essays*, p. 259 [ibid. The exclamation mark is added by Dunaevsky].

62 Only this process reveals the secret of the source of 'trinity formula of distribution'. The torrential movement of commodity values from the agricultural economy into an industrial town is accompanied by the redistribution of a part of the surplus value in favour of the monopolists of land ownership. In selling the agricultural commodities at market value, determined by the value of the worst plots of land, the agricultural economy realises more labour than is actually employed in it.

This surplus (i.e., false social value) is taken from the mass of surplus value of the manufacturing industry, and forms the general source of differential rents.

In the process of the transfer of commodity values from the factory to the consumer with commercial capital as intermediary, a part of the surplus value is appropriated by the latter, and so on.

For the 'social school of distribution without values', the relations of distribution are determined only by the 'social power of class'.

Therefore, they are not subject to the regularity of the processes of redistribution, and the masses of surplus value are not causally conditioned. This opens up a wide space for

Here we can see clearly and superbly the flaw in the determination of the object of research, the separation of the social equalisation of labour in the sphere of circulation from direct production. Does not the movement of values reflect the movement of certain masses of labour? Must not the shifting of material products with the label of commodity values be accompanied by processes of redistribution of the mass of surplus value from one branch to another? Do not all these processes manifest themselves in the social connections of capitalists with one another? Do not the real processes of redistribution of the masses of social labour through commodity values have something common with the absurd, caricatural view of S. Frank on value, 'as some material entity, possessing the property of liquidity'? All of this is very elementary. The reader has the right to be dubious on why so great a Marxist researcher as I. Rubin regards these real processes of redistribution of surplus value as a contradiction to 'Marx's theory on value as a social phenomenon'. This is precisely what the 'consequent insistence' on the erroneously conceived commentary leads to.

Only the 'social school of distribution without value' sets out to study the social structure abstracting from the process of redistribution of the mass of surplus value really occurring through the movement of realised commodities.⁶³ For this school the way to the understanding of the process, which establishes the unity of the externally autonomous categories of distribution (rent, interest, commercial profit, entrepreneurial gain, and so on), as parts of the whole mass of surplus value, is cut off.

I. Rubin himself gave a devastating critique of the ideas of this school returning back to the dogma of Adam Smith on the formation of prices from autonomous sources of rent, wage, profit, given in advance!

The erroneous commentary on the law of the prices of production is overturned by *Essays* in those chapters in which I. Rubin develops emphatically the description of the problem of socially-necessary labour. Here he shows superbly, convincingly, the role of market value as the 'basis' on which rests the correlation itself of demand and supply, and which explains the market fluctuations of profit as processes of the shifting of the masses of social labour.

By what is determined for I. Rubin the quantity of 'the effective social need'? It comprises nothing other than '*the product of the value of a unit of product, determined by the technical conditions of production, by the number of units find-*

every kind of theory on the expedient process of allocation to every class of 'its share in the social product' according to an ethical norm, established by Tugan-Baranovsky and Stolzmann.

63 *Essays*, p. 159 [p. 120 in the fourth edition. p. 186 in the present translation].

ing outlet at the given value'.⁶⁴ This mass of value reflects the mass of labour realised under the condition of proportionality in social production. It is evident that with a rise of the market price higher than the market value a given branch realises a quantity of labour larger than that which is factually employed in it. It is equally evident that these masses of the labour of 'other' branches must be taken from the latter. It is also evident that a shifting of a mass of labour, and consequently of surplus value *must* take place. Let us recapitulate: chapters of the same *Essays* overturn the initial erroneous commentary of the law of the prices of production.

In abstracting from the market value, we cannot understand as the 'intermediary links' of the process the internal regularity of directions in the shifting of capitals, or what conditions of the change in value induce contractions of capitals in this or that branch.

The solution of the problem of socially-necessary labour given in *Essays* reveals to us the market value as the 'intermediary link' of the process of formation of the average rate of profit. The schema of this process can be expressed in the following fundamental links: processes of change in the technical compositions of capital – tendency of various organic compositions of equal-sized capitals toward a 'socially average' structure – reflection of the changes in the organic composition of capital on the magnitude of market value – processes of redistribution of the mass of produced surplus value through the torrential movement of commodity values – as the consequence of these processes, regrouping of capitals from one branch of production to another – price of production in the sphere of the market.

64 *ibid.*, p. 216 [p. 170 in the fourth edition. p. 267 in the present translation. Emphasis in original but not reproduced in Dunaevsky's quotation]. We must always keep in mind that the market values determine the 'hidden' correlation of the masses of labour in the sphere of direct production. Insofar as the prices of production diverge from the market values, the equilibrium of capitals is established with a different proportion in the distribution of social labour. The 'concluding link' of the process does not coincide with its 'starting moment'.

But here too prevails the dialectical unity of the negative and positive!

Only a constant regrouping of capitals from one branch to another conditions the alternate fluctuation of the market prices around a certain centre, i.e., an average of the wholesale price of production for a given branch, close to market value as its 'regulating border'. The latter serves as the regulating magnitude of the costs of production, as far as they are determined by the level of labour productivity dominating in a given branch. The other part of price, i.e., the average percentage of profit, represents the 'total magnitude' of the process of equalisation of the rates of profit, as parts of market value.

In a special paper we will pursue the interaction between market value and price of production, as 'regulating magnitudes' of the process of distribution of social labour.

Market values in each branch play here the role of a particular 'transmissive apparatus'. Through the change of market value, the changes in the organic structure of capitals exercise influence on the process of redistribution of the mass of labour, and consequently of the total mass of surplus value.⁶⁵ Changes in the organic structure of capitals with an overall equal rate of exploitation must occasion changes in the magnitude of market values in each branch.

The magnitude of 'real, social effective demand' changes for each branch. Is not all this reflected in the magnitudes of redistributed masses of labour? Does not it change the magnitude of the price of production itself, as derived from a new level of value rates of profit? The correlation among the organic structures of capitals of various branches must be established otherwise, which will appear in the regrouping of capitals.

The price of production, reflecting the laws of redistribution of the masses of labour, reflects thereby the processes of approximation of the organic compositions of capitals to the socially average level. The price of production must tend to coincide with the labour market value in the branches of socially average organic composition of equal-sized capital, as far as a tendency to the approximation of the individual structure of capital to the socially average level constantly operates with technical progress within conditions of free competition.

Here the sphere of the market and that of direct production cannot be identified, but they 'interpenetrate' into one another, their unity appearing as a 'unity in difference'. The author of *Essays* knows that Marx gave an enormous importance to the problem of the connections between the distribution of capital and the distribution of labour.⁶⁶ Without understanding correctly this problem we can never study the internal laws of the curve of capitalist development. Isn't it a direct, urgent task of the followers of Marx within the theory of value to occupy themselves with the study of this problem? The commentary of *Essays* cuts off for us the way to the investigation of this problem.

65 We will attempt to give an explanation on the regularities in the interaction of the price of production and market value in the next article. We drafted a general schema of the regularity in the formation of average rate of profit in our article 'Problems of the Theory of Reproduction', *Socialist Economy*, 1928, no. III.

66 *Essays*, p. 254 [*Essays*, p. 200 in the fourth edition. p. 302 in the present translation]. Discussing the problem of 'whether the labour is proportionately distributed among the different spheres in keeping with these social needs, which are quantitatively circumscribed', Marx makes a comment on these words in brackets: '(this point is to be noted in the distribution of capital among the various spheres of production)' [*Capital*, III², pp. 635–6, MEGA, II/15, p. 623].

VII Dialectics of the Process of Formation of the Average Profit in I. Rubin's *Essays*

What error did the proposition defended by I. Rubin bring into his commentary on the investigation of Marx's law of the prices of production?

For the author of *Essays*, 'an embryonic or hypothetical capitalist economy' [p. 209 in the fourth edition. p. 311 in the present translation] is given in Chapter 9 of Volume III of *Capital*. In Marx's tables there is a column with various value rates of profit in different branches. Evidently on this basis I. Rubin arrives at the conclusion that here is assumed a state of monopoly, rather than of free competition.⁶⁷

What gave rise to such a conclusion? In the tables the average level of profit is deduced as the average of individual value rates. Under what condition, according to I. Rubin, was this possible? Only under one condition: individual value rates are realised in the selling price of the commodities of a given branch.⁶⁸

But under what condition can the value rates of profit be realised? According to Rubin's understanding: under the conditions of free competition, of anarchical disruption of demand and supply, they cannot be realised in commodity prices. Evidently, thinks the author of *Essays*, here are assumed the conditions of monopoly.⁶⁹

But in the tables, there is a rubric on the sale of commodities at the prices of production. The formulation of the problem given in *Essays* pushes the research into an unsolvable contradiction. If the individual value rates are to be realised, how can the commodities be sold at the prices of production? Obvi-

67 Of course, 'the tables in Chapter 9 of Volume III of *Capital*, illustrating the formation of the general average rate of profit from various rates of profit, depict the theoretical schema of the phenomenon but not its historical development' (I. Rubin, *Essays*, p. 277 [p. 219 in the fourth edition. p. 324–5 in the present translation]). Proponents of the historical foundation of the abstract analysis also did not assert the contrary: here are given the regularities of the *capitalist system*, but not the process of the transition from the simple commodity economy to the capitalist economy.

68 'Deriving the average rate of profit from different rates of profit calls forth objections based on the fact that the existence of different rates of profit in different spheres is not logically and historically proven, since it is due to the sale of the products of various spheres at their labour values' (I. Rubin, *Essays*, p. 267 [p. 211 in the fourth edition. p. 315 in the present translation]).

69 Let us assume that a state of monopoly is reflected in the tables. But also in this case the individual rates of profit cannot be realised. Monopoly inside each branch does not eliminate the competition among various branches. The pressure of competition will operate also in this case on the deviation of the monopoly price from the labour value determining it.

ously, for I. Rubin, a logical contradiction of composition of the tables in Marx's schema of the prices of production is concealed in the presence of these two columns.

Relations of free competition among capitalists are, according to Rubin, incompatible with different value rates of profit in various spheres of production. The presence of competition must evidently predetermine mechanically a constant equality of the individual value rate of profit with its socially average rate.

Thus appears to us the logical chain of reasoning of I. Rubin. Its concluding link is a consequence of the erroneously developed 'initial proposition': if an average level of profit is derived from value rates, the latter should be realised in the selling prices. Discard the initial link and you brush away the whole chain!

For Marx, the individual value rates of profit are not realised directly in the sphere of market; the market price must not be identified with the price of production. The average level of profit in the sphere of the market coincides with individual value rates only as a result of a complex process. The law of the prices of production consists in nothing other than a reproduction of the regularity of the dialectics of this process.⁷⁰

The great scientific feat of the author of *Essays* is that he has consistently emphasised that 'the fundamental aspect in Marx's investigation is the close attention paid to the social particularities of the structure'. In his analysis of the tables of Chapter 9 of Volume III of *Capital*, I. Rubin forgets about this.⁷¹ The numerical regularity of the tables of Volume III of *Capital* expresses the determinate economic regularity. The conditions of the numerical examples of the tables of Chapter 9 reflect the complete particularity of the 'formative principle' of the capitalist structure. The tables reflect the dialectics of the *process* of formation of the average profit, of the *process* of the transformation of value into a 'new determination of form', into the price of production. The tables do not only not exclude, but also presume the relations of free competi-

70 Engels wrote: 'in the exact sciences it is not customary to regard a predictable disturbance as a refutation of a law' [*Capital*, III¹, p. 15, MEGA, II/15, p. 17. This sentence appears in a quotation from Fireman in Engels's 'Preface'].

71 Rubin writes: 'If the absence of competition among capitalists of various spheres in the 'hypothetical' capitalism explains the reason why commodities are not sold at the price of production, it makes it impossible to explain the fact of the sale of commodities in accordance with their labour values ... But, if there is no competition among capitalists, who are fixed in their sphere, a state of monopoly will appear as a result' (Rubin, *Essays*, p. 265 [pp. 209–10 in the fourth edition. p. 313 in the present translation. This quotation by Dunaevsky is slightly different from the original]).

tion. The price of production displays the direction of the process of movement of the masses of social labour, the market value appears as a 'regulating magnitude' of 'the quantity of labour allocated to a given sphere, a quantity which is not established nor consciously maintained by anyone in capitalist society.'⁷² These categories are different elements in the internally contradictory process of redistribution of social labour. I. Rubin mechanically dissociates various rubrics of the tables, ignoring 'their connecting movement'.

According to Rubin, the deduction of the average level of profit from the value rates is for Marx 'only a way, a special method of description' by *reductio ad absurdum*. The reader of *Capital* knows that Marx's statement in this respect is not presumptive but completely definite, and does not admit any other interpretation. Why would Marx ever have had recourse to a form of description by *reductio ad absurdum*? He did not show in *Essays* which 'rubric' in the tables given by Marx 'is overturned,' 'if he draws from it all the logical conclusions to the end.' Indeed, Marx did not suppose a realisation of value rates of profit in commodity prices. The last rubric reflects only the 'starting point' of the process in the phase of direct production. This rubric is 'not overturned' by the tendency of prices toward the prices of production 'in spite of all the logical conclusions drawn from it to the end'.⁷³

VIII Historical Lessons and I. Rubin's *Essays*

What are the consequences of the 'by itself' metaphysical formulation of the problem examined above? An instructive example can be found in the works of D. Ricardo. On what condition for the accomplishment of classicism is the sphere of production the basis of the average profit? The condition would be met *if labour value and the value rates of profit were realised in the prices of the commodities of a given branch*.

The great metaphysician presented the capitalist economy in a state of permanent harmony. As far as a constant proportionality prevails among all the branches, the value rates of profit of each branch will coincide for Ricardo with the average general rate of profit.⁷⁴ 'From the very beginning Ricardo identified

⁷² *Essays*, p. 218 [*Essays*, p. 172 in the fourth edition. p. 269 in the present translation].

⁷³ *ibid.*, p. 269 [free patchworked quotation from pp. 212–3, etc. in the fourth edition. pp. 316–7, etc. in the present translation].

⁷⁴ Ricardo considers as 'accidental and temporary deviations of the actual or market price of commodities from this, their primary and natural price' (*Principles of Political Economy*, translated by Tchernyishev, pp. 47–92, 97 [David Ricardo, 'On the Principles of Political

the prices of production with individual labour values, and did not see that this presumption contradicts *prima facie* the law of value. Instead of resolving this contradiction, he begins to deduce forcibly the law from the contradictory phenomena of reality'.⁷⁵

The scientific scent insinuated to Ricardo that the technical compositions are different in different branches. But then the value rates of profit too will be varied in various branches.⁷⁶ The metaphysical formulation of the problem pushes the whole study into a false, vicious circle without an exit. Over what problem does the thinking of the consummator ardently struggle?

How should the great antinomy be solved:

- 1) by constantly realising the various individual value rates of profit in the selling prices; or
- 2) by constantly realising in the selling prices the rate of profit equal for all capitals?

In what manner can these individual value rates ever coincide with the average profit constantly realised in prices? For the metaphysician, the commodities are *sold* either at the prices of production or at the market value; commodities of equal-sized capitals are not exchanged according to labour values, since their technical compositions are different – in such a form of unresolved antinomy D. Ricardo left the theory of labour value.

Marx marked the period from 1820 to 1830 as a metaphysical period in the history of economic thought. For the teacher the new and important develops on the soil nourished with contradictions; for pupils formal-logical consistency brings about the dissolution of the Ricardian school.⁷⁷ Only the great dialectics

Economy, and Taxation', in *The Works and Correspondence of David Ricardo*, edited by Piero Sraffa with the collaboration of M.H. Dobb, vol. 1, Cambridge University Press, 1951, p. 88]).

75 [allegedly quoted from *Theories of Surplus Value*, but locus citato unidentified].

76 It is not accidental that Ricardo identified circulating capital with capital for the maintenance of labour. Marx says: 'Ricardo has too much logical instinct not to see the relation between living and dead labour. For this reason, the part of the capital-value laid out in material of labour (raw and auxiliary materials) does not appear on either side in Ricardo. It disappears entirely' [patchwork quotation from *Capital*, II, p. 221. MEGA, II/13, p. 200].

But, of course, 'neither Ricardo nor any other economist, before or since him, has accurately distinguished the two aspects of labour, and still less, therefore, the part played by it under each of these aspects in the formation of value' [*Capital*, I, p. 198, MEGA, II/6, p. 216, note 21. Dunaevsky's quotation, apparently from a Russian translation, is slightly different from the original].

77 [*Theories*, 2, p. 298, MEGA, II/3.4, p. 1300].

'As soon as he has recognised the contradiction, Ricardo tries to reduce it to six-seven

rescued the theory of surplus value from this metaphysical dead end, overcoming the abyss between price of production and market value.

I. Rubin points out: 'Ricardo could not formulate the problem in its complete breadth owing to the method itself of his investigation, consisting in a direct juxtaposition of different categories ignoring the 'intermediary links' among them.'⁷⁸ An accurate, correct characterisation of the error! Marx does not condemn Ricardo for his attempt to deduce the average rate of profit from the individual value rates, but for the co-identification of these categories. He accuses Ricardo because the great metaphysician does not understand that the unity of the average profit in circulation with the value rates is realised as a process in which the latter appear only as necessary 'intermediary links' of the process.

But, in truth, the reader will interrupt us: the metaphysical formulation of the problem did not play in itself such a role in the emergence of the antinomy of D. Ricardo: he did not overcome the fetishistic views; hereby can be also explained the famous unresolved contradictions!

We are obliged to make some methodological remarks. Of course, 'this whole blunder of Ricardo's and the consequent erroneous exposition ... spring from [the fact that] his treatment of definitions of form is crude and uncomprehending, just as that of the other economists.'⁷⁹ In the last analysis, the consummator of classicism did not overcome the fetishistic views; but the author of *Principles* tried to understand the internal regularity of the capitalist system.⁸⁰

We cannot agree with I. Rubin in thinking as if Marx 'was inclined to overestimate rather than to underestimate the great feats of the classical economists' [locus citato unidentified]. Marx studied Ricardo dialectically; not putting off with a general formal characterisation, Marx pursued not only the conclusions, the outcomes of Ricardo's investigation, but also the conceptions, the 'starting moments', the individual steps of the work of the great analyst. Solely the investigation of the working process of Ricardo can isolate the initial causes of the errors of his theory.

percent.' 'It is expressed by him timidly, in the form of a singular number' (Marx [locus citato unidentified]).

78 I. Rubin, 'Foreword to Rosenberg, *The Theory of value in Marx and D. Ricardo*', published from Moscow Worker, 1924.

79 [*Theories*, 1, p. 493, MEGA, 11/3.3, p. 862]. 'His attention was not directed on the form in which labour is represented as the unity of commodities' [allegedly quoted from *Theories*, but locus citato unidentified].

80 'The basis, the starting point for the physiology of the bourgeois system – for the understanding of its internal organic coherence and life process – is the determination of value by labour time. Ricardo starts with this' [*Theories*, 1, p. 391, MEGA, 11/3.3, p. 817].

The contradiction between the form of manifestation and the internal essence of the law emerged in Ricardo on that stage of investigation when the author of *Principles* showed a fetishistic understanding of the economic processes. It is on this stage of the investigation that his errors must be analysed. Contemporaries of *Principles* saw in Ricardo's work what our talented commentators refuse to recognise for him, i.e., an attempt to overcome the fetishistic understanding of the bourgeois economy.⁸¹

IX Summing Up

Why had not the metaphysical formulation of the problem, in a sense near to D. Ricardo, such deplorable consequences in the research of I. Rubin? The reader knows that the critique of the methodology of the classical school is entirely alien to the metaphysical understanding of the bourgeois economy which leads to the unresolvable contradictions of the Ricardian economists. The error examined above has in *Essays* entirely different roots, which we have tried to show in the first sections of this paper.

We have made reference to D. Ricardo's *Principles* for the purpose of showing what consequences the formulation of the problem to be found in *Essays* leads to. This error is not developed in *Essays* to its logical limits.

While disturbing the logical consistency of analysis, I. Rubin does not abandon the Marxist positions. But the attempt to maintain at any cost the erroneous initial commentary unavoidably leads to a series of contradictions.

What was the logical consequent conclusion from the initial proposition that the value rates of profit 'do not serve as intermediary links' of the process of formation of their average level? The organic compositions of equal-sized capitals must not interest the investigation.

81 Otherwise, it would become impossible to explain that mad attack which the vulgar economists inflicted on Ricardo's *Principles*. Why did Bailey especially devote a work to vehement polemic with Ricardo? For Bailey, 'value is a property of things.' Why did Malthus so acutely descend on the author of *Principles*, who distinguished price from value? Why did the 'dirty puss' McCulloch make an attack on Ricardo's theory of profit? Precisely because, for McCulloch, 'profit arises in the process of circulation.'

The powerful and accurate blows Ricardo gave to Say obliged Marx to give him the following characterisation: 'All these economists understand more or less clearly, but Ricardo more clearly than the others, that the exchange value of things is a mere expression, a specific social form, of the productive activity of men, something toto genere different from things and their use as things' [*Theories*, 2, p. 365, MEGA, II/3.4, p. 1361].

But I. Rubin gives, in following Marx,⁸² a decisively important significance in the analysis to the demarcation between *c* and *v* in the composition of capitals, which reveals the secrets of the provenance of surplus value. In this way, I. Rubin points out correctly, 'Marx bridged the *distribution of capitals*, through their *organic composition*, with the *distribution of social labour*.'⁸³ In this way, 'behind the visible process of the emigration of capitals the invisible process of the redistribution of social labour'⁸⁴ is revealed.

But I. Rubin is evidently conscious of his logical inconsistency. How is it possible to 'introduce' in the analysis the organic compositions of capitals and to ignore at the same time the value rates of profit brought about by them? Rubin points out: 'Different rates of profit ... serve for Marx *only* as numerical expressions, indicators of the organic composition of capital'.⁸⁵

The artificiality of the argument is all too evident! A contrary proposition, why isn't it possible? Indeed, it is only because it would be then necessary to reject the initial presumption in the commentary on the problem! Why, with an overall equal rate of exploitation and other equal conditions, cannot various organic compositions of capitals serve conversely as indicators of the rates of profit produced in a given branch?

Rubin points out in one passage: 'the average rate of profit is the result of the former total mass of surplus value, redistributed among capitalists' [Cf. 'the average rate of profit is determined in the last analysis not by the different rates of profit in the different spheres, but by the total mass of surplus value and its relation to the total social capital'. p. 212 in the fourth edition. p. 316 in the present translation]. But then, obviously, the individual value rates of profit are 'links' of the process.

The reader has a right to require from Marxist researchers such as the author of *Essays* a logical harmony in the description of the 'qualitative' and 'quantitative' aspects of the law of labour value, in the description of abstract labour, the prices of production, and the chapters devoted to socially necessary labour.

82 Marx wrote to Engels: 'There you have – roughly, for the thing's fairly complicated – the critique of Ricardo's theory. This much you will admit – that by taking into account the *organic composition of capital*, one disposes of a mass of what have so far seemed to be contradictions and problems' [Marx's letter to Engels of 2 August 1862, MECW/41, p. 397, MEGA, III/12, p. 181. Emphasis in original but not reproduced in Dunaevsky's quotation].

83 *Essays*, p. 254 [p. 201 in the fourth edition. p. 303–4 in the present translation. Quotation slightly modified from the original. Emphasis in original but not reproduced in Dunaevsky's quotation].

84 *ibid.*, p. 241 [p. 191 in the fourth edition. p. 292 in the present translation. Quotation slightly modified from the original].

85 *ibid.*, p. 267 [p. 211 in the fourth edition. p. 315 in the present translation. Emphasis added].

A. Greblis, M. Korovai, I. Stepanov: ‘On the Disputable Problems of the Theory of Value (about I.I. Rubin’s Book, *Essays on Marx’s Theory of Value*)’*,¹

Bolshevik, 1929, no. 3, pp. 64–75

Essays on Marx’s Theory of Value, the work by I.I. Rubin which has just appeared in the third edition, is a major contribution to Marxist economic literature. On the views developed by I.I. Rubin in this book, a very lively and, it must be said plainly, extremely keen polemic has arisen. The views of the author on the basic problems of Marx’s theory of value, and above all on the central point of this theory, the theory of abstract labour, have more than once become the object of scientific debate and given rise to a considerable polemical literature. But this scientific discussion cannot be considered as conclusive for the present, though it has now been carried on already for several years.

The polemic connected with *Essays* has become so radicalised that it would be possible, without exaggerating the essence of the disagreements, to confirm not only the presence of particular disagreements among individual Marxist economists but also the presence of a demarcation into two ‘approaches’: the one seems to us to be tending toward a vulgarisation of Marx’s economic theory (here we have in view A. Cohn, S. Bessonov, I. Dashkovsky, etc.); the other, expressed in the work of I. Rubin, enriches Marxist literature in deeply elaborating Marx’s theory of value, with a more profound understanding of it fully in agreement with Marx.

Therefore, we would like to expand on those methodological and theoretical foundations on which I.I. Rubin’s book is built. First of all, I. Rubin establishes rigorously and consistently the object of economic theory. He determines the latter, fully in agreement with the traditional Marxist formulation of the problem as a science which ‘has as the object of its investigation the relations of production of people specific to the capitalist economy in their interaction

* А. Греблис, М. Коровай, И. Степанов. «К спорным вопросам теории стоимости (По поводу книги И. И. Рубина «Очерков по теории стоимости Маркса»)» *Большевик*, 1929, 3, стр. 64–75.

¹ Published for discussion.

with the productive forces of society' (p. 10² [p. 21 in the present translation]). If the science in general must study the capitalist economy in its unity, as 'a certain system of productive forces and relations of production of people' (ibid.), political economy, to be defined as a special social science, must restrict itself to studying only one aspect of the capitalist economy, namely, its social form, the totality of the relations of production of people, comprising the 'economic structure' of capitalism. The capitalist economy is unquestionably the *unity* of a certain state of the productive forces and the totality of the relations of production of people, but at the same time as the former, i.e., the material-technical process of production is the object of investigation of the natural sciences, of the science of technology or social technique, the relations of production of people, or in other words, the social form of production appear as the object of economic theory.

If it is asserted that the object of political economy is production in its bourgeois form, from this it does not at all follow that both material production and its social form constitute a *single* object for political economy. It follows from this determination only that the material process of production is considered in its social form, i.e., as a definite system of relations of production. But such a point of view obliges us to draw a *distinction* between the material-technical process of production and its social form. Precisely such a distinction, drawn by Marx in his economic theory, placed political economy on a rigorous scientific basis, transforming it from the 'science' of the relations of things to things, as it was presented by the vulgar economists, or of people to things (in the case of the 'Austrian school'), into the science of the social relations of people to people in the process of material production.

This distinction, drawn by I. Rubin as a fundamental methodological proposition determining political economy as a social and historical science, is long since established and incontestable for Marxists. Lenin, in the polemic with the Narodniks in his book *A Characterisation of Economic Romanticism* wrote on the problem of the place of 'distribution' as follows:

What meaning is there to this accusation? It is based solely on an extremely unscientific conception of the very object of political economy. Its object is not by any means 'the production of material values', as is often claimed (that is the object of technology), but the social relations between men in production ... If, however, we consistently regard 'pro-

2 These page numbers are those of the third edition of *Essays*.

duction' as social relations in production, then both 'distribution' and 'consumption' lose all independent significance.³

Therefore, we can see that Lenin too draws a rigorous distinction between the material-technical process of production ('the production of material values'), as the object of 'technology', and 'production', i.e., the social relations of production among people, as the object of political economy. This is of course the sole correct scientific point of view, since it allows us to single out the categories of the historically determined forms of social economy. This also makes economic theory not only a social but also a historical science.

Therefore, we must recognise as entirely correct and rigorously Marxist the fundamental proposition of I. Rubin that

political economy does not study the material-technical aspect of the capitalist process of production, but its social form, i.e., the totality of relations of production of people, comprising the 'economic structure' of capitalism. Production technique or the productive forces enter the field of research of Marx's economic theory only as a presupposition, as a starting point, taken into consideration only insofar as it is indispensable for the elucidation of the real object of our investigation, namely of the relations of production of people.⁴

This seems to be an indisputable definition of the object of political economy, but it gives rise to the two kinds of opposition from some critics of I. Rubin. First, they consider such a definition incorrect, since for Marx both aspects of the social process of production in their interaction, in the unity of the material and the social allegedly constitute the direct object of political economy; and, second, the drawing of distinction between the material process of production and its social form would lead to the separation of the social from the material and their contraposition would be alien to Marx's theory. We will expand on the second point somewhat below. As for the first point, what we have said just above is enough for confirming that the 'critics' *confound* these two aspects in the social process of production, that they deviate from the views established by the Marxists. The circumstance that material production (the productive forces) is connected with the social relations of production and causally conditions the latter does not abolish the difference of the interacting

3 [V.I. Lenin, *Collected Works*, vol. 2, Progress Publishers, Moscow, 1972, p. 202].

4 I. Rubin, *ibid.*, p. 11 [p. 22 in the present translation].

but opposed aspects in the social process of production. The following quotation from the introduction to Marx's *A Contribution to the Critique of Political Economy* is highly characteristic. '(5) *Dialectic of the concepts productive power (means of production) and relation of production*, a dialectic whose limits have to be defined and which does not abolish real difference' [MECW/28, p. 46, MEGA, II/1.1, p. 43. Emphasis in original but not reproduced in the quotation]. To fail to see this, to fail to distinguish these interacting but opposed aspects of social production, to not submit them to a particular, autonomous, and distinctive analysis, would mean a retreat from Marx, a vulgarisation of Marx's economic theory.

But to draw a distinction between these two aspects of social production is in no way tantamount to making a break between them. The critics of I. Rubin particularly emphasise that this distinction is for him tantamount to tearing off the social from the material. We will attempt to show, in considering the views of I. Rubin on the problems of the theory of value, that it is precisely he who, better than any other of the commentators on Marx, has succeeded in tying up value with the material process of production. The accusation of these 'critics' is utterly unfounded. To draw a distinction between the social form of production and its material content, what does this mean? It means that we assume the task of understanding the laws of motion and development of the social forms of production, of determining the type and character of a historically determined social formation. To tear off the social form from the material process of production, what does it mean? It means a refusal to consider the productive forces as the driving principle of development of the relations of production. The productive forces are not the same as the relations of production of people, but the former causally condition the latter; the movement of 'value', for example a change in its magnitude, is a social phenomenon, conditioned by a given character of relations of production, but it is closely connected with the productive force of labour. To negate this would be tantamount to tearing off the social form from the material content. To distinguish these two phenomena, without seeing that material production lies at the basis of the development of social forms is nothing other than an arbitrary, artificial tearing off of them from each other.

When the critics of I. Rubin try to 'liken' him to the 'social' approach in bourgeois political economy, with the existence of which many of them have probably become first acquainted via I. Rubin's book, *Contemporary Economists in the West* [cf. 'Translator's Introductory Essay' in the present translation], these critical attempts have no grounds. If we can find sometimes in Stolzmann, Petry, and others correct remarks, stressing the social content of the categories of political economy, this is simply because they have borrowed something

from Marx, and moreover distorting his ideas in doing so. The fundamental defect of these economists is in their refusal to connect causally the social, or more specifically economic phenomena with material production, on the one hand; and furthermore, they either consider the social relations idealistically, as a product of 'human will', not necessarily arising from the conditions of material production, or identify these relations with juridical, legal relations.

The anxiety of the critics of I. Rubin to draw a distinction between material production and its social form is explained by the fact that, for them, only the 'material' – in the narrow sense of the physical, i.e., something visible and tangible – actually, objectively, really exists. This is the viewpoint of mechanical materialism.⁵ To confirm the connection of social form with material content does not at all mean their identification. Although neither an atom of 'natural thing' nor 'an atom of matter' is contained in it, the real, objective *social* existence is not excluded. Value is according to Marx only a 'social relation', it has only a 'social entity' and contains within it 'not an atom of matter'; however, there would be no Marxist who would deny to value the character of objective and real existence or attribute to it a character of 'fiction'.⁶

But let us get back to I. Rubin. Drawing this distinction, does he truly tear off social form from material content, refuse to place them in a causally-conditioned connection, presenting a 'spontaneous', 'torn-off, autonomous' existence of these forms? Accusations of such a kind are so unfounded that we can only be surprised by the 'scientific' boldness of those who ascribe to I. Rubin such views. His *whole* task, which he has excellently performed, was to show this connection, to find out all those *intermediary* links which explain this connection. In order to show the complete unfoundedness of these accusations, we quote, of the large number of passages in the book where Rubin mentions this problem, only a few.

5 'It is considered fashionable among bourgeois scholars and their adherents to point out that Karl Marx in his theory of value rather crudely concocted a mechanistic-materialistic brew. Yet there is materialism of Marx. Insofar as the Marxian materialism is expressed in Karl Marx's economic system, it does not only not lead to a fetishism of commodities, but on the contrary it makes possible for the first time a surmounting of this fetishism. Particularly, for Karl Marx, value is one of the 'forms of thought expressing with social validity the conditions and relations of a definite, historically determined mode of production, viz., the production of commodities' [*Capital*, I, p. 80, MEGA, II/6, pp. 106–7]. But here 'objectively' does not mean 'physically.' It would be just as reasonable to regard language as a physical thing.' N. Bukharin, *The Political Economy of Rentiers*, fourth edition, p. 65 [Nikolai Bukharin, *The Economic Theory of the Leisure Class*, International Publishers, 1927, pp. 189–90].

6 'Hegel is essentially *right*: value is a category which dispenses with the material of sensuousness, but it is *truer* than the law of supply and demand' [V.I. Lenin, 'Philosophical Notebooks,' *Collected Works*, vol. 38, Progress Publishers, Moscow, 1976, p. 172. Emphasis in original].

‘Although political economy studies the relations of production of people, it always presupposes an inseparable connection with the material-technical process of production and has as the prerequisite of its research a determinate state and process of development of material productive forces’ (p. 10 [p. 21 in the present translation]). In another place he writes:

In this way, a driving force to change in the entire system of values begins from the material-technical process of production. The development of labour productivity finds its expression in a decrease of the quantity of concrete labour actually expended at an average on production. But for the same reason, due to the twofold character of labour as concrete and abstract, the quantity of this same labour, considered as ‘social’ or ‘abstract’ ... also decreases.⁷

In determining political economy as a science of the relations of production among people in the commodity-capitalist economy, I. Rubin entirely correctly brings to the forefront Marx’s theory of commodity fetishism. The great merit of I. Rubin is that in his description of Marx’s theory of value he has advanced in an appropriate place the theory of commodity fetishism and most closely connected it with Marx’s economic theory. ‘[P]olitical economy must first of all give us the characteristic of this social form of economy and of the relations of production of people, specific to it. Marx gives us such a general characteristic in his ‘theory of commodity fetishism’’ (p. 12 [p. 27 in the present translation]). According to the correct assertion of the author, this theory ‘constitutes the *basis* of Marx’s entire economic system, and in particular of his theory of value’ (p. 13 [p. 27 in the present translation. Emphasis added]), appearing as ‘a general theory of relations of production in the commodity-capitalist economy’ (p. 12 [p. 27 in the present translation. Emphasis added]). This is a view which has already been expressed by a series of Marxists, in particular Plekhanov and N.I. Bukharin.

Without advancing this theory as such a basis, without elucidating with this particularity Marx’s theory of commodity fetishism, it is impossible to understand the essence of Marx’s theory of value. What can we say of the works devoted to Marx’s theory of value where literally not a word is allotted to the theory of commodity fetishism, as A. Cohn has ‘contrived’ to do in the first edition of his *Course of Political Economy* [1928]?

⁷ I. Rubin, *ibid.*, p. 78 [pp. 94–5 in the present translation].

I. Rubin is the first to have *systematically* elaborated this problem, advancing and emphasising the objective basis of commodity fetishism.

Marx showed not only that under the relations of things are concealed relations of production of people, but also that in the commodity economy, conversely, social relations of production of people inevitably take on the form of things – and cannot but manifest themselves through things. Because of the structure of the commodity economy, things play a special, extremely important social role and acquire special social properties.⁸

A 'thing' in the commodity economy appears not only as a 'veil', behind which is concealed a relation of production, it is also an *intermediary* of social relations. 'The movement of the prices of things on the market is not merely a reflection of the relations of production of people, but the sole possible form of their manifestation in the market society' (p. 18 [p. 34 in the present translation. Emphasis added]). A thing appears as an 'intermediating link' among people, 'organises' the relation of production. It acquires this objective role because the relations of production of people in commodity society are realised only in *material form*. From here arises also the 'twofold entity' of a thing, not only material but also social (functional).

In connection with this problem, we should mention here the understanding I. Rubin gives to the words 'materialisation' and 'crystallisation', of which Marx often makes use. More than a few economists, even among Marxists, understand value, for example, as a materialisation of material labour itself, as its condensation, as a crystal of labour in the naturalistic sense. This vulgar understanding of Marx is reflected, for example, in *Course of Political Economy* of A. Cohn (pp. 16–7). About such economists we can say with Marx:

The materialization, etc., of labour is however not to be taken in such a Scottish sense as Adam Smith conceives it. When we speak of the commodity as a materialisation of labour – in the sense of its exchange value – this itself is only an imaginary, that is to say, a purely social mode of existence of the commodity which has nothing to do with its corporeal reality; it is conceived as a definite quantity of social labour or of money.⁹

⁸ *ibid.*, p. 14 [p. 28 in the present translation. Emphasis added].

⁹ [*Theories*, 1, pp. 26–7, MEGA, II/3.2, p. 457].

I. Rubin has shown that Marx's expressions on the 'materialisation' of labour and 'crystallisation' of labour do not give any ground for a mechanistic-naturalistic understanding of Marx's theory of value. 'The theory of labour value does not affirm the material condensation of labour as a factor of production in things as products of labour, ... the fetishistic, reified expression of social labour in the value of things' (p. 85 [*Essays*, p. 102 in the present translation]).

Here we have to move to the peculiar characteristic of Marx's theory of value, as is described in *Essays*. What tasks does its author set before the theory of value? In the rigorous methodological accordance with Marx's theory of commodity fetishism he has developed, he sees the aim of the theory of value in discovering 'behind the regularity of the equalisation of things the laws of the equilibrium of labour' (p. 79 [*ibid.*, p. 95 in the present translation]). Its object of investigation is the '*correlation of various sorts of labour* in the process of their distribution, established through the *correlation of things*, products of labour, in exchange' (*ibid.* [*ibid.*, emphasis in original but not reproduced in the quotation]). If the categories of economic theory express reified relations of production, when considering value, 'we are faced with the task of showing that value is: 1) a social relation of *people*; 2) which has assumed a *material* form; and 3) which is connected to the process of *production*' (p. 74 [*ibid.*, p. 91 in the present translation. Emphasised words other than '*people*' are in original but not reproduced in the quotation]). The shortcomings of the many former commentators on Marx's theory consist in that they set out to explain value through taking up only one of the aspects in his theory of value without trying to present it in a systematic and *unified* form. For example, they paid attention only to the quantitative aspect of value. Since the magnitude of value is determined by the quantity of labour, necessary for the production of a commodity, value was considered only as an expression of the productive force of labour. A deeper understanding of Marx's theory of value was the development of the idea that value appears as the *regulator* of the distribution of labour among different branches of production. This made possible the understanding of social labour as a whole. Finally, a determination of value established long ago was that of an expression of the relations of production. I. Rubin has presented these aspects of value in a unitary theory, in their connection, *uniting* the quantitative and qualitative aspects of value. This unification has found its expression in the schema of Rubin, developed by him sufficiently in detail and consistently, namely: productivity of labour – abstract labour – value – distribution of social labour. The starting point, or the driving impulse for the whole system of value is the development of the productivity of labour, the material-technical process of production. The author of

Essays places value, as the central object of investigation in this system, in the framework of the development of the productive forces and of the distribution of social labour.

I. Rubin has come under the greatest attack for his interpretation of Marx's theory of abstract labour. The category of abstract labour plays the central role in the theory of value. Marx himself emphasised in *Capital* the particular significance of this category. 'I was the first to point out and to examine critically this two-fold nature of the labour contained in commodities. As this point is the pivot on which a clear comprehension of political economy turns, we must go more into detail' [*Capital*, I, p. 49, MEGA, II/6, p. 75]. However, up to the present this 'point' is also the most controversial problem among Marxist economists themselves. The circumstance that labour is 'contained' within value was known long before Marx. Marx's merit was the actual determination of labour forming value. '[H]e [Marx] analysed labour's value-producing property and was the first to ascertain *what* labour it was that produced value, and why and how it did so. He found that value was nothing but congealed labour of *this kind*' (Engels, 'Preface to [the first edition of] Vol. II of *Capital*', p. XXI [*Capital*, II, p. 16, MEGA, II/13, p. 18. Emphasis in original but not reproduced in the quotation]).

Not only the critics of Marx but at times also his proponents determine abstract labour in contrast to concrete labour, as the expenditure of human energy in general, as the abstract physiological spending of energy. This determination, which served for the purpose of popularisation of Marx, has however features of his vulgarisation. Marx connected the twofold 'nature' of the commodity (use value and value) with the twofold 'nature' of the labour creating commodities. He connected concrete, particular, useful, material labour with the process of creation of use value, and abstract labour with the process of formation, of 'creation' of value. Labour forming value assumes, according to Marx, a purely social character.

Let us first of all turn to Marx himself. He writes in *A Contribution to the Critique of Political Economy* as follows:

From the analysis of exchange value it follows that the conditions of labour which creates exchange value are *social categories* of labour or categories of *social labour*, social however not in the general sense but in the particular sense, denoting a specific type of society. Uniform simple labour implies first of all that the labour of different individuals is *equal* and that their labour is treated as equal by being in fact reduced to homogeneous labour. The labour of every individual in so far as it manifests itself in exchange values possesses this *social character of equality*

(emphasised by us), and it manifests itself in exchange value only in so far as it is equated with the labour of all other individuals.¹⁰

The second distinct feature of labour forming value is that 'the labour time of a particular individual is directly represented as *labour time in general*, and this *general character* of individual labour appears as the *social character* of this labour' [ibid., pp. 273–4, 11/2, p. 111. Emphasis in original]. Unlike, for example, the patriarchal economy, where the social character of labour appears in its direct natural form, 'labour which manifests itself in exchange value appears to be the labour of an isolated individual. It becomes social labour by assuming the form of its direct opposite, of abstract universal labour' [ibid., p. 275, 11/2, p. 113]. Only in the form of abstract labour does the labour of an individual commodity producer acquire a social character. But this does not exhaust Marx's characterisation of abstract labour. He conditions it with still one further essential feature, without which its characterisation will be insufficient and incomplete, namely: 'it is a characteristic feature of labour which posits exchange value that it causes the social relations of individuals to appear in the perverted form of a social relation between things ... Value is a relation between persons, it is however necessary to add that it is a relation hidden by a material veil' [ibid., pp. 275–6, 11/2, p. 113]. Furthermore, Marx gives the following résumé, not leaving any doubt: 'As useful activity directed to the appropriation of natural factors in one form or another, labour is a natural condition of human existence, a condition of material interchange between man and nature, quite independent of the form of society. On the other hand, the labour which posits exchange value is a specific social form of labour' [ibid., p. 278, 11/2, p. 115]. This (abstract, general) labour depends on social formation. In the last place, let us give a final quotation, in which Marx criticises Franklin for his determination of abstract labour.

Franklin, on the contrary, considers that the value of shoes, minerals, yarn, paintings, etc., is determined by abstract labour which has no particular quality and can thus be measured only in terms of quantity. But since he does not explain that the labour contained in exchange value is abstract universal social labour, which is brought about by the universal alienation of individual labour, he is bound to overlook money as the direct embodiment of this alienated labour.¹¹

10 [Critique, p. 273, MEGA, 11/2, p. 111. Emphasis in original but not reproduced in the quotation, except the last one].

11 [ibid., pp. 296–7, 11/2, p. 134].

We have given so many quotations from Marx with a view to juxtaposing his views with the point of view of the economists appearing as opponents of I. Rubin, who develops precisely Marx's understanding of abstract labour forming value. At what conclusions does I. Dashkovsky, for example, arrive in his article 'Abstract Labour and the Economic Categories of Marx' (*Under the Banner ...*, no. 6, 1926 [pp. 632–61 in the present translation, with indication of the original page numbers]), examining the problem of abstract labour? 'Abstract labour, labour in general, labour as the physiological expenditure of muscles, nerves, and so on, is a concept far transgressing the boundaries of the internal organisation of the commodity economy' (p. 203). 'Even in those economic ['historical' in the quotation] formations where concrete labour appears directly as social, where it has no need of a curved mirror of material relations and abstract categories, the function of abstract labour is absolutely indispensable insofar as needs exist for an accounting of social labour energy' (p. 205). Abstract labour, appearing in Marx as a specific social 'property' of labour, turns out in I. Dashkovsky to be a natural (physiological) property of labour, a logical category, i.e., devoid of historically specific bounds, a transhistorical category. How does he ever avoid this 'difficulty', which cannot but appear before him since, precisely without these 'definitions', he must explain the formation of the *historical* category of value? As we see finally, 'abstract labour creates value in the sense that it assumes the form of the value of the product of labour ... It is clear that the form of expression can and must bear a historical character, while what serves as the object of expression does not depend (!) on the evolution of social forms' (p. 213 [exclamation mark added]). We can find in A. Cohn another variant, but of the same tenor. For him abstract labour is the process of 'expedient expenditure of the physiological energy of man, and that's all' (*Course of Political Economy*, second edition, p. 19). 'Since all labour is the expenditure of physiological energy, this circumstance is the general property of all kinds of labour and enters as a logical determinant into the concept of abstract labour' (*ibid.*, p. 65). How does he put abstract labour in connection with value? In the case of A. Cohn too, everything is 'the other way around'. If according to Marx value is 'created' by abstract labour, according to A. Cohn it is not at all like this. According to A. Cohn, abstract labour 'as such' does not create value. Abstract labour creates value only where this labour, i.e., the physiological expenditure of energy, appears in a specific social form. If for Marx the 'substance' of value is a 'purely-social' substance, for A. Cohn the 'substance' of value is abstract labour as the physiological expenditure of labour and its specific social form. With such a determination A. Cohn intends to 'assert' a materialistic understanding of value. The 'matter', allegedly banished by I. Rubin, 'triumphs' in A. Cohn, since its 'legitimate rights' are restored by him. This is a 'childish' ortho-

doxy! He granted a *twofold character* to the determination of abstract labour. Whereas for Marx the labour creating commodities has a *twofold* nature, for A. Cohn labour forming value has twofold and opposite characteristics. From the point of view of Marx, material labour in a definite social form creates *commodities*, while A. Cohn reveals that material (physiological) labour in social form creates value. A. Cohn has admitted a rudest error in transferring the *twofold* nature of the labour creating commodities to the labour forming value. Therefore, his determination of labour forming value obtains a purely mechanistic set of characteristics. Whereas for Marx labour forming value obtains an exhaustive characterisation in the concept of abstract labour, as a specific form of social labour, and socially necessary labour appears as abstract labour in its quantitative determinedness, according to A. Cohn this labour obtains a heterogeneous, not internally connected characterisation. According to A. Cohn, this is firstly abstract labour (material labour) as a logical category, secondly social labour, thirdly socially necessary labour (a concept qualitatively distinct from abstract labour, as a historical category), and so on. The conclusion A. Cohn arrives at is that 'for labour to create value, it must be not only abstract but also social labour'. The result A. Cohn has arrived at on the problem of the interrelation between abstract labour and value is truly trivial: value is not created by abstract labour!

The critics of I. Rubin, rallied together in a 'campaign' under the pretext of 'defending' Marx, pass off *their* own, 'original' formulation as an orthodoxy, and a distortion of the views of Marx as his authentic views.

I. Rubin in the last [third] edition of *Essays* as well as in the foregoing editions has disclosed convincingly enough the incorrectness of the view 'interpreting' the concept of abstract labour forming value as a physiological concept, not an economic and historical category. Thereby I. Rubin takes for a starting point that close connection which Marx establishes between the twofold 'nature' of the commodity and the twofold 'nature' of the labour creating commodities. The labour process is a process of an *individual* labour, but, when considering this process from the point of view of its material content, we arrive at the concept of concrete labour, and from the point of view of its social characteristic, we obtain the concept of abstract labour, advanced by Marx as the labour forming value. This distinction I. Rubin draws between the technical nature of labour and its 'social nature' gives a clue to an actual understanding of Marx's connection between the twofold nature of labour and that of the commodity. Labour forming value is not a labour which is *first* abstract (in the physiological sense) and *then* social labour, but is instead solely social labour in the form of abstract or abstract-general labour. Abstract labour should not be contraposed to social labour: it is a specific kind of social labour, inherent only

to commodity production. This unity of perspective on labour forming value leads to the result that an internal unity is established among the various understandings of labour appearing in Marx's text. The concept of simple labour is connected with abstract labour as its supplementary characteristic, socially necessary labour appears not as a separate characteristic of labour, grafted from without, but only as the quantitative aspect of abstract (social) labour. The connection and distinction between abstract labour and socially-necessary labour bears the same character as that between value and the magnitude of value.

Abstract labour appears as a social characteristic of labour, but not as its material substrate. I.I. Rubin therefore arrives at the conclusion that abstract labour, having only a 'social characteristic', does not contain within it 'an atom of matter'. In the third edition of *Essays* I. Rubin develops in detail this characteristic of abstract labour, and clarifies the relation of the latter to 'physiological, physiologically-homogeneous, and socially-equalised labour'.

[T]he physiological equality of labour is a necessary condition for the general possibility of the social equalisation and distribution of labour. Only on the basis of the physiological equality or homogeneity of human labour, i.e., of the variety and flexibility of labour activity of people, would be possible both the transfer from one kind of labour to another and the appearance of a social system of division of labour, in particular of the system of a commodity economy, characterised by abstract labour.¹²

But this equality of human labour 'is a biological precondition', 'not a cause of the development of the social division of labour' [ibid.]. 'The stage of development and the forms of social division of labour are determined by purely social causes' (p. 153 [ibid., p. 187 in the present translation]). It follows from here that the equality of labour, expressed in the equality of values, is a social equality, a social equalisation. Labour forming value represents not a physiological but a 'social substance'. Abstract labour is not an 'autonomous' existence of labour, but it is only its *social* existence, i.e., it appears as the social aspect of an *individual* labour.

In the opinion of A. Cohn, the fundamental, decisive defect of I. Rubin's *Essays* lies in the method he applies in this book. A. Cohn 'mercifully' 'brings Rubin closer to Marxist positions', but all the troubles with I. Rubin consist, in his opinion, in the fact that 'he would not renounce this method, which has led him to a non-Marxist, throughout idealistic (!) theory of value' (*Course of*

12 Rubin, ibid., p. 152 [ibid., p. 187 in the present translation].

Political Economy, p. 74). We find that A. Cohn is 'right'. Precisely in the *method* lies the 'gist' of various appraisals of Marx's theory of value. Where is the root of the drawbacks of A. Cohn and his 'like-minded fellows'? Where is the fundamental drawback of the critics of I. Rubin? It is in the fact, first that they wrongly make use of Marx's concept of abstract labour, and second that, most importantly, they replace his dialectical method with an analytical method. In his well-known first chapter Marx writes: 'Political economy has indeed analysed, however incompletely, value and its magnitude, and has discovered what lies beneath these forms. But it has never once asked the question why labour is represented by the value of its product and labour time by the magnitude of that value' [*Capital*, I, pp. 84–5, MEGA, II/6, pp. 110–1]. Marx did not deduce labour from value, but rather deduced the necessity of value from a given social form of labour, from the given relations of production inherent within commodity production. We must seek the explanation of value in 'labour'. Precisely this circumstance renders labour forming value the central point in Marx's theory of value. But this also leads us methodologically to the necessity of determining abstract labour as a social and historical concept. This dialectical method penetrates the entirety of Rubin's book.

The critics of *Essays* admit still one other methodological error: they pass off as an 'orthodoxy' a procedure of 'finding out' abstract concepts altogether alien to Marx. Beginning with the assumption that the most abstract concepts must be the simplest ones, they 'find out' these simplest concepts in a scientifically totally inadmissible manner. Indeed, what can be the most simple, abstract concept of labour, in the opinion of the critics? It is the concept of labour 'as such'. But labour 'as such' is undifferentiated, qualityless, homogeneous physiological expenditure of human energy'. Ergo! The simplest concept of labour is to be found out at that 'stage' of its abstraction which must 'lie' at the basis of political economy. This abstraction of labour is abstract labour! This course of 'seeking' the most simple, abstract concepts contradicts *fundamentally* Marx's understanding of abstract categories. For Marx abstract concepts are in no way exhaustively characterised by their 'simplicity', the abstract concept being for him only a moderately simple category. It does not at all appear simply as an abstract category, but as one of the aspects of a *concrete* category. An abstract concept appears in Marx as a one-sided display of a concrete concept. Therefore, Marx justifies only such an abstraction as reflects a specifically historical actuality, but never a 'dummy'.

In order not to leave any doubt in this regard about the views of Marx, here we give a few quotations which show this evidently enough. 'The method of advancing from the abstract to the concrete is simply the way in which thinking assimilates the concrete and reproduces it as a mental concrete' [MECW/28,

p. 38, MEGA, II/1.1, p. 36]). This procedure 'leads from abstract determinations by way of thinking to the reproduction of the concrete' (*ibid.*). The abstract 'categories express forms of being, conditions of existence – and sometimes only individual aspects – of this particular (bourgeois [inserted by Greblis et al.]) society' [*ibid.*, p. 43, II/1.1, p. 41]). And concerning the simplest categories, Marx writes as follows:

The example of labour strikingly demonstrates that even the most abstract categories, despite their being valid – precisely because they are abstractions – for all epochs, are, in the determinateness of their abstraction, just as much a product of historical conditions and retain their full validity only for and within these conditions.¹³

The above quotations are sufficient for convincing us that Marx set also for the concept of labour that stage of abstraction which, however, would be a reflection of contemporary commodity society. The interpretation of abstract labour as 'bourgeois labour, displaying the social form of organisation of labour in commodity society' fully satisfies this method of 'finding out' abstract concepts.

Finally, it is necessary to make a series of individual remarks about the third edition of *Essays*. In it, I. Rubin corrected a series of unsuccessful formulas, in which was not explained clearly enough the difference between exchange as a phase in the process of reproduction and exchange as a social form of production. These formulas induced critics to accuse I. Rubin of advancing a 'concept of exchange', 'according to' which he would transfer abstract labour and 'therefore' also value to the sphere of exchange, contraposed to the sphere of production. How far this accusation was gratuitous *in essence* is shown in the results of the correction of these formulas in the third edition. These corrections did not only not disturb the essence of his interpretation of Marx's theory of value, but also reinforced to still larger extent his position. I. Rubin did not limit himself to correcting these formulas, but gave a series of valuable indications on how Marx considered the problem of the interrelation between exchange and production. He showed that 'production' has for Marx a wider meaning, and 'discovered' an accurate understanding of Marx on the problem of the correlation between the sphere of exchange and the sphere of direct production. In direct production the labour of the commodity producer appears directly as private, but indirectly, 'potentially', 'ideally' as social labour; only in exchange does it appear directly as social labour. Therefore, the critics, having

13 [ibid., p. 42, II/1.1, p. 49].

spent so much effort to prove that I. Rubin is a 'mercantilist', to prove that value and abstract labour exist in production prior to exchange, without exchange, and so on and so forth, simply could not assimilate the complex correlation existing between production and exchange.

In the third edition of *Essays*, I. Rubin fundamentally corrected the point of view on the 'content' of value. The 'content' of value had been identified by him with the material-technical process of production, but had not appeared as abstract labour. Because of the lack of space, we cannot mention this essential problem, but it is necessary to point out that I. Rubin corrected this vulnerable passage of his 'conception', which had been entirely correctly indicated by a series of economists. In the new description abstract labour appears as the 'content' of value.

It would have been extremely valuable if *Essays* had been further developed by an elaboration of the problems of money in connection with Marx's theory of value. His theory of money is most closely adjacent to his theory of abstract labour. The elaboration of the problem of the interrelation between abstract labour and money in Marx, which is incidentally an enterprise never attempted by anyone, would be an extremely valuable new enrichment of *Essays*.

At the end of the book, 'Reply to Critics' is given in the form of appendix. This reply, brilliant in its form and profoundness, is given to three economists (I. Dashkovsky, S. Shabs, and A. Cohn). In it not only are the rudest errors of the 'critics' disclosed, but also both his general methodological approach and the foundations of his *Essays* are described in a polemical form.

The works of I. Rubin are not in need of a particular recommendation. In our Marxist periodicals, his works have been noticed as works of immense theoretical importance, written with the talent and profundity proper to their author.¹⁴

We have wished to indicate the significance which *Essays* acquires at the present time. In our social sciences (philosophy, history, political economy) a process of 'maturing' of the elements of revision of Marxism seems to manifest itself regularly enough. As was to be expected, this phenomenon has appeared most evidently in philosophy above all. The struggle between dialectical materialism and mechanistic metaphysics clearly shows this revision. In political economy, this phenomenon 'akin' to philosophy and going along the same dividing line is only foreshadowed. But here also the disregard for Marx's dialectics will revenge itself. The attempts to operate with 'analysis' in political

14 We cannot but mention here the utterly inadmissible (not to say nothing of its essential points, but in its form) review of S. Bessonov in the newspaper *Izvestiya* (*Известия*) of 30 October 1928. This reviewer has apparently decided to come into action in political economy 'à la Scottish'.

economy will lead and already leads to the vulgarisation of Marxism. The revision of Marx can proceed, generally speaking, in the queerest way, but we know that the vulgarisation of his theory has become since long ago a well-trodden path for revisionism. *For the moment*, this vulgarisation of Marx arises more often from 'ignorance' than from 'knowledge'. As far as this does not change, it may be expected to correct people relatively quickly and easily. There is no doubt that I. Rubin's *Essays* will *help* in overcoming this vulgarisation, and become an important means for unmasking and correcting these errors. We can say therefore that I. Rubin's book acquires not a little 'service' value in our time.

M. Saigushkin: 'Abstract Labour as a Materialistic Category'*

Problems of Economy, 1929, no. 4–5, pp. 157–81.

Afterwards included in the collection of articles, *Rubinschchina or Marxism? Against Idealism and Metaphysics in Political Economy*, edited by S.A. Besonov and A. Cohn, 1930, pp. 143–70

In the discussion on the problems of Marx's theory of value going on at present, a series of extremely important problems of theoretical economy have been raised. If it was important and necessary at first to clarify the object of discussion, to give a correct formulation of the problems under debate, and in some cases to give also a solution in general form to one or another problem, at the present stage of discussion our task is to consider separately each of the problems raised in the discussion as carefully and thoroughly as possible. After a series of special works on individual problems under discussion, it will be necessary to return anew to the general conclusions, to sum them up, but this summarising will then be carried out on a higher and more solidly elaborated basis. Starting from this, we want to direct the attention of the reader only to one special problem under discussion, namely, we will attempt to elucidate the question of whether the theory of I. Rubin on immaterial abstract labour can be regarded as materialistic.

Marxism recognises as material the objectively real entity existing independently of human consciousness. In accordance with this, Marxism considers as social material the social entity existing objectively and independently of our consciousness. 'Historical materialism recognises that social entity is independent of the social consciousness of man.'¹ Rubin and his proponents try to rely on this proposition of dialectical materialism, in order to dispose of the accusation advanced against them of an idealistic interpretation of Marx. They say that abnormal [immaterial?] abstract labour exists in objective social reality and therefore it is a materialistic category.

* М. Сайгушкин. «Абстрактный труд как материалистическая категория» *Проблемы экономики*, 1929, 4–5, стр. 157–81.

1 Lenin, *Collected Works*, second edition, vol. XIII, p. 266.

The anxiety of the critics of I. Rubin to draw a distinction between material production and its social form is explained by the fact that for them only 'material' – in the narrow sense of the physical, i.e., something visible and tangible – really, objectively, actually exists. This is the point of view of mechanistic materialism. To confirm the connection of social form with material content does not at all mean their identification. Although neither an atom of 'natural thing' nor 'an atom of matter' is contained in it, real, objective, social existence is not at all excluded.²

Now let us consider whether such a delicate and 'filigreed' object as immaterial abstract labour can exist in objective social reality.

In the commodity economy, the labour process, the process of the production of social life, exists in the external world. First, labour includes within it certain technical procedures, expedient movements and operations; secondly, it is an expenditure of human labour power in the physiological sense regardless of this or that concrete form of this expenditure; thirdly, it includes within it a social form of labour, determining the latter as the labour of a given historically determined social-economic formation. Concrete labour is not what corresponds to the concept of abstract labour, this much is self-evident. Can a productive physiological expenditure of human labour power, which really exists in the external world, possibly correspond to Rubin's concept of immaterial abstract labour? Evidently not. Rubin explains that 'neither physiological labour in general nor physiologically equal labour constitute abstract labour, although they are its preconditions.'³

Then what is it that corresponds to Rubin's concept of immaterial abstract labour? To this question he gives the following answer: 'Abstract labour includes within it a determination of the *social form* of organisation of human labour.'⁴ To make clear this thesis, Rubin says in another place that the view which claims 'as if Marx saw in labour some metaphysical essence of value, its *material substance* so to say' is erroneous, since 'such a naturalistic view on the relation between labour and value is alien to Marx.'⁵ Physiological expenditure of labour power or the 'material substrate' of labour does not in this way enter

2 Greblis, Korovai, and Stepanov, 'On the Debatable Problems of the Theory of Value,' *Bolshevik*, no. 3, 1929, pp. 66–7 [p. 777 in the present translation].

3 I. Rubin, *Essays*, p. 153 [in the third edition. p. 187 in the present translation].

4 *ibid.*, p. 156 [p. 194 in the present translation. Emphasis in original].

5 I. Rubin, *Classical Authors of Political Economy*, p. 276 [*Classical Authors of Political Economy from the Seventeenth to the Mid-Nineteenth Century*, 1926. A collection of extracts, supplemented with Rubin's and other authors' comments and explanations].

into the concept of abstract labour; the latter includes within it a determination of the social form of labour, and that's all. True pupils and followers of Rubin give to the above question such an answer: 'Abstract labour appears as a social characteristic of labour, but not as its material substrate.'⁶

Thus, what corresponds in objective reality to the concept of abstract labour, according to Rubin, is not the physiological expenditure of human labour power in a certain social quality, in a certain social form, not the material substrate of labour with a certain form of sociality of labour internally inherent within it, but the social form of labour as such, the social form of labour without labour itself. Here we have arrived at the core of our disagreements with the author of *Essays*. We think that the social form of labour as such, i.e., the social form of labour without the material substrate of labour, is a fiction, a dummy, which exists only in Rubin's head. In the real world there is no social form of labour without labour itself; in the real world there exists a substantial social form of labour, including within it the physiological expenditure of human labour power as its material content, or, which amounts to the same, there exists physiological expenditure of human labour power in a definite social form. The social form of labour must not be understood as an empty, unsubstantial aethereal form, since there exists no such social form of labour in objective reality. On this point Marx gave completely clear and exact indications in Vol. 1 of *Capital*. 'This led to the rise of a restored mercantile system (Ganilh, &c.), which sees in value nothing but a social form, or rather the unsubstantial ghost (substanzlosen Schein) of that form.'⁷ Abstract labour, not including within it any physiological expenditure of human labour power and understood as an unsubstantial social form of labour, is nothing other than substanzloser Schein, i.e., a fiction, a dummy, devoid of any analogue in the external world corresponding to it. Rubin's error consists therefore in that he tears off form from content, so transgressing against dialectical logic. Hegel says as follows on the question of the interrelation between form and content we are now discussing.

'Matter includes form, as concealed in matter'.

'Form determines matter, and matter is determined by form'.

'Form and matter mutually presuppose one another'.

'What appears as a movement of form, is to the same extent the proper movement of matter itself'.⁸

⁶ *Bolshevik*, no. 3, 1929, p. 72 [p. 785 in the present translation].

⁷ [*Capital*, 1, p. 85, MEGA, II/6, p. 111].

⁸ Hegel, *The Science of Logic*, book II, pp. 52–3.

Lenin recapitulates this passage in *The Science of Logic*, making the following comments conveying concisely the essence of matter. 'Form is essential. Essence is formed. In one way or another also in dependence on Essence'.⁹ In another place, Lenin says: 'What Hegel demands is a Logic, the forms of which would be gehaltvolle Formen [forms filled with content], forms of living, real content, inseparably connected with the content.'¹⁰

If Rubin wants to be a dialectician, he must recognise that the social form of labour, essential in the real world, is not an empty but an 'essential' or substantial form, but from here unavoidably follows the conclusion that the concept of abstract labour must necessarily include within it the 'material substrate' of labour, i.e., physiological expenditure of human labour power in a certain social form, but not a social form of labour as such, i.e., a form of labour without labour itself.

The methodology of dialectical materialism notes a series of fundamental concepts, lying at the basis of the whole scientific understanding: form and content, quantity and quality, general and particular, and so on. For a materialist-dialectician, these categories, applied in every science, are common both to thinking and to being. The fundamental particularity of these categories is in the fact that neither of them cannot exist individually without the other opposite category: form without content, quality without quantity, general without particular, and so on.

The particular nature of these concepts is such that each of them requires its opposite as complement. These concepts are: being and becoming, form and content, substance and causation, quality and quantity, unity and plurality, finite and infinite, part and whole, continuity and discontinuity, universal and particular, essence and phenomenon, and so on.¹¹

Metaphysics presents two opposite determinations of one object, for example, form and content, usually as an abstract identity in which differences are lost, the completeness of content and the richness of concept – the reality – are reduced to one abstract principle and appear one-sidedly, one-footedly in a metaphysically distorted form. Such a precisely metaphysical error occurs also in the case where the researcher takes up only one of the opposite determinations, for example, form, individually and separately from content, and

9 Lenin, *Miscellany*, IX, p. 135 [Lenin, 'Conspectus of Hegel's Book *The Science of Logic*,⁹ *Collected Works*, fourth edition, vol. 38, p. 144].

10 *ibid.*, p. 39 [*ibid.*, p. 92].

11 Deborin, 'Marx and Hegel,' *Under the Banner of Marxism*, 1924, no. 3, p. 18.

attempts to lay down the actual reality into the Procrustean bed of this one-footed cerebral construction. 'Metaphysicians usually took up one aspect, say ... abstract form ... and in this way, arrived at some abstract principle, in which the whole reality would allegedly fit.'¹²

To exclude the physiological expenditure of human labour power from the concept of 'abstract labour', to see in it a contentless (devoid of 'material substrate') social form of labour, this also amounts to splitting metaphysically one 'aspect' from the whole, from the substance of labour. Lenin spoke of such a splitting of one of the aspects from the substance as follows:

Philosophical idealism is merely a nonsense from the point of view of rude, simple, metaphysical materialism. On the contrary, from the point of view of dialectical materialism, philosophical idealism is a one-sidedly exaggerated, *überschwängliches* [exuberant] (Dietzgen) development (inflation, distension) of one of the features, aspects, facets of knowledge to an Absolute, *divorced from matter, from nature*, apotheosised.¹³

Abstract labour without the material content of labour, reduced to the social form of labour is also nothing other than an 'aspect', split from matter and excessively inflating in Rubin's *Essays*.

Rubin's 'fligreed' interpretation replaces Marx's theory of the twofold character of labour producing commodities with a theory of the *threefold* character of labour. Marx distinguished: 1) concrete labour and 2) abstract labour, and understood by abstract labour the physiological expenditure of human labour power (content, quantity) in a definite social *form*, in a definite social *quality*, i.e., as a unity of form and content, quality and quantity.

Rubin distinguishes: 1) concrete labour, 2) physiological labour, and 3) abstract labour. Physiological labour is, according to Rubin, neither abstract labour nor concrete labour, it is a biological 'precondition' of abstract labour. It is not difficult to see that this theory of Rubin's on the threefold character of labour is the direct result of a metaphysical splitting of form from content, of quality from quantity, of one 'aspect' of labour from material content or 'material substrate' of labour.

Having separated a 'fragment' from the whole of the phenomena, having divorced it from matter, idealists inflate their 'tone', their 'fragment',

¹² *ibid*, p. 19.

¹³ Lenin, *Collected Works*, vol. XIII, p. 304.

undoubtedly enrooted in reality, to the size of the whole, to the size of the Absolute. But dialectical materialism understands very well that this 'fragment', when separated from the general connection and split from matter, will be *deprived of reality* and represent a barren bloom.¹⁴

Rubin thinks that he can retort the accusation of idealism with a *sentence*: I really recognise the objective existence of immaterial abstract labour, therefore I am a materialist.

Materialism does not at all consist in recognising the objective existence of a fiction, a 'fragment' of reality, divorced from matter and devoid of reality. Marxists call people who recognise the objective existence of fictions, i.e., ideas, Reason with a capital letter, and so on, idealists, not at all because ideas or reason do not exist in the objective real world, but because this 'aspect' or form of matter is divorced by idealists from its 'material substrate', from matter.

The social 'aspect' or social form of labour, represented as a contentless form, as form without 'material substrate' or content, without the physiological expenditure of human labour power, constituting the general attribute for all individual labours, is a 'fragment' of reality, divorced from matter, a 'barren bloom', devoid of reality, i.e., a fiction, an idealistic artifice.

The difference between concrete and abstract labour can be represented otherwise, as the difference between a particular and a general concept, or between a specific and a generic concept. Marx indicated that abstract labour is 'general', including within it a material content of each concrete labour, namely: the expenditure of human labour power in a physiological sense. 'Tailoring and weaving, though qualitatively different productive activities, are each a productive expenditure of human brains, nerves, and muscles, and in this sense are human labour.'¹⁵ The general, the generic does not exist without the particular, divorced from the particular. 'Every general is a particle or an aspect or essence of the individual.'¹⁶ However, the particularity of commodity society consists in the fact that labour of people is doubled, has two autonomous, individual existences, alienated from one another: one existence as concrete labour, in an infinite diversity of use values, and another existence as abstract labour, in the form of money. The general, the generic is distinguished from the particular, the specific. 'It is as if alongside and external to lions, tigers, rabbits, and all other actual animals, which form when grouped together the various

14 Deborin, 'Lenin on the Essence of Dialectics,' *Under the Banner of Marxism*, 1925, nos. 5–6, pp. 12–3.

15 [*Capital*, I, p. 51, MEGA, II/6, p. 77].

16 Lenin, *Collected Works*, vol. XIII, p. 303.

kinds, species, subspecies, families etc. of the animal kingdom, there existed also in addition *the animal*, the individual incarnation of the entire animal kingdom.¹⁷ Therefore, Marx says also that abstract universality of labour in commodity society represents an 'inversion', which also makes it particularly difficult to study social labour in commodity society. 'This inversion, owing to which the sensuous concrete appears only as a form of manifestation of the abstract universal, but not the converse, the abstract universal as a particularity of the concrete, characterises the expression of value and makes it particularly difficult to understand.'¹⁸

In fact, the 'general' exists within the 'individual', social labour time is included within individual labour, as Marx says, in a hidden form, and manifests itself only in the process of exchange. 'The point of departure is not the labour of individuals considered as social labour, but on the contrary the particular kinds of labour of private individuals, i.e., labour which proves that it is universal social labour only by the supersession of its original character in the exchange process.'¹⁹ The 'general' exists separately from the 'particular' only in this *manifestation* through exchange of the social character of individual labour, only in this inverted, fetishistic, irrational appearance. Marx's greatest merit is that he reduced the two autonomous, alienated existences of labour to a unitary labour, understood as the unity of opposites, as the unity of concrete and abstract labour, and externally expressing its opposite aspects in the autonomous existence of abstract labour in money, and of concrete labour in commodities.

Let us turn now to the consideration of how Rubin interprets the difference between concrete and abstract labour. Rubin thinks that concrete and abstract labour 'do not represent a specific and generic concept of labour, but rather an investigation of labour from two points of view: the material-technical and the social.'²⁰

Here every Marxist naturally feels extremely perplexed. If these two opposite points of view explain the difference between concrete and abstract labour, and if the whole of Marx's theory is based on the theory of the twofold character of labour, it will seem in the highest degree strange why Marx never and nowhere spoke about the contrast between the social and *material*-technical points of view. This perplexity is however cleared away very rapidly. Rubin shows us the difference between the *material*-technical and social points of

17 [Capital, first edition, English version, p. 27, MEGA, II/5, p. 37].

18 [Allegedly quoted from the first edition of Capital, I, but locus citato unidentified].

19 [Critique, p. 286, MEGA, II/2, p. 123].

20 Essays, p. 156 [p. 190 in the present translation].

view, clarifying the contrast between use value and exchange value. He says: 'The contrast between them arises from the contrast between the method of natural science studying a commodity as a thing and the sociological method studying the social relations of production 'intertwined with a thing'.'²¹ Now the secret is revealed. The contrast between the material-technical and social points of view arises from the contrast between the natural-scientific and sociological methods.

We cannot but be grateful to Rubin for this frankness, rare for him, making clear so much of his 'original' position in the interpretation of abstract labour. The essential point is that the contrast between the natural-scientific (causal, real causative) and sociological (cultural-scientific, historical) methods is advanced by Rickert and all neo-Kantians. According to Rickert, the nature, the world of material things, processes, and phenomena is understood by means of the natural-scientific method, but social phenomena, the world of subjects, the world of ideal relations, are studied by means of the sociological method. The contrast between these two methods arises from the contrast between matter and soul. The world of nature is, in Rickert's theory, ahistorical: here one and the same laws eternally govern. To this material and ahistorical world is contraposed the historical and immaterial object of social science. The social is for neo-Kantianism ghostly, ideal, opposed to the material or material-technical: this is either norms of external regulation like custom, conventions, law (Stammler), or a certain order in social life, conditioned by the degree of categorical imperative (Rickert), or psychic experience of the economic subject (Böhm-Bawerk).

For Rubin too, a profound abyss lies between the social and the material, these are for him irreconcilable concepts: the material is asocial and ahistorical. In the interpretation of abstract labour, he displays therefore the following dilemma: he must either recognise that abstract labour is a social and historical category, and that then it cannot be material; or he must agree that abstract labour is material, and that then it will not be a social and historical category.

Either—or, *tertium non datur* [law of the excluded middle].

[O]ne of the two: if abstract labour represents an expenditure of human energy in the physiological sense, then value also has a reified-material character. Or else value is a social phenomenon, in which case abstract labour must also be understood as a social phenomenon, connected with a definite social form of production. It is impossible too to reconcile the

21 Ibid., p. 38 [p. 52 note 6 in the present translation].

physiological understanding of abstract labour with the historical character of the value created by it. The physiological expenditure of energy as such remains the same in all historical epochs and, one might say, it created value in all epochs.²²

Of course, in Marx there is nothing similar to such a neo-Kantian contraposition of two methods: the natural scientific method for the investigation of the material world, the world of nature, and another, sociological method 'opposed' to it for the investigation of social facts. Marxism follows the *unitary* method of dialectical materialism both in the investigation of things, objects, phenomena of nature, and in the investigation of society. 'The evolution of the economic formation of society is viewed as a process of natural history', says Marx in the Preface to [the first edition of] Volume I of *Capital* [*Capital*, I, p. 21, MEGA, II/6, p. 68]. Marx said regarding the process of thinking for example that 'the process of thinking is a natural process' [locus citato unidentified]. Marxism considers social life as a particular form of the movement of matter and does not oppose the social to the material, since the social is also material. The particular form of the movement of matter conditions the particular regularity of social life, distinguished from the laws, say, of physics and chemistry and irreducible to them. The Marxist can and must distinguish the social regularity from the biological, chemical, physical regularity, but he cannot oppose the natural scientific method to the sociological method, since the Marxist has not two methods but one, namely the method of dialectical materialism. The neo-Kantian eclectics have two methods: one is the natural-scientific method for studying matter, and another is the sociological method for understanding the soul, the subject, ideal social relations. In Marx, the 'reconciliation' of the social, the historical with the material, impossible for all neo-Kantians, unavoidably arises entirely from the identity or unity of two opposites, subject and object, matter and soul. This is impeccably expressed in the following words of Plekhanov: 'I am at the same time subject and object.' 'The outer world, the objective world, does not exist only outside me, but also within me, inside my own skin. Man is only a part of nature, a part of being.'²³

It is highly instructive in this case to compare the points of view of Rubin and Petry. Petry, as an authentic neo-Kantian, cannot recognise labour as a manifestation of human activity as an object of the external world, as a material

22 Ibid., p. 150 [pp. 185–6 in the present translation].

23 Plekhanov, *Fundamental Problems of Marxism*, pp. 18 and 20 [ibid., International Publishers, New York, 1929, pp. 9, 11.].

essence, and he cannot recognise the social relations of people as the relations of people as material essences, as objects of the external world, for the reason that such an interpretation of social 'would reconcile' the social with the material, but neo-Kantian sociology is afraid of matter as damn incense. Petry says: 'What is expressed in the social relations of production is not the *real*-causal relations of things or people as *objects of the external world*, but the *ideal* relations of people as *subjects*.'²⁴ Naturally, for Petry the concept of labour also cannot include within it any 'material' substrate. Petry asserts that 'Marx understood labour in material production as an absorption of moral personality',²⁵ but not as a physiological expenditure of human labour power. For neo-Kantianism, the social is absolutely contraposed to nature, to matter: between them there is nothing in common. Petry cannot admit that social abstract labour is a social form, including within it *material* content, i.e., physiological labour expenditure, since then the whole of his sociology would collapse. In Petry's opinion, concrete and abstract labour are not specific and generic concepts, but an investigation of labour from two distinct points of view: the material-technical and the social. We read in his text: 'The universality of labour is not a natural scientific *generic* concept, including within it only general physiological content; on the contrary, it is abstract universal, and hence the social labour of private individuals reveals the activity of right subjects'.²⁶

For Petry labour is not the unity of opposites, but of two halves. Concrete, physiological, in short material labour belongs to the world of nature and is a natural-scientific concept. 'Labour, insofar as considered only in its technical role, as a creator of use values, appears only as one of the coordinated factors of production along with capital as the instrument of production; as a force of nature, it is only a natural force of the human organism'.²⁷ Abstract or social labour in Petry does not, of course, express human activity as an object of external world, as materially existing, does not belong to the world of nature, does not include within it any material content. 'But we consider labour and its product in an utterly different aspect, as far as we consider it as the substrate of the social relations of production (ideal, of course – *M. S.*), as abstract universal labour'.²⁸

24 Petry, *The Social Content of Marx's Theory of Value*, p. 29 [Franz Petry, *Der Soziale Gehalt der Marxistischen Werttheorie*, Jena, Verlag von Gustav Fischer, 1916].

25 *ibid.*, p. 38.

26 *ibid.*, p. 46.

27 *ibid.*, p. 44.

28 *ibid.*

We see the same in Rubin's understanding of the difference between concrete and abstract labour. Rubin is solidary with Petry on the decisive point, that labour, as far as it appears as social labour, or, in Petry's words, 'labour, as far as it assumes definite social forms', does not include within it any material. Material is, according to Rubin, concrete labour, and also physiological labour, but social or abstract labour for Rubin does not include within it, in the same way as for Petry, any material content. Rubin says:

Marx's statement that value is created not by concrete but by abstract labour will not be at all helpful for us if we understand the latter in a physiological sense, as do the majority of researchers. Indeed, such 'abstract labour' belongs entirely to the world of nature, distinguishing itself from concrete labour by a minimum number of features. For such an understanding, abstract labour is in relation to concrete labour as is a generic to a specific concept. For the generally accepted understanding of abstract labour as labour expenditure in a physiological meaning of the word, a naturalistic treatment of Marx's theory of value is inevitable.²⁹

Here the fish, to use Marx's words, gets firmly caught.

Rubin metaphysically separates labour into two parts having nothing in common between each other. Concrete labour is material, belongs to the world of nature, appears as a naturalistic category, while abstract labour is not material and appears as a social category. The neo-Kantian contraposition of the natural-scientific to the sociological method, of the material to the social, emerges here with utter evidence. It is completely clear that no Marxist can agree with such a neo-Kantian interpretation of the difference between concrete and abstract labour. It is sufficient enough to juxtapose the statements of Marx and Rubin to see how Rubin distorts Marx's theory. According to Marx, 'on the one hand all labour is, speaking physiologically, an expenditure of human labour power, and in its character of identical abstract human labour, it creates and forms the value of commodities' [*Capital*, I, p. 53, MEGA, II/6, p. 79]. According to Rubin, the understanding of abstract labour as 'labour expenditure in the physiological sense of the word' means a 'naturalistic' interpretation of value. It turns out that the 'naturalistic' interpretation of value is given by Marx himself. In the opinion of Rubin, Marx's indication that abstract labour is the expenditure of labour power in the physiological sense does not help us, since 'such an abstract labour belongs entirely to the world of nature, distin-

29 *Essays*, second edition, pp. 107–8 [p. 220 in the present translation].

guishing itself from concrete labour by a minimum number of features.' But Marx says something entirely different.

Labour as the foundation of value is not any particular labour, with particular qualities. Ricardo continuously confuses the labour which is represented in use value and that which is represented in exchange value. It is true that the latter species of labour is only the former species expressed in an abstract form.³⁰

Marx's idea is clear: abstract labour is the same concrete labour, appearing in abstract form, i.e., the same concrete labour only with a smaller quantity of features. Rubin, conversely, submits this idea to the severest criticism, seeing in it a 'naturalistic' interpretation of the social. The materialist-dialectician Marx and the neo-Kantian debunker of the 'naturalistic' interpretation of social categories occupy, as we see, directly opposite positions.

The abstraction from the concrete expedient form of labour does not at all mean an abstraction from the material content of labour; this abstraction *reveals*, on the contrary, the material content of labour. If we abstract not only from the concrete forms of sensuous human activity, but also from its material content, then what remains for us is only an empty social form, a 'barren bloom devoid of reality', nihil, a fiction. Abstract labour is a materialistic category, since in its content it is the objectively existing sensuous activity of living material human existence as a part of nature, abstracted from the concrete expedient form of this activity, i.e., the expenditure of human labour power in the physiological sense in its historically definite social quality.

We can find in Marx more than a few statements testifying to the fact that he understood abstract labour as an 'objectivity', 'as a thing', as a matter sui generis: 'Let us now consider the residue of each of these products; it consists of the same *ghostly objectivity* (gespenstige Gegenständlichkeit) in each, a mere congelation of homogeneous human labour, of labour power expended without regard to the mode of its expenditure.'³¹ For Marx, abstract labour is an 'objectivity', a particular kind of matter, which he calls 'ghostly'. We can understand why. The objectivity of labour represents itself (sich darstellt) as the body of a commodity, as its physical rudest objectivity. Therefore, abstract labour also never manifests itself otherwise than by means of abstraction of all material properties of a commodity. In abstracting from the palpable objectiv-

³⁰ [Theories, 2, pp. 325–6, MEGA, II/3.4, p. 1325].

³¹ [Capital, I, p. 46, MEGA, II/6, p. 72. Emphasis added].

ity of the body of a commodity, we acquire the social substance of a commodity, a ghostly objectivity, a coagulation of abstract labour, intangible with one's hands. On this point Marx says as follows: 'Any objectivity of human labour which is itself abstract (i.e., without any additional quality and content) is necessarily an abstract objectivity – a *thing of thought*.'³² The abstract character of this objectivity does not in any way mean its immateriality. The abstract concept of a 'dog' or 'dog in general' is also a 'ghostly objectivity', nonetheless it is a materialistic category, since it is an 'aspect' or 'essence' of the actual reality, of all the concrete dogs, a generic concept, the unity of form and material content of objective reality.

But for Rubin abstract labour is not a generic concept, but a simple contentless form.

Marx uses equally the word 'matter' to designate abstract labour. We find in *Capital* the following passage: 'When they assume this money-shape, commodities strip off every trace of their natural use value, and of the particular kind of labour to which they owe their creation, in order to transform themselves into the uniform, socially recognised materialisation of homogeneous human labour.'³³ What is the matter of abstract labour composed of? To this question Marx gives an entirely unambiguous answer. 'All labour is, *speaking physiologically*, an expenditure of human labour power, and *in its character* (in dieser Eigenschaft) of identical abstract human labour, it creates and forms the value of commodities.'³⁴ 'Tailoring and weaving, though qualitatively different productive activities, are each a productive expenditure of human *brains, nerves, and muscles, and in this sense* (in diesem Sinn) are human labour.'³⁵

To express an idea more clearly is impossible!

Labour forming commodity value is a 'revelation of the *activity of people as a legal subject*' or an 'absorption of moral personality' – Petry thinks like this.³⁶ Labour forming value is sensuous material human activity, the expenditure of human labour power in the physiological sense, not an idealistic dummy – Marx thinks like this. The reader can see whom Rubin follows after, Petry or Marx.

A human being is an object of the external world, of material existence. Human labour power is a bodily, sensuous power of a living human organism.

32 *Capital*, vol. I, 1872 [67], p. 14 [17] [*Capital*, first edition, English version, p. 19, MEGA, II/5, p. 30. Emphasis in original].

33 [*Capital*, I, p. III, MEGA, II/6, p. 134].

34 [*ibid.*, p. 53, II/6, p. 79].

35 [*ibid.*, p. 51, II/6, p. 77. Emphasis added].

36 Petry, *ibid.*, p. 39 [?].

The spending or expenditure of human labour power means therefore nothing other than spending of his bodily, organic, physiological powers, muscles, nerves, brains, hands, and so on. It is not difficult to understand that, insofar as Marx understands by abstract labour the spending of human labour power, but not some 'absorption of moral personality', he means hereby precisely the physiological expenditure of labour power, since there cannot be any other unphysiological expenditure of labour power.

We have now arrived at the point which came under the heaviest fire from the side of Rubin and his followers. First of all, Rubin tries by every possible means to belittle the importance of the decisive formulation of Marx's we have quoted above (and there exist very many of similar formulations in Marx) to the effect that abstract labour is the expenditure of human labour power in the physiological sense. In expressing 'regret' that Marx introduced this formulation in the second edition of *Capital*,³⁷ he inspires the reader with the idea of 'the preliminary determinations given by Marx in the first pages of his work' and so on.³⁸ In 'regretting' that Marx, as if foreseeing that there would be interpreters of him similar to Rubin, introduced this formulation with an emphasis on the materiality of labour forming value, Rubin can do whatever pleases him. As for the alleged 'preliminary determinations given by Marx in the first pages of his work', we must retort upon this fable in a most decided manner. Marx did not say anywhere that in the first chapter of Volume I of *Capital* he gave incomplete, insufficient, 'preliminary determinations' of abstract labour. Marx could not give somehow 'preliminary determinations' on the most responsible point, having according to his own declaration the central importance for a correct understanding of the fundamental problems of political economy. Let us turn, however, to the direct argumentation of Rubin in defence of the proposition that the expenditure of labour power in the physiological sense does not enter into the concept of abstract labour. Rubin thinks that the expenditure of human labour power in the physiological sense is a naturalistic, asocial category, and therefore arrives at the conclusion that 'for the generally accepted understanding of abstract labour as labour expenditure in a physiological meaning of the word, a naturalistic treatment of Marx's theory of value is *inevitable*.'³⁹ Drawing a quotation from Kautsky, determining labour as 'the productive expenditure of human labour power in general', Rubin declares,

37 *Essays*, second edition, p. 110 [p. 196, note 27 in the present translation].

38 *Essays*, third edition, p. 150 [p. 220 in the present translation].

39 *Essays*, second edition, p. 108 [p. 220 in the present translation. Emphasis added].

that 'determined in this way, the concept of abstract labour is a *physiological* concept, devoid of all social and historical elements.'⁴⁰ If the concept of the expenditure of human workforce has not any social elements, there cannot be any difference between the expenditure of human labour power and, say, that of a horse, these expenditures being identical as asocial, naturalistic categories. But in fact they are profoundly different. This difference is contained within the fact that human labour or the expenditure of human labour power is a social fact, a social matter, whereas the expenditure of the labour power of horses is a fact which is not social but biological and physiological. The expenditure of human labour power is produced by a *member of society, in society, for society*, and therefore cannot be reduced to a physiological, asocial concept. Rubin as well as Petry loses sight of this circumstance and reduces the expenditure of human labour power to a physiological concept, deprived of every social element. Expending his muscles, nerves, brains, and so on, man thereby relates himself to society, with the spending of his labour power connecting himself with the social whole, the physiological labour function of man is at the same time his *social activity, materially connecting* him to society.

The expenditure of human labour power for society is also what constitutes the material labour alliance of a given man with all the remaining members of society, producing together their life. Marxism considers the social alliance of people precisely as a material labour alliance, and not as a psychic, ethical, juridical, or otherwise purely ideal alliance. Of course, each socio-economic formation has a particular form of this alliance, but we already know that according to Marx the form of sociality of labour in itself, taken divorced from the material content of labour, is only an 'unsubstantial appearance', 'substanzloser Schein', an entirely empty abstraction. For Marx nothing is more absurd than Rubin's denial of the social quality in human labour activity, which is in accordance with its material content a spending of the bodily, i.e., the physiological powers of the human organism. Here the close connection of the social with the material consists precisely in the fact that the *material, sensuous act* of the productive expenditure of human muscles, nerves, brains, and so on is at the same time a *social act*, materially connecting a man with other members of society – who in turn relate equally to him *materially and socially* in spending productively their labour powers, i.e., their muscles, nerves and so on, for creating products necessary for this individual. If we consider the physiological

40 *Essays*, third edition, p. 146 [pp. 181, 209 in the present translation. Emphasis in original].

expenditure of human labour power as an asocial phenomenon, there will not be any difference between the 'labour' of wind, water, sea waves, horses, and man. All of these will be the asocial material action of objects of the external world, of forces of nature, and that's all.

Political economy knows the attempt of Tugan-Baranovsky to consider social production as a purely physical process, in which iron is necessary for the production of coal, and coal for the production of iron. but this process has nothing to do with people and their needs, and this attempt was unanimously ridiculed and refuted by all Marxists as the most evident nonsense. Equally nonsensical is to consider the physiological expenditure of human labour power as an asocial fact, as a phenomenon lying outside the sphere of the social sciences, as a physiological concept in general. The natural sciences study the expenditure of the physiological forces of the human organism *from their point of view*; they disclose (with the aid of the dialectical materialist method!) the particular purely physiological regularity of the processes taking place in the human organism. Social sciences like political economy consider (equally with the aid of the dialectical materialist method!) the expenditure of human labour power as the material content of social labour. This discloses the material character of the social alliance of people and places the whole investigation of social economic phenomena on the sole possible, sole correct materialistic basis. This ensures in particular the possibility of the quantitative expression of social concepts, for example, social labour. But aethereal fictions, empty idealistic abstractions, like immaterial abstract labour, cannot have any quantitative expression.

The idealist Petry agrees with Rubin in that the physiological expenditure of human labour power, as a real-causal phenomenon of the external world, is a non-social fact, lying outside the domain of the social sciences. Petry sees a particular 'anthropocentric prejudice' of Marx's in that Marx separates the material, real-causal phenomenon, i.e., the physiological expenditure of human labour power, from the other real-causal phenomena of the external world as something completely peculiar, as a *social* fact, as a phenomenon belonging to the domain of the social sciences. The neo-Kantian idealist can in no way understand why the real-causal phenomenon of the external world, i.e., the physiological expenditure of human labour power, is related by Marx to the world of social phenomena, since social phenomena are for Petry phenomena from the world of every kind of ideal relations of subjects, investigated with the sociological method, while material facts are studied, from Petry's point of view, with the natural-scientific (real-causal) method and lie in the domain of the natural sciences. Rubin too cannot understand the fact that the physiological expenditure of human labour power lies in the domain of the

social sciences, that there is not any 'anthropocentric prejudice' among Marxists, that the physiological *expenditure* of *human* labour power is a *social* fact as distinct from the physiological expenditure of the labour power of donkeys, horses, and so on.

For social science, the physiological expenditure of human labour power only exists also in a social significance and quality. From here it follows, first, that we must not reduce abstract labour to a 'physiological concept' in general, since this would mean an identification of social with asocial fact; and second, that the reduction even of the physiological concept in general to 'mechanical labour' is just as inadmissible, since this would mean an identification of physiological with unphysiological fact, with the 'labour' of steam hammers, tractors, wind, waterfalls, and so on.

But Rubin is solidary with Petry in thinking that to acknowledge abstract labour as the expenditure of labour power in the physiological sense inevitably amounts to seeing within it allegedly the physiological concept in general, and to acknowledging in addition its reducibility to mechanical labour. *Precisely for this reason Rubin also refuses to include within the concept of abstract labour the expenditure of human labour power in the physiological sense, and tries to give a particular, purely sociological, and immaterial interpretation of abstract labour.*

Marx's view on this point is entirely different. Marx was a materialist-dialectician and therefore he could in no way identify the *qualitatively* distinct concepts: 1) *social* human physiological labour expenditure, 2) the physiological concept in general, and 3) mechanical labour.

It was only vulgar materialists, rude mechanists, who thought, like Struve and Rubin, solidary with him in this case, that the recognition of abstract labour as the expenditure of human labour power in the physiological sense *would inevitably lead* to the view that abstract labour is a physiological concept in general, reducible to mechanic labour.

The social is material, but this is a particular form of matter, within which is inherent a particular *quality*, a particular form of motion, a particular regularity of development. Only vulgar materialists, rude mechanists, can reduce the social human expenditure of labour power in the physiological sense to a physiological concept in general, and this concept to mechanical labour, and besides regard this reduction as *inevitable*, since this amounts to ignoring *two irreducible qualities*: 1) the social quality, excluding the identification of social physiological human labour expenditure with a 'physiological concept', and 2) the organic quality, excluding the identification even of the physiological concept in general (the labour of horses) with mechanical labour.

The following is what Engels, materialist-dialectician, says about the reduction of physiological human labour to mechanical labour:

In some places there even appears to be not a little desire to re-import the thermodynamical category of work back into political economy (as with the Darwinists and the struggle for existence), the result of which would be nothing but nonsense. Let someone try to convert any skilled labour into kilogramme-metres and then to determine wages on this basis! Physiologically considered, the human body contains organs which in their totality, *from one aspect* (Engels's emphasis – *M. S.*), can be regarded as a thermodynamical machine, where heat is supplied and converted into motion. But even if one presupposes constant conditions as regards the other bodily organs, it is questionable whether physiological work done, even lifting, can be at once fully expressed in kilogramme-metres, since within the body *internal* (Engels's emphasis – *M. S.*) work is performed at the same time which does not appear in the result. For the body is not a steam-engine, which only undergoes friction and wear and tear. Physiological work is only possible with continued chemical changes in the body itself, depending also on the process of respiration and the work of the heart. Along with every muscular contraction or relaxation, chemical changes occur in the nerves and muscles, and these changes cannot be treated as parallel to those of coal in a steam-engine. One can, of course, compare two instances of physiological work that have taken place under otherwise identical conditions, but one cannot measure the physical work of a man according to the work of a steam-engine.⁴¹

In Marx also, who determines abstract labour as the expenditure of human labour power in the physiological sense, we cannot find anywhere a single word about kilogramme-metric or thermal units or about any other physical measures of abstract labour. For Marx the quantitative characteristic of abstract labour could not be founded on such a reduction of physiological labour expenditure to physical units, since Marx was not a mechanist. Marx's quantitative characterisation of abstract labour is based on the fact that such a reduction is impossible and absurd, that human labour has its immanent innate measure:

'It is possible to compare two physiological labours between them, taking place *ceteris paribus*' – this is the proposition lying at the basis of Marx's quantitative characterisation of abstract labour. Marx considers as the measure of

41 [Engels, *Dialectics of Nature*, MECW/25, pp. 586–7, MEGA, I/26, p. 539]. Cf. also Engels's view on the new discovery of Podolinsky: 'To express economic conditions in terms of physical measures is, in my view, a sheer impossibility' [Engels's letter to Marx of 19 December 1882, MECW/46, p. 411, MEW/35, p. 134].

abstract labour the expenditure of labour power in the physiological sense of such a *duration* as is necessary under the *socially normal conditions of production*, with an average dexterity and intensity of labour. He calls such a physiological expenditure of labour power socially-necessary labour.

The physiological expenditure of human labour power is a social fact, therefore its quantitative characterisation must also be given *from a social point of view*. Rubin advances the social point of view to characterise social labour only qualitatively. Marx gives the quantitative characterisation of abstract labour equally from the social point of view. If Marx were a vulgar materialist, if he reduced abstract labour to the physiological concept in general, he would evidently advance some *purely physiological measure* of abstract labour, for example, a physiological expenditure of labour power of the physiologically average, physiologically normal organism (average height, average weight, average heartbeat, average lung capacity, and so on). But Marx considers abstract labour, i.e., the expenditure of labour power in the physiological sense, in its social quality, in its social significance, not as physiological concept in general. Therefore, the criterion for measuring the physiological labour expenditure is social for him. Different physiological expenditures of labour power are compared among them, not in the quantity of physiological energy spent by a labourer per unit of product, but in their *social result*. Shoemakers can be physiologically diverse: one may be tall, athletic, and with high muscular strength, another puny and weak. They would spend unequal quantities of *physiological* energy, but the *social* result would be *alike*: a pair of shoes of the former is equal to a pair of shoes of the latter. If the latter worked in the *socially normal conditions of production*, the physiological expenditure of the labour power of the former for society, i.e., from the point of view of its social result, would represent the same as the physiological expenditure of labour power of the latter. Different physiological expenditures of labour power lead, so to say, to one denominator from the point of view of their social result. If the physiological expenditure of human labour power during ten hours is socially necessary for the production of a pair of shoes, the individual differences of all other physiological expenditures of labour power, five hours or 15 hours, are levelled off for the society; they represent ten hours' physiological expenditure of human labour power according to their social result.

The socially-necessary duration of physiological expenditure of labour power, or, what is the same, the physiological expenditure of labour power of socially-necessary duration, is the socially-necessary labour time, which is the measure of abstract labour. Labour time is not an incorporeal time, so to say. Labour time is the duration of productive expenditure of labour power, is the time in

the course of which man spends his muscles, nerves, brains, and so on. Consequently, labour time and the physiological expenditure of labour power of a certain duration is one and the same thing. For Marx, the 'quantity of labour', 'labour time', the 'duration of physiological expenditure of labour power', these expressions have one and the same completely identical meaning. In view of the fact that Rubin has his particular, 'original' view, we are obliged, also concerning this utterly clear and indisputable question, to draw the following quotation from Volume I of *Capital*, showing that Marx used these words as completely equal designations of one and the same concept.

The mystical character of commodities does not originate, therefore, in their use value. Just as little does it proceed from the nature of the determining factors of value. For, in the first place, however varied the useful kinds of labour, or productive activities, may be, it is a physiological *fact*, that they are functions of the human organism, and that each such function, whatever may be its nature or form, is essentially the *expenditure of human brains, nerves, muscles, &c.* Secondly, with regard to that which forms the ground-work for the quantitative determination of value, namely, the *duration of that (!) expenditure* (die Zeitdauer jener Verausgabung), or the *quantity of labour* (indeed how Marx was a 'vulgar naturalist' – M. S.), it is quite clear that there is a palpable difference between its quantity and quality. In all states of society, the *labour time* that it costs to produce the means of subsistence, must necessarily be an object of interest to mankind, though not of equal interest in different stages of development.⁴²

We have drawn a quotation from the section on commodity fetishism, devoted to the *content* of value. The content of value is the physiological expenditure of human labour power, not giving rise to the mystical character of commodities. This aspect gives a quantitative characterisation of abstract labour, and thereby determines also the magnitude of value. The quantity of labour is for Marx a certain duration of the expenditure of human labour power or, in other words, of labour time. Precisely because labour time is not an ethereal time, but represents the physiological expenditure of labour power of a certain duration, it is also an innate measure of material human labour, i.e., of the physiological expenditure of labour power. Measure and measured cannot be non-identical

42 [*Capital*, I, p. 76, MEGA, II/6, p. 102. Emphasis, exclamation mark added].

in their material content: 'Just as motion is measured by time, so is labour by *labour time* ... It is the living quantitative aspect of labour as well as its inherent measure.'⁴³

From Rubin's point of view the problem of the quantitative characterisation of abstract labour must be raised 'originally' in the highest degree. We can even say that the solution of this problem is the most curious part in his book. Here all his errors appear, so to say, in a most concentrated form. There is nothing surprising in this. Indeed, the abstract labour of Rubin is immaterial; it is an aethereal category, an idealistic dummy. A quantitative determination presupposes some 'matter', some real content. Naturally, Rubin must on precisely this point dodge with every means in order to characterise quantitatively something invested with no quantity, no matter, no content. Let us suppose two commodities before us: A and B. We want to know, what does the equivalence of a certain quantity of commodity B to a certain quantity of commodity A mean? According to Marx, this problem can be solved without particular puzzles: the equality of a certain quantity of commodity B to a certain quantity of commodity A is the equality of two quantities of abstract labour, two quantities of labour time. From Rubin's point of view this had to appear completely differently. Abstract labour does not include within it any physiological expenditure of labour power ('not an atom of matter'). Rubin says to us that abstract labour includes within it one feature: the connectedness of commodity producers in exchange.⁴⁴ In other words, abstract labour is the relation of production among commodity producers.⁴⁵ Here we must keep in view that this relation of production is too, according to Rubin, evidently immaterial, since otherwise abstract labour would include within it some matter. In this way, the problem must somehow be raised according to Rubin in such a form: what quantity of immaterial social connectedness in commodity B is equivalent to a certain quantity of the ideal relation of production in commodity A?

And this nonsense is the sole possible formulation of the problem of the quantitative aspect of value from the point of view of the immaterial abstract

43 [Critique, pp. 271–2, MEGA, II/2, pp. 109–10. Emphasis in original].

44 'Abstraction from concrete kinds of labour as the basic social relation among individual commodity producers, this is what characterises abstract labour.' *Essays*, p. 159 [p. 192, 213 in the present translation. Emphasis in original but not reproduced in Saigushkin's quotation].

45 'What we call 'labour' or more exactly abstract labour is the relation of production itself among commodity producers.' *Essays*, second edition, p. 112 [p. 226 in the present translation].

labour of Rubin. Precisely such a formulation of problem unavoidably follows from his theory; no other formulation can be given, when standing on his point of view.

Rubin *has no right* to measure abstract labour with labour time, since this measure is a material measure, labour time being not an aethereal appearance but a definite duration of a real material process, i.e., the productive spending of the physiological forces of the human organism. *Indeed, in fact, there cannot be any duration of a material process without this process itself!* Thus, labour time is a material measure, but the abstract labour of Rubin is immaterial. To measure the immaterial abstract labour of Rubin with a material measure, i.e., labour time, is quite equal to determining the ancientness of the town of Moscow with cubic metres.

There is no escape from the dead end in which Rubin gotten stuck by the fatal juxtaposition of the social to the material, and Rubin himself is unaware that, every time when he has recourse to such a material measure as labour time (the duration of physiological labour expenditure) in order to determine quantitatively his immaterial abstract labour, he introduces *as a smuggler* the physiological interpretation of abstract labour. The neglect of 'matter' in human labour thus revenges itself. After it has been solemnly expelled according to all the rules of Rickert's methodology, to the shame and disgrace of its 'persecutor' it must be *smuggled* by his own hands into the concept of abstract labour.

In Rubin there is still another argument against the physiological interpretation of abstract labour, coming down to the irreconcilability of the physiological or material character of abstract labour with its historical character. Rubin says:

It is impossible too to reconcile the physiological understanding of abstract labour with the historical character of the value created by it. The physiological expenditure of energy as such remains the same in all historical epochs and, one might say, it created value in all epochs. We would arrive at a crudest understanding of the theory of value, in sharp contradiction to Marx's theory.⁴⁶

This argument of Rubin's is unsustainable, above all because the social matter, i.e., the expenditure of the labour force of a member of society, presupposes

46 *Essays*, p. 150 [pp. 184–5 in the present translation].

a definite social *quality*, a historically determined form of social labour. In the social labour of the spontaneous exchange economy, a specific form of sociality is inherent, i.e., the fact that labour appears as social in abstract form. The social labour of exchange society is abstract not because abstraction from concrete kinds of labour occurs in the mind of the economist. On the contrary, this abstraction is carried on independently of him, in the objective social reality. The exchange of commodities in accordance with the quantity of human labour spent on their production is also a process of abstraction from concrete kinds of labour objectively going on. Marx says:

This reduction (of various kinds of labour to homogeneous labour – *M.S.*) appears to be an abstraction, but it is an abstraction which *is made every day in the social process of production*. The conversion of all commodities into labour time is no greater an abstraction, and is no less real, than the resolution of all organic bodies into air.⁴⁷

In exchange society, social labour appears as social only in abstract form. The abstract character of social labour, existing objectively, is also its specific form of sociality: 'The standard of 'socialness' must be borrowed from the nature of those relationships which are proper to each mode of production, and *not from conceptions which are foreign to it*.'⁴⁸ This form also characterises abstract labour as social labour of a particular kind, i.e., characterises it historically as labour forming value.

In this way, Rubin's argument on the impossibility of reconciling the physiological interpretation of abstract labour with the historical character of the value formed by it fails.

But it is unsustainable also according to other considerations. Rubin's assertion that the 'physiological expenditure of energy as such remains the same in all historical epochs', seems to us equally erroneous. Human labour power in different epochs of social life is different: under the domination of manual labour the prevailing spending of muscular force is characteristic, and in the contemporary stage of development of technique, with the tendency generally inherent to it to obliterate more and more the border between physical and intellectual labour, the cerebral labour, the neural strain of the labourer acquires a growing importance. Marx pointed out this utterly decisive circumstance. In *Critique of Political Economy*, he gives the following formulation, in

⁴⁷ [*Critique*, p. 272, MEGA, II/2, p. 110. Emphasis added].

⁴⁸ *Capital*, 1872 [67], p. 26 [32] [*Capital*, first edition, English version, p. 32, MEGA, II/5, p. 42. Emphasis added].

which these moments, 'irreconcilable' according to Rubin, and the historicity of the physiological expenditure of human labour power are recognised.

[T]he labour embodied in exchange values could be called human labour in general. This abstraction, human labour in general, *exists in the form of average labour* which, in a given society, the average person can perform, *productive expenditure of a certain amount of human muscles, nerves, brains, etc.* It is *simple labour* which any average individual can be trained to do and which in one way or another he has to perform. The characteristics of *this average labour* are *different in different countries and different historical epochs*, but in any particular society it appears as something given.⁴⁹

Abstract labour includes within it not only content, but also a specific form of sociality inherent in it. If we think that content does not change, is homogeneous in all epochs, it will become impossible to understand why the form of sociality of labour changes. The physiological expenditure of labour force is only an aspect of material production. Change in material production brings about with it a change also in this aspect of it. Each epoch is characterised by a particular stage of intensity of labour, a particular proportion in the role of intellectual and physical labour, duration of labour, a particular distribution of labour time, and so on. Content is historical as much as form is. Therefore, there is no reason to agree with Rubin's opinion on the 'irreconcilability' of these moments. We can speak about the 'transhistorical' character of the expenditure of labour power only in the sense that man remains man in all the epochs of history, and is not transformed into a different natural species, into some 'superman'; in the space of time of a thousand years he is entirely of the same bodily organs, of one and the same natural constitution. The physiological expenditure of human labour power maintains its specific difference from all the other physiological expenditures, and in this sense remains 'transhistorical' and appears as a general trait of all kinds of social labour.

Rubin's error with regard to the 'irreconcilability' of the physiological character of abstract labour with its historical character consists therefore in overlooking the general feature in all the kinds of labour including abstract labour: the expenditure of human labour power in its specific difference from the expenditure of the labour power, say, of horses. Rubin starts essentially from the clumsy consideration that, if abstract labour is *dissimilar* to the social labour

49 [Critique, pp. 272–3, MEGA, II/2, p. 110. Emphasis added].

of other economic formations, it must be 100 percent dissimilar, so to say, to all the other labour. The instigation of a most insignificant feature, common to abstract labour as well as to the other kinds of social labour, is for Rubin a most dangerous encroachment on the historicity of abstract labour.

Other economists, for example Dashkovsky, commit a completely opposite error. He recognises that the moment of the physiological expenditure of human labour power enters into the concept of abstract labour. But from here he draws the wrong conclusion, that abstract labour is a category common to all economic formations. The following quotation is from the central passage in Dashkovsky's argumentation:

If the regulation of labour is an economic necessity under socialism (and under any other form of economy, insofar as people were always interested in the quantity of labour expended on the production of means of subsistence), a constant abstraction from concrete labour is necessary to the same extent. Abstraction is in these conditions not a superfluous, vain play of fantasy, but a necessity for life. In commodity society it is carried on spontaneously and through things, in organised society consciously. *But this does not alter its qualitative nature.*⁵⁰

It follows from here that in one society there can be abstract labour *forming* exchange value, and in another society there can be abstract labour *not forming* exchange value. The result of abstraction from concrete kinds of labour in the socialist economy is indisputably some abstract concept, expressing only the matter itself of human labour in its indifference toward the form of social labour, i.e., labour time, since the subjective abstraction does not express the forms of sociality of labour time. But the result of objective abstraction from concrete kinds of labour, taking place spontaneously on the market, is a *different abstract concept*, i.e., abstract labour, expressing not only labour time, not only the physiological expenditure of human labour power irrespective of the form of expenditure, which is, as we see, also historical, *but also the historicity, the historically determinate social quality* of this expenditure, the specific form of sociality of human labour under the anarchy of production. With an only subjective abstraction, we do not have abstract labour, but labour time, if you like, a naked abstract labour, as the expenditure of human labour power in the physiological sense, and that's all. But with the object-

⁵⁰ *Under the Banner of Marxism*, 1926, no. 6, p. 210 [emphasis added, p. 649 in the present translation].

ive abstraction from concrete kinds of labour, taking place spontaneously on the market, we have a *richer concept*, i.e., historically and socially determinate labour time, abstract labour forming the exchange value of commodities.

Let us however return to Rubin. After all our reasoning above, we can now critically illuminate also his profession de foi, his understanding of the materialisation, reification, or crystallisation of abstract labour in the commodity. Rubin battles against those arguments according to which the materialisation of abstract labour is understood as a physical condensation of the latter in the body of a commodity, as giving to the commodity body new tangible aspects and features. In this respect he is right. Abstract labour is, as we have already shown above, a 'ghostly objectivity', wholly distinct from the physical objectivity of the commodity body. Therefore, in the commodity no traces of abstract labour are visible to the eye. The externally visible *traces* of human labour on the commodity body reveal nothing in favour of the perspective of the physical condensation of abstract labour, since these are traces of concrete labour, manifesting themselves precisely in the external useful properties of the commodity body, in use value. If Rubin said only this, his position would be correct, and there would not be any necessity of criticising his point of view on this problem. But Rubin says more than this. On the basis of the fact that the materialisation of abstract labour is not an external fixation or condensation of it in the commodity body, he draws the conclusion that, generally speaking, we can never see behind the commodity value any materialisation of labour, we can never say generally about the reification of *material* labour that abstract labour, reified in the commodity, is *immaterial*. Rubin thinks that once there is no such abstract labour, which we can touch with our hands or of which we can see the traces on a commodity with our eyes, once there is no physical condensation of abstract labour in the commodity body, there is no material abstract labour, and the 'materialisation' of abstract labour Marx speaks about is only a fetishistic reification not of labour but of a relation of production. Rubin reasons according to the following schema: once there is no physical materiality of abstract labour, there is generally no materiality of abstract labour, it is immaterial. Rubin indicates with this only that he, like all vulgar materialists, does not know any other matter except the physical, any materialism except a naturalistic one.

Abstraction from concrete kinds of labour, from concrete forms of 'sensuous human activity', is not an abstraction from its 'sensuousness', its 'objectivity', its materiality. Consequently, when Rubin, from the circumstance that the materialisation of abstract labour in a commodity is not a physical condensation of it in the commodity body, draws the conclusion that we must understand

the materialisation of abstract labour as a representation (*Darstellung*) via things of some *immaterial* labour, he commits the rudest error, distorts the most profound philosophical basis of Marx's economic theory. It is true that the commodity represents (*darstellt*) only abstract labour and does not physically include the latter in its body. But from the fact that the abstract labour represented by a thing is not a physical property of a commodity, it does not at all follow that the represented is itself immaterial.

Marx understood abstract labour as a particular 'objectivity', as a manifestation of 'sensuous human activity', abstracted from concrete forms. The reification of labour in the commodity means that the commodity as a thing represents (*darstellt*) precisely this 'ghostly objectivity', a 'thing' of thought, material abstract labour, not any aethereal fiction. At first sight it is difficult even to grasp where the difference is between Marx and Rubin on this question. Both of them emphasise that abstract labour is something opposite to the 'sensuously rude substance of commodity bodies', that abstract labour is an abstract category, that abstract labour is represented by the commodity body. And this is all true. But as soon as we raise the problem of what is represented, of the material content of abstract labour, the difference instantly becomes manifest: for Marx abstract labour has material content, i.e., the physiological expenditure of human labour power or abstraction from the concrete forms of manifestation of sensuous human activity, but for Rubin it is an aethereal fiction, immaterial labour.

In conclusion let us consider a still new argument, which is, according to Rubin, deadly to 'physiologists', an argument he brings forward in the third edition of *Essays*. This argument consists of ... a quotation, in which Marx condemns Adam Smith for having understood the reification of labour forming value roughly 'in a Scottish sense', that abstract labour leaves 'traces' on the commodity body. The following is the quotation in question:

The materialisation, etc., of labour is however not to be taken in such a Scottish sense as Adam Smith conceives it. When we speak of the commodity as a materialisation of labour – in the sense of its exchange value – this itself is only an *imaginary*, that is to say, a *purely social mode* of existence of the commodity which has nothing to do with its corporeal reality; it is conceived as a definite quantity of social labour or of *money*.⁵¹

⁵¹ [Theories, 1, pp. 26–7, MEGA, II/3.2, p. 457. Emphasis added].

Let us now consider whether this quotation can serve as an argument in favour of Rubin's immaterial abstract labour and his aethereal 'materialisation'. What is Marx speaking about in this case?

Marx is criticising the views of Adam Smith on the problem of productive and unproductive labour. Adam Smith regarded as productive labour, producing value, such labour as is *externally* embodied in some object, fixed in a commodity body itself, leaving visible traces on it. Adam Smith considered as unproductive, not forming value, such labour as does not leave externally visible traces, is not fixed externally in any object. A. Smith defines this difference in the following way. Unproductive labour: 'The labour of the menial servant, on the contrary, does *not fix or realise itself* in any particular subject or vendible commodity. His services generally perish in the very instant of their performance, and seldom *leave any trace or value behind them* for which an equal quantity of service could afterwards be procured.'

Productive labour: 'The labour of the manufacturer fixes and realises itself in some particular subject or vendible commodity, which lasts for some time at least after that labour is past.'⁵²

From the point of view of such an understanding, the labour, for example, of transport workers, hired in capitalist enterprises, does not create value. The incorrect understanding of the reification of labour forming value as an externally visible fixation, as traces left on some object, is submitted by Marx to critical examinations.

The quotation, drawn by Rubin as allegedly deadly to 'physiologists', contains the following assertions of Marx:

- 1) when he speaks of the reification of labour, the question is about the exchange value of commodities;
- 2) reified labour or exchange value is an imaginary social form of existence of a commodity;
- 3) reified labour or exchange value, or the imaginary social form of existence of a commodity, has nothing in common with the material existence of the latter;
- 4) we represent reified labour, or exchange value, or the imaginary social form of existence of a commodity, in the form of a definite quantity of social labour or money.

Not one of these assertions gives anything new in relation to *Capital*. These are well-known propositions of Marx's theory of value.

⁵² [Adam Smith, *An Inquiry into the Nature and Causes of the Wealth of Nations*, Clarendon Press, Oxford, 1976, vol. 1, p. 330. Emphasis added].

Rubin attaches naturally a great importance to the word 'imaginary' and thinks that, if Marx speaks here about an imaginary social form of existence of commodities, this supports Rubin's conception of immaterial abstract labour. But in fact, in this statement of Marx's there is nothing that would speak to the correctness of Rubin's understanding.

The social form of existence of a commodity is *price*, which is a mental-imaginary social entity of commodities as exchange value. Price always exists as a certain quantity of *ideal, imaginary gold or money*.⁵³ However many quotations Rubin might draw from Marx to the effect that a given exchange value or price is a quantity of imaginary, ideal gold or money, representing social labour, he in no way proves thereby that social labour, represented by money, is immaterial labour. Immaterial labour exists only in the fallacious representations of idealists, with whom Rubin is solidary. We thus see that this newest argument of Rubin's too turns out to be unsustainable.

Let us summarise what we have said on the reification, materialisation, or crystallisation of abstract labour.

1. The materialisation of abstract labour in commodity does not mean an external fixation of it in the commodity body as a physical property of commodity.
2. Abstract labour is distinct from the physical material nature of the commodity.
3. The reification of abstract labour in the commodity must be understood so: that the commodity represents (*darstellt*) the material physiological expenditure of human labour power, carried out in the production of a given commodity.
4. This material expenditure of human labour power is correspondent with a given commodity and not some other one, since it is carried out in the production precisely of this and not some other commodity.
5. Therefore, the value of a commodity has a substantial (but neither ideal nor nominal) character, i.e., the commodity does not represent (*darstellt*) an aethereal abstraction, but a real, material fact of the physiological expenditure of human labour power.
6. Therefore, a commodity, representing abstract labour, is also not a symbol, a hieroglyph of abstract labour, since to material abstract labour expenditure corresponds a real commodity, in the production of which

53 'The price or money-form of commodities is, like their form of value generally, a form quite distinct from their palpable bodily form; it is, therefore, a purely ideal or mental form' [*Capital*, I, p. 98, MEGA, II/6, p. 122]).

this expenditure was carried out, but to aethereal abstract labour nothing can correspond in the external world.

7. A commodity, representing abstract labour, is not a symbol and arbitrary hieroglyph of abstract labour also for the reason that the reification of labour is inevitable in exchange society, and this is the sole possible manner of expression of the social character of labour of the members of society, the specific form of sociality of labour.
8. The abstract character of social labour in commodity society, the existence of it in an imaginary social form of exchange value (price), or otherwise, its entity, as 'ghostly objectivity', as a 'supernatural thing', as an 'imaginary social form of existence of a commodity' does not signify that the social labour of exchange society, i.e., abstract labour, is immaterial labour, but that in exchange society material social labour has a specific irrational, absurd material form of manifestation, is represented (sich darstellt) as the product of labour, as a commodity.

Rubin asserts that his aim in writing *Essays* was to criticise the bourgeois interpreters of Marx, who gave a vulgar, mechanistic-naturalistic interpretation of Marx's theory of value. 'It may be said that *Essays* was written especially for the purpose of finally *disclosing the myth of the 'naturalistic' character of Marx's theory of value*', says Rubin in his *Essays*.⁵⁴

We cannot deny that the disclosure of the vulgar mechanical naturalistic understanding of Marx's theory of value is a good attempt useful and necessary for Marxist theory. We equally cannot deny that Rubin brought about further benefit with his *Essays*, drawing sharp attention to the problem of the 'naturalistic' interpretation of value and investigating thoroughly, though one-sidedly, the problem of commodity fetishism.

However, it is necessary to emphasise with all our might the circumstance that the war with the 'naturalistic' interpretation of Marx's theory of value threatens to transform itself into a war with materialism in Marxist political economy.

The negative attitude of bourgeois scholars to the 'naturalistic' character of Marx's theory of value means nothing other than their rejection of the materialistic character of this theory.

The Rickertist Petry begins his criticism of Marx precisely from this point, declaring that in Marx there exists an unnatural combination of the social (but the social for the idealist is naturally ideal) with the material, a combination of two points of view mutually excluding one another according to his

54 *Essays*, p. 359 [p. 418 in the present translation. Emphasis in original].

opinion: the natural-scientific (to read: materialistic) and the cultural-scientific (to read: social in the idealistic sense). For Petry, the materialistic ('naturalistic') approach of Marx to social categories is an unscientific, unacceptable method. Petry distorts Marx's method in the rudest and most unpardonable manner, advancing a thesis without any grounds on the methodological dualism in Marx's theory, and after that imperceptibly ascribing to Marx an idealistic cultural-scientific (sociological) method, worked up by Petry himself and freed from materialism, which considers the social relations of people as ideal relations of abstract legal subjects, and labour as the embodiment of moral personality.

Struve, also, thinks that Marx's method is dualistic, and sees the task of scientific criticism of Marx's theory in the disconnection of the, in his opinion, irreconcilable points of view: the materialistic and the sociological, or, as he expresses it: 'the mechanistic-naturalistic and sociological motives of thought'.

Rubin, tackling the work of the disclosure of the 'the myth of the 'naturalistic' character of Marx's theory of value', had to fire critically, as a Marxist, as a materialist, first and foremost upon the methodological foundations from which the bourgeois critics of Marx started. Only on this condition was his criticism of the vulgar naturalisation of Marx's economic categories correct. But, instead of this, he himself *brought into his theory the fundamental error of those whom he set out to criticise*, namely, he introduced uncritically into his theory the neo-Kantian contraposition of the social to the material and the opposition between the natural-scientific and sociological methods. This could naturally lead to nothing other than a distortion of Marx's theory of value.

When Struve, Petry, and their accomplices fight with the 'naturalism' of Marx's theory, they are aware of what they want. For these gentlemen the most important thing is to expel materialism from political economy, to purify Marx's theory of its 'naturalistic' elements, but they gladly accept the social form of economy, split from material production, since they can easily reduce the immaterial relations of production to the interaction of economic subjects and thereby transform Marx into a most mediocre Grenznutzler [a theoretician of marginal utility]. Petry also carries through precisely such an operation. After having eviscerated all material content from the category of abstract labour, and transformed abstract labour into the substrate of ideal relations of subjects in economic activity, it was easy for him to demonstrate that there is no essential difference between Marx and Böhm-Bawerk. And Petry most gloriously arrives at this desired aim. He closes his investigation of Marx's theory of value with the following conclusion: 'As far as the question is about how to explain the phenomena of exchange, there is no difference in principle (kein

prinzipieller Unterschied) between Marx and the subjective theory of value for all their differences in detail.⁵⁵

This is the 'sublime' aim on behalf of which the devastating war with the 'naturalistic' point of view of Marx was waged, on behalf of which immaterial abstract labour was required and the allegedly deeply scientific accusation towards Marx of methodological dualism was advanced!

Rubin, in consistently holding on to the contraposition of the social to the material in his interpretation of Marx, and in stubbornly defending his conception of immaterial abstract labour, clears thereby the road to the idealistic criticism of Marx's political economy.

To take a stand against this is the obligation of all the true followers of Marx.

55 Petry, *The Social Content of Marx's Theory of Value*, p. 88.

/83/E. Landye: 'The Marxist Method and the Foundation of the Theory of Value (for a Characterisation of the New Variant of Bogdanovshchina)'

Under the Banner of Marxism, 1929, no. 5, pp. 83–104. Afterwards included in the Collection of Articles, *Against the Mechanistic Tendencies in Political Economy*, edited by B. Borilin and A. Leontiev, 1929, pp. 58–87

The current discussion going on among economists has arisen to a new stage. Having begun some years ago with the problems of abstract labour, it concentrates now on the basic problems of political economy, and above all on *methodological* problems.

The root of the divergencies in perspective, apparent in the present discussion, is in the differences of methodological approach to the problems of economic theory.

Two basic methodological approaches are taking clear shape in the philosophical discussion. These are reproduced in the current discussion in economic theory. To present the essential arguments of the mechanists is the task of the present article. We will restrict ourselves only to some fundamental problems of the theory of value, since it is precisely here that the complicated knot of methodological foundations of economic theory is tied.

1 The Mechanistic and Dialectical Approaches to the Theory of Value

We begin somewhat 'from afar', from a statement on the problem interesting us, which I.I. Stepanov, the recognised leader of the mechanists, has 'let fallen'. He says that also in the social sciences

* Е. Ланде. «Механистический метод и обоснование теории стоимости (К характеристике новой разновидности богдановщины)» *Под знаменем Марксизма*, 1929, 5, стр. 83–104. In the following, the numbers between slash marks indicate the beginnings of the corresponding pages in Landye's original article, often referred to by Verner in his article. Cf. pp. 883–909 in the present translation.

the work of scientific recognition begins not with a qualitative approach but with the reduction of given qualities to something general, which only makes possible a quantitative comparison and a comparison of different quantities. For example, political economy ignores first of all the concrete kinds of labour: the labour of a shoemaker, the labour of a coal miner, the labour of a typesetter, and so on, and arrives at the concept of abstract labour. After that it considers qualified labour as multiplied simple labour. *'Simple abstract labour' is for political economy the same as energy as such is for natural science. Having quantitatively explained in this way the fundamental economic category, political economy then reproduces 'by means of thinking' all 'qualities', the complicated interrelations of which comprise the science of social economy.*¹

The basic idea of Stepanov's understanding of the approach to political economy, stated by him in the above quotation, can be formulated in the following theses: /

- 1) /84/'The work of scientific cognition' in political economy begins *not with a qualitative but a quantitative approach*. The thinking of the researcher must reduce all the qualities to something quantitatively commensurable.
- 2) The starting concept in political economy is therefore the category of abstract labour, as the expenditure of physiological energy, which is the same as 'energy as such is for natural science', i.e., a substance without quality, having only a quantitative characteristic.
- 3) The category of value, as a *quantitative* determination of expended energy, is constructed from this starting concept.
- 4) All the 'complicated interrelations' constituting the social economy, reproduced 'by means of thinking', represent *relations of quantity* of that physiological energy which is objectified in value. All 'qualities' exist only as quantitative interrelations.

The *central* idea of I.I. Stepanov consists in the *quantitative approach* and in a conception of political economy beginning from it. According to this idea, abstract labour appears as a logical category, expressing a quantity of 'energy as such'.

'By means of' the quantitative approach, the starting category of political economy, i.e., the category of abstract labour, is transformed into a *logical* category. Accordingly, value is also transformed into the same logical category.

¹ *Dialectical Materialism and the Deborin School*, p. 152 [by I. Stepanov, State Publishing House, Moscow, 1928. Emphasis in original]. /

These categories will not be abstractions of the real relations of the object to be studied (bourgeois society), but abstractions *in thinking*, since they express the processes occurring in the mind of the researcher.

The 'qualities', which are to be reproduced then, according to I. Stepanov, 'by means of thinking', are transformed into nothing other than a *representation* of the researcher. They become a *result* of the process of unification in the mind of the researcher of a chaos of phenomena in the real world, but not a *starting point* of the process of recognition.

Abstract labour and value are qualities of labour and of the product of labour, objectively inherent within them in the conditions of the commodity economy. In the mind of the researcher, these concepts appear as a result of the process of unification of the visual observation of the processes going on in the commodity economy. But in fact, these qualities are also the starting point of the process of cognition.

In the qualitative (dialectical) approach, abstract labour and value (as well as the other economic categories) appear *first of all* as objectively material forms of social relations, having at the same time a quantitative determination. In the quantitative (mechanistic) approach, abstract labour and value appear, according to the testimony of I.I. Stepanov, *only* with a quantitative characteristic, as an entity without quality, 'energy as such'.

I.I. Stepanov begins the 'work of scientific cognition' from the abstraction *in thinking* of the *transhistorical* particularities of labour, as the expenditure of the physiological energy of man. Marx proceeds in a different way. The first abstract notion in his economic system is the concept of the contraposition of private and social labour, which is the *fundamental* characteristic of the structure of unorganised exchange society, the constitutive feature of its relations of production. The contraposition of private and social labour characterises the social labour of exchange society as a specific *qualitative* determinedness of the organisation of social labour./

/85/How does Marx determine this *specific* particularity of the organisation of labour in the exchange economy?

Private labour, which is always and directly concrete labour, labour in its concrete particularity, acquires its *social* characteristic as general abstract labour.

'The labour of the individual must present itself as abstract general labour and, in this form, as *social* (emphasis in original – E.M.[L.]) labour' [*Theories*, 2, p. 324, MEGA, II/3.4, p. 1324].

The contraposition of private and social labour finds its expression in the twofold character of labour. The private labour of the commodity producer acquires a twofold social character precisely owing to this twofold character of labour.

[T]he labour of the individual producer acquires *socially a twofold character*. On the one hand, it must, as a definite useful kind of labour, satisfy a definite social want, and thus hold its place as part and parcel of the collective labour of all, as a branch of a social division of labour that has sprung up spontaneously. On the other hand, it can satisfy the manifold wants of the individual producer himself, only in so far as the mutual exchangeability of all kinds of useful private labour is an established social fact, and therefore the private useful labour of each producer ranks on an equality with that of all others.²

The twofold character of private labour receives its external material expression in the twofold character of the commodity, as a unity of use value and value. Starting from the contraposition of directly private and social labour, through the concept of the twofold character of labour, Marx deduces the concept of value as the objectified material expression of the social character of labour in the commodity economy. 'It (i.e., value – *E.L.*) is only a representation in objects, an objective expression, of a relation between men, a social relation, the relationship of men to their reciprocal productive activity' [*Theories*, 2, p. 334, MEGA, II/3.4, p. 1332]. Marx's theory of value explains how the directly *private* labour of disconnected commodity producers *becomes* social labour, a connecting link of the whole system of divided and distributed social labour.

It is completely evident that the 'work of scientific cognition' begins in Marx not with a quantitative approach, but with a *qualitative* approach, which is the unity of the qualitative and quantitative approaches. It *begins* from the point where the relations of production in the commodity-capitalist economy are taken in their qualitative determinedness, i.e., in the contraposition of directly private and social labour. Therefore, the starting categories of Marx, i.e., abstract labour and value, exist concretely and not 'in thinking' (i.e., they are first of all 'qualitative'), since they express the forms of social connections in the commodity-capitalist economy, but they are at the same time *quantitatively* determined.

2 [Capital, I, p. 78. MEGA, II/6, p. 104. Emphasis added].

2 The Construction of the Theory of Value by Means of 'Abstraction in Thinking'

The mechanists, represented by comrade Cohn, tried to give foundation to the method of analysis of value in which the work of scientific cognition begins with quantitative approach, and in which 'energy as such' becomes the starting point in political economy./

/86/According to Cohn, the way of construction of the theory of value is as follows:

- 1) Marx 'builds his theory of value not directly starting from the objectively occurring reduction of concrete to abstract labour and of private to social labour, but from the reduction *in thinking* (Cohn's emphasis) of different kinds of labour to homogeneous labour'; 'abstract-simple labour appears as a product of an abstraction *in thinking*.'
- 2) 'Having established in this way that general property which all labours have, Marx complicates the concept of abstract labour in including within it the concept of socially necessary labour and immediately moves to value, *which appears for the moment only as a congelation, a crystal of the socially necessary quantity of abstract simple labour*.'
- 3) After having established the concept of value ('independently of form'), Marx moves to the characteristic of the form of value (exchange value).
- 4) 'Only on the basis of the analysis of the forms of value does Marx give the theory of social labour in exchange society' (Cohn's article in *Bulletin of the Communist Academy*, no. 25 [(1)], pp. 267–8 [this article available in the present translation with original page numbers, pp. 707–37]).

Cohn advances the following three ideas in the above quoted excerpts:

- 1) Marx 'builds his theory of value not with abstraction from the objective processes ('objectively occurring reduction of concrete to abstract labour and of private to social labour'), but with abstraction *in thinking*.'
- 2) The concept of value appears 'originally' (i.e., obviously, before the 'theory of social labour') *only* with quantitative characteristic.
- 3) 'The theory of social labour' is the result of the theory of value. 'The reduction of concrete to abstract labour and of private to social labour'³ (i.e., the component elements of the theory of social labour), can be understood 'only on the basis of the cognition of value and its form'.

Let us begin from 'abstraction in thinking'.

3 Incidentally, Marx does not speak of *reduction*: Marx takes up these categories in the unity of their contrapositions.

Let us raise first of all the general problem: whether it is admissible to ascribe to the creator of dialectical *materialism* the way of abstraction in thinking, not adequate to objectively occurring processes. To affirm this amounts to emasculating the materialist foundation of abstract labour.

The Marxists always saw, following Marx, the distinct particularity of the abstract method in the fact that the investigation of a concrete way of thinking must reflect the objective processes going on outside the consciousness of people.

Let us agree for a moment with Cohn that Marx begins to build the theory of value from an abstraction *in thinking*, not expressing the objectively occurring process of 'reduction of concrete to abstract labour'. But is it legitimate to ask why Marx arrived at the necessity of such an abstraction purely in thinking? Accidentally? Arbitrarily? To affirm the latter would be equal to transforming the objective method of Marx into a subjective one. But if Marx *begins* the process of abstraction not arbitrarily, not accidentally, this process of thinking will express objectively occurring processes, going on outside the consciousness of people in the commodity economy.

The essential thing is in that 'the subject, society, must always be envisaged as the premise of conception even when the theoretical method (of political method [added by Landye]) is employed' [MECW/28, pp. 38–9, MEGA, II/1.1, p. 37]. And this subject, 'hovering in the head', is, as is well known, *bourgeois* society. Consequently, Marx's 'abstraction //87/in thinking' is an abstraction not 'outside and above perception and conception' [ibid., p. 38, II/1.1, p. 37], but a 'reworked perception and conception' of *bourgeois* and not any other society. Further, in the abstraction from concrete kinds of labour the 'subject' (i.e., *bourgeois* society – *E.L.*) is constantly hovering in the mind as a premise; consequently, the concept of social labour in *bourgeois* society is the *premise* of deduction of *all* categories. This concept consists in the fact that social labour exists as directly private labour, and that the general abstract character of labour, as the determination of the social essence of private labour, manifests itself only in the equalisation of heterogeneous private labours.

The way of abstraction purely in thinking on which Cohn stands is a way leading to a subjective method. In fact, take a look at this folly for example: '*You can only abstract* from that use value to the creation of which labour has been directed, and all labour appears as an expedient expenditure of the physiological energy, and that's all' (*Course*, first edition, p. 23).

According to Böhm-Bawerk and the like, *you cannot*, for example, abstract from use value, but you should rather abstract from labour; according to Cohn you can abstract from use value but not from labour. Their difference is only in the *subjective* choice in the object of abstraction. Where, here, is the *object-*

ive criterion for deciding from what to abstract? There is no such criterion for abstraction in thinking. It can exist only when the abstraction is concrete, i.e., when the abstraction is a *result* of objective concrete processes.

What result does Cohn acquire as a result of such an 'abstraction in thinking'? He obtains the concept of abstract labour, as the simple expenditure of energy. From this point of view, all labour appears as a process of expedient expenditure of physiological energy, and *that's all* (*Course*, second edition, p. 19).

This logical category, the expenditure of physiological energy (or 'energy as such', as I.I. Stepanov expresses it), is transformed in Cohn into the starting point of political economy.

Thus, we can see that the starting point is one and the same in Bogdanov, Stepanov, and Cohn.

We have here one and the same methodological approach, namely: since energy as such has not any qualitative characteristic, the analysis can only be quantitative. Let us remind ourselves of the thesis of I.I. Stepanov that the work of scientific cognition begins not with a qualitative but a quantitative approach. This is the same in Cohn. He says: 'the concept of abstract labour emerges unavoidably once we have the necessity of the *quantitative* comparison of different kinds of labour' (*ibid.*, p. 22, cf. *ibid.*, p. 20).

On the second stage of analysis Cohn moves to the concept of value. But since the category of abstract labour, as the physiological expenditure of energy, has only a quantitative characteristic, it is entirely understandable that value too should appear as a quantitative category on this second stage of analysis. And indeed, in *Course*, in that passage which corresponds with the second stage of analysis, we find the following characterisation of value: '*In value ... is expressed the very fact that labour was expended on the production of a commodity, that the production amounted to a certain mass of expenditure of physiological energy*' (*Course*, second edition, p. 20).

By the way, it would not be useless to pay attention to the fact that Bogdanov formulates the problem not only essentially but also formally as follows: the production of a commodity *stands for* //88/ the expenditure of labour energy, therefore a commodity is *value*. This object represents value, because it *stands for* the expenditure of labour!

It is not difficult, then, to point out that in Cohn's formulation value appears originally as a *transhistorical* category. And if Cohn still intends to prove, further, that value is in fact a historical category, he will not be able, in spite of this, to justify his approach to the foundation of value with a transhistorical quantitative approach; indeed value, as a purely quantitative category, never ceases to be transhistorical.

The task of Cohn, who wants, notwithstanding this, to develop a historical understanding of value, unlike Bogdanov and Stepanov, consists further in switching from a quantitative to a qualitative analysis. But here we remember that Cohn has erased as a starting concept of political economy the concept of the social labour of *exchange* society. 'The theory of the social labour of exchange society can be given after the cognition of value and its form.' The leap Cohn must perform from such a starting position to the qualitative characteristic of value as a historical category must present itself as a desperate salto mortale.

Let us take a look at how he carries through this leap.

Cohn depicts the further course of analysis like so:

Arriving at the category of abstract labour by means of an abstraction *in thinking* from the concrete qualities of the commodity and the labour [creating it, and having established in this way that general property which all commodities have,] Marx (in truth, not Marx but Cohn – *E.L.*) [sets out 'on the inverse way', on the way of the reproduction in thinking of the concrete. He – this part is omitted from the quotation] complicates the concept of abstract labour *in including within it* (emphasis added – *E.L.*) the concept of socially-necessary labour and directly moves to value, which appears for the moment only as a congelation[, a crystal – omitted from the quotation] of the socially-necessary quantity of abstract simple labour.⁴

It is not difficult to point out that, in 'including' socially-necessary labour, Cohn falls into a hopeless contradiction with his starting assumptions. Indeed, the concept of socially-necessary labour can be built only on the basis of a representation of contraposition of private and social labour, which Cohn has erased from the starting assumption of the theory of value. Or he must recognise that socially necessary labour too is a logical category. Cohn denies the latter. But then it becomes incomprehensible how to construct the category of socially-necessary labour without a concept of the contradictions between private and social labour. The difference between the dialectical formulation of the problem in Marx and the mechanistic one in Cohn is included in the fact that in Marx the category of the abstract bears a qualitative *synthetic* character, as a determination of social labour in exchange society, and thereby Marx *deduces*

4 Cohn, 'Some Observations of my Critics in the Light of Marx's Theory', *Bulletin of the Communist Academy*, no. 25, p. 268.

the category of socially necessary labour; Cohn on the other hand begins his analysis from the category of abstract labour as a logical category in thinking, devoid of any specifically social qualities. He is not capable of *drawing* deductively the subsequent categories, therefore he *mechanically superposes* the category of socially-necessary labour or, as he expresses it, 'includes' it within the simple category. He does this in contradiction with his starting assumptions. 'Banish nature from the door, and it steals in by the window.' Cohn began with the banishment from the foundation of the theory of value of the concept of the social labour of exchange society as the starting point, but afterward, in trying to break with Bogdanov over the problem of the historicity of the category of value, he achieves this break while falling into contradiction with himself.

The comic part of Cohn's proposition is in the fact that in the second edition of *Course*, written *after* the article quoted above, he has inserted in the chapter on the theory of value a section on the 'social labour of exchange society', after which comes the section on socially-necessary labour. How can this helpless volte-face from one construction to another be explained? Why does Cohn come out //89/against Cohn? It is because he cannot stagger unpunished between Bogdanov and Marx, between the mechanistic and the dialectical method.

The dialectical method is based on the fact that more complex categories are *deduced* from simpler ones, but such simpler categories, as they have a *qualitative* characteristic, represent *concrete concepts*.

The mechanistic method is capable only of a *reduction* of the complex to the simple without quality. The *genetic deduction* of the complex is for this method the operation, purely in thinking, of overlaying, since it takes for the starting point the substance without quality, 'energy as such'.

Cohn stands at the starting points in the positions of the mechanistic method. Bogdanov and Stepanov's political economy is a *consecutive* application of this method. Cohn's political economy is a *non-consecutive* one.

Only with the circumstance that Cohn gets confused between Bogdanov and Marx can be explained for example the fact that in the space of only a year Cohn changes thrice his methodological construction of the theory of value (first stage: *Course of Political Economy*, first edition; second stage: the article quoted above in *B.C.A.*, no. 25; third stage: the second edition of his *Course*). For the sake of objectivity, however, it should be pointed out that he has not essentially changed his views, having only been trying to justify them differently.

3 The Substance and Form of Value

We have confirmed above that the concept of value 'independent of form' has a purely quantitative and thus transhistorical characteristic. This allows us to be convinced that the problem of the substance of value is solved by Cohn in the spirit of Bogdanov.

Let us consider the three answers given by Cohn. In the first edition of his *Course*, we find the following series of formulations on this question:

'The labour expended on the production of a commodity is called the value of the commodity. It is the basis of exchange value and builds its substance' (p. 37).

As can be seen from this formulation, Cohn identifies labour with value (labour ... is called value). This same labour is its substance. The substance of value is value! On the following page Cohn 'deepens' his understanding of the substance of value. 'Exchange value ... is a form of manifestation of value as the basis (substance) of exchange value' (p. 38). Value is, therefore, the substance of exchange value. The first formulation is, then, not accidental: value is the substance of value and value is the substance of exchange value. What is concealed behind this substantial verbiage?

Let us recall that Cohn determines the abstract simple labour, which is at the same time both the substance of value and value itself, as the 'expedient expenditure of physiological energy'.

Consequently, the substance of value is the 'expedient expenditure of physiological energy', i.e., a logical transhistorical category. At the same time this labour is called ... value. Consequently, value is also simply an 'expedient expenditure of physiological energy', as Bogdanov too affirms. But since value is the substance of exchange value, it turns out that the basis (substance) of exchange value is that same 'expedient expenditure of physiological energy', which has a *transhistorical* character./

/90/In the article of *B.C.A.*, Cohn 'elucidated' his position in more detail: ['] we must distinguish, says he, between abstract living labour as a process of labour and abstract *materialised* labour. The former represents a logical category, the latter a specifically exchange category. Abstract *materialised* labour is value' (cf. *B.C.A.*, no. 25, p. 270).

But how does Cohn solve the problem of the substance of value after these elucidations? Is the substance abstract *living* labour (a logical category), or abstract *materialised* labour (a historical category)?

In the same article Cohn determines the substance of value as follows: 'The substance of value is social (and socially necessary) *abstract simple labour in its form specific to the exchange economy*' (ibid., p. 264 [slightly different in emphasis from Cohn's original]).

Consequently, the substance of value is abstract *social* labour, i.e., a historical exchange category. In order to break with Bogdanov, Cohn had to recognise the historical character of labour, lying at the basis of value. But hereby he falls into the same vicious circle we have pointed out above: on the one hand, abstract materialised labour is value (cf. *ibid.*, p. 270), on the other hand, abstract materialised labour in the quotation above is the *substance* of value. We obtain the same circle: the substance of value is value.

And, finally, we find the last answer known to us in the second edition of his *Course*:

'The substance of value is not matter, of which consists a commodity as a thing, but the social abstract simple labour expended on the production of the commodity. This labour represents a *living* (emphasis added – *E.L.*) process' (*Course*, second edition, p. 28).

In another passage (*ibid.*, p. 41) he emphasises again that the substance of value is abstract labour as a *living* process, forming value, but not representing value itself. But was not abstract labour, as a living process, a logical transhistorical category? Thus, the final result is: *labour forming value is a transhistorical category*.

Cohn aspires to demarcate himself from Bogdanovshchina (too much odious Bogdanovshchina to solidarise with it), but he does not succeed, since the starting foundations of Cohn's position are the same as those of Bogdanov and Stepanov, since in Cohn the 'work of scientific cognition' begins with a quantitative transhistorical approach.

How does Marx solve the problem of the substance of value? In that passage of Vol. I of *Capital* where he uses the word substance *for the first time*, he says as follows: 'All that these things now tell us is, that human labour power has been expended in their production, that human labour is embodied in them. When looked at as crystals of this *social* (emphasis added – *E.L.*) substance, common to them all, they are – values' [*Capital*, I, p. 46, MEGA, II/6, p. 72].

The abstract labour expended on the production of a commodity is the social labour of *exchange* society. This is the labour forming value and appearing as its substance. In Cohn the substance of value is a *logical* category. Labour forming, creating value is a transhistorical category. By what is Cohn in any way distinguished from Bogdanov?

The quantitative approach in the foundation of the theory of value leads Cohn to the identification of value and exchange value, of the form of value and the form of *manifestation* of value./

/91/In the first edition of his *Course*, Cohn writes: 'Value and exchange value, these are *one and the same* category, only considered from different points of view' (p. 38).

He expresses the same idea also in his determination of the commodity: 'The commodity represents the unity of use value and exchange value' (p. 36). In giving this determination at the *end* of the description of the theory of value, and identifying value with exchange value, Cohn ignores the completely definitive statement of Marx:

When, at the beginning of this chapter, we said, *in common parlance*, that a commodity is both a use value and an exchange value, *we were, accurately speaking, wrong*. A commodity is a use value or object of utility, and a 'value'. *It manifests* itself as this twofold thing, that it is, as soon as its value assumes an *independent form* – viz., the form of exchange value. It never assumes this form when isolated, but only when placed in a value or exchange *relation* with another commodity of a different kind. When once we know this, *such a mode of expression* does no harm; it simply serves as an abbreviation.⁵

Marx clearly points out that exchange value is the form of *manifestation* of value, that a commodity '*manifests*' its entity as value in exchange value. Marx points out that a commodity, when *considered in isolation*, never has this form of exchange value, since exchange value is only a form of manifestation of value, 'distinct from the natural form' of a commodity.

What does the 'commodity, considered *in isolation*' represent? We find in Marx a clear answer to this question: 'If we say that, as values, commodities are mere congelation of human labour, we reduce them by our analysis, it is true, to the *abstraction*, value [*'abstract value'* in Landye's quotation]; but we ascribe to this value no form apart from their bodily form' [*ibid.*, p. 57. 11/6, p. 83. Emphases added].

A commodity, considered in isolation, has an '*abstract value*' or immanent form of value.

A commodity, considered in relation to another commodity or 'in the *relation* of value' (Wertverhältnis), has 'a form of value, *distinct from its natural form*' of commodity, since the *natural* body of commodity B expresses (manifests) the value of commodity A. In the foreword to the first edition of *Capital*, Marx wrote that 'the analysis of these forms (forms of value of commodity – E.L.) *seems to turn upon minutiae*. It does in fact deal with minutiae, but they are of the same order as those dealt with in microscopic anatomy' [*Capital*, 1, p. 19. MEGA, 11/6, p. 66. Emphasis added].

5 [*ibid.*, p. 66. 11/6, p. 72. Emphases added].

What do these 'minutiae' consist in? In that the form of value ('abstract value') is a form of the social labour of exchange society. This is a *qualitative* characteristic of the product of private labour, of commodities.

The 'form of value, distinct from the natural form of commodity' (exchange value) is a revelation, an *external* manifestation of this qualitative characteristic, the unity of the qualitative and quantitative characteristics of a commodity.

For Cohn, with his quantitative approach to the theory of value, a 'commodity, considered in isolation, is a simple congelation of the physiological energy expended on its production' (cf. for example, *Course*, second edition, p. 20), and, as an expenditure of physiological labour, this 'crystal of labour' //92/ is determined by him purely quantitatively. It is a crystal of substance without quality.

Why does this crystal become value? Cohn answers: because it is exchange value. 'Exchange value gives the labour expended on the production of a commodity the form transforming it from labour into value' (*Course*, second edition, p. 30).

Or, in other words: the product of labour has value because it appears as exchange value.

But why is not the inverse the case, as in Marx: the product of labour has exchange value because it appears as value? This is because Cohn identifies the form of manifestation of value with the form of value. For Cohn, the form of value as such must naturally be a simple 'intricacy'. Therefore, for him 'value and exchange value, these are one and the same category'.

Thus, we can confirm that the quantitative approach to the construction of the theory of value leads to distortion of Marx's theory on the substance and form of value, a distortion in the spirit of Bogdanov.

Abstract labour as a logical category is the substance of value. The labour lying at the basis of value has a *transhistorical* character. This result is completely unavoidable as long as the starting category of political economy becomes abstract labour as a logical category, solely in the sense of the 'expedient expenditure of physiological energy'. Cohn tried to switch to the qualitative characteristic of labour forming value. But he fell thereby into a logical circle: the substance of value is value. When he attempted to get out of this vicious circle, the substance of labour turned out for him to be abstract living labour, i.e., a logical category. Cohn could not escape from the conception of Bogdanov.

In proceeding with the quantitative, mechanistic approach, a distortion of Marx's theory of the form of value is inevitable. The immanent form of value ('Wertgegenständlichkeit') is identified with the form of manifestation of value, exchange value. We see here the understanding of quality so much characteristic of the mechanists: the identification of quality and property. Quality is

given for the mechanists only as a relation of *quantities*, i.e., as a property an object manifests in its *external* life.

4 The 'Postulate of Equilibrium', Law of Proportional Distribution of Labour, and Theory of Value

As we have seen above, the mechanists, represented by Cohn, consider that in building the theory of value we cannot start from a 'theory of the social labour of *exchange* society', and hence from the concept of a contradiction between directly private and social labour.

But if we do not adopt the social labour of *exchange* society as the starting point of the theory of labour value, it is completely evident that we will take up for a prerequisite the concept of social labour without its historical forms: social labour as a logical category.

From the difference in these starting prerequisites follow two methods of building the theory of value:

First method: the starting point is the specific character of the organisation of social labour in the commodity economy, i.e., directly private labour, and we consider how it *is transformed* into directly social labour, and what are the contradictions of this process.

Directly private labour *is contraposed* to social labour as a whole (the system of divided and distributed labour)./

/93/Then the analysis, starting from the twofold character of labour, deduces 'the commodity form of the product of labour or value form of the commodity' as 'the economic cell-form' in bourgeois society [*Capital*, I, p. 19. MEGA, II/6, p. 66]. Analysis ascertains that a 'commodity, considered in isolation', has a form of value ('abstract value' [cf. above]). This is the 'objective existence' of value (Wertgegenständlichkeit). This is the quality of the 'cell'. But a cell exists in its contraposition to all the remaining cells. In this external life it has also a qualitative and manifested quantitative determination, namely the form of exchange value. Private labour is transformed into social labour in the movement of individual cells, as exchange values, which are not only qualitatively but also quantitatively determined.

The second method of building the theory of value. Social labour without its specific form in exchange economy is adopted as the starting point. Social labour as a logical abstraction and, consequently, as *already* distributed labour. In this case analysis picks out the *logical* category of abstract labour, as the expedient expenditure of physiological energy, taking place in all social forms. Then this analysis takes up that form in which the social relation *manifests itself*

in the commodity economy, the direct object of this analysis, i.e., exchange value, as the quantitative determination of the expenditure of labour, opposed to other expenditures. Since, if we assume that labour is *already* distributed, we will be interested only in how this distribution will be *externally* shown up, the analysis begins with searching the quantitative basis of exchange proportions. The search for the law of exchange proportions is transformed into the fundamental task of the theory of value.

In the first case, the centre of gravity of the analysis concentrates on clarifying the internal contradictions of the process of transformation of directly private into directly social labour.

In the second case, this essence of the theory of value is eviscerated and transformed into a search for exchange proportions. The first type of foundation of the theory of value belongs to Marx, the second belongs to Bogdanov and is taken over from him with some modifications by Cohn.

In order to show that between Cohn and Bogdanov there are only differences within identity, let us expand on that schema of the theory of value which Cohn gave in the first edition of his *Course*.

The essence of Cohn's views is given here in an undisguised form. It is particularly interesting from the point of view of the direct application of the mechanistic quantitative approach, a clean evisceration of the essence of Marx's theory of value.

The schema of the theory of value he presents here is built as follows:

- 1) The exchange economy, like every other social economy based on a division of labour, is a system of distribution of labour. In the exchange economy, this distribution is carried on through the exchange of commodities.
- 2) Starting from this presumption, Cohn begins the theory of value properly from the question of 'labour expenditures as the basis of exchange proportions', i.e., he begins with a *quantitative* approach.
- 3) Further follows the characterisation of labour forming value. It *begins* from socially necessary labour. This is completely understandable, since the sole thing Cohn is looking for is the law of exchange proportions. The qualitative, i.e., historical characteristic of labour forming value is buried in oblivion. Abstract labour is a simple expenditure of physiological energy.
- 4) Next Cohn moves to the question of the regulator, which is the fluctuation of prices around their 'labour basis'. While describing the theory //94/of value, he *never* makes use of the word 'value'. And he names as the regulator not value but 'labour basis of exchange proportions'. The whole question of value was reduced so far to exchange proportions.

- 5) Finally, a section entitled 'Value and its Form' appears in conclusion. The concept of value is presented here in the following way: 'The labour expended on the production of a commodity is called the value of a commodity' (how 'superbly' this is said: labour is called value! – *E.L.*). 'It is the basis of exchange value and builds its substance. The value of a commodity represents the basis of exchange value'.

Labour (later Cohn clarified that it is social labour) is value. This is all that Cohn says about *value*, since his mentioning of value was necessary only for showing that labour is the basis of exchange value.

Even the law of value is interpreted in such a way that it is only an objectification of exchange proportions (p. 36).

Throughout the analysis of value, a consistent quantitative approach is sustained. Labour forming value is devoid of any qualitative characteristic ('an expedient expenditure of physiological energy'). The law of value is an objectification of exchange proportions and nothing more than this.

In this schema of the theory of value there is no place for the contradiction between private and social labour.

The central contradiction of the commodity economy is eviscerated from the foundation of the theory of value. Cohn has abstracted from this contradiction 'in thinking'.

But isn't precisely all this the case according to Bogdanov? Quite exactly. The difference is only in that Cohn *subjectively thinks* about value as a historical category, while Bogdanov thinks about value as a transhistorical category.

Where is the flaw of this quantitative foundation of the theory of value?

It is easy to see it in the way in which Cohn proves that labour expenditures are the basis of exchange proportions. He writes, *beginning* to describe the theory of value:

If the equilibrium of production is somehow maintained in exchange society, *this appears in itself as proof of the fact* (emphasis added – *E.L.*), that the average price of commodities cannot be established independently of the labour expenditures on commodities, that the proportions in which one commodity is exchanged for another strictly correspond with the average correlation of labour expenditures on exchanged commodities.⁶

Thus, the existence of equilibrium proves that labour expenditures are the basis of exchange proportions, the basis of prices, or else value would settle out of an 'equilibrium of production'.

⁶ Cohn, *Course*, first edition, p. 21.

Some pages later, in the analysis of the question of the regulator, we read the following: 'the price constantly gravitates toward its labour basis. And owing to this its gravitation is sustained by the equilibrium of social production' (ibid., p. 31).

Thus, here the gravitation of the exchange proportions, of price, toward the labour expenditures is conditioned by the equilibrium.

We see here a helpless rotation in the vicious circle! The existence of equilibrium conditions the labour expenditures as the basis of exchange proportions. The presence of labour expenditures as the basis of exchange proportions conditions the existence of equilibrium!

And this vicious circle is unavoidable in the quantitative approach to the theory of value, the mechanistic approach 'from equilibrium'./

/95/The starting point for Bogdanov and Cohn is the 'equilibrium of production' ('the equilibrium of production ... appears in itself as proof, and so on').

But the 'equilibrium of production' presupposes the *level of equilibrium as already given*, quantitatively determined. Exchange proportions are already presupposed as existing when it is said that production is in the state of equilibrium. Therefore, in replying to the question of what regulates the equilibrium of production, the following logical circle is inevitable: the equilibrium of production appears as the proof of exchange according to labour expenditures, and exchange according to labour expenditures appears as the proof of the existence of equilibrium.

The starting point in the above illustrated method of construction of the theory of value is the concept of equilibrium. ('the equilibrium of production ... appears in itself as proof, and so on'). This view on the presupposition of the theory of value is entirely shared also by another sworn friend of Cohn's in the current discussion, comrade Bessonov, who declares as if in Marx 'the postulate of equilibrium is the precondition of the whole theory' (Bessonov's article in *Problems of Economy*, no. 1, p. 126).

Before moving to the consideration of this view in essence, let us remember that on the question of the 'postulate of equilibrium' both Cohn and Bessonov only follow the same path beaten by A.A. Bogdanov.

In the foreword to second edition of his *Course*. Bogdanov wrote:

I can affirm with satisfaction that some theoretical ideas, maintained already in my previous works and fixed in this book, find growing circulation and application in our economic literature. *This relates particularly to the principle of equilibrium in the theory of labour value, as the regulator of production*, in the theory of reproduction and the theory of markets.⁷

⁷ Bogdanov and Stepanov, *Course of Political Economy*, second edition, vol. 11, book 4, p. 6.

The 'postulate of equilibrium' is a presupposition of the whole philosophic economic system of Bogdanov, and this one circumstance is enough to make doubtful the declaration as if also in Marx the 'postulate of equilibrium' is a presupposition of his economic theory, all the more so since A.A. Bogdanov has never identified his system with Marx's.

What does the 'postulate of equilibrium' represent in essence? Both Bogdanov and Cohn, when advancing the concept of equilibrium as a precondition of the theory of value, have in mind the equilibrium in the distribution of social labour among branches of production. The proportional distribution of social labour is a general-sociological law, this is a fact known to 'every child', after the words of Marx.

But not every child knows how Marx switches this law, valid for all social formations, to the specific regularities of the commodity-capitalist economy.

And here are all essentials. *They are in the question of whether this law is switched on the basis of a dialectical or a mechanistic method.*

How is the *dialectical* connection established between this general-sociological law of the proportional distribution of labour and the specific regularities of the commodity-capitalist economy? Solely through a series of *mediating* moments. The following passage shows how Marx views the matter:

Chance and caprice have full play in distributing the producers and their means of production among the various branches of industry. The different //96/spheres of production, it is true, constantly tend to an equilibrium: for, on the one hand, while each producer of a commodity is bound to produce a use value, to satisfy a particular social want, and while the extent of these wants differs quantitatively, still there exists an inner relation which settles their proportions into a regular system, and that system one of spontaneous growth; and, on the other hand, the law of the value of commodities ultimately determines how much of its disposable working time society can expend on each particular class of commodities. But this constant tendency to equilibrium, of the various spheres of production, is exercised, only in the shape of a reaction against the constant upsetting of this equilibrium.⁸

What is essential in the dialectical transition from the logical to the historical law of distribution of labour? As is entirely evident, Marx 'switches' to the concept of the social labour of the *commodity* economy. He establishes

8 [Capital, I, p. 336. MEGA, II/6, p. 350. Emphasis added].

the *fundamental* contradiction of *this* system. On the one hand, as in every other society, human wants have 'an inner relation which settles their proportions into a regular system'. On the other hand, 'chance and caprice' distributes labour and the means of production among the various branches of industry. The contradiction is resolved by the law of value.

The concept of the law of value 'removes' (in the dialectical sense of this term [i.e., 'aufheben']) the distribution of labour as a starting presupposition in the analysis of the commodity economy.

The essential aspect of Marx's formulation of the problem consists in affirming the circumstance that the concrete realisation of the proportionality of labour expenditures is the *result* of a spontaneous, irrational social process. The task of the theory of value consists in showing through a complex system of categories *how* the atomically organised production is connected, by means of the movements of things, to the system of social labour as a whole, and what are those immanent contradictions which develop in this spontaneous social form.

The theory of commodity fetishism and the theory of value, of the prices of production, – these are milestones for the concrete cognition of the process of distribution of labour in the commodity-capitalist economy.

Secondly: ceteris paribus, different *types* of proportional distribution of labour are possible.

The type of 'equilibrium of production', in the last analysis dependent on the state of the development of the productive forces, is directly determined by the class structure of society. Therefore, when the concept of the 'equilibrium of production' is taken for a direct precondition of analysis, the researcher will thereby abstract from such an extremely essential circumstance as the *type* of equilibrium of production, which itself requires a preliminary explanation. The formula of equilibrium explains nothing in itself. To admit the formula that 'the equilibrium of production ... appears in itself as proof, and so on' amounts to *mechanically reducing* the intricate content of the process of establishment of 'equilibrium' to its contentless form, to transforming the *concrete concept* into an empty form.

Thirdly: The equilibrium is inseparable from the movement which negates it. Engels says: 'In the movement of celestial bodies, movement is in equilibrium and equilibrium in movement' (*Archive of K. Marx and F. Engels*, vol. 11, p. 23 [locus citato unidentified]), therefore an elucidation of the state of equilibrium *presupposes* the establishment of a law of motion. All the more methodologically dangerous is an incorrect application of equilibrium to the investigation of the commodity-capitalist economy. In the irrational //97/social process controlled by the law of value, in the presence of an intricate complex of forces

operating in contradictory, crossed, and intertwined ways, the 'equilibrium of production ... is itself accidental' [locus citato unidentified. Cf. 'How is it possible to achieve the necessary balance and interdependence of the various spheres of production, their dimensions and the proportions between them, except through the constant neutralisation of a constant disharmony?' *Theories*, 2, p. 158, MEGA, II/3.3, p. 1150]. To start 'simply' from the postulate of equilibrium amounts to abstracting from the irrationality of the social process.

Precisely for this reason Cohn, in constructing the theory of value, abstracted 'in thinking' from the fundamental contradiction of the commodity economy, the contradiction between private and social labour, indeed, repeating the methodology of Bogdanov.

An erroneous characterisation of the commodity economy follows with necessity from these methodological sources.

Cohn writes as follows:

'The particularity of exchange society is the circumstance, that ... it is not the whole society as an organised collective that appears *formally* (only *formally!* – *E.L.*) as the subject of labour, but ...', and so on (*Course*, second edition, p. 41).

It is only *formally* that there is no subject of the economy in commodity-capitalist society. Consequently, it is organised *in essence*.

In this problem there is one dialectical 'subtlety' that the mechanists do not want to and cannot see.

The commodity-capitalist economy can actually be considered as both organised and unorganised.

In 'abstracting in thinking' (this attitude of abstraction in thinking is very pleasing to Cohn, and comprises the particularity of the 'abstract' method of the mechanists) from the basic structural contradiction of the commodity economy, i.e., its anarchy, we acquire *in the mind of the researcher* a representation of it as a really organised system.

The particularities of the commodity economy 'are only worth abstracting from' (we use the foolish favourite expression of Cohn), and we see in it something common with the system of an organised economy. This commonality consists in that production is socially conditioned in both cases. Cohn decided therefore that the commodity economy is only formally without a subject; but if this is the case, it is possible to assert that 'the equilibrium of production ... appears *in itself* as proof, and so on'; in this case Cohn does not take the distribution of labour in the commodity economy for the result of an irrational process (a result itself requiring explanation), but for an *a priori* fact. In this case, the law of the proportional distribution of labour is transformed into the 'postulate of equilibrium', with a fundamental orientation in the the-

ory of value emerging from there. The analysis of the contradictions in which the social unity is realised is replaced by the analysis of the form in which the distribution of labour manifests itself, i.e., exchange value. We have above illustrated that Cohn builds the theory of value precisely thus.

All this methodology is typically mechanistic. The mechanist reduces all phenomena to something common, qualityless. This common factor to all social formations is the 'postulate of equilibrium' of social production.

In further search for the 'common' factor we arrive at the category of abstract labour as the expedient expenditure of physiological energy. Then appears in front of us as a 'common' category the labour value, in which, as Cohn assures following Bogdanov, 'finds expression the fact that production was worth a certain mass of expenditure of physiological energy' (*Course*, second edition, p. 20).

After that 'qualities' are reproduced 'by means of thinking'. But, since the mechanist understands qualities as external determinations as relations, he //98/ regards his task as fulfilled by the analysis of exchange value, the analysis of the law of exchange proportions.

Thus, the 'postulate of equilibrium' is an indispensable link in the system of mechanistic construction of the theory of value.

But this link is not yet the final foundation, to which we now move.

5 The Energy Theory of Society as the Basis of the Mechanistic Method

We have given above the characterisation of the application of the mechanistic method to the theory of value. But it is entirely indisputable that one or another method of foundation of the theory of value rests on one or another understanding of the laws of social development.

The proposition of the objective regularity of social development is entirely indisputable for Marxists. But this regularity can be understood in two ways. The dialectical understanding deduces the laws of social development from the immanent contradictions laid down in a *given* social system. Hence follows the understanding of social laws as specifically historical, as inherent only in a given social formation.

Mechanists view the matter otherwise. Applying the method of 'reduction', they reduce the driving forces of social development to *external* contradictions between society and nature, and see in all specific historical laws *only* a manifestation of these *external* contradictions. For them the *natural* laws of the conflict of society with nature are decisive for the development of society; and

they *reduce* the specific historical laws to these universal natural laws, since the former are for them *only a form of manifestation* of the latter.

We find such a consistently mechanistic conception of the social process in A.A. Bogdanov, who developed an energy theory of society, with an attempt to *reduce* the laws of development of the capitalist economy to the laws of social adaptation on the basis of the balance of labour energy.

Indeed: what can characterise Bogdanovshchina in political economy? It is not only the recognition of the trans-historicity of political economy. This is a derived result of his general orientation. The latter consists in the *reduction* of specific laws of development of individual social formations to universal, trans-historical *natural* laws.

From this general orientation arises also the method of approach to the construction of the basis of economic theory, i.e., the theory of value. What is the starting point for Bogdanov? This starting point is the transhistorical law of *vital* equilibrium.

Bogdanov writes:

the entirety of our analysis will start from one directing point of view, which can be designated as the principle of vital equilibrium of the social whole. The primary and fundamental condition of life of every social system is its successful battle with external nature for its existence, and in consequence, the primary and fundamental tendency we inevitably find here is the tendency of adaptation. In other words, every social system must attain, as a whole and in its vitally necessary parts, practically sufficient satisfaction of its wants, otherwise it will result in a total or partial destruction: i.e., then we will not find what we call a system, and what necessarily *presupposes a really organised sustainable entity* (emphasis added – E.L.), a maintenance in equilibrium ...^{9/}

/99/The adaptation of society in its battle for existence is a 'social labour adaptation'. Its essence is in the necessity of a certain balance of labour energy.

Labour is a definite form of *expenditure* of human energy. But the expenditure of energy can be realised without interruption only on the condition of the *assimilation* of energy by the organism. ... But what is the assimilation of social labour energy? This is the consumption of social product. In such product social labour is embodied, 'crystalised', and the

9 *Course of Political Economy*, vol. II, book 4, second edition, p. 21.

personality, in consuming the product, assimilates the labour energy laid down in it by other people. By this assimilation of social labour energy is created the labour capacity, the 'labour power' of producers, which will afterwards be expended in their own labour.¹⁰

Correspondence between the assimilation and the expense of labour energy constitutes also the principle of vital equilibrium. The distribution of labour in society, the social equilibrium, is directed by this 'norm of vital equilibrium', which is labour value.

Bogdanov substituted the laws of social adaptation for the specific social laws, he 'reduced' the historical laws to natural laws.

Therefore, for him the capitalist economy too turned out to be a '*really organised*' system. Therefore, in his conception, value too turned out not to be an external expression of specific social relations, but a 'norm of *vital* equilibrium', an objectification of the balance of labour energy of society.

Cohn follows the same path. He has produced a 'work' called 'Lectures on the Methodology of *Political Economy*'.

Its §22 considers the 'equilibrium between society and environment'. He begins from the consideration of the 'energy balance of man' (but the concept of man, as is well known, includes indiscriminately the Roman pope, English king, Wall Street banker, and so on). Thus, Cohn announces that

the process of existence of man requires a constant expenditure of his animal energy. This expenditure takes place not only during the time of the labour he performs, but even when he is at rest. The muscular work of the heart and respiratory organs, process of digestion etc. – all these require a leakage of energy from the organism.

What relation has all of this to the methodology of political economy? – the reader will ask. Patience! Let us listen to Cohn to see how he develops his thought:

'Man compensates this leakage of energy with consumption. In consuming food and drink, man reproduces in his organism the expended stocks of energy', and so on.

'However, in order to consume, it is necessary first of all to produce.' No doubt, the reader would be glad! Evidently, Cohn simply wanted, though talk-

¹⁰ Article of Bogdanov, 'Exchange and Technique', in the collection *Essays of Realistic World-view*, pp. 286–7.

actively, to 'prove' that the basis of social life is labour. The reader would be wrong. Earlier the whole question was about the same compensation of energy. Cohn continues in following the phrase quoted above: 'But production (labour) requires from man a supplementary expenditure of energy.' And in a footnote, he clarifies how many calories are required for the movement of muscles when man is at rest, during the time of labour, and so on.

Thus: 'the process of production represents a process of expenditure of human energy. But as a result of production products are created, the consumption of which compensates the expended energy partially, wholly, or excessively.'

/100/Excess? Excess? Here you have them:

'It is easy to see that the energy balance between society and nature is decisive for the development of society' (emphasis added – E.L.).

That is, Cohn is speaking about the laws of the development of society. In paying attention to the fact that this question actually has something to do with the methodology of political economy, let us listen to Cohn to learn how he continues. Next comes a section entitled 'Energy Balance and the Development of Society'.

In fact, if the quantity of energy spent in the process of existence of a society and its battle for existence (including, consequently, the battle for existence of the Roman pope, bankers on Wall Street, Chinese coolies, members of the English trade unions, and so on – E.L.) turns out to be larger than the quantity of energy the society receives as a result of production, the society will simply not be able to exist physically.¹¹

Thus, we discover a single law, governing the economies of Terra del Fuego, capitalist America, and the Soviet Union: the law of the compensation of energy!

But we cannot refrain from the pleasure of hearing further from Cohn.

With respect to the development of the productive forces and relations of production, a peculiar 'natural selection' (listen! listen! – E.L.) takes place, in the same way as in the battle for existence those species of animals which are not adaptable in a sufficient degree to this conflict perish, and the most adaptable survive, exactly (attention! – E.L.) in the same way as in the conflict with nature perish *those societies which* cannot adapt their apparatus of production sufficiently well to the needs of this con-

¹¹ Cohn, *Lectures on the Methodology of Political Economy*, pp. 73–4.

flict and (attention!) *because of this spend on production more energy than they receive as a result of the consumption of obtained objects.*¹²

Thus, decisive in the development of society is its energy balance.

Before considering in essence these old tunes *à la* Bogdanov, we note only that internal logical unity to be seen in the theory of energy balance and the foundation of the theory of value.

Firstly. Once the energy balance of society with nature appears as *decisive* for its development, it is completely understandable that the investigation of commodity-capitalist society, like that of every other society, must begin from 'energy as such'. Therefore, what becomes the starting category in political economy is the expedient physiological expenditure of simple energy, which has hence quantitative determinedness.

Secondly. From here it follows that value is above all a material condensation of this physiological energy, or, as Cohn says, 'in value is reflected ... the fact itself ... that production was worth a definite mass of expenditure of the physiological energy of man'. Obviously, within value too is objectified the 'energy balance of society', or, otherwise, value must, according to Cohn, express (as far as he recognises the historicity of this category, unlike Bogdanov), the specific historical form of energy balance of exchange society. The expenditure of physiological energy is the substance of value. The law of value is evidently a social expression of that 'peculiar natural selection'.

Thirdly. From here further follows the neglect of the immanent form of value, and its identification with the form of manifestation of value. Indeed, 'energy as such' appears as the immanent essence of society. It is necessary //101/only to confirm the form in which the movement of the crystals of this energy manifests itself, i.e., the form of exchange value.

Fourthly. From the point of view of the energy conception of social development, it also becomes understandable why unorganised society appears as only formally subjectless.

The law of the compensation of energy already evidently 'saw to it' that 'the conflict with nature turns out to be more effective ... that material as well as social elements be adapted as well as possible to the needs of this conflict' (*Lectures on the Methodology of Political Economy*, p. 75).

The battle of society with nature 'organised' in itself its energy balance. 'If society exists, this is in itself the proof of the fact that here is established a certain equilibrium between society and environment' (*ibid.*, p. 77).

¹² *ibid.*, p. 75.

Once society exists, that is, its energy balance is 'organised', the material labour apparatus is adapted to the struggle with nature, i.e., it is possible to start from an *already* distributed labour. From here also follows the conception of equilibrium as the presupposition of the theory of value.

Fifthly. The quantitative approach to the theory of value as well as the method of 'abstraction in thinking' too becomes understandable, since it is necessary to reduce the specific social phenomena to their transhistorical content, the battle of society with nature.

Now let us give some remarks on the essence of the theory of energy balance:

Firstly. If the energy balance of society is the basis and condition of its life, this energy balance must evidently be objectified also in value. But why is the magnitude of value determined not in energy units, but in social labour *time*? Why is value expressed in hours of labour, and not in units of physiological energy? Yes, it is because value expresses a social relation and specific social regularities of society, because value appears as a determination of social labour but not as a social determination of *energy as such*, and cannot be *reduced* to the latter.

Very interesting are the remarks Engels made on this problem in a letter to Marx in relation to an attempt at an energy interpretation of economic phenomena.

Engels points out that 'this is by no means to imply that physical labour is *economic labour*', since 'whether the fresh calories stabilised by the expenditure of 10,000 calories of daily nourishment amount to 5,000, 10,000, 20,000 or a million is dependent solely upon the level of development of the means of production.' Engels indicates further that the correlation of expended energy and consolidated energy in general can be expressed 'only in the case of the most primitive branches of production: hunting, fishing, cattle rearing, agriculture', and he continues:

In industry all calculation comes to an end; for the most part the labour added to a product simply does not permit of being expressed in terms of calories. This might be done at a pinch in the case of a pound of yarn by laboriously reproducing its durability and tensile strength in yet another mechanical formula, but even then it would smack of quite useless pedantry and, in the case of a piece of grey cloth, let alone one that has been bleached, dyed, or printed, would actually become absurd. The energy value conforming to the production costs of a hammer, a screw, a sewing needle, is an impossible quantity. To express economic conditions in terms of physical measures is, in my view, a sheer impossibility [Engels's letter to Marx of 19 December 1882, MECW/46, pp. 410–1, MEW/35, pp. 133–4].

As we can see, Engels's answer is unambiguous enough./

/102/Secondly. If 'the energy balance between society and nature is decisive for the development of society', the immanent contradictions of social development are the manifestations of external contradictions between society and nature, and can be reduced to the latter. But is it possible to 'reduce' the laws of class conflict to the contradictions between society and nature, to the laws of energy? Let us leave Cohn to try to do this. But if this cannot be done, then the state of the energy balance will not be decisive for the development of society; as decisive will appear the development of the immanent contradictions of a given social formation.

Cohn's central mistake is in the replacement of immanent development with the development driven by external contradictions. This mistake also belongs to the mechanistic understanding of development.

One small illustration concerning the relation of Cohn to immanent development. In the article in defence of Bukharin's *Historical Materialism* he, alongside others, wrote: 'As comrade Honikman sees, we could safely go without troubles *but can you go without troubles with its development being immanent in a phenomenon?*' (*Under the Banner of Marxism*, 1922, no. 5–6, p. 121).

Thus, the development immanent in a phenomenon is troublesome. Then, according to Cohn, the development of society on the basis of immanent contradictions is embarrassing.

What is in common here with Marxism?

Thirdly. Cohn writes 'that only those societies can survive whose apparatus of production is built in such a way as that society derives from its natural environment not less energy than it expends on the struggle with nature' (*Lectures*, p. 75). In so doing he achieves a retreat from the Marxist view on social development, eviscerates the historical perspective of class, since every social formation has its specific laws of development, and therefore whether it survives or perishes is not determined by the general laws of the battle of society with nature, but by the laws specifically inherent in a given social formation.

Indeed, the laws of the emergence, development, and collapse of capitalist society cannot be explained from the perspective of energy balance. From the point of view of the theory of energy balance the collapse of capitalist society is actually inconceivable. In fact, Cohn assures us: 'in order that not only the existence of a society but also its development becomes possible, it is required that the society would receive from its natural environment, as a result of consumption, greater energy than it expends on the execution of physiological functions by its members as well as on the process of production' (*Lectures*, p. 74).

According to this great law of Cohn's, there are no positive obstacles for the limitless development of capitalist society, which receives from the nat-

ural environment a far larger quantity of energy than what it expends on the 'execution of physiological functions by its members as well as on the process of production'.

Or does Cohn try to found the laws of the development and collapse of capitalist society from the point of view of this banal, mechanistic energy balance?

Let us leave him to try it! No doubt this will be a picture 'for the gods'.

In conclusion we cannot but advance that brilliant characterisation Lenin gave to the 'social energetics' summarising the Bogdanovshchina.

Drawing a quotation from Bogdanov: 'Every act of social selection represents an increase or decrease of the energy of the social complex concerned' (i.e., an idea, Cohn repeats *literally* in the excerpt quoted above), Lenin writes:/

/103/And such unspeakable nonsense is served out as Marxism! Can one imagine anything more sterile, lifeless and scholastic than this string of biological and energy terms that contribute nothing, and can contribute nothing, in the sphere of the social sciences?

Bogdanov is not engaged in a Marxist enquiry at all; all he is doing is to reclothe results already obtained by this enquiry in a biological and energeticist terminology. The whole attempt is worthless from beginning to end, for the concepts 'selection', 'assimilation and dissimilation' of energy, the energy balance (listen, comrade Cohn! – *E.L.*), and so on and so forth, when applied to the sphere of the social sciences, are *empty phrases*. In fact, an *enquiry* into social phenomena and an elucidation of the *method* of the social sciences *cannot* be undertaken with the aid of these concepts.¹³

Can there be a more severe sentence on the theory of social energy balance? Probably not.

6 On 'Reduction' in Political Economy

The system of views Cohn develops is an expression of a specific methodological approach to the analysis of economic phenomena.

In the discussion developed around the problems of the theory of value, a very splendid formulation of this approach was given by a like-minded friend

13 [Lenin, 'Materialism and Empirico-criticism: Critical Comments on a Reactionary Philosophy', in *Collected Works*, fourth edition, vol. 14, pp. 327–8].

of Cohn, i.e., by Dashkovsky. In his article entitled 'Abstract Labour and the Economic Categories of Marx', he writes as follows:

[T]he task of economic science should consist in *reducing* (emphasis added – *E.L.*) the specific capitalistic forms of manifestation of the laws of the social 'production of life' to *these laws themselves*, in 'manifesting' by means of abstract analysis the *internal construction of economic tissue* made undiscernible, masked by the contradictory forms of the capitalist economy ... the researcher ... in his abstract analytical operation must place himself *outside the categories of the bourgeois economy*.¹⁴

Bessonov too made the same formulation in his article against Rubin. We find in it the following passage (after a quotation from Rubin): 'Rubin fears to death to restrict the task of theoretical economy to *analytically* reducing the historically conditioned social forms of the capitalist economy to the *transhistorical, material-technical* (Bessonov's emphasis) foundations of the process of production' (*Problems of Economy*, no. 1, p. 136 [this passage is quoted by Rubin in his article 'Reply to S. Bessonov', cf. pp. 433–502 in the present translation]).

The essence, the radical essence of this approach consists in extirpating the explanation of specific social phenomena 'outside of the boundaries of the categories of the bourgeois economy', i.e., the boundaries of their reduction to the *transhistorical* foundations of the process of production.

We find here a different formulation of the *central* point of the disagreements between 'mechanists' and 'dialecticians', clearly shown in current philosophical discussion. Can we 'reduce' the higher forms of life, with their specific regularities (for example, biological law), to simple physical and chemical regularities? 'Mechanists' answer to this question in the affirmative, dialecticians in the negative. Dialecticians maintain that higher forms are *connected* with simple forms, but at the same time the former cannot be reduced to the latter, since they are endowed with specifically new qualities and regularities. This answer should be given also to the above formulated question about the 'reduction' of economic phenomena. To restrict the task of political economy to the 'reduction' of specifically historical social forms //104/and regularities to transhistorical foundations of 'production in general', amounts to eviscerating the historical, class approach in the investigation of capitalist society.

14 The last emphasis is Dashkovsky's. *Under the Banner of Marxism*, 1926, no. 6, pp. 218–9 [p. 660 in the present translation].

'To reduce' complex social forms to the transhistorical foundations of the process of production amounts at the same time to starting down the path to the vulgar mechanistic understanding of the connection between social phenomena and the development of the productive forces.

We give only one illustration of the application of this method of reduction. Starting from this method, Bessonov writes: 'The difference in economic epochs is *reduced* to the difference in stages of development in the material instruments of labour.' Further, he gives such an algebraic formula for the cognition of social forms: 'with every social form corresponds a specific combination of instruments of labour and technical procedures, inherent *only* in this social form, and *vice versa* (!)' (*Problems of Economy*, no. 1, p. 142). We raise two simple questions: is the Soviet system a particular social form? Unconditionally yes. But can the difference of the Soviet and capitalist systems of economy really be reduced to the difference in instruments of labour? Is the Soviet system endowed with a particular combination of instruments of labour and technical procedures in contrast with capitalist society? On the contrary, it borrows for now instruments of labour and technical procedures from its capitalist neighbours. But once it is not endowed with them, it has not, according to the 'theory' of Bessonov, the right to be called a particular social form. Is it necessary to comment on this vulgar-mechanistic wisdom of Bessonov?

Our mechanists promise in any case to follow farther the path of the *reduction* of social phenomena to 'energy as such', of social forms to the instruments of labour.

I. Blyumin: 'On the Problem of Labour Forming Value'

Problems of Economy, 1929, no. 11–2, pp. 131–54

The current discussion in political economy proceeds mainly around I.I. Rubin's book, *Essays on Marx's Theory of Value*. Regardless of how we estimate the individual propositions of Rubin, we cannot deny that *Essays* is of enormous scientific interest. Rubin succeeded in raising to a considerably high level the discussion of a series of theoretical problems. We have the full right to say that his *Essays* can be counted among the ranks of 'epochemachenden [epoch-making]' works.

The central problem of discussion is the problem of labour forming value (in later time the question of the object of political economy was raised also). It is completely understandable that this problem occupies the centre of attention. Value, according to Marx, is 'a definite social manner of expressing the amount of labour bestowed upon an object' [*Capital*, I, p. 86, MEGA, II/6, p. 112]. It is evident that for understanding the category of value and for characterising the labour theory the determination of labour represented, expressed in value has a decisive importance. It is not without reason that Marx regarded the problem of twofold character of labour as central within his economic theory.

With regard to abstract labour there is, for the present, no commonly admitted classification of the various versions and points of view. Both the term 'physiological version', and the term 'social version' are unsatisfactory. In our opinion, the basic points of view in Marxist literature come down to the following three formulations: a) abstract labour is homogeneous physiological labour, the expenditure of muscles, brains, nerves, and so on, labour in general, considered outside of its concrete conditions and forms of manifestation (the point of view of Dashkovsky [cf. pp. 632–61 in the present translation] and others); b) abstract labour is the homogeneous physiological labour of commodity producers, i.e., material labour in a specific historical form (the point of view of Abezgauz, Dukor and Notkin, and Saigushkin [cf. pp. 790–821 in the present translation] and others); c) abstract labour is the socially-equalised

* И. Блюмин. «К вопросу о труде, образующем стоимость» *Проблемы экономики*, 1929, 11–2, стр. 131–54.

labour of commodity producers, or socially-equalised labour in a specific historical form (the point of view of Rubin). The fundamental dispute proceeds along the following two lines: a) whether the characteristic of commodity society must be included in the determination of abstract labour, and b) whether abstract labour is material, physiological labour or not. It seems to us that the most important problem is the second. The solution of the first problem plays an important role in clarifying the correlation between the categories of abstract labour and of labour producing value. If we adopt the second formula, we must come to the conclusion that the concept of 'abstract labour' is poorer in comparison with the concept of labour forming value, that the first concept is only an element of the second. However important this problem may be, it does not touch upon the questions of the qualitative and quantitative characteristic of value. Far more serious is the second dispute. Here is involved a very complicated question of the characteristic of social labour in general, and of the social labour of commodity producers in particular.

The category of socially-equalised labour has a decisive importance in Rubin's system. 'Abstract labour is a variant of social labour or socially-equalised labour in general' (*Essays*, third edition, pp. 157–8 [p. 191 in the present translation]). But the term 'socially-equalised labour' can be understood in various ways. This term itself means only that a given labour is equalised with other kinds of labour as a part of the social labour. The centre of gravity of this point of view is a particular understanding of social labour. The central proposition of Rubin's theory is that social labour, considered as such, does not include within it an atom of matter, that this labour is distinguished qualitatively and quantitatively from material, physiological labour. '[S]ocial labour is in turn only one aspect of labour as a single unity, which appears, on the one hand, as social labour, and on the other hand, as material or concrete labour' (*Essays*, p. 357 [p. 416 in the present translation]). In a series of places Rubin gives a superb characterisation of abstract labour. 'Since the value of products is their social and not their natural function, we can say that the labour creating this value is also not a physiological but a 'social substance'' (*Essays*, p. 153 [p. 187 in the present translation]). 'According to Marx's theory, both abstract labour and value are distinguished by a purely social nature and represent purely social magnitudes' (*Essays*, p. 170 [p. 202 in the present translation]). Since Rubin does not make it a proviso that the category of social immaterial labour emerges only in the framework of the commodity economy, we have the right to draw the conclusion that, according to Rubin, social labour is distinct from material, physiological labour within any economic formation. And, in fact, considering socialist society, Rubin makes the following observation:

Even if we assume that a given numerical expression of two quantities of social labour (20 hours and 10 hours of social labour) exactly coincides with the numerical expression of two quantities of physiological energy (20 units and 10 units of physiological energy), the fundamental difference remains between the nature of social labour and the expenditure of physiological energy, between the social equalisation of labour and its physiological equality.¹

Indeed, in the majority of cases, 'not only is socially-equal labour qualitatively distinguished from physiologically-equal labour, but also the quantitative determination of the former can be understood only as the result of the process of social equalisation of labour' (*Essays*, *ibid.* [p. 205 in the present translation]). In this way, from Rubin's point of view, labour has two aspects: the material-technical and the social. Social labour has its qualitative and quantitative determination. Social labour should be clearly distinguished from the relations of production, insofar as the latter is not subject to qualitative change. Value is the expression of social labour; material labour is not directly reflected in value, and finds for itself only an indirect reflection.

Value is above all and directly an expression of social or abstract labour, and every change in the quantity of this labour is reflected in the magnitude of value (the quantity of social or abstract labour finds its exact expression in the magnitude of value, but the quantity of material labour finds in the magnitude of value only indirect expression, namely through the quantity of social labour, which is not always equal to the quantity of factually expended material labour).²

It is necessary to point out that Rubin still continues all the time to clarify his formulations. We must consider his work as a dynamic process, not as a set of completed formulas. Therefore, it is possible that a number of unclear points, existing in the third edition, will be subsequently eliminated. But, in spite of this, in juxtaposing all three editions of *Essays*, it may become apparent that the contraposition of the physiological equality of labour to the social equalisation of labour, the demarcation between material and social labour, runs through the whole of Rubin's book as a red thread. The most original point, extremely difficult to assimilate, in Rubin's conception is the proposition about abstract

¹ Rubin, *ibid.*, p. 173 [pp. 204–5 in the present translation].

² *ibid.*, p. 355 [p. 414 in the present translation].

labour. Rubin's theory of abstract labour can be admitted only when his theory of social or socially-equalised labour is admitted. The difficulty of understanding the latter theory consists in the following. Marxists usually distinguish the two categories: living, direct labour, representing the unity of material process of interaction of man with nature and of social form, and social labour, or value. Rubin advances a particular category of social labour, which is distinct both from living labour (as far as it appears as material, as physiological) and from value. Here appears the fundamental problem of whether such an intermediary category of social labour exists or not, of what social labour represents, of whether immaterial social labour exists or not. To this problem we can give another formulation. Rubin does not of course deny that a close dependence exists between material labour and social labour, and that the movement of value is determined in the last analysis by material labour. The problem consists only in whether material labour is reflected in value directly or through a series of intermediary links, separating material labour from value. Rubin negates the fact of direct reflection and advances the category of social labour as an intermediary link.

Social Labour

The difficulty in determining the concept of 'social labour' consists in that this concept is very multifaceted, and that in separate cases various contents are enclosed into the determination of social labour. Let us try to establish the individual elements of social labour; moreover, for the sake of simplification we will take up a non-commodity economy, and after that consider those modifications which social labour undergoes in the conditions of the commodity economy.

In every society labour appears as organised in a certain way. The moment of the presence of social organisation, the moment of the presence of specific relations of production constitutes the first element of social labour. In this respect the labour of a member of any society (commodity or non-commodity) is distinct from labour of an isolated individual or Robinson, if the latter took place. The fact that labour is not expended by an isolated subject but by a producer living in society shows the material dependence of a given producer on society on the basis of the division of labour, the legal dependence, the presence of definite property relations between this producer and the other members of society, the cultural-historical dependence, and so on. Labour, considered from the material aspect, is the product of a lengthy historical process. The character of the means of production, the particularities of the produced

products, the form of the relations of production, all of these presuppose a definite cultural level. Labour appears in this way as social already as far as it is expended by a member of society, as far as it presupposes a definite economic structure, as far as it is socially organised in a certain way. Another moment of the social character of labour is its socially-useful character. This is expressed in the fact that a producer does not labour for himself, but for others, that he satisfies social needs with his production. Labour producing social use values appears thereby as a necessary link in the social division of labour. But the presence of this moment is still insufficient. Labour can be directed to the production of such things which are generally necessary to society, but in a different quantity. The utility of a thing and the necessity of a given labour expenditure must be recognised by the society. In order to acquire a complete social characteristic, labour must appear as socially recognised. This moment of social labour is closely connected with the mechanism of the regulation of labour. Labour can acquire social recognition only in the case when it is submitted in advance to direct or indirect social regulation, when it appears as socially-regulated, socially-conditioned labour. All these four features are closely connected with each other. Social labour in complete form can exist only when labour appears as socially-organised, socially-useful, socially-recognised, and socially-conditioned labour.

All these social elements are closely connected with the living, material labour process. 'Labour is, in the first place, a process in which both man and Nature participate, and in which man of his own accord starts, regulates, and controls the material re-actions between himself and Nature' [*Capital*, I, p. 173, MEGA, II/6, p. 192]. Labour appears on the other hand as a definite energy process, as a process of expenditure of muscular, nerval energy etc., from the side of the producer. The material process of production assumes definite arrangements of people, definite social relations and dependences among producers. The socially-useful and socially-recognised character of labour is expressed in a definite orientation of productive activity, in a certain distribution of labour among determinate spheres of production. This distribution is established by the mechanism of the social regulation of production. In this way, material labour, i.e., the living, direct process of labour is, under definite conditions, endowed with a series of social elements and appears as social labour.

If we turn to a consideration of the commodity economy, we will be able to confirm there a peculiar form of manifestation of all of these moments. Labour in commodity society appears first of all as specifically organised labour, as labour presupposing a determinate economic structure; this moment is inherent in the labour of the commodity producer to the same degree as in the labour of the socialist labourer. The labour of the commodity producer, directed to

the production of things for which others have need, appears as socially-useful. However, it is necessary to make here a series of provisos. Commodity production is an anarchic economy. Therefore, we can never exclude the possibility that a producer manufactures things for which no one has a need, which would go out of consumption or would not yet enter into the consumption of everyday life. However, it is necessary to point out that such cases are exceptions rather than the rule. Competition will rapidly expel the unsuccessful entrepreneurs from the field of activity. Another situation is also possible, in which a producer manufactures things which enter into the components of social need, but to an extent exceeding the social needs. Then the superfluous part of the product will cease to be use value, and the superfluous part of the labour will become socially-useless. However, it is necessary to point out that cases of absolute overproduction, i.e., of an excess of production over the absolute needs, take place very rarely. Most often the volume of production excels the effective demand of population, and the commodities find outlet at a price lower than their value or price of production. In this way, in considering the correlation between the production and the absolute needs of society, as a rule the labour of the commodity producer appears already in the phase of production as objectively socially-useful labour (although exceptions are possible: labour can be expended on manufacturing altogether unnecessary things, or on things in demand in too large a quantity compared to that demand).

Is the labour of the commodity producer (we assume everywhere within the phase of production) socially-regulated labour? Of course, in commodity society all elements of planned regulation are absent. Within this point is the fundamental *differentia specifica* [specific difference] of the commodity economy, and the fundamental difference of commodity society from non-commodity ones. Ignoring this particularity of the commodity economy amounts to ignoring the fundamental source of all the disproportions and disharmonies of social production. But it is enough to limit ourselves only to this formulation. The commodity system has its spontaneous regulator of production. The commodity producer does not work at random, he reckons the market prices, he includes within his plan of production a whole series of correctives on the basis of market activity. Therefore, the labour of the commodity producer appears as labour indirectly or spontaneously regulated by the society. This moment of spontaneous regulation has a very important significance, since it explains the establishment of the tendency toward a proportional distribution of labour. The commodity system has a series of particularities, distinguishing it from the non-commodity system and bringing it together with the latter. In commodity society, as in non-commodity societies, a proper type of proportional distribution of labour is established, but the tendency towards proportional

distribution is realised on the backdrop of uninterrupted disturbances of this tendency.

Insofar as the labour of commodity producers is indirectly socially-regulated, it appears as potentially socially-recognised. The labour of the commodity producer does of course not appear as directly socially-recognised. The commodity must survive a cruel test on the market, and only when the commodity comes to be realised does the labour acquire thereby social recognition. Only in the process of realisation does labour appear directly as socially-recognised. Prior to realisation, labour is only potentially recognised. The potential character of social recognition can be understood in two ways. We can assert that a given commodity has a likelihood of being realised in the presence of favourable circumstances. The commodity can be realised, but can also remain unsold. In this case, the potentiality means a possibility of the social recognition of labour. But this potentiality can be understood also in another meaning. The theory of value studies phenomena in their normal state, abstracting from the effect of many market factors, from the fluctuations of demand and supply, from the effect of conjuncture, and so on. The theory of value studies the laws of equilibrium of the commodity-capitalist system, these laws manifest themselves on the backdrop of an uninterrupted disturbance of these laws.

The division of labour converts the product of labour into a commodity, and thereby makes necessary its further conversion into money. At the same time, it also makes the accomplishment of this transubstantiation quite accidental. Here, however, we are only concerned with the phenomenon in its integrity, and we therefore assume its progress to be normal.³

Economic phenomena are observed in a pure form when realisation proceeds smoothly and unpreventably, when labour turns out to be proportionally distributed among the individual spheres of production. Hence it follows that, when we consider the tendency to the establishment of equilibrium, we start from the fact that commodities are produced in a quantity corresponding to the normal effective demand, i.e., we start from the fact that the labour of the producer has every prerequisite for being socially-recognised, that it must be recognised, that its unrecognition is temporary and explained by purely technical difficulties (the commodity has not yet gone out of the sphere of production, has not yet succeeded in getting onto the market, has not yet gone through

3 [*Capital*, I, p. 110, MEGA, II/6, p. 133].

the socially-necessary or minimal period of circulation). From here it follows that, although in the phase of production there is no direct social recognition of labour, the process itself of the distribution of labour, the mechanism itself of spontaneous regulation creates all the prerequisites for this recognition. This recognition is realised in the phase of exchange, and the social character of labour acquires a complete revelation and formalisation.

Hence it follows that the living material labour of the commodity producer, or private labour, has a whole series of peculiar social features: it is specifically organised labour, generally socially useful (although there being exceptions), indirectly or spontaneously regulated, and potentially socially-recognised. In this respect it is distinguished from labour in non-commodity systems, which is directly socially-regulated and socially-recognised.

The living material labour of commodity producers has a potential capacity to acquire social recognition, to express itself in value; it is right in a certain degree to say that a potential form of value is inherent in the commodity in the phase of production. This potential capacity of labour to express itself within material relations has a decisive importance for understanding the formation of value. In limiting the analysis to the qualitative aspect, it is possible to arrive at the conclusion that the realisation of the commodity is the sufficient condition for labour to acquire social recognition and social expression. But if we pay attention to the quantitative aspect of the phenomena, we will be able to convince ourselves that labour can acquire an imperfect, inadequate social recognition even after the process of realisation of labour. 'If exchange is accomplished anyhow, i.e., if the commodity does not remain unsold, then the change of form always takes place, although in the abnormal cases of the transformation of form the magnitude of value, undergoing a transformation of substance, can be lowered or raised' [allegedly quoted from *Capital*, I, but locus citato unidentified]. The demarcation between the formation of value and the realisation of value is based on the contraposition of factually recognised labour to factually expended labour, which has, under more complicated conditions of realisation, only a potential capacity to express itself in value. In exactly the same way, the demarcation between the formation and distribution of value, having such an important significance for the understanding of the theory of the prices of production, is based on taking into account this potential capacity. Labour expended in a sphere with a low organic composition of capital acquires social recognition and expression not according to the factual labour expenditures, but in proportion to the amount of capital. Value, produced in this sphere, means labour which does not acquire a direct expression in material relations, which *has this capacity to acquire* a direct material expression only in potency. If we abstract from this potential form of value, rig-

orously speaking, we could never speak about the category of value in capitalist society. Indeed, value means a social mode of expression of labour in the relations of things. It is evident that here we presuppose that labour finds for itself an adequate reflection in material relations. Otherwise, the difference between value and market price, value and price of production, etc., would not be understandable. Can we assert that the category of value exists in capitalist society along with prices of production, insofar as labour does not directly receive here any social expression? Isn't it necessary in the five-membered formula of Rubin: labour productivity – value – prices of production – distribution of capital – distribution of labour, to replace the second member with the category of labour expenditure, as far as the latter is not expressed directly in prices? When we speak about value in capitalist society, we have in view the labour expenditures in which is potentially inherent, under certain conditions, the capacity to express themselves directly in material relations, or to influence these material relations through a series of intermediary links. In this way, the potential social capacity of living labour has very important significance for understanding the quantitative regularities in the process of formation of value.

The elucidation of the nature of social labour is connected with the consideration of the modes of social expression of labour. Let us take up first a non-commodity society. A socialist labourer worked for a certain number of hours, for example n hours. The society, personified in its economic organs, counted these n hours as n or another number of hours, imputed (to use the term of the Austrian school [imputed value]) to this labourer a given number of hours. The living labour of this socialist labourer receives a certain expression in the accounting system of society. Labour appears as a definite share of the socially-accounted labour. We have the right to speak about socially-expressed or socially-accounted labour. Let us assume that the labourer factually worked for 10 hours of simple labour, and the society, taking into account a series of supplementary moments, counted these 10 hours as 12 hours. What do the 12 hours of these credited or counted hours represent? It seems to us that there are no grounds for doubling the concept of labour. Only one category of labour exists, that of living, direct material labour, which is a determinate process of the expenditure of physiological energy, i.e., an energy process. Living labour, i.e., a definite quantity of expended energy, can obtain a social accounting expression, accounting characteristic, accounting form. 12 hours of labour credited to a given labourer do not represent any new real labour along with the living labour; it is only the reflection of factual, living labour in an accounting system of a given society. This is particularly clear in the cases when there are no quantitative deviations between the number of factually worked hours and the number of social-accounting hours. The labourer worked for the duration

of 10 hours, and society counted it as 10 hours. It is evident that 10 accounting hours belong to a definite accounting category which reflects the real labour process. It is equally clear that there are a series of differences between real, living labour and its accounting expression. Living labour is material, while the accounting expression of labour does not include within it an atom of matter; the latter is a form of social recognition, of social accounting. Between these categories there exist also differences in the extension of concept: not all real labour is socially accounted. Finally, there can be quantitative differences between these categories. For example, 10 hours of real labour may be counted as 12 hours. The latter circumstance may become the basis for the idea of the presence of an autonomous category of social labour. In fact, labour can be measured by the duration of the labour process. 12 hours of accounting labour represents some particular labour, distinct from 10 hours of real labour. The different duration of these labour processes points to the different nature of these kinds of labour. In fact, these 12 accounting hours represent a purely conditional magnitude, which reflects not only factual labour expenditures but also moments of social evaluation of various kinds of labour. The social accounting form of expended labour can reflect the latter inadequately. Below we will expand on the causes of quantitative divergence between real labour and its accounting expression in non-commodity societies.

In the commodity economy there is no direct social accounting of expended labour, as far as there exists no social regulation of production. Here the accounting takes place indirectly through the reification of labour in value. Value can be compared to the social accounting expression of labour in socialist society. Neither of these categories are material. Both represent only a mode (distinct, depending on the difference in social economic conditions) of expression of living real labour. Both are connected with the moment of social recognition of labour, with the moment of revelation of the social character of labour. In socialist society too, the social character of labour becomes entirely visible only when this labour acquires its expression in the social system of accounting, when it visibly appears as a share of social labour, although it appears in its nature as directly social labour. The quantitative regularities of both of these categories can be explained only on the basis of taking into account the features lying in the sphere of material production. Living, material labour finds in value its direct expression. Otherwise, it would be necessary to admit a very complex schema: that value is the expression of social labour, which is in turn the accounting form of material labour. If the category of particular social labour (as a number of conditional hours credited by society) has still some meaning in non-commodity societies, this category will be wholly incomprehensible in the framework of the commodity economy, where

the social accounting of labour manifests itself only through the movement of value.

If we return to Rubin's *Essays*, there we can come across a twofold understanding of the category of social labour. In some cases, social labour is understood as social aspect of labour: 'Social labour is in turn only one aspect of labour as a single unity, which appears, on the one hand, as social labour, and on the other hand, as material or concrete labour' (*Essays*, p. 357 [p. 416 in the present translation]). In other cases, social labour is understood as a mode of expression of material labour: 'but the quantity of material labour finds in the magnitude of value only indirect expression, namely through the quantity of social labour' (*Essays*, p. 355 [p. 414 in the present translation]). These two treatments diverge from one another. For example, value and use value are two aspects of the commodity, but either one of these aspects does not serve as a mode of expression of the other. On the other hand, value is a mode of expression of labour, but not an aspect of the latter. In the one case the question is about the various elements of one and the same object, in the other, about the object and its form of expression. What should be understood by the social aspect of labour? The economic structure of society, the totality of the relations of production, the social form of production are usually considered as the social aspect of labour in Marxist literature. The capitalist process of production

is as much a production process of material conditions of human life as a process taking place under specific historical and economic relations of production, producing and reproducing these relations of production themselves, and thereby also the bearers of this process, their material conditions of existence and their mutual relations, i.e., their particular socio-economic form.⁴

In the second edition of *Essays* social labour is understood predominantly as a social form of production, as a determinate relation of production. If social labour is to be understood in this sense, we cannot understand how to speak about a definite magnitude of social labour. Indeed, the relations of production do not undergo any quantitative change, they can never be expressed in hours or other units. In the third edition of *Essays* another treatment of social labour prevails. There social labour is not identified with the relations of production. 'Social or abstract labour, which is the social aspect of the material

4 [*Capital*, III², p. 818, MEGA, II/15, p. 793].

labour process, presupposes (only presupposes, but is not identical with! – *I.B.*) the presence of determinate relations of production among people' (*Essays*, p. 355 [p. 414 in the present translation]). Social labour appears as a qualitatively and quantitatively determined category.

Here we run into a considerably complex problem: how should we understand Rubin's social labour, which is an aspect of the material labour process, which presupposes relations of production, which has quantitative determination? In our opinion, in this case Rubin puts an equal sign between social labour and the social expression of labour, the socially accounted form of labour in non-commodity economies.

[T]he organs of social accounting (in the socialist commune – *I.B.*) recognise that labourer A expended in the social process of production 20 units of labour, and labourer B expended 10 units of labour. Does this mean that A actually worked for twice as long as B? Not at all. This accounting means still less that A spent double the quantity of physiological energy than B did. ... This labour represents a purely 'social substance', i.e., the units of this labour represent the units of a homogeneous mass of social labour, counted and equalised by social organs.⁵

Insofar as social labour is here subject to a social form of expression, we can obtain the conclusion of the immateriality of social labour, of the difference of the latter from physiological labour. It is evident that, when adopting such an understanding of social labour, it can never be considered as an aspect of labour in general. Social labour in this specific understanding exists along with living labour as a form of its expression. It is not labour, but a mode of expression of labour. If social labour in this understanding is to be considered as the content of value, value will represent a form of expression of value in brackets, the substance itself of the substance will be, for this understanding, an accounting form of labour. In such an understanding of abstract labour the difference between the latter and value will wear away. This category of social expression of labour or of accounting form of labour takes place only in the framework of non-commodity economies, since in the commodity economy labour is never directly counted by society. Here, along with living labour only reified labour exists. Here the labour process does not undergo any social accounting or evaluation. If it is possible to speak here also about labour indirectly counted by commodity society through value counting, this socially-accounted labour is a

5 Rubin, *ibid.*, p. 169 [p. 202 in the present translation].

derived category with regard to value, and cannot explain the changes in the latter. The key to explaining changes in value should be looked for in the living material labour process. Socially accounted labour cannot serve as a necessary link in the explanation of value, since it can itself be deduced only on the basis of value. It is certain that in commodity society we can still speak about individual accounting and evaluation of labour from the side of individual commodity producers, insofar as these producers take into consideration not only the physiological expenditures, but also other factors for example, risk, seasonality, qualification, natural monopolies, and so on. These individual evaluations of labour always play an important role when a producer moves from one sphere to another, but these evaluations cannot result in a socially-accounted form of labour. If such a category existed in the commodity economy, it would have effects similar to subjective evaluations of labour from the side of individual producers, i.e., it would have a purely subjective basis.

On Abstract Labour

In the following we will hold on to the view that social labour is living material labour, endowed with a number of social features. This material social labour is expressed in value. We call this version materialist. From here it does not follow that we accuse the other point of view of idealism. We only assert that material labour is *expressed* in value directly, but not in the last analysis or indirectly, as Rubin asserts. Let us take a very simple model of the commodity economy. Let us assume that within individual spheres of production there is not any difference in technique and dexterity among individual producers. Let us further assume that each labour does not require preliminary training, that each labour is simple. Let us abstract from every additional moment influencing the choice of profession and distribution of labour, i.e., let us assume that the producers are interested only in the physiological expenditures of labour. In these conditions, when the economic phenomena proceed normally (i.e., in the state of equilibrium), the material relations (or the relations in which things are equalised) will serve as an adequate reflection of the expended material labour or abstract labour.

What formulas of abstract labour can be given in the presence of the departing assumption that abstract labour is living, material labour? Here we can give various formulations, and we will consider them in turn. First of all, we can give the formulation that abstract labour represents the expenditure of physiological energy, labour in general, abstracted from the concrete forms of its manifestation. 'Tailoring and weaving, though qualitatively different pro-

ductive activities, are each a productive expenditure of human brains, nerves, and muscles, and in this sense are human labour' [*Capital*, I, p. 51, MEGA, 11/6, p. 77]. Here arises first of all the problem: can we define abstract labour as the expenditure of physiological energy? Can we understand labour forming value as an energy category? Must every materialist version of abstract labour be at the same time a physiological, energy version? It seems to us that an affirmative answer should be given to this question. Living, material labour represents an energy process. All labour (even intellectual labour, producing immaterial services) is above all the expenditure of various kinds of physiological energy. If we abstract from this physiological, energy kernel of the labour process, we will eliminate the concept itself of living, material labour. Material labour, which is not the expenditure of physiological energy, represents an internally contradictory concept, a *contradictio in adjecto* [contradiction between parts of an argument]. The demarcation by Rubin of the two physiological versions of abstract labour seems to be unsuccessful. According to one version, abstract labour is the expenditure of a certain sum of physiological energy. According to another version, the equality of products as values is created by the equality of all kinds of human labour as the expenditure of physiological energy (*Essays*, p. 151 [pp. 180–1 in the present translation]). In our opinion, these versions do not exclude but complement one another. The first considers the quantitative aspect of physiological labour (the magnitude of expended energy), the second considers the qualitative aspect (the homogeneity of all kinds of labour). Insofar as all labour is considered as the expenditure of physiological energy, all kinds of labour appear, in spite of the difference in concrete forms of their manifestation, as qualitatively homogeneous, equal.

But we can raise here a question: if every materialistic theory of abstract labour includes within it an energy theory, should we adopt all the extreme conclusions of the most decided partisans of the energy theory, for example, of Buch? Can we assert that the magnitude of value is determined by the quantity of kilogramme-metres, horsepower, or other energy units? Of course, the energy theory can be adopted only with a series of amendments. First of all, it must be emphasised that the question is not about the expenditure of energy in general, but about the expenditure of the muscular, nerval, mental energy of human beings, i.e., about the expenditure of qualitatively definite kinds of energy. It is necessary, moreover, to take into account the fact that the magnitude of these physiological expenditures is in a close dependence on the state of the productive forces, on the technical equipment, on the dexterity and skill of the producer, and so on. Consequently, the magnitude of the physiological expenditures is determined by the whole state of the productive

apparatus. It must be understood, further, that the physiological expenditures of labour proceed in a determinate social situation, presuppose a certain economic structure, acquire a social characteristic. But the presence of the latter cannot negate the circumstance that all living labour is an energy process, an expenditure of physiological energy. Finally, economic theory does not pretend to establish an adequate correspondence between the magnitude of labour expenditures and the quantity of energy units. The investigation of energy units included in the labour process does not enter into the competence of economic theory. This is a matter of physiology, and the latter does not for the present have anything to do with this intricate task. Economist starts from those crude, empirical definitions of the magnitude of labour expenditures, definitions which are given by producers in their praxis. None of the producers are occupied with an exact calculation of the quantity of energy units. The magnitude of labour expenditures is determined approximately. What is the basis of quantitative measurement of expended labour? What does the proposition that A expended twice as much labour as B express? Can we say that everything comes down only to a subjective measurement or evaluation of expended labour from the side of the individual producers? Does any objective basis of a quantitative correlation of labour expenditures exist? If we abstract from individual measurements of labour expenditures, which reflect the individual particularities of producers, if we consider these measurements en bloc, it will be necessary to establish the fact of the existence of some correlation (although not always exact) between the factual expenditure of energy and those empirical measurements of expended labour carried out by the producers. Otherwise, it would be necessary either to construct a subjective labour theory of value (i.e., to recognise a decisive role for the subjective evaluations of labour), or to refuse to determine the quantitative regularities of labour expenditures.

The *quantitative determination* of expended labour can be established only on the basis of studying the material process of production, but not the social equalisation of labour. Indeed, the social equalisation of labour occurs in every circumstance, in every place where the equalisation of things takes place. In commodity society, socially equal are those labour expenditures whose products are equalised to one another or have an equal price. And in the case in which commodities are sold at market prices, as distinct from value, the social equalisation of labour occurs. If we admit for a moment that a society exists in which the prices are regulated by the marginal production, in such a society we can admit the existence of a social equalisation of labour taking place on a different basis than in the real society. The formulation that value is determined by the quantity of socially equalised labour (on the condition that the

sole criterion of equality in labour expenditures is their equalisation within the exchange process by means of the equality of prices) can conform with any theory of value. If this formula exists, there is no necessity to complement the theory of value with the theory of the prices of production, since in capitalist society too, a social equalisation of labour occurs, but only on other basis than in the simple commodity economy. Rubin foresees this objection, and is hence obliged to recognise that 'the quantitative characteristic of abstract labour is *causally subject* to a series of features distinguishing labour from its material-technical and physiological aspects in the process of direct production, prior to and independently of the process of exchange' (*Essays*, p. 176 [p. 207 in the present translation. Emphasis in original but not reproduced in Blyumin's quotation]). Here can arise a dispute about whether the magnitude of expended labour is determined solely by one material feature, by the magnitude of expended physiological energy, or by a series of features, for example, the pleasantness of labour, danger for health, and so on. We will consider below this question in greater detail. It seems to us that, insofar as the labour process appears as a process of expenditure of physiological energy, this feature has a decisive influence. All the remaining features of material production can have influence insofar as they influence the magnitude of expended energy. In economic theory, the last magnitude figures in its empirical expression (i.e., as a certain number of hours), at the basis of which lies a certain number of energy units. Further investigation of the energy process, the translation of an empirical expression into a rigorous scientific expression, does not belong to the task of theoretical political economy.

The formulation of abstract labour (as the expenditure of physiological energy) given above does not give a social characterisation of labour forming value. This lacuna is filled by another formulation, richer in content. This is the formulation according to which abstract labour is the physiological labour of the commodity producer. Abstract labour is here characterised as historically determined labour. Which formulation is more correct, the first or the second? It seems to us that in this case we are concerned rather with a terminological dispute than with a dispute over principle. The question boils down to whether we must put an equal sign between abstract labour and labour forming value. The proposition that labour forming value is a historical category is altogether indisputable. This proposition flows from value being a historical category. We can find in Marx direct statements on this point:

[T]he labour which posits exchange value is a specific social form of labour. For example, tailoring if one considers its physical aspect as a distinct productive activity produces a coat, but not the exchange value of

the coat. The exchange value is produced by it not as tailoring as such but as abstract universal labour, and this belongs to a social framework not devised by the tailor.⁶

If the categories of abstract labour and of labour forming value coincide, abstract labour should be recognised as a historical category. If the concept of abstract labour is wider than the concept of labour forming value, the former should be recognised as a logical category. From the methodological aspect it is expedient to highlight a particular term which would express a generic concept, i.e., physiological labour in general, as distinguished from the concrete forms of its manifestation, and a special term for denoting the physiological labour in the commodity system. Such a classification would reflect the presence of two fundamental divisions, one according to the material feature (labour in general, as distinct from concrete labour), and the other according to the social-historical feature (the labour of the commodity producer as distinct from labour in other economic systems). The insufficiency of Rubin's theory of the twofold character of labour is in the fact that he does not at all elucidate the question of the first ground of division, a question which is very acutely raised by Marx in the second section of Chapter 1 of Volume 1 of *Capital*. In this respect Rubin gives an unsuccessful formulation: that 'the quantity of abstract labour is determined by the quantity of concrete labour actually expended in material process of production' (*Essays*, p. 361 [p. 421 in the present translation]). The term 'quantity of concrete labour', deployed by Rubin, diverges from the usual Marxist understanding that labour, taken in all its concreteness, is not subject to quantitative measurement.

The question of the first and the second formulas interests us from the perspective of clarifying what meaning Marx inserted into the concept of abstract labour, what role this concept plays in his system, where is the cognitive value of this concept from the point of view of Marx. It seems to us that in Marx's text abstract labour primarily figures as labour forming value, distinct from concrete labour, creating use values. Marx connects everywhere the twofold character of labour with the twofold nature of the commodity. Marx nowhere gives clear and articulate formulations of the difference between abstract labour and labour forming value. In every place where he speaks about abstract labour, he implicitly presupposes that this labour finds its expression in value. If we restrict ourselves to the interpretation of abstract labour as physiological, it will become incomprehensible why Marx took credit for having discovered the

6 [Critique, p. 278, MEGA, II/2, p. 115].

twofold character of labour. The distinction itself between labour in general and the concrete manifestation of labour is so elementary that it can logically flow from a general distinction between abstract and concrete categories. It is beyond doubt that the classical economists, or at least Ricardo, had in view not concrete labour but labour in general when speaking about labour. In the historical essay on the development of the theory of value (in the appendix to Chapter 1 of *Critique of Political Economy* [*Critique*, pp. 292–302, MEGA, II/2, pp. 130–9]), Marx finds the main fault of his predecessors in their ignorance of the social particularities of universal labour. If we restrict ourselves to a purely physiological interpretation of abstract labour, it will become incomprehensible where the contradiction between abstract and concrete labour is. This contradiction is connected with the specific particularities of labour in the commodity system. The argumentation of Rubin on this question appears to us to be altogether correct.

What is the historical peculiarity of homogeneous physiological labour in the conditions of the commodity economy? The fundamental peculiarity consists in the fact that living labour in the commodity economy is only potentially socially-recognised, and that the social character of this labour comes to light only in the moment of realisation, when labour is expressed in value. With this is connected the consideration of some particularities of labour in the commodity economy. We come across such a formulation that labour in general (or physiological labour) in non-commodity societies is only an abstract concept, but in commodity society it is transformed into a real, 'practically true' (in Marx's terminology) category. How should labour in general in non-commodity societies be considered: as an abstract category or as a real category? In order to clarify this question, we require a little digression. The essence of abstraction consists in that a part of reality is equated to the whole. Concrete phenomena represent an ensemble of a number of features. In abstract analysis we separate one feature from this complex and consider it in isolation from the others. If an abstraction is correct and not contrived, it starts from taking into account a real feature, which appears in its isolated form. Physiological labour, as a moment of production, is an entirely real category for any economic system. In every society labour is the expenditure of physiological energy. But physiological labour is only one of the moments of the labour process, it always appears with the totality of the other features and manifests itself only (in non-commodity economies) in a concrete labour activity. To reveal this moment and represent it in an isolated form, distinct from all the other features, is possible only by means of abstraction, by means of a logical operation. Here is the necessity to distinguish the entity of a given category and the modes of its revelation. Physiological labour for non-commodity societies, as one of the

moments of the labour process, is an entirely real category (i.e., not a fictional category), but it can be revealed only by means of abstraction. How does this labour reveal itself in the commodity economy? We can find here two modes of its revelation. On the one hand, for individual producers the same mode of revelation as in non-commodity societies is maintained. It would be erroneous to assert that a commodity producer determines the quantity of expended labour only according to the movement of value. If such were the case, we would not understand how the process of the shift from one sphere to another proceeds, or how individual producers determine the profitability of one or another sphere. For this it is necessary to compare the prices of various commodities with the factual labour expenditures in various spheres. But, along with this method another fundamental method of revealing abstract labour comes out; it is through value. Physiological labour acquires here an expression independent of the concrete character of expended labour. Value reflects the physiologically homogeneous labour of the commodity producer in such a way as if this labour existed in isolation along with concrete labour.

It is necessary to understand that here the question is only about the peculiar revelation of one of the moments of real labour, and not about the formation of this moment. Therefore, the statement that the abstraction from the various concrete properties of labour occurs in the process of competition and of the equalisation of commodities must be understood *cum grano salis* [with a grain of salt, i.e., not too seriously]. In the process of the equalisation of commodities no new categories are formed. The process of equalisation of commodities can take place only when there is something common in the commodities. In the process of equalisation this common thing alone reveals itself, separates itself from the particular moments inherent in individual commodities. Owing to the mechanism of value, these common properties of labour acquire a particular visibility, insofar as they are expressed particularly by the autonomous category of value.

Another peculiarity of labour in commodity society consists in that labour reveals itself as social only as abstract labour. If we take the phase of production, labour appears here as only potentially socially-recognised. Only in the act of realisation, when the commodity is exchanged for money, does labour acquire recognition, and the commodity assume the form of value. Labour becomes directly social, it acquires its sanction. It is evident that this social recognition is extended not only to the abstract aspect of labour, but also to the labour, considered in its overall concreteness. Indeed, for the realisation to take place, it is not enough that labour was generally expended. It is necessary for labour to be expended in definite concrete forms, corresponding to needs of consumers. Indeed, value does not exist as an isolated substance, but as one

of the properties of the commodity along with use value. The social character of labour as both abstract and concrete labour is confirmed in the act of realisation. It would be erroneous to assert that concrete labour in commodity society is devoid of any social characteristic and appears only as material labour. In what is the specific social role of abstract labour included? In the fact that the revelation of the social character of expended labour is realised through the process of realisation, which is at the same time the process of equalisation of commodities, the process of revelation of abstract labour through the category of value. It is the division of labour which constitutes the basis of social dependence in commodity society, as in any other society. In order to acquire the characteristic of social labour, individual kinds of labour must be qualitatively different, must complement each other. Otherwise, we could never speak about a proportional distribution of social labour. Exchange would be impossible if all kinds of labour were qualitatively homogeneous, if everyone produced one and the same commodity. The tool for establishing a social connection in commodity society is comprised of exchange, in which the equalisation of labour and revelation of abstract labour take place. Therefore, labour manifests its social essence only as abstract labour. This must not be understood in the sense as if concrete labour in the commodity economy is not social. Before the moment of realisation, both abstract and concrete labour are potentially socially-recognised. After the moment of realisation, both kinds of labour acquire social recognition, since it is not simply commodities but definite commodities, having definite use values, that are realised. But the social nature of labour acquires visibility, becomes explicit, open, when this labour is equalised with the other kinds of labour, when it appears as abstract labour.

We have considered two formulas of abstract labour. We can advance the third formula, according to which abstract labour is socially-recognised labour of commodity producers. When we speak about physiological labour of commodity producers, only the possibility of realisation of the produced commodity is supposed there. The commodity producer may produce commodities which will not be realised. Before the moment of realisation, we cannot say whether a given commodity was needed or not. Labour in the phase of production is only potentially socially-recognised. The social nature of this labour is fully revealed only in the act of realisation. Is it not therefore necessary to include within the characteristic of labour forming value the determination of it as labour having already acquired social recognition, having been equated already in the process of realisation with the other kinds of labour? The solution of this question depends on the understanding of social labour. If social labour is understood as some particular immaterial, purely social substance, or

as the totality of conditional hours of socially-accounted labour, distinct from living labour, this labour will emerge only in the process of circulation. The category of socially-equated and counted labour appears only in the process of social equalisation and accounting of commodities, i.e., in the process of exchange. Of course, before the moment of circulation also individual producers can anticipate a possible magnitude of social labour (in this acceptance). Those material factors too, which condition in the last resort the magnitude of this peculiar social labour, are given in the material process of production. But, nevertheless, in such an interpretation of the category of social labour, the latter arises only in the act of social equalisation of labour. From this point of view, the moment of exchange marks the emergence of a new social substance of labour along with living, material labour. Therefore, from this point of view, it is very important to emphasise that abstract labour is already socially-equated labour, as far as thereby is emphasised that we have to do with a new substance of labour. If we start from the assumption that living, material labour finds its direct expression in value, it will not be necessary to emphasise that a given labour has already acquired social recognition. Living labour, considered in the phase of production, appears in commodity society as only potentially socially-recognised. When the commodity is brought to market, the living labour has already finished production. Instead of labour as a process, we have the products of labour, or commodities. Commodities acquire direct recognition only insofar as they are realised as values. Of course, social recognition thereby projects itself also on the labour itself which produced the commodities, but only through value. In commodity society, labour never appears in itself as directly socially-recognised. The social character of labour is expressed only in value. From this point of view, if we start from the assumption that only living labour exists, that there are no other categories of labour, it will not be possible to limit ourselves to the formulation: socially-recognised physiological labour; but it will be necessary to introduce within this formulation a corrective: socially-recognised through value. With such a correction the formulation of abstract labour will be logically unsuccessful, since the moment of value will be introduced in the determination itself of labour forming value. Besides, there is no particular necessity to introduce within the determination of abstract labour the moment of social recognition, the moment of completed social equalisation, because in the conditions of equilibrium, in the conditions of the proportionate distribution of social labour, all living labour has all the preconditions for acquiring social recognition through value.

Possible also is the fourth formulation, representing a logical development of the third formulation. According to this formulation, abstract labour is the labour of the commodity producer socially-recognised through the equalisa-

tion of the product of labour to the universal commodity, or money.⁷ This formula has a shortcoming in presupposing the presence of the more complex and concrete category of money, which can be explained only on the basis of the category of value. In constructing the theory of value there is no need to elucidate all the details of the social recognition of labour. It is enough to assume that the exchange of commodities takes place, in which commodities and labour acquire social recognition.

Socially Measured Labour

Up to the present, we have considered the simplest model of commodity society. We have started from the assumption that there is not any difference in technique among the enterprises of one and the same sphere of production, and that expenditures of labour for the formation of qualified labourers are absent. In these conditions, value expresses the quantity of living labour expended in production. Let us now make more complicated our initial model. Let us introduce those conditions which were omitted earlier, i.e., the difference in technical conditions and qualification. Now we run into some difficulties. Value does not reflect that quantity of labour which was factually expended in a living process of production, but the socially-necessary labour. The latter does not coincide for individual producers with factual labour expenditures. Value does not reflect that living, direct labour which was factually expended by the producer in given real conditions, but a labour expenditure in hypothetical socially-normal conditions. In reality, we have very technically heterogeneous components of enterprises within a given sphere; but value reflects a given production in such a way as if it were levelled off, reduced to one common, average level. Consequently, the labour expenditures represented in value are for individual producers distinct from real labour expenditures in their magnitude. It is not impossible that in an individual sphere socially-necessary levels of production do not coincide with the real levels for any one enterprise, but represent some average, intermediate magnitude. Let us assume that in a given sphere

7 'If a frock is the product of the private labour of a tailor, it may seem that the sale of the frock or its exchange for gold equalises the private labour of the tailor with another kind of private labour, namely the labour of a goldminer. How can the equalisation of one *private* labour with another *private* labour convey a *social* character to the former? This is possible only in the case where the private labour of the goldminer is in turn already equalised with all other concrete kinds of labour, i.e., where its product, gold, can be directly exchanged for every other product and, therefore, plays the role of general equivalent or money' (Rubin, *ibid.*, p. 143 [p. 178 in the present translation. Emphasis in original but not reproduced in Blyumin's quotation]).

there exist two groups of enterprises: in one group two hours are expended on the production of a given commodity, in another four hours. Let us admit that the socially-necessary labour time is equal to 3 hours. In this case the socially-necessary labour time does not coincide with the factual expenditures for any one enterprise. In value is reflected labour, not coinciding 100 percent with living labour, but transformed labour, reduced to the average level. But what is this labour, if there exists only living material labour? Isn't this only a social expression of labour? Isn't this only a composite characteristic of living labour, not including within it an atom of matter?

These difficulties stand before us also when studying qualified labour. In order to acquire a certain qualification, a preliminary expenditure of labour is required from teachers, pupils, and so on. The fundamental difficulty of the problem of qualified labour consists in clarifying how the process of summation of multi-temporal physiological expenditures goes on. It is evident that, if we take up a given act of production of commodities and count the labour expended on manufacturing the means of production, such a summation occurs through value. The labour manufacturing the means of production produces value, which is transferred to the product on the whole or in part. Can we extend this schema to the labour expended on the formation of qualified labour power? Deitz and Bauer proceeded in this way, and arrived at the conclusion that the labour expended on qualification gives rise to an increase in the value of the commodity through the increase in value of labour power. This point of view is erroneous, since it includes within the wage of qualified labourers some elements of constant capital. This perspective is altogether inapplicable to the simple commodity economy, where labour power is not a commodity and does not have value, where the labour of teacher and pupil does not produce any value. This point of view is also inapplicable to capitalist society, where the value of labour power is not transferred to the product but paid out from new value. As a result, we obtain the following picture: in the living process we have a series of multi-temporal labour expenditures on forming qualifications and on manufacturing products. The value process reflects this living labour in such a way as if in the course of a given hour a qualified labourer were occupied with forming his qualification and at the same time produced commodities. The qualified producer produces, in expending the same energy per hour, a higher new value than does a simple labourer. The labour represented in the value of the product of qualified labour is as if it were a dense physiological labour, which actually develops itself in the course of a longer period. In the process of formation of value a condensation occurs, so to say. If the whole mass of labour represented in the value of the product of qualified labour does not deviate from the sum of individual factual labour expenditures,

the latter will be represented in value as otherwise distributed; they will be, so to say, concentrated in the course of the ultimate period of manufacturing the product of this labour.

Here we are confronted anew with the dilemma which we faced above: either A) within value is reflected living, direct, material labour. In which case, how do we explain the quantitative divergence between the magnitude of value and the magnitude of factual labour expenditures? Did not Buch approach more consistently in rejecting the theory of socially-necessary labour and explaining the higher value of the product of qualified labour with a greater intensity of this kind of labour? Or B) within value is reflected not living labour but labour which underwent some transformation, reduction, which is brought to light only through the process of exchange. But what labour is possible along with living labour? Isn't this a purely social substance? This leads us anew to the fundamental question of the discussion: what labour is directly reflected in value – living labour, or not?

It seems to us that to this question the answer should be the following. Under the complicating conditions, value reflects a definite quantity of material labour, which is socially-measured. Marx indicates that a commodity, belonging to a given person, contains 'a quantity of his own labour, that quantity being measured by a definite social standard' [*Capital*, I, p. 162, MEGA, II/6, p. 182]. How should the category of socially-measured value be understood? All labour represents the expenditure of physiological energy, expenditure which can be expressed in the form of a definite number of hours. With an equal intensity, the relation of labour expenditures is determined by the relations of the factual duration of the labour process; with a different intensity, correction is made to the latter. The magnitude of expended energy, the magnitude of labour expenditure can be measured in two ways. First, we can measure directly this expenditure as that quantity of hours which was spent on the production of the commodity in given concrete conditions.

This will be a direct measurement of labour expenditure. Secondly, this expenditure can be measured as a definite share in the total material labour of society. Let us assume, that in a given society 1,000 pieces of a given commodity are produced, and all the producers as a whole expend 7,000 hours on manufacturing this commodity. This number is entirely real, it expresses the totality of labour expenditures, the totality of various living processes of production. This magnitude of the total material labour of society forms the starting point of the social measurement of labour. An individual commodity is represented as one thousandth of the total commodity mass, and the expenditure on one unit of commodity as one thousandth of the total material labour of society. In other words, the labour expenditure on one unit of commodity is equal

to seven hours. Is this a material category or not? Shouldn't these seven hours be considered as a particular social magnitude, distinct from material labour? Shouldn't we assert that this category of socially-measured labour is not given directly in the living labour process, but is established owing to the process of competition? The process of competition leads to the result that all commodities are sold at one price, corresponding to the socially normal conditions. The process of competition leads to the result that not only the ultimate labour expenditures but also the expenditures on the formation of qualification are distinguished in the price of the product of qualified labour. Otherwise, inflow would begin into the sphere with a lesser application of qualified labour.

These conclusions appear to us to be ungrounded. The method of social measurement changes nothing either in the nature itself of this substance (as far as labour remains material), or in the total mass of labour represented in value. This total mass of labour is only otherwise distributed among individual producers, resulting in quantitative divergence between the direct and the social measurements. The latter is based on the following presuppositions:

- a) The starting point of measurement is the magnitude of the total material labour of society expended in a given sphere of production, including the labour for the formation of the qualifications for this sphere.
- b) 'different individuals expend equal amounts of labour time to produce use values which are qualitatively and quantitatively equal' [*Critique*, p. 273, MEGA, 11/2, p. 111]. 'The total labour power of society, which is embodied in the sum total of the values of all commodities produced by that society, counts here as one homogeneous mass of human labour power, composed though it be of innumerable individual units' [*Capital*, I, p. 46, MEGA, 11/6, p. 73].
- c) 'Skilled labour counts only as simple labour *intensified*, or rather, as *multiplied* simple labour, a given quantity of skilled labour considered equal to a greater quantity of simple labour' [*ibid.*, p. 51, 11/6, p. 78. Emphasis in original but not reproduced in Blyumin's quotation].

It is as if, in the process of its application, complex labour absorbed within itself the labour expended beforehand for the formation of qualifications. The magnitude of socially-recognised labour is given already in the production process itself. It is determined by the general state of the productive apparatus, by the general sum of labour expenditures within the framework of a given sphere of production. This magnitude comes to light in the process of social equalisation, but not always so. Thus, even for the simple commodity economy the average price or the price of equilibrium is not always determined by the average labour expenditures (for example, for agricultural products). Exactly in the same way, the average price of the product of qualified labour is not always determined by

the sum of preliminary expenditures of labour for acquiring the qualification (here, elements of monopoly, for example, the presence of particular capacities, the necessity of a certain economic security, and so on, may have influence). From here it follows that the magnitude of socially-measured labour is given in the production process (if not considering the individual producer, then the whole of a given sphere of production), that this magnitude comes to light (but not always adequately) only in the process of the realisation, of the social equalisation of labour.

The question may arise of whether we can take up as the starting point the total social production, or that production within the framework of individual branches. Indeed, the total production represents the sum of individual productions, and is, therefore, a derivative magnitude. Does the category of total production have any economic meaning? Indeed. Individual spheres (under free competition) and the social production as a whole are not subject to a unitary centre. Doesn't a confusion of the non-commodity and commodity economy occur here, don't we introduce here an assumption of the organised character of capitalism? Such an objection is raised against Marx by Stolzmann (*Der Zweck in der Volkswirtschaft*, p. 566 [Rudolf Stolzmann, *Der Zweck in der Volkswirtschaft: die Volkswirtschaft als sozial-ethisches Zweckgebilde: Versuch einer sozialorganischen Begründung der Volkswirtschaftslehre*, Puttkammer & Mühlbrecht, 1909]). This objection is unsustainable. Commodity society represents a society of people connected by the division of labour and associated by exchange. The anarchic structure of commodity society gives rise to a material form of manifestation of labour. On the other hand, the movement of the total social production, as the manifestation of the dependence in production of commodity producers, finds its expression in these material categories. Although the individual commodity producers are juridically independent, they depend at the same time on the conditions of production in individual branches, and on the total production. It is in this point that the unity in production of commodity society manifests itself.

We can also raise the question of whether or not the proposition, that the starting point of the social measurement of labour is the magnitude of total social labour in a certain sphere of production, is correct. Isn't another proposition, that the starting point is rather the total mass of material labour expended in all the spheres of production of a given society, correcter? If we adopt the second point of view, we may arrive at the conclusion that for individual spheres the magnitudes of factually expended labour and of the labour represented in value diverge, although these magnitudes coincide for the total social production. It seems to us that, in adopting this point of view, the difference between the theory of value and the theory of the prices of production

will become incomprehensible. The second presupposition lies at the basis of the theory of the prices of production. The total mass of values coincides with the total sum of the prices of production, but the value produced in one or another given sphere is distributed among various spheres. The quantitative difference between value and the price of production is conditioned by the prices of production presupposing the possibility of the redistribution of value among individual spheres. If we reject the first starting assumption (that the starting point should be the individual spheres of production), the magnitude of value will become completely indeterminate (here is absent the presupposition of an average rate of profit, which gives the quantitative determination to the prices of production).

On the basis of the above description, the labour forming value can be determined as the socially-measured physiological labour of commodity producers. Here we can raise the question of what can explain the quantitative divergences between living labour and the social expression of labour in socialist society? Why are 12 hours imputed to the labourer who has worked for 10 hours? This divergence is explained by two causes. On the one hand, the moment of social measurement of labour plays a certain role. A given labourer may turn out to be more dexterous and capable than the average one. On the other hand, there may be influences from the moment of social evaluation. In socialist society there is no mechanism of fluctuation of market prices. And, in order to attract labour to some sphere, the development of which is important from the point of view of socialist planning, the society may raise the evaluation of labour. From this point of view, we cannot trace an analogy between the social expression of labour in socialist society and the magnitude of value in commodity society.

In considering socially-measured labour, the following problem may arise: does value reflect only factual labour expenditures, or does it reflect also some factors influencing the distribution of social labour among individual spheres of production? In the simple commodity economy too, the producer, when choosing a profession, is not only interested in the magnitude of expended physiological energy. Individual branches of production have their advantages and insufficiencies, to be taken into account by commodity producers. Let us assume that there are two spheres, A and B, and that in the second sphere the production process incurs risk for the health and life of the producer. If the commodities (we assume here simple commodity production) are sold on an average at the prices proportional to the factual labour expenditures, sphere A will be considered as a more advantageous sphere for applying labour, as far as there is no element of risk in it. It is clear that in these conditions labour will flow from sphere B to sphere A. An equilibrium will be established when

the products of sphere B will be sold on an average at prices higher than the products of sphere A. We may advance still other factors influencing the distribution of social labour, for example, the seasonality of production. Let us assume that the production process in sphere B is seasonal. It is evident that this circumstance makes the situation of the producers in sphere B less advantageous in comparison with sphere A, and the former will want to receive some compensation. In the case that they do not, they will choose sphere A. In considering similar cases we run into the following dilemma:

- a) Either the average price coincides in these cases with the value of commodities, in which case value does not only reflect the factual labour expenditures, but also the other factors influencing the distribution of labour and the conditions of equilibrium; and in which case the labour represented in value must be considered as the result not only of individual labour expenditures, but also of some other factors, connected with labour but distinct from it.
- b) Or value is determined only by factual physiological labour expenditures, in which case the average price does not coincide with value. Consequently, in the simple commodity economy too, the average price is not always equal to value, and here it is necessary to distinguish the process of formation of value from the process of distribution of value.

The objection may be raised to us that the influence of all these additional factors is insignificant in comparison to the influence of the decisive factor, i.e., the magnitude of labour expenditures, and that in abstract analysis we can abstract from the influence of these factors. It is however necessary to point out that the number of such factors can increase, and that some of them have a very essential significance. Let us take up, for example, the problem of the value of bread. If we approach this problem from the point of view of the analysis of the conditions of equilibrium and price formation, it will be necessary to draw the conclusion that the average prices of bread are regulated by the labour expenditures in the worst conditions (more exactly, on the worst pieces). Otherwise, the worst pieces would cease to be processed, and the total production of bread would be curtailed. A new factor will here exercise influence on the conditions of equilibrium, i.e., the natural monopoly. This consists in that one of the basic factors of production, soil, is rare, exists in a finite quantity, and cannot be freely reproduced. Will the value of bread be determined by the labour expenditures in the worst conditions? When Ricardo advanced such a proposition, it could harmonise for him with his general proposition that the value of every commodity is determined by the labour expenditures in the worst conditions. When Marxists advanced this proposition, it was in a certain contradiction with the general proposition that the value of every commodity is

determined by the labour expenditures in the average socially-normal conditions, whereas it is evident that the conditions of production on the worst plots are not at all always socially normal. The production process on the worst plots does not always furnish the largest mass of products, and is not always typical for a given social production. Therefore, independent of how to determine the socially-necessary labour (as the weighted average or as the mode), we obtain a discrepancy between the regulating price in industry and in agriculture. Let us assume that in manufacture and agriculture an equal number of labourers are working for a working day of equal duration with the same intensity. If the value of bread is determined by the labour expenditures in the worst conditions, the labourers in agriculture produce greater value than in manufacture. How is this excess of value obtained in agriculture explained? By larger labour expenditures? No, since we start from the condition of the equality of labour expenditures. This is evidently explained by the presence within agriculture of the elements of natural monopoly, the scarcity of land, by the impossibility of increasing plots of land of the same fertility. Consequently, for such an understanding scarcity appears as one of the factors influencing the magnitude of value, not just the form of manifestation of value, i.e., the price. This conclusion, which follows logically from the given answer, seems to us very dubious and as contradictory to the theory of labour value.

This dilemma should be solved in the sense that the value of commodities is determined by the quantity of socially-measured physiological labour. Besides this, for the basis of measurement should be taken the total sum of factually expended labour within the framework of individual spheres of production. Every factor influencing the distribution of social labour but not connected with the factual increase of labour expenditures conditions only a different distribution of value, the deviation of the latter from the average price, but does not influence the magnitude of value. Otherwise we could never explain the transition from the theory of value to the theory of the prices of production, i.e., we could never solve the cardinal problem of the effect of the law of value in capitalist society. In the latter society the conditions of equilibrium become complicated. A series of factors begin to influence, for example, the difference in the period of the circuit of capital, the difference in the organic composition of capital, and so on. If in a given sphere the period of circuit of capital is longer than the average, with all other conditions (including the organic composition of capital) being equal, the average prices cannot be proportional to the labour expenditures. The capitalists operating in the sphere with the slower circuit of capital must obtain some compensation. If we start from the assumption that the magnitude of value and the quantity of labour represented in it can be explained on the basis of the analysis of the conditions of equilibrium, why

should we not assume that in this case too the commodities are sold according to their value, that the period of the circuit of capital also influences the magnitude of value?

It is indeed possible to raise the objection that in this case the question is not about the distribution of labour but about the distribution of capital, that Marx, when speaking about value as the law of equilibrium, had in view the simple commodity economy. But we find in Marx no indication to the effect that value is in every circumstance the law of equilibrium of the simple commodity economy and that value always coincides with the average price. One of the basic ideas of the theory of the prices of production consists in that the magnitude of value can never be determined on the basis of the analysis of the conditions of equilibrium, that the magnitude of value can diverge from the average price or from the price of equilibrium. The proposition of equilibrium is only one of the presuppositions of the theory of value. In order for the law of value to have effect the presence of the tendency to establish equilibrium within social production, in the distribution of labour and capital, is necessary. In the investigation of value, it is necessary to abstract from every factor disturbing equilibrium, for example, from the effect of demand and supply. But the proposition of equilibrium is only one of the presuppositions of the theory of value. Various types of equilibrium may be dependent not only on the social-economic structure of society, but also on the specific conditions of production in individual branches of the national economy. The investigation of value does not cover the whole analysis of equilibrium. The theory of value is only the first and the most abstract step of this analysis, which must be supplemented by the theory of market value, the theory of the prices of production, the theory of monopoly prices, and so on. For the simple commodity economy, the divergence of the average price or the price of equilibrium from value is significantly smaller than for the capitalist economy, insofar as the decisive factor determining equilibrium is the labour expenditures, considered as expenditures of physiological energy. Therefore, with certain approximations we can say that value appears as the price of equilibrium. But it does not follow from here that value is always the price of equilibrium in the simple commodity economy, or that all those factors which influence equilibrium thereby influence value. Otherwise, we would have to significantly widen the list of the factors influencing value, and the concept of labour forming value would become extremely vague. Let us take one example. Depending on a whole series of historical causes, traditions, prejudices, and so on, individual professions enjoy unequal respect in society, have unequal authority. If the labour in sphere A is respected more than the labour in sphere B, and if all other conditions are equal, when commodities are sold on an average in proportion to labour expenditures, labour will begin to

flow from sphere B to sphere A, since the latter sphere has some preeminence in comparison to sphere B. This social-psychological factor can exercise some, albeit insignificant, influence on the condition of equilibrium, and in the consecutive development of the point of view mentioned above, it must be taken into account as one of the factors determining value. Here we are confronted with a dilemma: either 1) to recognise that labour forming value is the result of factual labour expenditures in a given sphere of production, and that's all; or 2) to recognise that labour forming value is the result of labour expenditures and of various numerous, important, and secondary factors influencing the condition of equilibrium and the distribution of social labour. The second formula does not only open the way to pluralism, but it facilitates the possibility of the adaptation of the labour theory of value to every kind of bourgeois theory. When we admit the influence of natural monopoly on value, we take a large step toward the subjectivist school. No sooner do we alter somewhat the theory of social equilibrium, no sooner do we admit the influence, for example, of utility on the price of equilibrium, than we are apt to conform the theory of value to the theory of utility. Value is determined by the labour which is distinct from the expenditure of physiological energy, and is determined by various conditions of equilibrium including also utility. Therefore, we consider the second point of view as erroneous.

Z. Verner: 'How Rubin's System of Views is Pushing Ahead Under the Guise of Battle with the Mechanists'*

Included in the Collection of Articles, *Rubinshchina or Marxism? Against Idealism and Metaphysics in Political Economy*, edited by S.A. Bessonov and A.F. Cohn, 1930, pp. 208–31

The current discussion in political economy has begun with the critique of Rubin, accusing him of an idealistic interpretation of economic categories. One would presume that further discussion must above all remain on these accusations and consolidate their foundation. Instead of this we have a strange phenomenon: in taking advantage of the individual mistakes of comrades Cohn and Bessonov, the partisans of Rubin strenuously attempt to create a version of events pretending that we have a revival of the mechanistic school of political economy in the person of these comrades. Under this pretext the public attention has strongly shifted from Rubin to these comrades.

The slogan was launched: 'Who is to be judged?' While being entirely legitimate in different situations, in the ongoing discussion this slogan has had the function of leading above all to the result that Rubin, with his idealistic interpretation of Marx's theory of value, was left aside.

We do not in the least intend to conceal individual errors of comrades Cohn and Bessonov. These errors exist, and must be pointed out and corrected. But to disclose these errors only in order to correct them is one thing, and to criticise Cohn and Bessonov (who have already acknowledged these errors and partly corrected them) with the definite aim of 'overlapping' the critique of the views of Rubin, of discrediting this critique, of shouting out necessarily 'more loudly and terribly' than the critiques of Rubin, is quite another. This method of Rubin and his partisans, to bash more strongly on Cohn and Bessonov not only for the purpose of distracting attention from himself but also in order to push through on the sly his own system of views, must be decidedly disclosed

* 3. Вернер. «Как под видом борьбы с механистами протаскивается система взглядов Рубина» включен в сборнике статей *Рубинщина или Марксизм? Против идеализма и метафизики в политической экономике*, под редакцией С.А. Бессонова и А. Ф. Кона, Государственное издательство, Москва – Ленинград, 1930, стр. 208–31.

from the outset, or otherwise the discussion will not give the positive results expected from it.

We find such a kind of manoeuvre in particular in the article of comrade Landye 'The Marxist Method and the Theory of Value [‘The Marxist Method and the Foundation of the Theory of Value (for a Characterisation of the New Variant of Bogdanovshchina)’, pp. 822–51 in the present translation]’.¹ Landye’s article is distinguished from a number of other articles in taking up the entirety of the mechanistic views which can be found in every consistent mechanist in relation to the theory of value, and in showing how far this system of mechanistic representations find its places in the works of comrade Cohn. In the present article we will take up not individual problems, but the theory of value as a whole, in the methodological cross section. In this way it will become even easier for the reader to see clearly how far the accusation against Cohn of his belonging to the mechanistic stream in political economy is indeed substantial. This is, so to say, the external aspect of the article of comrade Landye, but there is also another aspect, closely related with the first, i.e., that of a Rubinstein critic himself advancing those views which he describes in criticising comrade Cohn: this aspect interests us above all.

Let us begin with the principal view which he states on the content of the discussion.

Comrade Landye advances the thesis of the presence of *two* approaches in the current economic-theoretical discussion. In his opinion, these two approaches only *reproduce* the approaches having come to light in the philosophical discussion. Comrade Landye regards as a priori proven the fact that there exist only two directions: either the social approach, characterised by the recognition that all categories are purely and exclusively social, in opposition to the material process of production, or the vulgar-materialistic, mechanistic approach, characterised by the recognition that all categories are logical, representing the union of various quantity of simple, qualityless matter, i.e., human energy. In comrade Landye, as also in all the followers of Rubin, a certain malady is observable: if someone speaks about the physiological character of phenomena, it is already enough for them to announce the physiological character of phenomena as absolute. For example, if someone speaks about including the material productive forces within political economy, as one of the aspects of the capitalist mode of production, this amounts for them to including technology within political economy. Or, if someone says that abstract labour is also a physiological phenomenon, this is for them tan-

1 *Under the Banner of Marxism*, no. 5, 1929.

tamount to recognising abstract labour only as a phenomenon of the working human organism. This 'absolutisation' shows only the complete incapacity of the Rubin school to understand that there can be a third approach, i.e., a social-materialistic approach, characterised by dualistic views on the content of the categories of political economy.

By the way, doesn't comrade Landye remember who raised precisely in this way the problem in the philosophical discussion: either the quantitative or the qualitative point of view, who made the quality something absolute, in no relation to and independent from each other? Let us remind ourselves that precisely the mechanists could not understand that in philosophy it is possible to stand on a third position, distinct from both of those indicated above, namely on the position of the unity of quality and quantity, of their interpenetration, their mutual conditioning as a result of self-movement. Moreover, from whence did comrade Landye take the idea that the discussion in political economy must necessarily reproduce the philosophical discussion? Why and in what book of fate is it written that, if in philosophy the orthodox (for example, Deborin and others) existed first, and then mechanists (Stepanov, Akselrod, and others) appeared, then exactly in the same way also in political economy the orthodox (for example, the Rubin school) existed first, with the mechanists (Cohn, Bessonov, and other anti-Rubinists) appearing afterward? Isn't this analogy of comrade Landye's too contrived, too mechanistic? In fact, he writes thus: 'Two basic methodological approaches are taking clear shape in the philosophical discussion. These are *reproduced* in the current discussion in economic theory.'²

This is actually very good and simple! 'Here and there, and there and here'. A wonderful case of reproduction!

We must say that comrade Landye makes use of the philosophical discussion 100 percent fully. He transforms it into a scarecrow for everyone who does not want to go to Rubin's camp. Indeed, only two approaches are reproduced. That is, all that is said against Rubin is anti-Marxist, mechanistic materialism. And he imposes on himself the aim of showing 'the face of the mechanists', using thereby the simplest method: he takes up the ideas of the mechanists and pushes into them the views developed by comrade Cohn. But let us call in doubt for the present this proposition of the identity of the two discussions, and consider how comrade Landye shows us 'the face of the mechanists' and at the same time also his own face.

2 *ibid.*, p. 83 [the original page numbers of Landye's article are given between slash marks in the present translation, pp. 822–51].

1 **On the 'Quantitative Approach', on 'Abstraction in Thinking', and
on the Fundamental Error of Comrade Landye**

The first accusation of comrade Landye consists in that comrade Cohn *reduces* the content of individual categories of the theory of value exclusively to the quantitative moment, that he ignores the qualitative substance of these categories, and therefore that the latter have for him allegedly no qualitative determination. Thus, for example, abstract labour, value, and others appear, according to Cohn, as logical or transhistorical categories, from which is expelled their qualitative nature – which alone makes these categories historical.

However, comrade Landye is not satisfied with the simple enumeration of errors. He raises a deeper problem: why was comrade Cohn misled? And here begins the elucidation of the qualitative nature of comrade Landye himself, through his relation to comrade Cohn.

Comrade Landye considers that the cause due to which comrade Cohn fell into such a quantitative 'helplessness' is *his negation* of the objective character of the processes of the reduction of concrete to abstract labour, and the negation in general of the adequateness of the abstraction in thinking from objectively occurring processes. All the categories comrade Cohn makes use of are from this point of view *categories purely in thinking*, not reflecting really existing phenomena. For example, abstract labour in comrade Cohn is, as comrade Landye assures us, a category in thinking, i.e., not a real abstraction from the particularities of concrete labour in the nature of commodity economy, abstract labour is a result only of the corresponding activity of the human brain. Here comrade Landye generalises of course as follows: '[T]his attitude of abstraction in thinking is very pleasing to Cohn, and comprises the particularity of the 'abstract' method of the mechanists ...'.³

It is self-evident that comrade Landye does not neglect the importance of this abstraction in thinking. He takes it seriously. The way of abstraction in thinking 'is a way leading to a subjective method.' As a result of such an abstraction in thinking, Cohn 'obtains the concept of abstract labour, as the simple expenditure of energy.'⁴ Since for comrade Cohn the starting category of analysis is abstract labour, a category in thinking, 'he (Cohn) is not capable of *drawing* deductively the subsequent categories, therefore he *mechanically superposes* the category of socially necessary labour ...' and so on and so forth.⁵

3 *Under the Banner of Marxism*, no. 5, 1929, p. 97.

4 *ibid.*, p. 87.

5 *ibid.*, p. 88. Emphasis in original.

Things are escalating, comrade Landye sows almost the seeds of a storm, but let us see whether he does not reap fleas.

Comrade Landye everywhere advances the system of errors of 'Cohnovski', based on the declaration of comrade Cohn that Marx builds his theory of value 'not directly starting from the objectively occurring reduction of concrete to abstract labour and of private to social labour, *the understanding of which is possible* only on the basis of the cognition of value and its form, but from the reduction in thinking of different kinds of labour.'⁶ Precisely this passage gives foundation to comrade Landye for raising the following 'queer' question: '[Is it] admissible to ascribe to the creator of dialectical *materialism* the way of abstraction purely in thinking, not adequate to objectively occurring processes?'⁷

However, ... in the same article and on the same page from which comrade Landye draws his quotation, we read an entirely contradictory assertion by comrade Cohn, namely that the process of the reduction of concrete to abstract labour is an *objective* process, and that abstract labour is a really existing category: 'Only here does he (Marx) show that in the conditions of exchange society that reduction of concrete to abstract labour, which was at first effected by Marx only in thinking, occurs also in *objective reality*.'⁸ Or in the 'ultra-mechanistic' *Course* of comrade Cohn: 'Now we find out that the reduction of concrete to abstract labour takes place in exchange society not only in the mind of the researcher, but also *goes on objectively in real life*.'⁹

6 *Bulletin of the Communist Academy*, no. 5, 1929, p. 268, comrade Landye's emphasis [the original page numbers of Cohn's article are given between slash marks in the present translation, pp. 707–37].

7 *Under the Banner of Marxism*, no. 5, 1929, p. 86. Emphasis in original.

How far comrade Cohn actually attributes 'to the creator of dialectical *materialism* the way of abstraction purely in thinking' can be seen from the following quotation: 'Every concrete phenomenon represents an intricate complex of different and sometimes also heterogeneous elements, many a number of determinations. In order to understand this intricate complex, it is necessary to analytically decompose this complex into its component elements, to pick out from among many determinations the one which is fundamental. Then we obtain an abstraction, which is the simplified, one-sided reflection of the concrete phenomenon. Having cognised the phenomenon interesting for us in this simplified 'germinal' form, we can set off in the diverse course, the course of 'reproduction in thinking of the concrete' (*Course*, second edition, p. 70). In this quotation is raised the problem of the methods of cognition of concrete phenomenon, but not of whether the categories of the theory of value are not objectively existing categories, as comrade Landye asserts.

8 *Bulletin of the Communist Academy*, no. 5, 1929, p. 268.

9 *Course*, second edition, p. 31.

Where is the problem? What are in fact the views of comrade Cohn on the provenance of abstract labour? Is the latter only a category in thinking, as comrade Landye declares (we point out in parentheses that virtually the whole of the thesis of comrade Landye on the mechanistic method of comrade Cohn is built on this assertion), or an objectively existing category, as is said in the quotations above?

We declare categorically that Landye perverted in a most inadmissible manner the meaning of the above quotation on the reduction of concrete to abstract labour in thinking. Even from this we cannot draw the conclusion that comrade Cohn *rejects* the objective process of the reduction of concrete to abstract labour, since comrade Cohn straightforwardly points out that 'we can' understand this process 'only on the basis of the cognition of value and its form', i.e., he does not reject this process, but indicates definite conditions for its cognition. How is it possible, without recognising the objective character of the process of formation of abstract labour, to declare at the same time its cognition under certain conditions? This is an illogical assertion on the part of comrade Landye!

Thus, the question is about the subject of the dispute: about whether a process of reduction of concrete to abstract labour actually exists, according to the version of comrade Landye, or about how to understand this process, according to the version of comrade Cohn.

We leave the solution of this problem to the reader, and raise for ourselves a more interesting question: what is hidden behind this legend created by comrade Landye? What did he intend in distorting such a clear proposition of comrade Cohn's?

Let us first of all confirm for what purpose the passage about the reduction in thinking was actually quoted. To know this, let us look somewhat ahead. On the previous page comrade Cohn indicates the undialectical method of Rubin, the drawback of which is included concretely in that Rubin does not start from the simplest abstractions, corresponding to reality, but from complicated categories. In this way the process of the development of simple categories as a reflection of reality, i.e., the process of their transformation into more complicated categories, is ignored, and the reality of the connection of individual categories among each other, their interpenetration, is overlooked; from here results a distortion of Marx's dialectical method, the transformation of external phenomena, like exchange, into the self-sufficient form of connection, into the essence of the process of production, and so on and so forth.

We will return again to this problem. But now it should be emphasised that comrade Landye preferred to get around these accusations (but he did not get away from them, as we will see below). It may be disputable how far they

are correct, but they do not at all lie on that plane on which comrade Landye describes this, i.e., on the plane of whether abstract labour is a category in thinking or in objective reality.

In making these absurd comments, Landye showed thereby the face of comrade Cohn in a 'terrible' form, at the same time as presenting in a favourable light Rubin and his partisans, as far as they disclose mercilessly this error.

This smoke screen 'around Cohn' allows comrade Landye to perform an operation with Marx's method. Comrade Landye 'jumps and plays' with regard to such a passage of comrade Cohn's: 'you must only *abstract* from that use value ...' in order to obtain abstract labour. Where is the objective criterion for deciding from what to abstract, inquires threateningly comrade Landye.¹⁰

Let us quote still some further similar passages to help comrade Landye:

If then we *leave out of consideration* the use value of commodities, they have only one common property left, that of being products of labour ... If we make *abstraction from its* use value ... Let us now consider the residue of each of these products ... if we *abstract* from their use value ...¹¹

'To measure the exchange values of commodities by the labour time they contain, the different kinds of labour have to be reduced to uniform, homogeneous, simple labour.'¹²

Does not comrade Landye 'jump' also here from the quoted passages of ... Marx?

But Marx remains nevertheless Marx here also, for your information comrade Landye, since Marx, in speaking on the first pages of *Capital* about abstracting from concrete labour exclusively in a theoretical manner in order to find the traces of hidden substance of value, declares further in the analysis of the form of value: 'We see, then, all that our analysis of the value of commodities has already told us, is told us by the linen itself, so soon as it comes into communication with another commodity, the coat.'¹³ This 'all that' is included in that, first, abstract labour as substance forms the value of commodities, secondly, that substance of value is distinct from the nature of use value.

Thus, the nature of value practically becomes apparent through the form of value, about which tells the process of the exchange of two commodities.

10 *Under the Banner of Marxism*, no. 5, 1924 [9], p. 89 [87].

11 [*Capital*, I. pp. 45–6, MWGA, II/6, p. 72. Emphasis added].

12 [*Critique*, p. 272, MEGA, II/2, p. 110].

13 [*Capital*, I. p. 58, MWGA, II/6, p. 85].

However, a *scientific* cognition of value is possible only by means of reproduction in thinking, starting from the simplest abstraction 'in thinking', reflecting the concrete phenomenon only in germinal form, and only at the end of this way can we arrive at a category wholly adequate to the concrete reality. From this arises the necessity of abstracting from use value. Marx's theory of value and the connection of individual categories of political economy are *based on* Marx's theory of the twofold nature of labour. The twofold nature of labour is represented in a commodity as the contradictory unity, conditioning the movement of individual categories, as far as they approve the reality, the inevitability of their existence in one or another form, and so the character of the connection of these categories among themselves. We put for example money in a *direct* connection with exchange value, but not with abstract labour, on the other hand, abstract labour is connected directly with concrete labour, but not with exchange value, and so on. But value goes over to money, acquires in matter an autonomous existence due to the necessity to 'liberate' abstract labour from that concrete form in which it was expended, in order to determine the social significance of this expenditure in its *concrete form*, through comparison with the other expenditures of abstract labour.

All these intermediations are, as can be seen from the above example, conditioned in the last analysis by the twofold nature of the labour of the commodity producer.

The contradictory character of labour creating commodities is the simplest phenomenon of the commodity economy, not in the sense that it includes within itself in advance all the following phenomena, as already having formed, but in the sense that the mode of solution of the contradictory essence of the labour of the commodity producer, determined by its twofold nature, gives rise to all other categories, the content of which is potentially included within this nature of labour.

Therefore, Marx sets out to the clarification of this twofold nature of labour right on the first pages of *Capital*. Having defined in the foreword the object of his investigation, Marx further analyses the commodity as the elementary and hence the starting cell of the capitalist mode of production. Marx discovers, as is well known, the two aspects of the commodity: use value and exchange value. Not staying on the former, removing it purely in thinking from his field of view ('If we abstract from ...'), Marx analytically reduces exchange value to value, and the latter to abstract labour, as the substance of value, determining at the same time its magnitude. Only after having accomplished this work, Marx formulates his theory of the twofold nature of labour and, starting from it, deduces with the synthetic method ('reproduces') all the categories in the order of their internal connection.

Rubin and his followers speak much about this connection of individual categories among themselves, while losing sight of the determinedness of this connection, which is given by the contradictory essence of labour creating commodities.

Rubin distorts the nature of the latter, presenting it unilaterally, substituting the theory of abstract labour for the theory of the twofold character of labour. Thus, in the chapter on abstract labour in his *Essays*, quoting Marx's words from *Capital* that 'this point is the pivot on which a clear comprehension of political economy turns ...', and from the well-known letter from Marx to Engels the words emphasising the importance of the phenomenon of the twofold character of labour for the commodity economy, Rubin writes *immediately* after them: 'In view of the decisive importance Marx attaches to his *theory of abstract labour* ...'¹⁴, that is, he evidently distorts the meaning of the quotations from Marx. In another passage Rubin transforms the theory of the twofold character of labour into a supplement to the substance of value.¹⁵ Also unsatisfactory is another explanation of Rubin's, according to which 'the twofold character of labour reflects the *difference* between the material-technical process of production and its social form. This *difference*, explained by us in the chapter on commodity fetishism, [this phrase is omitted from the quotation] *is the basis of* Marx's whole economic theory, including the theory of value.'¹⁶

Here Rubin ignores the unity of the two mutually contradictory aspects of labour. In truth, *not a simple*, not an absolute *difference* between them, but a *contradictory unity* of concrete and abstract labour lies at the basis of the theory of value. The moment of interpenetration is ignored by the Rubin school, therefore Rubin cannot disclose the actual connection of Marx's categories, is unable to present to us their dialectical development, as far as this development is oriented toward the solution of this contradiction. Rubin takes for his starting point neither the analysis of the commodity (in his *Essays* he prefers to get along with the term 'thing'), nor the analysis of its contradiction, but abstract labour.

Rubin starts from the concept of social labour in its specificity, constructs the concept of abstract labour as such outside of the connection with the reality, with the twofold nature of labour, and wholly ignores that analysis of the commodity which Marx gives in the first pages of *Capital*. 'We take as the start-

14 Rubin, *ibid.*, third edition, p. 135 [pp. 180, 208 in the present translation. Emphasis added].

15 *Ibid.*, p. 125 [p. 145 in the present translation].

16 *ibid.*, p. 83 [p. 101 in the present translation. Emphasis modified from the original].

ing point of investigation the concept of labour, not the concept of value', writes Rubin, having in view abstract labour.¹⁷ That Rubin (and also his school) does not understand the importance of the analysis of the commodity is shown in the characterisation he gives of the first section of the first chapter of *Capital*, where we find this analysis. His characterisation runs as follows: 'In the first section of the first chapter of *Capital*, Marx considers the 'content', the 'substance' of value, the technical-productional labour process, *separately* from its social form (the commodity form or form of value).'¹⁸ The analysis of the commodity is, according to Rubin, the analysis of the technical-productional process! It is only natural that Rubin preferred to expel this analysis of the commodity from the bounds of his theory of value.

We find the same in comrade Landye when he scoffs at the abstraction from use value, requires for the construction of value to start from abstract labour, declaring that 'the category of the abstract bears a qualitative *synthetic* character, as a determination of social labour in exchange society, and thereby Marx *deduces* the category of socially necessary labour'.¹⁹

Everyone knows that socially-necessary labour is the same abstract labour, taken in a certain quantity. The latter, i.e., the quantity, is given by the social conditions of production of that use value, in which is reified abstract labour, therefore Marx did not try to deduce abstract labour from abstract labour (as comrade Landye does). All that Marx did here consists in his establishing the connection of the socially-necessary magnitude of reified abstract labour with the concrete aspect of labour. And since the latter is possible only when recognising as the basis of the theory of value the theory of the twofold character of bourgeois labour (this is what Rubin and his partisans reject), he should *deduce* from abstract labour, as a synthetic concept, abstract labour in its socially-necessary quantity. Excellent dialectics!

Not presenting the character of the development of phenomena from simple to more complex phenomena, Rubin and his partisans distort the dialectical method of Marx! They arbitrarily form economic categories, determining them so as to include in the basic (starting) abstractions *de facto* already all the remaining categories (subject to reproduction), and then pose the task of proving the existence of these determinations, instead of considering the process itself of the development of the commodity economy, which would prove in

17 Rubin, 'Abstract Labour and Value [in Marx's System]', p. 5 [p. 532 in the present translation].

18 Rubin, *Essays on Marx's Theory of Value*, second edition, p. 89 [p. 166 in the present translation. Emphasis added].

19 *Under the Banner of Marxism*, no. 5, 1929, p. 88.

itself the presence of these determinations. The following is what, for example, I. Rubin writes: '*let us pose before us the task of proving*, that value is: 1) a social relation of people; 2) having assumed a material form; and 3) connected with the process of production.'²⁰ Or: '*We must define* the concept of labour in such a way that the features of the social organisation of labour are already included in it.'²¹ Abstract labour already includes within it for Rubin a ready-made concept of value and money.

If we have from the outset complex categories with every determination of them, we will have no need to seek the hidden essence of phenomena reflected in these categories. It is precisely this conclusion which Rubin makes. In the second edition of his *Essays*, he declared this utterly openly. He wrote: '[A]ccording to Marx, value is something like a hidden essence, with exchange value the external form of its manifestation' (p. 85 [p. 162 in the present translation. In original, this sentence is preceded by the phrase 'It is erroneous to say that', so that Rubin is opposed to the tenor of the quoted sentence]).

From here arise also the demands, in particular of comrade Landye, for 'beginning' from the theory of social labour, which is for Marx only the synthetic conclusion from his consideration of the whole process of movement of the contradiction between concrete and abstract labour. Starting from these complicated categories, Landye is unable to understand why Marx begins from the abstraction in thinking from use value in order to arrive at the substance of value, and not from abstract labour, in which the concept of value is already included, as Rubin does.

In this case, we have a phenomenon similar to the fetishisation of money. If we study the latter as a given, and do not reproduce in thinking the process of its formation, we will believe that gold is money and therefore all the other commodities express their values in it.

To start directly from social labour in exchange society amounts to starting from the results of the process, and not from the process itself, with specific phenomena inherent in it. Therefore, Rubin is also obliged to include within the concept of abstract labour the concepts of value and money. The complex *synthetical* categories of Rubin and Landye conceal the process of their apparition, their causal dependences.

Thus, behind the mysterious assertion of comrade Landye that abstract labour is for comrade Cohn a category purely in thinking, is hidden his incom-

20 Rubin, *ibid.*, second edition, p. 74 [cf. p. 91, 780 in the present translation].

21 Rubin, 'Abstract Labour and Value [in Marx's System]', p. 5 [p. 532 in the present translation. Emphasis added].

prehension of Marx's dialectical method. Landye takes up one aspect of Marx's method, consisting in finding out the simplest categories with the analytical method, and in making it 'exorbitant', he brings it to absurdity, to declare that the method of abstraction in thinking is properly the method of investigation of comrade Cohn.

An ancient 'critical' attitude!

Let us move to another proposition of comrade Landye's.

In his opinion, comrade Cohn ignores the contradiction between private and social labour in studying the commodity economy.

'Here (in exchange society), ... the labour of each producer acquires the form of private labour and does not *manifest itself directly* as social labour ... The equilibrium of production is established spontaneously, apart from the consciousness and will of people', writes comrade Cohn.²² We think commentaries would be superfluous. Comrade Landye simply skipped the whole of Chapter 1, and founded on this procedure all of his accusations of the qualityless and trans-historical approach of comrade Cohn to commodity society.

But let us consider the 'qualitative' approach of comrade Landye himself. He writes: 'Private labour, which is *always and directly* concrete labour, labour in its concrete particularity ...'²³

Comrade Landye, as can be seen from the quoted passage, considers concrete labour as private labour, i.e., includes within the definitions of concrete labour definitions of social structure (since private labour is a property of commodity society). Here he falls into an undeniable contradiction with his teacher, who, as is well known, considers concrete labour as a natural-technical²⁴ or material-technical²⁵ category. However, Landye's disagreements with Rubin do not end with this. If Landye asserts that 'private labour is always and directly concrete labour', Rubin warns against such an identification.

Rubin categorically asserts, that

[i]f private labour is identified with material-technical labour, the assertion that labour in the phase of direct production is directly private labour can be interpreted in the meaning that labour is considered exclusively from its material-technical side, without relation to its social form. But to a reader anyhow familiar with the matter it is well known that for

22 Cohn, *Course*, second edition, pp. 8–9.

23 *Under the Banner of Marxism*, no. 5, 1929, p. 83 [85, 'always and directly' is 'always directly' in original].

24 Rubin, *ibid.*, second edition, p. 100 [p. 210 in the present translation].

25 *ibid.*, third edition, p. 155 [p. 172 in the present translation].

Marx the term 'private' labour *has nothing in common* with material-technical labour and already includes within it the indication of a social form of labour, organised in the mode obtaining in the commodity economy.²⁶

Neither Rubin nor Landye is in truth correct. If the former considers that private labour 'has nothing in common' with concrete labour, determines them as two kinds of labour, and thereby deprives the latter of its social traits, its qualitative determinedness, comrade Landye approaches inversely, i.e., he identifies private and concrete labour, and thereby factually deprives the latter of that specific form in which it is expended in the commodity economy. In every society concrete labour is expended in a definite social form. Particularly in the commodity economy, concrete labour is expended in the form of private labour. This is its social characteristic. Therefore, private labour is not a new kind of labour, distinct from concrete labour, as is supposed by Rubin, but only a form of it. But this does not mean that private labour is directly concrete labour, as asserts comrade Landye. Both of these interpretations arrive at one result: the real essence of the contradiction between concrete and abstract labour in the commodity economy, or the contradiction between private and social labour, is distorted.

Comrade Landye distorted with his understanding of private labour the real quality of the commodity economy.

In this way, we have still more evidence of the undialectical method of the Rubin school.

We have to indicate still one more point in the 'critical work' of comrade Landye.

Comrade Landye advanced a stupid accusation against comrade Cohn, that the latter considers abstract labour as an unreal category in thinking, and together with this accuses comrade Cohn that abstract labour is for him the physiological expenditure of energy. Are these two accusations consistent with one another? Can we think of such a proposition as meaning that, on the one hand, abstract labour is an unreal category in thinking, but, on the other hand, this same labour is the expenditure of physiological energy? But comrade Landye reached agreement precisely with such nonsense in attempting to depict the mechanistic method of investigation in comrade Cohn.

26 Ibid., p. 329 [p. 382 in the present translation. Emphasis added].

2 The Problem of Substance and Form in Comrade Cohn and of Identity and Difference in Comrade Landye

The third part of the article of comrade Landye on the substance and form of value includes accusations of comrade Cohn that the latter identifies the substance of value with value, value with exchange value, and the immanent form of value with the form of manifestation of value.²⁷ Comrade Landye triumphantly says: 'We see here the understanding of quality so characteristic of the mechanists: the identification of quality and property.'²⁸

Landye likes philosophy, but it can never be said that philosophy likes comrade Landye and prefers to speak through his mouth.

Landye descends on the proposition of comrade Cohn that 'value and exchange value are one and the same category, only considered from *different points of view*'.²⁹ Comrade Landye further modifies this quotation in the following way: 'Therefore, for him (Cohn) 'value and exchange value are one and the same category''. As we see, from here are discarded the words: 'from different points of view' (p. 91). From here comrade Landye draws the conclusion that 'the quantitative approach in the foundation of the theory of value leads Cohn to the identification of value and exchange value, of the form of value and the form of *manifestation* of value' (p. 90 [emphasis in original but not reproduced in Verner's quotation]).

How far is this conclusion grounded?

If we apply philosophical terms and name value as quality, and exchange value property as a definite form of the relation or 'entity for others' of value, we can state, that value as quality is property, but in a certain sense, from a certain point of view. I assert that any philosophical consultation to which comrade Landye turns authorises such a wording, since the point of view of the mechanists is distinguished from the point of view of the dialecticians in that the former identify quality and property, declaring that 'quality is the relation of the totality of the properties of a given thing, a given phenomenon to the totality of the properties of another thing, another phenomenon', and that's all.³⁰

27 *Under the Banner of Marxism*, no. 5, 1929, p. 92.

28 We think that there is no need to expand on the other propositions in this part of the article of comrade Landye, insofar as they are connected with his assertion on the 'provenance in thinking' of abstract labour and of other categories.

29 We are not inclined to regard this sentence as correctly expressing the meaning which it must express, judging from the context from which it is taken. But it is still far from here to the thesis of comrade Landye on the identification.

30 Sarab'yanov, *Historical Materialism*, seventh edition, p. 159.

But the dialecticians after Hegel, Marx, and Lenin say that quality is property only in a certain sense, because quality manifests itself in properties, comes to be known in properties, and receives through them its 'entity for others'. But quality is never to be reduced to property, since, other than property and 'entity for others', quality has another aspect, namely, 'entity in itself', 'relation with itself'. This is why we can say, think, and write that quality is property, but that in a certain sense, or in application to political economy, value is property, that is, exchange value, but *from a certain point of view*. Comrade Cohn, having stipulated this, thereby emphasised never to reduce exchange value (property) to quality, value without remnant: they are not absolutely identical. Value means more than exchange value, it is the basis of the latter, or the content of its form of manifestation.

But at the same time as indicating the difference ('from different points of view'), comrade Cohn indicates their unity, their interdependence, their interpenetration, declaring that this is one and the same category. We emphasise that in the passage from whence this quotation was taken, comrade Cohn speaks about exchange value.

Comrade Landye prefers to omit this 'addition' of comrade Cohn 'from different points of view', in order to proclaim loudly and terribly that comrade Cohn identifies exchange value and the form of value, the substance of value and value.

Comrade Landye declares that comrade Cohn does not draw demarcation between these categories. Let us declare once again that, if comrade Landye did not impose on himself the aim of creating by any means the variant of the contemporary mechanists in political economy in the person of Cohn, he would have found this demarcation. Let us indicate him at least page 41 of Cohn's *Course* (second edition).³¹

In all these problems, one aspect of dialectics, i.e., the unity of these categories of political economy, remains entirely incomprehensible for comrade Landye (an organic vice of the Rubin school).

He understands that value must be distinguished and is distinguished from exchange value, the substance of value from value, and so on. But as soon

31 Cohn writes: 'The theory of value distinguishes: 1) the substance of value, abstract simple social labour in its social form specific to the exchange economy; this is a living process, forming value, but itself representing no value; 2) value, a reflection of the socially-necessary quantity of abstract simple social labour in a commodity; this is not living labour, but social labour, a material form of labour, a phenomenon inherent only to exchange society; 3) exchange value, a manifestation of the value of a commodity in quantitatively-determined proportions, emerging among commodities exchanged on the market.'

as the problem of the unity of these categories, of the interpenetration of them, of the transition from one to another is raised, comrade Landye becomes unhelpful and adopts a warlike pose, shouting about their identity, the destruction of every difference, the qualityless approach, and so on and so forth. Rubin's school is not able to apply analysis and synthesis in their unity, to study not only parts of a whole but also the whole itself in all its peculiarity.

Let us give here a very clear example.

Rubin does not show what a commodity, as the unity of use value and value, is. Therefore, in his *Essays* he prefers to get along with the term 'thing', and only operates on the opposite, the difference between use value and value. However, as far as he does not understand where their unity is to be found, he cannot show how their difference really manifests itself. Thus, he declares that 'the contrast between them (use value and value – Z. K[V].) arises from the contrast between the method of natural science studying a commodity as a thing and the sociological method studying the social relations of production 'intertwined with a thing''³²

Thus, according to Rubin, from the point of view of the sociological method the problem of the difference between use value and value should never be raised, since the sociological method of Rubin is not occupied with use value, i.e., with the contradictory unity represented in a commodity by these categories, since the difference between them appears only when we apply not only the 'sociological' method but also 'the method of natural science'. This 'methodological' difference essentially destroys the quality of the labour of the commodity producer, its twofold character. Rubin speaks about abstract labour only *in distinction* from concrete labour, not seeing their unity, really represented in commodity. This is the reason why we have not any analysis of the *commodity* in his *Essays*.

We have literally the same with regard to exchange value and value in comrade Landye. Comrade Landye takes every phrase on the unity of these categories for declaring their identity. Here again, comrade Landye, we see the same history familiar to philosophical discussion. In the same way as the mechanists transformed every declaration of orthodoxy on the unity into the absolute, comrade Landye transforms every phrase on their identity into their absolute identity. But here comrade Landye gives himself away, since not to understand that the identity is relative, that value and exchange value are one and the same category, only from a definite point of view, amounts to not understanding the

32 Rubin, *ibid.*, p. 38, footnote [p. 52, footnote 6 in the present translation].

contradictory unity of the basic category of Marx's political economy, of the commodity, to not seeing the concrete character of their identity, to not seeing the unity of identity and difference.

From the incomprehension of the unity of identity and difference arises also another error, i.e., the incomprehension of their interrelation and in particular of the significance which the property, i.e., exchange value, has for the quality, i.e., value.

Comrade Landye knows what the immanent form of value is, as distinct from exchange value as the form of manifestation of value, and conversely, what exchange value is as a category distinct from the immanent form of value. He defends this difference actively, but ... equally actively turns against establishing any connection between them, accusing the disturbers of the 'order and calmness' in political economy of absolute identification, of mixing, and so on and so forth.

Let us take the proposition of Hegel.

Quality specifically is a *property* only when, in an *external connection*, it manifests itself as an *immanent determination*. By properties of herbs, for instance, we understand determinations which are not just *proper* to something but are such that, in virtue of them, this something *holds its own* while referring to others and will not give in to the alien influences posited in it by them; on the contrary, it *imposes* its own determinations in the other, though it does not keep it at a distance.³³

Here Hegel shows that quality manifests and maintains itself as 'entity in itself', through its property as a form of relations. Quality as a thing can be cognised only through its property, through its relation to another thing. Marx said precisely the same when he wrote:

There is, however, something else required beyond the expression of the specific character of the labour of which the value of the linen consists. Human labour power in motion, or human labour, creates value, but *is not itself value*. It becomes value only in its congealed state, when embodied in the form of some object. In order to express the value of the linen as a congelation of human labour, that value must be expressed as having

33 Hegel, *The Science of Logic*, p. 54 [Georg Wilhelm Friedrich Hegel, *The Science of Logic*, Cambridge University Press, 2010, p. 88. Hegel, *Wissenschaft der Logik*, herausgegeben von Georg Lasson, erster Teil, Felix Meiner, Hamburg, 1975, p. 101. Emphasis in original].

objective existence, as being a something *materially* different from the linen itself, and yet a something common to the linen and all other commodities.³⁴

This task is performed in the exchange relation of two commodities.

In this way, human labour in general or abstract labour is not yet value, it only forms or creates value. The confirmation of the fact that labour is hidden behind value is still insufficient for understanding value. The analytical method, which reveals this circumstance, must be supplemented by the syncretical method. Labour not as a process, but as a crystal, as reified labour, is value. Value is conditioned by the fact that human labour power in the commodity economy was 'in motion', but this 'entity for itself' must be determined through a relation to another thing, through exchange value. Through this relation value 'holds' its own, asserts itself in its existence. Exchange value is not something individual and independent of value, but only an aspect of value, its 'entity for others'. On the other hand, value finds in exchange value its limited character, which gives value also its determinedness. The expenditure of 'human labour in general' in exchange society acquires its material form through the exchange relation of commodities, reveals itself as a determinate entity, namely as value. Exchange value is the negation of value, and thereby it determines the reality of value. 'All things are not limited in their existence by this abstract moment (entity in itself), they are *necessarily* reflected in the other, and therefore they have property.'³⁵

This moment of interpenetration of the categories of the theory of value entirely does not exist for comrade Landye, or, it must be added, for the whole Rubin school. Comrade Cohn poses it when he writes that 'exchange value ... gives the labour expended on the production of a *commodity*, the form transforming it from labour to value'.³⁶ But comrade Landye, insisting on his own understanding of identity and difference, declares that here 'Cohn identifies the form of manifestation of value with the form of value' (p. 92).

Comrade Landye never raises for himself the problem of the connection, of the mutual conditioning, of the interpenetration of Marx's categories, while repeatedly but blindly bumping into this problem. From this point of view, it will be interesting to analyse pages 91–2 of this article.

34 [Capital, I, pp. 57–8, MEGA, II/6, pp. 83–4. Emphasis added].

35 Hegel, *The Science of Logic*, p. 54 [locus citato unidentified].

36 Cohn, *Course*, second edition, p. 30.

Having pointed out the 'identification' of value and exchange value by comrade Cohn, he begins with quotations from Marx to prove their difference, and bumps into the problem of the isolated existence of the commodity. Having indicated that 'a commodity, considered in isolation has an 'abstract value' [p. 91]), or immanent form of value, and making a corresponding quotation from *Capital*, comrade Landye limits himself to the characterisation of abstract value in contrast to exchange value. With this comrade Landye *concludes* his analysis, since there is in fact nothing further to analyse. But indeed, analysis is only one aspect of the dialectical method, comrade Landye! Indeed, there can be no difference without connection! And here appears the real difference between Marx and comrade Landye.

Comrade Landye makes a quotation from *Capital*. In view of the particular interest of this quotation for the question now we are considering, we quote it in its entirety:

If we say that, as values, commodities are mere congelation of human labour, we *reduce them by our analysis*, it is true, to the abstraction, value ['abstract value' in both Landye's and Verner's quotations]; but we ascribe to this value no form *apart from* their bodily form. (Here comrade Landye ends, but not Marx: let us continue the quotation.) It is otherwise in the value *relation* of one commodity to another. Here, the one stands forth in its character of value by reason of *its relation* to the other.³⁷

Comrade Landye sees in this quotation only difference, restricting himself only to Marx's indication to the existence of abstract value, or the immanent form of value, to which 'our analysis' reduces the commodity. But Marx does not stay on this point in spite of comrade Landye. Marx immediately points out that the character of the commodity as value, entity in itself, manifests itself, exists only in the relation of itself to another commodity, i.e., in the entity for others. And therefore, value in its specificity can be understood only through exchange value. Value in reality is not abstract, it is real and as reality it is limited. Its determinedness is included in this limited character, but the limited character of an entity is given by its relation to other value, or by the 'entity for others', or by exchange value. This is noticed also by Marx. We have interpenetration, or a transition of abstract value into exchange value, a problem inaccessible to the Rubin school.

37 [*Capital*, I, p. 57, MEGA, II/6, p. 83. Emphasis added].

3 Species of the Commodity Economy in Comrade Landye

The methodological errors of comrade Landye indicated above acquire some concrete elaboration in the following sections of his article (the fourth, the fifth, and the sixth), where he touches upon problems of a macro character, like the problem of equilibrium, of the laws of social development, and so on.

We say 'some' since the actual views of comrade Landye in a positive form are described in this passage with literally one or two lines.³⁸

He directs the whole power of his argumentation to the demonstration of actual errors of comrade Cohn, which cannot be denied by anyone. But comrade Landye connects these errors with those described by him in advance, and consolidates in this way his version of abstraction in thinking as the basic method of the 'neo-mechanist Cohn'.

We have already pointed out that comrade Landye, following Rubin, starts from complex categories. For him there is no process of development of definite simple to more complex categories, to higher categories in their nature. But, in starting from such a point, he has only to prove the presence of certain determinations, properties, that these complex categories have, as the reflection of the actual process of development. From this point of view, Rubinists direct all their efforts of investigation to establishing the differences among categories, and if they raise the problem of a definite form of connection among them, they limit themselves either to generally confirming the presence of this connection or to declaring the existence of such a 'non-partisan' form of connection as 'interaction'. The problems of interpenetration, of transition of one category to another with new distinctive features, can be solved only with a correct application of the dialectical method. We come across them neither in the article of comrade Landye nor in the works of Rubin.

In the previous pages we have disclosed this fundamental error of comrade Landye on individual categories. Now it remains for us to show how comrade Landye repeats the same error when he considers the general problems of the commodity economy, problems concerning this system as a whole.

It is entirely evident that this method, which is not able to clarify the whole reality of the transition of one kind of categories to another, and which considers phenomena as ready-made essences and aims only at clarifying the nature of these phenomena as such, cannot consider phenomena from their transitory aspect. With such a method the investigation is unavoidably restricted only to the external description of ongoing phenomena. This means that

³⁸ *Capital*, vol. I, p. XVI. [?]

comrade Landye gives us only a positive understanding of the commodity economy, gives us a representation of only the external forms of manifestation of the laws which govern this economy, and altogether overlooks 'the law of their changeability, their development, i.e., of the transition from one form to another, from one order of interrelation to another'.³⁹ By the examples of value and exchange value we have shown that comrade Landye does not understand where the determinedness of value is included, how it is negated in the transition to exchange value. But this is only a literal repetition of the error of Rubin when he establishes such a schema governing the commodity economy: '*productivity of labour – abstract labour – value – distribution of social labour*',⁴⁰ and when he subsequently calls value the 'transmission belt' [p. 111 in the present translation] of the movements of labour processes in society. Here is overlooked precisely the second aspect of value, i.e., its limited character, the necessity of its transition to exchange value. Precisely through exchange value, through money, through such a category unknown to Rubin as price, in connection with the development of the commodity economy, is prepared the change of one economic process, which proceeds in the form of C–M–C, into another economic process, which proceeds in the form of M–C–M+m, the dialectical transformation of value into a higher form, the price of production.

Precisely by this circumstance is explained the fact, that Rubin does not recognise the existence of the commodity economy historically prior to capitalist economy, since otherwise, in his initial propositions he would have to recognise these two formations as particular autonomous types of economy. As he does not see the 'law of changeability', Rubin declares, that 'the theory of labour value and the theory of the prices of production are distinguished from one another, not as *different theories* valid in different historical periods ... but as two stages of abstraction of one and the same theory of capitalist economy'.⁴¹ Rubin takes the capitalist economy as an already completed formation, having emerged from an unknown origin, offers about it only a positive understanding, and does not indicate those aspects which limit this formation, negate it, and thereby determine the necessity of its collapse.

39 Rubin, *ibid.*, third edition, p. 78 [locus citato unidentified].

40 Rubin, *Essays*, p. 279 [p. 95 in the present translation. Emphasis in original but not reproduced in Verner's quotation].

41 *Under the Banner of Marxism*, no. 5, 1929, p. 96 [in his article Landye does not quote this passage from *Essays*, which seems to be quoted by Verner himself. Cf. p. 326 in the present translation].

The commodity economy represents the simplest formation in relation to the capitalist economy, the first stage in the development of the latter, having existed during a long historical period and concealed within it the elements of this capitalist economy. Therefore, the elucidation of the laws of the transition of the commodity economy to the capitalist economy acquires a particular importance along with the analysis of the laws governing the former, in the same way as it is important to elucidate the elements of the collapse of the capitalist economy along with indicating the laws governing it. This is possible only under the condition of considering these systems in their motion, as process.

Comrade Landye starts exactly in the same way, from understanding the commodity economy as an already established ready-made formation, and he aims at uncovering the mechanism governing this commodity economy. He starts from the assumption that, if the latter is discovered, thereby also his task as a researcher will be completed. For us, who are working and fighting for the destruction of the capitalist mode of production, the reactionary essence of this orientation is evident. But let us consider his views in greater detail.

Comrade Landye repeats many times the idea that the task of the investigation of commodity society is to consider the mode of transformation of directly private labour into directly social labour (to use his formulation). He makes of this problem the content of the theory of value.

Comrade Landye restricts his investigation to the problem of *how* the contradiction between private and social labour is resolved, whereas it must be supplemented by the problem of what phenomena arise in the commodity economy as a result of this mode of resolution of this contradiction. We cannot limit ourselves to the simple confirmation of the fact that this contradiction is generally resolved, it is indispensable to emphasise right now and immediately the complete relativity of this resolution. Without considering this latter problem of the relativity of the resolution of the contradiction of the commodity economy, the problem raised by Landye can find only a superficial resolution.

To give foundation to this contention, let us quote the proposition of comrade Landye:

The task of the theory of value consists in showing through a complex system of categories *how* the atomically organised production is connected by means of the movements of things to the system of social labour as a whole, and in showing what are those immanent contradictions which develop themselves in this spontaneous social form.⁴²

42 Under the Banner of Marxism, no. 5, 1929, p. 93 [96].

Or in another place: 'Private labour is *transformed* into social labour in the movement of individual cells, *as exchange values*, which are not only qualitatively but also quantitatively determined.'⁴³

As we can see, the whole attention of comrade Landye is directed to clarifying how private labour is transformed into social labour. He raises no other problems. The position of comrade Landye can be roughly described as follows: a commodity is brought to market. Comrade Landye anxiously follows its destiny, but now that the commodity has found its purchaser, exchange occurs. Comrade Landye sighs relieved, turns his back on this commodity, and begins to follow another commodity. He writes thus: 'The contradiction (between private and social labour – Z.K [V].) is resolved by the law of value' [p. 96 in Landye's article, p. 840 in the present translation], and literally comes to an end here.

He may be unwilling to raise the problem: in what sense is it resolved, removed, or else?

Comrade Landye has just to confirm the fact of exchange, manifested 'in the movement of individual cells, as exchange values', since he gives us only the external representation of the laws of development of the commodity economy, which can in no way be recognised as satisfactory. This is why we speak about the reactionary character of such an idealistic approach to the commodity economy. But in this case comrade Landye repeats only the ideas of his teacher.

In determining the contradiction within the commodity-capitalist economy as a contradiction between the productive forces and the relations of production, Rubin entrusts its resolution to exchange. The essence of this contradiction consists, according to Rubin, in the inconsistency of both of these aspects with one another. (We will not remain here on such a 'profound' understanding of this contradiction.) This reconciliation is carried out, in his opinion, by exchange, and the whole problem of contradiction is, according to Rubin, resolved in this way. 'Exchange *uninterruptedly* unites within itself both social-economic and material-physical aspects (relations among people and the forward movement of things in the process of production).'44 With this, the problem of contradictions ends for Rubin. For him, there are and can be no other phenomena arising from the mode of resolution of contradictions, since both Rubin and Landye take the commodity economy not for a process, not for a

43 Rubin, *ibid.*, p. 26 [this quotation is from p. 93 of Landye's article, and not from *Essays*. Emphasis added].

44 *ibid.*, p. 95[25] [p. 43 in the present translation. Emphasis placed differently from the original].

stage in the development of capitalist economy, but for an abstraction of this already existing economy.

How does this economy exist? Here is the problem with which both the teacher and the pupil are occupied.

How does it not only exist but also change? Here is the problem of Marx and his followers.

We must stipulate, in order to not be wrongly understood, that the laws of changeability are not particular laws, separate from the laws of regulation: the former follow from the latter, and represent a further development of the latter. But the understanding of the laws of changeability will be excluded if we formulate the object of the theory of value like this: 'The investigation of the process of exchange, its social form, and its connection with the production of commodity society, is in essence the object of Marx's theory of value.'⁴⁵

Here the theory of value is driven into the borders of exchange. Investigate the different forms of exchange, investigate its connection with production, but do not go out of the borders of exchange – this is the behest of the teacher.

But how did Marx raise the problem? 'We saw that the exchange of commodities implies contradictory and mutually exclusive conditions.'⁴⁶ Does Marx here go out of the borders of exchange, or does he limit himself only to considering how private labour is transformed within exchange into social labour, like comrade Landye?

No, he not only raises the problem of how private labour is 'transformed' (to use the term of comrade Landye) into social labour, but also considers the characteristic forms of this 'transformation', finds them to be contradictory, exclusive of one another, and thereby emphasises their complete relativity and the inevitability of transition to higher forms. Exchange resolves, according to Marx, not simply the contradiction between private and social labour, as Landye and Rubin claim ('private labour is *transformed* into social labour in the movement of individual cells, *as exchange values*'), but develops it to the contradiction between the commodity and money, and furthermore to the contradiction between wage labour and capital. In this way, Marx refutes every flat mechanistic theory of reconciliation of the two aspects of contradiction in exchange (Rubin), and points out that exchange resolves this contradiction in such a way that they are not removed by means of their reconciliation, but rather create the forms for their movement, and, therefore, for their further development. The transition from one to another, the dynamicity of categor-

45 *ibid.*, p. 25[95] [p. 114 in the present translation].

46 [*Capital*, I, p. 106, MEGA, II/6, p. 129].

ies – this is precisely what Marx gives us in his *Capital*. The unchangeability of categories, their coexistence, the disposition of one along with another – this is precisely what Rubin says and comrade Landye repeats after him.

Value and exchange value, these are two coexisting categories and so on – this is the wisdom uttered by the latter.

Landye smudges the process of the movement of individual categories of the theory of value, revealing the nature of private labour as potentially social. For him, 'directly private labour *is contraposed* to social labour as a whole' (p. 92 [Emphasis in original]). Private labour is in fact characterised at the same time as potentially social: therefore, it cannot be directly contraposed to social labour; these two kinds of labour do not coexist together, as is the case for comrade Landye, since private labour as potentially social labour manifests itself through the form of value, represents itself as social labour. Landye represents this process as a process of the transformation of private into social labour. There existed one essence, which now became another, acutely distinct from, opposed to the former. Hence it is 'opposed'. But this is a 100 percent mechanistic view on the development of phenomena. For Landye and for Rubin, there is no hidden essence, no transition of one phenomenon to another, and so on and so forth.

From here comrade Landye attempts quite naturally to reduce the theory of social labour in the commodity economy to the problem of how the contradiction between private and social labour is resolved. For him, to speak about the one amounts 'thereby' to speaking about the other (cf. p. 92). In fact, the theory of social labour in the commodity economy includes within it not only the elements of resolution of this contradiction, but also the elements of development of this contradiction to crisis, not only the mode of transformation of private into social labour, but also the mode of transformation of this contradiction into the contradiction between social labour and private labour within the framework of the capitalist economy. For Landye, the milestones of concrete cognition of the process of distribution of labour in the commodity-capitalist economy are 'the theory of commodity fetishism and the theory of value, of the prices of production ...' (p. 96), and the transition from the commodity economy to the capitalist economy, the transitional link from the theory of value to the theory of the prices of production, i.e., the *theory of surplus value* disappeared without trace. Isn't this a distortion of Marx?

We have still two remarks.

Landye protests against calling the production of the commodity economy socially conditioned (cf. p. 97). We have here an evident divergence from Marx. Marx characterised all production in every society as socially-conditioned. The conclusion to be drawn from this negation can be only that comrade Landye

regards the production of commodities as only an individual act. Comrade Landye does not accept the dialectical view on the production of commodities, that this production is private according to its form, but is potentially-social, that producer produces not only use value but also value.

Another remark.

Landye announces that 'dialecticians maintain that higher forms are *connected* with simple forms, but at the same time the former cannot be reduced to the latter' (cf. p. 130 [103] [emphasis in original but not reproduced in Verner's quotation]). Here is once again advanced the idea of the coexistence of simple and complex forms. In fact, complex forms are the negation of simple forms, including the latter within themselves, and at the same time a new quality. The relation of complex to simple forms should not be characterised with such terms as 'connected', 'precondition', 'interaction', and so on. This is a mechanistic understanding of Marx's method, if not a simple formal solution to the problem.

4 On the Real Errors of Comrade Cohn

The theory of equilibrium, of energy balance, the negation of the principle of immanent movement, the demarcation of abstract and social labour in the commodity economy, these are undoubtedly real errors of comrade Cohn. However, can we 1) consider these errors in the past as an 'almost' completed system of mechanistic materialism, and 2) say that the views of comrade Cohn are *developed* in the direction of the views of the mechanists?

We affirm that, under the condition of adopting an impartial relation to his works, we cannot give anything other than a negative answer to these questions. We find elements of mechanistic representations only in the earliest works of comrade Cohn, going back to the period when not only comrade Cohn but also many of his critics of older generations were carrying about elements of Bogdanovshchina, of Bukharinism, i.e., of mechanism. Moreover, if we do not consider comrade Cohn statically, as does comrade Landye, but in development, we will easily discover that the process of development of comrade Cohn is a process of his overcoming the mechanistic views he had embraced earlier. The errors he committed in his article written in 1922, and also in his *Lectures on the Methodology of Political Economy*, written (as is evident from the foreword) in 1924, were acknowledged and corrected by comrade Cohn long ago. In addition, in the same *Lectures on the Methodology* we find wholly contradictory views on the laws of development of society, refuting the ideas of energy balance. For example: 'We have already shown that according to the theory of

Marxism the development of social relations is accomplished by means of the *struggle* of classes. *Contradictions* are the engine of this movement. And this development itself is *contradictory*.⁴⁷ Exactly in the same way, in the second edition of *Course*, we cannot find any of the incorrect and unsuccessful formulations which appeared in the first edition. The third edition of *Course* is distinguished by a still more deepened elaboration of the problems of Marx's economic theory. Thus, if we speak about the *tendencies of development* of comrade Cohn, only an unscrupulous critic can call these tendencies mechanistic.

We have to fight back against every distortion of Marxism, and we have a great number of examples of different forms of this struggle in the activity of Lenin. We know examples as well of merciless struggle with distortions of milder forms. The choice of one or another form is decided by the real situation, the consideration of the real circumstances and importance of the distortion in question. It seems to us that that form of struggle with the errors of comrade Cohn which comrade Landye recommends is not justified by anything. We have shown that his criticism either rests on fictional facts in its basic methodological part, or starts from clearly non-Marxist propositions, that it is a declaration for Rubin and nothing more. If it is comrade Landye who speaks about a new variety of Bogdanvshchina reviving in the works of comrade Cohn, this has only one meaning: to advance the system of views of Rubin, the reactionary character of which is confirmed, and not only theoretically. We do not say that comrade Cohn should be left aside, but we are convinced that the struggle with Rubin is much more relevant and that his views have much greater ground for their propagation and are of much greater danger, which comrade Landye himself proves.

Besides, we have to make still another remark. In political economy we have now real mechanists, for example Kajanov, Gonjinsky, Dashkovsky, Shabs and others, but they stay aside owing to that struggle among factions into which Landye and others have transformed the discussion within political economy. We have no doubt that these 'active movements' of the Rubin school will be disclosed, and the discussion will take finally its natural direction, against the Bogdanovshchina, on the one hand, and against Rubinschina, on the other.

47 Cohn, *Course*, p. 89, emphasis in original.

PART E

*Translator's Introductory Essay – Rubin's
Interpretation of Marx's Theory of
Value and the Value Controversy
in the Soviet Union in the 1920s*



The Rubin Controversy and its Political Oppression

The value controversy in the 1920s was carried on and followed by a small number of intellectuals in a few large towns, Moscow first of all, in the Soviet Union at that time, a backward country with a population illiterate in the majority. But, since this controversy bore on Marx's economic theory, the core part of the creed of a party (to be canonised later as 'Marxism-Leninism' by Stalin) barely come into power, particularly on the theory of value, the basic part of this theory, the central party could not remain indifferent about it. After the October Revolution the party significantly changed its features. During this period of time, the proportion of the novice party members, mainly composed of younger labourers of peasant origin, came to exceed overwhelmingly the pre-revolutionary old Bolsheviks mainly coming from intellectual classes. But these new members were those who became members of a Marxist party without sufficient room for acquiring a basic comprehension of Marx's thought and theory, in the conditions of wars, of confusions due to hectic political activities, and of poverty. In the 1920s, the party was thus simultaneously carrying on, like the two wheels of a car, mass propaganda for inculcating a certain number of fundamental principles into these new party members yet to be enlightened, and theoretical researches of a high level. But these two were never different tasks. For the 'mass propaganda' in a wide sense including lectures in higher educational facilities or party schools, the staff to be attached to this task and the 'manuals' for them were indispensable. Those who were occupied in the 'theoretical researches of a high level', of which the value controversy was a part, had at the same time to assume the theoretical direction of 'mass propaganda' as one of their important duties. The 'manuals' they produced were heavy weapons for the ideological activities of the party, dangerous things which would, if a single misstep were taken, be apt to inflict serious damage on the party and its State. The results of the 'theoretical researches of a high level' were naturally to have influence on the contents of the 'manuals'. This was one of the reasons for which an apparently 'academic' research and controversy had to become the object of severe control and pressure by the party when it was strengthening the 'fighting trim' (the lifting of the NEP at the end of the 1920s, crises of the capitalist world surrounding the Soviet Union, the launching of industrialisation with economic planning).

Naum Jasney, an economist of Russian origin who sought refuge in the United States, writes in his biographical study on non-Bolshevik (mainly Men-

shevik) economists active during the 1920s that 'the teaching of Marxism in higher education was dominated by Rubin, one of the accused in the Menshevik trial' (Jasney, *Soviet Economists of the Twenties: Names to be Remembered*, Cambridge University Press, 1972, p. 34). Rubin had thus a large influence on wide social strata beyond a narrow academic circle. Jasney saw the true reason for Rubin trial of 1931 in the following point:

Rubin's 'crime' was that he taught Marxism as interpreted by Kautsky and other recognised authorities, rather than according to the latest Bolshevik interpretation, and in the last years especially that of Stalin. Those in power were particularly angry with Rubin because many Bolsheviks accepted his teachings as true Marxism.¹

Let us quote still another contemporary testimony on the place and influence of Rubin in the academic world during the latter half of 1920s. S.A. Bessonov (С.А. Бессонов), who criticised Rubin most energetically in 1928 and 1929, says as follows:

The battle with Rubin is proceeding in a difficult situation. Rubin and his group have enhanced their presence for the last five years without provoking any reactions against them, in taking roots, wide but fortunately not very deep, in our literature, particularly in schoolbooks, in our academic lectures, in particular in university lectures, even in our highest scientific research institutions like the K. Marx and F. Engels Institute (Институт К. Маркса и Ф. Энгельса), RANION (РАНИОН) (acronym of the Russian Association of Scientific Research Institutes of Social Sciences (Российская Ассоциация Научно-исследовательских Институтов Общественных Наук)) and Institute of Red Professors (Институт Красной Професуры). For the moment Rubin's conception has not yet infiltrated into our economic practice. However, it is not difficult to imagine to what direction this practice would be destined by the 'social' theory of Rubin, with its cult of exchange, material forms, and absolute contempt for material production! Rubin has succeeded in creating an entire literature in developing his conception. An uncommon writer, possessing a remarkable literary talent, he appears every year with new books, inspiring with their particular style respect for the author in the mind of readers. In such conditions it is no wonder that there exists a wide range of young

¹ *ibid.*, p. 188.

people who are strongly impressed with both the academic and the literary position of Rubin. These people are willing to admit individual errors, discrepancies, and reservations in Rubin. But they can never understand at once that we find a *straightforward revisionist* in the person of Rubin. No way! cry these comrades. For five years we have been issuing and re-issuing his books; for five years we have been learning from him in all our schools, including the highest ones; for some years have been entrusting to Rubin the custody of the Marxist tradition in the Institute of Marx itself [meaning 'K. Marx and F. Engels Institute']! In *such* conditions, can your word be the truth? No, there can be no such thing! No, it just isn't true!²

In the later years of the 1920s, Rubin seems to have been in such a position as is described in this testimony by Bessonov.

It is this undesirable influence (so strong as to have disintegrating ideological effects on the party, if left as it was) as a researcher of Marx's economic theory Rubin (1886–1937) maintained during these years, which made of him a target of repression by Stalin, then solidifying the base of his political power. Furthermore, the fact that Rubin was for a long time in a very close relation with Ryazanov (1870–1938), whom Stalin (1878–1953) was waiting for an opportunity to purge due to a personal grudge against him, was an additional cause for his becoming the target of Stalin. 'In the early 1920s Ryazanov adopted an extremely negative attitude to Stalin and did not seek to hide it. Stalin, not surprisingly, was biding his time before dealing with him' (Roy A. Medvedev, *Nikolai Bukharin: the Last Years*, Norton, 1980, p. 113). Stalin, unlike other party leaders, his ex-colleagues (most of them having experience of higher education in Western countries like Bukharin), hated the intellectuals who would not show respect to his authority.

Rubin was arrested on 23 December 1930 (the day before Christmas Eve) with other 'conspirators' for taking part in the 'Union Bureau', a clandestine liaison organisation for performing subversive activities in the Soviet Union in collaboration with old Menshevik members as well as their exiled fellows who had occupied important posts during the 1920s in Soviet administrative organs and research institutions. He was brought to trial in the following March, to be condemned to five years' imprisonment. He was transferred to an isolation camp for political offenders in a remote corner of the country, to be thrown into a jail cell. This 'Union Bureau' was nothing but an organisation fabricated

2 Bessonov, 'Against the Evisceration of Marxism (on the third edition of *Essays* by I. Rubin)' «Против выхолащивания марксизма (к 3-ему изданию «Очерков» И. Рубина)», *Problems of Economy* (*Проблемы экономики*), no. 2, 1929, p. 117.

by the investigators, without any proof other than the 'confessions' made by the arrested in the course of interrogation, which allegedly 'confirmed' its existence. All other 'charges' of the arrested too relied solely on their 'confessions'. This was not peculiar to this period. The purge trials during the time of Stalin's dictatorship were generally characterised by similar tricks.

Because of the circumstances mentioned above, Ryazanov had to share the same fate as Rubin in the 'case' of the Menshevik 'Union Bureau'. The arrest of Rubin aimed also at ensnaring Ryazanov. 'The investigators forced one of the accused men, Rubin, to testify that all the basic documents of this entirely non-existent organisation were deposited with Ryazanov in his institute [the K. Marx and F. Engels Institute]' (Medvedev, 1980, p. 113), and on this 'testimony' the Joint State Political Directorate (OGPU) conducted a compulsory investigation of the Institute where Ryazanov was the director, and placed him under house arrest (however, they could not find out the documents in question). After that he was expelled from the party, dismissed from the post of director, and exiled to a remote area. Rubin was therefore forced to betray Ryazanov in 'confessing' a fake story entrapping the director, 16 years his senior, who had worked with him for a long time and put strong faith in him. Rubin's mind seemed to have been so deeply hurt by this incident that, when an occasion arose later for him to return to Moscow from exile, he chose to stay in a remote area as before, unwilling to meet again with his old acquaintances.

Now, as Rubin was put on trial in March 1931, *Pravda*, the official newspaper of the party, published two articles denouncing his theory and its evil influences, as if keeping pace with the process of his arrest, investigation, and trial. The first of them was drafted by B. Borilin, who had published up to 1929 a number of articles supporting Rubin from a position relatively close to him, entitled 'Let Us Eradicate Rubinshchina! [-shchina is a Russian derogatory suffix meaning a group of persons sharing a peculiar style of behaviour or thinking]' (Б. Борилин, «Вырвать с корня Рубинщину!»), dated 3 January. The author's tone in criticising Rubin was the same as that of Dashkivsky and Bessonov to whom he himself had been opposed earlier. In concretely enumerating the articles he had published during the last years of 1920s for the purpose of self-criticising his erroneous attitude toward Rubin's theory, he pointed out that the influence of Rubinshchina was still not yet eradicated. He concluded an appeal to other economists who had not yet expressed their decided opposition to the theory of Rubin to join the struggle against Rubinshchina. Another article was 'Let Us Thoroughly Unmask the Rubinshchina!' by Ya. Mushpert (Я. Мушперт, «Разоблачить рубинщину до конца!»), dated 7 March. In this article, Mushpert criticised the belated progress of the reform in economic education under the 'bad influences' of the 1920s, in concretely finding fault with the contents

of the curricula. For example, according to Mushpert, the category of surplus value was not included in the curriculum, because in *Essays* Rubin moved from value immediately to the problem of the prices of production without treating this category. 'It is truly regrettable to have to confirm that the source of such 'wisdom', in the obstinate, notorious *Essays* of I. Rubin, is beyond any doubt a social subversive element.' He said in addition that it was scandalous that Rubin's books were included among the required reading while Lenin's were only among the supplementary literature, Comrade Stalin being completely neglected because he had not discussed the abstract problems in political economy. The matter all the more serious for him because such a situation was observable in the curriculum of the Sverdlov Communist University. (Its formal name was: Высший коммунистический сельскохозяйственный университет имени Я. М. Свердлова, founded in 1919. Stalin's *Foundations of Leninism* was based on the conference he delivered in this university in 1924. A number of other lectures held there also subsequently served as the origins of well-known textbooks of 'Marxist political economy') The author concluded the article with a phrase alluding to an intimidation, in saying that the situation should be amended by the persons concerned in the administration of the university, without waiting for aid from outside. From these articles we can see on the whole how the central party viewed the influence of Rubin, which would not totally diminish after the intervention of its power to forcibly terminate the controversy.

Rubin himself received the verdict of imprisonment for five years, a relatively light sentence compared with the other defendants in the trial of the 'Union Bureau', and was placed in an isolation camp for political offenders in a remote corner of the country. Three years later, toward the time of his release from the prison term he spoke about his false statement about Ryazanov to Rubina, his elder sister. As her memoir about Rubin's life at that time is included in Medvedev's *Let History Judge: The Origins and Consequences of Stalinism* (Vintage Books, New York, 1973), we quote the related passage:

Rubin remained in solitary confinement throughout his imprisonment. During his confinement he continued his scholarly work. Rubin became sick in prison, and lip cancer was suspected. In connection with his sickness, in January 1933, he was taken to Moscow, to the hospital of Butyrskaya Prison. While in hospital Rubin was visited twice by GPU officials who offered to make his situation easier, to free him, to enable him to do his research. But both times Rubin refused, understanding the price that is paid for such favours. After spending six to eight weeks in the prison hospital, he was taken back to the political prison in Verkhneural'sk ...

A year later, in 1934, Rubin was released on a commuted sentence, and exiled to the town of Turgai, then an almost unpopulated settlement in the desert. Aside Rubin there were no other exiles there. After several months at Turgai, Rubin was permitted to settle in the town of Aktiubinsk. ... He got work in a consumer cooperative, as a plan economist. In addition, he continued to do his own scholarly work. In the summer of 1935, his wife became seriously sick. My brother sent a telegram asking me to come. I went right away to Aktiubinsk; my brother's wife lay in the hospital, and he himself was in a very bad condition. A month later, when his wife had recovered, I went home to Moscow. ... My brother told me that he did not want to return to Moscow, he did not want to meet his former circle of acquaintances. That showed how deeply he was spiritually shaken by all that he had been through. Only his great optimism that was characteristic of him and his deep scholarly interests gave him the strength to live. In the fall of 1937, during the mass arrests of that time, my brother was again arrested. The prison in Aktiubinsk was overcrowded, the living conditions of the prisoners were terrifying. After a short stay in the prison, he was transferred somewhere outside of Aktiubinsk. We could find out nothing more about him.³

As for the year 1937, it was in the midst of the process of mass repression by Stalin of the old Bolsheviks, beginning with the assassination of Kirov at the end of 1934 (with Zinoviev and Kamenev executed in '36, Pyatakov in '37, and Bukharin and Lyikov in '38). At Rubin, erased in this way after 1930 from the public scene of research activities, was thrown, during and after the 1930s, every kind of abuse like 'subversive element', 'social fascist', etc., not only in political journals such as *Pravda* but also in academic reviews and publications. And for the subsequent generations, he came to exist solely as such from the outset, and every trace of his existence itself was made disappear for a long time.

3 Medvedev, *ibid.*, p. 136.

The Controversy around Rubin's Interpretation of Marx's Theory of Value in the Soviet Union during the 1920s

A Intellectual and Historical Background

Основные проблемы политэкономии (*Fundamental Problems of Political Economy*), a collection of articles co-edited with Sh.M. Dvolaitsky, published in 1922, was the first result of Rubin's research into Marx's economic theory. It is a selection of the writings of economists working in the Second International, mainly in German-speaking countries, chosen by the two editors to introduce them in the Russian language. The publication of this collection seems to show that Rubin deeply perused the literature relating to the Second International, estimated it, and was influenced by it to a non-negligible degree, prior to the publication of the results of the theoretical researches of his own. He makes positive references to the articles included in this collection in relation to many points of his argument in *Essays*. Afterwards it was republished three times in 1924, 1925, and 1928, and seems to have been widely read and naturally had a large influence together with his own works. But on the other hand, due to the fact that he attached importance to the German literature of the time, his methodology was to be criticised afterwards as 'neo-Kantian idealism' (for example, in Partigul's review article entitled «Об одном неокантианском сборнике 'Основные проблемы политэкономии' (On the Neo-Kantian Collection *Fundamental Problems of Political Economy*)», published two years after the publication of the fourth edition in *Проблемы экономики* (*Problems of Economy*), no. 10, 1930, pp. 129–35).

In this way, a non-negligible influence on Rubin's interpretation of Marx was exercised by the works of theorists of the Second International, and particularly those of Rudolf Hilferding, as he himself repeatedly evidences in the debate with his critics. In 1927, he published *Современные Экономисты на Западе: Оппенгеймер, Штольцман, Амонн, Петри, Лифман. Критические очерки* (*Contemporary Economists in the West: Oppenheimer, Stolzmann, Amonn, Petry, Liefmann – Critical Essays*, cf. FIGURE 7 on p. 11 above, English translation with introduction and commentary by Richard B. Day, *Historical Materialism* 325, Brill, 2024), as a result of the research on contemporary Western economists he was carrying on from before. Here he discusses the five contemporary economists indicated in the title. They are all 'bourgeois economists

of the social tendency' (Rubin's designation), belonging to German-speaking countries and related in some way or other to neo-Kantianism. Their methodological views as well as their Marx studies, of a type altogether different from those in the left-wing camp, may have cast explicit and implicit shadows on Rubin's interpretation of Marx. As he writes in the preface to this book (cf. *ibid.*, pp. IV–VI), he tries to keep his distance from the 'social tendency', heterogeneous to 'Marxism'. But his stance is not always unequivocal (cf. his review article on Petry, pp. 523–9 in the present translation). Indeed, he recognises, at the same time as the 'anti-Marxist character' of this 'tendency', also that it has 'a certain theoretical affinity with the authors standing on the side of Marx's theory' in 'claiming the necessity of research of the social forms of economy or of the social relations of people.'

Among the activists who belonged, like Rubin, politically to sects other than the Bolsheviks which seized the power of the soviets, many are said to have retreated in the 1920s from the political arena to the domain of research and education. Jasney says in the book mentioned above that 'the only other outlet for people who disagreed with Lenin was in teaching' (Jasney, *Soviet Economists of the Twenties*, 1972, p. 14), Rubin's position may have probably been similar to this kind of people. Therefore, though occupying a post in a research institution established by the political decision of the party central like the K. Marx and F. Engels Institute, from the outset he had not any 'sense of mission' for carrying out researches on Marx and Engels in the interests of a particular party or the government under its control, and could perform his research work free from any particular system of interpretation and political orientation. It is well known that, during the time from the promulgation of the New Economic Policy (NEP) in March 1921 for the reestablishment of economy extremely exhausted during the regime of wartime communism until the launching of the First Five-Year Plan at the end of the 1920s, in the conditions of the 'period of interim stability' when the economies of the capitalist countries surrounding the Soviet Union were going comparatively smoothly, a fairly liberal atmosphere prevailed not only in the economic domain but also in the whole of Soviet society, which allowed creative activities to prosper in various fields. Separated from the general social ambience of the NEP period, it would be impossible to think about the research activities Rubin devoted himself to, free from any political position of a particular party to perform results which would have been possible only in this period of time. In fact, his research activities beginning from the early 1920s precisely coincide with the era of the NEP.

They had an aspect of those of a 'Marx philologist'. What was the state of Marx philology in Russia in the 1920s? In pre-revolutionary Russia there existed from the mid-nineteenth century a group of people who held a high

interest in and understanding of Marx's works and thought: such thinkers as Chernuishevsky and academics as Ziber (on the work of this latter, cf. Francois Allisson et al., 'Marxism before Marxism: Nikolaj Ziber and the Birth of Russian Social-Democracy', *The European Journal of the History of Economic Thought*, vol. 27, no. 2, 2020, pp. 298–323), as well as revolutionaries like Zasulich. Further, before the time when Rubin was active, there had been a period of lively controversy around the turn of century on Marx's theory of value (for the literature produced in the process of this controversy and their outlines, cf. A. Mendelson's 'Main Orientations of the Theory of Value in the Russian Literature' (А. Мендельсон, «Основные направления теории стоимости в литературе на русском языке», *Под знаменем Марксизма* (*Under the Banner of Marxism*), no. 7–8, 1922, pp. 191–200)). In connection with these researches and controversies, the publication of the main works of Marx, translated into Russian, followed one after another in the 'backward' Russia (as in Japan), eager to import culture and thought from the 'advanced West' (on the history of the translation and publication of *Capital* in the pre-revolutionary Russian Empire, cf. Chapter 2 of Anna Vasil'evna Uroeva, *For All Time and All Men*, Progress Publishers, Moscow, 1969). But these were Russian editions of Marx's works published during his lifetime (including those reedited by Engels after the death of Marx). The original unpublished manuscript materials of enormous amount were studied, deciphered, and partly published by the scholars of the Social Democratic Party of Germany like Kautsky, who inherited these literary legacies. In the post-revolutionary Soviet Union, these works came to be promoted systematically on a large scale as a 'State project'. During the 1920s, the K. Marx and F. Engels Institute to which Rubin belonged played the central role, and in the framework of preparation for the publication in original languages of an authentic *Complete Works* (MEGA), some of these new materials were successively published in Russian translation in the *Архив К. Маркса и Ф. Энгельса* (*K. Marx and F. Engels Archive*), the house organ of the Institute (manuscripts relating to *The German Ideology* in volume 1, 1924, *Dialectics of Nature* in volume 2, 1925, the *Critique of Hegel's Philosophy of Right* and *The Holy Family* in volume 3, 1827, *Marginal Notes on Adolph Wagner's Lehrbuch der politischen Oekonomie* in volume 5, 1930, etc.). Such was the state of the publication of Marx's works in Russian which served Rubin as the precondition for his investigation of Marx's theory of value.

Now, it may be said that the value controversy in the 1920s was not, according to the nature of the debated problems, characterised as a struggle in theory among political leaders along the lines of party activities, that it was rather an academic controversy among researchers within their own inner circle. That

its arena was various kinds of scholarly publications and discussions (seminars and conferences), and some periodicals in particular. A. Reuel, who published several review and prospect articles during the late 1920s, says in his 'Overview of the Articles of Theoretical Political Economy in the journal *Under the Banner of Marxism* from 1922 to 1927,' *Chronicles of Marxism (Memoirs of K. Marx and F. Engels Institute)*, no. IX-X, 1929 (А. Реуэл, «Обзор статей теоретической политической экономики в журнале «Под знаменем марксизма» за 1922–1927 гг.», *Летописи марксизма (записки Института К. Маркса и Ф. Энгельса)* (Chronicles of Marxism (Memoirs of K. Marx and F. Engels Institute)), no. IX-X, 1929), that 'during the period treated here attention has been paid for the most part to the theory of value. It must be pointed out that with very small number of exceptions almost the whole of the controversy has been reflected on the pages of the journal *Under the Banner of Marxism*' (Reuel, 1929, p. 101). Reuel may be correct in this assertion as far as concerns the period before 1927, but in 1929 when he made this passage public the state of the controversy had already become more complicated. Articles relating to the controversy seem to have been published one after another in a number of journals other than *Under the Banner of Marxism*; we can give *Problems of Economy (Проблемы экономики)*, *Bolshevik (Большевик)*, and *Bulletin of the Communist Academy (Вестник коммунистической академии)* as the journals most relevant to the controversy, at present we can consult them relatively easily in the form of microfilm. There may be journals other than these four which contained some literature of the controversy, but the main articles which appeared in the course of the controversy are almost all included in them.

B The General Conception of *Essays* and the Controversy around the Book

The value controversy in the Soviet Union during the 1920s appears to be generally taken as having been carried on around Rubin's interpretation of Marx's theory, but it was only in 1926, two years after the publication of the second edition of *Essays* in 1924, that the controversy began to assume such a character. Prior to this period, during the years 1922–23, a controversy around the interpretation of the concept of 'socially necessary labour' proceeded within the pages of *Under the Banner of Marxism*, founded just in 1922, in which proponents of the 'economic version' (demand theory) and of the 'technical version' respectively advanced their interpretations (this controversy in the early 1920s is introduced by A.M. Kogan, himself adopting the 'economic version' according to the criterion of classification of that time, in 'Problems of Socially Necessary Labour Time in K. Marx's *Capital* and their Reflection in the Dis-

cussion at the Beginning of the Twentieth Century' (А.М. Коган, «Проблемы общественно-необходимого рабочего времени в «Капитале» К. Маркса и их отражение в дискуссии начала 20-х веков», *Экономическая наука*, no. 1, 1980, pp. 85–94)). Rubin did not directly take part in this controversy, but in the second edition of *Essays*, published in 1924 when the controversy had provisionally come to an end, he newly added a long Chapter 17 entitled 'Value and Social Need' (together with a no shorter Chapter 18 on the prices of production) (Cf. translator's note [463] at the end of Chapter 16 of the present translation). This may evidently come from his intention to develop further his views on the problems under debate in adding a new independent chapter on the subject relating to that of Chapter 16. 'Socially-Necessary Labour' (Chapter 11 in the first edition). In the footnote added at the beginning of Chapter 17 he briefly mentions the foregoing controversy, and says conclusively at its end as follows: 'Demand cannot influence value *directly* and *without limit*, but only *indirectly*, via change in the *technical conditions* of production, and within *narrow boundaries*, subject to the same conditions' (p. 291 in the present translation. Emphasis in original). It is possible enough to imagine that one of the important motivations of the conception and drafting of the first and the second editions of *Essays* for Rubin was to present his own position on the problems debated at that time in advancing an interpretation on the whole of Marx's theory of value. Indeed, though in view of the present translation of *Essays*, based on its fourth (or third) edition, the relative weight of the arguments relating to abstract labour is great due to the considerable enlargement of the part treating the 'qualitative aspects of value' discussed up to Chapter 14, in the second edition, conceived prior to the beginning of the main controversy over the book, a suitable weight was allotted also to the part treating the 'quantitative aspects of value' up to Chapter 18. The former part was enlarged in the process of preparing the third edition because the controversy after the publication of the second edition concentrated on this part.

However, the controversy over 'socially necessary labour' had already been tapering off in 1923, and there were not any new developments after the appearance of Rubin's work. In addition, although Rubin made considerable efforts to state his views on the 'quantitative aspects of value' in the part subsequent to Chapter 15, none among the articles critical of Rubin's views, at least among those published in the main economic journals like *Under the Banner of Marxism*, took up this part for critical examination. Probably for this reason, this part virtually remained entirely intact until the third edition, except for a small number of partial amendments of a technical character (changes in wording, etc.). Incidentally, V. Motylev says in his review on the first edition of *Essays*

that 'the author is a decided defender of the so-called 'technical version', and digs up and exposes convincingly the error of the other interpretation' (*Under the Banner of Marxism*, no. 2/3, 1923, p. 296). If Motylev is correct, we can ask ourselves whether this can be consistent with Rubin's theory of abstract labour, i.e., the main controversial topic, developed in detail through additions and revisions from the second to the third edition. This is a very interesting issue, but here we limit ourselves to point it out and refrain from examining the part subsequent to Chapter 15. We only quote for information a passage from Bessonov, who, as one of the main polemicists against Rubin in the later phase of the controversy, critically mentioned it. Rubin

confounds at the same time two completely wrong approaches to the problem. On the one hand, he attempts according to his conception to interpret socially-necessary labour as the result of exchange. On the other hand, for fear of proximity to the 'economic, or market version', Rubin included in his book entirely mechanically the Bogdanovist [naturalistic, mechanistic] determination of socially-necessary labour (for example: 'the technique of production itself ... remains ... the sole determining factor of value as before' [quoted from Chapter 17 in the third edition, p. 218 in the present translation]). Rubin could not reconcile the qualitative and the quantitative aspect of the phenomena of value only because he expelled concrete labour beyond the boundaries of his theory.¹

And also in Chapter 18 'Value and Prices of Production' and in Chapter 19 'Productive Labour', Rubin advances not a few interesting arguments, but none of them were at all discussed in the controversy.

Now, the most important characteristic in the theoretical construction of Rubin's *Essays* as a system of interpretation of Marx's theory of value since the first edition is that the author presents, in Part I, his particular understanding of the theory of the reification (fetishism) of commodities, and stresses its significance for the whole of Marx's theory of value. His theory contained in Part II, the main body of the book, presupposes the preceding theory of reification as

¹ From the stenography of the keynote lecture of Bessonov in the discussion seminar «Диалектическое развитие категорий в экономической системе Маркса» ('The Dialectical Development of Categories in the Economic System of Marx,' *Проблемы экономики*, 1929, 4/5, p. 211. Shabs made a similar point in his 1928 book, pp. 44, 158, cf. p. 690 (corresponding to p. 44 of Shabs's original) in the present translation).

its methodological premise. We think that it is only from this point of view that the main part of *Essays* can be correctly understood. Nevertheless, in the controversy around *Essays* beginning from the mid-1920s, its first Part was never taken as its subject, at least head-on (the one exception is Motyilev, who hit the mark in his view on the conception and structure of the whole of *Essays*. He says in the above review that 'Part I in this book, elaborating the theory of reification of commodities' is 'the most brilliant and valuable', and that 'its Part II devoted to the theory of value is therefore organically connected to the theory of reification. This point is the great merit of this book' (Motyilev, 1923, p. 295)). Due to such circumstances, Part I remained virtually unchanged from the second edition (with the addition of Chapters 3 and 4 to the first edition), in spite of the later controversy, except that the gist of Rubin's article 'Relations of Production and Material Categories', published in *Under the Banner of Marxism* in 1924 (pp. 505–22 in the present translation), was incorporated into Chapter 3 in the second edition, published in the same year, as its main part, with some minor technical corrections.

As seen above, the controversy around *Essays* did not cover the whole range of this work but turned on one point: how to grasp the category of 'abstract labour', the other problems being taken up ad hoc only in relation with this central point. Such a bias in the points of discussion was observed from the outset of the controversy (the same can be said also of the treatment of Rubin's book when 'rediscovered' after the 1970s in the controversy in the West around abstract labour). The first articles with clear critical stances toward *Essays* were: A.A. Voznesensky's 'On the Problem of the Understanding of the Category of Abstract Labour' (pp. 603–31 in the present translation), published in *Under the Banner of Marxism* at the end of the year following the publication of the second edition, and I. Dashkovsky's 'Abstract Labour and the Economic Categories of Marx' (pp. 632–61 in the present translation), published half a year later in the same journal, apparently induced by the former. These articles (particularly the latter, which was to be mentioned again and again by Rubin) started the value controversy, for and against Rubin's theory. At the same time, they set up rightly or wrongly the general framework of the subsequent controversy. Among the many of his critics it was only to Dashkovsky that Rubin exceptionally paid homage in saying on his critical article as follows: 'Although the positive solution of the problems in debate proposed by I. Dashkovsky appears to us altogether erroneous, we must recognise that his article is a conscientious and serious attempt to raise these disputable problems' (p. 371 in the present translation). Anyway, these two articles were decisive in shifting the central point of controversy from 'socially necessary labour' to 'abstract labour'.

In the following, we will introduce and examine the controversy developed over Rubin's interpretation of the theory of value. As it was to become more and more complex as it approached the final stage, we will take up a few important writings (particularly those to which Rubin himself reacted somehow) in selecting those which raised essential points in each stage of the controversy, so as not to lose perspective due to a complication of arguments, and to clarify as much as possible the significance and problems of Rubin's interpretation of Marx's theory of value.

C The Origin of the Controversy

The controversy over the theory of abstract labour contained in *Essays* began from the time when A.A. Voznesensky and I. Dashkovsky respectively published the articles mentioned above, more than two years after the publication of its first edition. The article of the former, while intended to be a survey of how the category of abstract labour was being treated in the Soviet academic circle of the time, consisted mainly of critical examinations on the interpretation of this category in *Essays*. The latter, while written directly as a critique of the former article, had in fact as its main object rather the theory of abstract labour in *Essays*, which was to be the object of its indirect critique. The points at issue raised to *Essays* prior to the publication of its third edition were nearly exhausted in these two articles, particularly in the latter. We can see from the contents of Rubin's article 'Abstract Labour and Value in Marx's System', published a year later in the same journal (pp. 530–66 in the present translation), that his work of rewriting for the third edition was carried out in staying constantly conscious of Dashkovsky's article (that of Voznesensky, conversely, was never mentioned). In this period of time Rubin wrote also articles of refutation to the criticisms of A. Cohn and S. Shabs. (The response of Rubin to Shabs is rather complicated; unlike in the case of Dashkovsky. Rubin apparently makes light of Shabs's arguments against him, as can be seen from the tone in the second article of 'Reply to Critics' (pp. 371–406 in the present translation). But in fact, his criticism exercised an impact not less than that of Dashkovsky on the rewriting of the chapter on abstract labour of the third edition of *Essays*. Particularly concerning the problem of the role and place of exchange in the abstraction of labour, Rubin seems to have gotten hints partially from Shabs's arguments.) These critics all have in common a certain understanding of abstract labour opposed to that of Rubin. But the terminology, structure of concepts, and points of stress are different for each of them. If we introduced their arguments one by one to see the reactions of Rubin, it

would complicate the matter in vain. In the following, then, we will take up the main points of argument in Dashkovsky's article, to which Rubin seems to have attached much importance, to mention incidentally critical comments of the other authors if necessary. The same will apply to the reactions from Rubin.

a *Fundamental Reductionism*

Dashkovsky and other authors to be mentioned in the following identify in common abstract labour with physiological labour, though with minor differences in nuance. The methodological ground for such an understanding of abstract labour is a fundamental reductionism, the attitude considering this very reduction as the essential task of economic analysis. This is also the basis of the criticism of the construction of the concepts of Rubin, who places at the core of the concept of abstract labour the historically specific 'social form', the 'social relation' in the system of commodity production, and makes of the 'material-technical' aspects of labour a presupposition of economic research but not its object.

In relying on the 'production in general' placed by Marx at the beginning of the plan of his system of economic theory in '3. The Method of Political Economy' in the *Grundrisse*, as well as the theory of the 'labour process' of *Capital*, Dashkovsky emphasises the importance of the reduction of the specific-historical forms to their transhistorical foundations. 'The reduction of particular forms to their common foundations in theoretical form is also a task of every science' (p. 634 in the present translation. Unless otherwise mentioned, in this section C., for the quotations from Dashkovsky's article, only the page numbers in the present translation will be given). 'Historical epochs are not isolated from one another with the Great Wall of China completely separating them in principle. There is a common basis across them, i.e., the production and reproduction of material life' (p. 634 in the present translation).

Marxist theory has placed the science in a correct framework, in making of the *form of economic relations* the centre of research. But in the Marxist literature after Marx the situation went almost always to the converse absurdity, to the complete neglect of general laws of economic life, hidden behind these or those 'forms of manifestation'.²

² Dashkovsky, *ibid.*, p. 636 in the present translation. Emphasis in original.

It is precisely human labour in general, in its material-technical meaning as the 'eternal natural necessity' for the subsistence of human society, that is the 'common basis' mentioned here. This human labour is exercised vested with various concrete forms to manifest itself in various social, historical forms in different historical epochs. And it is nothing other than these 'general laws of economic life' that show how the survival, development, or decline of human society in general are regulated by the expenditure of labour in general as this 'common basis'.

In this way, to find out by analysis, behind the diverse specific historical forms and relations, the 'ultimate base of the existence of society' common to every social form and the 'general laws' governing this base, i.e., to reduce them to their fundament, is the most important task to be assumed by political economy. To set up the task of theory thus is the correct 'materialist' attitude. Therefore, the specific social, historical relations and forms should be developed from this base as the forms of manifestation of the 'common basis' identified by the procedure of reduction. Nevertheless, in attaching too much importance solely to relations and forms, Rubin ends up by banishing their ultimate 'base', as their 'presupposition', from the object of theoretical analysis (i.e., economic theory). According to the view of Dashkovsky etc., the methodological characteristic of Rubin's interpretation of Marx's theory of value can be summarised thus (moreover it may be worthy of attention that such a methodological attitude, 'the converse absurdity', is said to be rather mainstream now in the Marxist literature after Marx).

From the reductionist way of thinking, Rubin's method is viewed as follows:

If it is to be declared to us that also the 'labour', to which we reduce as the fundamental principle all the phenomena of the commodity-capitalist economy, is equally not labour in the proper sense of the word but the form of the same commodity society, our whole theoretical construction will be floating in the air and the theory will rotate in a closed circle of 'social-historical' categories like a hamster in a wheel. The whole schema will assume the character of certain explanation: earth on whales, whales on water, water on earth. To this must unavoidably lead the exorbitant zeal for sociological concepts, the 'banishment of material' from economic research.³

3 *ibid.*, p. 661 in the present translation.

Dashkovsky is not the only one who regards Rubin's theory as a kind of 'castle in the air', but similar views are stated by authors adopting as correct the reduction of value-forming labour to human labour in the physiological sense.

b *Abstract Labour*

According to Marx, 'the general abstract determinations', appearing as the first item in his plan of the critique of political economy at the end of 'The Method of Political Economy' mentioned above, 'appertain more or less to all forms of society' (MECW/28, p. 45, MEGA, II/1.1, p. 43). In relying on this passage, Dashkovsky characterises abstract labour as follows: 'Marx relates the category of abstract labour precisely to this group [the general abstract determinations]. Abstract labour is not a category forming the internal structure of bourgeois society. It is related to all epochs as far as the question is about it *as a concept*' (p. 639 in the present translation. Emphasis in original). 'Abstract labour, labour in general, labour as the physiological expenditure of muscles, nerves, and so on is a concept far transgressing the boundaries of the internal organisation of the commodity economy, is a general concept' (p. 640 in the present translation). By the way, in the sense that abstract labour as one of such general concepts, in spite of its being general, can actually obtain a full validity only in the conditions of commodity production, Dashkovsky characterises it as belonging to 'conditionally historical categories' (ibid.). This is a point on which Rubin criticises him as 'eclectic' (cf. pp. 352, 354 in the present translation). Indeed, he says on the other hand that 'in the commodity economy concrete useful labour appears directly as private labour. It becomes social labour only through things, through commodity exchange, which at the same time transforms concrete labour into its opposite' (p. 650 in the present translation). But this being a peculiar contention proper only to him among a number of critics of Rubin, we will not expand further on it.

According to Dashkovsky, therefore, abstract labour is a category of transhistorical character, which does not necessarily overlap the category of 'labour forming value' in its extent. Such a view is common with that of Cohn and Shabs. For this reason, they think that the labour producing commodities cannot be determined with the two categories of 'concrete labour' and 'abstract labour'. As Rubin points out regarding Cohn's article ('Reply to Critics', p. 412 in the present translation), this labour will have to have not a 'twofold' but 'trifold nature'. Because 'not only labour in the epoch of the commodity economy but also all labour of people producing in society, 'every socially conditioned production of individuals' is characterised, according to Marx, by the twofold character of labour' (p. 649 in the present translation).

How then is the content of abstract labour positively determined by Dashkovsky? The following quotation expresses straightforwardly the view on abstract labour of many of the 'physiologists' of the time, including himself.

Abstract labour is social labour, taken not in the diversity of its functions, manifestations, and results, but in the uniformity of its physiological process. But society is not an organism in a roughly physiological sense of the word. The expenditure of physiological energy cannot be carried out directly by the society, but through individuals, as its members, appearing as organs of a social whole consciously (in organised society) or unconsciously (in commodity society). The reduction of abstract labour to a simple, indiscriminate expenditure of physiological energy, though also realised by different individuals, is the highest expression of the social character of labour, in spite of the fact that it is in its appearance a *naturalistic category*. 'Physiology' is in this case a pseudonym of the depersonalisation, of the absolute equality of all kinds of human labour, equality of all producers, taken as such, i.e., in the simple quality of being conductors of social energy.⁴

Abstract labour is obtained in reducing the labour of individuals occupied with productive labour of various kinds in society, independent of its form, to the expenditure of energy necessary for activating the labour organs (muscles, nerves, the sensory system, etc.) of their body. Energy is a physical, natural category, naturally suitable for quantitative expression with a natural unit of measurement (this is the ultimate grounds allowing the physiologists to consider value as quantitatively graspable. For them, without this ground it will be impossible to treat value as a determinate magnitude). Now, in the first sentence of the above quotation, abstract labour is called social labour. This means that abstract labour is not simply a 'naturalistic' category independent of the social existence of man, as can be obtained for example in grasping the various labour activities of an isolated individual like Robinson Crusoe abstractly, from the aspect of energy expenditure, but that it is detected from the labour activities of all members of society as the homogeneous energy expenditure common to all of them. Therefore, according to the assumption of the physiologists, abstract labour being a general category trans-historically relevant to every society, the precondition allowing us to identify this category

4 *ibid.*, p. 651 in the present translation.

must also exist trans-historically. From here it follows that in every epoch each individual as a member of society is socially entirely equal when expending labour energy.

Abstract labour as understood by the physiologists is, as seen above, the 'labour expenditure' as such obtaining trans-historically across human society in general. At the origin of their conception is the 'law of labour expenditure' of Bukharin (cf. particularly Chapter iv. 'The Society' and Chapter v. 'The Equilibrium between Society and Nature' of his *Historical Materialism: a System of Sociology*, 1921, 23, 25). See also Chapter 4. 'Marxist Economy as a Positive Science' of Cohn's *Lectures in the Methodology of Political Economy* (А. Кон, *Лекции по методологии политической экономики*, 1927. This book was written on the basis of his lecture at Sverdlov Communist University in 1924–25), nearly the same points are made as in Bukharin's work in the same order of development (cf. sections 1 and 2, entitled respectively 'The Equilibrium between Society and its Environment', 'The Equilibrium within Society'). The theory of Bukharin seems to have been exercising wide and strong influences on researchers of the time, and traces of his influence can be seen in the writings of a number of authors who understood, like Dashkovsky, abstract labour as the expenditure of physiological energy (cf. for example pp. 623–4 in the present translation of the article by Voznesensky). In the process of the controversy during the 1920s, its participants of both sides hardly mentioned Bukharin in spite of his large influence on them, but after 1930 some of those who attempted to bring an end to the controversy came to point out that his theory inspired the physiological understanding of abstract labour. For example, G. Abezgauz et al., say in their co-authored article, entitled '*Rubinshchina or Marxism?*', a collection of articles edited by S. Bessonov and A. Cohn' («Рубинщина или Марксизм?», Сборник статей под редакцией С. Бессонов и А. Кона»), *Problems of economics* (*Проблемы экономики*), no. 1, 1930, pp. 155–72, as follows: 'The methodological position and theoretical views of Comrade Bukharin were accepted by a series of economists and exercise their influence up to the present on their theoretical works, although these comrades raise objections against the political views of Comrade Bukharin' (ibid., p. 155). However, Bukharin himself had presented the 'law of labour expenditure' only as a general 'sociological' law of very high abstract level, and not deduced directly from this 'law' a particular understanding of abstract labour. Incidentally, if Dashkovsky is not mentioned by name in this review article, it is probably because he had retired from the controversy after 1926, though he had raised important points which could press Rubin for reconsiderations.

c *Exchange and the Emergence of Value*

One of the issues in the controversy around Rubin's interpretation of Marx's theory of value was the well-known problem of the theoretical significance of 'exchange'. It is evident from the following words of Rubin's in the foreword to the third edition of *Essays* that many of the critical comments against its second edition concentrated on this point: We have removed 'the formulations which may have motivated our critics to ascribe us such thoughts, which we have not in the least embraced, as a prominence of exchange over production, or a transference of abstract labour in the phase of exchange, and so on' (p. 18 in the present translation). In fact, in examining his revision work for the third edition, we can see that he met with considerable difficulties about how to define the theoretical significance of exchange. One important point in the revision of Chapter 12 is the theoretical treatment of exchange. We will proceed afterward to a comparative examination of the concrete contents of this chapter in the second and third editions, together with the examination of Shabs's 1928 book.

Anyway, Dashkovsky said on this point already in his 1926 article as follows:

Abstract labour appears only in exchange. But exchange is first of all the exchange of *things*, their equalisation to each other. The process of this exchange is also a process of the emergence of value as a relation among producers. The category of abstract labour in Rubin's understanding is the *result* of the whole process, and not its starting point. In this way, things acquire in Rubin's schema a quite peculiar consistency, and the whole theory of labour value assumes something like a metaphysical character.⁵

According to Rubin, physiological labour is only a precondition of abstract labour, and not abstract labour in itself, in the same way as a concrete kind of labour is a precondition for the deduction of physiological labour. In this way, not only value but also abstract labour includes in it not an atom of matter. The concept of labour is finally lost and replaced with completely sterile, nebulous, and confused social-economic digressions, at the end of which we safely arrive at the conclusion that abstract labour is not labour but only a certain form of its organisation.⁶

'What does Rubin's attempt boil down to? In short, it boils down to an attempt to *expel from the object of political economy every trace of living mater-*

5 *ibid.*, p. 656 in the present translation.

6 *ibid.*

ial, to deprive the theoretical system of Marxism of its material fundament' (p. 660 in the present translation. Emphasis in original).

Voznesensky says on the same problem in his 1925 article mentioned above as follows:

We must not think that abstract labour is a category of exchange, in the sense that it is created and arises only in the *process* of exchange. Rubin thinks among others in this way in the above quoted work [the first edition of *Essays*]. ... But such a view cannot be recognised as correct.⁷

These quotations are comments about Rubin's concept of exchange in the first and second editions of *Essays*. We quote here some passages from the second edition which seem to have induced these comments (they are the same as in the first edition).

Abstract labour emerges only in the *actual act of market exchange* ... The latter [abstract labour] arises only in exchange ... Abstract labour is created by exchange (p. 214 in the present translation. Emphasis in original).

'Abstract labour is a social concept expressing a social form of organisation of labour in the commodity economy ... *This* abstract labour, in other words, the commodity form of economy *creates* the value of the products of labour' (p. 222 in the present translation. Emphasis in original. These sentences, quoted from Chapter 14, are all deleted from the third edition). In view of such phrases the comments of the critics are not necessarily beside the point. Rubin may have found them to hit a sore spot, and thoroughly deleted from the third edition such passages as were liable to be taken for claiming 'a prominence of exchange over production, or a transference of abstract labour in the phase of exchange' (from the Foreword to the Third Edition, see above), to advance in their place the two concepts of exchange we are to examine afterward.

Now, according to the views of Dashkovsky etc., abstract labour is naturally a concept solely relating to the process of production in the material-technical sense, and the process of exchange is only a process in which the value already created and existing is 'realised'. I.e., value is a presupposition

7 Voznesensky, 'On the Problem of the Understanding of the Category of Abstract Labour', 1925, p. 661 in the present translation. Emphasis in original.

for the process of exchange, but Rubin overturns the relation between them, claiming conversely that exchange is the presupposition for value. In this way, both value and abstract labour are torn off from production, their ultimate material ground to acquire 'something like a metaphysical character'. Such a criticism may be said to have a certain validity for the second edition. But, after the publication of the third edition where considerable additions and revisions were made to the passages in question, Bessonov etc., would continue repeating almost the same critical comments on Rubin's concept of exchange. Such comments may be evidently unjustifiable as a critique to the third edition.

d *The Quantitative Treatment of Value*

The last important point of the critical arguments the physiologists directed against Rubin's interpretation of the theory of value is the incapacity of it to grasp value as a certain magnitude. On this point, as Voznesensky and Shabs rather than Dashkovsky show clearly the point of view characteristic to them, we will see what the former two say in their articles.

If we understand abstract labour and thereby value exclusively as a social relation of production, not connected in its existence with a material-natural form, i.e., if we refuse the interpretation of abstract labour *also* in the physiological sense, how can we in such a case speak about the *magnitude* of value, about its quantitative aspect? Indeed, the social relation of production is not measured in seconds, minutes, hours, and so on. They cannot be the basis of the quantitative interrelations of the commodities to be exchanged. In other words, in such a state of things we will have no reasons for speaking about value from quantitative aspect, and therefore no reasons also for expressing in numerical terms the transition of values to prices of production and so on, and, at the same time, the law of labour value cannot be the regulator of the spontaneous anarchical economy. In a word, the whole theory of value fails, coming out to be an empty fabrication, a fiction.⁸

Shabs also criticises Rubin about the problem of the quantitative treatment of value, though from a somewhat different perspective:

⁸ Voznesensky, *ibid.*, p. 622 in the present translation. Emphasis in original.

The most essential and irreparable drawback of the 'sociological theory of abstract labour' of I.I. Rubin is that it can in no way explain on its basis the quantitative aspect of value ... [U]p to now no researcher has yet succeeded in discovering either the spectrum, or the atomic number, or the objective essence in general of the noble 'sociological gas' that I.I. Rubin names 'sociological abstract labour'. Therefore, equally up to the present is not yet discovered the reason why I. Rubin determines this 'sociological' substance with the measure of time, and not with any other measure, say, that of space ... On this problem, is I. Rubin likely thinking about leaning on the latest idea of the theory of Einstein?⁹

According to the comprehension of the authors quoted above, in order to treat value quantitatively as endowed with a certain magnitude, the labour as its substance must be in its nature expressible with a physical unit of measure (for example, the duration of time of concrete labour activities actually carried out in a workshop), i.e., it must be ultimately based on a material foundation. Marx criticises the naturalistic point of view in commenting ironically such an understanding of value: 'so far no chemist has ever discovered exchange value either in a pearl or a diamond' (Marx, *Capital*, I, p. 87, MEGA, II/6, p. 113). Now, in Rubin's theory, according to which various products of labour become equal (money) through their exchange (or in fact, their exchange for money, their mutual exchange through the intermediary of money), and thereby the concrete labour expended on their production becomes abstract and at the same time the private labour of commodity producers becomes social, abstract labour emerges only in the act of exchange, and value can only exist as the relative exchange proportion between products (or in fact, the exchange rate with money, i.e., the price). In addition, since abstract labour is, while 'presupposing' for its existence labour expended in the material-technical process of production (concrete labour), altogether of a different dimension from this labour, the price as the sole concrete form of existence of value is not of a magnitude regulated by some absolute, ultimate foundation but can only be said to be existing as a certain magnitude. The value, then, being only expressed as mere relat-

9 S. Shabs, 'Once Again on the Problem of Social Labour in Marx's Economic System (A Response to the Anti-Criticism of I. Rubin)' (С. Шабс, «Еще раз о проблеме общественного труда в экономической системе Маркса «ответ на антикритику И. Рубина»»), *Under the Banner of Marxism (Под знаменем марксизма)*, no. 7/8, 1929, p. 137, the response of Shabs to the reply of Rubin (pp. 371–407 in the present translation) to his book (partially translated in pp. 662–706 in the present translation). Shabs's view is expressed in a nutshell in the term 'social labour' he uses in the title instead of 'abstract labour.'

ive proportion of prices, has no absolute magnitude to be grasped or measured (hence expressed). Such a thing cannot exist in principle. Therefore, the quantity of value was from the outset an entity by its nature not expressible with a physical unit of measure. In the above quotation Dashkovsky referenced, with regard to Rubin's theory, 'the 'banishment of material' from economic research' or 'the whole theoretical construction floating in the air'. Rubin's interpretation of the theory of value could not but be taken as such from his way of thinking characterised as 'fundamental reductionism'.

The criticism of the physiologists on the quantitative treatment of value goes further than the above. It is extended to problems encompassing the entirety of *Capital*, for example, on how to explain the emergence of surplus value in the process of production of capital or the transformation of value into the prices of production (on the necessity and possibility of explanation). As is well known, Marx explains in *Capital* the production and exploitation of surplus value in taking as an example a factory under the domination of one single capital(-ist), and supposes the magnitude of value produced there by the labourers employed (value corresponding to wages plus surplus value) to be directly proportional to the length of their labour time (necessary labour plus surplus labour), or to the quantity of concrete products of their concrete labour (necessary product and surplus product). The transformation of value into the prices of production is explained as if the surplus values produced and appropriated by each of capitals with different organic composition were redistributed among them so as to bring to every capital an even rate of profit. These explanations are at first sight seemingly presupposing the existence of (surplus) value to be created in each particular process of production (and realised in any way). (However, as for the problem of transformation, Rubin attempts in Chapter 18. 'Value and Prices of Production' to explain the erroneousess of such a reading (substantialist so to say) from the specific manner of explanation Marx adopted (cf. pp. 316–7 in the present translation)). These problems in suspense might be liable to expand into the question of whether in the last analysis the whole system of *Capital* can be maintained as it is when the interpretation à la Rubin is thoroughly adopted.

D The Theory of Abstract Labour in the Third Edition of *Essays*

a *From the Second Edition (1924) to the Third Edition (1928)*

In the preface to the third edition Rubin made mention for the first time of the 'lively debate occasioned by some propositions we have brought forward'

(p. 18 in the present translation) on abstract labour during the foregoing four years following the publication of the second edition, and said that it was this controversy which made him decide to publish the third edition of his *Essays* with substantial amendments and supplements. The addition of his 'Reply to Critics' as an appendix may be apparently the most important difference, but from a theoretical point of view we would rather pay more attention to the fact that Chapter 12 was 'fundamentally revised' and Chapter 14 was given 'significant additions' (ibid.). As Rubin himself says in this preface, among the amendments made in these chapters, most significant are those which are 'in particular about the problems of physiological labour, of abstract labour and exchange, and of the quantitative determination of abstract labour' (ibid.). Almost all the passages in the above two chapters treating these problems consist of the text amended or newly added for the third edition. Also, it was precisely these problems that had comprised the main targets of the critics of Rubin during the time elapsed after the publication of the second edition.

Here we indicate the essential documentary resources which appeared during the whole process of the controversy leading to the publication of the third edition in the chronological order as far as we could confirm.

December 1925	A. Voznesensky, 'On the Problem of the Understanding of the Category of Abstract Labour' (pp. 603–31 in the present translation).
June 1926	I. Dashkovsky, 'Abstract labour and the Economic Categories of Marx' (pp. 632–61 in the present translation).
June 1927	I. Rubin, 'Abstract Labour and Value in Marx's System' (pp. 530—66 in the present translation).
Beginning of 1928	C. Shabs, <i>The Problem of Social Labour in Marx's Economic System – A Critique of 'Essays on Marx's Theory of Value' by I. Rubin</i> , p. 175 (partially translated in pp. 662–706 in the present translation).
Beginning of 1928 (1928a)	A. Cohn, <i>Course of Political Economy, Part 1: the Theory of Value, the Theory of Money, the Theory of Surplus Value</i> , State Publishing House, p. 255.
Beginning of 1928 (1928b)	A. Cohn, 'Some Observations of my Critics in the light of Marx's Theory' (pp. 707–37 in the present translation).
March 1928	I. Rubin, 'On the Problem of Social and Abstract Labour (A Reply to S. Shabs's Criticism)', (included

in the third edition of *Essays* as the second article of 'Reply to Critics', pp. 371–406 in the present translation).

Summer of 1928

I. Rubin, *Essays on Marx's Theory of Value, third edition, revised and completed with the supplement of the article 'Reply to Critics'*, State Publishing House, p. 371.

Above are the writings by the critics to which Rubin had responded directly during the time before the publication of the third edition or in the third edition itself (except Voznesensky's article), and Rubin's writings containing his responses to them. These are all documents concerning the controversy over the arguments contained in the second edition. From 1927 to 1928 the works of Rubin provoked much controversy in the Soviet Union, and the related literature seems to have been much more extensive than those given above. But according to his usual style of controversy, Rubin responded only to a very limited number of critiques, which he had estimated to contain remarks of some significance. The entirety of his responses are included in the 'Reply to Critics' (Dashkovsky, Shabs, and Cohn) added as an appendix to the third edition.

On the other hand, among the above works of Rubin's, those which develop his positive contentions are 'Abstract labour and Value in Marx's System' and the third edition of *Essays* itself. The former article indicates in anticipation some of the new issues contained in the third edition. This article can be considered in this sense as a document recording the process of preparatory work for the third edition Rubin carried out in taking into consideration the controversy provoked by the publication of the second edition. A comparison of this second edition with the above two writings will make clear the originality (and at the same time, some outstanding problems) of the theory of abstract labour of the third edition of *Essays*, and also the significance of the article 'Abstract Labour and Value in Marx's System' in the making of the third (de facto definitive) edition.

In this article and the related chapters of the third edition Rubin makes little mention, at least explicitly, of the ongoing controversy. But if we read them in comparison with the arguments of the above critics, almost all the points he develops as his newly added positive contentions prove to have been raised for the purpose of responding to the critiques directed at the problematic points contained in the second edition. In considering such a circumstance, in order to elucidate the particular characteristics of his theory of abstract labour as it finds its definitive form in the third edition, we regard it as essential to make sure the assertions of his critics not relying on the critical summary Rubin gives

of them in *Essays* but directly on their own writings, and then to contrast them with the passages amended and added in the third edition of *Essays* and with those passages included in the 'Reply to Critics'.

Accordingly, in the next section we will see how the 'physiologists' after Dashkovsky interpreted abstract labour in referring not to the critical explanation by Rubin but to the writings of 'physiologists' themselves, and to ascertain their presuppositions for criticising Rubin's theory.

b *The Physiological Interpretation of Abstract Labour*

This interpretation is adopted by Shabs and Cohn. The latter writes in his above book, a very ably written concise textbook for beginners, as follows:

Only in abstracting away from the use value to the creation of which labour is directed will you find all labour as solely the expedient expense of physiological energy and that's all. It will not be concrete labour anymore, but labour *in general*. In abstracting away from the use value to the creation of which a certain kind of labour is directed, we reduce therefore all labour to abstract labour.¹⁰

Hence, according to Cohn, abstract labour is obtained by us 'researchers-observers' in abstracting from actually-performed labour every concrete form of its expenditure, to reduce it to a pure 'expenditure of physiological energy' of human organs. As he himself states, this category is a 'product of abstraction *in thinking*' (Cohn, 'Some Observations of my Critics in the Light of Marx's Theory', *Bulletin of the Communist Academy*, 1928b, vol. 25(1), p. 268 (p. 722 in the present translation), emphasis in original. This is an article in reply to the critique made by the 'Rubin school' (ibid., p. 269 (p. 724 in the present translation) of the above book). Such categories as this, obtained by operations 'in thinking', are sometimes called 'logical' categories. This term is also used by Rubin in the second edition of *Essays*, but in his case, it is in a sheer negative sense. Anyway, the existence of abstract labour understood in this way goes along with human labour in general (independently of the emergence of the notion of value), hence this abstract labour has no special connection with the commodity form of the products of human labour.

As we will see hereafter, one of the big issues taken up by Rubin in the amended passages of the third edition of *Essays* in response to a number of critical remarks made by physiologists is the quantitative measurability of value.

¹⁰ Cohn, 1928a, p. 23. Emphasis in original.

Cohn's point of view on this problem, highly characteristic of the physiological interpretation, is as follows:

The problem of classification of different species of labour according to their 'weight', their destructive influence on bodily organs cannot be regarded as definitively solved. The ordinarily adopted method is to measure in common the various species of labour with the standard constituted of a certain number of calories (unit of calorific value) expended by an average labourer during a day. But such an index cannot comprehend wholly every process arising to bodily organs during the time of labour, and therefore it cannot give an exact representation about the actual correlation among various species of labour. There are many other devices for measuring different species of labour with a common standard (for example, on the basis of participation of various bodily organs to labour, on the basis of degree of automatization of labour, etc.). But all of these attempts are not yet completed for the present and we must recognise that there exists no unit of such a common measuring for the moment. Nevertheless, the *possibility* itself of measuring labours of different degree of intensiveness with a common standard admits of no doubt, so long as every species of labour is considered as abstract labour.¹¹

We must think that in principle abstract labour, as long as it consists of physiological energy, can be quantitatively expressed with a certain number of calories as the unit of calorific value, as is affirmed above. The above passage from Cohn may suggest that such a possibility was being looked for in various forms (theoretical, and also practical?). However, this physiological energy being a 'logical' category obtained subjectively in thinking, a practical measurement of its magnitude must have presented considerable difficulties, as Cohn himself recognises. But, in any case there is no problem on the level of its theoretical possibility, and it is just because commodity value has as its ultimate foundation of existence such a physical quantity as 'energy' that it admits to a quantitative treatment. The physiologists generally shared such a point of view, which served them as one of the efficient arguments for criticising Rubin's 'sociological' interpretation of abstract labour. For them, there can be no question of quantitative determination about social relations. In fact, when Rubin tried to treat the 'quantity of abstract labour' in the third edition in response to this critique, he necessarily suffered from considerable difficulties (cf. *iii*) in e. below).

11 *ibid*, p. 27. Emphasis in original.

Now, as we have seen above, abstract labour in the physiological interpretation is not a 'historical' but a 'logical' category, which is obtained from the labour as human productive activity in general by an operation of abstraction in thinking, and which is hence of a transhistorical character. 'Abstract labour is not a category forming the internal structure of bourgeois society. It is related to all epochs as far as the question is about it *as a concept*' (Dashkovsky, 1926, p. 201. pp. 638–9 in the present translation. Emphasis in original). Therefore, abstract labour is not in itself considered as the substance of the value of commodities. 'It is true that 'labour forming value is abstract labour', but the inverse proposition is not true: 'abstract labour is labour forming value'. The abstract character of labour is one of the determinations of labour forming value, but is never its exhaustive characteristic' (Cohn, 1928b, p. 269 (p. 724 in the present translation)). It follows then that to be the substance of value it is not enough for labour to be abstract, and still one other determination (qualification) must be added. '[T]o create value, it [labour] must *not only abstract but also social labour*' (Cohn, 1928a, p. 54. Emphasis in original). From this point of view therefore, Rubin's opinion that abstract labour is the substance of value and that both are equally of historical character is to be criticised as follows: 'The categories of 'abstract' and 'economic' labours are identified as one and the same concept also in *Essays*' (Shabs, 1928, p. 16 (p. 666 in the present translation)).

In brief, the physiological interpretation does not regard abstract labour as the substance of value. This is an understanding opposite to that of Rubin, and we must firmly keep this in mind to comprehend the entanglement and crossing of the controversy between these two interpretations. The physiological interpretation gives to the labour producing commodities (forming value) not a dual but a triple character. 'Whereas for Marx the question is about the two-fold nature of labour, Cohn would have had to speak about the trifold nature of labour as concrete, abstract, and social. In fact, for Cohn labour exists above all as concrete, then labour exists as abstract and physiological, and, finally, as social' (Rubin, 'Reply to Cohn', p. 412 in the present translation). If this is the case, we must think that it is the 'social labour' mentioned here (Shabs often makes also use of 'economic labour' as a substitute for the former, cf. the quotation from him above) that must concern the creation of value in commodity production, and it is a rigorous determination of this concept that should have been essential to the theory of value. However, the theoretical interests of the physiologists are directed not so much to the discussion about the particularity of the categories bearing the specifically historical relations such as the commodity and value, as to their 'reduction' to their transhistorical general foundation (i.e., abstract labour as the expenditure of physiological energy), with the result that the 'social labour' (Cohn) (or 'economic labour' (Shabs)) considered

by them as the creator of value did not become the object of a detailed discussion (such a task could not however have been accomplished in relying on the texts of Marx). In a word, between Rubin and the physiologists both the content of 'abstract labour' and its place in the theoretical structure are totally different.

c *The Historical Background of Marx's Theory of Value (the Ricardo-Bailey Problematics) and the Place of the Concept of Physiological Labour (the Theoretical Construction of the First Chapter of Capital)*

Chapter 12 of the second edition of *Essays* was entitled 'Value and Exchange Value (Content and Form of value)', but in the third edition this subtitle was graded up to its main title which is now 'Content and Form of value' and the former main title 'Value and Exchange Value' has disappeared. This change of title reflects faithfully the change in content of this chapter. While the amendments of Chapter 14 have the character of minor changes in the pre-existing text and of large extension, the amendments of Chapter 12 differ from this and appear to be an almost total replacement of the old by a new content. Some points of contention which had been strongly advanced in the second edition (particularly those on the 'interrelation [distinction] between value and exchange value') are retracted in the third edition, and in their place some totally new contents are inserted. In the second edition the physiological interpretation of abstract labour was asserted as unequivocally erroneous, and in addition, as for the determination of the substance of value in the first two sections of the first chapter of *Capital* (in particular the well-known sentences of Marx himself at the end of the second section, which served to the physiologists as the most efficient authentication for their interpretation), Rubin cast doubt upon the way of argument of Marx himself as misleading. (Incidentally, in the Soviet Union of the 1920's when the unitary domination of Stalin's dogma was not yet established and therefore the dogmatic interpretation of Marx was not yet forced upon researchers, such a free and scientific attitude of research was still tolerated). But in the third edition, Rubin's stance changes. Unlike in the second edition where he accepted some parts of Marx's text and rejected others, he now rather tried to interpret in a coherent way the whole of the incongruent text. With the results of his research in the field of history of economic thought carried out after the publication of the second edition, Rubin in the third edition presents a new interpretation on the theoretical construction of the first chapter of *Capital*. In so doing, he does not reject the 'physiological determination' as a purely and simply erroneous interpretation, but tries to show its provenance and to relativise it. In order to show emphat-

ically the difference between the physiological interpretation with its various variants and his understanding of abstract labour, he advances a new conceptual device named the 'three types of equal labour' in Chapter 14 of the third edition (cf. p. 188 in the present translation). This conceptual device is a result of the above research work carried out in the modified Chapter 12.

The amendments of Chapter 12 can be thus characterised as a whole. The reader can easily confirm their concrete contents by comparing the two variants of Chapter 12 given in the present translation of *Essays*. We will now examine more closely some of the important points about what has been summarily mentioned above.

Rubin complains about and throws doubt upon Marx's method of exposition on the determination of the substance of value in the first two sections of the first chapter of *Capital*, in saying as follows:

There is no doubt that Marx himself provided some motivation to misunderstanding in his definite distinguishing of his analysis of labour as the content of value from his analysis of its form, in particular in sometimes calling the content of value 'value' in general. This caused the following seeming contradiction in Marx: on the one hand, 'value' exists – logically – as if separated from the 'form of value' and prior to it, but on the other hand, the 'form of value' is declared to be the basic, so to say, constituent feature of the commodity economy. Without the 'form of value', 'value' itself is simply transformed into labour expenditure, into a logical category.¹²

'Opinions may vary about whether Marx was right in drawing a sharp distinction between the content and the form of value, between the 'substance' of value and exchange value. It may be possible to show that, in drawing this distinction, he provided the grounds for various misunderstandings' (ibid., p. 170 in the present translation). The first of these 'misunderstandings' is nothing other than the 'widely diffused opinion' (i.e., the physiological interpretation) which understands 'Marx's theory of the 'substance' of value in the meaning that labour as something absolute is really reified and included in its products' (ibid.). In this way, the Rubin of the second edition took a position according to which the first chapter of *Capital* consists of two incoherent constituent parts: the first half of it (the so-called theory of the substance of value) is enigmatic,

12 Rubin, *Essays*, second edition, p. 163 in the present translation. On the meaning of the term 'logical category', cf. our explanation above.

giving support to the physiological interpretation, whereas the second half of it (the theory of the form of value and of fetishism) constitutes, so to say, the backbone of Marx's theory of value.

But in Chapter 12 of the third edition such a point of view disappears, Rubin changes his attitude and tries to somehow interpret in a coherent manner the first and second halves of the first chapter of *Capital*. There are two circumstances which urged him on toward the correction of orientation: 1. as a Marx philologist he could not purely and simply reject the physiological interpretation which could really rely on the letter of the texts of Marx; and 2. the discovery of Bailey's work criticising Ricardo's theory of value in the course of his research work in the field of the history of economic thought carried out after the publication of the second edition. (In 1926 Rubin published an anthology of the history of economy thought *Classical Authors of Political Economy from the Seventeenth to the Mid-Nineteenth Century* (Классики политической экономики от XVII до середины XIX века) and a book *A History of Political Economy* (История политической экономики), of which the second, third, and fourth editions were published each year from 1928 to 30, and an English translation appeared from Ink Links London in 1979, and from Pluto Press in 1989. These works of Rubin's largely relied on Marx's *Theories of Surplus Value*.) His discovery of Bailey's work appears to have offered a key for deciphering the construction of the first chapter of *Capital*. The document which records faithfully the traces of the work of amendments leading to the third edition is his article 'Abstract Labour and Value in Marx's System' (mentioned above, hereafter to be called the 1927 article for short). But it is only in comparing in detail the second edition, this 1927 article, and the third edition that we can determine the place of this article in this respect.

The comparison of these three documents in contrast to each other shows that the passages of Chapter 12 of the third edition newly added for this edition (more than 80 percent of the chapter) are for the most part comprised of passages taken from the 1927 article, only with some technical corrections. We can say therefore without exaggeration that Chapter 12 in the third edition is composed of a collage of passages taken here and there from the 1927 article (of course, the reconstruction improved the development of the argument). Having confirmed this, we will now pass in review some theoretically important issues (we abstain here from proving concretely the above confirmation in comparing the passages in question point by point. Those who are interested might refer directly to the above three documents, given in the present translation).

At the beginning of this chapter, Rubin examines the differences in the way of argument in the first pages of *Contribution to the Critique of Political Eco-*

nomy and of *Capital* leading to labour as the substance of value, and confirms that the procedure of deduction of the substance of value by the so-called 'method of distillation', which had become object of the clichéd critique of Marx's theory of value since Böhm-Bawerk, is totally absent from the former work and proper only to the latter. And he shows at the same time that such a procedure (the 'demonstration' that labour is the substance of value) had arisen from the so-called 'ambilateral critique' (Wararu Hiromatsu, *The Philosophy of Capital*, 1974) undertaken by Marx of both Ricardo and his critic Bailey in *Theories of Surplus Value*, belonging to the intermediary period between the above two works (however, there is no discernible trace in *Essays* justifying Rubin's direct reading of Bailey's *Critical Dissertation* (1825). Rubin's interpretation of Bailey's theory and of his critique of Ricardo seems to rely wholly on Marx's reading. A serious philological research on this point was undertaken by Rubin only in 1929, in the second chapter 'Marx and Bailey' of his article 'On the History of the Text of the First Chapter of *Capital* by K. Marx' (pp. 546–99 in the present translation)). According to Rubin, the reason for Marx's considerable 'bias toward substantialism' at the beginning of *Capital* can be explained by his strategic consideration of the necessity first to advance emphatically the existence of value in a dimension different from each concrete exchange ratio between commodities, in opposition to the thoroughly nominalist and relativist theory of value of Bailey, reducing value to exchange value expressed as each concrete exchange ratio between two particular commodities and not recognising the existence of any regulator of the exchange ratio. Hence at this stage the determination of labour as the substance of value, the theoretical consequence of the 'method of distillation', is never definitive and decisive, but rather strategically and provisionally posited by Marx, strongly conscious of Bailey's argument against Ricardo. In the light of the history of debates on Marx's theory of value since before the First World War, the attention Rubin paid to Bailey (one of the 'neglected British economists,' cf. Edwin R.A. Seligman, *On some neglected British economists*, Macmillan, 1903.) and his explanation of the meaning of the 'method of distillation' seem to be remarkable and worth appreciating.

In the 1927 article, Rubin also takes up largely, at the very outset, the theoretical issue of how to decipher the theoretical construction of the whole of the first chapter of *Capital*, and he repeats the conclusion of this article in the third edition of *Essays*. This conclusion may be broadly schematised as follows: in the first half of the first chapter is adopted an 'analytical' method, starting from the phenomenon of exchange value and arriving at labour as the substance of value, while in the second half conversely is adopted a 'synthetic' or 'dialectical' method, progressing from value to exchange value (the 'form of value'). In

the first half Marx implicitly criticises Bailey, relying mainly on Ricardo, and in the second half Marx is on the contrary strongly conscious of Bailey's critique of Ricardo and elucidates the structure of the 'form of value' (ultimately of money), absent from the theory of value of the classical school represented by Ricardo, being occupied only with the deduction of the substance of value. It is easy to see that Rubin follows here very faithfully, first, on the methodological problems the distinction between analysis and synthesis developed by Marx in '3. The Method of Political Economy' of the 'Introduction' written in 1857 prior to the *Grundrisse*, and, secondly, on the correlation between 'content and form of value' Marx's 'ambilateral critique' to Ricardo and Bailey in the section '3) Polemical Writings' of 'k) Disintegration of the Ricardian School' in *Theories of Surplus Value*. Viewed from the present state of the field of research, both of these points may be problematic in many regards. But, in any case with this interpretation Rubin intended to explain from the limited character of the 'analytical' method the insufficiency of the physiological determination of abstract labour, and at the same time obtained a justificatory reason for this determination which could be regarded as efficient and unavoidable within a certain stage of theoretical development. Thus, the physiological interpretation does not need to be unequivocally rejected as a simply misleading or erroneous theory relying on the enigmatic reasoning of Marx himself, but it is now relativised as a unilateral insistence upon a provisional determination appearing in a certain phase of theoretical development, an insistence resulting from the incomprehension of the particularity of the method of development of Marx's theory of value.

d *The Rigorous Conceptualisation of Abstract Labour (Three Types of Equal Labour)*

In this and the next sections, we will take up and examine some of the problems relating to the amendments of Chapter 14 from the second to the third edition. The controversy around *Essays* which arose after the publication of the second edition concentrated on this chapter, in which were found 'some propositions we have brought forward, in particular regarding abstract labour' (Preface to the Third Edition, p. 18 in the present translation). Therefore, the theoretically most important amendments and additions in this 'revised third edition', prepared with the aim of replying to critiques, are contained in this chapter (and also, though in minor degrees, in Chapters 3, 8, 11, and 12, closely related to Chapter 14). In this section we will consider briefly the conceptual device called the 'three types of equal labour' (p. 188 in the present translation), advanced for the purpose of a rigorous conceptualisation of abstract labour, in placing it within the context of the controversy. We will treat in the next sec-

tion the other important issues relating to this chapter ('of abstract labour and exchange, and of the quantitative determination of abstract labour'. p. 18 in the present translation).

Chapter 14 in the third edition is extended to almost twice the size this chapter had in the second edition. In Chapter 14, though some of the themes contained in the second edition are retracted or revised, there is neither a change of the theme of the chapter itself denoted in the title, nor an overall modification of the contention bearing upon the theme. Chapter 14 of the third edition is rather the result of a further development of some points concerning the theory of abstract labour in the second edition, carried out in taking into account the remarks made by critics. In this chapter also, many of the newly inserted parts are incorporated into the text of the chapter almost without revision from various passages of the 1927 article. If we look back to the same chapter of the second edition from the standpoint of the third edition thus developed, there leap to the eye the following defective points of the former: the positive arguments of Rubin on the interpretation of abstract labour (including the critical survey of the field of research) expire in the first few pages, and on the whole the arguments are not sufficiently developed in spite of some very salient formulations (see the next section), which give the impression that this chapter of the second edition would have been fair game for critiques of various kinds. But in the third edition these defects are completely wiped out, and, along with the appendix article 'Reply to Critics', in the body of the text Rubin develops in detail point by point his positions on the problems at issue. One of the reasons why, in spite of the vehement controversy after the publication of the third edition, no amendment was made to the body of the text for the publication of the fourth edition in 1929 and 1930, may be that for Rubin there remained nothing new to say, the third edition having exhausted every topic of the theory of value (insofar as concerns the current controversy). Of course, this does not mean that for a third-party there may be no problem in his arguments in the third edition.

Now, the need for a distinction of 'three types of equal labour' (1. 'physiologically equal labour', 2. 'socially equalised labour', and 3. 'abstract labour', cf. pp. 188, 536 in the present translation) was stated by Rubin for the first time in the 1927 article. This was for the purpose of delimiting the scope of abstract labour and distinguishing it clearly from physiological labour, in response to critiques of the second edition of *Essays* against his claim to limit the relevance of abstract labour to the commodity economy and to recognise its historical character. As for the content of each of these 'three types of equal labour' and their relations to each other, we would ask the reader to refer directly to the text of *Essays* (cf. the place indicated above), and in this section we will limit

ourselves to introduce the historical circumstances of the controversy which led Rubin to state these distinctions.

Dashkovsky says as follows:

[I]s it true that for this reason the category of abstract labour becomes superfluous in every form of economy other than the commodity economy? ... But the essential point is that even in those economic formations where concrete labour appears directly as social, where it has no need of a curved mirror of material relations and abstract categories, the function of abstract labour is absolutely indispensable insofar as needs exist for an accounting of social labour energy. An account can be carried out only in terms of abstract units of calculation.¹³

In other words, according to Dashkovsky, within whatever form of social organisation of labour, the existence of abstract labour (as a 'logical category') is necessary, as long as is necessary a reduction of various forms of labour of society to a common unit capable of rendering them quantitatively comparable to each other, and since such a necessity is not limited to the commodity economy, the existence of abstract labour is therefore transhistorical.

To these arguments of Dashkovsky's, Rubin replies as follows:

The fact that the process of social equalisation of labour actually occurs in an economy based on a social division of labour (though not on the basis of the commodity economy), was pointed out by us already in the first edition of *Essays on Marx's Theory of Value* (p. 52; p. 73 in the second edition [corresponding to the first paragraph of Chapter II, p. 125 in the present translation]). But this socially-equalised labour should not be confounded with abstract labour, which represents a specific form of socially-equalised labour. We find in I. Dashkovsky a desperate confusion of these two concepts.¹⁴

'Dashkovsky mistakes all 'socially-equalised' labour for 'abstract' labour' (ibid.). Abstract labour as Rubin understands it can exist only under two conditions: 1. it is socialised by being equalised, and 2. this equalisation is realised in a reified form (commodity exchange) (cf. pp. 128–9 in the present translation. Cf. also the 1927 article, p. 536 in the present translation). This abstract labour

13 Dashkovsky, 'Abstract Labour and the Economic Categories of Marx', p. 644 in the present translation.

14 Rubin, 'Reply to I. Dashkovsky', p. 356 in the present translation.

is certainly 'socially-equalised labour', but is one particular form of it. Rubin makes use of the distinction of 'three types of equal labour' as a conceptual device to clearly advance the specificity of abstract labour as he understands it, and at the same time criticises with this conceptual device the conception of abstract labour of Dashkovsky and also of some other economists: 'If we find in some authors an erroneous confusion between abstract labour and physiologically equal labour, in other authors we can find an error not so crude but nevertheless unacceptable: they confound abstract labour with socially-equalised labour' (p. 189 in the present translation. Cf. also the 1927 article, p. 540 in the present translation). This conceptual device is utilised in this way by Rubin as, so to say, a grid for reading the various kinds of interpretation of abstract labour by physiologists.

By the way, at the end of the 1927 article, to make it clear that this conceptual device was advanced for the first time in this article after the publication of the second edition, Rubin says the following:

Only in today's lecture have I drawn a sharp demarcation between socially-equalised labour in general (which exists not only in the commodity economy but can also exist, for example, under socialism) and abstract-universal labour, as labour equalised in a specific form, inherent in the commodity economy.¹⁵

This means that the counter-critique by Rubin of his critics including Dashkovsky that we have seen above is, through a phase of the controversy around the second edition of *Essays*, waged with a theoretical weapon which was not contained in the second edition but was forged anew thanks to their critical remarks. Rubin is here developing a new argument in taking advantage of the critiques launched by his adversaries, and with this weapon he launches counter-attacks upon them. Such a manner of conducting a controversy was adopted by Rubin also in the controversy over the issues to be examined in the next section.

e *The Places of Production and Exchange in the Theory of the Commodity – The Private and the Social within Commodity Production*

i Abstraction of Labour and Generation of Value

Rubin says in the preface to the third edition: We have removed 'the formulations, which may have motivated our critics to ascribe us such thoughts (which

15 Rubin, 'Abstract Labour and Value in Marx's System', p. 562 in the present translation.

we have not in the least embraced) as a prominence of exchange over production, or a transference of abstract labour in the phase of exchange, and so on' (p. 18 in the present translation). In fact, Chapter 14 of the second edition contains a number of passages discussing the places of production and exchange in the commodity economy which Rubin was obliged to revise considerably in the third edition. These passages contained extremely sharp formulations of an 'exchangistic' theory of value, a kind of 'ur-Rubin theory' presented clearly in the first and second editions of *Essays* since 1923. (In the value controversy around the year 1980 in Western countries, a position comparable to the propositions of these earlier editions was adopted, although very probably not knowing the 'ur-Rubin' version, by Michel De Vroey in his contribution 'Value, Production, and Exchange' to *The Value Controversy*, edited by Ian Steedman, Verso 1981.)

According to the Rubin of the second edition, production is altogether a private sphere, and hence the products and the labour of commodity producers become social only in exchange, the sphere of their social contact. Therefore, there can be no question of the abstraction of labour or of the generation of value in the sphere of production, which is totally private. These can take place exclusively in the acts of market exchange. The following are extracted from the passages in which this idea is most clearly expressed:

Each of them [commodity producers] acts in his enterprise autonomously and independently. Only at the moment when his product of labour is brought to market and contraposed to an endless series of other products appearing on the market to be equalised with each of them in a certain proportion does the commodity producer experience the action of the whole market upon him, i.e., the action of the labour activity of the other members of society, and in turn he exercises a counter-action on them through the product of his labour ... [A]s long as a commodity producer is occupied with his *concrete*, special labour, it is *private* labour; it becomes *social* only through the act of market exchange, i.e., in the form of the equalisation of the products of extremely different kinds of labour, in the form of *abstract* labour.¹⁶

The same idea as above is formulated in an even more extremely sharp expression as follows:

16 Quoted from Chapter 14 in the second edition, p. 212 in the present translation. Emphasis in original.

Abstract labour emerges only in the *actual act of market exchange* ... The latter [abstract labour] arises only in exchange ... Abstract labour is created by exchange (*ibid.*, p. 214 in the present translation. Emphasis in original).

This quotation is comprised of the three first sentences of consecutive three paragraphs on the same one page. Rubin repeats there emphatically as many as three times the same idea in equally concise form, which must have given a very strong impression of 'exchangism' to those who read these passages, and some of them may certainly have felt a deep aversion (cf. passages in Shabs's book, 1928, pp. 672, 679 in the present translation). In fact, these passages were repeatedly denounced by the critics of Rubin after the publication of the second edition, and were eliminated without trace in the third edition.

Here production is taken to be a domain completely isolated from any social contact and exclusively dominated by private initiative, and conversely exchange is regarded as a domain in which private labour and its products, totally separated from society, can enter into social contact and be socialised 'for the first time in their lives'. In response to the critical comments of Shabs to be quoted below, Rubin says that exchange in his meaning is a social form of the process of reproduction i.e., a specific form of production, encompassing the whole of production and exchange as its alternate particular phases (cf. 'Reply to S. Shabs', p. 373 in the present translation). But this may be rather casuistical on second thought, just as may Rubin's counter-critique we have seen in the last section. In the context of the sentences quoted above, it would be natural to regard the exchange in question as exchange as a particular concrete phase coming before and after a particular concrete phase of production. Shabs criticises the above sentences of Rubin's as follows:

The author starts here altogether unfoundedly from the contraposition of production as the sphere of the private to exchange as the sphere of the social. The result of such an erroneous contraposition is that both production and exchange are represented unilaterally, therefore, as autonomous moments of the process, mutually excluding one another ... [W]e have here in our presence the negation of the private moment in exchange, as well as the social moment in production, in short, the negation of the twofold, contradictory character of the whole process.¹⁷

17 Shabs, *The Problem of Social Labour in Marx's Economic System*, 1928, p. 693 in the present translation.

He [Rubin] interprets the structure of society as a mechanically connected sum of particularised private producers, who direct their production activity wholly isolated from the impact of social processes, i.e., not only formally, *but also economically* independent of *the social whole* ... Only in the direct acts of exchange, according to his representation, does the social 'inter-conditionality' of private labour activity acquire the character of economic reality and have economic significance. Prior to the act of exchange and outside of it, the social producer does not have consciousness of himself as a unit depending on society, and social production represents, apparently, *membra disjecta* [scattered limbs]. Precisely in such a form appears the character of commodity society in his formulation of the twofold determination of labour.¹⁸

In this book, Shabs advances propositions going to an extremity exactly opposite to those of Rubin in the second edition (an exaggeration of the social character of the process of production in the commodity economy): abstract labour establishes itself already in the process of production, commodities enter into market already vested with certain amounts of value, on the basis of which they exchange with each other in certain proportions. Apart from this positive contention of Shabs, his critique of Rubin (to the effect that some sort of social character must be recognised in the process of commodity production) seems to be justifiable. In the second edition, Rubin understands the independence of commodity producers in their act of production not only as their personal independence from all other producers, but also as an independence from any economic relation with them. For this reason, the social character of producers is attributed only to the phase of exchange, as opposed to the phase of production. In contrast, the process of production is situated as an 'isolated kingdom' of independent and free commodity producers, where both labour and its products are of an altogether private character. In this way production and exchange are completely separated. Just like Shabs, Voznesensky criticises the above passages of the second edition in saying as follows:

So long as production is commodity production, i.e., so long as it is 'taken into account' (Marx) already in advance, in the production itself of products, that they are produced as commodities, they do not appear here in the process of production as use values, and therefore, concrete labour also is modified into abstract labour, and the latter already emerges.¹⁹

18 *ibid.*, pp. 693–4 in the present translation. Emphasis in original.

19 Voznesensky, 'On the Problem of the Understanding of the Category of Abstract Labour', 1925, p. 612 in the present translation.

The act of production in the commodity economy is certainly of a private character, but even here the producers cannot behave totally arbitrarily, they are placed under a constraint of some kind by economic relations with other producers (exchange relations). In this sense therefore, the commodity economy, while being private, at the same time cannot remain exclusively private. Faced with these critiques, Rubin retracted the extreme polarisation of the 'private' and the 'social' between production and exchange, and in the third edition advances a new point of view on the relation between production and exchange.

In the second edition of *Essays* Rubin had the tendency to take production and exchange respectively as one particular concrete process taking place once and for all (at least they were not explicitly situated as one step of the repeated processes in the flux of reproduction), but in the third edition Rubin adopts the overall perspective of reproduction. It is from this point of view that he now advances new points of argument on the problem of the relations between production and exchange with regard to the abstraction of labour and the generation of value. In this context production is regarded as having behind it a manifold repetition of preceding productions and exchanges, and hence naturally as taking place in view of exchange (selling).

Our commodity producer produces products for sale, for the market, and thus already in the process of direct production he must take into account the assumed conditions of the market, i.e., he is forced to pay attention to the labour activity of the other members of society, insofar as it influences the movement of commodity prices on the market.²⁰

The producers thus make effort to perform their act of production in a socially meaningful (i.e., value-creating) way in considering the state of market on the information obtained from the preceding processes of sale. Insofar as production is continuously transformed by the results of preceding repetitive productions and exchanges, it can no longer belong to an 'isolated kingdom'. And yet production in the commodity economy still remains a private act, based on the private ownership of the means of production and on private decision.

Such a private activity and the production of value are put into relation as follows:

20 Quoted from the lines added to Chapter 1 in the third edition, p. 32 in the present translation.

[S]ince commodity production counts in advance upon exchange, already in the process of direct production, before the act of exchange, the commodity producer equalises his product to a certain sum of value (money), and because of this the concrete labour to a certain quantity of abstract labour. But [...] this equalisation still assumes a preliminary or 'subjectively represented' character, and must still be actually realised in the eventual act of exchange.²¹

'[T]his reduction of concrete kinds of labour to abstract labour is realised finally in the process of exchange, though within the process of direct production this reduction still bears an anticipated or ideal character, insofar as production counts in advance on exchange' (quoted from Chapter 14 in the third edition, p. 193 in the present translation). The sentence corresponding to this quotation in the second edition runs as follows: 'This reduction of concrete kinds of labour to abstract labour is completed in the act of market exchange, connecting individual commodity producers' (quoted from Chapter 14 in the second edition, p. 213 in the present translation). But there is no mention here of the immediate process of production.

By thus interrelating production and exchange, the salient 'exchangistic' formulation of the second edition quoted above ('abstract labour is created by exchange', etc.) is modified in the third edition as follows: 'Abstract labour appears and develops accordingly as exchange becomes the social form of the process of production itself, which is thereby transformed into commodity production. In the absence of exchange as a social form of production, there can be no question of abstract labour' (quoted from Chapter 14 in the third edition, p. 193 in the present translation). Here, just as in the second edition there is no creation of value without exchange, exchange as 'a social form of the process of production' is said to be the condition of existence of abstract labour. This concept of exchange, together with the concept of 'exchange as a particular phase', comprises the 'two concepts of exchange' (cf. P. 198 in the present translation) advanced for the first time in the 1927 article (p. 547 in the present translation) and incorporated into the third edition with almost no amendment. With these 'two concepts of exchange' Rubin tries to give a new explanation of the abstraction of labour and the generation of value from the perspective of reproduction.

21 Quoted from the lines added to Chapter 8 in the third edition, p. 100 in the present translation.

ii Exchange as a Social Form of Reproduction and Exchange as Its
 Particular Phase (Two Concepts of Exchange)

Among the critics of the theory of abstract labour of the second edition of *Essays*, it is Shabs who most often made critical comments on the places of production and exchange in the commodity economy. His book of a little more than 150 pages is devoted on the whole to the controversy with Rubin around this problem. Just as in the case of the counter-critique to Dashkovsky (by means of the conceptual device 'three types of equal labour'), Rubin's response to Shabs in the second article in 'Reply to Critics' (pp. 352–70 in the present translation) consists in counter-attacking the opponent by means of the arguments newly conceived thanks to the remarks made by the critic. Moreover, the 'two concepts of exchange' Rubin advances in the course of the debates with Shabs and utilises as his weapon of counter-critique seems to be forged on the suggestions contained in Shabs's book (cf. pp. 649–5 in the present translation). There we can find sentences allowing such a conjecture (in fact he says that exchange transforms production in the course of its repetition), but these 'two concepts of exchange', themselves developed in detail for the first time in the 1927 article and incorporated almost unchanged in Chapter 14 of the third edition, is no doubt proper to Rubin, because at the time when Rubin published this article in mid-1927 Shabs had not yet published his book. While Rubin's 1927 article was chronologically prior to Shabs's book, on the other hand Rubin's response to Shabs's critique in his 'Reply' was naturally made after the publication of it. Under such conditions, it is difficult to say affirmatively which of them conceived first the idea of the two concepts of exchange. In any case it would be fair to say that the idea was developed in the process of their mutual critiques, as an unintended consequence.

Shabs says that production in the commodity economy is not altogether private, as Rubin thinks it to be:

In truth, the private commodity producer in capitalist society is dependent on the social process as a whole in his 'private' labour activity, this sphere of his sovereignty, to such an extent that only an adaptation of his socially-expedient production activity to the whole system of production can ensure him a priori the possibility of a posteriori realising, in exchange, his private labour as socially necessary.²²

22 Shabs, *The Problem of Social Labour in Marx's Economic System*, 1928, p. 694 in the present translation.

Exchange is anticipated in production, it is included in the conditions of production themselves ... Insofar as the target of production is for the capitalist the acquisition of surplus value, profit, the realisation of which is conditioned by the socially-expedient character of his production activity, it is totally impossible for him to produce 'any product which pleases him', still more so with 'any suitable means of production'.²³

In his counter-critique to Shabs, Rubin emphasises the injustice of Shabs's critique in saying that it is 'absurd to deny the social character of production' and 'all these absurd conclusions are exclusively the fruit of the fantasy of my critic and can never be attributed to me' ('Reply to Shabs', p. 373 in the present translation), and in addition he accuses Shabs of not distinguishing the 'two concepts of exchange' (cf. *ibid.*, p. 375 in the present translation), though Rubin does not use this term here. But in our view, insofar as concerns Chapter 14 of the second edition, the comments of Shabs cannot be said to be wrong, and Rubin's 'counter-attack' on Shabs is beside the point.

Shabs underlines in this way the socially conditioned character of production in the commodity economy. He advances this position to the opposite extremity and denies the private character of commodity production.

*[I]nsofar as reproduction is considered in its cyclical movement as the unity of production and exchange in their mutual conditionality, the labour of the private commodity producer, or private labour of every particular individual, is conditioned in its functioning itself by the entire social whole (providing him with means of production and equivalent for his product), and hence its social assignment and social significance are already determined directly in production; private labour acquires at the same time the character of social labour, labour acquires a twofold character. The act of exchange only realises this fact, and does not create it.*²⁴

In other words, if we look upon the commodity economy as a process of reproduction in which production and exchange are alternately repeated, although the production is carried out in the private economic unit, the discretionary margin for the private producer reduces to zero and his activity is totally placed under the societal constraints. Commodity production thus becomes altogether socialised, and commodity exchange is not a 'salto mortale' from

²³ *ibid.*, p. 694 in the present translation.

²⁴ *ibid.*, p. 699 in the present translation. Emphasis in original.

the private to the social, but is regarded as a process through which something already socially significant only undergoes a post-factum confirmation. From Rubin's standpoint, this is to encompass the private domain as a whole within the social domain, which would mean a total elimination of the problem of the commodity economy as fundamentally characterised by the relative autonomy of the private domain.

But, though Rubin's position on the social character of commodity production is surely contrary to the above explained position of Shabs, in the third edition Rubin also advances emphatically the fundamental perspective on the relation between production and exchange and their character, which consists in considering both in their '*cyclical movement as the unity of production and exchange in their reciprocal conditionality*'. Of the 'two concepts of exchange', exchange as 'a social form of reproduction', which is especially underlined, can be understood only from the standpoint of reproduction. As seen above, in the second edition Rubin repeatedly stressed the abstraction of labour and the creation of value in exchange, but there the standpoint of reproduction was not apparent at least in the letter of the text, in spite of the 'apologetic explanation' Rubin made afterward. Therefore, exchange as the phase of the creation of value could well be interpreted as 'exchange as a particular phase of this process of reproduction, alternating with the phase of production' (quoted from Chapter 14 in the third edition, p. 198 in the present translation]. Cf. the 1927 article, p. 547 in the present translation), notwithstanding Rubin's claim in his 'Reply to Critics'. But, in the third edition Rubin explains how he considers production in the commodity economy as follows:

[P]eople do not produce today for the first time, since a producer produces after he has entered the act of exchange and before he enters the following act of exchange, the process of direct production too acquires determinate social features corresponding to the organisation of the commodity economy based on exchange.²⁵

Such a characterisation of production, never to be found in the second edition, is advanced by Rubin in the course of his counter-critique of Shabs. In view of the process of controversy seen above, this characterisation is in some sense due to the arguments of Shabs. (The 'two concepts of exchange', considering the production and exchange from the viewpoint of reproduction in their relation of reciprocal penetration, can be said to be based on a methodo-

25 *ibid.*, cf. the 1927 article, p. 199 in the present translation.

logical foundation congeneric to the theory of reification developed in the first part of *Essays*, independent of the above process of controversy, but here we do not enter into detail on this interesting point. Cf. Chapter 3 of *Essays* in its later editions, incorporating the essential points of Rubin's article 'Relations of Production and Material Categories' (Rubin, 1924, pp. 71–4 in the present translation.)

In any case, production has become not altogether private and has obtained a 'certain social character' (of creating commodities, and hence values). However, Rubin surely does not think, unlike Shabs, that value is produced in production and its magnitude given there. '[T]he labour activity of commodity producers in the phase of production appears directly as private and concrete labour, and only indirectly or latently as social labour, according to Marx's expression' (quoted from Chapter 14 in the third edition, p. 200 in the present translation. Cf. the 1927 article, p. 549 in the present translation). If in the process of reproduction production obtains a social character of such a sense, the process of exchange (as a social form of the process of reproduction) undergoes in its turn a certain constraint exercised by production. In other words, the nature of the products and the manner of their production predetermine in a certain degree the success or failure of exchange and the proportion of exchange (price).

By the way, these 'two concepts of exchange' advanced by Rubin after the second edition of *Essays* seem to have been taken up and examined in detail neither in the value controversy in the Soviet Union after the publication of the third edition (with the two exceptional cases of Bessonov and Greblis et al.), nor in the value controversy in the West during and after the 1970s, considerably influenced by Rubin's theory. In the former Rubin was always criticised for having given an absolutely predominant role to exchange as a particular phase distinct from production, and after 1930 when the controversy itself was prohibited, he became the object of the accusation as a theorist of thorough 'circulationism'.

What becomes here the most important problem is whether and how the 'quantity of abstract labour' determining the amount of value relates to the quantity of labour within production (concrete labour) as a 'material-technical' process. The physiologists have, as we have seen, obtained abstract labour in thinking in stripping from concrete labour the concrete forms of its expenditure to reduce it to the expenditure of 'physiological energy'. Though recognising technical difficulties in this reduction, Cohn and other physiologists consider it to be possible in principle. Therefore, the 'quantity of abstract labour' as the basis of the quantity of value is treated by the physiologists as the quantity of 'physiological energy', which must be quantifiable in terms of a natural

unit (in calorific value, for example). They find in this point the foundation of the material basis i.e., of the materialistic, scientific character of the theory of labour value. But Rubin's theory of abstract labour is of a totally different character from such a standpoint. In contrasting the physiological interpretation of abstract labour with his own, Rubin says toward the end of Chapter 14 of the second edition as follows:

[W]e should ask ourselves what is the meaning of Marx's following proposition of the theory of value: value is created by labour. If value is a social property, can it be created by labour, even if abstract? As long as we see in abstract labour a physiological concept, it of course cannot be a creator of value as a social property. But this would not be justifiable if abstract labour is in fact a social concept expressing a social form of organisation of labour in the commodity economy, namely the organisation of labour in the form of a totality of independent autonomous commodity producers, who are connected by the division of labour and realise this connection in exchange. *This* abstract labour, in other words, the commodity form of economy *creates* the value of the products of labour, i.e., the property of them which appears to be the outcome of a given social (commodity) form of production but which is attributed to things.²⁶

In other words, abstract labour is a 'commodity form of society', which creates value. If this is the case, how can the quantity of value or its variation be explained? One of the issues of controversy around the second edition was how to treat the quantity of value. In reading the passages amended for the third edition we see Rubin in considerable difficulties. Besides, unlike on the two points discussed in i) and ii) of this section, Rubin says nothing on the quantitative treatment of value in the 1927 article, and only in the text of the third edition and in the 'Reply to A. Cohn' (published for the first time as appendix to the third edition) does he develop some minor arguments on this point. This means that he could (or had to) say something only at the ultimate moment of his final response to the critiques. Such a delay in response also proves how embarrassing this point was for Rubin's theory of abstract labour.

26 p. 222 in the present translation. Emphasis in original.

iii The 'Material-Technical Process of Production' and 'Quantity of Abstract Labour'

The critical arguments on the possibility of explanation of quantitative determination in Rubin's theory of abstract labour are made with one accord by Voznesensky, Shabs, and Cohn in their respective writings given above. In the process of the controversy which continued until the end of 1930 after the publication of the third edition of *Essays* i.e., after a kind of provisional response given by Rubin in this edition, similar critiques were repeated from the anti-Rubin camp. But as far as this problem is concerned, Rubin did not react promptly. Shabs complains about Rubin's response to his critics on this problem in his previous book as follows:

The author of *Essays* [...] chose to evade altogether positive arguments on the problem of the quantity of labour ... [He] concentrated his efforts only on pushing forward to the point of absurdity the theoretical construction of his adversary, for the purpose of putting off, even for a moment, an open recognition of the bankruptcy of his own point of view.²⁷

Rubin had given virtually no response to the critiques on this problem until the publication of the third edition of *Essays*, which may have induced the above rather hasty 'victory declaration' of Shabs's. We will here pass in review the broad outline of the explanation Rubin gives in the text newly added during the last few pages of Chapter 14 of the third edition about the variation of the 'quantity of abstract labour', determining the quantity of value and its variation. The texts in these pages have no counterparts in the 1927 article.

'[A]bstract labour has a determinate magnitude' (p. 201 in the present translation), but this magnitude 'neither represent[s] a number of hours he worked through nor a sum of factually expended physiological energy, but a number of units of social labour, i.e., a *social magnitude*' (p. 202 in the present translation. Emphasis in original). And, the 'social magnitude' of abstract labour is of a dimension altogether different from that of the amount of labour in the material-technical sense (even though the determination of this magnitude is not so simple, as a matter of fact). Such is the fundamental position of Rubin. With such a position one might come to the conclusion that the generation and quantitative determination of abstract labour could be possible only in the process of exchange which equalises (socialises) private labour through equalising the products of labour. The critics of the second edition of *Essays* denounced

²⁷ Shabs, 'Once Again on the Problem of Social Labour in Marx's Economic System (A Response to the Anti-Criticism of Rubin),' p. 137, cf. note 9 on p. 935 above).

Rubin's theory of abstract labour precisely in understanding it in this way, for its being 'idealistic', separated from the material foundation of the process of production in its material-technical sense, and called Rubin's abstract labour 'ether' and his theory a 'cloud-castle'. The strategy Rubin adopted on this problem in the third edition consists in trying to turn aside somehow such a critique while conserving the above fundamental position. Concretely, he tries to somehow justify theoretically the thesis that the quantity of abstract labour, though not totally free from the constraint coming from the material-technical process of production, is all the same definitively determined in exchange where the commodity is really sold at a certain price. If

the social equalisation of labour in the process of exchange proceeds totally independently of the quantitative elements characterising labour in the process of direct production (for example, of its duration, intensity, length of training for a given type of qualified labour, and so on), ... this equalisation is devoid of every regularity, being determined exclusively by market spontaneity.²⁸

This is the theoretical position the critics attribute to Rubin, but his theory of abstract labour 'has nothing in common with this false assumption' (ibid.).

Rubin tries to explain with the 'twofold character of labour' that the quantity of abstract labour as the substance of value is under the constraint of the amount of concrete labour in the material process of production. This explanation is repeated twice in the third edition of *Essays* (though with an inversely constructed logic).

A driving force towards change in the entire system of values starts from the material-technical process of production. The development of labour productivity finds its expression in a decrease of the quantity of concrete labour actually expended at an average on production. But for the same reason, due to the twofold character of labour as concrete and abstract, the quantity of this same labour, considered as 'social' or 'abstract', i.e., as a share in the total uniform labour of a society, also decreases. The development of labour productivity, in modifying the quantity of abstract labour necessary for production, brings about changes in the value of the products of labour.²⁹

²⁸ Rubin, *Essays on Marx's Theory of Value*, p. 204 in the present translation.

²⁹ Quoted from the passages in Chapter 8 modified for the third edition, pp. 94–5 in the present translation.

The magnitude of value changes in dependence on the quantity of abstract, socially necessary labour, but because of the twofold character of labour the changes in that quantity of abstract, socially necessary labour are caused in turn by changes in the quantity of concrete labour, i.e., by the development of the material-technical process of production, in particular the productivity of labour.³⁰

To begin with, in *Essays*, Marx's concept of the 'twofold character of labour', inquiring into the meaning of the distinction and relation between concrete and abstract labour, is not among the subject matters of discussion (except for a brief mention of it at the beginning of Chapter 14 on abstract labour, just to introduce the notion of abstract labour into the argument), and the reader would certainly have the impression that this concept is abruptly brought up into the passages quoted above. As far as regards the above two quotations, Rubin's logic boils down to saying that 'because abstract labour is linked with concrete labour by the 'twofold character of labour', the variation in the quantity of the former is regulated by the variation in the latter', which is so to say a mere tautology. The question is to explain how these two labours are linked together (or why the diminution of concrete labour by the development of the productivity of labour can be said to always cause a concomitant variation in the quantity of abstract labour). But Rubin seems to turn aside the difficulties of this essential explanation by advancing a kind of master card named the 'twofold character of labour' (instead of analysing this concept itself).

In the third edition of *Essays*, Rubin assigns the last few pages of Chapter 14 for the discussion of this problem, but his discussion as a whole cannot be regarded as going beyond the level of the above two quotations. His procedure may be appropriately interpreted as follows: under the pressure of the critiques, he grafted in haste an additional phrase recognising that abstract labour is conditioned by concrete labour 'in the last analysis', on his fundamental position since the second (or rather the first) edition consisting in a radical differentiation in nature between the former and the latter. To summarise his arguments in the preceding few pages, Rubin repeats once again in the last paragraph of this chapter as follows:

The quantitative characteristic of abstract labour is *causally subject* to a series of features distinguishing labour from its material-technical and physiological aspects in the process of direct production, prior to and

30 Quoted from Chapter 12 in the third edition, p. 152 in the present translation.

independently of the process of exchange. But, although two given labour expenditures are distinguished, independently of the process of exchange, by a certain duration, intensity, level of qualification, and technical productivity, the *social equalisation* of these labour expenditures goes on in the commodity economy only through the process of exchange; and at the same time *socially equalised* or *abstract* labour is distinguished qualitatively and quantitatively from labour considered from its material-technical or physiological aspects.³¹

In short, concrete labour is transformed 'through the process of exchange' into abstract labour, qualitatively distinguished from the former, and thereby the latter undergoes quantitatively some constraints from the former.

It must be stressed here again that for Rubin the labour within commodity production is equalised with other labour not directly as a certain quantity measured in some physical terms, but indirectly through the exchange of commodities as products of labour. Hence, for Rubin, value as the social magnitude of the labour of a commodity producer can appear only as physical quantities of other commodities exchanged with (or equalised to) that commodity, or in the ultimate analysis as a certain physical quantity of a money commodity which serves as the universal equivalent (the reification of human social relations as Rubin's methodological basis for his interpretation of Marx's theory of value). It is therefore impossible and erroneous to try to take the value of a commodity as directly the expression of a certain physical quantity of labour. From such a point of view, Rubin had to face the difficulties seen above in trying to show that value as the expression of abstract labour is not in total rupture with the concrete activities of production (labour in the material-technical sense). The 'quantity of abstract labour' can appear only in the form of a physical quantity of money in the commodity-money regime. But the concrete, physical labour required to produce it at a certain moment in a certain process of production cannot necessarily express itself as value as a social magnitude. In any case, the riddle of the 'quantity of abstract labour', not altogether separated from concrete labour, was left unsolved by Rubin, together with the problem of the appropriateness of the stance he adopted in embarrassment during the last phase of his reflection in the value controversy.

31 Rubin, *Essays*, p. 207 in the present translation, from passages newly written for the third edition. Emphasis in original.

E After the Publication of the Third Edition

Soon after the publication of the third edition toward the summer of 1928, two contrastive reviews by A. Deborin and Cohn were published.

The former, published in no. 11, 1928 of *Under the Banner of Marxism* (pp. 207–11), is of a very favourable tone, giving almost unreserved praise to this new edition. Deborin accords overall positive estimation also to the wide-ranging additions and revisions to it. We take up here only one point which may be of some interest to the present-day reader.

We completely agree with the author that Marx's greatest achievement in the field of political economy consists in 'the consistently carried out distinction between the productive forces and the relations of production, between the material process of production and its social form, between the labour process and the process of value formation' (p. 41 [quoted from the first paragraph of Chapter 4 of the third edition. p. 56 in the present translation]). However, it seems to us that the characterisation of the method of Marx as a 'sociological' method, given by I. Rubin in connection with this point, is too *one-sided*, likely to give (and not rarely giving) occasion to every kind of misunderstanding and misconception on the fundamental idea of the author of this work. In view of the predominance currently observed in the western European economic literature, of the proponents of the so-called 'social method' (at the apogee of which are the works of Alfred Amonn), attempting to separate entirely the 'social relations,' studied by political economy, from the process of direct production, to determine Marx's method as a 'sociological method' is incautious. However, this is an obvious misunderstanding, since Rubin himself has recently published a book [*Contemporary Economists in the West ...*, 1927], the greatest part of which is directed against the 'social approach' in contemporary bourgeois political economy. Marx's method is not only sociological, not only dialectical, *but also materialistic*.³²

Cohn's review was published in *Pravda* on 25 January 1929 (and translated into Japanese in the same year). An opponent of Rubin's from just after the publication of the second edition of *Essays*, he naturally gives a very negative estimation of this new edition, his criticism particularly centring on the 'misunderstanding' Deborin speaks about in the quotation above. According

32 Deborin, *Under the Banner of Marxism*, no. 11, 1928, pp. 209–10. Emphasis in original.

to him, Rubin 'separates' the process of material production and its social form to make solely of the latter the object of political economy. And it is nothing other than neo-Kantianism of the 'social tendency', a favourite of Rubin's, which divides the empirical object according to the interests of cognition to fabricate arbitrarily the object under consideration, ending up in distinguishing the natural exact science aiming at discovering recurrent regularities and the spiritual cultural science of an idiographic character. Such a critique was one of the essential points raised against Rubin by his opponents, including Cohn.

After the publication of the third edition, the controversy extended to the methodological foundations of Rubin's interpretation of the theory of value. It was against this background that the 'object of political economy' came into the spotlight in the discussion in 1929.

Such an extension (or diffusion) of the points in discussion was at the same time accompanied by a diversification of participants and complication in the relations of their opposition. The former situation of the controversy, where Rubin himself directly responded to a few of his critics, had receded; from now on it was rather among opponents and proponents of his theories that the controversy went on (and Voznesensky, Dashkovsky, and Shabs, who had played the central role in the previous phase, retreated from the arena). The media of the controversy also changed. In 1929 and after, although *Under the Banner of Marxism* remained one of the main media, its former place was taken by *Problems of Economy* (*Проблемы экономики*), founded in 1929. The beginning of the brilliant controversy over the stage of this monthly journal was marked by the article 'Against the Evisceration of Marxism (on the Third Edition of *Essays* by I. Rubin)' published in nos. 1 and 2, 1929, pp. 123–44, 78–117, by Bessonov, who was to be the main controversialist with Rubin in the first half of this year. On the other hand, the articles Rubin wrote in response to the criticism considerably diminished in contrast to the intensification of debates at that time. The articles he published in direct response to his opponents were only two: 1. an article of anti-criticism to Bessonov 'Against the Vulgarisation of Marxism (A Response to the Article of S. Bessonov)' («И. Рубин, Против вульгаризации марксизма (ответ на статью С. Бессонова)»), originally published in nos. 3 and 4/5 of *Problems of Economy* (pp. 83–109, 127–56) to be subsequently included in the fourth edition of *Essays* as the fourth article in 'Reply to Critics' (pp. 433–502 in the present translation); and 2. the stenography of the large-scale discussion meeting held in Spring 1929 in the Institute of Red Professors 'The Dialectical Development of Categories in the Economic System of Marx' («Диалектическое развитие категорий в экономической системе Маркса»), in no. 4/5 of the same journal, pp. 203–38. This was a factor

giving the controversy a character of debates among third persons, and complicating (obscuring) the relations of their opposition. But at the same time, like Reuel's article (cf. the last paragraph of section A.), survey articles recapitulating the controversy from the points of view of each of their authors came to appear at that time, which conversely are helpful for grasping the global situation.

As an additional characteristic of the controversy in 1929, there was a politicising tendency to it, including political labelling, and an exasperation of the tone of accusation against adversaries. It is also in this period of time that senseless scribbles, only defending from beginning to end the position the author supported without developing his own positive arguments, or simply aiming at abusing their adversaries, began to appear. But, in spite of this kind of politicising tendency, until the end of 1929 the controversy was going on among researchers as an academic discussion. This was of a dimension different from the politicisation after the end of 1929 in the process of its forcible ending by the intervention of the Stalinised party central. In his article 'On a Theoretical Discussion and its Lessons' («Об одной теоретической дискуссии и ее уроках»), *Bolshevik*, no. 9/10, 1929, pp. 129–47, A. Leontiev (А. Леонтьев) made, in looking back over the historical significance of *Essays* and the controversy around this work, his observations on its contemporary stage as follows:

We must acknowledge that in the ongoing discussion along with these positive elements we have also met with elements of another order, which are more and more advancing to the foreground. The harshness of tone, apparently disproportionate to the force of theoretical argumentation, some strange methods of polemic, poverty in positive formulations along with clamorous polemical blatancies, these are the distinctive features of that part of the criticism which has taken a course toward a total destruction of the work of Rubin.³³

In the following, first concerning the controversy up to mid-1929, we will introduce and examine mainly the criticism from Bessonov and Rubin's reaction to it (a.). Next, we will introduce and examine a selection of literature which appeared during the time from the middle to the end of 1929, when Rubin ceased to participate directly in the controversy. During this time the number

33 Leontiev, *ibid.*, p. 147. At the end of this article is added a comment from the editorial board encouraging the discussion on the problems about how to evaluate Rubin's work, but as early as at the beginning of the following year the same board was to make an appeal for breaking off the controversy. This article too was translated into Japanese in the same year.

of documents relating directly or indirectly to the value controversy significantly increased, with arguments delicately different from each other, and at the same time also the 'political noise' mentioned above became considerably more intense. To introduce and examine one by one the manifold literature containing this noise would require an extremely difficult operation, only complicating in vain the description and rendering opaque the broad outlines of the controversy. We will then discard the inessentials to a large extent, to take up only the fundamental problems in relying on a small number of articles conveying the overview of the controversy carried on in 1929 (b.). In the last part we will see the 'official' summing-up and evaluation pronounced on Rubin's theory of value and the controversy around it in the Soviet economic literature after the suppression of the value controversy in 1930 (c.).

a *The Debate with Bessonov*

This debate began with the discussion with Bessonov in the Institute of Red Professors in February 1928, to end with the large-scale discussion meeting held in the same place in Spring 1929, inviting Rubin and Bessonov as the key-note speakers. All the extant documents relating to this debate are published in *Problems of Economy*. As Leontiev says in the above quotation, in the debate between Bessonov and Rubin, though some new points of argument were raised, the discussions were poor in meaningful content for the number of words spent by both of them, with retributions of mutual accusation and distortions of the contentions of the other discussant coming to the fore. The anti-criticism reprinted in the fourth edition as the last article of 'Reply to Critics' was an attempt to retort the criticism of Bessonov in his above mentioned article in going through item by item (each subtitle in Rubin's article is a faithful reproduction of those of Bessonov's). The positive contentions of Rubin's contained in this article are, apart from those concerning the problems of the 'object of political economy' (§ 1.), all only repetitions of what had already been said in the controversy before the publication of the third edition. This problem about the object of political economy, which had been in dispute around the theory of Bukharin in his *Historical Materialism* from the time before the value controversy, was to return to the spotlight as a new focus of debate in and after 1929.

The main point in the contentions of Bessonov etc., is that Rubin understands abstract labour as a pure social relation and banishes from this category its material basis as its mere 'precondition', an interpretation consonant with the neo-Kantian method which composes an arbitrary object of cognition in dividing the aspects of an empirically real object according to the interests of cognition.

For Marx, the social and the material are two aspects of one and the same process of production, which are in mutual relation and constitute equally the object of political economy. The contraposition of the social and the material does not belong to Marx but to the so-called 'social approach' in political economy (Struve, Stolzmann, Amonn, etc.). If such a contraposition is erroneous, we have to refuse it.³⁴

Bessonov claims, as is shown in the title of his critical article, that Rubin's method is an 'evisceration of Marxism'. He means by this that Rubin eviscerates the 'revolutionary spirit of Marxism', deriving the necessity of collapse of the capitalist mode of production from the contradiction between the 'productive forces' and the 'relations of production', in banishing the 'material' as an aspect in the process of social reproduction from the object of political economy on the basis of the above 'contraposition', and banishing moreover the 'productive forces' taken as this 'material'.

Now we can realise another hidden thought of Rubin's, which consists in replacing the relations of production themselves *wholly 'with economic forms of things'* to transform political economy from a revolutionary science on the contradictions between productive forces and relations of production into a harmless and very agreeably refined science of various more or less intricate 'determinations of forms' of things.³⁵

'Together with the problem of 'dependence of the relations of production on the state and distribution of the productive forces', the whole revolutionary content of Marxist political economy also is eviscerated from it' (*ibid.*, p. 132). 'The social form, torn off by Rubin from material production and transferred in a particular science, turns out to be floating in air, developing of itself, without any connection to material production' (*ibid.*, p. 137). 'Together with this purification of political economy from the naturalistic chaff the revolutionary-effectual gut of Marx's theory is also eviscerated, the sphere of 'social' phenomena develops now of itself, through itself, and for itself' (*ibid.*, p. 144).

According to Bessonov, the above determination of the object of political economy and the correlated interpretation of the theory of value by the idealist Rubin, who 'is scared to death by the material things' (*ibid.*, p. 141), must be resolutely expelled as 'a novel kind of revisionism' (*ibid.*, no. 2, p. 117). Such a use

34 Bessonov, 1929, no. 1, p. 124.

35 *ibid.*, p. 131. Emphasis in original.

of political terms and the style of appealing not only for refuting the opponent but also for rejecting him characterise the controversy in 1929. The response to Bessonov's criticism of Rubin's determination of the 'object of political economy' is contained in the first section of 'Reply to Critics', but as the questions discussed there extend to the classification of sciences, etc., not directly relating to the theory of value, it may be unnecessary to take it up here.

By the way, Bessonov mentions, exceptionally among the critics of Rubin, exchange and the 'two concepts of exchange' as follows:

For Rubin, material production is entirely private. Solely the act of exchange is social ... It [exchange] only reveals, expresses, and at the same time solves the contradictions really existing in production before the act of exchange. Therefore, when Rubin relates concrete labour to material production, and abstract labour to exchange, this amounts to asserting that use value is created in production, and exchange value in exchange.³⁶

'Please tell us where and when Marx drew such a distinction between exchange as a *form* of production and exchange as its *phase*. He did so nowhere and never' (ibid., no. 2, p. 100. Emphasis in original). As far as can be seen from these quotations, Bessonov grasps the relation between production and exchange as a relation between two sub-processes subsumed within an individual process comprised of a premise and a result, and thinks that the concept of exchange can be given solely such a place. It may certainly be impossible to find in Marx's text passages explicitly formulating the 'two concepts of exchange' and arguing the significance of each of them. But in considering commodity production as a specific form of production comprehending the process of exchange as its indispensable link and grasping this whole as an indefinitely recurrent process of reproduction, it is possible to think, as Rubin does, that production and exchange exercise mutual influence and so acquire respectively a form inherent to the commodity economy. And it may well be possible to extract from Marx's text such a view on the relation between production and exchange. It will then be permissible to compose a concept of exchange as a specific form of production different from the individual process of exchange (exchange as a phase) following an individual process of production. It must be said that Bessonov's contention pretending that Rubin considers production as entirely private and exchange as entirely social (which was also one of Shabs's main arguments in his book published before the third edition) thoroughly over-

36 ibid, p. 125.

looks the formulation of the problem Rubin emphatically advanced in the third edition from the point of view attaching importance to this reproduction. The same should be said as for Bessonov's criticism of the 'two concepts of exchange'. While he exceptionally makes comments on this concept in his criticism to Rubin, concerning his conception of exchange he can be said to share the view of the greater portion of contemporary physiologists. Even after Rubin had developed his proper arguments on exchange in the third edition of *Essays*, the tone which would attribute to Rubin the idea as if the question of value belonged only to the process of exchange was generally prevalent in the criticisms of physiologists.

Now, the more or less new points of argument to be found in Bessonov's lengthy article may be exhausted with the above. Although he takes up a series of other subjects, interesting in themselves, like classical political economy and Marx, commodity fetishism, problems of dialectics, etc., there is nothing in them to be looked back upon today. This would be evident in reading the respective sections in the equally lengthy last article of 'Reply to Critics' in which Rubin responds to Bessonov's criticism in going through almost item by item.

b *Discussions among Third Persons*

The discussion with Bessonov since 1928 and the meetings in the Institute of Red professors in March, April, and May 1929, seen above, were the peak of the controversy at that time, and after that Rubin himself ceased from participating directly in the controversy (his articles published in 1929 and 1930 contain hardly any direct mentions of the value controversy. Cf. for example his article of 1929, pp. 567–99 in the present translation). From this time also it changed its character to become discussions among third persons. These were induced by the controversy around Rubin, and carried on roughly between supporters and opponents of Rubin. All throughout the year 1929 many related journal articles were published, and at the end of this year and the beginning of the next each camp respectively published a collection of articles, as if to sum up the controversy: 1. *Against the Mechanistic Tendencies in Political Economy*, edited by B. Borilin and A. Leontiev (*Против механистических тенденций в политической экономике*, Сборник статей под редакцией Б. Борилина и А. Леонтьева), State Publishing House, Moscow-Leningrad, 1929, 7,000 copies, 187 pages; and 2. *Rubinshchina or Marxism? Against Idealism and Metaphysics in Political Economy*, edited by S.A. Bessonov and A. Cohn (*Рубинщина или Марксизм? Против идеализма и метафизики в политической экономике*, Сборник статей под редакцией С.А. Бессонова и А. Кона), State Publishing house, Moscow-Leningrad, 1930, 7,000 copies, 232 pages (cf. FIGURE 4 on

p. 8 above). As seen above, at that time the controversy as a whole became politicised, and new points of argument came to be raised less and less by both the direct participants (Rubin himself in particular) and the third persons, but conversely, general overviews and assessments of the controversy from the position or theoretical point of view of each of the authors came to the fore in articles published by some among the latter (for example the articles of Saigushkin, Greblis et al., Landye, and Blyumin, cf. pp. 790–821, 773–89, 822–82 in the present translation). In the following we will introduce some of them which seem to give a lucid perspective and summary, to obtain a clue to a general overview of the last phase of the Soviet value controversy in the 1920s.

The controversy in 1929 was characterised on the whole as follows. First, by change in the points at issue. 'The current discussion going on among economists has arisen to a new stage. Having begun some years ago with the problems of abstract labour, it concentrates now on the basic problems of political economy, and above all on *methodological* problems' (Landye, 1929, p. 83. Emphasis in original). Second, by a new configuration of the participants, which is described as follows:

The polemic connected with *Essays* has become so radicalised that it would be possible, without exaggerating the essence of the disagreements, to confirm not only the presence of particular disagreements among individual Marxist economists but also the presence of a demarcation into two 'directions', of which the one seems to us to be tending toward a vulgarisation of Marx's economic theory (here we have in view A. Cohn, S. Bessonov, I. Dashkovsky, etc.); the other, expressed in the work of I. Rubin, enriches Marxist literature in deeply elaborating Marx's theory of value, with a more profound understanding of it fully in agreement with Marx.³⁷

In this situation of the controversy, Saigushkin called into question Rubin's determination of the object of political economy and his understanding of abstract labour based on the former, maintaining that his theory of abstract labour is akin to the neo-Kantianism. A critical attitude assimilating Rubin's position in theory to a particular stream in philosophy taken for a quasi-alias of the anti-Marxist philosophy of the time appears from this stage of the controversy – on this point Saigushkin's article may be described as its characteristic specimen.

37 Greblis et al., *Bolshevik*, no. 3, 1929, p. 64. p. 773 in the present translation.

Considering that Rubin's theory of abstract labour presupposes the methodology of science of neo-Kantianism, drawing rigorous distinction between the object of the natural sciences and that of the humanities, Saigushkin introduces the theory of Rickert, one of the representatives of this school, and tries to overlap it with Rubin's view on the object of political economy.

According to Rickert, the nature, the world of material things, processes, and phenomena is understood by means of the natural-scientific method, but social phenomena, the world of subjects, the world of ideal relations, are studied by means of the sociological method. The contrast between these two methods arises from the contrast of matter and soul. The world of nature is, in Rickert's theory, ahistorical: here one and the same laws eternally govern. To this material and ahistorical world is contraposed the historical and immaterial object of social science. The social is for neo-Kantianism ghostly, ideal, opposed to the material or material-technical.³⁸

'For Rubin too, a profound abyss lies between the social and the material, these are for him irreconcilable concepts: the material is asocial and ahistorical' (p. 797 in the present translation). Thus, Rubin makes the social form the sole object of political economy, to exclude the material from the object of 'sociological' science. The neo-Kantian school divides the 'empirical object' as it is, irrespective of its 'objective unity'. The origin of the idealistic character of Rubin's interpretation of abstract labour should also, he maintains, be found here. But Rubin himself scarcely developed such a methodological argument, he stated his view a little only passively when he had to respond to critics (Bessonov for example). As far as we can see from there, the material-technical is a 'precondition' of the social form, and as such it is excluded from the scope of political economy which has the latter as its direct object. But he repeatedly emphasises that the latter is ultimately constrained by the former. On the other hand, in his last published article 'Marx's Teaching on Production and Consumption' («Учение Маркса о производстве и потреблении»), *K. Marx and F. Engels Archive*, no. 5, 1930, pp. 58–131 (English translation in *Responses to Marx's Capital*, edited by Richard B. Day and Daniel F. Gaido, Brill, 2018, pp. 448–535), he examines philologically Marx's views on use value to proceed to a preliminary consideration on the role this concept is to play within political economy. This investigation of his too can be regarded as an attempt to search for the relation

38 Saigushkin, 1929, p. 797 in the present translation.

between the 'presupposition' of political economy and its direct object. It must certainly be said that, regarding the relation between them and the constraint of the latter by the former, Rubin restricts himself only to asserting them from time to time and does not go so far as to theorise them clearly. However, to brand his theory as 'neo-Kantianism' can only be a politicising labelling.

Anyway, Saigushkin explains his 'abstract labour as a materialistic category' as follows to oppose it to Rubin's 'idealistic' understanding of it. According to him, abstract labour can only exist when supported by physiological labour as its substratum (substance), a form devoid of substance being idealistic.

[T]he social form of labour as such, i.e., the social form of labour without the material substratum of labour, is a fiction, a dummy, which exists only in Rubin's head. [...] [I]n the real world there exists a substantial social form of labour, including within it the physiological expenditure of human labour power as its material content, or, which amounts to the same, there exists physiological expenditure of human labour power in a definite social form. The social form of labour must not be understood as an empty, insubstantial aethereal form ...³⁹

It is upon this general theory of the form of labour and its material substratum that the following central thesis of Saigushkin's article is founded:

Abstract labour is a materialistic category, since in its content it is the objectively existing sensuous activity of living material human existence as a part of nature, abstracted from the concrete expedient form of this activity, i.e., the expenditure of human labour power in the physiological sense, in its historically definite social quality.⁴⁰

Hence the abstract labour he means is the expenditure of human labour power in the physiological sense, vested with a certain social form. We cannot but agree with Saigushkin in that it is only when an actual expenditure of labour power in the material sense exists that a particular historical, social form of this labour can exist. For him, 'abstract labour' is obtained by the abstraction of the expenditure of material labour power as the basis supporting various forms of this labour from these forms, an abstraction conceived as a logical operation in the human mind. He directs his attention mainly to this point. Such a for-

39 *ibid.*, p. 792 in the present translation.

40 *ibid.*, p. 801 in the present translation.

mulation of the problem by Saigushkin is far from the central theme in Rubin's theory of abstract labour, inquiring where to find the specificity of the form of this labour in the commodity economy. Rubin does not deny that the actual labour in the commodity economy is in existence in such a way as is described in the above quotation from Saigushkin, but he only asks himself about how abstract labour manifests as a specific modality of labour, becoming social in the conditions of the commodity economy. As we have seen in examining the article by Dashkovsky (a. of C), the authors generally described as 'mechanists' have a tendency to make 'fundamental reduction' the main procedure for grasping abstract labour. Such a difference in the formulation of the problem of the two opposite tendencies in the controversy during 1929 is brought into sharp relief in the article by Landye we are to introduce below.

We will finally present another point of argument raised by Saigushkin, the problem of the quantitative determination of abstract labour, which concerns as its precondition the measurability of abstract labour. This was already raised by Dashkovsky and Shabs as a point of their critiques of Rubin.

[T]he abstract labour of Rubin is immaterial; it is an aethereal category, an idealistic dummy. A quantitative determination presupposes some 'matter', some real content. Naturally, Rubin must on precisely this point dodge with every means in order to characterise quantitatively something invested with no quantity, no matter, no content ... [T]he problem must somehow be raised according to Rubin in such a form: what quantity of immaterial social connectedness in commodity B is equivalent to a certain quantity of ideal relation of production in commodity A? And this nonsense is the sole possible formulation of the problem of the quantitative aspect of value from the point of view of the immaterial abstract labour of Rubin ... Rubin *has no right* to measure abstract labour with labour time, since this measure is a material measure, labour time being not an aethereal appearance, but a definite duration of a real material process, i.e., the productive expenditure of the physiological powers of the human organism. *Indeed, in fact, there cannot be any duration of a material process without this process itself!*⁴¹

According to Rubin, abstract labour actually manifests in the exchange of commodities for money, while it is 'ultimately' constrained by the duration of labour time in the process of production. Hence the quantitative determin-

41 *ibid.*, p. 811 in the present translation. Emphasis in original.

ation of abstract labour 'contained' within a commodity is expressed in the proportion of its exchange for money i.e., as its money price. Thus, a system of values (prices) of commodities will be formed on the basis of physical quantities of the money commodity (though value itself is not a physical quantity but a social relation expressed in the form of physical quantity). Therefore, the magnitude of value is wholly relative, and it is impossible for value to have in itself a certain magnitude and maintain it apart from this system. While Saigushkin maintains in the above quotation that a quantitative determination can have meaning only when measuring that which exists physically with some physical unit of measure, it is through money, through a material relation that the magnitude of value as an immaterial entity is expressed in a specific manner in the commodity economy.

Saigushkin's criticism of Rubin is based upon his idea that a quantitative determination which indefinitely remains relative cannot be conclusive but is immaterialist, floating in the air so to say. Only what exists physically (here the expenditure of physiological energy) can have quantity, and its measurement cannot but be by some physical unit of measure (the duration of labour time, or the calorie as a unit of energy expended). And a magnitude quantitatively determined in this way (for example, 10 hours of labour or 100 kilocalories of expenditure of energy) is held as something absolute, endowed with a certain quantity for itself, irrespective of the quantities of labour to be expended on the production of other commodities. Only when this absolute magnitude, 'appearing' as an individual rate of exchange in the process of exchange i.e., a 'relative proportion', can be determined is it possible to speak about a materialistic determination of quantity. Such is the contention of Saigushkin. But, even if a definite quantity valid as the 'essence' of a 'phenomenon' may exist in certain cases, something like an 'absolute quantity' founded on something 'material and immutable' is purely and simply an illusion, since every physical quantity such as weight, length, etc., is relative dependent for itself on the conditions of the system to which they belong, the quantitative determination of value being no exception to this.

Contrary to Saigushkin's critical article, the article by Greblis et al., is close to the position of Rubin, and contains a few very keen observations on the characteristic of Rubin's interpretation of Marx's theory of value scarcely mentioned by the participants in the value debate in the 1920s, and Landye's article, also close to Rubin's position, presents concisely and clearly the method of the 'mechanistic' interpretation and brings into sharp relief the difference in the formulation of the problem adopted respectively by the opponents and supporters of Rubin in their discussion of abstract labour. In introducing these two articles, we will end the overview of the Soviet value controversy in 1929.

Greblis et al., explain first the position of Rubin more clearly than himself on the methodological point in issue most intensely debated at that time: 'object of political economy'.

The anxiety of the critics of I. Rubin to draw a distinction between material production and its social form is explained by the fact that for them only the 'material' – in the narrow sense of the physical, i.e., something visible and tangible – actually, objectively, really exists. This is the viewpoint of mechanical materialism. To confirm the connection of social form with material content does not at all mean their identification. Although neither an atom of 'natural thing' nor 'an atom of matter' is contained in it, real, objective *social* existence is not excluded. Value is according to Marx only a 'social relation', it has only a 'social entity' and contains within it 'not an atom of matter'.⁴²

The arguments of the physiologists like Saigushkin were based on the fundamental presupposition that only something 'physical', 'visible', or 'tangible' exists objectively from the 'materialist' point of view, that everything not entering into this category is only 'idealistic'. But here the scope of what 'materialistically exists' is extended to the 'unphysical'. For Marx the value of commodities and the abstract labour as its substance are social forms linked with material content, but, while being 'linked', they are entities of a character different from the physical entities of the material content. Rubin's interpretation of Marx's theory of value is a development of the latter's theory on such a specific form of existence of abstract labour.

And it is precisely Marx's theory of fetishism that shows that the immaterial 'really existing' as social relations cannot be disconnected from the material, cannot but appear to us as something 'physical', 'visible', or 'tangible'. Rubin's system of interpretation of Marx's theory of value is constructed in placing at the beginning the theory of commodity fetishism as the methodological foundation. And Rubin's theory of abstract labour, characterised as above, is too made possible by such a construction of its system. Greblis et al., highly estimate in their article the fact that such a characteristic of Rubin's theory is based on his theory of fetishism and that he gave this theory a place suitable for its character in Marx's theory of value. (Incidentally, the theory of fetishism placed at the beginning of *Essays* hardly attracted attention during the Soviet controversy of the 1920s, only a very few participants in it could positively estimate it, with

42 Greblis et al., *Bolshevik*, no. 3, 1929, pp. 66–7. p. 777 in the present translation.

Motyilev in his review of the first edition of *Essays* (*Under the Banner of Marxisms*, no. 4/5, 1923) and Greblis et al., belonging to these few exceptions.)

In determining political economy as a science of the relations of production among people in the commodity-capitalist economy, I. Rubin entirely correctly brings to the forefront Marx's theory of commodity fetishism. The great merit of I. Rubin is that in his description of Marx's theory of value he has advanced in an appropriate place the theory of commodity fetishism and most closely connected it with Marx's economic theory.⁴³

It is the category of money that plays the decisive role in the problem of the reification of abstract labour in the theory of value. In appreciating the indispensable role given to money within the theory of abstract labour in *Essays* as a decisively important point overlooked in the interpretation of Marx's theory of value before *Essays*, Greblis et al., point out at the same time that the theory of money is not sufficiently developed in *Essays*, still leaving room to be made up for. It may deserve to be especially noted as an advantage of this article that, along with this observation, it paid attention to the close connection between money and abstract labour in Rubin's interpretation of Marx's theory of value.

It would have been extremely valuable if *Essays* had been further developed by an elaboration of the problems of money in connection with Marx's theory of value. His theory of money is most closely adjacent to his theory of abstract labour. The elaboration of the problem of the interrelation between abstract labour and money in Marx, which is incidentally an enterprise never attempted by anyone, would be an extremely valuable new enrichment of *Essays*.⁴⁴

As they point out here, while money appears as the executor in the emergence of abstract labour and as such plays an important role in *Essays*, Rubin does not conduct there any detailed investigation into the mechanism of its formation, and particularly does not make a systematic analysis of the theories of the forms of value and of the process of exchange as the backbone of the theory of commodities in *Capital*, thus leaving unexplored a considerable field

43 *ibid.*, p. 67. p. 778 in the present translation.

44 *ibid.*, p. 74. p. 788 in the present translation.

of research in the theory of money. (However, this is what can be said about *Essays on Marx's Theory of Value*. Although Rubin was writing, in parallel with this work, the manuscript of 'Essays on Marx's Theory of Money', treating precisely these points, virtually no one except himself knew of the existence of this unpublished (and probably unfinished) work until after the collapse of the Soviet Union at the beginning of the 1990s, because he never mentioned its existence and content a fortiori the plan of its publication in any of his published writings (or, probably, in conversation) for some unknown reasons. Subsequent to the present translation, another of Rubin's *Essays* will soon be published, together with related materials including the primary and secondary literature and a detailed introductory essay by the translator. It is evident nowadays that these two *Essays* should be read together as one work in order to understand better what Rubin meant, but in the controversy of the 1920s only the former was known and became an object of discussion. To avoid useless confusion, the latter is not taken into account in the present introductory essay.)

As the last point in the introduction of the article by Greblis et al., we will quote a passage in which the authors maintain that Rubin introduced the 'two concepts of exchange' for the first time in the third edition of *Essays* for the purpose of responding to critics in clarifying the idea on production and exchange he had conceived in advance, to confirm the place of these 'two concepts of exchange' in the history of his research activity.

[In the third edition of *Essays*], I. Rubin corrected a series of unsuccessful formulas, in which was not explained clearly enough the difference between exchange as a phase in the process of reproduction and exchange as a social form of production. These formulas induced critics to accuse I. Rubin of advancing a 'concept of exchange', 'according to' which he would transfer abstract labour and 'therefore' also value to the sphere of exchange, contraposed to the sphere of production. How far this accusation was gratuitous *in essence* is shown in the results of the correction of these formulas in the third edition ... Rubin ... gave a series of valuable indications on how Marx considered the problem of the interrelation between exchange and production.⁴⁵

The other co-authored article by Greblis et al., entitled 'On the Disputable and Indisputable' («О спорном и бесспорном»), *Problems of Economy*, no. 10–11,

45 *ibid.*, p. 787 in the present translation. Emphasis in original.

1929, pp. 155–71, summarises together with Landye's article the points of argument of the 'anti-Rubin school' from a position close to Rubin's theory. First, the former article 'generalises' the situation of the 'anti-Rubin school', viewed posterior to the heated debates around Rubin and Bessonov during the first half of 1929, as follows:

The views of these authors [Dashkovsky, Shabs, Cohn, and Bessonov] are, although more or less distinct from each other on a series of formulations and on secondary problems, something unitary, *conformable in principle* to each other on the basic problems in dispute. The clearest resemblance and affinity of these authors manifested itself above all in the *methodological foundation of their criticism* of I. Rubin; secondly, in their *positive solution to almost all the problems in dispute*. Each of them can be regarded with equal right as the creator of that 'critical' approach which acquires now the most accurate name of the 'mechanistic approach'.⁴⁶

In 1929 a number of 'new faces' came to participate in the controversy around Rubin's theory of value, but the four controversialists named here (though they are not directly mentioned by name, it is evident from the context that 'these authors' mean the four persons given above between the square brackets) were always the principal partisans of the 'mechanistic direction.' They are at the same time the four appearing in 'Reply to Critics' appendix to the fourth edition of *Essays*. In view of this last phase of the controversy, it may be conclusively said that Rubin himself and these four persons were the central bearers of the Soviet value controversy of the 1920s (however, in scrutinising the table of contents of major journals of the time, we can see that Dashkovsky never appeared after having published in 1926 an article criticising Rubin, and that Shabs retired from the controversy in 1929. While the former published only one article in the earliest phase, virtually setting off the controversy, it was subsequently mentioned again and again by Rubin, and other participants often took up and discussed it up to 1929. In any case it would be to oversimplify the historical context of the Soviet controversy in the 1920s to describe it as if it centred on the opposition between Rubin and Cohn, as was the case with its characterisation in Japan for a long time after the interwar period). It is Landye's article (1929) that brings into sharp relief the difference in the formulation and conceptualisation of the problem between the two parties in

46 Greblis et al., *Problems of Economy*, no. 10–11, 1929, p. 156. Emphasis in original.

opposition, in giving an appropriate theoretical summarisation of the 'mechanistic approach' from the standpoint of the 'Rubin school' (but, probably because of the position of this author, there is no direct mention of Rubin in this article).

Landye summarises the characteristics of the 'mechanistic' method in the following five points. We allow ourselves to quote a rather long passage. Although he mentions in the following summary only Bogdanov (who appears in the title of his article) and Cohn, the tenor of this description is reminiscent of Bukharin's *Historical Materialism: A System of Sociology* (an energy-theoretic conception of society, a concept of equilibrium, etc.), widely read and extremely influential at that time.

Firstly. Once the energy balance of society with nature appears as *decisive* for its development, it is completely understandable that the investigation of commodity-capitalist society, like that of every other society, must begin from 'energy as such'. Therefore, what becomes the starting category in political economy is the expedient physiological expenditure of simple energy, which has hence quantitative determinedness.

Secondly. ... [V]alue is above all a material condensation of this physiological energy ... The expenditure of physiological energy is the substance of value. The law of value is evidently a social expression of that 'peculiar natural selection'.

Thirdly. From here further follows the neglect of the immanent form of value, and its identification with the form of manifestation of value. Indeed, 'energy as such' appears as the immanent essence of society. It is necessary only to confirm the form in which the movement of the crystals of this energy manifests itself, i.e., the form of exchange value.

Fourthly. From the point of view of the energy conception of social development, it also becomes understandable, why unorganised society appears as only formally subjectless ... Once society exists, that is, its energy balance is 'organised', the material labour apparatus is adapted to the struggle with nature, i.e., it is possible to start from an *already* distributed labour. From here also follows the idea of equilibrium as the presupposition of the theory of value.

Fifthly. The quantitative approach to the theory of value as well as the method of 'abstraction in thinking' too becomes understandable, since it

is necessary to reduce the specific social phenomena to their transhistorical content, the battle of society with nature.⁴⁷

The above five points are a very concise and accurate summary of the 'mechanistic' idea commonly shared by the 'physiologists'. Human society must in every historical epoch maintain its existence in struggling with nature. This struggle is a striving to derive as much energy as possible from nature with a definite quantity of energy the society spends on nature. The society declines, maintains a stationary state, or develops accordingly as this energy balance inclines favourably or adversely to the society. The value of commodities too is only a specifically historical form of such a transhistorical energy metabolism of human society in general. And the main task of the theory of value consists in deriving the magnitude of 'congealed' energy suitable for becoming an object of physical measurement (for example, being expressed in terms of calories) as the regulating principle of the proportions of exchange of commodities (their exchange values), in reducing the substance of value to expenditures of such a physiological energy. For such a formulation of the problem, the social labour proper to the commodity economy comprised of private labour is from the outset outside the scope of the theory of value, the starting point of which is 'already socially distributed labour' since the society actually exists in some or other form. The labour actually expended in various concrete forms is reduced to 'abstract labour in the physiological sense' not by the logic proper to the commodity economy but through 'abstraction in thinking'.

Landye says that value as conceived in the 'mechanistic' thinking depends on its view on law (i.e., universal laws to be detected by the fundamental reduction), in contrasting it with the opposite 'dialectical understanding' (i.e., that of Rubin), as follows:

This regularity [in respect to social development] can be understood in two ways. The dialectical understanding deduces the laws of social development from the immanent contradictions laid down in a *given* social system. Hence follows the understanding of social laws as specifically historical, inherent only in a given social formation.

Mechanists view the matter otherwise. Applying the method of 'reduction', they reduce the driving forces of social development to *external* contradictions between society and nature, and see in all specific histor-

47 Landye, 1929, pp. 846–77 in the present translation. Emphasis in original.

ical laws *only* a manifestation of these *external* contradictions. For them the *natural* laws of the conflict of society with nature are decisive for the development of society; and they *reduce* the specific historical laws to these universal natural laws, since the former are for them *only a form of manifestation* of the latter.⁴⁸

Specifically historical laws and universal natural laws. Behind the opposition around the understanding of abstract labour, there exist such two opposite views on economic laws. The reason for which the views of Cohn, Bessonov, etc., are generally called mechanistic is that they regard as the task of theoretical cognition the reduction of historical phenomena specific to the capitalist economy to manifestations of transhistorical laws (and ultimately to Bukharin's mechanistic laws allegedly governing the thermodynamic process of energy exchange between society and nature as its environment). The 'dialectical understanding' Landye advances here is to grasp abstract labour and value from a fundamentally different viewpoint. He presents briefly Rubin's method of constructing the theory of value starting from a presupposition directly opposed to the mechanistic view as follows:

[T]he starting point is the specific character of the organisation of social labour in the commodity economy, i.e., directly private labour, and we consider how it *is transformed* into directly social labour, and what are the contradictions of this process. Directly private labour *is contraposed* to social labour as a whole (the system of divided and distributed labour).⁴⁹

The essential aspect of Marx's [this should be read as 'Marx and Rubin's'] formulation of the problem consists in affirming the circumstance that the concrete realisation of the proportionality of labour expenditures is the *result* of a spontaneous, irrational social process. The task of the theory of value consists in showing through a complex system of categories *how* the atomically organised production is connected, by means of the movements of things, to the system of social labour as a whole, and in showing what are those immanent contradictions which develop themselves in this spontaneous social form.⁵⁰

48 *ibid.*, pp. 842–3 in the present translation. Emphasis in original.

49 *ibid.*, p. 835 in the present translation. Emphasis in original.

50 *ibid.*, p. 840 in the present translation. Emphasis in original.

The problems given here to be solved in Marx's theory of value (according to Rubin's reading of it) are all treated as already solved in the mechanistic method, and relate to the domains to be expelled from the object of economic theory.

While leaving intact the fundamental opposition in the formulation of the problem summarised above by Landye, the value controversy continued up to the end of 1929 in the form of the repetition of 'proxy wars', without Rubin himself directly participating, without any new theoretical development from either side. But soon after the beginning of 1930 a new situation arose, as has been described at the end of Chapter I of the present introductory essay. Finally, in the next section, we will see briefly how the controversy of the 1920s itself was 'summed up' in the 1930s and thereafter, in relying on contemporary literature.

c *The Deadlock of the Controversy*

As we have somewhat detailed in the latter half of Chapter I of the present essay, the controversy remaining in impasse was to be terminated at the beginning of 1930, not voluntarily by its participants but forcibly by the political intervention of the party central. As the concrete historical circumstances have already been sketched, here we will present how Rubin's theory and the controversy around it were 'summed up' in the Soviet literature after 1930 (published mainly in the journals in which the controversy had been carried on).

Each of all the four editors of the two collections of articles, by proponents of Rubin and by his opponents respectively, submitted their own research activities during the 1920s to critical examinations as 'self-criticism'.

One of them, Borilin, who had criticised 'mechanism' in his article published in *Under the Banner of Marxism* (no. 12, 1929, pp. 70–119), entitled 'Our Disagreements with the Mechanists in Political Economy' («Наши разногласия с механистами в политической экономике»), an article overviewing the controversy from a position close to Rubin's theory, published immediately after that in *Bolshevik* (no. 2, 1930, pp. 48–61) another article co-authored with V. Milyuchin (В. Милютин), director of the Central Statistics Bureau, similarly entitled 'On the Disagreements in Political Economy' («К разногласиям в политической экономике»), in which they criticised equally both sides, arriving at a summing-up tending to liquidate the controversy. Along with this summing-up, Borilin critically mentions his own publications in the past, saying that they contributed to making difficult the 'struggle on the two fronts' in defending Rubin (this article concludes with a quotation of the 'words of Comrade Stalin'). Borilin published subsequently a number of similar articles (for example, 'Against the Distortions of Marxist-Leninist Theory on the Eco-

номic Front' («Против извращений марксистско-ленинской теории на экономической фронте»), *Problems of Economy* (no. 10/11, 1931, pp. 14–30), making an appeal for disciplining the dissidents and catering to Stalin's complete political victory, and in the article published in *Pravda*, the central party organ, of 13 January 1931, just before the Rubin trial, entitled 'Let us eradicate the Rubinshchina!' («Вырвать с корни Рубинщину!»), he appeals to other economists who have not yet expressed their resolute opposition to the theory of Rubin to participate like himself in the struggle with the Rubinshchina.

In this way, Borilin fell typically within the orbit of a 'convert' among the four editors of the two collections of articles mentioned above. The other three also were forced respectively to make a 'summing-up' and bent to the pressure. A. Leontiev published in *Bolshevik* (no. 7, 1932, pp. 86–92) an article entitled 'How the Menshevik Rubin Falsified *Contribution to the Critique of Political Economy* of Marx in his translation' (Как меньшевик Рубин подделывал Маркса, «К критике политической экономии» Маркса в переводе Рубина»), a fault-finding commentary on the Russian translation of *Contribution* published by Rubin in 1929 with a preface by Ryazanov in commemoration of the 70th anniversary of the publication of the original edition by Marx (cf. FIGURE 2 on p. 7 above), to be described as a miscellaneous writing without any meaning other than for declaring his own 'anti-Rubin' position. (Incidentally, the results of Rubin's excellent editorial work in this translation were made good use of for the edition of *Contribution* published as a volume in the new MEGA in 1981.) On the other hand, Bessonov and Cohn delivered an official statement of self-criticism to beg for their lives in acknowledging their own 'mechanistic errors'. Thus, all the main controversialists except Rubin made public their position consenting to terminate the controversy, which lost its bearers and disappeared. Rubin himself did not say anything about the controversy after the debate with Bessonov and the following discussion meeting, while continuing to publish philological studies on Marx's economic theory apparently having nothing to do with the controversy, and had reprinted and published the fourth edition of his *Essays*, the origin of the controversy, in 1929 and 1930 in spite of the repression which had already begun. We have already described in Chapter I of the present introductory essay what fate was in store for him after the end of the final year of the 1920s.

A. Buroshko (А. Бурошко) recalls, in his article published toward mid-1931, what happened to the value controversy at the beginning of 1930 as something already belonging to the past. This passage suggests that it was terminated by the intervention of the political power of the party during the turn from 1929 to 1930. 'One-year-and-a-half has already passed from the time

when the party summarised the last economic discussion, disclosing all the harm of enclosing economic-theoretical thinking in the framework of 'political economy in a narrow sense', 'On the Problem of Political Economy in a Wide Sense (Against the Formalistic Conception of Comrade Rosenberg)', «К вопросу о политической экономии в широком смысле (против формалистической концепции т. Розенберга», *Problems of Economy*, no. 7/8, 1931, p. 95). The direct aim of this article was to criticise the article D. Rosenberg (Д. Розенберг) published in the same journal (no. 6, 1931, pp. 138–50), entitled 'Political Economy in a Wide and Narrow sense' («Политическая экономия в широком и узком смысле»). The subject discussed by Rosenberg in this article had been debated in the meeting of the Communist Academy before the Rubin controversy, in 1925. Since this discussion the position of Bukharin refuted in the introductory conference held there by Stepanov and Skvortsov, to the effect that economic theory studies only the commodity-capitalist economy, was accepted by the majority of economists including Rubin (also Preobrazhensky, Luxemburg, and Hilferding were of similar views). In the debate of 1929 this entente was presupposed. What Buroshko says above is that the 'harm' of such an entente was 'disclosed' by the party together with that of the value controversy. Incidentally, this article of Rosenberg's was to acquire, together with his other works, the status of 'orthodoxy' on this issue in and after the 1930s.

The article co-authored by G. Abezgauz et al. (1930), intended to accuse the authors of the collection of articles edited by Bessonov and Cohn of their insufficiency in criticising Rubin. But at the same time the views of these editors too are criticised in this review article as follows:

The methodological position and theoretical views of Comrade Bukharin were accepted by a series of economists and exercise their influence up to the present on their theoretical works, although these comrades raise objections against the political views of Comrade Bukharin. This concerns particularly Comrades Cohn and Bessonov, who admit systematically the mechanistic errors in their participations in the ongoing discussion on the problems of political economy, including the collection of articles under review. To overcome right opportunism [Bukharin's thought after the exile of Trotsky] (the principal menace in the rows of the Communist Party), implacable criticism of such errors is imperatively required.⁵¹

51 G. Abezgauz et al., 1930, p. 155.

The summary presentation of the 'mechanistic thinking' by Landye, introduced in the previous section, was almost applicable to that of Bukharin's theory, but in spite of this close similitude, Landye, as a participant in the controversy adopting the position of one side, never mentioned Bukharin by name for some reason or other. But here the authors of the review article, 'summing-up' the controversy itself from the outside, 'disclose' the connection between one side in it and a particular theoretical (or political) position.

G. Abezgauz and G. Dukor, co-authors of this review article, criticise both sides of the controversy in another co-authored work of theirs as follows:

If value is nothing other than a certain quantity of energy according to Bogdanov's teaching, abstract labour forming value too is the *expenditure of physiological energy, and that's all*. Such an interpretation of abstract labour is characteristic of Bogdanov and Cohn. The naturalistic interpretation of abstract labour has nothing to do with Marx. Abstract labour is, rather, a social, historical category. However, it does not follow from here that it is, as Rubin thinks, immaterial, to be formed in exchange. Abstract labour is something which expresses the equality of the expenditure of human labour power as a specific social form of labour in commodity society, where the homogeneity of labour and not concrete labour constitutes the social form of labour.⁵²

After having criticised both sides of the controversy, the authors give their positive definition of abstract labour, which is rather an eclectic *mélange* of both of them than something really surpassing them. The 'officially recognised' economists who could state their views on important issues of Marxist political economy under the Stalin regime after the 1930s, while criticising the discussions on abstract labour during the value controversy of the 1920s, in fact concocted a bland and innocuous position on it in borrowing and making eclectic different and at times opposite views raised in this controversy.

It is David Iokhelevich Rosenberg (Давид Иохелевич Розенберг, 1879–1950) who may have been most successful on this line. According to the official assessment, his greatest merits consist in having achieved an accurate annota-

52 G. Abezgauz and G. Dukor, *The Methodology of Dialectical Political Economy*, quoted from the Japanese version translated by Seiichiro Okamoto and Akio Inaba, Hakuyosha Publishers, 1933, pp. 155–6. Emphasis in original. This is a work that originated from the memoranda of the lecture delivered by Dukor in Sverdlov Communist University in Spring 1930, with supplements by both of the authors. They criticise everywhere various points in Rubin's theory.

tion on all three volumes of *Capital*. His *Comments on 'Capital' by K. Marx* (*Комментарии к «Капиталу» К. Маркса*, first edition published in 1930, fourth edition in 1936, both symbolic years) remained significantly influential in the Soviet Union for a long time in and after the 1930s as an authoritative textbook of orthodox interpretation of *Capital*. In this work, repeatedly translated into Japanese from the beginning of 1930s up to the end of 1960s (there seems to be no English translation), Rubin and the value controversy of the 1920s are mentioned in many places. There Rubin is referred to as 'an artisan of social fascism' (Japanese version of 1956, translated by Jiro Umemura, Kaiseisha Publishers, vol. 3, p. 56). Rosenberg pronounces his verdict on the value controversy of the 1920s, in which he himself was rather keeping a position as a by-stander, as follows:

Some came to distort solely following Rubin, others began to fall into mechanistic distortions, unable to get out of the circle traced by Rubin. And both of them naturally incurred the following accusations from Comrade Stalin: 1) both sides could not correctly apply the method of struggle on the two fronts, i.e., on the front against the 'Rubinshchina' and on the front against 'mechanism'. 2) both of them retreated into the domain of Jewish talmudic abstractions, neglecting the fundamental problems of the Soviet economy and the world imperialism, and thus wasted two years on abstract themes. This of course advantaged our enemy and only served them.⁵³

As is well known, with the establishment of the Stalin dictatorship research on Marx's economic theory was suffocated under the ideological control of the party, and stereotyped manuals of a canonised dogmatic system represented by Rosenberg's *Comments* continued to be endlessly reproduced as textbooks sanctioned by state policy. The problems raised in the controversy during the 1920s were, consequently, buried away as abortive flowers of the time of the NEP, to fall into oblivion for a long time.

Susumu Takenaga

53 *ibid.*, vol. 1, pp. 9–10.

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This book is an English translation of *Essays on Marx's Theory of Value*, first published by Isaak Illich Rubin in 1923 in the Soviet Union. Rubin's book sparked a fierce value controversy with contemporary Soviet economists during the late 1920s. As such, the present translation is conceived as a variorum edition, including for the first time in English all the essential supplementary materials related to this foundational work in Marx's value theory. In addition to Rubin's main work, this edition includes his four most important related publications, as well as ten debate articles written and published by his contemporary proponents and opponents.

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ISSN: 1570-1522
ISBN: 978-90-04-72133-3

